Jefferies Aerospace & Defense and Airlines

AUGUST 2026 | MARKETING DECK AND TOP PICKS

Commercial OE

- **BA:** Recent H1 execution & continued visibility to higher BCA rates on 737/787, a cleaner margin profile by derisking BDS programs, and sustained growth at BGS support the path to +$1-3BB of FCF in 2026 (or +HSD $BB ex items) and to $10BB+ in time.

Commercial AM

- **GE:** Aftermarket fears overdone given Services represents 76% of CES, while profits accelerating toward the $11.5B 2028 target and LEAP & CFM56 economics inflect sooner than expected, GE9X losses improve, and next-gen engine programs add longer-term upside.
- **TDG:** Highest margin, ~90% proprietary portfolio skewed to commercial AM underpins peer-leading pricing power and 50%+ EBITDA margins, while the end of distributor destocking restores AM growth, ~$10BB of dry powder fuels compounding, and special dividend capacity provides near-term catalyst

Defense Primes

- **GD:** Unprecedented shipbuilding demand with growth supported by multi-year workforce and sourcing investments, and meaningful margin upside as productivity improves under schedule-incentivized contracts.

Space

- **VOYG:** A defense and space technology company with exposure to munitions, ISR, and commercial space, driving 31% core revenue CAGR through 2030, underpinned by production scaling and new pipeline wins, with long term growth in majority ownership of the Starlab commercial space station JV.

Prime Contractors			Diversified Manufacturers			Major Component Suppliers			Government IT Services			Defense Tech & Space			Airlines		
Rank	Company	Rating	Rank	Company	Rating	Rank	Company	Rating	Rank	Company	Rating	Rank	Company	Rating	Rank	Company	Rating
1	GD	Buy	1	GE	Buy	1	TDG	Buy	1	PSN	Buy	1	AVAV	Buy	1	DAL	Buy
2	LMT	Hold	2	BA	Buy	2	HEI	Buy	2	CACI	Hold	2	VOYG	Buy	2	UAL	Buy
3	NOC	Hold	3	RTX	Buy	3	HWM	Buy	3	LDOS	Hold	3	FLY	Buy	3	AAL	Hold
			4	HON	Hold	4	FTAI	Buy	4	SAIC	Hold	4	HAWK	Buy	4	LUV	Hold
			5	TXT	Buy	5	VSEC	Buy				5	CAE	Hold	5	AC CN	Hold
			6	TDY	Buy	6	KTOS	Buy				6	NXSN IT	Buy			
						7	DPC	Buy				7	BETA	Buy			
						8	WWD	Buy				8	MDA	Buy			
						9	AIR	Buy				9	EVEX	Buy			
						10	LOAR	Buy				10	SPCE	Buy			
						11	HXL	Hold				11	RDW	Hold			
						12	SARO	Hold				12	CDRE	Buy			
						13	ESLT	Hold				13	BKSY	Hold			
						14	MRCY	Hold				14	PDYN	Hold			

Please see analyst certifications, important disclosure information, and information regarding the status of non -US analysts at the end of this presentation.

Sheila Kahyaoglu
212.336.7216
Sheila.kahyaoglu@jefferies.com

Kyle Wenclawiak
212.323.7671
kwenclawiak@jefferies.com

Adam Samuelson
212.707.6303
asamuelson@jefferies.com

Jack Ewell
646.352.5646
jewell@jefferies.com

Eegan McDermott
212.323.3323
emcdermott1@jefferies.com

Billy Healey
212.778.8725
bhealy@jefferies.com

Ceara Perry
646.352.5601
cperry@jefferies.com

Jefferies

Coverage List: Aerospace, Airlines, Defense, IT Services, and Space

AAR Air Canada AeroVironment American Airlines Applied Aerospace Arxis BlackSky Boeing Beta

Booz Allen Hamilton CAE Cadre Delta Air Lines Doncasters Elbit Systems Eve Firefly FTAI General Dynamics

General Electric Heico Hexcel Honeywell Howmet Kratos L3Harris Leidos LOAR

Lockheed Martin Mercury MDA Northrop Grumman Parsons Redwire RTX SAIC Southwest Airlines

StandardAero Teledyne Textron TransDigm United Airlines Virgin Galactic VSE Corp Woodward Voyager

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

Valuation as of July 31, 2026

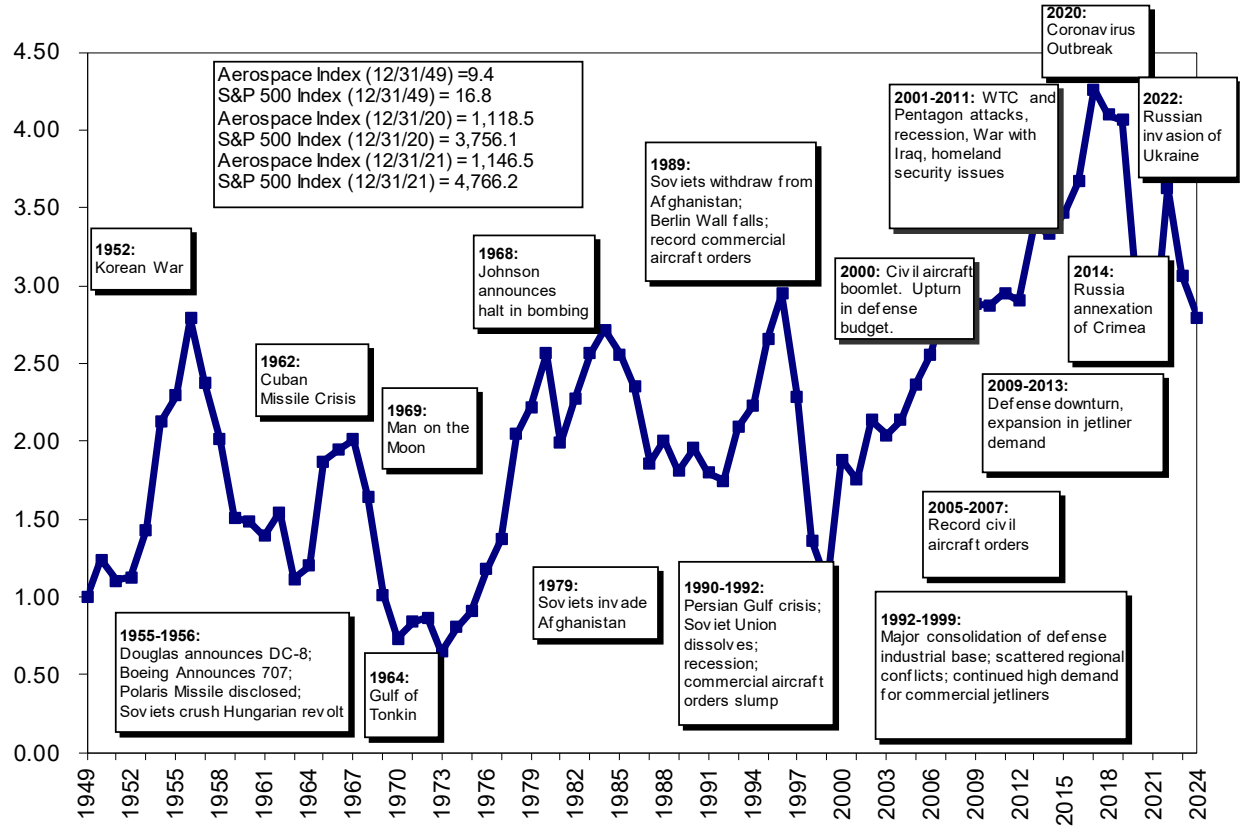
Sub-Sector	Company	Rating	Price Target	Price	Downside / Upside	Perf. YTD	P/E			EV/EBITDA			EV/Sales			% FY2 FCF Yield
							FY1	FY2	FY3	FY1	FY2	FY3	FY1	FY2	FY3	
Commercial Aerospace	AIR	Buy	$155	$140.04	11%	69.2%	24.6x	21.3x	18.5x	13.4x	11.9x	10.6x	1.7x	1.6x	1.5x	2.2%
	ARXS	Buy	$60	$54.30	10%	NM	71.4x	63.8x	54.2x	24.8x	22.3x	20.3x	10.0x	9.2x	8.4x	2.2%
	BA	Buy	$295	$216.14	36%	-0.5%	NM	108.0x	36.0x	49.4x	27.2x	17.9x	2.0x	1.7x	1.5x	3.5%
	CAE	Hold	$26	$25.82	1%	-15.1%	21.5x	19.1x	16.1x	8.5x	7.9x	7.2x	2.0x	1.9x	1.8x	4.0%
	DPC	Buy	$56	$45.60	23%	NM	NM	50.5x	39.9x	44.5x	35.8x	28.4x	8.5x	7.6x	6.5x	0.8%
	FTAI	Buy	$325	$206.00	58%	4.6%	39.2x	19.2x	12.1x	19.5x	12.0x	8.3x	6.4x	4.1x	3.0x	6.7%
	GE	Buy	$455	$360.07	26%	16.9%	45.3x	39.4x	35.1x	32.3x	28.8x	26.2x	7.6x	6.8x	6.3x	2.7%
	HEI	Buy	$410	$356.36	15%	10.1%	59.4x	53.2x	48.8x	36.5x	34.3x	32.4x	9.8x	9.2x	8.7x	2.2%
	HONA	Hold	$235	$206.74	14%	NM	24.2x	21.4x	19.0x	17.0x	15.6x	14.4x	4.2x	3.9x	3.6x	NM
	HWM	Buy	$340	$282.26	20%	37.7%	55.8x	45.2x	39.0x	37.6x	31.6x	27.9x	12.2x	10.8x	9.9x	1.9%
	HXL	Hold	$110	$102.95	7%	39.3%	43.1x	34.3x	29.4x	23.3x	21.0x	19.2x	4.4x	4.1x	3.9x	3.3%
	LOAR	Buy	$75	$68.45	10%	0.7%	53.3x	48.8x	40.3x	28.9x	26.2x	23.9x	11.5x	10.7x	10.0x	2.3%
	TDG	Buy	$1,575	$1,254.38	26%	-5.7%	31.6x	26.8x	23.0x	17.9x	16.5x	15.4x	9.4x	8.6x	8.1x	3.5%
	SARO	Hold	$30	$29.31	2%	2.2%	20.3x	16.7x	13.0x	13.5x	11.7x	9.8x	1.9x	1.7x	1.5x	3.9%
	VSEC	Buy	$260	$194.39	34%	12.5%	46.8x	34.7x	29.9x	14.1x	10.9x	9.7x	2.6x	2.2x	2.0x	1.7%
	WWD	Buy	$450	$360.75	25%	19.3%	38.6x	34.0x	29.9x	28.2x	25.5x	22.7x	6.0x	5.5x	5.0x	2.4%
	Average					**10.2%**	**39.9x**	**39.4x**	**29.4x**	**26.5x**	**21.8x**	**18.8x**	**6.3x**	**5.6x**	**5.1x**	**3.0%**
Defense	AADX	Buy	$25	$18.70	34%	NM	NM	46.6x	38.0x	26.9x	21.5x	17.7x	6.1x	5.2x	4.5x	3.1%
	AVAV	Buy	$229	$149.37	53%	-38.2%	46.9x	31.8x	27.1x	24.3x	18.3x	15.7x	3.6x	3.1x	2.8x	1.6%
	AVEX	Buy	$33	$16.63	98%	NM	1.1x	1.0x	0.9x	35.6x	30.8x	27.3x	4.3x	3.9x	3.6x	4.0%
	ESLT	Hold	$880	$808.65	9%	40.0%	53.4x	47.2x	41.5x	35.6x	30.8x	27.3x	4.3x	3.9x	3.6x	2.0%
	KTOS	Buy	$80	$46.60	72%	-38.6%	68.1x	39.8x	36.5x	66.7x	40.4x	34.7x	4.4x	3.7x	3.2x	NM
	LMT	Hold	$595	$582.74	2%	20.5%	19.3x	18.4x	17.1x	13.3x	12.6x	11.9x	1.9x	1.8x	1.7x	4.9%
	MRCY	Hold	$115	$97.10	18%	33.0%	72.2x	49.8x	46.2x	38.6x	29.7x	28.0x	6.3x	5.7x	5.2x	1.4%
	NOC	Hold	$580	$542.48	7%	-4.9%	18.8x	18.0x	17.0x	13.3x	12.6x	12.0x	2.1x	2.0x	1.9x	4.4%
	RTX	Buy	$250	$215.22	16%	17.4%	29.1x	26.3x	23.8x	20.8x	19.5x	18.0x	3.3x	3.1x	2.9x	3.5%
	TDY	Buy	$830	$655.57	27%	28.4%	26.6x	24.5x	23.4x	19.7x	18.2x	17.4x	4.9x	4.7x	4.5x	4.4%
	Average					**5.8%**	**36.1x**	**29.7x**	**26.6x**	**28.0x**	**22.5x**	**20.2x**	**4.0x**	**3.6x**	**3.3x**	**3.6%**
IT Services	CACI	Hold	$510	$497.75	2%	-6.6%	15.8x	14.6x	14.0x	12.5x	11.9x	11.4x	1.5x	1.5x	1.4x	7.0%
	LDOS	Hold	$110	$115.60	-5%	-35.9%	10.4x	9.4x	8.7x	8.2x	7.9x	7.7x	1.1x	1.1x	1.0x	11.6%
	PSN	Buy	$52	$44.21	18%	-28.5%	17.7x	14.7x	13.6x	14.7x	12.3x	11.8x	1.2x	1.2x	1.2x	9.7%
	SAIC	Hold	$115	$117.13	-2%	16.4%	11.8x	10.5x	9.3x	10.5x	10.5x	9.9x	1.1x	1.0x	1.0x	11.3%
	Average					**-13.7%**	**13.9x**	**12.3x**	**11.4x**	**11.5x**	**10.6x**	**10.2x**	**1.2x**	**1.2x**	**1.2x**	**9.9%**
Biz Jets	GD	Buy	$440	$383.42	15%	13.9%	22.7x	20.7x	19.2x	16.2x	14.9x	13.9x	2.0x	1.9x	1.8x	4.7%
	TXT	Buy	$115	$85.26	35%	-2.2%	14.2x	12.1x	10.9x	10.3x	9.1x	8.5x	1.3x	1.2x	1.2x	6.5%
	Average					**5.8%**	**18.4x**	**16.4x**	**15.1x**	**13.2x**	**12.0x**	**11.2x**	**1.6x**	**1.6x**	**1.5x**	**5.6%**
Airlines	AAL	Hold	$15	$15.27	-2%	-0.4%	NM	8.3x	6.8x	11.8x	7.3x	6.8x	0.6x	0.6x	0.5x	6.9%
	AC-CA	Hold	C$26	$25.37	2%	31.5%	11.5x	9.7x	8.7x	2.6x	2.5x	2.3x	0.5x	0.5x	0.4x	0.3%
	DAL	Buy	$110	$87.44	26%	26.0%	12.6x	10.3x	8.9x	7.7x	6.7x	6.1x	1.0x	1.0x	0.9x	7.6%
	LUV	Hold	$46	$44.97	2%	8.8%	13.4x	11.1x	10.2x	7.1x	5.8x	5.5x	0.8x	0.7x	0.7x	6.1%
	UAL	Buy	$155	$121.33	28%	8.5%	11.6x	8.4x	7.4x	6.8x	5.6x	5.2x	0.8x	0.8x	0.7x	6.5%
	Average					**14.9%**	**12.3x**	**9.6x**	**8.4x**	**7.2x**	**5.6x**	**5.2x**	**0.7x**	**0.7x**	**0.7x**	**5.0%**
SMID Cap/Space	BKSY	Hold	$50	$23.05	117%	95.8%	NM	NM	NM	49.3x	22.9x	15.2x	49.3x	22.9x	15.2x	NM
	EVEX	Buy	$7	$2.32	202%	-41.9%	NM	NM	NM	NM	NM	13.5x	NM	22.3x	0.5x	NM
	CDRE	Buy	$40	$30.83	30%	-24.5%	25.7x	22.8x	19.2x	12.0x	10.9x	10.0x	2.2x	2.1x	2.1x	5.6%
	FLY	Buy	$52	$20.33	156%	NM	NM	NM	600.3x	NM	NM	19.4x	6.0x	3.5x	2.1x	NM
	HAWK	BUY	$34	$21.20	60%	NM	NM	142.6x	54.4x	65.0x	40.1x	25.9x	10.9x	8.7x	7.1x	0.1%
	NXSN-IL	Buy	ILS 380.00	ILS 237.50	60%	NM	129.6x	102.5x	80.4x	115.1x	87.3x	65.9x	67.4x	52.7x	41.1x	NM
	RDW	Hold	$24	$8.62	178%	13.4%	NM	NM	NM	NM	176.0x	54.8x	4.5x	3.8x	3.2x	NM
	SPCE	Buy	$5	$2.55	96%	-20.6%	NM	NM	9.4x	NM	NM	3.7x	150.5x	2.1x	1.0x	NM
	VOYG	Buy	$60	$24.53	145%	-56.6%	NM	NM	NM	NM	NM	NM	6.7x	4.0x	1.8x	NM
	YSS	Buy	$34	$14.73	131%	NM	NM	32.6x	16.6x	36.3x	11.7x	7.9x	3.1x	2.1x	1.6x	14.8%
	Average					**-5.7%**	**77.7x**	**75.1x**	**130.1x**	**57.1x**	**65.2x**	**25.1x**	**31.4x**	**11.3x**	**6.7x**	**5.6%**
	SPX			**$7,489.72**		**9.4%**	**21.1x**	**18.7x**	**16.3x**	**15.2x**	**12.9x**	**11.3x**	**3.9x**	**3.6x**	**3.4x**	

Source: FactSet and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

The Impact of Political and Economic Events on Aerospace and Defense

A&D Index Relative Price Performance vs S&P 500 Index



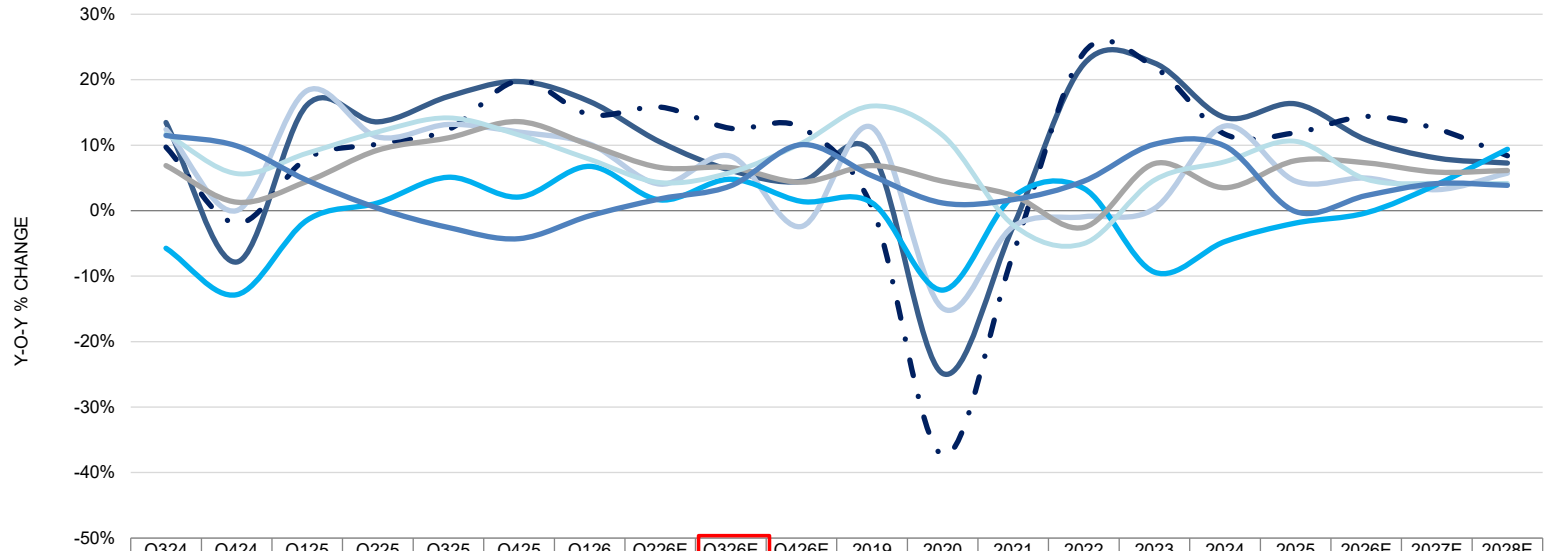
- Over the long term, Aerospace equities have outperformed the market. The outperformance comes in cycles and may occur due to political or economic developments, such as those highlighted above.

Note: Indexed to 1949. Includes: ARNC, BA, GD, TDG, TXT, LMT, NOC and RTX.
Source: FactSet and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

Revenue by End Market

Revenue by End Market - Commercial OE (+15%) Outpaces AM (+11%) In 2026E



	Q324	Q424	Q125	Q225	Q325	Q425	Q126	Q226E	Q326E	Q426E	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
Commercial AM	13%	-8%	16%	14%	17%	20%	17%	10%	6%	4%	9%	-25%	-2%	22%	23%	14%	16%	11%	8%	7%
Commercial OE	10%	-2%	8%	10%	12%	20%	15%	16%	13%	13%	1%	-37%	-7%	24%	22%	12%	12%	14%	13%	8%
Biz Jet	12%	0%	18%	11%	13%	12%	10%	4%	8%	-2%	13%	-15%	-2%	-1%	0%	13%	4%	5%	3%	6%
Industrial	-6%	-13%	-1%	1%	5%	2%	7%	2%	5%	1%	1%	-12%	2%	3%	-9%	-5%	-2%	0%	4%	9%
Defense Primes	7%	1%	4%	9%	11%	14%	10%	7%	7%	4%	7%	4%	2%	-3%	7%	4%	8%	7%	6%	6%
Defense Suppliers	12%	6%	9%	12%	14%	12%	8%	4%	6%	10%	16%	12%	-2%	-5%	5%	7%	11%	5%	4%	4%
Defense IT	11%	10%	5%	0%	-3%	-4%	-1%	2%	4%	10%	5%	1%	2%	4%	10%	10%	0%	2%	4%	4%

- In Q3:26, OE is expected +13%, with AM +6%, Defense Primes +7%, Suppliers +6%, Industrial +5%, Biz Jets +4%, and IT +4%. We est OE leads in 2026 +15% vs AM +11%, Defense Primes +7%, Defense Suppliers +5%, IT services +2%, and Biz Jets +5%, .

Source: FactSet and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

Commercial Original Equipment

Sheila Kahyaoglu, Equity Analyst, 212.336.7216, sheila.kahyaoglu@jefferies.com

Commercial Aircraft Deliveries 2018-2030E

JEF Commercial Delivery Forecast: 2026 Deliveries Total 1,677, Up 11% Y-o-Y , -3% Vs 2018 Peak

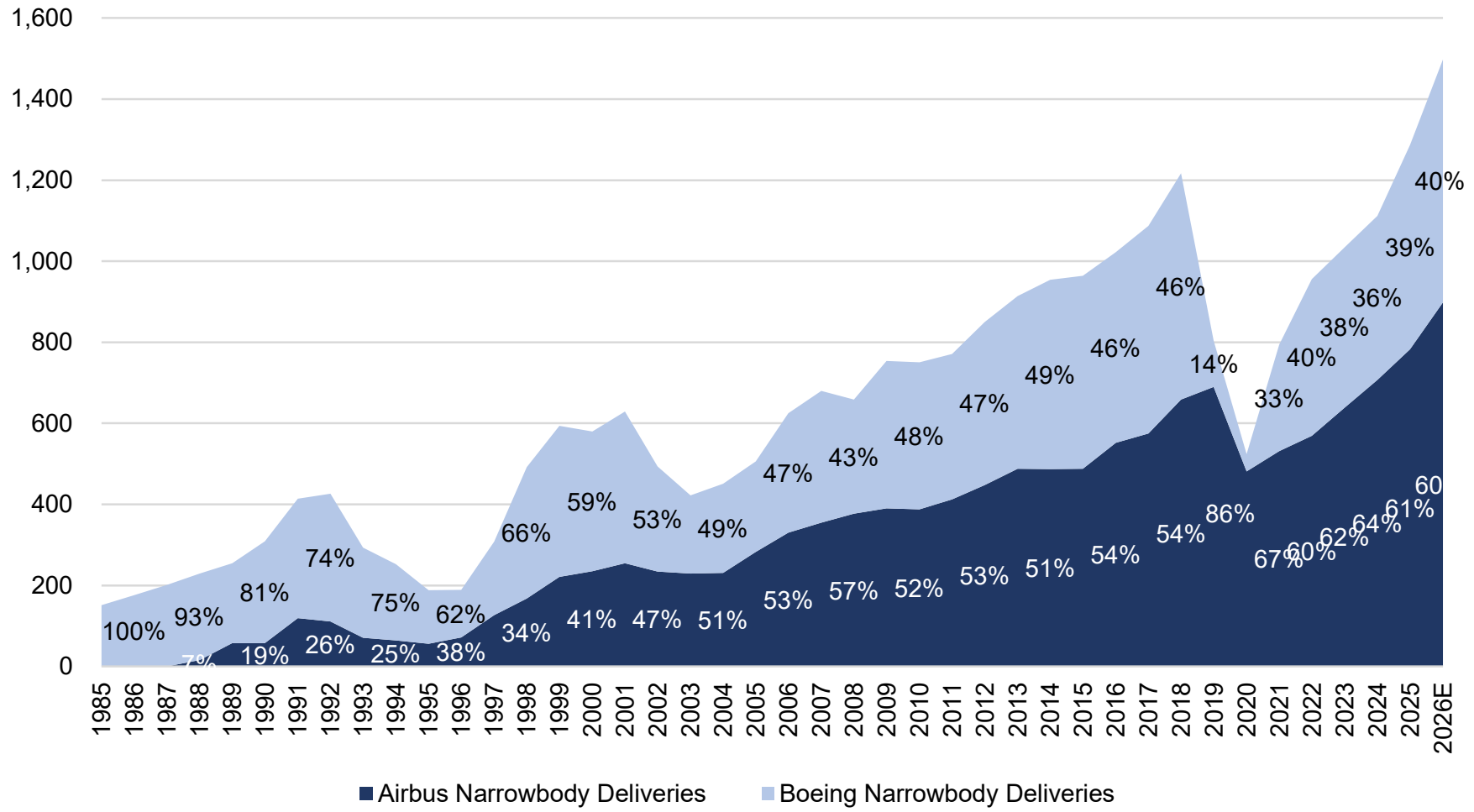
	2018	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
Boeing:													
707	-	-	-	-	-	-	-	-	-	-	-	-	-
717	-	-	-	-	-	-	-	-	-	-	-	-	-
737	580	127	43	263	387	396	265	447	499	588	624	630	648
747	6	7	5	7	5	1	-	-	-	-	-	-	-
757	-	-	-	-	-	-	-	-	-	-	-	-	-
767	27	43	30	32	33	32	18	30	36	24	15	15	15
777	48	45	26	24	24	26	14	35	24	18	12	-	-
777X							-	-	-	20	42	60	72
787	145	158	53	14	31	73	51	88	100	111	120	132	144
Total Boeing	**806**	**380**	**157**	**340**	**480**	**528**	**348**	**600**	**659**	**761**	**813**	**837**	**879**
Airbus:													
A300	-	-	-	-	-	-	-	-	-	-	-	-	-
A310	-	-	-	-	-	-	-	-	-	-	-	-	-
A220	33	48	38	50	53	68	75	93	105	120	135	150	150
A318	-	-	-	-	-	-	-	-	-	-	-	-	-
A319	8	6	3	4	6	7	7	12	2	2	2	2	2
A320	417	430	256	258	246	247	260	270	280	300	300	250	250
A321	201	206	187	221	264	317	332	298	283	308	366	477	486
A321XLR	-	-	-	-	-	-	3	27	90	115	125	125	125
A330	49	53	19	18	32	32	32	36	43	44	49	51	55
A340	-	-	-	-	-	-	-	-	-	-	-	-	-
A350	93	112	59	55	62	64	57	57	67	80	90	112	132
A380	12	8	4	5	-	-	-	-	-	-	-	-	-
Total Airbus	**813**	**863**	**566**	**611**	**663**	**735**	**766**	**793**	**870**	**969**	**1,067**	**1,167**	**1,200**
COMAC:													
C919	-	-	-	-	1	2	13	14	35	45	55	60	65
Total Mainline	**1,619**	**1,243**	**723**	**951**	**1,144**	**1,265**	**1,127**	**1,407**	**1,564**	**1,775**	**1,935**	**2,064**	**2,144**
Regional Jets:													
C909	6	11	22	21	34	22	35	24	33	45	50	50	50
Embraer	90	89	44	48	56	63	72	80	80	85	95	100	105
Bombardier	19	26	16	2	-	-	-	-	-	-	-	-	-
MHI	-	-	-	-	-	-	-	-	-	-	-	-	-
British Aerospace	-	-	-	-	-	-	-	-	-	-	-	-	-
Fokker/Other	-	-	-	-	-	-	-	-	-	-	-	-	-
Total Regional	**115**	**126**	**82**	**71**	**90**	**85**	**107**	**104**	**113**	**130**	**145**	**150**	**155**
Total Deliveries	**1,734**	**1,369**	**805**	**1,022**	**1,234**	**1,350**	**1,234**	**1,511**	**1,677**	**1,905**	**2,080**	**2,214**	**2,299**
Y-o-Y % Change (Total, Incl. Regionals)	*7%*	*-21%*	*-41%*	*27%*	*21%*	*9%*	*-9%*	*22%*	*11%*	*14%*	*9%*	*6%*	*4%*
Y-o-Y % Change (Widebody)	*-4%*	*12%*	*-54%*	*-21%*	*21%*	*22%*	*-25%*	*43%*	*10%*	*10%*	*10%*	*13%*	*13%*
Y-o-Y % Change (Narrowbody)	*12%*	*-34%*	*-35%*	*51%*	*20%*	*8%*	*-8%*	*22%*	*11%*	*14%*	*9%*	*5%*	*2%*
% Below 2018 Peak (Total, Incl. Regionals)		*-21%*	*-54%*	*-41%*	*-29%*	*-22%*	*-29%*	*-13%*	*-3%*	*10%*	*20%*	*28%*	*33%*

Source: Company data, Cirium® and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

Airbus vs Boeing Narrowbody Market Share 1985-2026E

Success of the A320neo Family Led Steady Share Gain by Airbus, Accelerated Post Groundings, & Pandemic



Source: Company data, Cirium® and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

US Airline Coverage Revenue Forecasts

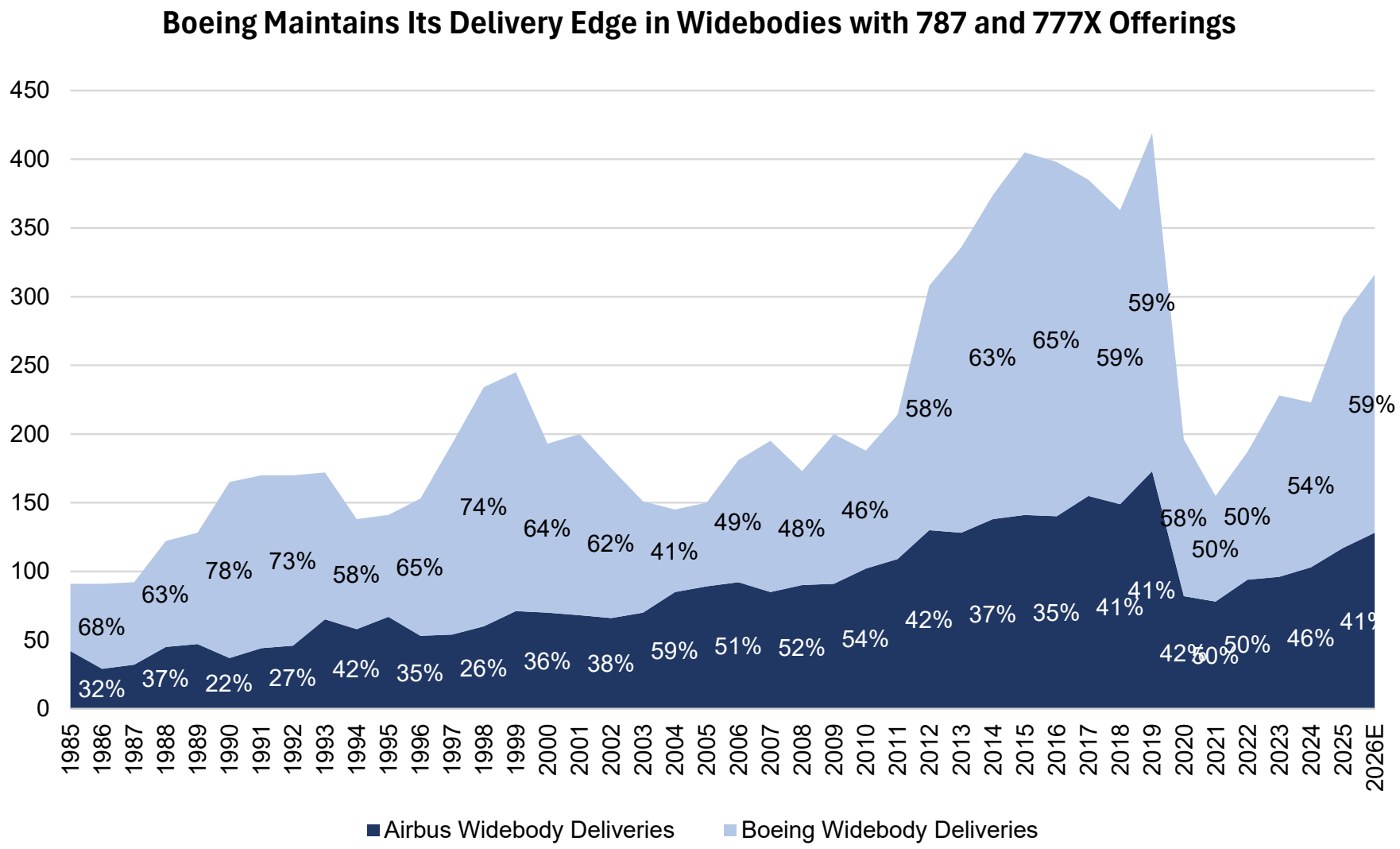
Capacity Expected to Increase 2.3% in 2026 with Unit Revenue Up ~11.4% to Support 13.9% Top-Line Growth

Airline	Revenue Build 2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	2024	2025	2026E
ASMs													
AAL	285,088	143,167	214,535	260,226	277,723	292,948	299,411	310,471	321,743	330,916	5.5%	2.2%	3.7%
AC	112,814	37,703	33,384	82,558	99,012	104,381	105,174	108,545	113,482	118,966	5.4%	0.8%	3.2%
DAL	275,379	134,339	194,474	233,226	272,033	288,394	298,045	302,088	314,241	323,696	6.0%	3.3%	1.4%
UAL	284,999	122,804	178,684	247,858	291,333	311,185	330,283	337,304	352,250	367,476	6.8%	6.1%	2.1%
LUV	157,254	103,456	132,006	148,467	170,323	177,250	180,046	182,047	188,291	192,885	4.1%	1.6%	1.1%
Total ASMs	**1,115,534**	**541,469**	**753,083**	**972,335**	**1,110,424**	**1,174,158**	**1,212,959**	**1,240,456**	**1,290,008**	**1,333,939**	**5.7%**	**3.3%**	**2.3%**
Load Factor													
AAL	84.6%	64.1%	75.3%	82.9%	83.5%	84.9%	83.6%	84.0%	84.4%	84.6%	1.4%	-1.3%	0.4%
AC	83.4%	61.6%	63.0%	80.5%	86.7%	84.9%	84.6%	86.3%	85.6%	85.2%	-1.7%	-0.3%	1.7%
DAL	86.3%	54.6%	69.3%	83.8%	85.4%	85.4%	83.7%	84.0%	85.2%	85.2%	0.0%	-1.6%	0.3%
UAL	84.0%	60.2%	72.2%	83.4%	83.9%	83.1%	82.2%	83.3%	83.5%	83.8%	-0.8%	-0.8%	1.1%
LUV	83.5%	52.4%	78.5%	83.4%	80.0%	80.4%	77.4%	79.5%	80.5%	81.5%	0.4%	-3.0%	2.1%
Total Load Factor	**84.6%**	**58.5%**	**73.0%**	**83.1%**	**83.8%**	**83.9%**	**82.4%**	**83.3%**	**83.9%**	**84.2%**	**0.0%**	**-1.4%**	**0.9%**
Passenger Yield (¢)													
AAL	17.41¢	15.81¢	16.13¢	20.67¢	20.92¢	19.93¢	19.83¢	21.94¢	21.62¢	21.78¢	-4.7%	-0.5%	10.6%
AC	18.31¢	18.86¢	21.37¢	21.41¢	22.61¢	22.29¢	22.02¢	23.51¢	23.44¢	23.60¢	-1.4%	-1.2%	6.8%
DAL	17.79¢	17.55¢	16.72¢	20.57¢	21.06¢	20.68¢	20.74¢	23.02¢	22.60¢	22.80¢	-1.8%	0.3%	11.0%
UAL	16.55¢	15.98¢	15.66¢	19.36¢	20.07¢	20.05¢	19.67¢	21.75¢	21.42¢	21.55¢	-0.1%	-1.9%	10.5%
LUV	15.82¢	14.14¢	13.58¢	17.29¢	17.35¢	17.53¢	18.31¢	20.78¢	20.28¢	20.01¢	1.0%	4.5%	13.5%
Total Passenger Yield	**17.16¢**	**16.19¢**	**15.89¢**	**19.85¢**	**20.36¢**	**20.01¢**	**20.00¢**	**22.13¢**	**21.78¢**	**21.88¢**	**-1.7%**	**-0.1%**	**10.7%**
Total Revenue ($MM)													
AAL	$45,768	$17,337	$29,882	$48,971	$52,788	$54,211	$54,633	$62,664	$64,597	$67,296	2.7%	0.8%	14.7%
AC	19,131	5,833	6,400	16,556	21,833	22,255	22,372	25,038	25,958	27,231	1.9%	0.5%	11.9%
DAL	46,769	15,945	26,670	45,605	54,669	57,001	58,288	65,838	68,348	71,172	4.3%	2.3%	13.0%
UAL	43,259	15,355	24,634	44,955	53,717	57,063	59,070	67,093	69,416	73,178	6.2%	3.5%	13.6%
LUV	22,428	9,048	15,790	23,814	26,091	27,483	28,063	32,769	33,566	34,428	5.3%	2.1%	16.8%
Total Revenue ($MM)	**$177,355**	**$63,518**	**$103,376**	**$179,901**	**$209,098**	**$218,013**	**$222,426**	**$253,401**	**$261,885**	**$273,306**	**4.3%**	**2.0%**	**13.9%**
Total Revenue per ASM (¢)													
AAL	16.05¢	12.11¢	13.93¢	18.82¢	19.01¢	18.51¢	18.25¢	20.18¢	20.08¢	20.34¢	-2.6%	-1.4%	10.6%
AC	16.96¢	15.47¢	19.17¢	20.05¢	22.05¢	21.32¢	21.27¢	23.07¢	22.87¢	22.89¢	-3.3%	-0.2%	8.4%
DAL	16.98¢	11.87¢	13.71¢	19.55¢	20.10¢	19.76¢	19.56¢	21.79¢	21.75¢	21.99¢	-1.6%	-1.1%	11.4%
UAL	15.18¢	12.50¢	13.79¢	18.14¢	18.44¢	18.34¢	17.88¢	19.89¢	19.71¢	19.91¢	-0.5%	-2.5%	11.2%
LUV	14.26¢	8.75¢	11.96¢	16.04¢	15.32¢	15.51¢	15.59¢	18.00¢	17.83¢	17.85¢	1.2%	0.5%	15.5%
Total Revenue per ASM (¢)	**15.90¢**	**11.73¢**	**13.73¢**	**18.50¢**	**18.83¢**	**18.57¢**	**18.34¢**	**20.43¢**	**20.30¢**	**20.49¢**	**-1.4%**	**-1.2%**	**11.4%**

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

Airbus vs Boeing Widebody Market Share 1985-2026E



Source: Company data, Cirium® and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

Commercial Aircraft Backlogs

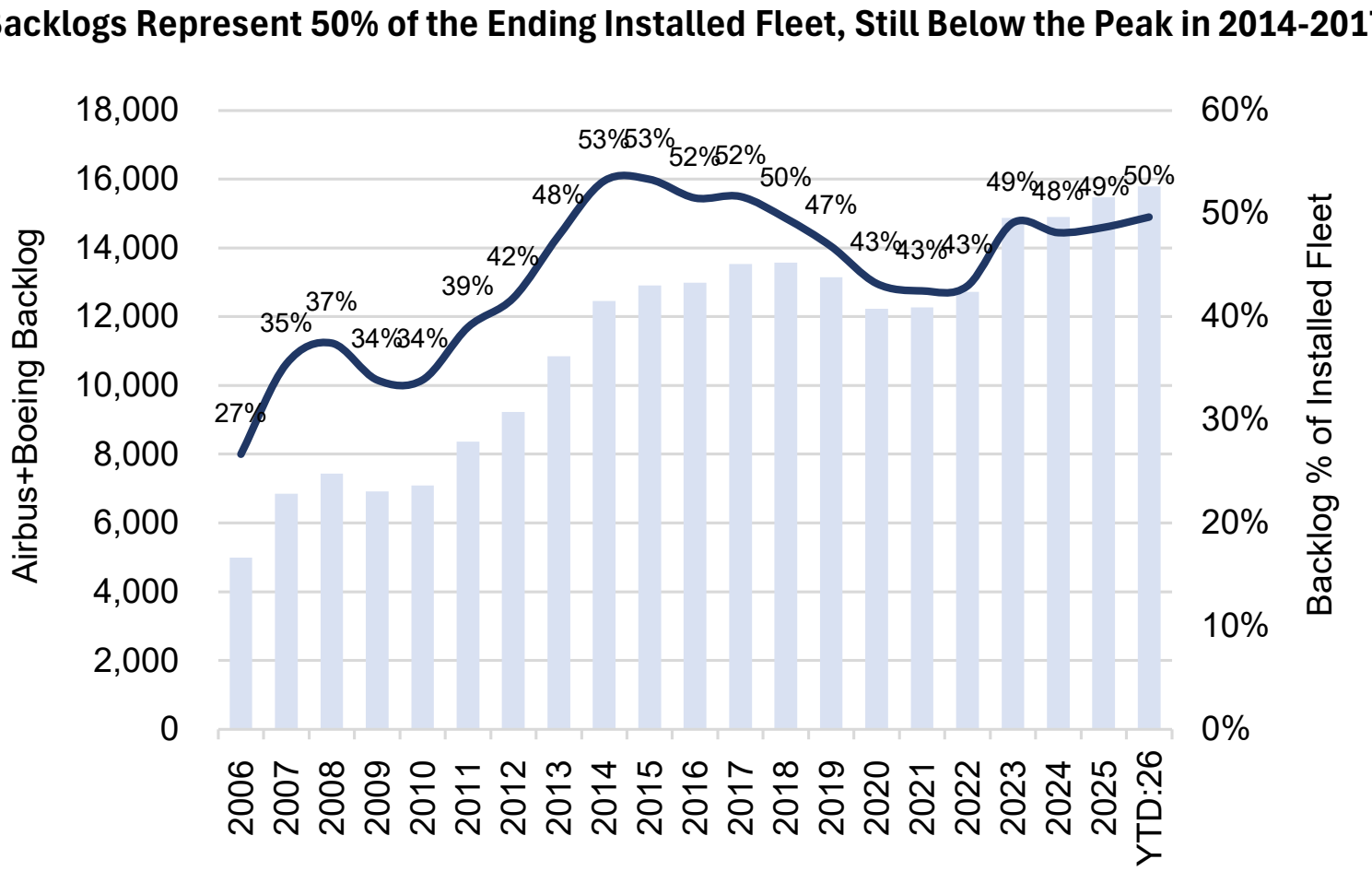
Total Backlog of ~16,000 Aircraft Across Airbus and Boeing

Boeing				Airbus				
Aircraft Type	Count	Months of Production at JEF 2026 Rate	Months of Production at 2030 Target Rate	Aircraft Type	Count	Months of Production at JEF 2026 Rate	Months of Production at 2030 Target Rate	Combined Total
737-700	-			A318ceo	-			
737-800	36			A319ceo	2			
737-900ER	-			A320ceo	4			
BBJ	-			A321ceo	-			
Total 737 NG	**36**			**Total A320ceo Family**	**6**			**42**
-7	282							
-8	2,659							
-8200	195							
-9	177			A319neo	14			
-10	1,533			A320neo	1,841			
Unidentified	-			A321neo	5,606			
Total 737 MAX	**4,846**	**110**	**85**	**Total A320neo Family**	**7,461**	**131**	**99**	**12,307**
				A220	581	64	48	
Total Narrowbodies	**4,882**	**111**	**86**	**Total Narrowbodies**	**8,048**	**122**	**93**	**12,930**
747	-	-	-					
767	84	36	28	A330	6	2	1	
777	46	20	15	A330neo	298	76	60	
777X	657	282	219	A350	870	143	73	
787	1,145	143	115	A380	-	N/A	N/A	
Total Widebodies	**1,932**	**161**	**102**	**Total Widebodies**	**1,174**	**117**	**69**	**3,106**
Total Aircraft	**6,814**	**121**	**90**	**Total Aircraft**	**9,222**	**121**	**89**	**16,036**

Source: Company data, Cirium® and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

Commercial Aircraft Backlog as Percentage of Installed Fleet



- The 16,000+ aircraft backlog represented 50% of the installed fleet at the end of 2025, still below the peak range in 2014-2017 of 52-53%.

Source: Company data, Cirium® and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

OEM Production Rates by Platform

Current Stated Production Rates and JEFe 2026/2027 Production Rates by Platform

	Current Rate (units/month)	Announced Rate (units/month)	Comments	JEF Estimated 2026 Rate	JEF Estimated 2027 Rate
Boeing					
737 MAX	~42/month	47/mo by H2:2026 52/mo in 2027 57/mo Thereafter	Planning 5/mo rate breaks every 6+ months	44/mo Production 41/mo Delivery	47/mo Production 49/mo Delivery
767	~3/month	Unchanged	Freighter Ending in 2027	~3/month	~2/month
777/777X	~2/month	6/mo by 2030	777-9 EIS in 2027	~2/month	~3.5/month
787	~8/month	10/mo in 2026	Potential above 10/mo with Charleston investment	~8/mo	~9/mo
Airbus					
A220	~9/month	12/mo by Late-Decade	Down From 14/mo Prior	9/month	10/month
A320 Family	~60/month	75/mo in 2029	75/mo Target Delayed into 2029 on engines	57/month	63/month
A330	~4/month	5/mo in 2030	In-Line with Plan	4/month	4/month
A350	~6/month	12/mo by 2030	Delayed by Kinston fuselage output	6/month	8/month

- Boeing is working towards 47/mo on 737, with targets of 10/mo 787, and 6/mo 777/777X by 2030.
- Airbus targets 12/mo for A220 by late decade, 75/mo for A320 family in 2029, 12/mo for A350 in 2028, and 5/mo for A330 in 2030.

Source: Company data, Cirium® and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

Deliveries, Production, and Inventory

Boeing Inventory Builds Unwind As Supply Chain Becomes The Focus to Ramp Production Towards OEM Announced Targets

Delivery

	Q1:25	Q2:25	Q3:25	Q4:25	Q1:26	Q2:26E	Q3:26E	Q4:26E
Boeing								
737	1	2	2	2	1	2	2	2
737 MAX	104	102	119	115	113	119	123	137
747	-	-	-	-	-	-	-	-
767	5	9	6	10	6	9	9	12
777	7	13	9	6	8	6	6	4
777X	-	-	-	-	-	-	-	-
787	13	24	24	27	15	25	25	35
Total Boeing	**130**	**150**	**160**	**160**	**143**	**161**	**165**	**190**
Airbus								
A220	17	24	13	39	19	26	24	36
A320 Family	106	126	186	189	81	139	208	227
A330	4	8	12	12	3	13	10	17
A350	9	12	15	21	11	15	15	26
A380	-	-	-	-	-	-	-	-
Total Airbus	**136**	**170**	**226**	**261**	**114**	**193**	**257**	**306**
Total BA + Airbus	**266**	**320**	**386**	**421**	**257**	**354**	**422**	**496**

	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
Boeing								
737	9	5	7	7	-	-	-	-
737 MAX	387	260	440	492	588	624	630	648
747	1	-	-	-	-	-	-	-
767	32	18	30	36	24	15	15	15
777	26	14	35	24	18	12	-	-
777X	-	-	-	-	20	42	60	72
787	73	51	88	100	111	120	132	144
Total Boeing	**528**	**348**	**600**	**659**	**761**	**813**	**837**	**879**
Airbus								
A220	68	75	93	105	120	135	150	150
A320 Family	571	602	607	655	725	793	854	863
A330	32	32	36	43	44	49	51	55
A350	64	57	57	67	80	90	112	132
A380	-	-	-	-	-	-	-	-
Total Airbus	**735**	**766**	**793**	**870**	**969**	**1,067**	**1,167**	**1,200**
Total BA + Airbus	**1,263**	**1,114**	**1,393**	**1,529**	**1,730**	**1,880**	**2,004**	**2,079**

Per Month

	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
Boeing								
737	0.8	0.4	0.6	0.6	0.0	0.0	0.0	0.0
737 MAX	32.3	21.7	36.7	41.0	49.0	52.0	52.5	54.0
747	0.1	0.0	0.0	0.0	0.0	0.0	0.0	0.0
767	2.7	1.5	2.5	3.0	2.0	1.3	1.3	1.3
777	2.2	1.2	2.9	2.0	1.5	1.0	0.0	0.0
777X	0.0	0.0	0.0	0.0	1.7	3.5	5.0	6.0
787	6.1	4.3	7.3	8.3	9.3	10.0	11.0	12.0
Total Boeing	**44.0**	**29.0**	**50.0**	**54.9**	**63.4**	**67.8**	**69.8**	**73.3**
Airbus								
A220	5.9	6.5	8.1	9.1	10.4	11.7	13.0	13.0
A320 Family	49.7	52.3	52.8	57.0	63.0	69.0	74.3	75.0
A330	2.9	2.9	3.3	3.9	4.0	4.5	4.6	5.0
A350	5.8	5.2	5.2	6.1	7.3	8.2	10.2	12.0
A380	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Total Airbus	**63.9**	**66.6**	**69.0**	**75.7**	**84.3**	**92.8**	**101.5**	**104.3**
Total BA + Airbus	**107.9**	**95.6**	**119.0**	**130.6**	**147.7**	**160.5**	**171.2**	**177.6**

Production

	Q1:25	Q2:25	Q3:25	Q4:25	Q1:26	Q2:26E	Q3:26E	Q4:26E
Boeing								
737	1	2	2	2	1	2	2	2
737 MAX	72	97	109	112	123	126	135	139
747	-	-	-	-	-	-	-	-
767	5	5	8	12	8	8	8	4
777	6	6	6	6	4	4	6	6
777X	1	1	2	2	2	4	6	6
787	15	15	20	20	21	24	25	26
Total Boeing	**100**	**126**	**147**	**154**	**159**	**168**	**182**	**183**

	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
Boeing								
737	9	5	7	7	-	-	-	-
737 MAX	337	195	390	523	564	588	624	648
747	1	-	-	-	-	-	-	-
767	32	26	30	28	24	15	15	15
777	24	20	24	20	14	12	-	-
777X	-	6	6	18	24	36	48	60
787	33	46	70	96	108	120	132	144
Total Boeing	**436**	**298**	**527**	**692**	**734**	**771**	**819**	**867**

Per Month

	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
Boeing								
737	0.8	0.4	0.6	0.6	0.0	0.0	0.0	0.0
737 MAX	28.1	16.3	32.5	43.6	47.0	49.0	52.0	54.0
747	0.1	0.0	0.0	0.0	0.0	0.0	0.0	0.0
767	2.7	2.2	2.5	2.3	2.0	1.3	1.3	1.3
777	2.0	1.7	2.0	1.7	1.2	1.0	0.0	0.0
777X	0.0	0.5	0.5	1.5	2.0	3.0	4.0	5.0
787	2.8	3.8	5.8	8.0	9.0	10.0	11.0	12.0
Total Boeing	**36.3**	**24.8**	**43.9**	**57.7**	**61.2**	**64.3**	**68.3**	**72.3**

Inventory

	Q1:25	Q2:25	Q3:25	Q4:25	Q1:26	Q2:26E	Q3:26E	Q4:26E
Boeing								
737	-	-	-	-	-	-	-	-
737 MAX	103	98	88	85	95	102	114	116
747	-	-	-	-	-	-	-	-
767	8	4	6	8	10	9	8	-
777	15	8	5	5	1	(1)	(1)	1
777X	35	36	38	40	42	46	52	58
787	57	48	44	37	43	42	42	33
Total Boeing	**218**	**194**	**181**	**175**	**191**	**198**	**215**	**208**

	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
Boeing								
737	-	-	-	-	-	-	-	-
737 MAX	200	135	85	116	92	56	50	50
747	-	-	-	-	-	-	-	-
767	-	8	8	-	-	-	-	-
777	10	16	5	-	-	-	-	-
777X	28	34	40	58	62	56	44	32
787	60	55	37	33	30	30	30	30
Total Boeing	**298**	**248**	**175**	**207**	**184**	**142**	**124**	**112**

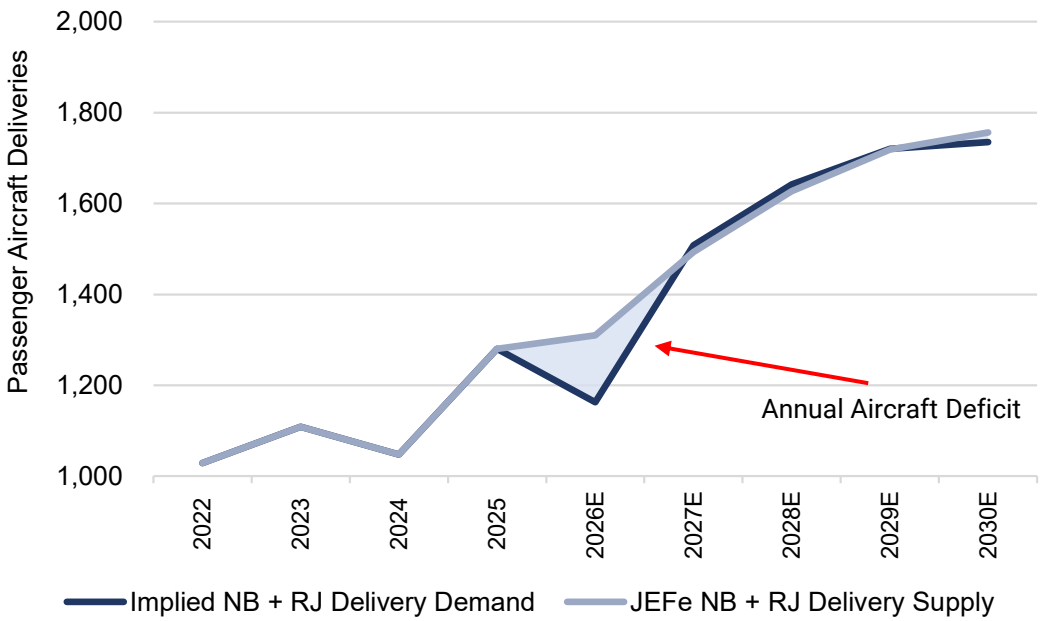
- For Boeing, the 737 and 787 groundings along with the delayed entry-into-service of the MAX-7/10 and 777X led to an inventory build up of approximately 250 aircraft in 2024, a majority of which has been destocked by 2026, with our estimate down to 207 aircraft in inventory at the end of 2026, but most of those are just WIP vs. finished aircraft. Our estimates for 659 deliveries in 2026 compares to 692 produced aircraft, with the balance going into inventory as 737-10s. We estimate deliveries increase to 761 in 2027 (734 produced), 813 by 2028 (771 produced), and 879 by 2030 (867 produced). This assumes inventory is burned down to normal carrying levels largely by 2027/2028.

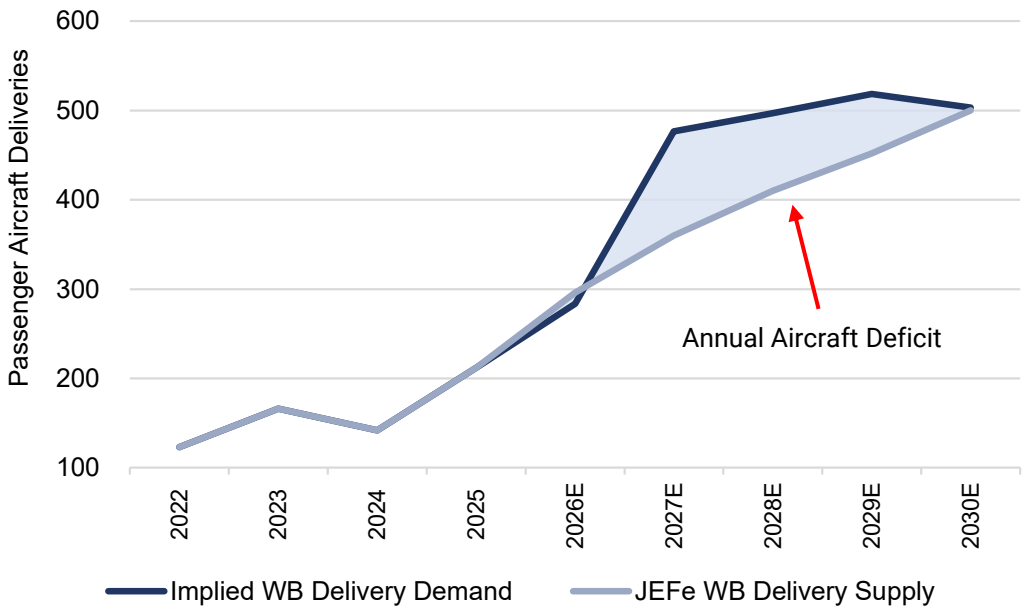
Source: Company data, Cirium® and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

Jefferies Supply and Demand Model: Industry In Supply Deficit Until Late Decade

Market Required Fleet Growth to Support Forecasted RPKs Exceeds JEFe Supply of Aircraft Through the Decade





- Our Commercial OE Supply & Demand model evaluates new aircraft demand based on air traffic, load factors, seat gauge, stage-length and retirements, and then compares JEF estimates for aircraft supply to understand timing within the aerospace cycle and surpluses or deficits within the market to determine if OEM target production rates are low, high, or just right.
- Reduced air traffic expectations suggest near-term oversupply at 3% retirement rate, but air traffic recovery in 2027 quickly pushes the market back into undersupply

Source: Company data, Cirium® and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

Total Passenger Deliveries in Deficit Until 2029/2030

Industry Shows as Oversupplied in 2026, But Recovery of Air Traffic in 2027E Pushes the Market Back Into Undersupply

Total Passenger Aircraft Sensitivity	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E	'25-'27 Average
Passenger Aircraft Installed Base	**26,013**	**25,992**	**26,415**	**27,049**	**27,536**	**28,113**	**28,933**	**29,565**	**30,660**	**31,858**	**33,088**	**34,271**	**2.9%**
Y-o-Y % Change	*2.4%*	*-0.1%*	*1.6%*	*2.4%*	*1.8%*	*2.1%*	*2.9%*	*2.2%*	*3.7%*	*3.9%*	*3.9%*	*3.6%*	
CAGR off 2019 Base		*-0.1%*	*0.8%*	*1.3%*	*1.4%*	*1.6%*	*1.8%*	*1.8%*	*2.1%*	*2.3%*	*2.4%*	*2.5%*	
Global RPKs (BBs)	**8,588**	**2,940**	**3,583**	**5,888**	**8,077**	**8,920**	**9,396**	**9,628**	**10,206**	**10,772**	**11,344**	**11,911**	**4.6%**
Y-o-Y % Change	*4.2%*	*-65.8%*	*21.9%*	*64.3%*	*37.2%*	*10.4%*	*5.3%*	*2.5%*	*6.0%*	*5.5%*	*5.3%*	*5.0%*	
CAGR off 2019 Base		*-65.8%*	*-35.4%*	*-11.8%*	*-1.5%*	*0.8%*	*1.5%*	*1.6%*	*2.2%*	*2.5%*	*2.8%*	*3.0%*	
Global ASKs (BBs)	**10,371**	**4,499**	**5,349**	**7,480**	**9,795**	**10,644**	**11,192**	**11,321**	**12,004**	**12,692**	**13,375**	**14,040**	**4.1%**
Y-o-Y % Change	*3.3%*	*-56.6%*	*18.9%*	*39.8%*	*31.0%*	*8.7%*	*5.2%*	*1.2%*	*6.0%*	*5.7%*	*5.4%*	*5.0%*	
CAGR off 2019 Base		*-56.6%*	*-28.2%*	*-10.3%*	*-1.4%*	*0.5%*	*1.3%*	*1.3%*	*1.8%*	*2.3%*	*2.6%*	*2.8%*	
% Load Factor	**82.8%**	**65.3%**	**67.0%**	**78.7%**	**82.5%**	**83.8%**	**83.9%**	**85.0%**	**85.0%**	**84.9%**	**84.8%**	**84.8%**	**85.0%**
Y-o-Y % Pt Change	*0.7%*	*-17.5%*	*1.6%*	*11.7%*	*3.7%*	*1.3%*	*0.1%*	*1.1%*	*0.0%*	*-0.2%*	*-0.1%*	*0.0%*	
Average Seats per Aircraft	**180.5**	**180.5**	**180.8**	**182.2**	**183.0**	**183.6**	**184.6**	**185.2**	**185.9**	**186.7**	**187.8**	**188.8**	**0.4%**
Y-o-Y % Change	*0.9%*	*0.0%*	*0.2%*	*0.8%*	*0.5%*	*0.3%*	*0.6%*	*0.3%*	*0.4%*	*0.5%*	*0.5%*	*0.6%*	
% Change vs. 2019		*0.0%*	*0.2%*	*0.9%*	*1.4%*	*1.7%*	*2.3%*	*2.6%*	*3.0%*	*3.5%*	*4.0%*	*4.6%*	
Implied Annual Kilometers (MMs)	**2.21**	**0.96**	**1.12**	**1.52**	**1.94**	**2.06**	**2.10**	**2.07**	**2.11**	**2.13**	**2.15**	**2.17**	**0.7%**
Y-o-Y % Change	*0.0%*	*-56.6%*	*16.8%*	*35.5%*	*28.0%*	*6.1%*	*1.6%*	*-1.3%*	*1.9%*	*1.3%*	*0.9%*	*0.8%*	
% Change vs. 2019		*-56.6%*	*-49.3%*	*-31.3%*	*-12.0%*	*-6.7%*	*-5.2%*	*-6.4%*	*-4.7%*	*-3.4%*	*-2.5%*	*-1.8%*	
Passenger Aircraft per BB RPKs	**3.03**	**8.84**	**7.37**	**4.59**	**3.41**	**3.15**	**3.08**	**3.07**	**3.00**	**2.96**	**2.92**	**2.88**	**-1.6%**
Y-o-Y % Change	*-1.7%*	*191.9%*	*-16.6%*	*-37.7%*	*-25.8%*	*-7.5%*	*-2.3%*	*-0.3%*	*-2.2%*	*-1.6%*	*-1.4%*	*-1.4%*	
% Change vs. 2019		*191.9%*	*143.4%*	*51.7%*	*12.6%*	*4.1%*	*1.7%*	*1.4%*	*-0.8%*	*-2.4%*	*-3.7%*	*-5.0%*	
Total Passenger Aircraft Fleet Change													
Implied Annual Deliveries	**1,260**	**723**	**933**	**1,152**	**1,275**	**1,190**	**1,492**	**1,446**	**1,985**	**2,139**	**2,238**	**2,238**	**1,641**
Deliveries as a % of the Fleet	*5.0%*	*2.8%*	*3.6%*	*4.4%*	*4.7%*	*4.3%*	*5.3%*	*5.0%*	*6.7%*	*7.0%*	*7.0%*	*6.8%*	*5.7%*
Annual Retirements	**616**	**598**	**477**	**559**	**745**	**685**	**672**	**814**	**890**	**941**	**1,009**	**1,055**	**792**
Retirements as a % of the Fleet	*2.4%*	*2.3%*	*1.8%*	*2.1%*	*2.8%*	*2.5%*	*2.4%*	*2.8%*	*3.0%*	*3.1%*	*3.2%*	*3.2%*	*2.7%*
Net Change in Fleet	**614**	**(21)**	**423**	**593**	**530**	**505**	**820**	**632**	**1,095**	**1,198**	**1,229**	**1,183**	**849**
Y-o-Y % Fleet Change	*2.4%*	*-0.1%*	*1.6%*	*2.2%*	*2.0%*	*1.8%*	*2.9%*	*2.2%*	*3.7%*	*3.9%*	*3.9%*	*3.6%*	*2.9%*
JEFe Total Deliveries	**1,260**	**723**	**933**	**1,152**	**1,275**	**1,190**	**1,492**	**1,606**	**1,853**	**2,037**	**2,171**	**2,256**	**1,650**
Aircraft (Deficit)/Surplus								*160*	*(132)*	*(102)*	*(67)*	*18*	*14*
Cumulative Aircraft (Deficit)/Surplus								*160*	*28*	*(74)*	*(142)*	*(124)*	

- Our Base Case total passenger aircraft is a consolidation of our narrowbody + regional jet and widebody forecasts, which together, support demand for an 1,446 deliveries in 2026 and 1,985 in 2027, representing 5.0% and 6.7% of the fleet, respectively.
- This is driven by our assumed retirement rate of 814 at 2.8% of the fleet in 2026 and 890 at 3.0% of the fleet in 2027, compared to the historic range of 2.5-3.5%. The net fleet increases only 2.2% in 2026, but accelerates to 3.7% growth in 2027 to 30,661 aircraft based on our air traffic forecasts.
- This compares to JEF estimated supply of 1,606 and 1,853 aircraft in 2026 and 2027, respectively. This suggests the market looks oversupplied in 2026 by ~160 aircraft surplus, but quickly returns to a ~132 aircraft deficit in 2027.

Source: Company data, Cirium® and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

Total Narrowbody & Regional Passenger Deliveries in Deficit Until 2028

Narrowbody + Regional Jet Delivery Forecast - Single-Aisle Market Running at Equilibrium Assuming ~3% Retirement Rates and OEMs Capable of Achieving Targeted Production Rates

Passenger Narrowbody + Regional Sensitivity	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E	'25-'27 Average
NB + RJ Installed Base	**20,964**	**21,072**	**21,544**	**22,096**	**22,576**	**23,156**	**23,906**	**24,419**	**25,190**	**26,048**	**26,928**	**27,792**	**2.8%**
Y-o-Y % Change	*2.0%*	*0.5%*	*2.2%*	*2.6%*	*2.2%*	*2.6%*	*3.2%*	*2.1%*	*3.2%*	*3.4%*	*3.4%*	*3.2%*	
CAGR off 2019 Base		*0.5%*	*1.4%*	*1.8%*	*1.9%*	*2.0%*	*2.2%*	*2.2%*	*2.3%*	*2.4%*	*2.5%*	*2.6%*	
Implied NB + RJ RPKs (BBs)	**4,837**	**2,195**	**2,872**	**4,033**	**4,883**	**5,400**	**5,677**	**5,915**	**6,152**	**6,398**	**6,654**	**6,903**	**4.4%**
Y-o-Y % Change	*4.7%*	*-54.6%*	*30.9%*	*40.4%*	*21.1%*	*10.6%*	*5.1%*	*4.2%*	*4.0%*	*4.0%*	*4.0%*	*3.8%*	
CAGR off 2019 Base		*-54.6%*	*-22.9%*	*-5.9%*	*0.2%*	*2.2%*	*2.7%*	*2.9%*	*3.1%*	*3.2%*	*3.2%*	*3.3%*	
NB + RJ ASKs (BBs)	**5,779**	**3,296**	**3,866**	**5,112**	**5,987**	**6,444**	**6,782**	**6,952**	**7,230**	**7,519**	**7,820**	**8,132**	**3.9%**
Y-o-Y % Change	*3.8%*	*-43.0%*	*17.3%*	*32.2%*	*17.1%*	*7.6%*	*5.3%*	*2.5%*	*4.0%*	*4.0%*	*4.0%*	*4.0%*	
CAGR off 2019 Base		*-43.0%*	*-18.2%*	*-4.0%*	*0.9%*	*2.2%*	*2.7%*	*2.7%*	*2.8%*	*3.0%*	*3.1%*	*3.2%*	
% Domestic Load Factor	**83.7%**	**66.6%**	**74.3%**	**78.9%**	**81.5%**	**83.8%**	**83.7%**	**85.1%**	**85.1%**	**85.1%**	**85.1%**	**84.9%**	**85.1%**
Y-o-Y % Pt Change	*0.7%*	*-17.1%*	*7.7%*	*4.6%*	*2.7%*	*2.3%*	*-0.1%*	*1.4%*	*0.0%*	*0.0%*	*0.0%*	*-0.2%*	
Average Seats per NB + RJ	**150.2**	**151.1**	**152.0**	**153.9**	**155.4**	**156.9**	**158.7**	**160.1**	**161.4**	**162.7**	**164.1**	**165.4**	**1.0%**
Y-o-Y % Change	*0.7%*	*0.6%*	*0.6%*	*1.2%*	*1.0%*	*0.9%*	*1.2%*	*0.9%*	*0.8%*	*0.8%*	*0.9%*	*0.8%*	
% Change vs. 2019		*0.6%*	*1.2%*	*2.5%*	*3.5%*	*4.4%*	*5.7%*	*6.6%*	*7.4%*	*8.3%*	*9.3%*	*10.1%*	
Implied Annual Kilometers (MMs)	**1.84**	**1.04**	**1.18**	**1.50**	**1.71**	**1.77**	**1.79**	**1.78**	**1.78**	**1.77**	**1.77**	**1.77**	**0.1%**
Y-o-Y % Change	*1.0%*	*-43.6%*	*14.0%*	*27.4%*	*13.5%*	*4.0%*	*0.8%*	*-0.5%*	*0.0%*	*-0.3%*	*-0.3%*	*0.0%*	
% Change vs. 2019		*-43.6%*	*-35.7%*	*-18.1%*	*-7.0%*	*-3.3%*	*-2.6%*	*-3.1%*	*-3.1%*	*-3.3%*	*-3.6%*	*-3.6%*	
NB + RJ Aircraft per BB Domestic RPKs	**4.33**	**9.60**	**7.50**	**5.48**	**4.62**	**4.29**	**4.21**	**4.13**	**4.09**	**4.07**	**4.05**	**4.03**	**-1.5%**
Y-o-Y % Change	*-2.5%*	*121.5%*	*-21.9%*	*-26.9%*	*-15.6%*	*-7.3%*	*-1.8%*	*-2.0%*	*-0.8%*	*-0.6%*	*-0.6%*	*-0.5%*	
% Change vs. 2019		*121.5%*	*73.1%*	*26.4%*	*6.7%*	*-1.1%*	*-2.8%*	*-4.7%*	*-5.5%*	*-6.1%*	*-6.6%*	*-7.1%*	
Narrowbody + Regional Fleet Change													
Implied Annual Deliveries	**917**	**591**	**841**	**1,029**	**1,109**	**1,048**	**1,280**	**1,163**	**1,508**	**1,642**	**1,720**	**1,735**	**1,317**
Deliveries as a % of the Fleet	*4.5%*	*2.8%*	*4.0%*	*4.8%*	*5.0%*	*4.6%*	*5.5%*	*4.9%*	*6.2%*	*6.5%*	*6.6%*	*6.4%*	*5.5%*
Annual Retirements	**497**	**483**	**369**	**477**	**629**	**468**	**530**	**650**	**737**	**784**	**840**	**872**	**639**
Retirements as a % of the Fleet	*2.4%*	*2.3%*	*1.8%*	*2.2%*	*2.8%*	*2.1%*	*2.3%*	*2.7%*	*3.0%*	*3.1%*	*3.2%*	*3.2%*	*2.7%*
Net Change in Fleet	**420**	**108**	**472**	**552**	**480**	**580**	**750**	**513**	**771**	**858**	**880**	**863**	**678**
Y-o-Y % Fleet Change	*2.0%*	*0.5%*	*2.2%*	*2.6%*	*2.2%*	*2.6%*	*3.2%*	*2.1%*	*3.2%*	*3.4%*	*3.4%*	*3.2%*	*2.8%*
JEFe NB + RJ Deliveries	**917**	**591**	**841**	**1,029**	**1,109**	**1,048**	**1,280**	**1,310**	**1,493**	**1,627**	**1,719**	**1,756**	**1,361**
Aircraft (Deficit)/Surplus								*147*	*(15)*	*(15)*	*(1)*	*21*	*66*
Cumulative Aircraft (Deficit)/Surplus								*147*	*132*	*117*	*116*	*136*	

- Our Base Case narrowbody + regional jet forecasts support demand for 1,163 deliveries in 2026 (97/mo) and 1,508 in 2027 (126/mo), which compares to the 2018 peak of 1,330 deliveries (111/mo). We assume:
  1. NB + RJ RPKs and ASKs increase at at 4.2%/2.5% in 2026 and 4.0%/4.0% in 2027.
  2. NB + RJ seats/trip increases to 161 seats in 2027, up 1% vs 159 seats in 2025, with NB + RJ avg stage flattish at 1.8MM annual km.
- Retirements average 650 in 2026 at 2.7% of the fleet and 737 at 3.0% of the fleet in 2027, compared to 2.2% in 2018-2019.
- JEFe supply of 1,310 NB + RJ aircraft (109/mo) and 1,439 aircraft (124/mo). This suggests ~147 aircraft oversupply in 2026, but near equilibrium in 2027

Source: Company data, Cirium® and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

Total Narrowbody & Regional Passenger Deliveries Sensitivities

Narrowbody & Regional Jet Sensitivity to Air Traffic, Retirements, Gauge, and Stage

2027 % Retirements \ 2027 Domestic RPKs Y-o-Y % Change	1,508	2.0%	3.0%	4.0%	5.0%	6.0%
1.5%	658	900	1,142	1,384	1,627	
2.0%	780	1,022	1,264	1,506	1,749	
2.5%	902	1,144	1,386	1,629	1,871	
3.0%	1,024	1,266	**1,508**	1,751	1,993	
3.5%	1,146	1,388	1,630	1,873	2,115	
4.0%	1,268	1,510	1,753	1,995	2,237	
4.5%	1,390	1,632	1,875	2,117	2,359	

2027 KMs / Aircraft \ 2027 Seats per NB + RJ vs. 2019	1,508	5.4%	6.4%	7.4%	8.4%	9.4%
-4.6%	2,390	2,145	1,904	1,669	1,437	
-4.1%	2,254	2,010	1,771	1,536	1,306	
-3.6%	2,119	1,877	1,639	1,406	1,176	
-3.1%	1,986	1,745	**1,508**	1,276	1,048	
-2.6%	1,854	1,615	1,379	1,148	921	
-2.1%	1,724	1,485	1,251	1,021	795	
-1.6%	1,595	1,357	1,124	896	671	

- Each 1pt change in 2027 domestic RPKs y-o-y from our base case of 4.0% y-o-y equates to 242 annual deliveries, or 20/mo build rate
- Each 1pt change in the 2026-2027 average NB + RJ retirement rate from our base case of 3.0% equates to 244 annual deliveries, or 20/mo build rate
- Each 1pt change (or 1.5 seats) in 2027 seats per NB + RJ vs 2019 from our base case of 7.4% above 2019 at 161 seats equates to 232 deliveries, or 19/mo build rate
- Each 1pt change (or 0.02MM kilometers) in 2027 KMs per NB + RJ vs 2019 from our base case of 3% below 2019 at 1.8MM KMs equates to 257 deliveries, or 21/mo build rate

Source: Company data, Cirium® and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

Total Widebody Passenger Deliveries in Deficit Through the Decade

Long-Haul Capable Market Remains in Structural Undersupply This Decade Despite Near-Term Headwinds from the Closure of Middle East Airspace

Passenger Widebody Sensitivity	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E	'25-'27 Average
Widebody Installed Base	**5,049**	**4,920**	**4,871**	**4,953**	**4,960**	**4,957**	**5,027**	**5,147**	**5,470**	**5,810**	**6,159**	**6,480**	**3.3%**
Y-o-Y % Change	*4.0%*	*-2.6%*	*-1.0%*	*1.7%*	*0.1%*	*-0.1%*	*1.4%*	*2.4%*	*6.3%*	*6.2%*	*6.0%*	*5.2%*	
CAGR off 2019 Base		*-2.6%*	*-1.8%*	*-0.6%*	*-0.4%*	*-0.4%*	*-0.1%*	*0.3%*	*1.0%*	*1.6%*	*2.0%*	*2.3%*	
Implied WB RPKs (BBs)	**3,753**	**1,086**	**985**	**2,209**	**3,225**	**3,615**	**3,794**	**3,849**	**4,127**	**4,394**	**4,661**	**4,927**	**4.5%**
Y-o-Y % Change	*4.7%*	*-71.1%*	*-9.2%*	*124.2%*	*46.0%*	*12.1%*	*5.0%*	*1.4%*	*7.2%*	*6.5%*	*6.1%*	*5.7%*	
CAGR off 2019 Base		*-71.1%*	*-48.8%*	*-16.2%*	*-3.7%*	*-0.7%*	*0.2%*	*0.4%*	*1.2%*	*1.8%*	*2.2%*	*2.5%*	
WB ASKs (BBs)	**4,577**	**1,729**	**1,699**	**2,815**	**3,895**	**4,340**	**4,544**	**4,560**	**4,891**	**5,221**	**5,543**	**5,850**	**4.1%**
Y-o-Y % Change	*3.7%*	*-62.2%*	*-1.7%*	*65.7%*	*38.4%*	*11.4%*	*4.7%*	*0.4%*	*7.3%*	*6.8%*	*6.2%*	*5.5%*	
CAGR off 2019 Base		*-62.2%*	*-39.1%*	*-15.0%*	*-4.0%*	*-1.1%*	*-0.1%*	*-0.1%*	*0.8%*	*1.5%*	*1.9%*	*2.3%*	
% International Load Factor	**82.0%**	**62.8%**	**58.0%**	**78.5%**	**82.8%**	**83.3%**	**83.5%**	**84.4%**	**84.4%**	**84.1%**	**84.1%**	**84.2%**	**84.4%**
Y-o-Y % Pt Change	*0.8%*	*-19.2%*	*-4.8%*	*20.5%*	*4.3%*	*0.5%*	*0.2%*	*0.9%*	*0.0%*	*-0.2%*	*-0.1%*	*0.1%*	
Average Seats per WB	**306.2**	**306.4**	**307.8**	**308.2**	**308.6**	**308.5**	**307.8**	**304.8**	**301.5**	**298.6**	**296.0**	**294.0**	**-0.8%**
Y-o-Y % Change	*0.4%*	*0.1%*	*0.5%*	*0.1%*	*0.1%*	*0.0%*	*-0.2%*	*-1.0%*	*-1.1%*	*-1.0%*	*-0.8%*	*-0.7%*	
% Change vs. 2019		*0.1%*	*0.5%*	*0.7%*	*0.8%*	*0.8%*	*0.5%*	*-0.5%*	*-1.5%*	*-2.5%*	*-3.3%*	*-4.0%*	
Implied Annual Kilometers (MMs)	**2.96**	**1.15**	**1.13**	**1.84**	**2.54**	**2.84**	**2.94**	**2.91**	**2.97**	**3.01**	**3.04**	**3.07**	**1.5%**
Y-o-Y % Change	*-0.6%*	*-61.3%*	*-1.2%*	*62.7%*	*38.0%*	*11.5%*	*3.5%*	*-1.0%*	*2.0%*	*1.5%*	*1.0%*	*1.0%*	
% Change vs. 2019		*-61.3%*	*-61.7%*	*-37.7%*	*-14.1%*	*-4.2%*	*-0.8%*	*-1.8%*	*0.2%*	*1.7%*	*2.7%*	*3.7%*	
WB Aircraft per BB Int'l RPKs	**1.35**	**4.53**	**4.94**	**2.24**	**1.54**	**1.37**	**1.32**	**1.34**	**1.33**	**1.32**	**1.32**	**1.32**	**-1.1%**
Y-o-Y % Change	*-0.7%*	*236.9%*	*9.1%*	*-54.6%*	*-31.4%*	*-10.9%*	*-3.4%*	*0.9%*	*-0.9%*	*-0.2%*	*-0.1%*	*-0.5%*	
% Change vs. 2019		*236.9%*	*267.5%*	*66.7%*	*14.3%*	*1.9%*	*-1.5%*	*-0.6%*	*-1.5%*	*-1.7%*	*-1.8%*	*-2.2%*	
Widebody Fleet Change													
Implied Annual Deliveries	**343**	**132**	**92**	**123**	**166**	**142**	**212**	**284**	**477**	**497**	**518**	**503**	**324**
Deliveries as a % of the Fleet	*7.1%*	*2.6%*	*1.9%*	*2.5%*	*3.4%*	*2.9%*	*4.3%*	*5.6%*	*9.3%*	*9.1%*	*8.9%*	*8.2%*	*6.4%*
Annual Retirements	**149**	**261**	**141**	**41**	**159**	**193**	**142**	**164**	**153**	**157**	**169**	**183**	**153**
Retirements as a % of the Fleet	*3.1%*	*5.2%*	*2.9%*	*0.8%*	*3.2%*	*3.9%*	*2.9%*	*3.3%*	*3.0%*	*2.9%*	*2.9%*	*3.0%*	*3.0%*
Net Change in Fleet	**194**	**(129)**	**(49)**	**82**	**7**	**(3)**	**70**	**120**	**324**	**340**	**349**	**320**	**171**
Y-o-Y % Fleet Change	*4.0%*	*-2.6%*	*-1.0%*	*1.7%*	*0.1%*	*-0.1%*	*1.4%*	*2.4%*	*6.3%*	*6.2%*	*6.0%*	*5.2%*	*3.4%*
JEFe Widebody Deliveries	**343**	**132**	**92**	**123**	**166**	**142**	**212**	**296**	**360**	**410**	**452**	**500**	**289**
Aircraft (Deficit)/Surplus								*12*	*(117)*	*(87)*	*(66)*	*(3)*	*(52)*
Cumulative Aircraft (Deficit)/Surplus								*12*	*(104)*	*(191)*	*(257)*	*(261)*	

- Our Base Case widebody forecasts support demand for 284 deliveries in 2026 (24/mo) and 477 in 2027 (40/mo), which compares to the 2017-2019 average of 340 deliveries (28/mo). We assume:
  1. WB RPKs and ASKs increase at 1.4%/0.4% in 2026 and 7.2%/7.3% in 2027.
  2. WB seats/trip decrease at -1% CAGR to 302 in 2027, with WB avg stage at a 2.97MM annual kilometers.
- Retirements of 164 in 2026 and 153 in 2027 or 3.3%/3.0% of the fleet compared to 3.0% in 2018-2019.
- This compares to JEF estimated production of 296 (25/mo) and 360 (30/mo).
- The aircraft deficit is nearly 120 aircraft (10/mo) in 2027, and continues to grow to a cumulative deficit of over 250 aircraft by the end of the decade.

Source: Company data, Cirium® and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

Total Widebody Passenger Deliveries Sensitivities

Widebody Sensitivity to Air Traffic, Retirements, Gauge, and Stage

2027 % Retirements	2027 International RPKs Y-o-Y % Change					
	477	5.2%	6.2%	7.2%	8.2%	9.2%
	1.5%	298	349	400	451	502
	2.0%	323	374	426	477	528
	2.5%	349	400	451	502	553
	3.0%	375	426	**477**	528	579
	3.5%	401	452	503	554	605
	4.0%	426	477	528	579	630
	4.5%	452	503	554	605	656

2027 KMs / Aircraft	2027 Seats per WB vs. 2019					
	477	-3.5%	-2.5%	-1.5%	-0.5%	0.5%
	-1.3%	675	617	560	504	450
	-0.8%	647	589	532	477	422
	-0.3%	618	561	504	449	395
	0.2%	590	533	**477**	422	368
	0.7%	563	506	450	395	341
	1.2%	535	478	423	368	315
	1.7%	508	452	396	342	289

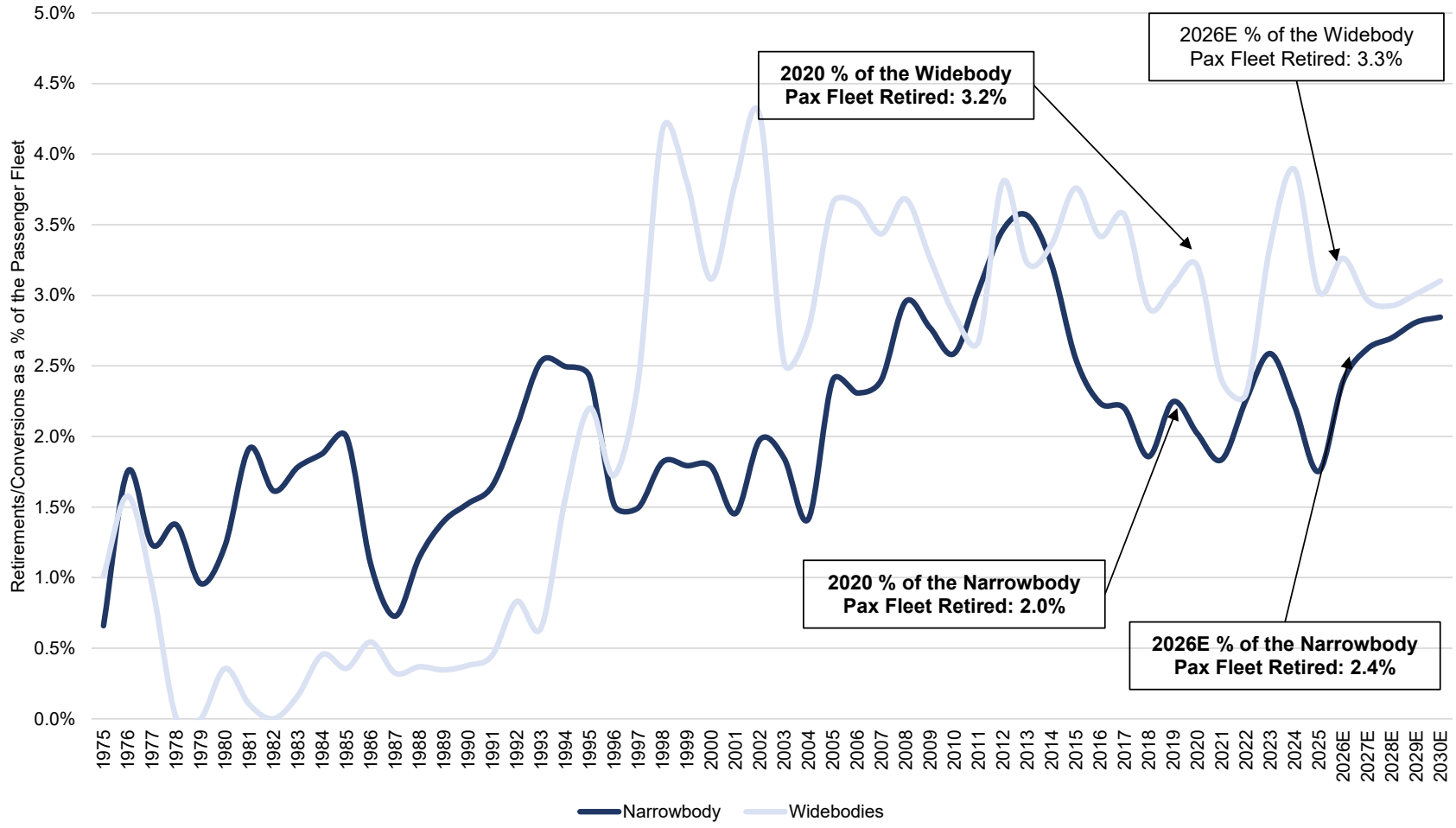
- Each 1pt change in 2027 international RPKs y-o-y from our base case of up 7.2% y-o-y equates to 51 annual deliveries, or 4.3/mo build rate
- Each 1pt change in the 2027 average WB retirement rate from our base case of 3.0% equates to 51 annual deliveries, or 4.3/mo build rate
- Each 1pt change (or 3 seats) in 2027 seats per WB vs 2019 from our base case of 1.5% below 2019 at 302 seats equates to 55 annual deliveries, or 4.6/mo build rate
- Each 1pt change (or 0.03MM kilometers) in 2027 KMs per WB vs 2019 from our base case of 0.2% above 2019 at 2.94MM KMs equates to 54 annual deliveries, or 4.5/mo build rate

Source: Company data, Cirium® and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

Commercial Aircraft Retirements 1975-2030E

Retirements/Conversions of the Passenger Fleet – Historical Average Range of 2.5-3.5% of the Fleet per Year

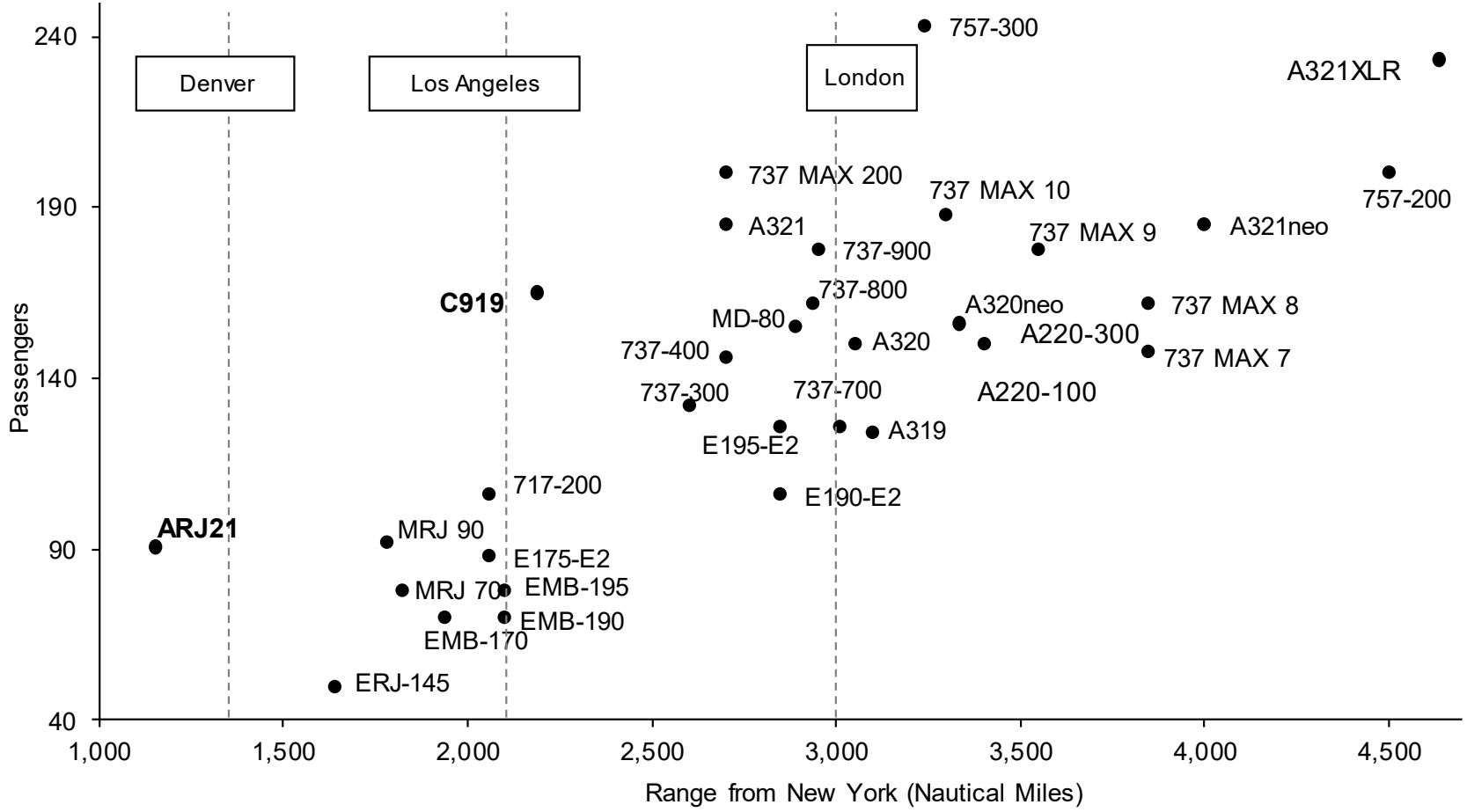


Source: Company data, Cirium® and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

Narrowbody Product Comparison: Seat Capacity vs Range

A321XLR Pushing the Boundaries of Narrowbody, Enabling Long-Haul Skinny Routes, But Only 500+ On Order

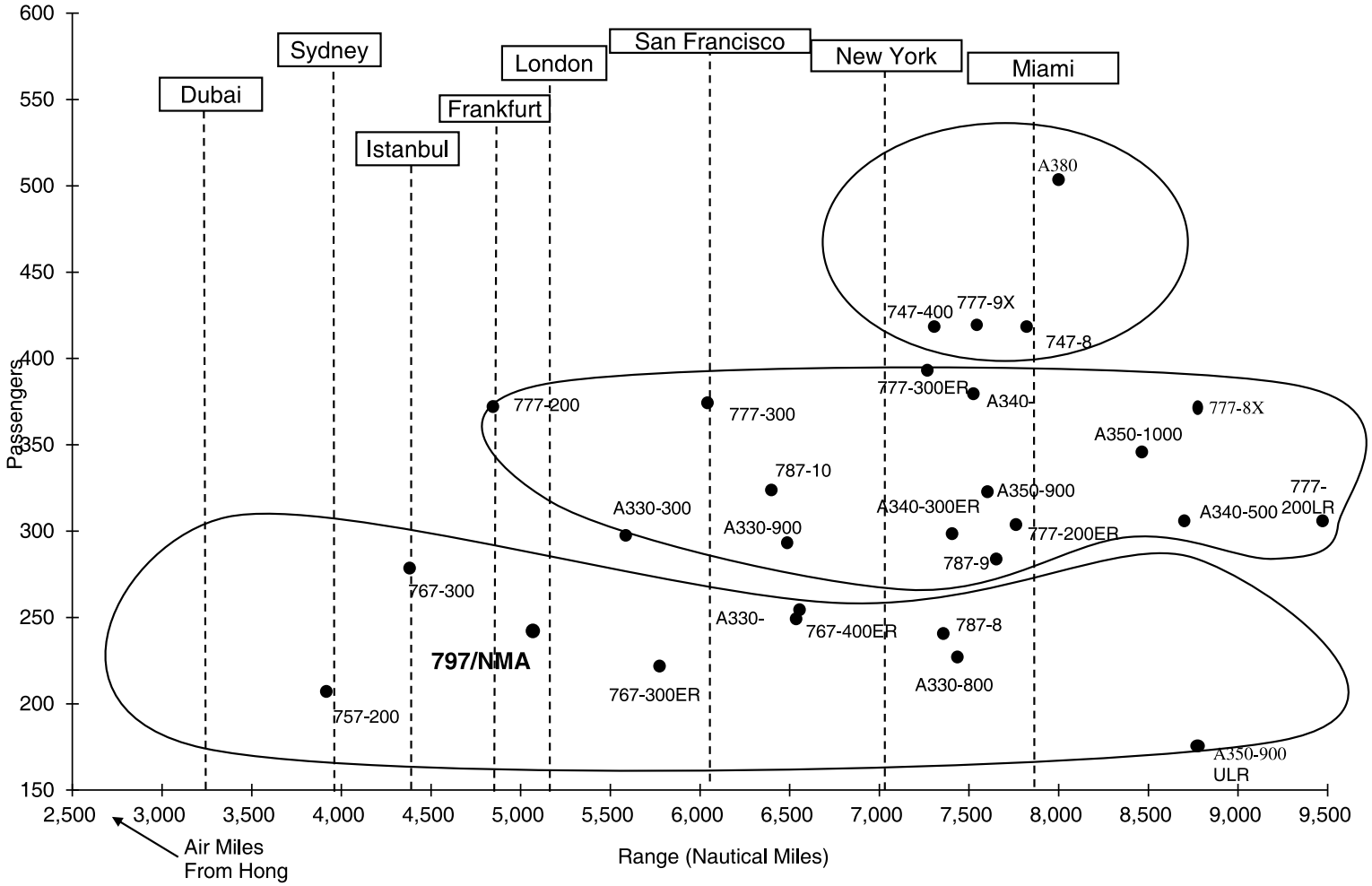


Source: Company data, Cirium® and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

Widebody Product Comparison: Seat Capacity vs Range

Widebody Characteristics with More Variability in Optimal Seat Capacity and Necessary Range

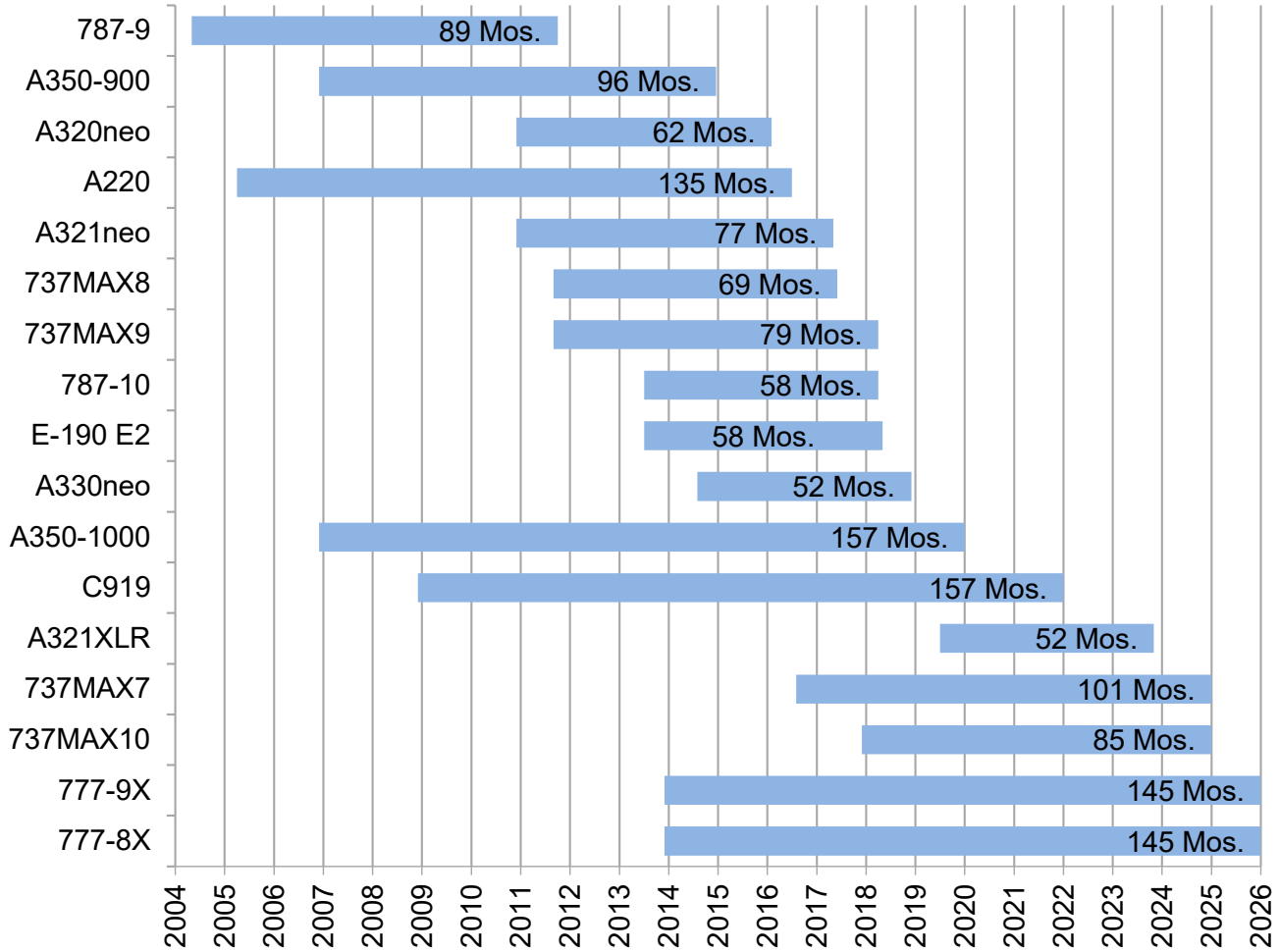


Source: Company data, Cirium® and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

New Aircraft Development Timelines

Aircraft Development Timelines Approaching 10+ Years Compared to Average of ~50 Months A Decade Ago



Source: Company data, Cirium® and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

Supplier Exposure by Aircraft Platform

BA and HWM Most Exposed to 737, with HXL, HWM, and RTX Most Exposed to A320

737	Content ($MM)	% of '25 Rev
BA	$52.0	26.4%
HWM	$1.7	8.1%
GE	$5.7	5.3%
HXL	$0.3	5.5%
WWD	$0.4	3.0%
RTX Aero	$2.5	1.2%
TDG	$0.4	1.1%
HON Aero	$0.6	1.3%

777	Content ($MM)	% of '25 Rev
BA	$192.0	7.7%
HXL	$1.5	2.4%
GE Aero	$26.0	1.7%
HWM	$2.2	0.9%
TDG	$1.8	0.6%
HON Aero	$3.0	0.5%
RTX Aero	$5.0	0.2%

787	Content ($MM)	% of '25 Rev
BA	$149.0	13.6%
HXL	$1.4	5.0%
HWM	$5.2	4.4%
GE	$25.1	4.0%
RTX Aero	$10.0	1.1%
TDG	$1.3	1.1%
HON Aero	$2.0	0.8%
WWD	$0.2	0.3%

Airbus

A320	Content ($MM)	% of '25 Rev
HXL	$0.5	15.8%
HWM	$1.7	13.6%
RTX Aero	$15.5	14.8%
WWD	$0.3	4.2%
GE	$5.7	4.1%
TDG	$0.4	2.6%
HON Aero	$0.5	1.8%

A330	Content ($MM)	% of '25 Rev
RR	$14.0	6.4%
HXL	$1.1	2.0%
HWM	$2.5	1.0%
TDG	$0.8	0.3%
RTX Aero	$3.5	0.2%
HON Aero	$0.7	0.1%

A350	Content ($MM)	% of '25 Rev
HXL	$4.8	14.5%
RR	$14.0	13.1%
HWM	$4.8	3.3%
RTX Aero	$6.5	0.6%
HON Aero	$1.5	0.5%
TDG	$0.5	0.3%
WWD	$0.1	0.1%

Source: Company data, Cirium® and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

Narrowbody Engine Market Share

CFM's LEAP Maintains 68% of Fleet & Order Book to Pratt & Whitney's GTF with 20% and 12% Undecided

	Customers	737 MAX LEAP	A320neo LEAP	A320neo GTF	A320neo TBD	A320neo Total	Total LEAP	Total GTF	Total TBD	Grand Total
1	IndiGo	-	604	101	500	1,205	604	101	500	1,205
2	Unannounced commercial customer	507	5	-	505	510	512	-	505	1,017
3	United Airlines	514	20	230	2	252	534	230	2	766
4	American Airlines	215	230	-	-	230	445	-	-	445
5	Southwest Airlines	764	-	-	-	-	764	-	-	764
6	Air India	140	405	-	-	405	545	-	-	545
7	Delta Air Lines	100	-	155	-	155	100	155	-	255
8	EasyJet	-	349	-	-	349	349	-	-	349
9	AirAsia	-	394	-	-	394	394	-	-	394
10	China Southern Airlines	63	195	24	-	219	258	24	-	282
11	China Eastern Airlines	7	206	-	-	206	213	-	-	213
12	Turkish Airlines	58	-	125	150	275	58	125	150	333
13	VietJet Air	130	-	130	102	232	130	130	102	362
14	Lion Air	233	177	-	-	177	410	-	-	410
15	Wizz Air	-	-	313	-	313	-	313	-	313
16	Frontier Airlines	-	82	238	-	320	82	238	-	320
17	Avolon	86	164	51	42	257	250	51	42	343
18	Air China	38	91	53	-	144	129	53	-	182
19	Ryanair	295	-	-	-	-	295	-	-	295
20	JetBlue	-	-	85	-	85	-	85	-	85
21	Pegasus	100	155	-	-	155	255	-	-	255
22	Volaris	-	-	173	39	212	-	173	39	212
23	BOC Aviation	105	-	-	130	130	105	-	130	235
24	Akasa Air	226	-	-	-	-	226	-	-	226
25	Flynas	-	204	-	-	204	204	-	-	204
26	Sichuan Airlines	-	-	72	2	74	-	72	2	74
27	Vueling	49	-	26	-	26	49	26	-	75
28	Flydubai	186	-	-	-	-	186	-	-	186
29	Avianca	-	113	-	-	113	113	-	-	113
	Subtotal	**3,816**	**3,394**	**1,776**	**1,472**	**6,642**	**7,210**	**1,776**	**1,472**	**10,458**
	Other Carriers	2,993	2,211	1,846	682	4,739	5,204	1,846	682	7,732
	Total	**6,809**	**5,605**	**3,622**	**2,154**	**11,381**	**12,414**	**3,622**	**2,154**	**18,190**
	A320 Share		*49%*	*32%*	*19%*	*100%*				
	Market Share	**37%**	**31%**	**20%**	**12%**	**63%**	**68%**	**20%**	**12%**	**100%**

Source: Company data, Cirium® and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

Widebody Engine Market Share

GE's GEnx Holds 70% Share of the 787 Fleet & Order Book to Rolls-Royce Trent 1000's 21% and 9% Undecided

		767			777			787				A330	A350	Grand
	Customers	CF6	PW4000	Total	GE90	GE9X	Total	GEnx	Trent	TBD	Total	Trent	Trent	Total
1	Qatar Airways	-	-	-	94	124	218	192	-	-	192	6	76	492
2	Emirates	-	-	-	155	205	360	30	-	-	30	-	65	455
3	United Airlines	16	37	53	44	-	44	171	-	50	221	-	45	363
4	Turkish Airlines	-	-	-	46	-	46	83	-	-	83	29	110	268
5	FedEx	151	-	151	67	-	67	-	-	-	-	-	-	218
6	Cathay Pacific	-	-	-	35	35	70	-	-	-	-	73	54	197
7	Delta Air Lines	35	26	61	-	-	-	60	-	-	60	39	64	224
8	British Airways	-	-	-	40	24	64	38	42	-	80	-	24	168
9	Unannounced commercial customer	8	-	8	7	12	19	47	-	56	103	18	32	180
10	Korean Air	-	-	-	37	20	57	41	-	20	61	-	33	151
11	American Airlines	-	-	-	20	-	20	90	-	-	90	7	-	117
12	ANA	21	-	21	15	18	33	13	81	-	94	-	-	148
13	Singapore Airlines	-	-	-	30	30	60	-	31	-	31	-	72	163
14	Saudia	-	-	-	51	-	51	60	-	-	60	33	-	144
15	JAL	27	-	27	10	-	10	52	-	3	55	-	51	143
16	Etihad Airways	-	-	-	14	25	39	71	-	-	71	2	27	139
17	Air India	-	-	-	26	10	36	52	-	-	52	-	50	138
18	Air France	-	-	-	63	-	63	10	-	-	10	-	46	119
19	Lufthansa	-	-	-	-	19	19	5	22	7	34	7	65	125
20	Thai Airways International	-	-	-	17	-	17	53	8	-	61	6	23	107
21	Air China	-	-	-	28	-	28	-	14	-	14	45	30	117
22	Ethiopian Airlines	2	2	4	23	8	31	30	10	-	40	-	37	112
23	Air Canada	8	-	8	25	-	25	58	-	-	58	20	-	111
24	UPS	109	-	109	-	-	-	-	-	-	-	-	-	109
25	EVA Air	-	-	-	42	-	42	30	-	-	30	-	24	96
26	China Southern Airlines	-	-	-	22	-	22	31	-	-	31	9	20	82
27	China Eastern Airlines	-	-	-	20	-	20	2	-	-	2	55	20	97
28	China Airlines	-	-	-	20	14	34	24	-	-	24	-	25	83
29	Qantas	-	-	-	-	-	-	26	-	-	26	-	24	50
30	Hainan Airlines	-	-	-	-	-	-	38	-	-	38	33	-	71
	Subtotal	**377**	**65**	**442**	**951**	**544**	**1,495**	**1,307**	**208**	**136**	**1,651**	**382**	**1,017**	**4,987**
	Other Carriers	321	79	400	407	24	431	311	243	75	629	843	429	2,732
	Total	**698**	**144**	**842**	**1,358**	**568**	**1,926**	**1,618**	**451**	**211**	**2,280**	**1,225**	**1,446**	**7,719**
	Market Share	**9%**	**2%**	**11%**	**18%**	**7%**	**25%**	**21%**	**6%**	**3%**	**30%**	**16%**	**19%**	**100%**
	Share of Decided 787s							*78%*	*22%*					

Source: Company data, Cirium® and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

What's Up in the Skies: Airline Schedule Data

Weekly Flights by Region - Flights +1% Y-o-Y Led by Central America and South America, Now Flat vs 2019 Levels

Weekly Flights by Region									
Region	7/27/2019	7/27/2025	6/28/2026	7/19/2026	7/26/2026	W-o-W % Change	M-o-M % Change	Y-o-Y % Change	vs. 2019 Change
Asia	237,403	245,122	228,079	246,988	246,963	0%	8%	1%	4%
North America	232,286	222,189	218,878	221,549	221,337	0%	1%	0%	-5%
Europe	190,671	188,439	188,772	193,581	193,657	0%	3%	3%	2%
South America	36,325	35,454	35,676	37,449	37,445	0%	5%	6%	3%
Middle East	25,418	27,928	22,567	25,541	25,842	1%	15%	-7%	2%
Africa	25,633	27,115	26,563	28,008	28,216	1%	6%	4%	10%
Australasia	21,773	19,999	19,164	19,406	19,218	-1%	0%	-4%	-12%
Caribbean	7,965	7,420	6,974	7,515	7,553	1%	8%	2%	-5%
Central America	6,704	5,573	5,829	5,947	5,938	0%	2%	7%	-11%
Total	**784,178**	**779,239**	**752,502**	**785,984**	**786,169**	**0%**	**4%**	**1%**	**0%**

% of Total Flights By Region					
Region	7/27/2019	7/27/2025	6/28/2026	7/19/2026	7/26/2026
Asia	30%	31%	30%	31%	31%
North America	30%	29%	29%	28%	28%
Europe	24%	24%	25%	25%	25%
South America	5%	5%	5%	5%	5%
Middle East	3%	4%	3%	3%	3%
Africa	3%	3%	4%	4%	4%
Australasia	3%	3%	3%	2%	2%
Caribbean	1%	1%	1%	1%	1%
Central America	1%	1%	1%	1%	1%
Total	**100%**	**100%**	**100%**	**100%**	**100%**

Source: Company data, Cirium® and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

What's Up in the Clouds: Airline & OTA Web Traffic Data

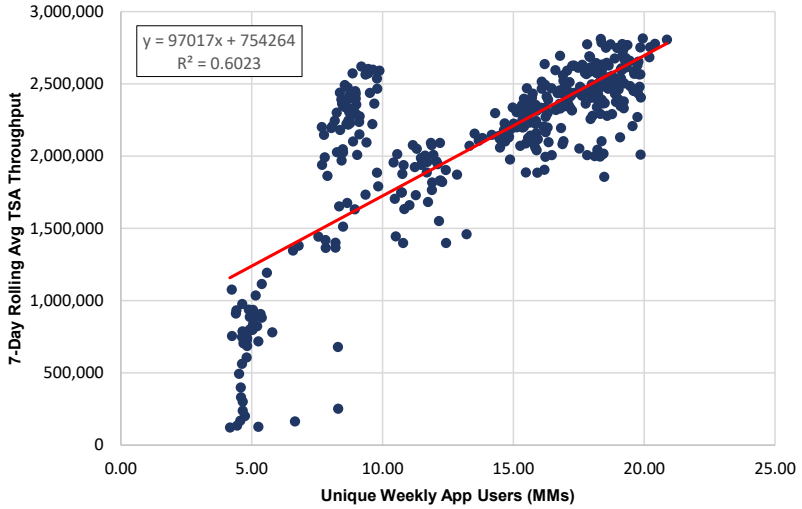
Web Traffic BY AIRLINE LOCATION: +10% Y-o-Y and +7% on a T3M Y-o-Y Basis

	Airline Website Traffic Change				
Asia	**W-o-W**	**2-Week**	**M-o-M**	**T3M-o-T3M**	**Y-o-Y**
Asia Total	**-4%**	**-1%**	**0%**	**10%**	**9%**
Australia	5%	12%	7%	2%	1%
China	-3%	-4%	14%	15%	31%
Hong Kong	14%	9%	15%	4%	11%
India	-6%	-7%	-16%	24%	14%
Japan	-12%	-8%	-8%	16%	12%
Singapore	-3%	1%	6%	-2%	-6%
South Korea	-3%	-3%	-6%	-5%	-1%
Taiwan	0%	-11%	20%	10%	25%
Thailand	0%	1%	16%	-4%	5%
Vietnam	-8%	-7%	-8%	3%	-7%
Europe	**W-o-W**	**2-Week**	**M-o-M**	**T3M-o-T3M**	**Y-o-Y**
Europe Total	**2%**	**3%**	**6%**	**-2%**	**-2%**
France	-4%	-10%	-10%	-43%	-39%
Germany	2%	1%	11%	3%	0%
Italy	-2%	10%	1%	-6%	-5%
Netherlands	2%	12%	29%	-3%	-1%
Russia	1%	2%	7%	-75%	-75%
Spain	2%	-1%	-2%	3%	3%
Switzerland	2%	2%	7%	-4%	-4%
United Kingdom	3%	7%	8%	-3%	-4%
Middle East	**W-o-W**	**2-Week**	**M-o-M**	**T3M-o-T3M**	**Y-o-Y**
Middle East Total	**4%**	**2%**	**10%**	**4%**	**-1%**
Qatar	6%	-5%	-2%	-5%	-8%
Turkey	10%	14%	20%	1%	12%
UAE	4%	0%	6%	7%	-6%
Saudi Arabia	-5%	-4%	18%	14%	1%
Americas	**W-o-W**	**2-Week**	**M-o-M**	**T3M-o-T3M**	**Y-o-Y**
North America Total	**4%**	**5%**	**10%**	**7%**	**15%**
Canada	9%	4%	11%	4%	26%
United States	4%	5%	10%	7%	15%
Latin America Total	**7%**	**-2%**	**-3%**	**3%**	**11%**
Mexico	1%	2%	0%	0%	24%
Brazil	11%	-7%	-10%	4%	9%
Total	**W-o-W**	**2-Week**	**M-o-M**	**T3M-o-T3M**	**Y-o-Y**
Global Total	**2%**	**2%**	**6%**	**7%**	**10%**

Web Traffic BY CUSTOMER LOCATION: +13% Y-o-Y Globally, +12% T3M Y-o-Y

	Web Traffic Change				
Location of Customer	**W-o-W**	**2-Week**	**M-o-M**	**T3M-o-T3M**	**Y-o-Y**
US	**4%**	**6%**	**5%**	**13%**	**14%**
Global Total	**4%**	**6%**	**8%**	**12%**	**9%**

3 Week Lagging App Traffic 0.78 Correlated With TSA Throughput



- From July 17 to July 23, global airline and OTA web traffic by customer was +13% y-o-y (US traffic +17% y-o-y), while global traffic by airline location was +10% y-o-y (US +15% y-o-y).

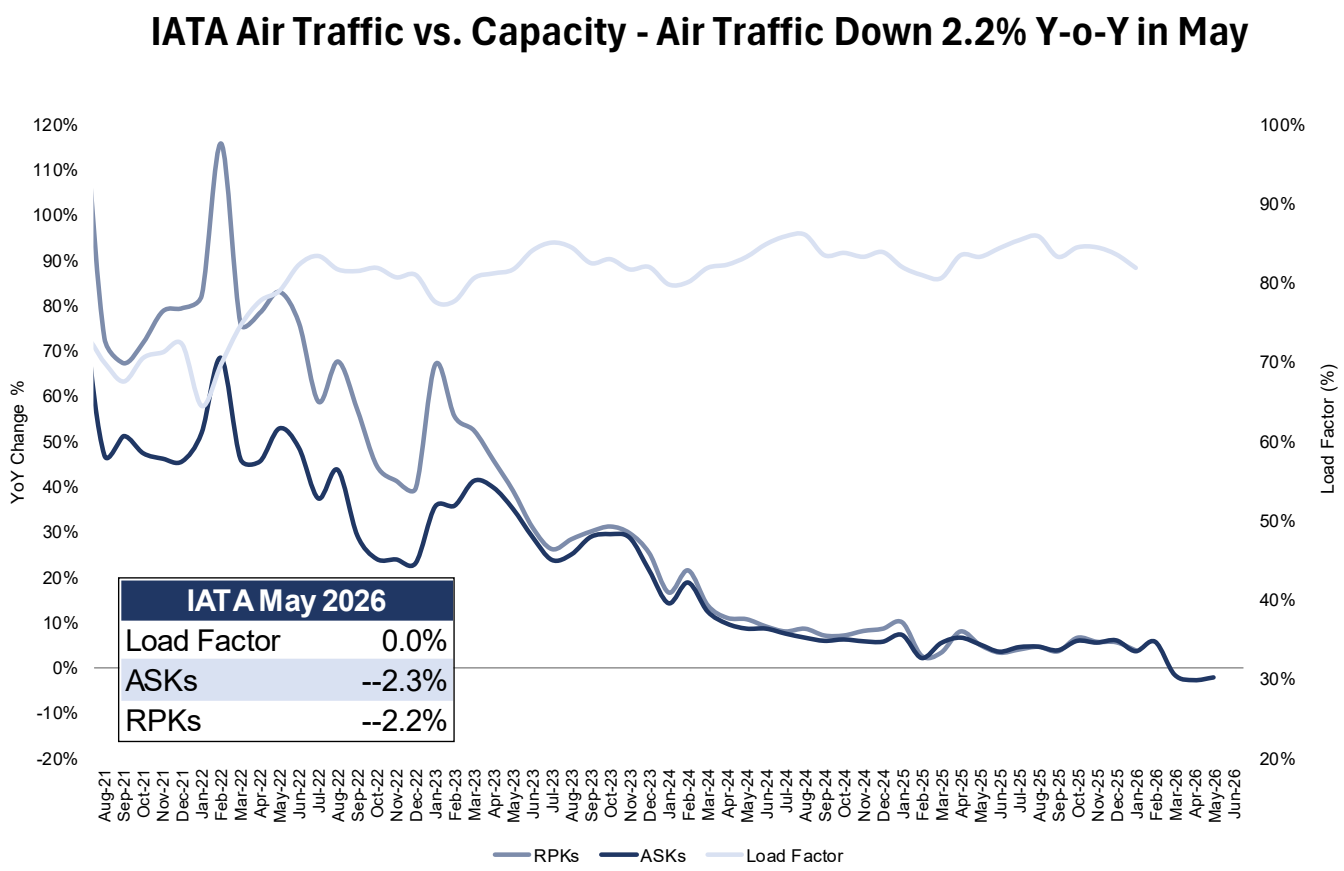
Source: Company data, Cirium® and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

Commercial Aftermarket

Sheila Kahyaoglu, Equity Analyst, 212.336.7216, sheila.kahyaoglu@jefferies.com

IATA Monthly Passenger Air Traffic



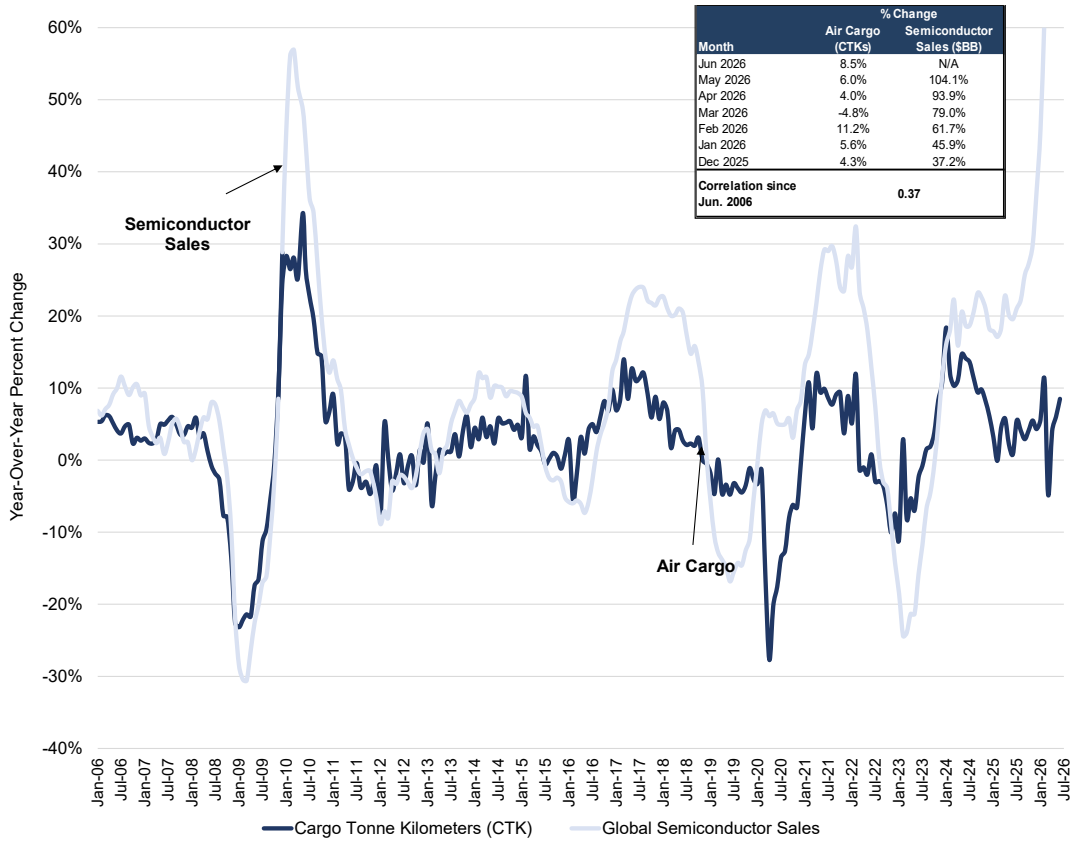
- Year-over-year passenger air traffic growth has normalized to its typical levels of L-MSD, with the latest reading in May showing global RPKs -2.2% y-o-y on ASKs -2.3% y-o-y. Domestic RPKs were flat y-o-y compared to International RPKs -5.3% y-o-y.

Source: IATA and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

IATA Monthly Cargo Air Traffic

YoY % Change in Global Air Cargo (RTK) vs. YoY % Change in Global Semiconductor Sales



Month	% Change Air Cargo (CTKs)	% Change Semiconductor Sales ($BB)
Jun 2026	8.5%	N/A
May 2026	6.0%	104.1%
Apr 2026	4.0%	93.9%
Mar 2026	-4.8%	79.0%
Feb 2026	11.2%	61.7%
Jan 2026	5.6%	45.9%
Dec 2025	4.3%	37.2%
Correlation since Jun. 2006	0.37	

- Year-over-year cargo air traffic is driven by prevailing macro conditions, with the latest reading in June 2026 showing global CTKs +8.5% y-o-y.

Source: IATA and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

Jefferies Air Traffic Forecast: Domestic vs International

Normalized Domestic RPK Growth of 4.2% in 2026 with International RPKs Expected to Up 1.4%

Domestic vs. International Air Traffic

RPKs (BBs)

	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
Domestic	3,118	1,596	2,238	2,481	3,236	3,420	3,502	3,649	3,795	3,947	4,105	4,259
International	5,470	1,344	1,349	3,409	4,841	5,499	5,894	5,979	6,410	6,825	7,239	7,652
Total RPKs	**8,588**	**2,940**	**3,583**	**5,888**	**8,077**	**8,920**	**9,396**	**9,628**	**10,206**	**10,772**	**11,344**	**11,911**

RPK Growth

	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
Domestic	4.5%	-48.8%	40.2%	10.9%	30.4%	5.7%	2.4%	4.2%	4.0%	4.0%	4.0%	3.8%
International	4.1%	-75.6%	0.4%	152.7%	41.6%	13.6%	7.1%	1.4%	7.2%	6.5%	6.1%	5.7%
Total Change	**4.2%**	**-65.8%**	**21.9%**	**64.3%**	**36.9%**	**10.4%**	**5.3%**	**2.5%**	**6.0%**	**5.5%**	**5.3%**	**5.0%**

Total RPKs as Percentage of 2019

	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
Domestic		51%	72%	80%	104%	110%	112%	117%	122%	127%	132%	137%
International		25%	25%	62%	88%	101%	108%	109%	117%	125%	132%	140%
Total Change		**34%**	**42%**	**69%**	**94%**	**104%**	**109%**	**112%**	**119%**	**125%**	**132%**	**139%**

RPK Composition

	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
Domestic	36%	54%	62%	42%	40%	38%	37%	38%	37%	37%	36%	36%
International	64%	46%	38%	58%	60%	62%	63%	62%	63%	63%	64%	64%
Total Change	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**

ASKs (BBs)

	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
Domestic	3,728	2,397	3,012	3,142	3,968	4,067	4,169	4,273	4,444	4,622	4,806	4,999
International	6,643	2,102	2,337	4,338	5,827	6,577	7,024	7,048	7,560	8,070	8,568	9,041
Total ASKs	**10,371**	**4,499**	**5,349**	**7,480**	**9,795**	**10,644**	**11,192**	**11,321**	**12,004**	**12,692**	**13,375**	**14,040**

ASK Growth

	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
Domestic	3.7%	-35.7%	25.7%	4.3%	26.3%	2.5%	2.5%	2.5%	4.0%	4.0%	4.0%	4.0%
International	3.1%	-68.1%	9.3%	85.2%	34.4%	12.8%	6.8%	0.4%	7.3%	6.8%	6.2%	5.5%
Total Change	**3.3%**	**-56.6%**	**18.9%**	**39.8%**	**31.0%**	**8.7%**	**5.2%**	**1.2%**	**6.0%**	**5.7%**	**5.4%**	**5.0%**

Total ASKs as Percentage of 2019

	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
Domestic		64%	81%	84%	106%	109%	112%	115%	119%	124%	129%	134%
International		32%	35%	65%	88%	99%	106%	106%	114%	121%	129%	136%
Total Change		**43%**	**52%**	**72%**	**94%**	**103%**	**108%**	**109%**	**116%**	**122%**	**129%**	**135%**

Load Factor

	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
Domestic	83.7%	66.6%	74.3%	78.9%	81.5%	83.8%	83.7%	85.4%	85.4%	85.4%	85.4%	85.2%
International	82.0%	62.8%	58.0%	78.5%	82.8%	83.3%	83.5%	84.8%	84.8%	84.6%	84.5%	84.6%
Total Load Factor	**82.8%**	**65.1%**	**67.2%**	**78.7%**	**82.3%**	**83.5%**	**83.6%**	**85.0%**	**85.0%**	**84.9%**	**84.8%**	**84.8%**

- We lower our 2026 global RPKs estimate to a 2.5% increase y-o-y in 2026 (-2.5pts vs prior), with global ASKs now +1.2%, driving load factors of 85.0% for the full-year compared to 83.6% in 2025 and 82.8% in 2019. This is the result of Brent oil spot prices averaging $102/bbl in the past three months, up >50% vs $67/bbl avg in Jan/Feb, with Jet Fuel prices up >80% to ~$4/gal. Our latest assumption is for jet fuel at or above ~$4/gal for 2026, with a conflict resolution by year-end that drives 2027 avg fuel to ~$3/gal. In this scenario, we est global RPK/ASKs +2.5%/1.2% in 2026 (from +5.3%/5.2%), +6.0% in 2027 (from +5.1%), and +5.5% in 2028 (from +5.0%), w/ air traffic back onto the pre-Iran trendline by end of this decade.
- Through the forecast period, we estimate Domestic RPKs grow at a 4% CAGR and International RPKs at a 5.4% CAGR. By region, air traffic growth is led by underpenetrated/emerging economies, including APAC at 7% CAGR and Latin America and Africa each at mid-6% CAGRs, respectively. The more mature and advanced economies of Europe and North America are estimated to grow air traffic at 3.0% and 2.9% CAGRs to 2030, respectively.

Source: IATA and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

Air Traffic Relative to GDP Growth 2000-2030E

Global Air Traffic Increased 6% per Year from 2000 to 2019

Worldwide Traffic vs. Airline Capacity											
Year	Year End Fleet	Retirements + Freight Conversions	RPK/Aircraft (mils)	ASK/Aircraft (mils)	Air Traffic, RPKs (mils)	ASKs (mils)	% Retirements of Prior Yr Fleet	Load Factor	RPK Growth	ASK Growth	Global GDP Growth
2000	13,115	239	232	327	3,037,533	4,286,203	1.9%	70.9%	8.6%	5.8%	4.5%
2001	13,973	251	211	306	2,949,553	4,271,858	1.9%	69.0%	-2.9%	-0.3%	2.0%
2002	14,576	319	203	286	2,964,531	4,167,106	2.3%	71.1%	0.5%	-2.5%	2.3%
2003	15,148	258	199	279	3,019,104	4,227,863	1.8%	71.4%	1.8%	1.5%	3.1%
2004	15,776	233	218	298	3,445,324	4,704,729	1.5%	73.2%	14.1%	11.3%	4.5%
2005	16,248	365	229	306	3,721,692	4,975,913	2.3%	74.8%	8.0%	5.8%	4.0%
2006	16,778	376	235	310	3,940,594	5,197,253	2.3%	75.8%	5.9%	4.4%	4.4%
2007	17,378	382	242	313	4,201,000	5,435,000	2.3%	77.3%	6.6%	4.6%	4.4%
2008	17,896	469	240	315	4,290,000	5,640,000	2.7%	76.1%	2.1%	3.8%	2.1%
2009	18,499	451	225	292	4,160,000	5,400,000	2.5%	77.0%	-3.0%	-4.3%	-1.3%
2010	19,053	440	262	296	4,989,932	5,645,000	2.4%	88.4%	8.2%	4.5%	4.5%
2011	19,603	522	271	344	5,304,298	6,739,079	2.7%	78.7%	6.3%	19.4%	3.3%
2012	20,169	622	277	347	5,585,426	7,008,643	3.2%	79.7%	5.3%	4.0%	2.7%
2013	20,814	636	282	353	5,875,868	7,345,057	3.2%	80.0%	5.2%	4.8%	2.8%
2014	21,591	598	288	359	6,210,792	7,749,036	2.9%	80.1%	5.7%	5.5%	3.1%
2015	22,408	604	298	369	6,670,391	8,268,221	2.8%	80.7%	7.4%	6.7%	3.1%
2016	23,374	534	306	380	7,164,000	8,888,337	2.4%	80.6%	7.4%	7.5%	2.8%
2017	24,308	613	318	390	7,733,474	9,474,968	2.6%	81.6%	7.9%	6.6%	3.4%
2018	25,399	526	324	395	8,238,948	10,035,858	2.2%	82.1%	6.5%	5.9%	3.3%
2019	26,013	616	330	399	8,588,313	10,374,466	2.4%	82.8%	4.2%	3.4%	2.6%
2020	25,992	598	113	173	2,931,756	4,507,879	2.3%	65.0%	-65.9%	-56.5%	-3.1%
2021	26,402	477	135	201	3,576,803	5,317,429	1.8%	67.3%	22.0%	18.0%	6.0%
2022	27,049	559	218	277	5,888,014	7,479,707	2.1%	78.7%	64.6%	40.7%	3.1%
2023	27,544	745	293	356	8,076,982	9,794,935	2.8%	82.5%	37.2%	31.0%	3.2%
2024	28,167	546	317	378	8,919,533	10,643,608	2.0%	83.8%	10.4%	8.7%	3.2%
2025	28,806	846	330	393	9,496,715	11,331,335	3.0%	83.8%	6.5%	6.5%	
2026E	29,717	862	337	402	10,020,452	11,955,414	3.0%	83.8%	5.5%	5.5%	
2027E	30,756	895	343	409	10,545,062	12,580,493	3.0%	83.8%	5.2%	5.2%	
2028E	31,909	924	347	414	11,072,655	13,208,945	3.0%	83.8%	5.0%	5.0%	
2029E	33,097	980	351	418	11,605,999	13,844,190	3.1%	83.8%	4.8%	4.8%	
2030E	34,384	1,006	353	422	12,150,823	14,492,904	3.0%	83.8%	4.7%	4.7%	

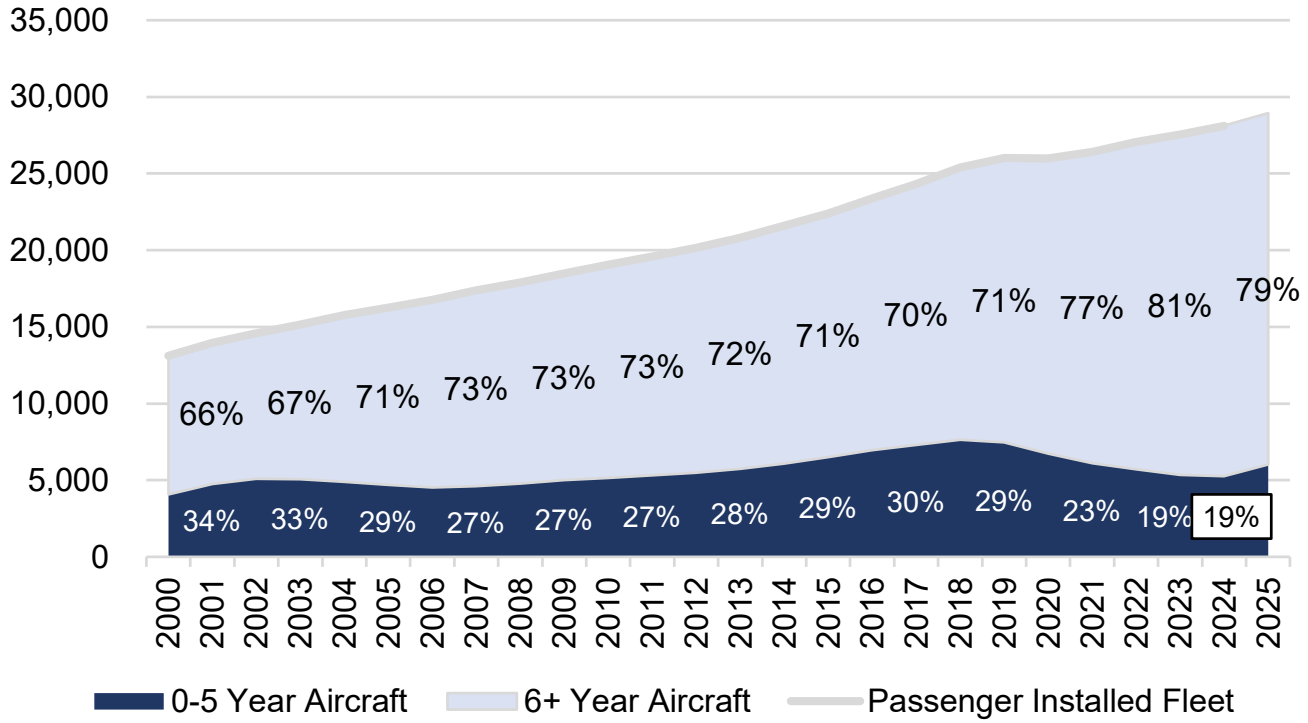
- Global air traffic growth averaged 5.6% from 2000 from 2019 and 6.2% in 2011-2019.
- Global air traffic has typically grown at an approximately 2X multiplier of GDP growth.
- The global passenger fleet has grown at a slightly slower rate than global air traffic, having increased at a 3.7% CAGR from 2000-2019.
- This is primarily due to growth in gauge (seats per aircraft), stage length (flight distance per aircraft), and load factors improving by ~10pts over the period into the low-80% range.

Source: IATA, Cirium® and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

Fleet Composition by In and Out of Warranty

6+ Year Fleet Population Ballooned to ~80% of the Fleet vs Long-Term Average of 72%, or ~2,500 Aircraft Kept In-Service



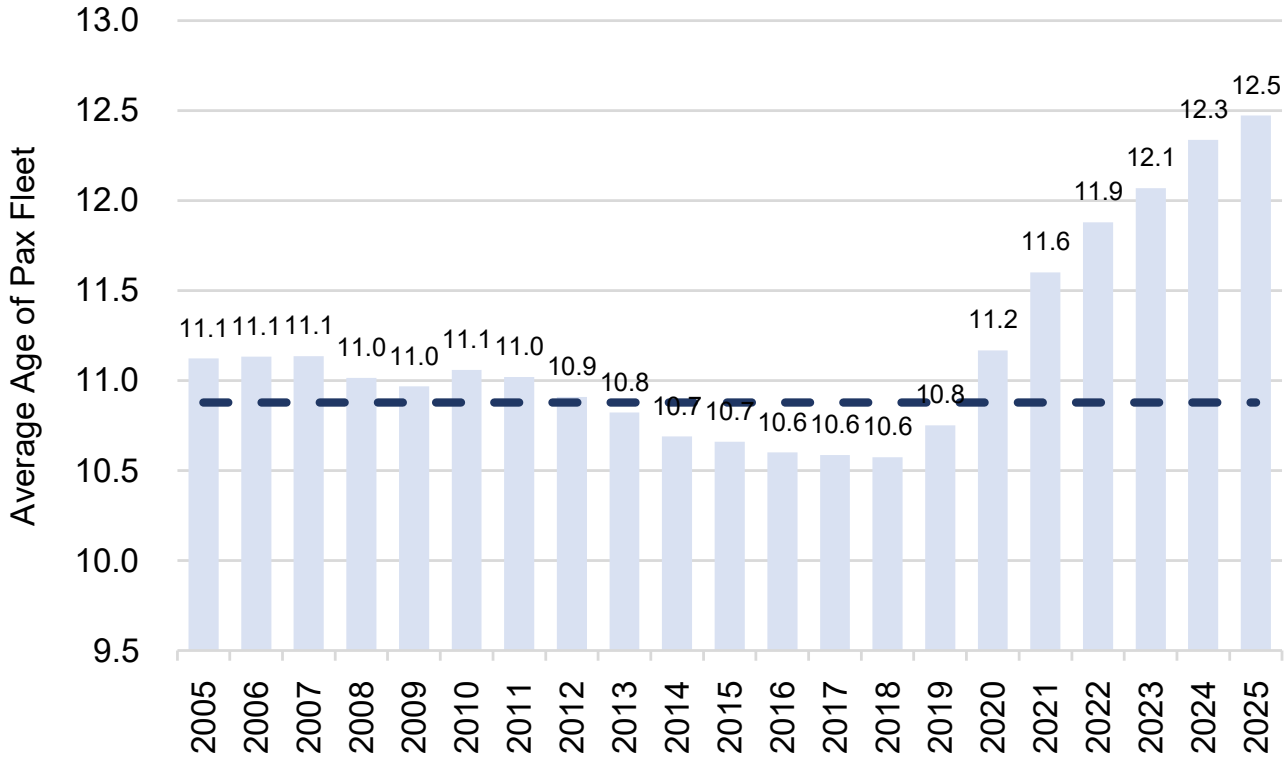
- At the end of 2025, the total passenger fleet totaled 28,933 aircraft, of which 6,042 aircraft (21% of total) were produced within 5 years compared to 22,891 aircraft that are 6+ years of age and outside the typical OEM warranty period.
- The long-term trend since 2000 averages 72% of the fleet at 6+ years of age, with the 7pt delta at the end of 2025 worth over 2,000 aircraft in-service.

Source: Cirium® and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

Fleet Average Age

Passenger Fleet Age Climbed by Almost 2 Years Post-Pandemic to 12.5 Years in 2025 vs Long-Term Average of <11 Years



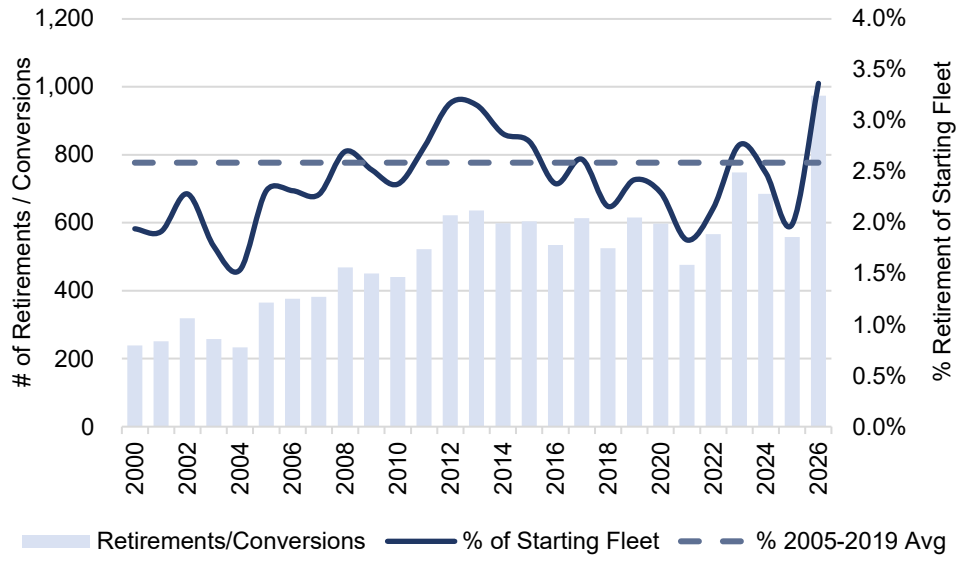
- At the end of 2025, the passenger fleet averaged 12.5 years of age, having steadily increased post-pandemic from 10.6 years in 2018.
- The older fleet is considered more maintenance-intensive, less fuel-efficient, and often less competitive than a hard product offering.

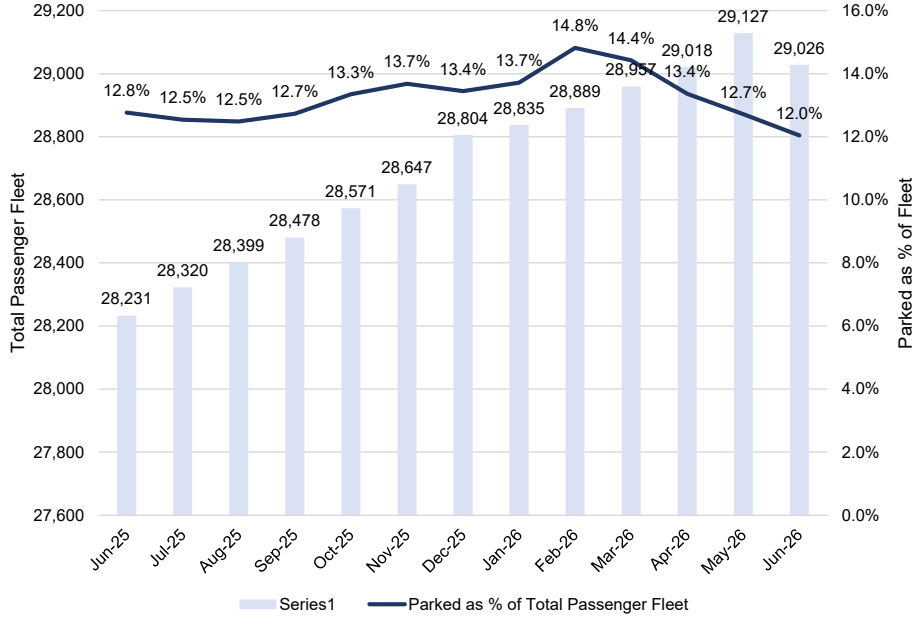
Source: Cirium® and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

Passenger Fleet Retirements/Conversions and Parked Fleet

Passenger Retirements & Conversions Range Between 2.5-3.5% of the Starting Fleet per Year, But 12% of Fleet Remains Parked





- Retirements have historically ranged between 2.5-3.5% of the starting fleet per year, although actual retirements have trended below this level in recent years related to OEM delivery delays, requiring airlines to keep older aircraft in the fleet for longer than originally planned.
- Today, still ~3,495 aircraft or 12% of the passenger fleet remains parked compared to the long-term average of 6-8%. The delta is worth ~1,450 aircraft that are effectively retired and unlikely to return to passenger service.

Source: Cirium® and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

Jefferies Addressable Aftermarket Model

Implied Retirements at 3% per Year in 2025-2027 vs Historical 2.5-3.5% Range

	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E	'25-'27 Average
JEF Air Traffic Model													
Global RPKs	**8,588**	**2,940**	**3,583**	**5,888**	**8,077**	**8,920**	**9,396**	**9,628**	**10,206**	**10,772**	**11,344**	**11,911**	**4.6%**
Y-o-Y % Change	*4.2%*	*-65.8%*	*21.9%*	*64.3%*	*37.2%*	*10.4%*	*5.3%*	*2.5%*	*6.0%*	*5.5%*	*5.3%*	*5.0%*	
% Change vs. 2019		*-65.8%*	*-58.3%*	*-31.4%*	*-6.0%*	*3.9%*	*9.4%*	*12.1%*	*18.8%*	*25.4%*	*32.1%*	*38.7%*	
Global ASKs (BBs)	**10,371**	**4,499**	**5,349**	**7,480**	**9,795**	**10,644**	**11,192**	**11,321**	**12,004**	**12,692**	**13,375**	**14,040**	**4.1%**
Y-o-Y % Change	*3.3%*	*-56.6%*	*18.9%*	*39.8%*	*31.0%*	*8.7%*	*5.2%*	*1.2%*	*6.0%*	*5.7%*	*5.4%*	*5.0%*	
CAGR off 2019 Base		*-56.6%*	*-48.4%*	*-27.9%*	*-5.6%*	*2.6%*	*7.9%*	*9.2%*	*15.7%*	*22.4%*	*29.0%*	*35.4%*	
% Load Factor	**82.8%**	**65.3%**	**67.0%**	**78.7%**	**82.5%**	**83.8%**	**83.9%**	**85.0%**	**85.0%**	**84.9%**	**84.8%**	**84.8%**	**85.0%**
Y-o-Y % Pt Change	*0.7%*	*-17.5%*	*1.6%*	*11.7%*	*3.7%*	*1.3%*	*0.1%*	*1.1%*	*0.0%*	*-0.2%*	*-0.1%*	*0.0%*	
JEF Fleet Model													
Global RPKs	**8,588**	**2,940**	**3,583**	**5,888**	**8,077**	**8,920**	**9,396**	**9,628**	**10,206**	**10,772**	**11,344**	**11,911**	**4.6%**
Y-o-Y % Change	*4.2%*	*-65.8%*	*21.9%*	*64.3%*	*37.2%*	*10.4%*	*5.3%*	*2.5%*	*6.0%*	*5.5%*	*5.3%*	*5.0%*	
% Change vs. 2019		*-65.8%*	*-58.3%*	*-31.4%*	*-6.0%*	*3.9%*	*9.4%*	*12.1%*	*18.8%*	*25.4%*	*32.1%*	*38.7%*	
Average Seats per Aircraft	**180.5**	**180.5**	**180.8**	**182.2**	**183.0**	**183.6**	**184.6**	**185.2**	**185.9**	**186.7**	**187.8**	**188.8**	**0.4%**
Y-o-Y % Change	*0.9%*	*0.0%*	*0.2%*	*0.8%*	*0.5%*	*0.3%*	*0.6%*	*0.3%*	*0.4%*	*0.5%*	*0.5%*	*0.6%*	
% Change vs. 2019		*0.0%*	*0.2%*	*0.9%*	*1.4%*	*1.7%*	*2.3%*	*2.6%*	*3.0%*	*3.5%*	*4.0%*	*4.6%*	
Implied Annual Kilometers (MMs)	**2.21**	**0.96**	**1.12**	**1.52**	**1.94**	**2.06**	**2.10**	**2.07**	**2.11**	**2.13**	**2.15**	**2.17**	**0.7%**
Y-o-Y % Change	*0.0%*	*-56.6%*	*16.8%*	*35.5%*	*28.0%*	*6.1%*	*1.6%*	*-1.3%*	*1.9%*	*1.3%*	*0.9%*	*0.8%*	
% Change vs. 2019		*-56.6%*	*-49.3%*	*-31.3%*	*-12.0%*	*-6.7%*	*-5.2%*	*-6.4%*	*-4.7%*	*-3.4%*	*-2.5%*	*-1.8%*	
Implied Passenger Aircraft Installed Base	**26,013**	**25,992**	**26,415**	**27,049**	**27,536**	**28,113**	**28,933**	**29,565**	**30,660**	**31,858**	**33,088**	**34,271**	**2.9%**
Y-o-Y % Change	*2.4%*	*-0.1%*	*1.6%*	*2.4%*	*1.8%*	*2.1%*	*2.9%*	*2.2%*	*3.7%*	*3.9%*	*3.9%*	*3.6%*	
% Change vs. 2019		*-0.1%*	*1.5%*	*4.0%*	*5.9%*	*8.1%*	*11.2%*	*13.7%*	*17.9%*	*22.5%*	*27.2%*	*31.7%*	
JEF Retirements Model													
Net Change in Fleet	**614**	**(21)**	**423**	**634**	**487**	**577**	**820**	**632**	**1,095**	**1,198**	**1,230**	**1,183**	**849**
Y-o-Y % Fleet Change	*2.4%*	*-0.1%*	*1.6%*	*2.4%*	*1.8%*	*2.1%*	*2.9%*	*2.2%*	*3.7%*	*3.9%*	*3.9%*	*3.6%*	*2.9%*
JEFe Total Deliveries	**1,270**	**730**	**947**	**1,159**	**1,279**	**1,196**	**1,437**	**1,606**	**1,853**	**2,037**	**2,171**	**2,256**	**1,632**
Deliveries as a % of the Fleet	*5.0%*	*2.8%*	*3.6%*	*4.4%*	*4.7%*	*4.3%*	*5.1%*	*5.6%*	*6.3%*	*6.6%*	*6.8%*	*6.8%*	*5.7%*
Y-o-Y % Change	*-23.3%*	*-42.5%*	*29.7%*	*22.4%*	*10.4%*	*-6.5%*	*20.2%*	*11.8%*	*15.4%*	*9.9%*	*6.6%*	*3.9%*	
Implied Annual Retirements	**616**	**598**	**477**	**525**	**792**	**685**	**558**	**974**	**758**	**839**	**941**	**1,073**	**763**
Retirements as a % of the Fleet	*2.4%*	*2.3%*	*1.8%*	*2.0%*	*2.9%*	*2.5%*	*2.0%*	*3.4%*	*2.6%*	*2.7%*	*3.0%*	*3.2%*	*2.6%*
Y-o-Y % Change	*17.1%*	*-2.9%*	*-20.2%*	*10.1%*	*50.9%*	*-13.5%*	*-18.5%*	*74.6%*	*-22.2%*	*10.7%*	*12.2%*	*14.0%*	

- The Jefferies Addressable Aftermarket model leverages our Supply & Demand model, but outputs retirements based on JEFe deliveries to evaluate fleet composition & age given aftermarket implications.
- Our Base Case forecasts support the total passenger aircraft fleet expanding at a 2.9% CAGR to 30,660 aircraft by 2027, required to support JEF estimated air traffic expanding at a 4% CAGR from 2026-2027.
- The net passenger fleet needs to expand at 864 aircraft per year over the three years to support demand.
- From 2026-2027, our passenger aircraft delivery forecasts average 1,730 per year. The difference between net fleet growth and deliveries is implied retirements, with our model pointing to 974 retirements in 2026 (3.4% of the starting fleet) and 758 in 2027 (2.6% of the starting fleet).

Source: Company data, Cirium® and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

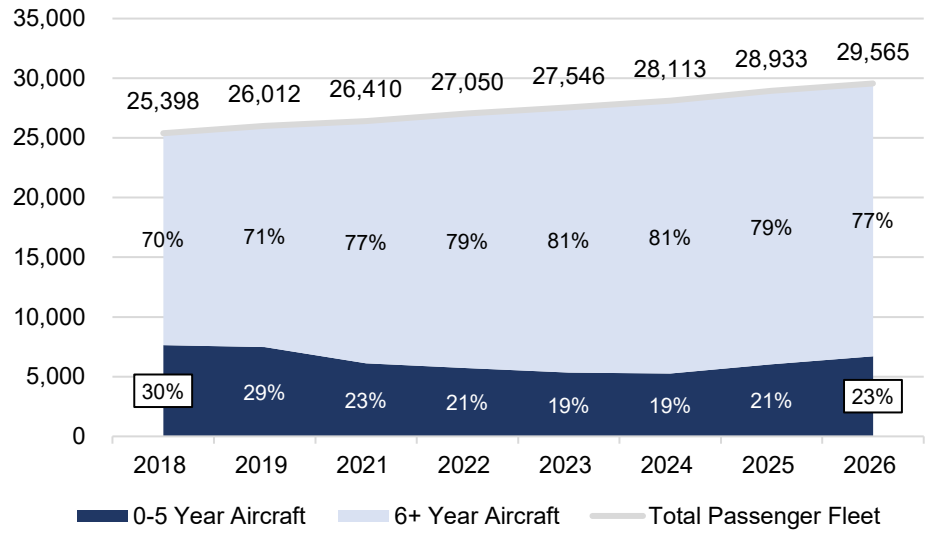
2026E Fleet Composition by In and Out of Warranty

6+ Year Fleet Increases 1.0% Y-o-Y in 2026 to 25% Above 2019 Levels

	2018	2019	2021	2022	2023	2024	2025	2026E
Prior Year Starting Fleet	**24,306**	**25,398**	**25,997**	**26,410**	**27,050**	**27,546**	**28,113**	**28,933**
(+) Deliveries	1,653	1,259	933	1,152	1,275	1,190	1,492	1,606
% of Starting Fleet	*6.8%*	*5.0%*	*3.6%*	*4.4%*	*4.7%*	*4.3%*	*5.3%*	*5.6%*
(-) Retirements/Conversions	561	645	520	512	779	623	672	974
% of Starting Fleet	*2.3%*	*2.5%*	*2.0%*	*1.9%*	*2.9%*	*2.3%*	*2.4%*	*3.4%*
Ending Fleet	**25,398**	**26,012**	**26,410**	**27,050**	**27,546**	**28,113**	**28,933**	**29,565**

	2018	2019	2021	2022	2023	2024	2025	2026
0-5 Year Aircraft	**7,647**	**7,472**	**6,127**	**5,719**	**5,341**	**5,272**	**6,042**	**6,715**
% of Fleet	*30%*	*29%*	*23%*	*21%*	*19%*	*19%*	*21%*	*23%*
Y-o-Y % Change	*4.7%*	*-2.3%*	*-9.0%*	*-6.7%*	*-6.6%*	*-1.3%*	*14.6%*	*11.1%*
Change % vs. 2019			*-18.0%*	*-23.5%*	*-28.5%*	*-29.4%*	*-19.1%*	*-10.1%*
6+ Year Aircraft	**17,751**	**18,540**	**20,283**	**21,331**	**22,205**	**22,841**	**22,891**	**22,850**
% of Fleet	*70%*	*71%*	*77%*	*79%*	*81%*	*81%*	*79%*	*77%*
Y-o-Y % Change		*4.4%*		*5.2%*	*4.1%*	*2.9%*	*0.2%*	*-0.2%*
Change % vs. 2019			*9.4%*	*15.1%*	*19.8%*	*23.2%*	*23.5%*	*23.2%*
Total Passenger Fleet	**25,398**	**26,012**	**26,410**	**27,050**	**27,546**	**28,113**	**28,933**	**29,565**
Y-o-Y % Change	*4.5%*	*2.4%*	*1.6%*	*2.4%*	*1.8%*	*2.1%*	*2.9%*	*2.2%*
Change % vs. 2019			*1.5%*	*4.0%*	*5.9%*	*8.1%*	*11.2%*	*13.7%*

77% of Fleet 6+ Years in 2026 vs LT Average of 72%



- In 2026, we estimate air traffic grows 2.5% y-o-y (vs 5.1% prior) with load factors steady at 85% and modest seat gauge growth with some and stage-length decline. The passenger fleet needs to increase 2.2% y-o-y to 29,565 aircraft to support this backdrop.
- Our OEM delivery estimates for passenger aircraft total 1,606 in 2026 (134/mo), including 105 A220s (8.8/mo), 655 A320s (55/mo), 39 A330s (3.3/mo), 67 A350s (5.6/mo), 492 737s (41/mo), 100 787s (8.3/mo), and 148 COMAC and Embraer aircraft (12/mo).

Source: Company data, Cirium® and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

2026E Fleet Composition Sensitivities

6+ Year Fleet Sensitivity to Air Traffic and Deliveries

2026 Pax Deliveries	2026 Air Traffic Growth Y-o-Y				
	0.5%	1.5%	2.5%	3.5%	4.5%
1,300	21.8%	23.3%	24.9%	26.5%	28.0%
1,400	21.2%	22.8%	24.4%	25.9%	27.5%
1,500	20.7%	22.3%	23.8%	25.4%	26.9%
1,600	20.2%	21.7%	**23.3%**	24.8%	26.4%
1,700	19.6%	21.2%	22.7%	24.3%	25.9%
1,800	19.1%	20.6%	22.2%	23.8%	25.3%
1,900	18.5%	20.1%	21.7%	23.2%	24.8%

2026 Pax Deliveries	2026 Air Traffic Growth Y-o-Y				
	0.5%	1.5%	2.5%	3.5%	4.5%
1,300	-1.4%	-0.1%	1.2%	2.4%	3.7%
1,400	-1.8%	-0.5%	0.7%	2.0%	3.2%
1,500	-2.2%	-1.0%	0.3%	1.5%	2.8%
1,600	-2.7%	-1.4%	**-0.2%**	1.1%	2.4%
1,700	-3.1%	-1.8%	-0.6%	0.7%	1.9%
1,800	-3.5%	-2.3%	-1.0%	0.2%	1.5%
1,900	-4.0%	-2.7%	-1.5%	-0.2%	1.1%

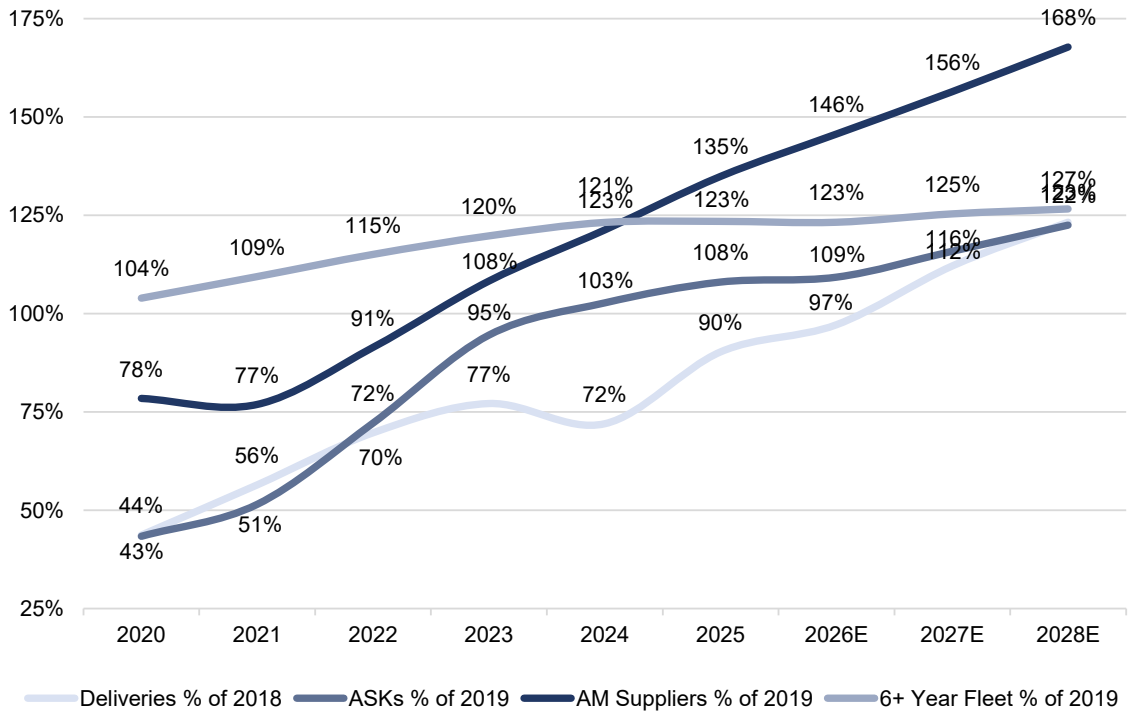
- An increase in RPKs equates to a decrease in retirements given the incremental required aircraft to satisfy demand, assuming no change to deliveries. An increase in deliveries equates to an increase in retirements as deliveries serve as replacement aircraft.
- In 2026, we estimate air traffic grows 2.5% y-o-y (vs 5.1% prior) with load factors steady at 85% and modest seat gauge growth with some and stage-length decline. The passenger fleet needs to increase 2.2% y-o-y to 29,565 aircraft to support this backdrop.
- Our OEM delivery estimates for passenger aircraft total 1,606 in 2026 (134/mo), including 105 A220s (8.8/mo), 655 A320s (55/mo), 39 A330s (3.3/mo), 67 A350s (5.6/mo), 492 737s (41/mo), 100 787s (8.3/mo), and 148 COMAC and Embraer aircraft (12/mo).

Source: Company data, Cirium® and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

Aftermarket Revenues to Air Traffic, Deliveries, and the 6+ Year Fleet

Commercial AM Revenues at 135% of 2019 Levels in 2026, Compared to 6+ Year Fleet at 123% and ASKs at 108%



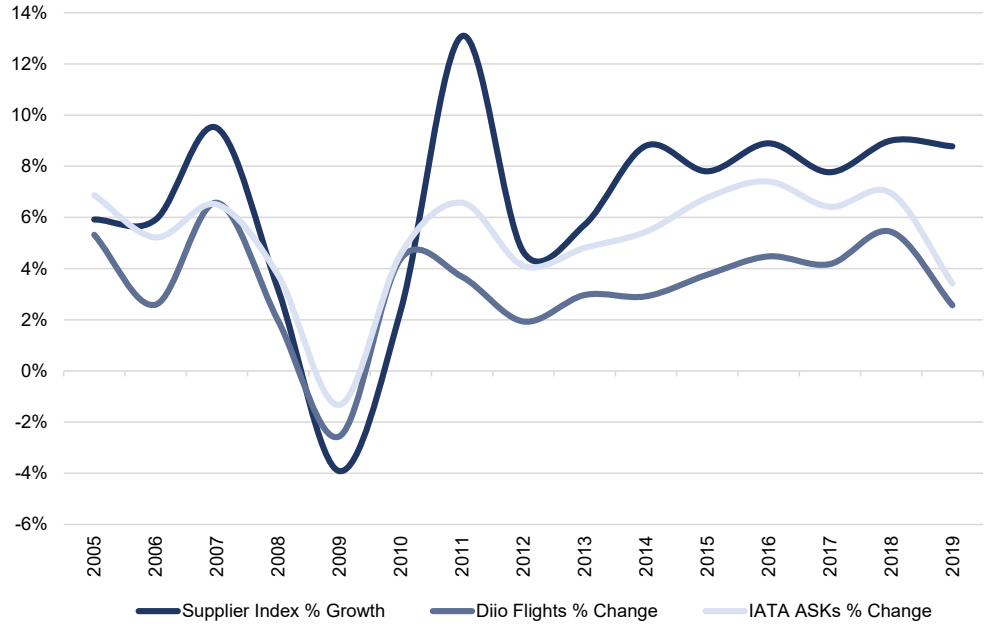
- Commercial AM revenue estimates for the supplier group average 135% of 2019 levels in 2026, ahead of the 6+ year fleet at 123% and ASKs at 108%.
- We estimate HSD-DD y-o-y growth is sustainable from: L-MSD air traffic + MSD realized gross pricing +1% growth in 6+ year fleet + L-MSD catch-up

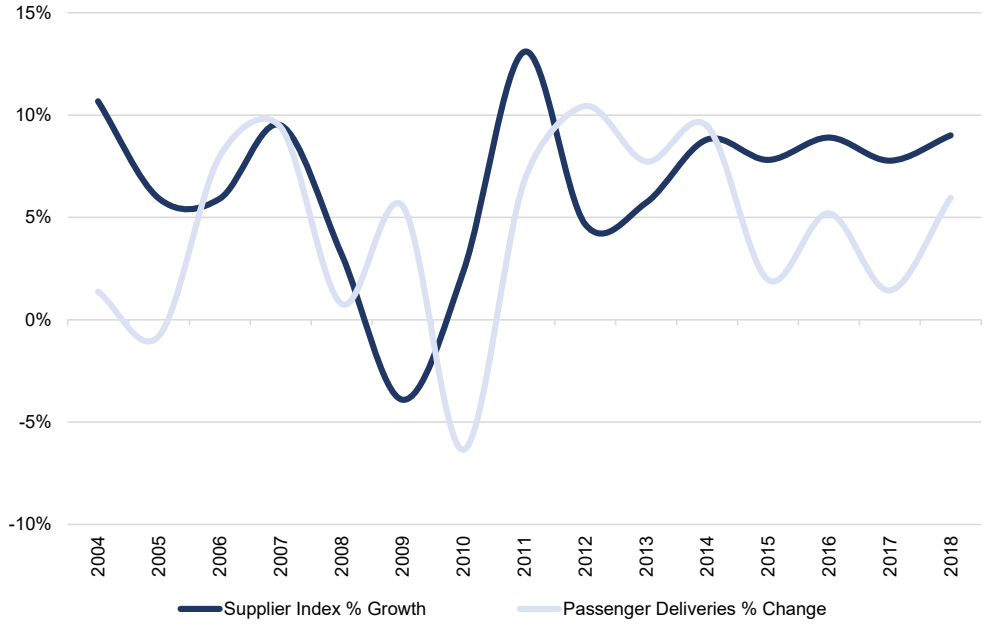
Source: Company data, Cirium® and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

Historical Relationship of Aftermarket Growth to Air Traffic and Deliveries

Commercial Aftermarket Growth Outperforms Departures by 3pts per Year; GFC Created Deferred Maintenance Bubble





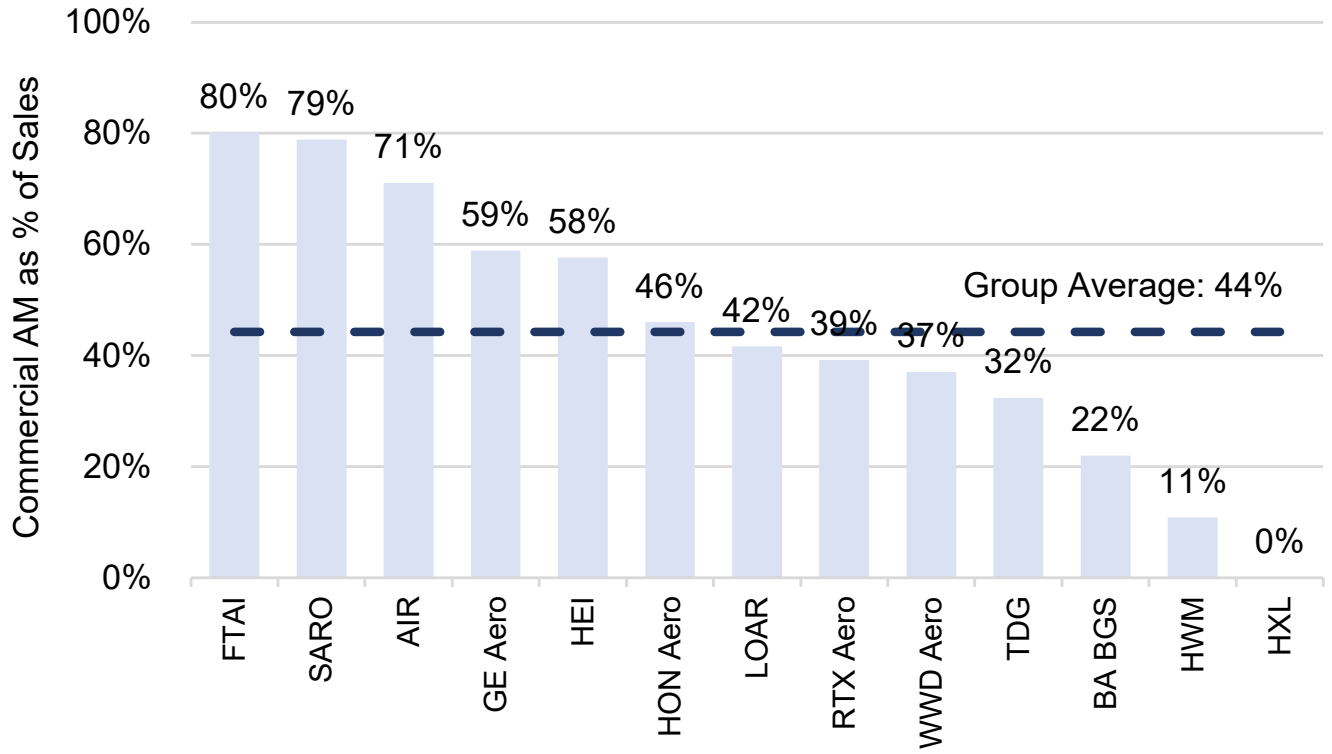
- AM supplier growth tracks air traffic with an average growth of 6.3% per year last cycle, or 2.9pts per year of outperformance vs departures.
- During the GFC, global flight activity and ASKs declined by 2.6% and 1.3%, respectively. Commercial AM supplier growth lagged down 3.9% y-o-y, or 2pts of underperformance to traffic. Commercial aftermarket returned to growth up 2.4% y-o-y in 2010 but still lagged flights and ASKs by 2pts.
- In 2011, commercial AM grew 13% on average, 9.4pts ahead of flight activity and 6.5pts ahead of ASKs. TDG and HEI pointed to deferred maintenance and minor airline inventory restocking, which contributed ~10-15pts of growth as both companies saw AM increased >20% organically y-o-y.

Source: Company data, Cirium® and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

Commercial Aftermarket Exposure by Company

SARO and FTAI with the Highest Outright Exposure to the Aftermarket, HWM Among the Fastest Growing

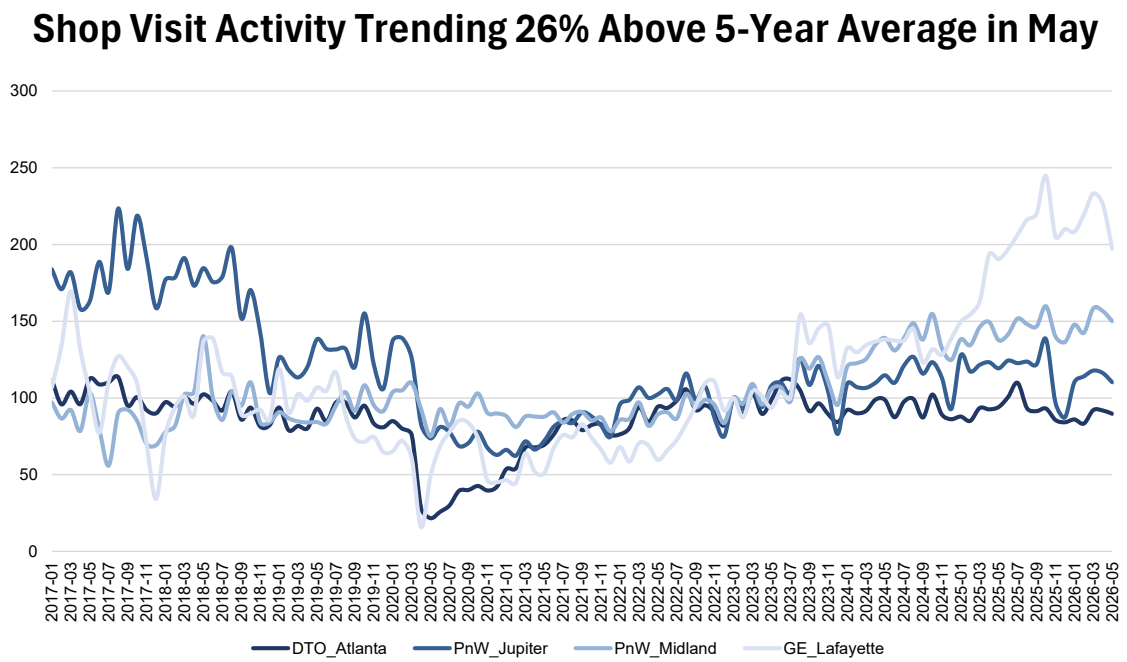


- The largest exposures are tied to companies with aerospace businesses fully tied to the aftermarket, including FTAI (80%) and with its traditional leasing exposure, and SARO (79%). GE Aerospace (58%) is widely considered an aftermarket play given its OE business is loss-making to feed the long-duration engine aftermarket. Other highly levered AM companies with more book & ship mix include AIR (71%), HEI (58%), HON Aero (46%), LOAR (42%), and TDG (32%).

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

Checking Up on Shop Visits: Foot Traffic at MRO Sites in the US



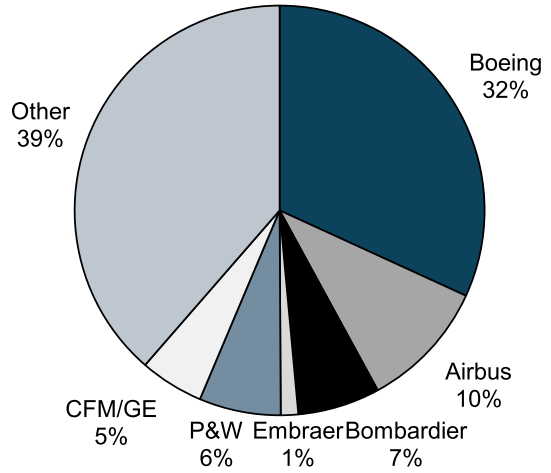
- We track foot traffic to five major sites using cell phone data, incl the P&W West Palm Beach Engine Center (GTF), P&W Columbus Engine Center (GTF), SARO Dallas (CFM56), GE Lafayette (LEAP), Delta TechOps (GTF, LEAP and others), as well as a set of facilities (Component/NB Airframe). We find that foot traffic is trending above the 5-yr avg across the tracked facilities.
- In aggregate, traffic was flat y-o-y in May, +4% in Apr, +12% in Mar, w/ our 3m rolling (March-May) avg of +5% vs organic rev est of +10% in Q2.

Source: Placer and Jefferies estimates

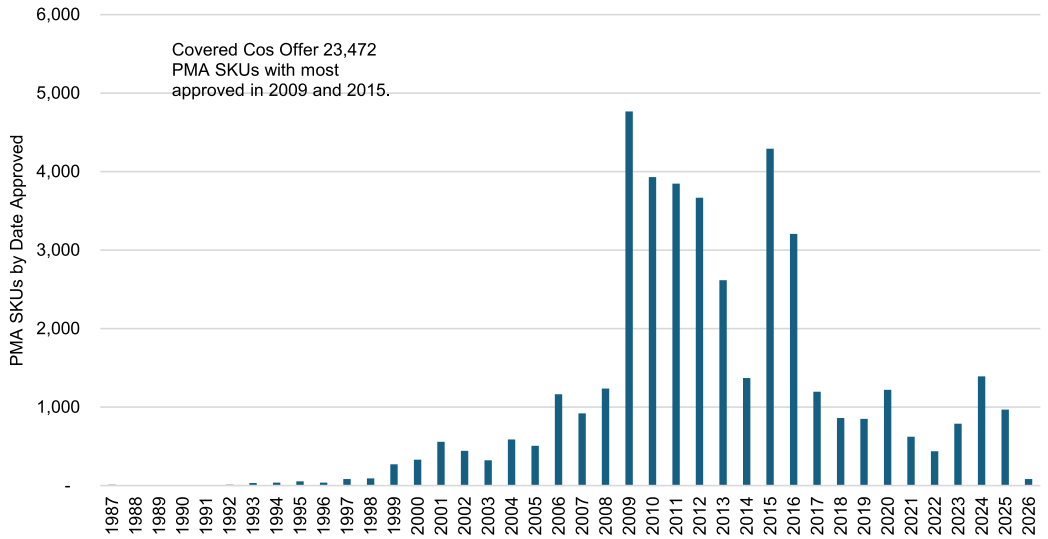
Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

PMA Catalog: HEI Has the Broadest Portfolio, TDG's JPE Leads YTD Approvals

BA is the Most Common Platform OEM for PMA Parts



Over 23,000 Distinct PMA SKUs in Tracked Cos Portfolios



- If we look at the number of current PMA part numbers in the database, there are ~93,000 parts that have been approved through "Test and Computations", or as a third party PMA. This is the process that HEI and TDG's JPE use to certify parts for sale in the third party PMA market. These parts are reverse engineered versions of aircraft replacement parts produced by a company other than the initial OEM and priced at a 30-40% discount to the OEM part list price.

- At TDG, >70% of parts are for BA aircraft, whereas HEI is more diverse with 21% on BA aircraft, 15% on Airbus, and 14% of BBD aircraft. By platform, HEI's largest exposure in terms of current PMA parts include the A320 family (12%), 747/767/777 (11%), 737NG (9%), and PW2000/4000 (8%), although we do not have visibility into the revenue exposure for those parts. At TDG, older BA widebodies (747/767/777 at 56% of SKUs) are by the most prominent in the business followed by the 737NG (20%). 's parts are primarily on the 737NG (30%), 757 (19%), and DC/MD models (19%). LOAR has a larger split of BGA PMA parts including 12% of SKUs on TXT Aviation aircraft and 28% on Airbus Space & Defense. King Airs (3% of LOAR portfolio) are the most prominent platform for LOAR PMA.

Source: Placer and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

Business Jets

Sheila Kahyaoglu, Equity Analyst, 212.336.7216, sheila.kahyaoglu@jefferies.com

Business Jet Delivery Forecast

Industry Business Jet Deliveries Increase 1% to 696 in 2026

Annual Business Jet Deliveries

	2007	2008	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
Airbus	12	9	11	13	9	9	6	5	4	1	0	1	6	5	5	8	4	2	8	2	2	2
Boeing	7	6	4	10	8	12	7	10	11	4	10	6	2	1	4	2	1	6	0	6	6	6
Bombardier	226	247	173	150	182	181	179	204	199	163	140	137	142	114	120	123	138	146	157	155	155	155
Cessna	388	466	289	178	183	181	139	159	166	178	180	188	206	132	167	178	168	151	171	175	192	210
Dassault	70	72	77	95	63	66	77	66	55	49	49	41	40	34	30	32	26	31	37	41	43	46
Embraer	36	38	122	145	99	99	119	116	120	117	109	91	109	86	93	102	115	130	155	155	157	160
Gulfstream	138	156	94	99	99	94	144	150	152	121	120	121	147	127	119	120	111	136	158	162	165	170
Hawker Beechcraft	162	160	98	73	52	32	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Total	**1,039**	**1,154**	**868**	**763**	**695**	**675**	**677**	**710**	**707**	**633**	**608**	**585**	**652**	**499**	**538**	**565**	**563**	**602**	**686**	**696**	**720**	**749**
% Y-o-Y Change	*18%*	*11%*	*-25%*	*-12%*	*-9%*	*-3%*	*0%*	*5%*	*0%*	*-10%*	*-4%*	*-4%*	*11%*	*-23%*	*8%*	*5%*	*0%*	*7%*	*14%*	*1%*	*3%*	*4%*
Revenues in $BB	*$19.1*	*$20.4*	*$12.9*	*$15.9*	*$17.5*	*$18.0*	*$20.9*	*$22.3*	*$23.7*	*$21.2*	*$20.0*	*$18.5*	*$19.8*	*$17.7*	*$18.8*	*$19.8*	*$19.7*	*$22.6*	*$28.0*	*$28.5*	*$28.9*	*$29.5*

% YoY Change

	2007	2008	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
Airbus	20%	-25%	22%	18%	-31%	0%	-33%	-17%	-20%	-75%	--	--	500%	-17%	0%	60%	-50%	-50%	300%	-75%	0%	0%
Boeing	-46%	-14%	-33%	150%	-20%	50%	-42%	43%	10%	-64%	150%	-40%	-67%	-50%	300%	-50%	-50%	500%	-100%	--	0%	0%
Bombardier	6%	9%	-30%	-13%	21%	-1%	-1%	14%	-2%	-18%	-14%	-2%	4%	-20%	5%	2%	12%	6%	8%	-1%	0%	0%
Cessna	27%	20%	-38%	-38%	3%	-1%	-23%	14%	4%	7%	1%	4%	10%	-36%	27%	7%	-6%	-10%	13%	2%	10%	9%
Dassault	15%	3%	7%	23%	-34%	5%	17%	-14%	-17%	-11%	0%	-16%	-2%	-15%	-12%	7%	-19%	19%	19%	11%	5%	7%
Embraer	33%	6%	221%	19%	-32%	0%	20%	-3%	3%	-3%	-7%	-17%	20%	-21%	8%	10%	13%	13%	19%	0%	1%	2%
Gulfstream	22%	13%	-40%	5%	0%	-5%	53%	4%	1%	-20%	-1%	1%	21%	-14%	-6%	1%	-8%	23%	16%	3%	2%	3%
Total	**18%**	**11%**	**-25%**	**-12%**	**-9%**	**-3%**	**0%**	**5%**	**0%**	**-10%**	**-4%**	**-4%**	**11%**	**-23%**	**8%**	**5%**	**0%**	**7%**	**14%**	**1%**	**3%**	**4%**

% Market Share of Deliveries

	2007	2008	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
Airbus	1%	1%	1%	2%	1%	1%	1%	1%	1%	0%	0%	0%	1%	1%	1%	1%	1%	0%	1%	0%	0%	0%
Boeing	1%	1%	0%	1%	1%	2%	1%	1%	2%	1%	2%	1%	0%	0%	1%	0%	0%	1%	0%	1%	1%	1%
Bombardier	22%	21%	20%	20%	26%	27%	26%	29%	28%	26%	23%	23%	22%	23%	22%	22%	25%	24%	23%	22%	22%	21%
Cessna	37%	40%	33%	23%	26%	27%	21%	22%	23%	28%	30%	32%	32%	26%	31%	32%	30%	25%	25%	25%	27%	28%
Dassault	7%	6%	9%	12%	9%	10%	11%	9%	8%	8%	8%	7%	6%	7%	6%	6%	5%	5%	5%	6%	6%	6%
Embraer	3%	3%	14%	19%	14%	15%	18%	16%	17%	18%	18%	16%	17%	17%	17%	18%	20%	22%	23%	22%	22%	21%
Gulfstream	13%	14%	11%	13%	14%	14%	21%	21%	21%	19%	20%	21%	23%	25%	22%	21%	20%	23%	23%	23%	23%	23%
Hawker Beechcraft	16%	14%	11%	10%	7%	5%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%
Total	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**

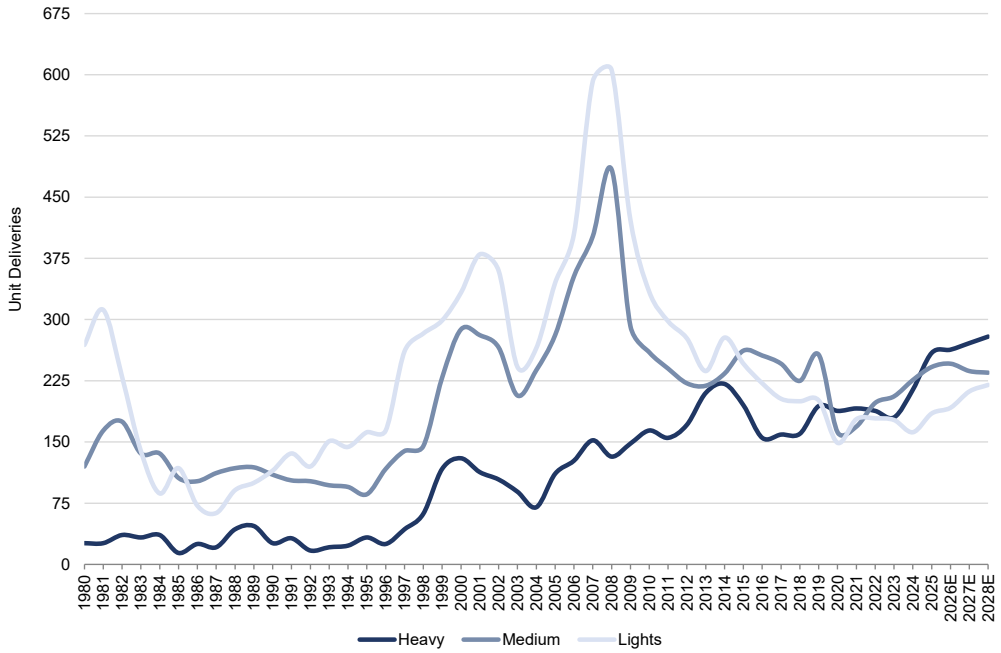
- Business jet delivery volumes peaked at 1,154 in 2008 prior to the Great Financial Crisis, with volumes stabilizing from 2011-2019 in the range of 600-700 per year. Forward growth is primarily driven by new production introductions as well as replacement demand post-pandemic.

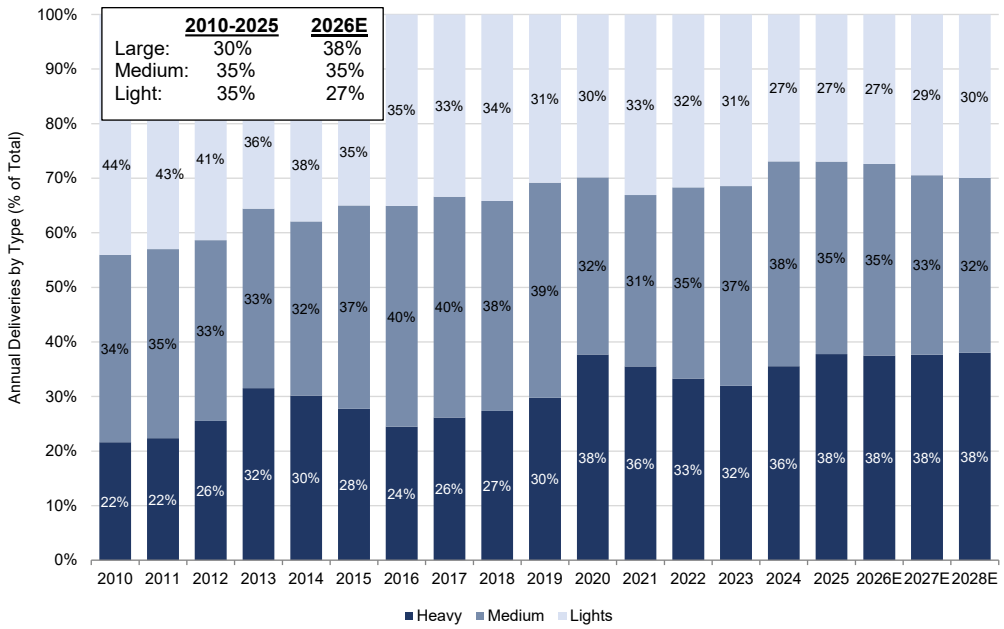
Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

Expanding Share of Medium & Heavy Jet Models Relative to Light Jets

Heavy Jets Lead Unit Growth, Up to High-30% Share of Total Deliveries Compared to 24% in 2010-2011



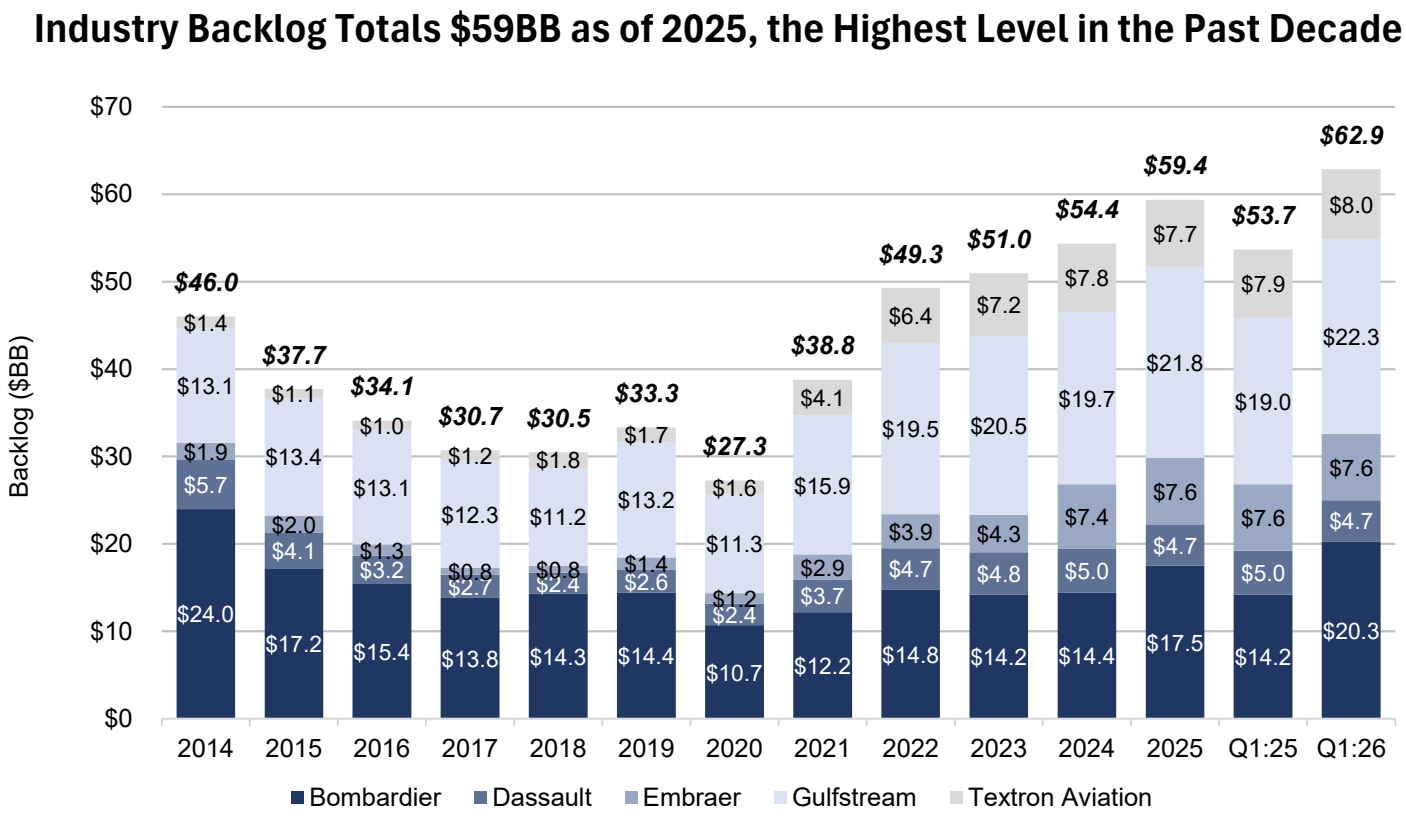


- In 2010 and 2011, Heavy jets accounted for 22% of business jet deliveries compared to 35% Medium jets and 46% Light jets. Peak production in 2008 of 1,154 business jets included 141 Heavy jets, 379 Medium jets, and 606 Light jets.
- In 2026, Heavy jets are expected to account for 38% of business jet deliveries with 261 deliveries, increasing 1% y-o-y driven by the G700/G800 along with the Falcon 6X/8X. Medium jet deliveries increase 2% y-o-y, while Light jet deliveries increase 4% y-o-y.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

Business Jet Backlogs



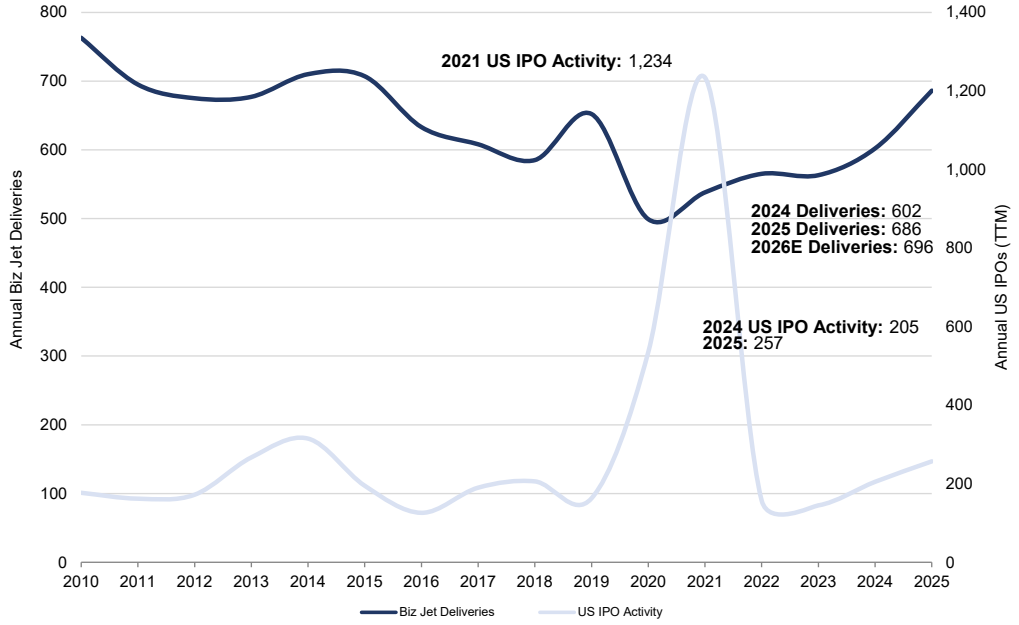
- Industry-wide business jet backlogs total $62.9BB as of Q1:26, having increased 9% since the start of the year to its highest level in a decade.
- Broadly, the existing backlogs provide for approximately 18-24 months of production at the OEMs, having held up despite macro uncertainty created by Liberation Day. The restoration of 100% bonus depreciation could spur additional acquisition interest in business jets.

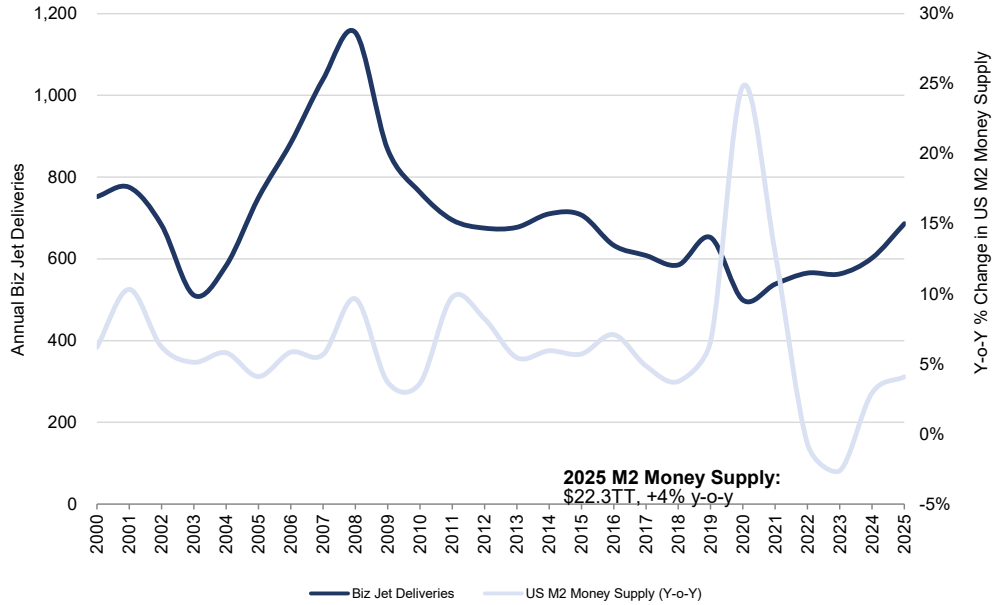
Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

Business Jet Demand Correlated to Wealth Creation

Business Jet Demand Broadly Tracks US IPO Activity and Annual US Money Supply Growth



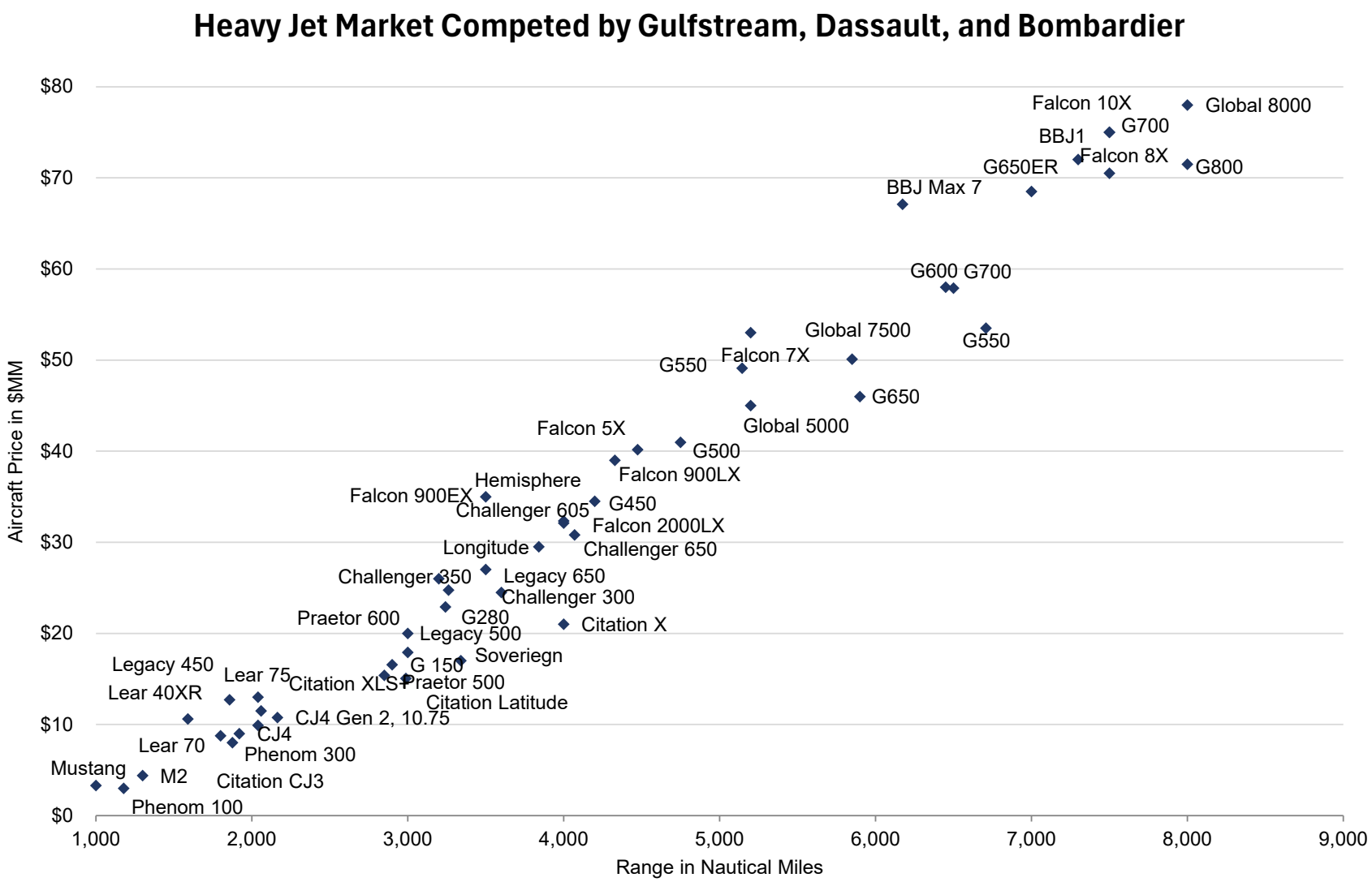


- US IPO activity increased 25% y-o-y with 257 IPOs through YE 2025, compared to 205 in all of 2024.
- The US M2 money supply has increased 4% y-o-y as of the latest reading to $22.3TT.
- General wealth creation is considered a leading indicator of business jet demand, as ~30-40% of deliveries are to corporate customers, ~20-30% are to high-net-worth individuals, ~10% are to fractional operators, and the remaining ~30% are to charter operators & other purposes.
- North America accounts for ~70% of industry demand, followed by ~10-15% Europe, ~10% Asia Pacific, and ~5-10% to Middle East and South Am.

Source: FRED and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

Business Jet Product Comparison: Price vs Range



Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

Business Jet New Product Introductions

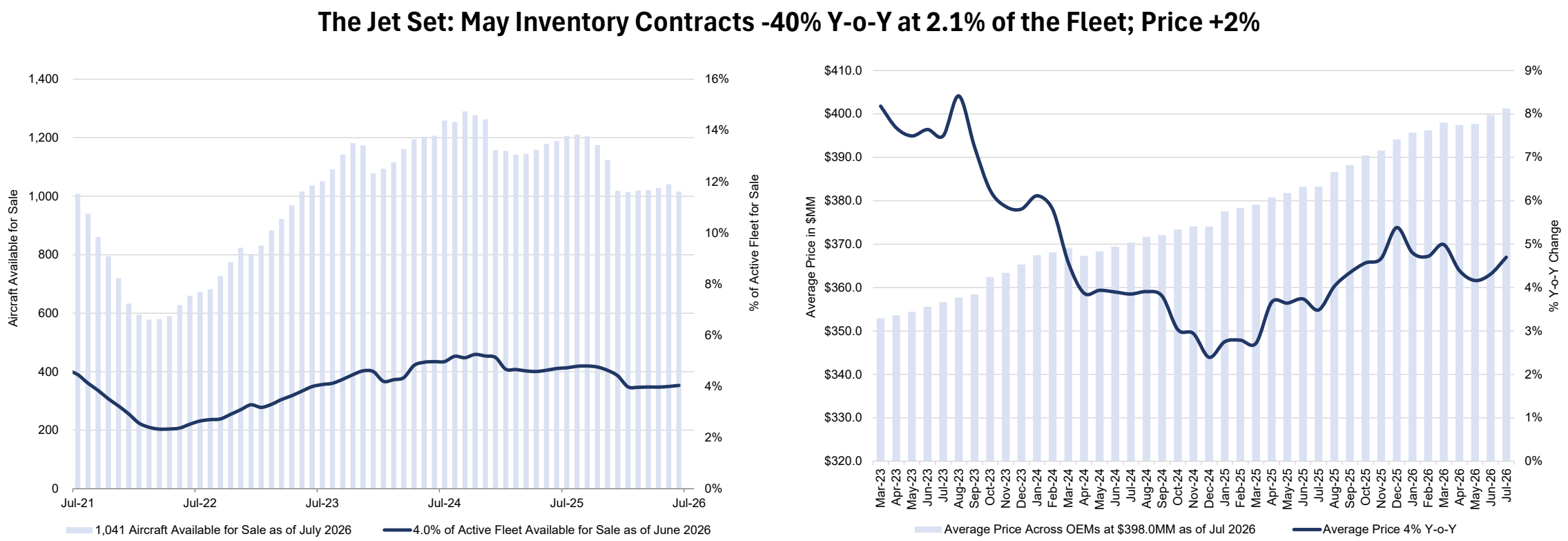
Five New Product Introductions Planned in 2026 to 2027, Including Three from TXT Cessna

OEM	Model	Range (nm)	# of Seats in Typical Config	Initial Announcement	EIS	Avionics Manufacturer	Engine OEM
Bombardier	Challenger 350	3,200	8	May 2013	June 2014	COL Pro Line Fusion	HON HTF7350
Cessna	Citation X	3,242	9	September 2011	June 2014	Garmin G5000	RR AE 3007C1
Embraer	Legacy 500	3,000	12	October 2007	October 2014	COL Pro Line Fusion	HON HTF7500E
Gulfstream	G650ER	7,500	16	May 2014	Q1:2015	HON Primus 1000	RR BR725
Bombardier	Challenger 650	4,000	12	October 2014	July 2015	COL Pro Line Fusion	GE CF34-3B
Cessna	Citation Latitude	2,700	8	October 2011	Q3:2015	Garmin G5000	PWC PW306D1
Embraer	Legacy 450	2,900	7 to 9	May 2008	Q4:2015	COL Pro Line Fusion	HON HTF7000
Dassault	8X	6,450	19	May 2014	October 2016	HON EASy III	PW307D
Pilatus	PC-24	2,035	9	May 2013	Late 2017	HON Pilatus ACE	Williams FJ44-4A
Bombardier	Global 7500	7,700	19	October 2010	H2:2018	COL Pro Line Fusion	GE Passport
Gulfstream	G500	5,200	18	October 2014	Q3:2018	HON Symmetry Flight Deck	PW800
Embraer	Praetor 600	3,900	8 to 12	October 2018	Q2:2019	COL Pro Line Fusion	HON HTF7000
Gulfstream	G600	6,500	18	October 2014	Q3:2019	HON Symmetry Flight Deck	PW800
Bombardier	Global 5500	5,700	16	May 2018	Jul-20	COL Pro Line Fusion	RR BR710 Pearl
Bombardier	Global 6500	6,600	17	May 2018	Q3:2019	COL Pro Line Fusion	RR BR710 Pearl
Cessna	Citation Longitude	3,500	12	November 2015	Q4:2019	Garmin G5000	HON HTF7700L
Embraer	Praetor 500	3,250	7 to 9	October 2018	Q4:2019	COL Pro Line Fusion	HON HTF7000
Cessna	CJ4 Gen 2	2,165	10	February 2021	2021	COL Pro Line 21	Williams FJ44-4A
Bombardier	Challenger 3500	3,200	10	September 2021	Q3:2022	COL Pro Line Fusion	HON HTF7350
Dassault	6X	5,500	16	February 2018	Q4:2023	HON EASy IV	PW812D
Gulfstream	G700	7,500	19	October 2019	Q2:2024	HON Symmetry Flight Deck	RR BR710 Pearl
Gulfstream	G800	8,000	19	October 2021	Q3:2025	HON Symmetry Flight Deck	RR Pearl 700
Bombardier	Global 8000	8,000	19	May 2022	Q4:2025	Bombardier Vision	GE Passport
Cessna	Ascend	1,900	9 to 12	May 2023	Q4:2025	Garmin G5000	PW545D
Beechcraft	Denali	1,600	8 to 11	July 2021	2026	Garmin G3000	GE Catalyst
Cessna	CJ4 Gen3	2,165	11	October 2024	2026	Garmin G3000 PRIME	Williams FJ44-4A
Dassault	10X	7,500	19	May 2021	2027	Dassault Digital Flight Control	RR Pearl 10X
Cessna	CJ3 Gen3	2,040	10	October 2024	2027	Garmin G3000	Williams FJ44-3A
Cessna	M2 Gen3	1,550	8	October 2024	2027	Garmin G3000	Williams FJAA-1AP-21

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

Jet Set: Used Inventories and Average List Prices



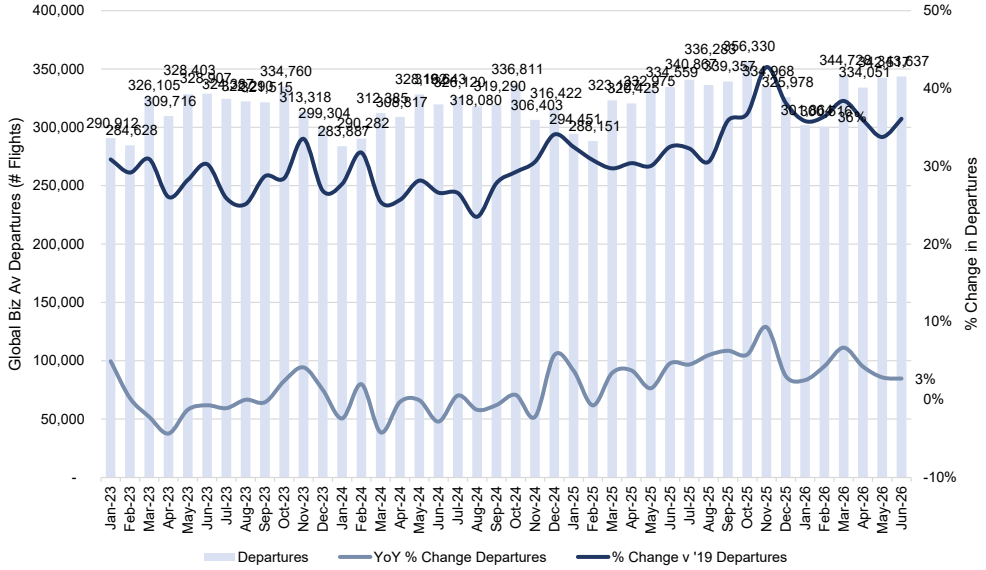
- The total number of used business jets for sale in July 2026 was 1,016, falling 15% y-o-y and 2% sequentially (flat over past 6 mos).
- For jets less than seven years out of production, inventories were -44% y-o-y and -3% m-o-m, w/ inventories sitting at 2.0% of the fleet.
- Lower inventory levels resulted in better pricing, up +4% y-o-y and +1% m/m.

Source: AMSTAT and Jefferies estimates

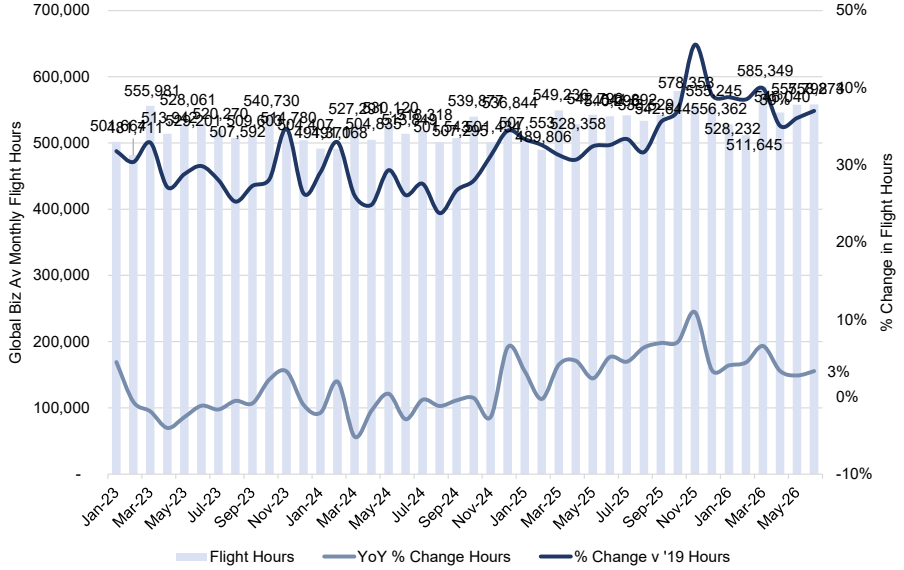
Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

What's Up in Teterboro: Business Jet Departures

Global Business Jet Departures +3% Y-o-Y in June



Global Business Jet Hours +3% Y-o-Y in June



Departures	M-o-M	Y-o-Y	vs 2019	YTD Y-o-Y
North America	3%	5%	37%	5%
Europe	3%	-1%	14%	2%
Asia Pacific	3%	-5%	77%	-6%
Global Total	**3%**	**3%**	**36%**	**4%**
Fractional/ Charter	3%	3%	49%	4%
Private Flight Dept	3%	8%	108%	12%
Aircraft Management	3%	0%	28%	2%
Corporate Flight Dept	3%	-10%	-22%	-9%
Global Total	**3%**	**3%**	**36%**	**4%**

Departures	M-o-M	Y-o-Y	vs 2019	YTD Y-o-Y
NetJets	3%	10%	76%	12%
Flexjet	3%	10%	226%	11%
flyExclusive	3%	12%	218%	6%
Fractional/Charter Total	**3%**	**3%**	**49%**	**4%**

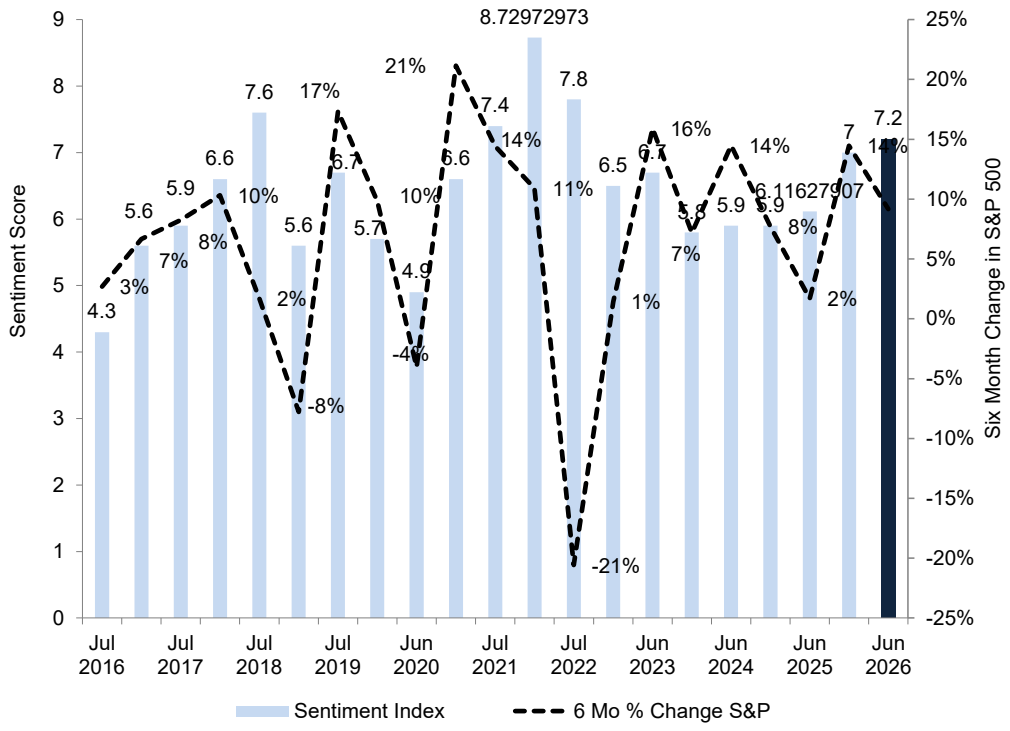
- On a global basis, biz jet departures are +4% y-o-y YTD and up +3% y-o-y in June. The y-o-y increase in June was driven by North America up 5%, while Europe -1% and Asia Pac -5% lagged, including portions of the Middle East, -15%. Excluding ME, Europe was flat y-o-y and Asia increased +1%. In terms of operator types, Private Flight Depts were up 8% y-o-y in June, partly offset by Corporate Flight Depts -10%.
- Flight hours were up 3% y-o-y and +37% from 2019 in June.

Source: WingX and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

Biz Jet Survey Says: Lower Inventories Boost Sentiment to 7.2 Out of 10

Market Activity Score of 7.2 in June 2026, an Increase from 7.0 in our Jan 2026 Survey Results



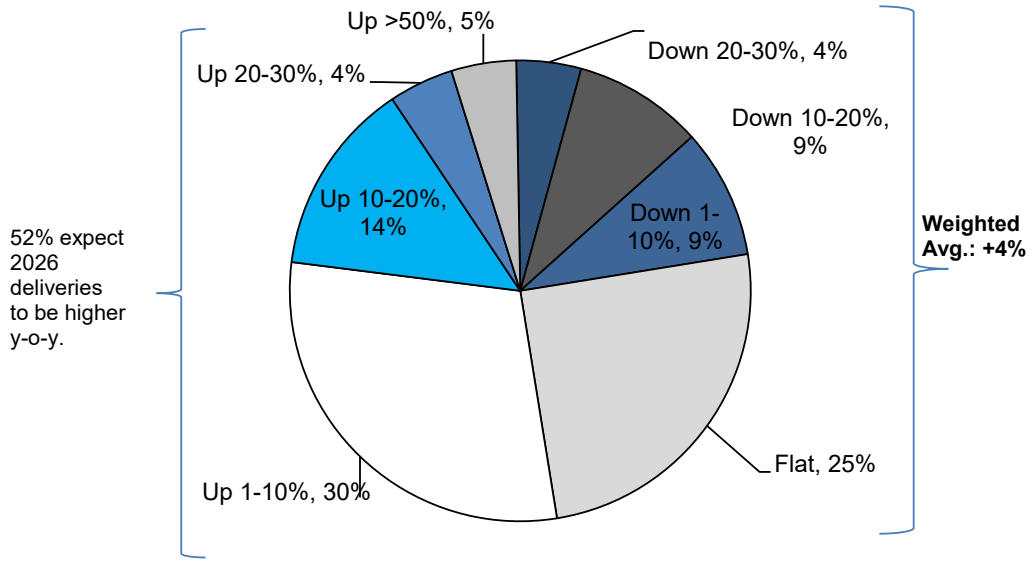
- Our 21st semi-annual business jet survey. Throughout May 2026, we received detailed responses from ~80 business jet brokers globally. The sentiment index increased 3% to 7.2 on a 10-point scale, vs the all-time high of 8.7 in our January 2022 survey and 7.0 in our January 2026 survey.
- Brokers Remain Optimistic On 2026 Volume Outlook - Avg Up 4%. This compares to 5% for 2026 in our Jan survey. We est biz jet deliveries +2% in 2026 (for new jets vs most brokers focused on used) as Gulfstream, Cessna and Dassault deliver on new jet introductions. In terms of demand, 27% of respondents pointed to lower used jet inventories tightening the market, signaling robust demand. Similarly, 25% pointed to a strong used market with long lead times for new jets (vs 20% in Jan).
- The return of Bonus Depreciation was the lead market driver (57%) in January, which has fallen to just 15% in June 2026. Looking forward, the primary concern is an economic slowdown in key end mkts (44%), followed by Middle East unrest. For customer end markets, HNWI are expected to lead the market in 2026 w/ Entertainment and Gov't the weakest..

Source: WingX and Jefferies estimates

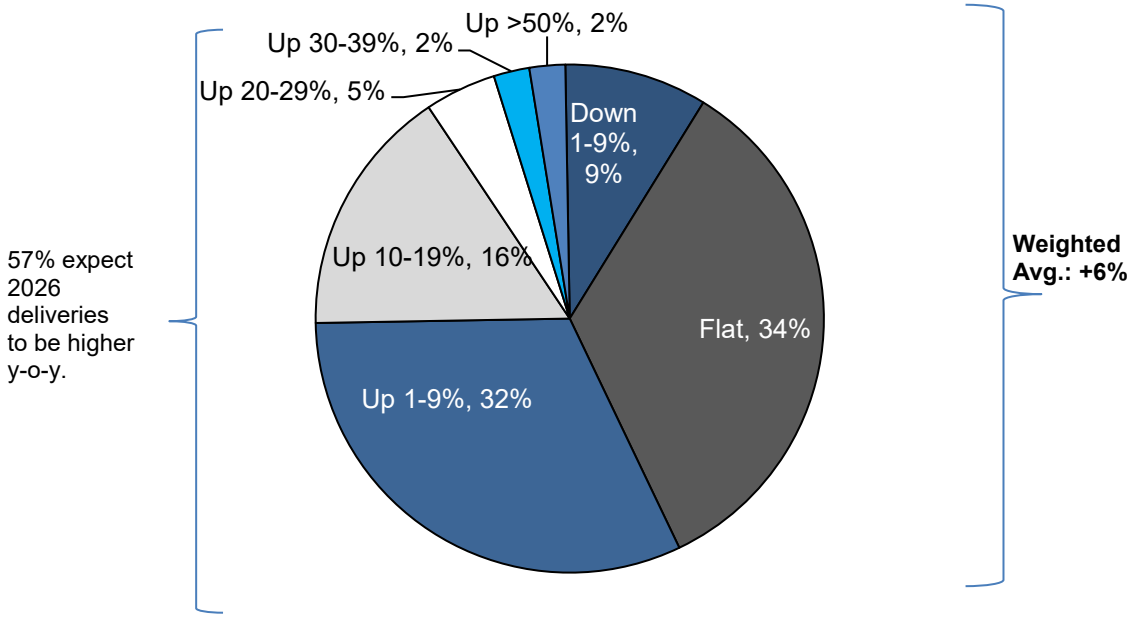
Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

Biz Jet Survey Says: Lower Inventories Boost Sentiment to 7.2 Out of 10

June 2026 Survey: How Do You Expect Your Sales Volume to Shakeout in 2026 vs. 2025?



June 2026 Survey: What Are Your Early Expectations For 2027 Sales Volumes?



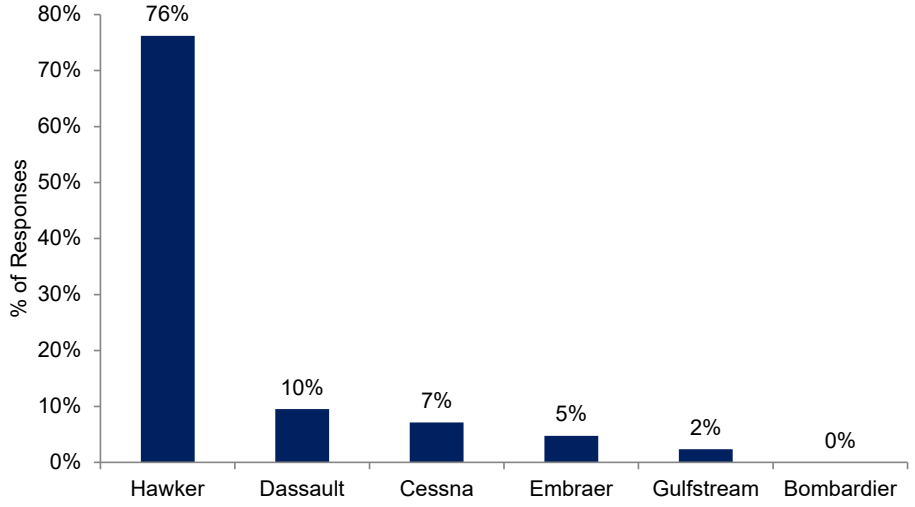
- We asked respondents to state expectations for sales volume for the business jet market in 2026 versus 2025. The responses skewed positively, with 52% expecting improvement and 23% expecting a down tick in volumes. The remaining 25% expect a flat year for 2026 versus 27% in our January survey. On avg, our respondents anticipate a 4% increase in 2026 from 2025.
- We also asked respondents about their early expectations for sales volumes in 2027. 34% of respondents expect volumes to be flat in 2027, while 32% expect volumes up 1-9%. On average, respondents expect volumes to increase 6% in 2027, with 57% of respondents anticipating higher volumes.

Source: WingX and Jefferies estimates

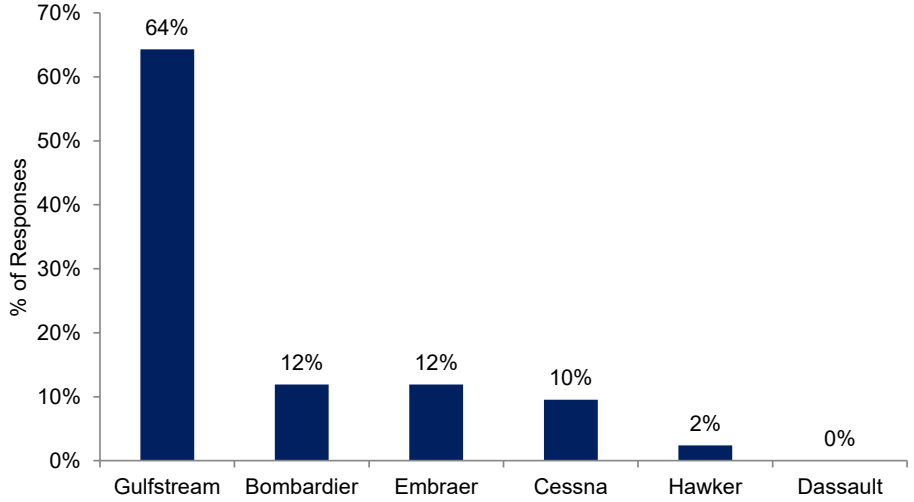
Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

Biz Jet Survey Says: Lower Inventories Boost Sentiment to 7.2 Out of 10

June 2026 Survey: What OEM Has Experienced the Weakest Market Interest - From a Demand Perspective?



June 2026 Survey: What OEM Has Experienced the Highest Market Interest - As Far as Inventory Turnover?



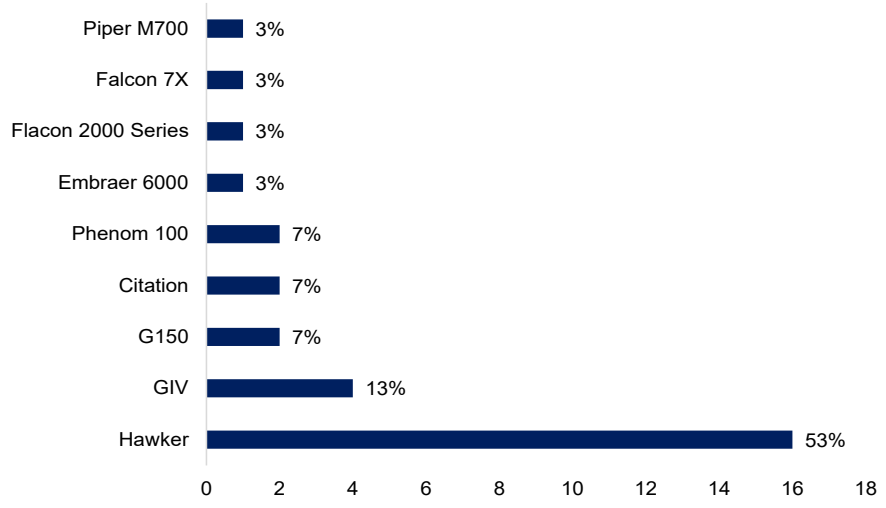
- The OEM with the weakest market interest according to respondents was Hawker (76%), followed by Dassault (10%) and Cessna (7%). In the previous, January 2026 survey, 67% of respondents believed that Hawker had experienced the weakest market interest. Hawker has been the least-desired OEM in our past nine surveys.
- On the other hand, 64% of respondents selected Gulfstream and 12% selected Bombardier and Embraer each as the product line with the most customer interest. Cessna was chosen by 10% of respondents in the June 2026 survey. Gulfstream was the most popular for the fourth consecutive survey.

Source: WingX and Jefferies estimates

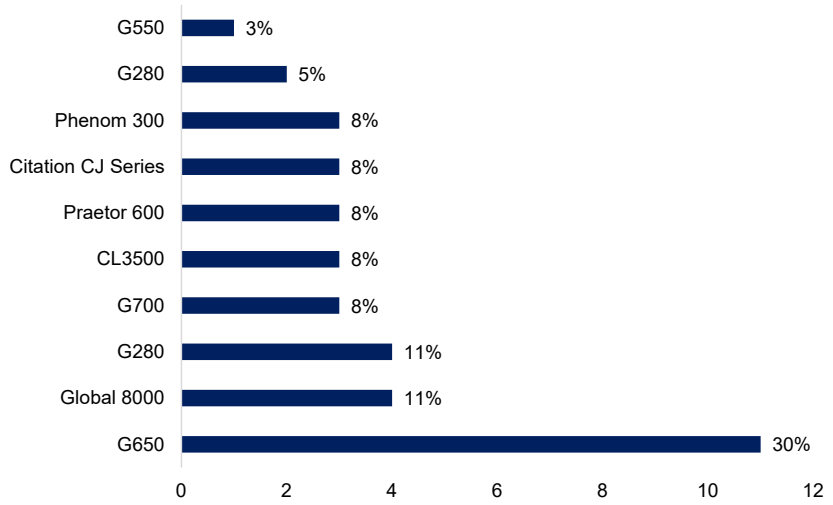
Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

Biz Jet Survey Says: Lower Inventories Boost Sentiment to 7.2 Out of 10

June 2026 Survey: Which Aircraft Have the Lowest Demand Relative to Availability? Higher # of Respondents Is Tougher to Sell



June 2026 Survey: Which Aircraft Type(s) Have the Highest Demand Relative to Availability; Phrased Differently Which Aircraft is Experiencing the Least Amount of Time on the Market?



- Hawkers held the top position as the most “difficult” aircraft to sell in the most recent survey, unchanged from our last survey. The GIV followed, demonstrating less popularity than in our January 2026 results.
- The Gulfstream G650 & Global 8000 models have had the strongest demand in the market, followed by the G280. Another notable answer was the G700. In our Jan 2026 survey, we saw the Gulfstream G800/G700, as well as the Dassault 10X/6X.

Source: WingX and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

Defense

Sheila Kahyaoglu, Equity Analyst, 212.336.7216, sheila.kahyaoglu@jefferies.com

FY27 Defense Budget Update: Discretionary spending of $1.07TT

House Appropriations Procurement Line Items ($BB)

Line Item	FY21 Enacted	FY22 Enacted	FY23 Enacted	FY24 Actuals	FY25 Enacted	FY26 Enacted	FY27 Base Request	FY27 Reco-nciliation	FY27 Total	FY27 HAC	HAC vs. FY26 Enacted
Procurement ($BB)											
Army Aircraft Procurement	$4.1	$3.2	$3.8	$3.3	$3.5	$4.1	$1.9	$0.0	$1.9	$2.8	-30%
Army Missile Procurement	4.0	6.4	4.7	8.7	7.5	8.0	12.1	24.5	36.6	11.4	43%
Army Weapons & Tracked Combat Veh.	3.6	5.3	4.5	6.9	5.9	3.5	3.7	0.0	3.7	3.7	6%
Army Procurement of Ammunition	2.9	3.7	4.0	10.2	4.5	4.9	5.5	0.0	5.5	5.4	9%
Army Other Procurement	9.5	11.4	9.7	11.0	10.1	10.1	12.7	0.0	12.7	11.8	18%
Navy Aircraft Procurement	19.5	17.7	19.0	19.8	15.9	17.7	26.9	7.5	34.4	25.5	44%
Navy Weapons Procurement	4.5	4.0	4.8	6.6	7.1	10.2	11.8	10.9	22.6	11.4	13%
Navy and USMC Ammunition	0.9	0.9	0.9	2.1	1.9	1.3	2.0	0.0	2.0	1.8	34%
Navy Shipbuilding & Conversion	23.3	26.9	32.0	28.0	39.0	49.6	60.2	5.6	65.8	56.7	14%
Navy Other Procurement	10.9	11.1	12.1	22.9	15.8	20.5	18.9	0.1	18.9	17.5	-15%
Marine Corps Procurement	2.7	3.9	3.7	4.7	3.8	4.0	6.3	0.0	6.3	5.4	34%
Air Force Aircraft Procurement	20.0	18.3	22.2	20.7	19.8	30.1	27.0	3.7	30.6	27.4	-9%
Air Force Missile Procurement	2.4	2.6	3.0	6.4	5.3	6.3	6.8	4.6	11.4	6.8	7%
Air Force Procurement of Ammunition	1.3	0.7	0.9	0.6	1.0	0.9	0.9	0.0	0.9	0.9	1%
Space Force Procurement	2.3	3.0	4.5	4.1	4.0	4.3	9.6	9.4	19.1	9.6	124%
Air Force Other Procurement	23.8	26.9	29.2	34.6	31.0	33.1	39.2	0.0	39.2	37.3	13%
Defense-Wide Procurement	7.3	9.6	8.6	14.0	10.3	15.3	12.1	89.3	101.4	12.9	-16%
Total Procurement	**$142.9**	**$155.5**	**$167.6**	**$204.6**	**$186.5**	**$223.8**	**$257.6**	**$155.5**	**$413.1**	**$248.3**	**11%**

- The House Appropriators released their FY27 Defense Bill, w/ total discretionary spending of $1.07TT. Spending levels allocated by House Appropriators were ~in line with the President's FY27 base budget request of $1.15TT, with funding for military construction spelled out in a separate bill. The bill also included an amendment to formalize the renaming of the DoD to the Department of War.
- While the proposed bill does not address funding for the administration's $350BB reconciliation request, there are several notable takeaways with the House Bill: Munitions: $11.4BB for critical munitions procurement, >$4.7BB above the FY26 enacted w/ broad MYP (multiyear procurement) authority expansion plus seed funding for new-entrant low-cost systems creates a durable multiyear demand signal for incumbents (LMT, RTX). Shipbuilding: $56.7BB / 21 ships supports GD and HII; Trump-class battleship advanced procurement preserved. Sixth-gen advancing: F-47 (BA) at $5.0BB and F/A-XX at $915MM (+$847MM vs. request). E-7 saved: $1.55BB restoration positive for BA. F-35 risk flagged: Committee questions whether OMB's split allows full 32 aircraft buy vs funds for 6. Golden Dome funding gap $398MM discretionary vs. $17.1BB in reconciliation is still uncertain. Autonomy: DAWG ($1.0BB) and JIATF 401 ($1.4BB) new funding vehicles to watch.

Source: DoD and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

FY26 Investment Budget & Reconciliation Bill

FY26 President's Request -4.4% vs FY25 Enacted, But +24.4% with Reconciliation Funding

Line Item	FY21 Enacted	FY22 Enacted	FY23 Enacted	FY24 Actuals	FY25 Enacted	FY26 Base Request	FY26 Reco-nciliation	FY26 Total	FY26 SAC	FY26 HAC	FY26 SAC vs. Request	FY26 HAC vs. Request
Procurement ($BB)												
Army Aircraft Procurement	$4.1	$3.2	$3.8	$3.3	$3.5	$3.0	$0.0	$3.0	$3.3	$3.0	$0.3	($0.1)
Army Missile Procurement	4.0	6.4	4.7	8.7	6.0	6.9	1.6	8.5	9.4	6.7	2.4	(0.3)
Army Weapons & Tracked Combat Veh.	3.6	5.3	4.5	6.9	3.7	2.9	0.0	2.9	2.5	3.3	(0.4)	0.4
Army Procurement of Ammunition	2.9	3.7	4.0	10.2	3.0	3.7	0.0	3.7	4.6	2.9	0.8	(0.9)
Army Other Procurement	9.5	11.4	9.7	11.0	9.5	9.6	0.4	10.0	9.3	7.7	(0.3)	(1.9)
Navy Aircraft Procurement	19.5	17.7	19.0	19.8	15.9	17.0	0.1	17.1	15.6	18.0	(1.4)	1.0
Navy Weapons Procurement	4.5	4.0	4.8	6.6	6.3	5.6	2.2	7.8	6.1	7.4	0.5	1.8
Navy and USMC Ammunition	0.9	0.9	0.9	2.1	1.6	1.1	0.1	1.3	1.1	1.1	(0.1)	(0.0)
Navy Shipbuilding & Conversion	23.3	26.9	32.0	28.0	39.0	20.8	26.5	47.4	29.3	36.9	8.5	16.1
Navy Other Procurement	10.9	11.1	12.1	22.9	15.1	14.6	3.3	17.9	15.1	14.9	0.5	0.4
Marine Corps Procurement	2.7	3.9	3.7	4.7	3.8	3.8	0.0	3.8	3.6	4.0	(0.1)	0.3
Air Force Aircraft Procurement	20.0	18.3	22.2	20.7	19.9	17.7	7.1	24.8	20.5	21.4	2.8	3.7
Air Force Missile Procurement	2.4	2.6	3.0	6.4	4.3	4.2	1.9	6.2	6.4	4.3	2.1	0.1
Air Force Procurement of Ammunition	1.3	0.7	0.9	0.6	0.6	0.8	0.0	0.8	0.8	0.7	(0.0)	(0.1)
Space Force Procurement	2.3	3.0	4.5	4.1	3.9	3.4	0.3	3.7	3.5	3.7	0.2	0.3
Air Force Other Procurement	23.8	26.9	29.2	34.6	31.1	31.5	0.7	32.2	32.2	31.3	0.7	(0.2)
Defense-Wide Procurement	7.3	9.6	8.6	14.0	7.2	6.5	7.6	14.1	8.0	6.7	1.5	0.2
Total Procurement	**$142.9**	**$155.5**	**$167.6**	**$204.6**	**$174.4**	**$153.3**	**$51.9**	**$205.2**	**$171.3**	**$174.0**	**$18.0**	**$20.7**
% YoY Change		*8.8%*	*7.8%*	*22.1%*	*-14.8%*	*-12.1%*		*17.7%*	*-1.7%*	*-0.2%*		

Line Item	FY21 Enacted	FY22 Enacted	FY23 Enacted	FY24 Actuals	FY25 Enacted	FY26 Base Request	FY26 Reco-nciliation	FY26 Total	FY26 SAC	FY26 HAC	FY26 SAC vs. Request	FY26 HAC vs. Request
Procurement ($BB)												
Army Procurement	$24.1	$30.0	$26.7	$40.1	$25.6	$26.2	$2.0	$28.2	$29.1	$23.5	$2.9	($2.8)
Navy Procurement	61.7	64.5	72.5	84.0	81.8	62.9	32.4	95.3	70.8	82.4	7.9	19.5
Air Force Procurement	47.5	48.4	55.2	62.3	55.8	54.2	9.7	63.9	59.8	57.7	5.6	3.5
Space Force Procurement	2.3	3.0	4.5	4.1	3.9	3.4	0.3	3.7	3.5	3.7	0.2	0.3
Defense Wide Procurement	7.3	9.6	8.6	14.0	7.2	6.5	7.6	14.1	8.0	6.7	1.5	0.2
Total Procurement	**$142.9**	**$155.5**	**$167.6**	**$204.6**	**$174.4**	**$153.3**	**$51.9**	**$205.2**	**$171.3**	**$174.0**	**$18.0**	**$20.7**
Research, Development, Test, and Evaluation ($BB)												
Army RDT&E	$14.1	$14.7	$17.1	$17.1	$14.4	$14.5	$0.8	$15.4	$15.3	$13.5	$0.8	($1.0)
Navy RDT&E	20.1	22.0	26.0	28.0	26.0	25.7	3.5	29.2	27.4	27.0	1.7	1.3
Air Force RDT&E	36.4	41.5	44.9	47.7	46.9	52.0	10.2	62.2	49.3	51.1	(2.8)	(0.9)
Space Force RDT&E	10.5	11.6	16.6	18.5	18.6	15.5	13.5	29.0	15.1	19.1	(0.4)	3.6
Defense Wide RDT&E	26.0	29.5	34.5	37.8	35.2	33.9	8.9	42.8	33.1	36.5	(0.8)	2.6
Operational Test & Eval	0.3	0.3	0.4	0.3	0.3	0.3	0.1	0.4	0.3	0.3	0.0	0.0
Total RDT&E	**$107.5**	**$119.5**	**$139.7**	**$149.5**	**$141.4**	**$142.0**	**$37.1**	**$179.1**	**$140.5**	**$147.6**	**($1.5)**	**($1.0)**
% YoY Change		*11.2%*	*16.9%*	*7.0%*	*-5.5%*	*0.5%*		*26.7%*	*-0.6%*	*4.4%*		
Total Investment Spending	**$250.4**	**$275.0**	**$307.2**	**$354.1**	**$315.7**	**$295.3**	**$89.0**	**$384.3**	**$311.9**	**$321.6**	**$16.6**	**$19.7**
% YoY Change		*9.8%*	*11.7%*	*15.3%*	*-10.8%*	*-6.5%*		*21.7%*	*-1.2%*	*1.9%*		

- The president's FY26 Base Request includes $153BB for Procurement (-8.5% vs FY25) and $142BB for RDT&E (+0.5% vs FY25), for total investment account of $295BB (-4.3% vs FY25).
- The reconciliation bill provides for $150BB in defense spending over ~3 years and is a cornerstone to growth in FY26.
- Reconciliation adds $52BB to Procurement and $37BB to RDT&E in FY26, which drives 22% growth in Procurement vs FY25, 27% growth in RDT&E vs FY25, and 24% overall growth.
- Congressional markups are underway for the FY26 appropriations bill.

Source: DoD and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

FY26 Major Programs

			FY2024		FY2025		FY2026 Discretionary		FY2026 Mandatory		FY2026 Total		FY26 vs. FY25
Contractor	Program	Program	Budget	Quantity	Budget	Quantity	Budget	Quantity	Budget	Quantity	Budget	Quantity	
LMT/RTX/NOC	F-35	Joint Strike Fighter	$14,271	86	$13,333	74	$12,121	47	$1,000		$13,121	47	-2%
LMT/NOC/Others	MWMT	Missile Warning / Missile Tracking	4,881		4,701		3,531		9,436		12,967		176%
GD/HII	SSN 774	VIRGINIA Class Submarine	11,001	2	13,896	1	5,082	1	7,135	1	12,216	2	-12%
GD/HII	OR	Columbia Class Ballistic Missile Submarine	8,195	1	9,905	1	9,554	1	1,926		11,480	1	16%
NOC	B-21	Long Range Strike	5,149		5,255		5,799		4,491		10,290		96%
Various	Ammunition	Ammunition	13,462		5,847		6,331				6,331		8%
GD/HII	DDG 51	ARLEIGH BURKE Class Destroyer	6,706	2	8,634	3	363		5,577	2	5,940	2	-31%
BA/NOC/RTX/GD	SATCOM	Satellite Communications Projects	3,905		4,515		5,931				5,931		31%
NOC	LGM-35A	Sentinel	4,329		2,017		2,658		1,500		4,158		106%
HII	LHA	LHA America Class Amphibious Assault Ship	1,874		217		55		3,989	1	4,044	1	1760%
BA	F-15 EX/Mods	Eagle	3,207	24	2,370	18	789		3,011	21	3,800	21	60%
LMT	Trident II	Trident II Ballistic Missile Modification	1,872		2,393		3,742				3,742		56%
HII	CVN 78	GERALD R. FORD Class Nuclear Aircraft Carrier	2,684		2,216		3,624		23		3,647		65%
BA	F-47	NGAD	1,955		2,424		2,579		900		3,479		44%
BA/RTX	KC-46A	Tanker	3,022	15	3,089	15	3,284	15			3,284	15	6%
HII	LPD-17	San Antonio Class Amphibious Transport	574		1,647	1	109		2,693	1	2,802	1	70%
RTX/NOC/LMT/Other Prime	Hyper	Hypersonic Defense	3,602		1,584		1,882		805		2,687		70%
BA/NOC/RTX/LMT	GMD	Ground-Based Midcourse Defense/NGI	2,974		2,483		2,447		55		2,502		1%
LMT/RTX	Patriot /PAC-3/LTAMDS	Patriot Advanced Capability	1,179		904		1,835		665		2,500		177%
LMT	CH-53K	Heavy Lift Replacement Helicopter	2,506	15	2,983	20	2,478	12			2,478	12	-17%
NOC/ULA/SpaceX/Others	NSSL/RSLP	Launch Enterprise	3,071	15	2,439	11	2,309	11	141		2,450	11	0%
HII	CVN	CVN Refueling Complex Overhaul	551		1,487	1	2,274				2,274		53%
NOC/LMT	E-2D	Advanced Hawkeye	1,206	2	584		2,124	4			2,124	4	264%
GD	T-AO 205	John Lewis Class Fleet Replenishment Oiler	968	1	256		91		1,930	2	2,022	2	691%
LMT/RTX	F-22	Raptor	1,054		1,650		1,914		100		2,014		22%
BA/GE	F/A-18E/F	Super Hornet	1,799		1,660		1,982				1,982		19%
TBD	Medium Landing Ship	Medium Landing Ship	12		36		12		1,964	9	1,976	9	5435%
LMT/RTX	AEGIS	AEGIS Ballistic Missile Defense/SM-3 Missiles	2,056	48	1,618	18	1,396	12	406		1,802	12	11%
LMT	THAAD	Terminal High Altitude Area Defense	458	11	558	12	1,070	25	455	12	1,525	37	173%
NOC	B-1, B-2, B-52	Bombers	1,150		1,315		1,475				1,475		12%
GD	M-I	Abrams Tank Modification	1,421	100	1,051	30	1,464	30			1,464	30	39%
LMT/RTX	PAC-3/MSE	PAC-3/Missile Segment Enhancement Missile	2,815	230	905	214	946	233	413	12	1,359	245	50%
LDOS/LMT/RTX/Epirus	IFPC	Indirect Fire Protection Capability	430		693		1,079		188		1,267		83%
LMT	GMLRS	Guided Multiple Launch Rocket Systems	1,669		1,221		1,263				1,263		3%
RTX	SM-6	Standard Missile-6	1,504	97	983	78	633	10	630	129	1,263	139	28%
TXT	FLRAA	Future Long-Range Assault Aircraft	1,006		1,259		1,249				1,249		-1%
LMT	LRASM	Long Range Anti-Ship Missile	1,368	209	967	205	768	149	401	89	1,168	238	21%
BA	MQ-25	Stingray	562		425		1,042	3	100		1,142	3	169%
LMT	JASSM	Joint Air-to-Surface Standoff Missile	2,860	1,140	1,003	450	561	144	490	245	1,051	389	5%
RTX	LRSO	Long Range Stand-Off Missile	924		804		1,051				1,051		31%
LMT	C-130J	Hercules	2,027	11	1,392	3	785		214		999		-28%
LMT/NOC/LDOS/Others	LRHW	Long Range Hypersonic Weapon	1,036		1,139		891		85		976		-14%
RTX	Tomahawk	Tactical Tomahawk	884	30	708	22	278		668	57	946	57	34%
LMT/NOC/LDOS	CPS	Conventional Prompt Strike	1,292		1,129		857				857		-24%
BAE	ACV	Amphibious Combat Vehicle	633	80	857	80	835	91			835	91	-3%
TXT/BA	V-22	Osprey	1,443	5	645		684		144		828		28%
RTX	AMRAAM	Advanced Medium Range Air-to-Air Missile	1,011	757	668	471	516	277	300	257	816	534	22%
General Atomics/Anduril	CCA	Collaborative Combat Aircraft	392		712		126		678		804		13%
RTX/NOC	HACM	Hypersonic Attack Cruise Missile	333		467		803				803		72%
NOC	AARGM-ER	Advanced Anti-Radiation Guided Missile	547	100	749	270	760	246			760	246	1%
LMT	UH-60	Black Hawk	1,015	52	952	26	756	24			756	24	-21%
GD/Others	TNT-MIS	Tactical Network Technology	339		256		724				724		182%
LMT	MRIC	Medium-Range Intercept Capability	288		370		654		61		714		93%
BA	CH-47	Chinook	514	9	743	10	709	11			709	11	-5%
RTX/LMT/BAE/Other Prime	PNT	Positioning, Navigation, and Timing	956		1,498		703				703		-53%
NOC	RQ-4 / MQ-4C	Global Hawk/Triton/NATO AGS	715	2	705		691				691		-2%
BA	PAR	VC-25B Presidential Aircraft Recapitalization	95		434		676				676		56%
BA	T-7A Program	Advanced Pilot Training Program	72		335		649	14			649	14	94%
BAE	AMPV	Armored Multi-Purpose Vehicle	604	57	394	56	565	86			565	86	44%
LMT	PrSM	Precision Strike Missile	1,311	98	642	230	161	45	400	107	561	152	-13%
LMT/RTX/BAE	SMRF	Strategic Mid-Range Fires	450		416		500				500		20%
Other Prime/Thales/RTX	HMS	Handheld, Manpack, and Small Form Fit	726	13,189	654	10,206	482	7,966			482	7,966	-26%
RTX	SDB - II	Small Diameter Bomb II	450	1,001	449	1,148	443	1,079			443	1,079	-1%
SIG Sauer/Vortex Optics	NGSW	Next-Generation Squad Weapon	343	33,710	389	40,311	396	38,314			396	38,314	2%
TBD	XM30	XM30 Combat Vehicle	565		500		386				386		-23%
RTX/LMT	Javelin	Javelin Advanced Anti-Tank Weapon	1,041	1,279	288	573	372	705			372	705	29%
General Atomics	MQ-9	Reaper	577	5	278		328		12		340		22%
RTX	AIM-9X	Air Intercept Missile - 9X	431	601	254	293	306	319			306	319	21%
BAE	PIM	Paladin Integrated Management	783	57	611	20	263	10			263	10	-57%
RTX	NSM	Naval Strike Missile	274	103	245	102	219	106			219	106	-11%
LMT	JAGM	Joint Air-to-Ground Missile	428	1,400	127	205	218	455			218	455	72%
Bechtel	Chem-Demil	Chemical Demilitarization	1,090		776				213		213		-72%
OSK	JLTV	Joint Light Tactical Vehicle	1,103	2,095	1,022	1,939	203	249			203	249	-80%
BA	JDAM	Joint Direct Attack Munition	206	2,438	167	2,960	188	2,298			188	2,298	12%
BA/NOC/LMT	AH-64E	Apache: Remanufacture/New Build	946	37	660	31	171				171		-74%
BA	MH-139A	Grey Wolf	269	7	334	8	20		150	2	170	2	-49%
LMT	HH-60W	Combat Rescue Helicopter	637	10	416	4	119		48		167		-60%
OSK	FHTV	Family of Heavy Tactical Vehicles	283	364	220	367	149	308			149	308	-33%
GD	Stryker	Stryker	694	150	503	38	146				146		-71%
TBD	USV	Medium and Large Unmanned Surface Vessels	284		178		32		97		130		-27%
RTX	RAM	Rolling Airframe Missile	171	180	147	148	127	123			127	123	-13%
OSK	FMTV	Family of Medium Tactical Vehicles	231	447	262	404	108	104			108	104	-59%
Fincantieri	FFG(X)	Guided Missile Frigate	2,282	2	739		84				84		-89%
GD	M10 Booker	M10 Booker	482	33	487	32	82				82		-83%
BA	SDB - I	Small Diameter Bomb	65	512	45	150	51	511			51	511	14%
General Atomics	MQ-IB/MQ-IC	Predator/Gray Eagle	103		285	8	16		0		16		-94%
Subtotal		**Subtotal**	**$154,912**		**$136,881**		**$117,283**		**$53,494**		**$170,777**		**25%**
% YoY Change			*21.5%*		*-11.6%*		*-14.3%*				*24.8%*		

- The investment accounts represent 40% of the total DoD funding and span more than 2,000 programs, projects & activities. Highlights:

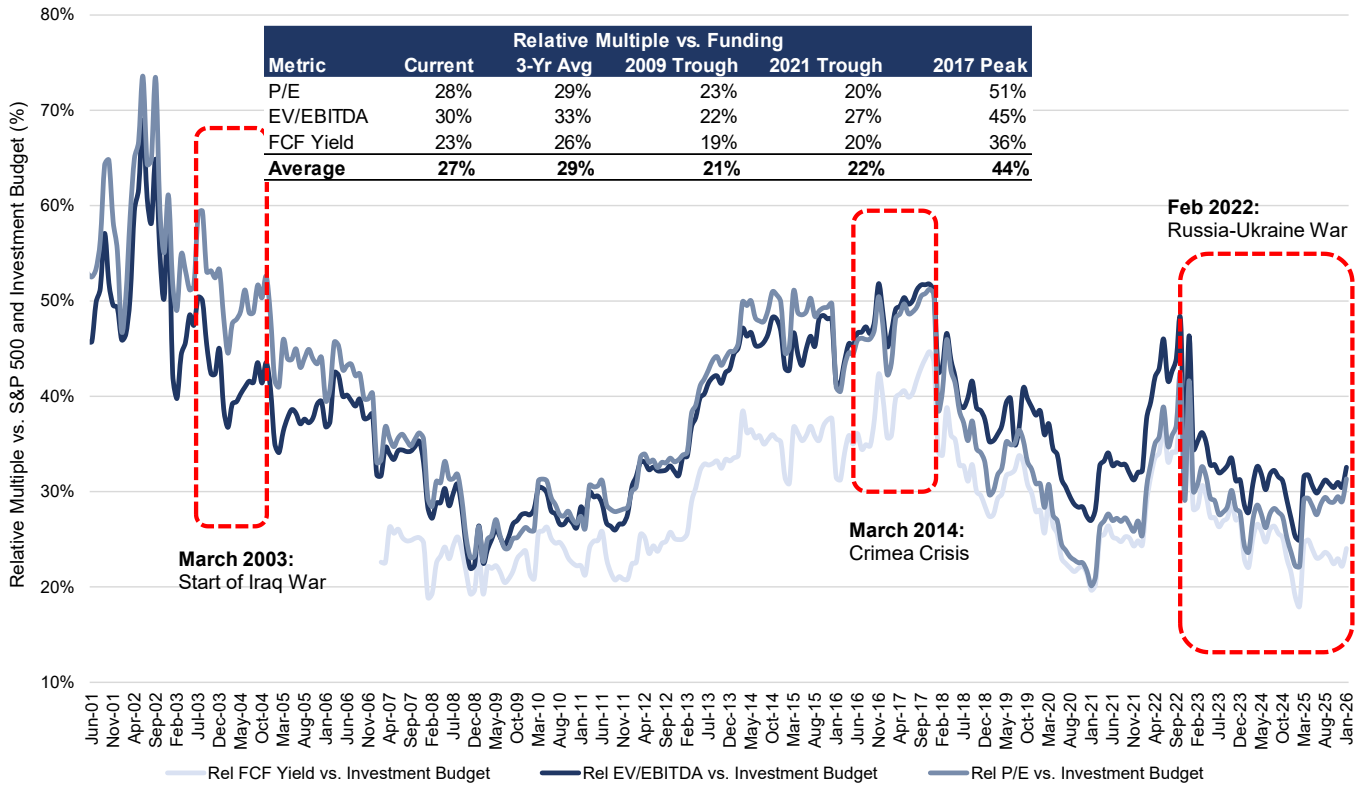
1. **F-35 (LMT):** The largest single weapons program at the DoD, the FY26 discretionary & mandatory budget provides for $13.1BB in funding for 47 fighter jets (-2% vs $13.3BB in FY25), down vs 74 in FY25.
2. **Missile Warning & Tracking:** $13.0BB of FY26 funding (+176% vs $4.7BB in FY25) providing for Next-Gen OPIR (LMT for GEO / NOC for Polar) and resilient MW/MT LEO and MEO constellations .
3. **Virginia (GD/HII):** $12.2BB of FY26 funding (-12% vs $13.9BB in FY25) for the 2nd and 3rd Block VI boats, along with advance procurement.
4. **Columbia (GD/HII):** $11.5BB of FY26 funding (+16% vs $9.9BB in FY25).
5. **B-21 (NOC):** $10.3BB of FY26 funding (+96% vs $5.3BB in FY25) to continue EMD and the transition into LRIP.
6. **Sentinel (NOC):** $4.2BB of FY26 funding (+106% vs $2.0BB in FY25).
7. **F-47 / NGAD (BA):** $3.5BB of FY26 funding (+44% vs $2.4BB in FY25).
8. **MV-75 / FLRAA (TXT):** $1.25BB of FY26 funding (-1% vs $1.26BB in FY25).

Source: DoD and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

Defense Valuation Index to US Budget Growth

Defense Index to Investment Budget at 27% vs LSD Budget Growth Implied at ~30% and Peak Conflict Periods of ~50%



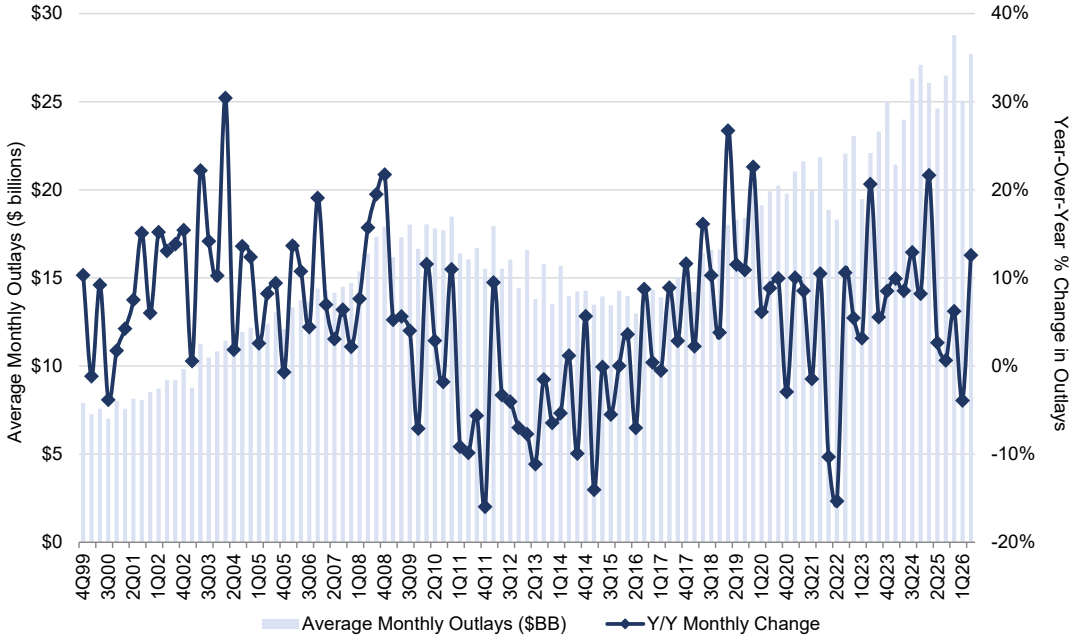
- Our index of defense prime valuations relative to the investment account in today's dollars trades at 28% on P/E, 30% on EBITDA, and 23% on FCF yield.
- An index level of ~30% represents +LSD budget growth, while peak periods of conflict (Iraq, Crimea, Russia-Ukraine) saw the index above 50%.

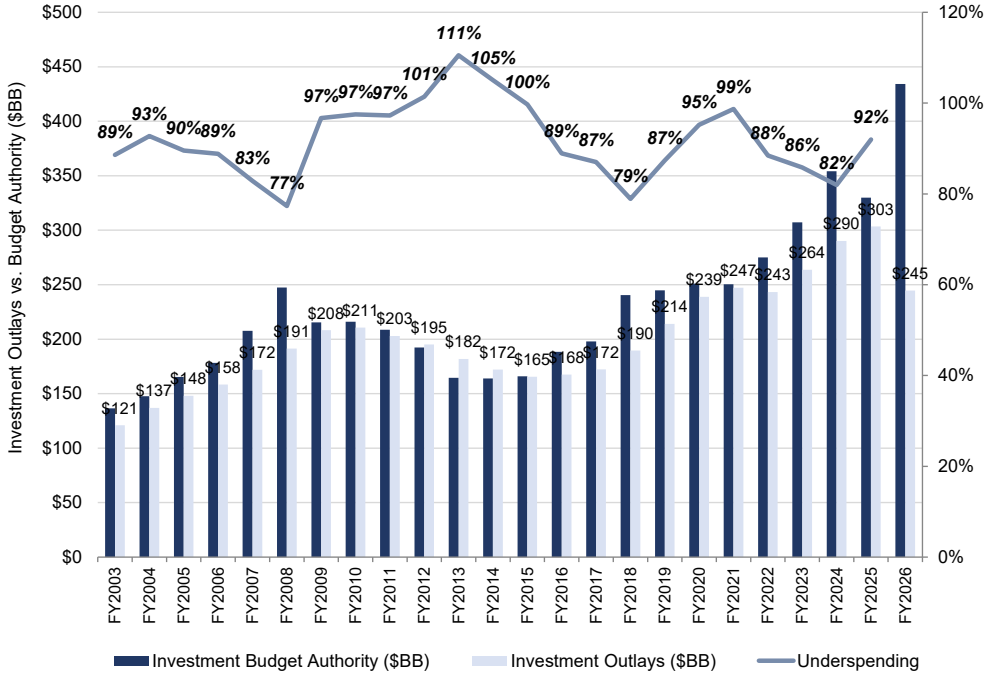
Source: DoD, FactSet and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

Monthly Investment Outlays

Investment Outlays +18% yoy in June; +13% Trailing 3 Mos





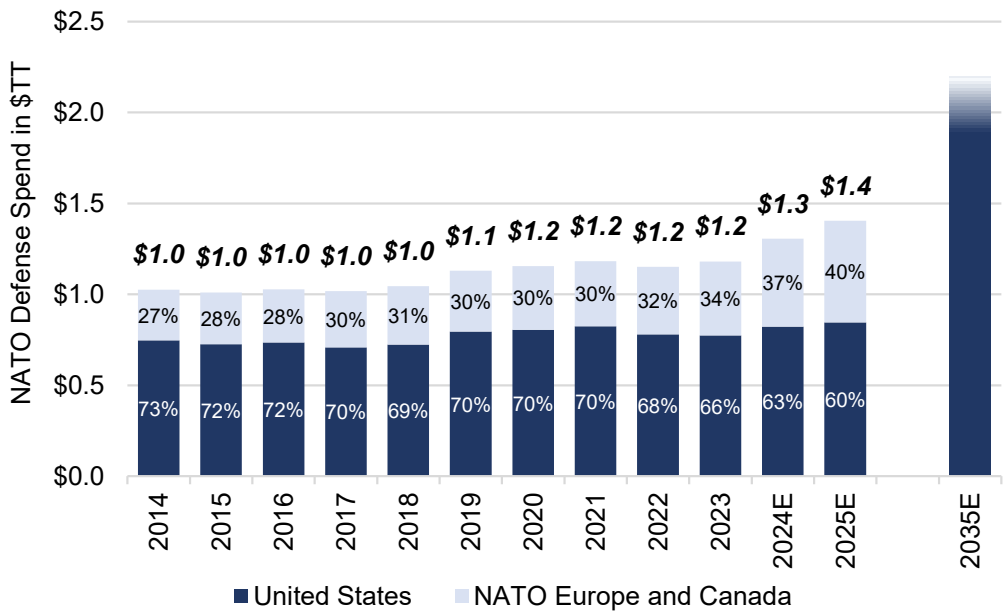
- Investment outlays were +18.3% y-o-y in June, driving +12.6% growth on a trailing-3-month basis w/ T3M R&D +12.9% and Procurement +12.3%.
- FY25 was stronger (+5%), accounting for 92% of FY funding as the government operated under a full-year CR. Supplementals/Reconciliation sway these numbers. The first eight months of GFY26 has tracked to $213BB of outlays or 49% of the funding under the Investment Spending within the enacted budget + FY26 reconciliation.

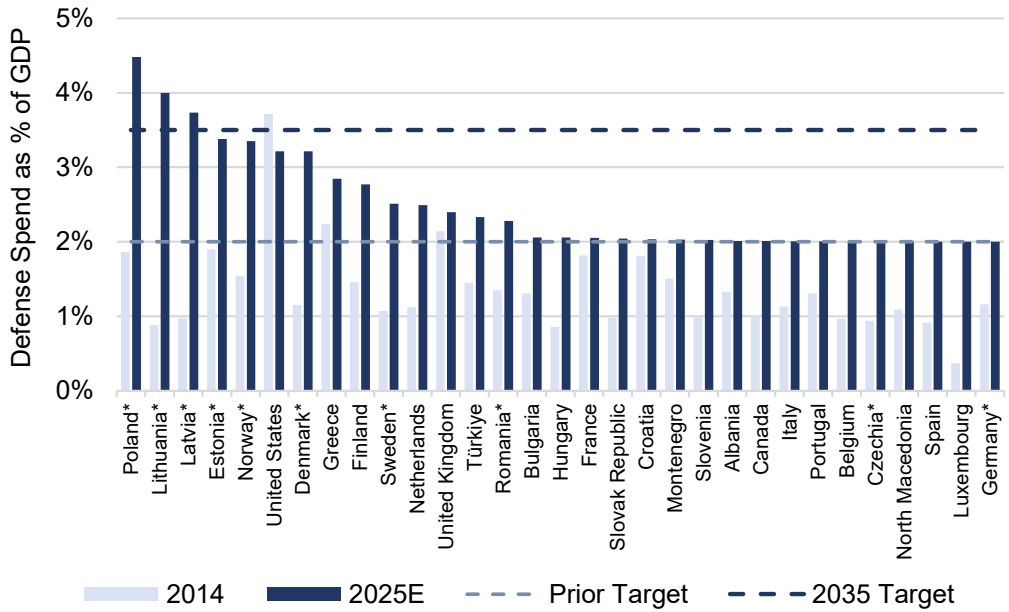
Source: Treasury and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

NATO Committed to 5% of GDP on Defense Spend by 2035

NATO's 3.5% + 1.5% Commitment to Defense Spend by 2035 Could Drive More than $800BB per Year of Additional Spending



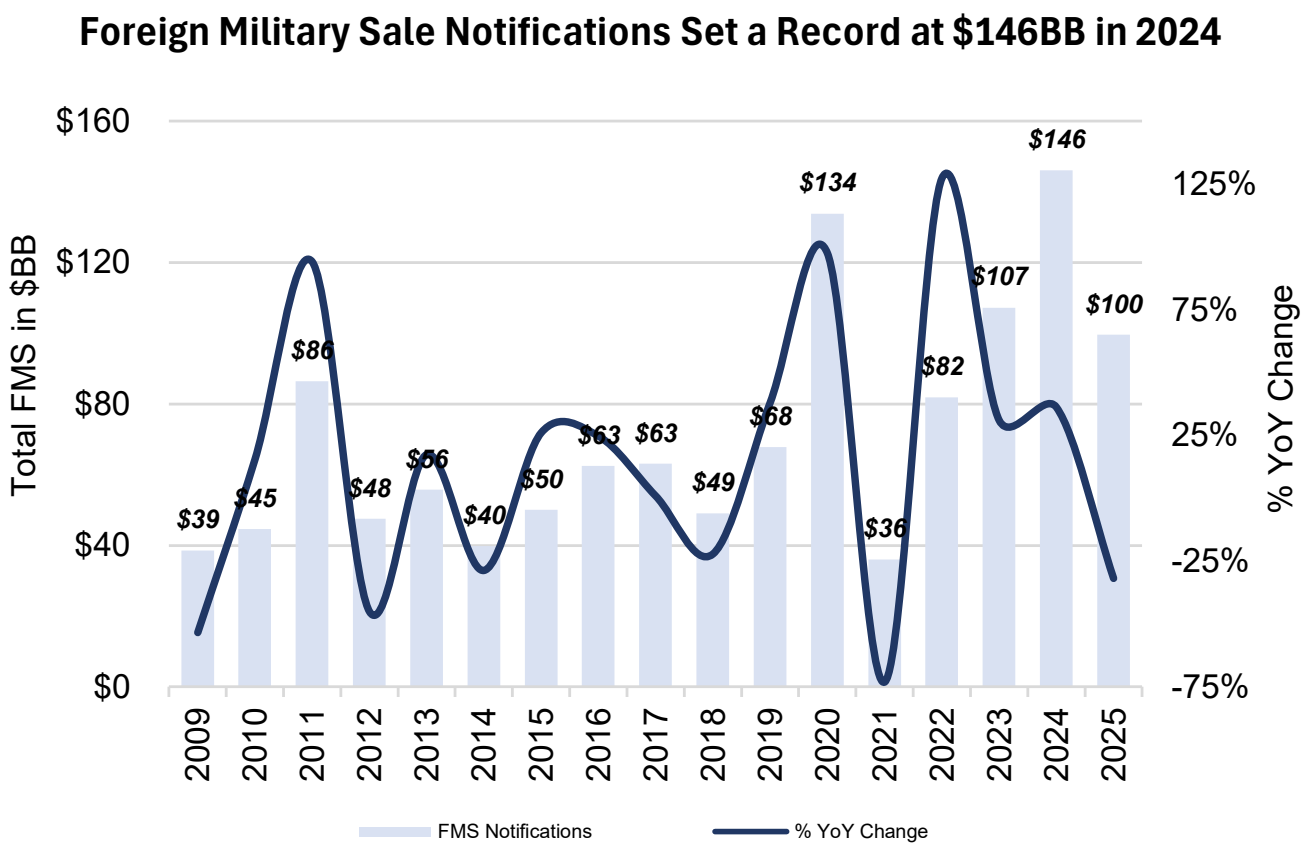


- At the NATO Summit in June 2025, allies committed to invest 5% of GDP per year on defense by 2035, which includes 3.5% on core defense requirements and up to 1.5% on defense & security-related spending such as critical infrastructure, cybersecurity & the industrial base.
- NATO core defense spending totaled $1.3TT in 2024 at 2.6% of GDP, including 23 of 32 allies spending at least 2% of GDP (the prior target) compared to just 6 doing so in 2014. There is no present baseline for the defense & security-related spending category.
- Assuming NATO GDP increases at +LSD to 2035, the increase from 2.6% to 3.5% could be more than $800BB per year of incremental spend to >$2TT.

Source: NATO and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

Foreign Military Sales Notifications



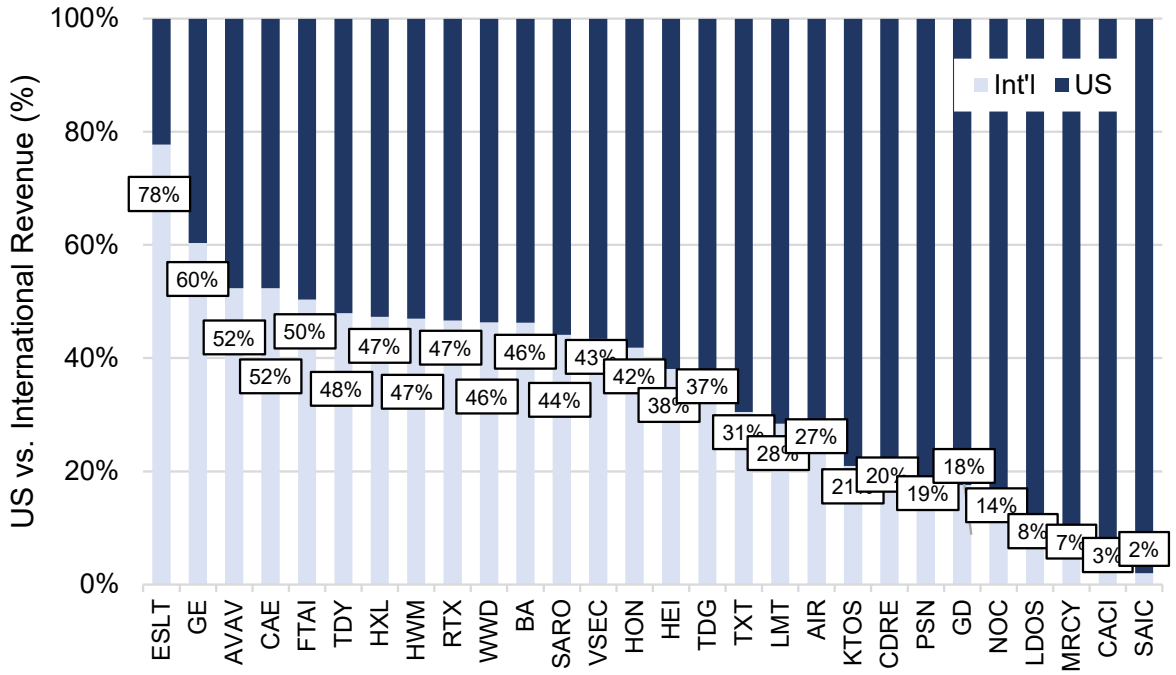
- Foreign Military Sales (FMS) is the US Government's program of procuring defense articles & services on behalf of its allies & partners, compared to Direct Commercial Sales (DCS) wherein US contractors negotiate directly with international customers.
- FMS notifications totaled $146BB in 2024, increasing 36% y-o-y and setting a new annual record, with 2025 notifications totaling $100BB.

Source: DoD and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

International Sales Exposure by Company

International Customers Typically Account for 10-30% of Total Defense Revenues for US Primes and Suppliers



- Among the US defense primes, average exposure to international customers was ~20% of 2024 revenues, although this may not fully encapsulate sales that occur through Foreign Military Sales processes, wherein the customer is considered the US government.
- RTX had 47% of segment sales to international customers, followed by LMT's 31%, GD's 18%, and NOC's 14%.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

Space

Sheila Kahyaoglu, Equity Analyst, 212.336.7216, sheila.kahyaoglu@jefferies.com

Space Launch Tracker

Space Launches Since June 1 (As of July 31)

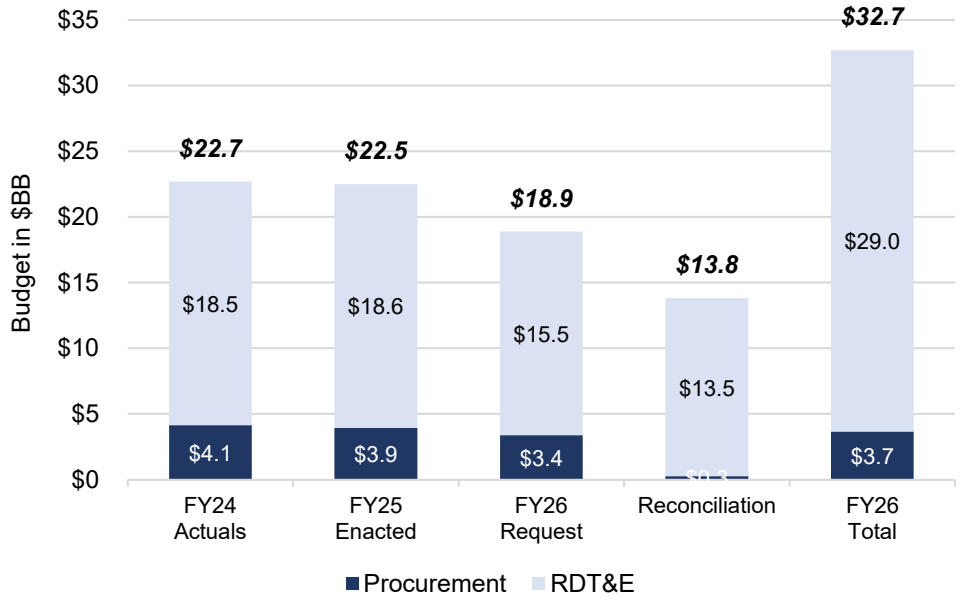
Date	Mission	Vehicle	Operator	Launch site	Payloads
7/30/2026	NROL-95	Falcon 9	SpaceX	Cape Canaveral, FL	Classified NROL Payload
7/25/2026	Starlink	Falcon 9	SpaceX	Vandenberg SFB, CA	24 Starlink satellites
7/24/2026	Starship Flight 13	Starship	SpaceX	SpaceX Starbase, TX	20 Starlink V3 Test Satellites
7/21/2026	Starlink	Falcon 9	SpaceX	Vandenberg SFB, CA	Starlink satellites
7/21/2026	MRV-1	Falcon 9	SpaceX	Cape Canaveral, FL	MRV-1 Mission Extension vehicle
7/16/2026	SDA Third Tranche 1	Falcon 9	SpaceX	Vandenberg SFB, CA	21 PWSA Comms satellites
7/14/2026	Starlink	Falcon 9	SpaceX	Cape Canaveral, FL	29 Starlink satellites
7/13/2026	Starlink	Falcon 9	SpaceX	Vandenberg SFB, CA	27 Starlink satellites
7/11/2026	Starlink	Falcon 9	SpaceX	Vandenberg SFB, CA	24 Starlink satellites
7/9/2026	Starlink	Falcon 9	SpaceX	Cape Canaveral, FL	29 Starlink satellites
7/7/2026	Transporter 17	Falcon 9	SpaceX	Vandenberg SFB, CA	81 Smallsat Rideshare
7/5/2026	Starlink	Falcon 9	SpaceX	Cape Canaveral, FL	29 Starlink satellites
7/3/2026	Swift Boost Mission	Pegasus XL	NOC Space Systems	Kwajalein Atoll	Katakyst Space LINK Robotic Spacecraft
7/2/2026	Amazon LE-08	Atlas V	United Launch Alliance	Cape Canaveral, FL	29 Amazon Leo satellites
7/1/2026	Starlink	Falcon 9	SpaceX	Vandenberg SFB, CA	24 Starlink satellites
6/29/2026	SXM-11	Falcon 9	SpaceX	Cape Canaveral, FL	1 Geostationary Transfer Orbit SXM Satellite
6/28/2026	Starlink	Falcon 9	SpaceX	Vandenberg SFB, CA	24 Starlink satellites
6/26/2026	Ten Owl of Ten	Electron	Rocket Lab	Mahia Peninsula, New Zealand	1 StriX satellite
6/24/2026	Starlink	Falcon 9	SpaceX	Vandenberg SFB, CA	24 Starlink satellites
6/23/2026	Starfall Demo	Falcon 9	SpaceX	Cape Canaveral, FL	Starfall reentry capsule
6/21/2026	Starlink	Falcon 9	SpaceX	Vandenberg SFB, CA	24 Starlink satellites
6/19/2026	NROL-179	Falcon 9	SpaceX	Vandenberg SFB, CA	Classified NROL Payload
6/19/2026	Victus Haze	Electron	Rocket Lab	Mahia, New Zealand	Rocket Lab Pioneer Spacecraft (PUMA)
6/17/2026	Bluebird 8-10	Falcon 9	SpaceX	Cape Canaveral, FL	AST SpaceMobile BlueBird 8 to 10
6/17/2026	Amazon LE-06	Ariane 64	Arianespace	Guiana Space Centre, Guiana	36 Amazon Leo satellites
6/15/2026	Starlink	Falcon 9	SpaceX	Vandenberg SFB, CA	24 Starlink satellites
6/12/2026	Starlink	Falcon 9	SpaceX	Cape Canaveral, FL	29 Starlink satellites
6/12/2026	H3 rocket No. 6	H3	JAXA	Tanegashima Space Center, Japan	6 Undisclosed payloads
6/11/2026	Undisclosed	HASTE	Rocket Lab	Wallops Island, VA	Undisclosed
6/11/2026	Starlink	Falcon 9	SpaceX	Vandenberg SFB, CA	24 Starlink satellites
6/8/2026	Starlink	Falcon 9	SpaceX	Cape Canaveral, FL	29 Starlink satellites
6/7/2026	Starlink	Falcon 9	SpaceX	Vandenberg SFB, CA	21 Starlink and 2 Starshield satellites
6/4/2026	Starlink	Falcon 9	SpaceX	Cape Canaveral, FL	29 Starlink satellites
6/3/2026	Starlink	Falcon 9	SpaceX	Vandenberg SFB, CA	24 Starlink satellites

Source: BryceTech and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

FY26 Space Force Budget

FY26 Space Force Investment Budget +45% vs FY25 Enacted



	FY24 Actuals	FY25 Enacted	FY26 Request	Reconc-iliation	FY26 Total
GPS III Follow On	$53	$647	$110		$110
Special Space Activities	380	412	483	258	741
National Security Space Launch	2,097	1,769	1,467	6	1,473
SDA Launch	529	357	648		648
Procurement Sub-Total	**$3,059**	**$3,186**	**$2,708**	**$264**	**$2,972**
Other Procurement	1,087	753	686	0	686
Total Procurement	**$4,147**	**$3,939**	**$3,394**	**$264**	**$3,658**
% YoY Change		*-5%*	*-14%*		*-7%*
Evolved Strategic SATCOM	$211	$420	$572		$572
Tactically Responsive Space	48	40	33	135	168
GPS III Follow On	238	240	179		179
Next-Gen OPIR - Ground	496	500	358	195	553
Next-Gen OPIR	177	191	190		190
Next-Gen OPIR - GEO	691	459	432		432
Next-Gen OPIR - Polar	867	769	0	724	724
Resilient MW/MT - LEO	1,481	1,698	1,757	823	2,580
Resilient MW/MT - MEO	670	756	686		686
Long Range Kill Chains (Golden Dome)	186	244	2	7,695	7,697
Classified Programs	5,693	5,616	2,866	3,343	6,209
RDT&E Sub-Total	**$10,758**	**$10,934**	**$7,077**	**$12,914**	**$19,991**
Other RDT&E	7,774	7,620	8,410	634	9,044
Total RDT&E	**$18,532**	**$18,553**	**$15,486**	**$13,548**	**$29,034**
% YoY Change		*0%*	*-17%*		*56%*
Space Force Investment Account	**$22,679**	**$22,492**	**$18,880**	**$13,812**	**$32,692**
% YoY Change		*-1%*	*-16%*		*45%*

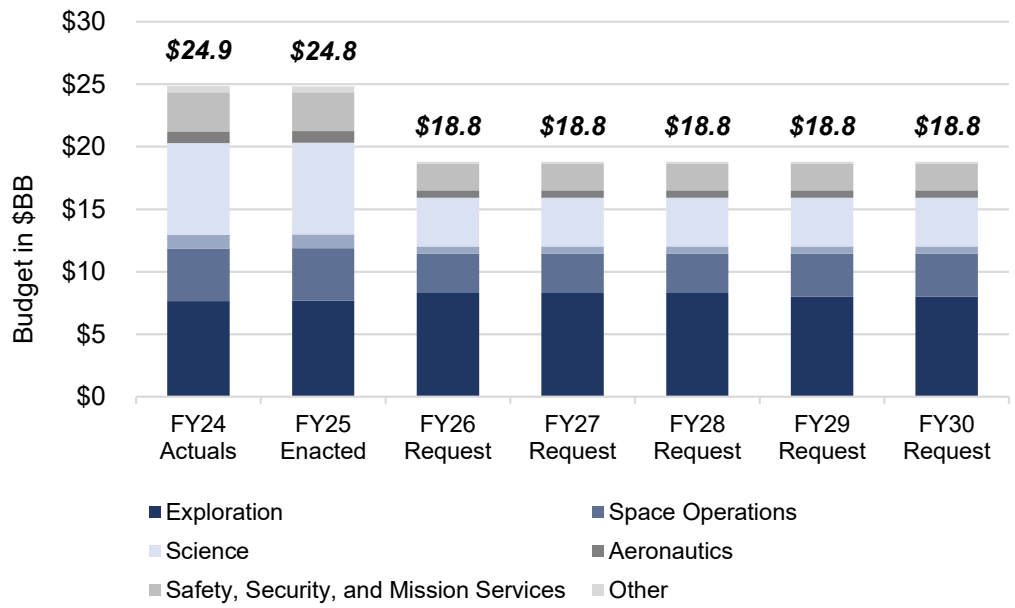
- The FY26 House spending bill funds Space Force at $26BB, in line with the Administration's request. The funding excludes ~$13.8BB included in OBBB that would be counted toward Space Force's 2026 budget to fund missile defense satellite systems in support of Golden Dome. In aggregate, Space Force's budget would total $40BB. Appropriators also confirmed support for Golden Dome, but faulted the Administration for lack of detail on how the $23BB of mandatory funding for the program would be allocated with a request for the submission of detailed plans and justification for the program.

Source: DoD and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

FY26 NASA Budget

FY26 NASA Budget Request of $18.8BB, Down $6BB vs FY25 Enacted; Congress Markups Restore Full ~$25BB



	FY24 Actuals	FY25 Enacted	FY26 Request	FY27 Request	FY28 Request	FY29 Request	FY30 Request
Moon to Mars Transportation	$4,782		$4,895	$4,698	$3,907	$3,091	$3,590
Moon to Mars Systems Development	2,772		2,815	2,864	2,651	2,436	2,490
Human Exploration Requirements	94		603	751	1,756	2,486	1,933
Exploration	**$7,648**	**$7,666**	**$8,313**	**$8,313**	**$8,313**	**$8,013**	**$8,013**
% YoY Change		*0%*	*8%*	*0%*	*0%*	*-4%*	*0%*
International Space Station	$1,241		$920	$920	$920	$920	$920
Space Transportation	1,746		1,294	1,264	1,264	1,264	1,246
Space and Flight Support	1,005		646	646	646	646	646
Commercial LEO Development	228		272	302	302	602	620
Space Operations	**$4,220**	**$4,220**	**$3,132**	**$3,132**	**$3,132**	**$3,432**	**$3,432**
% YoY Change		*0%*	*-26%*	*0%*	*0%*	*10%*	*0%*
Space Technology	**$1,100**	**$1,100**	**$569**	**$569**	**$569**	**$569**	**$569**
% YoY Change		*0%*	*-48%*	*0%*	*0%*	*0%*	*0%*
Earth Science	$2,139		$1,036	$1,056	$1,082	$1,107	$1,078
Planetary Science	2,764		1,891	1,861	1,867	1,822	1,851
Astrophysics	1,530		523	543	501	521	521
Heliophysics	805		433	423	433	433	433
Biological and Physical Sciences	87		25	25	25	25	25
Science	**$7,325**	**$7,334**	**$3,908**	**$3,908**	**$3,908**	**$3,908**	**$3,908**
% YoY Change		*0%*	*-47%*	*0%*	*0%*	*0%*	*0%*
Aeronautics	$935	$935	$589	$589	$589	$589	$589
Safety, Security, and Mission Services	$3,131	$3,092	$2,118	$2,118	$2,118	$2,118	$2,118
Other	$517	$491	$181	$181	$181	$181	$181
Total	**$24,877**	**$24,838**	**$18,809**	**$18,809**	**$18,809**	**$18,809**	**$18,809**
% YoY Change		*0%*	*-24%*	*0%*	*0%*	*0%*	*0%*

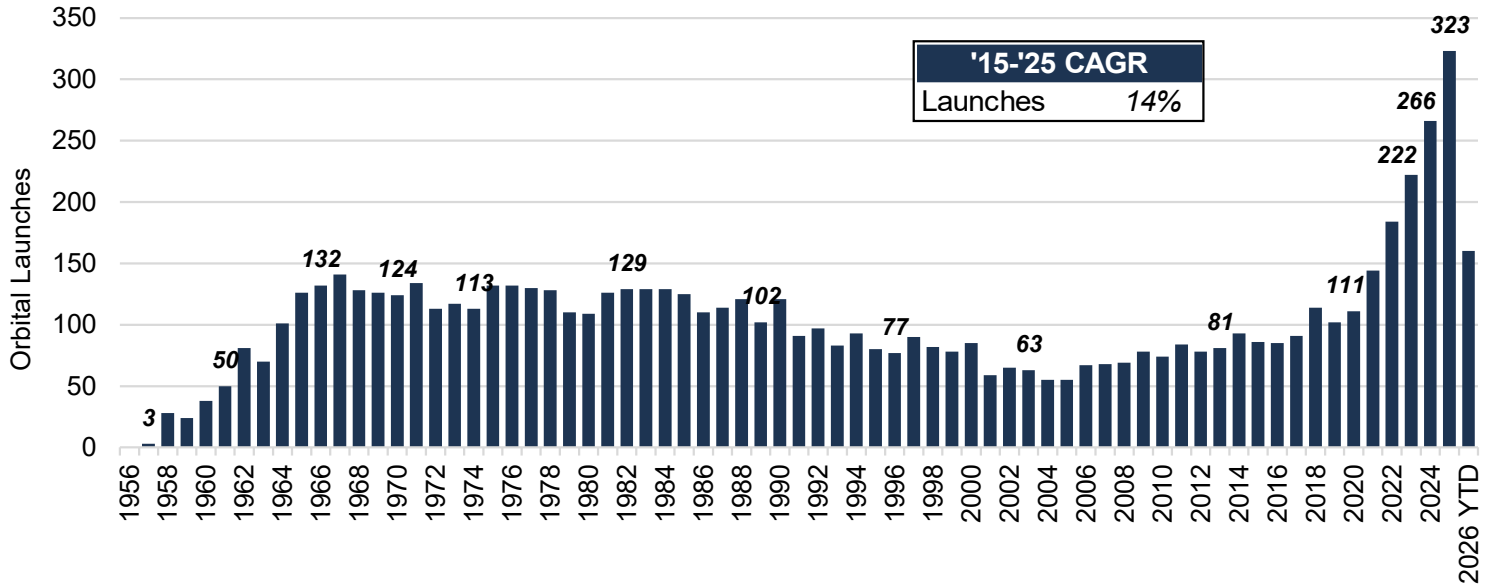
- The FY26 NASA budget request totals $18.8BB, a decrease of $6.0BB from FY25 enacted levels, primarily the $3.4BB cut to Science.
- However, the House Appropriations Committee markup nearly fully restores the total budget up to $24.8BB, continuing legacy missions.
- There is also $10BB in the reconciliation bill for Human Spaceflight programs including $4.1BB for SLS for Artemis Mission 4 and 5, and the restoration of funding for programs such as Gateway for HALO and the International Space Station.

Source: NASA and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

Orbital Launch Cadence

Launch CAGR of 14% Since 2015 to a Record of 323 in 2025, More Than Double Prior Peaks During Space Race of the '60s and '70s



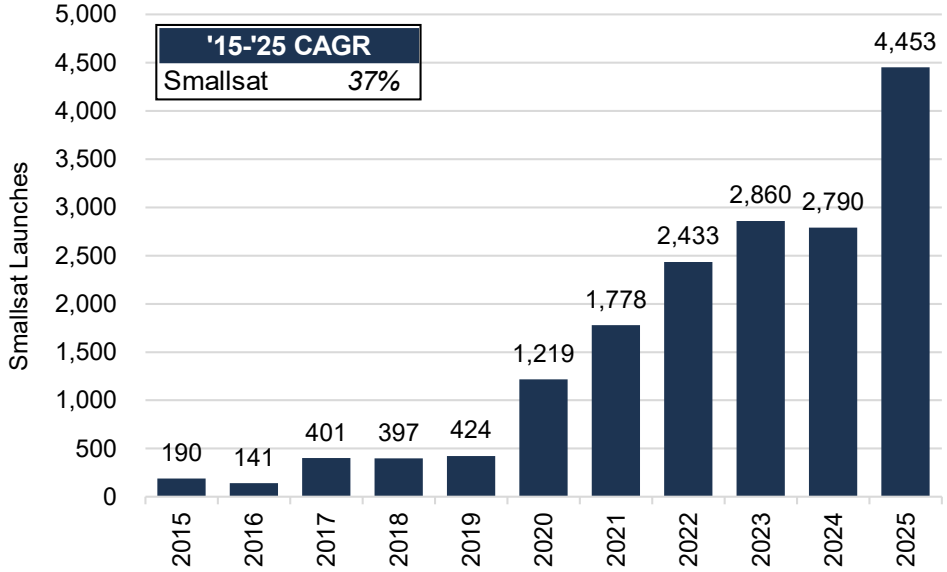
- The Launch market remains constrained as the rapid proliferation of satellite demand for both national security and commercial applications has outpaced supply investment. 2025 saw a record number of global orbital launches at 323, having increased at a 14% CAGR since 2015.
- This launched 4,544 total spacecraft in 2025, including 83% for Communications, 10% for Remote Sensing, 3% for Technology Development, 2% for Scientific payloads, 1% for Crew & Cargo Transport, and the remaining 1% for Other purposes.
- SpaceX provided 166 launches or 51% of the global market, followed by China's CASC with 69, Russia's Roscosmos with 17, and Rocket Lab with 18.

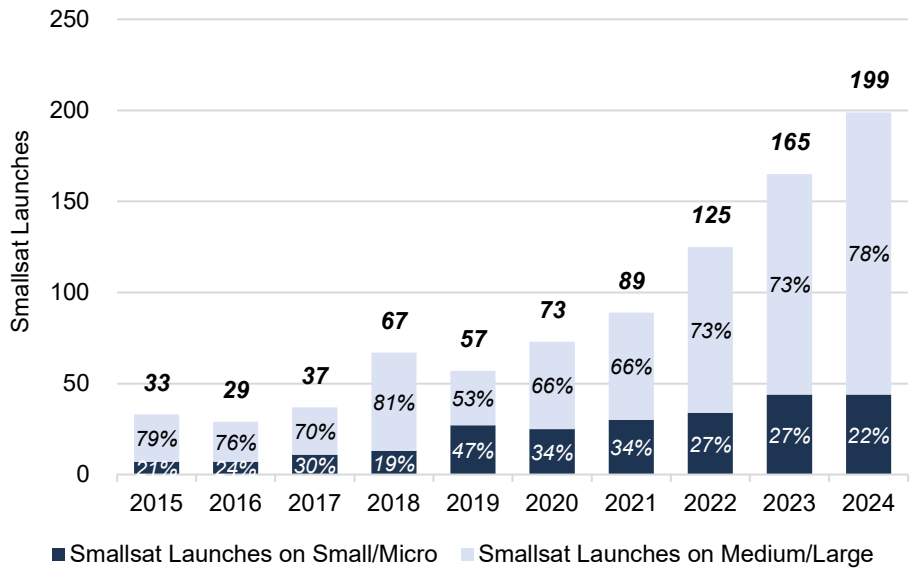
Source: BryceTech and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

Small Satellite Demand

Small Satellites Account for 85% of Total Upmass, But Continued to Be Served by Rideshare on Medium/Large Vehicles



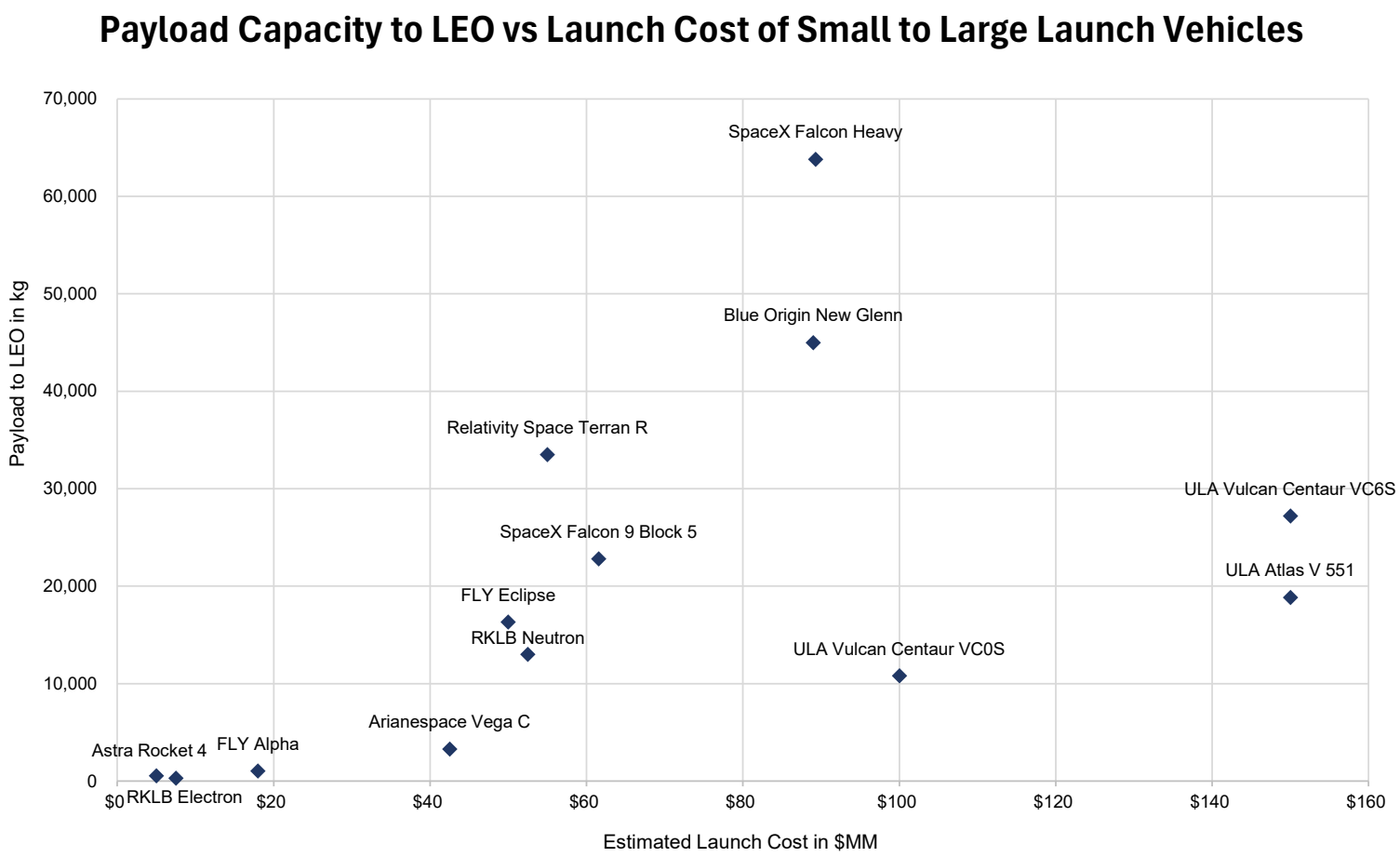


- In 2025, the market launched 4,453 smallsats, accounting for 98% of all spacecraft launched and 85% of total upmass. The quantity of smallsats launched has increased at a 37% CAGR since 2015, or excluding Starlink and OneWeb, at a 17% CAGR.
- The average smallsat mass has averaged up to 633 kg today, compared to 125 kg in 2015, or 223 kg ex-Starlink and OneWeb.
- In 2024, 199 of the 259 total launches included at least one smallsat, or 77%, compared to in 2015 when only 33 of 86 launches had a smallsat, or 38%.
- Of the 199 launches with at least one smallsat, 155 or 78%, were still performed by medium, large, or extra-large launch vehicles.

Source: BryceTech and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

Launch Vehicle Offerings



- SpaceX's Falcon 9 has performed over 680 launches to date, including ~91 in 2026 YTD at a rate of ~13/mo, after a record 165 in 2025. ULA's transition from Atlas to Vulcan is underway, with 5 launches so far in 2026 against a 18-22 mission target, before reaching a steady-state of 20-25 per year at a rate of 2 per month

Source: Company data and Jefferies estimates

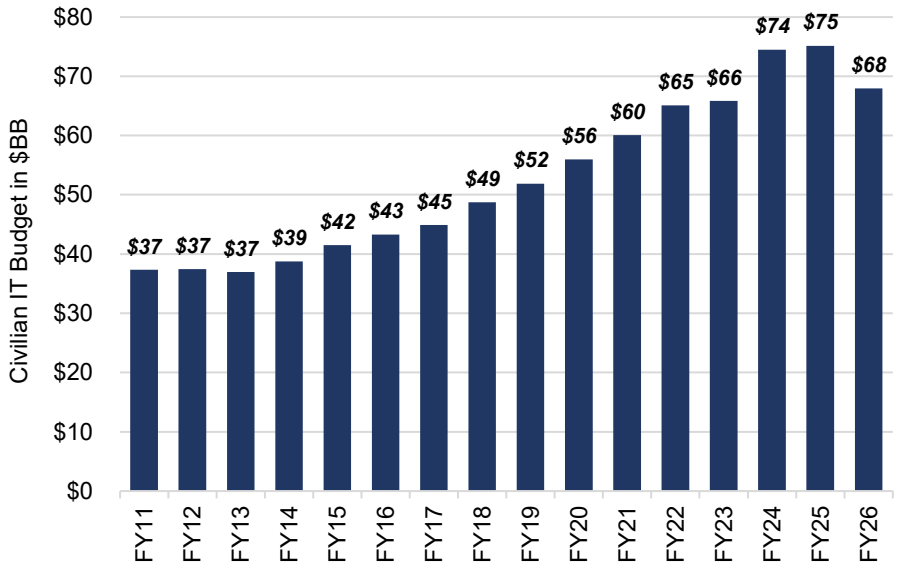
Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

IT Services

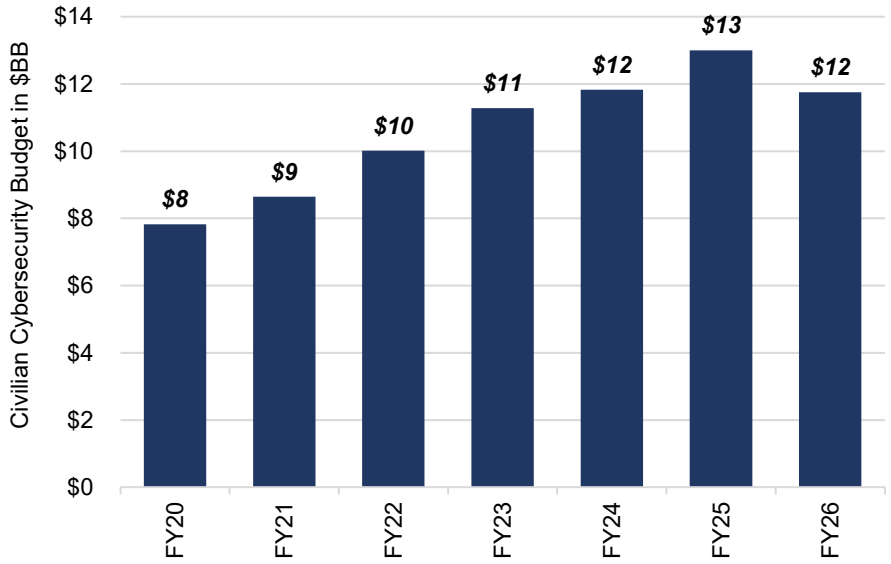
Sheila Kahyaoglu, Equity Analyst, 212.336.7216, sheila.kahyaoglu@jefferies.com

Federal Information Technology & Cybersecurity Funding

$68BB Civilian IT Spend in FY26; 4% CAGR Since FY11



$12BB Cybersecurity Spend in FY26, Down 10% vs FY24



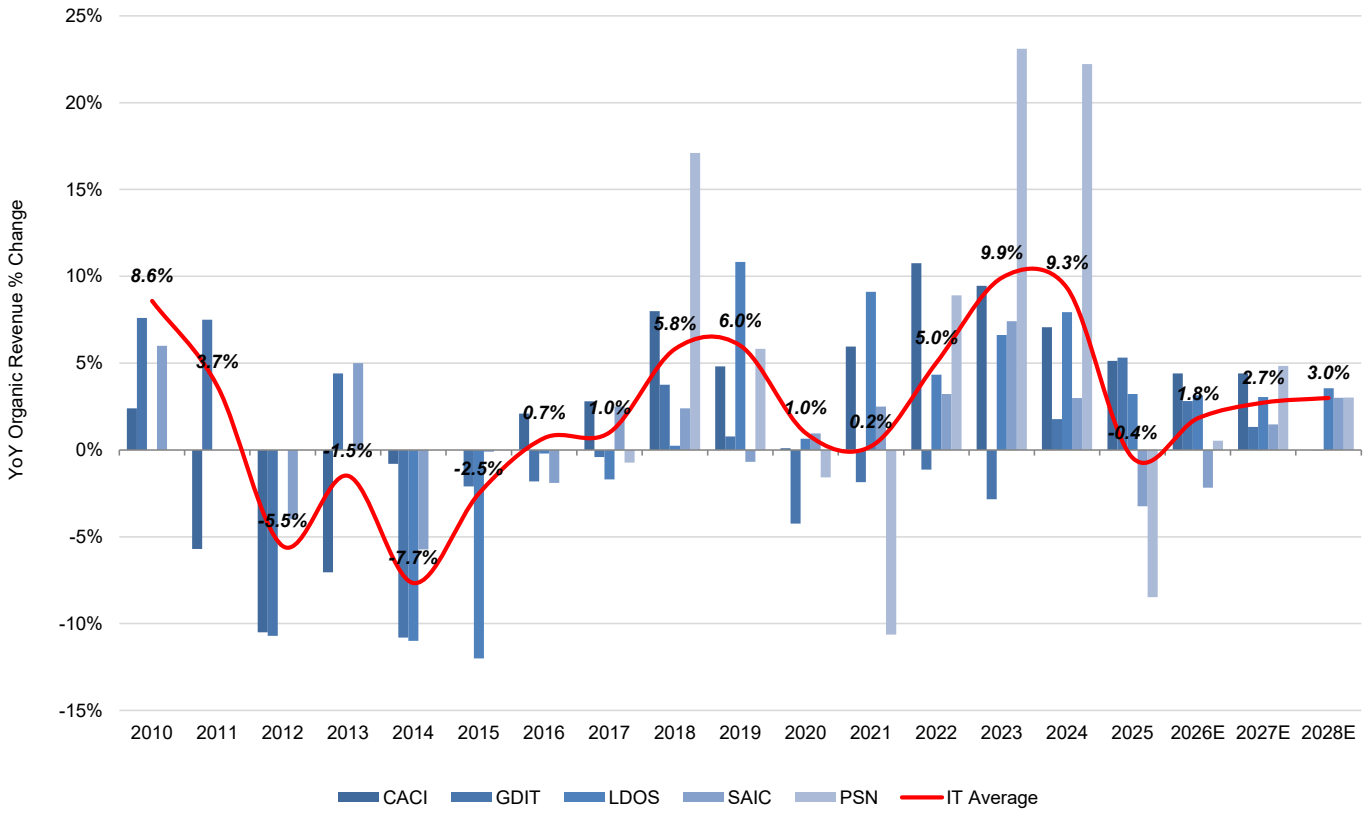
- The FY26 budget included $68BB in Civilian Federal IT spending, decreasing 10% y-o-y from FY25 and having increased at a 4% CAGR since FY11.
- The largest agencies include Homeland Security ($11BB), Health & Human Services ($10BB), Veteran Affairs ($9BB), and DoT ($6BB).
- Civilian IT spending is 45% tied to IT infrastructure, security, & management; 45% tied to mission delivery; and 10% tied to admin services & support.
- There is $12BB for cybersecurity spend in FY26, decreasing 10% vs FY25 and at an 8.5% CAGR since FY20.
- Cybersecurity spending is 42% tied to Detect, 29% Identify, 13% Respond, 10% Protect, 2% Recover, and 4% Risk Management & Human Capital.

Source: OMB and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

IT Services Contractor Organic Revenue Growth

Organic Growth Averaged 5.6% per Year for 2019-2024, But the DOGE Reset in 2025 Lowers Growth to 2.5% for 2025-2027



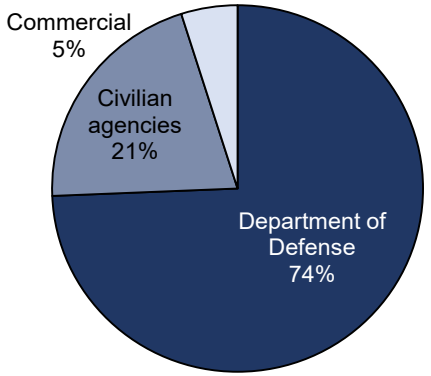
- We believe organic growth is the primary driver of share price performance in IT Services, with the group exiting a period of 5.6% average annual growth from 2019-2024, led by PSN at 8.0%/yr. Growth slows in the DOGE era to 2.5% in 2025-2027E, with CACI set to lead at 4.5%/yr.

Source: Company data and Jefferies estimates

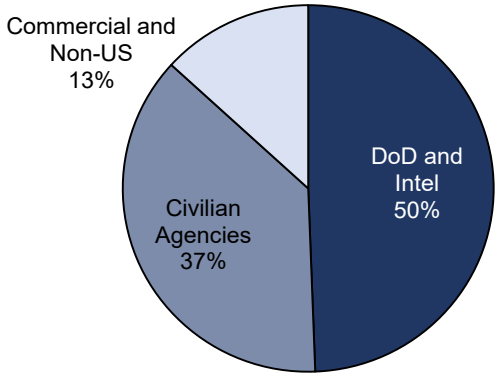
Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

IT Services Contractor Revenue Mix

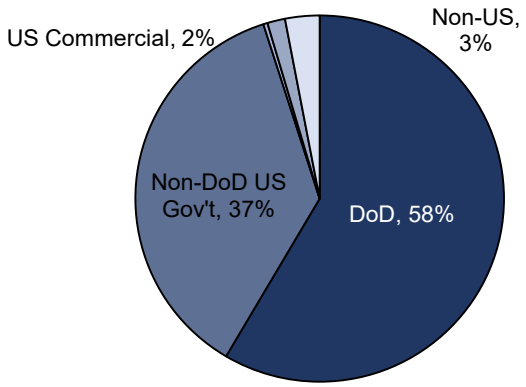
CACI



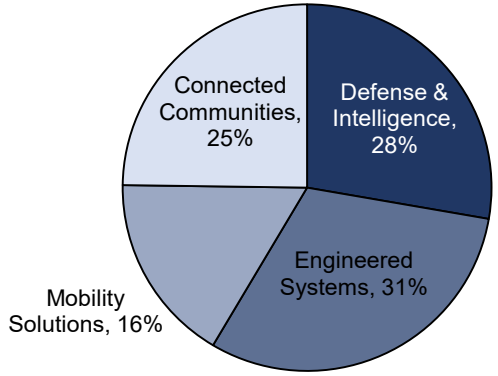
Leidos



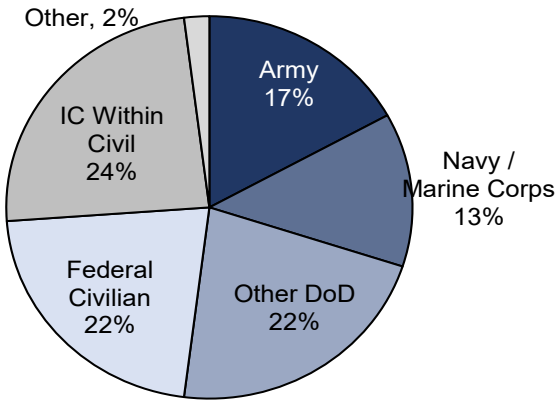
GD Technologies



Parsons



SAIC



Source: Company data and Jefferies estimates

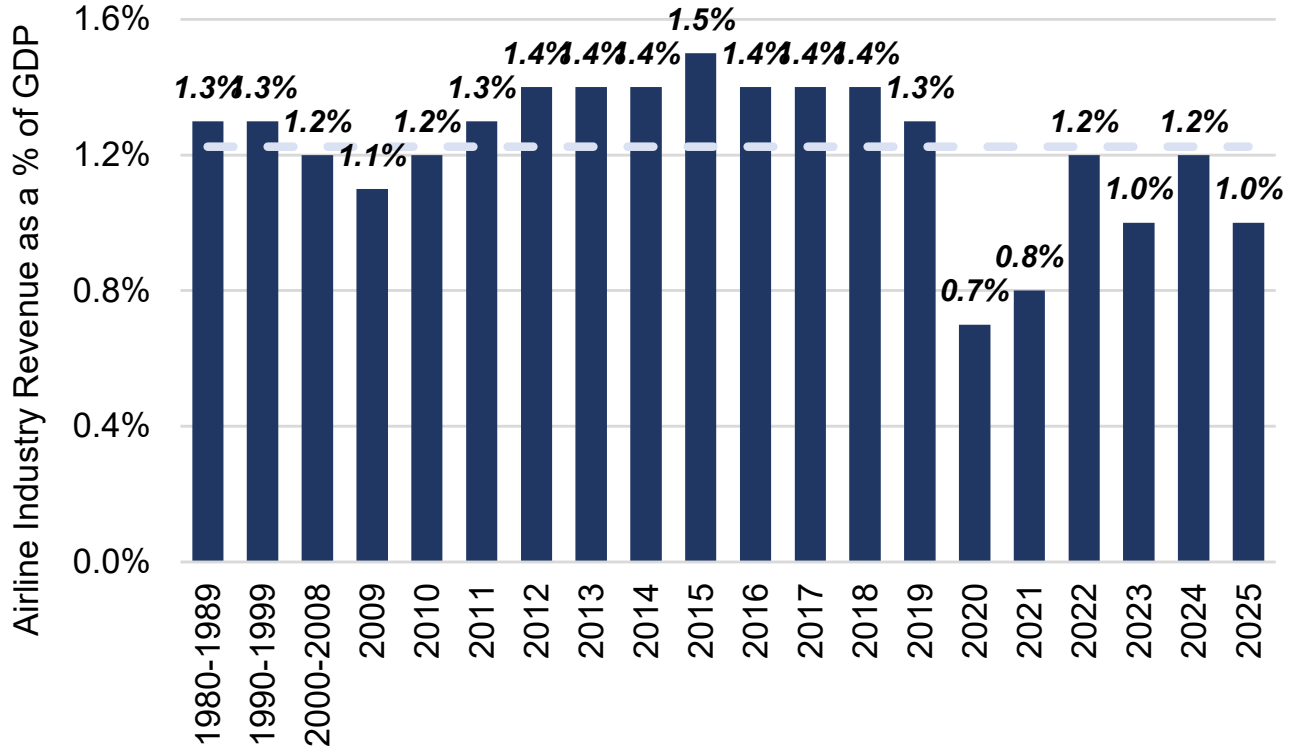
Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

Airlines

Sheila Kahyaoglu, Equity Analyst, 212.336.7216, sheila.kahyaoglu@jefferies.com

Airline Revenue as a Percentage of GDP

Airline Industry Revenues Average 1.3% of GDP Historically, a Level That Has Not Yet Been Restored Post-Pandemic

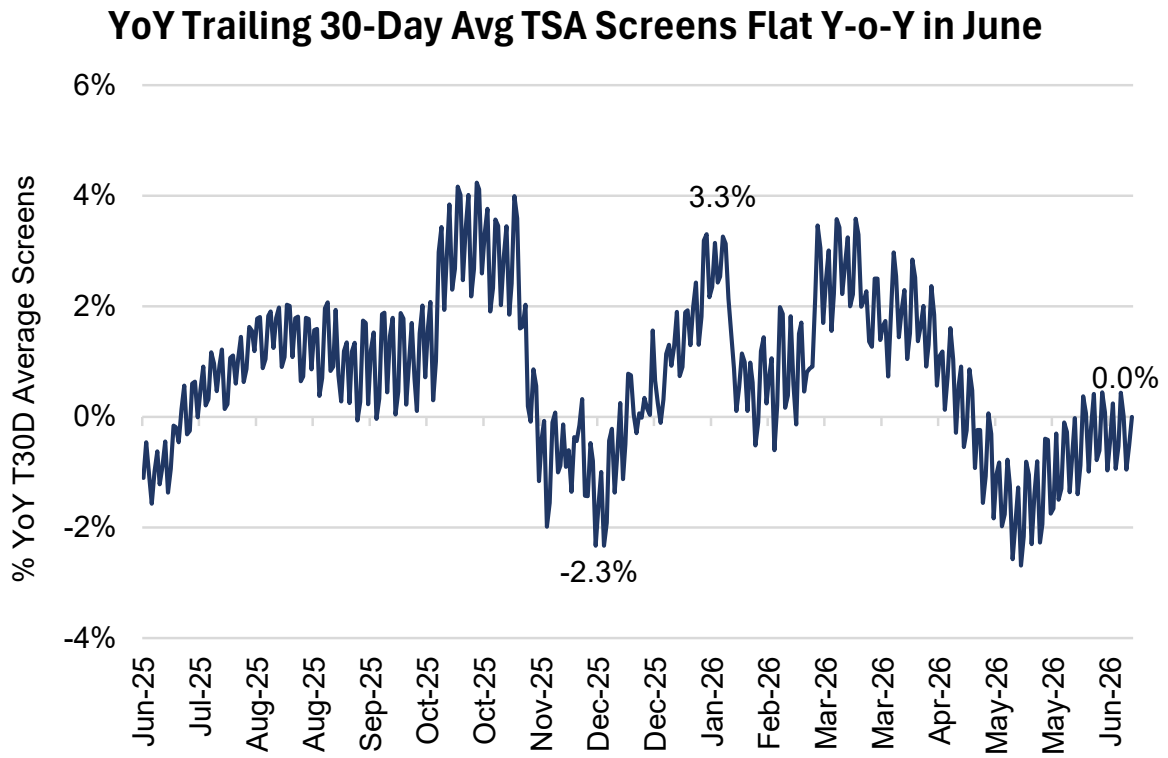


- Over the long term, airline industry revenues have averaged 1.3% of GDP, though the industry has remained below that level since the pandemic.

Source: US Bureau of Economic Analysis and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

TSA Throughput



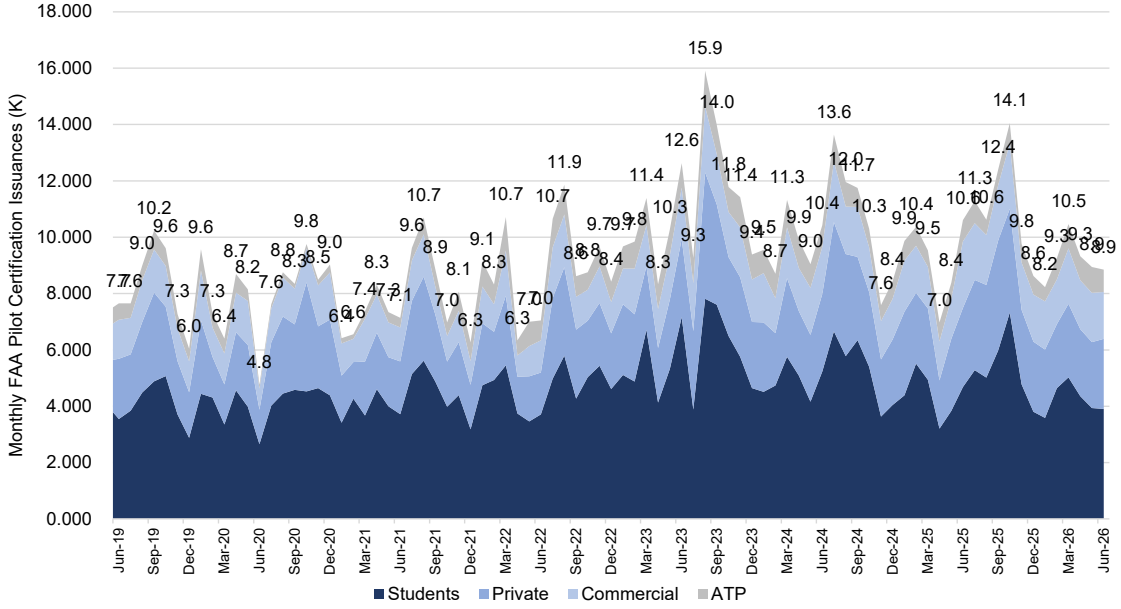
- TSA throughput growth decelerated throughout spring 2026, falling from 3.3% Y-o-Y highs in early March to a trough -2.3% YoY in May.
- The 30-day average TSA throughput trend improved from approximately -2.5% in May to 0.0% in June, indicating stabilization in U.S. domestic passenger traffic into summer following a softer spring period.

Source: TSA, Cirium® Diio and Jefferies estimates

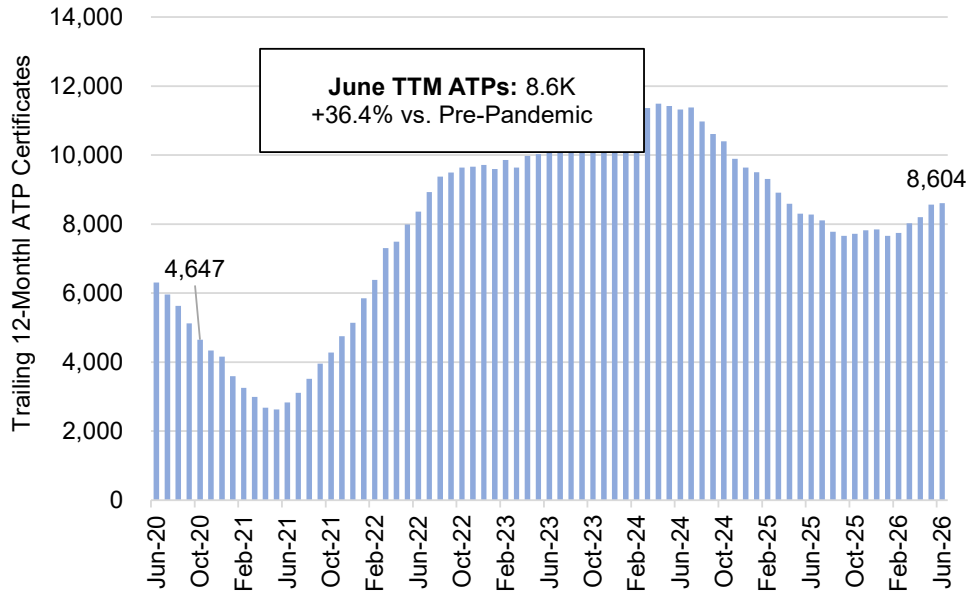
Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

Monthly FAA Pilot Certificates

Total Monthly FAA Pilot License Certificates



Trailing 12-Month Airline Transport Pilot Certificates



- In June, the FAA issued 8,850 certificates, down 17% y-o-y and 16% above June 2019 levels.
- On a TTM basis in Junne, 8.6K ATP certs were issued, 36% above (up 8 pts from the prior month) the pre-pandemic normalized level of 6.7K in May 2020.
- Given ~158K pilots with active ATP certifications in the US between the ages of 20 and 65, ~48K of the pilots are over the age of 55 or required to retire over the next 10 years. This means that almost one-third of the current pilot base will be forced to retire before 2032.

Source: FAA and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

US Airline Coverage Unit Cost Forecasts

Unit Costs Approaching More Typical Year-on-Year Growth as Labor Contracts Run Rate in 2025/2026

Unit Cost Build	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
CASM-ex										
AAL	11.46¢	17.69¢	13.33¢	12.83¢	13.15¢	13.50¢	14.12¢	14.65¢	14.94¢	15.15¢
AC	11.09¢	21.01¢	23.32¢	13.21¢	13.49¢	13.80¢	14.72¢	15.49¢	15.82¢	16.14¢
DAL	10.87¢	15.61¢	12.12¢	12.87¢	13.17¢	13.33¢	13.61¢	14.43¢	14.48¢	14.66¢
UAL	10.21¢	17.13¢	12.96¢	11.73¢	12.03¢	12.58¢	12.64¢	13.49¢	13.67¢	13.89¢
LUV	9.19¢	11.77¢	10.21¢	11.22¢	11.08¢	11.95¢	12.32¢	12.69¢	12.87¢	13.05¢
Average	**10.56¢**	**16.64¢**	**14.39¢**	**12.37¢**	**12.58¢**	**13.03¢**	**13.48¢**	**14.15¢**	**14.36¢**	**14.58¢**
% YoY										
AAL	3.6%	54.4%	-24.6%	-3.8%	2.5%	2.6%	4.6%	3.7%	2.0%	1.4%
AC	7.8%	89.5%	11.0%	-43.4%	2.2%	2.3%	6.7%	5.2%	2.2%	2.0%
DAL	-0.8%	43.6%	-22.3%	6.2%	2.3%	1.2%	2.1%	6.1%	0.3%	1.3%
UAL	1.0%	67.8%	-24.4%	-9.4%	2.5%	4.6%	0.5%	6.7%	1.4%	1.6%
LUV	8.1%	28.0%	-13.2%	9.9%	-1.3%	7.9%	3.1%	3.0%	1.4%	1.4%
Average	**3.7%**	**57.5%**	**-13.5%**	**-14.0%**	**1.7%**	**3.6%**	**3.5%**	**4.9%**	**1.5%**	**1.5%**
% vs. 2019										
AAL		54%	16%	12%	15%	18%	23%	28%	30%	32%
AC		90%	110%	19%	22%	24%	33%	40%	43%	46%
DAL		44%	12%	18%	21%	23%	25%	33%	33%	35%
UAL		68%	27%	15%	18%	23%	24%	32%	34%	36%
LUV		28%	11%	22%	21%	30%	34%	38%	40%	42%
Average		**58%**	**36%**	**17%**	**19%**	**23%**	**28%**	**34%**	**36%**	**38%**

- Industry unit costs have re-baselined ~30% higher than pre-pandemic levels, primarily tied to new labor rates (40%+ for pilots & flight attendants in newly negotiated union contracts over 3-5 years), parts pricing for maintenance, and airport & landing fees that have reduced variable cost leverage.
- At the low-cost and ultra low-cost carriers, the cost advantage that once existed from paying below-market wages, outsourcing, and leverage on high-volume point-to-point flying has eroded. In 2025, LUV's cost advantage will shrink to 8% lower than the US mainline average vs 20% lower in 2018.
- Into 2026, labor rates will be largely at run-rate, providing cost certainty to achieve more typical LSD unit cost increases, in our view.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

US Airline Coverage EBITDAR Forecasts

Industry Profits Have Accrued to the Large, Premium, Brand Loyal Airlines Including Delta and United

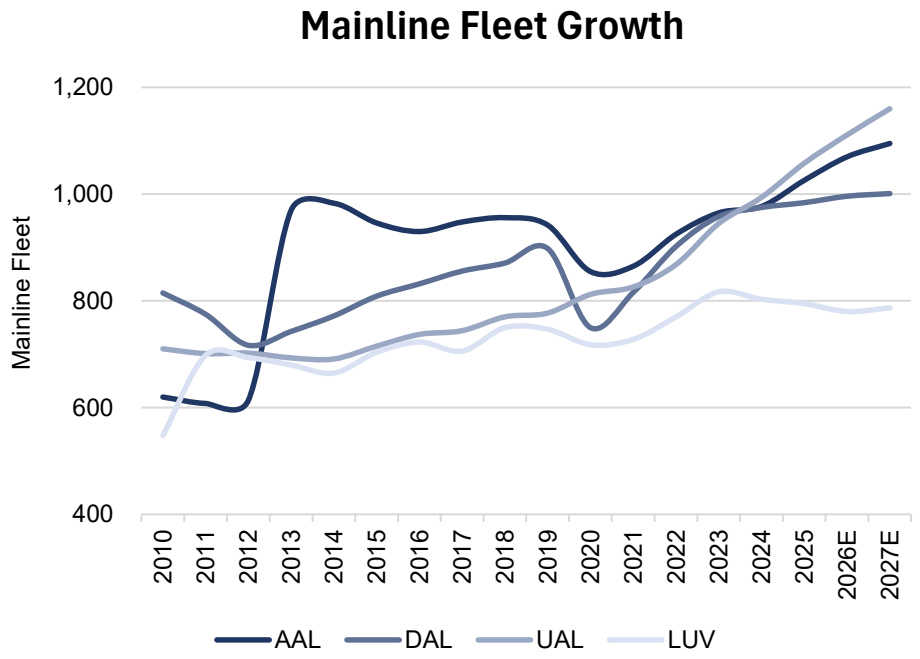
Adj. EBITDAR Build	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
Revenue										
AAL	$45,768	$17,337	$29,882	$48,971	$52,788	$54,211	$54,633	$62,664	$64,597	$67,296
AC	19,131	5,833	6,400	16,556	21,833	22,255	22,372	25,038	25,958	27,231
DAL	47,007	17,095	29,899	50,582	58,048	61,643	63,364	71,938	73,348	76,172
UAL	43,259	15,355	24,634	44,955	53,717	57,063	59,070	67,093	69,416	73,178
LUV	22,428	9,048	15,790	23,814	26,091	27,483	28,063	32,769	33,566	34,428
Total	**$177,593**	**$64,668**	**$106,605**	**$184,878**	**$212,477**	**$222,655**	**$227,502**	**$259,501**	**$266,885**	**$278,306**
Adj. EBITDAR										
AAL	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0
AC	3,636	(2,043)	(1,464)	1,457	3,982	3,586	3,124	3,560	3,763	4,043
DAL	9,199	(10,157)	3,883	5,768	7,862	8,508	8,265	8,610	10,176	11,088
UAL	7,096	(6,232)	(1,555)	5,200	8,135	9,066	8,970	8,785	9,948	11,029
LUV	4,358	(3,568)	196	2,666	2,620	2,218	2,421	4,224	4,717	4,902
Total	**$24,289**	**($22,000)**	**$1,061**	**$15,091**	**$22,599**	**$23,378**	**$22,780**	**$25,178**	**$28,604**	**$31,063**
Adj. EBITDAR Margin										
AAL	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%
AC	19.0%	-35.0%	-22.9%	8.8%	18.2%	16.1%	14.0%	14.2%	14.5%	14.8%
DAL	19.6%	-59.4%	13.0%	11.4%	13.5%	13.8%	13.0%	12.0%	13.9%	14.6%
UAL	16.4%	-40.6%	-6.3%	11.6%	15.1%	15.9%	15.2%	13.1%	14.3%	15.1%
LUV	19.4%	-39.4%	1.2%	11.2%	10.0%	8.1%	8.6%	12.9%	14.1%	14.2%
Total	**13.7%**	**-34.0%**	**1.0%**	**8.2%**	**10.6%**	**10.5%**	**10.0%**	**9.7%**	**10.7%**	**11.2%**

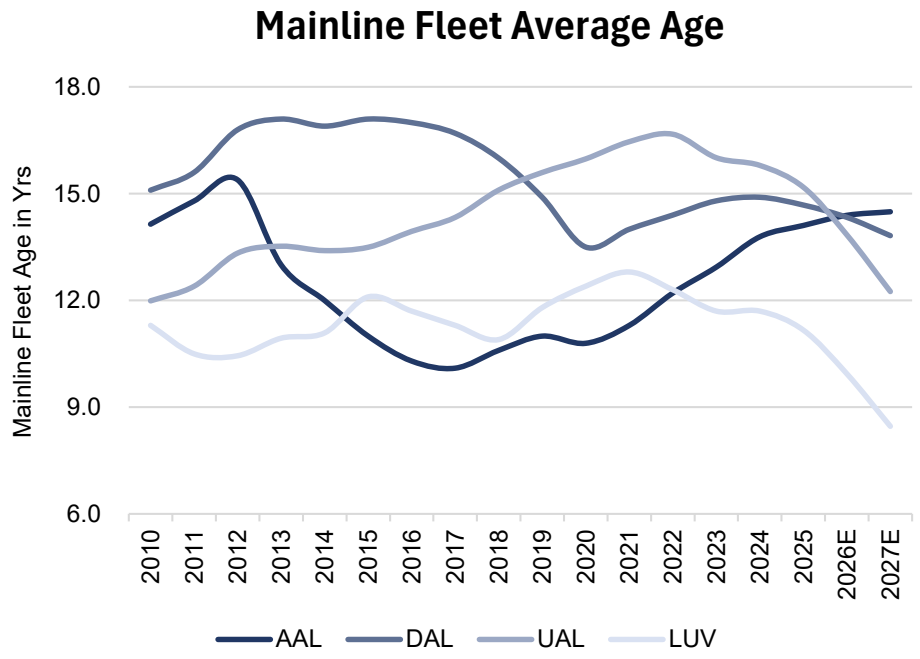
- In 2024, Delta and United alone accounted for more than 75% of the US industry's profits given the outperformance of premium & long-haul. This thesis has accelerated post-pandemic given the bifurcation of consumer demand by wealth that has made many LCC and ULCC routes unprofitable.
- As carriers aim to increase the premiumization of their respective offerings, Delta and United expect to continue to deepen the moats involving global network connectivity, premium in-cabin experiences & lounges, the loyalty programs, as well as improvements to the broader customer experience.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

US Airline Coverage FCF and Leverage Forecasts





- We estimate the average fleet age for US legacy carriers will decline from 13.9 years in 2025 to 13.3 in 2026 and to 12.5 in 2027, driven by fleet modernization efforts and higher OEM delivery rates.
- Fleet modernization often occur in cycles with AAL's from 2013-2017 and UAL's ongoing, while DAL takes a smoothed approach. Today's FCF generation and leverage in our coverage illustrates the wide variance created by the pandemic.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

Company Data

Sheila Kahyaoglu, Equity Analyst, 212.336.7216, sheila.kahyaoglu@jefferies.com

American Airlines Group Inc (AAL)

Hold | Price Target: $15

Valuation Method	Price	Assumptions
EV/EBITDAR	14	6.0x EV/EBITDAR on 2027E EBITDAR of $6.3BB
P/E	16	8.5x P/E on 2027E EPS of $1.85
Average	**$15**	**Blended Average**

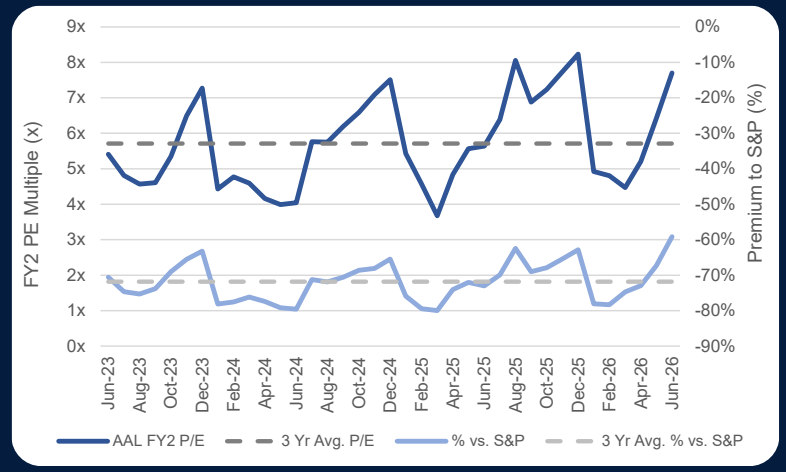
Valuation Table

Airlines	Ticker	JEF Rating	Stock Px 6/25/2026	Consensus BUY Rating	Market Cap	Enterprise Value	P/E 2026E	P/E 2027E	P/E 2028E	EV / SALES 2026E	EV / SALES 2027E	EV / SALES 2028E	EV / EBITDA 2026E	EV / EBITDA 2027E	EV / EBITDA 2028E	Yield Dividend	Yield FCF
Air Canada	AC-CA	Hold	$24.63	44%	6,898	12,853	23.7x	11.5x	7.1x	0.5x	0.5x	0.5x	4.2x	3.3x	3.0x	0.0%	0.9%
Alaska Airlines	ALK	N/C	$53.34	89%	5,944	10,969	-93.4x	8.5x	6.0x	0.7x	0.7x	0.6x	12.0x	5.1x	4.6x	0.0%	12.4%
Delta Airlines	DAL	Buy	$94.42	89%	62,033	76,664	17.0x	11.7x	10.1x	1.2x	1.1x	1.1x	9.4x	7.3x	6.6x	0.8%	6.0%
JetBlue	JBLU	N/C	$6.02	5%	2,240	9,296	N/M	N/M	N/M	0.9x	0.9x	0.8x	N/M	N/M	8.3x	0.0%	N/M
Southwest Airlines	LUV	Hold	$52.53	43%	25,675	29,491	19.3x	11.6x	10.2x	0.9x	0.9x	0.8x	8.9x	6.6x	6.1x	1.4%	5.8%
United Airlines	UAL	Buy	$136.00	89%	44,141	61,249	14.3x	9.4x	8.1x	0.9x	0.9x	0.8x	8.1x	6.1x	5.6x	0.0%	5.9%
Avg. Airlines				**63%**			**-3.8x**	**10.5x**	**8.3x**	**0.9x**	**0.8x**	**0.8x**	**8.5x**	**5.7x**	**5.7x**	**0.4%**	**6.2%**
American Airlines	**AAL**	**Hold**	**$17.73**	**44%**	**11,728**	**38,246**	**13.7x**	**7.9x**	**5.1x**	**0.6x**	**0.6x**	**0.6x**	**9.1x**	**7.2x**	**6.0x**	**0.0%**	**9.1%**
Premium / Discount							**NM**	**-25%**	**-38%**	**-31%**	**-27%**	**-26%**	**7%**	**27%**	**5%**		

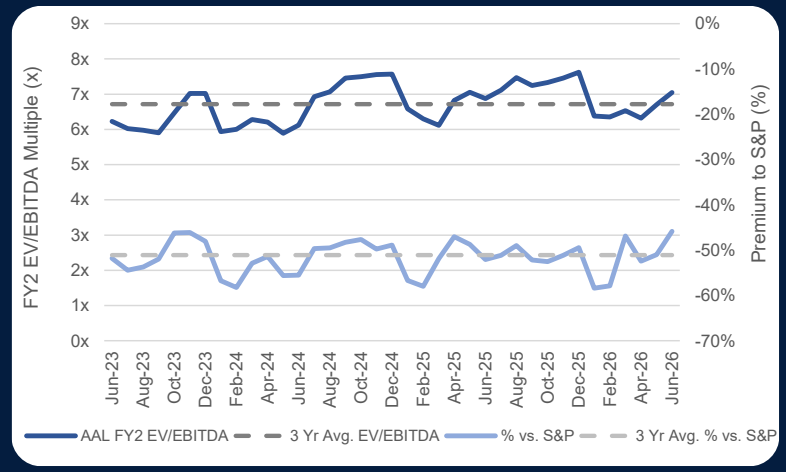
Featured Notes:

- Torque on Fuel Works in Both Directions … & So Does Sentiment | *July 26, 2026*
- 2026 Consumer Conference Takes: AAL Flying High | *June 24, 2026*
- Revenue Performance Bunking Again with Its Network Peer Roomies | *Apr 27, 2026*

Trading at 7.7X FY2 P/E, 59% Disct to Mkt vs. Historical Avg Disct of 72%



Trading at 7.0X FY2 EV/EBITDA, 46% Disct to Mkt vs. Historical Avg Disct of 51%

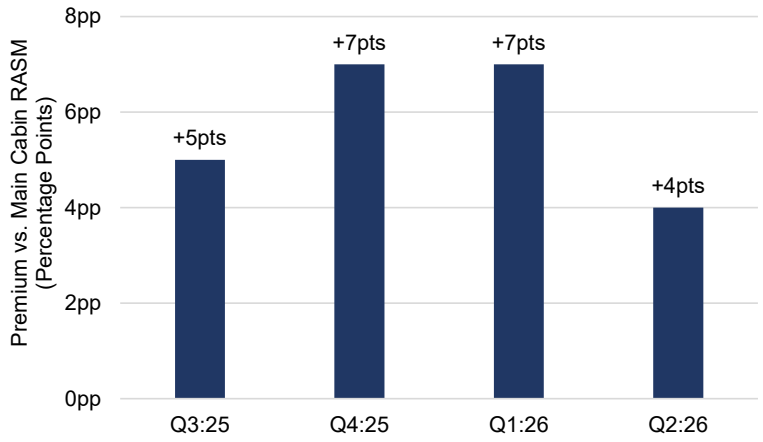


Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

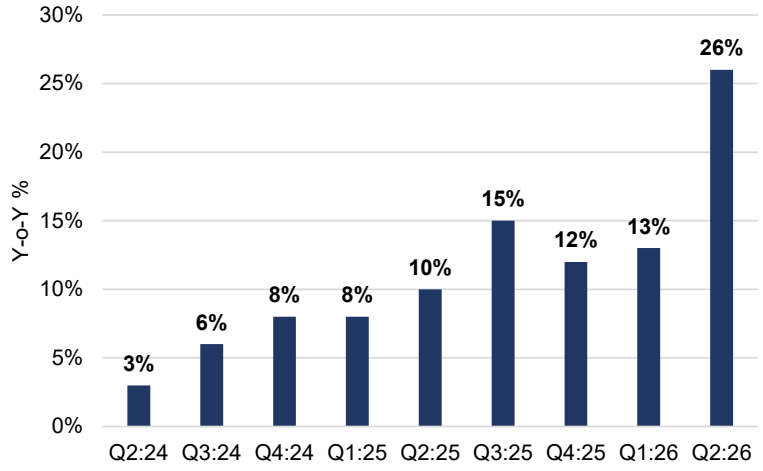
Source: Company data, Jefferies estimates, FactSet

AAL: Double-Digit RASM Growth Expected in 2026 Driven by Corporate, Premium & Loyalty

Premium RASM Continues to Outpace Main Cabin, But GAP Modestly Closing on Improve Main Cabin Demand



Managed Corporate Revenue Accelerated to +26% in Q2



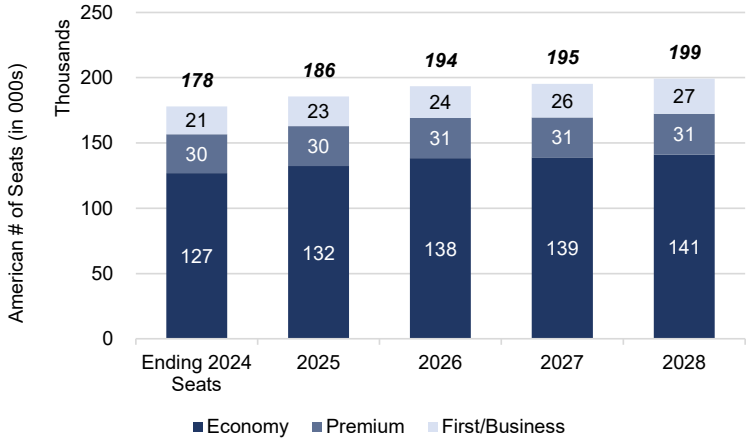
- Q2:26 operating revenues increased 16.3% y-o-y with Passenger up 15.9%, Cargo up 29.7%, and Other/Loyalty up 17.9% (card spend +8% y-o-y). Domestic passenger revenues increased 17.1% y-o-y compared to International passenger revenues up 13.2%, which included Pacific +24.6%, Atlantic +12.7% and Latin +11.4%. The moving pieces were RPMs up 3.6% y-o-y on ASMs up 5.4% as LF decreased by 1.5pts to 83.2%. TRASMs increased 10.3% y-o-y, with regional PRASMs incl Pacific (+15.1%), Domestic (+10.6%), Atlantic (+8.9%) and LatAm (+6.6%).
- Managed Business revenues increased 26% y-o-y in Q1 (with sequential improvements each month), accelerating vs. Q1 +13% and marking the 5th consecutive quarter of +DD% growth. Premium unit revenues +13.4% in Q2 outpaced Main Cabin +8.8%. AAL continues to lean into premium strength as premium seat growth should be 2X that of Main Cabin through the decade including 50% growth in lie-flat seats. AAL stated that nearly 50% of ticket revenue today comes from Premium seats, which only represent 30% of the total seat count. Additionally, merchandising tweaks are paying off as Q2 saw a 5-point increase in the upsell from Basic Economy to Main Cabin for tickets sold in the quarter.

Source: Company data and Jefferies estimates

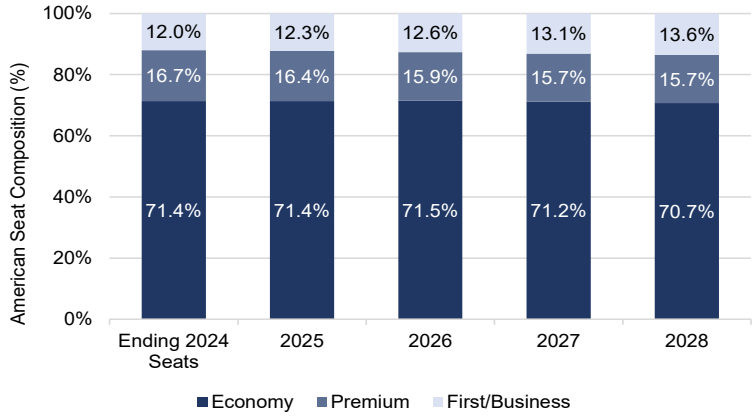
Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

AAL: Double-Digit RASM Growth Expected in 2026 Driven by Corporate, Premium & Loyalty

Seats Change at 2.8% CAGR (12% in '28 vs. '24) with First/Business at 6.0% (26% in '28 vs. '24), Premium at 1.3% (5% in '28 vs. '24), and Economy at 2.5% (10% in '28 vs. '24)



First/Business Seat Mix 1.6pt Change to 2028 (13.6% vs. 12.0% in '24), Premium Mix -0.9pt to 2028 (15.7% vs. 16.7% in '24), and Economy Mix -0.7pt to 2028 (70.7% vs. 71.4% in '24)



- First/Business Mix to Increase Through 2028. Total American seats expand at a 2.8% CAGR to 198K in 2028, 12% ahead or +21K seats compared to 2024 levels (Ex 10). This includes 5.6K additional First/Business seats (6.0% CAGR; 26% higher in '28 vs '24), 1.6K additional Premium seats (1.3% CAGR; 5% higher in '28 vs '24), and 13.3K additional Economy seats (2.5% CAGR; 10% higher in '28 vs '24).
- The resulting seat mix from 2024 to 2028 includes First/Business seats up 1.6pt to 13.6% in 2028 (vs 12.0% in 2024), Premium seats down 0.9pt to 15.7% (vs 16.7% in 2024), and Economy seats down 0.7pt to 70.7% (vs 71.4% in 2024).
- Drilling into widebodies specifically, new WB deliveries hold a higher premium mix vs. aircraft being replaced, driving the WB First/Class Premium mix to increase 3.5pts to 26.6% in 2028 from 23.1% in 2025.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

AAL: Double-Digit Start to 2026 Sales with Expected Sustained Positive Unit Revenues Driven by Corporate, Premium & Loyalty, Plus Main Cabin Turning

AAL Revenue Build by Region - Unit Revenue Growth Accelerates in Q3 ($MM)

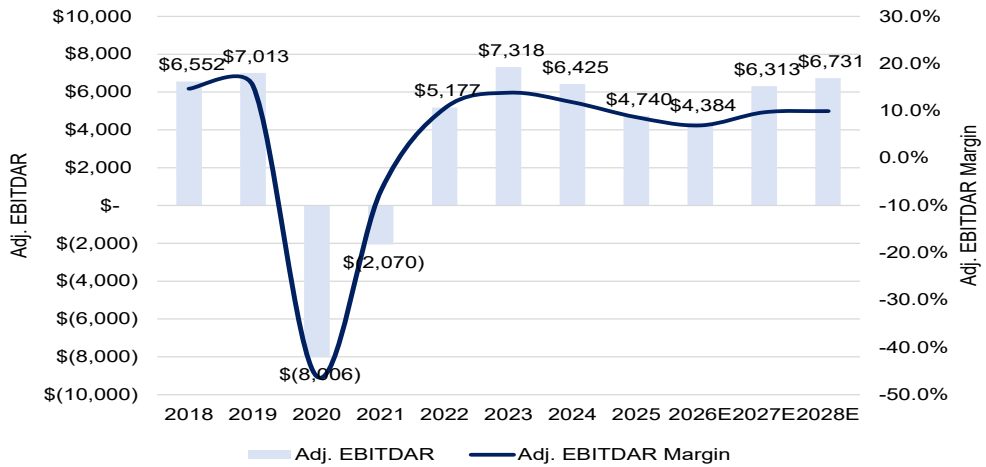
Regional Revenue Build	2019	2022	2023	2024	2025	2026E	2027E	2028E	YoY 2025	YoY 2026	YoY 2027
ASMs:											
Domestic	189,221	176,447	185,206	195,250	200,291	209,945	218,133	225,113	2.6%	4.8%	3.9%
Latin America	36,653	39,131	38,531	40,889	41,314	42,157	43,675	44,985	1.0%	2.0%	3.6%
Atlantic	42,010	40,679	46,056	46,574	46,154	46,858	47,795	48,751	-0.9%	1.5%	2.0%
Pacific	17,204	3,969	7,930	10,235	11,652	12,196	12,562	12,939	13.8%	4.7%	3.0%
Total ASMs	**285,088**	**260,226**	**277,723**	**292,948**	**299,411**	**311,156**	**322,165**	**331,788**	**2.2%**	**3.9%**	**3.5%**
Total International ASMs	**95,867**	**83,779**	**92,517**	**97,698**	**99,120**	**101,211**	**104,032**	**106,675**	**1.5%**	**2.1%**	**2.8%**
Load Factor											
Domestic	85.4%	84.7%	83.9%	85.2%	83.3%	82.5%	84.2%	84.5%	-1.9%	-0.8%	1.7%
Latin America	84.7%	83.0%	86.5%	86.7%	84.8%	84.4%	85.8%	86.0%	-1.9%	-0.4%	1.4%
Atlantic	81.3%	76.1%	79.4%	82.5%	83.8%	84.7%	84.0%	84.0%	1.4%	0.9%	-0.7%
Pacific	84.2%	70.5%	83.7%	84.5%	84.3%	84.5%	84.5%	84.5%	-0.1%	0.2%	0.0%
Total Load Factor	**84.6%**	**82.9%**	**83.5%**	**84.9%**	**83.6%**	**83.1%**	**84.4%**	**84.6%**	**-1.3%**	**-0.4%**	**1.3%**
Total International LF	**83.1%**	**79.0%**	**82.7%**	**84.4%**	**84.3%**	**84.6%**	**84.8%**	**84.9%**	**-0.2%**	**0.3%**	**0.3%**
RPMs											
Domestic	161,580	149,410	155,374	166,302	166,753	173,134	183,668	190,221	0.3%	3.8%	6.1%
Latin America	31,029	32,467	33,337	35,438	35,014	35,569	37,473	38,687	-1.2%	1.6%	5.4%
Atlantic	34,152	30,949	36,581	38,407	38,699	39,704	40,148	40,951	0.8%	2.6%	1.1%
Pacific	14,491	2,798	6,634	8,648	9,828	10,311	10,615	10,933	13.6%	4.9%	2.9%
Total RPMs	**241,252**	**215,624**	**231,926**	**248,795**	**250,294**	**258,717**	**271,904**	**280,792**	**0.6%**	**3.4%**	**5.1%**
Total International RPMs	**79,672**	**66,214**	**76,552**	**82,493**	**83,541**	**85,584**	**88,236**	**90,571**	**1.3%**	**2.4%**	**3.1%**
Yield											
Domestic	19.11¢	22.03¢	22.26¢	21.25¢	21.11¢	23.78¢	23.07¢	23.11¢	-0.7%	12.7%	-3.0%
Latin America	16.27¢	18.94¢	20.15¢	18.51¢	18.40¢	19.64¢	19.25¢	19.35¢	-0.6%	6.7%	-2.0%
Atlantic	13.54¢	16.38¢	16.96¢	16.78¢	17.01¢	18.85¢	18.47¢	18.66¢	1.4%	10.8%	-2.0%
Pacific	10.06¢	15.62¢	15.01¢	14.40¢	14.40¢	15.85¢	15.70¢	15.85¢	0.0%	10.1%	-1.0%
Total Network Yield	**17.41¢**	**20.67¢**	**20.92¢**	**19.93¢**	**19.83¢**	**22.14¢**	**21.58¢**	**21.66¢**	**-0.5%**	**11.6%**	**-2.5%**
Total International Yield	**13.97¢**	**17.61¢**	**18.18¢**	**17.27¢**	**17.29¢**	**18.82¢**	**18.47¢**	**18.61¢**	**0.1%**	**8.9%**	**-1.9%**
Passenger Revenue ($MM)											
Domestic	$30,881	$32,911	$34,592	$35,336	$35,201	$41,173	$42,368	$43,967	-0.4%	17.0%	2.9%
Latin America	5,047	6,150	6,719	6,560	6,444	6,987	7,214	7,485	-1.8%	8.4%	3.2%
Atlantic	4,624	5,070	6,205	6,445	6,583	7,484	7,416	7,640	2.1%	13.7%	-0.9%
Pacific	1,458	437	996	1,245	1,415	1,635	1,666	1,733	13.7%	15.5%	1.9%
Total Passenger Revenue	**$42,010**	**$44,568**	**$48,512**	**$49,586**	**$49,643**	**$57,279**	**$58,664**	**$60,826**	**0.1%**	**15.4%**	**2.4%**
Total International Passenger Revenue	**$11,129**	**$11,657**	**$13,920**	**$14,250**	**$14,442**	**$16,106**	**$16,296**	**$16,858**	**1.3%**	**11.5%**	**1.2%**
Non-Passenger Revenue											
Cargo Revenue	863	1,233	812	804	839	976	959	988	4.4%	16.3%	-1.7%
Other Revenue	2,895	3,170	3,464	3,821	4,151	4,888	5,303	5,728	8.6%	17.8%	8.5%
Total Revenue	**$45,768**	**$48,971**	**$52,788**	**$54,211**	**$54,633**	**$63,142**	**$64,926**	**$67,541**	**0.8%**	**15.6%**	**2.8%**

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

AAL: EBITDAR Margins Contract in 2026 on $6BB Fuel Headwind Before Resuming Expansion in 2027/2028

2024 Investor Day Target of Adj. EBITDAR Margins of 15-18% by 2026; JEF Est 6.9% Given $6BB Higher Fuel Expense



- Q2 TRASM up 10.3% y-o-y with Domestic PRASM up 10.6% compared to International PRASM up 8.5%. Q3:26 TRASM is implied up 13.5% y-o-y, factoring in passenger revenues up 16-19% y-o-y on capacity up 3-5%.This implies a 3pt sequential acceleration on a y-o-y basis from Q2 +10.3%, relatively in-line with outlooks from network peers.
- Q2 CASM-ex increased 2.9% y-o-y with Q3:26 CASM-ex guided up 2.5-4.5% on expected capacity growth of +3-5%. Factoring in Q3 fuel guidance of $3.75/gal, AAL expects Q3 EPS of ($0.70) to ($0.10) vs. JEFe ($0.40).
- Investor Day targets from March 2024 include ~14-16% EBITDAR margins in 2025, and ~15-18% in 2026+, driven by AAdvantage include the updated credit card deal, CASM-ex growing sub-inflation with $1BB+ of cost savings initiatives, and utilization of the fleet. Each 1pt of EBITDAR margin improvement equates to $0.5BB of FCF, given NOLs.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

AAL: FCF Positive in 2026E Despite $6BB Fuel Headwind w/ Total Debt Inside of $35BB in 2027

JEFe AAL Fleet Outlook

	2024	2025	2026	2027	2028	2029	2030	2031
Starting Fleet	965	977	1,013	1,061	1,105	1,150	1,190	1,225
(+) Deliveries	24	52	48	44	56	71	71	75
(-) Removals	(12)	(16)	-	-	(11)	(31)	(36)	(41)
Ending Fleet	***977***	***1,013***	***1,061***	***1,105***	***1,150***	***1,190***	***1,225***	***1,259***

Positive FCF Generation Expected in 2025 Despite +$6BB Fuel Bill

	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
Net Income	**$1,686**	**($8,885)**	**($1,993)**	**$127**	**$822**	**$846**	**$111**	**($144)**	**$1,234**	**$1,513**
Depreciation and Amortization	2,318	2,370	2,335	2,298	2,254	2,245	2,219	2,300	2,445	2,565
NWC	(1,686)	(186)	254	(410)	(566)	(867)	1,217	1,041	(182)	236
Stock Comp/Deferred Taxes/Other	1,497	158	108	158	1,293	1,759	(448)	1,654	1,875	1,414
Operating Cash	**$3,815**	**($6,543)**	**$704**	**$2,173**	**$3,803**	**$3,983**	**$3,099**	**$4,851**	**$5,371**	**$5,729**
Adj. Capex & Net Investing	(3,202)	(1,416)	(433)	(3,090)	(1,997)	(1,782)	(3,182)	(3,985)	(4,326)	(4,446)
Adj. Free Cash Flow	**$613**	**($7,959)**	**$271**	**($917)**	**$1,806**	**$2,201**	**($83)**	**$866**	**$1,045**	**$1,283**
Capital Deployment										
Debt Paydown, Net	(230)	8,245	4,847	(2,683)	(2,896)	(2,797)	(1,731)	(1,082)	(320)	(1,543)
Dividends Paid	(178)	(43)	0	0	0	0	0	0	0	0
Share Repurchases	(1,097)	(173)	(18)	0	0	0	0	0	0	0
Total Deployment	**($1,505)**	**$8,029**	**$4,829**	**($2,683)**	**($2,896)**	**($2,797)**	**($1,731)**	**($1,082)**	**($320)**	**($1,543)**
Metrics										
FCF / Revenue	1%	-46%	1%	-2%	3%	4%	0%	1%	2%	2%
FCF / EBITDA	11%	85%	-8%	-24%	30%	42%	-2%	28%	21%	24%
FCF / Net Income	36%	90%	-14%	-722%	220%	260%	-75%	-600%	85%	85%
FCF / Share	$1.38	($16.45)	$0.42	($1.40)	$2.51	$3.05	($0.13)	$1.31	$1.56	$1.91
FCF Yield	6.9%	-89.0%	3.0%	-10.3%	20.2%	24.6%	-0.9%	9.7%	11.7%	14.3%
Cash / Share	$9.95	$9.10	$11.44	$10.30	$10.22	$8.61	$14.19	$19.30	$13.68	$10.53

- AAL exited Q2 with total debt of $36.2BB with net debt of $27.7BB. There is also $11BB of available liquidity and $27BB of unencumbered assets and first-lien availability as needed.
- In 2026, AAL originally expected >$2BB of FCF on $4.0-4.5BB of capex for 55 deliveries and the ongoing retrofits of the A319/A320s and 777s. However, six deliveries have pushed out of the year, reducing capex by $300MM down to ~$4BB (Ex 6). AAL now expects to generate positive FCF in 2026 despite the $6BB fuel headwind (JEFe $866MM).
- On our estimates, AAL pays down $1.1BB of debt in 2026, $0.3BB in 2027, and $1.5BB in 2028. This drives JEF-defined debt down to $35.4BB at the end of 2026, $34.7BB in 2027, and $32.9BB in 2028. Net leverage falls to 6.7x in 2026, 4.5x in 2027, and 3.9x in 2028.
- JEF estimates $866MM of FCF in 2026 on $4.0BB of capex, with $1.0B in 2027 on $4.3BB of capex and $1.3BB in 2028 on $4.4BB of capex. This funds debt paydown given the target to achieve <3X net leverage before the return of additional shareholder payouts.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

AAL: FCF Positive in 2026E Despite $6BB Fuel Headwind w/ Total Debt Inside of $35BB in 2027

Total Debt Down $3.2BB Y-o-Y in Q1 to $34.7BB Now The First Time Below $35BB Since Mid-2015

Debt Build	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
Cash Equivalents										
Cash & Restricted Cash	$438	$854	$1,263	$1,435	$1,488	$1,536	$1,689	$1,438	$2,163	$1,903
Short-Term Investments	3,546	6,619	12,158	8,525	7,000	6,180	4,882	4,382	4,382	4,382
Total Cash and Short Term Investments	**$3,984**	**$7,473**	**$13,421**	**$9,960**	**$8,488**	**$7,716**	**$6,571**	**$5,820**	**$6,545**	**$6,285**
Debt Build										
Secured:										
2013 Term Loan Facility	$1,807	$1,788	$1,770	$1,752	$990	$980	$970	$960	$950	$940
2013 Revolving Credit Facility	-	750	-	-	-	-	-	-	-	-
2014 Term Loan Facility	1,202	1,220	1,208	1,196	1,183	1,171	1,159	909	409	-
2014 Revolving Credit Facility	-	1,643	-	-	-	-	-	-	-	-
April 2016 Spare Parts Term Loan Facility	970	960	-	-	-	-	-	-	-	-
April 2016 Revolving Facility	-	450	-	-	-	-	-	-	-	-
December 2016 Term Loan Facility	1,213	1,200	1,188	-	-	-	-	-	-	-
2023 Term Loan Facility	-	-	-	-	1,100	1,089	1,078	1,068	1,058	1,048
11.75% Senior Secured Notes Due July 2025	-	2,500	2,500	2,500	-	-	-	-	-	-
10.75% Senior Secured IP Notes Due February 2026	-	1,000	1,000	1,000	1,000	781	-	-	-	-
10.75% Senior Secured LGA/DCA Notes Due February 2026	-	200	200	200	200	156	-	-	-	-
7.25% Senior Secured Notes Due in February 2028	-	-	-	-	750	750	750	750	750	-
8.50% Senior Secured Notes Due in May 2029	-	-	-	-	1,000	1,000	1,000	1,000	1,000	500
Treasury Term Loan Facility	-	550	-	-	-	-	-	-	-	-
5.5% Senior Secured Notes Due Through April 2026	-	-	3,500	3,500	2,917	1,750	583	-	-	-
5.75% Senior Secured Notes Due Through April 2029	-	-	3,000	3,000	3,000	3,000	3,000	2,500	1,500	500
AAdvantage Term Loan Facility Due Through April 2028	-	-	3,500	3,500	3,150	2,450	2,264	1,564	864	-
AAdvantage Term Loan Facility Due Through May 2032	-	-	-	-	-	-	995	995	995	995
EETCs Maturing Through 2026 to 2034	11,933	11,013	9,357	9,175	7,657	7,271	6,912	6,912	6,912	6,912
Equipment Loans and Other Notes Payable Through 2032	4,727	4,417	3,433	3,170	3,612	4,094	4,719	4,719	4,719	4,719
Special Facility Revenue Bonds Through 2026 to 2036	754	1,064	1,129	1,050	967	880	789	789	789	789
Other Secured Obligations	-	-	-	-	-	-	-	-	-	-
Unsecured:										
PSP1 Promissory Note Due in April 2030	-	1,765	1,765	1,757	1,757	1,757	1,757	1,757	1,757	1,757
PSP2 Promissory Note Due in January 2031	-	-	1,035	1,030	1,030	1,030	1,030	1,030	1,030	1,030
PSP3 Promissory Note Due in April 2031	-	-	946	959	959	959	959	959	959	959
6.5% Convertible Senior Notes Due in July 2025	-	1,000	1,000	1,000	1,000	1,000	-	-	-	-
6.125% Senior Notes Due in June 2018	-	-	-	-	-	-	-	-	-	-
5.5% Senior Notes Due in October 2019	-	-	-	-	-	-	-	-	-	-
4.625% Senior Notes Due in March 2020	-	-	-	-	-	-	-	-	-	-
5.0% Senior Notes Due in June 2022	750	750	750	-	-	-	-	-	-	-
3.75% Senior Notes Due in March 2025	500	500	500	500	487	-	-	-	-	-
Short-Term Senior Term Loan Facility	-	-	-	-	-	-	629	-	-	-
Assumed Senior Notes Refinancing	-	-	-	-	-	-	-	1,600	3,500	5,500
Total Secured and Unsecured Debt	**$23,856**	**$32,770**	**$37,781**	**$35,289**	**$32,759**	**$30,118**	**$28,594**	**$27,512**	**$27,192**	**$25,649**
Less: Unamortized Debt Discount, Premium, and Issuance Cost	(211)	(749)	(458)	(386)	(363)	(305)	(314)	(315)	(315)	(315)
Less: Current Maturities	(2,749)	(2,697)	(2,315)	(3,059)	(3,501)	(5,196)	(3,641)	(3,000)	(3,000)	(3,000)
Total Debt	**$23,645**	**$32,021**	**$37,323**	**$34,903**	**$32,396**	**$29,813**	**$28,280**	**$27,197**	**$26,877**	**$25,334**
Plus: Pension Liability	6,052	7,069	5,053	2,837	3,044	2,128	1,568	1,568	1,568	1,568
Plus: Lease Liability	9,129	8,428	8,092	8,024	7,761	7,068	6,963	6,615	6,284	5,970
Total JEF-Defined Debt	**$38,826**	**$47,518**	**$50,468**	**$45,764**	**$43,201**	**$39,009**	**$36,811**	**$35,380**	**$34,729**	**$32,872**
Less: Cash and Cash Equivalents	(3,984)	(7,473)	(13,421)	(9,960)	(8,488)	(7,716)	(6,571)	(5,820)	(6,545)	(6,285)
Total JEF-Defined Net Debt	**$34,842**	**$40,045**	**$37,047**	**$35,804**	**$34,713**	**$31,293**	**$30,240**	**$29,560**	**$28,184**	**$26,587**
Leverage Ratios										
JEF Net Debt/Adj. EBITDAR	5.0X	(5.0X)	(17.9X)	6.9X	4.7X	4.9X	6.4X	6.7X	4.5X	3.9X
JEF Debt/Adj. EBITDAR	5.5X	(5.9X)	(24.4X)	8.8X	5.9X	6.1X	7.8X	8.1X	5.5X	4.9X

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

AAL: Annual Income Statement

$MM except per share data	2022		2023		2024		2025		2026E		2027E		2028E	
	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales
Total Revenues	**$48,971**	100.0%	**$52,788**	100.0%	**$54,211**	100.0%	**$54,633**	100.0%	**$63,142**	100.0%	**$64,926**	100.0%	**$67,541**	100.0%
Cost and Expenses														
Aircraft fuel and related taxes	13,791	28.2%	12,257	23.2%	11,418	21.1%	10,718	19.6%	16,323	25.9%	13,311	20.5%	13,206	19.6%
Salaries, wages and benefits	12,972	26.5%	14,580	27.6%	16,021	29.6%	17,566	32.2%	18,974	30.1%	20,238	31.2%	21,326	31.6%
Regional expenses	4,385	9.0%	4,643	8.8%	5,042	9.3%	5,448	10.0%	5,756	9.1%	6,186	9.5%	6,503	9.6%
Maintenance, materials and repairs	2,684	5.5%	3,265	6.2%	3,794	7.0%	3,844	7.0%	4,107	6.5%	4,349	6.7%	4,479	6.6%
Other rent and landing fees	2,730	5.6%	2,928	5.5%	3,303	6.1%	3,476	6.4%	3,734	5.9%	4,027	6.2%	4,247	6.3%
Aircraft rent	1,395	2.8%	1,369	2.6%	1,242	2.3%	1,220	2.2%	1,253	2.0%	1,292	2.0%	1,331	2.0%
Selling expenses	1,815	3.7%	1,799	3.4%	1,812	3.3%	1,997	3.7%	2,334	3.7%	2,384	3.7%	2,522	3.7%
Depreciation and Amortization	1,977	4.0%	1,936	3.7%	1,926	3.6%	1,890	3.5%	1,965	3.1%	2,100	3.2%	2,220	3.3%
Special Items, net	193	0.4%	971	1.8%	610	1.1%	159	0.3%	21	0.0%	0	0.0%	0	0.0%
Other (expense) income	5,422	11.1%	6,006	11.4%	6,429	11.9%	6,848	12.5%	7,530	11.9%	8,119	12.5%	8,527	12.6%
Total Operating Costs	**$47,364**	96.7%	**$49,754**	94.3%	**$51,597**	95.2%	**$53,166**	97.3%	**$61,997**	98.2%	**$62,005**	95.5%	**$64,361**	95.3%
Operating Profit	**$1,607**	3.3%	**$3,034**	5.7%	**$2,614**	4.8%	**$1,467**	2.7%	**$1,145**	1.8%	**$2,921**	4.5%	**$3,181**	4.7%
Non-Operating Expense, net	(1,421)		(1,913)		(1,460)		(1,277)		(1,330)		(1,344)		(1,233)	
Income Before Taxes	**$186**	0.4%	**$1,121**	2.1%	**$1,154**	2.1%	**$190**	0.3%	**($185)**	-0.3%	**$1,577**	2.4%	**$1,948**	2.9%
Taxes (rate %)	59	31.7%	299	26.7%	308	26.7%	79	41.6%	(41)	22.0%	344	21.8%	434	22.3%
Net Income	**$127**	0.3%	**$822**	1.6%	**$846**	1.6%	**$111**	0.2%	**($144)**	-0.2%	**$1,234**	1.9%	**$1,513**	2.2%
Diluted Shares	655		720		721		661		663		668		672	
GAAP EPS	**$0.19**		**$1.14**		**$1.17**		**$0.17**		**($0.22)**		**$1.85**		**$2.25**	
GAAP Pre-Tax Income	186		1,121		1,154		190		(185)		1,577		1,948	
Adjustments	272		1,341		667		162		186		0		0	
Adj. Pre-Tax Income (Loss)	**$458**		**$2,462**		**$1,821**		**$352**		**$1**		**$1,577**		**$1,948**	
Adjusted Taxes	(130)		(603)		(459)		(115)		(2)		(344)		(434)	
Adj. Net Income (Loss)	**$328**		**$1,859**		**$1,362**		**$237**		**($1)**		**$1,234**		**$1,513**	
Adjusted EPS	**$0.50**		**$2.65**		**$1.96**		**$0.36**		**($0.00)**		**$1.85**		**$2.25**	

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

AAL: Balance Sheet

$MM except per share data	2022	2023	2024	2025	2026E	2027E	2028E
Assets:							
Cash and cash equivalents	$440	$578	$804	$954	$718	$1,443	$1,183
Short-term investments	8,525	7,000	6,180	4,882	4,382	4,382	4,382
Restricted cash and short-term investments	995	910	732	735	720	720	720
Accounts receivable, net	2,138	2,026	2,006	2,075	2,249	2,224	2,128
Aircraft fuel, spare parts and supplies, net	2,279	2,400	2,638	2,792	2,800	2,867	2,920
Prepaid expenses and other	892	658	794	767	791	791	773
Total Current Assets	**$15,269**	**$13,572**	**$13,154**	**$12,205**	**$11,660**	**$12,427**	**$12,106**
Total property and equipment, net	30,200	30,764	31,127	32,540	34,946	37,846	40,159
Operating lease right-of-use assets	8,094	7,939	7,333	7,091	7,091	7,091	7,091
Goodwill	4,091	4,091	4,091	4,091	4,091	4,091	4,091
Intangibles, net	2,059	2,051	2,044	2,066	2,066	2,066	2,066
Deferred tax asset	3,099	2,888	2,485	2,368	2,368	2,368	2,368
Other assets	1,904	1,753	1,549	1,413	1,413	1,413	1,413
Total Assets	**$64,716**	**$63,058**	**$61,783**	**$61,774**	**$63,635**	**$67,301**	**$69,293**
Liabilities:							
Current maturities of long-term debt and finance leases	$3,274	$3,632	$5,014	$3,753	$3,000	$3,000	$3,000
Accounts payable	2,149	2,353	2,455	2,840	3,075	2,860	2,938
Accrued salaries and wages	1,713	2,377	2,150	2,128	2,277	2,429	2,559
Air traffic liability	6,745	6,200	6,759	7,158	8,592	9,093	9,245
Loyalty program liability	3,169	3,453	3,556	3,725	4,528	5,438	6,177
Operating lease liabilities	1,465	1,309	1,092	1,058	1,005	955	907
Other accrued liability	2,961	2,738	2,961	3,830	3,881	3,944	3,990
Total Current Liabilities	**$21,476**	**$22,062**	**$23,987**	**$24,492**	**$26,357**	**$27,719**	**$28,817**
Long-term debt and finance leases, net of current	32,389	29,270	25,462	25,254	24,197	23,877	22,334
Pension and postretirement benefits	2,837	3,044	2,128	1,568	1,568	1,568	1,568
Loyalty program liability	5,976	5,874	6,498	6,839	6,839	6,839	6,839
Operating lease liabilities	6,559	6,452	5,976	5,905	5,610	5,329	5,063
Other liabilities	1,258	1,558	1,709	1,443	1,443	1,443	1,443
Total Liabilities	**$70,495**	**$68,260**	**$65,760**	**$65,501**	**$66,014**	**$66,775**	**$66,064**
Total Stockholder's Equity	**($5,779)**	**($5,202)**	**($3,977)**	**($3,727)**	**($2,379)**	**$526**	**$3,230**
Total Liabilities and Equity	**$64,716**	**$63,058**	**$61,783**	**$61,774**	**$63,635**	**$67,301**	**$69,293**

Source: Company data and Jefferies estimates

Air Canada (AC CN)

Hold | Price Target: C$26

Valuation Method	Price	Assumptions
EV/EBITDAR	26	3.1x EV/EBITDAR on 2027E EBITDAR of $3.8BB
Average	**C$26**	**Blended Average**

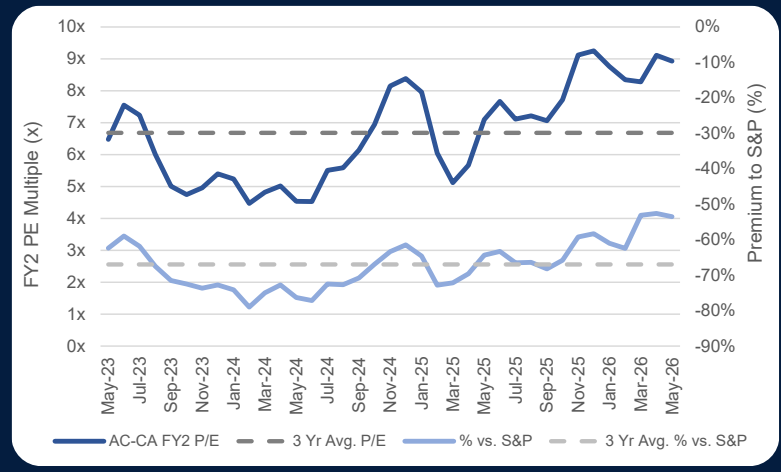
Valuation Table

Airlines	Ticker	JEF Rating	Stock Px 7/28/2026	Consensus BUY Rating	Market Cap	Enterprise Value	P/E 2026E	P/E 2027E	P/E 2028E	EV / SALES 2026E	EV / SALES 2027E	EV / SALES 2028E	EV / EBITDA 2026E	EV / EBITDA 2027E	EV / EBITDA 2028E	Yield Dividend	Yield FCF
Alaska Airlines	ALK	N/C	$47.05	89%	$5,243	$10,251	-47.5x	7.9x	5.4x	0.6x	0.6x	0.6x	11.7x	4.9x	4.2x	0.0%	11.0%
American Airlines	AAL	Hold	$14.83	43%	9,814	37,073	72.6x	5.7x	4.5x	0.6x	0.6x	0.5x	10.9x	6.5x	5.7x	0.0%	NM
Delta Airlines	DAL	Buy	$86.73	89%	57,036	72,301	13.0x	9.8x	8.4x	1.1x	1.0x	1.0x	7.9x	6.4x	5.8x	0.9%	7.5%
JetBlue	JBLU	N/C	$5.44	6%	2,024	9,081	NM	NM	NM	0.9x	0.8x	0.8x	32.6x	9.6x	7.6x	0.0%	NM
Southwest Airlines	LUV	Hold	$44.86	43%	21,946	25,214	NM	9.3x	8.5x	0.8x	0.7x	0.7x	6.8x	5.4x	5.0x	1.6%	6.6%
United Airlines	UAL	Buy	$119.76	86%	38,872	56,145	11.5x	7.7x	6.6x	0.8x	0.8x	0.7x	7.0x	5.4x	4.8x	0.0%	7.5%
Avg. US Airlines				**59%**			**12.4x**	**8.1x**	**6.7x**	**0.8x**	**0.8x**	**0.7x**	**12.8x**	**6.4x**	**5.5x**	**0.4%**	**8.1%**
Chorus Aviation	CHR-CA	N/C	$24.47	100%	562	869	11.5x	11.2x	12.9x	0.7x	0.7x	0.7x	4.8x	4.9x	5.2x	1.5%	19.0%
Avg. Canadian Airlines				**82%**			**11.5x**	**11.2x**	**12.9x**	**0.7x**	**0.7x**	**0.7x**	**4.8x**	**4.9x**	**5.2x**	**1.5%**	**19.0%**
Air Canada	**AC-CA**	**Hold**	**$24.92**	**50%**	**6,791**	**12,403**	**11.3x**	**9.6x**	**8.6x**	**0.5x**	**0.5x**	**0.5x**	**3.5x**	**3.3x**	**3.1x**	**NM**	**NM**
Premium / Discount to US Airlines							**-9%**	**18%**	**29%**	**-40%**	**-37%**	**-37%**	**-73%**	**-48%**	**-45%**		

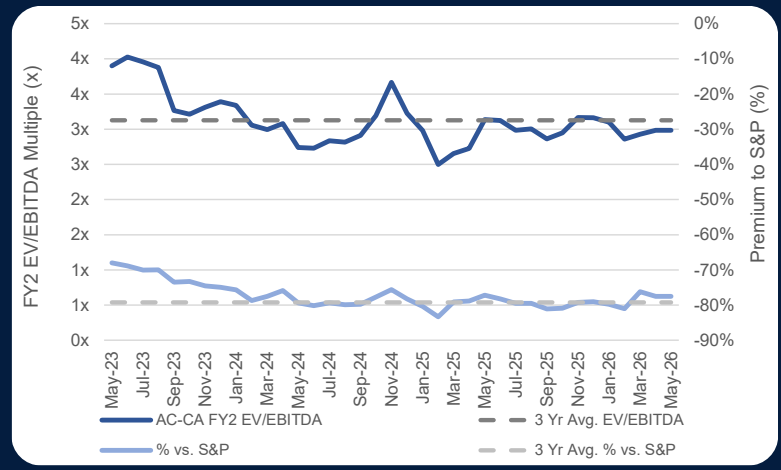
Featured Notes:

- Fuel Cliff: Hedges Bolster Q2 Earnings, but Protection Wears Off in H2 | *May 3, 2026*
- Turning Over a New Maple Leaf, But Still in a Transition | *Feb 15, 2026*
- ASM Production Behind Schedule Leaves Margin Ramp Outside of 2026 | *Nov 11, 2025*

Trading at 8.9X FY2 P/E, 54% Disct to Mkt vs. Historical Avg Disct of 67%



Trading at 3.0X FY2 EV/EBITDA, 78% Disct to Mkt vs. Historical Avg Disct of 79%



Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

Source: Company data, Jefferies estimates, FactSet

AC-CN: Strong Start to the Year w/ Q1 PRASM +8% Led by Atlantic PRASM +Mid-Teens

Air Canada Revenue Build - ASM Production Falling Behind Investor Day Schedule (5-6% per Year to 130BB in 2028) for Delivery Delays

Regional Revenue Build	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	2025 YoY	2026 YoY	2027 YoY
ASMs:													
Canada	24,677	10,508	12,072	20,373	21,426	22,246	22,982	23,166	23,861	24,577	3.3%	0.8%	3.0%
US Transborder	19,491	5,501	4,190	15,290	18,342	18,892	17,088	16,405	17,225	18,086	-9.6%	-4.0%	5.0%
Atlantic	34,837	11,211	11,396	30,188	34,894	35,103	35,490	35,490	37,690	39,763	1.1%	0.0%	6.2%
Pacific	23,011	5,683	2,956	7,484	13,610	17,421	17,996	18,895	19,840	20,931	3.3%	5.0%	5.0%
Other	10,798	4,800	2,770	9,223	10,740	10,719	11,619	12,804	13,444	14,116	8.4%	10.2%	5.0%
Total ASMs	**112,814**	**37,703**	**33,384**	**82,558**	**99,012**	**104,381**	**105,174**	**106,759**	**112,060**	**117,473**	**0.8%**	**1.5%**	**5.0%**
Total International ASMs	**88,137**	**27,195**	**21,312**	**62,185**	**77,586**	**82,135**	**82,192**	**83,593**	**88,199**	**92,897**	**0.1%**	**1.7%**	**5.5%**
Load Factor													
Canada	82.4%	61.2%	66.3%	80.2%	85.1%	83.6%	83.1%	85.0%	84.5%	84.5%	-0.5%	2.3%	-0.6%
US Transborder	81.3%	66.0%	64.6%	77.1%	83.5%	82.4%	80.2%	82.0%	82.0%	82.0%	-2.7%	2.3%	0.0%
Atlantic	84.1%	53.4%	62.5%	83.1%	88.3%	85.6%	86.4%	88.0%	87.0%	86.0%	0.9%	1.9%	-1.1%
Pacific	84.4%	61.7%	45.8%	81.9%	90.9%	88.9%	88.0%	89.0%	88.0%	87.5%	-1.1%	1.2%	-1.1%
Other	85.5%	76.7%	67.1%	77.8%	84.5%	83.5%	83.8%	85.5%	85.0%	85.0%	0.4%	2.0%	-0.6%
Total Load Factor	**83.4%**	**61.6%**	**63.0%**	**80.5%**	**86.7%**	**84.9%**	**84.6%**	**86.3%**	**85.6%**	**85.2%**	**-0.3%**	**2.0%**	**-0.8%**
Total International LF	**83.7%**	**61.8%**	**61.2%**	**80.7%**	**87.1%**	**85.3%**	**85.1%**	**86.7%**	**85.9%**	**85.4%**	**-0.3%**	**1.9%**	**-0.8%**
RPMs													
Canada	20,328	6,436	8,002	16,336	18,224	18,588	19,105	19,691	20,162	20,767	2.8%	3.1%	2.4%
US Transborder	15,846	3,630	2,705	11,781	15,313	15,566	13,698	13,452	14,124	14,831	-12.0%	-1.8%	5.0%
Atlantic	29,284	5,984	7,126	25,072	30,823	30,052	30,653	31,231	32,790	34,196	2.0%	1.9%	5.0%
Pacific	19,426	3,506	1,353	6,128	12,370	15,487	15,828	16,817	17,459	18,315	2.2%	6.2%	3.8%
Other	9,229	3,683	1,859	7,178	9,072	8,950	9,737	10,947	11,428	11,999	8.8%	12.4%	4.4%
Total RPMs	**94,113**	**23,239**	**21,045**	**66,495**	**85,802**	**88,643**	**89,021**	**92,138**	**95,964**	**100,108**	**0.4%**	**3.5%**	**4.2%**
Total International RPMs	**73,785**	**16,803**	**13,043**	**50,159**	**67,578**	**70,055**	**69,916**	**72,447**	**75,801**	**79,340**	**-0.2%**	**3.6%**	**4.6%**
Yield													
Canada	25.74¢	25.48¢	25.62¢	27.08¢	28.02¢	28.27¢	27.60¢	29.53¢	29.23¢	29.53¢	-2.4%	7.0%	-1.0%
US Transborder	23.95¢	23.14¢	28.47¢	25.61¢	26.92¢	27.46¢	27.97¢	29.88¢	29.88¢	29.88¢	1.8%	6.8%	0.0%
Atlantic	15.26¢	15.19¢	15.44¢	17.47¢	19.62¢	19.15¢	19.51¢	20.89¢	21.10¢	21.31¢	1.9%	7.1%	1.0%
Pacific	12.61¢	13.35¢	18.11¢	18.24¢	19.24¢	18.03¢	17.08¢	18.15¢	18.42¢	18.61¢	-5.3%	6.3%	1.5%
Other	13.95¢	14.25¢	17.91¢	18.08¢	19.24¢	18.82¢	18.67¢	19.58¢	19.78¢	19.87¢	-0.8%	4.9%	1.0%
Total Network Yield	**18.31¢**	**18.86¢**	**21.37¢**	**21.41¢**	**22.61¢**	**22.29¢**	**22.02¢**	**23.39¢**	**23.46¢**	**23.62¢**	**-1.2%**	**6.2%**	**0.3%**
Total International Yield	**16.26¢**	**16.32¢**	**18.77¢**	**19.57¢**	**21.16¢**	**20.71¢**	**20.50¢**	**21.72¢**	**21.92¢**	**22.07¢**	**-1.0%**	**6.0%**	**0.9%**
Passenger Revenue ($MM)													
Canada	$5,233	$1,640	$2,050	$4,424	$5,106	$5,255	$5,273	$5,815	$5,894	$6,132	0.3%	10.3%	1.4%
US Transborder	$3,795	$840	$770	$3,017	$4,123	$4,275	$3,831	$4,020	$4,221	$4,432	-10.4%	4.9%	5.0%
Atlantic	$4,468	$909	$1,100	$4,381	$6,049	$5,754	$5,979	$6,523	$6,917	$7,286	3.9%	9.1%	6.0%
Pacific	$2,449	$468	$245	$1,118	$2,380	$2,792	$2,703	$3,053	$3,217	$3,408	-3.2%	12.9%	5.4%
Other	$1,287	$525	$333	$1,298	$1,745	$1,684	$1,818	$2,143	$2,260	$2,385	8.0%	17.9%	5.4%
Total Passenger Revenue	**$17,232**	**$4,382**	**$4,498**	**$14,238**	**$19,403**	**$19,760**	**$19,604**	**$21,554**	**$22,509**	**$23,643**	**-0.8%**	**9.9%**	**4.4%**
Total International Pax Revenue	**$11,999**	**$2,742**	**$2,448**	**$9,814**	**$14,297**	**$14,505**	**$14,331**	**$15,739**	**$16,615**	**$17,511**	**-1.2%**	**9.8%**	**5.6%**
Non-Passenger Revenue													
Cargo Revenue	717	920	1,495	1,266	924	991	1,033	1,085	1,139	1,184	4.2%	5.0%	5.0%
Other Revenue	1,182	531	407	1,052	1,506	1,504	1,735	1,926	2,041	2,123	15.4%	11.0%	6.0%
Total Revenue	**$19,131**	**$5,833**	**$6,400**	**$16,556**	**$21,833**	**$22,255**	**$22,372**	**$24,564**	**$25,689**	**$26,950**	**0.5%**	**9.8%**	**4.6%**

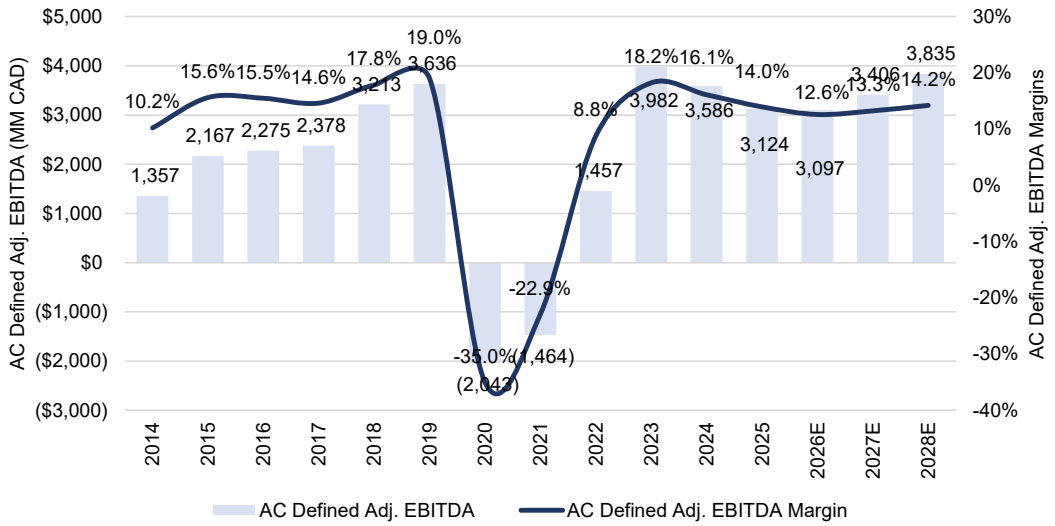
- For 2026, we estimate passenger revenues up 9.9% y-o-y to $21.55BB CAD. The drivers are 1.5% ASM growth and PRASMs up 8.3% y-o-y to 19.00¢. We expect growth to step up next year to +5.0% driving -0.5% PRASM for +4.4% pax revs.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

AC-CN: Q1 Adj EBITDA Beat & Q2 Guide In Line w/ Expectations, but Labor Rate, D&A Steps, and Fuel Hold Margins Range-Bound and Below the >17% Target in 2028

Adjusted EBITDA - Difficulty Finding Operating Leverage to >17% by 2028



- Air Canada targets at least C$5BB of adj. EBITDA in 2028, or a margin of at least 17%, up from ~16% in 2024 and ~14% in 2025. This implies a 10% annual EBITDA CAGR. The bridge from 2024-2028 EBITDA is at least C$1.5BB, driven by:
  - >$1BB of Capacity Growth
  - ~$1BB of Optimization Benefits
  - Inflationary Hotspots
- AC saw an 8pt improvement in OTP in 2024 versus 2023, with management targeting an additional 2pt improvement in 2025 and 2026 each on the continued contribution of existing investments, plus a growing contribution from a younger, more reliable fleet.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

AC-CN: Fleet Modernization Drives Core FCF Burn in 2026/2027 Before SLBs

Lack of Core FCF in 2026-2028 Prior to Sale-Leasebacks, with Capex as ~10% of Sales Continuing to Pressure FCF Generation as New A350-1000 Order Negates the Prior Reduction of the 787-10 Buy

	2022	2023	2024	2025	2026E	2027E	2028E
Net Income	**($1,700)**	**$2,276**	**$1,720**	**$644**	**$351**	**$476**	**$658**
Depreciation and Amortization	1,640	1,703	1,799	2,012	2,177	2,375	2,571
NWC	1,498	711	214	758	282	(102)	(1)
Stock Comp/Deferred Taxes/Other	930	(370)	197	243	174	141	194
CFO	**$2,368**	**$4,320**	**$3,930**	**$3,657**	**$2,984**	**$2,890**	**$3,423**
Capex	(1,572)	(1,564)	(2,636)	(2,910)	(2,596)	(2,982)	(2,196)
FCF	**$796**	**$2,756**	**$1,294**	**$747**	**$388**	**($92)**	**$1,227**
Capital Deployment							
Net (Debt Paydown) / Issuance	(1,612)	(2,368)	(2,366)	(1,513)	520	(632)	(667)
Cash Dividends Paid	0	0	0	0	0	0	0
Share repurchase	0	0	(473)	(859)	(500)	(200)	0
Total Deployment	**($1,612)**	**($2,368)**	**($2,839)**	**($2,372)**	**$20**	**($832)**	**($667)**
Discretionary FCF	**($816)**	**$388**	**($1,545)**	**($1,625)**	**$408**	**($924)**	**$560**
Ratios							
FCF / Revenue	5%	13%	6%	3%	2%	0%	5%
FCF / EBITDA	39%	57%	29%	18%	9%	-2%	25%
FCF / Net Income	-81%	161%	97%	159%	140%	-20%	186%
FCF / Share	$2.22	$7.33	$3.44	$2.33	$1.36	($0.34)	$4.47
FCF Yield	14.1%	48.8%	22.9%	13.2%	6.9%	-1.6%	21.7%
Cash / Share	$22.31	$22.74	$18.57	$17.27	$20.88	$18.25	$20.30

- For '24-'28, JEF estimates C$3.6BB of FCF after C$13.3BB of capex with C$4.6BB of capital deployed to debt repayment and C$2.0BB to share repurchases.
- AC intends to complete ~$3.0BB of sale-leaseback transactions, including $1BB in 2026 and $1BB 2027 now under LOIs, reducing net capex to C$15BB from 2024 to 2028. This is a tool to reduce the owned fleet from ~80% at the end of 2024 to ~70% at the end of 2025 and into an optimal range of 65-70%. From the Investor Day, this drives Adj FCF of C$4-5BB over the 5 years. JEF estimates stand at $3.6BB from 2024-2028, including SLBs.

Source: OMB and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

AC-CN: Income Statement

(millions of Canadian Dollars, except per share data)	2022		2023		2024		2025		2026E		2027E		2028E	
	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales
Revenues:														
Canada	$4,424	26.7%	$5,106	23.4%	$5,255	23.6%	$5,273	23.6%	$5,815	23.7%	$5,894	22.9%	$6,132	22.8%
US Transborder	3,017	18.2%	4,123	18.9%	4,275	19.2%	3,831	17.1%	4,020	16.4%	4,221	16.4%	4,432	16.4%
Atlantic	4,381	26.5%	6,049	27.7%	5,754	25.9%	5,979	26.7%	6,523	26.6%	6,917	26.9%	7,286	27.0%
Pacific	1,118	6.8%	2,380	10.9%	2,792	12.5%	2,703	12.1%	3,053	12.4%	3,217	12.5%	3,408	12.6%
Other	1,298	7.8%	1,745	8.0%	1,684	7.6%	1,818	8.1%	2,143	8.7%	2,260	8.8%	2,385	8.8%
Total Passenger Revenue	**$14,238**	**86.0%**	**$19,403**	**88.9%**	**$19,760**	**88.8%**	**$19,604**	**87.6%**	**$21,554**	**87.7%**	**$22,509**	**87.6%**	**$23,643**	**87.7%**
Cargo Revenue	1,266	7.6%	924	4.2%	991	4.5%	1,033	4.6%	1,085	4.4%	1,139	4.4%	1,184	4.4%
Other Revenue	1,052	6.4%	1,506	6.9%	1,504	6.8%	1,735	7.8%	1,926	7.8%	2,041	7.9%	2,123	7.9%
Total Operating Revenue	**$16,556**	**100.0%**	**$21,833**	**100.0%**	**$22,255**	**100.0%**	**$22,372**	**100.0%**	**$24,564**	**100.0%**	**$25,689**	**100.0%**	**$26,950**	**100.0%**
Operating Expenses:														
Aircraft fuel	$5,276	31.9%	$5,318	24.4%	$5,118	23.0%	$4,731	21.1%	$6,201	25.2%	$6,007	23.4%	$5,677	21.1%
Wages, salaries, and benefits	3,260	19.7%	3,955	18.1%	4,880	21.9%	5,005	22.4%	5,210	21.2%	5,474	21.3%	5,774	21.4%
Depreciation and amortization	1,640	9.9%	1,703	7.8%	1,799	8.1%	2,012	9.0%	2,177	8.9%	2,375	9.2%	2,571	9.5%
Airport and navigation fees	1,213	7.3%	1,418	6.5%	1,487	6.7%	1,587	7.1%	1,655	6.7%	1,793	7.0%	1,938	7.2%
Sales and distribution cost	797	4.8%	1,097	5.0%	1,085	4.9%	1,075	4.8%	1,153	4.7%	1,233	4.8%	1,316	4.9%
Capacity purchase fees	763	4.6%	858	3.9%	860	3.9%	863	3.9%	897	3.7%	953	3.7%	999	3.7%
Aircraft maintenance	706	4.3%	1,083	5.0%	1,237	5.6%	1,343	6.0%	1,388	5.6%	1,490	5.8%	1,586	5.9%
Ground package costs	474	2.9%	720	3.3%	782	3.5%	872	3.9%	886	3.6%	930	3.6%	975	3.6%
Communications and information technology	468	2.8%	555	2.5%	649	2.9%	692	3.1%	705	2.9%	751	2.9%	787	2.9%
Catering and onboard services	425	2.6%	628	2.9%	637	2.9%	673	3.0%	694	2.8%	740	2.9%	787	2.9%
Other	1,721	10.4%	2,219	10.2%	2,458	11.0%	2,601	11.6%	2,680	10.9%	2,914	11.3%	3,278	12.2%
Total Operating Expense	**$16,743**	**101.1%**	**$19,554**	**89.6%**	**$20,992**	**94.3%**	**$21,454**	**95.9%**	**$23,644**	**96.3%**	**$24,659**	**96.0%**	**$25,686**	**95.3%**
GAAP Operating Income	**($187)**	**-1.1%**	**$2,279**	**10.4%**	**$1,263**	**5.7%**	**$918**	**4.1%**	**$920**	**3.7%**	**$1,031**	**4.0%**	**$1,264**	**4.7%**
Foreign Exchange Gain/(Loss)	(732)		389		(400)		245		103		0		0	
Interest income	168		416		431		222		166		148		113	
Interest expense, net	(909)		(944)		(763)		(663)		(648)		(550)		(511)	
Capitalized Interest	13		14		32		57		57		57		57	
Net interest relating to employee benefits	24		0		0		0		0		0		0	
Gain (Loss) on financial instruments recorded at fair value	133		115		28		82		3		0		0	
Gain (Loss) on debt settlements and modifications	(14)		(10)		(8)		0		(56)		0		0	
Other income (expense), net	(20)		(47)		(68)		(72)		(20)		(70)		(70)	
Total Non-Operating Expense	($1,337)		($67)		($748)		($129)		($395)		($414)		($411)	
Earnings Before Taxes	**($1,524)**	**-9.2%**	**$2,212**	**10.1%**	**$515**	**2.3%**	**$789**	**3.5%**	**$525**	**2.1%**	**$616**	**2.4%**	**$853**	**3.2%**
Income Expense (Benefit)	176		(64)		(1,205)		145		174		141		194	
Net Income	**($1,700)**	**-10.3%**	**$2,276**	**10.4%**	**$1,720**	**7.7%**	**$644**	**2.9%**	**$351**	**1.4%**	**$476**	**1.9%**	**$658**	**2.4%**
Diluted Share Count	358.0		376.0		376.0		320.0		284.1		274.4		274.4	
Diluted EPS	**($4.75)**		**$6.05**		**$4.57**		**$2.01**		**$1.23**		**$1.73**		**$2.40**	
Adjusted Net Income	**($988)**	**-6.0%**	**$1,713**	**7.8%**	**$1,335**	**6.0%**	**$471**	**2.1%**	**$278**	**1.1%**	**$466**	**1.8%**	**$658**	**2.4%**
Adjusted Diluted EPS	**($2.76)**		**$4.56**		**$3.55**		**$1.47**		**$1.00**		**$1.70**		**$2.40**	

Source: Company data and Jefferies estimates

AAR Corp (AIR)

Buy | Price Target: $155

Valuation Method	Price	Weighting	Assumptions
EV/EBITDA	153	45%	12.6x EV/EBITDA on 2028 EBITDA of $507MM
P/E	155	45%	23.5x P/E on 2028 EPS of $6.60
FCF	151	10%	1.9% FCF Yield on 2028 FCF of $114MM
Price Target	**$155**		**Blended Average**

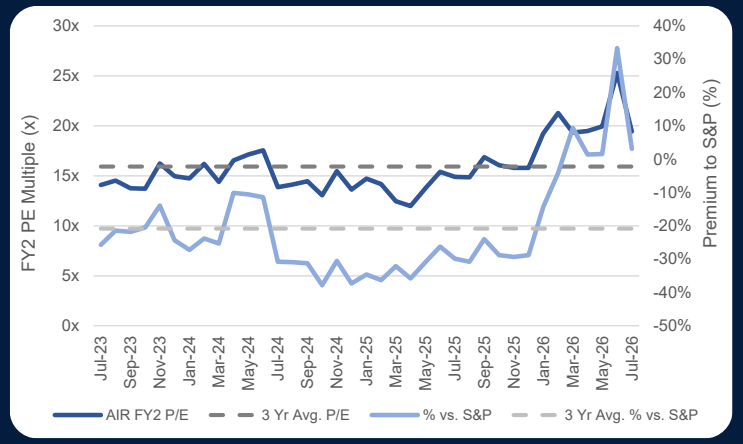
Valuation Table

	Ticker	JEF Rating	Stock Px 7/27/2026	Consensus BUY Rating	Market Cap	Enterprise Value	P/E 2026E	P/E 2027E	P/E 2028E	EV / SALES 2026E	EV / SALES 2027E	EV / SALES 2028E	EV / EBITDA 2026E	EV / EBITDA 2027E	EV / EBITDA 2028E	FCF Yield
AerSale	ASLE	N/C	$6.18	0%	307	445	22.9x	18.2x	-	1.4x	1.3x	-	9.4x	8.1x	-	-0.7%
Heico Corp	HEI	Buy	$349.61	60%	41,522	44,519	57.3x	50.8x	44.8x	8.4x	7.6x	7.1x	30.0x	27.2x	25.1x	2.8%
Honeywell	HON	Hold	$243.15	62%	77,392	102,504	29.4x	24.3x	20.7x	5.1x	5.0x	4.8x	23.2x	20.1x	18.5x	4.9%
Moog Inc	MOG.A	N/C	$410.13	67%	13,236	14,297	38.5x	35.2x	31.6x	3.3x	3.1x	2.8x	22.5x	20.6x	18.9x	
MTU Aero Engines	MTX-DE	Buy	$351.60	68%	18,461	19,351	19.0x	17.4x	15.8x	2.0x	1.8x	1.7x	10.8x	10.1x	9.4x	3.7%
StandardAero	SARO	Hold	$28.70	86%	9,572	11,693	22.6x	18.0x	15.1x	1.8x	1.7x	1.5x	13.1x	11.4x	10.1x	4.2%
TransDigm	TDG	Buy	$1,236.71	54%	71,547	99,674	30.9x	26.3x	22.9x	9.6x	8.8x	8.2x	18.4x	16.7x	15.3x	3.8%
V2X Inc	VVX	N/C	$83.57	50%	2,680	3,535	13.7x	12.3x	11.0x	0.7x	0.7x	0.7x	10.0x	9.3x	8.8x	8.2%
Woodward	WWD	Buy	$419.00	85%	25,658	26,251	44.5x	39.0x	32.8x	6.1x	5.6x	5.0x	29.1x	25.7x	22.1x	2.1%
Average							**31.0x**	**26.8x**	**24.3x**	**4.3x**	**3.9x**	**4.0x**	**18.5x**	**16.6x**	**16.0x**	**3.6%**
AAR Corp	**AIR-US**	**Buy**	**$129.05**		**5,258**	**5,995**	**22.6x**	**19.5x**	**17.0x**	**1.6x**	**1.6x**	**1.5x**	**13.3x**	**11.8x**	**10.5x**	**2.4%**
Discount / Premium							**-27%**	**-37%**	**-37%**	**-63%**	**-63%**	**-63%**	**-28%**	**-36%**	**-37%**	**53%**

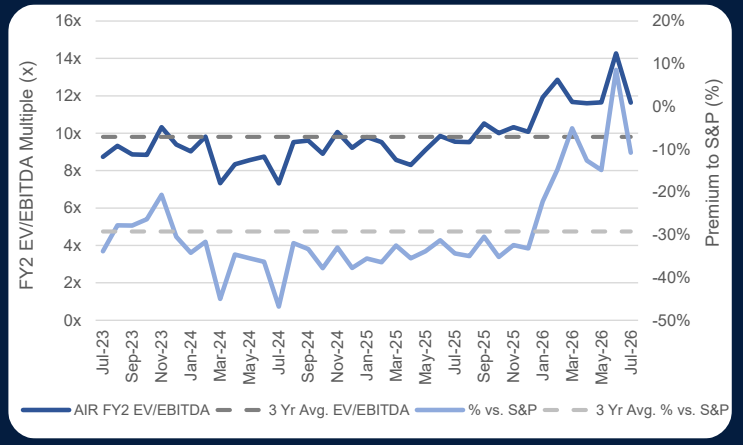
Featured Notes:

- DD Growth, Re-Framing Legacy, and Finally FCF Inflection | *July 26, 2026*
- Introducing New Segment Model, Same Parts and Heavy Check | *July 14, 2026*
- Debunking Any Macro Lumps w/ Accelerating Part Sales and Time-Based MRO | *March 25, 2026*

Trading at 19.4X FY2 P/E, 3% Prem to Mkt vs. Historical Avg Disct of 21%



Trading at 11.6X FY2 EV/EBITDA, 11% Disct to Mkt vs. Historical Avg Disct of 29%



Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

Source: Company data, Jefferies estimates, FactSet

AIR-US: Revenue: Organic Revenue CAGR at 7% in FY26 to FY30E

Rev Growth CAGR of 7% to 2030 vs Target of 6-10% (8-12% ex-LCP) with Adj EBITDA Margins Expanding to 13.3% by 2028 vs. Target of +13%

	2023	2024	2025	2026	2027E	2028E	2029E	2030E	3 Year Target
Sales									
Parts Supply	$818	$967	$1,100	$1,488	$1,724	$1,895	$2,062	$2,241	
Repair & Engineering & Software	533	681	931	1,081	1,188	1,241	1,343	1,452	
Government Solutions	547	452	495	502	515	540	567	595	
Legacy Commercial	92	219	255	237	178	133	100	75	
Corporate & Other	0	0	0	0	0	0	0	0	
Adjusted Sales	**$1,991**	**$2,321**	**$2,748**	**$3,308**	**$3,605**	**$3,809**	**$4,072**	**$4,364**	
% Total Growth		16.6%	18.4%	20.4%	9.0%	5.7%	6.9%	7.2%	
% ex. LCP			19.5%	22.2%	11.6%	7.2%	8.1%	8.0%	**8-12% CAGR**
Adjusted Operating Income									
Parts Supply	$96	$121	$146	$194	$224	$254	$284	$322	
Repair & Engineering & Software	34	52	107	117	127	141	165	194	
Government Solutions	36	41	35	57	59	64	68	72	
Legacy Commercial	8	7	9	(0)	3	1	0	0	
Corporate & Other	(24)	(28)	(32)	(31)	(42)	(46)	(50)	(52)	
Adjusted Operating Income	**$149**	**$193**	**$265**	**$337**	**$371**	**$413**	**$467**	**$536**	
Adjusted EBITDA	**$190**	**$242**	**$324**	**$401**	**$451**	**$507**	**$571**	**$649**	
Margins									
Parts Supply	11.7%	12.5%	13.3%	13.0%	13.0%	13.4%	13.8%	14.4%	
Repair & Engineering & Software	6.3%	7.6%	11.5%	10.9%	10.7%	11.3%	12.3%	13.4%	
Government Solutions	6.6%	9.0%	7.1%	11.3%	11.5%	11.8%	12.0%	12.1%	
Legacy Commercial	8.4%	3.3%	3.5%	0.0%	1.5%	1.0%	0.0%	0.0%	
Corporate & Other	-	-	-	-	-	-	-	-	
Adjusted Operating Income	**7.5%**	**8.3%**	**9.6%**	**10.2%**	**10.3%**	**10.9%**	**11.5%**	**12.3%**	
Adjusted EBITDA	**9.5%**	**10.4%**	**11.8%**	**12.1%**	**12.5%**	**13.3%**	**14.0%**	**14.9%**	**+13%**
Adjusted Diluted EPS	**$2.86**	**$3.33**	**$3.91**	**$5.09**	**$5.70**	**$6.60**	**$7.60**	**$8.80**	
% Growth		16.6%	17.2%	30.1%	12.1%	15.8%	15.1%	15.8%	10-15% CAGR

- **Parts Supply (48% of FY27E Revs Growing at a 11% CAGR to FY30E):** Remains as is, including both new parts Distribution and Used Serviceable Material (USM) into an integrated aftermarket offering.
- **Repair, Engineering, and Software (33% of FY27E Revs Growing at a 7% CAGR to FY30E):** Includes Airframe MRO, Component MRO and now Software previously in the Integrated Solutions segment.
- **Government Solutions (14% of FY27E Revs Growing at a 4% CAGR to FY30E):** Includes Government Programs and Mobility Systems previously in the Expeditionary Services segment.
- **Legacy Commercial Programs (5% of FY27E Revs Declining at a 25% CAGR to FY30E):** Legacy Commercial Programs is a noncore, lower-return segment that management is actively winding down as part of the portfolio simplification.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

AIR-US: Parts Supply: 68% Exclusive Distribution and 32% USM with >15% Growth in 2027

Parts Supply Revenue Build - Distribution Anticipated to Outperform USM in the Near-Term Given New Contract Wins Compared to Limited Part Availability in the Used Market on Modest Retirements

Parts Supply	2023	2024	2025	2026	2027E	2028E	2029E	2030E	CAGR
Revenues									**FY26-30**
Distribution	$450	$528	$658	$954	$1,166	$1,306	$1,436	$1,565	13%
Used Serviceable Material	$306	$377	$366	$408	$433	$463	$500	$550	8%
Whole Asset Sales in Parts Trading	$62	$62	$75	$126	$126	$126	$126	$126	0%
Parts Supply Revenues	**$818**	**$967**	**$1,100**	**$1,488**	**$1,724**	**$1,895**	**$2,062**	**$2,241**	**11%**
% YoY Change									
Distribution		17%	25%	45%	22%	12%	10%	9%	
Used Serviceable Material		23%	-3%	11%	6%	7%	8%	10%	
Whole Asset Sales in Parts Trading		0%	21%	67%	0%	0%	0%	0%	
Parts Supply Revenues		**18%**	**14%**	**35%**	**16%**	**10%**	**9%**	**9%**	
% Organic Change		*18%*	*14%*	*22%*	*12%*	*10%*	*9%*	*9%*	
% Composition									
Distribution	55%	55%	60%	64%	68%	69%	70%	70%	
Used Serviceable Material	37%	39%	33%	27%	25%	24%	24%	25%	
Whole Asset Sales in Parts Trading	8%	6%	7%	8%	7%	7%	6%	6%	
Used Serviceable Material	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	

JEFe est Distribution averages 13% grow th through 2030E vs USM +8% CAGR

Distribution avg Low - 20% org grow th for 4yrs running, w hich could continue to drive upside

- FY26, Parts Supply generated $1.49BB in sales, up 35% y-o-y, which included $954MM from Distribution (64% of segment; up 45% y-o-y), $408MM from USM (27% of segment; up 12% y-o-y), and $126MM from Whole Asset Sales (8% of segment; up 21% y-o-y) on our estimates based on management's disclosures.
- In FY27, we estimate Parts Supply generates $1.73BB in sales, up 16% y-o-y and up 12% organically, driven by Distribution up 18% and USM/Parts Trading up 6%. AAR continues to grow its distribution platform, broadening its relationship with Woodward and building on an initial defense-focused partnership with an exclusive commercial distribution agreement covering aftermarket parts for LEAP, GEnx, and CF34 engines. We expect organic growth continues in the HSD-LDD range through FY30E based on new wins in Distribution and improved availability of USM material as retirements climb higher.

Source: Company data and Jefferies estimates

AIR-US: Parts Supply: 68% Exclusive Distribution and 32% USM with >15% Growth in 2027

Parts Supply Margins - Margin Expansion to the 14%+ Range Driven by Distribution Operating Leverage and the Return of USM Volumes & Spreads Over Time as Retirements Normalize

Parts Supply	2024	2025	2026	2027E	2028E	2029E	2030E	Cumulative 2026-2030E
Start Adj Operating Income	**$96**	**$121**	**$146**	**$194**	**$224**	**$254**	**$284**	**$194**
Gross Profit	35	22	64	35	34	35	38	143
Distribution	20	22	41	31	28	26	26	110
Parts Trading	15	0	23	4	6	9	13	32
SG&A	(18)	22	(40)	(5)	(6)	(7)	(3)	(21)
Other Segment Costs / JV Earnings	0	3	5	(1)	2	2	2	5
Acquisitions	0	0	12	9	0	0	0	9
Divestitures	0	0	0	0	0	0	0	0
One-Time Adjustments	9	(22)	19	(8)	0	0	0	(8)
End Adj Operating Income	**$121**	**$146**	**$194**	**$224**	**$254**	**$284**	**$322**	**$322**
% Margin	12.5%	13.3%	13.0%	13.0%	13.4%	13.8%	14.4%	
% Incremental Margin	17%	19%	12%	13%	18%	18%	21%	
Distribution Gross Incremental	*25%*	*17%*	*23%*	*20%*	*20%*	*20%*	*20%*	
Parts Trading Gross Incremental	*21%*	*4%*	*18%*	*18%*	*20%*	*25%*	*25%*	
ADI Margin			*10%*	*15%*				

USM/Parts Trading generally accretive, but spreads driven margins dow n to ~12% today

New Parts Distribution margins operating at ~14% today, w ith ADI modestly dilutive to start

- In FY26, Parts Supply generated 13% adj operating margins, down 180 bps y-o-y. Historically, USM has been the higher mix portion of the segment although it can vary with part spreads, with the near-term seeing better margins out of Distribution. The acquisition of ADI is also modestly dilutive to profitability initially. On our estimates, Distribution is operating at the ~14% margin level compared to USM margins closer to ~12% today.
- FQ4 operating income increased 14% y-o-y on the 39% increase in sales for 6% incrementals, driving adj operating margins down 300 bps y-o-y to 13.7%, as AAR noted constrained asset availability in USM which drove higher purchase prices and narrower spreads on USM transaction.
- In FY27, we estimate Parts Supply generates 13.0% margins, flat y-o-y, driven by Distribution operating leverage offset by initial ADI dilution, albeit ADI margins are improving, partly offset by USM, as constrained part availability has AAR has had to pay more for assets narrowing their realized spread. We expect margins improve to the ~14% level by 2029, assuming 20% gross incremental margins on Distribution and on USM/Asset Sales.

Source: Company data and Jefferies estimates

AIR-US: Repair, Engineering, and Software: 33% of FY27 Revs Growing at a 8% CAGR to FY30E

Airframe MRO Sales Build - Annual C Check Capacity Expands from ~825 in 2025 to ~1,200 in Late Decade plus Labor Rate Escalation of 3-4% per Year Driving Total Airframe MRO Sales at a 12% CAGR to FY30

	2023	2024	2025	2026	2027E	2028E	2029E	2030E	CAGR '25-'30E
Starting Cumulative Square Footage	1,386	1,386	1,386	1,386	1,914	2,028	2,028	2,128	
Organic Expansions	0	0	0	80	114	0	0	0	
Acquisitions	0	0	0	815	0	0	100	0	
Ending Cumulative Square Footage	**1,386**	**1,386**	**1,386**	**2,281**	**2,028**	**2,028**	**2,128**	**2,128**	**9.0%**
Average Square Footage per Narrowbody Bay	25	25	25	25	29	29	29	29	
Number of Available Bays	**55**	**55**	**55**	**82**	**70**	**70**	**74**	**74**	**6.1%**
Average Days in Hangar	28	26	24	25	25	24	24	23	
Average Working Days in Year	360	360	360	360	360	360	360	360	
Number of Annual C Checks	**707**	**762**	**825**	**1,051**	**1,087**	**1,050**	**1,103**	**1,158**	**7.0%**
Labor Hours per C Check	6,000	0	6,000	6,000	6,000	6,000	6,000	6,000	
Labor Hour Rate	$63.0	$64.0	$65.0	$67.0	$72.0	$75.6	$78.6	$81.7	4.7%
% Escalation		1.6%	1.6%	3.0%	7.5%	5.0%	4.0%	4.0%	
C Check Labor Sales	**$267**	**$292**	**$322**	**$422**	**$470**	**$476**	**$520**	**$568**	
% Growth		9%	10%	31%	11%	1%	9%	9%	
% of C Check Bill	*80%*	*80%*	*80%*	*80%*	*80%*	*80%*	*80%*	*80%*	
C Check Material Passthrough	**$67**	**$73**	**$80**	**$106**	**$117**	**$119**	**$130**	**$142**	
% of C Check Bill	*20%*	*20%*	*20%*	*20%*	*20%*	*20%*	*20%*	*20%*	
Total C Check Sales	**$334**	**$366**	**$402**	**$528**	**$587**	**$595**	**$650**	**$710**	**12.0%**
% Growth		9%	10%	31%	11%	1%	9%	9%	
% of Airframe MRO Revenue	84%	80%	82%	79%	80%	79%	80%	81%	
Line Checks / Nose-to-Tail Repairs	$66	$89	$91	$136	$147	$154	$161	$165	12.7%
% Growth		35%	3%	49%	8%	5%	4%	3%	
% of Airframe MRO Revenue	16%	20%	18%	21%	20%	21%	20%	19%	
Total Airframe MRO Revenue	**$400**	**$454**	**$493**	**$664**	**$734**	**$750**	**$811**	**$875**	**12.2%**
% Growth		14%	9%	35%	11%	2%	8%	8%	

- At the end of FY26, AAR operated eight airframe MRO facilities with 1.4MM of square footage and 55 aircraft bays. The organic expansions of Miami and Oklahoma City (completed FQ3:26) are together adding another 200K+ square feet and 6 additional bays. The HAECO Americas acquisition contributes another 800K+ of square feet with an estimated 24 bays of single-aisle aircraft capacity. Meanwhile, the Indianapolis site will be rationalized given the high cost of labor. This puts total available bays at 70 by the end of FY27. We include a future expansion project coming online in FY29 for another 4 bays.
- Assuming 6,000 hours per C check, this suggests labor-based C check sales of $422MM in FY26, increasing to $476MM in FY28 and $568MM in FY30. Labor represents ~80% of the cost of heavy airframe checks with the remaining ~20% tied to material consumption that is generally pass-through for AAR. Using that mix, total C check sales could be $527MM in FY26 expanding to $595MM in FY28 and $710MM in FY30.
- On our estimates, total Airframe MRO revenues increase from $493MM in 2025 at an 12% CAGR to $875MM in 2030, driven by 7pts of annual volume growth and 5pts of annual labor rate price escalation.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

AIR-US: Repair, Engineering, and Software: 33% of FY27 Revs Growing at a 8% CAGR to FY30E

Repair, Engineering & Software Margins - HAECO Americas Creates Near-Term Dilution with Goal of Deploying AAR Model to Drive Margins to Existing Airframe MRO Average in the Low Teens; Component Repair and Software Accretive to Segment & Overall AAR

Repair & Engineering & Software	2024	2025	2026	2027E	2028E	2029E	2030E	Cumulative 2026-2030E
Start Adj Operating Income	**$34**	**$52**	**$107**	**$117**	**$127**	**$141**	**$165**	**$117**
Operating Income	(4)	(13)	0	12	14	24	29	79
Airframe MRO Facilities	8	6	4	1	3	12	16	33
Component Repair & PMA	1	1	(2)	7	7	7	8	29
Landing Gear Overhaul	(13)	(20)	0	0	0	0	0	0
Software	0	0	4	3	4	5	5	18
Other Segment Costs / JV Earnings	2	2	(3)	1	0	0	0	1
Acquisitions	15	47	4	5	0	0	0	5
Divestitures	0	0	0	0	0	0	0	0
One-Time Adjustments	6	19	10	(8)	0	0	0	(8)
End Adj Operating Income	**$52**	**$107**	**$117**	**$127**	**$141**	**$165**	**$194**	**$194**
% Margin	7.6%	11.5%	10.9%	10.7%	11.3%	12.3%	13.4%	
% Incremental Margin	12%	22%	7%	9%	26%	24%	27%	
Airframe MRO Facilities OI Incremental	*15%*	*15%*	*10%*	*18%*	*18%*	*20%*	*25%*	
Component Repair & PMA OI Incremental	*15%*	*-10%*	*-5%*	*24%*	*25%*	*25%*	*25%*	
Software OI Incremental	*0%*	*0%*	*30%*	*38%*	*40%*	*40%*	*40%*	
TGI Product Support Margin	*20%*	*20%*	-	-	-	-	-	
AAR Landing Gear Overhaul Margin	*48%*	*-2%*	*0%*	-	-	-	-	
HAECO Americas Margin	*0%*	*0%*	*3%*	*8%*	-	-	-	

Airframe MRO margins in LDD, but HAECO Americas starting point is LSD with goal of reaching average margins through optimization

Landing Gear Overhaul operated at breakeven or losses

Component Repair margins in the Mid-to-High Teens

- In FY26, Repair, Engineering & Software generated 10.9% adj operating margins, down 60 bps y-o-y. The Airframe MRO business operates at Low-Teen operating margins compared to Component Repair in the Mid-to-High Teens. However, HAECO Americas operates at LSD margins given overindexing to overhead & indirect contract labor, systems & IT, and complexity of aircraft type, which AAR expects to address and drive towards the Low-Teens-Plus to be consistent with the existing Airframe MRO footprint. AAR noted a 70 bps HAECO margin headwind in FQ3 which moderated to 40bps in FQ3.
- In FY27, we estimate Repair & Engineering generates 10.7% margins, down 20 bps y-o-y, driven by the HAECO Americas dilution, with HAECO margins stabilizing and reaching Airframe MRO site margins by Q4:27.

Source: Company data and Jefferies estimates

AIR-US: Government Solutions: 14% of FY27E Revs Growing at a 4% CAGR to FY30E

Government Solutions Revenue Build - Top Line Growth Strategy Is Focused on Driving Profitable Growth, w/ 4% Rev CAGR Through FY30

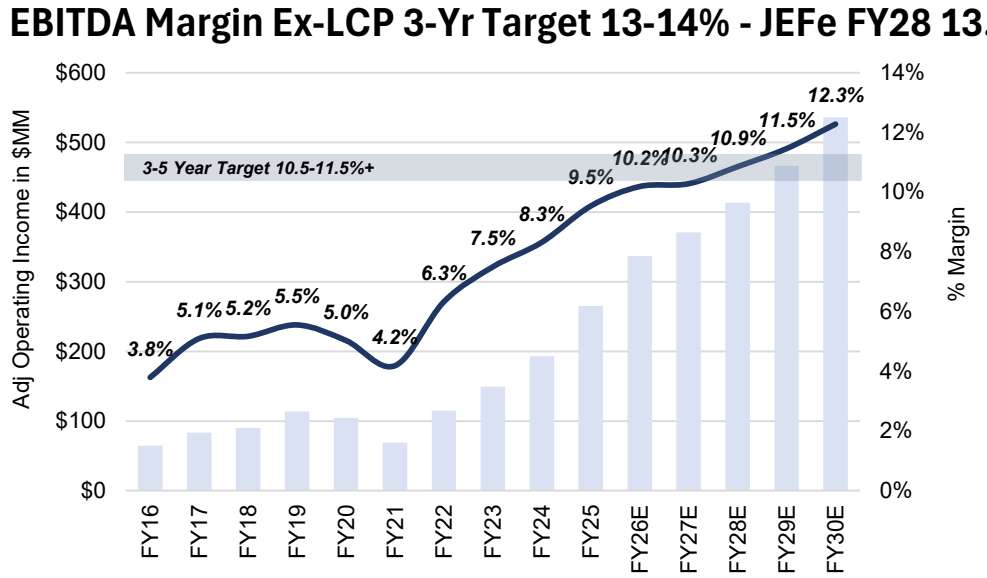
Government Solutions	2023	2024	2025	2026	2027E	2028E	2029E	2030E	CAGR
Revenues									**FY26-30**
Commercial	$197	$6	$4	$3	$3	$3	$3	$3	-5%
Government & Defense	$350	$446	$491	$499	$511	$537	$564	$592	4%
Government Solutions Revenues	**$547**	**$452**	**$495**	**$502**	**$515**	**$540**	**$567**	**$595**	**4%**
% YoY Change									
Commercial		-97%	-34%	-18%	-5%	-5%	-5%	-5%	
Government & Defense		27%	10%	2%	2%	5%	5%	5%	
Government Solutions Revenues		**-17%**	**10%**	**1%**	**2%**	**5%**	**5%**	**5%**	
% Organic Change		*-17%*	*6%*	*4%*	*2%*	*5%*	*5%*	*5%*	
% Composition									
Commercial	36%	1%	1%	1%	1%	1%	0%	0%	
Government & Defense	64%	99%	99%	99%	99%	99%	100%	100%	
Government Solutions Revenues	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	

- Government Solutions sales decreased 8% y-o-y in FQ4 to $130MM, driven by reduced activity at the WASS program supporting the State Department. Operating income increased 61% y-o-y to $19MM, driving margins up 620 bps y-o-y to 14.4% on favorable project mix, as new programs in mobility systems are ramping at higher contribution margins.
- In FY26, Government Solutions generated $502MM in sales, up 4% y-o-y. This included $4MM from Commercial customers (1% of segment; down 18% y-o-y) and $499MM from Government & Defense customers (99% of segment; up 2% y-o-y).
- In FY27, we estimate Government Solutions generates $515MM in sales, up 3% y-o-y. We estimate lower revenues from WASS volumes to persist in FY27, offset by new programs that are ramping onto the platform at higher margins. We estimate a permanent improvement in GS margins driving our FY27 margin of 11.5% (+20 bps y-o-y) with margin expanding to 12.1% by FY30.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

AIR-US: Profitability: Execution Key to Margin Expansion Goals of +13% or 13-14% EBITDA ex. LCP



- In FQ4, adjusted op income increased 27% y-o-y to $98MM on the 26% increase in sales for incremental margins of 12%, driving 40 bps of y-o-y expansion to 10.6%. FQ1 adj EBITDA ex ELC are guided to 12.25-12.75%.
- AAR set 3-year targets for adjusted EBITDA margins to expand to +13% or 13-14% ex-legacy, representing 100-200+ bps of additional expansion from the FY25 levels by FY28E. Legacy Commercial Programs are expected to wind down ratably over the next 3-4Y, with current revenue's of $237MM at LSD OI margins (<2%) driving 70bps of Adj. EBITDA dilution in FY26. We est. LCP to wind down at a -25% revenue CAGR and to generate LSD OI Margins, with 30-50bps of annual margin dilution as the business unit winds down.
- In FY27, we estimate AAR generates $371MM of adjusted operating profit, up 10% y-o-y on the 9% total sales growth, for margins of 10.3%, up 10 bps y-o-y. This includes the initial dilution from recent acquisitions including ADI in Parts Supply (est LDD margins with plan to expand to typical Distribution margins closer to Mid-Teens) and HAECO Americas in Repair & Engineering (est LSD margins with plan to typical Airframe MRO margins in the Low-Teens).

Source: Company data and Jefferies estimates

AIR-US: FCF: Long-Term FCF Conversion Improving Even as Working Capital Increases to Support Growth in Parts Supply

FCF Build - Cost of Working Capital to Support Growth in Parts Distribution Limits Long-Term FCF Generation, Est Conversion trends 40-50% Range Through 2030

	FY23	FY24	FY25	FY26	FY27E	FY28E	FY29E	FY30E
Net Income	$90	$46	$13	$188	$203	$246	$292	$347
Depreciation and Amortization	28	41	58	75	72	74	77	81
SBC & Other Non-Cash	18	22	78	(29)	22	26	28	30
Working Capital	(113)	(66)	(112)	(136)	(154)	(190)	(220)	(257)
Operating Cash Flow	**$23**	**$44**	**$36**	**$99**	**$142**	**$156**	**$176**	**$201**
Capital Expenditures	(30)	(30)	(35)	(37)	(36)	(42)	(49)	(52)
Free Cash Flow	**($6)**	**$14**	**$1**	**$62**	**$106**	**$114**	**$127**	**$149**
FCF per Share	*($0.18)*	*$0.40*	*$0.04*	*$1.62*	*$2.78*	*$2.91*	*$3.21*	*$3.71*
Deployment								
Dividends	$0	$0	$0	$0	$0	$0	$0	$0
Share (Repurchases) / Issuance	(50)	(5)	(10)	274	0	0	0	0
ST Debt (Repayment) / Borrowing	172	175	(20)	(227)	(120)	(120)	0	0
LT Debt (Repayment) / Borrowing	0	550	0	153	0	0	0	0
Acquisitions	(103)	(723)	(2)	(259)	0	0	0	0
Total Deployment	**$19**	**($3)**	**($32)**	**($60)**	**($120)**	**($120)**	**$0**	**$0**
Discretionary FCF	**$166**	**$189**	**($19)**	**($165)**	**($14)**	**($6)**	**$127**	**$149**
Ratios								
FCF to Adj. Net Income Conversion	-6%	12%	1%	32%	48%	44%	42%	42%
FCF Yield (FCF / Mkt Cap)	-0.2%	0.4%	0.0%	1.7%	2.8%	3.0%	3.4%	4.0%
FCF YoY Change		NM	NM	NM	71.3%	7.1%	11.8%	16.9%
Discretionary FCF Yield	4.4%	5.0%	-0.5%	-4.4%	-0.4%	-0.2%	3.4%	4.0%
Share Repurchases as % of Mkt Cap	1%	0%	0%	-7%	0%	0%	0%	0%
Capex as a % of Sales	1.5%	1.3%	1.3%	1.1%	1.0%	1.1%	1.2%	1.2%

- In FQ4, AIR generated GAAP operating cash of $55.3MM including a -$25MM working capital drag. FCF totaled $43.3MM after $12.0MM of capex. This brings FY26 FCF to a source of $62.1MM including $135MM of working capital consumption.
- In FY26, AAR generated $62MM of FCF compared to $1MM in FY25, as operating cash flow benefited from strong operating leverage, as revenues grew +20% on flat SG&A and flat CAPEX.
- On our estimates, FCF of $106MM in FY27 includes $155MM working capital usage, improving to $114MM in FY28 including $190MM working capital usage, and $127MM in FY28 including $220MM working capital usage. FCF conversion operates in the range of 25-40% over the forecast period given the investments required to support growth.

Source: Company data and Jefferies estimates

AIR-US: FCF: Long-Term FCF Conversion Improving Even as Working Capital Increases to Support Growth in Parts Supply

Acquisition History - $1.9BB of Acquisitions Including $1.2BB Since 2023 at Average EV/EBITDA of 11X

Date	Asset	EV	Sales	EBITDA	EV/ Sales	EV/ EBITDA
Dec-25	Aircraft Reconfig	$35	$30	$5	1.2X	7.8X
Nov-25	HAECO Americas	$78	$150	$10	0.5X	8.0X
Sep-25	American Distributors	$146	$149	$16	1.0X	9.4X
Aug-25	Aerostrat	$15	$8	$1	1.8X	12.3X
Mar-24	Triumph (TGI) Product Support	$725	$280	$55	2.6X	13.2X
Mar-23	Trax USA	$120	$25	$10	4.8X	14.0X
Sep-17	2 MRO Facilities from Premier Aviation	$25	$14	$2	1.8X	12.3X
Apr-17	ACLAS Global trading business	$15	$8	$1	1.8X	12.3X
Dec-15	Select assets of Vantem Modular	$10	$5	$1	1.8X	12.3X
Dec-13	PFW Aerospace Cargo	$16	$9	$1	1.8X	12.3X
Dec-11	Telair and Nordisk	$297	$225	$35	1.3X	8.5X
Oct-11	Airinmar Holdings	$44	$10	$4	4.4X	12.3X
Apr-10	Aviation Worldwide Services	$200	$180	$17	1.1X	11.8X
Mar-08	Avborne Heavy Maintenance	$40	$58	$3	0.7X	12.3X
Dec-07	Summa Technology	$71	$100	$12	0.7X	6.1X
Apr-07	Brown International Corp	$27	$40	$4	0.7X	6.0X
Jan-07	Reebaire Aircraft	$12	$12	$1	1.0X	12.3X
Oct-00	Hermetic	$16	$20	$1	0.8X	12.3X
Total		**$1,891**	**$1,324**	**$178**	**1.4X**	**10.6X**
Average		*$105*	*$74*	*$10*	*1.6X*	*10.9X*

- AAR has remained active on the M&A front, completing $275MM of acquisitions in FY26 following $725MM deployed in FY25. In FY26, acquisition added $334MM of revenues (10% of total) and $31MM of EBITDA (8%) in FY26 versus $280MM (10% of total) of revenue and $55MM of EBITDA (17%) in FY25.
- Net leverage stands at 2.02X as of FQ4, down 1.4X from the peak at 3.6X after the Triumph Product Support acquisition in March 2024. This includes cash & equivalents of $84MM and long-term debt of $900MM including:
  - $700MM of Senior Notes at 6.75% due in 2029
  - $195MM of RCF at SOFR + 112.5 bps below 3.75X leverage, or SOFR + 250 bps above 3.75X
- Mgmt targets an adjusted net leverage ratio of 2.0-2.5X with willingness up to 3.75X for acquisitions. On our estimates, AAR ends FY27 with long-term debt of $773MM compared to cash of $188MM for net leverage of 1.3X, falling to 0.7X in FY28.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

AIR: Annual Income Statement

$MM except per share data	2023		2024		2025		2026		2027E		2028E		2029E		2030E	
	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales
Adjusted Sales	**$1,990.6**		**$2,321.2**		**$2,748.3**		**$3,308.0**		**$3,605.2**		**$3,809.2**		**$4,072.1**		**$4,363.7**	
COGS	1,620.4	81.4%	1,876.6	80.8%	2,252.8	82.0%	2,686.0	81.2%	2,904.0	80.5%	3,042.8	79.9%	3,224.3	79.2%	3,415.5	78.3%
Gross Profit	**$370.2**	**18.6%**	**$444.6**	**19.2%**	**$495.5**	**18.0%**	**$622.0**	**18.8%**	**$701.2**	**19.5%**	**$766.4**	**20.1%**	**$847.8**	**20.8%**	**$948.2**	**21.7%**
Selling, General & Administrative	$230.4	11.6%	$312.2	13.4%	$347.7	12.7%	$349.3	10.6%	$360.5	10.0%	$380.9	10.0%	$407.2	10.0%	$436.4	10.0%
Provision for Credit Losses	2.6	0.1%	0.7	0.0%	0.2	0.0%	2.1	0.1%	0.0	0.0%	0.0	0.0%	0.0	0.0%	0.0	0.0%
Earnings/(Losses) from Joint Ventures & Adjustments	(12.0)	-0.6%	(61.2)	-2.6%	(117.5)	-4.3%	(66.4)	-2.0%	(30.0)	-0.8%	(28.0)	-0.7%	(26.0)	-0.6%	(24.0)	-0.5%
Total Operating Expenses	**$221.0**	**11.1%**	**$251.7**	**10.8%**	**$230.4**	**8.4%**	**$285.0**	**8.6%**	**$330.5**	**9.2%**	**$352.9**	**9.3%**	**$381.2**	**9.4%**	**$412.4**	**9.5%**
Adjusted Operating Profit	**$149.2**	**7.5%**	**$192.9**	**8.3%**	**$265.1**	**9.6%**	**$337.0**	**10.2%**	**$370.7**	**10.3%**	**$413.4**	**10.9%**	**$466.6**	**11.5%**	**$535.8**	**12.3%**
Interest Expense, Net	(11.2)		(41.0)		(73.6)		(70.5)		(64.9)		(50.6)		(44.1)		(40.6)	
Other (Expense) / Income, Net	(1.5)		(29.9)		(72.7)		38.6		0.0		0.0		0.0		0.0	
Pre-Tax Income (Loss)	**136.5**		**122.0**		**118.8**		**305.1**		**305.8**		**362.8**		**422.5**		**495.2**	
Taxes	31.4		12.0		26.4		58.2		78.6		96.7		114.6		136.3	
Other Adjustments	3.3		(8.4)		(47.2)		51.9		7.8		6.0		4.5		3.4	
Adj. Net Income	**$101.8**	**5.1%**	**$118.4**	**5.1%**	**$139.6**	**5.1%**	**$195.0**	**5.9%**	**$219.4**	**6.1%**	**$260.2**	**6.8%**	**$303.4**	**7.4%**	**$355.6**	**8.1%**
Shares Outstanding	35.1		35.4		35.8		38.4		38.5		39.4		39.9		40.4	
Adjusted Diluted EPS	**$2.86**		**$3.33**		**$3.91**		**$5.09**		**$5.70**		**$6.60**		**$7.60**		**$8.80**	
Adjusted Operating Income	**$149.2**		**$192.9**		**$265.1**		**$337.0**		**$370.7**		**$413.4**		**$466.6**		**$535.8**	
Depreciation & Amortization	27.9		41.2		55.2		72.1		80.2		83.9		88.3		93.2	
Stock-Based Compensation	13.5		15.3		19.9		17.8		22.0		26.0		28.0		30.0	
Other Adjustments to EBITDA	(0.8)		(7.0)		(16.0)		(25.8)		(22.0)		(16.0)		(12.0)		(10.0)	
Adjusted EBITDA	**$189.8**		**$242.4**		**$324.2**		**$401.1**		**$450.9**		**$507.3**		**$570.8**		**$649.0**	
% Margin	9.5%		10.4%		11.8%		12.1%		12.5%		13.3%		14.0%		14.9%	

Source: Company data and Jefferies estimates

Arxis (ARXS)

BUY | Price Target: $60

Valuation Method	Price	Assumptions
EV/EBITDA	58	27.5x EV/EBITDA on 2027 EBITDA of $890MM
P/E	60	70.0x P/E on 2027 EPS of $0.85
FCF	64	2.0% FCF Yield on 2027 FCF of $521MM
Price Target	**$60**	**Blended Average**

Valuation Table

	Ticker	JEF Rating	Stock Px 7/31/2026	Consensus BUY Rating	Market Cap	Enterprise Value	P/E 2026E	P/E 2027E	P/E 2028E	EV / SALES 2026E	EV / SALES 2027E	EV / SALES 2028E	EV / EBITDA 2026E	EV / EBITDA 2027E	EV / EBITDA 2028E	FCF Yield
Ametek	AME	N/C	$241.53	65%	55,359	57,137	29.6x	27.3x	25.1x	7.1x	6.7x	6.3x	22.2x	20.7x	19.4x	3.7%
Amphenol	APH	Buy	$161.76	87%	198,997	220,400	30.9x	25.4x	22.3x	6.3x	5.4x	4.7x	19.0x	16.4x	14.2x	3.9%
Eaton	ETN	Buy	$402.92	79%	156,454	171,704	30.2x	25.6x	22.1x	5.3x	4.8x	4.4x	22.6x	19.3x	17.4x	3.3%
HEICO	HEI	Buy	$355.49	60%	42,023	45,019	58.3x	51.6x	45.6x	8.5x	7.7x	7.1x	30.4x	27.5x	25.4x	2.7%
LOAR	LOAR	Buy	$68.34	67%	6,398	7,393	52.4x	44.4x	38.0x	11.3x	10.2x	9.4x	28.2x	25.0x	22.5x	2.3%
Parker-Hannifin	PH	Buy	$969.44	69%	122,233	132,351	31.0x	28.5x	25.8x	6.2x	5.8x	5.4x	22.9x	20.9x	19.2x	3.4%
RBC Bearings	RBC	N/C	$576.48	67%	17,837	18,655	40.0x	35.6x	32.3x	8.8x	8.1x	7.5x	27.2x	24.5x	22.5x	NM
Teledyne	TDY	Buy	$650.40	57%	30,150	32,133	26.4x	24.4x	22.8x	4.9x	4.7x	4.5x	19.6x	18.2x	17.2x	4.5%
TransDigm	TDG	Buy	$1,247.32	54%	72,334	100,461	31.2x	26.5x	23.1x	9.7x	8.8x	8.2x	18.6x	16.8x	15.4x	3.7%
Woodward	WWD	Buy	$360.09	85%	21,262	22,630	38.2x	33.6x	28.4x	5.2x	4.8x	4.4x	24.9x	22.2x	19.1x	2.5%
Average				**69%**			**36.8x**	**32.3x**	**28.5x**	**7.3x**	**6.7x**	**6.2x**	**23.6x**	**21.2x**	**19.2x**	**3.3%**
Arxis	**ARXS**	**Buy**	**$51.20**		**20,098**	**21,352**	**67.3x**	**60.0x**	**51.1x**	**10.8x**	**9.8x**	**9.0x**	**26.6x**	**24.0x**	**21.8x**	**2.6%**
Discount / Premium							**83%**	**86%**	**79%**	**47%**	**47%**	**46%**	**13%**	**13%**	**13%**	**29%**

Featured Notes:

- The One With The Edge | *August 2, 2026*
- Growth at Leading EDGE with Visibility In-Hand, Further Margin Uplift In-Sight | *May 31, 2026*
- Initiate at Buy: On The Arc of Greatness With This Compounder | *May 11, 2026*

Source: Company data, Jefferies estimates, FactSet

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

ARXS: Revenue: 21% Organic Growth in 2026 vs. Long-Term Algo of +HSD Organic with Bottom-Up Approach to Volume, Price & New Wins

Revenue Build - Diversification & Bottoms-Up Arxis EDGE Approach Sustains 11% Organic Sales CAGR Through 2030

	2024	2025	2026E	2027E	2028E	2029E	2030E	2025-2030 CAGR
Sales								
Electronic Components	$614	$705	$849	$935	$1,020	$1,111	$1,211	11%
Mechanical Components	$856	$917	$1,133	$1,237	$1,348	$1,470	$1,602	12%
Total Revenue	**$1,470**	**$1,591**	**$1,982**	**$2,172**	**$2,368**	**$2,581**	**$2,813**	**12%**
% Growth		8.2%	24.5%	9.6%	9.0%	9.0%	9.0%	
% Organic Growth			21.3%	9.0%	9.0%	9.0%	9.0%	11%
Adjusted EBITDA								
Electronic Components	$212	$275	$365	$404	$442	$483	$532	14%
Mechanical Components	214	302	459	507	560	617	681	18%
Corporate	0	(5)	(23)	(21)	(22)	(24)	(25)	
Adjusted EBITDA	**$427**	**$571**	**$801**	**$890**	**$980**	**$1,077**	**$1,188**	**16%**
% Growth		33.8%	40.2%	11.1%	10.1%	9.9%	10.4%	
Margins								
Electronic Components	34.6%	39.0%	43.0%	43.2%	43.4%	43.5%	44.0%	4.9%
Mechanical Components	25.0%	32.9%	40.5%	41.0%	41.5%	42.0%	42.5%	9.6%
Adjusted EBITDA	**29.0%**	**35.9%**	**40.4%**	**41.0%**	**41.4%**	**41.7%**	**42.2%**	**6.3%**
% Expansion		6.9%	4.5%	0.5%	0.4%	0.3%	0.5%	
Adjusted Diluted EPS			**$0.76**	**$0.85**	**$1.00**	**$1.15**	**$1.40**	
% Growth				12.1%	17.5%	15.1%	21.5%	

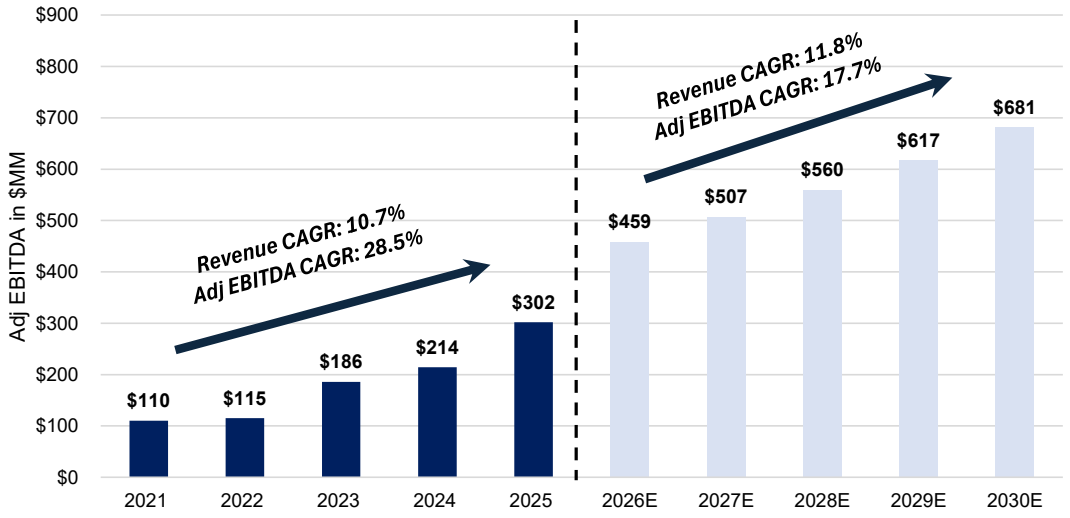
- Q2 sales increased 25% total and 21% organic to $501MM, driven by Mechanical Components +28% y-o-y to $286MM and Electronic Components +21% to $215MM. Growth was driven by +MSD across new business wins, pricing, and M&A ($16MM or +4.1pts) w/ underlying market volumes contributing +LDD.
- From 2025 to 2030, JEF estimates revenues increase at a 11% organic CAGR, with similar levels of growth across the Electronic & Mechanical components segments and across end-markets. There is likely upside given the 2021-2025 CAGR of 10.5% & growing momentum as the EDGE platform gives portfolio breadth & depth.

Source: Company data and Jefferies estimates

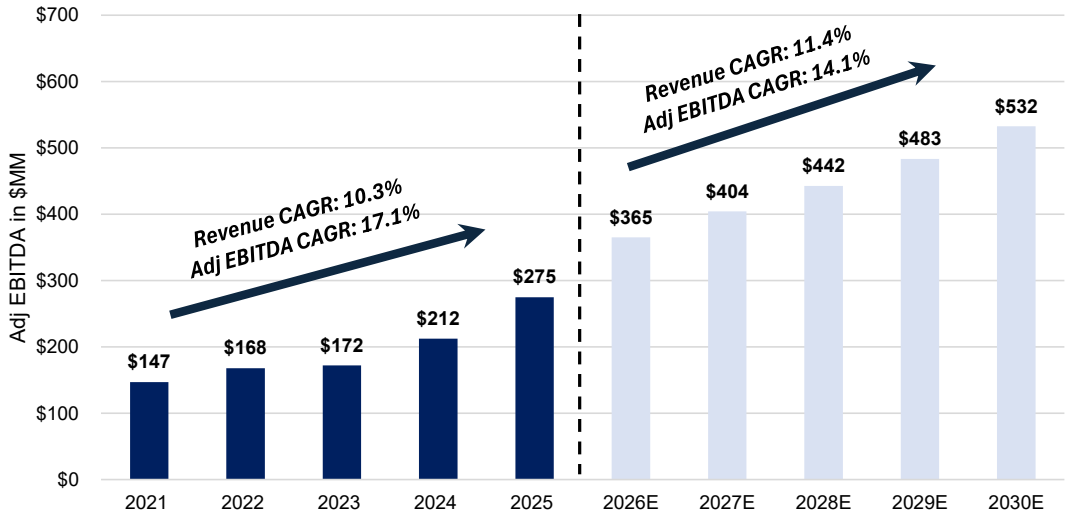
Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

ARXS: Mechanical Components & Electronic Components

Mechanical Components Adj EBITDA Grows at an 18% CAGR from 2025-2030E vs 12% Revenue CAGR



Electronic Components Adj EBITDA Grows at a 14% CAGR from 2025-2030E vs 11% Revenue CAGR



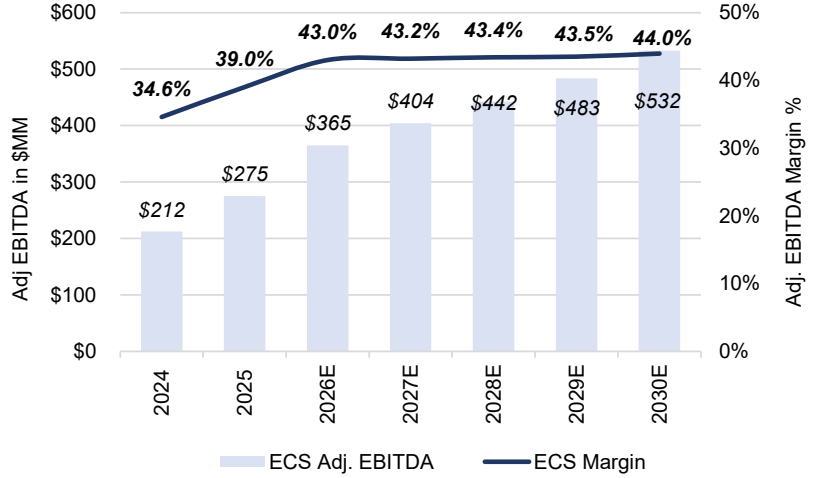
- The Mechanical Components segment accounts for 57% of 2026E sales and 55% of 2026E segment EBITDA, having grown PF revenues at a 10.7% CAGR from 2021-2025 while growing Adj EBITDA at a 28.5% CAGR over the same time period. The outsized historical EBITDA growth reflects corporate cost reduction from the $1.8BB acquisition of Kaman in 2024 as well as price growth, cost containment and operating leverage.
- The Electronic Components segment accounts for 43% of 2026E sales and 45% of 2026E segment EBITDA, having grown PF revenues at a 10.3% CAGR from 2021-2025 while growing Adj EBITDA at a 17.1% CAGR over the same time period. The stronger historical EBITDA growth also reflects price growth, cost containment and operating leverage.

Source: Company data and Jefferies estimates

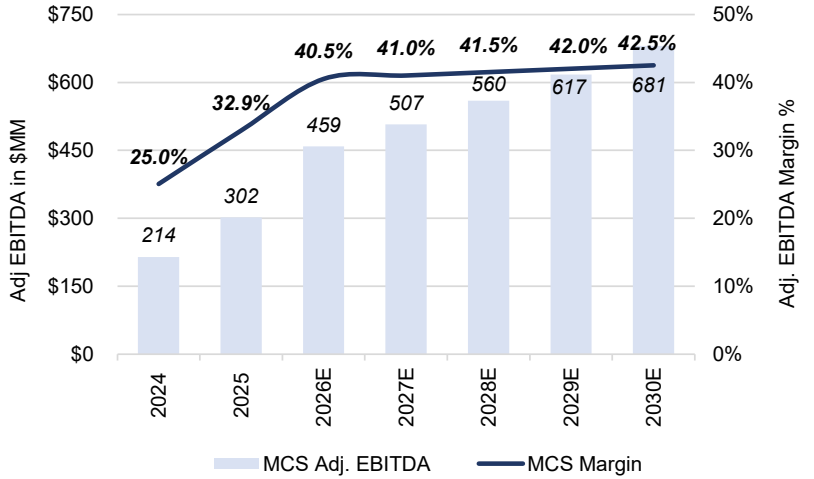
Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

ARXS: Profitability: Runway for 50% Incrementals on Op Leverage & Positive Price-Cost Spreads

Mechanical Components Adj EBITDA Build - Growing at an 18% CAGR To 2030 w/ Margins Expanding to 42.5%



Electronic Components Adj EBITDA Build - Growing at a 14% CAGR To 2030 w/ Margins Expanding to 44%



- In Q2, MCS adj EBITDA of $121MM increased 53% y-o-y with margins of 42.4%, up 690 bps y-o-y at 67% incrementals given the annualizing benefit of cost-out from the Kaman acquisition in 2024 (~$20MM of total cost-out). ECS adj EBITDA of $95MM increased 27% y-o-y with margins of 44.1%, up 220 bps y-o-y at 55% incrementals. Corporate EBITDA expense of $4.7MM drove total EBITDA to $211MM.
- In 2026, JEF estimates ECS Adj EBITDA increases 33% y-o-y to $365MM for margins of 43.0%, up 400 bps y-o-y, with MCS Adj EBITDA increasing 52% to $459MM for margins of 40.5%, up 760 bps y-o-y.
- In *2025 to 2030*, JEF estimates ECS Adj EBITDA at a 14% CAGR with margins expanding 5.0pts to 44.0%, while MCS Adj EBITDA increases at an 18% CAGR with margins expanding 9.6pts to 42.5%.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

ARXS: Profitability: Runway for 50% Incrementals on Op Leverage & Positive Price-Cost Spreads

Adj EBITDA Bridge - Total Incremental Margins at ~50% per Year Driven Across Gross Profit/SG&A Through Volume Leverage, Pricing Actions, & Productivity

	2025	2026	2027	2028	2029	2030
Starting Adjusted EBITDA	**$426.9**	**$571.3**	**$801.3**	**$890.3**	**$980.1**	**$1,076.7**
Gross Profit	139.0	335.9	81.2	109.7	109.1	124.0
Volume	65.5	243.5	18.6	44.6	38.0	46.6
M&A	0.0	12.9	3.1	0.0	0.0	0.0
Pricing	73.5	79.6	59.4	65.2	71.0	77.4
SG&A	(33.5)	(261.6)	97.5	(14.4)	(13.6)	29.7
Productivity & Other	39.0	155.6	(89.7)	(5.5)	1.2	(42.1)
Ending Adjusted EBITDA	**$571.3**	**$801.3**	**$890.3**	**$980.1**	**$1,076.7**	**$1,188.2**
% Margin	35.9%	40.4%	41.0%	41.4%	41.7%	42.2%
% Incremental Margin	119.8%	58.9%	46.6%	45.9%	45.3%	48.0%
% Growth	34%	40%	11%	10%	10%	10%
Share-Based Comp	$27.3	$155.0	$100.0	$102.0	$105.0	$75.0
Adjusted EBITDA ex-SBC	**$544.0**	**$646.3**	**$790.3**	**$878.1**	**$971.7**	**$1,113.2**
% Margin	34.2%	32.6%	36.4%	37.1%	37.6%	39.6%
% Incremental Margin	99.4%	26.2%	75.5%	44.9%	43.9%	60.9%
% Growth	28%	19%	22%	11%	11%	15%
Drivers						
Gross Volume Incremental Margin	139.1%	78.3%	14.2%	34.2%	26.8%	30.1%
Net Price Realization	5.0%	5.0%	3.0%	3.0%	3.0%	3.0%
Acquired Margin	-	25.0%	25.0%	25.0%	25.0%	25.0%
Total Volume Incremental Margin (GP + SG&A)	*150.6%*	*48.4%*	*22.5%*	*18.9%*	*18.0%*	*22.0%*

- JEF estimates Adj EBITDA increases at a 16% CAGR from 2025 to 2030, ahead of sales at a 12% total sales CAGR (11% organic), supporting margin expansion to >42% by the end of the decade.
- Share-based compensation is an add-back to Adj EBITDA, expected to step-up materially as it pertains to the reorganization & IPO process. SBC increases from $27MM in 2025 to $155MM in 2026 on our estimates, before leveling out at ~$100MM per year thereafter.
- ARXS incremental margins are targeted at 50% per year, running above that on average from 2025-2028 given outsized performance in 2025 and 2026 due to cost-out and M&A integration synergies.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

ARXS: FCF & Capital Deployment: FCF Conversion >100% on Capital-Efficient Model, with Dry Powder for M&A Beyond the 2.5X Leverage Target

FCF Build - FCF Conversion of >100% with Modest Working Capital Requirements & Limited Organic Capex at ~3% of Sales

	2024	2025	2026E	2027E	2028E	2029E	2030E
Net Income	($55)	$46	$317	$357	$421	$486	$592
Depreciation and Amortization	96	200	206	206	211	220	222
SBC & Other Non-Cash	10	60	140	86	88	91	60
Working Capital	20	(55)	(151)	(57)	(56)	(60)	(63)
Operating Cash Flow	**$71**	**$251**	**$512**	**$592**	**$664**	**$736**	**$811**
Capital Expenditures	(29)	(42)	(63)	(71)	(71)	(72)	(73)
Free Cash Flow	**$42**	**$209**	**$449**	**$521**	**$593**	**$664**	**$738**
FCF per Share			*$1.08*	*$1.24*	*$1.41*	*$1.58*	*$1.75*
Deployment							
Dividends	$0	$0	$0	$0	$0	$0	$0
Share (Repurchases) / Issuance	0	0	1,221	0	0	0	0
Debt Issuance/Paydown	53	104	(953)	(27)	(27)	(27)	(27)
Acquisitions	(54)	(153)	(69)	0	0	0	0
Total Deployment	**($0)**	**($48)**	**$199**	**($27)**	**($27)**	**($27)**	**($27)**
Discretionary FCF	**$42**	**$160**	**$648**	**$494**	**$566**	**$637**	**$711**
Ratios							
FCF to Adj. Net Income Conversion	-25%	274%	142%	146%	141%	137%	125%
FCF Yield (FCF / Mkt Cap)	NM	NM	NM	NM	NM	NM	NM
FCF YoY Change		397%	115%	16%	14%	12%	11%
Capex as a % of Sales	2.0%	2.7%	3.2%	3.3%	3.0%	2.8%	2.6%
Share Repurchases as % of Mkt Cap	NM	NM	NM	NM	NM	NM	NM

- Free Cash Flow: In Q2, ARXS generated operating cash folow of $138MM including a $17MM usage of working capital. FCF totaled $127MM after $11MM of capex for 112% conversion of adj NI. This drives $152MM of FCF YTD on $22MM of capex after Q1 was impacted by $50MM of working capital timing. FCF generation and conversion is expected to continue to improve throughout the remainder of 2026 on earnings growth and continued normalization of working capital.
- JEF estimates FCF improves to $449MM in 2026, including $317MM of adjusted net income, a $151MM working capital usage, and capex of $63MM This represents 142% conversion of adjusted net income. FCF continues to increase alongside earnings growth to $521MM in 2027 (146% conversion) and $592MM in 2028 (140%), with capex flattish in the ~$65MM range.
- We estimate capex of $63MM in 2026 at ~3% of sales before remaining in a similar range through the forecast period prior to any incremental spending relative to new M&A, driving down capex as a percentage of sales below 3% later this decade.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

ARXS: Annual Income Statement

$MM except per share data	2024		2025		2026E		2027E		2028E		2029E		2030E	
	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales
Total Revenues	**$1,470.4**		**$1,591.0**		**$1,981.5**		**$2,172.4**		**$2,367.9**		**$2,581.0**		**$2,813.3**	
COGS	856.1	58.2%	837.7	52.6%	892.3	45.0%	1,001.9	46.1%	1,087.7	45.9%	1,191.7	46.2%	1,300.0	46.2%
Gross Profit	**$614.3**	**41.8%**	**$753.4**	**47.4%**	**$1,089.3**	**55.0%**	**$1,170.5**	**53.9%**	**$1,280.2**	**54.1%**	**$1,389.3**	**53.8%**	**$1,513.3**	**53.8%**
SG&A	$226.0	15.4%	$259.6	16.3%	$521.1	26.3%	$423.6	19.5%	$438.1	18.5%	$451.7	17.5%	$422.0	15.0%
D&A	165.8	11.3%	156.1	9.8%	154.6	7.8%	165.1	7.6%	177.6	7.5%	188.4	7.3%	202.6	7.2%
Other/Stock-based Comp	116.2	7.9%	70.4	4.4%	0.0	0.0%	0.0	0.0%	0.0	0.0%	0.0	0.0%	0.0	0.0%
Total Operating Expenses	**$508.1**	**34.6%**	**$486.0**	**30.5%**	**$675.7**	**34.1%**	**$588.7**	**27.1%**	**$615.7**	**26.0%**	**$640.1**	**24.8%**	**$624.6**	**22.2%**
Operating Profit	**$106.3**	**7.2%**	**$267.4**	**16.8%**	**$413.6**	**20.9%**	**$581.8**	**26.8%**	**$664.6**	**28.1%**	**$749.2**	**29.0%**	**$888.7**	**31.6%**
Interest Expense	285.1		204.6		133.8		107.8		106.0		104.2		102.5	
Other (Expense) / Income	(5.2)		9.9		(2.5)		(2.5)		(2.5)		(2.5)		(2.5)	
Pre-Tax Income (Loss)	**($173.7)**		**$52.9**		**$282.2**		**$476.5**		**$561.1**		**$647.5**		**$788.7**	
Taxes	(4.5)		19.7		83.1		119.1		140.3		161.9		197.2	
Other Adjustments	0.0		43.0		118.1		0.0		0.0		0.0		0.0	
Adj. Net Income	**($169.2)**	**-11.5%**	**$76.1**	**4.8%**	**$317.2**	**16.0%**	**$357.4**	**16.5%**	**$420.8**	**17.8%**	**$485.6**	**18.8%**	**$591.5**	**21.0%**
Shares Outstanding	0.0		0.0		417.0		419.0		420.0		421.0		422.0	
Adjusted Diluted EPS	**-**		**-**		**$0.76**		**$0.85**		**$1.00**		**$1.15**		**$1.40**	
Net Income (Loss)	**($169.2)**		**$46.0**		**$199.1**		**$357.4**		**$420.8**		**$485.6**		**$591.5**	
Tax Expense / (Income)	(4.5)		16.3		83.1		119.1		140.3		161.9		197.2	
Interest Expense	285.1		220.3		133.8		107.8		106.0		104.2		102.5	
D&A	198.8		200.1		206.0		206.0		211.0		220.0		222.0	
Other Adjustments	116.7		88.6		179.2		100.0		102.0		105.0		75.0	
Adjusted EBITDA	**$426.9**		**$571.3**		**$801.3**		**$890.3**		**$980.1**		**$1,076.7**		**$1,188.2**	
% Margin	29.0%		35.9%		40.4%		41.0%		41.4%		41.7%		42.2%	

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

ARXS: Cash Flow Statement

$MM except per share data	2024	2025	2026E	2027E	2028E	2029E	2030E
Net Income / (Loss)	($55.5)	$46.0	$317.2	$357.4	$420.8	$485.6	$591.5
Depreciation and Amortization	96.3	200.1	206.0	206.0	211.0	220.0	222.0
Share-Based Compensation	0.4	27.3	155.0	100.0	102.0	105.0	75.0
Other	10.0	32.8	(14.6)	(14.3)	(14.1)	(13.8)	(14.8)
Net Change in Working Capital	19.7	(54.9)	(151.1)	(57.1)	(55.8)	(60.4)	(62.5)
Cash from Operations	**$70.9**	**$251.2**	**$512.5**	**$592.0**	**$663.9**	**$736.4**	**$811.2**
Capital Expenditures	($28.9)	($42.4)	($63.4)	($70.6)	($71.0)	($72.3)	($73.1)
Proceeds from Sale of Assets/Businesses, net	0.2	2.2	0.0	0.0	0.0	0.0	0.0
Acquisition of Businesses, net	(53.5)	(152.6)	(68.8)	0.0	0.0	0.0	0.0
Other	46.9	0.0	0.0	0.0	0.0	0.0	0.0
Cash from Investing	**($35.3)**	**($192.8)**	**($132.2)**	**($70.6)**	**($71.0)**	**($72.3)**	**($73.1)**
Issuance/(Repayment) of Debt	$53.1	$104.2	($952.8)	($27.0)	($27.0)	($27.0)	($27.0)
Public Offering Proceeds	0.0	0.0	1,221.0	0.0	0.0	0.0	0.0
Other	9.2	(26.1)	(35.0)	0.0	0.0	0.0	0.0
Cash from Financing	**$62.2**	**$78.1**	**$233.2**	**($27.0)**	**($27.0)**	**($27.0)**	**($27.0)**
FX	1.2	3.0	0.0	0.0	0.0	0.0	0.0
Total Cash Flow	**$99.0**	**$139.5**	**$613.4**	**$494.4**	**$565.9**	**$637.1**	**$711.1**
Starting Cash	11.8	110.8	250.3	863.7	1,358.1	1,924.0	2,561.1
Ending Cash	**$110.8**	**$250.3**	**$863.7**	**$1,358.1**	**$1,924.0**	**$2,561.1**	**$3,272.2**

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

AeroVironment (AVAV)

Buy | Price Target: $229

Valuation Method	Price	Assumptions
EV/EBITDA	229	28.0x EV/EBITDA on FY28 EBITDA of $424MM
Price Target	**$229**	

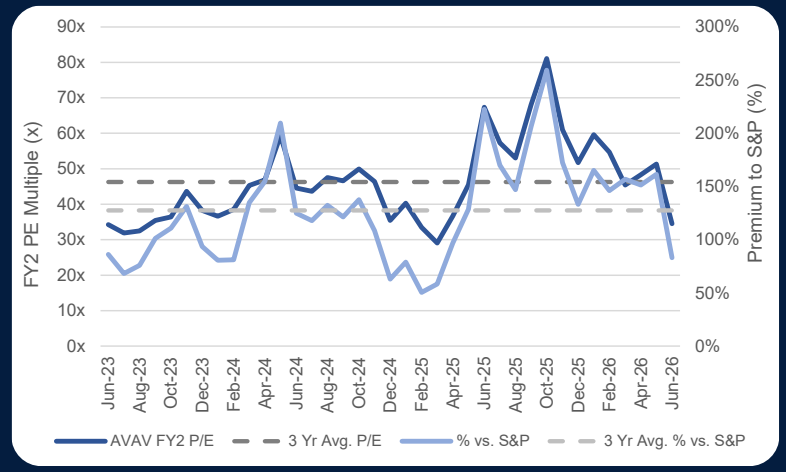
Valuation Table

US Defense	Ticker	JEF Rating	Stock Px 7/28/2026	Market Cap	Enterprise Value	P/E 2026E	P/E 2027E	P/E 2028E	EV / SALES 2026E	EV / SALES 2027E	EV / SALES 2028E	EV / EBITDA 2026E	EV / EBITDA 2027E	EV / EBITDA 2028E
Mercury	MRCY	Hold	$99.86	5,996	6,242	92.2x	64.6x	46.5x	6.5x	6.0x	5.4x	42.9x	33.5x	25.6x
Kratos	KTOS	Buy	$47.40	8,888	7,225	62.0x	44.4x	34.1x	4.1x	3.3x	2.8x	40.7x	29.7x	23.5x
Teledyne	TDY	Buy	$645.37	29,917	31,955	26.2x	24.3x	22.6x	4.9x	4.6x	4.4x	19.5x	18.1x	17.0x
Elbit Systems	ESLT	Hold	$812.58	38,070	39,291	55.6x	46.6x	41.2x	4.3x	3.8x	3.5x	34.5x	29.8x	31.3x
Average						**52.5x**	**40.4x**	**32.7x**	**4.5x**	**4.1x**	**3.7x**	**30.7x**	**25.2x**	**22.2x**
AeroVironment	**AVAV**	**Buy**	**$148.95**	**7,538**	**7,851**	**45.0x**	**46.7x**	**31.7x**	**4.0x**	**3.6x**	**3.2x**	**27.4x**	**24.6x**	**18.5x**
Discount / Premium						**-14%**	**16%**	**-3%**	**-13%**	**-12%**	**-15%**	**-11%**	**-2%**	**-17%**

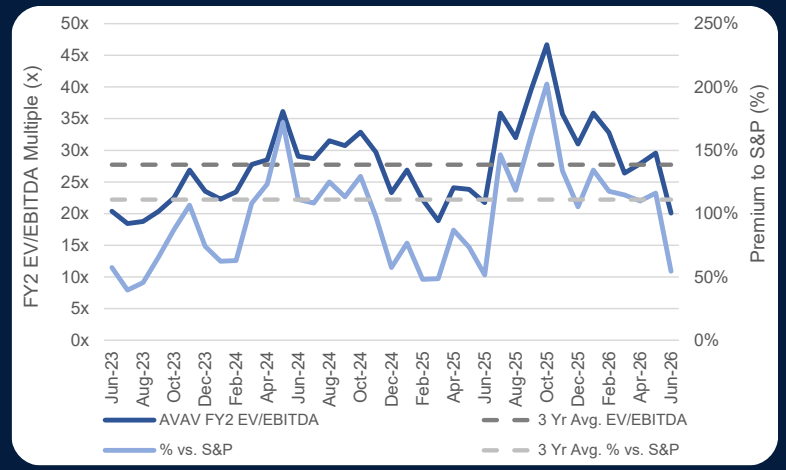
Featured Notes:

- Investor Day Takes: Growth Accels to 20% CAGR in FY28-30 After FY27 Investments | *July 8, 2025*
- SCAR Tissue Remains, But Will Not Loiter For Ever With Laser Focus | *March 11, 2026*
- Follow the Money As Demand Trumps Any ST Disruptions | *December 11, 2025*

Trading at 34.5X FY2 P/E, 83% Prem to Mkt vs. Historical Avg Prem of 128%



Trading at 20.1X FY2 EV/EBITDA, 54% Prem to Mkt vs. Historical Avg Prem of 111%



Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

Source: Company data, Jefferies estimates, FactSet

AVAV: Accessing Large Addressable Markets

Long-Term Outlooks by Business Segment

Market Outlook By Product Category			
Segment	**Global TAM**	**Outlook**	**Highlights**
SUAS (Group 1/2 UAVs)	$2BB+	Growing	Global Leader Position in Group 1–Over $2BB of revenue over last 15 years Adding Group 2 to Target Market Multiple New Product Introductions and Add-ons Well Positioned for Future U.S. DOD Programs of Record
MUAS (Group 2/3 UAVs)	$4BB+	Disrupter	Targeting Group 2/3 Leading the way to next generation products Sole Selected for Increment 1 of Future Tactical UAS Program $1BB+ Program Leveraging AV Global Franchise for U.S. and International Sales
LMS (Loitering Munitions)	$5BB+	Growing	Global Leader in Loitering Munitions; Patented "Wave Off" Technology Expanding U.S. DOD Footprint; Authorized to Sell in 20+ Countries Targeting Multiple $1+ BB Programs Preferred Partner to integrate on aircraft, ground vehicles and ships
UGV (Unmanned Ground Vehicles)	$0.7BB+	Adapting	Part of Multi-Domain Solutions Benefits from Growing Defense Budgets Globally Positioning for future U.S. DOD programs
MW (MacCready Works)	$2BB+	Innovating	Significant Increased Spending for Classified U.S. DOD Programs Center of Excellence for Autonomy and Machine Learning Source of Potential New Products

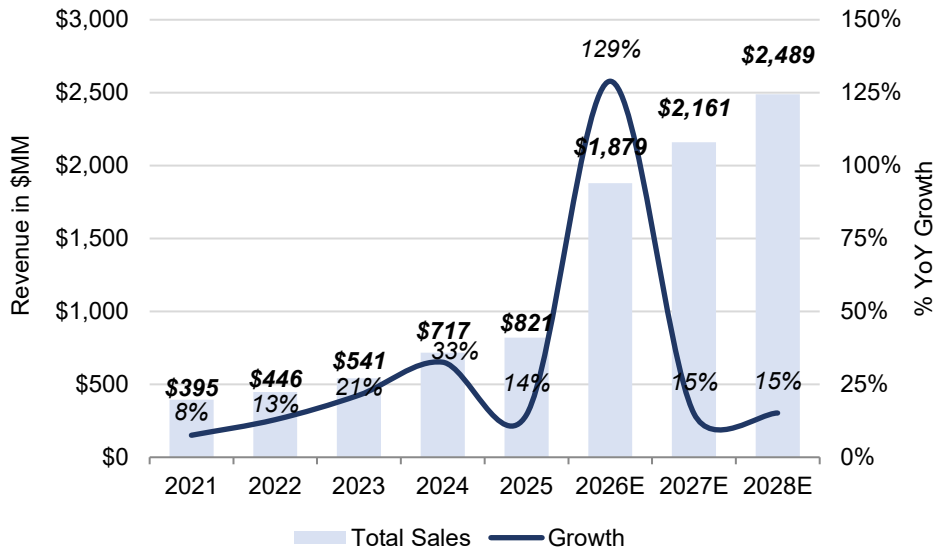
- **Uncrewed Aircraft Systems: $90MM of revenue +50% from $60MM a year ago**
- **CUAS & Precision Strike: $158MM +21% from $130MM a year ago.**
- **Other: $31MM of revenue, down 7% from $33MM a year ago**

Source: Company data and Jefferies estimates

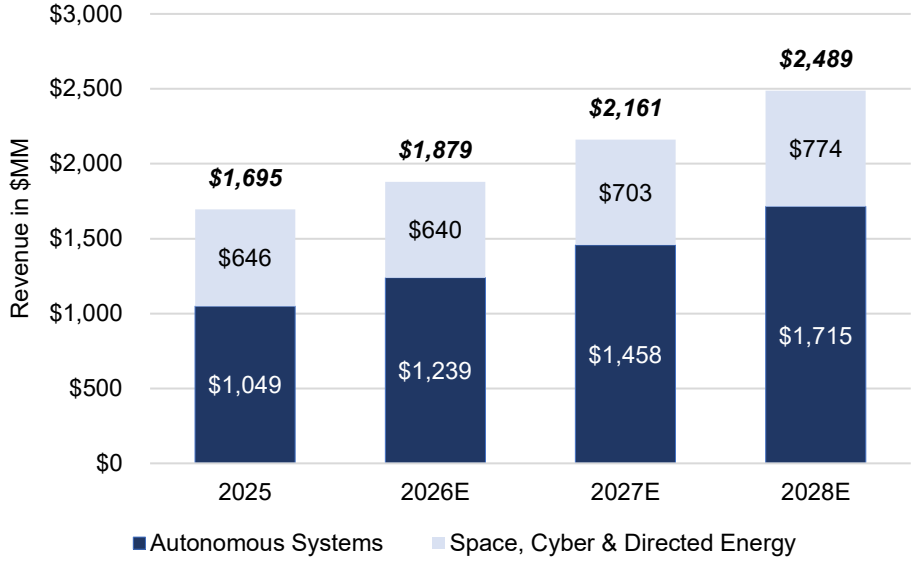
Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

AVAV: FYQ3 Solid Foundation Despite Modest Near-Term Challenges

Total Revenue & Growth - Maintaining Mid-Teens Trajectory



Total Revenue – Broad-Based Opportunities Across the Business

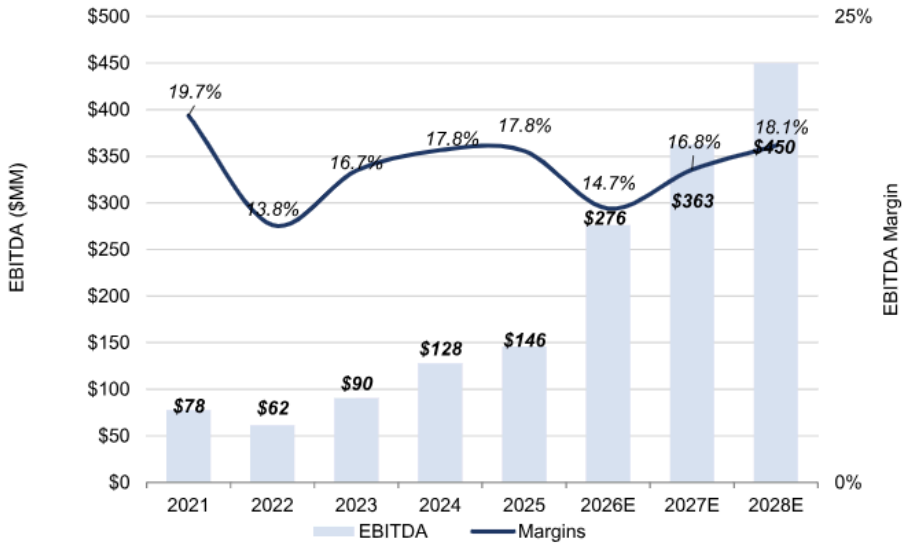


- FYQ3 revenue of $408MM was up 143% y-o-y including legacy revenue of $231.5MM advancing 38% organically. The acquisition of BlueHalo, which closed on May 1, contributed $176.5MM. On a segment basis, Autonomous Systems is the biggest contributor with $1.24BB of FY26 sales up vs $1.05BB for PF FY25.
- On a segment basis, Autonomous Systems is the biggest contributor with $1.24BB of FY26 sales up from $1.05BB for PF FY25.
- Funded backlog ended Q3 at $1.1BB with an additional $3.0BB of unfunded backlog. The bridge from the $3.0BB as of FYQ2 included -$2.9MM of expired unfunded backlog, $85MM of orders received reducing unfunded backlog with $22.6MM of new unfunded bookings.

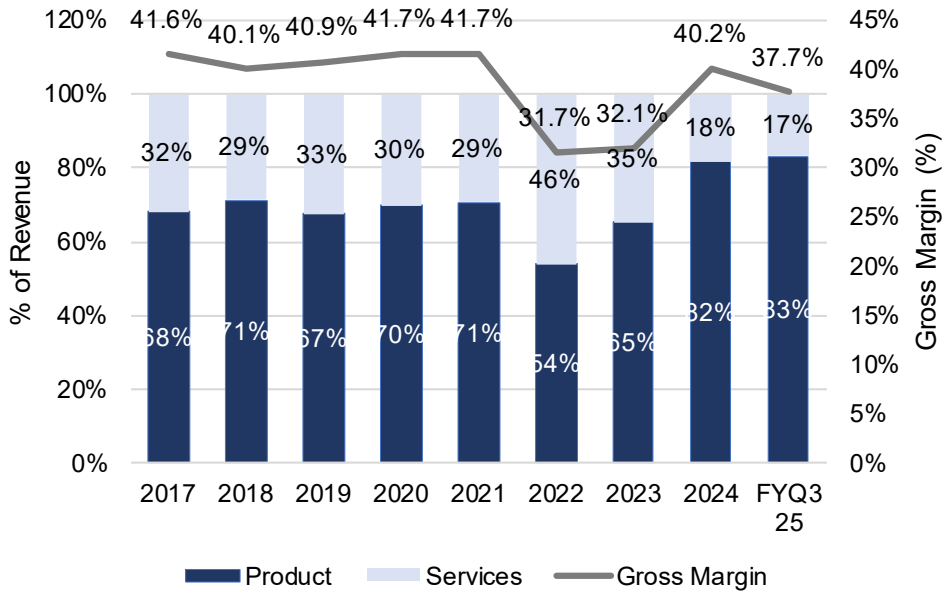
Source: Company data and Jefferies estimates

AVAV: Margin Expansion Driven by Services Mix and Volume Leverage

EBITDA Gravitating Toward High-Teens Margin



Product Mix Recovers into FY24/FY25E



- For FYQ3, Adjusted EBITDA came in well below estimates, with the $44.5MM reported representing a 10.9% margin. The biggest impact was tied to lower revenues including the SCAR termination along with the push out of $40MM of higher margin products. EBITDA is expected to recover with volume, with the near-term impact the 11% cut to FY26 EBITDA guidance to $265 to $285MM (14.5% margin at the mdpt) from $300 to $320MM (15.7% at the mdpt) prior.
- Growth is tied to improved adjusted gross margins, SG&A leverage along with improved mix. Our FY26 EBITDA estimate of $309MM compares to unchanged guidance of $300 to $320MM expanding to $384MM/$486MM in FY27/FY28 equating to an 18.6% EBITDA margin over the next couple of years.

Source: OMB and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

AVAV: FCF Improvement Driven by NI Growth and Normalizing Working Capital

FCF Lumpy Related to Working Capital Requirements to Fuel Growth

	FY23	FY24	FY25E	FY26E
Net Income	**$22**	**$42**	**$41**	**$23**
Depreciation and Amortization	6	8	10	19
NWC	30	(41)	(44)	23
Stock Comp/Deferred Taxes/Other	13	19	18	21
CFO	**$70**	**$27**	**$25**	**$87**
Capex	(10)	(9)	(11)	(11)
FCF	**$60**	**$18**	**$14**	**$75**
FCF Per Share	**$2.53**	**$0.75**	**$0.58**	**$3.09**
Deployment				
Dividend	$0	$0	$0	$0
Share Repurchases	0	0	0	0
Debt Paydown	0	0	0	0
Debt Issuance	0	0	0	200
Acquisition	0	0	(19)	(386)
Total Deployment	**$0**	**$0**	**($19)**	**($186)**
Ratios				
FCF to Net Income Conversion	280%	43%	34%	322%
FCF Yield (FCF / Mkt Cap.)	0.5%	0.2%	0.1%	0.7%
Capex as a % of Sales	3.6%	2.8%	3.1%	2.9%

- Working capital has been consumed in support of strategic supply of the warhead for Loitering Munitions (provided by GD and NOC) and semiconductors for Small UAS, Medium UAS, UGV, and other products.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

AVAV: Annual Income Statement

Years Ending April 30														
(millions, except per share data)	**2021**		**2022**		**2023**		**2024**		**2025**		**2026E**		**2027E**	
Total Revenues	**$394.9**	100.0	**$445.7**	100.0%	**$540.5**	100.0%	**$716.7**	100.0%	**$820.6**	100.0%	**$1,879.0**	100.0%	**$2,161.0**	100.0%
Costs and expenses														
Costs of Sales	230.4	58%	304.5	68%	367.0	68%	432.8	60%	502.0	61%	1,409.2	75%	1,599.2	74%
Selling, General & Administrative	67.5	17.1	96.4	21.6	287.9	53.3	114.4	16.0	177.1	21.6	582.5	31.0	360.9	16.7
Research and development costs	53.8	0.1	54.7	0.1	64.3	0.1	97.7	0.1	100.7	0.1	125.9	0.1	131.8	0.1
Total Operating Costs	**$351.6**	89%	**$455.6**	102%	**$719.2**	133%	**$644.9**	90%	**$779.8**	95%	**$2,117.6**	113%	**$2,091.9**	97%
GAAP Operating EBIT	**$43.3**	11.0%	**($9.9)**	-2.2%	**($178.7)**	-33.1%	**$71.8**	10.0%	**$40.8**	5.0%	**($238.6)**	-12.7%	**$69.2**	3.2%
Adjusted Operating EBIT	**$58.8**	14.9%	**$31.7**	7.1%	**$42.3**	7.8%	**$89.2**	12.4%	**$68.7**	8.4%	**$44.4**	2.4%	**$275.2**	12.7%
Interest (expense) income, net	(0.6)		(5.4)		(9.4)		(4.2)		(2.2)		(7.0)		10.0	
Other (expense) income, net	(8.3)		(3.8)		(0.3)		(4.4)		1.1		7.3		0.0	
Total	(8.9)		(9.3)		(9.7)		(8.6)		(1.1)		0.3		10.0	
Income before taxes	**$34.4**		**($19.1)**		**($188.4)**		**$63.2**		**$39.7**		**($238.3)**		**$79.2**	
Taxes (rate %)	0.5	1.6%	(10.4)	54.2%	(14.7)	7.8%	(1.9)	-3.0%	(0.9)	-2.2%	23.8	-10.0%	(16.8)	-21.2%
Net Income, continuing ops	**$34.9**		**($29.5)**		**($203.0)**		**$61.3**		**$38.8**		**($214.5)**		**$62.4**	
Non-controlling interests	(10.5)		4.6		(2.5)		(1.7)		4.8		5.0		0.0	
Net Income	**$24.4**	6.2%	**($24.9)**	-5.6%	**($205.5)**	-38.0%	**$59.7**	8.3%	**$43.6**	5.3%	**($209.5)**	-11.1%	**$62.4**	2.9%
Basic shares (millions)	24.0		24.7		25.0		27.2		28.0		48.6		49.6	
Diluted shares (millions)	24.4		24.4		25.0		27.3		28.2		47.6		51.0	
Basic earnings per share (cont. ops)	$1.00		($1.02)		($8.20)		$2.18		$1.55		($4.40)		$1.22	
Diluted earnings per share (cont. ops)	**$0.96**		**($0.17)**		**($7.04)**		**$2.18**		**$1.55**		**($4.40)**		**$1.22**	
Adjusted Diluted earnings per share	**$2.07**		**$1.06**		**$1.26**		**$2.99**		**$3.28**		**$2.77**		**$4.35**	

Source: Company data and Jefferies estimates

Boeing (BA)

Buy | Price Target: $295

Valuation Method	Price	Assumptions
FCF	295	3.5% FCF Yield on 2028 FCF/Sh of $10.33
Price Target	**$295**	

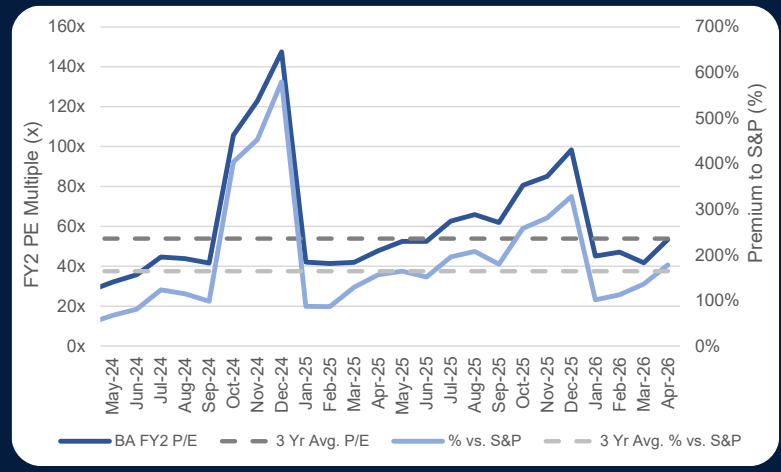
Valuation Table

Defense	Ticker	JEF Rating	Stock Px 7/29/2026	Consensus BUY Rating	Market Cap	Enterprise Value	P/E 2026E	P/E 2027E	P/E 2028E	EV / SALES 2026E	EV / SALES 2027E	EV / SALES 2028E	EV / EBITDA 2026E	EV / EBITDA 2027E	EV / EBITDA 2028E	Yield Dividend	Yield FCF
General Dynamics	GD	Buy	$393.19	50%	106,330	113,963	23.5x	21.5x	19.9x	1.9x	1.8x	1.8x	16.7x	15.5x	14.7x	1.5%	4.5%
Lockheed Martin	LMT	Hold	$581.31	40%	134,161	151,088	19.1x	17.8x	16.6x	1.7x	1.6x	1.5x	13.3x	12.7x	12.1x	2.3%	5.0%
Northrop Grumman	NOC	Hold	$549.22	67%	78,024	92,954	19.0x	18.1x	16.7x	1.8x	1.7x	1.6x	15.0x	14.0x	13.2x	1.7%	4.3%
Raytheon Technologies	RTX	Buy	$218.58	68%	294,593	330,680	30.3x	27.7x	25.0x	3.1x	2.9x	2.7x	21.1x	19.4x	17.7x	1.3%	3.5%
Average Defense				**59%**			**24.1x**	**22.3x**	**20.1x**	**2.2x**	**2.1x**	**1.9x**	**16.8x**	**15.5x**	**14.4x**	**1.7%**	**4.6%**
Aerospace OEMs and Suppliers																	
Airbus	AIR-PAR	Hold	$211.55	74%	167,608	166,622	28.9x	24.5x	19.7x	2.1x	1.9x	1.7x	15.5x	13.5x	11.5x	1.5%	3.6%
Embraer	EMBJ	N/C	$69.09	100%	12,790	13,558	24.6x	18.6x	15.6x	1.5x	1.3x	1.2x	13.3x	11.2x	10.1x	0.6%	3.2%
GE Aerospace	GE	Buy	$363.59	81%	377,247	391,791	46.0x	40.2x	35.4x	7.5x	6.8x	6.2x	32.6x	28.8x	25.6x	0.4%	2.6%
Hexcel	HXL	Hold	$110.03	32%	8,299	9,383	47.9x	35.8x	29.7x	4.0x	3.6x	3.3x	23.4x	19.8x	17.6x	0.6%	3.2%
Honeywell Aerospace	HONA	Hold	$215.90	38%	68,415	83,365	24.3x	21.6x	19.2x	3.6x	3.3x	3.1x	16.6x	15.3x	14.0x	0.0%	4.1%
Safran SA	SAF-FR	Hold	$345.70	61%	144,622	143,570	33.5x	27.1x	23.9x	4.0x	3.6x	3.3x	18.1x	16.2x	14.8x	1.0%	3.5%
Textron	TXT	Buy	$89.96	44%	15,643	18,349	13.9x	12.4x	11.3x	1.0x	1.0x	0.9x	9.6x	9.4x	8.8x	0.1%	5.9%
Woodward	WWD	Buy	$410.55	85%	24,462	25,804	43.6x	38.2x	32.1x	5.7x	5.2x	4.7x	28.6x	25.2x	21.7x	0.3%	2.1%
Average Aerospace OEMs and Suppliers				**64%**			**32.8x**	**27.3x**	**23.4x**	**3.7x**	**3.3x**	**3.1x**	**19.7x**	**17.4x**	**15.5x**	**0.6%**	**3.5%**
Overall Average				**62%**			**29.5x**	**25.4x**	**22.1x**	**3.1x**	**2.9x**	**2.6x**	**18.6x**	**16.7x**	**15.1x**	**1.0%**	**3.9%**
Boeing	**BA**	**Buy**	**$221.56**	**74%**	**174,656**	**201,064**	**-119.8x**	**110.7x**	**36.9x**	**2.1x**	**1.7x**	**1.6x**	**51.9x**	**28.5x**	**18.8x**	**0.0%**	**1.7%**
Discount / Premium							**-506%**	**336%**	**67%**	**-33%**	**-39%**	**-39%**	**179%**	**71%**	**24%**		**138%**

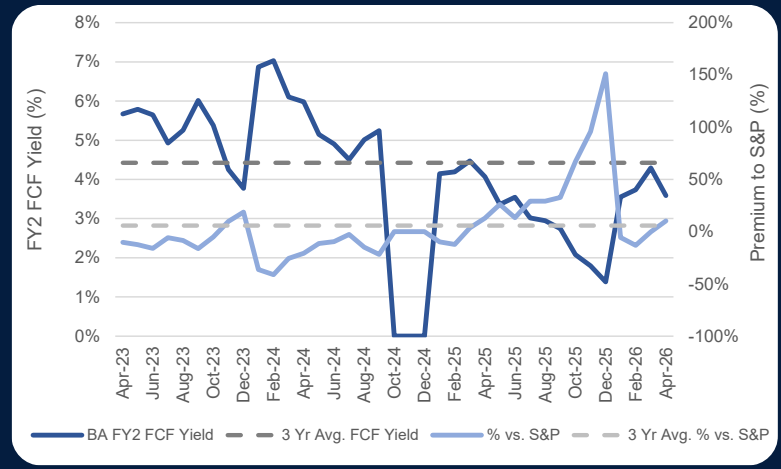
Featured Notes:

- BAck on the Bandwagon | *August 2, 2026*
- *BDS Update: State of the Union on VC-25B Cost & MQ-25 Timeline* | *July 27, 2026*
- June Orders & Deliveries: Q2 Delivs Ahead at 171 w/ H1 Delivs at 48% of '26E | *July 14, 2026*
- Who's Calling My Phone? Is It Stephanie? Is It Katie? Is It Michael O'Leary? | *Apr 26, 2026*

Trading at 53.4X FY2 P/E, 178% Prem to Mkt vs. Historical Avg Prem of 164%



Trading at a 3.6% FY2 FCF Yield, 10% Prem to Mkt vs. Historical Avg Prem of 6%



Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

Source: Company data, Jefferies estimates, FactSet

BA: BCA Delivery Forecast

BCA Delivery Forecast - Guiding to 10% Delivery Growth in 2026 Driven by Production System as Pre-2023 Inventory Is Largely Complete

Commercial Deliveries	2018	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
737NG	324	70	16	18	13	9	5	7	7	0	0
737MAX	256	57	27	245	374	387	260	440	492	588	624
747	6	7	5	7	5	1	0	0	0	0	0
767	27	43	30	32	33	32	18	30	36	24	15
777	48	45	26	24	24	26	14	35	24	18	12
777X	0	0	0	0	0	0	0	0	0	20	42
787-8	10	10	5	2	9	10	1	2	4	5	5
787-9	120	114	36	12	10	40	29	67	70	76	79
787-10	15	34	12	0	12	23	21	19	26	30	36
Total Deliveries	**806**	**380**	**157**	**340**	**480**	**528**	**348**	**600**	**659**	**761**	**813**
% YoY Change	6%	-53%	-59%	117%	41%	10%	-34%	72%	10%	15%	7%
% vs. Peak		-53%	-81%	-58%	-40%	-34%	-57%	-26%	-18%	-6%	1%

Delivery Monthly Rates	2022	2023	2024	2025	2026E	2027E	2028E
	1.1	0.8	0.4	0.6	0.6	0.0	0.0
	31.2	32.3	21.7	36.7	41.0	49.0	52.0
	0.4	0.1	0.0	0.0	0.0	0.0	0.0
	2.8	2.7	1.5	2.5	3.0	2.0	1.3
	2.0	2.2	1.2	2.9	2.0	1.5	1.0
	0.0	0.0	0.0	0.0	0.0	1.7	3.5
	0.8	0.8	0.1	0.2	0.3	0.4	0.4
	0.8	3.3	2.4	5.6	5.8	6.3	6.6
	1.0	1.9	1.8	1.6	2.2	2.5	3.0
	40.0	**44.0**	**29.0**	**50.0**	**54.9**	**63.4**	**67.8**

Commercial Deliveries % of Total	2018	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
737NG	40%	18%	10%	5%	3%	2%	1%	1%	1%	0%	0%
737MAX	32%	15%	17%	72%	78%	73%	75%	73%	75%	77%	77%
747	1%	2%	3%	2%	1%	0%	0%	0%	0%	0%	0%
767	3%	11%	19%	9%	7%	6%	5%	5%	5%	3%	2%
777	6%	12%	17%	7%	5%	5%	4%	6%	4%	2%	1%
777X	0%	0%	0%	0%	0%	0%	0%	0%	0%	3%	5%
787-8	1%	3%	3%	1%	2%	2%	0%	0%	1%	1%	1%
787-9	15%	30%	23%	4%	2%	8%	8%	11%	11%	10%	10%
787-10	2%	9%	8%	0%	3%	4%	6%	3%	4%	4%	4%
Total Deliveries	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**

- For 2026, BA guided to ~10% y-o-y delivery growth to ~660, which is underpinned by ~500 737s (~42/mo) and 90-100 787s (~8/mo), up from 447 (37/mo) and 88 (7.3/mo) in 2025, respectively.
- We estimate 499 737 deliveries (42/mo), based on 530 produced aircraft (44/mo), which assumes the final pre-2023 MAX-8 (vs 55 inventoried aircraft delivered in 2025) is delivered along with inventory pre-build of ~30 737-10s that are expected to deliver in 2027.
- After 600 deliveries in 2025, up 72% y-o-y from 348 in 2023, deliveries rise to 659 in 2026 (+10%), with 499 total 737s (42/mo) and 100 787s (8.3/mo), and to 761 in 2027 (+15%), with 588 737s (49/mo) and 111 787s (9.3/mo). The MAXs compare to the 2018 peak of 580, with the 787s still well below the 158 in 2019.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

BA: BCA Delivery Forecast

Delivery vs. Production - JEFe 42/mo 737 Deliveries in 2026 with 44/mo Production on 737-10 Pre-Build; 787 Production Avgs 8/mo with Final 5 Pre-2023 Aircraft Driving 100 Deliveries in 2026

Delivery

	Q1:25	Q2:25	Q3:25	Q4:25	Q1:26	Q2:26E	Q3:26E	Q4:26E
Boeing								
737	1	2	2	2	1	2	2	2
737 MAX	104	102	119	115	113	127	123	129
747	-	-	-	-	-	-	-	-
767	5	9	6	10	6	10	9	11
777	7	13	9	6	8	7	6	3
777X	-	-	-	-	-	-	-	-
787	13	24	24	27	15	25	26	34
Total Boeing	**130**	**150**	**160**	**160**	**143**	**171**	**166**	**179**

	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
Boeing								
737	9	5	7	7	-	-	-	-
737 MAX	387	260	440	492	588	624	630	648
747	1	-	-	-	-	-	-	-
767	32	18	30	36	24	15	15	15
777	26	14	35	24	18	12	-	-
777X	-	-	-	-	20	42	60	72
787	73	51	88	100	111	120	132	144
Total Boeing	**528**	**348**	**600**	**659**	**761**	**813**	**837**	**879**

Per Month

	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
	0.8	0.4	0.6	0.6	0.0	0.0	0.0	0.0
	32.3	21.7	36.7	41.0	49.0	52.0	52.5	54.0
	0.1	0.0	0.0	0.0	0.0	0.0	0.0	0.0
	2.7	1.5	2.5	3.0	2.0	1.3	1.3	1.3
	2.2	1.2	2.9	2.0	1.5	1.0	0.0	0.0
	0.0	0.0	0.0	0.0	1.7	3.5	5.0	6.0
	6.1	4.3	7.3	8.3	9.3	10.0	11.0	12.0
	44.0	**29.0**	**50.0**	**54.9**	**63.4**	**67.8**	**69.8**	**73.3**

Production

	Q1:25	Q2:25	Q3:25	Q4:25	Q1:26	Q2:26E	Q3:26E	Q4:26E
Boeing								
737	1	2	2	2	1	2	2	2
737 MAX	72	97	109	112	123	126	135	139
747	-	-	-	-	-	-	-	-
767	5	5	8	12	8	8	8	4
777	6	6	6	6	4	5	6	5
777X	1	1	2	2	2	4	6	6
787	15	15	20	20	21	24	25	26
Total Boeing	**100**	**126**	**147**	**154**	**159**	**169**	**182**	**182**
Airbus								
A220	17	24	13	39	19	26	24	36
A320 Family	106	126	186	189	81	139	208	227
A330	4	8	12	12	3	13	10	17
A350	9	12	15	21	11	15	15	26
A380	-	-	-	-	-	-	-	-
Total Airbus	**136**	**170**	**226**	**261**	**114**	**193**	**257**	**306**
Total BA + Airbus	**236**	**296**	**373**	**415**	**273**	**362**	**439**	**488**
Narrowbody	**196**	**249**	**310**	**342**	**224**	**293**	**369**	**404**
Widebody	**40**	**47**	**63**	**73**	**49**	**69**	**70**	**84**

	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
Boeing								
737	9	5	7	7	-	-	-	-
737 MAX	337	195	390	523	564	588	624	648
747	1	-	-	-	-	-	-	-
767	32	26	30	28	24	15	15	15
777	24	20	24	20	14	12	-	-
777X	-	6	6	18	24	36	48	60
787	33	46	70	96	108	120	132	144
Total Boeing	**436**	**298**	**527**	**692**	**734**	**771**	**819**	**867**
Airbus								
A220	68	75	93	105	120	135	150	150
A320 Family	571	602	607	655	725	793	854	863
A330	32	32	36	43	44	49	51	55
A350	64	57	57	67	80	90	112	132
A380	-	-	-	-	-	-	-	-
Total Airbus	**735**	**766**	**793**	**870**	**969**	**1,067**	**1,167**	**1,200**
Total BA + Airbus	**1,171**	**1,064**	**1,320**	**1,562**	**1,703**	**1,838**	**1,986**	**2,067**
Narrowbody	**985**	**877**	**1,097**	**1,290**	**1,409**	**1,516**	**1,628**	**1,661**
Widebody	**186**	**187**	**223**	**272**	**294**	**322**	**358**	**406**

Per Month

	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
	0.8	0.4	0.6	0.6	0.0	0.0	0.0	0.0
	28.1	16.3	32.5	43.6	47.0	49.0	52.0	54.0
	0.1	0.0	0.0	0.0	0.0	0.0	0.0	0.0
	2.7	2.2	2.5	2.3	2.0	1.3	1.3	1.3
	2.0	1.7	2.0	1.7	1.2	1.0	0.0	0.0
	0.0	0.5	0.5	1.5	2.0	3.0	4.0	5.0
	2.8	3.8	5.8	8.0	9.0	10.0	11.0	12.0
	36.3	**24.8**	**43.9**	**57.7**	**61.2**	**64.3**	**68.3**	**72.3**
	5.9	6.5	8.1	9.1	10.4	11.7	13.0	13.0
	49.7	52.3	52.8	57.0	63.0	69.0	74.3	75.0
	2.9	2.9	3.3	3.9	4.0	4.5	4.6	5.0
	5.8	5.2	5.2	6.1	7.3	8.2	10.2	12.0
	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
	61.3	**63.8**	**66.1**	**72.5**	**80.8**	**88.9**	**97.3**	**100.0**

Inventory

	Q1:25	Q2:25	Q3:25	Q4:25	Q1:26	Q2:26E	Q3:26E	Q4:26E
Boeing								
737	-	-	-	-	-	-	-	-
737 MAX	103	98	88	85	95	94	106	116
747	-	-	-	-	-	-	-	-
767	8	4	6	8	10	8	7	-
777	15	8	5	5	1	(1)	(1)	1
777X	35	36	38	40	42	46	52	58
787	57	48	44	37	43	42	41	33
Total Boeing	**218**	**194**	**181**	**175**	**191**	**189**	**205**	**208**

	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
Boeing								
737	-	-	-	-	-	-	-	-
737 MAX	200	135	85	116	92	56	50	50
747	-	-	-	-	-	-	-	-
767	-	8	8	-	-	-	-	-
777	10	16	5	-	-	-	-	-
777X	28	34	40	58	62	56	44	32
787	60	55	37	33	30	30	30	30
Total Boeing	**298**	**248**	**175**	**207**	**184**	**142**	**124**	**112**

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

BA: 737 MAX Skyline Sold-Out Through the Decade with ~80% International Operators

737 MAX Skyline - Sold-Out Through End of Decade with Production the Pacing Factor to Unlock Delivery Upside

	Operator	2026	2027	2028	2029	2030	2031	2032	Total	% of Total
1	Southwest Airlines	70	80	83	84	45	48	66	476	11%
2	Unannounced commercial custom	0	5	16	32	73	141	191	458	10%
3	United Airlines	77	48	36	32	33	33	12	271	6%
4	Akasa Air	24	22	20	24	25	32	44	191	4%
5	Lion Air	0	0	14	31	55	34	56	190	4%
6	Ryanair	2	23	34	33	33	27	0	152	3%
7	Alaska Airlines	6	30	25	21	19	19	20	140	3%
8	Vietjet Air	0	2	15	33	36	20	24	130	3%
9	Air India	7	10	14	6	24	29	37	127	3%
10	SpiceJet	0	3	13	16	20	17	51	120	3%
11	Flydubai	12	13	24	27	29	10	0	115	3%
12	American Airlines	14	0	0	22	23	23	23	105	2%
13	BOC Aviation	0	12	12	21	39	18	0	102	2%
14	Delta Air Lines	0	27	39	17	17	0	0	100	2%
15	Avolon	0	0	15	26	30	16	0	87	2%
16	Aviation Capital Group	1	8	7	15	9	12	26	78	2%
17	Norwegian	2	11	18	21	12	14	0	78	2%
18	WestJet	10	13	10	5	0	19	19	76	2%
19	Gol	6	13	9	12	14	14	6	74	2%
20	Pegasus	0	0	9	12	15	18	16	70	2%
21	DAE Capital	0	0	14	8	14	18	14	68	2%
22	SMBC Aviation Capital	0	4	15	16	17	13	0	65	1%
23	SunExpress	6	5	29	20	5	0	0	65	1%
24	Unconfirmed Airline	28	28	3	0	0	0	0	59	1%
25	Vueling	2	8	13	12	6	5	4	50	1%
	Sub-Total	**267**	**365**	**487**	**546**	**593**	**580**	**609**	**3,447**	**77%**
	Other	275	232	177	134	106	73	44	1,041	23%
	Total	**542**	**597**	**664**	**680**	**699**	**653**	**653**	**4,488**	**100%**

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

BA: Widebody Upside Through the Decade as Long-Haul Aircraft Remain in Deficit After Pandemic Retirements

777X Backlog of 624 Aircraft

	Customer	Orders	%
1	Emirates	270	43%
2	Qatar Airways	124	20%
3	Cathay Pacific	35	6%
4	Singapore Airlines	31	5%
5	British Airways	24	4%
6	China Airlines	23	4%
7	Lufthansa	20	3%
8	Korean Air	20	3%
9	ANA	18	3%
10	Etihad Airways	15	2%
11	Cargolux	10	2%
12	Air India	10	2%
13	Ethiopian Airlines	8	1%
14	Lufthansa Cargo	7	1%
15	Unannounced commercial customer	7	1%
16	Silk Way West Airlines	2	0%
	Total	**624**	**100%**

- As of Q2:26, the 777X is working through TIA Phase 4B with the expectation to begin ETOPS testing later this year as the flight test program is ~55% complete, with first delivery still on track for 2027.

787 Skyline - Upside to Deliveries in 2026 and 2027 with Growing Production Support Out of Charleston

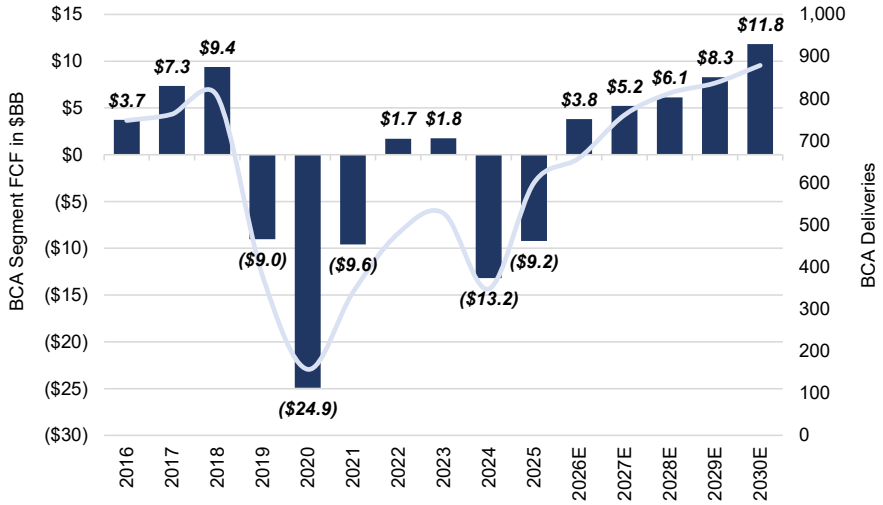
	Operator	2026	2027	2028	2029	2030	2031	2032	Total	% of Total
1	United Airlines	20	21	18	17	17	17	24	134	15%
2	Unannounced commercial custom	0	7	8	3	8	11	29	66	7%
3	Qatar Airways	3	1	0	8	6	21	18	57	6%
4	Turkish Airlines	2	5	0	2	6	11	14	40	4%
5	Riyadh Air	9	10	12	8	0	0	0	39	4%
6	Saudia	0	6	8	10	10	4	1	39	4%
7	Thai Airways International	3	5	4	6	6	6	8	38	4%
8	Korean Air	5	3	4	5	7	6	3	33	4%
9	British Airways	2	4	0	3	6	9	8	32	4%
10	Emirates	0	0	0	0	6	19	5	30	3%
11	Flydubai	0	4	4	5	6	6	5	30	3%
12	China Airlines	5	4	5	4	4	2	0	24	3%
13	Lufthansa	17	0	5	0	0	0	0	22	2%
14	Air India	4	2	4	4	3	3	0	20	2%
15	American Airlines	1	3	5	6	4	0	0	19	2%
16	Etihad Airways	0	4	3	3	4	2	3	19	2%
17	Ethiopian Airlines	0	0	3	3	3	4	5	18	2%
18	LATAM Airlines	3	0	6	4	3	0	0	16	2%
19	Alaska Airlines	1	1	4	2	2	1	4	15	2%
20	Air Canada	2	8	0	4	0	0	0	14	2%
21	Qantas	0	4	2	3	2	1	0	12	1%
22	Delta Air Lines	0	0	0	0	0	4	7	11	1%
23	Gulf Air	0	2	0	0	0	4	5	11	1%
24	Sun PhuQuoc Airways	0	0	0	0	0	5	6	11	1%
25	Air Astana	2	3	1	0	0	0	4	10	1%
	Sub-Total	**67**	**97**	**103**	**100**	**103**	**91**	**88**	**649**	**73%**
	Other	31	23	23	19	19	56	69	240	27%
	Total	**98**	**120**	**126**	**119**	**122**	**147**	**157**	**889**	**100%**

Source: Company data and Jefferies estimates

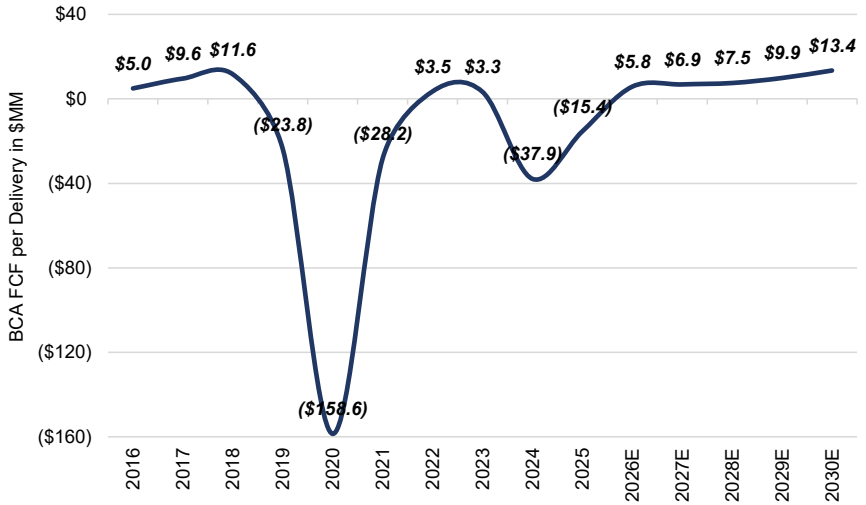
Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

BA: BCA Getting Back to a Cash Powerhouse

Peak BCA Free Cash Flow of $9.4BB in 2018 at 16% Cash Margins After Opex



JEFe Assumes BCA FCF Per Aircraft / Cash Margins Surpass Prior Peaks by 2030; Opportunity on Rate, Pricing/Concessions, and W/C

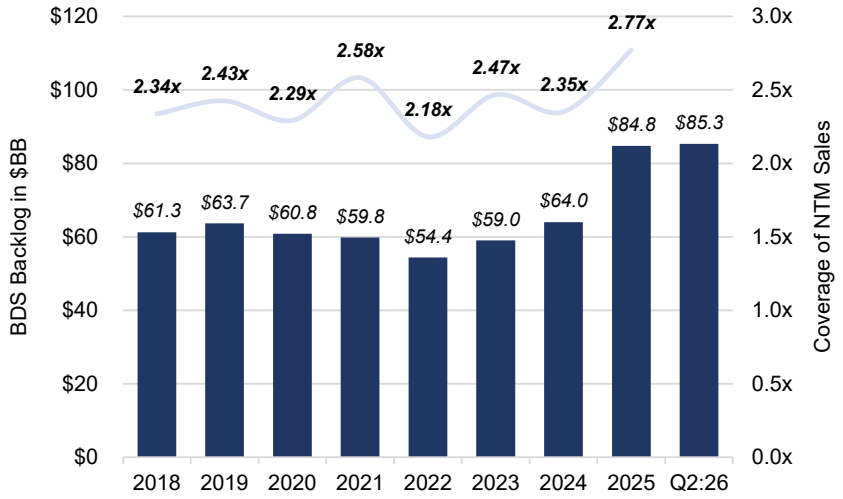


- The bar for peak BA FCF was set in 2018 at $13.6BB, a year when BCA delivered 806 aircraft (72% NB) and $7.8BB of adj EBIT at 13.6% margins. After segment capex of $604MM and an est W/C benefit of $1.6BB (65% of total W/C inflow, inline to sales mix & reported '20-'22 levels), BCA produced $9.4BB of FCF in 2018, or FCF / delivery of $11.6MM (16% cash margin including opex).
- We est total BA FCF improves to $6.7BB in '27 and $8.8BB in '28. We est 761 deliveries in '27 and 813 in '28, w/ BCA EBIT margins of only 1.5% and 5.0%, respectively, driving BCA FCF of $5.2BB (78% of total) and $6.1BB (69% of total) in the two years. This derives a still depressed FCF / delivery of $6.9MM and $7.5MM, further improving to $9.9MM in 2029 and eventually $13.4MM in 2030, surpassing the 2018 peak. By platform, this assumes 737 cash margins incl opex of 16%/20% in '27/'28 and 787 cash margins of 10%/12%.

Source: Company data and Jefferies estimates

BA: BA Defense - Fixed-Price Development Risk Continues W/ Opportunity for Continued Cash Improvement

BDS Backlog at $85BB as of Q2:26; Next 12-Mos Revenue Coverage Ended 2025 at 2.8X vs. 7-Year Average of 2.4X



BDS Sales & Profits - JEF Ests 5% Topline CAGR to 2030, Driven by Fighters, Satellites, Autonomous & Weapons; Margins Improve to 3.5% in 2026E and Expand Back to HSD+ By End of the Decade

	2021	2022	2023	2024	2025	2026	2027	2028	2029	2030	'25-'30
											CAGR
Fighter Jets & Trainers	$4,460	$3,818	$4,408	$4,251	$4,142	$6,575	$6,855	$8,140	$8,750	$9,160	17.2%
Commercial Derivatives	4,214	4,050	3,709	2,305	3,430	5,155	4,675	4,875	5,030	5,100	8.3%
Rotorcraft	3,065	3,495	3,329	2,782	3,373	4,188	4,000	3,950	4,050	4,000	3.5%
Satellites	985	1,070	970	765	1,250	2,305	2,525	2,825	3,025	3,225	20.9%
Space	3,000	3,000	3,000	3,000	3,000	3,000	3,000	3,000	3,000	3,000	0.0%
Autonomous Drones	250	300	350	450	575	900	1,175	1,700	2,050	2,250	31.4%
Missile Systems & Defense	1,200	1,400	1,500	1,600	1,650	1,800	1,800	1,800	1,800	1,800	1.8%
Weapons	1,200	1,000	800	750	750	900	1,100	1,250	1,500	1,800	19.1%
VC-25B	500	500	500	500	500	500	625	700	650	500	0.0%
Network & Other	7,666	4,529	6,367	7,515	8,564	5,275	5,000	4,500	4,500	4,500	-12.1%
Revenues	**$26,540**	**$23,162**	**$24,933**	**$23,918**	**$27,234**	**$30,598**	**$30,755**	**$32,740**	**$34,355**	**$35,335**	**5.3%**
% YoY Change	1.1%	-12.7%	7.6%	-4.1%	13.9%	12.4%	0.5%	6.5%	4.9%	2.9%	
Expenses & Charges	$24,996	$26,706	$26,697	$29,331	$27,362	$29,833	$29,217	$30,448	$31,263	$31,802	
% of Sales	94.2%	115.3%	107.1%	122.6%	100.5%	97.5%	95.0%	93.0%	91.0%	90.0%	
Operating Income	**$1,544**	**($3,544)**	**($1,764)**	**($5,413)**	**($128)**	**$765**	**$1,538**	**$2,292**	**$3,092**	**$3,534**	**NM**
% Margin	5.8%	-15.3%	-7.1%	-22.6%	-0.5%	2.5%	5.0%	7.0%	9.0%	10.0%	1047 bps
Forward Losses	$905	$4,245	$1,585	$5,013	$774	$280	$0	$0	$0	$0	
Core Operating Income	**$2,449**	**$701**	**($179)**	**($400)**	**$646**	**$1,045**	**$1,538**	**$2,292**	**$3,092**	**$3,534**	**40.5%**
% Margin	9.2%	3.0%	-0.7%	-1.7%	2.4%	3.4%	5.0%	7.0%	9.0%	10.0%	763 bps

- BDS revenues increased 13% to $7.5BB in Q2 driven by growth on classified programs, missiles and weapons, and higher KC-46 tanker volume. Organic revenue growth was +11% in Q2, excluding $130MM contribution from the Spirit AeroSystems acquisition. BDS demonstrates continued progress after revs +21% in Q1:26, +37% in Q4:25, +25% in Q3:25, +10% in Q2:25 with revenues +14% y-o-y in 2025 and -4% y-o-y in 2024. BA delivered 35 defense systems in Q2 vs 36 a year ago (-3%) following FY25 deliveries of 131 up +17% from 112 in FY24.
- In 2026, we estimate sales increase +12% to $30.6BB (vs +14% in 2025), with backlog up 15% y-o-y and -1% sequentially to $85.3BB (27% for international customers) supportive of growth. BDS received ~$7BB in incremental orders in Q2 w/ mgmt noting increased demand for missiles and munitions in addition to secure communications satellite programs.
- In Q2, BDS completed its first flight and received milestone C on the MQ-25A Stingray, but Initial Operational Capability (IOC) was delayed in April from 2027 to 2029, followed by a second delay disclosed in the June 29th omnibus request shifting IOC to FQ2:2030 at the earliest. Separately, BDS began LRIP on the T-7A Red Hawk. Additionally, BDS secured an award from the US Space Force in Q2 to provide proprietary communications capabilities.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

BA: BA Defense - Fixed-Price Development Risk Continues W/ Opportunity for Continued Cash Improvement

BDS Has Taken $18.9BB of Charges Since 2014 on Five Primary Fixed-Price Development Programs

Program	Description	Forward Loss Position?	Size of Forward Loss (2014-2025)	Forward Loss Description
F-15	Fighter Program	No	-	N/A
F-18	Fighter Program	No	-	N/A
P-8	Maritime Patrol	No	-	N/A
KC-46	Tanker	Yes	$9,715	$8BB+ of forward losses taken over 8 years, split between BCA and BDS. Incremental opportunity for KC-46 follow-on of 75 tankers from USAF
CH-47	Chinook	No	-	N/A
AH-64	Apache	No	-	N/A
V-22	Osprey	No	-	N/A
VC-25	Presidential Replacement Aircraft	Yes	$2,799	$2.7BB of forward losses taken since 2020. Maturing build process with milestones for power-on and first flight ahead of deliveries in 2027-2028.
T-7A	Pilot Training Aircraft for Air Force	Yes	$3,081	$400MM forward loss taken at contract award on production; EMD charge in 2022. First T-7A delivered in Q3:23 with critical flight testing underway.
MQ-25	Carrier-Based Refueling Drone	Yes	$1,437	$291MM forward loss upon development award and the first 7 deliveries. Key build and flight test milestones and transition out of development by 2025/2026.
MH-139	UH-1N Replacement	No	-	N/A
SLS	Space Launch System for NASA	No	-	N/A
Commercial Crew	Human Space Transportation System	Yes	$1,780	Program should have turned profitable upon transporting crew in Q2:24, but return to Earth delays led to fwd loss. Launch commitments to 2025/2026.
Total			**$18,877**	

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

BA: BA Defense - Fixed-Price Development Risk Continues W/ Opportunity for Continued Cash Improvement

Modest Core BDS Margin Improvement to ~3.5% in 2026 on Pathway to M-HSD Over Time

Revenue by Program	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	2025-2028E CAGR
Fixed Wing Aircraft											
F/A-18	$1,357	$1,160	$1,239	$840	$1,342	$671	$854	$915	$0	$0	NM
F-15	1,760	560	1,840	1,440	1,080	1,680	1,080	2,400	2,640	2,640	35%
P-8	2,430	2,175	2,320	1,764	1,639	596	894	1,490	1,490	1,490	19%
KC-46	2,500	2,310	2,145	2,445	2,106	1,620	2,268	3,078	2,700	2,700	6%
Total Fixed Wing Aircraft	**$8,047**	**$6,205**	**$7,544**	**$6,489**	**$6,167**	**$4,567**	**$5,096**	**$7,883**	**$6,830**	**$6,830**	**10%**
Rotorcraft											
CH-47 Chinook	$840	$690	$465	$662	$478	$317	$344	$388	$457	$526	15%
AH-64 Apache	2,109	1,757	2,121	1,925	1,897	1,274	1,547	1,967	1,967	1,967	8%
V-22	725	725	700	675	675	700	725	750	750	700	-1%
Total Rotorcraft	**$3,674**	**$3,172**	**$3,286**	**$3,262**	**$3,050**	**$2,291**	**$2,616**	**$3,105**	**$3,174**	**$3,193**	**7%**
Other Military Aircraft	1,600	1,200	1,501	1,580	2,140	3,620	4,242	2,750	3,500	4,000	-2%
Total Military Aircraft	**$13,321**	**$10,577**	**$12,331**	**$11,331**	**$11,357**	**$10,478**	**$11,954**	**$13,738**	**$13,504**	**$14,023**	**5%**
% YoY Change	4%	-21%	17%	-8%	0%	-8%	14%	15%	-2%	4%	
Network and Space Systems											
Commercial and Civil Satellites	$320	$320	$495	$510	$850	$340	$680	$510	$510	$510	-9%
Military Satellites	0	200	410	420	0	210	0	420	420	420	NM
NASA Space	1,300	1,500	1,600	1,700	1,800	1,750	1,800	1,850	1,950	1,950	3%
AWACS	450	450	450	450	450	450	450	450	450	450	0%
Other Defense & Space	4,537	6,040	4,400	4,575	4,926	4,750	5,050	5,150	5,250	5,300	2%
Minuteman	100	100	100	100	100	100	100	100	100	100	0%
Total Network and Space Systems	**$6,707**	**$8,610**	**$7,455**	**$7,755**	**$8,126**	**$7,600**	**$8,080**	**$8,480**	**$8,680**	**$8,730**	**3%**
% YoY Change	2%	28%	-13%	4%	5%	-6%	6%	5%	2%	1%	
Other Defense and Space	**$6,199**	**$7,070**	**$6,754**	**$4,076**	**$5,450**	**$6,050**	**$7,200**	**$7,500**	**$8,000**	**$8,000**	**4%**
% YoY Change	-12%	14%	-4%	-40%	34%	11%	19%	4%	7%	0%	
Total Boeing Defense Revenue	**$26,227**	**$26,257**	**$26,540**	**$23,162**	**$24,933**	**$24,128**	**$27,234**	**$29,718**	**$30,184**	**$30,753**	**4%**
% YoY Change	-1%	0%	1%	-13%	8%	-3%	13%	9%	2%	2%	
Forward Losses											
KC-46	$148	$1,320	$402	$1,374	$309	$2,002	$714	$0	$0	$0	
VC-25	0	168	318	1,452	482	379	60	0	0	0	
T-7A	0	0	0	552	275	1,770	0	0	0	0	
MQ-25	0	0	0	579	231	339	0	0	0	0	
Commercial Crew	489	0	185	288	288	523	0	0	0	0	
Total Forward Losses	**$637**	**$1,488**	**$905**	**$4,245**	**$1,585**	**$5,013**	**$774**	**$0**	**$0**	**$0**	
Total Boeing Defense EBIT	**$2,608**	**$1,539**	**$1,544**	**($3,544)**	**($1,764)**	**($5,413)**	**($128)**	**$1,061**	**$1,538**	**$2,292**	**NM**
Boeing Defense EBIT Margin	*9.9%*	*5.9%*	*5.8%*	*-15.3%*	*-7.1%*	*-22.4%*	*-0.5%*	*3.6%*	*5.1%*	*7.5%*	
% YoY Change	57%	-41%	0%	-330%	-50%	207%	NM	NM	45%	49%	

Source: Company data and Jefferies estimates

BA: Global Services - +MSD Organic Growth in 2026 with High-Teens Steady Margins Despite DAS Dilution

Global Services - Expanding Topline at 4% CAGR (Including Jeppesen Loss) with Profits at 4% CAGR to 2028 Assuming Margins Stabilize in the ~18% Range on Normalized Mix

	2019	2020	2021	2022	2023	2024	2025E	2026E	2027E	2028E	2025-2028E CAGR
Revenue Breakdown											
Parts and Distribution	$12,502	$10,078	$10,561	$11,512	$12,380	$13,067	$13,712	$14,878	$15,584	$16,208	6%
Engineering Mods and Maintenance	3,219	2,607	2,738	2,902	3,134	3,166	3,311	3,543	3,667	3,777	4%
Digital and Training	2,747	2,857	3,029	3,197	3,613	3,721	3,900	3,076	3,214	3,359	-5%
Total Boeing Services Revenues	**$18,468**	**$15,543**	**$16,328**	**$17,611**	**$19,127**	**$19,954**	**$20,923**	**$21,497**	**$22,466**	**$23,344**	**4%**
Parts and Distribution	11.8%	-19.4%	4.8%	9.0%	7.5%	5.6%	4.9%	8.5%	4.8%	4.0%	
Engineering Mods and Maintenance	2.0%	-19.0%	5.0%	6.0%	8.0%	1.0%	4.6%	7.0%	3.5%	3.0%	
Digital and Training	9.0%	4.0%	6.0%	5.6%	13.0%	3.0%	4.8%	-21.1%	4.5%	4.5%	
YoY % Change	**9.5%**	**-15.8%**	**5.0%**	**7.9%**	**8.6%**	**4.3%**	**4.9%**	**2.7%**	**4.5%**	**3.9%**	
EBIT Margin											
Parts and Distribution	13.6%	1.8%	11.6%	15.0%	16.1%	16.7%	16.5%	16.3%	16.3%	16.6%	
Engineering Mods and Maintenance	15.0%	1.0%	8.0%	11.0%	14.1%	14.8%	16.0%	16.0%	16.0%	16.0%	
Engineering Mods and Maintenance	15.0%	7.9%	12.0%	13.0%	16.5%	17.5%	17.0%	16.7%	16.7%	17.0%	
% Margin	**14.6%**	**2.9%**	**12.4%**	**15.5%**	**17.4%**	**18.1%**	**64.4%**	**17.9%**	**18.0%**	**18.2%**	
EBIT Contribution											
Parts and Distribution	$1,696	$185	$1,222	$1,732	$1,987	$2,185	$2,265	$2,418	$2,547	$2,683	6%
KLX Parts and Distribution	106	12	213	259	304	314	334	355	371	384	5%
Engineering Mods and Maintenance	483	26	219	320	442	469	530	567	587	604	4%
Digital and Training	412	227	363	416	596	651	663	514	537	571	-5%
Total Boeing Services EBIT	**$2,697**	**$450**	**$2,017**	**$2,727**	**$3,329**	**$3,618**	**$13,474**	**$3,853**	**$4,042**	**$4,242**	**4%**
Operating Margins	*14.6%*	*2.9%*	*12.4%*	*15.5%*	*17.4%*	*18.1%*	*64.4%*	*17.9%*	*18.0%*	*18.2%*	

- BGS revenues increased 1% to $5.3BB in Q2 (+7% organic) driven by higher government volume following 6% growth in Q1 (+12% organic) and +5% in 2025. The backlog stands at a record $33BB, ~flat sequentially and +50% y-o-y, with a B2B of ~0.9X on ~$5BB of orders in Q2:26 led by the government business (B2B of ~1.3X in FY25).
- In Q2:26, BGS won a $880MM Navy IDIQ for P-8A training systems as well as secured an agreement with Alaska Airlines to integrate BA's Virtual Airplane training solution.
- From a profitability standpoint, Q2 operating margins declined 180 bps y-o-y to 18.1% reflecting the impact of the DAS divestiture (-40 bps dilutive) and less favorable mix, with both commercial and government margins in the DD+ range once again. Adjusted margins were flat q-o-q with H2:26 margins -120bps vs H1:25. This compares to 2025 adjusted margins of 18.6% and 18.1% in 2024. For 2026, our estimates assume margins in the ~18% range on MSD organic revenue growth (DAS 5pt hit to total growth) w/ modest dilution impact tied to the sale of Jeppesen.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

BA: FCF Guided +$1-3BB in 2026 with ex-Transitory Items of HSD $BB

FCF Build - Guidance of $1-3BB of FCF in 2026 with Transitory Items Masking Underlying FCF Generation of HSD $BB

	2023	2024	2025	2026E	2027E
Net Income	($2,242)	($11,829)	$2,238	($1,169)	$1,991
Depreciation and Amortization	1,861	1,836	1,953	2,376	2,474
NWC	4,717	(7,627)	(776)	4,261	4,647
Pension Adjustment	(1,049)	(959)	(593)	(88)	(600)
SBC & Other Non-Cash	2,673	6,499	(1,757)	1,544	2,250
Operating Cash Flow	**$5,960**	**($12,080)**	**$1,065**	**$6,924**	**$10,761**
Capital Expenditures	(1,527)	(2,230)	(2,942)	(4,025)	(4,027)
Free Cash Flow	**$4,433**	**($14,310)**	**($1,877)**	**$2,899**	**$6,734**
FCF Per Share	*$7.31*	*($22.11)*	*($2.46)*	*$3.66*	*$8.35*
Deployment					
Dividends	$0	$0	($331)	($345)	($345)
Share Repurchases	0	23,857	0	0	0
Debt Paydown	(5,216)	(8,673)	(3,621)	(8,934)	(3,652)
Debt Issuance	75	10,161	165	35	0
Acquisitions	(70)	(50)	(1,248)	0	0
Total Deployment	**($5,211)**	**$25,295**	**($5,035)**	**($9,244)**	**($3,997)**
Discretionary FCF	**$4,433**	**($14,310)**	**($2,208)**	**$2,554**	**$6,389**
Ratios					
FCF to Net Income Conversion	-198%	121%	-84%	-248%	338%
FCF Yield (FCF / Mkt Cap)	2.6%	-8.5%	-1.1%	1.7%	4.0%
FCF YoY Change	94%	-423%	-87%	-254%	132%
Discretionary FCF Yield	2.6%	-8.5%	-1.3%	1.5%	3.8%
Discretionary FCF % Change YoY	94%	-423%	-85%	-216%	150%
Dividend as a % of Net Income	0%	0%	15%	-30%	17%
Dividend Yield	0.0%	0.0%	0.2%	0.2%	0.2%
Share Repo as % of Mkt Cap	0%	-14%	0%	0%	0%
% of Cash Returned to Shareholders	0%	167%	-18%	12%	5%
Capex as a % of Sales	2.0%	3.4%	3.3%	4.2%	3.5%

- In Q2, FCF came in better than expected at an inflow of $631MM due to working capital's inflow of +$678MM, including: Advances and Progress Billings +$1.5BB inflow; A/P +$308MM inflow; Accrued Liabilities +$190MM inflow; partially offset by Inventories -$1.2BB outflow and Other Current Assets -$224MM. Capital expenditures increased to $733MM, up 72% y-o-y from $427MM a year ago.
- For 2026, BA reaffirmed FCF of +$1-3BB, which includes +$5-7BB of operating cash flow and ~$4BB of capex. The 2026 guidance implies H2 inflow of $1.8-3.8BB. The commentary is for Q3:26 FCF to be in the low-$100MM range, which is inclusive of the anticipated $700MM DOJ payment in the quarter with cash flow growing beyond 2026 driven by improved BCA deliveries, sequentially lower BDS charge burn-offs, and continued strength from BGS alongside working capital improvement (net of an assumed +$1.5BB y-o-y inventory spend on 777X to ~$5BB vs $3.5BB in 2025), partially offset by $1BB higher capex (est $4BB per year in 2026 and 2027 vs $3BB in 2025) and $1BB of cost associated with the integration of Spirit AeroSystems.
- We estimate FCF of $2.9BB in 2026, improving to $6.7BB in 2027 and $8.8BB in 2028, with management reaffirming in January 2026 that it expects $10BB to be very attainable with tailwinds from normalized BCA pricing and model mix that could drive FCF above $10BB.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

BA: Annual Income Statement

$MM except per share data	2021		2022		2023		2024		2025		2026E		2027E		2028E	
	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales
Revenue	**$62,286**	100.0%	**$66,608**	100.0%	**$77,794**	100.0%	**$66,517**	100.0%	**$89,463**	100.0%	**$96,985**	100.0%	**$115,062**	100.0%	**$124,964**	100.0%
Operating Expenses																
Cost of Goods Sold & Expenses	59,237	95.1%	63,078	94.7%	70,070	90.1%	68,508	103.0%	85,174	95.2%	86,295	89.0%	99,720	86.7%	105,237	84.2%
General & Administrative	4,157	6.7%	4,187	6.3%	5,168	6.6%	5,021	7.5%	6,090	6.8%	5,625	5.8%	6,904	6.0%	7,498	6.0%
Research & Development	2,249	3.6%	2,852	4.3%	3,377	4.3%	3,812	5.7%	3,615	4.0%	3,698	3.8%	3,936	3.4%	4,193	3.4%
JV & Other Expenses	(487)	-0.8%	10	0.0%	(48)	-0.1%	(117)	-0.2%	(9,697)	-10.8%	(134)	-0.1%	(75)	-0.1%	(100)	-0.1%
Total Operating Expenses	**$65,156**	104.6%	**$70,127**	105.3%	**$78,567**	101.0%	**$77,224**	116.1%	**$85,182**	95.2%	**$95,485**	98.5%	**$110,485**	96.0%	**$116,827**	93.5%
Earnings (Loss) from Operations	**($2,870)**	-4.6%	**($3,519)**	-5.3%	**($773)**	-1.0%	**($10,707)**	-16.1%	**$4,281**	4.8%	**$1,500**	1.5%	**$4,577**	4.0%	**$8,136**	6.5%
Other Income	551	0.9%	1,058	1.6%	1,227	1.6%	1,222	1.8%	1,125	1.3%	450	0.5%	500	0.4%	550	0.4%
Interest Expense	(2,714)	-4.4%	(2,561)	-3.8%	(2,459)	-3.2%	(2,725)	-4.1%	(2,771)	-3.1%	(2,468)	-2.5%	(2,400)	-2.1%	(2,250)	-1.8%
Earnings Before Taxes	**($5,033)**	-8.1%	**($5,022)**	-7.5%	**($2,005)**	-2.6%	**($12,210)**	-18.4%	**$2,635**	2.9%	**($518)**	-0.5%	**$2,677**	2.3%	**$6,436**	5.2%
Income Taxes (% Rate)	(743)	14.8%	31	-0.6%	237	-11.8%	(381)	3.1%	397	15.1%	290	NM	341	12.8%	914	14.2%
Preferred Dividends							46		348		361		345			
Net earnings (loss)	**($4,290)**	-6.9%	**($5,053)**	-7.6%	**($2,242)**	-2.9%	**($11,875)**	-17.9%	**$1,890**	2.1%	**($1,169)**	-1.2%	**$1,991**	1.7%	**$5,522**	4.4%
Pension Earnings	1,347	2.2%	1,645	2.5%	1,298	1.7%	1,298	2.0%	980	1.1%	295	0.3%	385	0.3%	470	0.4%
Core Earnings	**($5,637)**	-9.1%	**($6,698)**	-10.1%	**($3,540)**	-4.6%	**($13,173)**	-19.8%	**$910**	1.0%	**($1,464)**	-1.5%	**$1,606**	1.4%	**$5,052**	4.0%
Core Diluted EPS	**($9.59)**		**($11.25)**		**($5.84)**		**($20.38)**		**$1.19**		**($1.85)**		**$2.00**		**$6.00**	
Basic Shares Outstanding	578		585		596		647		760		792		804		841	
Diluted Shares Outstanding	588		595		606		647		762		792		806		843	

Source: Company data and Jefferies estimates

BA: Annual Segment Data

$MM except per share data	2021	2022	2023	2024	2025	2026E	2027E	2028E
Revenues								
Commercial Airplanes	$19,493	$26,026	$33,901	$22,861	$41,494	$44,991	$61,966	$69,030
Defense, Space and Security	26,540	23,162	24,933	23,918	27,234	30,598	30,755	32,740
Global Services	16,328	17,611	19,127	19,954	20,923	21,497	22,466	23,344
Boeing Capital	272	0	0	0	0	0	0	0
Other	(347)	(191)	(167)	(216)	(188)	(100)	(125)	(150)
Total	**$62,286**	**$66,608**	**$77,794**	**$66,517**	**$89,463**	**$96,985**	**$115,062**	**$124,964**
Operating Profit								
Commercial Airplanes	($6,377)	($2,341)	($1,635)	($7,969)	($7,079)	($1,488)	$911	$3,482
Defense, Space and Security	1,544	(3,544)	(1,764)	(5,413)	(128)	765	1,538	2,292
Global Services	2,017	2,727	3,329	3,618	13,474	3,853	4,042	4,242
Boeing Capital	0	0	0	0	0	0	1	1
Segment Operating Profit	**($2,816)**	**($3,158)**	**($70)**	**($9,764)**	**$6,267**	**$3,130**	**$6,492**	**$10,016**
Unallocated	(54)	(361)	(703)	(943)	(1,986)	(1,630)	(1,915)	(1,880)
Earnings From Operations	**($2,870)**	**($3,519)**	**($773)**	**($10,707)**	**$4,281**	**$1,500**	**$4,577**	**$8,136**
Operating Margin								
Commercial Airplanes	-32.7%	-9.0%	-4.8%	-34.9%	-17.1%	-3.3%	1.5%	5.0%
Defense, Space and Security	5.8%	-15.3%	-7.1%	-22.6%	-0.5%	2.5%	5.0%	7.0%
Global Services	12.4%	15.5%	17.4%	18.1%	64.4%	17.9%	18.0%	18.2%
Boeing Capital	0.0%	-	-	-	-	-	-	-
Segment Operating Margin	**-4.5%**	**-4.7%**	**-0.1%**	**-14.7%**	**7.0%**	**3.2%**	**5.6%**	**8.0%**
Earnings From Operations Margin	**-4.6%**	**-5.3%**	**-1.0%**	**-16.1%**	**4.8%**	**1.5%**	**4.0%**	**6.5%**

Source: Company data and Jefferies estimates

BA: Annual Cash Flow Statement

$MM except per share data	2021	2022	2023	2024	2025	2026E	2027E	2028E
Operating Activities								
Net Income	($4,290)	($5,053)	($2,242)	($11,829)	$2,238	($1,169)	$1,991	$5,522
Depreciation & Amortization	2,144	1,979	1,861	1,836	1,953	2,376	2,474	2,562
Pension	(972)	(1,378)	(1,049)	(959)	(593)	(88)	(600)	(600)
Deferred Taxes	733	1,347	44	(567)	115	(20)	0	0
Other, net	5,707	2,447	2,252	6,681	(2,124)	1,314	2,000	2,000
Working Capital								
Change in Receivables	(1,299)	148	193	(97)	(772)	(723)	145	(214)
Change in Inventories	(1,127)	420	(1,681)	(12,353)	(1,501)	(828)	3,451	2,790
Change in Payables	(3,783)	838	1,672	(793)	724	1,439	410	662
Change in Accrued Liabilities	(3,687)	2,956	779	1,563	1,341	(920)	(833)	(500)
Change in Advances	2,505	108	3,365	4,069	(723)	5,543	1,473	95
Change in Other W/C	653	(300)	766	369	407	0	250	250
Cash Flow from Operations	**($3,416)**	**$3,512**	**$5,960**	**($12,080)**	**$1,065**	**$6,924**	**$10,761**	**$12,567**
Investing Activities								
Net Capital Expenditures	($980)	($1,222)	($1,527)	($2,230)	($2,942)	($4,025)	($4,027)	($3,749)
Acquisitions	523	35	(43)	(1)	(1,166)	3	0	0
Investments	9,776	5,568	(709)	(9,113)	(5,310)	5,646	0	0
Other, net	5	(11)	(158)	(629)	9,917	(12)	0	0
Cash Flow from Investing	**$9,324**	**$4,370**	**($2,437)**	**($11,973)**	**$499**	**$1,612**	**($4,027)**	**($3,749)**
Financing Activities								
Net Change in Debt	($5,576)	($1,276)	($5,141)	$1,488	($3,456)	($8,899)	($3,652)	($1,600)
Share Repurchases	0	0	0	23,857	0	0	0	0
Dividends Paid	0	0	0	0	(331)	(345)	(345)	0
Other, net	(24)	10	(346)	(136)	24	0	0	0
Cash Flow from Financing	**($5,600)**	**($1,266)**	**($5,487)**	**$25,209**	**($3,763)**	**($9,244)**	**($3,997)**	**($1,600)**
Net Change in Cash	**$269**	**$6,543**	**($1,934)**	**$1,109**	**($2,159)**	**($706)**	**$2,737**	**$7,218**
Beginning Cash	$7,835	$8,104	$14,647	$12,713	$13,822	$11,663	$10,957	$13,694
Ending Cash	**$8,104**	**$14,647**	**$12,713**	**$13,822**	**$11,663**	**$10,957**	**$13,694**	**$20,912**
FCF	**($4,396)**	**$2,290**	**$4,433**	**($14,310)**	**($1,877)**	**$2,899**	**$6,734**	**$8,818**
FCF Per Share	($7.48)	$3.85	$7.31	($22.11)	($2.46)	$3.66	$8.35	$10.46
EBITDA	**($726)**	**($1,540)**	**$1,088**	**($8,871)**	**$6,234**	**$3,876**	**$7,050**	**$10,698**

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

Beta Technologies (BETA)

Buy | Price Target: $29

Valuation Method	Price	Assumptions
EV/Sales	29	5.5x EV/Sales on 2028 Sales of $1,125MM
Price Target	**$29**	

Valuation Table

	Ticker	JEF Rating	Stock Px 7/28/2026	Consensus BUY Rating	Market Cap	Enterprise Value	P/E 2027E	P/E 2028E	P/E 2029E	EV / SALES 2027E	EV / SALES 2028E	EV / SALES 2029E	EV / EBITDA 2027E	EV / EBITDA 2028E	EV / EBITDA 2029E
Archer Aviation	ACHR	N/C	$4.76	67%	4,045	2,342	NM	NM	NM	27.3x	4.0x	1.6x	NM	NM	48.6x
Eve Holding	EVEX	Buy	$2.39	67%	1,087	1,008	NM	NM	NM	104.9x	2.9x	1.8x	NM	NM	NM
Joby Aviation	JOBY	N/C	$7.11	18%	7,642	5,877	NM	NM	NM	24.7x	13.8x	6.7x	NM	NM	NM
Vertical Aerospace	EVTL	N/C	$1.36	63%	181	199	NM	NM	NM	NM	2.9x	1.1x	NM	NM	NM
VTOL Average				**54%**			**NM**	**NM**	**NM**	**52.3x**	**6.1x**	**2.8x**	**NM**	**NM**	**48.6x**
Airbus	AIR-FR	Hold	$211.10	74%	164,920	162,805	24.5x	19.7x	16.8x	1.8x	1.6x	1.5x	13.2x	11.2x	10.3x
Boeing	BA	Buy	$214.33	74%	168,953	196,522	51.1x	26.4x	17.1x	1.8x	1.6x	1.5x	22.9x	16.1x	12.1x
Embraer	EMBJ-U	N/C	$67.55	100%	11,218	12,048	18.4x	16.0x	NM	1.3x	1.2x	1.1x	10.2x	9.2x	8.4x
Textron	TXT	Buy	$89.10	44%	16,920	19,115	12.2x	11.0x	10.7x	1.2x	1.1x	1.1x	9.6x	9.0x	8.6x
CTOL Average				**73%**			**26.5x**	**18.3x**	**14.8x**	**1.5x**	**1.4x**	**1.3x**	**14.0x**	**11.4x**	**9.9x**
Ampirus Technologies	AMPX	N/C	$9.05	100%	1,526	1,463	143.7x	26.0x	NM	7.0x	4.0x	2.7x	63.3x	22.6x	14.0x
GE Aerospace	GE	Buy	$361.59	81%	378,550	392,891	40.0x	35.2x	31.8x	7.1x	6.5x	6.1x	28.9x	25.7x	23.6x
Battery/Motor Average				**90%**			**91.8x**	**30.6x**	**31.8x**	**7.1x**	**5.2x**	**4.4x**	**46.1x**	**24.1x**	**18.8x**
AIRO Group Holdings	AIRO	N/C	$6.82	67%	228	174	NM	NM	NM	1.0x	0.6x	0.6x	NM	NM	NM
Bristow Group	VTOL	N/C	$46.15	100%	1,421	1,807	8.7x	7.5x	NM	1.0x	1.0x	NM	5.3x	4.8x	NM
Forward Air Corp.	FWRD	Buy	$15.00	40%	481	2,071	NM	NM	NM	0.8x	NM	NM	6.9x	NM	NM
Rivian	RIVN	Hold	$16.19	50%	25,889	24,858	NM	NM	NM	2.1x	1.5x	0.9x	NM	96.7x	8.4x
Strata Medical	SRTA	N/C	$5.12	100%	443	407	NM	NM	NM	1.3x	NM	NM	11.2x	NM	NM
Ancillary Average				**71%**			**8.7x**	**7.5x**	**NM**	**1.3x**	**1.0x**	**0.7x**	**7.8x**	**50.7x**	**8.4x**
Group Average							**42.4x**	**18.8x**	**23.3x**	**15.5x**	**3.4x**	**2.3x**	**22.6x**	**28.7x**	**21.4x**
BETA Technologies	**BETA**	**Hold**	**$17.06**		**4,491**	**3,082**	**NM**	**NM**	**NM**	**7.6x**	**2.7x**	**1.1x**	**NM**	**NM**	**NM**
Discount / Premium							-	-	-	**-51%**	**-20%**	**-51%**	-	-	-

Featured Notes:

- Plugging In eiPP & Pulling Fwd Commercialization | *May 15, 2026*
- Finding Another Pearl in Their Shell | *Mar 9, 2026*
- Upgrade to Buy: Oppty Arises with Near-Term Catalysts & Recent Risk-Off Trading | *Feb 24, 2026*

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

Source: Company data, Jefferies estimates, FactSet

BETA: A Modular Product Portfolio w/ Vast End Market Use Cases

ALIA CX300 CTOL Aircraft



ALIA CX300 CTOL Aircraft



- Beta has two primary ALIA aircraft variants, including a conventional takeoff and landing (CTOL, the ALIA CX300) and vertical takeoff and landing (VTOL, the ALIA 250) variant, while manufacturing key proprietary components including the propellors, motors, flight controls, and battery packs that power the aircraft.
- Both the CTOL and VTOL variants will be available in either passenger or cargo configurations, with the former including space for four passengers plus 1-2 pilots on board, while the latter trades the additional seating for 200 cubic ft of freight capacity (~1.2k lb payload).
- The two variants also share significant overlap, with about 80%+ parts commonality, allowing for the assembly lines to easily support both types simultaneously. With current capacity to produce ~300 aircraft per year, the assembly lines are 100% fungible between the CTOL and VTOL.

Source: Company data and Jefferies estimates

BETA: GSE Infrastructure Build Out Supports Broader Adoption of Beta Solutions

Beta Charging Network - Over 50 Sites Online, With Another 30+ In Progress



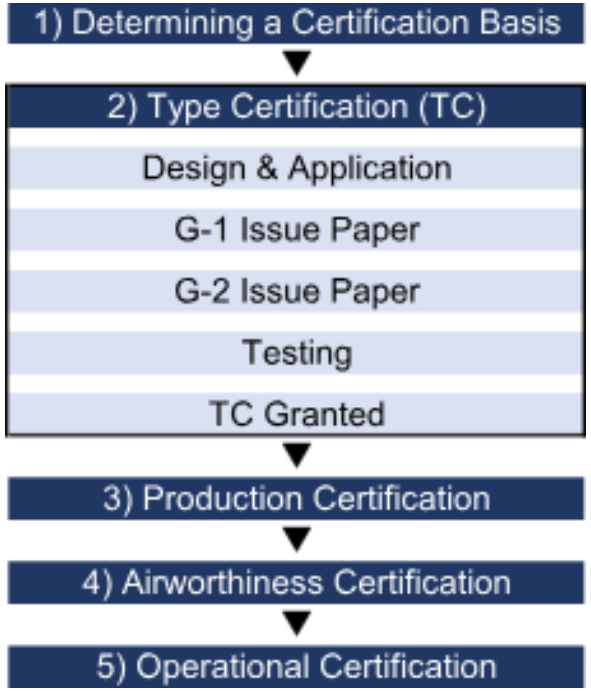
- Today, Beta has a network of 52 active charging sites across the US, with another 30 planned (plus two in Abu Dhabi), bringing the network to 84 sites in all.
- Of the active sites, only 12 have been funded by Beta, with the remainder (76%) customer funded. Over time, the portion of customer-funded chargers should only grow, given many of those funded by Beta were among the first sites established as an investment to showcase the performance of the aircraft and chargers to potential customers.

Source: OMB and Jefferies estimates

BETA: Understanding the Certification Challenge

- Generally, the process starts with the company and the FAA determining a basis or framework for certification, which lines up the steps that will need to be followed for compliance purposes. Then begins the actual type certification process, which starts with finalizing the design of the aircraft and filing a formal application for type certification itself.
- From there, the company will pursue its G-1 Issue paper. Here, the parties discuss which specific regulations must be adhered to in order to receive certification, assuming all requirements set forth are met.
- After that comes the G-2 paper, which decides exactly how the OEM will demonstrate compliance with the requirements in the G-1 Issue Paper.
- The last step is to conduct the tests outlined in the G-2 to showcase compliance, the completion of which results in the type certification approval.
- Beta's CX300 CTOL will follow this process quite closely under regular plane Part 23, with select special requirements for its electric technologies, many of which are already underway

Industry Process for Certifying a New Aircraft With the FAA in the US

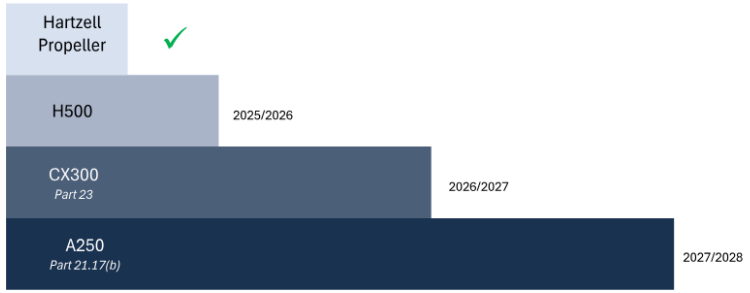


Source: OMB and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

BETA: Understanding the Certification Challenge

Beta's Layered Approach to Type Certification
Targets eVTOL A250 Approval by Early 2028



A250: SFAR published in 2024, classifying eVTOLs as special class, "powered-lift" aircraft that must comply to select Part 23, 25, and 33 requirements, plus special conditions. FAA published an Advisory Circular (AC 21.17-4) that offers guidance for how eVTOLs can satisfy the requirements for type, production, and airworthiness certification. Closed G-1 around mid-2025, laying the foundation for TC compliance & testing thereafter. Expect to begin detailed design standards development as part of G-2 process later this year

Begin developing certification plans and initial testing in 2026-2027. Aiming for flight tests to begin in ~2027. Targeting TC award at the end of 2027 or early 2028.

H500 Motor: The Hartzell propeller directly linked to the H500 has already received certification in July 2025. FAA has approved test plans & beginning of testing. Certification testing has begun. Targeting TC award at the end of 2025 or early 2026

CX300: Expects the FAA to approve certification plans early in 2026. FAA Certification Flight Testing to begin soon after. Targeting TC award at the end of 2026 or early 2027.

Source: OMB and Jefferies estimates

BETA: Revenue Growing at 120% CAGR from 2027E to 2030E, with Growing Installed Base Creating a Flywheel into Next Decade

Beta Revenue Build - Aircraft Sales Drive Revenues Through End of the Decade (+4X CAGR From '25-'30E) Before Battery/Motor Aftermarket Inflection on Larger Installed Base, Accelerating in 2030+ ($MM)

Revenue Build	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
Aircraft			$0	$0	$335	$1,006	$2,491	$3,798
Battery			$0	$0	$0	$0	$45	$102
Motor			$4	$5	$2	$15	$26	$59
GSE			$7	$12	$48	$85	$166	$220
Other			$24	$25	$23	$19	$20	$26
Total Revenue	**$15**	**$15**	**$36**	**$42**	**$408**	**$1,125**	**$2,748**	**$4,205**

Revenue Mix	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
Aircraft			0%	0%	82%	89%	91%	90%
Battery			0%	0%	0%	0%	2%	2%
Motor			12%	11%	1%	1%	1%	1%
GSE			19%	29%	12%	8%	6%	5%
Other			69%	60%	6%	2%	1%	1%
Total Revenue			**100%**	**100%**	**100%**	**100%**	**100%**	**100%**

Revenues Y-o-Y	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
Aircraft				NM	NM	200%	148%	52%
Battery				NM	NM	NM	NM	129%
Motor				8%	-48%	528%	73%	128%
GSE				79%	290%	77%	96%	33%
Other				2%	-8%	-15%	5%	26%
Total Revenue		**-2%**	**136%**	**18%**	**874%**	**176%**	**144%**	**53%**

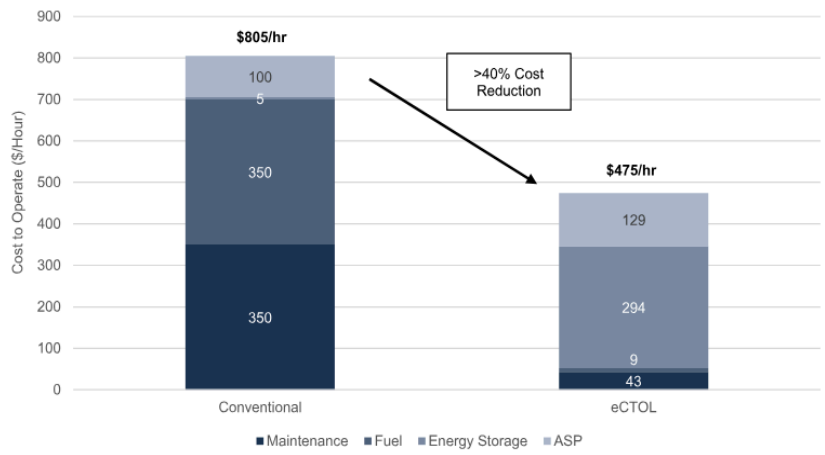
- BETA revenues in Q1:26 were $10.1MM, up 128% y-o-y from $4.4MM in Q1:25. This was driven by Service revenues +$2.1MM or +29% y-o-y on engineering and consulting services contracts, offset by Product revs down $1.5MM (-61% y-o-y) on fewer motor/battery delivs vs last yr, offset by $0.8MM of new GSE business

- BETA guided to 2026 revenues of $39-43MM, up ~15% y-o-y at the midpoint, driven by the continued ramp of strategic partnerships that were established in 2025, including the agreement with EVEX, RTX, and GD. Revenues inflect to over $400MM by 2027 on initial aircraft sales. From the first aircraft deliveries in 2027 to the end of the decade, revenues should grow at a near 120% CAGR with the scale of the CX300, introduction of the ALIA 250, and launch of a military VTOL. Aircraft revenues (excluding components, GSE, other) should grow at a 125% CAGR from 2027E to 2030E.

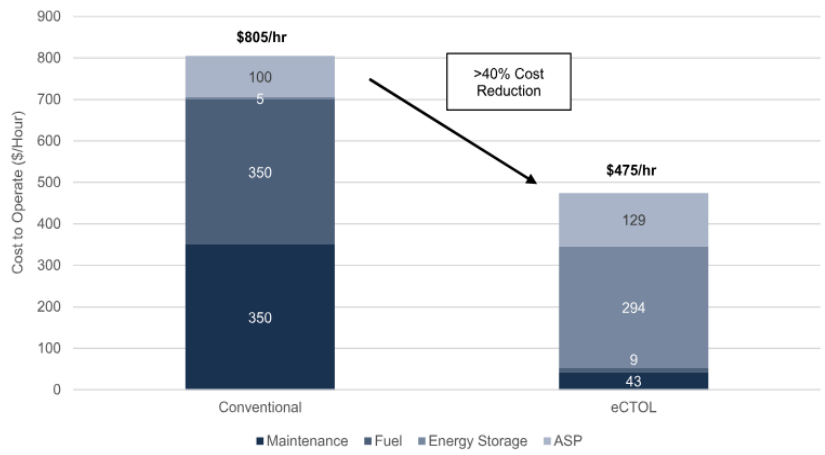
Source: Company data and Jefferies estimates

BETA: Cost Advantages Unlocks Significant Market Opportunity

CX300 Comes in With 29% Higher ASP, More than Offset by 51% Lower Operating Costs, For 41% Net Improvement on Lifetime Cost on $/Hour Basis



eVTOL Lifetime Cost Savings vs H145 Helicopter - 75% Total Savings Including 72% on Operating Cost and 82% on Upfront ASP



- For Beta, its aircraft are designed to serve passenger, cargo, and military applications. Both variants have the flexibility to configure with either two pilots and four pax for people transport, or two pilots and 200 cubic feet of space for cargo. The aircraft are largely taking on the legacy fleet of aircraft designed for short- and mid-range applications, including turboprop aircraft and helicopters.
- Importantly, the use of electric power offers significant cost savings versus traditional aircraft, requiring lower maintenance and no fuel, offset by very modest electricity costs. Compared to legacy conventional aircraft, the CX300 CTOL offers about 51% lower operating costs. Meanwhile, the VTOL offers up to 75% operating cost savings over the life of the aircraft, making both appear very attractive for operators once the technology is available.

Source: Company data and Jefferies estimates

BETA: Annual Income Statement

$MM except per share data	2023		2024		2025		2026E		2027E		2028E		2029E		2030E	
	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales
Total Revenues	**$15.4**		**$15.1**		**$35.6**		**$41.9**		**$407.8**		**$1,124.9**		**$2,748.2**		**$4,205.1**	
COGS	2.0	13.2%	4.5	29.9%	9.9	27.8%	16.8	40.0%	431.5	105.8%	1,039.4	92.4%	2,283.8	83.1%	3,019.2	71.8%
Gross Profit	**$13.3**	**86.8%**	**$10.6**	**70.1%**	**$25.7**	**72.2%**	**$25.1**	**60.0%**	**($23.7)**	**-5.8%**	**$85.5**	**7.6%**	**$464.5**	**16.9%**	**$1,185.8**	**28.2%**
Selling, General & Admin Expenses	$61.6	401.3%	$75.9	502.8%	$138.5	388.8%	$200.0	477.4%	$230.3	56.5%	$293.2	26.1%	$451.7	16.4%	$545.3	13.0%
R&D	138.3	900.4%	206.9	1371.0%	259.9	729.7%	345.0	823.6%	248.4	60.9%	230.7	20.5%	241.8	8.8%	261.7	6.2%
Other	0.0	0.0%	0.0	0.0%	0.0	0.0%	0.0	0.0%	0.0	0.0%	0.0	0.0%	0.0	0.0%	0.0	0.0%
Total Operating Expenses	**$199.9**	**1301.7%**	**$282.8**	**1873.8%**	**$398.4**	**1118.6%**	**$545.0**	**1301.0%**	**$478.7**	**117.4%**	**$523.9**	**46.6%**	**$693.5**	**25.2%**	**$807.0**	**19.2%**
Operating Profit	**($186.6)**	**-1214.9%**	**($272.2)**	**-1803.7%**	**($372.7)**	**-1046.3%**	**($519.9)**	**-1241.0%**	**($502.4)**	**-123.2%**	**($438.4)**	**-39.0%**	**($229.0)**	**-8.3%**	**$378.8**	**9.0%**
Interest Expense, Net	12.0		(2.9)		7.2		33.0		5.0		(28.0)		(27.3)		(26.5)	
Other (Expense) / Income, Net	0.0		0.0		(379.6)		13.0		8.9		0.0		0.0		15.0	
Pre-Tax Income (Loss)	**(174.5)**		**(275.1)**		**(745.1)**		**(473.9)**		**(488.5)**		**(466.4)**		**(256.3)**		**367.4**	
Taxes	1.0		0.5		0.8		0.0		0.0		0.0		0.0		9.2	
Other Adjustments	0.0		(7.0)		(217.4)		0.0		0.0		0.0		0.0		0.0	
Adj. Net Income	**($175.6)**	**-1143.2%**	**($282.6)**	**-1872.8%**	**($963.2)**	**-2704.5%**	**($473.9)**	**-1131.2%**	**($488.5)**	**-119.8%**	**($466.4)**	**-41.5%**	**($256.3)**	**-9.3%**	**$358.2**	**8.5%**
Operating Income	**($186.6)**		**($272.2)**		**($372.7)**		**($519.9)**		**($502.4)**		**($438.4)**		**($229.0)**		**$378.8**	
(+) D&A	8.6		16.5		22.0		25.3		26.9		32.0		37.4		40.8	
(+) Stock-based Compensation	9.0		12.1		34.8		93.0		110.0		128.0		152.0		155.0	
(+) Other Adjustments	0.0		0.0		11.7		0.0		0.0		0.0		0.0		0.0	
Adjusted EBITDA	**($169.0)**		**($243.7)**		**($304.1)**		**($401.6)**		**($365.5)**		**($278.4)**		**($39.6)**		**$574.6**	
% Margin	-1100.4%		-1614.4%		-853.9%		-958.6%		-89.6%		-24.7%		-1.4%		13.7%	

Source: OMB and Jefferies estimates

BlackSky (BKSY)

Hold | Price Target: $50

Valuation Method	Price	Assumptions
EV/Sales	55	10.0x EV/Sales on 2028 Sales of $231MM
EV/EBITDA	44	32.0x EV/EBITDA on 2028 EBITDA of $59MM
Price Target	**$50**	

Valuation Table

	Ticker	JEF Rating	Stock Px 7/28/2026	Consensus BUY Rating	Market Cap	Enterprise Value	P/E 2026E	P/E 2027E	P/E 2028E	EV / SALES 2026E	EV / SALES 2027E	EV / SALES 2028E	EV / EBITDA 2026E	EV / EBITDA 2027E	EV / EBITDA 2028E	FCF Yield
AeroVironment	AVAV	Buy	$150.66	87%	7,806	7,851	46.4x	33.7x	26.0x	3.6x	3.1x	2.7x	24.3x	19.3x	15.6x	1.9%
Karman	KRMN	N/C	$49.22	92%	6,702	7,484	85.3x	53.4x	38.7x	10.2x	8.0x	6.3x	35.1x	26.5x	20.6x	1.7%
Kratos	KTOS	Buy	$47.38	86%	9,388	7,916	62.0x	44.4x	34.1x	4.5x	3.7x	3.0x	44.6x	32.5x	25.7x	NM
Redwire	RDW	Hold	$8.26	71%	2,281	2,227	NM	NM	NM	4.7x	3.9x	3.4x	NM	450.1x	57.0x	NM
Firefly	FLY	Buy	$18.82	60%	3,615	3,090	NM	NM	NM	7.0x	4.4x	2.9x	NM	NM	307.5x	NM
Intuitive Machines	LUNR	N/C	$12.33	82%	3,037	3,129	NM	3288.0x	37.8x	3.3x	2.7x	2.2x	NM	44.5x	42.1x	0.1%
Planet Lab	PL	N/C	$19.86	60%	8,421	8,137	NM	NM	173.8x	18.7x	14.3x	10.9x	NM	144.2x	65.8x	0.6%
Rocket Lab	RKLB	N/C	$62.66	86%	44,828	43,445	NM	NM	200.7x	47.3x	33.0x	24.2x	NM	335.9x	141.7x	NM
Voyager	VOYG	Buy	$25.39	82%	2,109	1,727	NM	NM	NM	7.2x	4.6x	2.3x	NM	NM	NM	NM
Average				78%			**64.6x**	**854.9x**	**85.2x**	**11.8x**	**8.7x**	**6.4x**	**34.7x**	**150.4x**	**84.5x**	**1.1%**
BlackSky	**BKSY**	**Hold**	**$21.48**		**1,001**	**1,086**	**NM**	**NM**	**NM**	**5.9x**	**5.9x**	**4.7x**	**60.0x**	**27.8x**	**18.4x**	**NM**
Discount / Premium							**NM**	**NM**	**NM**	**-50%**	**-32%**	**-27%**	**73%**	**-82%**	**-78%**	**NM**

Featured Notes:

- Downgrade to Hold: Run-up In Shares Casts Some BlackSky Over the BlueSky | *June 1, 2026*
- Skies Starting to Clear as International Kicks In | *Mar 4, 2026*
- Initiate at BUY: Blue Skies Ahead for BlackSky On Sat Refresh/Int'l Penetration | *Dec 22, 2025*

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

Source: Company data, Jefferies estimates, FactSet

BKSY: Unsustainable Multiple Expansion and Laying Out the Bull Case

Upside Scenario - Limited Near Term Upside

	2026	CAGR	2030
Revenue ($MM)	**$150**	**30%**	**$428**
EBITDA ($MM)	**$24**		**$171**
EBITDA Margin	16%		40%
Current EV	**$1,937**		
EV/Sales Multiple	12.9x		6.0x
EV/Sales Implied EV			**$2,570**
Shares (MM)	36.2		36.2
Future Stock Price			$71.10
Discount Factor Back			6%
Current Value			**$56.32**

BlackSky Up 159% YTD on 2X+ Multiple Expansion 12/31/2025-5/29/2026

	12/31/2025	5/29/2026	YTD Performance	12/31/2025	5/29/2026
RDW	$7.60	$24.57	223%	3.8x	8.8x
LUNR	$16.23	$43.83	170%	7.7x	7.2x
PL	$19.72	$51.14	159%	15.8x	31.0x
BKSY	$18.75	$48.47	159%	5.1x	10.5x
FLY	$22.37	$46.49	108%	5.8x	9.9x
VOYG	$26.14	$49.53	89%	5.1x	8.2x
AVG			**151%**	**7.2x**	**12.6x**
SP50	**$6,846**	**$7,580**	**11%**	**3.8x**	**3.7x**

- In our view BKSY has the potential to be a steady high growth performer. While the introduction of large TAMs (Space X $26.5BB for AI) have been brought to light, they don't translate to the whole space industrial complex.
- BlackSky is a beneficiary of AI as it is a key enabler of its offering, but it is an unlock, rather than a driver. In 2026, we est. BlackSky generates $144MM (+35%) of rev broken out across Space-Based Intelligence & AI Services (70% of sales), Mission Solutions (15% of sales), and Advanced Technology Programs (15%).

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

BKSY: 20%+ Revenue CAGR Driven by Gen 3 and Growing International Penetration

Backlog, Gen-3 and International Growth Support 25% CAGR Through 2030

	2023	2024	2025E	2026E	2027E	2028E	2029E	2030E	5 Year CAGR
Revenue	**$94**	**$102**	**$107**	**$144**	**$185**	**$231**	**$291**	**$367**	**28%**
Gowth %		*8.0%*	*4.4%*	*35.3%*	*28.0%*	*25.3%*	*25.8%*	*26.2%*	
Gross Profit	**$61**	**$75**	**$71**	**$103**	**$136**	**$171**	**$217**	**$276**	**31%**
Margin	*64.2%*	*73.1%*	*66.9%*	*71.2%*	*73.4%*	*74.1%*	*74.7%*	*75.2%*	
SG&A	$73	$74	$87	$99	$107	$123	$122	$128	**8%**
% of Sales	*76.8%*	*72.6%*	*82.0%*	*69.0%*	*58.0%*	*53.0%*	*42.0%*	*35.0%*	
R&D	$1	$1	$0	$1	$1	$2	$2	$3	**47%**
% of Sales	*0.7%*	*1.3%*	*0.4%*	*0.8%*	*0.8%*	*0.8%*	*0.8%*	*0.8%*	
Op Income	**($56)**	**($44)**	**($47)**	**($35)**	**($11)**	**$8**	**$54**	**$106**	**N/A**
Margin	*-59.2%*	*-43.4%*	*-44.0%*	*-24.4%*	*-6.0%*	*3.6%*	*18.5%*	*28.8%*	
Adj. EBITDA	**($1)**	**$12**	**$1**	**$18**	**$39**	**$59**	**$105**	**$157**	**181%**
Margin	*-1.1%*	*11.4%*	*0.8%*	*12.6%*	*21.1%*	*25.5%*	*36.0%*	*42.7%*	
OCF	($17)	($6)	($28)	$10	$25	$46	$77	$120	
Capex	($44)	($50)	($47)	($59)	($50)	($51)	($58)	($59)	
FCF	**($61)**	**($57)**	**($75)**	**($49)**	**($25)**	**($5)**	**$18**	**$61**	

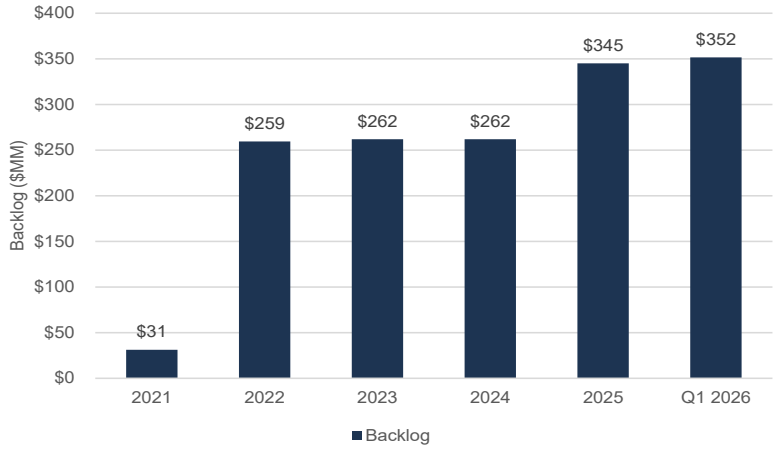
- BlackSky Technology was founded in 2014 as a space-based intelligence company delivering imagery and analytics to support US and international governments and commercial customers.
- From a revenue perspective, BlackSky has targeted 20-30% annual growth, which is supported by backlog and growing demand, particularly on the international side of the business.
- On that basis, BlackSky is guiding to $6 to $18MM of Adj EBITDA in 2026 which at the mdpt implies ~9% margins. This follows ~breakeven adj EBITDA in 2025 which was driven by $8.8MM in adj EBITDA in Q4:25 (25% margin) on higher revs (+16% y-o-y) and continued cost management (cash opex +5% y-o-y), offsetting adj EBITDA losses of -$7.9MM from Q1:25-Q3:25. BlackSky was profitable in 2024 w/ $11.6MM (11.4% margin) in adj EBITDA with the step back in profitability in 2025 mostly due to the consolidation of LeoStella combined with lower EOCL volumes.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

BKSY: 20%+ Revenue CAGR Driven by Gen 3 and Growing International Penetration

Post Q1 Booking Brings Backlog to $380MM with 75% of Full Year Revenues in Backlog



- BlackSky has booked to date contracted value of $2.4BB which doesn't necessarily show up in backlog. Key contracts include the Electro Optical Commercial Layer EOCL contract at $1BB+ over ten years, the Luno A & B contract at up to $490MM over 5 years, NASA's rapid-revisit satellite imagery multi-year at $476MM along with AFRL moving target engagement services at $24MM over multi-years.
- On the international side, flagship contracts have included a $180MM+ multi-year contract for high-frequency imagery and analytics for an International Ministry of Defense, $150MM+ multi-year for high frequency imagery and analytics for an International Ministry of Defense along with a $50MM multi-year contract from Indonesia for strategic and tactical ISR
- The typical alignment sees 60 to 70% of annual sales in the backlog at the beginning of the year. This means that BlackSky typically has to win / go after a third of the remaining annual sales.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

BKSY: 20%+ Revenue CAGR Driven by Gen 3 and Growing International Penetration

Higher Margin Imagery Should Continue To Lead on Gen-3 Rollout

	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
Net Income (Loss)	($47.7)	($245.6)	($74.2)	($53.9)	($57.0)	($70.3)	($55.8)	($21.7)	($3.2)	$39.5	$85.8
Interest Income	0.0	0.0	(1.1)	(2.1)	(1.6)	(3.8)	(4.0)	(4.0)	(4.0)	(4.0)	(4.0)
Interest Expense	5.2	5.2	5.4	9.3	12.2	14.9	16.4	15.8	15.8	15.8	15.8
Income Tax Expense	0.0	0.0	0.0	0.7	0.7	0.1	0.0	(1.1)	(0.2)	2.5	8.0
D&A	9.8	14.3	35.7	43.4	43.5	30.3	37.2	38.1	38.5	38.8	39.1
Stock-Based Compensation Expense	2.0	42.6	20.0	10.9	11.2	14.2	16.0	12.0	12.0	12.0	12.0
Loss (gain) on derivatives	0.6	(23.9)	(11.8)	(7.7)	2.8	12.2	8.2	0.0	0.0	0.0	0.0
Non-recurring transaction costs	0.0	0.0	0.0	0.0	0.5	1.6	0.0	0.0	0.0	0.0	0.0
Severance	0.0	0.0	1.2	0.6	0.2	0.6	0.1	0.0	0.0	0.0	0.0
Litigation, settlement and related costs	0.0	0.0	0.0	0.0	0.4	0.6	0.0	0.0	0.0	0.0	0.0
Impairment and asset disposals / other	1.0	163.0	(4.7)	(2.3)	(1.3)	0.4	0.0	0.0	0.0	0.0	0.0
Adjusted EBITDA	**($29.2)**	**($44.4)**	**($29.5)**	**($1.0)**	**$11.6**	**$0.9**	**$18.1**	**$39.0**	**$58.9**	**$104.7**	**$156.7**
% Margin	-138.2%	-130.4%	-45.1%	-1.1%	11.4%	0.8%	12.6%	21.1%	25.5%	36.0%	42.7%
Incremental EBITDA Margins			47.8%	97.6%	166.6%	-239.6%	45.8%	51.8%	42.6%	76.9%	68.2%

- We expect majority of the growth on the imagery and software side, but the engineering business does provide additional optionality and a more hardware/customized solution. Typically, the two segments could work together such as with international contract where BlackSky delivers satellites, but also the core imagery product.
- Sales tend to be weighted to the US Federal Government and Agencies, but this has been leveling out with the USG/International split closer to 50/50. International is growing in size, contributing 12% of sales in 2021 to 37% in 2024 and has contributed ~47% of sales YTD. International has continued to expand as BlackSky has signed new international contracts but also expanded prior agreements. Gen-3 has been a catalyst in driving increased backlog coverage. There has also been the rise of dual use agreements with BlackSky supporting internal capability with purpose build satellites while still providing imagery delivery from their own constellations with customers such as India and Indonesia.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

BKSY: Income Statement

$MM except per share data	2024		2025		2026E		2027E		2028E		2029E		2030E	
	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales
Total Revenues	**$102.1**		**$106.6**		**$144.2**		**$184.6**		**$231.3**		**$290.8**		**$367.1**	
COGS	27.4	26.9%	35.3	33.1%	41.5	28.8%	49.0	26.6%	59.9	25.9%	73.7	25.3%	91.0	24.8%
Gross Profit	**$74.7**	**73.1%**	**$71.3**	**66.9%**	**$102.7**	**71.2%**	**$135.6**	**73.4%**	**$171.3**	**74.1%**	**$217.2**	**74.7%**	**$276.1**	**75.2%**
Selling, General & Admin Expenses	$74.1	72.6%	$87.4	82.0%	$99.5	69.0%	$107.1	58.0%	$122.6	53.0%	$122.1	42.0%	$128.5	35.0%
R&D	1.3	1.3%	0.4	0.4%	1.2	0.8%	1.5	0.8%	1.9	0.8%	2.3	0.8%	2.9	0.8%
D&A	43.5	42.6%	30.3	28.5%	37.2	25.8%	38.1	20.6%	38.5	16.6%	38.8	13.3%	39.1	10.7%
Total Operating Expenses	**$119.0**	**116.5%**	**$118.2**	**110.9%**	**$137.8**	**95.6%**	**$146.7**	**79.4%**	**$162.9**	**70.4%**	**$163.3**	**56.1%**	**$170.5**	**46.5%**
Operating Profit	**($44.3)**	**-43.4%**	**($46.9)**	**-44.0%**	**($35.2)**	**-24.4%**	**($11.1)**	**-6.0%**	**$8.4**	**3.6%**	**$53.9**	**18.5%**	**$105.6**	**28.8%**
Gain (loss) on derivatives	**(2.8)**		**(12.2)**		**(8.2)**		**0.0**		**0.0**		**0.0**		**0.0**	
Interest Income	1.6		3.8		4.0		4.0		4.0		4.0		4.0	
Interest Expense	(12.2)		(14.9)		(16.4)		(15.8)		(15.8)		(15.8)		(15.8)	
Other Income	1.5		0.1		0.0		0.0		0.0		0.0		0.0	
Pre-Tax Income	(56.3)		(70.1)		(55.8)		(22.9)		(3.4)		42.1		93.8	
Taxes	0.7		0.1		0.0		(1.1)		(0.2)		2.5		8.0	
Adj. Net Income	**($57.0)**	**-55.9%**	**($70.3)**	**-65.9%**	**($55.8)**	**-38.7%**	**($21.7)**	**-11.8%**	**($3.2)**	**-1.4%**	**$39.5**	**13.6%**	**$85.8**	**23.4%**
Shares Outstanding	21.4		33.6		36.8		38.8		40.8		42.8		44.8	
Adjusted Diluted EPS	**($2.67)**		**($2.09)**		**($1.52)**		**($0.56)**		**($0.08)**		**$0.92**		**$1.92**	

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

CACI International Inc (CACI)

Hold | Price Target: $510

Valuation Method	Price	Assumptions
EV/EBITDA	490	11.5X our 2027E EBITDA of $1,294MM
P/E	507	16.1X our 2027E EPS of $31.50
FCF Yield	534	6.3% Our 2027E FCF of $752MM
Average	**$510**	**Blended average**

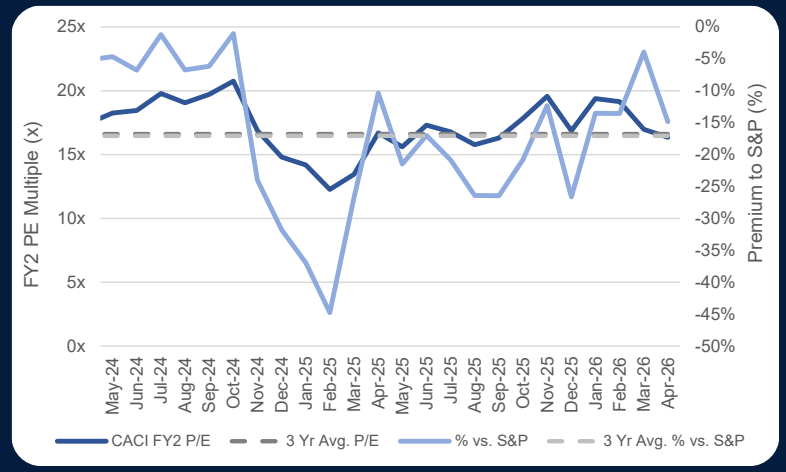
Valuation Table

Peers	Ticker	JEF Rating	Stock Px 8/2/2026	Consensus BUY Rating	Market Cap	Enterprise Value	P/E 2025E	P/E 2026E	P/E 2027E	EV / Sales 2025E	EV / Sales 2026E	EV / Sales 2027E	EV / EBITDA 2025E	EV / EBITDA 2026E	EV / EBITDA 2027E	Yield Dividend	Yield FCF
Leidos Holdings	LDOS	Hold	$115.60	40%	14,541	21,254	9.6x	9.4x	8.8x	1.2x	1.2x	1.1x	8.8x	8.6x	8.3x	1.5%	11.3%
Parsons	PSN	Buy	$44.21	75%	4,722	6,225	13.9x	16.5x	12.7x	1.0x	1.0x	0.9x	10.2x	10.9x	9.1x	0.0%	9.7%
SAIC	SAIC	Hold	$117.13	18%	4,952	7,717	11.0x	11.5x	10.7x	1.1x	1.1x	1.1x	10.9x	10.5x	10.3x	1.3%	11.4%
Average Services				38%			**11.4x**	**12.0x**	**10.7x**	**1.1x**	**1.1x**	**1.0x**	**9.9x**	**9.9x**	**9.3x**	**1.5%**	**11.1%**
Northrop Grumman Corporation	NOC	Hold	$542.48	67%	77,066	91,994	20.6x	20.6x	18.8x	2.2x	2.2x	2.1x	15.4x	14.9x	13.9x	1.7%	4.4%
Raytheon Technologies	RTX	Buy	$215.22	67%	290,065	326,093	34.2x	34.2x	29.8x	3.7x	3.3x	3.0x	23.8x	20.8x	19.1x	1.3%	3.6%
Lockheed Martin Corporation	LMT	Hold	$582.74	40%	134,491	151,418	27.1x	27.1x	19.2x	2.0x	1.8x	1.7x	16.0x	13.4x	12.7x	2.3%	5.0%
General Dynamics Corporation	GD	Buy	$383.42	50%	103,737	110,020	24.8x	24.8x	22.7x	2.1x	2.0x	1.9x	17.4x	16.1x	14.9x	1.6%	4.7%
Average Primes				59%			**26.5x**	**26.5x**	**22.8x**	**2.6x**	**2.3x**	**2.2x**	**17.8x**	**15.9x**	**14.8x**	**1.7%**	**7.9%**
Group Average				53%			**20.9x**	**21.2x**	**18.3x**	**2.0x**	**1.8x**	**1.7x**	**14.9x**	**13.7x**	**12.7x**	**1.4%**	**7.0%**
CACI International	**CACI**	**Hold**	$497.75	79%	10,996	16,491	**17.6x**	**15.8x**	**14.6x**	**1.6x**	**1.6x**	**1.5x**	**14.7x**	**12.7x**	**12.1x**	**0.0%**	**6.8%**
Discount / Premium							**-16%**	**-26%**	**-20%**	**-22%**	**-15%**	**-13%**	**-1%**	**-7%**	**-5%**	**--**	**3%**
Discount / Premium to Services							**55%**	**31%**	**37%**	**45%**	**47%**	**46%**	**49%**	**29%**	**30%**	**--**	**62%**
Discount / Premium to Primes							**-34%**	**-40%**	**-36%**	**-39%**	**-32%**	**-30%**	**-17%**	**-20%**	**-18%**	**--**	**16%**

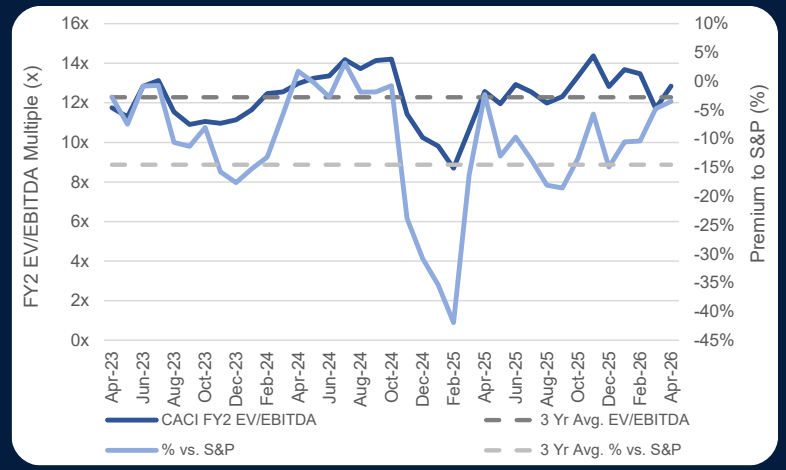
Featured Notes:

- Mgmt Meeting Takes: Countering the IT Services Narrative w/ Durable Growth | *May 26, 2026*
- Building a Noah's ARK(A) | *Apr 26, 2026*
- Saving The Best for Last, Solid Results | *Jan 25, 2026*

Trading at 16.4X FY2 P/E, 15% Disct to Mkt vs. Historical Avg Disct of 17%



Trading at 12.8X FY2 EV/EBITDA, 4% Disct to Mkt vs. Historical Avg Disct of 15%



Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

Source: Company data, Jefferies estimates, FactSet

CACI: FY26 Sales Guide Raised 2% For ARKA, w/ Organic Growth +6.6-7.7% and Adj EPS Guide -2% On Higher Interest

FY27 EPS Sensitivity - Each 1pt of Growth Worth $0.40 to Base EPS of $31.50 (1%), With Each 20bps to Margin Worth $0.72 (2%)

FY27 Adj. EBITDA Margin	FY27 Organic Growth				
$31.50	3.1%	4.1%	5.1%	6.1%	7.1%
11.7%	$28.59	$28.97	$29.35	$29.73	$30.12
11.9%	$29.29	$29.68	$30.07	$30.46	$30.85
12.1%	$29.99	$30.39	$30.78	$31.18	$31.57
12.3%	$30.70	$31.10	**$31.50**	$31.90	$32.30
12.5%	$31.40	$31.81	$32.22	$32.62	$33.03
12.7%	$32.10	$32.52	$32.93	$33.35	$33.76
12.9%	$32.81	$33.23	$33.65	$34.07	$34.49

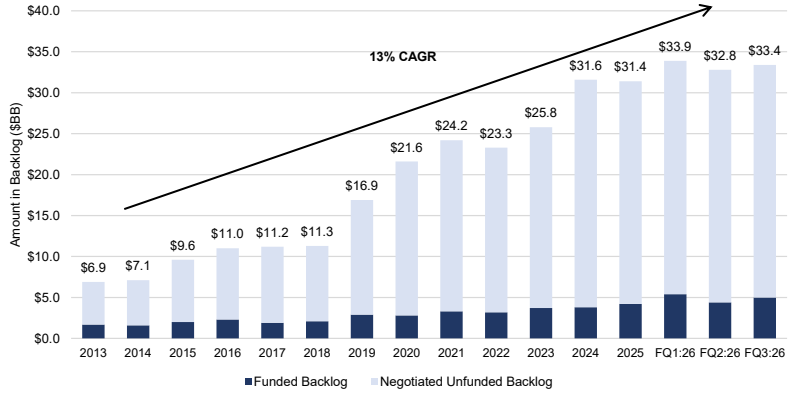
- CACI reported 8.5% growth in FQ3 (6.8% organic), driven by DOD revs up 10% and Fed Civ +7% with Intel +5% and Comm'l & Other up 20% (4% of revs). This put DOD at 55% of total revenues with Intel at 25% and Fed Civ at 16%.
- For FY26, management raised revenue guidance by 2% to $9.5-9.6BB on $150MM incremental revenue from the ARKA acquisition with organic growth guidance narrowed to +6.6-7.7% (from +6.0-8.3% prior).
- FQ3 Adj EBITDA of $290MM was up 14% y-o-y for margins of 12.3%, up 60 bps y-o-y and +50 bps sequentially, supported by favorable mix as well as execution and timing, partially offset by ~$17MM of incremental transaction costs for ARKA (-70bps). For FY26, CACI raised guidance for EBITDA margins by +10 bps to the 11.8-11.9% range, suggesting +60 bps from 11.2% in FY25 at the midpt.
- Adj NI guide was lowered to $615-630MM (from $630-645MM), with Adj. EPS lowered by 2% to $27.70-28.38 (from $28.25-28.92 prior) implied up 4-7% y-o-y.

Source: Company data and Jefferies estimates

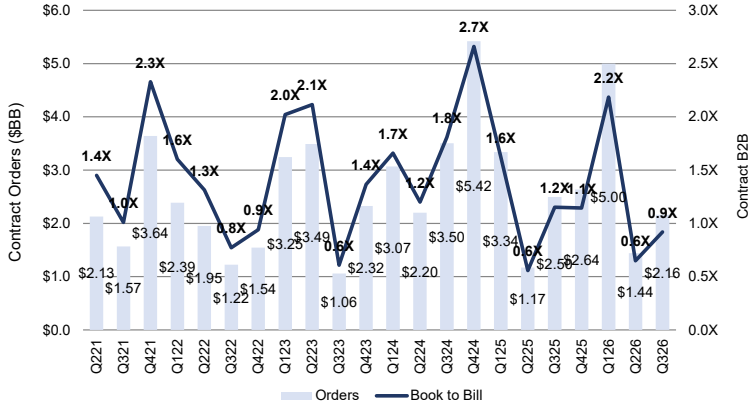
Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

CACI: Bookings of $2.2BB in FQ3:26 B2B at 0.9X, As Backlog +6% Y-o-Y

Backlog has Expanded at a 13% CAGR to $33.4BB in FQ3:26 Aided by Recent Large Technology Awards



Book to Bill of 0.9X in FQ3:26 on $2.2BB of Bookings



- Contract awards totaled $2.2BB in FQ3 (down 13% from $2.5BB a year ago), representing a 0.9X B2B in the quarter (1.2X TTM) and driving total contract award FYTD to $8.6BB. This comes after FY25 contract awards totaled $9.6BB putting FY25 B2B at 1.1X. This provides some visibility, with the average duration of recent awards >6 years. Of the total contract awards to CACI in FQ3:26, ~26% represented new business to CACI. Total backlog grew by 6% y-o-y to $33.4BB, with the funded portion of $5.0BB up 19% and unfunded backlog up 4%. ARKA contributed $835MM (+1 pt) to total backlog and $422MM (+9 pts) to the funded backlog.
- CACI booked three large contracts during FY23 that contributed an est'd 2-pts to FY25 with a gradual ramp for each. Looking to FY26, the programs add about 3.2pts to growth, with NASA NCAPS (takeaway during FY25) and EITaaS leading. Additionally, the company is beginning to see funding related to its CBP BEAGLE contract from the Reconciliation.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

CACI: Bookings of $2.2BB in FQ3:26 B2B at 0.9X, As Backlog +6% Y-o-Y

Organic Growth of 7% in FY26E Supported by Large Ramping Contracts, Including 3Pts From NCAPS, Spectral, and EITaaS

Revenue Build ($MM)	FY23	FY24	FY25	FY26E	FY27E	FY28E	to FY25	to FY26	to FY27	to FY28
Revenue Bridge	**$6,203**	**$6,703**	**$7,660**	**$8,628**	**$9,543**	**$10,493**				
Recompete Loss	(19)	(34)	(27)	(165)	(72)	(79)		-1.9%	-0.8%	-0.8%
Material Pass-through	0	200	(200)	0	0	0				
New Program Wins	**124**	**134**	**153**	**86**	**191**	**210**				
NASA NCAPS	0	0	80	100	70	25	1.0%	1.2%	0.7%	0.2%
DoD Network Mod.	0	0	75	0	0	0	1.0%	0.0%	0.0%	0.0%
FocusedFox	0	325	75	0	0	0	1.0%	0.0%	0.0%	0.0%
GENMOD	0	0	75	25	10	0	1.0%	0.3%	0.1%	0.0%
DIS ECS3	0	0	75	50	20	0	1.0%	0.6%	0.2%	0.0%
Cybersecurity (Intelligence Communi	0	0	60	65	25	0	0.8%	0.8%	0.3%	0.0%
Army Manpack	0	0	60	40	15	0	0.8%	0.5%	0.2%	0.0%
EITaaS	0	50	50	100	40	10	0.7%	1.2%	0.4%	0.1%
Spectral	0	40	30	80	25	15	0.4%	0.9%	0.3%	0.1%
USEUCOM & USAFRICOM	0	0	50	90	30	10	0.7%	1.0%	0.3%	0.1%
Logistics & Sustainment	0	0	25	15	0	0	0.3%	0.2%	0.0%	0.0%
DoD C3	0	0	20	10	0	0	0.3%	0.1%	0.0%	0.0%
TSA IMPACT	(35)	(35)	0	0	0	0	0.0%	0.0%	0.0%	0.0%
JTMS	0	0	0	10	90	30	0.0%	0.1%	0.9%	0.3%
Contract End of Life / On-contract Gr	299	241	(96)	104	45	241		1.2%	0.5%	2.3%
Organic Change	**$370**	**$921**	**$506**	**$610**	**$489**	**$462**				
Acquisition Contribution	130	36	462	305	460	0				
End Revenue	**$6,703**	**$7,660**	**$8,628**	**$9,543**	**$10,493**	**$10,955**				
Y-o-Y % Change	8.1%	14.3%	12.6%	10.6%	10.0%	4.4%				
Y-o-Y % Organic Change	6.0%	10.8%	9.5%	7.1%	5.1%	4.4%				

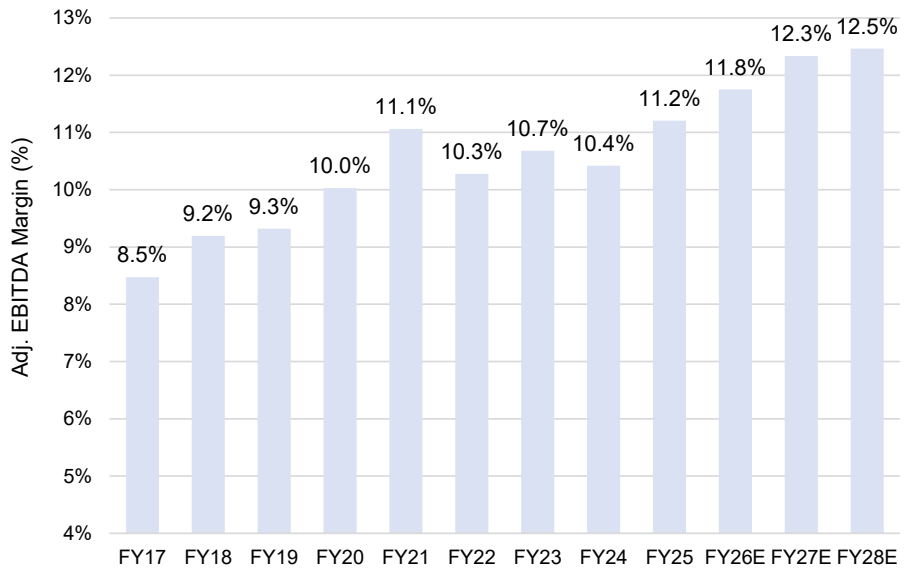
- Notable contract awards in the quarter included:
  - $371MM 2-year contract extension to continue providing support to an IC customer w/ an additional one-year option.
  - $306MM 5-year task order to continue providing software development and sustainment to the Defense Agencies Initiative's (DAI) Global Model for the Defense Logistics Agency (DLA)
  - $287MM 7-year task order to drive the next phase of modernization for the U.S. Army's Integrated Personnel and Pay System – Army (IPPS-A).
  - $231MM base-year task order w/ four option years to deliver near-real-time satellite communications support to the Naval Information Warfare Center (NIWC) Atlantic.
  - $85MM 5-year task order to provide engineering & technical support to ships, submarines, and vehicles for the U.S. Navy Naval Surface Warfare Center (NSWC).

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

CACI: Margins Expanding with M&A Accretion and Technology Mix

CACI Adj. EBITDA Margin - Margins Expected to Expand to Mid 12% Range in the Next Few Years



- FY26 margin guidance was raised 10 bps to the 11.8-11.9% range (from 11.7-11.8%), which compares to 11.2% margin in FY25. FQ3 margins of 12.3% were up 60 bps y-o-y and up 50 bps q-o-q including ~$17MM of incremental transaction costs from ARKA (-70bps) implying the core business was closer to ~13% margins for the quarter.
- CACI has mainly expanded margins organically by shifting from its legacy "Expertise" work, or the more historical consulting type work with billable hours, into the higher-margin "Technology" work, where CACI offers more differentiated software. On the expertise side, CACI can largely use only its customer relationships, quality of people, and past program experience as its differentiating factors, which poses a lower barrier of entry to the market.
- CACI has been able to expand margins healthily over the past 6 years, with 140 bps of expansion just since FY19, supported by the shift in strategy from "expertise" work to "technology" work. CACI has stated Technology margins are typically 300-500 bps higher than Expertise margins, typically higher for high margin technology products. We estimate margins of 11.8% in FY26 with modest increases in the out years.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

CACI: Underlying FCF Stabilizing in the 100% Conversion to Adj NI Range Ex Cash Tax Items

FCF Walk - $727MM of FCF in FY26 with $90MM of Cash Tax Inflow

	FY19	FY20	FY21	FY22	FY23	FY24	FY25	FY26E	FY27E	FY28E
Net Income	$266	$321	$457	$367	$385	$420	$500	$481	$496	$559
Depreciation and Amortization	86	111	125	135	142	142	195	270	350	362
NWC	177	(77)	(173)	(13)	(9)	(64)	(184)	(93)	(124)	(129)
Section 174/Cash Tax Items	0	41	(37)	143	(222)	(75)	(47)	90	50	25
Pension Contributions	0	0	0	0	0	0	0	0	0	0
Stock Comp/Deferred Taxes/Other	27	123	219	114	92	74	83	65	70	75
CFO	**$555**	**$519**	**$592**	**$746**	**$388**	**$497**	**$547**	**$812**	**$842**	**$891**
Capex	(48)	(72)	(73)	(75)	(64)	(64)	(66)	(85)	(90)	(100)
FCF	**$507**	**$446**	**$519**	**$672**	**$324**	**$434**	**$481**	**$727**	**$752**	**$791**
FCF Per Share	**$19.98**	**$17.52**	**$20.77**	**$28.36**	**$13.85**	**$19.21**	**$21.50**	**$32.77**	**$33.60**	**$35.03**
FCF ex-Section 174/MARPA	**$507**	**$446**	**$519**	**$672**	**$546**	**$509**	**$489**	**$637**	**$702**	**$766**
Adj. FCF per Share	**$19.98**	**$17.52**	**$20.77**	**$28.36**	**$23.33**	**$22.53**	**$21.86**	**$28.71**	**$31.37**	**$33.92**
Deployment										
Dividends	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0
Share Repurchases	(6)	(8)	(509)	(10)	(273)	(161)	(169)	(13)	0	0
Debt Paydown	(200)	(263)	(2,961)	(6)	(39)	(156)	(6,816)	2,600	(650)	(200)
Debt Issuance	775	0	3,290	0	0	0	8,209	0	0	0
Acquisitions	(1,083)	(106)	(356)	(616)	(14)	(90)	(1,696)	(2,641)	0	0
Total Deployment	**($514)**	**($377)**	**($536)**	**($632)**	**($326)**	**($408)**	**($471)**	**($54)**	**($650)**	**($200)**
Discretionary FCF (post pension contributions, dividends, and committed debt pay-down)	**$307**	**$183**	**($2,442)**	**$50**	**$271**	**$116**	**$1,706**	**$3,314**	**$102**	**$591**
Ratios										
FCF to Adj Net Income Conversion	169%	122%	102%	159%	74%	91%	81%	116%	107%	103%
FCF Ex-Sec 174 to Adj Net Income Conversio	169%	122%	102%	159%	124%	107%	83%	102%	100%	100%
Adj FCF Yield (FCF / Mkt Cap.)	4.5%	4.0%	4.6%	6.0%	4.9%	4.6%	4.4%	5.7%	6.3%	6.9%
FCF Change YoY	104%	-12%	16%	29%	-19%	-7%	-4%	30%	10%	9%
FCF per Share Change YoY	102%	-12%	19%	37%	-18%	-3%	-3%	31%	9%	8%
Discretionary FCF Yield	2.8%	1.6%	-21.9%	0.4%	2.4%	1.0%	15.3%	29.7%	0.9%	5.3%
Discretionary FCF % Change YoY	305%	-40%	-1431%	-102%	445%	-57%	1368%	94%	-97%	477%
Share Repo as % of Mkt Cap	0%	0%	5%	0%	2%	1%	2%	0%	0%	0%
% of Cash Returned to Shareholders	1%	2%	98%	1%	84%	37%	35%	2%	0%	0%
Capex as a % of Sales	1.0%	1.3%	1.2%	1.2%	1.0%	0.8%	0.8%	0.9%	0.9%	0.9%

- FY26 FCF guidance was maintained at >$725MM despite an $40MM of higher cash interest and transaction cost related to ARKA and $10MM incremental capex (guide now ~$95MM from prior ~$85MM. This implies ~116% conversion to adj NI including a $90MM tailwind from cash taxes ($50MM Sec 174 refund and $40MM tax planning benefit).
- For FY26, we estimate FCF rises to $727MM from $442MM (ex-MARPA).

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

CACI: Income Statement

(millions, except per share data)	2022		2023		2024		2025		2026E		2027E		2028E	
	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales
Total Revenues	**$6,203**	100.0	**$6,703**	100.0	**$7,660**	100.0	**$8,628**	100.0	**$9,543**	100.0	**$10,493**	100.0	**$10,955**	100.0
Costs and expenses														
Costs of Sales	4,051	65.3%	4,403	65.7%	5,148	67.2%	5,836	67.6%	6,465	67.7%	7,100	67.7%	7,431	67.8%
Selling, General & Administrative	1,521	24.5	1,591	23.7	1,720	22.5	1,833	21.2	1,956	20.5	2,099	20.0	2,158	19.7
Depreciation and amortization	135	2.2	142	2.1	142	1.9	195	2.3	270	2.8	350	3.3	362	3.3
Total Operating Costs	**$5,707**	92%	**$6,135**	92%	**$7,010**	92%	**$7,864**	91%	**$8,692**	91%	**$9,549**	91%	**$9,951**	91%
GAAP Operating Profit	**$496**	8.0%	**$568**	8.5%	**$650**	8.5%	**$764**	8.9%	**$851**	8.9%	**$944**	9.0%	**$1,004**	9.2%
Other (income) expense, net	0		0		0		0		0		0		0	
Total Interest	42		84		105		159		220		295		271	
Income before taxes	**$455**		**$484**		**$545**		**$605**		**$632**		**$649**		**$733**	
Taxes (rate %)	88	19.3%	99	20.4%	125	22.9%	106	17.4%	151	23.9%	153	23.6%	175	23.8%
GAAP Net Income	**$367**		**$385**		**$420**		**$500**		**$481**		**$496**		**$559**	
Diluted shares (millions)	23.7		23.4		22.6		22.4		22.2		22.4		22.6	
GAAP Diluted EPS	**$15.49**		**$16.43**		**$18.60**		**$22.32**		**$21.66**		**$22.15**		**$24.73**	
Adjusted EPS														
Net Income	$367		$385		$420		$500		$481		$496		$559	
Intangible Amortization	74		75		74		125		192		272		272	
Earnout adjustments	0		0		0		0		0		0		0	
Less: Related tax effect	(19)		(19)		(19)		(31)		(46)		(63)		(63)	
Adjusted Net Income	**422**		**441**		**475**		**593**		**627**		**705**		**768**	
Adjusted EPS	**$17.83**		**$18.83**		**$21.05**		**$26.48**		**$28.25**		**$31.50**		**$34.00**	

Source: OMB and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

CACI: Cash Flow Statement

(millions, except per share data)	2022	2023	2024	2025	2026E	2027E	2028E
Operating Activities							
Net Income	$367	$385	$420	$500	$481	$496	$559
Depreciation and amortization	135	142	142	195	270	350	362
Tax benefit from stock option exercises	0	0	0	0	0	0	0
Deferred income taxes	10	(19)	(50)	(27)	0	0	0
Method Change Tax Election/Cares	143	(127)	0	0	0	0	0
Section 174	0	(95)	(75)	0	90	50	25
Investment gains	0	0	0	0	0	0	0
Stock comp	32	40	54	60	65	70	75
Other	73	72	70	3	0	0	0
Op cash flow pre-working capital	**758**	**397**	**561**	**731**	**906**	**966**	**1,020**
Receivables	(4)	32	(128)	(269)	(74)	(116)	(92)
Prepaids and Other	(14)	(44)	1	24	(18)	(18)	(13)
Accounts Payable	81	(7)	125	126	(24)	(1)	5
Income Taxes Payable	45	11	(27)	(5)	0	0	0
Other Accruals	(74)	19	1	(49)	22	11	(28)
Other Assets/Liabilities	(46)	(21)	(36)	(11)	0	0	0
Changes in working capital	(13)	(9)	(64)	(184)	(93)	(124)	(129)
Cash Flow from Operations	**$746**	**$388**	**$497**	**$547**	**$812**	**$842**	**$891**
Investment activities							
Capital expenditures, net of disposals	(75)	(64)	(64)	(66)	(85)	(90)	(100)
Capitalized software development	0	0	0	0	0	0	0
Proceeds from sale of PP&E	0	0	0	0	0	0	0
Acquisitions, net of cash acquired	(616)	(14)	(90)	(1,696)	(2,641)	0	0
Other	1	2	2	2	0	0	0
Proceeds from sale of business	0	0	0	0	0	0	0
Cash Flow from Investments	**(689)**	**(76)**	**(152)**	**(1,759)**	**(2,726)**	**(90)**	**(100)**
Financing Activities							
Line of credit borrowings/(payments)	(6)	(39)	(156)	1,393	2,600	(650)	(200)
Purchase of treasury stock	(10)	(273)	(161)	(169)	(13)	0	0
Proceeds from stock options	10	10	11	14	0	0	0
Other	(15)	(14)	(21)	(60)	0	0	0
Stock issuances	0	0	0	0	0	0	0
Cash Flow from Financing	**(21)**	**(316)**	**(327)**	**1,178**	**2,587**	**(650)**	**(200)**

Source: OMB and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

CAE (CAE)

Hold | Price Target: $26

Valuation Method	Price	Assumptions
EV/EBITDA	27	11.4x EV/EBITDA on FY28 EBITDA of C$1.28BB
P/E	25	25.2x P/E on FY28 EPS of C$1.35
FCF	25	4.0% FCF Yield on FY28 FCF of C$428MM
Average	**$26**	**Blended average**

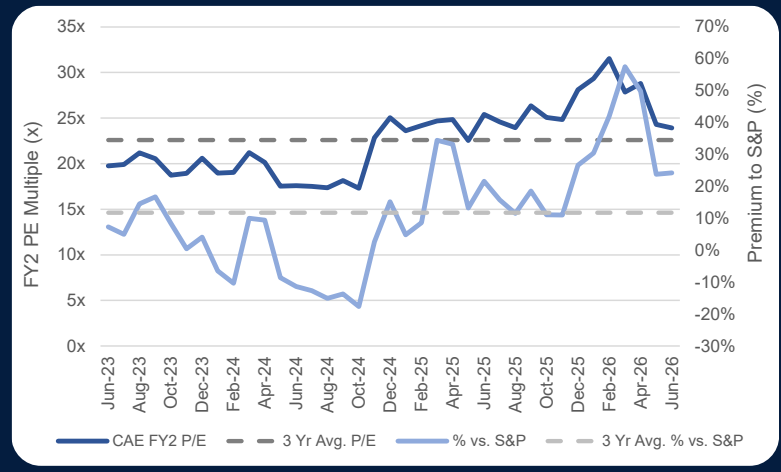
Valuation Table

	Ticker	JEF Rating	Stock Px 7/28/2026	Consensus BUY Rating	Market Cap	Enterprise Value	P/E 2026E	P/E 2027E	P/E 2028E	EV / SALES 2026E	EV / SALES 2027E	EV / SALES 2028E	EV / EBITDA 2026E	EV / EBITDA 2027E	EV / EBITDA 2028E	Yield Dividend	Yield FCF
Elbit Systems	ESLT	Hold	$820.07	14%	38,421	39,291	56.1x	47.0x	41.5x	4.3x	3.8x	3.5x	34.5x	29.8x	25.5x	0.4%	1.9%
Leonardo DRS	DRS	N/C	$48.38	82%	12,907	12,944	37.2x	33.7x	30.3x	3.3x	3.1x	2.9x	24.8x	22.3x	20.2x	0.7%	2.4%
Moog	MOG.A	N/C	$413.72	67%	11,766	14,431	38.8x	35.5x	NM	3.3x	3.1x	NM	22.7x	20.8x	NM	0.3%	NM
Raytheon Technologies	RTX	Buy	$220.20	68%	296,776	332,905	30.6x	28.0x	25.3x	3.5x	3.2x	3.0x	21.3x	19.6x	17.9x	1.3%	3.5%
Thales	HO-FR	Buy	€ 249.30	55%	51,341	51,888	23.6x	20.3x	17.9x	2.2x	2.0x	1.8x	13.7x	12.4x	11.3x	1.6%	5.0%
Average				61%			**35.4x**	**31.2x**	**26.9x**	**3.2x**	**3.0x**	**2.8x**	**22.2x**	**19.9x**	**17.7x**	**1.0%**	**3.7%**
CAE, Inc.	**CAE**	**Hold**	**$25.89**	**64%**	**8,326**	**10,325**	**29.1x**	**25.9x**	**21.8x**	**2.7x**	**2.7x**	**2.5x**	**11.8x**	**10.9x**	**10.0x**	**0.0%**	**5.4%**
Discount / Premium							**-18%**	**-17%**	**-19%**	**-18%**	**-11%**	**-8%**	**-47%**	**-45%**	**-43%**		**-32%**

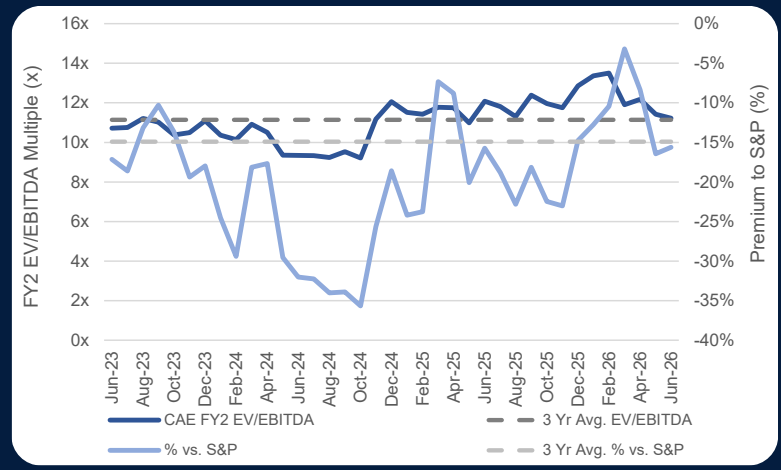
Featured Notes:

- Acting Civil, But A Transformative Body Check Leaves FY27 in the Penalty Box | *May 26, 2026*
- The Time to Harvest Growth Is Near… But Not Quite Here | *Feb 15, 2026*
- New CEO Mtg Takes: Looking to Simulate Positive Change | *Sept 24, 2025*

Trading at 23.9X FY2 P/E, 24% Prem to Mkt vs. Historical Avg Prem of 12%



Trading at 11.2X FY2 EV/EBITDA, 16% Disct to Mkt vs. Historical Avg Disct of 15%

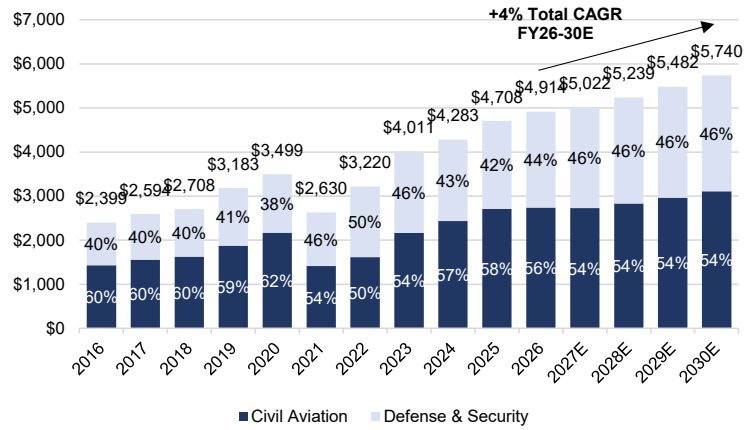


Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

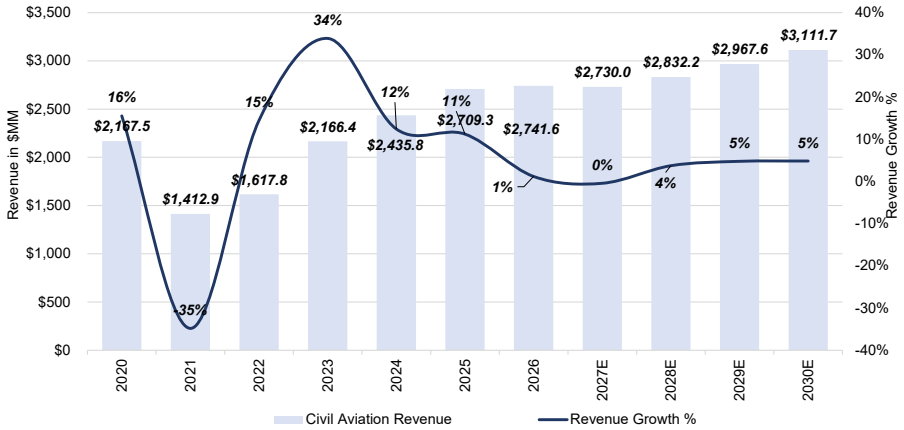
Source: Company data, Jefferies estimates, FactSet

CAE: Civil Growth Halts in FY27 w/ Upside To Conservative FY30 Targets

Revenue Growth - Civil Expands at 3% CAGR vs. Defense & Security at a 5% CAGR to FY30



Civil Aviation Revenue Build - Growing at a 3% CAGR from $2.7BB in FY25 to $3.1BB in FY30



- For FY27, management has implied Civil revenue flat to slightly down y-o-y organically through the transformation period, with our estimate at -0.4% to $2.73BB of revenue (54% of total sales). We est Defense & Security to grow 5.5% to $2.3BB of sales (46% of total sales) vs guidance of +MSD growth in FY27.
- We estimate sales growth of 2% to FY27 (all organic), which is ~1.5pts ahead of cons (+0.6%) vs the more conservative targets, as our ests are backed by growing defense budgets and a growing backlog of new programs, offset by softness in the civil business.
- Following Civil Aviation revenue -0.4% in FY27 on our estimate (vs guide flat to slightly down organic) we forecast an inflection to +MSD growth through FY30 to $3.1BB in revenue.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

CAE: Utilization Expected to Normalize in ~75% Range in FY27+

Civil Aviation Revenue Build - FY27 Sales -0.4% on Just 47 FFS Deliveries Down From 52 in FY26 w/ 74% Utilization Off a 5% Smaller SEU Base

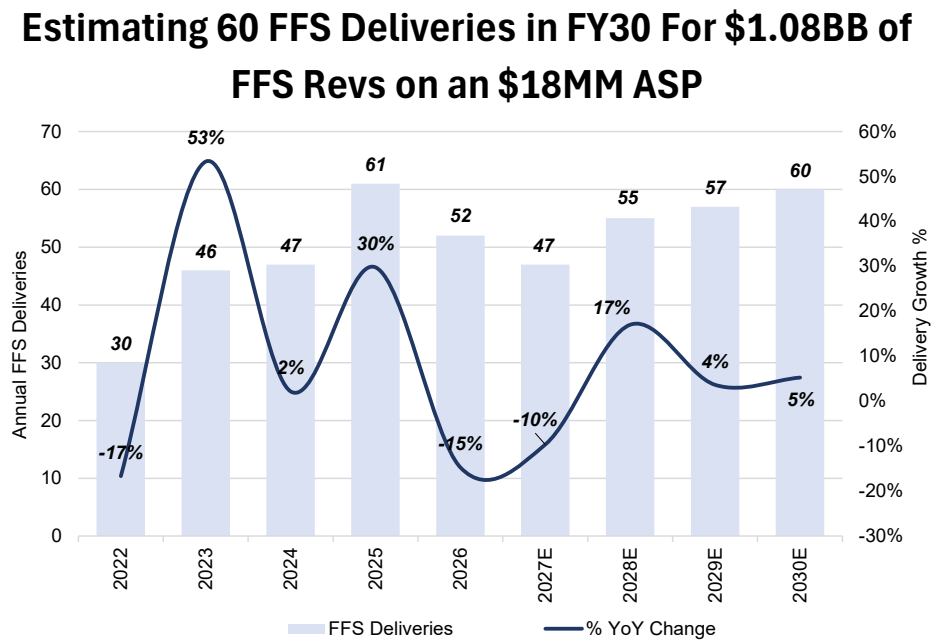
Civil Aviation	2020	2021	2022	2023	2024	2025	2026	2027E	2028E	2029E	2030E
Industry Deliveries											
Narrowbody + Regional	0	0	0	0	0	0	0	0	0	0	0
Widebody	841	1,029	1,109	1,048	1,261	1,415	1,537	1,673	1,734	1,768	1,856
Total Industry Aircraft Deliveries	**841**	**1,029**	**1,109**	**1,048**	**1,261**	**1,415**	**1,537**	**1,673**	**1,734**	**1,768**	**1,856**
% YoY Change	*42%*	*22%*	*8%*	*-6%*	*20%*	*12%*	*9%*	*9%*	*4%*	*2%*	*5%*
Full-Flight Simulators											
FFS Starting Installed Base	286	306	317	316	324	343	363	371	395	422	451
FFS Deliveries	56	36	30	46	47	61	52	47	55	57	60
% YoY Change	*-3%*	*-36%*	*-17%*	*53%*	*2%*	*30%*	*-15%*	*-10%*	*17%*	*4%*	*5%*
FFS Relocations / Power Downs	(36)	(25)	(31)	(38)	(28)	(41)	(44)	(24)	(28)	(29)	(30)
FFS Ending Installed Base	**306**	**317**	**316**	**324**	**343**	**363**	**371**	**395**	**422**	**451**	**481**
% YoY Change	*7%*	*4%*	*0%*	*3%*	*6%*	*6%*	*2%*	*6%*	*7%*	*7%*	*7%*
Aircraft Delivery Supported FFS	56	69	74	70	84	94	102	112	116	118	124
% Implied Share to CAE	*100%*	*52%*	*41%*	*66%*	*56%*	*65%*	*51%*	*42%*	*48%*	*48%*	*48%*
FFS Average ASP	$12.5	$14.0	$15.0	$15.5	$16.7	$15.8	$17.9	$17.7	$17.7	$17.8	$18.0
FFS Sales Revenues	**$700**	**$504**	**$450**	**$713**	**$787**	**$964**	**$931**	**$832**	**$974**	**$1,015**	**$1,080**
% YoY Change	*10%*	*-28%*	*-11%*	*58%*	*10%*	*23%*	*-3%*	*-11%*	*17%*	*4%*	*6%*
% of Civil Revenue	*32%*	*36%*	*28%*	*33%*	*32%*	*36%*	*34%*	*30%*	*34%*	*34%*	*35%*
Training Services & Software											
Simulator Equivalent Unit	247	246	246	257	272	286	301	286	275	280	286
% YoY Change	*13%*	*0%*	*0%*	*4%*	*6%*	*5%*	*5%*	*-5%*	*-4%*	*2%*	*2%*
% of FFS Installed Base	*81%*	*78%*	*78%*	*79%*	*79%*	*79%*	*81%*	*72%*	*65%*	*62%*	*59%*
Available Flight Hours per SEU (24/7)	6,000	6,000	6,000	6,000	6,000	6,000	6,000	6,000	6,000	6,000	6,000
Total Available Flight Hours in K	**1,482**	**1,476**	**1,476**	**1,542**	**1,632**	**1,716**	**1,806**	**1,716**	**1,647**	**1,680**	**1,714**
Utilization	70%	47%	60%	72%	76%	74%	70%	74%	74%	75%	76%
% YoY Change	*-6%*	*-23%*	*13%*	*12%*	*4%*	*-2%*	*-4%*	*4%*	*0%*	*1%*	*1%*
Utilized Flight Hours	**1,037**	**694**	**886**	**1,110**	**1,240**	**1,271**	**1,261**	**1,270**	**1,219**	**1,260**	**1,302**
% YoY Change	*4%*	*-33%*	*28%*	*25%*	*12%*	*2%*	*-1%*	*1%*	*-4%*	*3%*	*3%*
Implied Price per Hour	$1,415	$1,310	$1,319	$1,309	$1,330	$1,373	$1,435	$1,495	$1,525	$1,550	$1,560
% YoY Change	*14%*	*-7%*	*1%*	*-1%*	*2%*	*3%*	*5%*	*4%*	*2%*	*2%*	*1%*
Training & Software Revenues	**$1,467.5**	**$908.9**	**$1,167.8**	**$1,453.4**	**$1,649.2**	**$1,746**	**$1,811**	**$1,898**	**$1,859**	**$1,953**	**$2,032**
YoY % Change	19%	-38%	*28%*	*24%*	*13%*	*6%*	*4%*	*5%*	*-2%*	*5%*	*4%*
% of Civil Revenue	*68%*	*64%*	*72%*	*67%*	*68%*	*64%*	*66%*	*70%*	*66%*	*66%*	*65%*
Civil Aviation											
Total Civil Revenues	**$2,167.5**	**$1,412.9**	**$1,617.8**	**$2,166.4**	**$2,435.8**	**$2,709.3**	**$2,741.6**	**$2,730.0**	**$2,832.2**	**$2,967.6**	**$3,111.7**
% YoY Change	*16%*	*-35%*	*15%*	*34%*	*12%*	*11%*	*1%*	*0%*	*4%*	*5%*	*5%*

- Civil Aviation revenue mix is entirely fixed price, with roughly 30% of sales from Simulators, 30% from Airline training, 30% from Business Aviation training, and 10% from Software.
- FY27 is expected to have 47 FFS deliveries, down -10% from 52 in FY26 accounting for just 42 orders in FY26.
- We estimate 74% utilization in FY27, up from 70% in FY26 and inline with 74% in FY25, with further improvement as network rationalization efforts take shape from now to FY30.
- Following Civil Aviation revenue -0.4% in FY27 on our estimate (vs guide flat to slightly down organic) we forecast an inflection to +MSD growth through FY30 to $3.1BB in revenue.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

CAE: Estimating 60 FFS Deliveries in FY30 For $1.08BB of FFS Revs on an $18MM ASP



- At the end of FY26 CAE's installed base of full-flight simulators (FFS) was 371 with 301 Simulator Equivalent Units (SEUs).
- FY27 is expected to have 47 FFS deliveries, down -10% from 52 in FY26 accounting for just 42 orders in FY26
- As of FQ3:26, CAE disclosed that about 2/3 of its network of 373 installed FFS are commercial sims (250) implying 123 simulators for business aviation/helicopters (~1/3).
- As part of its network rationalization plan, CAE will retire its least profitable commercial sims (~10% of network or 25 FFS) which carry $100K+ of annual costs for technicians, real estate, and replacement parts, as well as missed opportunity cost.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

CAE: Transformation Creates FY30 Earnings & FCF Upside

Civil Business Margin Breakdown - BAT Contributes 50% of Segment aSOI, Implying >30% Margins

Sales	FY24	FY25	FY26	Y-o-Y
Product	$787	$964	$931	-3%
Training	1,649	1,746	1,811	4%
BizAv	825	907	998	10%
Comm'l	825	839	813	-3%
Total Civil Sales	**$2,436**	**$2,709**	**$2,742**	**1%**

aSOI	FY24	FY25	FY26	Y-o-Y
Sim	$118	$146	$128	-12%
BizAv	274	290	304	5%
Comm'l	156	201	139	-31%
Segment aSOI	**$549**	**$638**	**$572**	**-10%**

OI Margin	FY24	FY25	FY26	Y-o-Y
Sim Margin	15.0%	15.2%	13.8%	-140 bps
BizAv Margin	33.3%	32.0%	30.5%	-150 bps
Comm'l Margin	19.0%	24.0%	17.2%	-680 bps
aSOI Margin	**22.5%**	**23.5%**	**20.9%**	**-270 bps**

Every 1pt to Our Base Case 4% Revenue CAGR From FY26-FY30E Is Worth $0.12/sh to our FY30 EPS of $1.85 w/ Every 1pt of FY30 ASOI Worth $0.18/sh

FY30E ASOI Margin	FY26-FY30E Revenue Growth CAGR					
	$1.85	2%	3%	4%	5%	6%
14%	$1.12	$1.21	$1.31	$1.41	$1.51	
15%	$1.28	$1.39	$1.49	$1.60	$1.71	
16%	$1.45	$1.56	$1.67	$1.78	$1.90	
17%	$1.62	$1.73	**$1.85**	$1.97	$2.09	
18%	$1.78	$1.90	$2.03	$2.15	$2.29	
19%	$1.95	$2.07	$2.21	$2.34	$2.48	
20%	$2.11	$2.25	$2.38	$2.53	$2.67	

- CAE is rationalizing its training footprint through the closure of 4-6 training centers and retirement of ~10% of the commercial simulator network, supporting $125-150MM of targeted run-rate savings, with roughly half tied to labor and real-estate reductions.
- BizAv training generates roughly 1/3 of Civil Aviation revenue but approximately 1/2 of Civil Aviation segment profit, implying 30%+ margins. The business benefits from 99% instructor-led "wet" training, with recent investments in Savannah supporting future Gulfstream share capture opportunities.
- We estimate total adjusted segment EBIT of ~$997MM in FY30, toward the high end of management's $950MM-$1.0BB target, supported by transformation savings and improving simulator utilization driving margin expansion beyond FY27.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

CAE: Defense & Security Revenue Build - Growing Backlog Suggests Traction on Enhanced Opportunity Set

Defense & Security Revenue Build - Growing Contribution from Transformational Awards Core Growth (And Profit) Driver, with the Segment Growing at 5% CAGR

Defense & Security	2020	2021	2022	2023	2024	2025	2026	2027E	2028E	2029E	2030E
Defense & Security											
Organic Revenue	$1,326.4	$1,217.1	$1,192.2	$1,713.5	$1,847.0	$1,998.6	$2,172.4	$2,291.9	$2,406.5	$2,514.8	$2,627.9
M&A Revenue	$4.8	$0.0	$409.9	$130.7	$0.0	$0.0	$0.0	$0.0	$0.0	$0.0	$0.0
Total D&S Revenues	**$1,331.2**	**$1,217.1**	**$1,602.1**	**$1,844.2**	**$1,847.0**	**$1,998.6**	**$2,172.4**	**$2,291.9**	**$2,406.5**	**$2,514.8**	**$2,627.9**
% YoY Change	*2%*	*-9%*	*32%*	*15%*	*0%*	*8%*	*9%*	*5%*	*5%*	*4%*	*4%*
% YoY Organic Change	*2%*	*-9%*	*-2%*	*7%*	*0%*	*8%*	*9%*	*5%*	*5%*	*4%*	*4%*
Revenue Composition											
Transformational Awards					**$42**	**$210**	**$380**	**$516**	**$541**	**$566**	**$591**
% YoY Change						*405%*	*81%*	*36%*	*5%*	*4%*	*4%*
% Average Annual Contribution					*2%*	*11%*	*18%*	*23%*	*23%*	*23%*	*23%*
% Ending Contribution					*3%*	*15%*	*20%*	*25%*	*25%*	*25%*	*25%*
Legacy CAE + L3H MT	**$1,331**	**$1,217**	**$1,602**	**$1,844**	**$1,805**	**$1,789**	**$1,792**	**$1,776**	**$1,865**	**$1,949**	**$2,037**
% YoY Change	*2%*	*-9%*	*32%*	*15%*	*-2%*	*-1%*	*0%*	*-1%*	*5%*	*4%*	*4%*
% Contribution	*100%*	*100%*	*100%*	*100%*	*97%*	*85%*	*80%*	*75%*	*75%*	*75%*	*75%*
Total D&S Revenues	**$1,331.2**	**$1,217.1**	**$1,602.1**	**$1,844.2**	**$1,847.0**	**$1,998.6**	**$2,172.4**	**$2,291.9**	**$2,406.5**	**$2,514.8**	**$2,627.9**
% YoY Change	*2%*	*-9%*	*32%*	*15%*	*0%*	*8%*	*9%*	*5%*	*5%*	*4%*	*4%*
Backlog & Orders											
Backlog	**$4,117**	**$3,908**	**$4,658**	**$5,066**	**$5,744**	**$11,296**	**$10,821**				
% YoY Change	*-8%*	*-5%*	*19%*	*9%*	*13%*	*97%*	*-4%*				
Coverage of NTM Revenue	*3.4x*	*2.4x*	*2.5x*	*2.7x*	*2.9x*	*5.2x*	*4.7x*				
Orders	**$1,226**	**$1,110**	**$1,923**	**$2,029**	**$1,912**	**$3,986**	**$2,384**				
% YoY Change	*13%*	*-9%*	*73%*	*6%*	*-6%*	*108%*	*-40%*				
Book-to-Bill	*0.9x*	*0.9x*	*1.2x*	*1.1x*	*1.0x*	*2.0x*	*1.1x*				

- Defense & Security recorded $580MM in revenues in FQ4, up 6% organic from $547MM in FQ4:25. CAE generated $2.2BB in revenues in FY26 (+8.6% y-o-y) and +8.2% in FY25, a sharp acceleration from the flattish FY24. Performance in the quarter was tied to program execution and improving program mix. FY27 revenues are implied up MSD with our estimate of up 5.5% to $2.4BB.
- We estimate Defense & Security revenues grow at a 7% CAGR to $2.4BB in FY28, relatively in line with budgets despite positioning to higher-growth areas in synthetic & simulated environments and communications.
- Core to growth are Transformational Programs, which include FSTSS, HADES, THAAD, Canada RPAS, and Canada FAcT.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

CAE: Largest Full-Flight Simulator Network Globally

CAE Global Footprint - ~70 Training Facilities Across More Than 35 Countries

Civil Training Facilities			
Facility	Location	Capability	Platforms
AEGEAN CAE Flight Training Centre	Spata, Greece	Airline Pilot Training, Cabin Crew Training	A320, 737NG, ATR 72-600
CAE Abu Dhabi Aviation Training Centre	Abu Dhabi, United Arab Emirates	Business Pilot Training, Maintenance Training	King Air 350 Fusion, King Air 350 Pro Line 21, EMB-145
CAE Amsterdam – Schiphol	Amsterdam, Netherlands	Airline Pilot Training, Cabin Crew Training	A320, 737MAX, 737NG, 747, 767, 777, 787, CRJ1000NG, CRJ900/900NG, E170/175, E190/195
CAE Bangkok	Bangkok, Thailand	Airline Pilot Training	A320, A330, 737NG
CAE Barcelona	Barcelona, Spain	Airline Pilot Training, Cabin Crew Training	A320
CAE Beijing	Beijing, China	Aircraft Technical Support Services	777
CAE Bengaluru	Bengaluru, India	Airline Pilot Training, Helicopter Aviation Training	ATR 72-600, A320, 737MAX, 737NG
CAE Bogota	Bogota, Colombia	Airline Pilot Training	ATR 72-600, A320, A330, 787
CAE Bordeaux	Bordeaux, France	Maintenance Training	
CAE Brunei Multi-Purpose Training Centre	Gadong A, Brunei	Helicopter Aviation Training	S-92 and S-70i Black Hawk helicopters
CAE Brussels	Brussels, Belgium	Airline Pilot Training, Aviation Academy	A320, A330, 737 Classic, 737NG, 757, 767, C130
CAE Chongqing – HNA CAE Flight Training	Yubei District, China	Airline Pilot Training	A320
CAE Copenhagen	Copenhagen, Denmark	Airline Pilot Training, Cabin Crew Training	A320, A330, A350, 737NG, E190/195, 2000
CAE Dallas East	Dallas (East), United States	Airline Pilot Training, Cabin Crew Training	A320, 737MAX, 737NG, 777, E170/175, E190/195
CAE Dallas West	Dallas (West), United States	Business Pilot Training, Maintenance Training	Beechjet 400A, King Air 200, King Air 350 Pro Line 21, Challenger 300, Challenger 350, Challenger 601, Challenger 604, Challenger 650, Global 6000, Global 7500, Global Express, Learjet 45/R, Learjet 60, Learjet R, Learjet 70/75, Citation Bravo, Citation Excel, Citation VII, Citation X, Citation XLS+, Falcon 2000, Falcon 2000LXS, Falcon 50, Falcon 50EX, Falcon 900, Falcon 900EX, Falcon 900LX, EMB-145, Phenom 100, Phenom 300, G450, GIV, Beechjet 400, King Air 300., Boeing 737., Global Express., Falcon 2000EX EASy, Falcon 900 A, Falcon 900 B, Falcon 900 C, Falcon 900EX EASy, Falcon 2000EX., Phenom 300., G550, GII, GV., Nextant T
CAE Dubai Al Garhoud – Emirates-CAE Flight Training	Dubai, United Arab Emirates	Business Pilot Training, Helicopter Aviation Training, Maintenance Training	Business Jet 737-800, Challenger 604, Challenger 605, Global 6000, Global 6500, Global 7500, Global Express, Falcon 2000EX EASy II, Falcon EASy II, Falcon 900EX EASy II, G550, G650, Pi
CAE Dubai Silicon Oasis – Emirates-CAE Flight Training	Dubai, United Arab Emirates	Airline Pilot Training, Business Pilot Training	A320, 737MAX, 737NG, Bell 412
CAE Frankfurt – Flight Training Alliance	Frankfurt, Germany	Airline Pilot Training, Cabin Crew Training	A220
CAE Gondia (NFTI)	Gondia, India	Aviation Academy	Diamond DA-40, Diamond DA-42
CAE Ho Chi Minh City	Ho Chi Minh City, Viet Nam	Airline Pilot Training	A320, A350, 787
CAE Hong Kong at HKA Training Academy	Hong Kong, Hong Kong	Airline Pilot Training	A320, A330
CAE Kuala Lumpur	Kuala Lumpur, Malaysia	Airline Pilot Training, Cabin Crew Training	A320, A330, 737MAX, 737NG
CAE Las Vegas	Las Vegas, United States	Business Pilot Training	Global 7500, EMB-145, Phenom 100, Phenom 300, G550, G650, GIV, GV
CAE Lima	Lima, Peru	Airline Pilot Training, Cabin Crew Training	A320, 767
CAE London Burgess Hill	London Burgess Hill, United Kingdom	Business Pilot Training, Helicopter Aviation Training, Maintenance Training	King Air 350 Pro Line 21, Challenger 350, Challenger 604, Global 6000, Global Express, Learjet 45/R, Citation XLS, Falcon 2000EX EASy II, Falcon, Falcon EASy II, Falcon EASy III, Falcon 900EX EASy II, Phenom 300, G650
CAE London Gatwick	London Gatwick, United Kingdom	Airline Pilot Training	A320, A330, A350, 757, 767, 787, E145, E190/195
CAE Madrid	Madrid, Spain	Airline Pilot Training, Aviation Academy, Cabin Crew Training	737NG, 787, A320, A330, A340, A350, ATR 72-600, CRJ100/200, CRJ900/900NG, CRJ1000NG, E-Jet E2
CAE Melbourne	Melbourne, Australia	Aviation Academy	
CAE Mexico	Toluca, Mexico	Airline Pilot Training, Helicopter Aviation Training	A320, 737NG, E190/195, Bell 412
CAE Milan	Milan, Italy	Airline Pilot Training, Cabin Crew Training	A320, 1 AR600
CAE Minneapolis – St. Paul	Minneapolis, United States	Airline Pilot Training	CRJ100/200, CRJ700, CRJ900/900NG
CAE Montreal	Montreal, Quebec, Canada	Airline Pilot Training, Business Pilot Training	ATR 42/72, A320, A330, 737MAX, Dash 8- 100, Dash 8- 300, E-Jet E2, Challenger 3500, Challenger 650, Global 6500, Global 7500
CAE New Delhi (NCR)	New Delhi, India	Airline Pilot Training	A320, 737MAX

- CAE's training services portfolio centers around its full-flight simulator (FFS) network, with 371 installed globally at the end of FY26 across ~70 training locations in more than 35 countries.
- These are configured to 115+ aircraft types across commercial models, business jets, and helicopters for the purpose of training pilots, cabin crew, maintenance staff, and ground personnel.
- CAE has long-term training operations & service agreements with ~50 major airlines and operators.
- CAE also operates the largest ab initio (from zero experience to commercial pilot) flight training network in the world and has over 20 cadet training programs including with American Airlines, JetBlue, IndiGo and Aeromexico, among others.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

CAE: Civil Margins - Softening of Transformation Initiatives and Training Utilization Expected to Impact Civil Margin Conversion

Civil Aviation ASOI Bridge - LT Target of Mid-20% Outside Forecast Period Given Expected Softening of Training Hrs on Delivery Delays and Slower Pilot Hiring

Civil	2020	2021	2022	2023	2024	2025	2026	2027E	2028E	2029E	2030E
Start Adj. Segment Profit	**$351.1**	**$479.4**	**$164.3**	**$314.7**	**$485.3**	**$548.9**	**$637.9**	**$572.2**	**$513.6**	**$545.1**	**$623.4**
Product Incremental Profits	9.3	(78.4)	(24.3)	65.8	11.0	8.9	(5.9)	(19.8)	28.3	10.3	16.4
Services Incremental Profits	80.4	(307.2)	168.3	142.8	58.7	11.6	3.2	26.3	(11.8)	33.0	27.5
Price	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
M&A	109.1	16.9	2.2	27.7	0.0	8.0	8.0	0.0	0.0	0.0	0.0
Productivity	0.0	0.0	40.0	(40.0)	(10.0)	1.0	(30.0)	(25.0)	0.0	0.0	0.0
FX	(1.4)	(0.2)	(4.4)	3.5	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Amortization of acquired intangible assets	0.0	0.0	0.0	0.0	0.0	56.4	61.7	60.0	60.0	60.0	60.0
Other	(69.1)	53.8	(31.4)	(29.2)	3.8	3.2	(102.8)	(100.0)	(45.0)	(25.0)	(20.0)
Ending Adj. Segment Profit	**$479.4**	**$164.3**	**$314.7**	**$485.3**	**$548.9**	**$637.9**	**$572.2**	**$513.6**	**$545.1**	**$623.4**	**$707.3**
% Margin	22.1%	11.6%	19.5%	22.4%	22.5%	23.5%	20.9%	18.8%	19.2%	21.0%	22.7%
% Product Incrementals	*15%*	*40%*	*45%*	*25%*	*15%*	*5%*	*18%*	*20%*	*20%*	*25%*	*25%*
% Service Incrementals	*35%*	*55%*	*65%*	*50%*	*30%*	*12%*	*5%*	*30%*	*30%*	*35%*	*35%*
% Net Price	*0%*	*0%*	*0%*	*0%*	*0%*	*0%*	*0%*	*0%*	*0%*	*0%*	*0%*
% M&A Contribution	*25%*	*25%*	*1%*	*23%*	*NM*	*16%*	*15%*	*NM*	*NM*	*NM*	*NM*

- CAE earned 20.9% Civil Aviation margins in FY26, down 270 bps from 23.5% on a reconciled basis in FY25. In FY27, we estimate Civil Aviation margins are down 210 bps at 18.8%.
- In our ASOI bridge, we estimate Product incrementals range from 10% to 30%, depending on customer mix and pricing mechanics, with Services incrementals at 20-30% given the recurring business, although our expected normalization of utilization of the FFS network keeps incrementals below prior 50%+ estimates in the near term. We assume an improvement in Service incremental as lower margin locations are shut with management targeting 5 or 6 on better pricing.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

CAE: Execution on FY30 Targets Could Warrant a Re-Rating Near Midteens EV/EBITDA

JEFe FY30 Estimates at The High End of Targets Imply CAE Worth $50/sh On Re-Rating to 15X EBITDA (38% Premium to 11X Today)

	JEFe FY30
Revenues	
Civil Aviation	$3,112
Defense & Security	$2,628
Total Revenues	**$5,740**
FY26-FY30E CAGR	*4%*
Segment Margins	
Civil Aviation	22.7%
Defense & Security	11.0%
Total ASOI Margins	**17.4%**
Segment Profit	
Civil Aviation	$707
Defense & Security	$290
Total ASOI	**$997**
D&A	
Civil Aviation	$389
Defense & Security	$134
Total ASOI	**$523**
Adj EBITDA	
Civil Aviation	$1,096
Defense & Security	$424
Adj EBITDA	**$1,520**
EV/EBITDA Multiple	**15.0X**
FX	*0.74*
EV	*$16,874*
Net Debt	*$891*
MV	*$15,984*
NOSH	*$321*
Implied Share Price	**$50**

- We est CAE revenues grow at a 4% CAGR from FY26-FY30E vs the targeted +MSD.
- CAE earns 17.4% ASOI margins on our estimated $997MM of ASOI, toward the top end of the targeted $950-1,000MM ASOI, which we view as conservative after gaining some additional clarity on the cost reduction story and biz av share gain opportunity (not in targets) which the market underappreciates.
- ASOI near $1BB implies $1.5BB of adj EBITDA on our ests which all else equal, could value CAE at $50/sh provided a rerating to 15X EV/EBITDA.
- We believe execution on the FY30 targets could warrant a re-rating near midteens EV/EBITDA, a 38% premium to where CAE trades today (11X FY2 EBITDA) but still a discount to peers.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

CAE: FCF: Lower Capex (+) Offset by Lower Earnings (-) Keep Place FY30 Target FCF At ~100% Conversion

- In FY26, CAE reported C$474MM of FCF, driven by a W/C a headwind of C$38MM. Going forward, mgmt re-defined FCF (now calculated using total capex and intangible asset expenditures & no longer subtracting dividends paid) which is now expected to convert at 85-95% of adj NI. We est FY27 FCF of $359MM on $301MM capex for 89% conversion.
- In June 2025, CAE re-established its normal course issuer bid (NCIB), subject to repurchase of up to 5% of float (16.0MM shares) over a 1-year period. During FY25, CAE repurchased a total of 856.2K shares at a weighted average share price of $24.85 for $21.3MM.
- CAE's net leverage peaked at 3.6X at the end of FY22 following the L3H MT transaction, having since fallen to 2.1X at the end of FQ4.

FCF Build - FCF Target Set at ~100% Conversion w/ FY27 Expected at ~90% (C$MM)

	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
Net Income	$322	($77)	$139	$232	($296)	$415	$323	$264	$345	$463	$540
Depreciation and Amortization	305	320	311	342	375	415	460	452	471	493	517
NWC	(52)	(50)	23	(115)	128	197	(38)	105	91	25	27
Stock Comp/Deferred Taxes/Other	(30)	173	(54)	(51)	360	(130)	47	(50)	(50)	(50)	(50)
CFO	**$545**	**$367**	**$418**	**$408**	**$567**	**$897**	**$792**	**$771**	**$858**	**$932**	**$1,033**
Capex	(283)	(108)	(272)	(269)	(330)	(356)	(288)	(301)	(314)	(329)	(344)
Other	(3)	18	(21)	(13)	(46)	(65)	(30)	(110)	(115)	(92)	(96)
FCF	**$259**	**$277**	**$125**	**$127**	**$191**	**$475**	**$474**	**$359**	**$428**	**$511**	**$593**
FCF Per Share	**$0.97**	**$1.02**	**$0.40**	**$0.40**	**$0.60**	**$1.49**	**$1.47**	**$1.11**	**$1.33**	**$1.59**	**$1.85**
Deployment											
Dividends	($111)	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0
Share Repurchases	(50)	0	0	0	0	(21)	(7)	(20)	(30)	(40)	(50)
Debt Paydown	(233)	(86)	(132)	(161)	(370)	(321)	(279)	(100)	0	0	0
Debt Issuance	168	151	429	31	434	332	90	50	0	0	0
Acquisitions	0	0	0	0	0	0	0	0	0	0	0
Total Deployment	**($226)**	**$65**	**$297**	**($130)**	**$63**	**($11)**	**($196)**	**($70)**	**($30)**	**($40)**	**($50)**
Discretionary FCF	**$83**	**$342**	**$422**	**($3)**	**$254**	**$485**	**$284**	**$309**	**$428**	**$511**	**$593**
Ratios											
FCF to Adj. NI Conversion	71%	283%	50%	46%	69%	106%	104%	89%	98%	99%	100%
FCF Yield (FCF / Mkt Cap.)	2.2%	2.3%	1.0%	1.1%	1.6%	4.0%	4.0%	3.0%	3.6%	4.3%	5.0%
FCF Yield (FCF / EV)	4.5%	3.0%	1.1%	1.2%	2.0%	4.3%	4.3%	3.7%	4.6%	5.7%	7.1%
FCF/Sh YoY Change	-90%	5%	-61%	0%	50%	148%	-1%	-24%	19%	19%	16%
Dividend as a % of Adj. NI	34%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%
Dividend Yield	0.9%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%
Share Repo as % of Mkt Cap	0.4%	0.0%	0.0%	0.0%	0.0%	0.2%	0.1%	0.2%	0.3%	0.3%	0.4%
% of Cash Returned to Shareholders	62%	0%	0%	0%	0%	4%	1%	6%	7%	8%	8%
Capex as a % of Sales	8.1%	4.1%	8.5%	6.7%	7.7%	7.6%	5.9%	6.0%	6.0%	6.0%	6.0%

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

Cadre (CDRE)

Buy | Price Target: $40

Valuation Method	Price	Assumptions
EV/EBITDA	$38	11.5X 2027E EBITDA of $153.1MM
FCF Yield	$41	5.2% FCF Yield on 2027E FCF of $96.1MM
Average	**$40**	

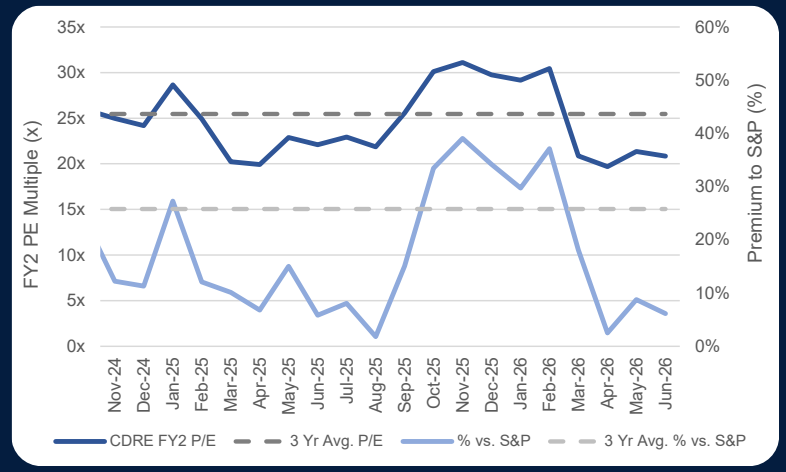
Valuation Table

	Ticker	JEF Rating	Stock Px 7/28/2026	Consensus BUY Rating	Market Cap	Enterprise Value	P/E 2026E	P/E 2027E	P/E 2028E	EV / SALES 2026E	EV / SALES 2027E	EV / SALES 2028E	EV / EBITDA 2026E	EV / EBITDA 2027E	EV / EBITDA 2028E	Yield Dividend	FCF
Personal Defense Product Developers																	
Avon Technologies	AVON-GB	Buy	£17.94	71%	543	607	19.7x	17.6x	15.7x	2.4x	2.2x	2.1x	12.3x	19.7x	16.1x	1.0%	5.5%
Axon Enterprise	AXON	N/C	$532.60	88%	42,929	45,007	68.9x	50.3x	38.6x	12.3x	9.5x	7.4x	50.4x	86.3x	63.4x	0.0%	1.6%
SoundThinking Inc	SSTI	N/C	$8.43	67%	109	100	-12.5x	NM	NM	0.9x	0.8x	0.8x	5.9x	7.0x	7.9x	0.0%	15.0%
VirTra, Inc.	VTSI	N/C	$3.17	100%	36	26	-14.1x	NM	NM	1.4x	1.0x	NM	-40.0x	7.8x	16.1x	0.0%	NM
Average Personal Defense Peers				81%			15.5x	33.9x	27.2x	4.2x	3.4x	3.4x	-7.3x	30.2x	25.9x	0.3%	7.4%
Branded Industrials																	
IDEX Corporation	IEX	N/C	$224.93	50%	16,648	18,044	26.4x	24.3x	22.5x	5.0x	4.7x	4.5x	20.1x	20.6x	19.5x	1.3%	4.2%
Average Industrial Peers				50%			26.4x	24.3x	22.5x	5.0x	4.7x	4.5x	20.1x	20.6x	19.5x	0.8%	0.0%
Peer Average				75%			**17.7x**	**30.7x**	**25.6x**	**4.4x**	**3.7x**	**3.7x**	**9.7x**	**28.3x**	**24.6x**	**0.4%**	**6.6%**
Cadre Holdings	**CDRE**	**Buy**	**$32.74**	**100%**	**1,401**	**1,765**	**32.2x**	**27.3x**	**24.2x**	**2.4x**	**2.4x**	**2.3x**	**15.8x**	**12.8x**	**11.5x**	**1.2%**	**6.1%**
Discount / Premium							**82%**	**-11%**	**-5%**	**-46%**	**-35%**	**-39%**	**62%**	**-55%**	**-53%**		

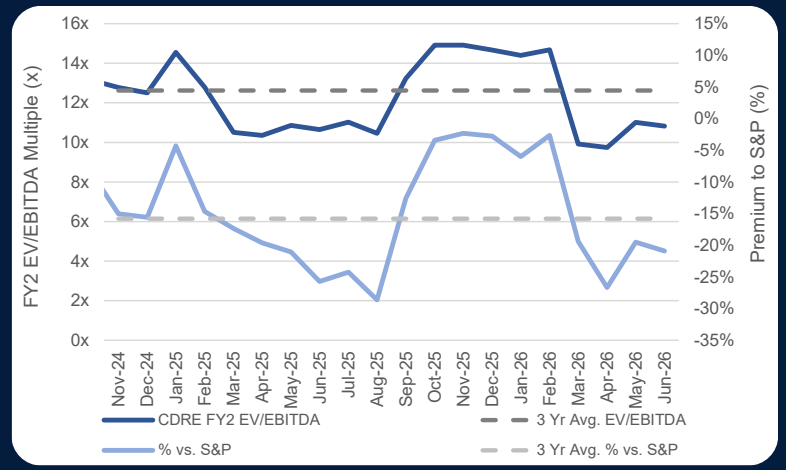
Featured Notes:

- A Quarter Not Without Blood, Sweat, and TYRs | *May 13, 2026*
- Executive Order Takes An Alpha Hit Out Of Shares | *Mar 15, 2026*
- Q3 Bookings De-Risk the FY Outlook; Pipeline Provides Opportunity into '26 | *Nov 5, 2025*

Trading at 20.9X FY2 P/E, 6% Prem to Mkt vs. Historical Avg Prem of 26%



Trading at 10.8X FY2 EV/EBITDA, 21% Disct to Mkt vs. Historical Avg Disct of 16%



Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

Source: Company data, Jefferies estimates, FactSet

CDRE: '27 Growth Inflects to an Est >4% Organic, Partially Supported by 3pts From GD European Land System Win

CDRE Summary Estimates - LT Aspirations Incl 3-5% Organic Growth w/ $100MM M&A Contribution & Mid-20% Adj EBITDA Margins

(dollars in thousands)	2022	2023	2024	2025	2026E	2027E	2028E
Revenue	**$457,837**	**$482,532**	**$567,561**	**$610,308**	**$740,890**	**$777,439**	**$808,758**
% change	*7.1%*	*5.4%*	*17.6%*	*7.5%*	*21.4%*	*4.9%*	*4.0%*
Organic % change	*0.3%*	*3.4%*	*4.9%*	*-2.1%*	*3.7%*	*4.6%*	*4.0%*
Gross Profit	**$175,678**	**$200,726**	**$233,481**	**$259,628**	**$318,723**	**$335,441**	**$353,569**
% Margin	*38.4%*	*41.6%*	*41.1%*	*42.5%*	*43.0%*	*43.1%*	*43.7%*
Adj. EBITDA	**$75,731**	**$85,818**	**$104,840**	**$111,708**	**$138,276**	**$153,098**	**$166,408**
% Margin	*16.5%*	*17.8%*	*18.5%*	*18.3%*	*18.7%*	*19.7%*	*20.6%*
% Incremental Margin							
Capital Expenditures	(4,666)	(6,727)	(5,668)	(6,856)	(12,225)	(9,329)	(9,705)
Adj. EBITDA Less Capex	**$71,065**	**$79,091**	**$99,172**	**$104,852**	**$126,051**	**$143,769**	**$156,703**
Adj. EBITDA Conversion	*93.8%*	*92.2%*	*94.6%*	*93.9%*	*91.2%*	*93.9%*	*94.2%*
Diluted EPS	**$0.16**	**$1.02**	**$0.90**	**$1.02**	**$1.20**	**$1.35**	**$1.60**
% change	*-63.6%*	*532.5%*	*-12.1%*	*13.4%*	*17.8%*	*13.0%*	*18.5%*

Aspirational Targets
3-5% Organic Growth + $100MM Annual M&A
45-50% Gross Margin
Mid-20% Adj. EBITDA Margin

- '27 Growth Inflects to an Est >4% Organic Partially Supported by 3pts From GD European Land System Win. GD European Land Systems awarded Med-Eng w/ two contracts for $75MM and $12MM for blast attenuation seats in the Mowag EAGLE V 4x4 command and control vehicle, and the Mowag EAGLE V 6x6 medium protected ambulance military vehicle. Production of the larger contract will begin in late 2026 through 2031, with the latter beginning in 2026 through 2029. Both likely having a greater impact in 2027, contributing a combined ~$20MM or 3 pts to revs assuming an even annual split, or $0.03 to EPS.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

CDRE: Annual Income Statement

(Thousands, except per share data)	2020		2021		2022		2023		2024		2025E		2026E		2027E		2028E	
	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales
Net Sales	**$404,642**	100.0%	**$427,288**	100.0%	**$457,837**	100.0%	**$482,532**	100.0%	**$567,561**	100.0%	**$610,308**	100.0%	**$740,890**	100.0%	**$777,439**	100.0%	**$808,758**	100.0%
Costs of Goods Sold	251,704	62.2%	256,598	60.1%	282,159	61.6%	281,806	58.4%	334,080	58.9%	350,680	57.5%	423,841	57.2%	441,998	56.9%	455,189	56.3%
Gross Profit	**$152,938**	37.8%	**$170,690**	39.9%	**$175,678**	38.4%	**$200,726**	41.6%	**$233,481**	41.1%	**$259,628**	42.5%	**$317,049**	42.8%	**$335,441**	43.1%	**$353,569**	43.7%
Operating Costs																		
SG&A	106,627	26.4%	114,962	26.9%	153,288	33.5%	140,519	29.1%	158,323	27.9%	183,128	30.0%	222,267	30.0%	229,344	29.5%	229,687	28.4%
Restructuring and Transaction Costs	5,822	1.4%	3,430	0.8%	4,355	1.0%	2,192	0.5%	6,007	1.1%	7,696	1.3%	7,409	1.0%	3,887	0.5%	4,044	0.5%
Related Party Expense	1,635	0.4%	579	0.1%	1,478	0.3%	1,496	0.3%	2,390	0.4%	1,453	0.2%	741	0.1%	777	0.1%	809	0.1%
Other	(10,950)	-2.7%	0	0.0%	(159)	0.0%	0	0.0%	0	0.0%	0	0.0%	0	0.0%	0	0.0%	0	0.0%
Total Operating Costs	**$103,134**	25.5%	**$118,971**	27.8%	**$158,962**	34.7%	**$144,207**	29.9%	**$166,720**	29.4%	**$192,277**	31.5%	**$230,417**	31.1%	**$234,009**	30.1%	**$234,540**	29.0%
Operating Profit	**$49,804**	12.3%	**$51,719**	12.1%	**$16,716**	3.7%	**$56,519**	11.7%	**$66,761**	11.8%	**$67,351**	11.0%	**$86,632**	11.7%	**$101,432**	13.0%	**$119,029**	14.7%
Interest Expense	(24,388)		(16,425)		(6,206)		(4,531)		(7,822)		(12,480)		(14,416)		(16,269)		(15,722)	
Other Income (Expense), net	2,459		(16,102)		(1,137)		936		(4,721)		7,455		0		0		0	
Pre-Tax Income	27,875	6.9%	19,192	4.5%	9,373	2.0%	52,924	11.0%	54,218	9.6%	62,326	10.2%	72,216	9.7%	85,163	11.0%	103,307	12.8%
Benefit (Provision) for Income Taxes	10,578		(6,531)		(3,553)		(14,283)		(18,085)		(18,187)		(20,220)		(23,846)		(28,926)	
Net Income	**$38,453**	**9.5%**	**$12,661**	**3.0%**	**$5,820**	**1.3%**	**$38,641**	**8.0%**	**$36,133**	**6.4%**	**$44,139**	**7.2%**	**$51,995**	**7.0%**	**$61,317**	**7.9%**	**$74,381**	**9.2%**
Diluted shares (Thousands)	27,483.4		28,598.7		36,122.4		37,920.5		40,332.0		43,432.9		43,872.3		44,984.8		45,784.8	
Diluted EPS	**$1.40**		**$0.44**		**$0.16**		**$1.02**		**$0.90**		**$1.02**		**$1.19**		**$1.36**		**$1.62**	
EBITDA	**$66,996**		**$49,335**		**$31,230**		**$73,192**		**$78,460**		**$93,439**		**$118,430**		**$135,186**		**$148,785**	
Restructuring and Transaction Costs	5,822		3,430		5,355		3,192		7,757		8,696		7,409		3,887		4,044	
Loss on Extinguishment of Debt	200		15,155		(159)		-		-		-		-		-		-	
Other Expense, net	(13,609)		947		1,137		(1,028)		4,721		(7,455)		-		-		-	
Stock-based compensation expense	-		355		32,239		9,368		8,369		12,239		10,000		10,000		10,000	
Stock-based compensation payroll tax expense	-		-		305		234		441		1,566		300		300		300	
LTIP bonus	-		2,162		1,369		860		49		-		1,000		1,000		1,000	
Other Add Backs	(1,427)		-		4,255		-		5,043		3,223		100		100		100	
Adj. EBITDA	**$57,982**		**$71,384**		**$75,731**		**$85,818**		**$104,840**		**$111,708**		**$137,238**		**$150,473**		**$164,229**	

Source: Company data and Jefferies estimates

Delta Air Lines (DAL)

Buy | Price Target: $110

Valuation Method	Price	Assumptions
EV/EBITDA	114	7.5x EV/EBITDA on 2027E EBITDAR of $11.3BB
P/E	106	12.5x P/E on 2027E EPS of $8.45
Average	**$110**	**Blended Average**

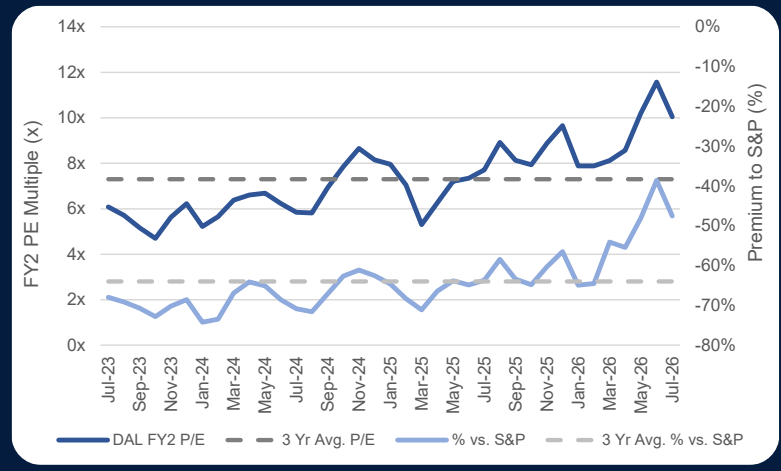
Valuation Table

Airlines	Ticker	JEF Rating	Stock Px 7/13/2026	Consensus BUY Rating	Market Cap	Enterprise Value	P/E 2026E	P/E 2027E	P/E 2028E	EV / SALES 2026E	EV / SALES 2027E	EV / SALES 2028E	EV / EBITDA 2026E	EV / EBITDA 2027E	EV / EBITDA 2028E	Yield Dividend	Yield FCF
Air Canada	AC-CA	Hold	$23.83	50%	6,674	12,800	18.2x	10.3x	6.9x	0.5x	0.5x	0.5x	4.0x	3.3x	3.0x	0.0%	1.2%
American Airlines	AAL	Hold	$16.45	43%	10,880	37,728	29.0x	6.3x	4.9x	0.6x	0.6x	0.6x	10.2x	6.6x	5.8x	0.0%	15.0%
Alaska Airlines	ALK	N/C	$47.77	89%	5,323	10,521	N/M	7.3x	5.3x	0.7x	0.6x	0.6x	10.0x	4.7x	4.4x	0.0%	13.8%
JetBlue	JBLU	N/C	$5.72	6%	2,126	9,200	N/M	N/M	N/M	0.9x	0.8x	0.8x	N/M	N/M	7.7x	0.0%	N/M
Southwest Airlines	LUV	Hold	$48.24	43%	23,578	27,333	15.7x	10.0x	9.1x	0.8x	0.8x	0.8x	7.7x	5.8x	5.5x	1.5%	5.7%
United Airlines	UAL	Buy	$122.49	86%	39,757	57,981	11.8x	8.1x	7.1x	0.9x	0.8x	0.8x	7.3x	5.7x	5.2x	0.0%	6.7%
Avg. Airlines				**53%**			**18.7x**	**8.4x**	**6.7x**	**0.7x**	**0.7x**	**0.7x**	**7.8x**	**5.2x**	**5.2x**	**0.2%**	**8.5%**
Delta Airlines	**DAL**	**Buy**	**$86.34**	**89%**	**56,779**	**72,045**	**12.4x**	**10.2x**	**8.8x**	**1.0x**	**1.0x**	**0.9x**	**7.8x**	**6.8x**	**6.1x**	**0.9%**	**7.1%**
Premium / Discount							**-34%**	**22%**	**32%**	**32%**	**39%**	**41%**	**-1%**	**30%**	**17%**		

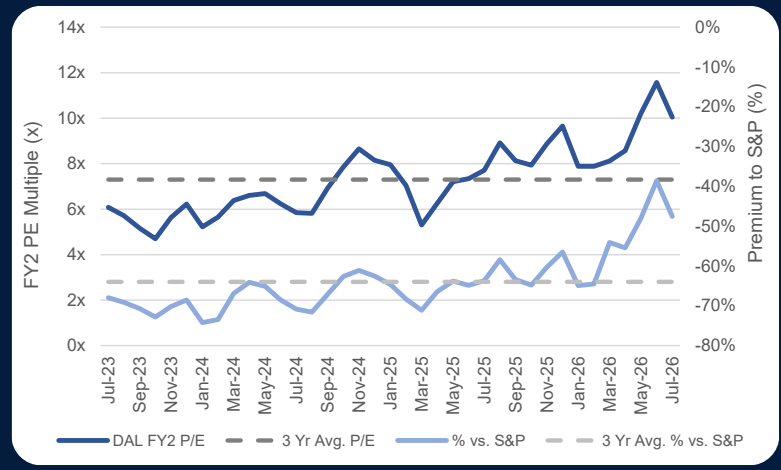
Featured Notes:

- Durability Is the Best Ability to Score the Ball in the Back of the Net | *July 10, 2026*
- Consumer Conference Takes: DAL Durable Model Shines Through on The Beach | *June 24, 2026*
- There Will Be Winners...& Losers: Rationalize, Consolidate or Eliminate | *Apr 12, 2026*

Trading at 10.0X FY2 P/E, 48% Disct to Mkt vs. Historical Avg Disct of 64%



Trading at 6.5X FY2 EV/EBITDA, 51% Disct to Mkt vs. Historical Avg Disct of 60%

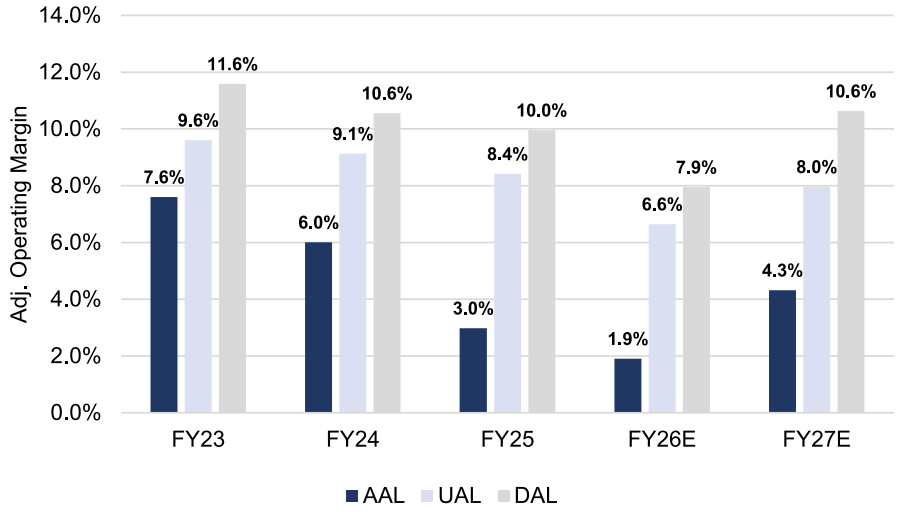


Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

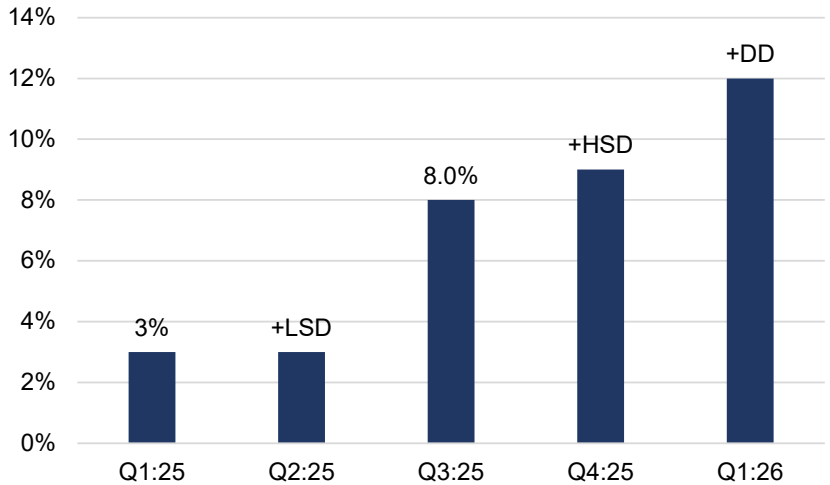
Source: Company data, Jefferies estimates, FactSet

DAL: Durable & Diversified Business Model

Durable and Diversifed Model Drives Industry Leading Margins



Corporate Momentum YTD w/ Q1 +DD Y-o-Y



- Surging jet fuel prices is just the latest headwind to the US airline industry alongside tariffs, domestic oversupply and fits/starts to demand exiting the pandemic. Against this backdrop, DAL has continued to generate industry-leading op margins (margins of 10.0%/7.9% in '25/'26E), supported by its diversified revenue streams (60% of '25 revs). DAL remains confident in achieving its Mid-Teens margin target over the MT.
- Mgmt noted demand remains resilient and broad-based across customer type, cabin and region. Europe pt of sale (~20% of Atlantic revenue) was weak last yr with trends unch. Premium continues to lead y-o-y growth (avg outperformance of 13pts vs Main over past 4 quarters), Main Cabin RASM inflected in January and the gap has narrowed through the year, helped by easier comps. We est 2026E/2027E TRASM +10.6%/-0.5% y-o-y; Each 1pt of RASM in 2027 is worth ~$0.60 of EPS or +8%.
- DAL is seeing momentum in corporate yields with all sector seeing volumes increase y-o-y, led by Aerospace & Defense. DAL corporate volumes remain 10-15pts below 2019 levels despite a much larger economy w/ corporate revs ahead of 2019 levels on fare appreciation. Corporate represents a revenue upside opportunity if DAL can narrow the 2019 volume gap at higher yields seen today.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

DAL: Overview of Recent Revenue Performance

DAL Regional Revenue Build - Bookings To-Date in 2026 Showing Signs of Material Improvement Across Curve & Geographies ($MM)

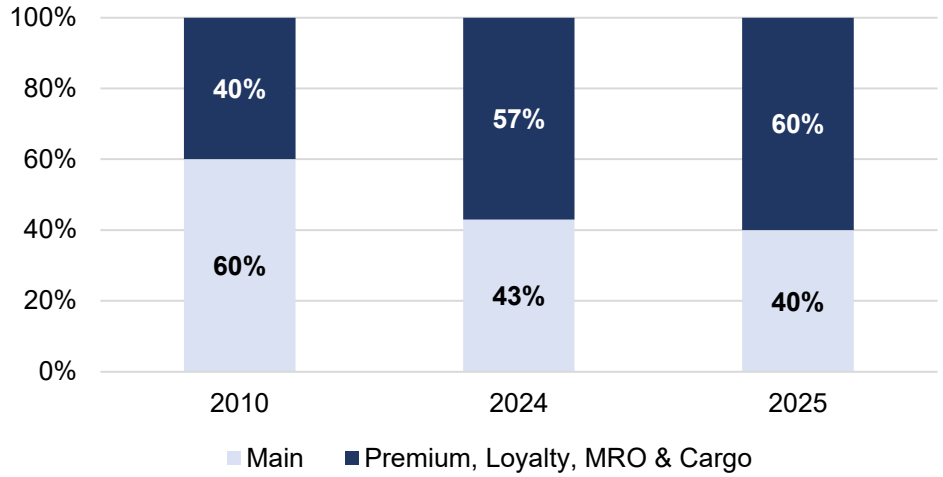
									Revenue Y-o-Y Compare		
Regional Revenue Build	**2022**	**2023**	**2024**	**2025**	**2026E**	**2027E**	**2028E**	**2029E**	**2025**	**2026E**	**2027E**
ASMs											
Domestic	158,120	173,676	181,766	187,383	190,656	199,235	205,711	211,882	3.1%	1.7%	4.5%
Latin America	20,294	23,523	27,004	27,324	26,115	26,898	27,436	28,259	1.2%	-4.4%	3.0%
Atlantic	46,290	59,940	60,027	61,844	62,860	64,745	66,364	67,691	3.0%	1.6%	3.0%
Pacific	8,522	14,895	19,598	21,494	22,803	23,715	24,545	25,281	9.7%	6.1%	4.0%
Total ASMs	**233,226**	**272,033**	**288,394**	**298,045**	**302,433**	**314,594**	**324,056**	**333,114**	**3.3%**	**1.5%**	**4.0%**
Total International	**75,106**	**98,357**	**106,628**	**110,662**	**111,777**	**115,359**	**118,345**	**121,232**	**3.8%**	**1.0%**	**3.2%**
Load Factor											
Domestic	84.8%	85.1%	85.1%	82.5%	83.1%	85.0%	85.0%	85.0%	-2.6%	0.6%	1.9%
Latin America	82.9%	87.3%	86.9%	86.2%	86.6%	86.5%	86.5%	86.5%	-0.8%	0.5%	-0.1%
Atlantic	83.3%	86.2%	86.9%	85.8%	84.9%	85.5%	86.0%	86.0%	-1.1%	-0.8%	0.6%
Pacific	70.5%	82.3%	81.0%	85.6%	85.4%	84.0%	83.8%	83.5%	4.7%	-0.3%	-1.4%
Total Load Factor	**83.8%**	**85.4%**	**85.4%**	**83.7%**	**84.0%**	**85.2%**	**85.2%**	**85.2%**	**-1.6%**	**0.2%**	**1.2%**
Total International LF	**81.7%**	**85.8%**	**85.8%**	**85.8%**	**85.4%**	**85.4%**	**85.6%**	**85.6%**	**0.0%**	**-0.4%**	**0.0%**
RPMs											
Domestic	134,097	147,804	154,640	154,577	158,427	169,350	174,854	180,100	0.0%	2.5%	6.9%
Latin America	16,832	20,535	23,471	23,541	22,620	23,267	23,732	24,444	0.3%	-3.9%	2.9%
Atlantic	38,545	51,650	52,166	53,053	53,393	55,357	57,073	58,215	1.7%	0.6%	3.7%
Pacific	6,006	12,253	15,867	18,406	19,464	19,920	20,556	21,110	16.0%	5.7%	2.3%
Total RPMs	**195,480**	**232,241**	**246,145**	**249,578**	**253,904**	**267,895**	**276,216**	**283,868**	**1.4%**	**1.7%**	**5.5%**
Total International	**61,383**	**84,437**	**91,505**	**95,001**	**95,478**	**98,545**	**101,362**	**103,769**	**3.8%**	**0.5%**	**3.2%**
Yield											
Domestic	22.52¢	22.98¢	22.78¢	23.12¢	25.91¢	25.44¢	25.57¢	25.82¢	1.5%	12.1%	-1.8%
Latin America	17.16¢	18.50¢	17.02¢	16.91¢	18.40¢	17.96¢	18.14¢	18.41¢	-0.7%	8.8%	-2.4%
Atlantic	15.81¢	17.54¢	17.51¢	17.47¢	19.27¢	19.13¢	19.21¢	19.30¢	-0.2%	10.3%	-0.7%
Pacific	17.30¢	17.02¢	16.01¢	15.14¢	16.29¢	16.64¢	16.77¢	16.94¢	-5.4%	7.6%	2.1%
Total Network Yield	**20.57¢**	**21.06¢**	**20.68¢**	**20.74¢**	**23.10¢**	**22.83¢**	**22.96¢**	**23.19¢**	**0.3%**	**11.4%**	**-1.2%**
Total International Yield	**16.33¢**	**17.69¢**	**17.12¢**	**16.88¢**	**18.46¢**	**18.35¢**	**18.46¢**	**18.61¢**	**-1.4%**	**9.3%**	**-0.6%**
Passenger Revenue ($MM)											
Domestic	$30,197	$33,968	$35,226	$35,731	$41,041	$43,082	$44,704	$46,506	1.4%	14.9%	5.0%
Latin America	2,889	3,798	3,995	3,980	4,162	4,178	4,304	4,500	-0.4%	4.6%	0.4%
Atlantic	6,093	9,057	9,133	9,270	10,287	10,591	10,963	11,238	1.5%	11.0%	3.0%
Pacific	1,039	2,086	2,540	2,787	3,171	3,314	3,447	3,575	9.7%	13.8%	4.5%
Total Passenger Revenue	**$40,218**	**$48,909**	**$50,894**	**$51,768**	**$58,662**	**$61,165**	**$63,418**	**$65,819**	**1.7%**	**13.3%**	**4.3%**
Total International Passenger Revenue	**$10,021**	**$14,941**	**$15,668**	**$16,037**	**$17,621**	**$18,083**	**$18,714**	**$19,313**	**2.4%**	**9.9%**	**2.6%**
Non-Passenger Revenue ($MM)											
Cargo	1,049	723	822	900	1,098	1,109	1,142	1,188	9.5%	22.0%	1.0%
Other Revenue	9,315	8,416	9,927	10,696	14,139	12,514	13,016	13,493	7.7%	32.2%	-11.5%
Less: Third Party Refinery Sales/DPJ	(4,977)	(3,379)	(4,642)	(5,076)	(7,200)	(5,000)	(5,000)	(5,000)	9.3%	41.8%	-30.6%
Total Adjusted Revenue	**$45,605**	**$54,669**	**$57,001**	**$58,288**	**$66,699**	**$69,788**	**$72,577**	**$75,500**	**2.3%**	**14.4%**	**4.6%**

- Q1 Adj Revenues Up 9.4% on TRASMs +8.2%. Q1 adj. revenues of $14.2BB increased 9.4% y-o-y, with Passenger revenues up 7.2% vs. Cargo +8.7% and Other +41%. Other revenue was led by MRO +152%. Within passenger, Premium Tickets led growth +13.9% followed by Loyalty Travel Rewards +9.5%, while Travel-related Services +7.2%. Main Cabin revenues lagged the group growing 0.8% y-o-y, but inflected positive for the first time since 2024.

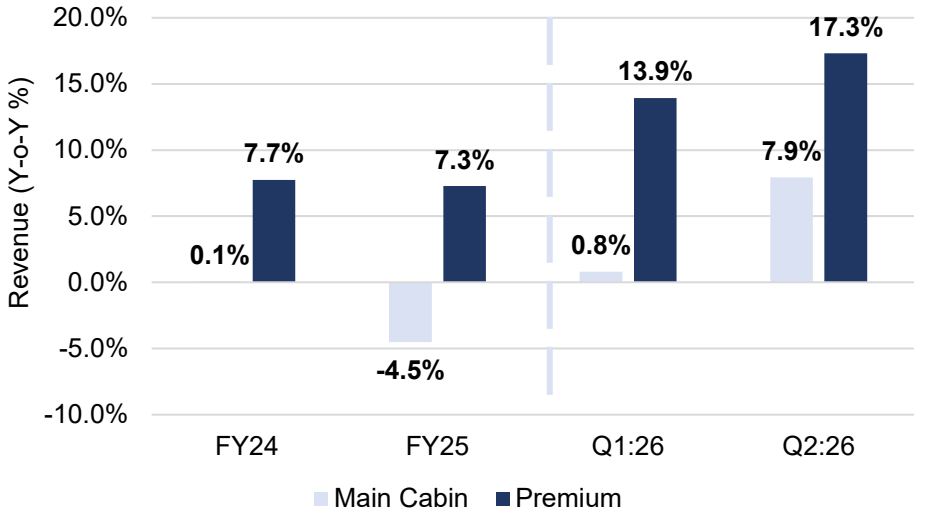
Source: Company data and Jefferies estimates

DAL: Diversified and Durable Model Stands Out

Diversifed Revenue Streams Accounted for 60% Adj Total Revenue in 2025 vs. 40% in 2010



Premium Revenue Outpaced Main Cabin by 12pts in 2025 and Continues to Lead in 2026



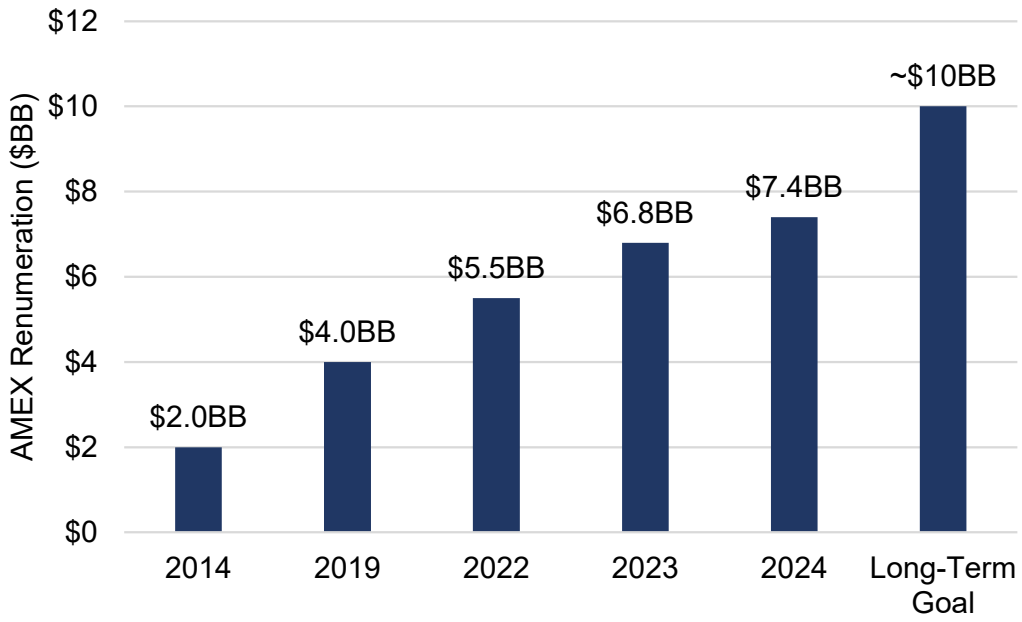
- Growth Focused on Premium. Premium ticket revenue grew 14% y-o-y, outpacing main cabin by 13pts. Both premium and main cabin accounted for ~44% of passenger revenue. Premium seats represent ~30% of mix today earning 15pts+ better margins than Main. In 2025, ~85% of incremental seat additions were premium, with all net new seats in 2026 to be Premium including via retrofits (25-30pts of new premium seats) and higher-mix deliveries (70-75pts). Over time, management expects Premium & Loyalty to account for 60%+ of revenues.
- Delta remains focused on optimizing is premium merchandising strategy as it added tiered fare options (basic, classic, extra) for Comfort+ seats w/ rollout to premium cabins in H2, further maximizing revenue per foot of the aircraft. Additionally, in July Delta rolled out Basic fare options across Delta First, Delta Premium Select and Delta One products, alongside Classic and Extra fare options in select markets.
- To support the onboard premium product, DAL has invested in premium lounges over the past several years as the company has opened DeltaOne premium lounges at JFK, LAX, BOS and SEA. Access to a DeltaOne is exclusive, only offered to DeltaOne passengers with a same-day ticket. DAL is planning to open a second DeltaOne loung at LAX, with an initial phase opening in 2026 w/ the full club to open in 2028.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

DAL: Diversified Revenue Streams Bolster Q2 Performance

American Express Remuneration - 11% Growth in 2025 to $8.2BB with 2026 Guided +HSD and Long-Term Target of $10BB



- **Q2:26** AMEX remuneration grew 16% y-o-y to $2.4BB, supported by accelerating card acquisitions and cardholder spend. In 2026, AMEX remuneration is guided to increase +10% to ~$9BB (vs. prior guide of +HSD growth). The long-term aspiration by the end of the contract in 2028 is to reach $10BB in a year.
- This offers significant growth opportunities across the board, w/ the loyalty ecosystem driving high-margin revenue. Our estimates assume that 40% of AMEX remuneration flows through to FCF. The remuneration target comes primarily through the loyalty growth opportunities through card & spend growth, with increasing customer value over time through engaging small businesses, greater personalization, as well as a gradual shift towards premium mix and greater non-air partnerships.
- On the long-term target of $10BB, if we assume a historical 40% cash margin, the AMEX relationship alone could contribute $4BB of annual cash flow vs. the full SkyMiles program generating $2.4BB of cash in 2019. If we assume a 10% FCF yield on the $4BB of cash flow from the AMEX relationship, the cash flows from the AMEX relationship alone could be worth $40BB, with the challenge being actual monetization of the asset.

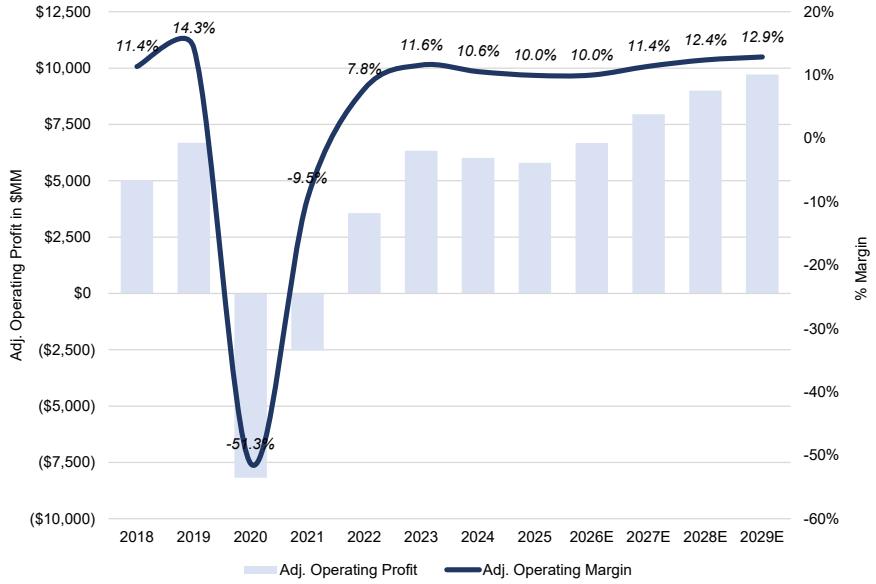
Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

DAL: Margin Runway Toward Mid-Teens on Commanding Revenue Premiums & Run-Rating Cost Base with Efficiencies Taking Shape

- DAL reported $1,563MM of adj. operating income in Q2:26 for an operating margin of 8.8%, down 440 bps y-o-y as strong TRASM performance of 12.4% y-o-y was offset by CASM-ex +6.8% y-o-y and fuel price/gal of $3.93 (+75% y-o-y).
- Q2:26 CASM-ex +6.8% Expected High Watermark for 2026; LT Framework Intact. Q2 CASM-ex was up 6.8% y-o-y to 14.09¢, relatively in-line w/ mgmt commentary that Q2 cost inflation would look similar to Q1 +6.3%. Digitization Efficiencies Worth $1BB+.
- Staffing levels are +DD above 2019 levels, with ASMs 8% above in 2025, with the opportunity to unlock some purpose-built buffers & redundancies over time as DAL secures operational reliability & grows into headcount, while letting normal attrition help reduce costs this year.
- The 3-5 year Investor Day targets point to operating margin progression to the Mid-Teens, with our estimates factoring in 2026 margins are flat to 2025 at 10.0%, despite a multi-$BB fuel headwind. We forecast margin expands to 11.4% in 2027 w/ runway to ~13% though the end of the decade.

Adj Operating Margins are Pressured in 2026 on Elevated Fuel, but Return to Expansion in 2027 w/ Runway to >12%

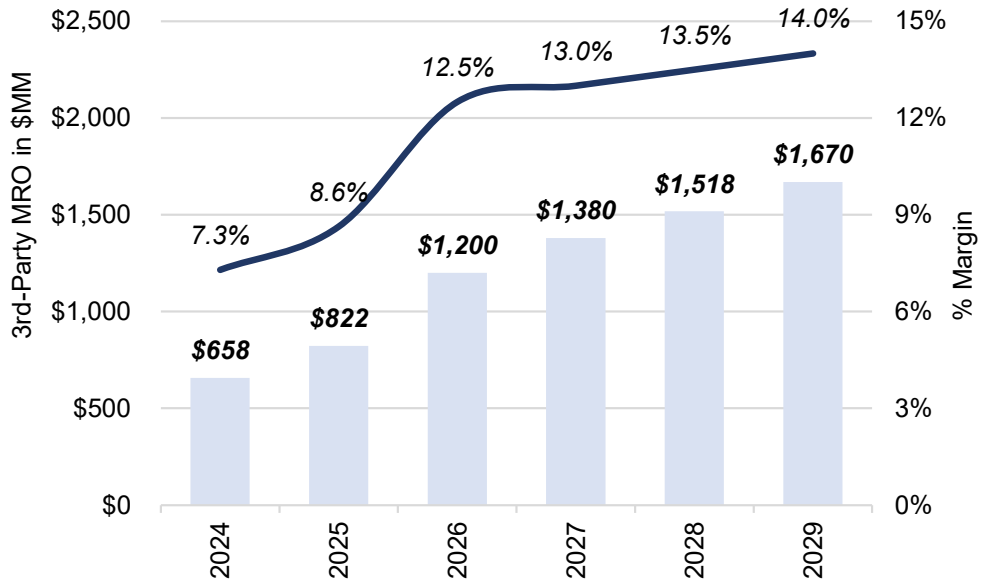


Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

DAL: Margin Runway Toward Mid-Teens on Commanding Revenue Premiums & Run-Rating Cost Base with Efficiencies Taking Shape

3rd-Party MRO Revenues +25% in 2025 and Guided ~50% Growth in 2026 with Runway to 2-3X and Expand Margins to Mid-Teens



- Delta TechOps is the largest airline MRO provider in North America and the 3rd largest globally.
- DAL TechOps performs up to 700 annual engine shop visits, having doubled since 2019 with runway to further growth based on the investment in new-gen engine technologies. In 2025, roughly 50% of shop visits are internal engines to 50% 3rd-party, which is up from a 70-30% mix in 2023. By the 2030 timeframe, DAL expects ~75% of shop visits will be performed for 3rd-party customers.
- TechOps MRO is guided to increase ~50% in 2026 with potential for revenues to 2-3X in the next 5 years and 5-10X over time. The margin profile is expected to improve from ~HSD in 2025 to Mid-Teens in time through leverage & efficiencies. MRO businesses in our coverage typically trade from 10-15X EBITDA, with our 2027 EBITDA estimate of ~$205MM suggesting $2-3BB of standalone enterprise value.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

DAL: 2027 SOTP - $110 PT on Mid-Teens Margin Potential and Premium Revenue Mix

2027 SOTP $110/sh Valuing MRO at $4/sh on Peer Avg Multiple

2027 Sum of the Parts						
	Adj. EBITDA	Peer EV / EBITDA	Prem Vs Peers	EV / EBITDA	EV	Share Value
Passenger & Other	$11,100	5.3x	38%	7.3x	$80,760	$122
MRO	$207	11.3x	0%	11.3x	$2,333	$4
DAL	**$11,307**	**7.3x**			**$83,093**	**$125**
Net Debt					$10,234	($16)
Equity Value					**$72,859**	**$109**
Shares Outstanding					*657.9*	
Share Price					**$110**	**$110**

- Our ***2027*** sum-of-the-parts values DAL at $110/sh based on:
  - Passenger & Other at $122/sh based on 7.3X 2027 EBITDAR of $11.1BB
  - MRO at $4/sh based on 11.3X 2027 EBITDA of $207MM
  - Net debt accounting for ($16/sh)
- If growth targets are met, on ***2030*** the MRO business could be worth $3.8BB of EV at 9x EBITDA. This assumes 3X revenues to $2.5BB and mid-teens EBITDA margins of 15% or $420MM of EBITDA.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

DAL: FY26 FCF Impacted by Fuel, but $3-5BN Annual FCF Framework Remains Intact

DAL Targets $9-11BB of Operating Cash per Year and $3-5BB of FCF per Year; JEFe at $3.3BB in 2026E ($MM)

Free Cash Flow Build	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E
Net Income	**$4,767**	**($12,385)**	**$280**	**$1,318**	**$4,609**	**$3,457**	**$5,005**	**$2,908**	**$5,010**	**$5,734**	**$6,227**
Depreciation and Amortization	2,581	2,312	1,998	2,107	2,341	2,513	2,443	2,567	2,674	2,765	2,811
NWC	526	1,949	2,567	1,952	(62)	873	1,204	1,538	(180)	304	652
Stock Comp/Deferred Taxes/Other	551	4,331	(1,581)	986	(424)	1,182	(310)	638	861	871	724
Cash from Operations	**$8,425**	**($3,793)**	**$3,264**	**$6,363**	**$6,464**	**$8,025**	**$8,342**	**$7,652**	**$8,365**	**$9,673**	**$10,414**
Cash from Investing	(4,563)	(9,238)	(898)	(6,924)	(3,148)	(3,739)	(4,186)	(5,248)	(6,112)	(5,956)	(5,812)
Gross Capex	(5,306)	(1,428)	(2,876)	(6,172)	(5,305)	(4,834)	(4,332)	(5,048)	(5,912)	(5,756)	(5,612)
Total FCF	**$3,862**	**($13,031)**	**$2,366**	**($561)**	**$3,316**	**$4,286**	**$4,156**	**$2,404**	**$2,253**	**$3,717**	**$4,602**
FCF/share	$5.92	($20.51)	$3.69	($0.88)	$5.16	$6.61	$6.35	$3.66	$3.44	$5.77	$7.35
Other Adjustments	302	6,252	(1,110)	804	(1,313)	(861)	487	200	200	200	200
Total Company-Defined FCF	**$4,164**	**($6,779)**	**$1,256**	**$243**	**$2,003**	**$3,425**	**$4,643**	**$2,604**	**$2,453**	**$3,917**	**$4,802**
Company Defined FCF/share	$6.39	($10.67)	$1.96	$0.38	$3.12	$5.29	$7.10	$3.97	$3.74	$6.08	$7.67
Capital Deployment											
Debt Paydown	(3,320)	(8,559)	(5,834)	(4,475)	(4,071)	(3,953)	(4,827)	(2,275)	(2,075)	(1,515)	(625)
Debt Issuance	3,807	26,051	1,902	-	878	-	2,215	-	-	-	-
Cash Dividends Paid	(980)	(260)	-	-	(128)	(321)	(440)	(522)	(599)	(677)	(757)
Share Repurchases	(2,027)	(344)	-	-	-	-	-	-	(500)	(1,250)	(2,000)
Total Capital Deployment	**($2,520)**	**$16,888**	**($3,932)**	**($4,475)**	**($3,321)**	**($4,274)**	**($3,052)**	**($2,797)**	**($3,174)**	**($3,442)**	**($3,382)**
Metrics											
FCF/Revenue	9%	-43%	5%	1%	4%	6%	8%	4%	4%	6%	7%
FCF/Adj. EBITDA	45%	67%	32%	4%	25%	40%	56%	34%	25%	36%	42%
FCF/Net Income	87%	99%	-48%	12%	50%	86%	122%	75%	49%	68%	77%
FCF Yield	9.3%	-15.2%	2.8%	0.5%	4.5%	7.7%	10.4%	5.8%	5.5%	8.8%	10.7%
Cash/Share	$8.36	$24.80	$20.33	$13.51	$11.39	$9.13	$13.05	$12.70	$11.30	$11.92	$14.23

- In Q2:26, DAL generated $209MM of FCF on adj. capex of $1.4BB for 11 deliveries. Mgmt deployed $536MM to debt paydown and $123MM to the dividend.
- DAL's Investor Day from 2024 targets $9-11BB of operating cash flow per year translating to $3-5BB of FCF per year, pointing to ~$6BB of annual capex, of which aircraft capex likely comprises $4-5BB per year.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

DAL: Gross Leverage at 2.4X with ~2X Targeted for 2026

DAL Debt Schedule - Gross Leverage at 2.4X at Year-End 2025 with 2026 Target of ~2X and 3-5 Year Target of 1X

Debt Build	2018	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E
Cash Equivalents												
Cash and Cash Equivalents	$1,565	$2,882	$8,307	$7,933	$3,266	$2,741	$3,069	$4,310	$4,107	$3,186	$3,461	$4,682
Short-Term Investments	-	-	5,789	3,386	3,268	1,127	-	-	-	-	-	-
Total Cash and Cash Equivalents	**$1,565**	**$2,882**	**$14,096**	**$11,319**	**$6,534**	**$3,868**	**$3,069**	**$4,310**	**$4,107**	**$3,186**	**$3,461**	**$4,682**
Debt Build												
Unsecured Debt:												
Unsecured Notes	$4,050	$5,550	$5,350	$4,354	$2,997	$2,590	$1,575	$2,884	$2,884	$2,732	$2,530	$2,030
Unsecured Payroll Support Program Loan	-	-	$1,648	$3,496	$3,496	$3,496	$3,496	$1,848	$598	-	-	-
Unsecured Payroll Support Program Extension Loan	-	-	-	-	-	-	-	-	-	-	-	-
Unsecured Payroll Support Program 3 Loan	-	-	-	-	-	-	-	-	-	-	-	-
Secured Debt:	-	-	-	-	-	-	-	-	-	-	-	-
SkyMiles related financing:	-	-	-	-	-	-	-	-	-	-	-	-
SkyMiles Notes	-	-	$6,000	$6,000	$5,144	$4,518	$3,970	$3,422	$2,722	$1,722	$722	$722
SkyMiles Term Loan	-	-	$3,000	$2,820	$2,820	$1,772	$784	$588	$388	$188	-	-
Financing secured by slots, gates, and/or routes:	-	-	-	-	-	-	-	-	-	-	-	-
2020 Senior Secured Notes	-	-	$3,500	$2,589	$1,542	$838	$812	-	-	-	-	-
2020 Term Loan	-	-	$1,493	-	-	-	-	-	-	-	-	-
2026 Term Loan	-	-	-	-	-	-	-	-	-	-	-	-
2018 Revolving Credit Facility	-	-	-	-	-	-	-	-	-	-	-	-
Financing secured by aircraft:	-	-	-	-	-	-	-	-	-	-	-	-
Certificates	$1,837	$1,669	$2,633	$1,932	$1,802	$1,591	$992	$894	$869	$844	$819	$794
Notes	$1,787	$1,193	$1,284	$1,139	$813	$165	$87	$78	$78	$78	$78	$78
Other Debt:	-	-	-	-	-	-	-	-	-	-	-	-
NYTDC Special Facilities Revenue Bonds, Series 2020	-	-	$1,511	$1,511	$2,838	$3,656	$3,591	$3,522	$3,422	$3,322	$3,222	$3,122
NYTDC Special Facilities Revenue Bonds, Series 2018	$1,383	$1,383	$1,383	$1,383	-	-	-	-	-	-	-	-
Other financings	$251	$196	$412	$68	$67	$67	$66	$66	$66	$66	$66	$66
Other revolving credit facilities	-	-	-	-	-	-	-	-	-	-	-	-
Total Secured and Unsecured Debt	**$9,308**	**$9,991**	**$28,214**	**$25,292**	**$21,519**	**$18,693**	**$15,373**	**$13,302**	**$11,027**	**$8,952**	**$7,437**	**$6,812**
Unamoritzed premium and debt issue cost, net	60	115	(240)	(208)	(138)	(83)	(26)	6	6	6	6	6
Total Debt	**$9,368**	**$10,106**	**$27,974**	**$25,084**	**$21,381**	**$18,610**	**$15,347**	**$13,308**	**$11,033**	**$8,958**	**$7,443**	**$6,818**
Plus Finance Lease Obligations	$403	$1,054	$1,183	$1,836	$1,649	$1,444	$847	$804	$804	$804	$804	$804
Plus: Sale-Leaseback Financing Obligations	$0	$0	$2,283	$2,234	$2,180	$1,887	$1,835	$1,779	$1,729	$1,679	$1,629	$1,579
Plus 7X LTM Aircraft Rent	$2,758	$2,968	$2,793	$3,011	$3,558	$3,923	$3,178	$2,780	$4,391	$4,208	$4,025	$3,842
Adj. Total Debt	**$12,469**	**$14,013**	**$34,473**	**$32,374**	**$28,906**	**$25,947**	**$21,233**	**$18,665**	**$17,951**	**$15,643**	**$13,895**	**$13,037**
Less: Cash and Cash Equivalents	(1,565)	(2,882)	(14,096)	(11,319)	(6,534)	(3,868)	(3,069)	(4,310)	(4,107)	(3,186)	(3,461)	(4,682)
Adj. Net Debt	**$10,904**	**$11,131**	**$20,377**	**$21,055**	**$22,372**	**$22,079**	**$18,164**	**$14,355**	**$13,844**	**$12,457**	**$10,434**	**$8,355**
Debt Build												
Debt to Adj. EBITDA	1.7X	1.5X	(5.9X)	(61.0X)	5.1X	3.0X	2.5X	2.3X	2.3X	1.6X	1.3X	1.1X
Debt to Adj. EBITDAR	1.6X	1.4X	(6.3X)	(322.1X)	4.7X	2.8X	2.3X	2.1X	2.1X	1.5X	1.2X	1.1X
Net Debt to Adj. EBITDA	1.5X	1.2X	(3.5X)	(39.7X)	3.9X	2.5X	2.1X	1.7X	1.8X	1.3X	1.0X	0.7X
Net Debt to Adj. EBITDAR	**1.4X**	**1.1X**	**(3.7X)**	**(209.5X)**	**3.6X**	**2.4X**	**2.0X**	**1.6X**	**1.6X**	**1.2X**	**0.9X**	**0.7X**

- DAL ended Q2 with adj. total debt of $18.3BB, down $1.5BB y-o-y, and adj. net debt of $13.6BB, down $2.7BB y-o-y. This represents gross leverage of 2.2X, with Investment Grade credit ratings. The weighted average interest rate is 4.4% with 95% fixed and 5% floating.
- In 2026, mgmt targets gross leverage at ~2X, with the medium-term Investor Day target of ~1X on the idea that a fortress balance sheet will drive multiple re-rating, requiring >$10BB of debt reduction which remains the capital allocation priority in the near-term. DAL exited Q2 w/ 2.2X gross leverage.
- We assume DAL pays down $2.3BB of debt in 2026 and $2.1BB in 2027, which would drive DAL's adj. debt down to ~$16BB by the end of 2027 at 1.4X gross leverage. On JEF-defined estimates, net leverage falls to 1.1X in 2026 and 0.7X in 2027.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

DAL: Fleet Renewal Drives $5-6BN Annual Capex Through the Decade; Widebody Refresh Supports Efficiency Gains

DAL Capex Build - Long-Term Capex Trending at $5-6BB per Year

	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E
Assumptions											
Estimated List Price ($MM):											
737	$50	$50	$30	$30	$30	$30	$30	$30	$30	$30	$30
787	-	-	-	-	-	$275	$275	$275	$275	$275	$275
A220	$60	$60	$60	$60	$60	$60	$60	$60	$60	$60	$60
A321	$110	$110	$110	$110	$110	$110	$110	$110	$110	$110	$110
A330	$240	$240	$240	$240	$240	$240	$240	$240	$240	$240	$240
A350	$320	$320	$320	$320	$320	$320	$320	$335	$350	$350	$350
Payment Terms:											
2 Year PDP Payment	20%	0%	5%	20%	20%	20%	20%	20%	20%	20%	20%
1 Year PDP Payment	20%	0%	10%	20%	20%	20%	20%	20%	20%	20%	20%
Remaining Payment at Delivery	60%	57%	80%	90%	75%	60%	60%	60%	60%	60%	60%
Delivery Assumptions											
737	18	0	19	19	0	0	0	0	10	20	20
787	0	0	0	0	0	0	0	0	0	0	0
A220	24	15	8	7	9	5	8	24	18	10	12
A321	31	11	22	27	27	21	18	20	28	20	15
A330	4	6	3	9	7	5	7	0	0	0	4
A350	2	4	8	4	0	7	5	4	8	10	6
Total	**79**	**36**	**60**	**66**	**43**	**38**	**38**	**48**	**64**	**60**	**57**
Aircraft Capex											
PDP Payments:											
737	$114	-	$26	-	-	-	$36	$117	$156	$176	$195
787	-	-	-	-	-	-	-	-	-	-	143
A220	151	-	28	72	81	230	302	218	172	94	-
A321	396	-	203	539	446	502	634	686	501	501	572
A330	173	-	135	288	300	202	-	-	125	250	250
A350	77	-	29	224	399	346	461	784	728	546	501
Total PDP Spend	**$911**	**-**	**$421**	**$1,123**	**$1,226**	**$1,279**	**$1,433**	**$1,806**	**$1,681**	**$1,565**	**$1,660**
Acceptance Payments:											
737	$324	-	$205	$257	-	-	-	-	$117	$234	$234
787	-	-	-	-	-	-	-	-	-	-	-
A220	518	165	173	189	164	108	173	562	421	234	281
A321	1,228	186	871	1,337	1,201	832	713	858	1,201	858	644
A330	346	152	259	972	655	432	605	-	-	-	374
A350	230	135	-	576	-	806	576	523	1,092	1,365	819
Total Acceptance Spend	**$2,646**	**$637**	**$1,508**	**$3,330**	**$2,020**	**$2,178**	**$2,066**	**$1,942**	**$2,831**	**$2,691**	**$2,352**
Other Aircraft Capex	$605	$509	$261	$248	$860	-	-	-	-	-	-
Gross Aircraft Capex	**$4,162**	**$1,146**	**$2,190**	**$4,701**	**$4,106**	**$3,457**	**$3,499**	**$3,748**	**$4,512**	**$4,256**	**$4,012**
Total Capex											
Gross Aircraft Capex	$4,162	$1,146	$2,190	$4,701	$4,106	$3,457	$3,499	$3,748	$4,512	$4,256	$4,012
Gross Ground Property and Equipment Spend	1,144	282	686	1,471	1,199	920	811	1,300	1,400	1,500	1,600
Total Gross Capex	**$5,306**	**$1,428**	**$2,876**	**$6,172**	**$5,305**	**$4,377**	**$4,310**	**$5,048**	**$5,912**	**$5,756**	**$5,612**
Financed Aircraft Acquisitions	(818)	(250)	(594)	(206)	(461)	-	-	-	-	-	-
Net Cash Flows on Airport Construction Projects	448	721	965	400	479	306	167	200	200	200	200
Total Reported Capex	**$4,936**	**$1,899**	**$3,247**	**$6,366**	**$5,323**	**$4,683**	**$4,477**	**$5,248**	**$6,112**	**$5,956**	**$5,812**

- There has been no change to capex since January, DAL guided 2026 capex to ~$5.5BB for ~50 deliveries, following the $4.3BB in adj capex for 38 in 2025. Our estimates factor in $5.6BB in 2026 for 48 deliveries (24 A220, 20 A321neos, and 4 A350s plus continued investment into Sky Clubs and Delta One lounges.
- Our estimates factor in 34 retirements (unchanged) in 2026 (15 757-200, 6 767-300, and 13 A320), which leads to year-end fleet to 1,003, up ~1% y-o-y supporting the ~1.5% ASM growth.
- The fleet refresh is largely on Atlantic. The 787-10 order from January 2026 for 30 firm and 30 options have deliveries starting in 2031, diversifying the widebody order book beyond the A350s (24 firm and 10 options) as the 767-300s retire and the 767-400s are removed from long-haul service by 2028 and retired by 2030. The 787s should be much more efficient vs 767s which should be a multiplier on gauge on fuel burn in addition to a more robust revenue opportunity.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

DAL: Annual Income Statement

($MM, except per share data)	2021	% Sales	2022	% Sales	2023	% Sales	2024	% Sales	2025	% Sales	2026E	% Sales	2027E	% Sales	2028E	% Sales
Domestic	$18,468	61.8%	$30,197	59.7%	$33,968	58.5%	$35,226	57.1%	$35,731	56.4%	$41,041	55.5%	$43,082	57.6%	$44,704	57.6%
Latin America	1,873	6.3%	2,889	5.7%	3,798	6.5%	3,995	6.5%	3,980	6.3%	4,162	5.6%	4,178	5.6%	4,304	5.5%
Atlantic	1,777	5.9%	6,093	12.0%	9,057	15.6%	9,133	14.8%	9,270	14.6%	10,287	13.9%	10,591	14.2%	10,963	14.1%
Pacific	401	1.3%	1,039	2.1%	2,086	3.6%	2,540	4.1%	2,787	4.4%	3,171	4.3%	3,314	4.4%	3,447	4.4%
Passenger Revenue	**$22,519**	**75.3%**	**$40,218**	**79.5%**	**$48,909**	**84.3%**	**$50,894**	**82.6%**	**$51,768**	**81.7%**	**$58,662**	**79.4%**	**$61,165**	**81.8%**	**$63,418**	**81.7%**
Cargo	1,032	3.5%	1,049	2.1%	723	1.2%	822	1.3%	900	1.4%	1,098	1.5%	1,109	1.5%	1,142	1.5%
Other	6,348	21.2%	9,315	18.4%	8,416	14.5%	9,927	16.1%	10,696	16.9%	14,139	19.1%	12,514	16.7%	13,016	16.8%
Total Revenues	**$29,899**	**100.0%**	**$50,582**	**100.0%**	**$58,048**	**100.0%**	**$61,643**	**100.0%**	**$63,364**	**100.0%**	**$73,899**	**100.0%**	**$74,788**	**100.0%**	**$77,577**	**100.0%**
Refinery	(3,229)	10.8%	(4,977)	9.8%	(3,379)	5.8%	(4,642)	7.5%	(5,076)	8.0%	(7,200)	9.7%	(5,000)	6.7%	(5,000)	6.4%
Total Adj. Revenues	**$26,670**		**$45,605**		**$54,669**		**$57,001**		**$58,288**		**$66,699**		**$69,788**		**$72,577**	
Cost and Expenses																
Salaries and Related Costs	9,728	36.5%	11,902	26.1%	14,607	26.7%	16,161	28.4%	17,520	30.1%	19,067	28.6%	20,060	28.7%	20,780	28.6%
Aircraft fuel and related taxes	5,633	21.1%	11,482	25.2%	11,069	20.2%	10,566	18.5%	9,819	16.8%	13,618	20.4%	12,544	18.0%	11,963	16.5%
Regional carrier expense, ex fuel	1,736	6.5%	2,051	4.5%	2,200	4.0%	2,328	4.1%	2,553	4.4%	2,661	4.0%	2,863	4.1%	3,046	4.2%
Contracted services	2,420	9.1%	3,345	7.3%	4,041	7.4%	4,228	7.4%	4,617	7.9%	4,839	7.3%	5,128	7.3%	5,347	7.4%
Depreciation and amortization	1,998	7.5%	2,107	4.6%	2,341	4.3%	2,513	4.4%	2,443	4.2%	2,614	3.9%	2,675	3.8%	2,766	3.8%
Passenger commission and other selling expense	953	3.6%	1,891	4.1%	2,334	4.3%	2,485	4.4%	2,485	4.3%	2,631	3.9%	2,800	4.0%	2,917	4.0%
Landing fees and other rents	2,019	7.6%	2,181	4.8%	2,563	4.7%	3,150	5.5%	3,564	6.1%	3,841	5.8%	4,278	6.1%	4,666	6.4%
Aircraft maintenance materials and outside repairs	1,401	5.3%	1,982	4.3%	2,432	4.4%	2,616	4.6%	2,432	4.2%	2,540	3.8%	2,517	3.6%	2,495	3.4%
Profit sharing	108	0.4%	563	1.2%	1,383	2.5%	1,389	2.4%	1,337	2.3%	1,606	2.4%	2,001	2.9%	2,345	3.2%
Passenger service	756	2.8%	1,453	3.2%	1,750	3.2%	1,788	3.1%	1,855	3.2%	1,875	2.8%	1,982	2.8%	2,074	2.9%
Ancillary business and refinery	3,957	14.8%	5,756	12.6%	4,172	7.6%	4,806	8.4%	5,236	9.0%	7,351	11.0%	5,157	7.4%	5,162	7.1%
MRO	0	0.0%	0	0.0%	0	0.0%	610	1.1%	751	1.3%	1,050	1.6%	1,201	1.7%	1,313	1.8%
Aircraft rent	430	1.6%	508	1.1%	532	1.0%	548	1.0%	542	0.9%	653	1.0%	680	1.0%	680	0.9%
Other	(3,126)	-11.7%	1,700	3.7%	3,103	5.7%	2,460	4.3%	2,388	4.1%	2,624	3.9%	2,800	4.0%	2,949	4.1%
Total Operating Costs	**$28,013**	**105.0%**	**$46,921**	**102.9%**	**$52,527**	**96.1%**	**$55,648**	**97.6%**	**$57,542**	**98.7%**	**$66,972**	**100.4%**	**$66,685**	**95.6%**	**$68,502**	**94.4%**
Adj. Operating Profit	**($2,529)**	**-9.5%**	**$3,566**	**7.8%**	**$6,334**	**11.6%**	**$6,016**	**10.6%**	**$5,804**	**10.0%**	**$6,678**	**10.0%**	**$7,953**	**11.4%**	**$9,000**	**12.4%**
Other, net	(1,488)		(1,747)		87		(1,337)		363		(899)		(642)		(571)	
Income before taxes	**$398**	**1.5%**	**$1,914**	**4.2%**	**$5,608**	**10.3%**	**$4,658**	**8.2%**	**$6,185**	**10.6%**	**$6,029**	**9.0%**	**$7,461**	**10.7%**	**$8,504**	**11.7%**
Taxes (% Rate)	118	29.7%	596	31.1%	999	17.8%	1,201	25.8%	1,180	19.1%	1,444	24.0%	1,791	24.0%	2,071	24.4%
Net Income	**$280**	1.0%	**$1,318**	2.9%	**$4,609**	8.4%	**$3,457**	6.1%	**$5,005**	8.6%	**$4,585**	6.9%	**$5,670**	8.1%	**$6,433**	8.9%
Diluted Shares (millions)	641		641		643		648		654		657		658		651	
GAAP EPS	**$0.44**		**$2.06**		**$7.17**		**$5.33**		**$7.66**		**$6.95**		**$8.62**		**$9.89**	
GAAP Pre-Tax Income	**$398**		**$1,914**		**$5,608**		**$4,658**		**$6,185**		**$6,029**		**$7,461**		**$8,504**	
Restructuring Charges	(19)		(124)		0		0		0		0		0		0	
Cares Act Grant Recognition	(4,512)		0		0		0		0		0		0		0	
Impairments and equity method losses	337		100		0		0		0		0		0		0	
MTM adjustment and settlement on hedges	319		29		(52)		21		(17)		(250)		(150)		(75)	
Equity investment MTM adjustment	108		0		0		0		0		0		0		0	
MTM adjustment on investment	(47)		784		(1,263)		319		(1,212)		201		0		0	
Adjusted Taxes	817		(650)		(1,200)		(1,212)		(1,179)		(1,443)		(1,755)		(2,052)	
Adjusted Net Earnings	**($2,598)**		**$2,052**		**$4,020**		**$3,990**		**$3,802**		**$4,582**		**$5,556**		**$6,377**	
Adjusted EPS	**($4.08)**		**$3.20**		**$6.25**		**$6.16**		**$5.82**		**$6.95**		**$8.45**		**$9.80**	
% Y-o-Y Change			-		95%		-2%		-5%		19%		22%		16%	

Source: Company data and Jefferies estimates

DAL: Balance Sheet

($MM, except per share data)	2021	2022	2023	2024	2025	2026E	2027E	2028E
Assets:								
Cash and cash equivalents	$7,933	$3,266	$2,741	$3,069	$4,310	$4,909	$5,908	$7,412
Short-term investments	3,386	3,268	1,127	0	0	0	0	0
Accounts receivable	2,404	3,176	3,130	3,224	2,850	3,746	3,824	3,877
Fuel inventory	694	1,424	1,314	1,428	1,601	1,601	1,601	1,601
Expendable parts and supplies inventories	404	0	0	0	0	0	0	0
Prepaid expenses and other current assets	1,119	1,877	1,957	2,123	2,207	2,285	2,239	2,324
Total Current Assets	15,940	13,011	10,269	9,844	10,968	12,541	13,572	15,215
Property and equipment	28,749	33,109	35,486	37,595	39,743	44,947	49,545	53,418
Operating lease right-of-use assets	7,237	7,036	7,004	6,644	6,244	6,244	6,244	6,244
Goodwill	9,753	9,753	9,753	9,753	9,753	9,753	9,753	9,753
Intangibles	6,001	5,992	5,983	5,975	5,966	5,966	5,966	5,966
Equity investments	1,712	2,128	3,457	2,846	4,222	4,222	4,222	4,222
Other noncurrent assets	3,067	1,259	1,692	2,715	4,421	3,279	2,234	1,184
Total Assets	**$56,519**	**$59,277**	**$63,375**	**$65,528**	**$70,349**	**$74,411**	**$77,964**	**$80,787**
Liabilities:								
Current maturities of debt and finance leases	$1,782	$2,359	$2,983	$2,175	$1,605	$1,557	$1,308	$1,126
Current maturities of operating leases	703	714	759	763	809	809	809	809
Air Traffic liability	6,228	8,160	7,044	7,094	7,157	7,890	7,939	8,069
Accounts payable	4,240	5,106	4,446	4,650	5,226	5,315	5,234	5,372
Accrued salaries and related benefits	2,457	3,288	4,561	4,762	4,906	4,767	4,915	4,987
Loyalty program deferred revenue	2,710	3,434	3,908	4,314	4,876	5,051	5,428	5,644
Fuel card obligation	1,100	1,100	1,100	1,100	1,100	1,100	1,100	1,100
Other accrued liabilities	1,746	1,779	1,617	1,812	1,945	1,945	1,945	1,945
Total Current Liabilities	20,966	25,940	26,418	26,670	27,624	28,434	28,677	29,052
Debt and finance leases	25,138	20,671	17,071	14,019	12,507	10,280	8,454	7,121
Pension and postretirement	6,035	3,707	3,601	3,144	3,156	3,156	3,156	3,156
Loyalty program deferred revenue	4,849	4,448	4,512	4,512	4,386	4,810	5,215	5,418
Noncurrent operating leases	7,056	6,866	6,468	5,814	5,353	5,353	5,353	5,353
Deferred income taxes	0	0	908	2,176	3,444	4,586	5,631	6,681
Other noncurrent liabilities	4,528	4,074	3,561	3,744	3,994	3,994	3,994	3,994
Total Liabilities	**$47,606**	**$39,766**	**$36,121**	**$33,409**	**$32,840**	**$32,180**	**$31,803**	**$31,724**
Equity:								
Common stock	0	0	0	0	0	0	0	0
Additional paid-in capital	11,447	11,526	11,641	11,740	11,883	0	0	0
Retained earnings	(148)	1,170	5,650	8,783	13,343	0	0	0
AOCI	(7,130)	(5,801)	(5,845)	(4,979)	(4,135)	0	0	0
Treasury stock	(282)	(313)	(341)	(251)	(238)	0	0	0
Total Equity	**$3,887**	**$6,582**	**$11,105**	**$15,293**	**$20,853**	**$26,339**	**$31,056**	**$35,226**
Total Liabilities and Equity	**$72,459**	**$72,288**	**$73,644**	**$75,372**	**$81,317**	**$86,952**	**$91,536**	**$96,002**

Source: Company data and Jefferies estimates

Doncasters Group (DPC)

BUY | Price Target: $56

Valuation Method	Price	Assumptions
EV/EBITDA	54	28.0x EV/EBITDA on 2028 EBITDA of $280MM
P/E	57	50.0x P/E on 2028 EPS of $1.14
Price Target	**$56**	**Blended Average**

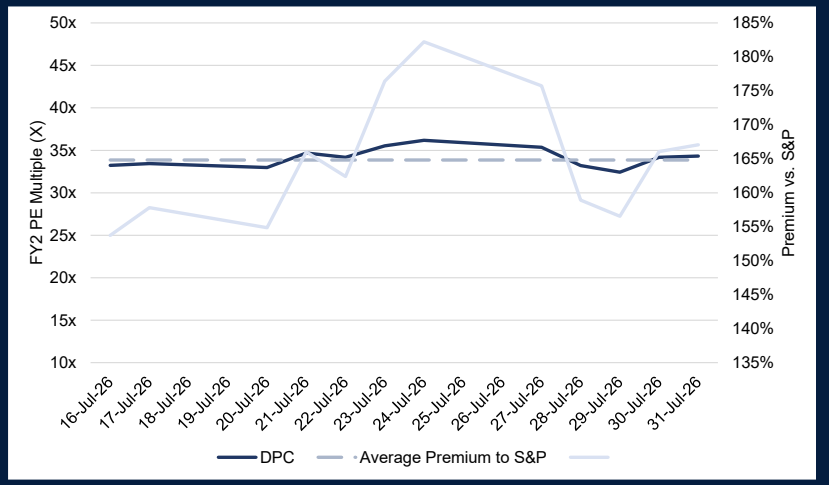
Valuation Table

	Ticker	JEF Rating	Stock Px 7/16/2026	Consensus BUY Rating	Market Cap	Enterprise Value	P/E 2026E	P/E 2027E	P/E 2028E	EV / SALES 2026E	EV / SALES 2027E	EV / SALES 2028E	EV / EBITDA 2026E	EV / EBITDA 2027E	EV / EBITDA 2028E	FCF Yield
ATI Inc	ATI	N/C	$193.59	92%	26,419	28,374	43.4x	35.5x	30.4x	5.7x	5.2x	4.9x	27.0x	23.3x	20.7x	2.4%
Carpenter Technology	CRS	Buy	$577.10	70%	28,674	29,433	54.5x	44.7x	37.6x	9.4x	8.5x	7.8x	34.6x	28.9x	24.5x	1.5%
General Electric	GE	Buy	$360.35	85%	375,967	390,389	47.6x	41.6x	36.4x	8.0x	7.3x	6.7x	33.7x	29.9x	26.7x	2.5%
GE Vernova	GEV	Buy	$1,055.28	76%	288,147	281,193	35.6x	42.8x	30.6x	6.2x	5.4x	4.7x	45.1x	30.0x	21.6x	2.5%
Howmet Aerospace	HWM	Buy	$279.24	79%	111,726	114,946	55.1x	46.1x	38.9x	11.8x	10.4x	9.4x	36.8x	31.8x	27.8x	1.9%
Woodward	WWD	Buy	$401.99	85%	24,610	25,203	42.7x	37.4x	31.4x	5.8x	5.4x	4.8x	27.9x	24.7x	21.2x	2.2%
Average				**81%**			**46.5x**	**41.3x**	**34.2x**	**7.8x**	**7.0x**	**6.4x**	**34.2x**	**28.1x**	**23.8x**	**2.2%**
DPC Holdings	**DPC**		**$46.75**		**$6,786**	**$7,488**	**NM**	**51.8x**	**40.9x**	**8.0x**	**7.1x**	**6.1x**	**41.9x**	**33.8x**	**26.8x**	**0.9%**
Discount / Premium							**NM**	**25%**	**20%**	**3%**	**1%**	**-4%**	**23%**	**20%**	**13%**	**129%**

Featured Notes:

- Air Show Takes: Forging The Next Chapter Of Growth | *July 21, 2026*
- Initiate at Buy: A Castings House Looking to Become a Powerhouse | *July 20, 2026*

Trading at 34.3X FY2 EV/EBITDA, 167% Premium to the mkt



Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

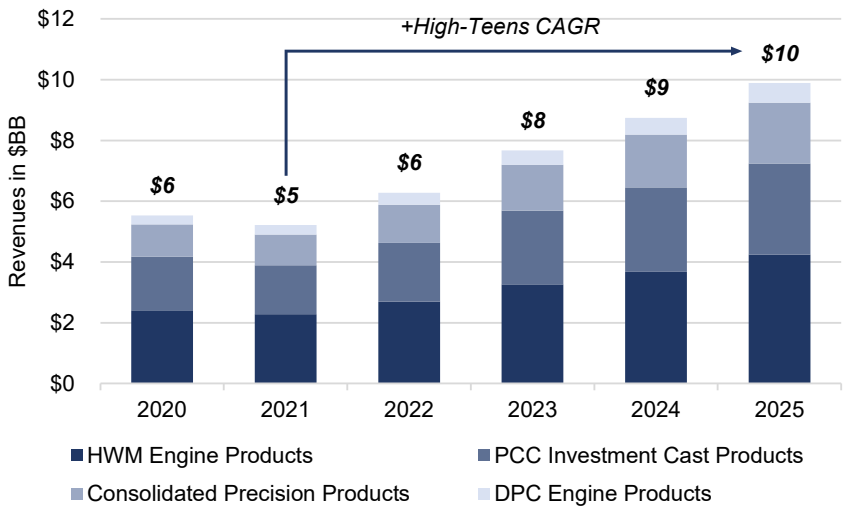
Source: Company data, Jefferies estimates, FactSet

DPC: Initiate at Buy with a $56 price target

Organic Revenue CAGR of 15% to 2028 with Adj EBITDA at a 27% CAGR, Supporting Margins to 23% by 2028

	2024	2025	2026E	2027E	2028E	2025-2028 CAGR
Revenue						
Engine Products Europe	$314	$386	$420	$530	$656	19%
Engine Products North America	236	266	331	376	427	17%
Turbo Wheels	196	185	183	144	144	-8%
Total Revenue	**$746**	**$837**	**$934**	**$1,050**	**$1,227**	**14%**
% Growth		12.2%	11.6%	12.4%	16.9%	
% Organic Growth		12.2%	11.6%	16.6%	16.9%	15%
Adj EBITDA						
Engine Products Europe	$52	$85	$112	$144	$187	30%
Engine Products North America	42	51	71	85	102	26%
Turbo Wheels	10	12	13	14	14	6%
Corporate	(7)	(10)	(18)	(22)	(24)	
Adj EBITDA	**$97**	**$138**	**$179**	**$222**	**$280**	**27%**
% Growth		42%	29%	24%	26%	
Margins						
Engine Products Europe	16.6%	22.0%	26.7%	27.2%	28.5%	6.5 pts
Engine Products North America	17.8%	19.2%	21.5%	22.6%	24.0%	4.8 pts
Turbo Wheels	5.1%	6.5%	7.0%	10.0%	10.0%	3.5 pts
Adj EBITDA Margins	**13.0%**	**16.5%**	**19.1%**	**21.1%**	**22.8%**	**6.3 pts**
Engine Products Segments	17.1%	20.9%	24.4%	25.3%	26.7%	5.9 pts
Cash						
Capital Expenditures	$36	$31	$58	$78	$54	20%
% of Sales	4.8%	3.7%	6.2%	7.4%	4.4%	
Free Cash Flow	**($53)**	**$11**	**$39**	**$50**	**$110**	**115%**
% Conversion of Adj NI	-	24%	56%	37%	63%	

Engine Products Annual Market Opportunity at High-Teens CAGR to $10BB in 2025 Revenues



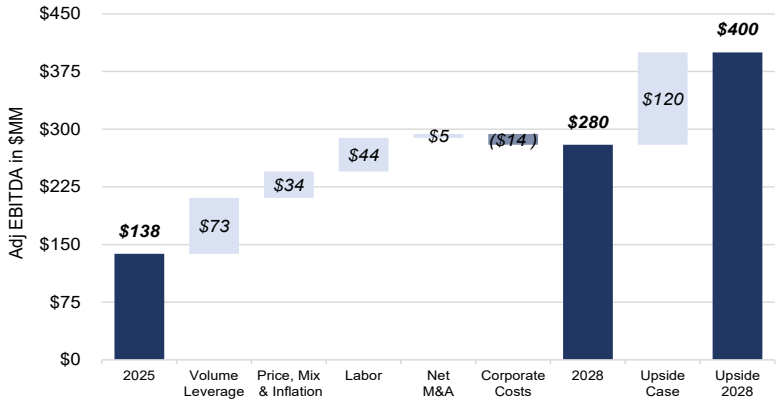
- DPC is the subscale player w/ material runway in the $10BB+ investment castings market as customers sign strategic partnerships to multi-source supply for the A&D and IGT supercycles, cementing DPC's role as a trusted partner. Margins expanded >1,000bps over 5 yrs from 2020 & another 630 bps over 3 yrs to 23% in '28 w/ upside to high-20% as new wins ramp, price capture improves, & execution. Initiate at Buy; PT $56 at 28X 2028 EBITDA.
- **A Casting House Becoming a Powerhouse.** DPC is 1 of 4 scaled suppliers of structural castings & turbine airfoils in a $10BB+/year market (Ex 1), arguably the most in-demand & supply-constrained parts in the market with high capital/regulatory hurdles, difficult manufacturing yields, & a perfect storm of demand in IGT (42% of '25 sales) and Aero (35%) for both new build & spares. JEF ests organic sales at 15% CAGR to $1.23BB in '28 w/ IGT at 20% CAGR (higher market growth + spares + higher relative value-based pricing) and Aero at a 17% CAGR vs Transportation flattish (Ex 5).

Source: Company data and Jefferies estimates

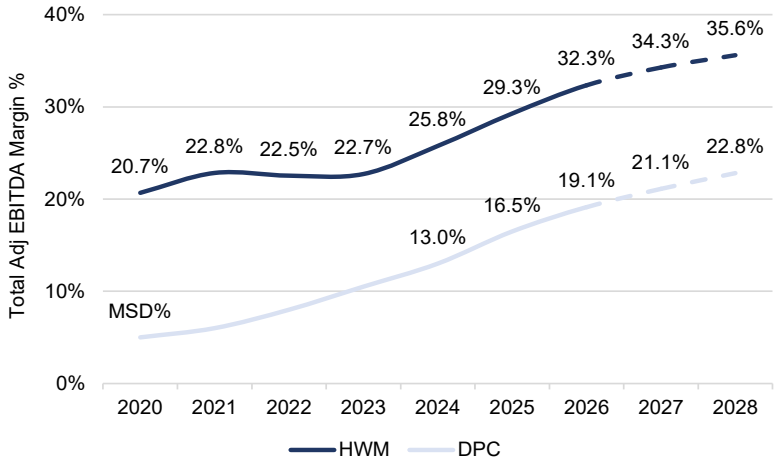
Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

DPC: Initiate at Buy with a $56 price target

Adj EBITDA at 27% CAGR to 2028 with >200 Bps per Year of Margin Expansion to ~23%; Upside to $400MM of '28 EBITDA at 20% Topline CAGR and 45% Incrementals



DPC Narrowed the Adj EBITDA Margin Spread to HWM from ~16pts in 2020 to ~13pts in 2025, But Expected to Persist



- **Capital Upfront In Exchange for Enhanced Econs.** DPC has signed four strategic partnerships since '24 expected to deliver $200MM+ of run-rate sales in 2029 (25%+ to existing biz) at accretive margins, including its entry into Aero high-pressure turbine airfoils. Capex climbs from $31MM in '25 (3.7% of sales) to $58MM in '26E (6.2%) and $78MM in '27E (7.4%), before declining to $54MM in '28 (4.4%) but w/ bias higher for the market oppty & incremental wins. FCF conversion is limited w/ $36MM in '26E (~50% conversion), $64MM in '27E (47%) and $110MM in '28E (63%)(Ex 58). However, the $1.1BB net IPO proceeds drives net cash B/S for internal spend + M&A.
- **Laying the Foundation to Bridge Toward Peer Margins.** JEF ests EBITDA increases at a 27% CAGR to '28, 13pts above sales w/ >200bps per year of margin expansion from 16.5% in '25 to 22.8% in '28 (Ex 39). Peer group EBITDA CAGR avg's 19% (Ex 55). In our bridge, operating leverage contributes 50%+ of EBITDA growth, trailed by productivity and price, mix & inflation (avg 1.2pts net/yr) each contributing ~25%. Incremental margins of 36% in '25'-28 should reaccelerate in '29 as strategic partnerships ramp (>100bps accretive; Ex 38) and a wave of LTAs come due (majority renegotiated in past 18-24 mos w/ avg 5 yrs; only 3 key contracts worth 10% expire in next 1-2 yrs)(Ex 6). We see upside 2028 EBITDA of ~$400MM (+40% vs JEFe) at ~28.5% margins (+570bps vs JEFe) if topline grew 20%/yr & incrementals remained at the 45% achieved in '25 (Ex 2).
- **$56 PT at 28X 2028 EBITDA** representing a 5X discount to JEFe HWM target valuation.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

DPC: Revenue: 15% Organic CAGR Roughly In Line to Market Volumes with Pricing & New Work Wins Driving Upside Opportunity

Revenue Build - Industrial Gas Turbine Sales at 20% CAGR to 2028 to 49% of Sales, with Aerospace Sales at 17% CAGR to 38% of Sales

	2024	2025	2026E	2027E	2028E	2025-2028 CAGR
Sales by Segment						
Engine Products Europe	$314	$386	$420	$530	$656	19%
Engine Products North America	236	266	331	376	427	17%
Turbo Wheels	196	185	183	144	144	-8%
Total Revenue	**$746**	**$837**	**$934**	**$1,050**	**$1,227**	**14%**
% Y-o-Y Change						
Engine Products Europe		22.9%	8.8%	26.2%	23.8%	
Engine Products North America		12.7%	24.4%	13.6%	13.6%	
Turbo Wheels		-5.6%	-1.1%	-21.3%	0.0%	
Total Revenue		**12.2%**	**11.6%**	**12.4%**	**16.9%**	
% Composition by Segment						
Engine Products Europe	42%	46%	45%	50%	53%	
Engine Products North America	32%	32%	35%	36%	35%	
Turbo Wheels	26%	22%	20%	14%	12%	
Total Revenue	**100%**	**100%**	**100%**	**100%**	**100%**	
Sales by End Market						
Aerospace	$267	$291	$357	$407	$462	17%
Industrial Gas Turbines	280	351	384	485	606	20%
Transportation	199	195	193	158	159	-7%
Total Revenue	**$746**	**$837**	**$934**	**$1,050**	**$1,227**	**14%**
% Y-o-Y Change						
Aerospace		9.0%	22.7%	14.0%	13.5%	
Industrial Gas Turbines		25.4%	9.4%	26.3%	24.9%	
Transportation		-2.0%	-1.0%	-18.1%	0.6%	
Total Revenue		**12.2%**	**11.6%**	**12.4%**	**16.9%**	
% Composition by End Market						
Aerospace	36%	35%	38%	39%	38%	
Industrial Gas Turbines	38%	42%	41%	46%	49%	
Transportation	27%	23%	21%	15%	13%	
Total Revenue	**100%**	**100%**	**100%**	**100%**	**100%**	

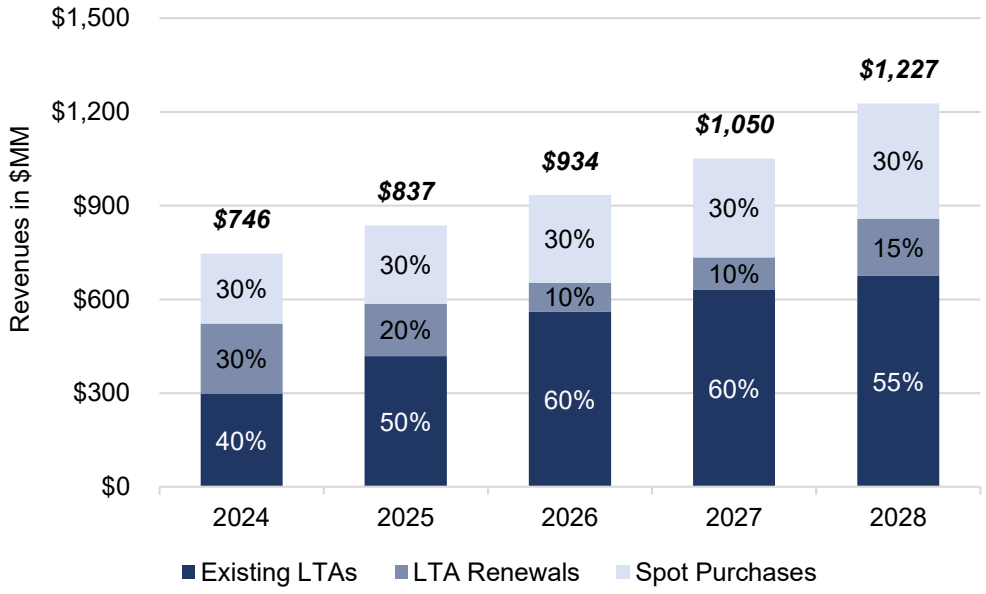
- Revenue: DPC generated revenues of $837MM in 2025, up 12% y-o-y, led by Industrial Gas Turbines up 25% to $351MM (42% of sales) due to capacity increases to meet demand and Aerospace up 9% to $291MM (35% of sales) due to higher output despite a temporary disruption to the Groton facility to install new capital equipment, while Transportation declined 2% to $195MM (22% of sales) due to end market demand.
- In Q1:26, revenues increased 26% y-o-y to $237MM, led by Aerospace up 43% to $93MM as the new capital equipment ramped up, followed IGT up 29% to $94MM due to higher output from capacity increases, while Transportation was flat at $50MM.
- In 2026, we forecast 12% y-o-y growth to $934MM, which could prove conservative after the 26% growth in Q1 implies only 7% growth for the remainder of the year.
- In 2025 to 2028, JEF estimates revenues increase at a 15% organic CAGR or 14% total CAGR (~$39MM planned divestiture in Transportation in 2027), with IGT at a 20% CAGR and Aerospace at a 17% CAGR compared to Transportation flattish organically. If DPC sustained a 20% CAGR based on the above drivers, 2028 revenues could be $1.45BB or 18% higher than our base case est of $1.23BB.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

DPC: Revenue: 15% Organic CAGR Roughly In Line to Market Volumes with Pricing & New Work Wins Driving Upside Opportunity

Percentage of Sales Up for LTA Renewal per Year - Majority of LTAs Renegotiated Over Past 24 Months Implies ~10% Renewals Per Year in 2026/2027 with Larger LTA Wave Coming due in 2028/2029



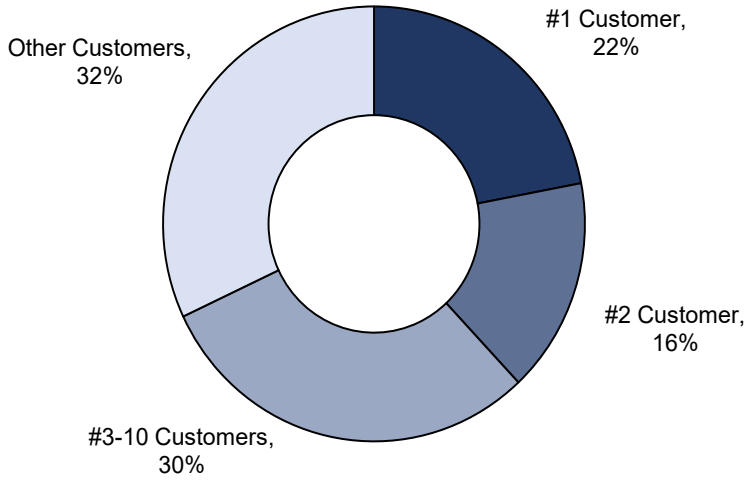
- DPC generates 70% of castings revenues from long-term agreements (LTAs) and 30% from spot purchase orders, creating a high-degree of visibility to future volumes with certainty around pricing. LTAs define the terms & conditions for which a customer places specific purchase orders for parts, typically guaranteeing a minimum level of market share for a part number with opportunity to overdeliver as required by the customer.
- Three of the recent strategic partnerships defer from this structure in that the terms include a guaranteed long-term volume commitment, effectively a take-or-pay structure that further de-risks the technical development & capacity investment required. Management believes the 30% of sales from spot POs provides appropriate flexibility to optimize capacity & pricing.
- DPC reports a backlog of $930MM as of Q1:26, up 28% sequentially from $725MM at year-end 2025, providing more than 12 months of production visibility for Aero & IGT castings. Backlog only includes firm purchases orders and does not include lifetime LTA values that provide multi-$BB of visibility.
- DPC discloses there are 3 key contracts expiring in the next 1-2 years that represent 10% of sales. Based on typical LTA duration of 5 years, the suggested annual renewal rate would be ~20%. The implication is because DPC renegotiated a majority of its contracts over the past 18-24 months, the timing of LTA renewals is less linear than peers.

Source: Company data and Jefferies estimates

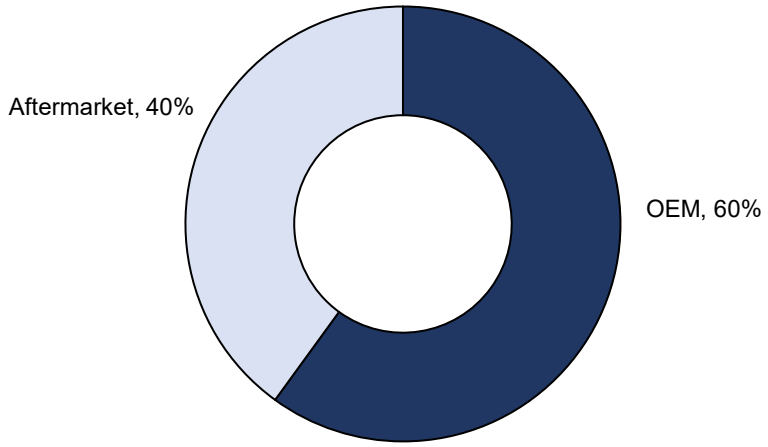
Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

DPC: Industrial Gas Turbine Product Set

Industrial Gas Turbines (IGT)



IGT Content - Turbine Airfoils, Combustion Heat Tiles & Near Flow Path Seals, Structural Castings, & Superalloys



- The top 10 customers accounted for 68% of sales in 2025 and 70% of sales in Q1:26. Major customers by end market include (in alphabetical order):
  - Aerospace: Engine OEMs including GE Aerospace, Honeywell, Pratt & Whitney, Rolls-Royce, Safran; and Tier 1 suppliers such as Collins Aerospace for torque bars
  - Industrial Gas Turbine: OEMs including Ansaldo Energia, Doosan, GE Vernova, and Siemens Energy
  - Transportation: BorgWarner, Cummins, and Garrett
- OE vs. Aftermarket Mix: While the end customers are primarily the OEMs, 40% of 2025 castings revenues serve Aftermarket demand compared to 60% for new-build OE, with these parts generally fungible across either channel. DPC's aftermarket content is weighted more toward IGT given the airfoil blades & vanes content, with a smaller Aerospace aftermarket business for torque bars for braking systems of landing gear.

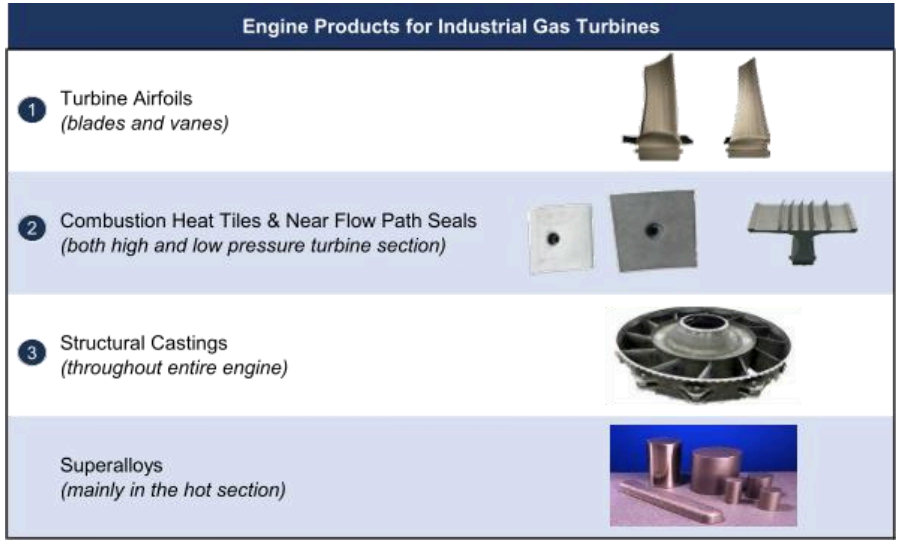
Source: Company data and Jefferies estimates

DPC: Industrial Gas Turbine Product Set

Industrial Gas Turbines (IGT)



IGT Content - Turbine Airfoils, Combustion Heat Tiles & Near Flow Path Seals, Structural Castings, & Superalloys



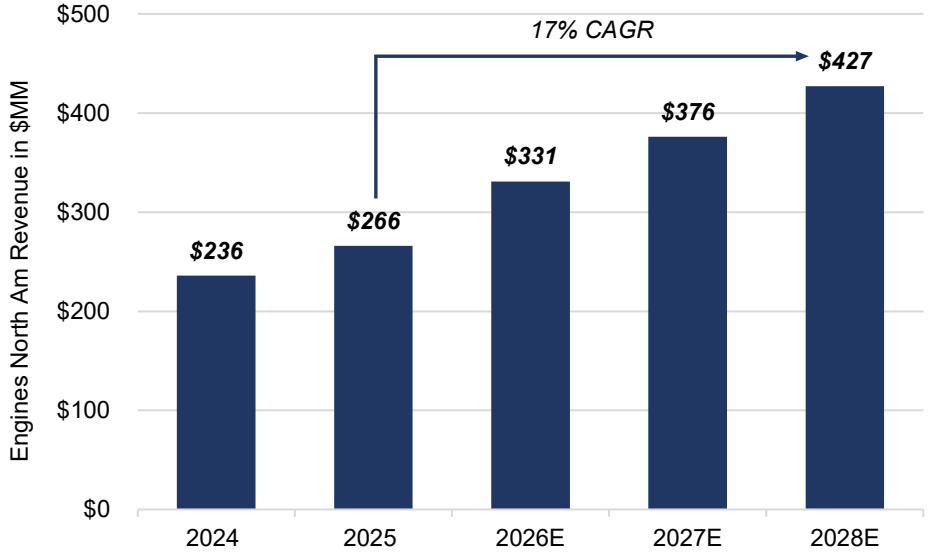
- Europe is the primary home of the IGT business, with key products & components supporting primarily heavy-frame F-class and H-class units as Siemens Energy, as well as GE Vernova, Ansaldo Energia, and Doosan.
  - **Turbine Airfoils:** Control the flow of air & gas through the hot section to convert gas into energy & optimize cooling to improve efficiency and durability. Airfoils require recurring aftermarket demand as the full set of HPT blades are replaced a number of times over the 20+ year operating life of a turbine.
  - **Combustion Heat Tiles & Near Flow Path Seals:** Heat tiles provide thermal protection, while near flow path seals maintain structural integrity and airflow control to maximize turbine efficiency. These parts are used in the high-temperature sections of industrial gas turbines and support both OEM production and aftermarket demand.
  - **Structural Castings:** Cast components that provide containment, alignment, and load support across gas turbine applications, manufactured using the equiax method. These parts are stationary and built to last the life of the turbine.
  - **Superalloys:** High-technology vacuum-refined cast nickel and cobalt-based superalloys, as well as air-melted alloys, primarily used in the hot section of IGTs. DPC's vertically integrated alloy capability supports supply security, metallurgy control, and margin capture within the casting value chain.
- Total IGT revenues of $351MM in 2025 increased 25% y-o-y and represented 42% of sales. As of Q1:26, Europe had 1,408 employees (46% of total)

Source: Company data and Jefferies estimates

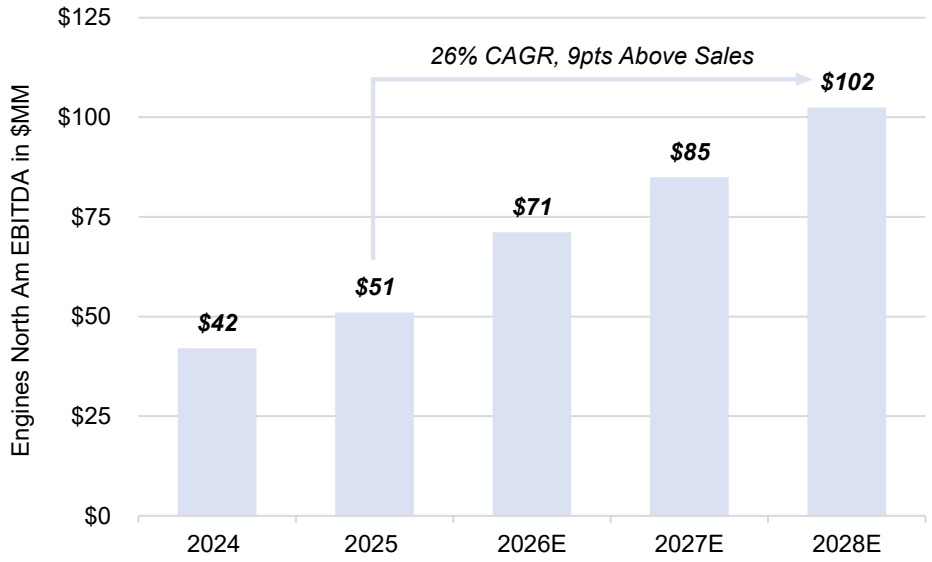
Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

DPC: Engine Products North America: Structural Castings Aligned to New-Gen Engine Ramps with a Story About Penetrating Aero-Grade Airfoils

Engine Products North America Revenue - Organic CAGR of 17% Driven by Aerospace Castings, Torque Bars & Penetration of Blades & Vanes



Engine Products North America Adj EBITDA - CAGR of 24% to 2028, 7pts Above Sales CAGR, Driving Margins from 19% in 2025 to 23% in 2028



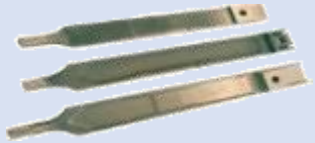
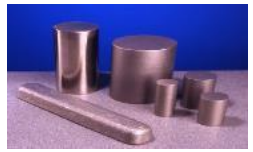
- The Engine Products North America segment accounts for 35% of 2026E sales and 36% of 2026E segment EBITDA. Revenues increased 13% y-o-y to $266MM in 2025 with adj EBITDA increasing 21% y-o-y to $51MM for margins up 200 bps to 18.2% on 30% incrementals. In Q1:26, revenues increased 43% y-o-y with margins up 310 bps to 22.8%, which compares to our 2026 estimate for 24% y-o-y sales growth and margins expanding 330 bps to 21.5%.
- In our estimates, we forecast North America revenues growing at a 17% CAGR from 2025-2028E, while Adj EBITDA grows at a 26% CAGR. This results in margins expanding from 18.2% in 2025 to 24.0% in 2028E, driven by Aerospace market demand supported by capacity expansions, footprint optimization, and pricing.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

DPC: Engine Products North America: Structural Castings Aligned to New-Gen Engine Ramps with a Story About Penetrating Aero-Grade Airfoils

Aerospace Content - Structural Castings, Cast Turbine Airfoils, Forged Compressor Airfoils, Cast Torque Bars & Superalloys

Engine Products for Aerospace	
1 Structural Castings *(throughout entire engine)*	
2 Turbine Airfoils *(blades and vanes)*	
3 Forged Compressor Airfoils	
4 Torque Bars	
Superalloys *(mainly in the hot section)*	

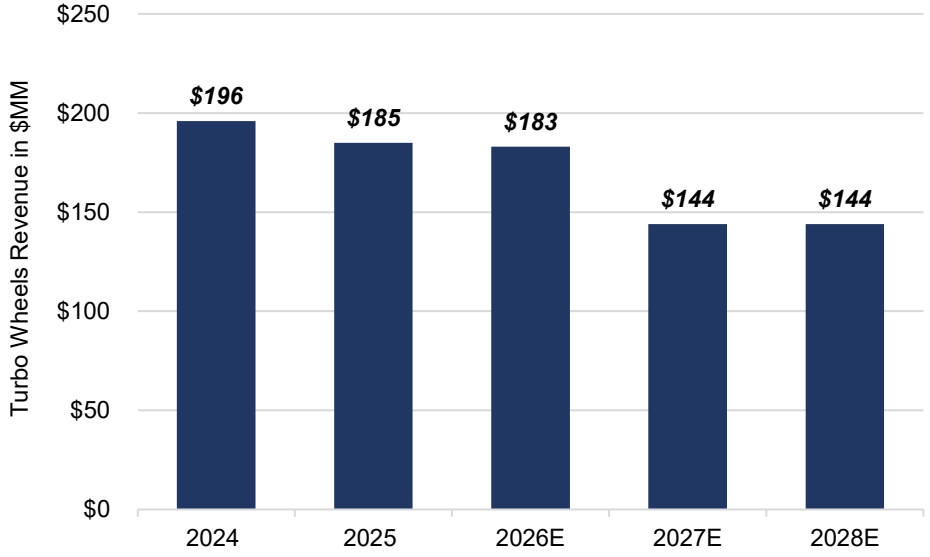
- **Structural Castings:** Engine and aircraft platform structural castings using nickel and cobalt-based superalloys, including turbine center frames, bearing housings, combustion diffusers, seals, injector housings, and nozzles. These safety-critical components are present throughout the engine and carry high qualification requirements.
- **Turbine Airfoils (New Entry):** DPC is entering the aerospace airfoils market for blades and vanes through a strategic partnership. The Oxford, AL investment will add DS and SC casting capability by the end of 2027, with production ramping in 2028 and full-rate production in 2029, opening a new aerospace aftermarket opportunity.
- **Forged Compressor Airfoils**: Forged compressor airfoils composed of stainless steels, nickel alloys, and titanium alloys for demanding aeroengine environments, complementing DPC's existing engine portfolio.
- **Torque Bars:** Structurally cast braking system torque bars supplied across commercial aerospace and defense platforms supported by RTX Collins. These are highly spareable components with recurring aftermarket demand.
- **Superalloys:** Vacuum-refined nickel and cobalt-based superalloys and air-melted alloys produced in Long Beach, with a new greenfield facility expected by 2029. The vertically integrated capability supports supply security, metallurgy control, and margin capture.

Source: Company data and Jefferies estimates

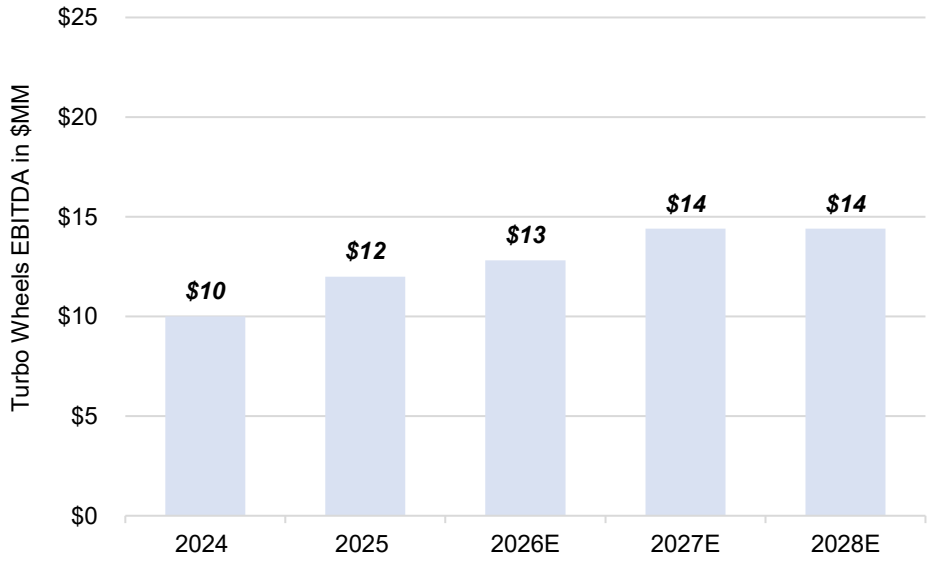
Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

DPC: Turbo Wheels: The Cash Cow in a GDP-Bound Automotive Market with Optionality in UAV Applications

Turbo Wheels Revenue - Flattish Organic Across the Forecast with Divestiture Planned in 2027



Turbo Wheels Adj EBITDA - Modest EBITDA Improvement with Margins to the HSD Range Including Benefit from Divestiture



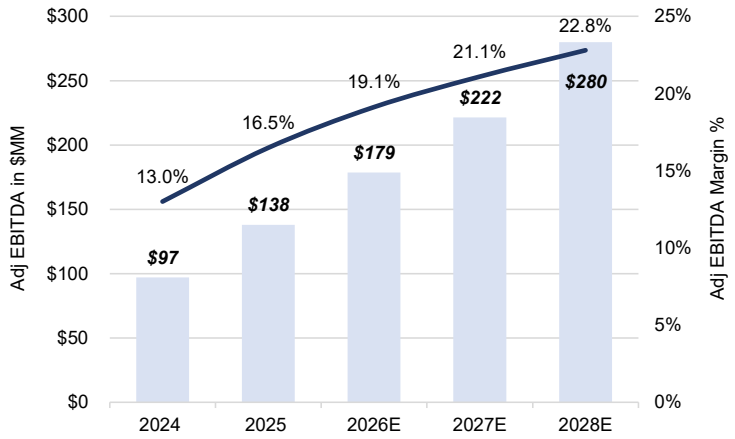
- The Turbo Wheels segment accounts for 21% of 2026E sales and 7% of 2026E segment EBITDA. Revenues decreased 6% y-o-y to $185MM in 2025 with adj EBITDA increasing 20% y-o-y to $12MM for margins up 140 bps to 6.5%. In Q1:26, revenues decreased 2% y-o-y with margins of 3.7%, which compares to our 2026 estimate for -1% y-o-y sales decline and margins expanding 50 bps to 7.0%.
- The Turbo Wheels segment is entirely Transportation related based out of the facilities of Trucast UK (Isle of Wight), Trucast US (South Carolina), Uni-Pol China, Uni-Pol India, and Ivostud (Germany; held for sale). Uni-Pol group was acquired in 2022 with operations in Mexico (now Aerospace focused), China, and India.
- In our estimates, we forecast Turbo Wheels revenues are flat organically from 2025-2028E with the Ivostud business sale assumed to close in 2027 worth ~$39MM of revenue. Adj EBITDA improves from $12MM at 6.5% margins in 2025 to $14MM at 10% margins in 2028E.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

DPC: Profitability: A Successful Playbook as the Roadmap for DPC to Harness Leverage, Price & Productivity Into Structurally Higher Margins

Adj EBITDA Build - Growing at a 27% CAGR vs. Sales at 14% CAGR, Reaching $280MM by 2028 at 23% Margins



Adj EBITDA Bridge - Operating Leverage, Price/Mix, and Productivity All Contributing to the 630 Bps of Margin Expansion from 2025 to 2028

	2024	2025	2026	2027	2028
Starting Adj EBITDA		**$97**	**$138**	**$179**	**$222**
Volume Leverage		21	21	18	33
Price, Mix & Inflation		15	14	10	10
Productivity		8	13	14	17
M&A and Divesitures		0	0	5	0
Corporate Costs		(3)	(8)	(5)	(2)
Ending Adj EBITDA	**$97**	**$138**	**$179**	**$222**	**$280**
% Margin	13.0%	16.5%	19.1%	21.1%	22.8%
% Incremental Margin		45.1%	41.9%	37.0%	32.9%
Volume Incrementals		27.3%	25.6%	12.5%	19.9%
Net Price Realization		2.1%	1.7%	1.1%	1.0%
M&A and Divestitures Margins		0.0%	0.0%	-12.8%	0.0%

- DPC expanded adj EBITDA margins by ~1,000 bps from MSD in 2020 to 16.5% in 2025, implying mid-20% total incremental margins over the period and an adj EBITDA CAGR of ~50% to $138MM in 2025. The margin expansion is attributed 50% by operating leverage on higher volumes and 50% by pricing as customer relationships strengthened, and legacy contracts were renewed at more favorable terms. In Q1:26, adj EBITDA increased 38% y-o-y to $40MM for margins of 16.9%, up 150 bps y-o-y from 15.4% in Q1:25.
- Margins are expected to continue to improve through a combination of operating leverage, value-based pricing and operational efficiencies. The investments into the asset base renewal & workforce are key enablers of margin improvement as DPC executes against higher volumes through growth investments and higher manufacturing yields.
- In 2025 to 2028, JEF estimates adj EBITDA increases at a 27% CAGR (+13pts above sales) to $280MM, with margins increasing ~210 bps per year over the forecast period to 22.8% in 2028. This factors incremental margins of 36% over the period.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

DPC: FCF Conversion Limited by Growth Capex with Some Offsets from Customer Funding Near-Term and Long-Term Enhanced Contract Economics

FCF Build - Growth Capex Limits Conversion of Adj NI to Less Than 70% Through 2028

	2024	2025	2026E	2027E	2028E
Net Income	($193)	($173)	$25	$135	$173
Depreciation and Amortization	32	32	35	35	40
Management Incentive Payout	29	87	(280)	0	0
Non-Cash Interest	132	150	34	0	0
Other Items	19	(55)	15	3	2
Working Capital	(36)	1	(45)	(32)	(52)
Operating Cash Flow	**($17)**	**$42**	**($216)**	**$142**	**$163**
Capital Expenditures	(36)	(31)	(58)	(78)	(54)
Adj. Free Cash Flow	**($53)**	**$11**	**$36**	**$64**	**$110**
FCF per Share	*($0.12)*	*$0.02*	*$0.24*	*$0.43*	*$0.72*
Deployment					
Dividends	$0	$0	$0	$0	$0
Share (Repurchases) / Issuance	0	0	1,134	0	0
Debt Issuance / (Paydown)	61	(13)	(647)	(4)	(4)
Acquisitions / Purchase of Intangibles	(1)	0	(1)	0	0
Total Raised / (Deployed)	**$60**	**($13)**	**$486**	**($4)**	**($4)**
Discretionary FCF	**$7**	**($2)**	**$522**	**$60**	**$106**
Ratios					
FCF to Adj EBITDA Conversion	NM	8%	20%	29%	39%
FCF to Adj. Net Income Conversion	NM	24%	50%	47%	63%
FCF Yield (FCF / Mkt Cap)	NM	NM	NM	NM	NM
FCF YoY Change	-	NM	231.1%	75.8%	71.1%
Share Repurchases as % of Mkt Cap	NM	NM	0.0%	NM	NM
Capex as a % of Sales	4.8%	3.7%	6.2%	7.4%	4.4%

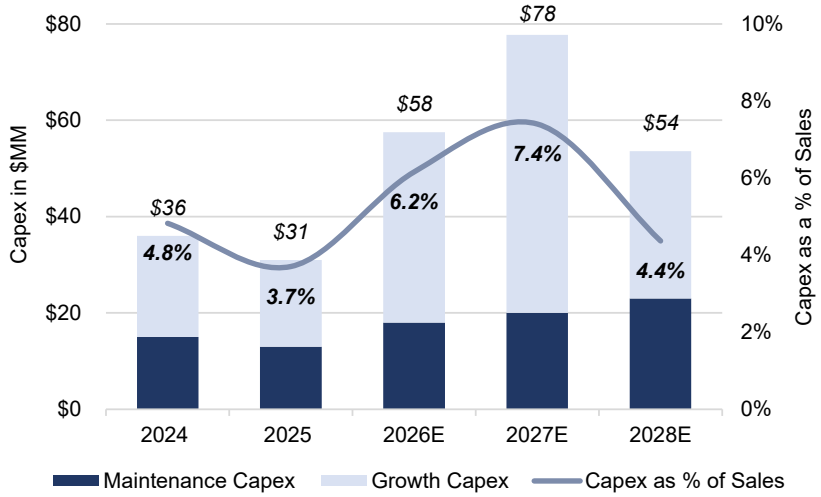
- Free Cash Flow: In 2025, DPC generated $11MM of FCF at 24% conversion of adj NI after capex of $31MM at 3.7% of sales. In Q1:26, cash flow from operations totaled a $7MM usage given a $30MM working capital usage on higher metal prices affecting inventory costs which will later be passed on through contracts.
- JEF estimates DPC generates ~$36MM in adj FCF in 2026E, adjusting for the $280MM management incentive payout funded by the IPO proceeds and reflecting ~$34MM of non-cash interest on the PIK debt that is also repaid, as well as ~$30MM of one-time IPO standup costs. Working capital is a ~$45MM usage including ~$15MM related to the social security expenses related to the MIP. This is likely to reflect ~50% conversion of adj net income with capex increasing to $58MM at 6.2% of sales.
- In a clean year for 2027E, JEF estimates FCF improves to $64MM, including $135MM of net income and a ~$32MM working capital usage to support future growth. FCF conversion falls to 47% of adj net income given capex increases again to $78MM at 7.4% of sales. There is an expected $14MM of sale proceeds related to the Ivostud business, although we do not include this in FCF.
- In 2028E, FCF increases to $110MM assuming capex declines to $54MM at 4.4% of sales, although our bias is that capex will remain higher for longer in support of the demand environment. This reflects 63% conversion of adj net income.

Source: Company data and Jefferies estimates

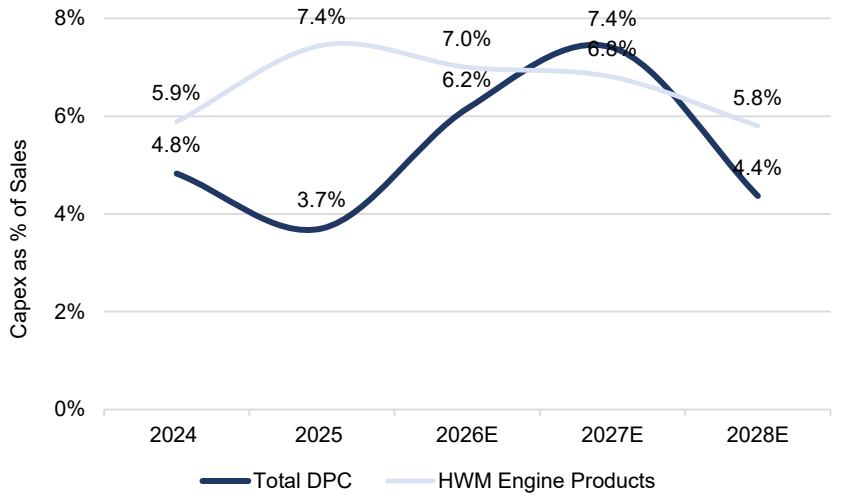
Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

DPC: Growth Capex In Support of Strategic Partnerships Mirrors the Playbook of Competitors with Potential for Additional Follow-On Projects

Gross Capex Build - Growth Projects Drive Gross Capex Up to 7.4% of Sales in 2027 with Bias for Higher Spending in the



Engine Products Capex as % of Sales - HWM Spending 6.6% per Year on Average in 2026-2028 Compared to DPC at 5.3% per Year



- DPC invested more than $170MM of capex into refreshing the asset base in 2020 to 2025, focused on optimizing the footprint, installing state-of-the-art equipment, and expanding the manufacturing footprint, helping to improve productivity, reduce scrap rates and improve quality and on-time delivery rates. Capex totaled $31MM in 2025 at 3.7% of sales compared to $36MM in 2024 at 4.8% of sales, with Q1:26 capex at $10MM.
- Maintenance capex is expected to remain around ~2% of sales over the forecast period, with our estimates for total gross capex increasing to $58MM in 2026 at 6.2% of sales, $78MM in 2027 at 7.4% of sales, and $54MM in 2028 at 4.4% of sales. We believe 2028-2030 capex could remain higher in support of future growth projects given the demand environment.
- HWM Engine Products capex increased from $112MM in 2023 at 3.4% of sales in 2023 to $216MM at 5.9% of sales in 2024 and $316MM at 7.4% of sales in 2025. By comparison, DPC total gross capex of $36MM at 4.8% of sales in 2024 decreased to $31MM at 3.7% of sales in 2025, with our estimates for increases to $58MM at 6.2% of sales in 2026, $78MM at 7.4% of sales in 2027, before declining to $54MM at 4.4% of sales in 2028.

Source: Company data and Jefferies estimates

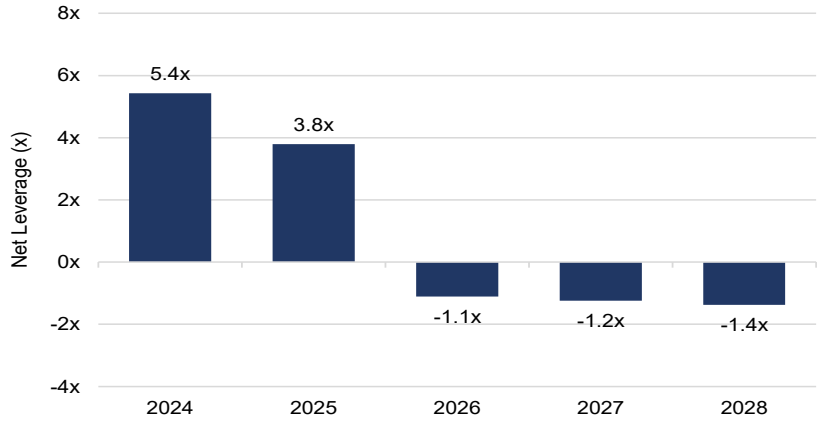
Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

DPC: A Strengthened Balance Sheet Position Enables the Ability to Better Compete and Acquire

Debt Build - IPO Proceeds Repay $530MM of Term Loan and ABL and $155MM of PIK, with Year-end 2026 Net Cash of $197MM

Debt Build	2024	2025	2026E	2027E	2028E
Short-Term Debt	$32	$154	$0	$0	$0
Long-Term Debt	1,255	1,280	47	43	39
Total Debt	**$1,287**	**$1,434**	**$47**	**$43**	**$39**
Cash & Equivalents	32	32	244	318	424
Net Debt	**$1,255**	**$1,402**	**($197)**	**($275)**	**($385)**
Net Leverage	12.9x	10.2x	-1.1x	-1.2x	-1.4x
PIK	728	878	0	0	0
Net Debt ex-PIK	**$527**	**$524**	**($197)**	**($275)**	**($385)**
Net Leverage	5.4x	3.8x	-1.1x	-1.2x	-1.4x

Net Leverage - Net Cash Position After IPO Proceeds at -1.6X by Year-end 2026



- Given the recapitalization of the balance sheet after the IPO, DPC is in the position to compete for new work packages from a position of strength and expects to pursue complimentary bolt-on M&A of the fragmented layer of companies that produce investments castings, forgings and superalloys for niche or low-volume use cases.
- In 2022, DPC acquired Uni-Pol, expanding its global Turbo Wheels capabilities in Mexico, India, and China. The Mexico site has been repurposed for Aerospace given the low-cost manufacturing and workforce availability.
- Management does not have net leverage targets, but assuming a willingness up to 2.5X EBITDA, there is ~$650MM of M&A capacity based on 2026E EBITDA. Assuming acquisitions at 16X multiples, DPC could acquire $40MM of EBITDA that would be worth 23% upside to our base EBITDA estimate in 2026. Each 1X is $180MM of capacity.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

DPC: Annual Income Statement

$MM except per share data	2024		2025		2026E		2027E		2028E	
	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales
Revenue	**$746**		**$837**		**$934**		**$1,050**		**$1,227**	
COGS	605	81.1%	644	76.9%	704	75.4%	776	73.9%	886	72.2%
Gross Profit	**$141**	**18.9%**	**$193**	**23.1%**	**$230**	**24.6%**	**$274**	**26.1%**	**$341**	**27.8%**
SG&A & Other Costs	110	14.7%	198	23.7%	86	9.2%	88	8.3%	102	8.3%
Operating Income	**$31**	**4.2%**	**($5)**	**-0.6%**	**$144**	**15.4%**	**$187**	**17.8%**	**$239**	**19.5%**
Interest Expense	(202)		(220)		(74)		(2)		(1)	
Other Expenses / (Income)	(14)		21		(24)		(2)		(1)	
Pre-Tax Income / (Loss)	**($185)**	**-24.8%**	**($204)**	**-24.4%**	**$46**	**4.9%**	**$183**	**17.4%**	**$238**	**19.4%**
Taxes	(8)		31		(21)		(48)		(64)	
Net Income / (Loss)	**($193)**	**-25.9%**	**($173)**	**-20.7%**	**$25**	**2.7%**	**$135**	**12.9%**	**$173**	**14.1%**
Adjustments	158		218		0		0		0	
Adj. Net Income	**($35)**	**-4.7%**	**$45**	**5.4%**	**$25**	**2.7%**	**$135**	**12.9%**	**$173**	**14.1%**
Shares Outstanding	451.7		451.7		149.3		150.0		152.0	
Adjusted Diluted EPS	**($0.08)**		**$0.10**		**$0.17**		**$0.90**		**$1.14**	
Net Income (Loss)	**($193)**		**($173)**		**$25**		**$135**		**$173**	
Tax Expense / (Income)	8		(31)		21		48		64	
Net Interest Expense	202		220		74		2		1	
D&A	32		32		35		35		40	
Other Adjustments	48		90		24		2		1	
Adjusted EBITDA	**$97**		**$138**		**$179**		**$222**		**$280**	
% Margin	13.0%		16.5%		19.1%		21.1%		22.8%	

Source: Company data and Jefferies estimates

DPC: Operating Segment Data

$MM except per share data	2024	% of Mix	2025	% of Mix	2026E	% of Mix	2027E	% of Mix	2028E	% of Mix
Revenue										
Europe	$314	42%	$386	46%	$420	45%	$530	50%	$656	53%
North America	236	32%	266	32%	331	35%	376	36%	427	35%
Turbo Wheels	196	26%	185	22%	183	20%	144	14%	144	12%
Total Revenue	**$746**	**100%**	**$837**	**100%**	**$934**	**100%**	**$1,050**	**100%**	**$1,227**	**100%**
% YoY Change										
Europe			22.9%		8.8%		26.2%		23.8%	
North America			12.7%		24.4%		13.6%		13.6%	
Turbo Wheels			-5.6%		-1.1%		-21.3%		0.0%	
Total Revenue			**12.2%**		**11.6%**		**12.4%**		**16.9%**	
Adj EBITDA										
Europe	$52	54%	$85	62%	$112	63%	$144	65%	$187	67%
North America	42	43%	51	37%	71	40%	85	38%	102	37%
Turbo Wheels	10	10%	12	9%	13	7%	14	7%	14	5%
Corporate	(7)	-7%	(10)	-7%	(18)	-10%	(22)	-10%	(24)	-9%
Total Adj EBITDA	**$97**	**100%**	**$138**	**100%**	**$179**	**100%**	**$222**	**100%**	**$280**	**100%**
% Margin										
Europe	16.6%		22.0%		26.7%		27.2%		28.5%	
North America	17.8%		19.2%		21.5%		22.6%		24.0%	
Turbo Wheels	5.1%		6.5%		7.0%		10.0%		10.0%	
Adj EBITDA Margins	**13.0%**		**16.5%**		**19.1%**		**21.1%**		**22.8%**	
Incremental Margins			**45.1%**		**41.9%**		**37.0%**		**32.9%**	

Source: Company data and Jefferies estimates

DPC: Annual Cash Flow Statement

$MM except per share data	2024	2025	2026E	2027E	2028E
Cash and Equivalents	$32	$32	$244	$318	$424
Account Receivables, Less Allowances	119	156	174	196	228
Inventories	146	181	197	221	257
Prepayments and Other Current Assets	28	42	46	51	60
Property, Plant and Equipment, Net	205	221	254	305	328
Goodwill	73	78	78	78	78
Other Intangible Assets, Net	98	96	87	78	69
Other Assets	46	89	88	68	67
Total Assets	**$747**	**$895**	**$1,168**	**$1,315**	**$1,510**
Accounts Payable	$67	$106	$116	$126	$140
Accrued Expenses and Other Current Liabilities	58	116	99	108	119
Liability for Management Incentive Plan	49	132	0	0	0
Current Borrowings	32	154	0	0	0
Long-Term Borrowings	1,255	1,280	47	43	39
Other Liabilities	76	71	76	72	73
Total Liabilities	**$1,537**	**$1,859**	**$338**	**$349**	**$371**
Total Equity	**($790)**	**($964)**	**$830**	**$966**	**$1,139**
Total Liabilities and Equity	**$747**	**$895**	**$1,168**	**$1,315**	**$1,510**

Source: Company data and Jefferies estimates

Elbit Systems (ESLT)

Hold | Price Target: $880

	Price	Assumptions
EV/EBITDA	$875	33.5X EV/EBITDA 2027 EBITDA of $1.2BB
P/E	$885	51.6X P/E 2027 EPS of $17.15
Average	**$880**	**Blended average**

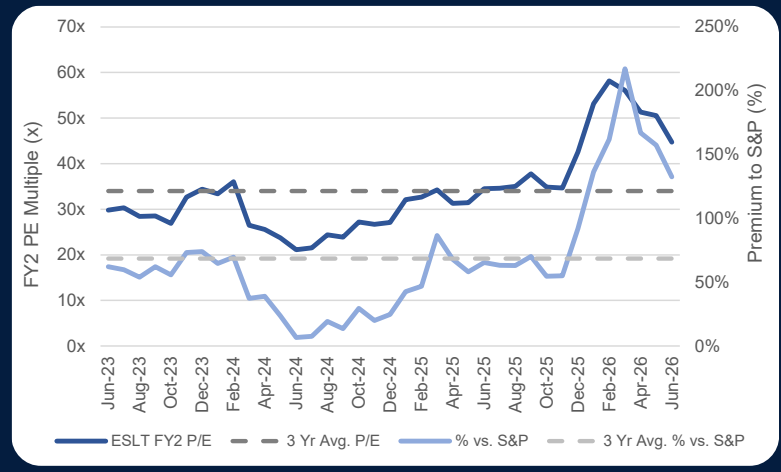
Valuation Table

US Defense Primes	Ticker	JEF Rating	Stock Px 7/28/2026	Consensus BUY Rating	Market Cap	Enterprise Value	P/E 2026E	P/E 2027E	P/E 2028E	EV / SALES 2026E	EV / SALES 2027E	EV / SALES 2028E	EV / EBITDA 2026E	EV / EBITDA 2027E	EV / EBITDA 2028E	Yield Dividend	FCF	FCF/EV
General Dynamics	GD	Buy	$393.16	50%	106,321	113,717	23.5x	21.5x	19.9x	2.1x	2.0x	1.9x	16.7x	15.5x	14.6x	1.6%	4.5%	4.2%
Lockheed Martin	LMT	Hold	$589.04	40%	135,945	152,566	19.4x	18.1x	16.8x	1.9x	1.8x	1.7x	13.5x	12.8x	12.2x	2.4%	4.9%	4.4%
Northrop Grumman	NOC	Hold	$562.56	67%	79,919	94,095	19.5x	18.5x	17.1x	2.1x	2.0x	1.9x	15.2x	14.2x	13.3x	1.7%	4.2%	3.6%
Raytheon Technologies	RTX	Buy	$220.77	68%	297,545	332,905	30.7x	28.1x	25.4x	3.5x	3.2x	3.0x	21.3x	19.6x	17.9x	1.3%	3.5%	3.1%
Average Defense Prime				56%			**23.3x**	**21.5x**	**19.8x**	**2.4x**	**2.2x**	**2.1x**	**16.7x**	**15.5x**	**14.5x**	**1.9%**	**4.6%**	**4.1%**
Suppliers																		
Aerovironment	AVAV	Buy	$149.92	87%	7,587	7,569	46.2x	33.6x	25.9x	3.5x	3.0x	2.6x	23.5x	18.6x	15.0x	0.0%	1.9%	2.0%
BAE Systems	BA-GB	Hold	$20.36	53%	61,162	67,294	24.6x	21.5x	19.0x	2.0x	1.9x	1.7x	14.6x	13.3x	12.1x	1.8%	4.1%	3.7%
Hensoldt	HAG-DE	Buy	$84.16	50%	9,720	10,563	46.2x	34.8x	26.4x	3.8x	3.3x	2.7x	20.5x	16.9x	13.8x	0.7%	2.5%	2.3%
Kratos	KTOS	Buy	$47.34	86%	8,877	7,225	62.0x	44.3x	34.0x	4.1x	3.3x	2.8x	40.7x	29.7x	23.5x	0.0%	-0.1%	-0.1%
Mercury Systems	MRCY	Hold	$100.99	64%	6,064	6,242	93.3x	65.3x	47.0x	6.5x	6.0x	5.4x	42.9x	33.5x	25.6x	0.0%	1.4%	1.3%
RENK	R3NK-DE	Buy	$47.49	88%	4,749	5,138	28.2x	22.3x	17.5x	3.3x	2.8x	2.4x	16.3x	13.3x	10.8x	1.2%	3.5%	3.2%
Rheinmetall	RHM-DE	Buy	$1,082.00	81%	50,613	52,005	28.8x	19.7x	14.3x	3.7x	2.8x	2.1x	16.2x	11.6x	8.5x	1.1%	3.3%	3.2%
Thales Group	HO-FR	Buy	$249.20	55%	51,321	51,888	23.5x	20.3x	17.9x	2.2x	2.0x	1.8x	13.7x	12.4x	11.3x	1.6%	5.0%	4.9%
Average Suppliers				70%			**44.1x**	**32.7x**	**25.3x**	**3.6x**	**3.1x**	**2.7x**	**23.6x**	**18.7x**	**15.1x**	**0.8%**	**2.7%**	**2.6%**
Average Total				63%			**33.7x**	**27.1x**	**22.5x**	**3.0x**	**2.7x**	**2.4x**	**20.1x**	**17.1x**	**14.8x**	**1.3%**	**3.6%**	**3.3%**
Elbit Systems	**ESLT-US**	**Hold**	**$816.86**	**14%**	**38,271**	**39,291**	**53.9x**	**47.6x**	**41.9x**	**4.0x**	**4.0x**	**3.7x**	**36.4x**	**31.5x**	**28.0x**	**0.4%**	**-0.2%**	**0.8%**
Discount / Premium							**60%**	**76%**	**86%**	**32%**	**49%**	**53%**	**81%**	**85%**	**89%**			**75%**

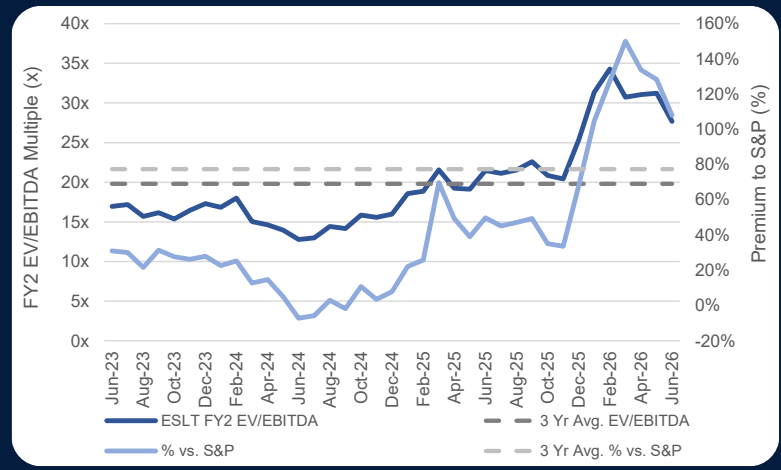
Featured Notes:

- Mgmt Mtg Takes: ESLT on the PULS of European Demand | *June 24, 2026*
- Mgmt Mtg Takes: Loitering In a Class-of-Its-Own | *June 17, 2026*
- Again LANDing at DD+ Organic Growth for 2026 and 2027 | *May 27, 2026*

Trading at 44.7X FY2 P/E, 133% Prem to Mkt vs. Historical Avg Prem of 68%



Trading at 44.7X FY2 P/E, 133% Prem to Mkt vs. Historical Avg Prem of 68%

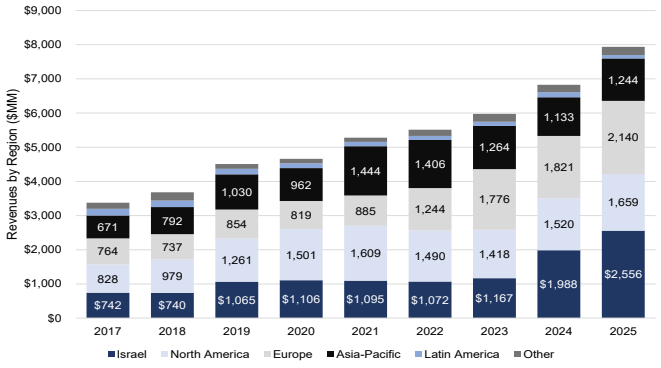


Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

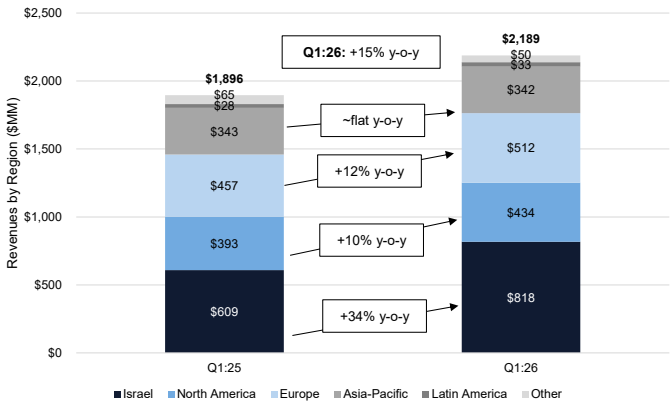
Source: Company data, Jefferies estimates, FactSet

ESLT: Broad Geographic Revenue Base & Backlog Conversion Supports DD Org Growth in 2026E/2027E

Sales To Israel Grew at a 34% CAGR Over the Last Three Years, Followed by Europe +20% and North America +4%



Revenue Growth by Region - Israel Sales Up 34% Y-o-Y, Now Accounting for 37% of Quarterly Sales (+5pts y-o-y)

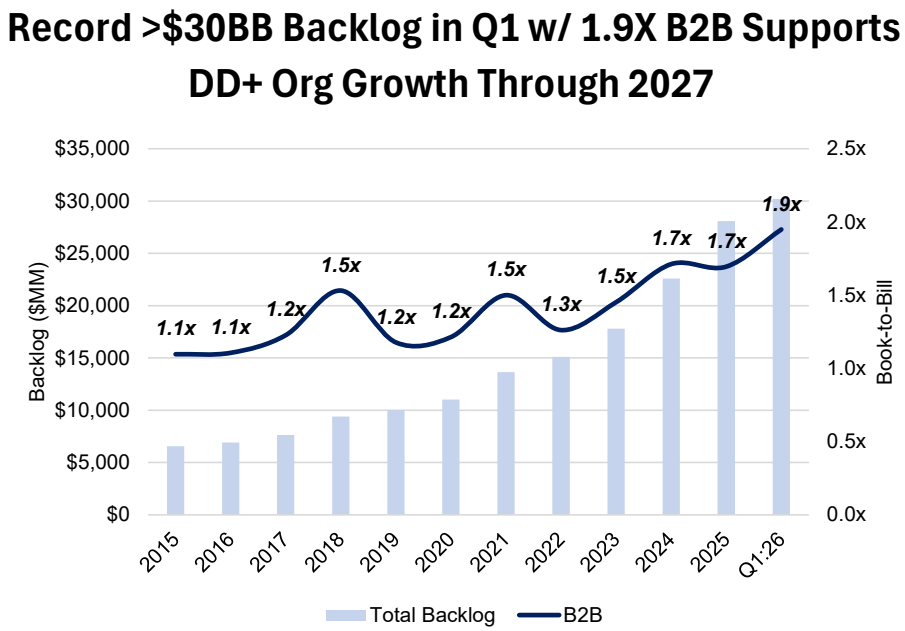


- Elbit has a broad revenue base geographically, roughly in line with global defense spending levels. Israel and Europe have been the key growth drivers for ESLT over the last three years, followed by North America.
- We estimate 13% total growth in 2026 (all organic), followed by 10% organic growth in 2027. ~71% of the backlog is attributable to orders form outside Israel.
- Sales to Israel grew at a 34% CAGR from $1.1BB in 2022 to $2.6BB in 2025 (32% of sales), w/ Europe +20% from $1.2BB to $2.1BB (27%) and North America +4% from $1.5BB to $1.7BB (20%).

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

ESLT: Contract Size Getting Larger — Europe Backlog in Motion Boosted by EuroPULS



- In Q1, the backlog outside Israel grew 41% y-o-y to $21.5BB, driven by European orders, including $740MM for Precise & Universal Launching System (PULS) artillery rocket systems to the Hellenic Armed Forces. Backlog momentum is set to continue with a future €6BB order for EurPULS to an undisclosed customer adding to the $2.5BB backlog in Europe alone for EuroPULS.
- ESLT total backlog has increased at a 26% CAGR from $15.1BB at the end of 2022 to $30.2BB at the end of Q1:26, which was +31% y-o-y w/ $4.27BB of bookings for a B2B of 1.9X. About 59% of the backlog is expected to be performed in 2026 and 2027 ($14.8BB), which covers 79% of our estimated sales for the period.
- We estimate 13% total growth in 2026 (all organic), followed by 10% organic growth in 2027. ~71% of the backlog is attributable to orders form outside Israel.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

ESLT: Capturing European Demand

ESLT NATO Subsidiary Exposure - Move to 3.5% of GDP Spend on Core Defense Could Unlock $263BB in Incremental Spend Per Year in Countries Where ESLT Operates

	2024	2032E	$ Change	% Change
Belgium	8.5	25.8	17.3	203%
Finland	7.3	12.0	4.6	64%
France	64.3	123.0	58.7	91%
Germany	97.7	181.7	84.0	86%
Hungary	4.9	9.1	4.2	87%
Netherlands	21.5	41.3	19.8	92%
Romania*	8.6	15.1	6.5	75%
Sweden	13.4	24.7	11.3	84%
United Kingdom	82.1	138.9	56.8	69%
Spend ($BB)	**308.3**	**571.7**	**263.4**	**85%**

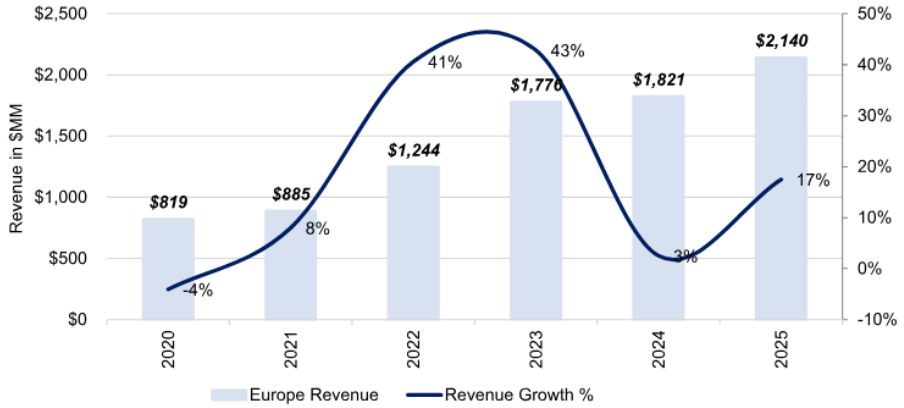
- ESLT serves the European market (27% of sales) through a localization strategy, with 1,900 employees and subsidiaries in eleven countries in Europe, nine of which are NATO members, with the largest presence in Germany, the UK, and Switzerland.
- NATO targets to increase defense spending to 3.5% of GDP to 2035 provide years of visibility into demand durability.
- ESLT has subsidiaries across 11 countries in Europe. Among those NATO members, there was about $308BB in defense spending in 2024, or 2.13% of the cumulative GDP.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

ESLT: European Revenue Supported by Capacity Investments and Order Momentum

Europe Revenue +17% in 2025



Select EuroPULS Capabilities

Select EuroPULS Capabilities	
Length	34 ft
Combat Weight	< 38 tonnes
Endurance	90 km/h
Range	750 km
Terminal Velocity	12 km to 300 km

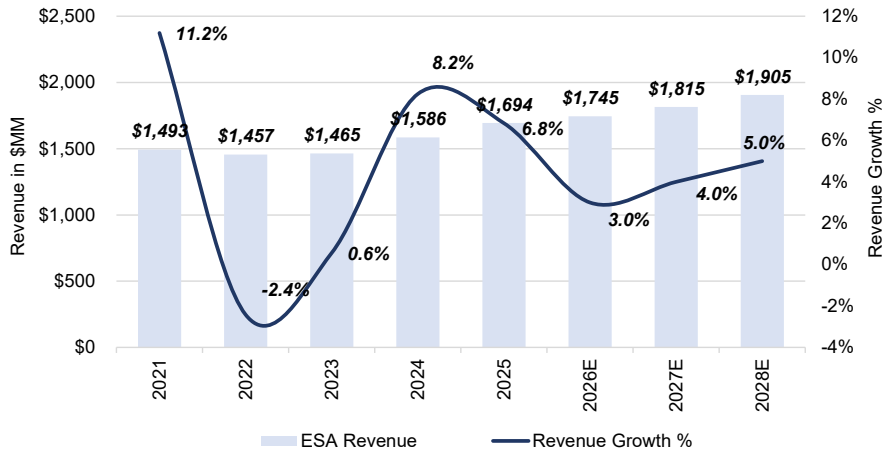
- The European defense backdrop supports demand across a wide range of markets, most notably ESLT's Land and Command & Control portfolios.
- ESLT serves the European market (27% of sales) through a localization strategy, with 1,900 employees and subsidiaries in eleven countries in Europe, nine of which are NATO members, with the largest presence in Germany, the UK, and Switzerland.
- From 2020 to 2025 European sales grew 161% from $819MM in 2020 to $2.14BB in 2025. In Q1:26, European revenue's grew 27%.
- EuroPULS is a next-generation, "Europeanized" version of ESLT's Precise and Universal Launching System (PULS), developed through a strategic joint venture between Elbit and KNDS (launched March 26). The EuroPULS represents a major move to capture the European rocket artillery market by offering a localized non-American alternative to the HIMARS system.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

ESLT: ESA Revenue Grows +MSD Approaching $2BB by 2028E

ESA Revenue Build - Growing at a 4% CAGR (All Organic) to $1.9BB in 2028E



Skystriker Block 4E Capabilities

Select SkyStryker Capabilities	
Length	91 Inches
Weight	110 lbs
Endurance	140 minutes
Range	265 km
Terminal Velocity	260 knots
Strike Angles	selectable 30–75 degree

- Elbit Systems of America (ESA) is the company's US-based subsidiary that provides products and systems to US military, FMS, homeland security, medical instrumentation, and commercial aviation customers.
- Mgmt's framework for ESA over the long term is for M-HSD growth w/ operating income growing faster than sales. The Electronic Systems business is a +MSD grower while Maritime Systems and Warfighter Systems are both higher volume and lower mix w/ Maritime historically seeing spikes in demand.
- The segment generated $1.7BB of revenue in 2025 (+7% y-o-y), with our expected 3% in 2026E, including support from the Bradley upgrade. Night Vision and Sparton each reset contracts for better terms in 2024-25, with Night Vision and medical instrumentation driving top line.
- We forecast ESA revenues grow at a 4% organic CAGR over the next three years from $1.7BB in 2025 to $1.9BB in 2028E (18% of total sales). Every 1pt of ESA organic growth would add an incremental $0.03 to our base 2027 EPS estimate of $17.15, or +0.1%.
- Demand for launched effects is building across the U.S. military, with ESA well-positioned given its 16 years in the market. SkyStriker Block 4 Enhanced (SS B4E) provides affordable mass, long-range ISR-to-strike capability, and integrated autonomy, featuring a turreted EO/IR sensor and modular MOSA payload architecture. SkyStriker Block 4 supports ground and air launch from canisters relevant to U.S. Army launched-effects architectures. Mgmt cited a ~6k unit demand signal, while SkyStriker's ~$100k+ price point differentiates it through range (~250 km), payload modularity, and cost.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

ESLT: 2026 Adj Op Margin Expansion Enabled From Operating Leverage on Scaling Volume

2027 Sensitivity - Each 50 Bps to ESA Segment Margins Adds ~$0.16 to EPS, or 1% Upside

Total Segment Margin %	Total 2027 Organic Growth (%)				
#####	8.0%	9.0%	10.0%	11.0%	12.0%
9.2%	$14.27	$14.41	$14.56	$14.70	$14.84
9.7%	$15.11	$15.27	$15.42	$15.57	$15.72
10.2%	$15.96	$16.12	$16.28	$16.44	$16.60
10.7%	$16.81	$16.98	**$17.15**	$17.32	$17.48
11.2%	$17.66	$17.84	$18.01	$18.19	$18.36
11.7%	$18.51	$18.69	$18.88	$19.06	$19.24
12.2%	$19.36	$19.55	$19.74	$19.93	$20.12

2027 EPS Sensitivity - Each 1Pt to Rev Growth Adds $0.06 to Base EPS, w/ Each 50Bps of Margin Worth $0.29

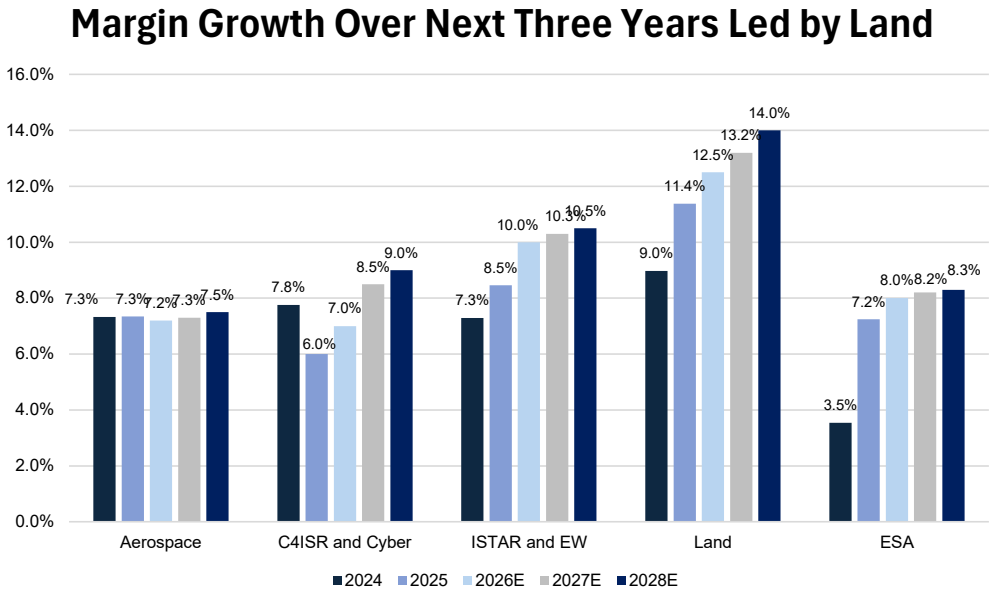
Land Segment Margin %	Land Organic Growth 2027E				
$17.15	14.0%	15.0%	16.0%	17.0%	18.0%
11.7%	$16.14	$16.20	$16.26	$16.32	$16.38
12.2%	$16.43	$16.50	$16.56	$16.62	$16.68
12.7%	$16.72	$16.79	$16.85	$16.92	$16.98
13.2%	$17.01	$17.08	**$17.15**	$17.21	$17.28
13.7%	$17.30	$17.37	$17.44	$17.51	$17.58
14.2%	$17.59	$17.67	$17.74	$17.81	$17.88
14.7%	$17.88	$17.96	$18.03	$18.11	$18.18

- In Q1, Adj gross profit of $559MM was up 21% y-o-y, with gross margins improving 120 bps y-o-y. ESLT reported $222MM of adj EBIT (+34% y-o-y) for margins of 10.1% in Q1, up 140 bps y-o-y. Adj EBIT margins climbed 30 bps sequentially from 9.8% in Q4 on scale and favorable product mix, as well as lower opex with lower Marketing & Other expense (4.6% of sales vs 5.4% of sales in Q4) and the new ERP system & AI tools being implemented within the business.
- We forecast adj operating margins of 10.2% in 2026 (+90 bps y-o-y) on better operating leverage, as well as an improvement in contract terms for Sparton within ESA. Gross margins should steadily climb as ESLT begins executing on contracts struck post pandemic that offer more favorable pricing terms across the entire portfolio (not solely ESA).
- The offset to internal improvements in profitability is the headwind from FX with ~50% of costs in NIS vs 33% of revenue. The NIS appreciated 14% y-o-y through today, which is a ~80 bps headwind to profitability, which is likely a larger impact to 2027 if it persists whereas near term FX is offset by hedging and growth in Europe.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

ESLT: Land stands to benefit from improved operating leverage on its robust growth profile.



- Land grew 38% in 2025, with our estimates calling for another 25% growth in 2026, as the second production facility coming online continues to support growth in addition to facility investments in Europe.
- Improved operating leverage should support margin expansion from 11.4% in 2025 to 12.5% on our 2026 estimate and 13.2% by 2027E.
- Mgmt continues to target a return to gross margins in the historical range of 29-30% with operating margins in the 10% range. We est adj op margins expand another +50bps to 10.7% in 2027E and +40bps to 11.1% in 2028E.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

ESLT: Finding a Groove w/ FCF Generation - Tracking Ahead of 80-85% Target

FCF Grows to $594MM in FY26E On Earnings Growth Despite Higher Capex With FCF Conversion >80%
($MM, except per share data)

	FY22	FY23	FY24	FY25	FY26E	FY27E	FY28E
Net Income	$275	$216	$322	$536	$685	$805	$925
Depreciation and Amortization	161	165	158	171	206	226	246
NWC	(139)	(257)	67	97	16	(13)	(42)
Stock Comp/Deferred Taxes/Other	(58)	(10)	(13)	(26)	(0)	(0)	(0)
CFO	240	114	535	778	907	1,019	1,129
Capex	(205)	(187)	(215)	(226)	(313)	(325)	(332)
FCF	**$35**	**-$73**	**$320**	**$553**	**$594**	**$694**	**$797**
FCF Per Share	**$0.78**	**($1.64)**	**$7.15**	**$11.78**	**$12.27**	**$14.26**	**$16.29**
Deployment							
Dividend	($87)	($89)	($89)	($112)	($194)	($195)	($196)
Change in Debt	(49)	172	(199)	(479)	(100)	-	-
Buyback/Shares Issued	0	0	0	573	-	-	-
M&A	(63)	(10)	-	-	-	-	-
Total Deployment	**($199)**	**$73**	**($288)**	**($18)**	**($294)**	**($195)**	**($196)**
Discretionary FCF (post dividends)	**($52)**	**($163)**	**$231**	**$441**	**$400**	**$499**	**$601**
FCF to Adj Net Income Conversion	13%	-25%	82%	92%	81%	83%	84%
FCF Yield (FCF / Mkt Cap.)	0.1%	-0.2%	0.8%	1.4%	1.5%	1.7%	2.0%
Discretionary FCF Yield	-0.1%	-0.4%	0.6%	1.1%	1.0%	1.3%	1.5%
Discretionary FCF % Change y-o-y	-135%	213%	-242%	91%	-9%	25%	20%
Capex/Sales (%)	3.7%	3.1%	3.1%	2.8%	3.5%	3.3%	3.1%
Dividend Yield (%)	0.2%	0.2%	0.2%	0.3%	0.5%	0.5%	0.5%
Net Debt/EBITDA (x)	1.2X	1.6X	0.9X	-0.3X	-0.6X	-0.9X	-1.2X
Working Capital % of Sales	2.5%	4.3%	-1.0%	-1.2%	-0.2%	0.1%	0.4%

- In Q1, ESLT generated $281MM of CFO, with $71MM of capex translating to FCF of $210MM (113% conversion). Working capital was a $80MM benefit in Q1, driven by a $464MM benefit from contract liabilities from customer down payments on the >$4BB of new business in Q1 and a $57MM inflow from payables, partially offset by a $326MM outflow from receivables and $112MM outflow from inventories.
- On M&A, Elbit focuses on improving market positioning, enhancing the IP of the portfolio, and opportunities for revenue synergies. The company also looks for a complementary management team in acquisitions.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

ESLT: Revenue Build

Elbit Revenue Build	2021	2022	2023	2024	2025	2026E	2027E	2028E
Aerospace	$1,583	$1,733	$1,873	$2,036	$2,067	$2,129	$2,214	$2,325
C4ISR and Cyber	$625	$678	$721	$800	$931	$1,043	$1,147	$1,239
ISTAR and EW	$1,026	$1,046	$1,179	$1,318	$1,526	$1,755	$1,965	$2,162
Land	$1,117	$1,169	$1,306	$1,679	$2,319	$2,898	$3,362	$3,766
ESA	$1,493	$1,457	$1,465	$1,586	$1,694	$1,745	$1,815	$1,905
Intersegment revenue	-$566	-$571	-$570	-$591	-$598	-$622	-$656	-$684
Consolidated	**$5,279**	**$5,512**	**$5,975**	**$6,828**	**$7,939**	**$8,948**	**$9,847**	**$10,712**
YoY % Change								
Aerospace	24%	9%	8%	9%	2%	3%	4%	5%
C4ISR and Cyber	-1%	9%	6%	11%	16%	12%	10%	8%
ISTAR and EW	-2%	2%	13%	12%	16%	15%	12%	10%
Land	11%	5%	12%	29%	38%	25%	16%	12%
ESA	11%	-2%	1%	8%	7%	3%	4%	5%
Intersegment revenue	13%	4%	8%	14%	16%	13%	10%	9%
Reported YoY % Change	**13%**	**4%**	**8%**	**14%**	**16%**	**13%**	**10%**	**9%**
Organic YoY % Change	**6%**	**6%**	**9%**	**14%**	**16%**	**13%**	**10%**	**9%**
Revenue Composition (%)								
Aerospace	30%	31%	31%	30%	26%	24%	22%	22%
C4ISR and Cyber	12%	12%	12%	12%	12%	12%	12%	12%
ISTAR and EW	19%	19%	20%	19%	19%	20%	20%	20%
Land	21%	21%	22%	25%	29%	32%	34%	35%
ESA	28%	26%	25%	23%	21%	20%	18%	18%
Intersegment revenue	-11%	-10%	-10%	-9%	-8%	-7%	-7%	-6%
Total	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**
Adj. Operating Margin (%)	**8.5%**	**6.5%**	**7.5%**	**8.1%**	**9.3%**	**10.2%**	**10.7%**	**11.1%**

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

ESLT: Annual Income Statement

Years Ending December 31	2021		2022		2023		2024		2025		2026E		2027E		2028E	
Total Revenues	**$5,279**	100%	**$5,512**	100%	**$5,975**	100%	**$6,828**	100%	**$7,939**	100%	**$8,948**	100%	**$9,847**	100%	**$10,712**	100%
Costs and expenses																
Costs of Sales	3,920	74%	4,138	75%	4,492	75%	5,186	76%	6,003	76%	6,642	74%	7,282	74%	7,905	74%
SG&A	940	18%	1,075	19%	1,114	19%	1,153	17%	1,264	16%	1,432	16%	1,546	16%	1,650	15%
Total Operating Costs	**$4,860**	92%	**$5,213**	95%	**$5,606**	94%	**$6,339**	93%	**$7,267**	92%	**$8,074**	90%	**$8,828**	90%	**$9,554**	89%
Operating Profit	**$419**	7.9%	**$299**	5.4%	**$369**	6%	**$489**	7%	**$671**	8%	**$874**	10%	**$1,019**	10%	**$1,158**	11%
Adj. Operating Profit	**$451**	8.5%	**$357**	6.5%	**$449**	7.5%	**$550**	8.1%	**$738**	9.3%	**$917**	10.2%	**$1,053**	10.7%	**$1,192**	11.1%
Interest Expense	(40)		(51)		(138)		(151)		(139)		(124)		(123)		(122)	
Other, net	5		(24)		(5)		4		29		2		0		0	
Income before taxes	**$383**	7%	**$224**	4%	**$226**	4%	**$342**	5%	**$562**	7%	**$751**	8%	**$896**	9%	**$1,037**	10%
Taxes (rate %)	131	34%	24	11%	23	10%	39	11%	56	10%	102	14%	131	15%	156	15%
Net Income, continuing ops	**$252**		**$199**		**$204**		**$303**		**$506**		**$649**		**$765**		**$881**	
Minority Interest	$22		$7		$12		$18		$28		$35		$40		$44	
Net Income	**$274**		**$206**		**$215**		**$321**		**$534**		**$684**		**$805**		**$925**	
Diluted shares (millions)	44		45		45		45		47		48		49		49	
Earnings Per Share	**$6.20**		**$4.63**		**$4.82**		**$7.18**		**$11.39**		**$14.13**		**$16.55**		**$18.91**	
Adj. Earnings Per Share	**$8.30**		**$6.03**		**$6.70**		**$8.76**		**$12.75**		**$15.15**		**$17.15**		**$19.50**	

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

ESLT: Cash Flow Statement

	2021	2022	2023	2024	2025	2026E	2027E	2028E
Operating Activities								
Net earnings	$275	$275	$216	$322	$536	$685	$805	$925
Adjustments	0	0	0	0	0	0	0	0
Depreciation and amortization	153	161	165	158	171	206	226	246
Write-off impairment	0	0	0	0	0	0	0	0
Stock-based comp expense	5	10	12	16	26	0	0	0
Amortization of Series A Notes	0	1	1	0	0	(0)	(0)	(0)
Deferred income taxes and reserve, net	39	(2)	(13)	2	(15)	0	0	0
Loss (gain) on sale of PP&E	(14)	(19)	(1)	(1)	(5)	0	0	0
Loss (gain) on sale of investments and deconsolidation of subsidiaries	(15)	(7)	5	18	3	0	0	0
Equity in earnings of affiliated companies and partnerships, net of dividend	8	11	10	(8)	(10)	0	0	0
Trade and unbilled receivables and contract assets	(430)	97	(97)	(474)	(660)	(353)	(367)	(268)
Inventories	(336)	(305)	(352)	(480)	(358)	(270)	(194)	(209)
Trade payables, other payables, and accrued expenses	105	(123)	175	66	464	334	287	256
Contract liabilities	10	(52)	(24)	(40)	(26)	0	0	0
Cash from Operating Activities	**$417**	**$240**	**$114**	**$535**	**$778**	**$907**	**$1,019**	**$1,129**
Cash from investing activities								
Capital expenditures	($189)	($205)	($187)	($215)	($226)	($313)	($325)	($332)
Acquisition	(446)	(63)	(10)	0	0	0	0	0
Held-to-maturity securities	(2)	(4)	(5)	(4)	(2)	0	0	0
Proceeds from asset sales	49	118	2	40	16	0	0	0
Other	(0)	0	0	0	0	0	0	0
Cash from investing activities	**($588)**	**($152)**	**($211)**	**($179)**	**($391)**	**($313)**	**($325)**	**($332)**
Cash from financing activities								
Purchases of common stock	$0	$0	$0	$0	$573	$0	$0	$0
Dividends paid	(79)	(87)	(89)	(89)	(112)	(194)	(195)	(196)
Proceeds from fixed-rate notes	1,052	40	20	36	0	0	0	0
Repayment from fixed-rate notes	(536)	(188)	(309)	(73)	(381)	(100)	0	0
Proceeds from options	0	0	0	0	0	0	0	0
Other	(285)	99	461	(162)	(99)	0	0	0
Net cash from financing activities	**$151**	**($136)**	**$83**	**($288)**	**($18)**	**($294)**	**($195)**	**($196)**
Net cash from disco opts	10	20	22	22	22	22	22	22
Net increase in cash equivalents	($20)	($48)	($14)	$68	$370	$300	$499	$601
Beginning cash	279	259	211	197	265	635	935	1,435
Ending cash	**$259**	**$211**	**$197**	**$265**	**$635**	**$935**	**$1,435**	**$2,036**

Source: Company data and Jefferies estimates

Eve Holdings (EVEX)

Buy | Price Target: $7

	Price	Assumptions
DCF	$7	11% WACC; 4% Terminal Growth Rate
Price Target	**$7**	

Valuation Table

eVTOLS	Ticker	JEF Rating	Stock Px 6/1/2026	Market Cap	Enterprise Value	P/E 2026E	P/E 2027E	P/E 2028E	EV / SALES 2026E	EV / SALES 2027E	EV / SALES 2028E	EV / EBITDA 2026E	EV / EBITDA 2027E	EV / EBITDA 2028E	FCF
Archer	ACHR	N/C	$6.77	5,142	3,530	-5.0x	-5.4x	-6.6x	336.5x	37.6x	7.3x	-4.7x	-5.1x	-7.0x	-14.9%
Beta Technologies	BETA	BUY	$17.83	3,963	2,705	-8.4x	-8.3x	-9.8x	66.0x	7.8x	2.9x	-6.5x	-7.0x	-9.3x	-10.4%
Joby Aviation	JOBY	N/C	$11.89	11,691	9,495	-14.2x	-14.2x	-16.2x	83.2x	42.8x	20.4x	-13.9x	-15.1x	-20.2x	-5.8%
Average						**-7.0x**	**-7.4x**	**-8.5x**	**209.9x**	**40.2x**	**11.2x**	**-6.9x**	**-7.3x**	**-9.6x**	**-25.8%**
Eve	**EVEX**	**Buy**	**$3.40**	**1,184**	**1,054**	**-4.0x**	**-3.4x**	**-10.3x**	**NM**	**35.9x**	**0.8x**	**-4.2x**	**-4.3x**	**21.7x**	**NM**

Featured Notes:

- EVEn Flows on Q1 Flight Tests Approaching 2028 EIS / *May 7, 2026*
- Full Speed Ahead: Flight Tests & Capex Ramp to Support '27 Cert / *Mar 19, 2026*
- Getting the Ball Rolling: First Flight Tests Around the Corner Late 25/26 / *Nov 4, 2025*

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

Source: Company data, Jefferies estimates, FactSet

EVEX: Revenue Build - Deliveries Begin in 2027 With 65% CAGR Through 2030

EVEX Revenue Build - eVTOL Deliveries Starting in 2027

	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
Revenue ($MM)								
eVTOL	$0	$0	$0	$0	$0	$1,200	$2,000	$3,250
Fleet Operations	0	0	0	0	12	102	267	494
Services and Support	0	0	0	0	14	96	223	529
UATM	0	0	0	0	4	8	14	14
Total	**$0**	**$0**	**$0**	**$0**	**$29**	**$1,405**	**$2,504**	**$4,286**
YoY % Change								
eVTOL	NM	NM	NM	NM	NM	NM	67%	63%
Fleet Operations	NM	NM	NM	NM	NM	787%	162%	85%
Services and Support	NM	NM	NM	NM	NM	565%	133%	138%
UATM	NM	NM	NM	NM	NM	114%	87%	0%
Total	**NM**	**NM**	**NM**	**NM**	**NM**	**4683%**	**78%**	**71%**
Composition								
eVTOL		NM	NM	NM	0%	85%	80%	76%
Fleet Operations		NM	NM	NM	39%	7%	11%	12%
Services and Support		NM	NM	NM	49%	7%	9%	12%
UATM		NM	NM	NM	12%	1%	1%	0%
Total		**NM**	**NM**	**NM**	**100%**	**100%**	**100%**	**100%**

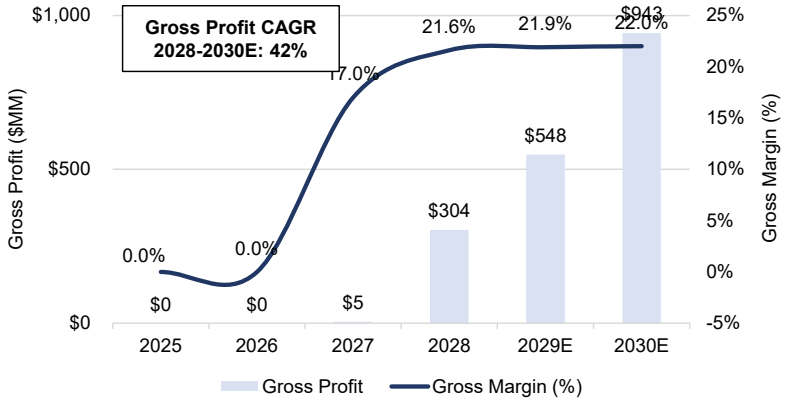
- In the near term, we expect minimal revenue generation, with an inflection in 2027 as aircraft deliveries begin, with modest medium-term contribution from Fleet Operations, Services and Support, and Urban Air Traffic Management (UATM), dubbed "Vector", until the global fleet scales.

Source: Company data and Jefferies estimates

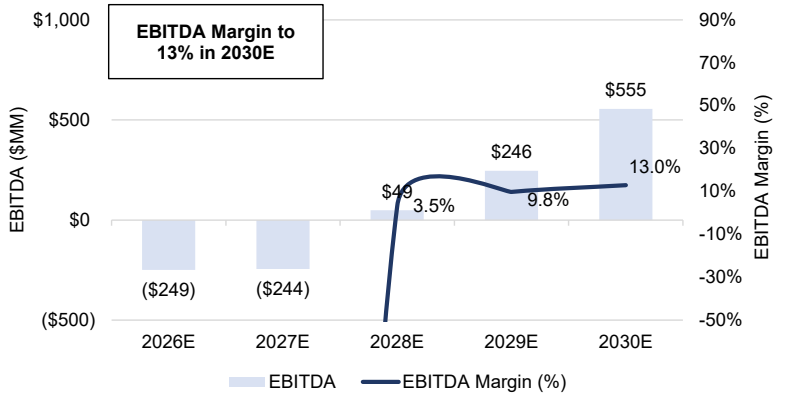
Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

EVEX: Margin Outlook - R&D Tied to Engineering and Manufacturing of eVTOLs

GMs Expanding from 17% in 2026 to 22% in 2030 as Gross Profit Grows at 46% CAGR from 2028 to 2030



EBITDA Margins Inflect Positive in 2028, Expanding to 13% in 2030



- In 2025, EVEX reported operating loss of $225MM with no reported revenue. The loss was tied to $195MM of R&D (+50% y-o-y) and $31MM of SG&A (+16%). In Q1:26, EVEX delivered an operating loss of $68.8MM on $59.1MM in quarterly R&D (+32% y-o-y) and SG&A of $7.2MM (-8%). R&D expense is largely around the development of EVEX's eVTOL with an increase from $130MM in 2024 to $195MM in 2025 related to higher engineering expense and cost of supplies related to the development of the first conforming prototypes and testing for the initial full-scale prototype vehicle.
- We estimate SG&A costs scale from $31MM in 2025 to $86MM by 2030, associated with hiring efforts to meet the requirements of maintaining public company status and in the later part of the decade, to support commercialization and sales efforts of the eVTOL.
- Depreciation & amortization expenses rise to $25MM in 2026 and $200MM by 2030 as new manufacturing facilities are built to support the ramp of production.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

EVEX: Capex Needs Keep FCF Negative To End of Decade But NT Liquidity Sufficient to Support Ops To 2028

FCF Build - Capex Needs Drive Negative FCF Until 2029 When NI Turns Positive ($MM)

	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
Net Income	($16)	($174)	($128)	($138)	($224)	($294)	($344)	($115)	$39	$275
Depreciation & Amortization	$0	$0	$0	$0	$1	$25	$70	$119	$150	$200
NWC	($0)	$16	$18	$8	$57	$27	$141	$47	$48	($210)
Stock Comp / Other	$0	$98	$15	($6)	$6	$0	$0	$0	$0	$0
CFO	**($16)**	**($59)**	**($95)**	**($136)**	**($160)**	**($242)**	**($133)**	**$50**	**$236**	**$265**
Capex	($1)	($0)	($0)	($5)	($13)	($25)	($100)	($150)	($200)	($200)
FCF	**($17)**	**($60)**	**($95)**	**($141)**	**($173)**	**($267)**	**($233)**	**($100)**	**$36**	**$65**
FCF Per Share	**($0.08)**	**($0.24)**	**($0.34)**	**($0.49)**	**($0.54)**	**($0.77)**	**($0.67)**	**($0.29)**	**$0.10**	**$0.19**
Deployment										
Issuance/Repayment of Debt	0	0	25	111	46	225	200	200	0	0
Total Deployment	**$0**	**$0**	**$25**	**$111**	**$46**	**$225**	**$200**	**$200**	**$0**	**$0**
Discretionary FCF	**($17)**	**($60)**	**($95)**	**($141)**	**($173)**	**($267)**	**($233)**	**($100)**	**$36**	**$65**
Ratios										
FCF to NI Conversion	NM	NM	NM	NM	NM	NM	NM	87%	93%	24%
FCF Yield (FCF / Mkt Cap)	-1%	-5%	-8%	-12%	-15%	-23%	-20%	-8%	3%	6%
FCF Y-o-Y Change	NM	NM	NM	NM	NM	NM	NM	NM	-136%	80%
Capex as % of Sales	NM	NM	NM	NM	NM	NM	340.4%	10.7%	8.0%	4.7%

- In 2025, cash was a $175MM use, or $197MM adjusted for temporary working capital gain in Q4, falling at the low end of guidance, largely tied to development work and payments to suppliers, with cash burn in 2026 stepping up to $263MM on our estimates. EVEX maintained cash burn of -$225-275MM and capex of $20-30MM (up from $13MM in 2025).
- We estimate FCF remains negative until 2029 as deliveries are now starting in 2028, with capacity starting at just 240/yr once the facility is up and running and net income remaining negative until 2030. On our estimates, FCF burn hits ($267MM) w/ $25MM of capex in 2026, compared to guidance of ~$225-275MM. We expect capex to inflect higher to $100MM with cash burn improving to ($206MM) in 2027.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

EVEX: Income Statement

(millions, except per share data)	2024		2025		2026E		2027E		2028E	
	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales
Total Revenues	**$0**		**$0**		**$0**		**$29**		**$1,405**	
Costs and expenses										
Costs of Sales	0	NM	0	NM	0	NM	24	83.0%	1,102	78.4%
R&D	130	NM	195	NM	219	NM	219	745.5%	213	15.1%
SG&A	27	NM	31	NM	30	NM	30	102.1%	42	3.0%
Total Operating Costs	**$156**	NM	**$225**	NM	**$249**	NM	**$273**	931%	**$1,357**	97%
Operating Profit	**($156)**	NM	**($225)**	NM	**($249)**	NM	**($244)**	-830.7%	**$49**	3.5%
Interest income (expense), net	(1)		(10)		(20)		(30)		(40)	
Other income (expense), net)	19		12		0		0		0	
Pre-Tax Income	(138)		(223)		(294)		(344)		(110)	
Taxes	(1)		(1)		0		0		(5)	
Net Income From Continuing Ops	**($138)**		**($224)**		**($294)**		**($344)**		**($115)**	
Foreign currency transation adjustment	0		0		0		0		0	
Net Income	**($138)**		**($224)**		**($294)**		**($344)**		**($115)**	
Diluted shares (millions)	288.5		321.3		348.3		348.3		348.3	
Diluted EPS	**($0.48)**		**($0.70)**		**($0.84)**		**($0.99)**		**($0.33)**	
EBITDA	**($156.4)**		**($225.4)**		**($249.0)**		**($244.0)**		**$48.6**	

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

Firefly (FLY)

BUY | Price Target: $52

Valuation Method	Price	Assumptions
EV/Sales	52	11.0x EV/Sales on 2027 Sales of $776MM
Price Target	**$52**	

Valuation Table

	Ticker	JEF Rating	Stock Px 7/28/2026	Consensus BUY Rating	Market Cap	Enterprise Value	P/E 2026E	P/E 2027E	P/E 2028E	EV / SALES 2026E	EV / SALES 2027E	EV / SALES 2028E	EV / EBITDA 2026E	EV / EBITDA 2027E	EV / EBITDA 2028E	FCF Yield
AeroVironment	AVAV	Buy	$150.51	87%	7,806	7,851	46.4x	33.7x	26.0x	3.6x	3.1x	2.7x	24.3x	19.3x	15.6x	1.9%
Karman	KRMN	N/C	$48.90	92%	6,702	7,484	84.7x	53.1x	38.5x	10.2x	8.0x	6.3x	35.1x	26.5x	20.6x	1.7%
Kratos	KTOS	Buy	$47.46	86%	9,388	7,916	62.1x	44.4x	34.1x	4.5x	3.7x	3.0x	44.6x	32.5x	25.7x	NM
Redwire	RDW	Hold	$8.25	71%	2,281	2,227	NM	NM	NM	4.7x	3.9x	3.4x	NM	NM	NM	NM
Rocket Lab	RKLB	N/C	$61.80	86%	36,968	36,171	NM	NM	NM	39.4x	27.5x	20.1x	NM	NM	118.0x	NM
Voyager	VOYG	Buy	$25.22	82%	2,109	1,727	NM	NM	NM	7.2x	4.6x	2.3x	NM	NM	NM	NM
Average				**85%**			**64.4x**	**43.8x**	**32.9x**	**11.6x**	**8.5x**	**6.3x**	**34.7x**	**26.1x**	**45.0x**	**1.8%**
Firefly	**FLY**	**Buy**	**$18.60**	**60%**	**3,615**	**3,090**	**NM**	**NM**	**NM**	**6.8x**	**4.0x**	**2.4x**	**NM**	**NM**	**21.9x**	**NM**
Discount / Premium							**NM**	**NM**	**NM**	**-41%**	**-53%**	**-62%**	**NM**	**NM**	**-51%**	**NM**

Featured Notes:

- The Stars and the Moon All Aligning Into Growing Demand Across Portfolio / *June 2, 2026*
- Psyched About SciTec, Demand Signals Seem to Be Mounting / *May 26, 2026*
- Flyin' Into a New Rhythm / *Mar 22, 2026*

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

Source: Company data, Jefferies estimates, FactSet

FLY: 115% Revenue CAGR in 2024-2028 Diversified Across Launch & Spacecraft

FLY Revenues - Launch Compounds at 100% CAGR to 2028 with Spacecraft at 122% CAGR Supporting $1.4BB of Revenue in 2028

	2023	2024	2025E	2026E	2027E	2028E	2029E	2030E
Revenues								
Launch	$33.0	$22.6	$28.6	$78.0	$169.0	$360.0	$570.0	$800.0
Spacecraft Solutions	20.9	38.2	131.2	374.2	607.2	934.4	1,100.2	1,305.5
Corporate	1.3	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Total Revenues	**$55.2**	**$60.8**	**$159.9**	**$452.2**	**$776.2**	**$1,294.4**	**$1,670.2**	**$2,105.5**
% YoY Change		*10%*	*163%*	*183%*	*72%*	*67%*	*29%*	*26%*
Profitability & Cash								
Launch	$27.8	$7.7	$10.6	$27.3	$59.2	$126.0	$171.0	$240.0
Spacecraft Solutions	3.0	(10.9)	20.0	82.3	188.2	299.0	363.1	443.9
Corporate	(4.2)	(8.2)	0.0	0.0	0.0	0.0	0.0	0.0
Total Gross Profit	**$26.6**	**($11.4)**	**$30.7**	**$109.6**	**$247.4**	**$425.0**	**$534.1**	**$683.9**
% Margin	*48.2%*	*-18.7%*	*19.2%*	*24.2%*	*31.9%*	*32.8%*	*32.0%*	*32.5%*
Adj EBITDA	**($123.9)**	**($190.6)**	**($198.6)**	**($306.4)**	**($104.7)**	**$141.1**	**$276.7**	**$422.7**
% Margin	*NM*	*NM*	*NM*	*-67.7%*	*-13.5%*	*10.9%*	*16.6%*	*20.1%*
Free Cash Flow	**($170.7)**	**($190.3)**	**($237.8)**	**($287.1)**	**($63.0)**	**$113.4**	**$162.8**	**$261.1**
% Conversion	*NM*	*NM*	*NM*	*NM*	*31%*	*1963%*	*135%*	*106%*

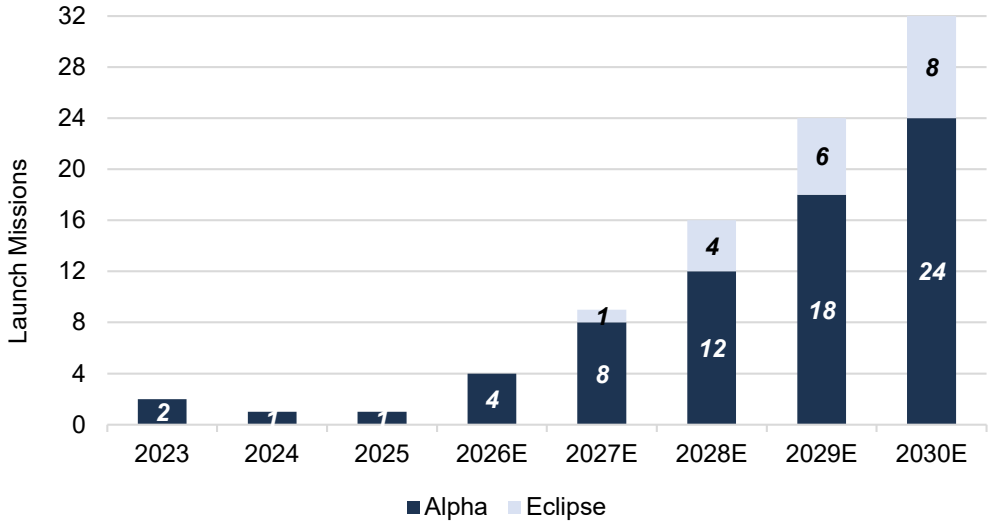
- Firefly Aerospace is a defense & space firm founded in 2017 with four primary products, the Alpha and Eclipse launch vehicles, and the Blue Ghost and Elytra spacecraft.
  - Launch (18% of 2026E revenues at 100% CAGR to 2028): The Alpha 1,000 kg launch vehicle inaugurated in 2021 with 7 launches conducted and 30+ in backlog and the Eclipse 16,300 kg launch vehicle in partnership with Northrop Grumman with first flight of the medium launch vehicle anticipated no earlier than 2027.
  - Spacecraft Solutions (82% of 2026E revenues at 123% CAGR to 2028): Blue Ghost lander for moon and Mars comm'l sensing, resource collection, and infrastructure and the Elytra spacecraft for space domain awareness, maneuvering, long-haul communications, and imaging.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

FLY: Launch: 100% CAGR to 2028, Led by Alpha & Eclipse Launch Cadence

Launch Cadence - Alpha Reaches 12 Launches in 2028 and 24 per Year in 2030, with Eclipse Up to 4 in 2028 and 8 by 2030



- Q1:26 Launch revenues increased 156% y-o-y to $13.3MM (from $5.2MM in Q1:25) w/ growth primarily attributable to the Alpha Flight 7 Launch in Q1:26 vs. no launches in Q1:25.
- We est Launch revenue expands at a 100% CAGR from $23MM in 2024 to $360MM in 2028, anchored by Alpha growing at 130% on a launch cadence of 1 in 2025 to 12 in 2028, and Eclipse growing at a 71% CAGR, including non-recurring engineering.
- Alpha is a 1,000 kg class launch vehicle with versatility given its payload capacity that can serve the 500 to 1,000 kg small satellite market with limited competition in the dedicated launch market. Applications include dedicated mission capability along with tactically responsive launch and hypersonic testing.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

FLY: Spacecraft Solutions: Revenue Expanding at a 123% CAGR to 2028 on Mission Cadence and SciTec

Spacecraft Solutions Overview - 123% Revenue CAGR in 2024-2028 on Accelerating Mission Cadence, Led by Elytra Opportunity

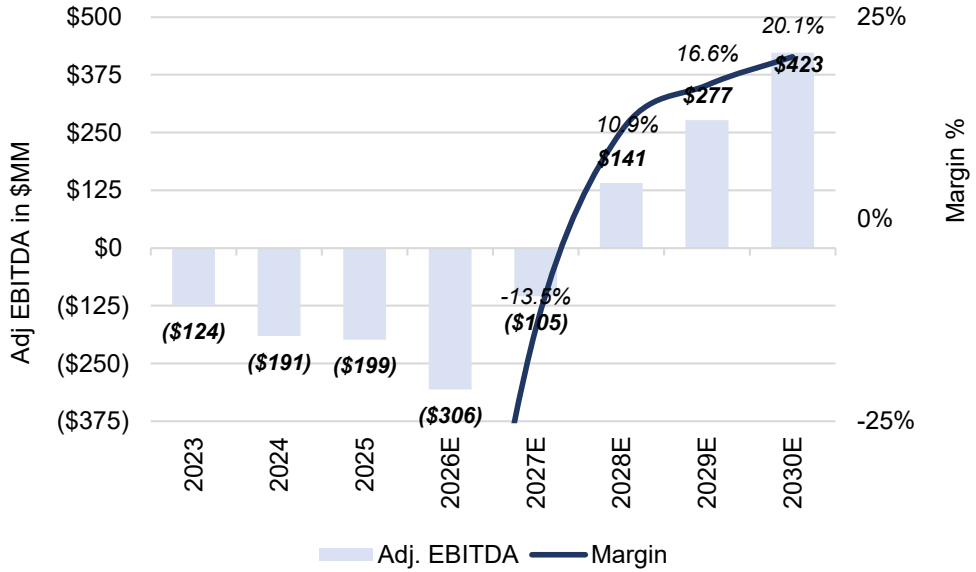
	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
Revenue								
Blue Ghost	20.9	38.2	74.5	154.0	262.7	335.0	371.0	396.0
Elytra	0.0	0.0	21.6	30.0	120.0	352.5	462.5	629.5
SciTec	0.0	0.0	35.2	190.2	224.5	246.9	266.7	280.0
Spacecraft Revenue	**$20.9**	**$38.2**	**$131.2**	**$374.2**	**$607.2**	**$934.4**	**$1,100.2**	**$1,305.5**
% YoY Growth								
Blue Ghost		82%	95%	107%	71%	28%	11%	7%
Elytra		-	-	39%	300%	194%	31%	36%
SciTec		-	-	441%	18%	10%	8%	5%
Spacecraft Revenue		**82%**	**244%**	**185%**	**62%**	**54%**	**18%**	**19%**
% Composition								
Blue Ghost	100%	100%	57%	41%	43%	36%	34%	30%
Elytra	0%	0%	16%	8%	20%	38%	42%	48%
SciTec	0%	0%	27%	51%	37%	26%	24%	21%
Spacecraft Revenue	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**
Missions								
Blue Ghost	0	0	1	1	1	2	2	2
Elytra	0	0	1	0	1	2	6	8
Spacecraft Missions	**0**	**0**	**2**	**1**	**2**	**4**	**8**	**10**

- We est Spacecraft Solutions revenue expands at 123% CAGR from $38MM in 2024 to $950MM in 2028, anchored by Elytra increasing from $21MM in revenues in 2025 to $465MM in 2028. Blue Ghost revenues increase from $76MM in 2025 to $243MM in 2028. SciTec annualizes & grows to $193MM in 2026 and $242MM by 2028.
  - Elytra (49% of 2028 Spacecraft Revenue)
  - Blue Ghost (26% of 2028 Spacecraft Revenue)
  - SciTec (26% of 2028 Spacecraft Revenue)

Source: Company data and Jefferies estimates

FLY: Highly Leverageable Business Model + Scale Drives Mid-20% EBITDA Margins at Maturity

Adj. EBITDA Margins - Positive Inflection to ~11% in 2028 and Reaching 20% in 2030



- Q1 gross profit of $17.5MM compared to $2.2MM a year ago for margins of 21.6%. This supported the Q1 adj EBITDA loss of ($64.7MM) compared to the ($47.1MM) loss a year ago.
- FLY's profitability is largely driven by scale, with improved gross margins as production scales, coupled with SG&A and R&D leverage on an increased mission cadence through the decade. There is also the benefit of platform maturity as Alpha and Eclipse move toward full production, which shifts some of the R&D into SG&A.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

FLY: Income Statement

$MM except per share data	2023		2024		2025		2026E		2027E		2028E		2029E		2030E	
	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales
Total Revenues	**$55.2**		**$60.8**		**$159.9**		**$452.2**		**$776.2**		**$1,294.4**		**$1,670.2**		**$2,105.5**	
COGS	28.6	51.8%	72.2	118.7%	129.2	80.8%	342.6	75.8%	528.8	68.1%	869.4	67.2%	1,136.1	68.0%	1,421.6	67.5%
Gross Profit	**$26.6**	**48.2%**	**($11.4)**	**-18.7%**	**$30.7**	**19.2%**	**$109.6**	**24.2%**	**$247.4**	**31.9%**	**$425.0**	**32.8%**	**$534.1**	**32.0%**	**$683.9**	**32.5%**
Selling, General & Admin Expenses	$40.6	73.5%	$46.8	77.1%	$91.2	57.1%	$201.2	44.5%	$232.9	30.0%	$220.1	17.0%	$217.1	13.0%	$221.1	10.5%
R&D	117.9	213.4%	149.5	245.9%	200.1	125.2%	316.6	70.0%	225.1	29.0%	207.1	16.0%	200.4	12.0%	210.6	10.0%
Other	(0.0)	0.0%	1.7	2.9%	(0.0)	0.0%	0.0	0.0%	0.0	0.0%	0.0	0.0%	0.0	0.0%	0.0	0.0%
Total Operating Expenses	**$158.5**	**286.9%**	**$198.1**	**325.8%**	**$291.4**	**182.3%**	**$517.8**	**114.5%**	**$457.9**	**59.0%**	**$427.2**	**33.0%**	**$417.5**	**25.0%**	**$431.6**	**20.5%**
Operating Profit	**($131.9)**	**-238.8%**	**($209.5)**	**-344.5%**	**($260.7)**	**-163.1%**	**($408.2)**	**-90.3%**	**($210.6)**	**-27.1%**	**($2.1)**	**-0.2%**	**$116.5**	**7.0%**	**$252.2**	**12.0%**
Interest Expense, Net	(4.0)		(20.4)		(3.4)		8.3		5.8		8.3		13.3		18.3	
Other (Expense) / Income, Net	0.4		(1.3)		(71.4)		(3.3)		0.0		0.0		0.0		0.0	
Pre-Tax Income (Loss)	**(135.5)**		**(231.1)**		**(335.5)**		**(403.2)**		**(204.8)**		**6.1**		**129.8**		**270.5**	
Taxes	0.0		0.0		(37.1)		0.1		0.0		0.3		9.1		24.9	
Preferred Stock Dividends	(20.8)		(34.7)		(35.6)		0.0		0.0		0.0		0.0		0.0	
Other Adjustments	0.0		0.0		0.0		0.0		0.0		0.0		0.0		0.0	
Adj. Net Income	**($156.3)**	**-282.9%**	**($265.8)**	**-437.2%**	**($334.0)**	**-208.9%**	**($403.3)**	**-89.2%**	**($204.8)**	**-26.4%**	**$5.8**	**0.4%**	**$120.7**	**7.2%**	**$245.6**	**11.7%**
Shares Outstanding	12.0		12.8		69.2		162.2		167.6		170.6		173.6		176.6	

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

FLY: Cash Flow Statement

$MM except per share data	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
Net Income	($135.5)	($231.1)	($298.3)	($403.3)	($204.8)	$5.8	$120.7	$245.6
Depreciation & Amortization	4.7	12.5	23.2	67.8	69.9	103.6	125.3	147.4
Stock-based Compensation	1.6	1.8	17.8	32.0	36.0	40.0	44.0	48.0
Other	2.3	13.5	48.8	(20.6)	0.0	0.0	0.0	0.0
Net Change in Working Capital	33.4	45.6	3.7	93.5	144.6	164.7	115.0	114.9
Cash from Operations	**($93.4)**	**($157.7)**	**($204.9)**	**($230.5)**	**$45.7**	**$314.1**	**$405.0**	**$555.9**
Capital Expenditures	($77.2)	($32.7)	($32.8)	($56.5)	($108.7)	($200.6)	($242.2)	($294.8)
Net Cash Acquired in M&A	7.3	0.0	(277.4)	0.0	0.0	0.0	0.0	0.0
Other	0.0	0.0	(91.3)	(125.0)	0.0	0.0	0.0	0.0
Cash from Investing	**($70.0)**	**($32.7)**	**($401.6)**	**($181.5)**	**($108.7)**	**($200.6)**	**($242.2)**	**($294.8)**
Proceeds/(Repurchases) of Preferred Stock	$149.8	$189.0	$232.0	$0.0	$0.0	$0.0	$0.0	$0.0
Payments on Finance Leases/Principal/Issuance	(31.8)	(2.4)	(6.4)	(261.8)	0.0	0.0	0.0	0.0
Net Change in Notes Payable	121.9	45.3	(154.3)	(1.8)	0.0	0.0	0.0	0.0
Proceeds/(Repurchases) of Common Stock	0.0	0.0	932.1	182.4	0.0	0.0	0.0	0.0
Other	0.9	0.8	258.5	(1.4)	0.0	0.0	0.0	0.0
Cash from Financing	**$240.7**	**$232.8**	**$1,261.9**	**($82.5)**	**$0.0**	**$0.0**	**$0.0**	**$0.0**
Total Cash Flow	**$77.3**	**$42.4**	**$655.4**	**($494.6)**	**($63.0)**	**$113.4**	**$162.8**	**$261.1**
Starting Cash	17.8	95.1	137.6	793.0	298.4	235.4	348.8	511.6
Ending Cash	**$95.1**	**$137.6**	**$793.0**	**$298.4**	**$235.4**	**$348.8**	**$511.6**	**$772.7**

Source: Company data and Jefferies estimates

FTAI Aviation (FTAI)

Buy | Price Target: $325

Valuation Method	Price	Assumptions
EV/EBITDA	327	17.5x EV/EBITDA on 2027 EBITDA of $2.10BB
P/E	322	30.0x P/E on 2027 EPS of $10.75
Average	**$325**	**Blended Average**

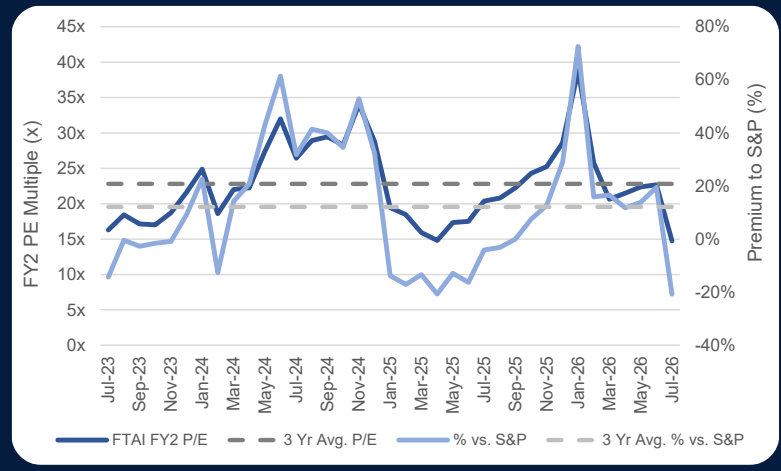
Valuation Table

	Ticker	JEF Rating	Stock Px 8/1/2026	Consensus BUY Rating	Market Cap	Enterprise Value	P/E 2026E	P/E 2027E	P/E 2028E	EV / SALES 2026E	EV / SALES 2027E	EV / SALES 2028E	EV / EBITDA 2026E	EV / EBITDA 2027E	EV / EBITDA 2028E	Dividend Yield
General Electric	GE	Buy	$360.07	81%	373,595	388,105	45.6x	39.9x	35.1x	7.7x	7.0x	6.4x	32.3x	28.5x	25.4x	0.5%
HEICO Corp	HEI	Buy	$356.36	60%	19,684	53,267	58.4x	51.8x	45.7x	10.1x	9.1x	8.4x	36.0x	32.6x	30.1x	0.1%
Howmet Aerospace	HWM	Buy	$282.26	79%	112,934	116,163	55.7x	46.6x	39.3x	11.9x	10.5x	9.5x	37.2x	32.1x	28.1x	0.2%
MTU Aero Engines	MTX-DE	Buy	€361.80	65%	19,504	21,185	19.7x	18.0x	16.3x	2.2x	2.0x	1.8x	11.9x	11.1x	10.2x	1.0%
Safran	SAF-FR	Hold	€338.40	61%	141,568	139,686	32.6x	26.1x	23.1x	3.8x	3.5x	3.2x	17.5x	15.7x	14.2x	1.0%
TransDigm	TDG	Buy	$1,254.38	54%	70,162	101,132	31.3x	26.7x	23.2x	9.7x	8.9x	8.3x	18.7x	17.0x	15.5x	0.0%
Woodward	WWD	Buy	$360.75	85%	21,301	22,903	38.2x	33.7x	28.4x	5.3x	4.9x	4.4x	25.2x	22.5x	19.3x	0.3%
Aftermarket Average				67%			**40.2x**	**34.7x**	**30.1x**	**7.3x**	**6.6x**	**6.0x**	**25.5x**	**22.8x**	**20.4x**	**0.5%**
FTAI Aviation	**FTAI-US**	**Buy**	**$206.00**	**100%**	**21,132**	**24,516**	**39.2x**	**19.2x**	**12.1x**	**6.3x**	**4.0x**	**2.9x**	**19.0x**	**11.7x**	**8.1x**	**0.7%**
Discount / Premium							**-2%**	**-45%**	**-60%**	**-14%**	**-39%**	**-52%**	**-26%**	**-49%**	**-60%**	

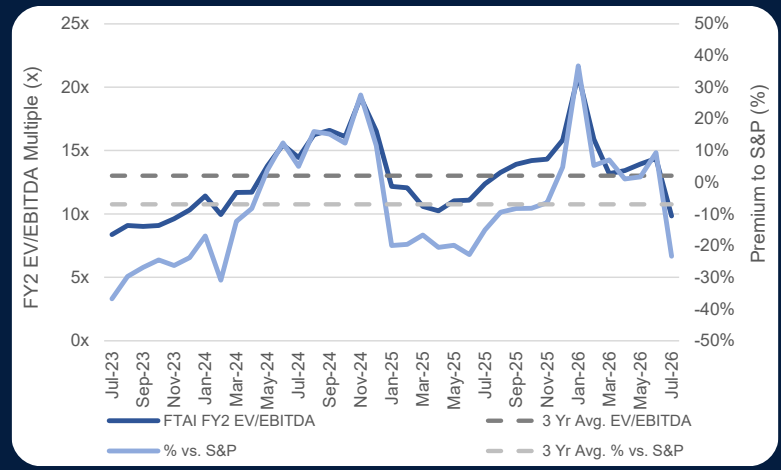
Featured Notes:

- Mr Worldwide: Next Stops on a Global Tour: Cairo, Jakarta, and Power Galore | *August 2, 2026*
- Power Packing A Punch | *May 3, 2026*
- Bringing Its Own Power to Fuel Earnings Upside | *Mar 1, 2026*

Trading at 14.7X FY2 P/E, 21% Disct to Mkt vs. Historical Avg Prem of 12%



Trading at 9.8X FY2 EV/EBITDA, 23% Disct to Mkt vs. Historical Avg Disct of 7%



Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

Source: Company data, Jefferies estimates, FactSet

FTAI: FTAI Revenue & Profits - Segment Adj EBITDA Guided Up 19% Y-o-Y in 2026

Summary Financials - FTAI Maintains 2026 EBITDA With AP at $1.05BB and Leasing at $575MM

	2021	2022	2023	2024	2025	2026E	2027E	2028E	2026 Guide	JEF vs. Guide	2027 Target	JEF vs. Target
Revenues												
Aviation Leasing	$298	$503	$682	$628	$571	$372	$291	$291				
Aerospace Products	$23	$179	$455	$1,080	$1,936	$3,536	$5,835	$8,124				
Corporate	$14	$27	$34	$27	$0	$0	$0	$0				
Total Revenues	**$336**	**$708**	**$1,171**	**$1,735**	**$2,507**	**$3,908**	**$6,127**	**$8,416**				
% YoY Change		*111%*	*65%*	*48%*	*45%*	*56%*	*57%*	*37%*				
Adjusted EBITDA												
Aviation Leasing	$321	$380	$467	$500	$609	$470	$455	$575	$475	-1.0%		#DIV/0!
Aerospace Products	$23	$74	$160	$381	$671	$1,049	$1,850	$2,675	$1,050	-0.1%		#DIV/0!
Corporate	($21)	($26)	($30)	($19)	($89)	($230)	($207)	($227)				
Total Adjusted EBITDA	**$323**	**$428**	**$597**	**$862**	**$1,191**	**$1,289**	**$2,099**	**$3,023**				
% YoY Change		*33%*	*40%*	*44%*	*38%*	*8%*	*63%*	*44%*				
Adjusted EBITDA Margin												
Aviation Leasing	107.8%	75.6%	68.6%	79.6%	106.6%	126.5%	156.3%	197.3%				
Aerospace Products	97.6%	41.6%	35.2%	35.2%	34.7%	29.7%	31.7%	32.9%			40%+	-10.3 pts
Corporate	-150.9%	-97.9%	-87.8%	-70.0%	-	-	-	-				
Total Adjusted EBITDA Margin	**96.2%**	**60.4%**	**51.0%**	**49.7%**	**47.5%**	**33.0%**	**34.3%**	**35.9%**				
% Incremental Margin		*28%*	*37%*	*47%*	*43%*	*7%*	*36%*	*40%*				
Diluted EPS	**($1.43)**	**($2.22)**	**$2.11**	**($0.32)**	**$4.60**	**$5.25**	**$10.75**	**$17.05**				
% YoY Change		*55%*	*-195%*	*-115%*	*NM*	*14%*	*105%*	*59%*				

- FTAI operates two segments, within which revenue is generated through multiple channels:
  - Aerospace Products ($1,049MM or 69% of 2026E Segment EBITDA): Reflects the core maintenance, repair, and exchange ("MRE") business, wherein FTAI sources and rebuilds end-of-life engines before re-offering them customers.
  - Aviation Leasing ($470MM or 31% of 2026E Segment EBITDA): Contains the core asset leasing business, wherein FTAI generates lease income via the leasing of its owned asset base, as well as gains (losses) on the sale of its owned assets and the SCI contribution of pro-rata lease income and management/incentive fees.
- In 2026, JEF estimates $1.52BB of segment EBITDA with AP at $1.05BB and Leasing at $470MM. Corporate & Eliminations total $230MM for total Adj EBITDA of $1.29BB.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

FTAI: Aviation Leasing - Deemphasizing Core Leasing Book as SCI Scales

Aviation Leasing Top-Line - SCI Sales Treated as Other Income Given Non-Recurring Nature

Aviation Leasing	2021	2022	2023	2024	2025	2026E	2027E	2028E
Revenues								
Lease Income	$164	$159	$180	$234	$235	$147	$101	$99
Maintenance Revenue	$129	$149	$191	$201	$218	$117	$81	$79
Asset Sales Revenue	$0	$184	$303	$192	$107	$70	$50	$25
Other Revenue	$6	$11	$7	$1	$11	$38	$59	$88
Total Revenues	**$298**	**$503**	**$682**	**$628**	**$571**	**$372**	**$291**	**$291**
% YoY Change		*69%*	*36%*	*-8%*	*-9%*	*-35%*	*-22%*	*0%*
YoY % Change								
Lease Income	-	-3%	13%	30%	0%	-38%	-31%	-2%
Maintenance Revenue	-	16%	29%	5%	9%	-47%	-31%	-2%
Asset Sales Revenue	-	-	65%	-37%	-44%	-35%	-29%	-50%
Other Revenue	-	106%	-35%	-86%	-	266%	55%	48%
Total Revenues	**-**	**69%**	**36%**	**-8%**	**-9%**	**-35%**	**-22%**	**0%**
% Composition								
Lease Income	55%	32%	26%	37%	41%	39%	35%	34%
Maintenance Revenue	43%	30%	28%	32%	38%	31%	28%	27%
Asset Sales Revenue	0%	36%	44%	31%	19%	19%	17%	9%
Other Revenue	2%	2%	1%	0%	2%	10%	20%	30%
Total Revenues	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**

- In Q2, Aviation Leasing generated $78MM in revenues, down 58% y-o-y, as Lease Income fell 56% to $28MM (36% of mix) with Maintenance Revenue falling 65% to $26MM (33% of mix). Asset Sales Revenue totaled $17MM (22% of mix). Other Revenue, which reflects the SCI service fees, increased to $7.6MM (10% of mix).
- In Q2, Leasing EBITDA totaled $88MM including $50MM of lease income EBITDA. In 2025, Leasing EBITDA totaled $609MM, which included $471MM of core balance sheet leasing, $44MM of gain-on-sale, $54MM of insurance recoveries, and $40MM from the SCI (7% of segment). In 2027, JEF estimates $455MM of Adj EBITDA with $146MM of core Leasing and $309MM from SCI (68% of segment), including $60MM in fees and $250MM in pro-rata Adj EBITDA.

Aviation Leasing Adj. EBITDA - JEFe $470MM of Adj EBITDA in 2026 Includes $247MM Core, $50MM in Insurance, & $162MM from SCI (35% of Segment vs 7% in 2025)

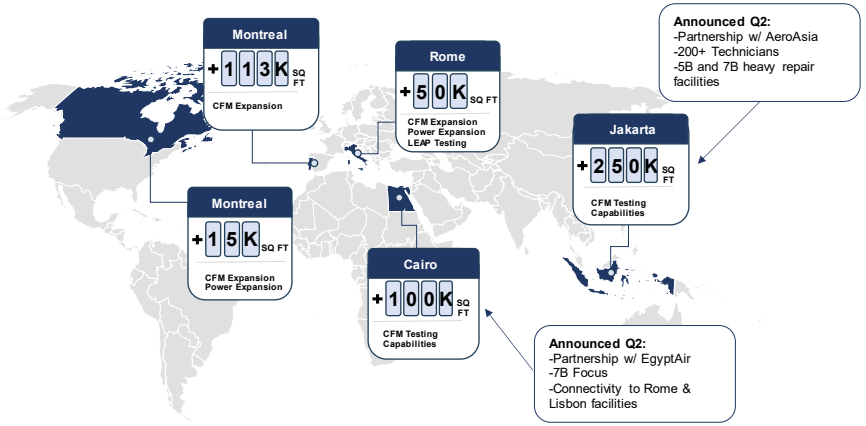
Aviation Leasing	2021	2022	2023	2024	2025	2026E	2027E	2028E
Assets								
Beginning Assets	**264**	**315**	**330**	**363**	**421**	**290**	**272**	**266**
Acquisition of Leasing Eqpmt	$573	$638	$750	$1,147	$659	$0	$0	$0
Period Avg Cost per Asset Purchased	$5.1	$6.2	$5.3	$6.1	$4.7	NM	NM	NM
Assets Purchased	**112**	**103**	**141**	**188**	**141**	**0**	**0**	**0**
Proceeds from Sale of Leasing Eqpmt	$159	$409	$478	$969	$1,712	$275	$100	$50
Period Avg Cost per Asset Sold	$2.6	$4.6	$4.4	$7.5	$6.3	$15.0	$15.0	$15.0
Assets Sold	**(61)**	**(88)**	**(108)**	**(130)**	**(272)**	**(18)**	**(6)**	**(3)**
Total Assets	**315**	**330**	**363**	**421**	**290**	**272**	**266**	**263**
On-Lease Assets	**231**	**206**	**231**	**280**	**218**	**212**	**207**	**205**
% Utilization	*73%*	*73%*	*77%*	*78%*	*75%*	*78%*	*78%*	*78%*
Revenue								
Monthly Lease Rate	$59.1	$64.4	$64.8	$69.8	$89.8	$74.9	$80.0	$81.0
% YoY Change		*9%*	*1%*	*8%*	*29%*	*-17%*	*7%*	*1%*
Lease Income Revenue	**$163.7**	**$159.1**	**$179.7**	**$234.4**	**$235.2**	**$190.7**	**$199.2**	**$199.4**
% YoY Change		*-3%*	*13%*	*30%*	*0%*	*-19%*	*4%*	*0%*
Monthly Maintenance Deposit	$46.5	$60.3	$69.0	$59.8	$83.4	$61.7	$65.0	$65.0
% YoY Change		*30%*	*14%*	*-13%*	*39%*	*-26%*	*5%*	*0%*
Maintenance Revenue	**$128.8**	**$148.8**	**$191.3**	**$200.8**	**$218.5**	**$157.0**	**$161.8**	**$160.0**
% YoY Change		*16%*	*29%*	*5%*	*9%*	*-28%*	*3%*	*-1%*
Core Leasing Revenue	**$292.6**	**$307.9**	**$371.1**	**$435.2**	**$453.7**	**$347.7**	**$361.0**	**$359.4**
% YoY Change		*5%*	*21%*	*17%*	*4%*	*-23%*	*4%*	*0%*
Adj. EBITDA	**2021**	**2022**	**2023**	**2024**	**2025**	**2026**	**2027**	**2028**
Core Leasing EBITDA			$386.0	$448.8	$469.7	$347.7	$361.0	$359.4
% Margin			*102%*	*103%*	*101%*	*90%*	*83%*	*77%*
Gain on Sales EBITDA			$81.4	$51.3	$44.0	$20.0	$0.0	$0.0
% Margin			*27%*	*27%*	*41%*	*16%*	*0%*	*0%*
SCI Ending AUM				$0	$1,950	$6,000	$10,000	$12,500
SCI Narrowbody Aircraft				0	130	400	667	833
SCI Lease Income					$166.3	$662.5	$1,333.3	$1,875.0
FTAI Pro-Rata Lease EBITDA					$30.8	$119.4	$242.4	$340.9
% FTAI Share					*19%*	*18%*	*18%*	*18%*
Strategic Capital Fee EBITDA					$10.2	$37.0	$75.2	$105.8
% Fees					*1%*	*1%*	*1%*	*1%*
Russian Insurance Recoveries					$54.3	$50.0	$0.0	$0.0
Adjusted EBITDA	**$0.0**	**$0.0**	**$467.4**	**$500.1**	**$608.9**	**$574.1**	**$678.6**	**$806.1**
% Margin	*107.8%*	*75.6%*	*68.6%*	*79.6%*	*106.6%*	*112.6%*	*126.6%*	*156.5%*

Source: Company data, McKinsey, and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

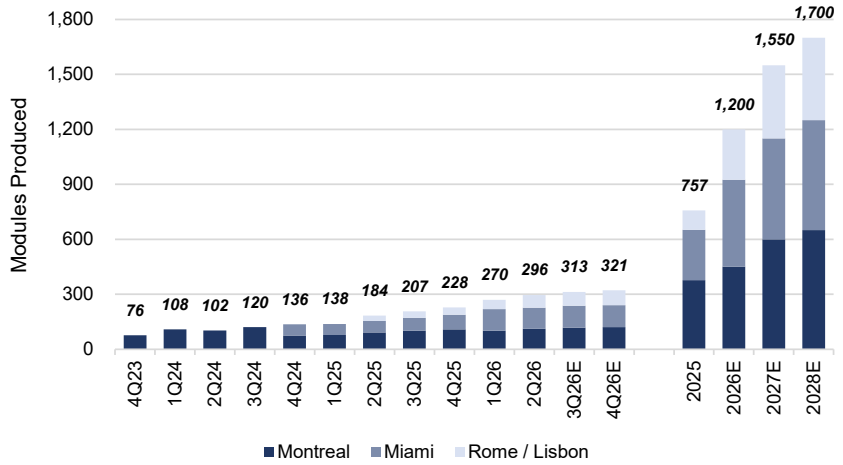
FTAI: Aerospace Products - Market Share Annualizes to 14% Today, From 12% in Q1, with Mid-Term Target of 25%

FTAI MRE Footprint Expands to 3,000 Module Capacity



FTAI Increases Global Capacity to 3,000 (+1,000 modules)

Module Production by Facility - 296 Modules Produced in Q2 with Target of 1,200 in 2026 (+59% Y-o-Y)



- In Q2, Aerospace Products EBITDA increased 51% y-o-y and 12% sequentially to $250MM at 28.5% margins, supported by accelerating global demand for engines and modules and market share capture now to 14% market share vs 12% in Q1. Revenues totaled $875MM, up 79% y-o-y, of which $183MM was tied to engine exchanges to the SCI (21% of sales).
- In Q2, FTAI announced the addition of two new sites to the MRE footprint, both east of Rome as mgmt has planned to do. FTAI has partnered with GMF AeroAsia in Jakarta, Indonesia, adding 200 technicians and 250K sq ft of MRE & Test Cell capacity for testing and heavy repair capability on the CFM56-5B & -7B; and EgyptAir in Cairo, Egypt adding 120 technicians and 100K sq ft of testing and light repair capability for the CFM56-7B. FTAI also plans to add a LEAP test cell to Rome in 2028.
- In 2026 and 2027, JEF estimates $907MM and $1,258MM of EBITDA from The Module Factory, respectively. This assumes 1,100 and 1,525 modules sold, representing 14% (up 4pts y-o-y) and 20% (up 6pts y-o-y) market share, respectively, and average EBITDA per module of $825K.

Source: Company data, and Jefferies estimates

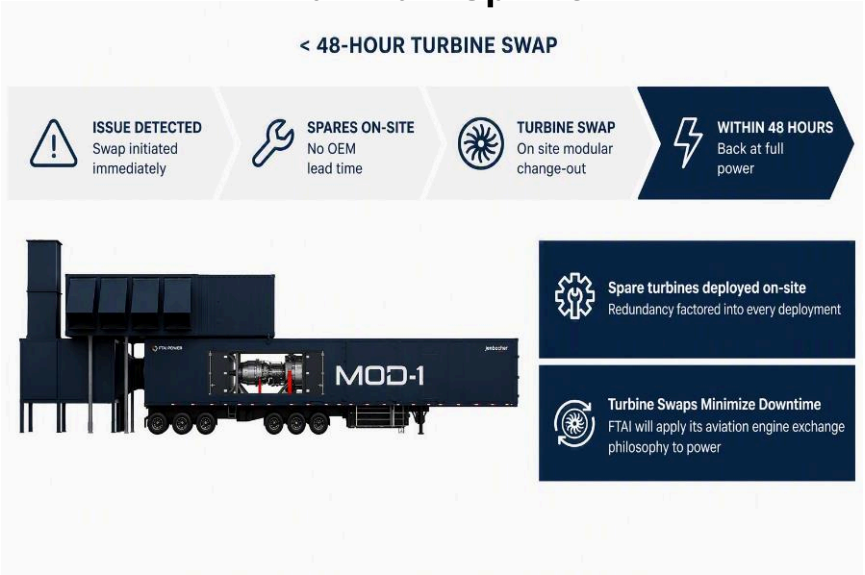
Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

FTAI: Power - Guiding 100 Turbine Units in 2027 with JEFe Risk-Adjusting at 45 Deliveries

Power JV - FTAI Supply Power Generation Turbine w/ Jereh Group Supplying Manufacturing and System Integration



Capability to Swap Mod-1 Turbines in <48 Hrs For Maximum Uptime



- In December 2025, FTAI announced FTAI Power, a 25-megawatt aeroderivative conversion of the CFM56 that has been in development for more than 1 year. Other announced specs include a targeted 35-40% thermal efficiency and a 9,000 heat rate, approximately inline with existing aeroderivative platforms such as the larger 50+ MW LM6000 produced by GE Vernova.
- Targeting 100 Units in 2027: FTAI expects to deliver 100 turbine units in 2027, which compares to an active fleet of 8,800 global aeroderivative turbines. The 20,000 CFM56 engines have retired at a 1.5% rate per year in each of 2024 and 2025, or 300 engines per year, expected to climb modestly to 450 or 2% in 2026. This provides organic feedstock as FTAI will extend the useful lives of these engines on a land-based form factor rather than the traditional means of parting-out the engines for residual part values.
- At 100 units, the revenue contribution could be $2.5BB with 40% margins implying $1BB of incremental EBITDA (less the JV split). We include only 45 units contributing $450MM in EBITDA in 2027, inline to guidance which we and mgmt view as a risk-adjusted level.

Source: Company data, and Jefferies estimates

FTAI: Guided $878MM of FCF in 2026 After Growth Investments in Power and SCI II

- In 2025, FTAI generated $472MM of FCF including $200MM of Q4 growth investments, including the CFM materials agreement (-$50MM) and the acquisition of end-of-life engines intended to serve as Power feedstock (-$150MM). The timing of capital calls in SCI I also created another $52MM outflow in Q4 relative to the plan, which supports a pro-forma Adj FCF of $724MM, or 61% conversion of Adj EBITDA.
- In 2026, adj FCF guidance was lowered in Q2 to ~$878MM (from $915MM) including $290MM of growth investments for the SCI II (~$40MM use vs $190MM use prior) and FTAI Power (~$250MM use vs $100MM use prior). Segment Adj EBITDA is also lowered to $1.525BB (from $1.625BB) in the FCF bridge, with AP unchanged at $1.050BB and $475MM from Leasing (from $575MM).
- JEF estimates Adj FCF increases with Adj EBITDA to $1.34BB in 2027 and $2.13BB in 2028. Our model assumes this cash remains on the balance sheet as cash & equivalents grows to $291MM at the end of 2026, $860MM by 2027, and $1.93BB by 2028.

Adj. FCF Build - Guiding $878MM in 2026 Inclusive of $250MM of FTAI Investment (After $150MM in Q4:25) and $40MM SCI II Equity Investment Assuming Similar $6BB Sized Fund

Free Cash Flow	2024	2025	2026E	2027E	2028E
Adj. EBITDA	**$862**	**$1,169**	**$1,289**	**$2,099**	**$3,023**
Less: Interest Expense	($222)	($241)	($250)	($230)	($230)
Less: Maintenance Capital Expenditures	($98)	($133)	($130)	($140)	($150)
Less: Working Capital	$6	($147)	($386)	($256)	($157)
Add: Offshore Vessel Sales	$124	-	-	-	-
Add: Aviation Leasing Asset Sales	$152	$636	$410	$250	$25
Less: Aviation Leasing Replacement Capex	($152)	($320)	-	-	-
Less: SCI I Equity Investment	-	($292)	($95)	-	-
Less: SCI II & Future Equity Investment	-	-	($190)	($380)	($380)
Pre-Growth Capex Free Cash Flow	**$672**	**$672**	**$648**	**$1,343**	**$2,131**
% Conversion of Adj. EBITDA	*78%*	*57%*	*50%*	*64%*	*71%*
Committed Growth Capex					
Acquisitions	($170)	($48)	-	-	-
V2500 Engine Capex	($423)	-	-	-	-
CFM56 Engine & Inventory Capex	($546)	($50)	-	-	-
Power Feedstock Capex	-	($150)	($100)	-	-
Other / FIG Termination	($190)	-	-	-	-
Total Growth Capex	**($1,329)**	**($248)**	**($100)**	**-**	**-**
Adj. Free Cash Flow	**($657)**	**$424**	**$548**	**$1,343**	**$2,131**
% Conversion of Adj. EBITDA	*-76%*	*36%*	*42%*	*64%*	*71%*
Capital Deployment					
Net Debt (Paydown) / Issuance	$910	$0	$0	$0	$0
Cash Dividends Paid	($154)	($145)	($211)	($227)	($250)
Share (Repurchases) / Issuance	($105)	($124)	$0	$0	$0
Total Deployment	**$650**	**($270)**	**($211)**	**($227)**	**($250)**
Discretionary Cash	**($7)**	**$154**	**$337**	**$1,115**	**$1,881**
Ratios					
Adj. FCF / Revenue	-38%	17%	14%	22%	25%
Adj. FCF / EBITDA	-76%	36%	42%	64%	71%
Adj. FCF / Net Income	NM	89%	100%	120%	119%
Adj. FCF / Share	($6.47)	$4.08	$5.26	$12.86	$20.36
Adj. FCF Yield	-3.5%	2.2%	2.9%	7.1%	11.2%
Cash / Share	$1.13	$2.89	$2.79	$8.24	$18.47

Source: Company data, and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

FTAI: Income Statement

$MM except per share data	2021		2022		2023		2024		2025		2026E		2027E		2028E	
	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales
Total Revenues	**$335.6**	100.0%	**$708.4**	100.0%	**$1,170.9**	100.0%	**$1,734.9**	100.0%	**$2,507.4**	100.0%	**$3,907.6**	100.0%	**$6,126.6**	100.0%	**$8,415.6**	100.0%
Operating Expenses																
Cost of Sales	14.3	4.3%	248.4	35.1%	502.1	42.9%	825.9	47.6%	1,349.7	53.8%	2,520.2	64.5%	3,970.6	64.8%	5,413.8	64.3%
Operating Expenses	59.6	17.8%	132.3	18.7%	110.2	9.4%	115.9	6.7%	152.5	6.1%	293.0	7.5%	272.4	4.4%	263.7	3.1%
General and Administrative	13.4	4.0%	14.2	2.0%	13.7	1.2%	14.3	0.8%	9.5	0.4%	10.5	0.3%	12.5	0.2%	15.0	0.2%
Acquisition and Transaction Expenses	17.9	5.3%	13.2	1.9%	15.2	1.3%	32.3	1.9%	28.6	1.1%	30.1	0.8%	29.8	0.5%	26.1	0.3%
Management Fees and Incentive Allocation	0.7	0.2%	3.6	0.5%	18.0	1.5%	308.4	17.8%	0.0	0.0%	0.0	0.0%	0.0	0.0%	0.0	0.0%
Depreciation and Amortization	147.7	44.0%	152.9	21.6%	169.9	14.5%	218.1	12.6%	225.8	9.0%	196.2	5.0%	191.0	3.1%	180.2	2.1%
Asset Impairment	10.5	3.1%	137.2	19.4%	2.1	0.2%	1.0	0.1%	0.0	0.0%	0.0	0.0%	0.0	0.0%	0.0	0.0%
Total Operating Expenses	**$264.2**	78.7%	**$701.7**	99.1%	**$831.2**	71.0%	**$1,515.8**	87.4%	**$1,766.1**	70.4%	**$3,050.0**	78.1%	**$4,476.3**	73.1%	**$5,898.9**	70.1%
Operating Profit	**$71.4**	21.3%	**$6.7**	0.9%	**$339.7**	29.0%	**$219.1**	12.6%	**$741.3**	29.6%	**$857.6**	21.9%	**$1,650.3**	26.9%	**$2,516.8**	29.9%
Interest Expense	155.0	46.2%	169.2	23.9%	161.6	13.8%	221.7	12.8%	247.8	9.9%	249.8	6.4%	229.5	3.7%	229.5	2.7%
Eliminations	0.0	0.0%	0.0	0.0%	0.0	0.0%	0.0	0.0%	(22.8)	-0.9%	(47.8)	-1.2%	(91.4)	-1.5%	(142.3)	-1.7%
Equity in (Losses) Earnings of Unconsolidated Entities	(1.4)	-0.4%	(0.4)	-0.1%	(1.6)	-0.1%	(2.2)	-0.1%	16.0	0.6%	63.0	1.6%	95.0	1.6%	130.0	1.5%
Gain on Sale of Assets, Net	49.0	14.6%	77.2	10.9%	0.0	0.0%	18.7	1.1%	0.0	0.0%	0.0	0.0%	0.0	0.0%	0.0	0.0%
Other Income (Expense)	(3.7)	-1.1%	(19.7)	-2.8%	7.6	0.6%	0.3	0.0%	120.0	4.8%	72.8	1.9%	0.0	0.0%	0.0	0.0%
Earnings Before Tax	**($39.7)**	-11.8%	**($105.3)**	-14.9%	**$184.0**	15.7%	**$14.2**	0.8%	**$606.7**	24.2%	**$695.8**	17.8%	**$1,424.4**	23.2%	**$2,274.9**	27.0%
Provision (Benefit) for Income Taxes	3.1	7.9%	5.3	5.0%	(59.8)	32.5%	5.5	-38.7%	105.6	-17.4%	134.4	-19.3%	295.9	-20.8%	484.3	-21.3%
Non-controlling Interest / Disc Ops	(87.8)		(101.4)		0.0		0.0		0.0		0.0		0.0		0.0	
Net Income	**($130.7)**	-38.9%	**($212.0)**	-29.9%	**$243.8**	20.8%	**$8.7**	0.5%	**$501.1**	20.0%	**$561.4**	14.4%	**$1,128.5**	18.4%	**$1,790.7**	21.3%
Less: Net Income (Loss) Attributable to NCI	(26.5)		(18.8)		0.0		0.0		0.0		0.0		0.0		0.0	
Less: Dividends on Preferred Shares	24.8		27.2		31.8		40.8		23.6		14.3		6.2		6.2	
Net Income Attributable to Shareholders	**($129.0)**	-38.4%	**($220.4)**	-31.1%	**$212.0**	18.1%	**($32.1)**	-1.8%	**$477.5**	19.0%	**$547.1**	14.0%	**$1,122.3**	18.3%	**$1,784.5**	21.2%
Adjusted Diluted EPS	**($1.43)**		**($2.22)**		**$2.11**		**($0.32)**		**$4.60**		**$5.25**		**$10.75**		**$17.05**	
Basic Shares Outstanding	89.9		99.4		99.9		101.5		102.6		102.9		103.1		103.4	
Diluted Shares Outstanding	89.9		99.4		100.4		101.5		103.8		104.2		104.4		104.7	

Source: Company data, and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

FTAI: Cash Flow Statement

$MM except per share data	2021	2022	2023	2024	2025	2026E	2027E	2028E
Operating Activities								
Net Income	**($130.7)**	**($212.0)**	**$243.8**	**$8.7**	**$501.1**	**$561.4**	**$1,128.5**	**$1,790.7**
Gain on Sale of Assets, Net	(49.0)	(141.7)	(160.7)	(377.9)	(423.9)	(10.2)	0.0	0.0
Depreciation & Amortization	201.8	193.2	169.9	218.1	225.8	196.2	191.0	180.2
Other Operating Activities	49.4	268.5	(48.0)	217.6	88.8	(68.7)	3.4	20.3
OCF Before Working Capital	**$71.4**	**$108.1**	**$204.9**	**$66.5**	**$391.8**	**$678.7**	**$1,322.9**	**$1,991.2**
Changes in Working Capital	**($93.4)**	**($128.7)**	**($75.9)**	**($254.4)**	**($702.5)**	**($386.3)**	**($256.4)**	**($157.0)**
Accounts Receivables	(88.9)	(66.0)	(40.4)	(41.2)	(42.4)	(102.7)	(116.3)	(76.1)
Inventory	0.0	(23.3)	(31.9)	(206.9)	(645.5)	(291.1)	(169.3)	(113.1)
Other Assets	(30.8)	(23.0)	(5.6)	(14.4)	(136.8)	(88.9)	(40.3)	(52.8)
Accounts Payable and Accrued Liabilities	25.1	(19.6)	1.3	15.9	122.8	53.4	46.6	64.6
Management Fees Payable to Affiliate	1.0	0.8	1.7	(5.5)	(1.0)	0.0	0.0	0.0
Other Liabilities	0.1	2.3	(1.0)	(2.4)	0.4	42.9	22.9	20.4
Cash Flow from Operations	**($22.0)**	**($20.7)**	**$129.0**	**($188.0)**	**($310.7)**	**$292.4**	**$1,066.5**	**$1,834.2**
Investing Activities								
Investment in Unconsolidated Entities	($54.7)	($7.3)	($19.5)	$0.0	($301.4)	($285.0)	($380.0)	($380.0)
Principal Collections on Finance Leases / Notes	7.4	2.2	8.5	7.1	8.3	14.0	15.0	15.0
Acquisition of Business, Net of Cash Acquired	(627.1)	(3.8)	(29.6)	(147.6)	(49.1)	0.0	0.0	0.0
Acquisition of Leasing Equipment	(572.6)	(638.3)	(749.8)	(1,147.3)	(658.8)	(217.8)	(140.0)	(150.0)
Acquisition of PP&E	(157.3)	(144.2)	(6.1)	(9.2)	(27.7)	(11.7)	(15.3)	(21.0)
Acquisition of Lease Intangibles	(24.0)	(31.1)	(21.0)	3.2	2.5	0.0	0.0	0.0
Investment in Promissory Notes / Convertibles	(10.0)	0.0	(11.5)	(66.9)	(7.5)	0.0	0.0	0.0
Purchase Deposits for Acquisitions	(13.7)	(6.7)	(23.9)	(158.3)	(65.9)	0.0	0.0	0.0
Proceeds from Sale of Leasing Equipment	158.9	408.9	477.9	969.3	1,712.5	409.6	250.0	25.0
Proceed from Sale of PP&E	4.5	5.3	0.0	0.0	54.3	0.0	0.0	0.0
Proceeds for Deposit on Sale of Aircraft and Engine	0.6	3.8	1.4	79.8	7.3	0.0	0.0	0.0
Return of Purchase Deposits	1.0	0.0	0.3	0.5	48.9	0.0	0.0	0.0
Cash Flow from Investing	**($1,287.0)**	**($411.3)**	**($373.3)**	**($469.5)**	**$723.3**	**($90.9)**	**($270.3)**	**($511.0)**
Financing Activities								
Proceeds from Debt	$2,894.1	$814.0	$951.7	$2,581.8	$480.0	$0.0	$0.0	$0.0
Repayment of Debt	(1,553.2)	(1,144.5)	(605.0)	(1,672.3)	(480.0)	0.0	0.0	0.0
Payment of Deferred Financing Costs	(52.7)	(18.6)	(12.2)	(17.4)	(0.5)	0.0	0.0	0.0
Receipt of Security Deposits	8.8	3.9	9.9	8.1	5.2	0.0	0.0	0.0
Return of Security Deposits	(1.2)	(2.1)	(2.4)	(0.4)	(4.3)	0.0	0.0	0.0
Receipt of Maintenance Deposits	31.5	47.8	30.4	49.3	49.1	0.0	0.0	0.0
Release of Maintenance Deposits	(20.7)	(1.5)	(0.3)	(7.1)	(5.5)	0.0	0.0	0.0
Proceeds from Issuance of Ordinary Shares	323.1	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Proceeds from Issuance of Preferred Shares	101.2	0.0	61.7	(105.4)	(124.2)	0.0	0.0	0.0
Cash Dividends on Ordinary Shares	(118.0)	(128.5)	(119.8)	(121.6)	(128.2)	(200.6)	(221.1)	(243.9)
Cash Dividends on Preferred Shares	(24.8)	(27.2)	(31.8)	(32.8)	(17.2)	(10.5)	(6.2)	(6.2)
Other	(0.4)	501.6	0.0	(0.5)	(1.5)	0.0	0.0	0.0
Cash Flow from Financing	**$1,587.6**	**$44.9**	**$282.2**	**$681.8**	**($227.2)**	**($211.1)**	**($227.3)**	**($250.1)**
Total Cash Flow	**$278.6**	**($387.0)**	**$37.8**	**$24.4**	**$185.4**	**($9.7)**	**$568.9**	**$1,073.1**
Cash at Beginning of Period	161.4	440.1	53.1	90.9	115.3	300.6	291.0	859.9
Cash at End of Period	**$440.1**	**$53.1**	**$90.9**	**$115.3**	**$300.6**	**$291.0**	**$859.9**	**$1,933.0**

Source: Company data, and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

General Dynamics (GD)

BUY | Price Target: $440

Valuation Method	Price	Assumptions
EV/EBITDA	460	17.0x EV/EBITDA on 2027 EBITDA of $7.43BB
P/E	462	25.0x P/E on 2027 EPS of $18.50
FCF	457	4.2% FCF Yield on 2027 FCF of $5.28BB
Average	**$460**	**Blended Average**

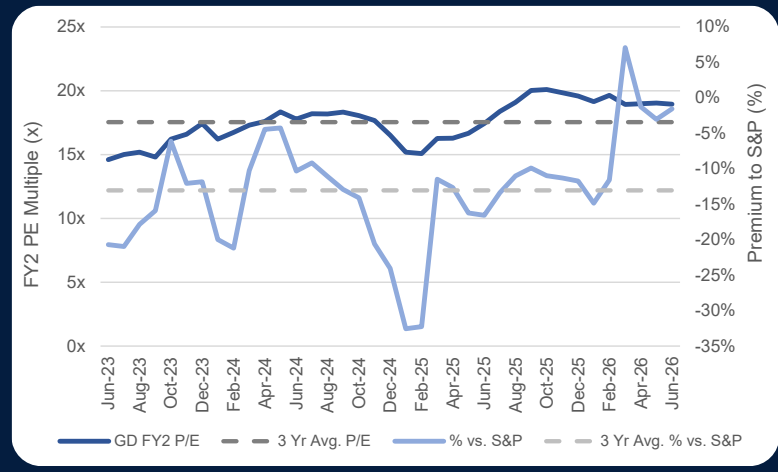
Valuation Table

	Ticker	JEF Rating	Stock Px 8/2/2026	Consensus BUY Rating	Market Cap	Enterprise Value	P/E 2026E	P/E 2027E	P/E 2028E	EV / SALES 2026E	EV / SALES 2027E	EV / SALES 2028E	EV / EBITDA 2026E	EV / EBITDA 2027E	EV / EBITDA 2028E	Yield Dividend	Yield FCF
BAE Systems	BA-GB	Hold	£20.94	60%	62,904	68,167	25.2x	22.0x	19.5x	2.1x	1.9x	1.7x	14.7x	13.3x	12.2x	1.7%	3.9%
Bombardier	BBD.A-CA	N/C	C$343.24	47%	4,150	38,572	25.3x	23.8x	20.5x	2.7x	2.5x	2.4x	16.5x	15.0x	13.9x	0.0%	4.4%
CACI	CACI	Hold	$497.75	79%	10,996	16,491	17.7x	16.1x	14.1x	1.7x	1.5x	1.5x	14.5x	12.5x	11.5x	0.0%	7.1%
Embraer	EMBJ	N/C	$68.33	100%	12,649	13,372	24.3x	18.4x	15.4x	1.6x	1.4x	1.3x	13.1x	11.0x	9.9x	0.8%	3.2%
Huntington Ingalls	HII	N/C	$326.45	67%	12,864	15,818	18.3x	16.0x	13.6x	1.2x	1.1x	1.1x	15.1x	13.0x	11.7x	1.7%	4.9%
Leidos Holdings	LDOS	Hold	$115.60	40%	14,541	21,254	9.4x	8.8x	8.0x	1.2x	1.1x	1.1x	8.6x	8.3x	7.9x	1.5%	11.3%
Lockheed Martin	LMT	Hold	$582.74	40%	134,491	151,418	19.2x	17.9x	16.7x	1.9x	1.8x	1.7x	13.4x	12.7x	12.1x	2.3%	5.0%
Northrop Grumman	NOC	Hold	$542.48	67%	77,066	91,994	18.8x	17.9x	16.5x	2.1x	2.0x	1.8x	14.9x	13.9x	13.0x	1.7%	4.4%
Oshkosh	OSK	Hold	$142.41	60%	8,792	9,635	13.3x	10.2x	8.7x	0.9x	0.8x	0.8x	7.9x	6.6x	5.9x	1.5%	8.4%
Parsons	PSN	Buy	$44.21	75%	4,722	6,225	16.5x	12.7x	11.0x	1.0x	0.9x	0.9x	10.9x	9.1x	8.5x	0.0%	9.7%
Rheinmetall	RHM-DE	Buy	€1,140.00	81%	53,326	54,712	30.1x	20.8x	15.0x	3.9x	2.9x	2.2x	17.1x	12.2x	9.0x	1.0%	3.2%
RTX	RTX	Buy	$215.22	67%	290,065	326,093	29.8x	27.3x	24.6x	3.4x	3.2x	2.9x	20.8x	19.1x	17.4x	1.3%	3.6%
SAIC	SAIC	Hold	$117.13	18%	4,952	7,717	11.5x	10.6x	9.4x	1.1x	1.1x	1.0x	10.4x	10.3x	10.0x	1.3%	11.4%
Textron	TXT	Buy	$85.26	47%	14,664	17,526	13.2x	11.8x	10.7x	1.1x	1.1x	1.1x	9.1x	9.0x	8.4x	0.1%	6.2%
Average				**58%**			**18.9x**	**16.3x**	**14.3x**	**1.8x**	**1.6x**	**1.5x**	**13.1x**	**11.7x**	**10.7x**	**1.2%**	**6.6%**
General Dynamics	**GD**	**Buy**	**$383.42**	**50%**	**103,737**	**110,020**	**22.7x**	**20.7x**	**19.2x**	**1.9x**	**1.9x**	**1.8x**	**16.1x**	**14.8x**	**13.8x**	**1.6%**	**4.7%**
Discount / Premium							**20%**	**27%**	**34%**	**6%**	**16%**	**21%**	**22%**	**27%**	**29%**		**39%**

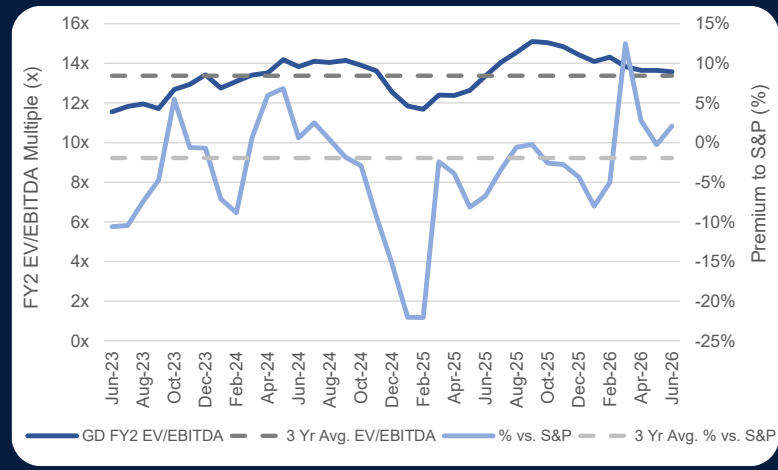
Featured Notes:

- What's There To Say When Things Are Generally Good / *August 2, 2026*
- The G-Force Behind GD: Gulfstream Cleared For Margin Takeoff / *June 11, 2026*
- Knick of Time: Upgrade to Buy As Marine Bridges This OG to Growth / *June 11, 2026*

Trading at 18.9X FY2 P/E, 2% Disct to Mkt vs. Historical Avg Disct of 13%



Trading at 13.6X FY2 EV/EBITDA, 2% Prem to Mkt vs. Historical Avg Disct of 2%

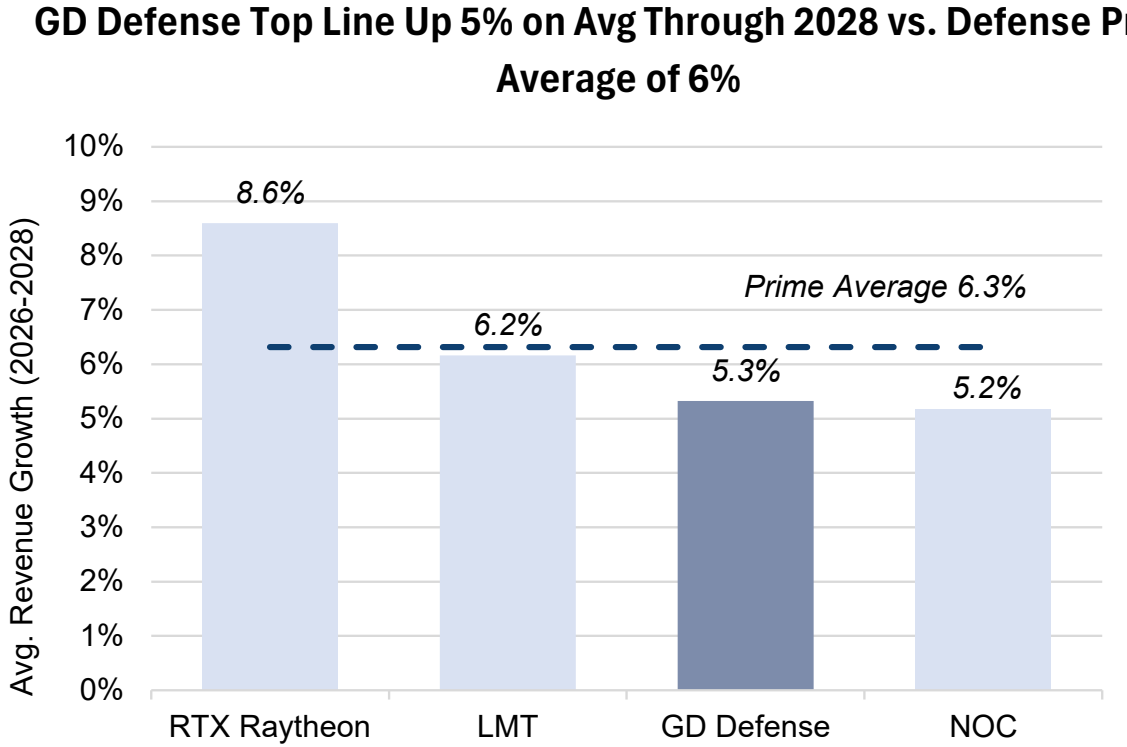


Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

Source: Company data, Jefferies estimates, FactSet

Jefferies

GD: 2026 Revenues Expand 6% Driven by Marine, Aero and Combat



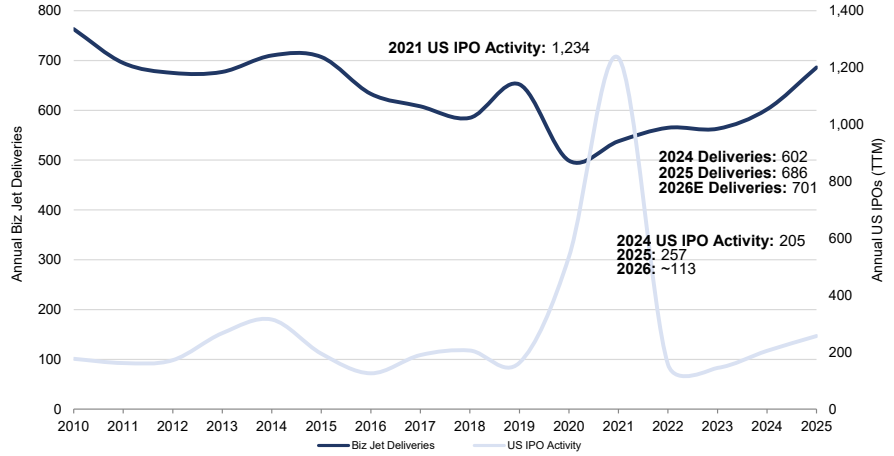
- We forecast GD's revenue CAGR to 2028E to be 5% with Defense also growing at a 5% CAGR (vs 5% between 2021-24). Peers in Defense are expected to grow at a 6% CAGR. 2026E Defense growth of 6% after 8% growth in 2025.
- For total GD, revenues were up 8% in Q2 driven by Aero (+15%) and Marine (+10%) with Technologies +4% and Combat +0.3%. Aero growth was driven by Manufacturing +16% on 41 deliveries vs 38 in Q2:25 and Services +13%. Growth in Q2 compares to 2026 growth guided at +6%, driven by Marine (+6%) on improved throughput and efficiency as supply chain remains the gating item, while Defense segments as a whole are expected to grow just over 6% for the full year.

Source: Company data and Jefferies estimates

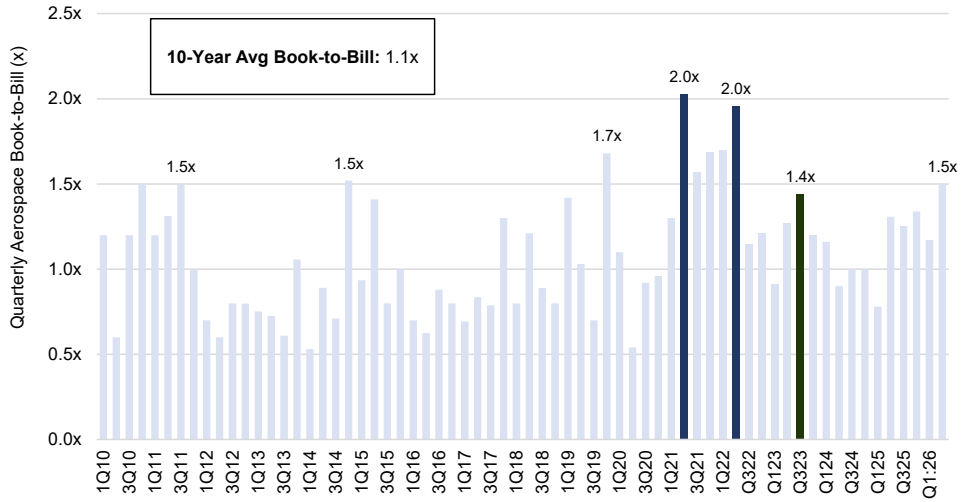
Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

GD: Aerospace - Deliveries Expected Up 3% in 2026 w/ Aerospace +6% Overall

IPO Activity Vs Business Jet Deliveries, IPOs +25% Y-o-Y With Deliveries +14%

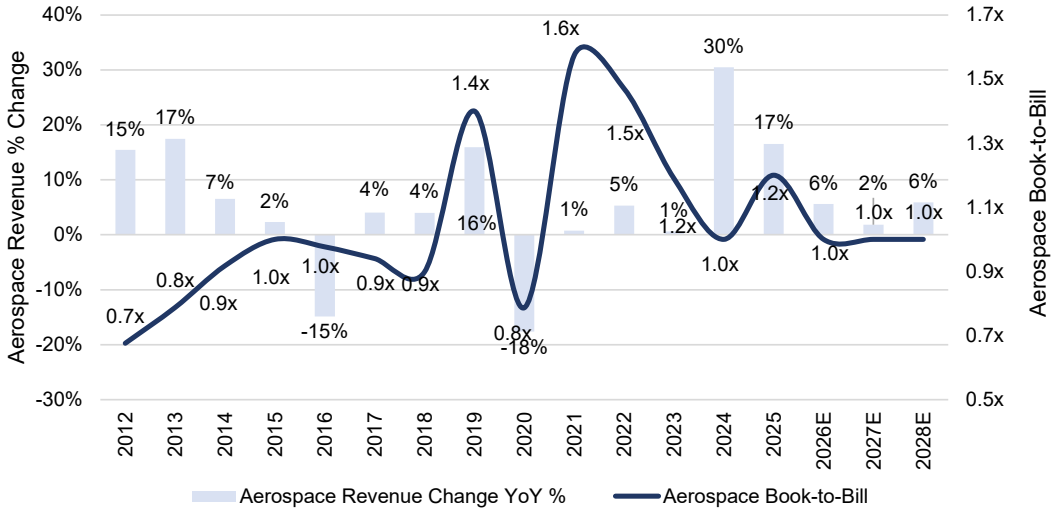


Q2:26 B2B of 1.5X Above 10-yr Average



- Order Activity +32% Y-o-Y, With Q2 B2B of 1.5X on 8% Rev Growth. Orders of $5.3BB in Q2 were up 32% y-o-y with B2B of 1.5x (TTM B2B of 1.3X).
- GD emphasized that there has been continued demand & order strength across US models supported by the economic backdrop and bonus depreciation. Corporate demand for the G600 and G800 is robust while strong demand for the G700 is supported by ultra-high net worth (UHNW) individuals. These are the two key customer segment drivers as Gulfstream has limited exposure to the fractional market.

Gulfstream Orders up 37% in 2025, with Rev Growth of 6% Expected in 2026

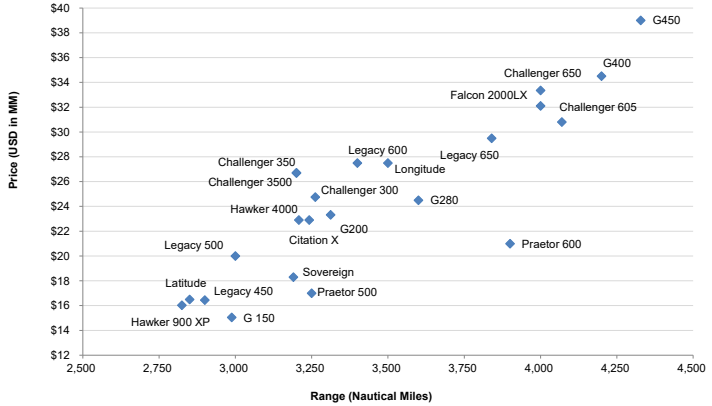


Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

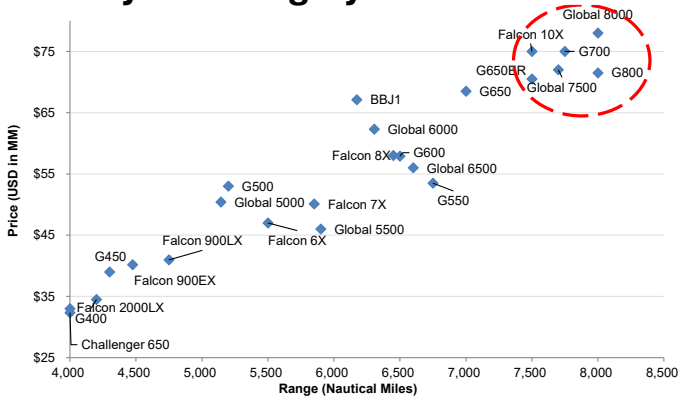
GD: Five Heavy Jet Offerings

- In October 2021, GD announced its new G400 super-midsize jet and its G800 heavy jet. The G800 is entered service in Aug '25 after certification in April and was co-developed with the G500/G600/G700, so it required a smaller incremental R&D investment. The fuselage is the same as the G650, intended as its replacement. The G800 lists at $71.5MM and offers 8,000 nm range, powered by the RR Pearl engine and a maximum high-speed cruise of Mach 0.90.
- The Pratt PW800 powered G400 sits between the G280 and G450 with a list price of $34.5MM, offering a range of 4,200 nm and maximum high-speed cruise of Mach 0.90. The first flight completed in August 2024 with the company no longer predicting a certification date.
- We expect the G300 which was announced in late September, to replace the G280 and round out the series in 2027E. The up to 10-seater super-midsize jet has 3,600nm range and features panoramic oval windows and the all-new Harmony Flight Deck.

Midsize Jet Price vs Range - G400 Would Likely Sit Between the G450 and G280



Heavy Jet Range vs Price - G800 Offers Longest Range in a Heavy Jet Category with Lots of Newbies

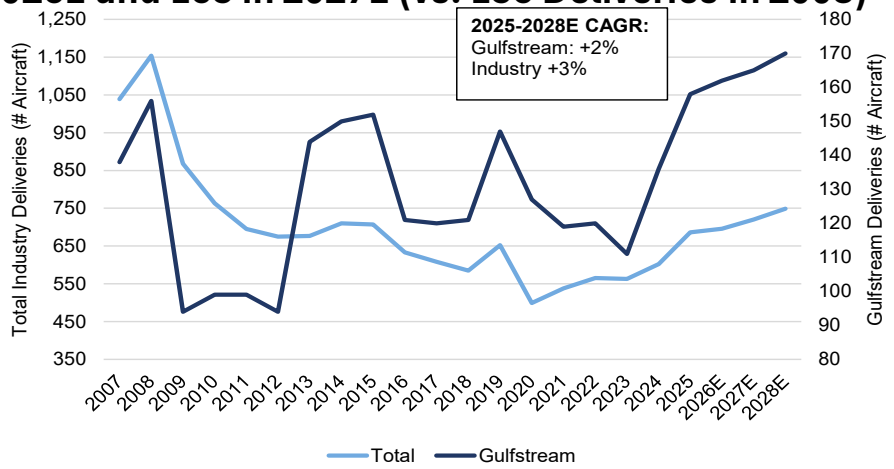


Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

GD: Aerospace - Deliveries Expected Up 3% in 2026 w/ Aerospace +6% Overall

Gulfstream Deliveries Expected to Reach 162 in 2026E and 165 in 2027E (vs. 156 Deliveries in 2008)



- G400 and G800 Look to Increase Market Share as G650 Exited in Q2:25. At peak the G450, G550, and G650 accounted for ~60% of the heavy jet market, which compares with our estimate of 54% market share for the G400/G500/G600/G700/G800 in 2028E. On average in 2013-19, the G450/G550/G650 had 53% share of the heavy jet market.
- We expect deliveries of 162 in 2026, slightly above prior guidance of 160, and up from 158 in 2025 driven by 50 G700s on our est (vs 53 in 2025) and 22 G800s (vs 13 in 2025), offset by the end of the G650 line (0 in our 2026E vs 11 in 2025).

Heavy Jet Market - Gulfstream to Reach 55% Share in 2028E vs. 59% at Peak with BBD Taking Share

OEM	Platform	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
Airbus	Airbus	4	1	0	1	6	5	5	8	4	2	8	2	2	2
Boeing	Boeing	11	4	10	6	2	1	4	2	1	6	0	6	6	6
Bombardier	Global 5500	30	14	8	4	10	9	8	12	15	10	11	15	15	15
Bombardier	Global 6500	43	37	37	37	33	15	18	20	22	24	19	25	25	25
Bombardier	Global 7500	0	0	0	1	11	35	40	38	38	39	40	35	35	35
Bombardier	Global 8000	0	0	0	0	0	0	0	0	0	0	16	5	5	5
Dassault	Falcon 6X	0	0	0	0	0	0	0	0	4	4	10	13	17	20
Dassault	Falcon 7X	14	18	11	10	6	5	3	0	0	2	0	0	0	0
Dassault	Falcon 8X	0	3	11	10	12	13	10	12	7	9	19	20	20	20
Dassault	Falcon 10X	0	0	0	0	0	0	0	0	0	0	0	0	1	1
Embraer	Lineage 1000/E190 Head of State	1	0	1	1	0	0	0	0	0	0	0	0	0	0
Gulfstream	Gulfstream G400	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Gulfstream	Gulfstream G450	22	16	9	2	0	0	0	0	0	0	0	0	0	0
Gulfstream	Gulfstream G500	0	0	0	10	19	28	28	25	18	24	31	35	35	35
Gulfstream	Gulfstream G550	37	20	14	15	24	19	7	4	3	2	2	0	0	0
Gulfstream	Gulfstream G600	0	0	0	0	7	28	29	29	31	34	26	35	40	40
Gulfstream	Gulfstream G650	55	58	67	65	64	30	39	38	37	28	11	0	0	0
Gulfstream	Gulfstream G700	0	0	0	0	0	0	0	0	0	30	53	50	45	50
Gulfstream	Gulfstream G800	0	0	0	0	0	0	0	0	0	0	13	22	25	25
Total Large Jet Deliveries		**195**	**171**	**168**	**162**	**194**	**188**	**191**	**188**	**180**	**214**	**259**	**263**	**271**	**279**
G450/G550/G650		**114**	**94**	**90**	**82**	**88**	**49**	**46**	**42**	**40**	**30**	**13**	**0**	**0**	**0**
G400/G500/G600/G700/G800		**0**	**0**	**0**	**10**	**26**	**56**	**57**	**54**	**49**	**88**	**123**	**142**	**145**	**150**
% G450/G550/G650 Share		***58%***	***55%***	***54%***	***51%***	***45%***	***26%***	***24%***	***22%***	***22%***	***14%***	***5%***	***0%***	***0%***	***0%***
% G500/G600/G700/G800 Share		***0%***	***0%***	***0%***	***6%***	***13%***	***30%***	***30%***	***29%***	***27%***	***41%***	***47%***	***54%***	***54%***	***54%***

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

GD: Aerospace - Deliveries Expected Up 3% in 2026 w/ Aerospace +6% Overall

Manufacturing Revenues Step Up 4% in 2026E Off of 21% Growth in 2025 with 50 G700s (18% Est Margin) and 22 G800s (15%) in Our Est

Aerospace Revenue Build	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
Aircraft Manufacturing & Completions										
G100/G150	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0
G200/G280	809	539	392	588	550	486	594	540	270	0
G300	0	0	0	0	0	0	0	0	290	580
G350/G450	0	0	0	0	0	0	0	0	0	0
G400	0	0	0	0	0	0	0	0	0	300
G500	865	1,274	1,274	1,138	828	1,128	1,476	1,715	1,715	1,715
G550	1,082	855	385	240	180	120	120	0	0	0
G600	405	1,582	1,595	1,639	1,860	2,040	1,586	2,135	2,440	2,440
G650	4,160	1,866	2,218	2,272	2,292	1,787	748	0	0	0
G700	0	0	0	0	0	2,250	3,980	3,825	3,443	3,825
G800	0	0	0	0	0	0	910	1,540	1,750	1,750
Aircraft Manufacturing Revenue	**$7,541**	**$6,115**	**$5,864**	**$5,876**	**$5,710**	**$7,811**	**$9,413**	**$9,774**	**$9,908**	**$10,610**
% change	20%	-19%	-4%	0%	-3%	37%	21%	4%	1%	7%
Aircraft Services	$2,260	$1,960	$2,271	$2,691	$2,911	$3,438	$3,697	$4,067	$4,189	$4,314
Pre-owned Aircraft	$0	$0	$0	0	0	0	0	0	0	0
Total Aerospace Revenue	**$9,801**	**$8,075**	**$8,135**	**$8,567**	**$8,621**	**$11,249**	**$13,110**	**$13,840**	**$14,096**	**$14,924**
% change										
Aircraft	20%	-19%	-4%	0%	-3%	37%	21%	4%	1%	7%
Aircraft Services	3%	-13%	16%	18%	8%	18%	8%	10%	3%	3%
Pre-owned Aircraft	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
Total Revenue Change %	**16%**	**-18%**	**1%**	**5%**	**1%**	**30%**	**17%**	**6%**	**2%**	**6%**
Deliveries										
G100/G150	0	0	0	0	0	0	0	0	0	0
G200/G280	33	22	16	24	22	18	22	20	10	0
G300	0	0	0	0	0	0	0	0	10	20
G350/G450	0	0	0	0	0	0	0	0	0	0
G400				0	0	0	0	0	0	10
G500	19	28	28	25	18	24	31	35	35	35
G550	24	19	7	4	3	2	2	0	0	0
G600	7	28	29	29	31	34	26	35	40	40
G650	64	30	39	38	37	28	11	0	0	0
G700	0	0	0	0	0	30	53	50	45	50
G800	0	0	0	0	0	0	13	22	25	25
Total New Build	147	127	119	120	111	136	158	162	165	180
Profitability										
Aircraft Manufacturing	1,332	742	595	718	754	967	1,189	1,554	1,829	2,058
Services	417	378	500	589	596	725	672	765	789	812
Operating Profit	**$1,532**	**$1,083**	**$1,031**	**$1,130**	**$1,182**	**$1,464**	**$1,746**	**$2,054**	**$2,278**	**$2,530**
% change	3%	-29%	-5%	10%	5%	24%	19%	18%	11%	11%
% margin	15.6%	13.4%	12.7%	13.2%	13.7%	13.0%	13.3%	14.8%	16.2%	17.0%
Price/Mix % Change	**-0.9%**	**-6.1%**	**2.3%**	**-0.6%**	**5.1%**	**11.6%**	**3.7%**	**1.3%**	**-0.5%**	**-1.8%**
Manufacturing Margins %	17.7%	12.1%	10.1%	12.2%	13.2%	12.4%	12.6%	15.9%	18.5%	19.4%
Services Margins %	18.5%	19.3%	22.0%	21.9%	20.5%	21.1%	18.2%	18.8%	18.8%	18.8%

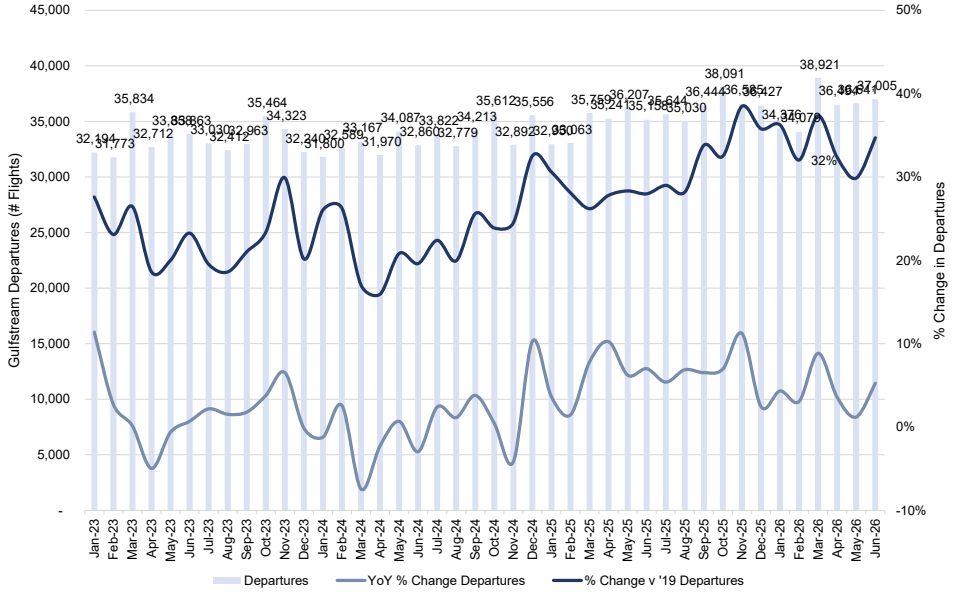
- Upside to Manufacturing Revs - Up 11% in H1 vs Deliveries Up 7% Implying 4% Increase in ASP. We expect Aircraft Manufacturing sales to rise 4% in 2026 although given the 11% start for the start of the year this may be modest. We assume deliveries are 3% higher deliveries w/ mix and pricing. Looking towards 2027, we forecast Aircraft Manufacturing revenues rise 1% as new jets continue to ramp. The increase is driven by slightly higher deliveries, rising from 158 jets in 2025 to 165 by 2027E, with heavy jet mix stabilizing in the high-80% range. The ramping G700 and G800 in 2026 carry an elevated list price >$70MM, supporting rev mix.
- Our estimate of a 4% revenue CAGR at Gulfstream to $14.9BB in 2028E compares to cons at $15.5BB with upside potential from a better ramp of new jet models. We assume a margin ramp to 14.7% in 2026 (Above prior guide of 14.0%) and 16.2% by 2027E.
- Aircraft Services revenue is expected to increase 10% in 2026E after posting 8% growth in 2025, leveling off at normalized 3% growth in 2027E-2028E supported by fleet growth yielding a growth in mandated annual checks. Mgmt emphasized the Services hasn't seen much of an impact even at Jet Aviation with FBOs, while flight hours continue to trend well.

Source: Company data and Jefferies estimates

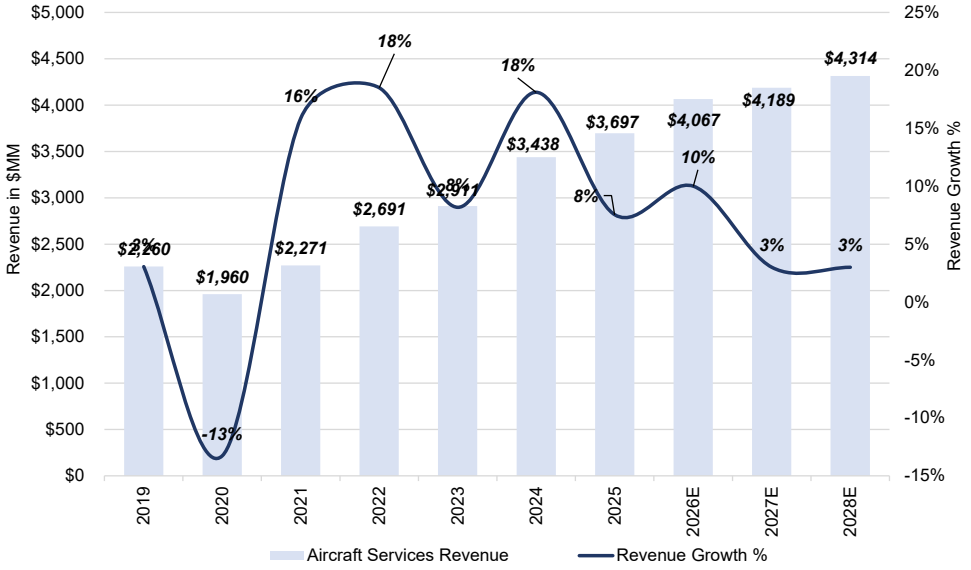
Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

GD: Aerospace - Deliveries Expected Up 3% in 2026 w/ Aerospace +6% Overall

Aerospace Margins Expected Up to 14.8% in 2026E with G700/800 Learning Curves



Every 50 bps of 2027 Aero Margin Worth $0.18/sh (1%) to EPS; Every 5 Gulfstream Deliveries in 2027 Worth $0.17/sh (1%)



- Aircraft Services revenue is expected to increase 10% in 2026E after posting 8% growth in 2025, leveling off at normalized 3% growth in 2027E-2028E supported by fleet growth yielding a growth in mandated annual checks. Mgmt emphasized the Services hasn't seen much of an impact even at Jet Aviation with FBOs, while flight hours continue to trend well.
- Gulfstream activity is +5% y-o-y on a departure basis in June. Gulfstream aircraft flight hours are +7% y-o-y. Q1 tracked up 5%, below Services revs +13%. In 2025, departures were up 6% y-o-y. Q2 is tracking up 3%.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

GD: Combat Systems - Raising FY Revenue Outlook, but Reducing Margin Guide on Mix

Combat Systems Revenue Walk - Combat Grows 6% With Margins Down Slightly in 2026E ($MM)

Combat Systems Revenue Build	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
Wheeled Combat & Tactical Vehicles										
Stryker	$1,000	$1,050	$1,100	$1,186	$1,150	$1,114	$1,100	$875	$850	$800
LAV's	175	175	220	200	200	200	200	200	200	200
Saudi Wheeled Program	825	850	800	800	800	800	800	800	800	800
Pandur	200	200	170	170	200	200	200	200	200	200
Piranha	150	150	140	150	200	200	260	275	300	325
Duro	150	150	150	150	150	150	150	175	175	175
Other	241	242	290	280	286	300	260	450	650	700
Total Wheeled Combat & Tactical Vehicl	**$2,741**	**$2,817**	**$2,870**	**$2,936**	**$2,986**	**$2,964**	**$2,970**	**$2,975**	**$3,175**	**$3,200**
% change	5%	3%	2%	2%	2%	-1%	0%	0%	7%	1%
Weapon Systems, Armament, & Munitions										
Weapons Systems (air & sea)	$1,100	$1,100	$1,150	$1,150	$1,300	$1,700	$1,810	$1,900	$1,975	$2,050
Munitions	300	320	316	334	525	607	669	725	800	825
Tank Ammunition	200	221	200	200	277	300	300	350	400	450
Hydra-70	306	350	340	340	340	325	325	335	345	355
Total Weapon Systems, Armament, & Mu	**$1,906**	**$1,991**	**$2,006**	**$2,024**	**$2,442**	**$2,932**	**$3,104**	**$3,310**	**$3,520**	**$3,680**
% change	6%	4%	1%	1%	21%	20%	6%	7%	6%	5%
Tanks & Tracked Vehicles										
Abrams	$850	$870	$854	$800	$1,200	$1,200	$1,150	$1,250	$1,300	$1,350
ASCOD	250	250	225	195	150	150	150	150	150	150
AJAX	549	600	600	500	550	550	500	625	700	700
Other Tanks	120	150	150	150	150	237	200	100	100	100
Total Tanks & Tracked Vehicles	**$1,769**	**$1,870**	**$1,829**	**$1,645**	**$2,050**	**$2,137**	**$2,000**	**$2,125**	**$2,250**	**$2,300**
% change	24%	6%	-2%	-10%	25%	4%	-6%	6%	6%	2%
Engineering & Other Services	$481	$545	$646	$703	$790	$964	$1,172	$1,383	$1,494	$1,583
Total Combat	**$7,007**	**$7,223**	**$7,351**	**$7,308**	**$8,268**	**$8,997**	**$9,246**	**$9,793**	**$10,439**	**$10,763**
% change										
Wheeled Combat & Tactical Vehicles	5%	3%	2%	2%	2%	-1%	0%	0%	7%	1%
Weapon Systems, ArmANent, & Munitions	6%	4%	1%	1%	21%	20%	6%	7%	6%	5%
Tanks & Tracked Vehicles	24%	6%	-2%	-10%	25%	4%	-6%	6%	6%	2%
Engineering & Other Services	16%	13%	19%	9%	12%	22%	22%	18%	8%	6%
Total	12%	3%	2%	-1%	13%	9%	3%	6%	7%	3%
Profitability										
Operating Profit	$996	$1,041	$1,067	$1,075	$1,147	$1,276	$1,331	$1,350	$1,472	$1,555
% change	4%	5%	2%	1%	7%	11%	4%	1%	9%	6%
Operating Margin	14.2%	14.4%	14.5%	14.7%	13.9%	14.2%	14.4%	13.8%	14.1%	14.4%

- Combat revenues were essentially flat y-o-y in Q2:26 w/ strength called out in OTS and European Land Systems, offset by a decline in Land Systems. GD revised its Combat guidance in conjunction with Q2 EPS and now expects FY26 revenue of $9.8BB (from $9.6-$9.7BB), up 6% y-o-y (from +4-5%), with operating margins of 13.8% (from 14.1%) for operating earnings of $1.35BB at the midpt. Demand continues to be robust across the portfolio with a 2.1X B2B in Q2 w/ all business units at or above 1.5x w/ awards during the quarter including: $1.4BB from Canada to produce armored combat support vehicles, $850MM from US Army for next-gen Abrams engineering services and $850MM for munitions and ordnance. Looking forward, mgm continues to expect +DD growth from European Land Systems given the threat environment and demand for combat vehicles.
- In terms of profit, operating margins of 13.9% in Q2:26 were down -20 bps y-o-y due largely to mix. Margins have been guided to contract 60 bps in 2026 to 13.8% (from 14.1% initial guide) resulting in $1.35BB of earnings, up 1% from $1.33BB in 2025 on higher revenues. Margin contraction in 2026 is based on continued volume growth and efficiencies in OTS, but offset by investments along with broader mix.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

GD: Marine Systems – Submarines Continue Growth

Marine Systems Segment Revenue Walk - 6% CAGR through 2028E Supported by 7% CAGR in Nuclear Subs ($MM)

Marine Systems Revenue Build	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
Nuclear-Powered Submarines												
Virginia Class	$4,000	$4,150	$4,554	$4,700	$4,800	$4,650	$4,831	$5,942	$7,158	$7,750	$8,250	$8,750
Columbia Class	1,175	1,562	1,700	2,238	2,317	2,660	3,800	4,450	5,450	5,900	6,400	6,900
Total Nuclear-Powered Submarines	**$5,175**	**$5,712**	**$6,254**	**$6,938**	**$7,117**	**$7,310**	**$8,631**	**$10,392**	**$12,608**	**$13,650**	**$14,650**	**$15,650**
% change		10%	9%	11%	3%	3%	18%	20%	21%	8%	7%	7%
Surface Combatants												
DDG-51	$643	$773	$875	$905	$1,060	$1,500	$1,550	$1,614	$1,700	$1,850	$1,875	$1,900
DDG-1000	400	325	250	250	250	0	0	0	0	0	0	0
Total Surface Combatants	**$1,043**	**$1,098**	**$1,125**	**$1,155**	**$1,310**	**$1,500**	**$1,550**	**$1,614**	**$1,700**	**$1,850**	**$1,875**	**$1,900**
% change		5%	2%	3%	13%	15%	3%	4%	5%	9%	1%	1%
Auxiliary & Commercial Ships												
ESB	$250	$195	$358	$460	$515	$515	$500	$500	$500	$500	$500	$500
TAO-X	200	500	350	360	498	540	643	700	727	750	750	750
Commercial	114	79	79	80	5	6	5	5	5	5	5	5
Total Auxiliary & Commercial Ships	**$564**	**$774**	**$787**	**$900**	**$1,018**	**$1,061**	**$1,148**	**$1,205**	**$1,232**	**$1,255**	**$1,255**	**$1,255**
% change		37%	2%	14%	13%	4%	8%	5%	2%	2%	0%	0%
Repair & Other Services	$1,222	$918	$1,017	$986	$1,081	$1,169	$1,132	$1,132	$1,183	$1,242	$1,298	$1,350
Total Marine	**$8,004**	**$8,502**	**$9,183**	**$9,979**	**$10,526**	**$11,040**	**$12,461**	**$14,343**	**$16,723**	**$17,997**	**$19,078**	**$20,155**
% change												
Nuclear-Powered Submarines		10%	9%	11%	3%	3%	18%	20%	21%	8%	7%	7%
Surface Combatants		5%	2%	3%	13%	15%	3%	4%	5%	9%	1%	1%
Auxiliary & Commercial Ships		37%	2%	14%	13%	4%	8%	5%	2%	2%	0%	0%
Repair & Other Services		-25%	11%	-3%	10%	8%	-3%	0%	5%	5%	4%	4%
Total		6%	8%	9%	5%	5%	13%	15%	17%	8%	6%	6%
Profitability												
Operating Profit	$685	$761	$785	$854	$874	$897	$874	$935	$1,177	$1,334	$1,461	$1,573
% change		11%	3%	9%	2%	3%	-3%	7%	26%	13%	10%	8%
Operating Margin	8.6%	9.0%	8.5%	8.6%	8.3%	8.1%	7.0%	6.5%	7.0%	7.4%	7.7%	7.8%

- Marine Est Still Conservative Given 17% Growth in H1 and 8% for 2026. Marine top line grew 10% y-o-y in Q2, with 9 of the past 10 quarters posting double-digit growth. The growth in Q2:26 was driven by all shipyards, with strongest y-o-y % growth at Surface Combatants and Auxiliary and Commercial Ships and $ growth driven by Nuclear Powered Submarine.
- GD raised its 2026 Marine revenue guidance by $500MM at midpoint to ~$18BB, up ~8% y-o-y from a prior range of $17.3 to $17.7BB (up 3 to 6% y-o-y). This implies ~1% revenue growth for the remainder of the year. We see upside w/ our estimate for 2026 revenue of $17.99BB up 8% y-o-y.
- We est Marine revs grow at a 6% CAGR through 2028E driven by Nuclear Submarines +7.5%, partially offset by slower Surface Combatants growth at a 3.8% CAGR, Auxiliary & Commercial Ships growing +0.6% and Repair & Other Services at +4.5%.

Source: Company data and Jefferies estimates

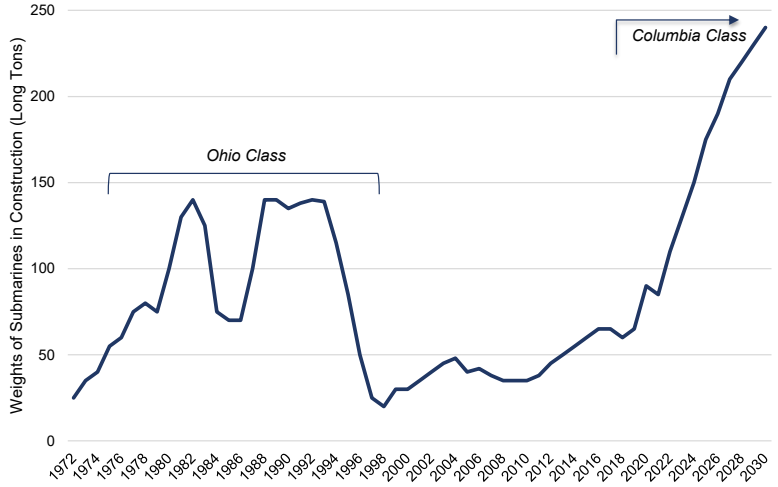
Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

GD: Marine Systems – Submarines Continue Growth

Electric Boat Revenue Build - Revenue Grows from $12.6BB in 2025 to $15.7BB in 2028E

	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E
Block III	340	-	-	-	-	-	-	-	-	-	-
Block IV	3,450	3,520	3,168	2,464	1,408	1,346	2,562	-	-	-	-
Block V	764	1,180	1,632	2,186	3,423	4,596	4,596	7,750	8,250	8,750	8,950
Total Virginia Class	**$4,554**	**$4,700**	**$4,800**	**$4,650**	**$4,831**	**$5,942**	**$7,158**	**$7,750**	**$8,250**	**$8,750**	**$8,950**
EMD	1,700	588	667	1,010	2,150	-	-	-	-	-	-
Construction	-	1,650	1,650	1,650	1,650	4,450	5,450	5,900	6,400	6,900	7,400
Total Columbia Class	**$1,700**	**$2,238**	**$2,317**	**$2,660**	**$3,800**	**$4,450**	**$5,450**	**$5,900**	**$6,400**	**$6,900**	**$7,400**
Total Electric Boat	**$6,254**	**$6,938**	**$7,117**	**$7,310**	**$8,631**	**$10,392**	**$12,608**	**$13,650**	**$14,650**	**$15,650**	**$16,350**

Submarine Demand To Approach 250 Long Tons by 2030



- Submarines continue to be well-supported. The White House EO for Restoring America's Maritime Dominance (Apr 2025) was followed by the Maritime Action Plan (Feb 2026) and the Navy's Shipbuilding plan (May 2026). The 5-yr FYDP funds 122 ships and 63 unmanned platforms, including 1/yr Columbia (1st delivery in '28, full-rate in early 2030s) and 2/yr Virginia, representing $125BB from FY27-31.
- GD is currently working on Blocks IV and V in the Virginia-class program, with 14 Virginia-class submarines in the backlog scheduled for delivery through 2034. Ten of the boats in Block V will include the Virginia Payload Module (VPM), an 84-foot Electric Boat-designed-and-built hull section that adds four additional payload tubes, which increases the strike capacity of each submarine by >3X.
- EB began construction of the first Columbia-class ship in October 2020, moving the program out of development and into production after a $9.5BB contract for production of the first two ships. There was a $5.1BB modification contract awarded in December 2022, funding advance procurement and construction to support Build II (next five subs).

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

GD: Technologies Grows 4% in 2026E; Mission System Continues to Lead the Way

Technologies Segment Revenue Walk - 4.0% CAGR through 2028E ($MM)

Technologies Revenue Bridge	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
IT Services	$8,422	$7,892	$8,069	$8,195	$8,459	$8,761	$9,057	$9,491	$9,807	$10,074
C5ISR	4,937	4,756	4,503	4,297	4,463	4,366	4,414	4,582	4,863	5,084
Total Technologies	**$13,359**	**$12,648**	**$12,457**	**$12,492**	**$12,922**	**$13,127**	**$13,471**	**$14,073**	**$14,670**	**$15,158**
% Change	3%	-5%	-2%	0%	3%	2%	3%	4%	4%	3%
% Organic	3%	-4%	-1%	0%	3%	2%	3%	4%	4%	3%
Profitability										
Operating Profit	$1,311	$1,211	$1,275	$1,227	$1,202	$1,260	$1,277	$1,332	$1,412	$1,477
% Change	3%	-8%	5%	-4%	-2%	5%	1%	4%	6%	5%
Operating Margin	9.8%	9.6%	10.2%	9.8%	9.3%	9.6%	9.5%	9.5%	9.6%	9.7%

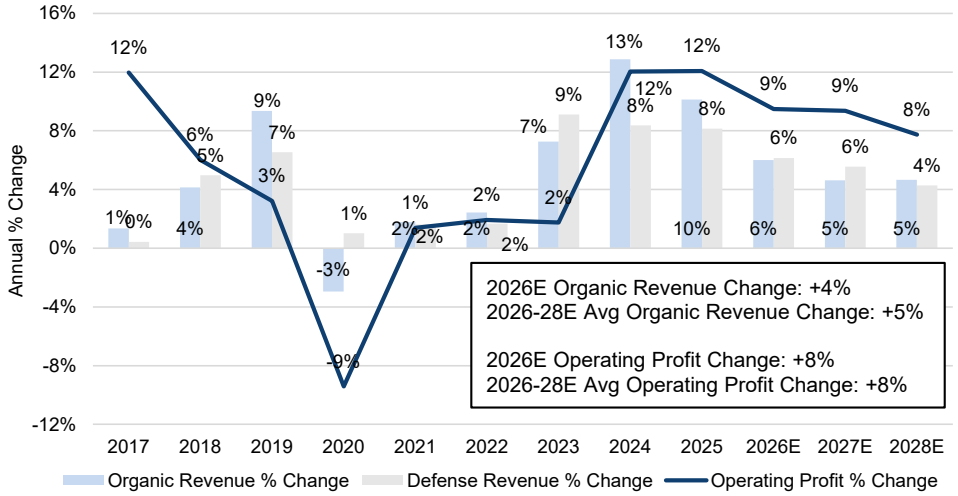
- Technologies sales were +4% at $3.6BB in Q2, led by Mission Systems, most notably in Land & Air Systems and the int'l portfolio. For 2025, growth rebounded with the segment expanding 2.6%. GD raised it 2026 revenue outlook to $14.1BB (from $13.8BB), up 5% y-o-y (from +2% y-o-y) w/ operating margins expected to contract 10bps to 9.4% (from 9.2%) for earnings of ~$1.33BB (from $1.27BB).
- Strong order activity led to a Technologies' B2B of 1.1X for the quarter, with backlog at $18.0BB, up $3.8BB y-o-y from the $14.2BB a year ago. The funded backlog of $11.3BB was up 13% y-o-y.
- Technologies margins contracted 20 bps y-o-y to 9.4% in Q2. 2026 profitability guidance was raised to 9.4% (from 9.2%) operating margin, down 10 bps y-o-y from 9.5% in 2025. In Q1, GD commented that it continues to expect to see low single digit growth over the long term from the group with industry leading margins.

Source: Company data and Jefferies estimates

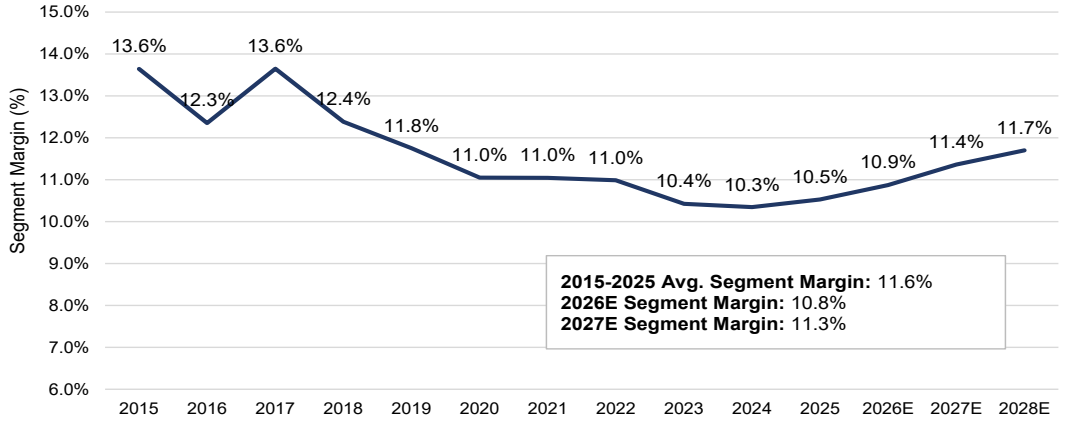
Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

GD: EBIT Grows 10% in 2026 on Higher Op Leverage

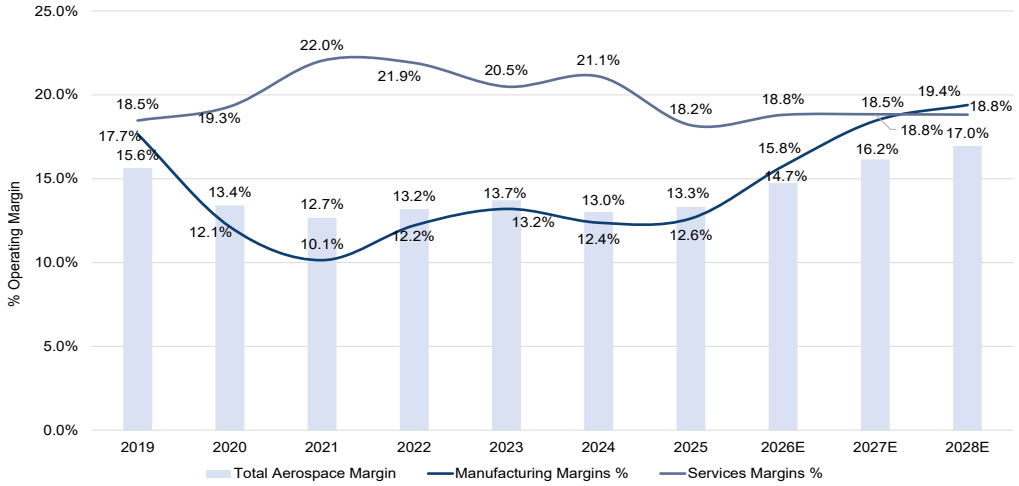
Operating Profit Growth of 9% in 2026 Driven by Aero and Marine



GD Segment Margin Rebounds Slowly with 30 bps of Expansion in 2026E



Aerospace Margins Expected Up to 14.7% in 2026E with G700/800 Learning Curves



- GD has invested $3BB in Electric Boat (>30% increase to 5MM+ of sqft) & manufacturing techniques since 2015, including $1.4BB in Groton, $1BB in Quonset, and 3 property purchases in Waterford in '25 to move off-hull functions outside Groton. GD plans to invest another $4BB+ over the next 5 yrs (Ex 1), w/ plans to hire >8K in '26 alone (vs '23 record of 5.3K; >30% y-o-y growth).
- Marine top line grew 21% y-o-y in Q1, with 9 of the past 10 quarters posting double-digit growth. The growth in Q1:26 was driven by all shipyards, but exceptional growth at EB with Columbia-class and Virginia-class construction.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

GD: Gulfstream Margins Expand 150 bps in 2026E on G700 and G800 Learning Curve

Aerospace EBIT Bridge - Margins Expand 150 bps in 2026E on 42% Incrementals

Operating Earnings Bridge	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
Starting Operating Earnings	**$1,490**	**$1,532**	**$1,083**	**$1,031**	**$1,130**	**$1,182**	**$1,464**	**$1,746**	**$2,054**	**$2,278**
Organic	75	(629)	(38)	212	43	342	169	458	299	252
Aircraft Manufacturing	50	(590)	(160)	123	36	213	222	366	274	229
Aircraft Services	38	(39)	122	89	7	129	(53)	92	24	23
Pre-Owned Aircraft	(13)	0	0	0	0	0	0	0	0	0
G&A Expenses & Other (Incl R&D)	(33)	239	(73)	(113)	9	(60)	113	(150)	(75)	-
Restructuring & Other	0	(59)	59	0	0	0	0	0	0	0
Incremental Earnings	**$42**	**($449)**	**($52)**	**$99**	**$52**	**$282**	**$282**	**$308**	**$224**	**$252**
Ending Operating Earnings	**$1,532**	**$1,083**	**$1,031**	**$1,130**	**$1,182**	**$1,464**	**$1,746**	**$2,054**	**$2,278**	**$2,530**
% Margin	15.6%	13.4%	12.7%	13.2%	13.7%	13.0%	13.3%	14.8%	16.2%	17.0%
Aircraft Manufacturing Incrementals	4%	41%	64%	1025%	-22%	10%	14%	101%	205%	33%
Aircraft Services Incrementals	57%	13%	39%	21%	3%	24%	-20%	25%	20%	18%
Total Aerospace Incrementals	3%	26%	-87%	23%	96%	11%	15%	42%	87%	30%

Aircraft Manufacturing Margins Improve 320 bps in 2026 Due to Mix and New Jet Learning Curve

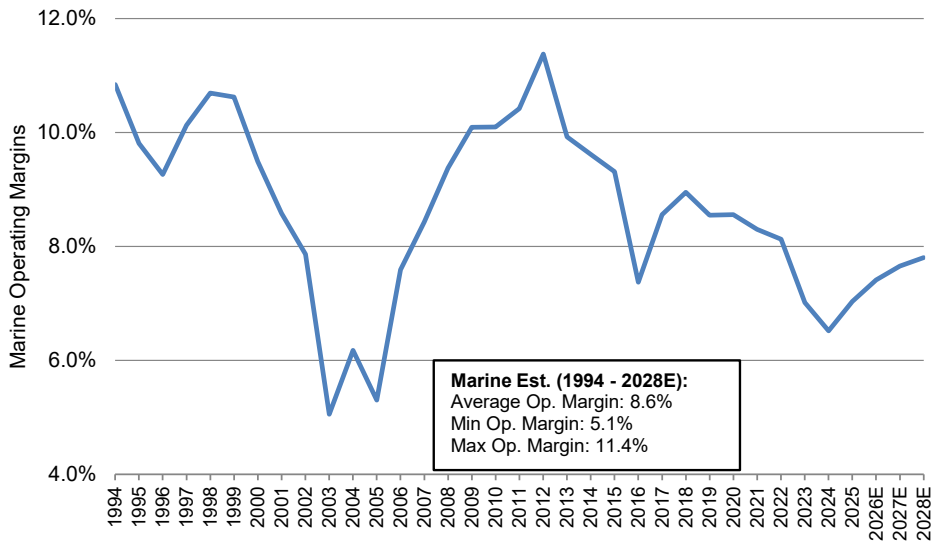
Aircraft Manufacturing EBIT and Margin by Model Type	2018	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
$ EBIT											
G100/G150	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0
G200/G280	142	202	81	59	88	83	73	77	62	32	0
G300	0	0	0	0	0	0	0	0	0	17	52
G350/G450	13	0	0	0	0	0	0	0	0	0	0
G400	0	0	0	0	0	0	0	0	0	0	30
G500	18	86	127	70	119	95	141	192	257	292	326
G550	159	271	154	46	12	9	6	6	0	0	0
G600	0	20	95	144	197	230	274	222	320	415	439
G650	963	752	285	276	301	308	255	108	0	0	0
G700	0	0	0	0	0	0	218	518	669	757	861
G800	0	0	0	0	0	0	0	65	231	315	350
Aircraft Manufacturing Earnings	**$1,295**	**$1,332**	**$742**	**$595**	**$718**	**$754**	**$967**	**$1,189**	**$1,540**	**$1,829**	**$2,058**
% Margin											
G100/G150	15.0%	15.0%	15.0%	15.0%	15.0%	15.0%	15.0%	15.0%	15.0%	15.0%	15.0%
G200/G280	20.0%	25.0%	15.0%	15.0%	15.0%	15.0%	15.0%	13.0%	11.5%	12.0%	12.0%
G300	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	6.0%	9.0%
G350/G450	15.0%	22.0%	22.0%	20.0%	22.0%	22.0%	22.0%	22.0%	22.0%	22.0%	22.0%
G400	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	8.0%	9.0%	10.0%
G500	4.0%	10.0%	10.0%	5.5%	10.5%	11.5%	12.5%	13.0%	15.0%	17.0%	19.0%
G550	20.0%	25.0%	18.0%	12.0%	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%
G600	0.0%	5.0%	6.0%	9.0%	12.0%	12.4%	13.5%	14.0%	15.0%	17.0%	18.0%
G650	23.0%	18.1%	15.2%	12.4%	13.3%	13.5%	14.3%	14.5%	15.0%	15.0%	15.0%
G700	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	9.7%	13.0%	17.5%	22.0%	22.5%
G800	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	7.2%	15.0%	18.0%	20.0%
Aircraft Manufacturing Earnings	**20.7%**	**17.7%**	**12.1%**	**10.1%**	**12.2%**	**13.2%**	**12.4%**	**12.6%**	**15.8%**	**18.5%**	**19.4%**
Services Margin	**17.3%**	**18.5%**	**19.3%**	**22.0%**	**21.9%**	**20.5%**	**21.1%**	**18.2%**	**18.8%**	**18.8%**	**18.8%**
Total Aerospace Margin	**17.6%**	**15.6%**	**13.4%**	**12.7%**	**13.2%**	**13.7%**	**13.0%**	**13.3%**	**14.7%**	**16.2%**	**17.0%**

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

GD: Marine Margins Expand 40 bps in 2026E on Productivity Improvements

Marine Margins of 7.4% in 2026E Remain Below the Long-Term Average



Each 1pt of Marine Growth = $0.04/sh (0.2%) and Each 20bps of Marine Margin = $0.11/sh (0.6%) on our 2027 EPS of $18.00

Marine Margin (%)	2027E Marine Growth (%)				
18.50	4%	5%	6%	7%	8%
7.1%	$18.08	$18.12	$18.16	$18.20	$18.23
7.3%	$18.19	$18.23	$18.27	$18.31	$18.35
7.5%	$18.31	$18.35	$18.39	$18.43	$18.47
7.7%	$18.42	$18.46	**$18.50**	$18.54	$18.58
7.9%	$18.53	$18.57	$18.61	$18.65	$18.70
8.1%	$18.64	$18.68	$18.72	$18.77	$18.81

- The largest driver of Marine margins is productivity & performance along with some help around the edges from improved contract mix. EAC improvements are likely gradual over time as GD drives better performance. In Q2:26, Marine margins 40bp y-o-y to 7.3%, with management noting clear and measurable productivity gains in the quarter. Hours earned at Electric Boat on Columbia grew 37% y-o-y in Q2, an acceleration from +29% y-o-y in Q1:26. Material deliveries in sequence critical material rose 65% y-o-y in Q2:26, an acceleration from +52% y-o-y in Q1:26.
- We est margins expand 40 bps to 7.4% in 2026E and another 40 bps to 7.8% in 2028E, still 20 bps below the 10 yr avg. Each 20 bps of Marine margin is worth $0.11/sh or (0.6%) on our '27 EPS of $18.00.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

GD: FCF Conversion to Reach ~105% in 2026E Despite Capex +80% Y-o-Y

FCF Walk - FCF Conversion Rises to 103% in 2026E From 94% in 2025

FCF	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
Net Income	$3,484	$3,167	$3,257	$3,390	$3,315	$3,782	$4,210	$4,630	$5,114	$5,533
Depreciation and Amortization	829	878	890	884	863	886	924	970	1,006	1,037
NWC	(1,557)	(188)	64	1,416	808	(443)	(722)	662	541	344
Section 174	0	0	0	(300)	(280)	(210)	256	200	200	200
Stock Comp/Deferred Taxes/Other	225	1	60	(811)	4	97	452	400	400	400
CFO	**$2,981**	**$3,858**	**$4,271**	**$4,579**	**$4,710**	**$4,112**	**$5,120**	**$6,862**	**$7,262**	**$7,514**
Capex	(987)	(967)	(887)	(1,114)	(904)	(916)	(1,161)	(2,005)	(1,982)	(1,952)
FCF	**$1,994**	**$2,891**	**$3,384**	**$3,465**	**$3,806**	**$3,196**	**$3,959**	**$4,857**	**$5,280**	**$5,562**
FCF Per Share	**$6.86**	**$10.04**	**$12.00**	**$12.46**	**$13.80**	**$11.52**	**$14.53**	**$17.73**	**$19.10**	**$20.11**
Deployment										
Dividend	($1,152)	($1,240)	($1,315)	($1,369)	($1,428)	($1,529)	($1,593)	($1,718)	($1,837)	($1,949)
Share Repurchases	(231)	(587)	(1,828)	(1,229)	(434)	(1,501)	(637)	(319)	0	(1,000)
Debt Paydown	(850)	(2,500)	(4,997)	(1,000)	(1,250)	(500)	(1,500)	(1,001)	(2)	(2)
Debt Issuance	0	3,960	3,494	0	0	0	747	0	0	0
Acquisition	(19)	(7)	0	0	0	0	0	0	0	0
Cash Pension Contributions	(333)	(379)	(398)	(415)	(462)	(517)	(560)	(500)	0	0
Total Deployment	**($2,585)**	**($753)**	**($5,044)**	**($4,013)**	**($3,574)**	**($4,047)**	**($3,543)**	**($3,538)**	**($1,839)**	**($2,951)**
Discretionary FCF (post pension, dividends, and committed debt pay-down)	**($27)**	**($856)**	**($2,928)**	**$1,096**	**$1,128**	**$1,167**	**$866**	**$2,138**	**$3,441**	**$3,611**
Ratios										
FCF to Net Income Conversion	57%	91%	104%	102%	115%	85%	94%	105%	103%	101%
FCF Yield (FCF / Mkt Cap.)	1.9%	2.7%	3.2%	3.3%	3.6%	3.0%	3.7%	4.6%	5.0%	5.2%
FCF Change YoY %	-18%	45%	17%	2%	10%	-16%	24%	23%	9%	5%
Discretionary FCF Yield	NM	NM	NM	1.0%	1.1%	1.1%	0.8%	2.0%	3.2%	3.4%
Discretionary FCF % Change YoY	NM	NM	NM	NM	3%	3%	-26%	147%	61%	5%
Dividend Yield	1.1%	1.2%	1.2%	1.3%	1.3%	1.4%	1.5%	1.6%	1.7%	1.8%
Dividend as a % of Net Income	33%	39%	40%	40%	43%	40%	38%	37%	36%	35%
Share Repo as % of Mkt Cap	0%	1%	2%	1%	0%	1%	1%	0%	0%	1%
% of Cash Returned to Shareholders	69%	63%	93%	75%	49%	95%	56%	42%	35%	53%
Capex % of Sales	2.5%	2.5%	2.3%	2.8%	2.1%	1.9%	2.2%	3.6%	3.4%	3.2%

- GD posted CFO of $1.9BB source in Q2, with FCF source of $1.6BB after $234MM of capex. This was up from OCF source of $1.6BB and FCF source of $1.4BB in Q2:25. Working capital was a $343MM inflow in Q2 led by a $404MM inflow from customer advances and $80MM of inventory unwind. This was partially offset by a -$190MM outflow from unbilled receivables. Cash is expected lighter in H2 vs H1 driven by 1) pension contribution of $500MM to de-risk plans going forward, 2) cash taxes weighted to H2 w/ $500MM of payments expected, 3) working down advances at European Land Systems. Mgmt expects to repay August notes of $500MM after paying down the $500MM June notes in Q2.
- For 2026 we estimate FCF of $4.86BB, or 105% conversion to NI (up from $3.96BB in '25) on $6.86BB of OCF and $2.01BB of capex (+73% y-o-y). We expect conversion stays in the 100% range over the next few years with our 2027 FCF estimate for $5.28BB (103% conversion) and 2028 est of $5.56BB (101% conversion).
- GD repurchased $109MM of shares in Q2 and paid $429MM of dividends. We have assumed the absence of buybacks for the rest of 2026 given the step up in capex along with the current political climate while the dividend continues w/ $1.72BB deployed to dividends in 2026. GD has $9.2BB of deployable FCF post dividends, pension, and debt paydown from 2026 to 2028 which could be ~$1.80, or 9%, accretive to our 2028E EPS of $20.00.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

GD: Income Statement

Years Ending December 31	2021		2022		2023		2024		2025		2026E		2027E		2028E	
Total Revenues	**$38,469**	100%	**$39,407**	100%	**$42,272**	100%	**$47,716**	100%	**$52,550**	100%	**$55,707**	100%	**$58,283**	100%	**$61,001**	100%
Costs and expenses																
Costs of Sales	31,806	83%	32,635	83%	35,600	84%	40,352	85%	44,599	85%	47,102	85%	49,048	84%	51,189	84%
SG&A	2,500	7%	2,561	7%	2,427	6%	2,568	5%	2,595	5%	2,730	5%	2,798	5%	2,867	5%
Total Operating Costs	**$34,306**	89%	**$35,196**	89%	**$38,027**	90%	**$42,920**	90%	**$47,194**	90%	**$49,831**	89%	**$51,846**	89%	**$54,056**	89%
Operating Profit	**$4,163**	10.8%	**$4,211**	11%	**$4,245**	10%	**$4,796**	10%	**$5,356**	10%	**$5,876**	11%	**$6,437**	11%	**$6,945**	11%
Interest Expense	(424)		(364)		(343)		(324)		(314)		(270)		(250)		(245)	
Other, net	134		189		82		68		61		15		50		50	
Income before taxes	**$3,873**	10%	**$4,036**	10%	**$3,984**	9%	**$4,540**	10%	**$5,103**	10%	**$5,621**	10%	**$6,237**	11%	**$6,750**	11%
Taxes (rate %)	616	15.9%	646	16%	669	17%	758	17%	893	17%	991	18%	1,123	18%	1,217	18%
Net Income, continuing ops	**$3,257**		**$3,390**		**$3,315**		**$3,782**		**$4,210**		**$4,630**		**$5,114**		**$5,533**	
Diluted shares (millions)	282		278		276		278		272		274		276		277	
Earnings Per Share	**$11.55**		**$12.19**		**$12.02**		**$13.63**		**$15.45**		**$16.90**		**$18.50**		**$20.00**	

Source: Company data and Jefferies estimates

GD: Segment Data

(millions, except per share data)	2025					2026E			
	Q1	Q2	Q3	Q4	Year	Q1	Q2	Q3E	Q4E
Revenues									
Aerospace	$3,026	$3,062	$3,234	$3,788	$13,110	$3,279	$3,525	$3,377	$3,663
Combat Systems	2,176	2,283	2,252	2,535	9,246	2,283	2,290	2,416	2,804
Technologies	3,432	3,476	3,325	3,238	13,471	3,576	3,619	3,458	3,419
Marine	3,589	4,220	4,096	4,818	16,723	4,343	4,660	4,345	4,649
Total Revenues	**$12,223**	**$13,041**	**$12,907**	**$14,379**	**$52,550**	**$13,481**	**$14,094**	**$13,596**	**$14,535**
Operating Profit									
Aerospace	$432	$403	$430	$481	$1,746	$493	$510	$490	$547
Combat Systems	291	324	335	381	1,331	310	318	336	386
Technologies	328	332	327	290	1,277	339	339	325	329
Marine	250	291	291	345	1,177	316	342	322	354
Other/Corp	(33)	(45)	(52)	(45)	(175)	(38)	(49)	(48)	(45)
Total Operating Profit	**$1,268**	**$1,305**	**$1,331**	**$1,452**	**$5,356**	**$1,420**	**$1,460**	**$1,424**	**$1,572**
Interest, net	(89)	(88)	(74)	(63)	(314)	(69)	(49)	(80)	(72)
Other income (expense), net	21	15	15	10	61	18	(4)	0	1
Earnings before tax, cont. ops.	1,200	1,232	1,272	1,399	5,103	1,369	1,407	1,344	1,501
Taxes	206	218	213	256	893	244	247	235	264
Net earnings, cont. ops.	994	1,014	1,059	1,143	4,210	1,125	1,160	1,109	1,236
Net earnings, discont. ops.	-	-	-	-	-	-	-	-	-
Net earnings	**$994**	**$1,014**	**$1,059**	**$1,143**	**$4,210**	**$1,125**	**$1,160**	**$1,109**	**$1,236**
Shares outstanding (millions)	272	271	273	274	272	274	274	274	274
Earnings per share, cont. ops.	**$3.66**	**$3.74**	**$3.88**	**$4.17**	**$15.45**	**$4.10**	**$4.24**	**$4.05**	**$4.51**

	2025					2026E			
	Q1	Q2	Q3	Q4	Year	Q1	Q2	Q3E	Q4E
Revenue growth									
Aerospace	45.2%	4.1%	30.3%	1.2%	16.5%	8.4%	15.1%	4.4%	-3.3%
Combat Systems	3.5%	-0.2%	1.8%	5.8%	2.8%	4.9%	0.3%	7.3%	10.6%
GDIT	6.8%	5.5%	-1.6%	-0.1%	2.6%	4.2%	4.1%	4.0%	5.6%
Marine	7.7%	22.2%	13.8%	21.7%	16.6%	21.0%	10.4%	6.1%	-3.5%
Total Revenue									
Operating Margins									
Aerospace	14.3%	13.2%	13.3%	12.7%	13.3%	15.0%	14.5%	14.5%	14.9%
Combat Systems	13.4%	14.2%	14.9%	15.0%	14.4%	13.6%	13.9%	13.9%	13.8%
Technologies	9.6%	9.6%	9.8%	9.0%	9.5%	9.5%	9.4%	9.4%	9.6%
Marine	7.0%	6.9%	7.1%	7.2%	7.0%	7.3%	7.3%	7.4%	7.6%
Segment Operating Margins	10.6%	10.4%	10.7%	10.4%	10.5%	10.8%	10.7%	10.8%	11.1%
EBIT as % of revenue	10.4%	10.0%	10.3%	10.1%	10.2%	10.5%	10.4%	10.5%	10.8%
EBT as a % of revenue	9.8%	9.4%	9.9%	9.7%	9.7%	10.2%	10.0%	9.9%	10.3%
Tax rate %	17.2%	17.7%	16.7%	18.3%	17.5%	17.8%	17.6%	17.5%	17.6%
Net income as a % of revenue	8.1%	7.8%	8.2%	7.9%	8.0%	8.3%	8.2%	8.2%	8.5%
Earnings growth	24.4%	12.0%	13.9%	-0.4%	11.3%	13.2%	14.4%	4.7%	8.2%
EPS growth (cont. ops)	26.8%	14.9%	16.1%	0.7%	13.4%	12.2%	13.3%	4.1%	8.1%

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

GD: Balance Sheet

	2021	2022	2023	2024	2025	2026E	2027E	2028E
Current assets:								
Cash and equivalents	$1,603	$1,242	$1,913	$1,697	$2,333	$4,207	$7,648	$10,259
Accounts receivable	3,041	3,008	3,004	2,977	2,406	2,423	2,331	2,318
Unbilled receivables	8,498	8,795	7,997	8,248	8,380	8,913	8,742	8,540
Inventories	5,340	6,322	8,578	9,724	9,232	9,192	9,034	9,028
Other current asset	1,505	1,696	2,123	1,740	1,897	1,950	2,040	2,135
Total current assets	**$19,987**	**$21,063**	**$23,615**	**$24,386**	**$24,248**	**$26,685**	**$29,795**	**$32,280**
Noncurrent assets:								
Property, plant and equipment, net	$5,417	$5,900	$6,198	$6,467	$7,525	$8,731	$9,890	$10,983
Intangible assets, net	1,978	1,824	1,656	1,520	1,375	1,200	1,031	884
Goodwill	20,098	20,334	20,586	20,556	21,009	21,009	21,009	21,009
Other assets, net	2,593	2,464	2,755	2,951	3,092	3,092	3,092	3,092
Total noncurrent assets	30,086	30,522	31,195	31,494	33,001	34,032	35,022	35,968
Total assets	**$50,073**	**$51,585**	**$54,810**	**$55,880**	**$57,249**	**$60,716**	**$64,818**	**$68,248**
Liabilities								
Current liabilities								
short-term debt	$1,005	$1,253	$507	$1,502	$1,006	$1,006	$1,006	$1,006
Account payable	3,167	3,398	3,095	3,344	2,678	2,952	3,031	3,111
Customer advances and deposits	6,266	7,436	9,564	9,491	9,824	11,141	11,365	11,590
Other current liabilities	3,540	3,254	3,266	3,487	3,288	3,621	3,730	3,843
Total current liabilities	**$13,978**	**$15,341**	**$16,432**	**$17,824**	**$16,796**	**$18,721**	**$19,132**	**$19,550**
Noncurrent liabilities								
Long-term debt	$10,490	$9,243	$8,754	$7,260	$7,007	$6,006	$6,004	$6,002
Other Liabilities	7,964	8,433	8,325	8,733	7,824	7,824	7,824	7,824
Total noncurrent liabilities	18,454	17,676	17,079	15,993	14,831	13,830	13,828	13,826
Total Liabilities	**$32,432**	**$33,017**	**$33,511**	**$33,817**	**$31,627**	**$32,551**	**$32,960**	**$33,376**
Total Shareholders equity	**$17,641**	**$18,568**	**$21,299**	**$22,063**	**$25,622**	**$28,165**	**$31,857**	**$34,872**
Liabilities and shareholders equity	**$50,073**	**$51,585**	**$54,810**	**$55,880**	**$57,249**	**$60,716**	**$64,818**	**$68,248**

Source: Company data and Jefferies estimates

General Electric Company (GE)

Buy | Price Target: $455

Valuation Method	Price	Assumptions
EV/EBITDA	459	38.0x EV/EBITDA on 2027 EBITDA of $12.7BB
P/E	440	50.0x P/E on 2027 EPS of $8.80
FCF	467	2.0% FCF Yield on 2027 FCF of $9.4BB
Average	**$455**	**Blended Average**

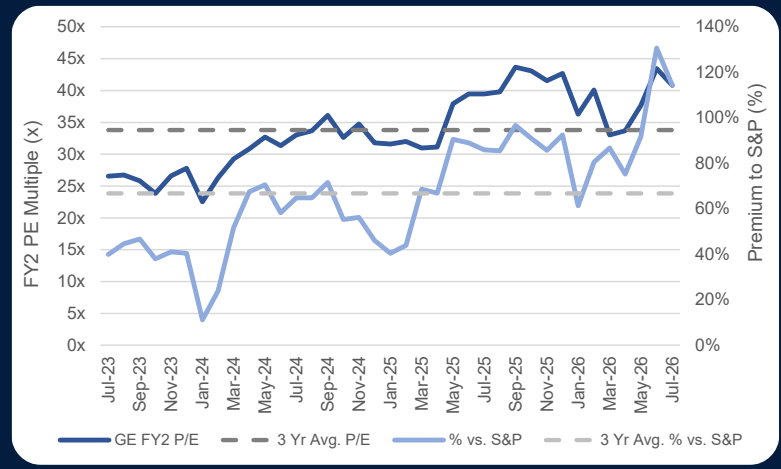
Valuation Table

	Ticker	JEF Rating	Stock Px 6/27/2026	Consensus BUY Rating	Market Cap	Enterprise Value	P/E 2026E	P/E 2027E	P/E 2028E	EV / SALES 2026E	EV / SALES 2027E	EV / SALES 2028E	EV / EBITDA 2026E	EV / EBITDA 2027E	EV / EBITDA 2028E	Yield Dividend	Yield FCF
Honeywell	HON	Hold	$232.21	54%	147,141	174,681	22.1x	20.3x	18.4x	4.4x	4.2x	4.0x	17.6x	16.1x	15.2x	2.0%	4.5%
Howmet Aerospace	HWM	Buy	$268.87	80%	107,577	110,767	53.2x	44.6x	37.8x	11.4x	10.1x	9.1x	35.6x	30.7x	27.0x	0.2%	2.4%
MTU Aero	MTX-DE	Buy	€ 358.40	65%	19,321	20,983	19.4x	17.8x	16.2x	2.2x	2.0x	1.8x	11.8x	11.0x	10.2x	1.0%	4.6%
RTX	RTX	Buy	$187.99	74%	253,163	290,402	27.1x	24.7x	22.3x	3.1x	2.9x	2.7x	19.0x	17.5x	16.0x	1.5%	4.0%
Rolls-Royce	RR-GB	Buy	£14.06	85%	117,520	116,569	37.6x	32.1x	27.1x	5.2x	4.7x	4.2x	23.7x	21.0x	18.5x	0.7%	4.4%
Safran	SAF-FR	Hold	€ 332.70	61%	139,183	138,138	32.7x	27.1x	24.0x	3.9x	3.5x	3.2x	17.9x	16.2x	14.8x	1.0%	4.5%
Woodward	WWD	Buy	$431.62	83%	25,717	27,095	46.2x	40.4x	34.1x	6.3x	5.8x	5.2x	30.0x	26.6x	23.1x	0.3%	2.6%
Average				**66%**			**34.0x**	**29.6x**	**25.7x**	**5.2x**	**4.7x**	**4.3x**	**22.2x**	**19.9x**	**17.8x**	**0.9%**	**3.9%**
General Electric	**GE**	**Buy**	**$369.00**	**85%**	**384,991**	**399,506**	**49.2x**	**42.6x**	**37.5x**	**8.3x**	**7.6x**	**6.9x**	**35.8x**	**31.9x**	**28.7x**	**0.4%**	**2.4%**
Discount / Premium							**45%**	**44%**	**46%**	**59%**	**60%**	**60%**	**61%**	**61%**	**61%**		**62%**

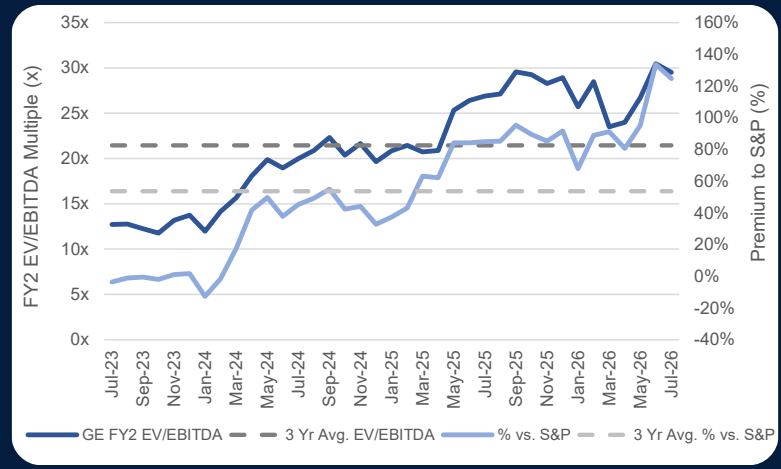
Featured Notes:

- Ready to Service & Already Starting to Exceed 2028 Targets | *July 16, 2026*
- Q2 Preview: Gray Clouds on the Horizon Dissipating | *July 2, 2026*
- A DPT Showcase In The City of Champions | *May 19, 2026*

Trading at 40.8X FY2 P/E, 114% Prem to Mkt vs. Historical Avg Prem of 67%



Trading at 29.5X FY2 EV/EBITDA, 125% Prem to Mkt vs. Historical Avg Prem of 54%



Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

Source: Company data, Jefferies estimates, FactSet

GE: GE Aerospace >14% Revenue CAGR to 2028 Anchored by CES at 15% and DPT 14.5%

Adj. Revenue Build - >14% Total Adj. Revenue CAGR (Guide +DD) Led by Services at 15.9% (Guide +DD), DPT +14.4% (Guide +MSD) and Equipment at 12% (Guide +Mid-Teens)

	2024	2025	2026E	2027E	2028E	2029E	2030E	Apr '24 Target	Jul '25 Target	2024-2028 CAGR	2024-2030 CAGR
Adj. Revenues											
Narrowbody	$4,616	$4,671	$4,964	$5,757	$6,288	$6,649	$7,039			8.0%	7.3%
Widebody	1,836	2,652	3,841	3,986	4,383	4,778	5,116			24.3%	18.6%
Regional & Other	653	375	401	473	508	523	538			-6.1%	-3.2%
OE	**$7,106**	**$7,698**	**$9,206**	**$10,216**	**$11,179**	**$11,950**	**$12,693**		**+Mid-Teen**	**12.0%**	**10.2%**
% YoY Change	*15.2%*	*8.3%*	*19.6%*	*11.0%*	*9.4%*	*6.9%*	*6.2%*				
			($0.05)								
Narrowbody	$10,077	$12,544	$16,628	$19,352	$20,942	$22,421	$24,434	+LDD	+LDD	20.1%	15.9%
Widebody	7,259	8,452	9,387	10,044	11,130	11,693	12,098	+MSD	+HSD	11.3%	8.9%
Regional & Other	2,438	3,254	3,486	3,551	3,642	3,655	3,660			10.6%	7.0%
Services	**$19,775**	**$24,250**	**$29,501**	**$32,948**	**$35,713**	**$37,769**	**$40,193**		**+DD**	**15.9%**	**12.5%**
% YoY Change	*11.8%*	*22.6%*	*21.7%*	*11.7%*	*8.4%*	*5.8%*	*6.4%*				
CES Revenues	**$26,881**	**$31,948**	**$38,707**	**$43,164**	**$46,892**	**$49,719**	**$52,886**	**+HSD**	**+LDD**	**14.9%**	**11.9%**
% YoY Change	*12.7%*	*18.8%*	*21.2%*	*11.5%*	*8.6%*	*6.0%*	*6.4%*				
DPT Revenues	**$9,478**	**$12,197**	**$13,753**	**$14,928**	**$16,234**	**$17,475**	**$18,892**	**+MSD**	**+MSD**	**14.4%**	**12.2%**
% YoY Change	*5.8%*	*28.7%*	*12.8%*	*8.5%*	*8.8%*	*7.6%*	*8.1%*				
Corporate	(1,238)	(1,823)	(2,400)	(2,600)	(2,800)	(3,000)	(3,150)			22.6%	-16.8%
Adj. Total Revenues	**$35,121**	**$42,322**	**$50,060**	**$55,492**	**$60,326**	**$64,194**	**$68,628**	**+HSD**	**+DD**	**14.5%**	**11.8%**
% YoY Change	*9.9%*	*20.5%*	*18.3%*	*10.9%*	*8.7%*	*6.4%*	*6.9%*				

- GE Aerospace is a leading manufacturer of commercial and military aircraft engines, integrated engine components, electrical & mechanical systems, and aftermarket services.
  - Commercial Engines ($9.2BB in 2026 sales - raised $100MM from last print; +20% y-o-y; 18% of Sales): In-production engines include the GEnx (787), the GE90 / GE9X (777 / 777X), the CF6 (767), the CF34 (regional), and through its 50-50 non-consolidated joint venture with Safran, CFM International, the LEAP (737 MAX / A320neo / C919). The CFM56 powers prior generation 737s, A320s, A340 and DC-8 and is winding down.
  - Commercial Services ($29.5BB raised $1.2BB from last print in 2026 sales; +22% from +17% y-o-y; 56% of Sales): MRO services and spares for current global fleet of ~50K engines.
  - Defense & Propulsion Technologies ($13.8BB in 2026 sales - raised $600MM from last print; +13% y-o-y; 26% of Sales): ~22% Avio Aero; ~19% Combat Engines; ~12% Rotorcraft Engines; ~11% Aeroderivatives; ~11% Unison, Dowty & Colibrium; ~10% Electrical Power & Avionics; ~9% Marine & Mobility Engines; and ~6% Edison Works.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

GE: GE Aerospace >14% Revenue CAGR to 2028 Anchored by CES at 15% and DPT 14.5%

Engines Represent ~15% of Aircraft List Price, Discounted Heavily for Installed Engines and Less So for Spares

	MAX-8	E190	767	777	787
Aircraft List Price	**$122**	**$55**	**$220**	**$350**	**$290**
Engines as % of List	15%	15%	15%	15%	15%
Implied Engines List	$18.3	$8.3	$33.0	$52.5	$43.5
Implied Per Engine List	**$9.2**	**$4.1**	**$16.5**	**$26.3**	**$21.8**
Installed Engine Disct	50%	50%	50%	50%	50%
Spare Engine Disct	20%	20%	20%	20%	20%
Installed per Engine Price	**$4.6**	**$2.1**	**$8.3**	**$13.1**	**$10.9**
Spare per Engine Price	$7.3	$3.3	$13.2	$21.0	$17.4

- 2026 Guide: GE Aerospace raised 2026 sales guidance to +High-Teens (from +LDD prior), including Commercial Services +Low-20% (from +Mid-Teens prior) and Commercial Engines expected up ~20% (from +Mid/High-Teens prior), as LEAP deliveries are now guided to up High-Teens (prior +15% y-o-y) to an implied ~2,120 units). CES +30% in H1 implies +12% in H2. Defense & Propulsion Technology growth is guided to +LDD in 2026 (from +M-HSD prior). DPT +17% in H1 implies +7% in H2. There is $1.4BB of restatement of Aeroderivatives from CES to DPT. We estimate total adj revenues of $50BB in 2026 up nearly $2BB from our April expectations or 18% organic growth. This is led by Services (+22%) and Engines (+20%) in CES (+21%) and DPT (+13%).
- 2028 Outlook: GE raised the 2028 outlook in July 2025 to +DD (from +HSD) sales growth, including Commerical Services +DD, Commercial Engines +Mid-Teens, and DPT +MSD. This is a raise of CES to +LDD (from +HSD) with DPT +MSD (unchanged). Underpinning top-line growth is L-MSD installed base growth, increasing workscopes, and MSD/LSD gross/net pricing. We estimate total adj revenues increase at an 14.5% CAGR to $60BB in 2028, with CES at a 15% CAGR and DPT at a 14% CAGR.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

GE: Commercial Engines: +Mid-Teens CAGR as LEAP and GEnx Fleets to 3X and 2X by 2030, Plus Pricing

Commercial Engine Revenue Build - 12% Revenue CAGR to 2028 (Guide +Mid-Teens) Driven by Volume and Modestly Offset by Mix

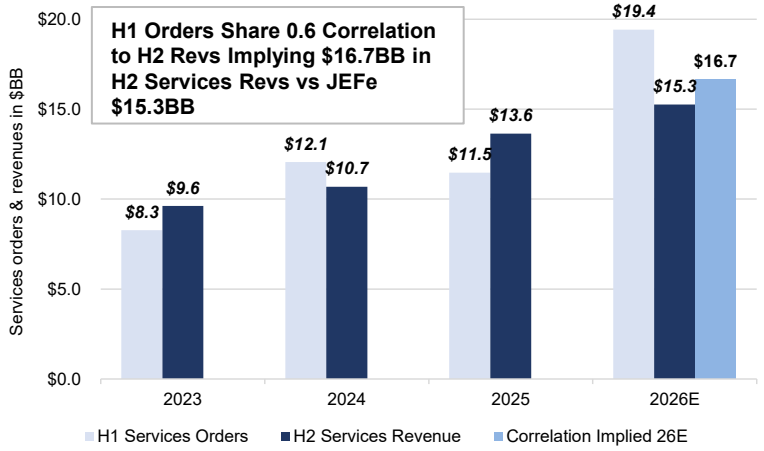
Commercial Engines & Services	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
Unit Deliveries												
LEAP	1,736	815	845	1,136	1,570	1,407	1,802	2,125	2,375	2,500	2,550	2,600
CF34	165	103	116	134	105	101	108	117	140	151	156	161
CF6	50	44	41	39	40	22	30	30	0	0	0	0
CFM56	391	157	107	60	52	60	52	40	30	20	10	10
GE90	99	57	52	52	57	44	53	44	30	24	0	0
GE9X	0	0	0	0	0	6	20	54	72	90	116	132
GEnx	272	116	57	44	61	88	123	172	194	202	222	226
Other	335	428	269	198	190	183	104	100	105	110	110	110
Commercial Engine Deliveries	**3,048**	**1,720**	**1,487**	**1,663**	**2,075**	**1,911**	**2,292**	**2,682**	**2,946**	**3,097**	**3,164**	**3,239**
% YoY Growth		*-44%*	*-14%*	*12%*	*25%*	*-8%*	*20%*	*17%*	*10%*	*5%*	*2%*	*2%*
ASP in $MM												
LEAP	$2.3	$2.3	$2.3	$2.7	$2.5	$3.2	$2.6	$2.3	$2.4	$2.5	$2.6	$2.7
CF34	$3.0	$3.0	$3.0	$3.0	$3.0	$3.0	$3.0	$3.0	$3.0	$3.0	$3.0	$3.0
CF6	$8.5	$8.5	$8.5	$8.5	$8.5	$8.5	$8.5	$8.5	$8.5	$8.5	$8.5	$8.5
CFM56	$1.9	$1.9	$1.9	$1.9	$1.9	$1.9	$1.9	$1.9	$1.9	$1.9	$1.9	$1.9
GE90	$13.0	$13.0	$13.0	$12.5	$12.5	$12.5	$12.5	$13.0	$13.0	$13.0	$13.0	$13.0
GE9X	$16.0	$16.0	$16.0	$16.0	$16.0	$16.0	$16.0	$16.0	$16.0	$16.5	$16.5	$16.5
GEnx	$12.0	$12.0	$12.0	$11.0	$11.2	$11.4	$11.5	$12.5	$12.6	$12.8	$12.9	$13.0
Revenues												
LEAP	$3,906	$1,834	$1,901	$3,067	$3,886	$4,502	$4,573	$4,888	$5,700	$6,250	$6,630	$7,020
CF34	495	309	348	402	315	303	324	351	420	453	468	483
CF6	425	374	349	332	340	187	255	255	0	0	0	0
CFM56	743	298	203	114	99	114	99	76	57	38	19	19
GE90	1,287	741	676	650	713	550	663	572	390	312	0	0
GE9X	0	0	0	0	0	96	320	864	1,152	1,485	1,914	2,178
GEnx	3,264	1,392	684	484	683	1,003	1,415	2,150	2,444	2,586	2,864	2,938
Other	(1,162)	1,354	1,204	76	134	350	51	50	53	55	55	55
Commercial Engine Sales	**$8,958**	**$6,302**	**$5,365**	**$5,125**	**$6,169**	**$7,106**	**$7,698**	**$9,206**	**$10,216**	**$11,179**	**$11,950**	**$12,693**
% YoY Growth		*-30%*	*-15%*	*-4%*	*20%*	*15%*	*8%*	*20%*	*11%*	*9%*	*7%*	*6%*
								9%				
Average ASP	**$2.94**	**$3.66**	**$3.61**	**$3.08**	**$2.97**	**$3.72**	**$3.36**	**$3.43**	**$3.47**	**$3.61**	**$3.78**	**$3.92**
Implied Other ASP	*($3.47)*	*$3.16*	*$4.48*	*$0.39*	*$0.70*	*$1.91*	*$0.49*	*$0.50*	*$0.50*	*$0.50*	*$0.50*	*$0.50*
Narrowbody+Regional	$5,144	$2,441	$2,453	$3,583	$4,300	$4,919	$4,995	$5,315	$6,177	$6,741	$7,117	$7,522
Widebody	4,976	2,507	1,709	1,466	1,736	1,836	2,652	3,841	3,986	4,383	4,778	5,116
Total	**$10,120**	**$4,948**	**$4,161**	**$5,049**	**$6,035**	**$6,756**	**$7,647**	**$9,156**	**$10,163**	**$11,124**	**$11,895**	**$12,638**

- Commercial Engine Build Assumptions:
  - Aircraft are sold at ~50% discounts to list price and the engines account for ~15% of the total value.
  - GE recognizes 50% of CFM International engine sales given non-consolidated reporting.
  - Spare engines typically represent ~10% of the installed ratio and sell closer to list price, carrying higher revenue & profit dollars.

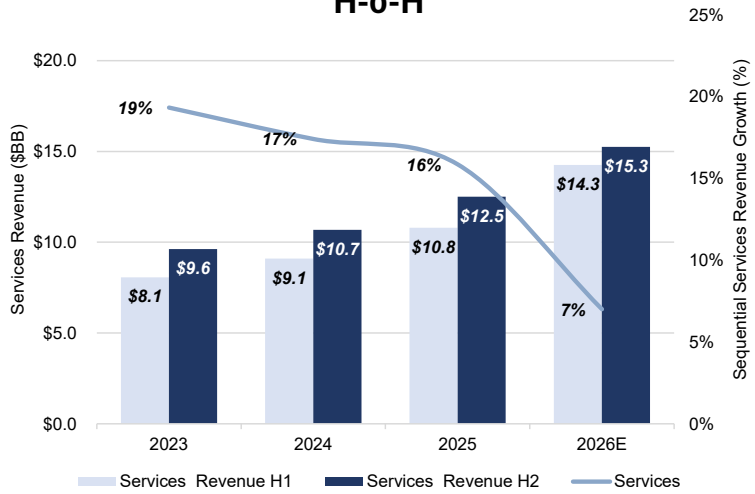
Source: Company data and Jefferies estimates

GE: Commercial Engines: +Mid-Teens CAGR as LEAP and GEnx Fleets to 3X and 2X by 2030, Plus Pricing

Services High Correlation of First-Half Orders to Second-Half Revenues Implies >$1BB Upside to JEFe, Supporting Total 2026 Growth to High-20%'s vs Guide of Low-20% and JEFe +22%



Services Revenue Growth - Historically H2 Services Revenue Has Represented 53% of FY Sales; Growing HDD% H-o-H



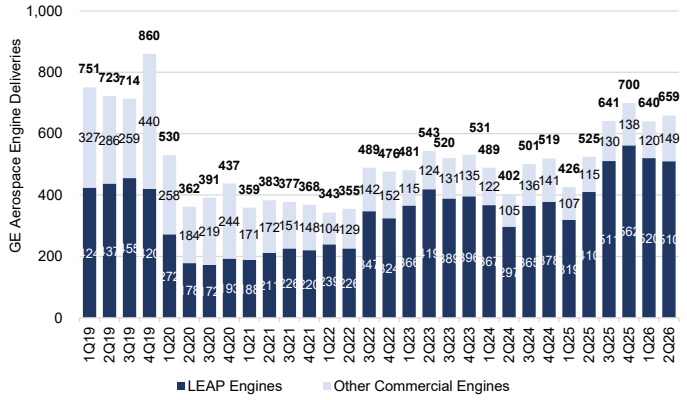
- H1 Orders Share 0.6 Correlation to H2 Revs Implying $16.7BB in H2 Services Revs vs JEFe $15.3BB: Q2:26 Services orders of $9.6BB increased 45% y-o-y for a book-to-bill of 1.3X, but declined -1% sequentially from $9.8B in Q1:26 (1.43X). H1:26 Services orders of $19.4BB point to sustained H2:26 revenue momentum, w/ GE's updated 2026 CES rev guide of +Low-20% implying H2:26 Services revenue of $15.3BB (+14% y-o-y vs H2:25) and JEFe of $15.25BB.
- We compare historic H1 Services orders to H2 Services revenues which shows a 0.59 correlation, pointing to potential $16.7BB of Services rev in H2 (+9% vs JEFe $15.3BB) or $30.9BB in 2026 (+28% y-o-y vs guided +low-20% and JEFe $29.5BB) on $19.4BB of H1:26 Services orders. Strong sustained order momentum and an RPO backlog of $170BB continues to support Services growth, w/ our 2027E of $32.9BB implying 12% y-o-y growth.

Source: Company data and Jefferies estimates

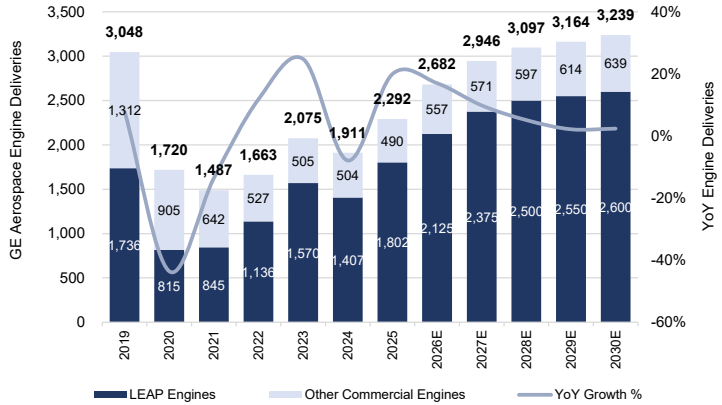
Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

GE: Commercial Engines: +Mid-Teens CAGR as LEAP and GEnx Fleets to 3X and 2X by 2030, Plus Pricing

Quarterly GE/CFM Engine Sales - Output Increased 26% Y-o-Y and +3% Sequentially in Q2:26, with LEAP +24%/-2%, Respectively



Annual GE/CFM Engine Deliveries - LEAP Ramp Re-Accelerates to 2,125 in 2026E with Another +12% Growth to ~2,375 in 2027E



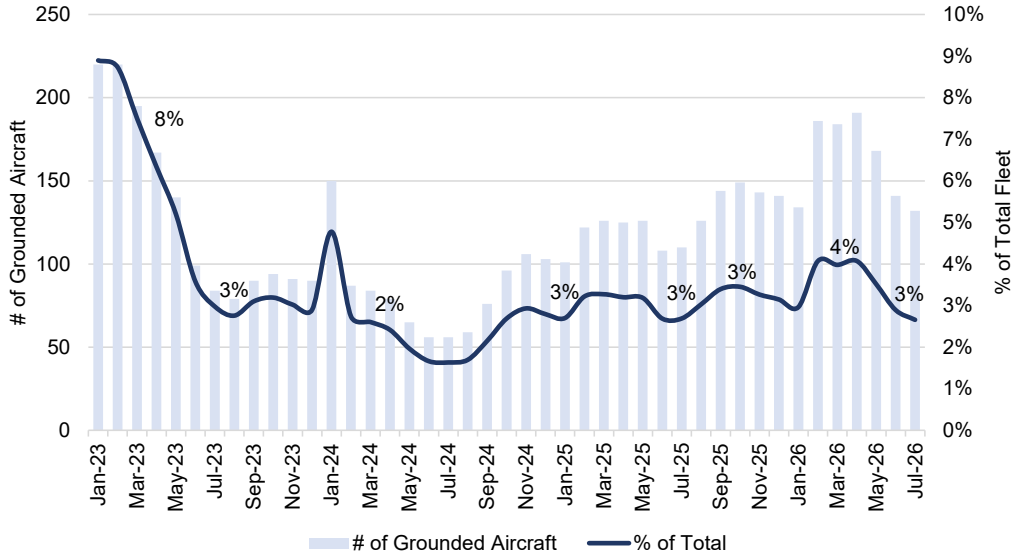
- LEAPs Up ~18% in 2026 to >2K Units. In Q2, GE delivered 510 LEAPs, compared to 410 in Q2:25 (+24% y-o-y) and 520 in Q1:26 (-2% sequentially). 2025 LEAP deliveries of 1,802 increased 28% y-o-y, with 2026 LEAP deliveries guided to up high-teens (from +15% prior) to an implied ~2,120 units (vs JEFe 2,125 units). The spares-to-install ratio is expected to decline through 2026 as it has run high in recent years at low-DD. Safran guided LEAP units to ~2,000 in '26 before reaching ~2,500 in 2028.
- In Q2, total engine deliveries of 659 compared to 525 in Q2:25 (+26% y-o-y) and 640 in Q1:26 (+3% sequentially). 2025 units of 2,386 increased 25% y-o-y.
- Annual Build Still Below 2019 Levels. In 2019, GE Aerospace sold 2,863 commercial engines (or 3,048, including business aviation and aeroderivatives), including 1,736 LEAPs (+55% y-o-y), representing an average quarterly LEAP build of 434 engines with prior peak production of 455 in Q3:19. For 2026, we estimate 2,685 engine units, up 17% y-o-y but still 12% below 2019 levels. JEF estimates engine units will exceed 3,000 by 2028.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

GE: Commercial Engines: +Mid-Teens CAGR as LEAP and GEnx Fleets to 3X and 2X by 2030, Plus Pricing

LEAP Parked Fleet Increased to 4% in March with Start of Iran War and Has Remained Steady Around 3% In June & July



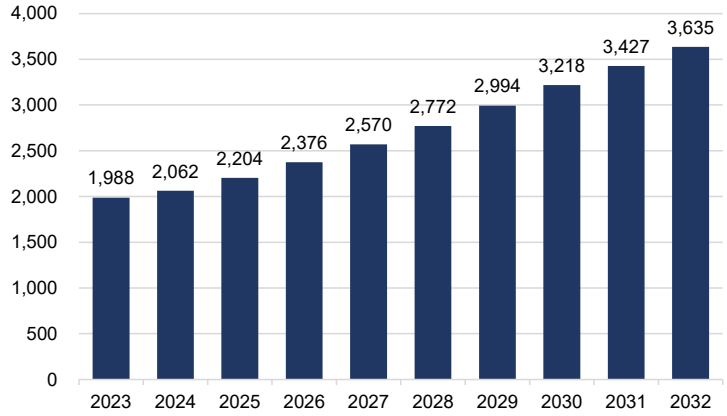
- LEAP-1B Durability Kit Certified. GE completed certification of the LEAP-1B durability kit in Q2:26, including the upgraded HPT blade expected to approx. double time-on-wing and bring performance in line with the CFM56. GE will work through industrialization during H2:26 ahead of a full aftermarket and new production cutover in early 2027.
- Retrofits will occur primarily as engines reach scheduled shop visits rather than pulling removals forward, with expectations for the LEAP-1A and LEAP 1-B fleets to be fully retrofit in the early 2030s. More than 40% of the LEAP-1A has the durability kit installed and near-term operations are improving as broader LEAP turnaround times declined by more than 2 wks y-o-y to approx. 100 days, with LEAP AOGs declining from 4% at the end of Q1:26 and the start of the Iran War to 3% now, well below 8% peaks despite a meaningfully larger installed fleet of ~5K aircraft.

Source: Company data and Jefferies estimates

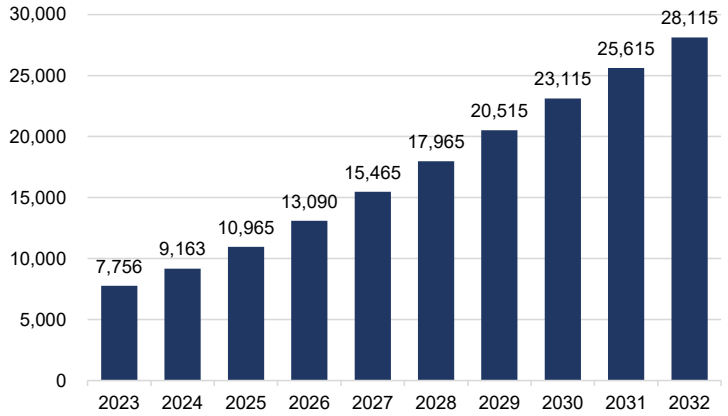
Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

GE: Commercial Engines: +Mid-Teens CAGR as LEAP and GEnx Fleets to 3X and 2X by 2030, Plus Pricing

LEAP Installed Fleet - JEFe 17% CAGR from 2024 2030 Despite Modest Underbuild to CFM Targets



GEnx Installed Fleet - JEFe 8% CAGR from 2024-2030, Low Relative to GE's LDD CAGR on 787 Build Despite Assuming ~80% Share



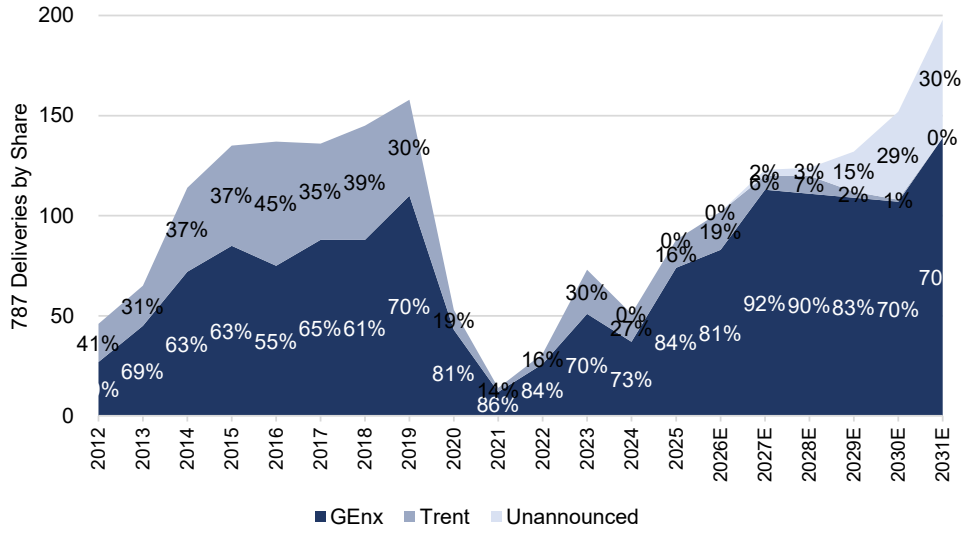
- Installed Base Growth: GE expects the commercial installed base of engines of 49K engines today to increase at a L-MSD CAGR to 2028, driven by the GEnx fleet expected to ~2X by 2030 and the LEAP fleet expected to ~3X by 2030.
- JEF estimates the GEnx fleet expands at an 8% CAGR from 2.1K at the end of 2024 to 3.2K in 2030, or 1.6X growth, based on 75-80% market share on the 787 production at 10/mo (2028E), both of which may be conservative given the existing order book share of 85% to the end of the decade and still 14% undecided, along with the widebody demand backdrop.
- JEF estimates the LEAP fleet expands at a 17% CAGR from 9.2K at the end of 2024 to 23.1K in 2030, or 2.5X growth. Our annual production estimates are inline to Safran's targets of 2,000 in 2026 (JEFe 2,125) and 2,500 in 2028 (JEFe 2,500). In 2028, our estimate assumes 737 MAX production at 49/mo and 50% share of A320neo production at 75/mo, which compares to 57% share of the existing fleet and 50% share of the order book and still 20% undecided.

Source: Company data and Jefferies estimates

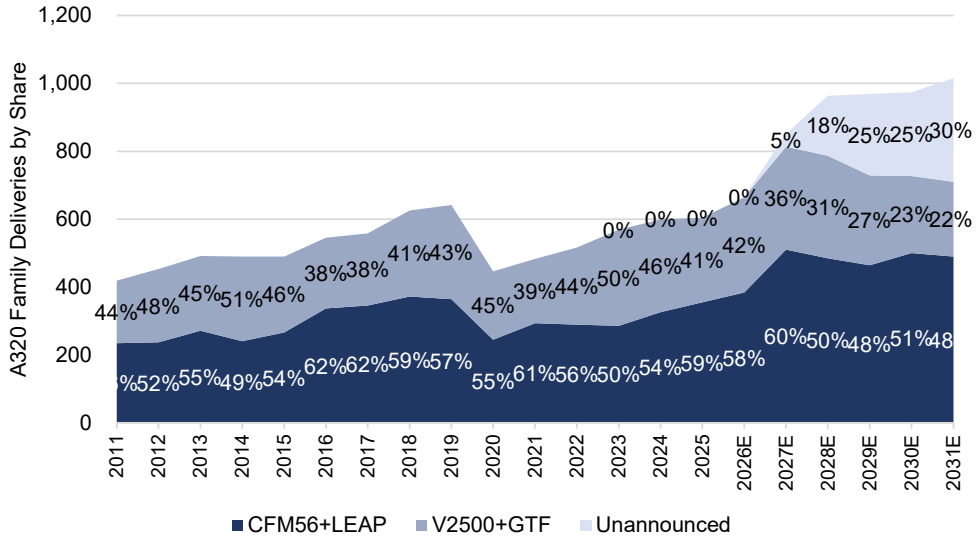
Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

GE: Commercial Engines: +Mid-Teens CAGR as LEAP and GEnx Fleets to 3X and 2X by 2030, Plus Pricing

787 Delivery Skyline by Engine - GEnx Powers 80% of Existing 787 Fleet w/ ~80% Share of Order Book vs. ~5% Trent and 15% Undecided



A320neo Family Delivery Skyline by Engine - LEAP Powers 57% of Existing A320neo Fleet w/ 52% Share of Order Book vs. 29% GTF and 19% Undecided



Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

GE: Commercial Services: +DD CAGR to 2028 with NB +LDD and WB +HSD to 2030

Commercial Services Revenue Build - ~14% Revenue CAGR to 2028 (Guide +DD) Driven by 11pts of Volume/Scope and 3pts of Gross Pricing

Engine Installed Base	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
CFM56	23,370	23,082	22,788	22,330	21,870	21,488	21,102	20,678	20,191	19,656	19,076	18,475
LEAP	3,390	4,205	5,050	6,186	7,756	9,163	10,965	13,090	15,465	17,965	20,515	23,115
CF34	6,036	6,062	6,082	6,078	5,906	5,816	5,734	5,659	5,571	5,500	5,420	5,347
GEnx	1,662	1,768	1,820	1,882	1,988	2,062	2,204	2,376	2,570	2,772	2,994	3,218
GE90	2,388	2,416	2,430	2,466	2,496	2,510	2,548	2,544	2,526	2,492	2,424	2,348
GE9X	0	0	0	0	0	6	26	80	152	242	358	490
CF6	3,176	3,114	3,060	3,052	2,996	2,904	2,870	2,781	2,662	2,541	2,421	2,299
GP7200	520	512	508	496	480	452	432	382	332	282	232	182
Total GE Engines	**40,542**	**41,159**	**41,738**	**42,490**	**43,492**	**44,401**	**45,881**	**47,590**	**49,469**	**51,449**	**53,440**	**55,475**
% YoY Growth		*1.5%*	*1.4%*	*1.8%*	*2.4%*	*2.1%*	*3.3%*	*3.7%*	*3.9%*	*4.0%*	*3.9%*	*3.8%*

Annual Deliveries	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
CFM56	391	157	107	60	52	60	52	40	30	20	10	10
LEAP	1,736	815	845	1,136	1,570	1,407	1,802	2,125	2,375	2,500	2,550	2,600
CF34	220	103	116	134	105	101	108	117	140	151	156	161
GEnx	268	117	53	79	61	88	123	172	194	202	222	226
GE90	97	57	52	52	57	44	53	44	30	24	0	0
GE9X						6	20	54	72	90	116	132
CF6	51	44	42	40	40	22	30	30	0	0	0	0
GP7200	0	0	0	0	0	0	0	0	0	0	0	0
Other	285	427	272	162	190	183	104	100	105	110	110	110
Total GE Deliveries	**3,048**	**1,720**	**1,487**	**1,663**	**2,075**	**1,911**	**2,292**	**2,682**	**2,946**	**3,097**	**3,164**	**3,239**
% of Starting Fleet	*7.9%*	*4.2%*	*3.6%*	*4.0%*	*4.9%*	*4.4%*	*5.2%*	*5.8%*	*6.2%*	*6.3%*	*6.1%*	*6.1%*

Retirements	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
CFM56	(499)	(445)	(401)	(518)	(512)	(442)	(438)	(464)	(517)	(555)	(590)	(610)
LEAP	0	0	0	0	0	0	0	0	0	0	0	0
CF34	(126)	(77)	(96)	(138)	(277)	(191)	(190)	(192)	(228)	(223)	(235)	(234)
GEnx	0	0	0	0	0	0	0	0	0	0	0	(2)
GE90	(23)	(29)	(38)	(16)	(27)	(30)	(35)	(48)	(48)	(58)	(68)	(76)
GE9X						0	0	0	0	0	0	0
CF6	(75)	(106)	(96)	(48)	(96)	(114)	(64)	(119)	(119)	(121)	(120)	(122)
GP7200	0	(8)	(4)	(12)	(16)	(28)	(20)	(50)	(50)	(50)	(50)	(50)
Total GE Retirements	**(723)**	**(665)**	**(635)**	**(732)**	**(928)**	**(805)**	**(747)**	**(873)**	**(962)**	**(1,007)**	**(1,063)**	**(1,094)**
% of Starting Fleet	*1.9%*	*1.6%*	*1.5%*	*1.8%*	*2.2%*	*1.9%*	*1.7%*	*1.9%*	*2.0%*	*2.0%*	*2.1%*	*2.0%*

Services Revenue	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
CFM56	$7,032	$4,233	$4,584	$5,979	$6,655	$8,079	$9,144	$9,882	$11,027	$11,902	$12,265	$12,342
LEAP	459	280	434	815	1,521	1,999	3,400	6,745	8,325	9,039	10,156	12,093
CF34	1,990	870	834	954	1,255	1,124	1,204	1,272	1,226	1,200	1,092	968
GEnx	845	718	840	1,651	2,153	2,352	2,650	3,060	3,124	3,405	3,998	4,000
GE90/9X	2,664	1,204	1,316	2,302	2,986	3,141	4,030	4,596	5,232	6,101	6,176	6,830
CF6	1,414	635	889	1,279	1,665	1,544	1,417	1,412	1,435	1,455	1,411	1,268
GP7200	455	150	248	237	269	222	355	320	253	169	108	0
Other	400	88	(150)	471	1,183	1,314	2,050	2,214	2,325	2,441	2,564	2,692
Total Services Revenue	**$15,259**	**$8,177**	**$8,995**	**$13,688**	**$17,686**	**$19,775**	**$24,250**	**$29,501**	**$32,948**	**$35,713**	**$37,769**	**$40,193**
% YoY Growth		*-46%*	*10%*	*52%*	*29%*	*12%*	*23%*	*22%*	*12%*	*8%*	*6%*	*6%*
% vs. 2019		*54%*	*59%*	*90%*	*116%*	*130%*	*159%*	*193%*	*216%*	*234%*	*248%*	*263%*
Commercial Services	$15,259	$8,177	$8,995	$13,688	$17,686	$19,775	$24,250	$29,501	$32,948	$35,713	$37,769	$40,193
Growth %		-46%	10%	52%	29%	12%	23%	22%	12%	8%	6%	6%

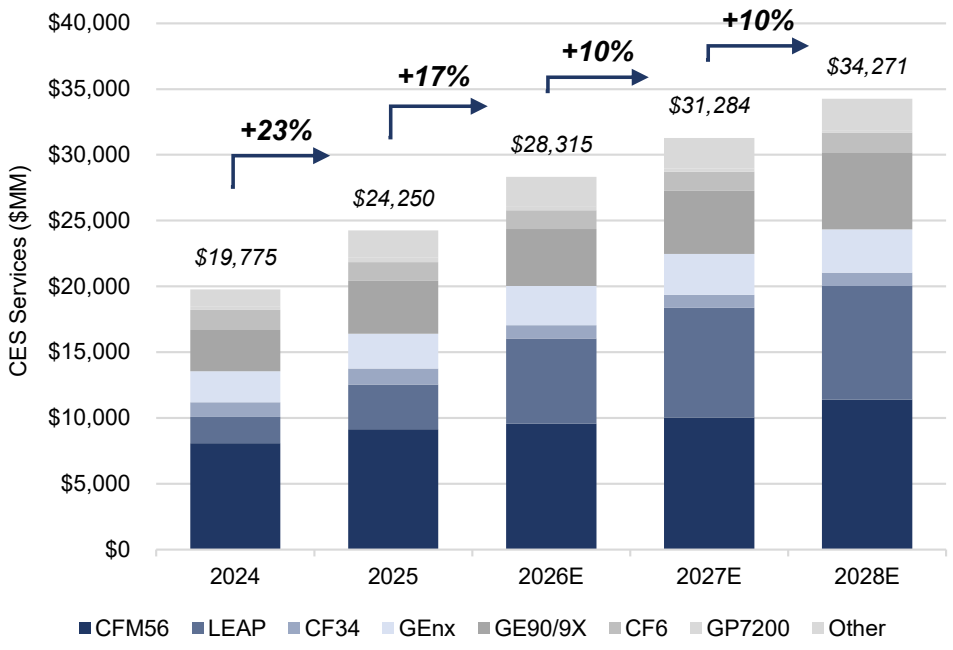
- Q2 & 2026 Guide: Commercial Services revenues increased 26% y-o-y in Q2 to $7.4BB on internal shop visit revenues +25% (60% of mix) and spare parts increasing >25% (40% of mix). 2025 revenues increased 26% y-o-y on ISV revenues +24% and spare parts >25%, with GE raising the 2026 guidance to +Low 20s (from +Mid-Teens) on ISVs and spares, both +Low 20s combined with engine removals, higher work scopes, and price.
- JEF estimates $29.5BB in Services revenue in 2026, up 22% y-o-y on 4% installed base growth with ISVs and spare sales each >+20%
- In aggregate, Narrowbody Services are expected to ~2X from ~$10BB in 2024 to ~$20BB in 2030 (JEFe $20.9B at 20% CAGR vs +LDD guide) and Widebody Services are expected to ~1.5X from ~$7BB in 2024 to ~$10.5BB (JEFe $12.1BB at 11% CAGR vs +HSD guide). In 2030, JEF estimates Commercial Services revenues of $40BB at a 11% CAGR from 2024, which assumes only MSD growth in '30.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

GE: Commercial Services: +DD CAGR to 2028 with NB +LDD and WB +HSD to 2030

CES Services Expand at 15% CAGR on JEFe (Guide +DD) with LEAP Contributing >60% of Growth to Nearly $10BB Incremental Revenues



- Q2 & 2026 Guide: Commercial Services revenues increased 26% y-o-y in Q2 to $7.4BB on internal shop visit revenues +25% (60% of mix) and spare parts increasing >25% (40% of mix). 2025 revenues increased 26% y-o-y on ISV revenues +24% and spare parts >25%, with GE raising the 2026 guidance to +Low 20s (from +Mid-Teens) on ISVs and spares, both +Low 20s combined with engine removals, higher work scopes, and price.
- JEF estimates $29.5BB in Services revenue in 2026, up 22% y-o-y on 4% installed base growth with ISVs and spare sales each >+20%
- 2028 Outlook: The 2028 outlook assumes +DD CAGR for Commercial Services, with JEF estimates of a 14% revenue CAGR to $34BB in 2028 based on our engine-level NPV model. The formula assumes L-MSD installed base growth, increasing workscopes, particularly on widebodies of 25%+, and MSD/LSD gross/net catalog price increases after discounts & caps. There is also runway from pent-up demand, with 2025 shop visit volumes still below 2019 levels of 5.4K, despite air traffic pacing 10pts ahead of 2019.
- In aggregate, Narrowbody Services are expected to ~2X from ~$10BB in 2024 to ~$20BB in 2030 (JEFe $20.9B at 20% CAGR vs +LDD guide) and Widebody Services are expected to ~1.5X from ~$7BB in 2024 to ~$10.5BB (JEFe $12.1BB at 11% CAGR vs +HSD guide). In 2030, JEF estimates Commercial Services revenues of $40BB at a 11% CAGR from 2024, which assumes only MSD growth in '30.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

GE: Commercial Services: +DD CAGR to 2028 with NB +LDD and WB +HSD to 2030

Commercial Services Revenue Build - ~14% Revenue CAGR to 2028 (Guide +DD)
Driven by 11pts of Volume/Scope and 3pts of Gross Pricing

Engine Installed Base	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
CFM56	23,370	23,082	22,788	22,330	21,870	21,488	21,102	20,678	20,191	19,656	19,076	18,475
LEAP	3,390	4,205	5,050	6,186	7,756	9,163	10,965	13,065	15,365	17,865	20,415	23,015
CF34	6,036	6,062	6,082	6,078	5,906	5,816	5,734	5,667	5,589	5,523	5,443	5,365
GEnx	1,662	1,768	1,820	1,882	1,988	2,062	2,204	2,376	2,570	2,772	2,994	3,218
GE90	2,388	2,416	2,430	2,466	2,496	2,510	2,548	2,544	2,526	2,492	2,424	2,348
GE9X	0	0	0	0	0	6	26	80	152	242	358	490
CF6	3,176	3,114	3,060	3,052	2,996	2,904	2,870	2,781	2,662	2,541	2,421	2,299
GP7200	520	512	508	496	480	452	432	382	332	282	232	182
Total GE Engines	**40,542**	**41,159**	**41,738**	**42,490**	**43,492**	**44,401**	**45,881**	**47,573**	**49,387**	**51,372**	**53,363**	**55,393**
% YoY Growth		*1.5%*	*1.4%*	*1.8%*	*2.4%*	*2.1%*	*3.3%*	*3.7%*	*3.8%*	*4.0%*	*3.9%*	*3.8%*

Annual Deliveries	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
CFM56	391	157	107	60	52	60	52	40	30	20	10	10
LEAP	1,736	815	845	1,136	1,570	1,407	1,802	2,100	2,300	2,500	2,550	2,600
CF34	220	107	83	112	107	101	112	125	150	156	156	156
GEnx	268	117	53	79	61	88	131	172	194	202	222	226
GE90	97	57	52	52	57	44	53	44	30	24	0	0
GE9X						6	20	54	72	90	116	132
CF6	51	44	42	40	40	22	30	30	0	0	0	0
GP7200	0	0	0	0	0	0	0	0	0	0	0	0
Other	285	423	305	184	188	183	92	100	105	110	115	120
Total GE Deliveries	**3,048**	**1,720**	**1,487**	**1,663**	**2,075**	**1,911**	**2,292**	**2,665**	**2,881**	**3,102**	**3,169**	**3,244**
% of Starting Fleet	*7.9%*	*4.2%*	*3.6%*	*4.0%*	*4.9%*	*4.4%*	*5.2%*	*5.8%*	*6.1%*	*6.3%*	*6.2%*	*6.1%*

Retirements	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
CFM56	(499)	(445)	(401)	(518)	(512)	(442)	(438)	(464)	(517)	(555)	(590)	(610)
LEAP	0	0	0	0	0	0	0	0	0	0	0	0
CF34	(126)	(81)	(63)	(116)	(279)	(191)	(194)	(192)	(228)	(223)	(235)	(234)
GEnx	0	0	0	0	0	0	0	0	0	0	0	(2)
GE90	(23)	(29)	(38)	(16)	(27)	(30)	(35)	(48)	(48)	(58)	(68)	(76)
GE9X						0	0	0	0	0	0	0
CF6	(75)	(106)	(96)	(48)	(96)	(114)	(64)	(119)	(119)	(121)	(120)	(122)
GP7200	0	(8)	(4)	(12)	(16)	(28)	(20)	(50)	(50)	(50)	(50)	(50)
Total GE Retirements	**(723)**	**(669)**	**(602)**	**(710)**	**(930)**	**(805)**	**(751)**	**(873)**	**(962)**	**(1,007)**	**(1,063)**	**(1,094)**
% of Starting Fleet	*1.9%*	*1.7%*	*1.5%*	*1.7%*	*2.2%*	*1.9%*	*1.7%*	*1.9%*	*2.0%*	*2.0%*	*2.1%*	*2.1%*

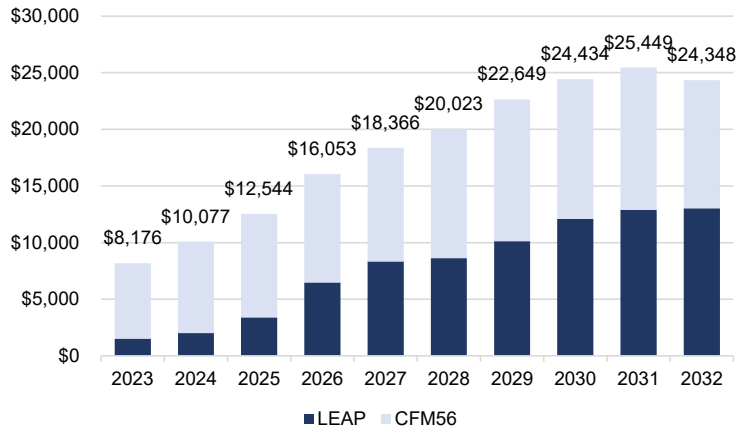
Services Revenue	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
CFM56	$7,032	$4,233	$4,584	$5,979	$6,655	$8,079	$9,144	$9,566	$10,041	$11,403	$12,535	$12,342
LEAP	459	280	434	815	1,521	1,999	3,400	6,486	8,325	8,620	10,114	12,093
CF34	1,990	870	834	956	1,238	1,113	1,205	1,003	983	1,023	998	996
GEnx	845	718	840	1,651	2,153	2,352	2,650	2,989	3,124	3,293	3,747	4,000
GE90/9X	2,664	1,204	1,316	2,302	2,986	3,141	4,030	4,326	4,799	5,868	6,176	6,634
CF6	1,414	635	889	1,279	1,665	1,544	1,417	1,412	1,435	1,455	1,411	1,268
GP7200	455	150	248	237	269	222	355	320	253	169	108	0
Other	400	88	(150)	469	1,199	1,325	2,049	2,213	2,324	2,440	2,562	2,690
Total Services Revenue	**$15,259**	**$8,177**	**$8,995**	**$13,688**	**$17,686**	**$19,775**	**$24,250**	**$28,315**	**$31,284**	**$34,271**	**$37,651**	**$40,023**
% YoY Growth		*-46%*	*10%*	*52%*	*29%*	*12%*	*23%*	*17%*	*10%*	*10%*	*10%*	*6%*
% vs. 2019		*54%*	*59%*	*90%*	*116%*	*130%*	*159%*	*186%*	*205%*	*225%*	*247%*	*262%*

Source: Company data and Jefferies estimates

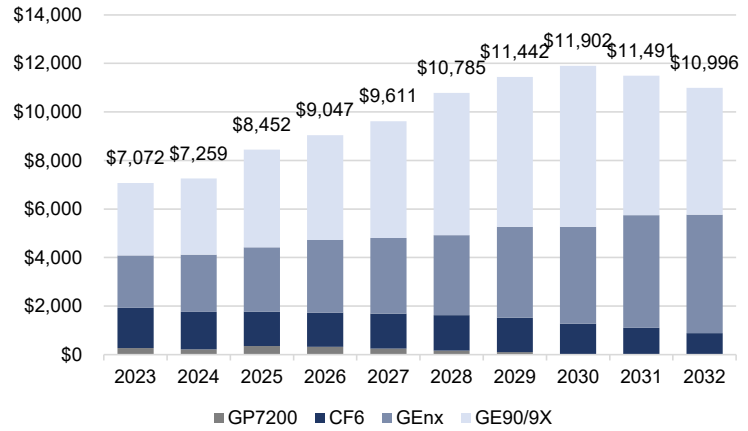
Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

GE: Commercial Services: +DD CAGR to 2028 with NB +LDD and WB +HSD to 2030

Narrowbody Engine Services Revenues Increase at 20% CAGR to 2028 and 16% CAGR to 2030 (Guide +LDD) with CFM56 SV Peak & Plateau in '25-28 & Upside, LEAP Overhauls at 35% CAGR to 2030



Widebody Engine Services Revenues Increase at 11% CAGR to 2028 and 9% CAGR to 2030 (Guide +HSD vs +MSD Prior), Driven by GEnx Installed Fleet Growth and 25%+ Increases in Workscopes



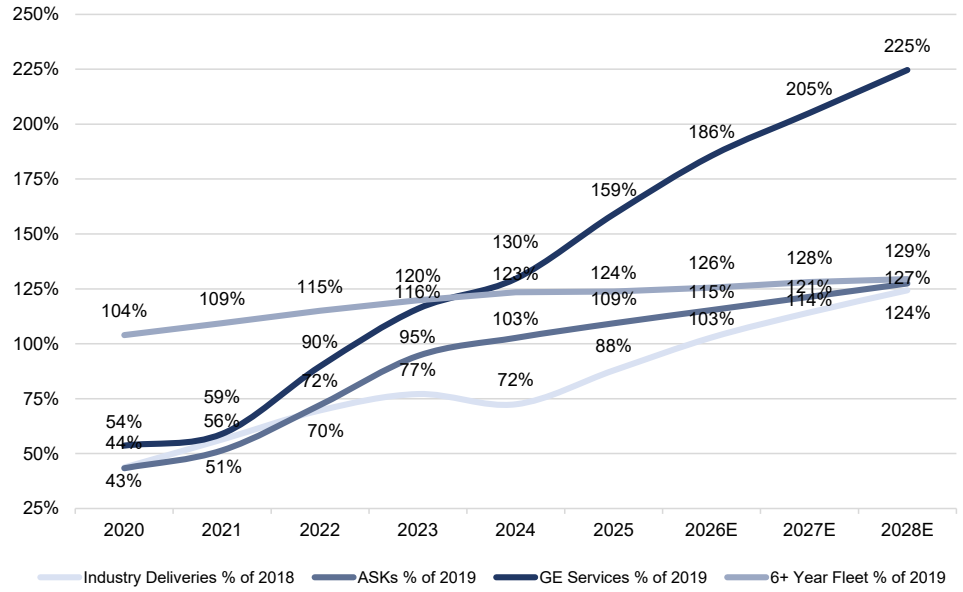
- By Services channel, CSAs account for 40% of revenues, Time & Material shop visits account for 20%, and Spare Parts account for the remaining 40%.
- Maintenance intervals are driven by: 1) utilization; 2) cycles; and 3) temperatures. The four types of shop visits include:
  - Quick Turns at 0-5 Years: targeted proactive planned maintenance early after EIS
  - Shop Visit 1 at 5-10 Years: full hot section restoration (NB compressor, combustor & HPT; WB combustor & HPT); often CSAs with some T&M or external
  - Shop Visit 2 at 10-15 Years: blades & vanes (NB LPT, light work in compressor & combustor; WB compressor, combustor & HPT); mix of CSA, T&M, or external
  - Shop Visit 3 at 15-20 Years: full engine restoration (NB fan, compressor, combustor & HPT; WB fan, combustor & HPT, and LPT); mostly T&M or external

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

GE: Commercial Services: +DD CAGR to 2028 with NB +LDD and WB +HSD to 2030

CES Services at 159% of 2019 Levels in 2025, Compared to ASKs at 109% and Pax Deliveries of 88%



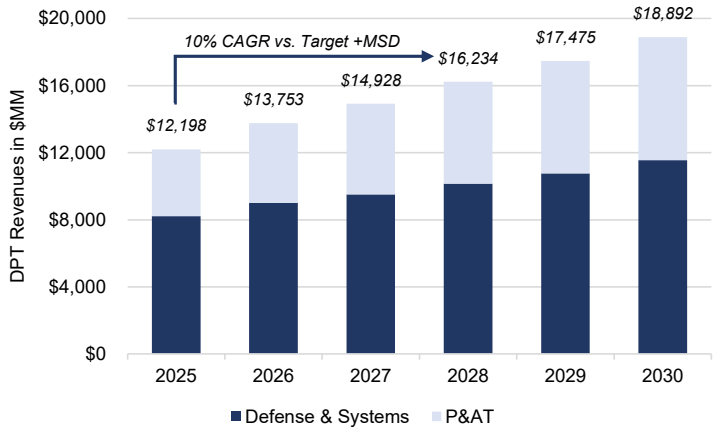
- Narrowbody Services totaled ~$12.5BB in 2025 or 50% of mix, with the outlook for a +LDD CAGR to 2030, or ~2X revenues, with JEFe at $24.4BB in 2030 (2.5X).
- JEF estimates Narrowbody Services at a 20% CAGR to 2028 (2028 outlook assumes 15% higher Services vs prior) and 16% CAGR to 2030 (guide +LDD), with LEAP Services in line with CFM56 in 2030 and continuing to grow beyond.
- JEF estimates Widebody Services at a 11% CAGR to 2028 and 9% CAGR to 2030 (guide +HSD), with the benefit of revenue per shop visit workscopes increasing by 25%+.

Source: Company data and Jefferies estimates

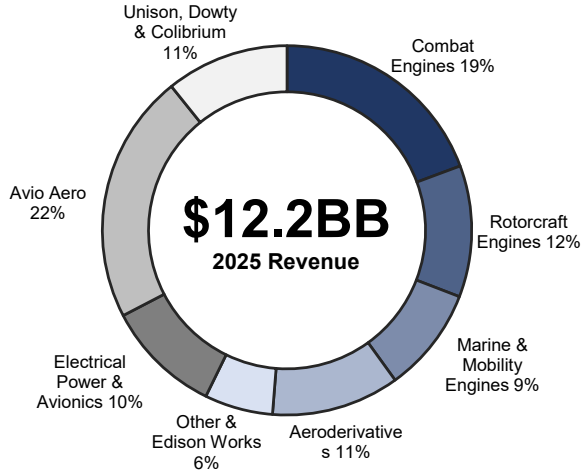
Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

GE: Defense and Propulsion Technologies (DPT): +MSD CAGR to 2028 Providing Combat & Helicopter Propulsion

DPT Revenues - 10% CAGR From Restated 2025 to 2028 Compared to Prior Investor Day Target of +MSD CAGR



DPT's $12BB of Diversified Revenue with Avio Aero and Combat Engines at ~20% Each, Followed by ~10% Splits for the Remaining Six Markets



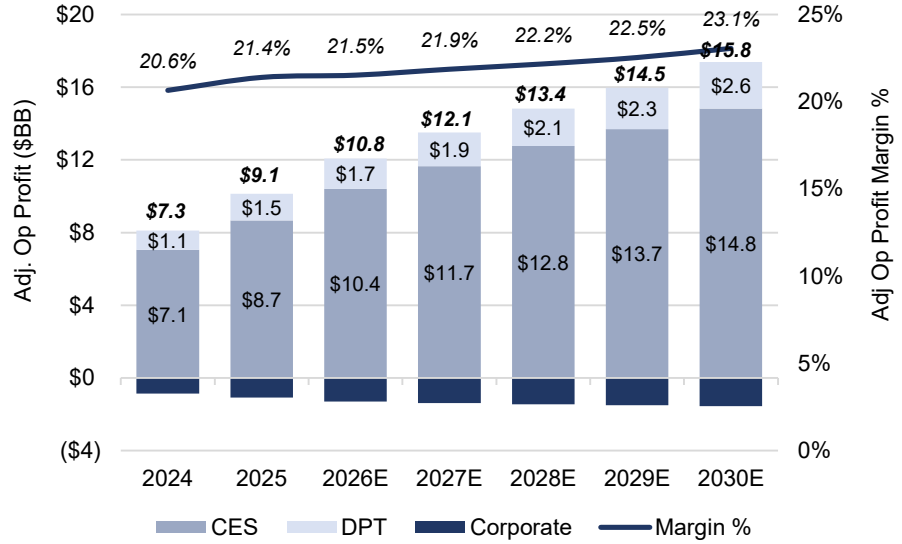
- Q2 & 2026 Guide: DPT revenues increased 16% y-o-y in Q2 to $3.4BB as Defense & Systems increased 12% as with growth in both services and equipment with units +7% y-o-y. P&AT increased 23% on growth across the portfolio led by Avio Aero. Equipment increased 19% (51% of Q1 mix) vs Services up 13% (49%).
- In 2025, DPT revenues increased 11% y-o-y with Equipment +22% and Services +3%.
- Q2 orders of $4.1BB increased 12% y-o-y, after 2025 orders of $13.4BB up 19%, for a book-to-bill of 1.2X. RPOs increased $636MM sequentially to $30.7BB including $22.5BB of Equipment and $8.2BB of Services, up from a combined $25.9BB at the end of 2025.
- GE raised 2026 guidance to +LDD from +M-HSD on a restated base of $12.2BB. JEF estimates $13.8BB in DPT revenue in 2026, up 13% y-o-y, with D&S +10% to $9.0BB (65% of mix) on engine deliveries +4% to 755 vs 729 in 2025, and P&AT +19% to $4.8BB (35% of mix).

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

GE: Upside to GE's $11.5BB in 2028 Operating Profits from Services Margins & GE9X Losses with JEFe $13.5BB - up another $500MM since Q1 or 4%

Adj Operating Profit Expands at 16% CAGR to $13BB in 2028 vs. GE Target of $11.5BB; Margins of 22.4% vs. GE Target of >21%



- Q2 & 2026 Guide: Adj operating profit totaled $2.7BB in Q2 (+18% y-o-y) for an operating margin of 21.7%, -130 bps y-o-y. CES contributed $2.66BB (+20% y-o-y) at 27.3% margins (-160 bps y-o-y), DPT contributed $475MM (+18% y-o-y) for 13.8% margins (+30 bps y-o-y), and Corporate costs totaled $386MM.
- GE reiterated the 2026 operating profit guide at $9.85-10.25BB, +9-11% y-o-y. This is driven by:
  - CES of $10.25-10.35BB up 18-20% y-o-y implying ~27% margins vs 27.1% in 2025 restated
  - DPT of $1.6-1.7B up 9-16% y-o-y implying margins of ~12% vs 12% in 2025 restated.
  - Corporate expenses to $1.2-1.3BB vs to $1BB in 2025

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

GE: Upside to GE's $11.5BB in 2028 Operating Profits from Services Margins & GE9X Losses with JEFe $13.5BB - up another $500MM since Q1 or 4%

Operating Profit Bridge - Volume, Mix & Productivity Contribute $4BB from '25 to '28 (Guide ~$3BB) with Price-Cost Largely Offset by Investments, Driving JEFe 2028 EBIT of $13BB vs. Target of $11.5BB

	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
Segment EBIT								
Starting Segment EBIT		**$6,551**	**$8,116**	**$10,129**	**$12,075**	**$13,510**	**$14,825**	**$15,969**
Volume		816	1,671	1,656	1,428	1,457	1,182	1,407
Commercial Services		748	1,222	1,688	1,308	1,148	899	1,116
Commercial Engines		2	(139)	(267)	(60)	89	69	31
Defense & Systems		33	527	157	113	154	150	198
Propulsion & Additive Technologies		34	61	77	66	67	64	62
Price-Cost		1,064	888	758	602	476	512	527
Research & Development		(281)	(301)	(311)	(252)	(250)	(152)	(179)
SG&A, Restructuring & Other		(260)	(199)	(159)	(349)	(373)	(401)	(349)
M&A		0	0	0	0	0	0	0
Productivity & Other		226	(47)	3	6	5	4	4
End Segment EBIT	**$6,551**	**$8,116**	**$10,129**	**$12,075**	**$13,510**	**$14,825**	**$15,969**	**$17,380**
% Margin	*20.5%*	*23.1%*	*23.9%*	*24.1%*	*24.3%*	*24.6%*	*24.9%*	*25.3%*
Corporate	($990)	($864)	($1,074)	($1,300)	($1,375)	($1,450)	($1,500)	($1,550)
Total Adj. EBIT	**$5,561**	**$7,252**	**$9,055**	**$10,775**	**$12,135**	**$13,375**	**$14,469**	**$15,830**
% Margin	*17.4%*	*20.6%*	*21.4%*	*21.5%*	*21.9%*	*22.2%*	*22.5%*	*23.1%*
Incrementals								
Commercial Services		36%	27%	32%	38%	41%	44%	46%
Commercial Engines		0%	-23%	-18%	-6%	9%	9%	4%
Defense & Systems		18%	25%	20%	22%	24%	25%	25%
Propulsion & Additive Technologies		10%	10%	10%	10%	10%	10%	10%
Pricing		3.3%	2.5%	1.8%	1.2%	0.9%	0.8%	0.8%
Productivity		0.7%	-0.1%	0.0%	0.0%	0.0%	0.0%	0.0%

- In the bridge from 2025 to 2028, JEF estimates $4.5BB from volume, mix & productivity (guide ~$3BB), $1.8BB from price-cost (guide ~$500MM), and a $800MM headwind from R&D investments (guide ~$500MM). As a result, JEFe 2028 operating profit of $13.4BB is ahead of the 2028 outlook for $11.5BB.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

GE: 100%+ FCF Conversion and Sub-1X Balance Sheet Creates Firepower to Support Shares

FCF Reiterated at ~100% Conversion to 2028 with Additional Opportunity in Working Capital from Trapped Inventory & Progress Collections; JEFe Repos/Divis >100% of FCF to '28

Free Cash Flow	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
Net Income	**$3,241**	**$5,035**	**$6,812**	**$7,855**	**$8,913**	**$9,971**	**$11,039**	**$11,900**
Depreciation & Amortization	797	834	863	909	955	1,008	1,072	1,123
NWC	420	(697)	(470)	(462)	(895)	(1,060)	(1,147)	(866)
AD&A	($200)	($200)	($200)	($200)	($200)	($200)	($200)	($200)
Long-Term Care/Pension/Other	$931	($262)	$1,532	$1,750	$2,061	$2,374	$2,690	$2,950
Operating Cash Flow	**$5,189**	**$4,710**	**$8,537**	**$9,851**	**$10,834**	**$12,093**	**$13,454**	**$14,907**
Capex	(862)	(1,032)	(1,273)	(1,490)	(1,600)	(1,741)	(1,870)	(1,977)
Other Adjustments	417	2,525	430	0	0	0	0	0
Adj. Free Cash Flow	**$4,744**	**$6,203**	**$7,694**	**$8,361**	**$9,234**	**$10,351**	**$11,584**	**$12,930**
Adj. FCF per Share	*$4.32*	*$5.67*	*$7.20*	*$7.98*	*$8.96*	*$10.23*	*$11.65*	*$13.26*
Deployment								
Dividends (Common & Preferred)	(589)	(1,008)	(1,452)	(1,936)	(2,279)	(2,684)	(3,029)	(3,416)
Share Repurchases	(1,233)	(5,827)	(7,551)	(7,250)	(8,000)	(8,250)	(8,500)	(9,000)
Debt (Paydown) Issuance	(3,353)	(786)	199	(218)	0	0	0	0
Acquisitions / Divestitures	(41)	364	(360)	0	0	0	0	0
Total Deployment	**($5,216)**	**($7,257)**	**($9,164)**	**($9,404)**	**($10,279)**	**($10,934)**	**($11,529)**	**($12,416)**
Discretionary FCF	**($472)**	**($1,054)**	**($1,470)**	**($1,042)**	**($1,046)**	**($583)**	**$54**	**$515**
Ratios								
FCF to NI Conversion	146%	123%	113%	106%	104%	104%	105%	109%
FCF Yield (FCF / Mkt Cap)	1.5%	1.9%	2.4%	2.6%	2.9%	3.2%	3.6%	4.0%
FCF YoY % Change	55%	31%	24%	9%	10%	12%	12%	12%
Discretionary FCF Yield	-0.1%	-0.3%	-0.5%	-0.3%	-0.3%	-0.2%	0.0%	0.2%
Dividend as % of NI	18%	20%	21%	25%	26%	27%	27%	29%
Common Dividend Yield	0.2%	0.3%	0.5%	0.6%	0.7%	0.8%	0.9%	1.1%
Share Repos as % of Mkt Cap	0%	2%	2%	2%	2%	3%	3%	3%
% of Cash Returned to Shareholders	110%	117%	119%	112%	111%	106%	100%	96%
Capex as % of Sales	2.7%	2.9%	3.0%	3.1%	3.0%	3.0%	3.0%	3.0%
Change in NWC as % of Sales	1.3%	-2.0%	-1.1%	-1.0%	-1.7%	-1.8%	-1.8%	-1.3%

- Q2 & 2026 Guide: Adj FCF totaled $3.0BB in Q2, including working capital source of +$240MM (+$15MM A/R; -$109MM Inventories, +$188MM A/P), a ~$100MM tariff refund and capex of $334MM (2.7% of adj sales) for 143% conversion. This drove H1:26 FCF of $4.7BB on WC usage of -$303MM and capex of $666MM.
- GE raised the 2026 FCF guidance +$850MM (+10%) to $8.9-9.2BB at >100% conversion from prior $8.0-8.4BB, with half of the raise driven by earnings growth & the other half on positive working capital (+$100MM tariff refund) offset by capex up ~$150MM y-o-y at ~3% of sales compared to $1.27BB of gross capex at 2.9% of sales in 2025.
- JEF estimates $9.2BB in adj FCF in 2026 at 110% conversion, increasing 20% y-o-y on NI growth of 22% and WC usage of $154MM, improving ~$316MM y-o-y. This compares to 2025 FCF of $7.69BB at 113% conversion which increased 24% y-o-y from $6.20BB in 2024 at 123% conversion.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

GE: Income Statement

$MM except per share data	2023		2024		2025		2026E		2027E		2028E		2029E		2030E	
	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales
Total Revenues	**$31,959**	100.0%	**$35,121**	100.0%	**$42,322**	100.0%	**$50,060**	100.0%	**$55,492**	100.0%	**$60,326**	100.0%	**$64,194**	100.0%	**$68,628**	100.0%
Segment Profit	6,551	20.5%	8,116	23.1%	10,129	23.9%	12,075	24.1%	13,510	24.3%	14,825	24.6%	15,969	24.9%	17,380	25.3%
Corporate	(990)		(864)		(1,074)		(1,300)		(1,375)		(1,450)		(1,500)		(1,550)	
Adj. Operating Profit	**$5,561**	17.4%	**$7,253**	20.7%	**$9,055**	21.4%	**$10,775**	21.5%	**$12,135**	21.9%	**$13,375**	22.2%	**$14,469**	22.5%	**$15,830**	23.1%
Interest Expense	987		958		818		861		837		832		827		822	
Earnings Before Tax	**$4,574**	14.3%	**$6,295**	17.9%	**$8,237**	19.5%	**$9,915**	19.8%	**$11,298**	20.4%	**$12,543**	20.8%	**$13,643**	21.3%	**$15,008**	21.9%
Taxes	(1,093)	23.9%	(1,260)	20.0%	(1,425)	17.3%	(1,596)	16.1%	(1,898)	16.8%	(2,195)	17.5%	(2,483)	18.2%	(2,852)	19.0%
Net Income from Continuing Operations	3,481		5,035		6,812		8,319		9,400		10,348		11,160		12,157	
Preferred Stock, NCI & Other	240		0		0		0		0		0		0		0	
Adj. Net Income	**$3,241**	10.1%	**$5,035**	14.3%	**$6,812**	16.1%	**$8,319**	16.6%	**$9,400**	16.9%	**$10,348**	17.2%	**$11,160**	17.4%	**$12,157**	17.7%
Adjusted Diluted EPS	**$2.95**		**$4.60**		**$6.37**		**$7.95**		**$9.15**		**$10.25**		**$11.25**		**$12.50**	
Basic shares (millions)	1,089		1,085		1,061		1,038		1,017		998		980		961	
Diluted shares (millions)	1,099		1,094		1,068		1,046		1,027		1,009		992		973	

Source: Company data and Jefferies estimates

GE: Balance Sheet

$MM except per share data	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
Assets								
Cash, Cash Equivalents and Restricted Cash	$15,204	$13,619	$12,392	$11,439	$11,166	$10,997	$11,234	$11,609
Investment Securities	5,706	982	0	0	0	0	0	0
Current Receivables	8,703	9,327	11,773	13,441	14,899	16,115	17,060	18,050
Inventories	8,284	9,763	11,868	13,166	14,443	15,536	16,181	17,110
Current Contract Assets	2,875	2,982	3,511	3,754	3,995	4,223	4,429	4,598
Other	1,785	962	1,052	1,151	1,221	1,327	1,348	1,373
Total Current Assets	**$42,556**	**$37,635**	**$40,596**	**$42,953**	**$45,725**	**$48,197**	**$50,252**	**$52,740**
Investment Securities	$38,000	$37,741	$38,788	$38,788	$38,788	$38,788	$38,788	$38,788
Net PP&E	7,246	7,277	7,987	8,524	9,189	9,942	10,750	11,617
Goodwill	8,948	8,538	9,060	9,060	9,060	9,060	9,060	9,060
Other Intangible Assets	4,642	4,257	4,225	3,850	3,457	3,043	2,609	2,154
Contract and Other Deferred Assets	4,785	4,831	4,920	4,920	4,920	4,920	4,920	4,920
Deferred Income Taxes	7,502	7,111	7,459	7,459	7,459	7,459	7,459	7,459
Other Noncurrent Assets	59,621	15,750	17,134	17,132	17,132	17,132	17,132	17,132
Total Assets	**$173,300**	**$123,140**	**$130,169**	**$132,686**	**$135,729**	**$138,542**	**$140,970**	**$143,869**
Liabilities								
Short-Term Borrowings	$1,108	$2,039	$1,686	$2,000	$2,000	$2,000	$2,000	$2,000
Accounts Payable	7,516	7,909	10,078	11,137	12,163	12,892	13,191	13,161
Contract Liabilities and Deferred Income	8,322	9,353	10,333	11,013	11,931	12,669	13,160	13,726
Other Current Liabilities	5,238	4,920	5,185	6,007	6,659	7,239	7,703	8,235
Total Current Liabilities	**$32,103**	**$34,392**	**$38,981**	**$43,173**	**$46,070**	**$48,071**	**$49,214**	**$50,505**
Long-Term Debt	$19,417	$17,234	$18,808	$17,156	$17,156	$17,156	$17,156	$17,156
Deferred Income	975	1,013	1,065	1,065	1,065	1,065	1,065	1,065
Non-Current Compensation & Benefits	7,656	7,035	6,833	6,833	6,833	6,833	6,833	6,833
Insurance Liabilities and annuity benefit	39,624	36,209	36,894	36,894	36,894	36,894	36,894	36,894
Other Liabilities	44,921	7,693	8,689	8,689	8,689	8,689	8,689	8,689
Total Liabilities	**$144,695**	**$103,576**	**$111,271**	**$113,810**	**$116,707**	**$118,708**	**$119,851**	**$121,142**
Non-controlling Interest	1,202	223	221	221	221	221	221	221
Total Equity	**$28,605**	**$19,564**	**$18,898**	**$18,876**	**$19,022**	**$19,834**	**$21,119**	**$22,727**
Total Liabilities and Equity	**$173,300**	**$123,140**	**$130,169**	**$132,686**	**$135,729**	**$138,542**	**$140,970**	**$143,869**

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

Heico Corporation (HEI)

Buy | Price Target: $410

Valuation Method	Price	Assumptions
EV/EBITDA	409	40.0x EV/EBITDA on 2027E EBITDA of $1.46BB
P/E	416	65.0x P/E on 2027E EPS of $6.40
FCF	404	1.8% FCF Yield on 2027E FCF of $1,001MM
Price Target	**$410**	**Blended Average**

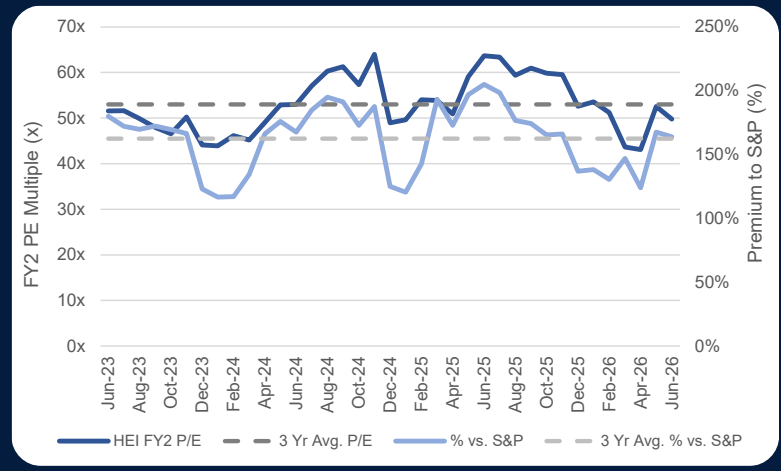
Valuation Table

	Ticker	JEF Rating	Stock Px 7/28/2026	Consensus BUY Rating	Market Cap	Enterprise Value	P/E 2026E	P/E 2027E	P/E 2028E	EV / SALES 2026E	EV / SALES 2027E	EV / SALES 2028E	EV / EBITDA 2026E	EV / EBITDA 2027E	EV / EBITDA 2028E	FCF Yield
AAR Corp	AIR	Buy	$135.05	86%	5,387	6,090	23.5x	20.6x	18.2x	1.7x	1.6x	1.5x	13.2x	11.9x	10.8x	2.3%
Ametek	AME	N/C	$241.73	65%	55,404	57,243	29.6x	27.3x	25.1x	7.1x	6.7x	6.3x	22.3x	20.8x	19.5x	3.7%
Crane	CR	N/C	$224.25	91%	12,949	14,025	32.8x	29.2x	25.7x	4.9x	4.6x	4.4x	22.0x	20.0x	18.0x	3.4%
Curtiss-Wright	CW	N/C	$730.38	60%	26,981	27,871	48.0x	42.7x	37.8x	7.4x	6.8x	6.3x	32.9x	29.8x	26.9x	2.3%
Eaton	ETN	Buy	$377.29	79%	146,502	168,559	28.3x	24.0x	20.7x	5.2x	4.7x	4.4x	22.2x	18.9x	17.1x	3.6%
Howmet Aerospace	HWM	Buy	$285.57	79%	114,259	117,497	56.4x	47.1x	39.7x	12.0x	10.6x	9.6x	37.6x	32.5x	28.4x	1.9%
LOAR	LOAR	Buy	$71.38	67%	6,683	7,647	54.7x	46.4x	39.7x	11.7x	10.6x	9.7x	29.2x	25.9x	23.2x	2.2%
Moog	MOG.A	N/C	$413.96	67%	11,773	14,431	38.8x	35.5x	31.9x	3.3x	3.1x	2.9x	22.7x	20.8x	19.1x	NM
Parker-Hannifin	PH	Buy	$984.73	69%	124,161	134,582	31.5x	28.9x	26.2x	6.3x	5.9x	5.5x	23.3x	21.3x	19.5x	3.3%
TransDigm	TDG	Buy	$1,310.76	54%	74,503	102,630	32.7x	27.9x	24.3x	9.9x	9.0x	8.4x	19.0x	17.2x	15.7x	3.6%
Woodward	WWD	Buy	$407.40	85%	24,274	25,476	43.3x	37.9x	31.9x	5.9x	5.4x	4.9x	28.2x	24.9x	21.5x	2.2%
VSE Corp	VSEC	Buy	$199.47	91%	5,597	4,715	45.7x	34.5x	28.7x	2.7x	2.2x	2.0x	14.5x	11.3x	10.0x	2.3%
Average				**73%**			**38.8x**	**33.5x**	**29.2x**	**6.5x**	**5.9x**	**5.5x**	**23.9x**	**21.3x**	**19.1x**	**2.8%**

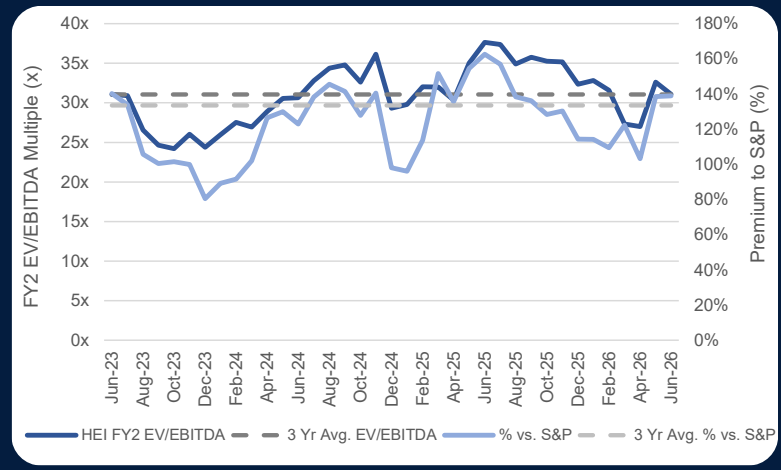
Featured Notes:

- Where The Industry Goes, Heico Grows / *May 28, 2026*
- ETG Margins Weigh On Stock, Still a Class Act Performance / *Mar 1, 2026*
- All I Want for X-Mas Is HEICO Stock with 34% EPS Growth | *Dec 21, 2025*

Trading at 49.8X FY2 P/E, 164% Prem to Mkt vs. Historical Avg Prem of 162%



Trading at 31.1X FY2 EV/EBITDA, 139% Prem to Mkt vs. Historical Avg Prem of 133%

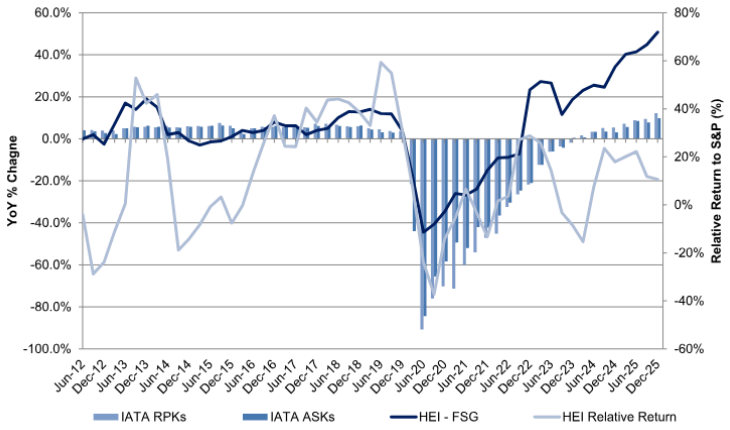


Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

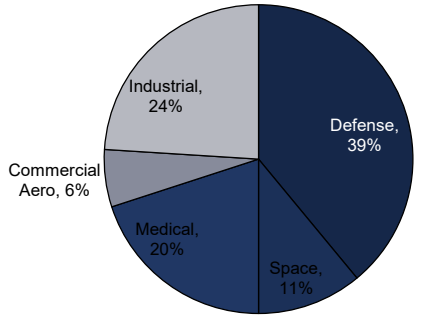
Source: Company data, Jefferies estimates, FactSet

HEI: HEI FSG Sales Driven by Aftermarket, with Upside to FY26 from Expanding Fleet and Revenue Synergies, as well as Defense Momentum

FSG Up 14% vs IATA ASKs +5% in FY25



HEI Generates 58% of 2025E Sales from Commercial Aftermarket



- Revenue synergies come from cross-selling the catalogs to existing customers as well as expanding reach in component MRO shops. HEI is stronger in airlines, while Wencor had historically focused on MRO shops. Additionally, a catalog of 19K parts supports the go-to-market.
- HEI has seen progress in the acceptance of PMA parts across the cabin, engine, and other components of the aircraft. The cabin is typically the easiest to penetrate, given parts in the interior are less critical to an aircraft's safe performance. The next easiest part of the aircraft to gain PMA share is typically components, with a range across specific component types. Engines are typically the most difficult part of the aircraft to penetrate. However, HEI has done well in all three areas. It does not intend to achieve a higher than 30% market share for any SKU, as it would lead to more price competition from the OEMs. On a total market basis, however, the percentage of PMA is very small and HEI does not offer every SKU part. Overall, HEI has ~3% market share of aircraft parts and components with ~12,500 PMA SKUs and the addition of Wencor's ~6,000 SKUs unlikely to materially shift the market dynamics.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

HEI: HEI FSG Sales Driven by Aftermarket, with Upside to FY26 from Expanding Fleet and Revenue Synergies, as well as Defense Momentum

FY26E Organic Growth of 9% Following FY25 +14%, Led by Aftermarket Parts

FSG Volumes (Y-o-Y % Chang	FQ3:25	FQ4:25	FQ1:26	FQ2:26	FY23	FY24	FY25	FY26E	FY27E	FY28E
Aftermarket Replacement	12%	19%	13%	25%	50%	59%	16%	15%	7%	6%
Repair and Overhaul	34%	29%	27%	20%	38%	62%	26%	14%	6%	5%
Specialty Products	16%	13%	8%	7%	23%	7%	15%	6%	5%	4%
Overall FSG Volumes	**18%**	**21%**	**15%**	**21%**	**41%**	**49%**	**18%**	**13%**	**6%**	**5%**
Organic % Change	*13%*	*16%*	*12%*	*19%*	*21%*	*13%*	*14%*	*10%*	*5%*	*5%*

- Revenues for FSG were ahead of expectations in FQ2, with FSG reporting a 19% organic increase (+21% total). Organic growth was supported by all three sub-segments.
- Aftermarket Replacement (62% of '25 FSG sales), Repair & Overhaul (24% of '25 FSG) and Specialty Products (14% of '25 FSG) all supported growth. Surprisingly, the most short cycle business for HEI performed the best in the quarter growing 25%, representing about two third of sales. While Specialty Products has been supported by Defense momentum related to missiles/munitions and commercial product the business has grown HSD for H1. The acquisition of Ethos and Sherwood Avionics contributed ~$17MM to FQ2 sales. The full year contribution is $52MM for Ethos. Sherwood Avionics (April 2026) adds $22MM for the year starting in H2.
- Mgmt noted regional demand is expected to remain strong across the board w/ some softness from the Middle East, although a small portion of sales. In 2025, international sales were 38% of mix.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

HEI: HEI FSG Sales Driven by Aftermarket, with Upside to FY26 from Expanding Fleet and Revenue Synergies, as well as Defense Momentum

Each 2-pts of FSG Organic Growth Contributes $0.09 to FY26 EPS and Each 100 bps Margin Expansion Adds $0.20

FSG FY26 Op. Margin (%)	FSG FY26 Organic Growth (%)						
	4%	6%	8%	10%	12%	14%	16%
21.6%	$4.86	$4.94	$5.01	$5.09	$5.17	$5.25	$5.32
22.6%	$5.05	$5.13	$5.21	$5.29	$5.38	$5.46	$5.54
23.6%	$5.24	$5.33	$5.41	$5.50	$5.58	$5.67	$5.75
24.6%	$5.44	$5.52	$5.61	$5.70	$5.79	$5.88	$5.96
25.6%	$5.63	$5.72	$5.81	$5.90	$5.99	$6.09	$6.18
26.6%	$5.82	$5.92	$6.01	$6.11	$6.20	$6.30	$6.39
27.6%	$6.01	$6.11	$6.21	$6.31	$6.41	$6.50	$6.60

- The opportunity for upside in the next couple of years is driven by an expanding fleet of aircraft over 6 years old and out of warranty with deferred retirements, supporting low-to-mid-teens aftermarket growth this year. Additionally, HEI has raised list prices as needed to maintain margins and in line with cost inflation. The company offers favorable terms to those customers that have been ordering a part for a long period (3-5 yr fixed price contracts for PMA parts), but any customer ordering a part for the first time will pay the higher list price. This has allowed for gross price contribution to the top line on top of volume, although most margin expansion is driven by volume and operations rather than price. Currently, the discount to OEM parts prices ranges from 20-70% depending on the part and customer.
- Each 2-pts of FSG organic growth in FY26E is worth ~9¢ to EPS.

Source: Company data and Jefferies estimates

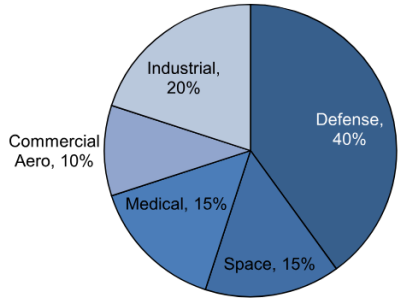
Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

HEI: ETG Strong Margin Bounce - Evening Out The Score

Every 50 bps of ETG Margin Worth ~5c to Adj EPS in FY26E

ETG FY26 Op. Margin (%)	ETG FY26 Organic Growth (%)						
	0%	2%	4%	6%	8%	10%	12%
20.3%	$5.36	$5.39	$5.43	$5.46	$5.49	$5.52	$5.56
20.8%	$5.41	$5.44	$5.47	$5.51	$5.54	$5.57	$5.61
21.3%	$5.45	$5.49	$5.52	$5.56	$5.59	$5.62	$5.66
21.8%	$5.50	$5.53	$5.57	$5.60	$5.64	$5.67	$5.71
22.3%	$5.54	$5.58	$5.62	$5.65	$5.69	$5.72	$5.76
22.8%	$5.59	$5.63	$5.66	$5.70	$5.74	$5.77	$5.81
23.3%	$5.63	$5.67	$5.71	$5.75	$5.79	$5.82	$5.86

ETG End Market Splits - Roughly 50% Defense



- ETG was up 23% overall in FQ2 and +17% organic. The company previously pointed to L-MSD organic growth in the ETG business going forward.
- We assume 6% organic growth for FY26 at ETG, modestly decelerating from +7% in FY25. The company is optimistic about continued Other Electronics growth going forward.
- Margins at ETG of 26.5% in FQ2 surged y-o-y driven by sales growth, improved gross profit margin, and SG&A expense efficiencies. Mgmt has noted ETG margins can be volatile due mix/shipment timing and that based on bookings/backlog.
- We sensitize ETG growth and segment margins to FY26E EPS, finding that every 2-pts of top-line ETG growth equates to about $0.04 to EPS or 1%.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

HEI: HEI Operating Margins Expected to Expand Modestly to 23.1% in 2026 w/ FSG Expanding 50bps and ETG contracting 20bps

HEI EBIT Bridge - Margins Expand 40 bps in FY26E with Mix and Volume

	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
Starting EBIT	**$376**	**$457**	**$377**	**$393**	**$497**	**$625**	**$824**	**$1,019**	**$1,194**	**$1,286**
FSG Organic	29	-98	1	66	120	72	135	101	57	62
ETG Organic	0	0	0	0	0	0	0	0	0	0
M&A	205	246	264	297	298	439	310	344	389	414
R&D/Investments	33	-3	8	-16	0	10	27	22	17	21
Restructuring benefits/amortization	9	8	10	6	35	17	10	39	8	0
Performance-based Comp	0	0	0	0	0	0	0	0	0	0
Productivity/Other	6	-1	3	29	-28	-31	0	0	0	0
Non-segment expenses	-202	-232	-270	-279	-297	-307	-288	-331	-380	-410
End EBIT	**$457**	**$377**	**$393**	**$497**	**$625**	**$824**	**$1,019**	**$1,194**	**$1,286**	**$1,373**
Margin %	*22.2%*	*21.1%*	*21.1%*	*22.5%*	*21.1%*	*21.4%*	*22.7%*	*23.1%*	*23.4%*	*23.7%*
Incremental Margin	39%	31%	30%	29%	17%	22%	36%	29%	34%	42%
FSG Incremental	0%	0%	7%	0%	0%	0%	0%	0%	0%	0%
ETG Incremental	31%	32%	22%	-59%	6%	8%	25%	22%	29%	32%

- In FQ2, FSG margins expanded 210 bps y-o-y to 26.2% and represents the 15th consecutive quarter over 22% on a core basis. Incrementals were 36% in FQ2, just above FY25 incremental of 33%. We expect FY26 margins of 24.6%, or a 29% incremental to support 50 bps of margin expansion from 24.1% in FY25.
- ETG operating margins of 26.5% in FQ2 were up 370 bps from 22.8% last year (+670 bps q/q), due to sales growth, improved gross profit margin, and SG&A expense efficiencies. We forecast 20bps of contraction in FY26 to 22.8% (up from 22.6% prior) vs. FY25. This is in line with H1 performance of 23.1%.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

HEI: FCF Generation Sustains ~110% Conversions in FY26/27 with a Focus on Deleveraging in Near Term

FCF Walk - >100% Conversions Sustained Through FY28

Free Cash Flow	FY19	FY20	FY21	FY22	FY23	FY24	FY25	FY26E	FY27E	FY28E
Net Income	$360	$336	$330	$391	$444	$559	$746	$866	$970	$1,062
Depreciation and Amortization	84	89	93	96	130	175	175	175	175	175
NWC	(78)	(44)	(16)	(42)	(435)	(175)	(62)	(68)	(56)	(99)
Other	72	29	37	23	309	113	75	0	0	0
CFO	**$437**	**$409**	**$444**	**$468**	**$449**	**$672**	**$934**	**$973**	**$1,089**	**$1,138**
Capex	(29)	(23)	(36)	(32)	(49)	(58)	(73)	(83)	(88)	(93)
FCF	**$408**	**$386**	**$408**	**$436**	**$399**	**$614**	**$861**	**$891**	**$1,002**	**$1,045**
Deployment										
Dividends	$19	$22	$23	$24	$27	$29	$32	$37	$41	$45
Share Repurchases	55	0	0	24	8	(8)	9	0	0	0
Debt Paydown	0	0	505	(49)	0	249	55	300	300	300
Debt Issuance	(30)	(177)	0	0	(2,164)	0	0	0	0	0
Acquisitions	241	164	137	347	2,422	219	630	441	0	0
Total Deployment	**$315**	**$185**	**$665**	**$346**	**$2,457**	**$489**	**$726**	**$778**	**$341**	**$345**
Discretionary FCF (post pension contributions, dividends, share repo, and committed debt pay-down)	**$93**	**$201**	**($257)**	**$89**	**($2,058)**	**$125**	**$135**	**$113**	**$661**	**$701**
Ratios										
FCF / Net Income	125%	123%	134%	124%	99%	119%	125%	111%	111%	105%
Cash Flow from Ops/NI	133%	130%	146%	133%	111%	131%	135%	121%	120%	115%
FCF Change YoY %	43%	-5%	6%	7%	-8%	54%	40%	3%	12%	4%
FCF Yield	1.0%	0.9%	1.0%	1.0%	0.9%	1.4%	2.0%	2.1%	2.4%	2.5%
Net Debt/EBITDA	0.9X	0.7X	0.3X	0.3X	3.1X	2.1X	1.6X	1.1X	0.4X	-0.3X
FCF/Share	$2.97	$2.81	$2.96	$3.16	$2.87	$4.38	$6.12	$6.31	$7.08	$7.38
Cash EPS	$3.18	$2.98	$3.22	$3.39	$3.23	$4.80	$6.64	$6.90	$7.71	$8.03
Cash P/E	97.1X	103.8X	95.6X	90.8X	94.7X	63.2X	45.5X	43.6X	39.0X	37.3X
Capex/Sales	1.4%	1.3%	1.9%	1.4%	1.7%	1.5%	1.6%	1.6%	1.6%	1.6%

- HEI generated FQ2 FCF of $274MM, or 117% conversion to NI, which compares to a 125% conversion in FY25. HEI has generated $439MM of FCF YTD or 104% conversion to NI. We estimate FY26 FCF of $891MM, implying 111% conversion. Our FCF estimate is up 3% y-o-y as higher net income (JEFe +16% y-o-y) and is offset by higher capex of $83MM vs $73MM in FY25. Working capital is expected to be a $68MM use in FY26E, modestly worse than the $62MM use in FY25.
- HEI has historically drawn debt primarily from its revolving credit facility to support M&A. The company also issued 2 tranches of bonds with $600MM maturing in 2028 at a 5.25% rate and $600MM at a 5.35% rate maturing 2033. We assume the company pays down the revolver by about $100MM annually through FY28 with cash generation. We also assume interest income from the cash on the balance sheet.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

HEI: Annual Income Statement

(millions, except per share data)	2020		2021		2022		2023		2024		2025		2026E		2027E		2028E	
	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales
Total Revenues	**$1,787.0**	100.0	**$1,865.7**	100.0	**$2,208.3**	100.0	**$2,968.1**	100.0	**$3,857.7**	100.0	**$4,485.0**	100.0	**$5,165.4**	100.0	**$5,497.1**	100.0	**$5,784.1**	100.0
Costs and expenses																		
Costs of Sales	1,104.9	61.8%	1,138.3	61.0%	1,345.6	60.9%	1,814.6	61.1%	2,355.9	61.1%	2,698.6	60.2%	3,118.9	60.4%	3,304.9	60.1%	3,457.5	59.8%
Selling, General & Administrative	305.5	17.1	334.5	17.9	365.9	16.6	528.1	17.8	677.3	17.6	767.5	17.1	852.3	16.5	907.0	16.5	954.4	16.5
R&D (included in COGS)	65.6	3.7	68.6	3.7	76.1	3.4	95.8	3.2	111.3	2.9	120.9	2.7	144.6	2.8	159.4	2.9	167.7	2.9
Total Operating Costs	**$1,410.4**	79%	**$1,472.8**	79%	**$1,711.5**	78%	**$2,342.8**	79%	**$3,033.2**	79%	**$3,466.0**	77%	**$3,971.2**	77%	**$4,211.9**	77%	**$4,411.9**	76%
Operating Profit (EBIT excluding rest.)	**$376.6**	21.1%	**$392.9**	21.1%	**$496.8**	22.5%	**$625.3**	21.1%	**$824.5**	21.4%	**$1,019.0**	22.7%	**$1,194.2**	23.1%	**$1,285.2**	23.4%	**$1,372.2**	23.7%
Other (income) expense, net	0.0		0.0		0.0		0.0		0.0		0.0		1.3		0.0		0.0	
Interest expense	(13.2)		(7.3)		(6.4)		(73.0)		(149.3)		(129.9)		(128.1)		(89.2)		(69.8)	
Interest income	1.4		1.4		0.6		2.9		2.4		4.4		4.4		5.8		14.9	
Total interest	(11.8)		(5.8)		(5.8)		(70.1)		(146.9)		(125.4)		(123.7)		(83.4)		(54.9)	
Income before taxes	**$364.9**		**$387.1**		**$491.0**		**$555.3**		**$677.6**		**$893.6**		**$1,069.2**		**$1,201.8**		**$1,317.3**	
Taxes (rate %)	29.0	7.9%	57.3	14.8%	100.4	20.4%	110.9	20.0%	118.5	17.5%	148.0	16.6%	205.8	19.2%	231.9	19.3%	255.6	19.4%
Net Income, continuing ops	**$335.9**		**$329.8**		**$390.6**		**$444.4**		**$559.1**		**$745.6**		**$866.0**		**$969.9**		**$1,061.7**	
Non-controlling interests	(21.9)		(25.5)		(38.9)		(40.8)		(45.0)		(55.2)		(62.0)		(65.0)		(70.0)	
Net Income	**$314.0**	17.6%	**$304.2**	16.3%	**$351.7**	15.9%	**$403.6**	13.6%	**$514.1**	13.3%	**$690.4**	15.4%	**$804.0**	15.6%	**$904.9**	16.5%	**$991.7**	17.1%
Basic shares (millions)	134.8		135.3		136.0		137.2		138.5		139.0		139.5		139.5		139.5	
Diluted shares (millions)	137.3		137.9		138.0		138.9		140.2		140.8		141.1		141.4		141.7	
Basic earnings per share (cont. ops)	$2.49		$2.44		$2.87		$3.24		$4.04		$5.36		$6.21		$6.95		$7.61	
Diluted earnings per share (cont. ops)	**$2.29**		**$2.21**		**$2.55**		**$2.91**		**$3.67**		**$4.90**		**$5.70**		**$6.40**		**$7.00**	

Source: Company data and Jefferies estimates

HEI: Operating Segment Data

(millions, except per share data)	2020	% of sales	2021	% of sales	2022	% of sales	2023	% of sales	2024	% of sales	2025	% of sales	2026E	% of sales	2027E	% of sales	2028E	% of sales
Revenue																		
Flight Support	$924.8	52%	$927.1	50%	$1,255.2	57%	$1,770.2	60%	$2,639.4	68%	$3,117.3	70%	$3,536.8	68%	$3,766.0	69%	$3,972.6	69%
Electronic Technologies	875.0	49%	959.2	51%	972.5	44%	1,225.2	41%	1,263.6	33%	1,413.1	32%	1,680.8	33%	1,786.6	33%	1,869.9	32%
Intersegment	(12.8)		(20.6)		(19.4)		(27.3)		(45.3)		(45.4)		(52.2)		(55.5)		(58.4)	
Total Revenue	$1,787.0	100%	$1,865.7	100%	$2,208.3	100%	$2,968.1	100%	$3,857.7	100%	$4,485.0	100%	$5,165.4	100%	$5,497.1	100%	$5,784.1	100%
Revenue YoY % change																		
Flight Support	-25%		0%		35%		41%		49%		18%		13%		6%		5%	
Electronic Technologies	5%		10%		1%		26%		3%		12%		19%		6%		5%	
Total Revenue	-13%		4%		18%		34%		30%		16%		15%		6%		5%	
% organic	-16%		0%		11%		12%		7%		12%		8%		4%		5%	
Operating Income																		
Flight Support	$143.1	15.5%	$151.9	16.4%	$267.2	21.3%	$387.3	21.9%	$593.1	22.5%	$750.4	24.1%	$870.1	24.6%	$933.0	24.8%	$995.0	25.0%
Electronic Technologies	258.8	29.6%	$277.3	28.9%	$269.5	27.7%	$285.1	23.3%	$288.2	22.8%	$325.0	23.0%	$383.5	22.8%	$414.0	23.2%	$440.8	23.6%
Segment Operating Income	$401.9	22.5%	$429.2	23.0%	$536.6	24.3%	$672.4	22.7%	$881.3	22.8%	$1,075.3	24.0%	$1,253.6	24.3%	$1,347.1	24.5%	$1,435.9	24.8%
Corporate	(25.2)	1.4%	(36.3)	1.9%	(39.8)	1.8%	(47.0)	1.6%	(56.8)	1.5%	(56.3)	1.3%	(59.4)	1.2%	(61.8)	1.1%	(63.6)	1.1%
Total Operating Income	$376.6	21.1%	$392.9	21.1%	$496.8	22.5%	$625.3	21.1%	$824.5	21.4%	$1,019.0	22.7%	$1,194.2	23.1%	$1,285.2	23.4%	$1,372.2	23.7%
% YoY Change																		
Flight Support	-41%		6%		76%		45%		53%		27%		16%		7%		7%	
Electronic Technologies	5%		7%		-3%		6%		1%		13%		18%		8%		6%	
Segment Operating Income	-18%		7%		25%		25%		31%		22%		17%		7%		7%	
Corporate	-18%		44%		10%		18%		21%		-1%		5%		4%		3%	
Total Operating Income	-18%		4%		26%		26%		32%		24%		17%		8%		7%	

Source: Company data and Jefferies estimates

HEI: Cash Flow Statement

(millions, except per share data)	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
Operating Activities									
Net income	$336	$330	$391	$444	$559	$746	$866	$970	$1,062
Depreciation & Amortization	89	93	96	130	175	175	175	175	175
Op cash flow pre-working capital	**$424**	**$423**	**$487**	**$574**	**$734**	**$921**	**$1,041**	**$1,145**	**$1,237**
Change in inventory	(103)	(34)	(118)	(449)	(158)	(131)	(135)	(72)	(85)
Change in receivables	107	(34)	(50)	(214)	(29)	(99)	(8)	(14)	(34)
Change in payables	0	0	0	0	0	0	0	0	0
Changes in working capital	4	(69)	(168)	(663)	(187)	(231)	(143)	(86)	(119)
Cash Flow from Operations	**$409**	**$444**	**$468**	**$449**	**$672**	**$934**	**$873**	**$1,089**	**$1,138**
Investment activities									
Capital expenditures	(23)	(36)	(32)	(49)	(58)	(73)	(83)	(88)	(93)
Change in other current assets	(6)	(1)	0	0	0	0	0	0	0
Acquisitions	(164)	(137)	(347)	(2,422)	(219)	(630)	(441)	0	0
Change in other current liabilities	(12)	(11)	(17)	(13)	(16)	(29)	100	0	0
Change in other LT liabilities	(88)	83	0	0	129	17	0	0	0
Change in tax liability	0	0	0	0	0	0	0	0	0
Cash Flow from Investments	**($293)**	**($102)**	**($396)**	**($2,484)**	**($165)**	**($715)**	**($424)**	**($88)**	**($93)**
Financing Activities									
Change in debt	177	(505)	49	2,164	0	(55)	(300)	(300)	(300)
Cash dividends paid	(39)	(53)	(90)	(27)	(29)	(32)	(37)	(41)	(45)
Cash Flow from Financing	**$138**	**($558)**	**($41)**	**$2,137**	**($29)**	**($87)**	**($337)**	**($341)**	**($345)**
Net change in cash items	**$254**	**($216)**	**$31**	**$101**	**$479**	**$133**	**$113**	**$661**	**$700**
Cash at the beginning of the period	57	407	108	140	241	720	852	965	1,626
Cash at the end of the period	**$407**	**$108**	**$140**	**$241**	**$720**	**$852**	**$965**	**$1,626**	**$2,326**

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

Honeywell Aerospace (HONA)

Hold | Price Target: $235

Valuation Method	Price	Assumptions
EV/EBITDA	261	17.0x EV/EBITDA on 2027 EBITDA of $5.57BB
P/E	236	24.5x P/E on 2027 EPS of $9.65
FCF	207	4.0% FCF Yield on 2027 FCF of $2.63BB
Price Target	**$235**	**Blended Average**

Valuation Table

	Ticker	JEF Rating	Stock Px 7/14/2026	Consensus BUY Rating	Market Cap	Enterprise Value	P/E 2026E	P/E 2027E	P/E 2028E	EV / SALES 2026E	EV / SALES 2027E	EV / SALES 2028E	EV / EBITDA 2026E	EV / EBITDA 2027E	EV / EBITDA 2028E	FCF Yield
BAE Systems	BA-GB	Hold	£18.53	54%	55,685	61,747	22.4x	19.5x	17.3x	1.9x	1.7x	1.6x	13.3x	12.1x	11.0x	4.5%
Eaton Corp	ETN	Buy	$414.31	79%	160,877	182,375	31.0x	26.3x	22.7x	5.7x	5.1x	4.7x	24.0x	20.5x	18.5x	3.2%
Garmin	GRMN	N/C	$241.26	20%	46,528	44,166	25.0x	23.1x	19.7x	5.5x	5.0x	4.4x	18.9x	17.4x	15.5x	4.0%
GE Aerospace	GE	Buy	$354.16	85%	372,002	385,840	46.8x	40.9x	35.8x	7.9x	7.2x	6.6x	33.3x	29.5x	26.4x	2.5%
Parker-Hannifin	PH	Buy	$960.63	69%	121,122	131,849	30.7x	28.2x	25.6x	6.2x	5.8x	5.4x	22.8x	20.8x	19.1x	3.4%
RTX	RTX	Buy	$195.13	74%	268,772	301,121	28.1x	25.6x	23.1x	3.2x	3.0x	2.8x	19.7x	18.1x	16.5x	3.9%
Safran	SAF-FR	Hold	$327.80	61%	137,133	134,084	32.2x	26.5x	23.4x	3.7x	3.4x	3.1x	17.3x	15.6x	14.2x	3.7%
Thales	HO-FR	Buy	€ 220.00	53%	45,307	46,951	20.8x	17.9x	15.8x	2.0x	1.8x	1.7x	12.6x	11.3x	10.3x	5.6%
Woodward	WWD	Buy	$398.69	85%	24,298	24,891	42.4x	37.1x	31.2x	5.8x	5.3x	4.8x	27.6x	24.4x	21.0x	2.2%
Average				**64%**			**31.0x**	**27.2x**	**23.8x**	**4.6x**	**4.3x**	**3.9x**	**21.1x**	**18.9x**	**17.0x**	**3.7%**
Honeywell Aero	**HONA**	**Hold**	**$208.09**		**65,965**	**80,816**	**24.3x**	**21.6x**	**19.1x**	**4.2x**	**3.9x**	**3.7x**	**15.6x**	**14.4x**	**13.3x**	**4.0%**
Discount / Premium							**-22%**	**-21%**	**-20%**	**-9%**	**-8%**	**-6%**	**-26%**	**-24%**	**-22%**	**-8%**

Featured Notes:

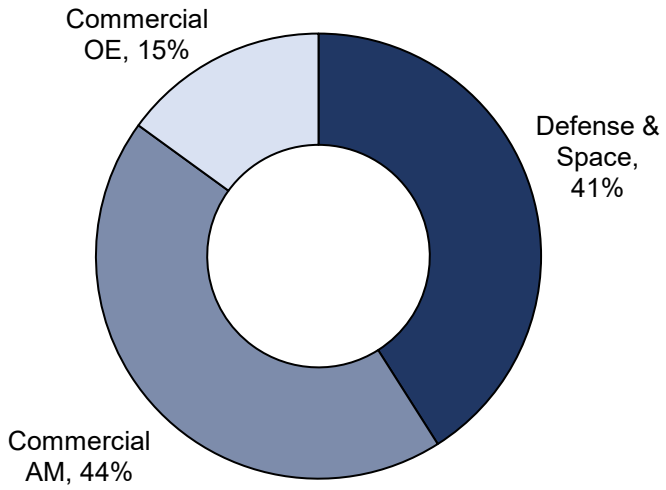
- Initiate at Hold: Honey, I Shrunk the Portfolio but Focused on EBIT Growth Here | *June 29, 2026*

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

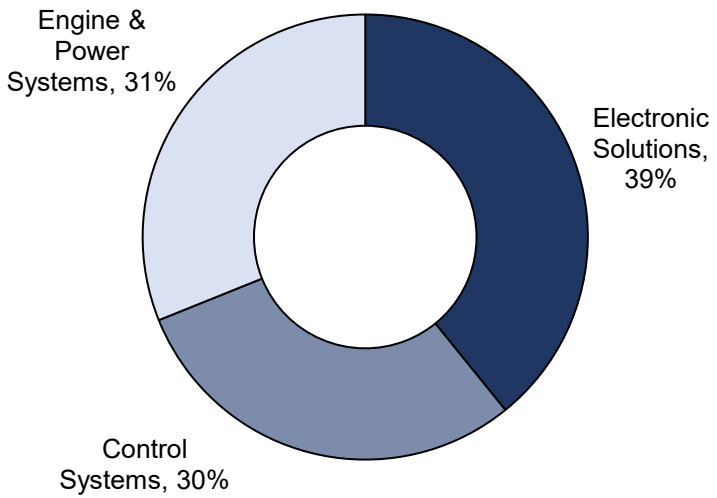
Source: Company data, Jefferies estimates, FactSet

HONA: Overview and 2030 Targets

Segment Split - Electronic Solutions at 39% of Sales, Engines & Power Systems at 31% and Control Systems at 30%



End Market Split - Aftermarket at 44% of Sales, Defense & Space at 41% and Commercial OE at 15%



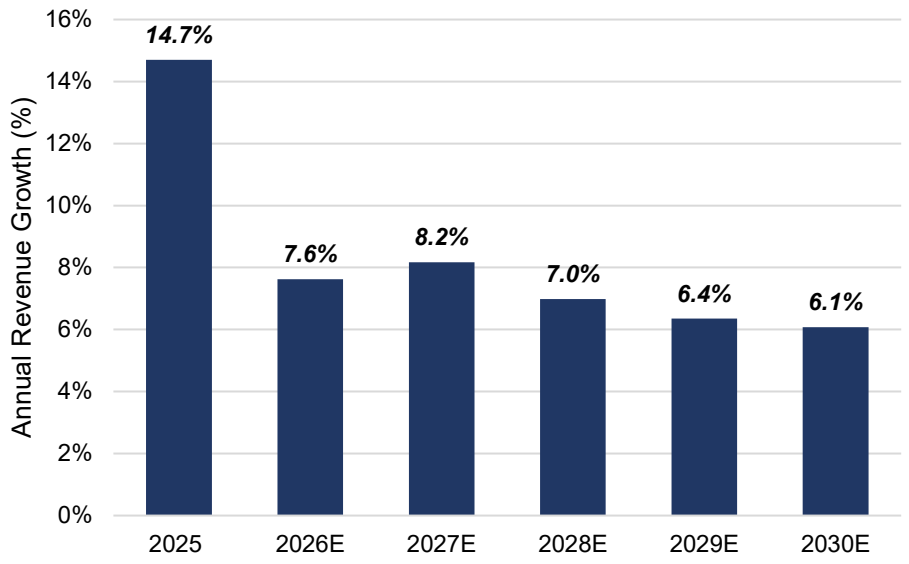
- Honeywell Aerospace is a global supplier of mission-critical systems including avionics, engines, APUs, navigation & sensors, electromagnetic defense, space, air & thermal control, and motion controls for the end markets of Commercial Aerospace (39% of 2025 sales), Business & General Aviation (20%), and Defense & Space (41%). HONA's 2025 pro-forma sales of $17.4BB or $17.7BB adjusted across three reportable segments:
- HONA 2025 sales increased 12% organically and 13% total with the Aftermarket up 12% organic and 7% total to $7.7BB (44% of sales), Commercial OE up 20% to $2.6BB (15% of sales), and Defense & Space up 9% organic and 16% total to $7.1BB (41% of sales).

Source: Company data and Jefferies estimates

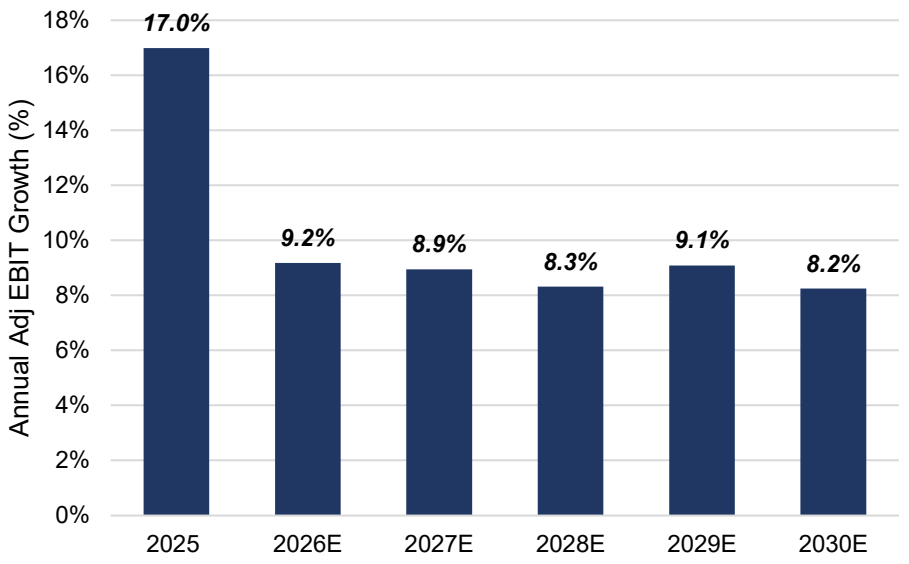
Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

HONA: Overview and 2030 Targets

HONA Total Annual Revenue Growth



HONA Total Annual Adj EBIT Growth



- HONA guided an organic sales CAGR of 6-8% to 2030 compared to assumed market growth of ~6%, with Adj EBIT increasing at a ~9% CAGR to >$6.5BB in 2030 and FCF increasing at a ~10% CAGR to >$4BB in 2030.
- From $17.7BB adjusted sales in 2025 (vs pro-forma $17.4BB), we estimate 7.6% organic growth to $19.1BB in 2026 compared to the guide of +7-9%. We forecast 7.0% organic sales CAGR to $24.9BB in 2030 at the midpoint of the guidance.
- From $4.34BB adjusted EBIT in 2025, we estimate $4.74BB in 2026 compared to the guide of $4.65-4.75BB for margins of 24.8% on 24% incrementals. We forecast 8.8% adj EBIT CAGR to $6.60BB in 2030 with margins expanding to 26.5% at average 30% incrementals.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

HONA: Electronic Solutions - 39% of Revenue w/ Avionics Growing at a 5% CAGR

Electronic Solutions Revenue Build - Growing at a 7% CAGR From $6.8BB in 2025 to $9.8BB in 2030E

Electronic Solutions	2025	2026E	2027E	2028E	2029E	2030E	CAGR
Revenues							**FY25-30**
Commercial Aftermarket	$2,181	$2,334	$2,485	$2,635	$2,766	$2,905	6%
Commercial OE	954	1,031	1,134	1,224	1,310	1,389	8%
Defense and Space	3,681	4,049	4,413	4,766	5,124	5,482	8%
ES Revenues	**$6,816**	**$7,413**	**$8,032**	**$8,625**	**$9,200**	**$9,776**	**7%**
% YoY Change							
Commercial Aftermarket		7%	6%	6%	5%	5%	
Commercial OE		8%	10%	8%	7%	6%	
Defense and Space		10%	9%	8%	8%	7%	
ES Revenues		**9%**	**8%**	**7%**	**7%**	**6%**	
% Organic Change		*9%*	*8%*	*7%*	*7%*	*6%*	
% Composition							
Commercial Aftermarket	32%	31%	31%	31%	30%	30%	
Commercial OE	14%	14%	14%	14%	14%	14%	
Defense and Space	54%	55%	55%	55%	56%	56%	
ES Revenues	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	

- Electronic Solutions is structured across four primary product areas: Avionics, Navigation and Sensors, Electromagnetic Defensive Solutions (EDS), and Space with exposure across commercial aerospace, business aviation, and defense and space end markets.
- **Avionics** is a key contributor within ES, w/ growth supported by both new product introductions and incremental content expansion.
- **Navigation and Sensors** is supported by an installed base of ~62,000 aircraft, along with a portfolio focused on precision navigation capabilities. The business focuses on advanced navigation solutions and integration across sensor systems, which are increasingly relevant for both commercial and defense applications.
- **EDS** includes the CAES business, and is focused on electronic warfare and operations in the electromagnetic spectrum, including targeting and sensing capabilities. The segment is expanding its international footprint, contributing to growth outside the US defense market.
- Space provides specialized components such as radiation-hardened systems, inertial technologies, and microelectronics used in both commercial and defense applications.
- From 2025 to 2030, JEF estimates ES revenues increase at a 7% CAGR from $6.82BB to $9.78BB, with Comm'l AM +6%, Comm'l OE +8% and D&S +8%.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

HONA: Engine & Power Systems - 31% of Revenue; Key Positioning Across Biz Av & Defense

Engines & Power Systems Revenue Build - Growing at a 9% CAGR From $5.4BB in 2025 to $8.31BB in 2030E

Engines & Power Systems	2025	2026E	2027E	2028E	2029E	2030E	CAGR
Revenues							**FY25-30**
Commercial Aftermarket	$2,922	$3,448	$3,724	$4,003	$4,303	$4,604	10%
Commercial OE	974	1,116	1,333	1,472	1,602	1,757	13%
Defense and Space	1,515	1,621	1,718	1,804	1,876	1,952	5%
E&PS Revenues	**$5,411**	**$6,185**	**$6,775**	**$7,279**	**$7,782**	**$8,313**	**9%**
% YoY Change							
Commercial Aftermarket		18%	8%	8%	8%	7%	
Commercial OE		15%	19%	10%	9%	10%	
Defense and Space		7%	6%	5%	4%	4%	
E&PS Revenues		**14%**	**10%**	**7%**	**7%**	**7%**	
% Organic Change		*9%*	*10%*	*7%*	*7%*	*7%*	
% Composition							
Commercial Aftermarket	54%	56%	55%	55%	55%	55%	
Commercial OE	18%	18%	20%	20%	21%	21%	
Defense and Space	28%	26%	25%	25%	24%	23%	
E&PS Revenues	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	

- The Engines & Power Systems portfolio includes a combination of legacy defense programs and niche positioning in business aviation, supported by a lifecycle services infrastructure.
- **Engines:** The HTF7000 emphasizes durability and lower maintenance intensity in business aviation applications, while the T55's multi-decade service history and the F124's performance metrics illustrate established reliability across military platforms. High cumulative flight hours across these programs support sustained utilization, which typically correlates with steady service demand over time.
- **Power Systems:** Market Share Leader on APUs: Adds scale and diversification through a large installed base of auxiliary power units and emerging electric power technologies. Exposure spans commercial air transport, defense and business aviation, anchored by the 131 series APU with >100MM in-service hours and the 36-150 family with 20+ variants deployed across multiple platforms.
- **RMUs:** Aftermarket solutions applied to long-lived propulsion and power systems to improve fuel efficiency, reliability and performance, typically installed during scheduled maintenance events with no incremental downtime.
- From 2025 to 2030, JEF estimates E&PS revenues increase at a 9% CAGR from $5.41BB to $8.31BB, with Comm'l AM +10%, Comm'l OE +13% and D&S +5%.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

HONA: Control Systems - 30% of Revenue w/ >75% of Commercial Flights Using HONA Engine Start Systems

Control Systems Revenue Build - Growing at a 6% CAGR From $5.2BB in 2025 to $6.8BB in 2030E

Control Systems	2025	2026E	2027E	2028E	2029E	2030E	CAGR
Revenues							**FY25-30**
Commercial Aftermarket	$2,558	$2,686	$2,847	$3,018	$3,169	$3,311	5%
Commercial OE	666	692	755	815	872	924	7%
Defense and Space	1,953	2,090	2,215	2,326	2,442	2,565	6%
CS Revenues	**$5,177**	**$5,468**	**$5,817**	**$6,159**	**$6,483**	**$6,800**	**6%**
% YoY Change							
Commercial Aftermarket		5%	6%	6%	5%	4%	
Commercial OE		4%	9%	8%	7%	6%	
Defense and Space		7%	6%	5%	5%	5%	
CS Revenues		**6%**	**6%**	**6%**	**5%**	**5%**	
% Organic Change		*6%*	*6%*	*6%*	*5%*	*5%*	
% Composition							
Commercial Aftermarket	49%	49%	49%	49%	49%	49%	
Commercial OE	13%	13%	13%	13%	13%	14%	
Defense and Space	38%	38%	38%	38%	38%	38%	
CS Revenues	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	

- Control Systems enables mission-critical functions across flight operations, life support and safety systems, embedding content across both OE and aftermarket. The segment is deeply penetrated across the global fleet, with >75% of commercial flights using engine start systems, >10K landings per day supported by braking systems and ~10MM passengers per day flying on aircraft equipped with these products.
- The portfolio spans thermal systems including environmental control, cabin pressure and cooling, alongside motion systems such as braking, actuation and landing-related components, as well as engine start and auxiliary electromechanical controls.
- End-market exposure spans commercial OE, commercial aftermarket and defense and space, with installed base scale indicating the aftermarket represents a significant share of lifecycle activity. Increasing electrification and tighter integration between thermal and motion systems are shaping system architecture, including lower weight, reduced power consumption and higher system connectivity.
- From 2025 to 2030, JEF estimates CS revenues increase at a 6% CAGR from $5.18BB to $6.80BB, with Comm'l AM +5%, Comm'l OE +7% and D&S +6%.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

HONA: End Market Build

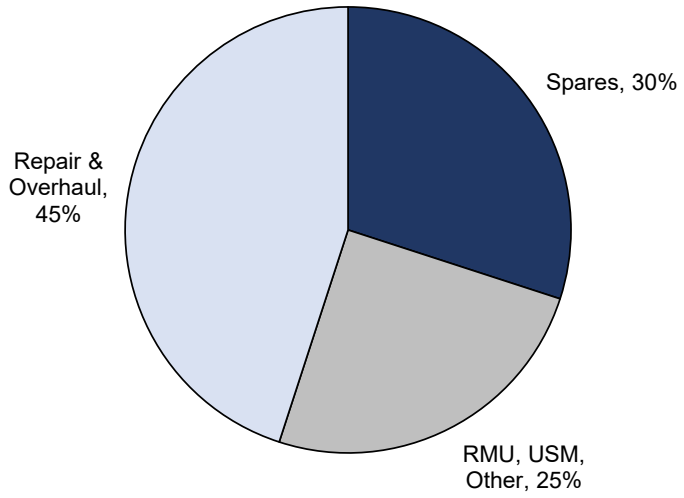
Honeywell Aerospace	2023	2024	2025	2026E	2027E	2028E	2029E	2030E	CAGR	LT Targets
Revenues									**FY25-30**	**FY25-30**
Commercial Aftermarket	$6,303	$7,146	$7,661	$8,468	$9,056	$9,655	$10,238	$10,820	7%	M-HSD
Commercial OE	2,419	2,161	2,594	2,839	3,221	3,511	3,784	4,070	9%	M-HSD
Defense and Space	5,068	6,138	7,149	7,760	8,347	8,897	9,443	9,998	7%	MSD
Total Revenue	**$13,790**	**$15,445**	**$17,404**	**$19,066**	**$20,624**	**$22,063**	**$23,465**	**$24,889**	**7%**	**6-8%**
% YoY Change										
Commercial Aftermarket		13%	7%	11%	7%	7%	6%	6%		
Commercial OE		-11%	20%	9%	13%	9%	8%	8%		
Defense and Space		21%	16%	9%	8%	7%	6%	6%		
Total % Change		**12%**	**13%**	**10%**	**8%**	**7%**	**6%**	**6%**		
% Organic Change		10%	12%	8%	8%	7%	6%	6%		
% Composition										
Commercial Aftermarket	46%	46%	44%	44%	44%	44%	44%	43%		
Commercial OE	18%	14%	15%	15%	16%	16%	16%	16%		
Defense and Space	37%	40%	41%	41%	40%	40%	40%	40%		
Total Revenue	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**		
Profitability										
Total Adj EBIT	**$3,775**	**$3,708**	**$4,338**	**$4,736**	**$5,159**	**$5,588**	**$6,096**	**$6,598**	**9%**	**9% CAGR**
% Margin	27.4%	24.0%	24.9%	24.8%	25.0%	25.3%	26.0%	26.5%		
% Incrementals		-4.0%	32.2%	23.9%	27.2%	29.8%	36.2%	35.3%		
% Growth		-1.8%	17.0%	9.2%	8.9%	8.3%	9.1%	8.2%		

Source: Company data and Jefferies estimates

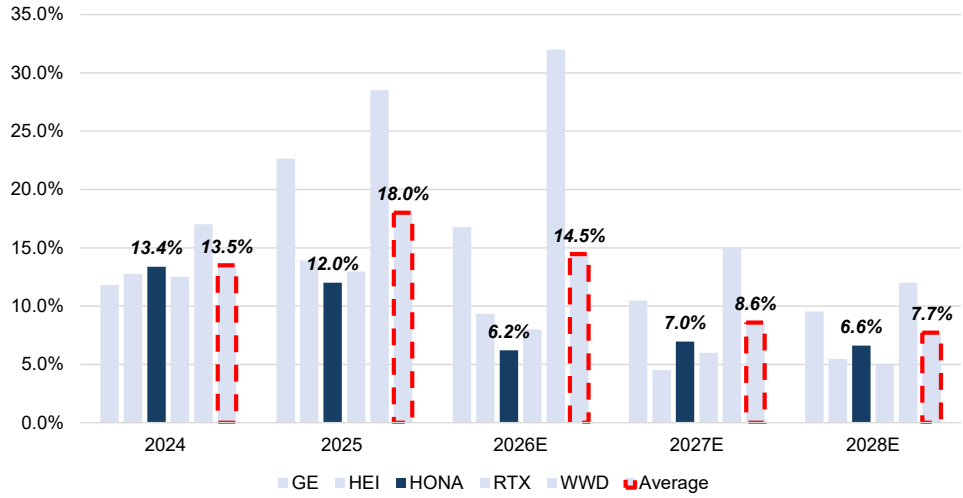
Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

HONA: Commercial AM - 44% of Revenue - Strong Underlying Fundamentals

Aftermarket Underpinned by RPKs Growing at an Assumed 6% CAGR from 2025-2030E



Commercial AM Growth vs Peers - HONA Avg Commercial AM Organic Growth of 9.0% Is Below Peer Average 12.5% Led by WWD



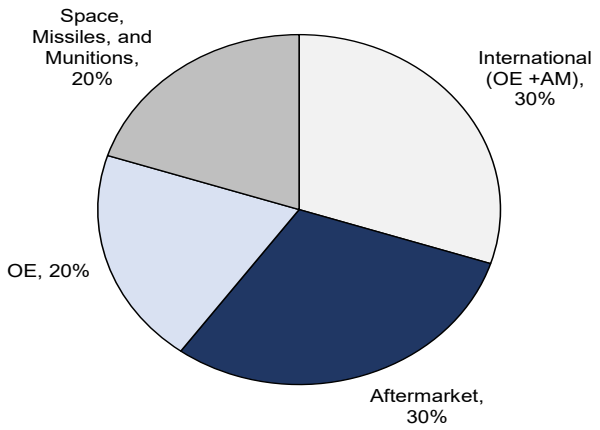
- Commercial Aftermarket increased 6% in Q1 to $1.97BB, with ongoing demand across the installed base offset by supply chain disruption. AM is guided to grow M-HSD in 2026, with our estimate for 6% organic growth and 11% total to $8.47BB. This compares to the $7.66BB of 2025 sales as reported or $7.97BB adjusted for the litigation charge up 12% organic and 7% total compared to $7.15BB in 2024.
- Demand is underpinned by global RPKs growing at ~6% CAGR from 2025-2030E and total flight hours at a ~4% CAGR over the same period. This translates directly into maintenance, repair and overhaul activity, given the link between utilization and service intervals.
- From 2024-2028E HONA is estimated to lag peers in commercial aftermarket organic growth at an average 9.0% annual growth (adjusted for $312MM Flexjet litigation impact in Q4:25) over the period compared to the peer average 12.5%, led by WWD averaging >20% growth.

Source: Company data and Jefferies estimates

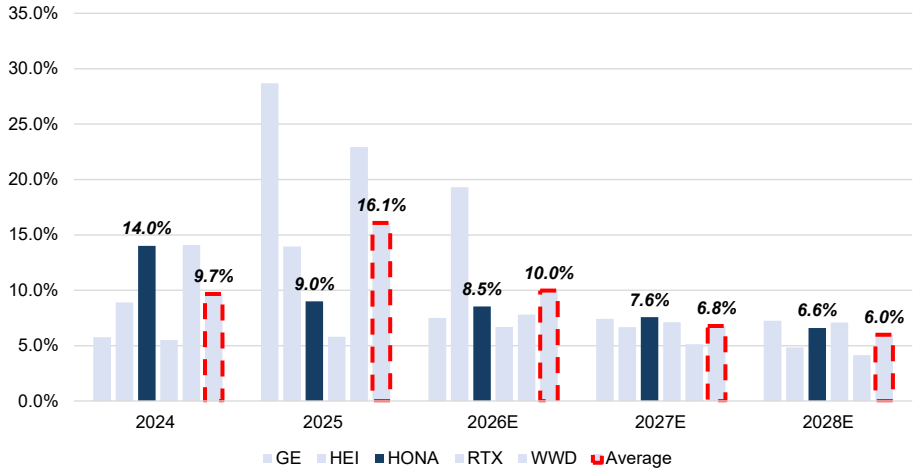
Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

HONA: Defense & Space - 41% of Revenue HSD% Growth Forecast

HONA Defense & Space - Subsegment Breakout (2025)



Defense & Space Growth vs Peers - HONA Avg D&S Organic Growth of 9.1% Is Below Peer Average 9.7%



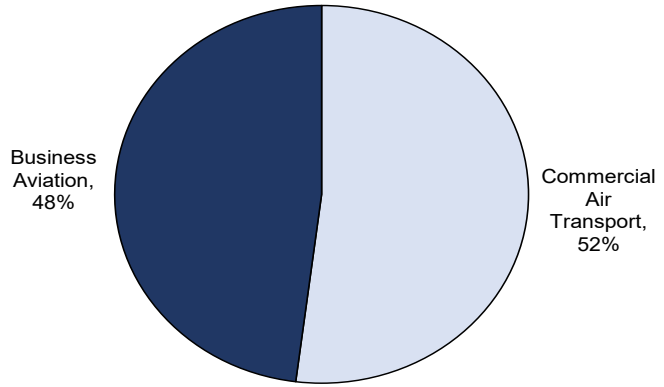
- Defense & Space increased 9% in Q1 to $1.72BB with D&S guided to grow HSD in 2026, with our estimate for 8.5% organic growth to $7.76BB, up from $7.15BB in 2025, having grown 9% organic and 16.5% total from $6.14BB in 2024.
- Defense & Space is broad-based with top programs representing just HSD percentages of the portfolio. The business is deployed across 300+ platforms with ~30% of sales generated internationally, reflecting broad geographic exposure and participation across multiple defense domains.
- International expansion and aftermarket growth represent additional components of the business profile, with international defense sales increasing from ~18% in 2020 to ~30% in 2025 and supported by more than $2BB in wins in 2025.
- From 2024-2028E HONA Defense & Space is estimated to lag peers in organic growth at an average 9.1% annual organic growth over the period compared to the peer average 9.7%. Growth is led by 2024 where HONA D&S grew 14% (+7pts of M&A for 21% total) vs the peer avg 9.7%. From 2026E-2028E, HONA average 7.6% annual D&S organic growth is inline to the peer average.

Source: Company data and Jefferies estimates

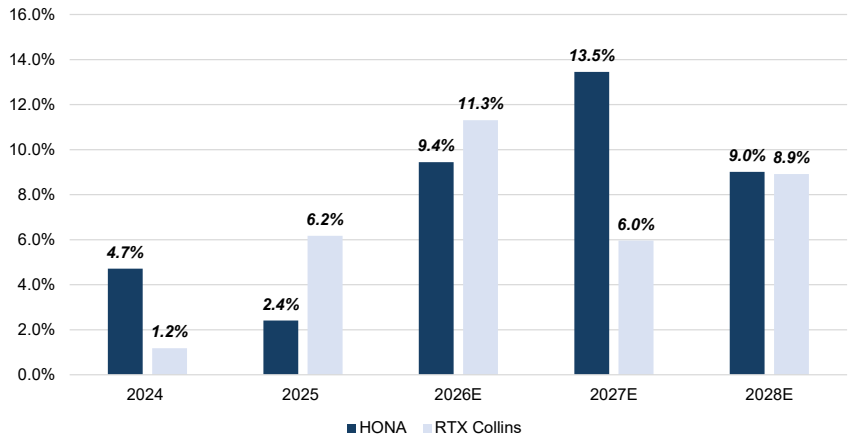
Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

HONA: Commercial OE - 15% of Revenue HSD% Growth Forecast

HONA Commercial OE - Subsegment Breakout (2025)



Commercial OE Growth vs Peers - HONA Avg Commercial OE Organic Growth of 7.8% Is Ahead Of RTX Collins Average 6.7%



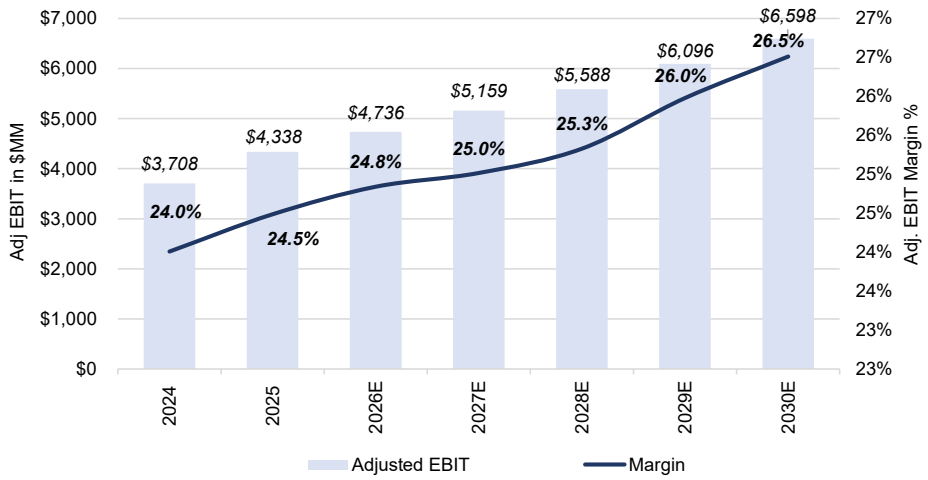
- Commercial OE increased 4% in Q1 to $657MM with OE guided to grow HSD in 2026, with our estimate for 9.4% organic growth to $2.84BB, up from $2.59BB in 2025, having grown 20% from $2.16BB in 2024.
- Mgmt expects the end market to grow M-HSD to 2030 supported by industry assumptions for aircraft deliveries growing ~7% CAGR from 2025-2030 and global air traffic growing ~4% annually, implying sustained OEM build rate ramps.
- In ATR, HONA expects narrowbody & widebody deliveries increase at a 10% CAGR from 1.4K deliveries in 2025 to 2.3K in 2030. In BGA, HONA expects deliveries increase at a 3% CAGR from 1.2K deliveries in 2025 to 1.4K in 2030. JEF estimates are largely inline with these assumptions.
- From 2025 to 2030, JEF estimates Commercial Air Transport revenues increase at a 12% CAGR from $1.35BB (52% of OE sales) to $2.37BB in 2030 (58% of OE sales) while Business Aviation revenues increase at a 6% CAGR from $1.25BB to $1.70BB in 2030.
- Commercial Air Transport growth is strong in 2026 & 2027 on our ests at +16% and +18% respectively driven by both NB and WB production ramps before tapering off to +HSD through 2030.
- From 2024-2028E HONA is estimated to grow commercial OE ahead of its nearest peer (RTX Collins) at 7.8% average annual organic growth (adjusted for $372MM impact from BBD agreement in 2024/2025) over the period vs RTX Collins at 6.7% average annual growth. Over the forecast period, we est HONA commercial OE grows 10.6% organically per year vs RTX Collins 8.7% growth.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

HONA: Profitability: Target 9% EBIT CAGR to >$6.5BB in 2030

Adj EBIT Build - Growing at an 8% CAGR Versus Sales +7%, To ~$6.6BB by 2030 at ~26.5% Margins



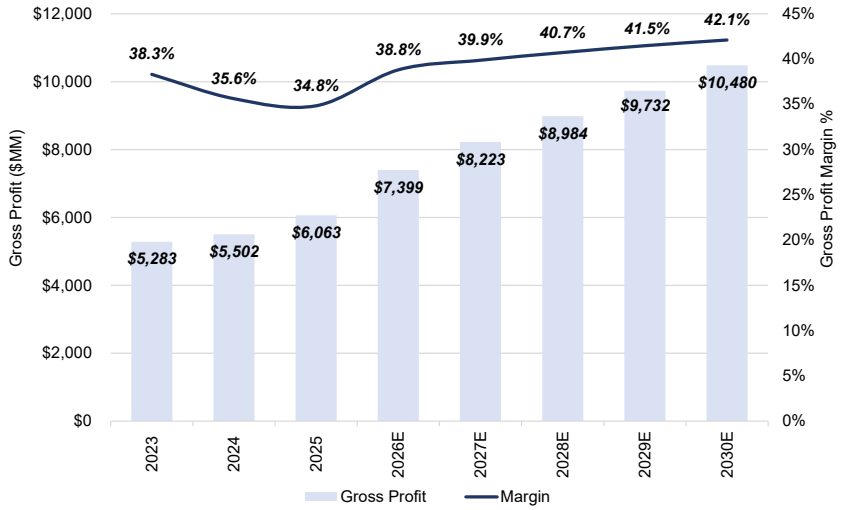
- Aerospace Technologies segment margins were 26.5% in Q1, up 20 bps y-o-y due to favorable pricing and mix, with some offset from cost inflation.
- HONA Adj EBIT is guided to $4.65-4.75BB, implying margins flat y-o-y at ~25% and EBIT up 7-9% y-o-y from $4.34BB in 2025.
- In ATR, HONA expects narrowbody & widebody deliveries increase at a 10% CAGR from 1.4K deliveries in 2025 to 2.3K in 2030. In BGA, HONA expects deliveries increase at a 3% CAGR from 1.2K deliveries in 2025 to 1.4K in 2030. JEF estimates are largely inline with these assumptions.
- Adj EBIT of $4.3BB in 2025 represented ~25% margins. Mgmt expects to expand Adj EBIT at a 9% CAGR to >$6.5BB in 2030, ahead of the organic sales CAGR of 6-8%, supporting margin expansion of >150 bps to >26.5%. Core drivers include the benefit of volumes (++) partially offset by mix (-), positive price-cost (+), productivity improvements (+), offset by investments (-).
- HONA has invested over $1BB in the supply chain over the past 3 years, unlocking a 17% output CAGR through efforts including in-sourcing, multi-sourcing, talent management, and select supplier investments. These investments continue with a more focused approach as a standalone company with greater engagement downstream with suppliers.
- From 2025 to 2030, JEF estimates Adj EBIT increases at an 8.8% CAGR to $6.6BB, with margins increasing to ~26.5% in 2030.

Source: Company data and Jefferies estimates

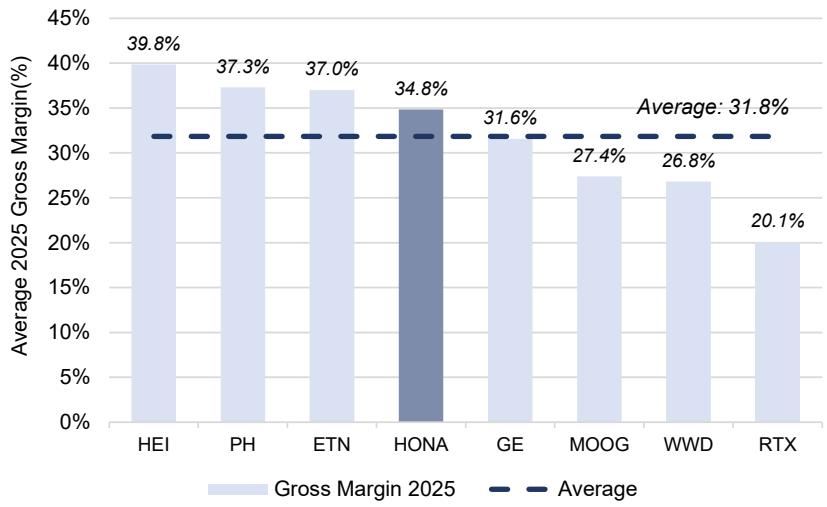
Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

HONA: Gross profit up 10.2% y-o-y to $6.1BB in 2025 resulting in gross margins of 34.8%

Gross Profit Margins Expand to Low ~40% Range In 2028+



Gross Margin 2025 - HONA at 34.8% Gross Margin Sits Above the Group Average of 31.8%



- Gross profit increased 10.2% y-o-y to $6.1BB in 2025 resulting in gross margins of 34.8%, down 80 bps y-o-y. Margin compression vs 2024 was driven by $339MM of acquisition costs and $61MM litigation expense tied to Q4:25 Flexjet litigation, partially offset by increased sales volumes.
- Gross margins in 2024 declined 270bps y-o-y from 2023 due to labor and materials inflation, along with $222MM of acquisition costs.
- With one-time litigation charges realized, JEF estimates gross margins improve +400bps in 2026 to 38.8% and expand thereafter into the low 40% range through 2030 on operational execution through the HONA Operating System along with price realization from renegotiating large comm'l OE contracts.
- In 2025, HONA generated gross margins of 34.8%, +3.0pts above the group average of 31.8%.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

HONA: FCF: Target 10% FCF CAGR to >$4BB in 2030 with ~100% Long-Term Conversion

FCF Build - FCF Grows At 11% CAGR to $4.2BB by 2030E with Conversion Approaching ~100%

	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
Net Income	$2,914	$2,849	$2,722	$2,762	$3,299	$3,755	$4,201	$4,636
Depreciation and Amortization	302	346	412	439	464	485	504	523
SBC & Other Non-Cash	(65)	(190)	214	200	105	110	115	120
PF Standalone Costs	0	0	(700)	0	0	0	0	0
Working Capital	(167)	(467)	357	(1,108)	(616)	(528)	(481)	(416)
Operating Cash Flow	**$2,984**	**$2,538**	**$3,005**	**$2,292**	**$3,253**	**$3,823**	**$4,339**	**$4,862**
Capital Expenditures	(387)	(488)	(504)	(667)	(619)	(662)	(680)	(697)
Free Cash Flow	**$2,597**	**$2,050**	**$2,501**	**$1,624**	**$2,634**	**$3,161**	**$3,659**	**$4,165**
FCF per Share				*$5.12*	*$8.29*	*$9.97*	*$11.57*	*$13.24*
Deployment								
Dividends	$0	$0	$0	($317)	($699)	($768)	($880)	($1,007)
Share (Repurchases) / Issuance	0	0	0	0	(600)	(800)	(1,000)	(1,200)
Debt Issuance/Paydown	0	0	0	1,147	0	(1,250)	(1,750)	(1,000)
Acquisitions	0	(2,130)	0	0	0	0	0	0
Total Deployment	**$0**	**($2,130)**	**$0**	**$830**	**($1,299)**	**($2,818)**	**($3,630)**	**($3,207)**
Discretionary FCF	**$2,597**	**($80)**	**$2,501**	**$2,454**	**$1,335**	**$343**	**$29**	**$959**
Ratios								
FCF to Adj. Net Income Conversion	89%	72%	113%	60%	86%	91%	94%	96%
FCF to Sales Conversion	19%	13%	14%	9%	13%	14%	16%	17%
FCF Yield (FCF / Mkt Cap)	NM	NM	NM	NM	NM	NM	NM	NM
FCF YoY Change		-21%	22%	-35%	62%	20%	16%	14%
Discretionary FCF Yield	NM	NM	NM	NM	NM	NM	NM	NM
Discretionary FCF % Change YoY		-103%	-3226%	-2%	-46%	-74%	-92%	3194%
Dividend as a % of Net Income	0%	0%	0%	11%	21%	20%	21%	22%
Dividend Yield	NM	NM	NM	NM	NM	NM	NM	NM
Capex as a % of Sales	2.8%	3.2%	2.9%	3.5%	3.0%	3.0%	2.9%	2.8%
Share Repurchases as % of Mkt Cap	NM	NM	NM	NM	NM	NM	NM	NM
% of Cash Returned to Shareholders	0%	0%	0%	20%	49%	50%	51%	53%

- 2025 HONA FCF of $3.3BB from the Form-10 converted at a 19% margin on sales, although after $0.7BB pro-forma standalone costs, FCF was $2.5BB at a 14% margin, including $0.5BB of capex at 2.9% of sales. Management expects H2:26 FCF of $1.0-1.5BB.
- Mgmt targets a ~10% FCF CAGR to >$4BB in 2030 with LT conversion of ~100% of Adj NI, driven by earnings growth offset by capital expenditures & other including working capital, despite highlighting $1BB of inventory unwind if inventory turns returned to 2018 levels.
- JEF estimates FCF of $1.63BB in 2026, including $2.76BB of net income, a $1.11BB working capital usage, and capex of $667MM (incl $100MM of one-time transaction related costs) at 3.5% of sales. FCF improves alongside earnings growth and working capital tailwinds to $2.63BB in 2027 and $3.16BB in 2028, with capex as a % of sales stable in the ~3% range, representing mid-teens FCF margins and >90% conversion of Adj NI. We est FCF grows at an 11% CAGR from 2025 to $4.2BB in 2030 with FCF conversion of 96% approaching the LT target of ~100%.
- JEF estimates HONA deploys $10BB of deployment from 2026 to 2030 including $3.7BB of dividends (payout ratio >20%), $3.6BB of share repurchases to offset dilution and $2.9BB towards debt paydown.

Source: Company data and Jefferies estimates

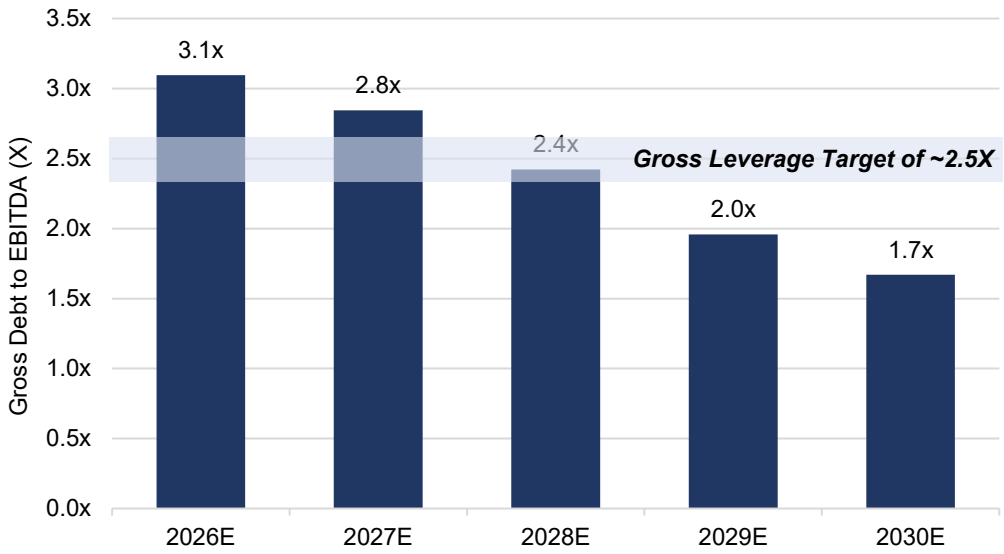
Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

HONA: Debt Build

Debt Build - ~$15.85BB In Total Debt and $2.66BB in Cash With Upcoming Maturities in 2028 & 2029

Debt Build	2026E	2027E	2028E	2029E	2030E
3.90% Senior Notes due 2028	$1,250	$1,250	$0	$0	$0
4.00% Senior Notes due 2029	1,250	1,250	1,250	0	0
Floating Rate Senior Notes due 2029	500	500	500	0	0
4.30% Senior Notes due 2031	2,000	2,000	2,000	2,000	1,000
4.60% Senior Notes due 2033	1,750	1,750	1,750	1,750	1,750
4.95% Senior Notes due 2036	3,250	3,250	3,250	3,250	3,250
5.622% Senior Notes due 2046	1,000	1,000	1,000	1,000	1,000
5.732% Senior Notes due 2056	3,500	3,500	3,500	3,500	3,500
5.852% Senior Notes due 2066	1,500	1,500	1,500	1,500	1,500
Other	8	8	8	8	8
Debt Issuance Costs	(157)	(157)	(157)	(157)	(157)
Total Debt	**$15,851**	**$15,851**	**$14,601**	**$12,851**	**$11,851**
Less: Cash & Equivalents	2,658	3,994	4,337	4,366	5,325
Net Debt	**$13,193**	**$11,857**	**$10,264**	**$8,485**	**$6,526**
Leverage Ratios					
Net Debt/Adj. EBITDA	2.6x	2.1x	1.7x	1.3x	0.9x
Debt/Adj. EBITDA	3.1x	2.8x	2.4x	2.0x	1.7x
Adj. EBITDA	$5,117	$5,572	$6,030	$6,565	$7,096
Cost of Debt & Cash					
Interest Expense	$797	$792	$743	$672	$629
% Effective Interest Rate	*5.0%*	*5.0%*	*5.1%*	*5.2%*	*5.3%*

Gross Leverage Target of ~2.5X Over the Medium Term



- Total debt stands at ~$16BB today vs ~$1BB of cash, with a medium-term gross leverage target of 2.5X.
- At the end of 2026, JEF estimates $15.85BB of total debt and $2.66BB of cash for net debt of $13.19BB, or net leverage of 2.6X and gross leverage of 3.1X. HONA guided to ~$800MM of PF interest expense in 2026. We forecast $1.25BB and $1.75BB of principal payments in 2028 and 2029 respectively as Senior Notes reach maturity, with FCF generation driving HONA gross leverage down to 2.4X in 2028E vs medium term target of ~2.5X.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

HONA: Annual Income Statement

$MM except per share data	2024		2025		2026E		2027E		2028E		2029E		2030E	
	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales
Net Sales	**$15,445**		**$17,404**		**$19,066**		**$20,624**		**$22,063**		**$23,465**		**$24,889**	
COGS	9,943	64.4%	11,341	65.2%	11,667	61.2%	12,401	60.1%	13,080	59.3%	13,733	58.5%	14,409	57.9%
Gross Profit	**$5,502**	**35.6%**	**$6,063**	**34.8%**	**$7,399**	**38.8%**	**$8,223**	**39.9%**	**$8,984**	**40.7%**	**$9,732**	**41.5%**	**$10,480**	**42.1%**
R&D	$567	3.7%	$677	3.9%	$763	4.0%	$825	4.0%	$883	4.0%	$939	4.0%	$996	4.0%
SG&A	1,426	9.2%	2,129	12.2%	2,383	12.5%	2,475	12.0%	2,648	12.0%	2,816	12.0%	2,987	12.0%
Other (Income) / Expense, net	141	0.9%	62	0.4%	76	0.4%	82	0.4%	88	0.4%	94	0.4%	100	0.4%
Total Operating Expenses	**$2,134**	**13.8%**	**$2,868**	**16.5%**	**$3,222**	**16.9%**	**$3,382**	**16.4%**	**$3,618**	**16.4%**	**$3,848**	**16.4%**	**$4,082**	**16.4%**
GAAP Operating Profit	**$3,368**	**21.8%**	**$3,195**	**18.4%**	**$4,177**	**21.9%**	**$4,840**	**23.5%**	**$5,365**	**24.3%**	**$5,884**	**25.1%**	**$6,398**	**25.7%**
Adjusted EBIT	**$3,708**	**24.0%**	**$4,338**	**24.9%**	**$4,736**	**24.8%**	**$5,159**	**25.0%**	**$5,588**	**25.3%**	**$6,096**	**26.0%**	**$6,598**	**26.5%**
Interest & Financial Charges	0		839		797		792		743		672		629	
HON Trademark License Expense	0		225		225		225		225		225		225	
Other Below-the-Line	309		476		349		330		305		290		275	
Adj. Pre-Tax Income	**$3,399**		**$2,798**		**$3,365**		**$3,812**		**$4,315**		**$4,909**		**$5,469**	
Taxes (% Rate)	519	15.3%	541	19.3%	616	18.3%	705	18.5%	809	18.8%	952	19.4%	1,075	19.7%
Noncontrolling Interest	32		35		40		44		48		52		54	
Adj. Net Income Attributable to HONA	**$2,848**	**18.4%**	**$2,222**	**12.8%**	**$2,709**	**14.2%**	**$3,063**	**14.9%**	**$3,458**	**15.7%**	**$3,905**	**16.6%**	**$4,341**	**17.4%**
Shares Outstanding					317		318		317		316		315	
Adjusted Diluted EPS					**$8.55**		**$9.65**		**$10.90**		**$12.35**		**$13.80**	

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

HONA: Operating Segment Data

$MM except per share data	2024	% of Mix	2025	% of Mix	2026E	% of Mix	2027E	% of Mix	2028E	% of Mix	2029E	% of Mix	2030E	% of Mix
Revenue														
Electronic Solutions	$6,025	39%	$6,816	39%	$7,413	39%	$8,032	39%	$8,625	39%	$9,200	39%	$9,776	39%
Engines & Power Systems	4,731	31%	5,411	31%	6,185	32%	6,775	33%	7,279	33%	7,782	33%	8,313	33%
Control Systems	4,689	30%	5,177	30%	5,468	29%	5,817	28%	6,159	28%	6,483	28%	6,800	27%
Total Revenue	**$15,445**	**100%**	**$17,404**	**100%**	**$19,066**	**100%**	**$20,624**	**100%**	**$22,063**	**100%**	**$23,465**	**100%**	**$24,889**	**100%**
% YoY Change														
Electronic Solutions			13.1%		8.8%		8.4%		7.4%		6.7%		6.3%	
Engines & Power Systems			14.4%		14.3%		9.5%		7.4%		6.9%		6.8%	
Control Systems			10.4%		5.6%		6.4%		5.9%		5.3%		4.9%	
Total Revenue			**12.7%**		**9.6%**		**8.2%**		**7.0%**		**6.4%**		**6.1%**	
Adj EBIT														
Electronic Solutions	$1,912	52%	$1,988	45%	$2,150	45%	$2,329	45%	$2,527	45%	$2,760	45%	$2,982	45%
Engines & Power Systems	692	19%	1,064	24%	1,206	25%	1,335	26%	1,456	26%	1,611	26%	1,771	27%
Control Systems	1,226	33%	1,523	34%	1,520	32%	1,640	32%	1,755	31%	1,880	31%	2,006	30%
Corporate	(122)	-3%	(117)	-3%	(140)	-3%	(145)	-3%	(150)	-3%	(155)	-3%	(160)	-2%
Total Adj EBIT	**$3,708**	**100%**	**$4,458**	**100%**	**$4,736**	**100%**	**$5,159**	**100%**	**$5,588**	**100%**	**$6,096**	**100%**	**$6,598**	**100%**
% Margin														
Electronic Solutions	31.7%		29.2%		29.0%		29.0%		29.3%		30.0%		30.5%	
Engines & Power Systems	14.6%		19.7%		19.5%		19.7%		20.0%		20.7%		21.3%	
Control Systems	26.1%		29.4%		27.8%		28.2%		28.5%		29.0%		29.5%	
Corporate														
Adj EBIT Margins	**24.0%**		**25.6%**		**24.8%**		**25.0%**		**25.3%**		**26.0%**		**26.5%**	
Incremental Margins			**38.3%**		**16.7%**		**27.2%**		**29.8%**		**36.2%**		**35.3%**	

Source: Company data and Jefferies estimates

HONA: Annual Balance Sheet

$MM except per share data	2024	2025	2026E	2027E	2028E	2029E	2030E
Cash & Equivalents	$244	$213	$2,658	$3,994	$4,337	$4,366	$5,325
Account Receivables, net	2,019	2,156	2,326	2,557	2,758	2,933	3,111
Inventories	3,889	4,311	4,671	5,012	5,317	5,585	5,824
Current Contract Assets	1,210	1,366	1,525	1,691	1,831	1,971	2,116
Property, Plant and Equipment, net	2,033	2,101	2,451	2,726	3,028	3,331	3,649
Goodwill	3,028	3,025	3,025	3,025	3,025	3,025	3,025
Other Intangible Assets, net	2,135	2,177	2,056	1,935	1,810	1,683	1,539
Other Assets	2,287	2,336	2,336	2,336	2,336	2,336	2,336
Total Assets	**$16,845**	**$17,685**	**$21,049**	**$23,276**	**$24,443**	**$25,230**	**$26,925**
Accounts Payable	$2,667	$2,883	$2,765	$2,836	$2,912	$2,980	$3,111
Current Contract Liabilities	1,359	1,589	1,678	1,691	1,721	1,760	1,792
Accrued Liabilities	1,793	2,105	1,716	1,753	1,765	1,760	1,742
Long-Term Debt	0	0	15,851	15,851	14,601	12,851	11,851
Contract Liabilities	1,042	1,091	1,091	1,091	1,091	1,091	1,091
Other Liabilities	1,156	1,521	1,521	1,521	1,521	1,521	1,521
Total Liabilities	**$8,017**	**$9,189**	**$24,621**	**$24,743**	**$23,611**	**$21,963**	**$21,108**
Total Equity	**$8,828**	**$8,496**	**($3,572)**	**($1,467)**	**$831**	**$3,267**	**$5,816**
Total Liabilities and Equity	**$16,845**	**$17,685**	**$21,049**	**$23,276**	**$24,443**	**$25,230**	**$26,925**

Source: Company data and Jefferies estimates

Hexcel (HXL)

Hold | Price Target: $110

Valuation Method	Price	Assumptions
EV/EBITDA	105	20.0x EV/EBITDA on 2027 EBITDA of $442MM
P/E	108	36.0x P/E on 2027 EPS of $3.00
FCF	117	2.7% FCF Yield on 2027 FCF of $243MM
Average	**$110**	**Blended Average**

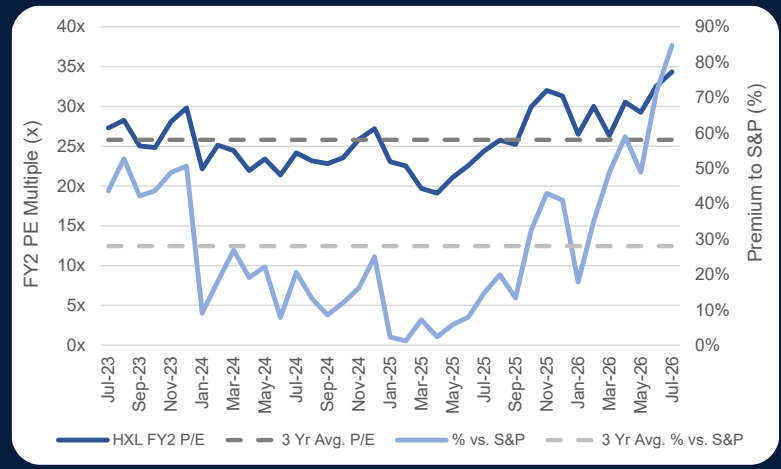
Valuation Table

	Ticker	JEF Rating	Stock Px 7/31/2026	Consensus BUY Rating	Market Cap	Enterprise Value	P/E 2026E	P/E 2027E	P/E 2028E	EV / SALES 2026E	EV / SALES 2027E	EV / SALES 2028E	EV / EBITDA 2026E	EV / EBITDA 2027E	EV / EBITDA 2028E	Dividend Yield	FCF Yield
Airbus	AIR-FR	Buy	$202.20	75%	160,200	161,615	27.8x	23.5x	18.8x	2.0x	1.8x	1.6x	15.0x	13.0x	11.1x	1.6%	3.9%
Applied Aerospace	AADX	Buy	$18.70	86%	3,193	4,218	NM	45.1x	36.8x	6.2x	5.3x	4.7x	27.7x	22.4x	18.5x	0.0%	3.0%
ATI Inc	ATI	N/C	$187.44	92%	25,580	27,521	42.2x	34.6x	29.4x	5.5x	5.0x	4.7x	26.2x	22.5x	20.1x	0.0%	2.5%
Boeing	BA	Buy	$216.14	75%	170,831	196,779	NM	54.4x	27.0x	2.0x	1.7x	1.6x	46.1x	22.9x	16.1x	0.0%	3.6%
Carpenter Technology	CRS	N/C	$519.66	73%	25,820	26,543	48.3x	39.3x	32.7x	8.5x	7.6x	6.9x	31.0x	26.0x	22.3x	0.2%	2.7%
Crane	CR	N/C	$213.46	91%	12,326	13,392	30.7x	27.3x	24.1x	4.7x	4.4x	4.2x	21.0x	19.1x	17.1x	0.5%	3.6%
Curtis-Wright	CW	N/C	$724.00	60%	26,745	27,635	47.5x	42.4x	37.5x	7.3x	6.8x	6.2x	32.6x	29.5x	26.7x	0.1%	2.4%
Howmet Aerospace	HWM	Buy	$282.26	79%	112,934	116,163	55.7x	46.6x	39.3x	11.9x	10.5x	9.5x	37.2x	32.1x	28.1x	0.2%	1.9%
Karman	KRMN	N/C	$48.15	92%	6,381	7,174	83.4x	52.3x	37.9x	9.8x	7.7x	6.1x	33.6x	25.4x	19.8x	0.0%	1.7%
Montana Aerospace	AERO-CH	N/C	$24.20	50%	1,517	1,551	25.0x	19.2x	20.0x	1.6x	1.4x	1.3x	8.9x	7.7x	7.0x	0.0%	4.3%
Moog Inc.	MOG.A	N/A	$389.85	67%	11,087	13,665	36.6x	33.4x	30.0x	3.1x	2.9x	2.7x	21.5x	19.7x	18.1x	0.3%	1.6%
RBC Bearings	RBC	N/C	$551.31	67%	17,441	18,375	38.3x	34.0x	30.9x	8.7x	7.9x	7.4x	26.8x	24.1x	22.2x	0.0%	NM
Woodward	WWD	Buy	$360.75	85%	21,301	22,903	38.2x	33.7x	28.4x	5.3x	4.9x	4.4x	25.2x	22.5x	19.3x	0.3%	2.5%
Average				76%			**43.1x**	**37.4x**	**30.2x**	**5.9x**	**5.2x**	**4.7x**	**27.1x**	**22.1x**	**18.9x**	**0.2%**	**2.8%**
Hexcel	**HXL**	**Hold**	**$102.95**	**26%**	**7,785**	**8,773**	**43.1x**	**34.3x**	**29.4x**	**4.2x**	**3.9x**	**3.7x**	**22.0x**	**19.9x**	**18.2x**	**0.7%**	**3.5%**
Discount / Premium							**0%**	**-8%**	**-3%**	**-30%**	**-26%**	**-22%**	**-19%**	**-10%**	**-4%**		**-20%**

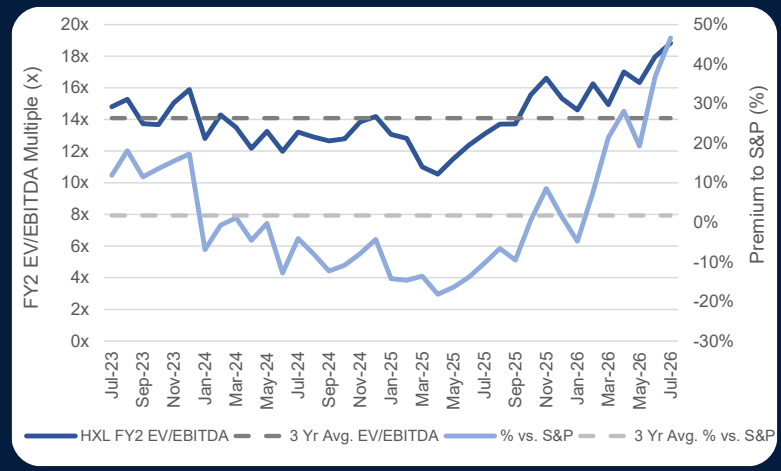
Featured Notes:

- Hitting .350 of Late with Lots of Singles & Doubles Adding Up Into the Margins | *August 2, 2026*
- Hexcellent Start with Foot Kept on the Gas Pedal | *Apr 26, 2026*
- In Need to Grow EPS Into Its Widening Multiple | *Feb 1, 2026*

Trading at 34.4X FY2 P/E, 85% Prem to Mkt vs. Historical Avg Prem of 28%



Trading at 18.8X FY2 EV/EBITDA, 47% Prem to Mkt vs. Historical Avg Prem of 2%



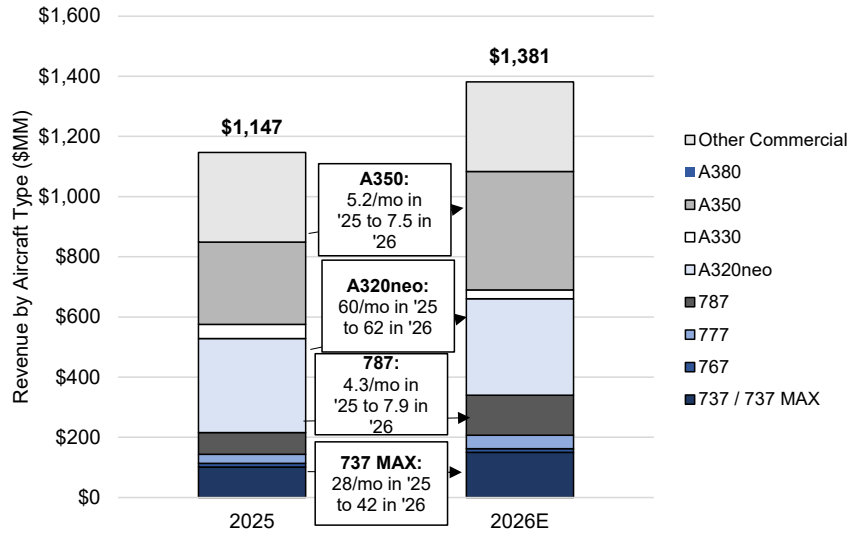
Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

Source: Company data, Jefferies estimates, FactSet

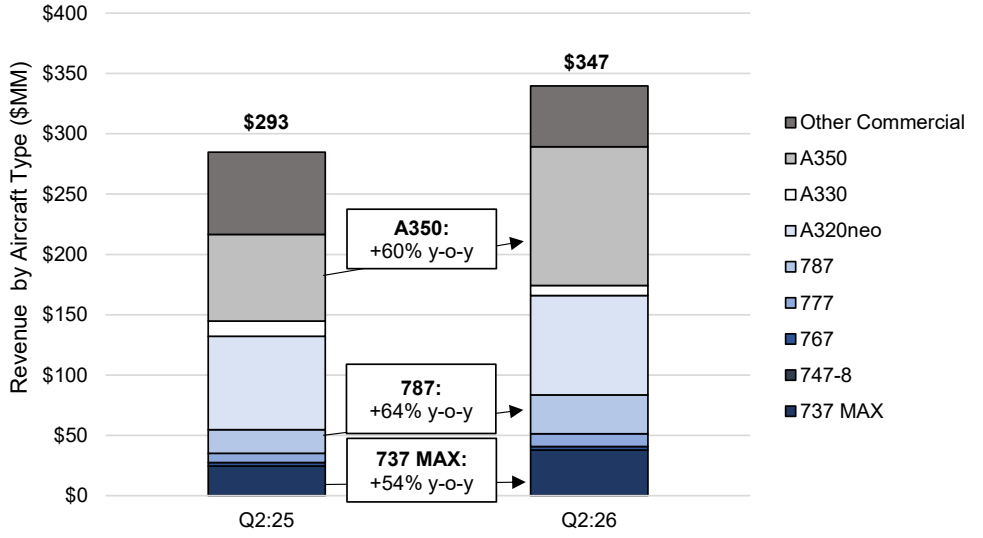
HXL: Widebodies Driving LDD Revenue Growth in 2026

- Q2 sales of $529MM rose 8.0% y-o-y (+8.1% constant currency), on Commercial Aerospace up 18.3% (18.8% constant currency), while Defense, Space & Other fell 7.2% (-7.7% constant currency).
- The 2026 guidance was raised by +1% to $2.025-2.125BB (from $2.0-2.1BB), or up ~10% y-o-y, driven by Commercial Aerospace. Our 2026 estimate of $2.12BB factors in a 12% y-o-y increase from $1.89BB in 2025, driven by a 20% increase in the Commercial Aerospace business and 1% decline at Defense, Space & Other.
- The company disclosed that it has >80 ship-to locations for the A320 family and >30 on the MAX, so it is a complex supply chain. The company is prepared to meet the production ramp for both narrowbody platforms once the OEMs are ready.

Widebody Growth Drives 2026 Commercial Revenue



Revenue Drivers by Program - WBs Driving Growth in Q2

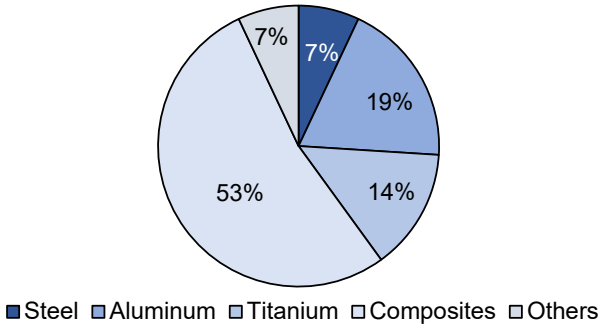


Source: Company data and Jefferies estimates

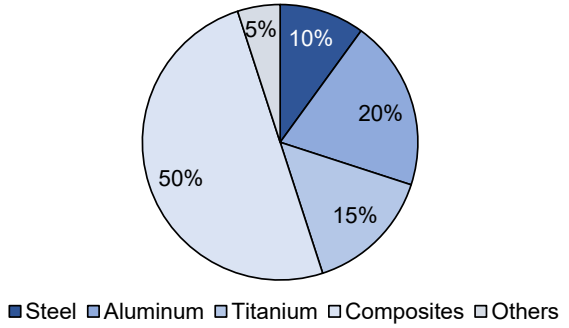
Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

HXL: Widebodies Drivng LDD Revenue Growth in 2026

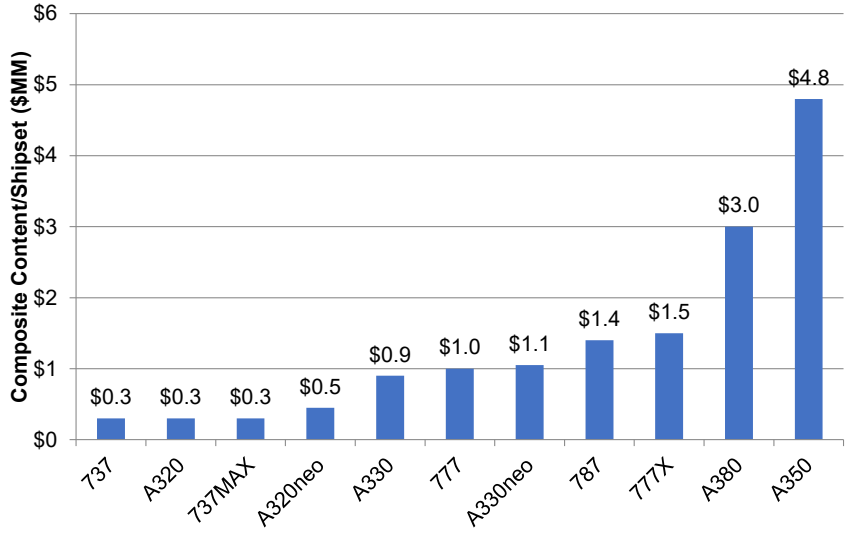
Airbus A350XWB Material Composition by Structural Weight - Highest Carbon Fiber Content of Current Aircraft



BA 787 is 50% Composites by Structural Weight



HXL Composite Content Increasing on Newer Aircraft ($MM)



- Commercial Aerospace accounted for 61% of 2025 sales. HXL is the largest supplier of carbon fiber products to commercial aerospace companies with a broad platform exposure across its portfolio. HXL has the highest content on newer widebody aircraft including the 787 and A350XWB, where carbon fiber composites account for ~50% of the airframe.
- Large cabin business jets such as the G600 and Dassault platforms have significant composite content closer to the high end of the $200-500K range, which is supportive of growth in Other Commercial. Other commercial grew 4% in Q1 supported by regional jets and biz jets. The EIS of the Dassault 10X will support another step higher given it has a HXL carbon fiber wing, although this is no earlier than 2027.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

HXL: Commercial Aero Expected Up 20% in 2026E With Production Alignment

Commercial Revenue Build - Up 20% in 2026E, Driven by A350 Rebound

	2018	2019	2020	2021	2022	2023	2024	2025	2026E	2027E
Boeing										
737	$97	$23	$4	$5	$2	$0	$0	$0	$0	$0
737 MAX	102	226	10	56	75	107	93	101	150	169
747-8	9	9	8	8	8	0	0	0	0	0
767	10	9	18	11	15	17	12	12	12	14
777	46	44	56	38	38	42	30	30	45	57
787	203	231	146	42	36	49	112	73	133	168
Sub-Total	**$467**	**$542**	**$240**	**$159**	**$174**	**$215**	**$247**	**$216**	**$340**	**$409**
Airbus										
A220	$0	$0	$16	$12	$14	$18	$24	$30	$27	$38
A320 Family	72	21	2	0	0	0	0	0	0	0
A320neo	174	236	194	141	200	259	279	312	313	326
A330	46	44	20	19	26	35	38	47	29	46
A350	514	523	206	197	312	315	364	273	393	388
A380	36	24	12	15	0	0	0	0	0	0
Sub-Total	**$841**	**$848**	**$451**	**$384**	**$552**	**$626**	**$704**	**$663**	**$762**	**$797**
Other Content (Biz Jet and other)	217	208	131	125	186	227	243	268	271	280
Total	**$1,525**	**$1,598**	**$822**	**$668**	**$912**	**$1,069**	**$1,194**	**$1,147**	**$1,373**	**$1,486**

Estimated Content From BA and AIR	2018	2019	2020	2021	2022	2023	2024	2025	2026E	2027E
Boeing										
737	$300,000	$300,000	$300,000	$300,000	$300,000	$300,000	$300,000	$300,000	$300,000	$300,000
737 MAX	400,000	400,000	400,000	400,000	300,000	300,000	300,000	300,000	300,000	300,000
747-8	1,500,000	1,500,000	1,500,000	1,500,000	1,500,000	1,500,000	1,500,000	1,500,000	1,500,000	1,500,000
767	600,000	600,000	600,000	600,000	600,000	600,000	600,000	600,000	600,000	600,000
777	1,000,000	1,250,000	1,500,000	1,500,000	1,500,000	1,500,000	1,500,000	1,500,000	1,500,000	1,500,000
787	1,400,000	1,400,000	1,400,000	1,400,000	1,400,000	1,400,000	1,400,000	1,400,000	1,400,000	1,400,000
Avg. Content	**$866,667**	**$908,333**	**$950,000**	**$950,000**	**$933,333**	**$933,333**	**$933,333**	**$933,333**	**$933,333**	**$933,333**
Airbus										
A220	300,000	300,000	300,000	300,000	300,000	300,000	300,000	300,000	300,000	300,000
A320ceo	300,000	300,000	300,000	300,000	300,000	300,000	300,000	300,000	300,000	300,000
A320neo	450,000	450,000	450,000	450,000	450,000	450,000	450,000	450,000	450,000	450,000
A330	900,000	900,000	900,000	900,000	900,000	900,000	900,000	900,000	900,000	900,000
A330neo	1,050,000	1,050,000	1,050,000	1,050,000	1,050,000	1,050,000	1,050,000	1,050,000	1,050,000	1,050,000
A350	4,800,000	4,800,000	4,800,000	4,800,000	4,800,000	4,800,000	4,800,000	4,800,000	4,800,000	4,800,000
A380	3,000,000	3,000,000	3,000,000	3,000,000	3,000,000	3,000,000	3,000,000	3,000,000	3,000,000	3,000,000

HXL Estimated Shipset Deliveries	2018	2019	2020	2021	2022	2023	2024	2025	2026E	2027E
Boeing										
737	322	78	14	15	8	0	0	0	0	0
737 MAX	256	564	24	140	250	355	311	337	500	564
747-8	6	6	5	5	5	0	0	0	0	0
767	17	15	30	19	25	29	20	20	20	24
777	46	35	37	25	25	28	20	20	30	38
787	145	165	104	30	26	35	80	52	95	120
Sub-Total	**792**	**863**	**214**	**234**	**339**	**447**	**431**	**429**	**645**	**746**
Airbus										
A220	0	0	54	40	45	60	80	101	90	125
A320ceo	239	70	6	0	0	0	0	0	0	0
A320neo	386	524	432	314	445	575	619	694	695	725
A330	44	42	19	18	25	33	36	45	28	44
A350	107	109	43	41	65	66	76	57	82	80
A380	12	8	4	5	0	0	0	0	0	0
Sub-Total	**788**	**753**	**558**	**418**	**580**	**734**	**811**	**897**	**895**	**974**
Total	**1,580**	**1,616**	**772**	**652**	**919**	**1,181**	**1,242**	**1,326**	**1,540**	**1,720**

- Commercial Aerospace revenues increased 18.3% (+18.8% in constant currency; 65% of Q2 revenues), driven by growth in all four major programs (A350/A320/787/737), led by Widebody strength on the A350 and 787 programs. Other Commercial was up 3.7%.
- We estimate the A320neo program contributed $82MM for Q2:26, up 6% from $77MM a year ago at a 61/mo functional rate, with the 787 contributing $32MM and up 64% y-o-y at a ~8/mo rate vs 5/mo in Q2:25. We estimate A350 contribution up ~60% to $115MM, on production increasing to the 8/mo range from the 5/mo range a year ago. 737 MAX likely rose 54% y-o-y to $38MM in Q2, assuming shipments of ~42/mo vs an easy comp of 27/mo a year ago.
- We estimate that the total contributions from Airbus were up 25% y-o-y in Q2, while Boeing programs were up 53%. Total commercial aero grew to $346.6MM from $293.1MM in the year ago quarter. We estimate widebodies were up 48%, while narrowbodies were up 18% supported by the MAX in particular.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

HXL: Space and Defense Decline 1% on Divestiture, +3% Organic

Defense Revenue Build - LSD Organic Growth, Offset by Industrial Plant Divestiture Headwind

	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
F-35	34	35	50	68	101	90	107	106	110	83	143	117	117	117
CH-53K		0	0	0	0	0	9	12	12	24	48	48	48	48
Black Hawk		42	43	30	25	24	26	23	15	20	23	22	22	22
V-22 Osprey		33	33	29	24	26	23	20	12	21	12	3	0	0
Rafale Fighter Jet				4	9	5	9	5	5	7	9	10	13	15
A400M Transport														
Sub-Total	**$34**	**$110**	**$126**	**$131**	**$158**	**$144**	**$173**	**$165**	**$154**	**$155**	**$235**	**$199**	**$199**	**$202**
Other Platforms		212	218	239	287	305	262	300	391	414	512	539	565	586
Total	**$34**	**$322**	**$344**	**$370**	**$445**	**$449**	**$435**	**$465**	**$545**	**$570**	**$747**	**$739**	**$764**	**$788**
YoY % Change		*853%*	*7%*	*8%*	*20%*	*1%*	*-3%*	*7%*	*17%*	*5%*	*31%*	*-1%*	*3%*	*3%*

Estimated Content on Military Platforms	**2015**	**2016**	**2017**	**2018**	**2019**	**2020**	**2021**	**2022**	**2023**	**2024**	**2025**	**2026E**	**2027E**	**2028E**
F-35	750,000	750,000	750,000	750,000	750,000	750,000	750,000	750,000	750,000	750,000	750,000	750,000	750,000	750,000
CH-53K	3,000,000	3,000,000	3,000,000	3,000,000	3,000,000	3,000,000	3,000,000	3,000,000	3,000,000	3,000,000	3,000,000	3,000,000	3,000,000	3,000,000
Black Hawk	250,000	250,000	250,000	250,000	250,000	250,000	250,000	250,000	250,000	250,000	250,000	250,000	250,000	250,000
V-22 Osprey	1,500,000	1,500,000	1,500,000	1,500,000	1,500,000	1,500,000	1,500,000	1,500,000	1,500,000	1,500,000	1,500,000	1,500,000	1,500,000	1,500,000
Rafale Fighter Jet	350,000	350,000	350,000	350,000	350,000	350,000	350,000	350,000	350,000	350,000	350,000	350,000	350,000	350,000
A400M Transport	1,000,000	1,000,000	1,000,000	1,000,000	1,000,000	1,000,000	1,000,000	1,000,000	1,000,000	1,000,000	1,000,000	1,000,000	1,000,000	1,000,000
Avg. Content							**$1,141,667**	**$1,141,667**	**$1,141,667**	**$1,141,667**	**$1,141,667**	**$1,141,667**	**$1,141,667**	**$1,141,667**

HXL Estimated Shipset Deliveries	**2015**	**2016**	**2017**	**2018**	**2019**	**2020**	**2021**	**2022**	**2023**	**2024**	**2025**	**2026E**	**2027E**	**2028E**
F-35	45	46	66	91	134	120	142	141	147	110	191	156	156	156
Sikorsky		168	173	120	98	95	107	95	63	89	107	102	102	102
CH-53K		0	0	0	0	0	3	4	4	8	16	16	16	16
Black Hawk		168	173	120	98	95	104	91	59	81	91	86	86	86
V-22 Osprey		22	22	19	16	17	15	13	8	14	8	2	0	0
Rafale Fighter Jet				12	26	13	25	14	13	21	25	28	36	43
A400M Transport														
Total	**45**	**404**	**434**	**362**	**372**	**340**	**396**	**358**	**294**	**323**	**438**	**390**	**396**	**403**

- Space and Defense fell 7.7% in constant currency y-o-y in Q2 (-7.2% total), with the decline primarily reflecting the Sept 2025 divestment of the Austrian-based industrial business. HXL saw strength in fixed-wing, helicopter and satellite demand, offset by softer launcher and rocket motor trends.
- Composite Material net sales of $132MM were down 8% y-o-y, while Engineered Product sales of $50MM were down 6%. Looking forward, we expect Space, Defense, & Other revs decline 1% in 2026E due to the divestment of the Austrian-based industrial business. Adjusting for this ~$30MM impact, DSO FY26E revs would be +LSD.
- Rotorcraft are ~45% of legacy segment sales (~35% now including Industrial), although the D&S segment supports >100 programs, with the largest being the F-35, CH-53K, Black Hawk (including replacement blades), V-22 (including replacement blades), and the Airbus A400M.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

HXL: Breaking Out from 30% Incrementals in 2026 to 43% and 39% in 2027 Despite Higher Costs

Adj. EBIT Margin Expected to Increase 200 Bps in 2026 to 13.1%, Driven by Higher Volume and Op Leverage

	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026E	2027E
Revenues	$1,973	$2,189	$2,356	$1,502	$1,325	$1,578	$1,789	$1,903	$1,894	$2,120	$2,250
COGS	$1,422	$1,608	$1,715	$1,263	$1,075	$1,221	$1,356	$1,433	$1,459	$1,582	$1,658
Gross Profit	**$552**	**$581**	**$640**	**$240**	**$250**	**$357**	**$433**	**$470**	**$435**	**$538**	**$592**
Gross Margin	28.0%	26.5%	27.2%	16.0%	18.9%	22.6%	24.2%	24.7%	23.0%	25.4%	26.3%
Incremental Gross Margin	**29.1%**	**13.4%**	**35.8%**	**47.0%**	**-5.9%**	**42.3%**	**36.0%**	**32.1%**	**384.6%**	**45.6%**	**41.5%**
Adj. Operating Income	$351	$379	$425	$72	$70	$163	$217	$236	$209	$277	$319
Adj. Operating Margin	17.8%	17.3%	18.0%	4.8%	5.3%	10.4%	12.1%	12.4%	11.1%	13.1%	14.2%
Incremental Op. Margin	**19%**	**13%**	**28%**	**41%**	**1%**	**37%**	**25%**	**17%**	**NM**	**30%**	**33%**

- Adj operating income totaled $73.6MM in Q2 for 13.9% margins (14.8% core ex-FX), up 280 bps y-o-y, on gross margins up 330 bps y-o-y to 26.1%, benefitting from volume growth. Sequentially, margins rose +40 bps. SG&A (+10% y-o-y at 8.9% of sales) and R&T (+21% to 3.3% of sales) were higher y-o-y.
- Taking it all together, our implied incrementals are 30% in 2026E and 33% in 2027E (vs typical 25-35% range). This supports margin expansion from 11.1% in 2025 to 14.2% in 2027E (vs cons 14.4%).
- 2026 Guidance: The 2026 guide implies ~12.9% margins for 2026 vs. 11.1% in 2025, implying ~29% incrementals. On our estimates, adj. EBIT margins expand 200 bps to 13.1% in 2026 on 30% incremental margins, before reaching 14.2% in 2027 on 33% incremental margins.

30% Incremental in 2026E Accounts for 2% Inflation and Operating Leverage

	2019	2025	2026E	2027E	
Headcount/Shipset	4.3	4.2	4.3	4.3	
Cost per Headcount/Shipset	$25	$30	$30	$31	
Labor Cost/Shipset	$0.11	$0.12	$0.13	$0.13	
D&A/Shipset	0.09	0.09	0.08	0.07	
Material/Shipset	0.64	0.64	0.62	0.59	
Fixed Costs/Shipset	0.36	0.41	0.35	0.33	
Total Opex/Shipset	**$1.19**	**$1.27**	**$1.18**	**$1.12**	
Revenue per Shipset	1.5	1.4	1.4	1.3	
% Material Cost per Shipset	***43.7%***	***44.9%***	***45.6%***	***45.2%***	
Shipsets	1,616	1,326	1,557	1,720	
A350 as % of Total Rev	*22%*	*14%*	*19%*	*17%*	
% of OpEx					
Labor	9%	10%	11%	12%	
D&A	7%	7%	7%	6%	
Material	53%	51%	52%	53%	
Fixed	30%	32%	30%	29%	
Total	**100%**	**100%**	**100%**	**100%**	
JEFe					**25-27E CAGR**
Total Revenue	$2,356	$1,894	$2,120	$2,250	9%
Fixed Cost	588	547	552	563	1%
Material Cost	1029	851	966	1,017	9%
Labor/D&A	313	286	325	350	11%
Total Opex	1,931	1,685	1,843	1,930	
EBIT	**$425**	**$209**	**$277.1**	**$319.5**	
% Margin	***18.0%***	***11.1%***	***13.1%***	***14.2%***	
Incremental %		***47%***	***30%***	***33%***	
Cons Revenue	$2,356	$1,894	$2,064	$2,281	
Cons Opex	1,931	1,685	1,799	1,948	
Cons EBIT	$425	$209	$266	$334	
% Margin		*11.1%*	*12.9%*	*14.6%*	
Incremental %		*47%*	*33%*	*31%*	

Source: Company data and Jefferies estimates

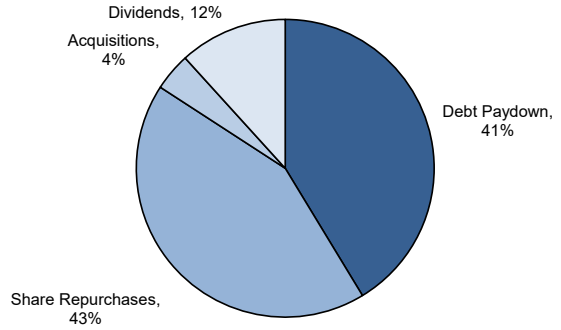
Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

HXL: FCF Conversion to Average 105% in 2026-28E

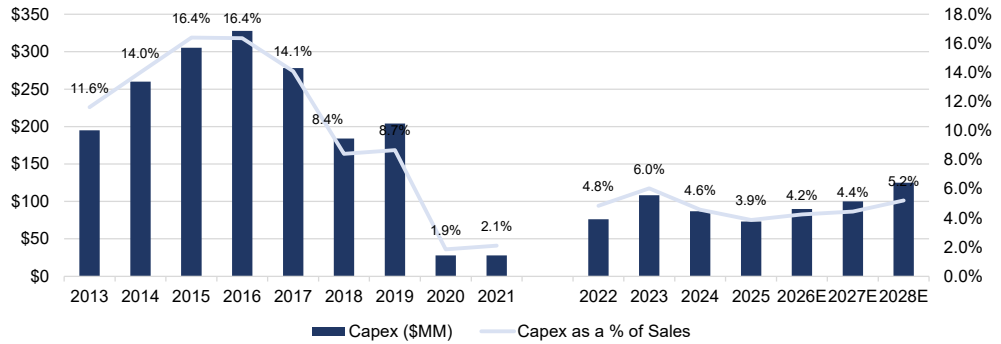
2026 FCF Guide of ~$195MM As Net Income Grows Driving Higher OCF Partially Offset by WC Headwind and Higher Capex

	2019	2020	2021	2022	2023	2024	2025	2026E	2027E
Net Income	$307	$32	$16	$126	$106	$132	$109	$173	$224
D&A	143	142	141	127	125	124	122	122	122
NWC	13	117	(18)	(73)	(27)	(1)	(2)	(23)	(22)
Stock Comp/Deferred/Other	29	(26)	13	(7)	53	34	0	20	20
CFO	**$491**	**$264**	**$152**	**$173**	**$257**	**$290**	**$231**	**$292**	**$344**
Capex	(204)	(28)	(28)	(76)	(108)	(87)	(73)	(90)	(100)
FCF	**$287**	**$236**	**$124**	**$97**	**$149**	**$203**	**$157**	**$202**	**$244**
FCF Per Share	**$3.34**	**$2.81**	**$1.46**	**$1.14**	**$1.74**	**$2.44**	**$1.97**	**$2.64**	**$3.27**
Deployment									
Dividends	($54)	($14)	$0	($34)	($42)	($49)	($54)	($55)	($56)
Share Repurchases	(143)	(25)	0	0	(30)	(252)	(454)	0	(160)
Debt Paydown	(10)	(135)	(104)	(150)	(128)	(160)	(185)	0	0
Debt Issuance	111	0	0	50	103	160	480	0	0
Acquisitions	(163)	0	0	22	58	0	(3)	0	0
Total Deployment	**(259)**	**(174)**	**(104)**	**(112)**	**(40)**	**(302)**	**(216)**	**(55)**	**(216)**
Discretionary FCF (post pension, dividend, and committed debt paydown)	**$28**	**$62**	**$20**	**($15)**	**$109**	**($99)**	**($59)**	**$147**	**$27**
Ratios									
FCF to NI Conversion	94%	1148%	534%	89%	96%	120%	112%	110%	109%
FCF Yield (FCF / Mkt Cap)	5.7%	4.7%	2.4%	1.9%	2.9%	4.0%	3.1%	4.0%	4.8%
FCF Change YoY	21%	-18%	-48%	-22%	54%	36%	-23%	28%	21%
Discretionary FCF Yield	0.5%	1.2%	0.4%	-0.3%	2.1%	-1.9%	-1.2%	2.9%	0.5%
Discretionary FCF % Change	NM	125%	-68%	-176%	-816%	NM	NM	NM	NM
Working Cap as % of Sales	16%	16%	15%	17%	13%	12%	14%	16%	17%
Change in W/C as a % Sales	0.7%	6.3%	(0.9%)	(3.7%)	(1.3%)	(0.0%)	(0.1%)	(1.8%)	(1.4%)
Dividend as % of Net Income	18%	45%	0%	27%	40%	37%	49%	32%	25%
Share Repo as % of Mkt Cap	3%	0%	0%	0%	1%	5%	9%	0%	3%
% of Cash to Shareholders	69%	16%	0%	35%	49%	149%	323%	27%	89%

HXL Historical Cap Deployment From 2019-2025 - 45% Weighted Towards Repos, and 37% for Debt Paydown



HXL Capex Expected Stable Around 4% of Sales



- HXL generated $58MM of FCF in Q2 ($52MM YTD) on $78MM of OCF and $20MM of capex vs a source of $8MM in Q2:25. Working Cap was a $11MM use in Q2 vs a $42MM use in Q2:25. HXL ended the Q w/ $897MM of ND ($62MM of cash) down from $944MM in Q1:26. 2026 FCF guided to >$195MM (vs our est/cons $196MM/$205MM) on <$100MM of capex.

- 2026 FCF guidance was reiterated at >$195MM (+24% y-o-y) including capex at <$100MM, implying about $65MM in higher OCF vs 2025. We estimate $202MM of 2026 FCF (110% of adj NI) including a $23MM outflow from working capital. Capex steps up $17MM y-o-y to $90MM, in-line with guidance of <$100MM in 2026.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

HXL: Annual Income Statement

($MM, except per share data)	2019		2020		2021		2022		2023		2024		2025		2026E		2027E		2028E	
	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales
Net Sales	**$2,356**	100.0%	**$1,502**	100.0%	**$1,325**	100.0%	**$1,578**	100.0%	**$1,789**	100.0%	**$1,903**	100.0%	**$1,894**	100.0%	**$2,112**	100.0%	**$2,250**	100.0%	**$2,400**	100.0%
Operating Expenses																				
Cost of Goods Sold	1,715	72.8%	1,263	84.0%	1,075	81.1%	1,221	77.4%	1,356	75.8%	1,433	75.3%	1,459	77.0%	1,576	74.6%	1,658	73.7%	1,757	73.2%
Selling, General & Administrative	159	6.7%	121	8.1%	135	10.2%	148	9.4%	164	9.2%	177	9.3%	169	8.9%	188	8.9%	196	8.7%	204	8.5%
Research & Technology	57	2.4%	47	3.1%	45	3.4%	46	2.9%	53	2.9%	57	3.0%	56	3.0%	72	3.4%	76	3.4%	79	3.3%
Other Operating Expense (Income)	0	0.0%	58	3.9%	18	1.4%	(12)	-0.8%	1	0.1%	50	2.6%	38	2.0%	11	0.5%	0	0.0%	0	0.0%
Total Operating Expenses	**1,931**	82.0%	**1,488**	99.1%	**1,273**	96.1%	**1,403**	88.9%	**1,574**	88.0%	**1,717**	90.2%	**1,722**	90.9%	**1,847**	87.4%	**1,930**	85.8%	**2,040**	85.0%
Adj Operating Profit	**425**	18.0%	**72**	4.8%	**70**	5.3%	**163**	10.4%	**217**	12.1%	**236**	12.4%	**209**	11.1%	**276**	13.1%	**319**	14.2%	**360**	15.0%
Interest Expense	46		42		38		36		34		31		38		49		37		36	
Other Expense	0		0		(9)		(11)		72		0		(1)		0		0		0	
Adj Earnings Before Tax	**380**	16.1%	**30**	2.0%	**32**	2.4%	**138**	8.7%	**111**	6.2%	**205**	10.8%	**173**	9.1%	**227**	10.8%	**282**	12.5%	**324**	13.5%
Taxes	77	-20.2%	8	-26.5%	9	-26.8%	37	-26.8%	9	-8.4%	22	-10.7%	32	-18.6%	44	-19.5%	59	-20.8%	70	-21.5%
Net Income from Continuing Operations	303		22		23		101		155		169		141		183		224		254	
Equity in Earnings from Affiliates	4		(2)		0		8		8		0		0		0		0		0	
Adjusted Net Income	**307**	13.0%	**21**	1.4%	**23**	1.8%	**109**	6.9%	**163**	9.1%	**169**	8.9%	**141**	7.4%	**183**	8.7%	**224**	9.9%	**254**	10.6%
Reported GAAP EPS	**$3.57**		**$0.38**		**$0.19**		**$1.49**		**$1.24**		**$1.59**		**$1.37**		**$2.25**		**$3.00**		**$3.50**	
Adjusted Diluted EPS	**$3.57**		**$0.25**		**$0.27**		**$1.28**		**$1.81**		**$2.03**		**$1.76**		**$2.39**		**$3.00**		**$3.50**	
Basic shares (millions)	84.9		83.8		84.1		84.4		84.6		82.3		79.5		75.8		73.5		70.9	
Diluted shares (millions)	85.8		84.0		84.6		85.0		85.5		83.0		80.0		76.6		74.6		72.6	

Source: Company data and Jefferies estimates

HXL: Annual Cash Flow Statement

($MM, except per share data)	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
Operating Activities										
Net Income	**$307**	**$32**	**$16**	**$126**	**$106**	**$132**	**$109**	**$172**	**$224**	**$254**
Depreciation & Amortization	142	141	138	126	125	124	122	122	122	122
Other Operating Activities	29	(10)	20	10	(19)	6	20	20	20	20
OCF Before Working Capital	**478**	**162**	**174**	**262**	**211**	**262**	**252**	**314**	**366**	**397**
Change in Receivables	37	110	(41)	(63)	(9)	11	(23)	(21)	(11)	(12)
Change in Inventory	(30)	129	(40)	(82)	(9)	(34)	45	(30)	(23)	(21)
Change in Prepaid	(6)	11	13	(8)	3	(7)	(4)	(3)	(5)	(4)
Change in Payables	13	(134)	50	81	(12)	29	(20)	32	16	20
Change in Other Working Capital	1	(15)	(4)	(16)	73	29	(20)	0	0	0
Changes in Working Capital	**14**	**102**	**(22)**	**(89)**	**46**	**28**	**(22)**	**(22)**	**(23)**	**(16)**
Cash Flow from Operations	**$491**	**$264**	**$152**	**$173**	**$257**	**$290**	**$231**	**$292**	**$343**	**$381**
Investment Activities										
Capital Expenditures	(204)	(28)	(28)	(76)	(108)	(87)	(73)	(90)	(100)	(125)
Other Investing Activities, net	(163)	0	0	22	58	0	(3)	0	0	0
Cash Flow from Investments	**($367)**	**($28)**	**($28)**	**($55)**	**($51)**	**($87)**	**($76)**	**($90)**	**($100)**	**($125)**
Financing Activities										
Change in Debt	99	(136)	(104)	(100)	(25)	0	295	0	0	0
Dividends Paid to Shareholders	(54)	(14)	0	(34)	(42)	(49)	(54)	(55)	(56)	(58)
Repurchase of Common Stock	(143)	(25)	0	0	(30)	(252)	(454)	0	(160)	(180)
Other Financing Activities, net	7	(4)	7	4	5	(0)	1	0	0	0
Cash Flow from Financing	**($91)**	**($179)**	**($97)**	**($130)**	**($93)**	**($302)**	**($212)**	**($55)**	**($216)**	**($238)**
Foreign Exchange (FX) Impact	(1)	4	(3)	(4)	1	(3)	3	1	1	1
Total Cash Flow	**$32**	**$61**	**$24**	**($16)**	**$115**	**($102)**	**($54)**	**$148**	**$27**	**$19**
Cash at Beginning of Period	33	64	103	128	112	227	125	71	219	246
Cash at End of Period	**$64**	**$126**	**$128**	**$112**	**$227**	**$125**	**$71**	**$219**	**$246**	**$265**

Source: Company data and Jefferies estimates

Howmet Aerospace (HWM)

Buy | Price Target: $340

Valuation Method	Price	Assumptions
EV/EBITDA	345	37.5x EV/EBITDA on 2027 EBITDA of $3.73BB
P/E	328	52.5x P/E on 2027 EPS of $6.25
FCF	348	1.6% FCF Yield on 2027 FCF of $2.25BB
Average	**$340**	**Blended average**

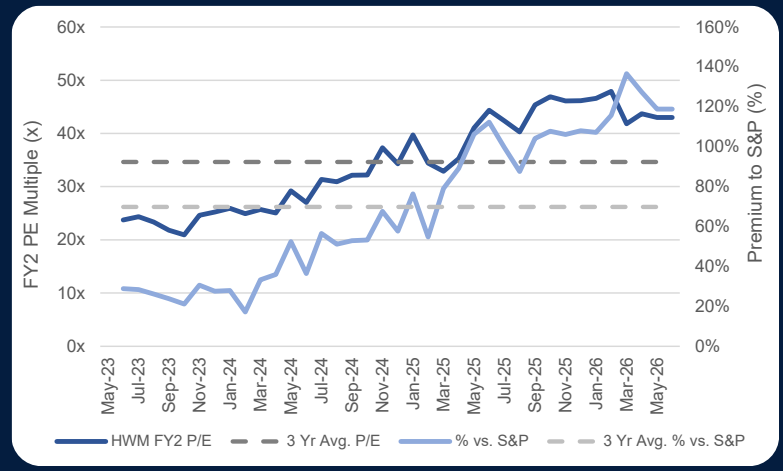
Valuation Table

	Ticker	JEF Rating	Stock Px 7/28/2026	Consensus BUY Rating	Market Cap	Enterprise Value	P/E 2026E	P/E 2027E	P/E 2028E	EV / SALES 2026E	EV / SALES 2027E	EV / SALES 2028E	EV / EBITDA 2026E	EV / EBITDA 2027E	EV / EBITDA 2028E	Yield Dividend	Yield FCF
ATI Inc	ATI	N/C	$186.34	92%	25,430	27,369	41.9x	34.4x	29.3x	5.5x	5.0x	4.7x	26.0x	22.4x	20.0x	0.0%	2.5%
Carpenter Technology	CRS	N/C	$561.61	73%	27,904	28,653	53.0x	43.5x	36.6x	9.1x	8.3x	7.6x	33.9x	28.5x	23.9x	0.1%	1.5%
General Electric	GE	Buy	$364.71	81%	378,409	392,963	46.2x	40.4x	35.5x	7.8x	7.1x	6.5x	32.7x	28.9x	25.7x	0.4%	2.6%
Hexcel Corp	HXL	Hold	$108.77	32%	8,204	9,287	47.4x	35.4x	29.3x	4.5x	4.1x	3.7x	23.2x	19.6x	17.4x	0.6%	3.3%
Lisi SA	FII-FR	N/C	€ 64.50	86%	3,002	3,280	22.9x	18.4x	15.7x	1.7x	1.6x	1.4x	10.6x	9.4x	8.3x	0.7%	4.4%
RTX	RTX	Buy	$220.30	68%	296,904	332,905	30.6x	28.0x	25.3x	3.5x	3.2x	3.0x	21.3x	19.6x	17.9x	1.3%	3.5%
Safran	SAF-FR	Hold	$340.30	61%	142,363	141,314	33.4x	27.5x	24.4x	3.9x	3.6x	3.3x	18.2x	16.4x	15.0x	1.0%	3.5%
Woodward	WWD	Buy	$407.36	85%	24,272	25,476	43.3x	37.9x	31.9x	5.9x	5.4x	4.9x	28.2x	24.9x	21.5x	0.3%	2.2%
Average				72%			**39.8x**	**33.2x**	**28.5x**	**5.2x**	**4.8x**	**4.4x**	**24.3x**	**21.2x**	**18.7x**	**0.6%**	**2.9%**
Howmet Aerospace	**HWM**	**Buy**	**$285.27**	**79%**	**114,139**	**117,497**	**56.4x**	**45.7x**	**39.4x**	**12.1x**	**10.8x**	**9.9x**	**37.4x**	**31.5x**	**27.8x**	**0.2%**	**1.9%**
Discount / Premium							**42%**	**38%**	**38%**	**131%**	**126%**	**125%**	**54%**	**48%**	**49%**		**54%**

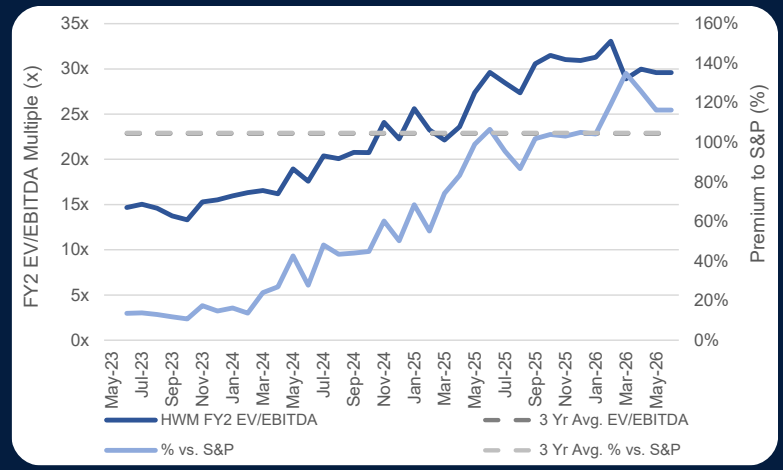
Featured Notes:

- Just Do It? HOW About Just Doing It All / *May 10, 2026*
- Not a Single Bolt (or Nut) That's Overlooked | *Feb 15, 2026*
- Processes & Plants Is All You Need / *Nov 2, 2025*

Trading at 43.0X FY2 P/E, 119% Prem to Mkt vs. Historical Avg Prem of 70%



Trading at 29.6X FY2 EV/EBITDA, 116% Prem to Mkt vs. Historical Avg Prem of 105%



Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

Source: Company data, Jefferies estimates, FactSet

HWM: 18% Revenue Growth in 2026 with Rate Ramps, Share Gain, and Pricing

Revenue by Segment - Engines to Lead Growth in 2026 with Ramping OE Rates, Spares, and IGT Business Investments

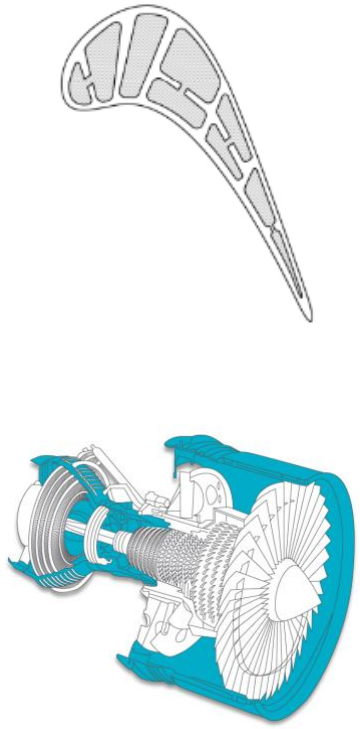
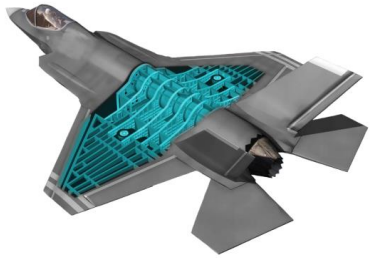
Howmet Revenue Build	2018	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
Engine Products	$3,092	$3,320	$2,406	$2,282	$2,698	$3,266	$3,671	$4,242	$5,179	$5,972	$6,672
Fastening Systems	1,531	1,561	1,245	1,044	1,117	1,349	1,576	1,745	2,352	2,674	2,869
Engineered Structures	1,209	1,255	927	725	790	878	1,129	1,226	1,070	1,115	1,202
Forged Wheels	966	969	679	921	1,058	1,147	1,054	1,039	1,122	1,133	1,190
Total Revenue	**$6,778**	**$7,098**	**$5,259**	**$4,972**	**$5,663**	**$6,640**	**$7,430**	**$8,252**	**$9,724**	**$10,894**	**$11,933**
YoY Change											
Engine Products		7%	-28%	-5%	18%	21%	12%	16%	22%	15%	12%
Fastening Systems		2%	-20%	-16%	7%	21%	17%	11%	35%	14%	7%
Engineered Structures		4%	-26%	-22%	9%	11%	29%	9%	-13%	4%	8%
Forged Wheels		0%	-30%	36%	15%	8%	-8%	-1%	8%	1%	5%
Total Revenue		**5%**	**-26%**	**-5%**	**14%**	**17%**	**12%**	**11%**	**18%**	**12%**	**10%**
Composition %											
Engine Products	46%	47%	46%	46%	48%	49%	49%	51%	53%	55%	56%
Fastening Systems	23%	22%	24%	21%	20%	20%	21%	21%	24%	25%	24%
Engineered Structures	18%	18%	18%	15%	14%	13%	15%	15%	11%	10%	10%
Forged Wheels	14%	14%	13%	19%	19%	17%	14%	13%	12%	10%	10%
Total Revenue	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**
Segment Adj. EBITDA	**$1,394**	**$1,647**	**$1,152**	**$1,200**	**$1,352**	**$1,587**	**$2,009**	**$2,507**	**$3,240**	**$3,840**	**$4,364**
Margin (%)	*20.6%*	*23.2%*	*21.9%*	*24.1%*	*23.9%*	*23.9%*	*27.0%*	*30.4%*	*33.3%*	*35.2%*	*36.6%*
Adj. EBITDA	**$1,252**	**$1,568**	**$1,087**	**$1,135**	**$1,276**	**$1,508**	**$1,914**	**$2,416**	**$3,152**	**$3,741**	**$4,260**
Margin (%)	*18.5%*	*22.1%*	*20.7%*	*22.8%*	*22.5%*	*22.7%*	*25.8%*	*29.3%*	*32.4%*	*34.3%*	*35.7%*

- Howmet Aerospace is a leading supplier of multi-material engineered products for the aerospace & defense, commercial transportation, and industrial markets, with ~85% of revenue from first or second market share positions. By reportable segment:
- Engine Products (53% of 2026E sales, 59% of segment adj EBITDA): Aerospace and industrial gas turbine airfoils, structural components and seamless rings.
- Fastening Systems (24% of 2026E sales, 23% of segment adj EBITDA): Aerospace and industrial fasteners and specialized tooling.
- Engineered Structures (11% of 2026E sales, 8% of segment adj EBITDA): Titanium and aluminum structures, forgings, extrusions and machining.
- Forged Wheels (12% of 2026E sales, 10% of segment adj EBITDA): Aluminum wheels competing against traditional steel wheels.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

HWM: 18% Revenue Growth in 2026 with Rate Ramps, Share Gain, and Pricing

Engine Products	Fasteners	Structures	Forged Wheels
			
52% of Sales, 57% EBITDA	21% of Sales, 22% EBITDA	14% of Sales, 10% EBITDA	12% of Sales, 11% EBITDA

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

HWM: Commercial Aerospace Build: Narrowbody Rates On the Up, Widebody In Focus to 2026

- In 2026, we estimate 20% growth to $5.2BB based on spares growth & OE volume rate step ups as select destocking that took hold in 2025 has concluded. At the HWM level, rate breaks typically require 6-mos+ of lead time.
- The 737 MAX is an est $1.7MM content per shipset, with an est 504 deliveries in 2026 (42/mo), compared to an estimated 33/mo in 2025, contributing $844MM in revenues (up 27% y-o-y; 17% of 2026 Aerospace sales), or 4.2-pts of Comm'l Aero growth. The MAX rate steps up to 47/mo in 2027 on our est to $945MM in sales.
- The A320 family is an est $1.7MM content per shipset, making HWM agnostic to the narrowbodies. We est 713 deliveries in 2026, or 62/mo, compared to an estimated 58/mo in 2025 (using Airbus's 11.5 month production year). This drives $1.2BB in revenues, up 7% y-o-y, and representing 24% of sales. This is 1.8-pts of Comm'l Aero growth in 2026.
- The 787 is an est $5.2MM in content, and is expected to build at 8/mo rate in 2026, up from 6/mo in 2025, for revenues of $499MM (10% of 2025 sales). This contributes 3.1-pts of Comm'l Aero growth in 2026.
- The A350 is an est $4.8MM in content, with an expected 70 shipsets in 2026 (6.5/mo), up from 55 in 2025 (5/mo). This drives $336MM in revenues in 2026, up 27% y-o-y, contributing 1.7pts to Aero growth.

Revenue per Platform ($MM)	2018	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
Boeing											
B737	$407	$88	$20	$23	$16	$10	$6	$9	$9	$0	$0
B737 MAX	358	80	38	176	391	505	546	663	869	1,001	1,065
B747	34	39	28	39	28	6	0	0	0	0	0
B767	37	93	76	67	78	69	56	65	60	52	32
B777	174	171	144	91	91	91	76	91	76	53	46
B777X	0	0	0	0	0	0	26	26	79	106	158
B787	754	822	692	234	62	172	304	364	499	562	624
Sub-Total	**$1,764**	**$1,292**	**$997**	**$630**	**$666**	**$853**	**$1,015**	**$1,218**	**$1,593**	**$1,773**	**$1,925**
Airbus											
A220	$40	$58	$46	$60	$64	$85	$94	$106	$125	$156	$181
A320ceo	$201	$77	$13	$47	$18	$0	$0	$0	$0	$0	$0
A320neo	540	770	664	606	802	914	1,028	1,117	1,230	1,429	1,470
A330ceo	91	24	14	8	16	8	6	6	6	6	6
A330neo	7	98	29	34	58	69	71	91	103	100	100
A350	446	538	283	288	298	307	274	264	336	408	480
A380	77	51	26	32	0	0	0	0	0	0	0
Sub-Total	**$1,402**	**$1,616**	**$1,073**	**$1,075**	**$1,255**	**$1,383**	**$1,472**	**$1,584**	**$1,800**	**$2,100**	**$2,237**
Spares and Biz Jet	829	1,278	527	324	685	993	1,384	1,511	1,769	2,022	2,330
Total	**$3,996**	**$4,186**	**$2,597**	**$2,029**	**$2,606**	**$3,229**	**$3,871**	**$4,313**	**$5,161**	**$5,895**	**$6,492**
YoY % Change		*5%*	*-38%*	*-22%*	*28%*	*24%*	*20%*	*11%*	*20%*	*14%*	*10%*

Content per Shipset ($K)	2018	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
Boeing											
B737	$1,256	$1,256	$1,256	$1,256	$1,256	$1,256	$1,256	$1,256	$1,256	$1,256	$1,256
B737 MAX	1,400	1,400	1,400	1,400	1,400	1,500	1,625	1,675	1,725	1,775	1,775
B747	5,600	5,600	5,600	5,600	5,600	5,600	5,600	5,600	5,600	5,600	5,600
B767	2,160	2,160	2,160	2,160	2,160	2,160	2,160	2,160	2,160	2,160	2,160
B777	3,792	3,792	3,792	3,792	3,792	3,792	3,792	3,792	3,792	3,792	3,792
B777X	4,400	4,400	4,400	4,400	4,400	4,400	4,400	4,400	4,400	4,400	4,400
B787	5,200	5,200	5,200	5,200	5,200	5,200	5,200	5,200	5,200	5,200	5,200
Avg. Content	**$3,401**	**$3,401**	**$3,401**	**$3,401**	**$3,401**	**$3,415**	**$3,433**	**$3,440**	**$3,448**	**$3,455**	**$3,455**
Airbus											
A220	$1,200	$1,200	$1,200	$1,200	$1,200	$1,250	$1,250	$1,250	$1,250	$1,250	$1,250
A320ceo	$840	$840	$840	$840	$840	$840	$840	$840	$840	$840	$840
A320neo	1,400	1,400	1,400	1,400	1,400	1,500	1,625	1,675	1,725	1,775	1,775
A330ceo	1,984	1,984	1,984	1,984	1,984	1,984	1,984	1,984	1,984	1,984	1,984
A330neo	2,400	2,400	2,400	2,400	2,400	2,450	2,450	2,450	2,450	2,450	2,450
A350	4,800	4,800	4,800	4,800	4,800	4,800	4,800	4,800	4,800	4,800	4,800
A380	6,400	6,400	6,400	6,400	6,400	6,400	6,400	6,400	6,400	6,400	6,400
Avg. Content	**$2,718**	**$2,718**	**$2,718**	**$2,718**	**$2,718**	**$2,746**	**$2,764**	**$2,771**	**$2,778**	**$2,786**	**$2,786**

HWM Shipset Deliveries	2018	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
Boeing											
B737	324	70	16	18	13	8	5	7	7	0	0
B737 MAX	256	57	27	126	279	337	336	396	504	564	600
B747	6	7	5	7	5	1	0	0	0	0	0
B767	17	43	35	31	36	32	26	30	28	24	15
B777	46	45	38	24	24	24	20	24	20	14	12
B777X	0	0	0	0	0	0	6	6	18	24	36
B787	145	158	133	45	12	33	59	70	96	108	120
Sub-Total	**794**	**380**	**254**	**251**	**369**	**435**	**452**	**533**	**673**	**734**	**783**
Airbus											
A220	33	48	38	50	53	68	75	85	100	125	145
A320ceo	239	92	15	56	22	0	0	0	0	0	0
A320neo	386	550	474	433	573	610	633	667	713	805	828
A330ceo	46	12	7	4	8	4	3	3	3	3	3
A330neo	3	41	12	14	24	28	29	37	42	41	41
A350	93	112	59	60	62	64	57	55	70	85	100
A380	12	8	4	5	0	0	0	0	0	0	0
Sub-Total	**812**	**863**	**609**	**622**	**742**	**774**	**797**	**847**	**928**	**1,059**	**1,117**
Total	**1,606**	**1,243**	**863**	**873**	**1,111**	**1,208**	**1,248**	**1,380**	**1,601**	**1,793**	**1,900**

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

HWM: Incrementals Driven by Volume, Px, & Productivity, Supporting Margin Expansion Beyond 30%

Adjusted EBITDA Build - Margins Breached 30% By the End of 2025 with Continued Expansion Driven by Volume Leverage, Mix, Pricing, Share Gains, & Automation

	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
Sales										
Net Sales	$7,098	$5,259	$4,972	$5,663	$6,640	$7,430	$8,252	$9,724	$10,894	$11,933
Inflation Pass-Through	0	0	0	(225)	(90)	0	0	0	0	0
Sales ex. Pass-Through	**$7,098**	**$5,259**	**$4,972**	**$5,438**	**$6,550**	**$7,430**	**$8,252**	**$9,724**	**$10,894**	**$11,933**
YoY Growth %		*-26%*	*-5%*	*9%*	*20%*	*13%*	*11%*	*18%*	*12%*	*10%*
EBITDA Bridge										
Engine Products	605	752	540	564	729	887	1,129	1,416	1,922	2,359
Fastening Systems	405	432	295	239	234	278	406	530	729	871
Engineered Structures	133	178	125	103	111	113	187	265	248	265
Forged Wheels	251	285	192	294	278	309	287	296	340	346
Starting Segment EBITDA	**$1,394**	**$1,647**	**$1,152**	**$1,200**	**$1,352**	**$1,587**	**$2,009**	**$2,507**	**$3,240**	**$3,840**
Volume										
Engine Products	68	(274)	(37)	125	142	164	203	412	396	350
Fastening Systems	9	(95)	(60)	22	46	91	101	126	113	78
Engineered Structures	9	(66)	(40)	13	13	45	44	(16)	18	26
Forged Wheels	1	(87)	73	7	27	(14)	(2)	25	6	28
Volume	**88**	**(522)**	**(65)**	**167**	**228**	**286**	**346**	**548**	**533**	**482**
Raw Material Costs										
Engines - Nickel (25%)	(59)	(2)	(13)	(29)	(8)	3	(8)	1	(0)	(0)
Structures - Ti/Al (30%)	6	9	(11)	(14)	4	1	(2)	0	0	0
Wheels - Al (Pass-Through)	17	28	(49)	(6)	17	(1)	9	2	(1)	0
Raw Material Costs	**(37)**	**35**	**(73)**	**(50)**	**13**	**4**	**(1)**	**3**	**(1)**	**(0)**
Depreciation & Amortization										
Engine Products	10	8	(1)	(1)	(5)	(8)	(6)	(22)	(19)	(15)
Fastening Systems	12	(12)	(1)	4	(1)	(1)	(1)	(23)	(7)	(6)
Engineered Structures	11	6	3	1	1	4	0	9	(1)	(2)
Forged Wheels	(1)	(7)	0	(1)	1	(3)	0	(3)	1	(1)
Depreciation & Amortizatio	**32**	**(5)**	**1**	**3**	**(4)**	**(8)**	**(7)**	**(38)**	**(27)**	**(23)**
Pricing & Productivity										
Pricing	78	38	97	67	105	120	90	115	55	35
Productivity & Other	92	(42)	88	(35)	(98)	20	69	27	15	30
Pricing & Productivity	**170**	**(4)**	**185**	**32**	**7**	**140**	**159**	**142**	**70**	**65**
Ending Segment EBITDA	**$1,647**	**$1,152**	**$1,200**	**$1,352**	**$1,596**	**$2,009**	**$2,507**	**$3,161**	**$3,815**	**$4,364**
Margin %	*23.2%*	*21.9%*	*24.1%*	*23.9%*	*24.0%*	*27.0%*	*30.4%*	*32.5%*	*35.0%*	*36.6%*
Corporate & Other	(79)	(65)	(65)	(76)	(88)	(95)	(91)	(9)	(74)	(104)
Adj. EBITDA	**$1,568**	**$1,087**	**$1,135**	**$1,276**	**$1,508**	**$1,914**	**$2,416**	**$3,152**	**$3,741**	**$4,260**
Margin %	*22.1%*	*20.7%*	*22.8%*	*22.5%*	*22.7%*	*25.8%*	*29.3%*	*32.4%*	*34.3%*	*35.7%*
Margin % ex. pass-through	*22.1%*	*20.7%*	*22.8%*	*23.5%*	*23.0%*	*25.8%*	*29.3%*	*32.4%*	*34.3%*	*35.7%*
Net Price	1.2%	0.5%	1.8%	1.3%	1.9%	1.8%	1.2%	1.4%	0.6%	0.3%

$225MM of material pass-through (100 bps headwind) in 2022 and $300MM of inflationary pass-through. 2023 saw $90MM (50 bps headwind) of inflationary pass-through with majority non-material.

95% protection against raw material price fluctuations with effects from minor metals and energy.

Net price of $67MM in 2022 and $105MM in 2023, with 2024 estimated at $120MM.

Productivity turning a corner in 2024, as attrition eases and new hires climb the learning curve and improve yields.

- Q1: HWM reported adj. EBITDA excluding special items of $740MM, up 32% y-o-y and representing a 32.0% margin (+320 bps y-o-y) on 48.5% incrementals driven by growth in commercial aerospace, and gas turbines markets.
- The 2026 adj. EBITDA guide was raised 11% to $3.025-3.095BB (from $2.710-2.810BB), up ~27% (from 12-16% y-o-y), w/ margins guided to 31.6-31.8% (from 30.1-30.5%). We estimate $3.15BB of adj. EBITDA in 2026 (+29%) at a 32.4% margin on 50% incrementals. This is supported as volumes pick up and productivity of new hires improves. Continued benefit is to be derived from volume leverage, WB mix (complex fastener suites), technology cutovers for modern engine upgrades, price realization, share gains, & automation investments.
- From a pricing standpoint, HWM continues to capture net price above inflation, reflective of the value of its products. In 2022, HWM realized $67MM of net price, following $97MM in 2021, with some lumpiness of the contract book. In 2023, net price was a $105MM benefit (1.9-pts). Price has continued at or above the prior year's levels in both 2024 and 2025, and is likely to continue to do so under the new engine technology cutovers and capex expansions coming online that feature share gains & pricing.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

HWM: 2026 FCF guide raised 9% to $1.75BB w/ 90% Conversion Target Despite Higher Capex on Gas Turbine Expansions

FCF Build - Sustaining ~90% Conversion as Capex Undertaking Backed by Long-Term Customer Commitments, Enabling Deployment

	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
Net Income	$261	$258	$469	$765	$1,155	$1,508	$2,135	$2,514	$2,908
Depreciation and Amortization	338	270	265	272	277	283	321	349	372
SBC & Other Non-Cash	329	362	245	245	211	261	118	160	172
NWC	(547)	(122)	(155)	(337)	(226)	(242)	(210)	(131)	(71)
Operating Cash Flow	**9**	**449**	**733**	**901**	**1,298**	**1,884**	**2,299**	**2,827**	**3,315**
Capex	(267)	(199)	(193)	(219)	(321)	(453)	(499)	(548)	(536)
FCF	**($258)**	**$250**	**$540**	**$682**	**$977**	**$1,431**	**$1,799**	**$2,278**	**$2,779**
FCF Per Share	*($0.59)*	*$0.57*	*$1.28*	*$1.64*	*$2.38*	*$3.52*	*$4.47*	*$5.71*	*$7.02*
Deployment									
Dividends	(11)	(19)	(44)	(73)	(109)	(181)	(240)	(286)	(315)
Share Repurchases	(73)	(430)	(400)	(250)	(500)	(700)	(800)	(1,000)	(1,200)
Debt Paydown	(2,043)	(1,538)	(69)	(876)	(865)	(765)	(186)	(150)	(150)
Debt Issuance	2,400	700	0	400	500	500	1,200	0	0
Acquisitions	0	0	0	0	(5)	0	(1,918)	0	0
Total Deployment	**$273**	**($1,287)**	**($513)**	**($799)**	**($979)**	**($1,146)**	**($1,944)**	**($1,436)**	**($1,665)**
Discretionary FCF	**$15**	**($1,037)**	**$27**	**($117)**	**($2)**	**$285**	**($145)**	**$843**	**$1,114**
Ratios									
FCF to NI Conversion	-76%	57%	91%	89%	88%	93%	88%	91%	96%
FCF Yield (FCF / Mkt Cap)	-0.3%	0.3%	0.5%	0.7%	1.0%	1.4%	1.8%	2.3%	2.8%
FCF Y-o-Y % Change	43%	-197%	116%	26%	43%	46%	26%	27%	22%
Dividend as % of NI	4%	7%	9%	10%	9%	12%	11%	11%	11%
Dividend Yield	0.0%	0.0%	0.0%	0.1%	0.1%	0.2%	0.2%	0.3%	0.3%
Share Repo as % of Mkt Cap	0%	0%	0%	0%	1%	1%	1%	1%	1%
% of Cash Returned to Shareholc	106%	515%	95%	117%	100%	80%	108%	63%	60%
Capex as % of Sales	5.1%	4.0%	3.4%	3.3%	4.3%	5.5%	5.1%	5.0%	4.5%

- 2026 FCF was guidance was raised 9% (+$150MM) to $1.700-1.800BB (from $1.550-1.650BB), implying 22% growth y-o-y at the midpt vs $1.431BB in 2025 and at ~90% conversion. This is despite capex raised 4% (+$20MM) $470-510MM (from $450-490MM) at ~5% of sales primarily tied to investments in expanding gas turbine capacity to meet increasing demand from Hyperscalers. Mgmt expects capex to increase in 2027 as well. Our estimate is for $1.8BB of FCF at 88% conversion, including a working capital use of $210MM tied to A/R and inventory growth.
- FCF improves to $2.28BB of FCF in 2027 (91% conversion) and $2.78BB in 2028 (96% conversion) driven by earnings growth and despite capex remaining elevated at $548MM and $536MM, respectively.
- In Q1, HWM closed the acquisition of Brunner Manufacturing Co on Feb 6 for $120MM using cash on hand and added $1.65BB in debt including $1.2BB of new notes and $450MM of CP to fund the $1.8BB CAM acquisition which closed after Q1 on April 6. The former expands the offering of fittings & couplings and the latter provides access to large-diameter bolts & nuts that could be bid into engine & gas turbine platforms. HWM also sold its disk forging facility in Savannah, GA, on March 31 for $230MM ($93MM pre-tax gain treated as special).

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

HWM: Income Statement

$MM except per share data	2019		2020		2021		2022		2023		2024		2025		2026E		2027E		2028E	
	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales
Total Revenues	**$7,098**	100.0%	**$5,259**	100.0%	**$4,972**	100.0%	**$5,663**	100.0%	**$6,640**	100.0%	**$7,430**	100.0%	**$8,252**	100.0%	**$9,724**	100.0%	**$10,894**	100.0%	**$11,933**	100.0%
Operating Expenses																				
Cost of Goods Sold	5,214	73.5%	3,878	73.7%	3,596	72.3%	4,103	72.5%	4,773	71.9%	5,119	68.9%	5,432	65.8%	6,082	62.6%	6,614	60.7%	7,106	59.6%
Selling, General & Administrative	400	5.6	277	5.3	251	5.0	288	5.1	333	5.0	347	4.7	370	4.5	457	4.7	490	4.5	507	4.3
Research & Development	28		17		17		32		36		33		37		39		49		60	
Depreciation & Amortization	295		279		270		265		272		277		283		321		349		372	
Restructuring & Other	582		182		90		56		23		21		84		(93)		0		0	
Total Operating Expenses	**6,519**	91.8%	**4,633**	88.1%	**4,224**	85.0%	**4,744**	83.8%	**5,437**	81.9%	**5,797**	78.0%	**6,206**	75.2%	**6,807**	70.0%	**7,502**	68.9%	**8,045**	67.4%
Operating Profit	**579**	8.2%	**626**	11.9%	**748**	15.0%	**919**	16.2%	**1,203**	18.1%	**1,633**	22.0%	**2,046**	24.8%	**2,917**	30.0%	**3,392**	31.1%	**3,888**	32.6%
Interest Expense	(338)		(381)		(259)		(229)		(218)		(182)		(151)		(200)		(176)		(163)	
Other Expense	(31)		(74)		(165)		(84)		(10)		(68)		(55)		(25)		(25)		(25)	
Earnings Before Tax	**210**	3.0%	**171**	3.3%	**324**	6.5%	**606**	10.7%	**975**	14.7%	**1,383**	18.6%	**1,840**	22.3%	**2,692**	27.7%	**3,191**	29.3%	**3,699**	31.0%
Taxes	(84)	40.0%	40	-23.4%	(66)	20.4%	(137)	22.6%	(210)	21.5%	(228)	16.5%	(332)	18.0%	(557)	20.7%	(676)	21.2%	(792)	21.4%
Net Income from Continuing Operations	126		211		258		469		765		1,155		1,508		2,135		2,514		2,908	
Non-controlling Interest / Disc Ops	344		50		(2)		(2)		0		0		0		0		0		0	
GAAP Net Income	**470**	6.6%	**261**	5.0%	**256**	5.1%	**467**	8.2%	**765**	11.5%	**1,155**	15.5%	**1,508**	18.3%	**2,135**	22.0%	**2,514**	23.1%	**2,908**	24.4%
Restructuring and other	582		182		90		56		23		21		84		(93)		0		0	
Discrete tax items	(25)		(115)		9		(8)		(9)		(59)		(52)		(30)		0		0	
Other special items	37		135		175		103		(13)		(11)		18		7		0		0	
Tax impact	(130)		(59)		(90)		(27)		0		1		(25)		30		0		0	
Allocation Adjustments	0		(13)		0		0		0		0		0		0		0		0	
Adjusted Net Income	**590**	8.3%	**341**	6.5%	**442**	8.9%	**593**	10.5%	**766**	11.5%	**1,107**	14.9%	**1,533**	18.6%	**2,049**	21.1%	**2,514**	23.1%	**2,908**	24.4%
Reported GAAP EPS	**$0.27**		**$0.48**		**$0.59**		**$1.11**		**$1.83**		**$2.81**		**$3.71**		**$5.31**		**$6.30**		**$7.35**	
Adjusted Diluted EPS	**$1.29**		**$0.77**		**$1.01**		**$1.40**		**$1.84**		**$2.69**		**$3.77**		**$5.10**		**$6.30**		**$7.35**	

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

HWM: Cash Flow Statement

$MM except per share data	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
Operating Activities										
Net income	**$470**	**$261**	**$258**	**$469**	**$765**	**$1,155**	**$1,508**	**$2,135**	**$2,514**	**$2,908**
Depreciation & Amortization	536	338	270	265	272	277	283	321	349	372
Other Operating Activities	432	(43)	43	154	201	92	335	53	95	107
OCF Before Working Capital	**1,438**	**556**	**571**	**888**	**1,238**	**1,524**	**2,126**	**2,509**	**2,958**	**3,387**
Change in Receivables	(977)	(238)	(337)	(161)	(164)	(57)	(109)	(193)	(95)	(66)
Change in Inventory	(3)	74	60	(234)	(142)	(106)	(50)	(193)	(137)	(88)
Change in Payables	(1)	(381)	144	246	(7)	(49)	(73)	176	101	83
Changes in Working Capital	**(977)**	**(547)**	**(122)**	**(155)**	**(337)**	**(226)**	**(242)**	**(210)**	**(131)**	**(71)**
Cash Flow from Operations	**$461**	**$9**	**$449**	**$733**	**$901**	**$1,298**	**$1,884**	**$2,299**	**$2,827**	**$3,315**
Investment activities										
Capital Expenditures	(641)	(267)	(199)	(193)	(219)	(321)	(453)	(499)	(548)	(536)
Cash Paid for Acquisitions	0	0	0	0	0	(5)	0	(1,918)	0	0
Other Investing Activities, net	1,169	538	306	58	4	10	15	225	0	0
Cash Flow from Investments	**$528**	**$271**	**$107**	**($135)**	**($215)**	**($316)**	**($438)**	**($2,192)**	**($548)**	**($536)**
Financing Activities										
Change in Debt	(406)	357	(838)	(69)	(476)	(365)	(265)	1,014	(150)	(150)
Dividends Paid to Shareholders	(57)	(11)	(19)	(44)	(73)	(109)	(181)	(240)	(286)	(315)
Repurchase of Common Stock	(1,150)	(73)	(430)	(400)	(250)	(500)	(700)	(800)	(1,000)	(1,200)
Other Financing Activities, net	45	(642)	(157)	(13)	(69)	(52)	(123)	0	0	0
Cash Flow from Financing	**($1,568)**	**($369)**	**($1,444)**	**($526)**	**($868)**	**($1,026)**	**($1,269)**	**($26)**	**($1,436)**	**($1,665)**
Foreign Exchange (FX) Impact	0	(3)	(1)	(2)	0	(1)	1	0	0	0
Total Cash Flow	**($579)**	**($92)**	**($889)**	**$70**	**($182)**	**($45)**	**$178**	**$80**	**$843**	**$1,114**
Cash at Beginning of Period	2,282	1,703	1,611	722	792	610	565	743	823	1,666
Cash at End of Period	**$1,703**	**$1,611**	**$722**	**$792**	**$610**	**$565**	**$743**	**$823**	**$1,666**	**$2,780**

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

Kratos (KTOS)

Buy | Price Target: $80

Valuation Method	Price	Assumptions
EV/EBITDA	$77	50.0X 2028E Adjusted EBITDA of $263MM
EV/Sales	$83	6.1X 2028E Sales of $2.36BB
Average	**$80**	**Blended average**

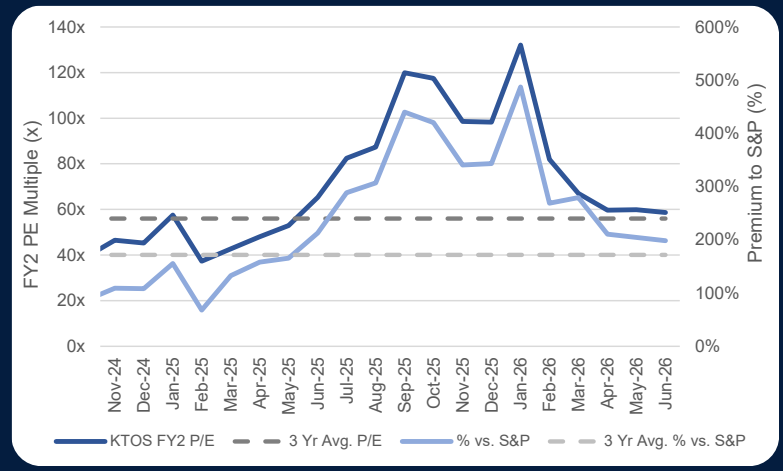
Valuation Table

Peers	Ticker	JEF Rating	Stock Px 7/28/2026	Consensus BUY Rating	Market Cap	Enterprise Value	P/E 2026E	P/E 2027E	P/E 2028E	EV / Sales 2026E	EV / Sales 2027E	EV / Sales 2028E	EV / EBITDA 2026E	EV / EBITDA 2027E	EV / EBITDA 2028E
Government Solutions															
AeroVironment	AVAV	Buy	$149.34	87%	7,806	7,774	46.0x	33.5x	25.8x	3.5x	3.1x	2.7x	24.2x	19.2x	15.5x
Curtiss-Wright	CW	N/C	$727.57	60%	27,478	28,370	47.8x	42.6x	37.7x	7.5x	6.9x	6.2x	32.5x	29.3x	26.6x
Mercury Sys.	MRCY	Hold	$102.08	64%	6,232	6,476	94.3x	66.0x	47.5x	6.7x	6.2x	5.4x	42.8x	33.4x	25.6x
Northrop Grumman	NOC	Hold	$562.84	67%	77,791	92,720	19.5x	18.5x	17.1x	2.1x	2.0x	1.6x	12.6x	11.7x	11.0x
Raytheon Technologies	RTX	Buy	$220.26	68%	294,378	330,461	30.6x	28.0x	25.3x	3.4x	3.2x	2.7x	18.8x	17.3x	15.8x
Karman Aerospace Systems	KRMN	N/C	$48.44	92%	6,702	7,495	83.9x	52.6x	38.1x	10.2x	8.0x	5.7x	31.4x	23.8x	18.5x
Defense Peers				70%			49.8x	37.7x	30.1x	5.2x	4.6x	3.7x	25.1x	21.0x	17.7x
KTOS	**KTOS**	**Buy**	**$47.14**	**86%**	**$9,273**	**$7,592**	**68.9x**	**40.2x**	**36.9x**	**4.4x**	**3.7x**	**3.2x**	**43.7x**	**32.7x**	**28.9x**
KTOS vs. Group Avg.							38%	7%	22%	-16%	-20%	-14%	74%	56%	63%

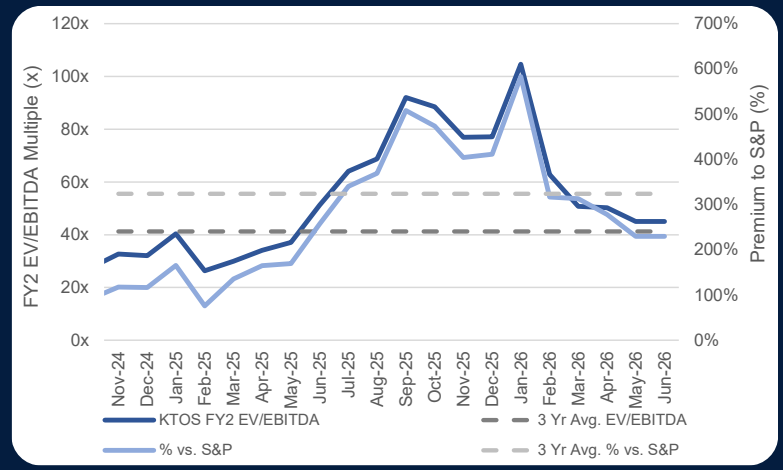
Featured Notes:

- A Hypersonic Turbine Play | *May 10, 2026*
- Raising the 2026 and 2027 Bogey, Although Valuation Remains Stretched | *Feb 25, 2026*
- Taking a Shutdown Breather, But Back in the Acquisition Orbit / *Nov 6, 2025*

Trading at 58.6X FY2 P/E, 199% Prem to Mkt vs. Historical Avg Prem of 171%



Trading at 45.1X FY2 EV/EBITDA, 230% Prem to Mkt vs. Historical Avg Prem of 324%



Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

Source: Company data, Jefferies estimates, FactSet

KTOS: Key KUS Programs

- **Valkyrie**: Awarded a contract for an initial 2 Valkyries from the USMC along with sensors and weapon systems payloads under the Affordable Autonomous Cooperative Killers program. The Valkyrie is currently under multiple contracts with customers including the US Navy, Marine Corps, and Air Force. KTOS continues to manufacture the second 12 Valkyrie serial production systems, with several units delivered to customers. The program is a continuation of previous work accomplished under the Skyborg Vanguard Program and represents transition of the program from Advanced Technology Development to Advanced Component Development and Prototypes (ACD&P). NOC will provide the Lumberjack jet powered modular ammunition armament for Valkyrie. Additionally, KTOS recently unveiled the Ragnarok low-cost cruise missile developed by Ghost Works to be a strike system for Valkyrie.

- **5GAT**: Through its acquisition of Sierra Technical Services (STS) for up to ~$27MM of newly issued stock, Kratos has positioned itself competitively for the US Army's 5th Gen Aerial Target (5GAT) program. STS is a California-based defense technology company with capabilities including aerial targets with 50 full time employees. Financials are relatively unknown, but the company was awarded a $77MM contract in August 2023 to deliver an innovative prototype uncrewed aerial target aircraft for the US Army's 5th Generation Aerial Target (5GAT) program. The single award contract entails the delivery of two stealth jet 5GAT aircraft, with an initial performance period 3 years, with production expected thereafter. The target drone is intended to be used to simulate various threats to test/evaluate weapons and other defense systems. STS is serving as a major subcontractor on the program with Advanced Technology International acting as the managing prime. STS is aiming for a unit price of the new 5GAT aircraft below $10MM. In addition to the 5GAT, the US Air Force's Next Gen Aerial Target (NGAT) program represents an additional demand signal for updated aerial targeting drones. The DoD has indicated that the Test Resources Management Center is coordinating 5GAT and NGAT between the Army and Air Force. It is expected that KTOS / STS is competing with multiple other companies for the program.

- **AFSAT**: Production has been in the range of 20-21 per year to start, ramping to 35/yr. We estimate KTOS generates $1MM of revenue per plane. KTOS is currently under contract for production years 14-16. The $338MM production contract for Lots 17-21 was awarded in August 2021, which provides funding through 2027. Production continues on lot 17 of the BQM-167 aircraft for the Air Force, with KTOS having produced 500 of the aircraft so far under LRIP. The program continues to produce at a steady rate. Annual production is for 35 planes per year, with annual revenue in the range of $50-70MM. Production for the Navy AFSAT program is supported by the new five-year production contract. The program is sole-source to KTOS. In Q3:19, KTOS received a $35MM fixed-price US Air Force contract for AFSAT peculiar spares with work through March 2024.

- **SSAT**: Kratos began LRIP production on the BQM-177A for the US Navy with a contract award in June 2017 valued at $37MM. The contract was for 12-18 months. The target could contribute $1-1.2MM per aircraft. In Q3:20, KTOS received the Sole Source Full Rate Production Award with a three-year value of $130MM with potential upside driven by payloads, spares, peculiar and other related program materials solutions and services. Lot 1 covers 35 vehicles, with Lot 2 and 3 as options. There have been some indications that production could eventually go as high as 80-100 units. The SSAT program with the US Navy achieved full operational capability in Q3:22 with full rate production now expected to continue to ramp.

- **Air Wolf (Previously Program F)**: A small tactical drone with KTOS as the prime. Demand could be 1,000 units over three years at $450K per unit. The vehicle is currently flying under two government funded contracts. Given its range, the Army mission set is an appropriate use case. In late 2021, it was reported that an Air Wolf drone successfully launched a tactical drone AVAV was awarded a place on the Replicator program with the Switchblade 600. In the past, the Switchblade 600 has been launched from KTOS's Air Wolf for additional range. The Air Wolf is scheduled to fly later this year.

- **Athena**: Now a classified program under contract. KTOS also entered into discussions with the undisclosed Thanatos customer regarding the Athena Tactical drone system, which is also currently flying. KTOS hopes to be under contract for this opportunity next year and intends to fly under funded contracts. In Q3:25, KTOS stated Athena drones have completed successful customer flights in swarms including a leading VC-backed AI company's software system.

Source: Company data and Jefferies estimates

KTOS: KGS Overview

- **Satellite Communications (45% of KGS sales):** The ~$400MM sub-segment is focused on designing ground equipment with exposure to 85% of all US missions. The largest operator is the Air Force, but KTOS also works with commercial companies such as Intelsat. KTOS systems enable, encrypt and distribute beams. KTOS is also the only company with a global network that can monitor beams for customers and identify and geo-locate threats that intentionally disrupt signals. The business is transitioning toward software-based ground solutions, which are much higher-margin than the legacy hardware solutions. The shift to software sales is expected to continue to drive KGS segment operating margin expansion longer term. The Satellite and Cyber business is expected to grow 7% following a 7% organic decline in 2024 due to some delays in key software-defined satellite programs.

- **Modular Systems/C5ISR (14% of KGS sales):** We see opportunity for HSD-LDD growth for the business in the near term and it being one of the strongest future revenue generators for the company. GBSD should be the biggest driver, however, giving a long tail of growth for the next several years. There are a number of other pursuits for C5ISR. Contracts and pursuits for the C5ISR business span multiple large missile, radar, space, satellite and other system related programs focused on recapitalization of weapons programs. There are several programs beginning production or expected to begin production in 2025 and 2026 including Hypersonic and defense of WAM systems.

- **The microwave electronics business** acquired CTT at the end of Q4:21, for a total of $21MM. The acquired business is consistent with KTOS's existing Microwave Products business including a focus on space and satellite systems. It provides a channel to additional new customer opportunity sets for KTOS. Management notes that the business is seeing elevated demand to support ongoing production ramps across the business's end-users, with a record backlog and robust opportunity pipeline stemming from the conflict in Israel. We see this business rising 15%+ sustainably over the mid-term as supply chain bottlenecks abate in a resilient demand environment. KTOS is actively working on expanding its existing production facility in the region here, while adding a new plant coming online in 2025 to support the high level of demand in the region. Q2 sales and margin are expected to step back sequentially, in part due to a transition of production from one legacy facility to a new location, adversely affecting the timing of deliveries in the quarter. That transition is expected to take just 3 weeks.

- **KTT and TDI:** KTOS targets 25-35% market share in the missile engine market, which is dominated by Williams. Pratt & Whitney also supplies the market and will be the primary provider for RTX missile programs. KTOS targets programs primed by LMT, NOC, and BA through the recently acquired TDI business. KTOS aims for the engine business to be disruptive given the company's larger focus on the class of engines relative to competitors and expects to be able to integrate the engine on to its jet drones longer term.

- **Hypersonics**: Each of the customer missions in the hypersonics space has a $10-15MM ASP to KTOS, which includes the solid rocket motor as well as the front end (Erinyes, Dark Fury, or a third-party front). This compares to competitor systems priced >$100MM. The customer missions in this segment are expected to accelerate in 2025-27 related to KTOS's MACH-TB award. Barriers to entry in the solid rocket motor space are very high, often taking years to be qualified, with KTOS's offering being more unique in its role as a true merchant supplier.

Source: Company data and Jefferies estimates

KTOS: Future Opportunities Focused on KGS with Blue Sky of $3.7BB by 2028

Opportunity for $3.7BB in FY28 Revenue in Blue Sky Scenario

	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
AFSAT	$55	$60	$60	$60	$65	$65	$65	$65	$65
SSAT	55	55	61	63	68	72	72	72	72
FireJet	5	4	5	20	20	20	20	40	50
Gremlins	5	6	6	6	0	0	0	30	30
Valkyrie	10	20	20	25	24	45	80	300	500
Air Wolf (Program F)	0	2	3	4	0	0	15	50	100
OBSS/Demogorgon	0	0	15	0	0	0	0	0	0
Mako	0	2	3	4	0	0	10	60	125
Program Thanatos	0	0	0	0	0	0	10	80	80
Project Athena	0	0	0	0	0	0	15	80	80
International Other	27	63	29	25	63	44	43	75	75
Classified	30	20	20	5	30	46	40	150	150
Total KUSD	**$187**	**$232**	**$222**	**$212**	**$271**	**$292**	**$335**	**$1,002**	**$1,327**
Microwave Electronics	$62	$68	$75	$81	$94	$117	$204	$244	$284
Space & Satellite Communication	230	275	308	424	394	447	492	516	558
Modular Systems/C5ISR	75	85	102	112	123	133	142	148	154
Training Systems	70	50	19	19	24	26	27	29	30
Hypersonics and Rocket Support Services	72	47	106	109	132	207	379	700	1,000
KTT	52	55	67	80	100	125	150	235	345
Total KGS	**$561**	**$580**	**$677**	**$825**	**$866**	**$1,055**	**$1,395**	**$1,872**	**$2,371**
Total Kratos Blue Sky Revenues	**$748**	**$812**	**$898**	**$1,037**	**$1,136**	**$1,347**	**$1,730**	**$2,873**	**$3,697**
Total Blue Sky Adj. EBITDA	**$79**	**$83**	**$71**	**$87**	**$106**	**$122**	**$182**	**$346**	**$500**
Adj. EBITDA Margin (%)	*10.5%*	*10.2%*	*7.9%*	*8.3%*	*9.3%*	*9.0%*	*10.5%*	*12.0%*	*13.5%*

- If we take a blue-sky scenario for KTOS, we see potential for the UAS division to reach $1.3BB in 2028, implying a 66% organic CAGR from 2025 (base est 27% CAGR). We also look at an upside case for the Hypersonic and KTT work within KGS, driving segment revenue to $2.4BB, or total KTOS at $3.7BB in 2028E vs our base case of $2.4BB for total KTOS.
- KTOS reported a backlog of $2.0BB at the end of Q1:25, up 33% y-o-y.

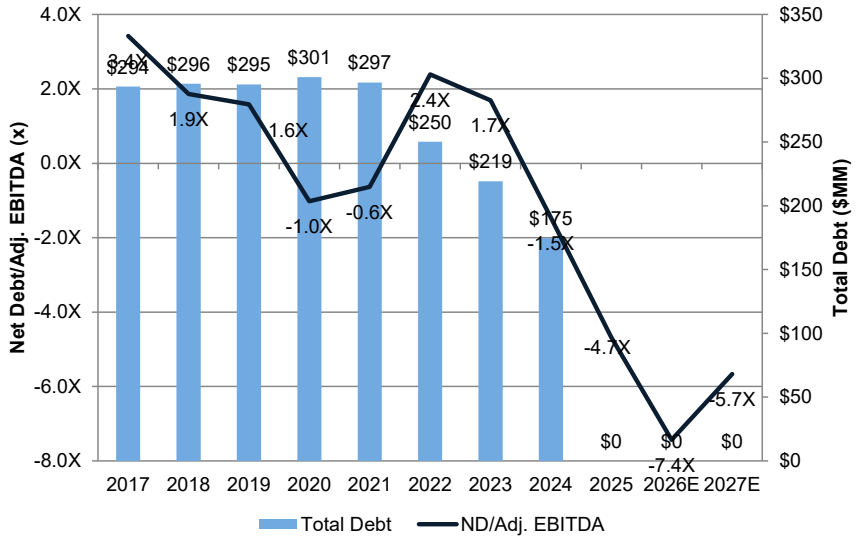
Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

KTOS: Net Cash Position Supports M&A

- 2026 FCF guidance of $85-105MM use including $155-165MM of capex driven by:
  - $25-27MM for the Lot 12 production build of Valkyries
  - $18-19MM for BladeWorks Turbo Fan Facility/Test Cells/New Designs
  - $14-15MM for the Microwave Products expansion and build-out of facilities
  - $14-15MM for an advanced manufacturing facility for hypersonics/engines & test cells
  - $13-14MM for Payload Integration Facility
  - $7-8MM for the space and satellite additional secure facility build-out
  - $6-7MM for C5ISR facility and machinery for confidential programs
  - $8-9MM for Nomad Plant Improvement and Machinery
  - $12-13MM for Material and Hardware
  - $38MM for maintenance capex
- We forecast 2026 FCF use of $95.6MM, within the company's guidance range.

Net Debt/EBITDA in a Net Cash Position Post Share Offering



Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

KTOS: Annual Income Statement

(millions, except per share data)	2020		2021		2022		2023		2024		2025		2026E		2027E	
	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales
Revenues	**$747.7**	100.0	**$811.5**	100.0	**$898.3**	100.0	**$1,037.1**	100.0	**$1,136.3**	100.0	**$1,346.8**	100.0	**$1,730.0**	100.0	**$2,070.0**	100.0
Cost of Sales	(544.5)		(586.4)		(672.3)		(768.5)		(849.1)		(1038.9)		(1262.9)		(1490.4)	
Gross Profit	$203.2	27.7	$225.1	28.0	$226.0	25.2	$268.6	25.5	$287.20	27.5	$307.90	26.0	$467.10	27.0	$579.60	28.0
Selling, General & Admin.	132.5	22.0	150.5	24.9	169.6	28.1	184.1	30.5	195.8	32.5	217.9	36.1	345.2	57.2	364.6	60.4
Research & Development	27.0	4.5	35.2	5.8	38.6	6.4	38.4	6.4	40.3	6.7	40.0	6.6	52.0	8.6	45.0	7.5
Merger and Acquisition Expense	2.4	0.4	1.8	0.3	7.5	1.2	1.3	0.2	3.9	0.6	2.1	0.3	0.0	0.0	0.0	0.0
Depreciation	5.2	0.9	5.0	0.8	5.5	0.9	6.9	1.1	9.6	1.6	12.7	2.1	19.0	3.1	19.0	3.1
Amortization of Intangible Assets	6.8	1.1	4.7	0.8	7.4	1.2	6.8	1.1	8.6	1.4	9.6	1.6	27.0	4.5	29.0	4.8
Other Operating Expense / (Income)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	1.9	0.3	0.0	0.0
Total Operating Costs	173.9	28.8	197.2	32.7	228.6	37.9	237.5	39.4	258.2	42.8	282.3	46.8	445.1	73.8	457.6	75.8
Total Operating Profit (EBIT)	**$29.3**	3.9	**$27.9**	3.4	**($2.6)**	(0.3)	**$31.1**	3.6	**$29.0**	2.6	**$25.6**	1.9	**$22.0**	1.3	**$122.0**	5.9
Interest Income / (Expense), net	(22.8)	(3.8)	(23.4)	(3.9)	(17.7)	(2.9)	(20.5)	(3.4)	(3.0)	(0.5)	5.9	1.0	11.2	1.9	25.8	4.3
Other Income / (Expense)	0.3		(0.1)		(12.4)		0.5		0.5		2.5		0.6		0.0	
Pretax Income	$6.8		$4.4		($32.7)		$11.1		$26.5		$34.0		$33.8		$147.8	
Taxes	(73.5)	(1080.9)	3.9	88.6	1.4	(4.3)	8.9	80.2	10.2	38.5	12.0	35.3	3.4	10.0	37.0	25.0
Net Income, continuing ops	**$80.3**	10.7	**$0.5**	0.1	**($34.1)**	(3.8)	**($17.8)**	(1.7)	**$16.3**	1.4	**$22.0**	1.6	**$30.4**	1.8	**$110.9**	5.4
Disco. Ops/Accounting Changes	0.2		0.4		0.9		20.0		10.2		0.0		0.0		0.0	
Adj. Net income	**$80.5**	10.8	**$40.4**	5.0	**($36.9)**	(4.1)	**$54.2**	5.2	**$73.9**	6.5	**$90.7**	6.7	**$126.5**	7.3	**$220.9**	10.7
Common shares (millions)																
Basic	115.5		124.6		126.7		130.4		149.0		162.7		170.8		174.3	
Diluted	118.7		128.0		126.7		130.4		150.9		165.2		184.9		188.5	
Earnings per share, cont. ops.																
Basic	$0.70		$0.00		($0.27)		($0.14)		$0.11		$0.14		$0.18		$0.64	
Diluted	**$0.68**		**$0.00**		**($0.30)**		**($0.14)**		**$0.11**		**$0.13**		**$0.16**		**$0.59**	
Adjusted EPS	**$0.33**		**$0.32**		**$0.31**		**$0.42**		**$0.49**		**$0.55**		**$0.68**		**$1.17**	

Source: Company data and Jefferies estimates

KTOS: Segment Data

(millions, except per share data)	2020		2021		2022		2023		2024		2025		2026E		2027E	
	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales
Sales by Segment																
Unmanned Systems	$187.0	25.0	$231.9	28.6	$221.7	24.7	$212.2	20.5	$270.5	23.8	$292.0	21.7	$335.0	19.4	$435.0	21.0
Government Solutions	560.7	75.0	579.6	71.4	676.6	75.3	824.9	79.5	865.8	76.2	$1,054.8	78.3	$1,395.0	80.6	$1,635.0	79.0
Total Sales	$747.7	100.0	$811.5	100.0	$898.3	100.0	$1,037.1	100.0	$1,136.3	100.0	$1,346.8	100.0	$1,730.0	100.0	$2,070.0	100.0
Segment Income																
Unmanned Systems	8.7	4.7	13.2	5.7	(2.8)	(1.3)	4.2	2.0	2.9	1.1	2.6	0.9	8.0	2.4	30.0	6.9
Government Solutions	43.6	7.8	42.3	7.3	27.2	4.0	52.7	6.4	56.6	6.5	60.6	5.7	92.0	6.6	137.0	8.4
Total Segment Income	$52.3	7.0	$55.5	6.8	$24.4	2.7	$56.9	5.5	$59.5	5.2	$63.2	4.7	$100.0	5.8	$167.0	8.1
Corporate Expense	(23.0)		(27.6)		(27.0)		(25.8)		(30.5)		(37.6)		(78.0)		(45.0)	
Total Operating Income	$29.3		$27.9		($2.6)		$31.1		$29.0		$25.6		$22.0		$122.0	
Depreciation & Amortization	$24.6		$25.7		$30.5		$33.2		$40.3		$47.1		$92.0		$66.0	

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

Leidos (LDOS)

Hold | Price Target: $110

Method	Price	Assumptions
EV/EBITDA	$108	7.0x EV/EBITDA; FY27 Adj. EBITDA of $2.6BB
P/E	$110	8.5X P/E; FY27 Adjusted EPS of $12.95
FCF Yield	$113	10.9% FCF Yield
Average	**$110**	**Blended average**

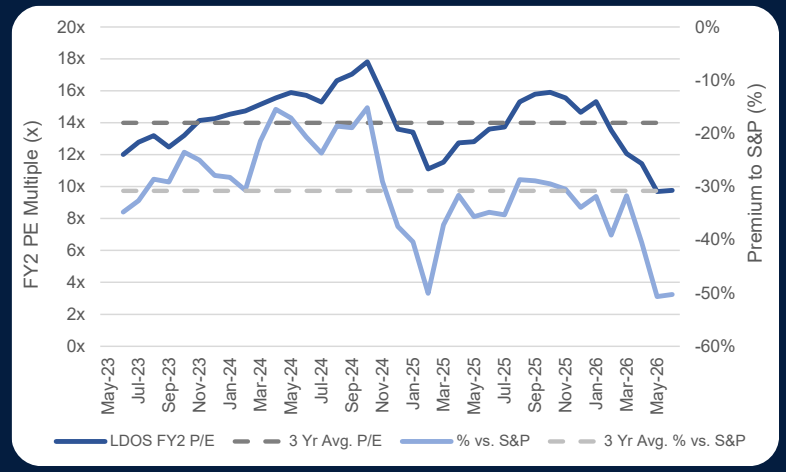
Valuation Table

Peers	Ticker	JEF Rating	Stock Px 8/2/2026	Consensus BUY Rating	Market Cap	Enterprise Value	P/E 2026E	P/E 2027E	P/E 2028E	EV / Sales 2026E	EV / Sales 2027E	EV / Sales 2028E	EV / EBITDA 2026E	EV / EBITDA 2027E	EV / EBITDA 2028E	Yield Dividend	Yield FCF	FCF/EV
Amentum	AMTM	N/C	$22.20	36%	5,424	9,032	8.8x	7.8x	7.0x	0.4x	0.4x	0.4x	7.9x	7.4x	6.9x	0.0%	12.1%	7.3%
CACI International Inc.	CACI	Hold	$497.75	79%	10,996	16,491	16.9x	15.1x	14.2x	1.1x	1.0x	0.9x	13.4x	12.0x	11.2x	0.0%	7.1%	4.8%
Maximus	MMS	N/C	$60.25	100%	3,166	4,672	7.0x	-	-	0.6x	-	-	6.2x	-	-	2.1%	15.4%	10.4%
Parsons	PSN	Buy	$44.21	75%	4,722	6,225	16.5x	12.7x	11.0x	0.7x	0.7x	0.7x	10.9x	9.1x	8.5x	0.0%	9.7%	7.4%
SAIC	SAIC	Hold	$117.13	18%	4,952	7,717	11.5x	10.7x	9.5x	0.7x	0.7x	0.7x	10.5x	10.3x	10.0x	1.3%	11.4%	7.3%
Average Services				58%			**11.9x**	**11.4x**	**10.3x**	**0.7x**	**0.7x**	**0.7x**	**9.7x**	**9.6x**	**9.1x**	**1.1%**	**11.3%**	**7.6%**
General Dynamics Corporation	GD	Buy	$383.42	50%	103,737	110,020	22.7x	20.8x	19.2x	1.9x	1.8x	1.7x	16.1x	14.9x	14.1x	1.6%	4.7%	4.5%
Lockheed Martin Corporation	LMT	Hold	$582.74	40%	134,491	151,418	19.2x	17.9x	16.7x	1.7x	1.6x	1.5x	13.4x	12.7x	12.1x	2.3%	5.0%	4.4%
Northrop Grumman Corporation	NOC	Hold	$542.48	67%	77,066	91,994	18.8x	17.9x	16.5x	1.7x	1.6x	1.5x	14.9x	13.9x	13.0x	1.7%	4.4%	3.7%
Raytheon Technologies	RTX	Buy	$215.22	67%	290,065	326,093	29.8x	27.3x	24.6x	3.0x	2.8x	2.6x	20.8x	19.1x	17.4x	1.3%	3.6%	3.2%
Average Primes				59%			**22.8x**	**20.8x**	**18.9x**	**2.1x**	**2.0x**	**1.8x**	**15.4x**	**14.3x**	**13.3x**	**1.7%**	**4.8%**	**4.4%**
Group Average				61%			**17.4x**	**16.1x**	**14.6x**	**1.4x**	**1.3x**	**1.3x**	**12.6x**	**12.0x**	**11.2x**	**1.4%**	**8.0%**	**6.0%**
LDOS	**LDOS**	**Hold**	$115.60	40%	14,541	21,254	**9.5x**	**8.9x**	**8.3x**	**1.2x**	**1.1x**	**1.1x**	**8.5x**	**8.2x**	**7.9x**	**1.5%**	**11.3%**	**7.7%**
Discount / Premium							**-45%**	**-44%**	**-43%**	**-17%**	**-15%**	**-14%**	**-32%**	**-31%**	**-29%**	**2%**	**-29%**	**-22%**

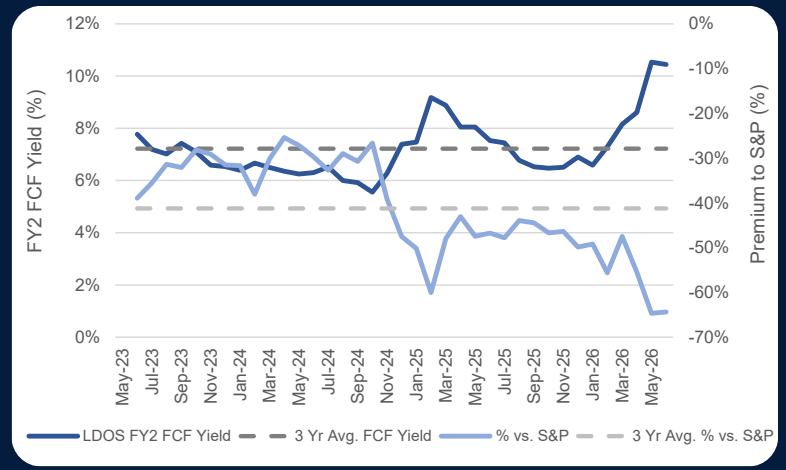
Featured Notes:

- The Bull vs Bear Debate on VBA Offering | *July 15, 2026*
- Downgrade to Hold: Sentiment Seeks a Clean Bill of Health | *June 3, 2026*
- LEIing the Foundation with a DOSe of Backlog Build | *May 10, 2026*

Trading at 9.8X FY2 P/E, 50% Disct to Mkt vs. Historical Avg Disct of 31%



Trading at 8.7X FY2 EV/EBITDA, 36% Disct to Mkt vs. Historical Avg Disct of 25%

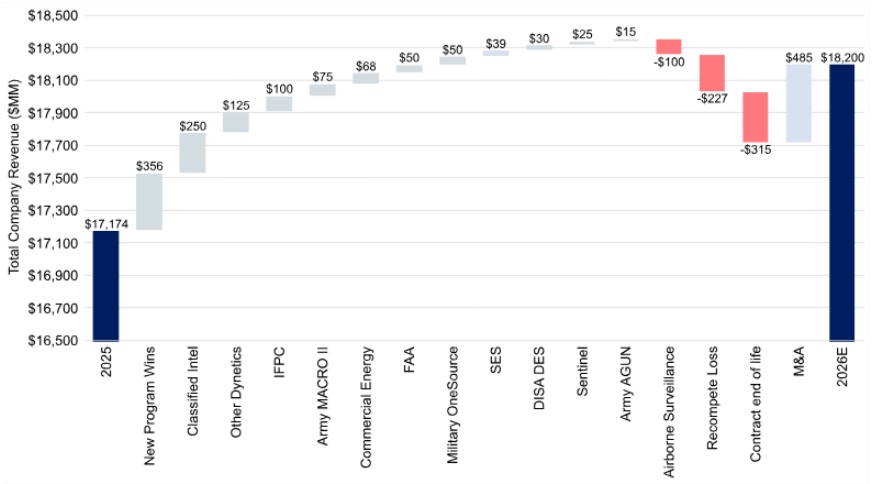


Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

Source: Company data, Jefferies estimates, FactSet

LDOS: Organic Growth of 3% Through 2028E Supported by Intelligence & Digital and Defense, Partially Offset by Health Declines

2026E Expected Up 3% Organically with Support from Classified, IFPC, Dynetics and Commercial Energy



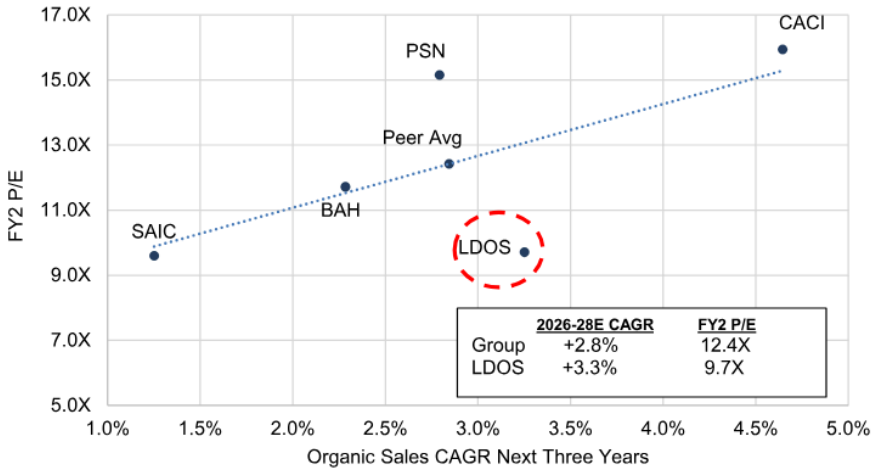
- During Q4:25 earnings, LDOS announced the realignment of its business segments to best execute on its 2030 growth strategy. The company will continue to operate in five sectors rolling up into four segments:
  - Intelligence & Digital (34% of FY26E Sales and 26% of Segment Profit)
  - Health (26% of FY26E Sales and 45% of Segment Profit)
  - Homeland (18% of FY26E Sales and 12% of Segment Profit)
  - Defense (22% of FY26E Sales and 16% of Segment Profit)

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

LDOS: Peer Discount Persists Despite Above-Average Organic Growth Outlook

Organic Sales vs FY2 P/E - LDOS At a 22% Discount To Peers Despite Better Growth Given Meaningful Risk to Health Segment



- We expect a 3.2% CAGR in FY26-29E, down from the ~7% CAGR over the past 5 years for LDOS. This is still ~1.5 pts ahead of peers' average of 1.8% growth going forward, including GDIT. The delta in growth is driven by LDOS's ~50% exposure to DoW priorities (FAA, Maritime, Golden Dome) and its relative insulation from continued civilian funding pressure that has a greater effect on peers.
- The risk specific to LDOS is mainly on the Health side, with a fourth vendor, Loyal Source, added to VBS which is expected to reduce LDOS's market share from ~35% to 25%-26% in 2026E. This could be a ~$25MM headwind in 2026.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

LDOS: Organic Growth of 3% Through 2028E Supported by Intelligence & Digital and Defense, Partially Offset by Health Declines

Health Growth Impacted by Medical Exams Stabilizing Given Increased Competition in 2026E

Health Segment ($MM)	2023	2024	2025	2026E	2027E	2028E
Revenue Bridge	**3,945**	**4,238**	**4,553**	**4,682**	**4,612**	**4,562**
Recompete Loss	(39)	(42)	(46)	(47)	(65)	(55)
New Program Wins	118	424	135	47	208	228
DHMSM	(50)	10	0	(25)	0	0
MFLC	0	0	0	0	0	0
RHRP	95	30	0	0	0	0
SSA ITSSC II	125	0	0	0	0	0
VA Medical Exam	80	370	80	(25)	(150)	0
Military OneSource	0	0	0	50	50	0
Contract end of life/On-contract Growth	(36)	(476)	(41)	(70)	(92)	(91)
Organic Change	**293**	**315**	**129**	**(70)**	**(49)**	**82**
Acquisition Contribution	0	0	0	0	0	0
End Revenue	**4,238**	**4,553**	**4,682**	**4,612**	**4,562**	**4,645**
% change	7.4%	7.4%	2.8%	-1.5%	-1.1%	1.8%
% organic change	7.4%	7.4%	2.8%	-1.5%	-1.1%	1.8%

- The Managed Health Services business was a moderate tailwind in 2025, and volumes on DHMSM were lower as the electronic health record transitioned to a sustainment phase.
  - In Health, LDOS's VA Veterans Benefits Association medical exam contract - We assume volumes increased $370MM in 2024 related to PACT Act volumes and complexity. We expect 2025 to be up modestly y-o-y with the most recent recompete supporting similar revenue and profitability with any modest decrease offset by growth in international.
  - The DHA awarded five vendors sole-source contracts for the MHS Genesis program, which LDOS led the system integration on starting in 2015. The installation was always set to be complete in 2026 where work transitions to sustainment. We est LDOS generated $340MM of annual revs on the program w/ a 0.8pt net headwind to 26. This loss along w/ RHRP ($100MM or 0.3pt) and VBA sentiment weigh on valuation. $140 PT based on 44% disc to mkt vs 3-yr avg -30%.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

LDOS: Organic Growth of 3% Through 2028E Supported by Intelligence & Digital and Defense, Partially Offset by Health Declines

Homeland: Continued Recovery at SES in 2026, Further Upside in Comm'l Energy w/ Entrust Not in Guide Yet and FAA Now Rolling Up to Homeland Segment

Homeland Segment ($MM)	2023	2024	2025	2026E	2027E	2028E
Revenue Bridge	**1,900**	**2,126**	**3,122**	**3,134**	**3,696**	**3,946**
Recompete Loss	(19)	(21)	(31)	(63)	(37)	(39)
New Program Wins	76	85	31	94	111	118
Antarctica Research	10	0	0	0	(90)	(75)
Hanford	0	0	0	0	0	(200)
FAA	0	0	40	50	0	0
Security Enterprise Solutions	36	0	(4)	39	43	47
Commercial Energy	50	55	73	68	75	82
Airborne ISR (Australia)	0	7	(1)	5	5	5
Contract end of life/On-contract Growth	(21)	870	(88)	(86)	(18)	(20)
Organic Change	**132**	**996**	**19**	**107**	**88**	**(81)**
Acquisition Contribution	94	0	(7)	455	163	0
End Revenue	**2,126**	**3,122**	**3,134**	**3,696**	**3,946**	**3,865**
% change	11.9%	46.8%	0.4%	17.9%	6.8%	-2.1%
% organic change	6.9%	46.8%	0.6%	3.4%	2.4%	-2.1%

- Homeland combines the previous Commercial and International segment which included Security Enterprise Solutions (SES), commercial energy, and work in the UK/Australia with Homeland Security work and air traffic management portfolio previously in NS&D and Health & Civil respectively.
  - We estimate FAA work, which now rolls up to the Homeland segment (previously in Health & Civil), contributes $60MM of incremental revenue in 2026E (+1.9pts to segment, +0.3pts to company). LDOS has an extensive history of working with the FAA, dating back over 50 years, largely supporting infrastructure modernization, which has increasingly shifted toward digitalization and software enablement for the agency.
  - Commercial Energy (~$600MM+ sales; ~$1.3BB post close of Entrust) continues to be the largest segment growth driver with a DD trajectory supported by the need for cybersecurity services in that market, as well as AI for more efficient grid expansion and modernization work. US utilities plan to invest >$1TT in this area in the next decade.

Source: Company data and Jefferies estimates

LDOS: Organic Growth of 3% Through 2028E Supported by Intelligence & Digital and Defense, Partially Offset by Health Declines

Defense: IFPC Accelerating in 2026 w/ Inc 2 Task Orders

Defense Segment ($MM)	2023	2024	2025	2026E	2027E	2028E
Revenue Bridge	**1,806**	**1,878**	**3,403**	**3,659**	**3,820**	**4,076**
Recompete Loss	(18)	(19)	(34)	(73)	(76)	(82)
New Program Wins	72	131	102	44	115	245
Human Lunar Lander	0	0	0	0	0	0
IFPC	30	45	75	100	20	0
Army AGUN	0	0	65	15	0	0
CHS-6	0	50	10	0	0	0
Airborne Surveillance	0	0	0	(100)	0	0
Army MACRO II	0	0	0	75	100	0
Other Dynetics	25	104	55	125	76	210
Contract end of life/On-contract Growth	(37)	1,215	48	(10)	23	21
Organic Change	**72**	**1,527**	**256**	**161**	**256**	**394**
Acquisition Contribution	0	(2)	0	0	0	0
End Revenue	**1,878**	**3,403**	**3,659**	**3,820**	**4,076**	**4,470**
% change	4.0%	81.2%	7.5%	4.4%	6.7%	9.7%
% organic change	0.0%	0.0%	7.5%	4.4%	6.7%	9.7%

- Growth in the Defense business is supported by LDOS's core Dynetics work, maritime, and US-sponsored airborne surveillance. We estimate FAA work, which now rolls up to the Homeland segment (previously in Health & Civil), contributes $60MM of incremental revenue in 2026E (+1.9pts to segment, +0.3pts to company). LDOS has an extensive history of working with the FAA, dating back over 50 years, largely supporting infrastructure modernization, which has increasingly shifted toward digitalization and software enablement for the agency.
  - We est Dynetics contributes $1.2BB of revs, or ~7% of total LDOS, within the broader Defense segment ($3.7BB or 22% of total co). Dynetics contributed $937MM in 2020 with an additional $83MM in 2021.
  - IFPC was awarded its Increment 2 contract, an up to $4BB ID/IQ, in Q4:24 with three task orders booked to date, including a $265MM award in Jul 2025 from the Army and an award for Guam in Dec 2025. The three task orders total ~$600-700MM of award value.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

LDOS: Profitability Flattens Out In High 13% Range on Moderating Health Margins

Every 50 bps of 2027E Health Adj EBIT margins vs Base Case of 22.4% = $0.14 or 1% to EPS

Health Adj EBIT Margin (%)	2027E Health Segment Revenue						
$12.95	-7%	-5%	-3%	-1%	1%	3%
20.4%	$12.06	$12.18	$12.29	$12.40	$12.51	$12.63
20.9%	$12.19	$12.31	$12.42	$12.54	$12.65	$12.77
21.4%	$12.32	$12.44	$12.56	$12.67	$12.79	$12.91
21.9%	$12.45	$12.57	$12.69	$12.81	$12.93	$13.05
22.4%	$12.58	$12.70	$12.82	$12.95	$13.07	$13.19
22.9%	$12.70	$12.83	$12.96	$13.08	$13.21	$13.33
23.4%	$12.83	$12.96	$13.09	$13.22	$13.35	$13.48
23.9%	$12.96	$13.09	$13.22	$13.35	$13.49	$13.62
24.4%	$13.09	$13.22	$13.36	$13.49	$13.63	$13.76

Every 0.5X Turn in P/E Multiple = $6/sh w/ Every 2pts of Growth Worth $1/sh vs Base Case $140/sh on 10.8X P/E of $12.95/sh w/ -1% Org Growth

FY2 P/E Multiple	2027E Health Segment Revenue						
######	-7%	-5%	-3%	-1%	1%	3%
8.8x	$111	$112	$113	$114	$115	$116
9.3x	$117	$118	$119	$120	$122	$123
9.8x	$123	$124	$126	$127	$128	$129
10.3x	$130	$131	$132	$133	$135	$136
10.8x	$136	$137	$138	$140	$141	$142
11.3x	$142	$144	$145	$146	$148	$149
11.8x	$148	$150	$151	$153	$154	$156
12.3x	$155	$156	$158	$159	$161	$162
12.8x	$161	$163	$164	$166	$167	$169

- LDOS adjusted EBITDA margin guidance for 2026 is in the mid-13% range, implying 60bps of moderation y-o-y from 14.1% in 2025. We assume 2026E EBITDA margins of 13.7% w/ Health margins moderating 220bps y-o-y but remaining >20% (23.3% in '26 from 25.5% in 2025 despite a strong start to Q1 at 24.2%), as VA exams continue under the recompete supportive of stable profitability, although we model conservatively into 2026 given incentive fees in 2025.
- For 2027E, we now est margins are flat at 13.7% vs our prior expectation for modest 30 bps of margin expansion to 14% as we bake in some conservatism around Health segment margins. We now expect another -90 bps of moderation in 2027E given the uncertainty around the VBA recompete in '27 but stabilizing in the following years and still remaining above the 20% range.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

LDOS: FCF Declines in 2026 as OCF Is Up 3% Y-o-Y But Capex Triples

Free Cash Flow Outlook - $4.76BB FCF Generation Over FY26-28E

	2020	2021	2022	2023	2024	2025	2026E	2027E
Net Income	$629	$759	$693	$208	$1,251	$1,462	$1,419	$1,563
Depreciation and Amortization	282	325	333	331	290	290	300	275
Section 174/Payroll Tax Repayment	0	(60)	0	(220)	(60)	(146)	75	0
NWC	289	(106)	(65)	101	(120)	(334)	(84)	(152)
Stock Comp/Deferred Taxes/Other	(169)	53	25	745	74	478	85	85
CFO	$1,031	$1,031	$986	$1,165	$1,435	$1,750	$1,795	$1,771
Capex	(183)	(104)	(129)	(207)	(149)	(125)	(350)	(200)
FCF	**$848**	**$927**	**$857**	**$958**	**$1,286**	**$1,625**	**$1,445**	**$1,571**
FCF per Share	**$5.89**	**$6.48**	**$6.21**	**$6.94**	**$9.46**	**$12.50**	**$11.29**	**$12.38**
Deployment								
Dividends	($196)	($199)	($199)	($201)	($208)	($211)	($224)	($233)
Share Repurchases	(105)	(270)	(542)	(246)	(906)	(944)	(433)	(707)
Debt Paydown	(5,456)	(106)	(545)	(2,045)	(18)	(1,019)	(5)	(750)
Debt Issuance	7,225	380	380	1,743	0	997	1,697	0
Acquisitions	(2,655)	(622)	(192)	(6)	0	(293)	(2,338)	0
Asset Sales/Other	12	0	21	2	2	9	0	0
Total Deployment	**($1,175)**	**($817)**	**($1,077)**	**($753)**	**($1,130)**	**($1,461)**	**($1,304)**	**($1,690)**
Discretionary FCF (post dividends, committed share repo and debt pay-down)	**($4,909)**	**$352**	**($429)**	**($1,534)**	**$154**	**($549)**	**$782**	**($120)**
Ratios								
FCF to Net Income Conversion	135%	122%	124%	461%	103%	111%	102%	100%
FCF to Adj. Net Income	101%	98%	94%	95%	93%	104%	93%	96%
Capex as a % of Sales	1.5%	0.8%	0.9%	1.3%	0.9%	0.7%	1.9%	1.1%
FCF Yield (FCF / Mkt Cap.)	3.7%	4.1%	3.7%	4.2%	5.6%	7.1%	6.3%	6.9%
FCF Change %	-15%	9%	-8%	12%	34%	26%	-11%	9%
FCF/Sh Change %	-15%	10%	-4%	12%	36%	32%	-10%	10%
Discretionary FCF Yield	-21.5%	1.5%	-1.9%	-6.7%	0.7%	-2.4%	3.4%	-0.5%
Discretionary FCF % Change YoY	NM	NM	-222%	NM	-110%	-456%	-242%	-115%
Dividend as a % of Net Income	31%	26%	29%	97%	17%	14%	16%	15%
Dividend Yield	1.3%	1.6%	1.4%	1.3%	0.9%	0.9%	1.0%	1.0%
Share Repo as % of Mkt Cap	0%	1%	2%	1%	4%	4%	2%	3%
% of Cash Returned to Shareholders	35%	51%	86%	47%	87%	71%	46%	60%

- LDOS 2026 OCF guidance of ~$1.80BB includes a $90MM y-o-y headwind from lower Section 174 cash tax savings (implied ~$60MM inflow vs $150MM in 2025). Capex is expected to ~triple to $350MM this year (from $125MM in 2025) driving FCF of $1.45BB. The significant step-up in capex is to support capitalized investments meant to accelerate near-term growth including expanding production capacity and expanding & upgrading classified facilities. Specific areas targeted for investment incl Maritime/autonomous vector, integrated air defense and hypersonics along with continued investments in all growth pillars, including the Health and FAA offering.
- For 2026, we estimate FCF of $1.45BB on $1.80BB of OCF and $350MM of capex, driving 93% FCF conversion to adj NI (vs 104% in 2025). We assume a smaller use of NWC this year ($84MM) relative to 2025 ($334MM), driving a ~$250MM y-o-y tailwind. We expect FCF will improve after this year w/ $1.57BB in 2027E (96% conversion to adj NI) and $1.75BB in 2028E (100% conversion to adj NI) as elevated capex in 2026 declines to more normalized levels of ~$200MM.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

LDOS: Annual Income Statement

Years Ending December 31st (millions, except per share data)	2024		2025		2026E		2027E		2028E	
	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales
Total Revenues	**$16,662**	100.0	**$17,174**	100.0	**$18,200**	100.0	**$18,918**	100.0	**$19,590**	100.0
Costs and expenses										
Costs of Sales	(13,864)	83.2%	(14,075)	82.0%	(14,883)	81.8%	(15,440)	81.6%	(15,962)	81.5%
Selling, General & Administrative	(983)	5.9	(999)	5.8	(1,147)	6.3	(1,192)	6.3	(1,234)	6.3
Other	(27)	0.2	(23)	0.1	(35)	0.2	0	0.0	0	0.0
Total Operating Costs	**($14,874)**	89%	**($15,097)**	88%	**($16,065)**	88%	**($16,632)**	88%	**($17,196)**	88%
Equity Earnings	39		32		28		28		28	
Operating Profit	**$1,827**	11.0%	**$2,109**	12.3%	**$2,163**	11.9%	**$2,314**	12.2%	**$2,422**	12.4%
Other (income) expense, net	5		3		(24)		0		0	
Interest Expense	(193)		(203)		(265)		(252)		(216)	
Total Expense	(193)		(203)		(265)		(252)		(216)	
Income before taxes	**$1,629**		**$1,903**		**$1,922**		**$2,062**		**$2,206**	
Taxes (rate %)	(388)	23.8%	(447)	23.5%	(455)	23.7%	(499)	24.2%	(533)	24.2%
Net Income	**$1,251**		**$1,462**		**$1,419**		**$1,563**		**$1,673**	
Non-controlling interests										
Net Income attributable to LDOS	**$1,251**	7.5%	**$1,462**	8.5%	**$1,419**	7.8%	**$1,563**	8.3%	**$1,673**	8.5%
Diluted shares (millions)	136.0		130.0		128.0		126.9		125.6	
GAAP EPS	**$9.20**		**$11.25**		**$11.09**		**$12.32**		**$13.32**	
GAAP Operating Income										
Acquisition and Integration Costs	22		19		35		0		0	
Amortization of Acquired Intangibles	147		129		130		105		95	
Asset Impairment Charges	11		4		0		0		0	
Restructuring	0		0		0		0		0	
Non-GAAP Operating Income	**2,007**		**2,261**		**2,328**		**2,419**		**2,517**	
Depreciation Expense	143		160		170		170		170	
Other (Expense) Income	3		(1)		0		0		0	
Adjusted EBITDA	**2,153**		**2,420**		**2,498**		**2,589**		**2,687**	
Depreciation Expense	(143)		(160)		(170)		(170)		(170)	
Interest Expense	(193)		(203)		(265)		(252)		(216)	
Adjusted Earnings before Tax	**1,817**		**2,057**		**2,063**		**2,167**		**2,301**	
Adjusted Income Tax Expense	(432)		(484)		(501)		(524)		(556)	
Non-GAAP Income	**1,385**		**1,573**		**1,562**		**1,643**		**1,745**	
Non Controlling Interest	(3)		14		0		0		0	
Non-GAAP Attributable to LDOS	**1,388**		**1,559**		**1,562**		**1,643**		**1,745**	
Adjusted EPS	**$10.21**		**$11.99**		**$12.20**		**$12.95**		**$13.90**	

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

LDOS: Cash Flow Statement

(millions, except per share data)	2024	2025	2026E	2027E
Operating Activities				
Net income	$1,251	$1,462	$1,419	$1,563
Depreciation & Amortization	290	290	300	275
Non cash compensation	85	95	85	85
Receivables	(220)	(46)	(67)	(214)
Inventory, Prepaid and other assets	96	19	(3)	(40)
Accrued Payroll	121	1	(18)	32
Deferred Income Taxes	(28)	(146)	75	0
Other	(160)	75	5	69
Cash Flow from Operations	**$1,435**	**$1,750**	**$1,795**	**$1,771**
Investment activities				
Capital expenditures	($149)	($125)	($350)	($200)
Cash paid for acquisitions	0	(293)	(2,338)	0
Net Proceeds from Asset Sales	2	9	0	0
Other	9	4	0	0
Cash Flow from Investments	**($138)**	**($405)**	**($2,688)**	**($200)**
Financing Activities				
Proceeds from LT debt	0	997	1,697	0
Payments on LT debt	(18)	(1,019)	(5)	(750)
Dividends paid	(208)	(211)	(224)	(233)
Sales of common stock	55	62	16	0
Repurchases of common stock	(906)	(944)	(433)	(707)
Other	(7)	(30)	0	0
Cash Flow from Financing	**($1,084)**	**($1,145)**	**$1,050**	**($1,690)**
Net change in cash items	**$203**	**$200**	**$157**	**($120)**
Cash at the beginning of the period	928	1,131	1,331	1,488
Cash at the end of the period	**$1,131**	**$1,331**	**$1,488**	**$1,369**

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

Lockheed Martin (LMT)

Hold | Price Target: $595

Valuation Method	Price	Assumptions
EV/EBITDA	584	12.5x EV/EBITDA on 2027 EBITDA of $12.0BB
P/E	588	18.5x P/E on 2027 EPS of $31.70
FCF	614	4.5% FCF Yield on 2027 FCF of $6.4BB
Average	**$595**	**Blended average**

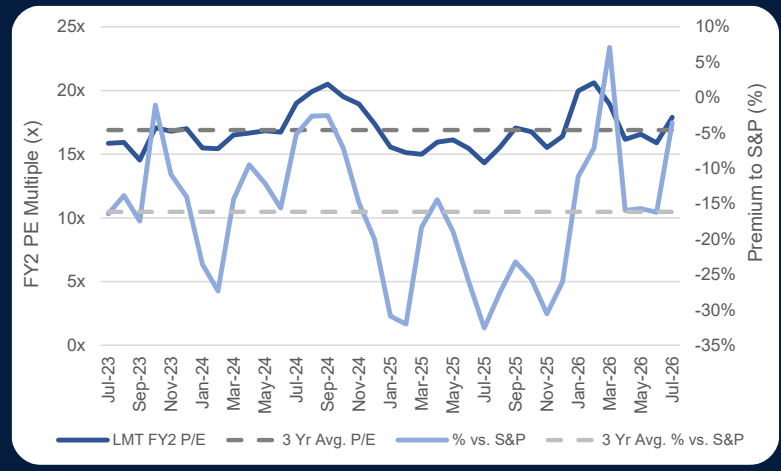
Valuation Table

	Ticker	JEF Rating	Stock Px 7/26/2026	Consensus BUY Rating	Market Cap	Enterprise Value	P/E 2026E	P/E 2027E	P/E 2028E	EV / SALES 2026E	EV / SALES 2027E	EV / SALES 2028E	EV / EBITDA 2026E	EV / EBITDA 2027E	EV / EBITDA 2028E	Yield Dividend	Yield FCF
BAE Systems	BA-GB	Hold	£19.71	57%	59,220	65,324	23.9x	20.8x	18.4x	2.0x	1.8x	1.7x	14.2x	12.9x	11.7x	1.8%	4.2%
General Dynamics	GD	Buy	$386.75	50%	104,589	112,197	23.1x	21.1x	19.6x	2.0x	1.9x	1.9x	16.5x	15.3x	14.4x	1.6%	4.6%
Northrop Grumman	NOC	Hold	$542.24	67%	77,032	91,960	18.9x	17.8x	16.5x	2.1x	2.0x	1.8x	14.9x	13.9x	13.0x	1.7%	4.4%
Rheinmetall	RHM-DE	Buy	€ 1,037.60	81%	48,536	49,933	27.6x	18.9x	13.7x	3.6x	2.6x	2.0x	15.6x	11.1x	8.2x	1.1%	3.5%
RTX	RTX	Buy	$212.79	71%	286,789	322,776	29.7x	27.2x	24.6x	3.4x	3.1x	2.9x	20.7x	19.0x	17.3x	1.3%	3.6%
Thales	HO-FR	Buy	€ 236.40	50%	48,685	49,231	22.4x	19.3x	17.0x	2.1x	1.9x	1.8x	13.1x	11.8x	10.7x	1.6%	5.2%
Average				57%			**24.3x**	**20.9x**	**18.3x**	**2.5x**	**2.2x**	**2.0x**	**15.8x**	**14.0x**	**12.6x**	**1.5%**	**4.3%**
Lockheed Martin	**LMT**	**Hold**	**$582.60**	**40%**	**$134,459**	**$151,386**	**19.3x**	**18.4x**	**17.1x**	**1.9x**	**1.8x**	**1.7x**	**13.3x**	**12.6x**	**11.9x**	**2.3%**	**5.0%**
Discount / Premium							**-21%**	**-12%**	**-7%**	**-25%**	**-20%**	**-16%**	**-16%**	**-10%**	**-5%**		**-14%**

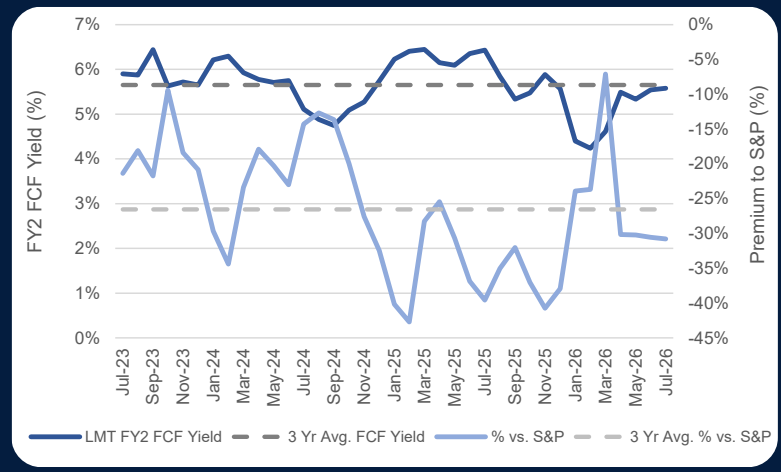
Featured Notes:

- Missiles PAC a Punch; LMT Looks to Bring New Vibes to Old School Defense | Jul 26, *2026*
- Q2 Preview: To Definitized MFC Contracts & Beyond | Jun 25, *2026*
- LOCKed In, But HEED the Supply Chain | *Apr 26, 2026*

Trading at 17.9X FY2 P/E, 4% Disct to Mkt vs. Historical Avg Disct of 16%



Trading at a 5.6% FY2 FCF Yield, 31% Disct to Mkt vs. Historical Avg Disct of 27%



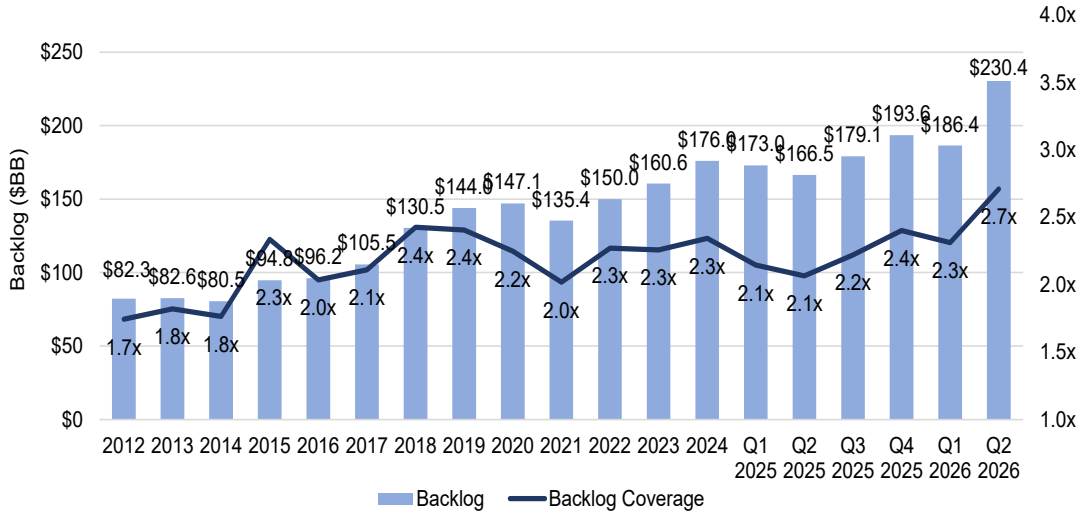
Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

Source: Company data, Jefferies estimates, FactSet

Jefferies

LMT: Backlog Up 38% Y-o-Y to Record $230BB on 3.2X B2B

Backlog Coverage at 2.8X Our 2026E Revenue Estimate



LMT Revenue Build - 6% CAGR Through 2028 Driven by Missile Growth

	2024	2025	2026E	2027E	2028E	CAGR
Aeronautics	$28,618	$30,257	$32,033	$32,874	$34,019	4.4%
Missiles and Fire Control	12,682	14,450	16,747	18,948	21,250	13.8%
Rotary and Mission Systems	17,264	17,312	17,852	18,599	19,380	2.9%
Space	12,479	13,029	13,934	14,517	15,138	4.9%
Total Revenues	**$71,043**	**$75,048**	**$80,566**	**$84,939**	**$89,787**	**6.0%**
YoY % Change						
Aeronautics	4.2%	5.7%	5.9%	2.6%	3.5%	
Missiles and Fire Control	12.7%	13.9%	15.9%	13.1%	12.2%	
Rotary and Mission Systems	6.3%	0.3%	3.1%	4.2%	4.2%	
Space	(1.0%)	4.4%	6.9%	4.2%	4.3%	
Total	**5.1%**	**5.6%**	**7.4%**	**5.4%**	**5.7%**	
% Composition						
Aeronautics	40%	40%	40%	39%	38%	
Missiles and Fire Control	18%	19%	21%	22%	24%	
Rotary and Mission Systems	24%	23%	22%	22%	22%	
Space	18%	17%	17%	17%	17%	
Total	**100%**	**100%**	**100%**	**100%**	**100%**	

- At $230.4BB, the backlog covers 2.8X our est 2026E full-year revenues of ~$80.6BB, ahead of the recent historical coverage.
- LMT's backlog increased 38% y-o-y (+24% sequentially) to $230.4BB in Q2, up from $166.5BB a year-ago for a B2B of 3.2X on $65BB of orders including the $35BB multi-yr THAAD contract, a $3BB GMLRS production award and $1.1BB HIMARS award in MFC along w/ new radar awards in RMS.
- The Aero backlog increased 4% y-o-y (-1% sequentially) to $54.4BB. The MFC backlog was up 118% (+89% sequentially) to $87.9BB supported by THAAD. The RMS backlog rose +26% y-o-y (+6% q-o-q) to $48.5BB and Space was +12% y-o-y (+2% q-o-q) to $39.7BB. Q2 B2B of 3.2X compared to a 2025 B2B of 1.2X.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

LMT: Missiles and Fire Control Leads the Pack Up 14% 2026 (21% of 2026E Revenues, 27% of EBIT)

Missile and Fire Control Revenue Build - 16% Revenue Growth in 2026E Led by Tactical Missiles with 2027E Up 13% ($MM)

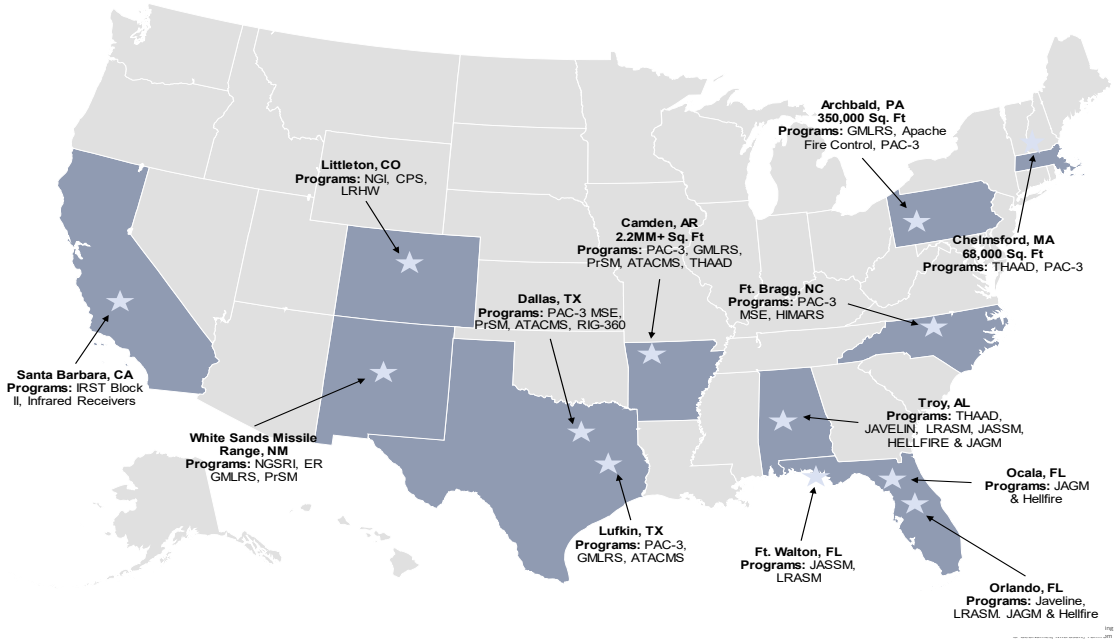
Missiles and Fire Control Revenue Build	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	2025-2028 CAGR
Air & Missile Defense											
PAC-3	$1,750	$2,100	$2,400	$2,400	$2,250	$2,650	$3,000	$3,400	$4,200	$5,000	19%
THAAD	1,150	1,300	1,200	1,100	1,050	1,100	1,100	1,100	1,500	2,300	28%
MEADS	50	50	50	50	50	50	50	50	50	50	0%
Other	276	501	637	673	708	407	502	846	863	485	-1%
Total Air & Missile Defense	**$3,226**	**$3,951**	**$4,287**	**$4,223**	**$4,058**	**$4,207**	**$4,652**	**$5,396**	**$6,613**	**$7,835**	**19%**
% change	*18%*	*22%*	*9%*	*-1%*	*-4%*	*4%*	*11%*	*16%*	*23%*	*18%*	
Tactical Missiles											
MLRS/GMLRS	$600	$750	$750	$725	$725	$900	$1,000	$1,000	$1,050	$1,050	2%
Hellfire	700	900	900	875	900	950	950	1,000	1,000	100	-53%
JASSM	525	550	600	600	650	775	900	1,050	1,100	1,200	10%
ATACMS	520	520	500	510	520	500	500	500	500	500	0%
Javelin	210	210	210	210	210	240	260	280	280	280	3%
JAGM	250	250	300	300	250	275	300	300	300	300	0%
Other	1,747	1,977	2,103	2,117	2,226	3,064	4,134	5,443	6,300	8,153	25%
Total Tactical Missile	**$4,552**	**$5,157**	**$5,363**	**$5,337**	**$5,481**	**$6,704**	**$8,044**	**$9,573**	**$10,530**	**$11,583**	**13%**
% change	*37%*	*13%*	*4%*	*-1%*	*3%*	*22%*	*20%*	*19%*	*10%*	*10%*	
Fire Control											
Apache	$700	$700	$650	$650	$650	$650	$650	$650	$650	$650	0%
SNIPER	375	375	300	250	250	250	250	250	250	250	0%
LANTIRN	375	375	375	375	375	375	375	375	375	375	0%
SOF GLSS/Other	462	382	401	171	128	170	156	177	199	221	12%
Total Fire Control	**$1,912**	**$1,832**	**$1,726**	**$1,446**	**$1,403**	**$1,445**	**$1,431**	**$1,452**	**$1,474**	**$1,496**	**1%**
% change	*1%*	*-4%*	*-6%*	*-16%*	*-3%*	*3%*	*-1%*	*1%*	*1%*	*1%*	
Energy	**$152**	**$0**	**$0**	**$0**	**$0**	**$0**	**$0**	**$0**	**$0**	**$0**	**N/A**
% change	*-30%*	*-100%*	*N/A*	*N/A*	*N/A*	*N/A*	*N/A*	*N/A*	*N/A*	*N/A*	
Other	**$288**	**$317**	**$317**	**$311**	**$311**	**$326**	**$323**	**$326**	**$331**	**$336**	**1%**
Total Missiles and Fire Control Segment	**$10,131**	**$11,257**	**$11,693**	**$11,317**	**$11,253**	**$12,682**	**$14,450**	**$16,747**	**$18,948**	**$21,250**	**14%**
% change	*20%*	*11%*	*4%*	*-3%*	*-1%*	*13%*	*14%*	*16%*	*13%*	*12%*	
Profitability											
Operating Profit	**$1,441**	**$1,545**	**$1,650**	**$1,637**	**$1,541**	**$413**	**$1,989**	**$2,315**	**$2,639**	**$2,980**	**14%**
% change	*15%*	*7%*	*7%*	*-1%*	*-6%*	*-73%*	*382%*	*16%*	*14%*	*13%*	
Operating Margin	*14.2%*	*13.7%*	*14.1%*	*14.5%*	*13.7%*	*3.3%*	*13.8%*	*13.8%*	*13.9%*	*14.0%*	

Higher production for PAC-3 primarily drives a 3% CAGR from 2022 through 2025 for Air and Missile Defense, with THAAD a partial offset.

Tactical missile usage stays elevated with restocking required. Hypersonics and classified are also major contributors.

We forecast margins fall in 2023 on advance capacity investments and development work, but improve in 2024 on better mix.

Domestic MFC Locations Map - Diverse Manufacturing Base Supports Program Execution



- Missiles and Fire Control revenues increased 19% in Q2 on $560MM of higher integrated air & missile defense programs (PAC-3) and $100MM of tactical & strike missile programs (JASSM, LRASM, & PrSM).
- The 2026 revenue framework points to a mid-teens advance with guidance of $16.5-16.9BB implying ~16% growth, again serving as the strongest growth driver into 2026. The growth in MFC is reinforced with recent booking near-term with backlog >2x vs Q2:25 supported by the multiyear THAAD contract.

Source: Company data and Jefferies estimates

LMT: Missiles and Fire Control – PAC – 3 ACE Could Add ~3.2BB of Incremental Peak Sales

We Estimate Peak Incremental Sales Potential from Lower Cost PAC-3 ACE of ~$3.2BB, Even After Assuming ACE Cannibalizes 25% of Legacy MSE Units

	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E
Base PAC-3 MSE Assumptions								
MSE Units	660	800	1,100	1,400	1,700	2,000	2,000	2,000
MSE ASP ($MM)	$4.50	$4.50	$4.50	$4.50	$4.50	$4.50	$4.50	$4.50
PAC-3 MSE Revenue ($MM)	**$2,970**	**$3,600**	**$4,950**	**$6,300**	**$7,650**	**$9,000**	**$9,000**	**$9,000**
PAC-3 ACE Assumptions								
ACE units	0	0	0	750	1,950	3,000	3,000	3,000
ACE ASP ($MM)	$1.8	$1.8	$1.8	$1.8	$1.8	$1.8	$1.8	$1.8
PAC-3 ACE Revenue ($MM)	**$0**	**$0**	**$0**	**$1,350**	**$3,510**	**$5,400**	**$5,400**	**$5,400**
Cannibalization								
MSE units cannibalized	0	0	0	125	325	500	500	500
% MSE units	0%	0%	0%	9%	19%	25%	25%	25%
Lost MSE Revenue ($MM)	**$0**	**$0**	**$0**	**($563)**	**($1,463)**	**($2,250)**	**($2,250)**	**($2,250)**
Net PAC-3 ACE Incremental Revenue	**$0**	**$0**	**$0**	**$788**	**$2,048**	**$3,150**	**$3,150**	**$3,150**
Base PAC-3 MSE EBIT	413	500	688	876	1,063	1,251	1,251	1,251
% Margin	13.9%	13.9%	13.9%	13.9%	13.9%	13.9%	13.9%	13.9%
PAC-3 ACE EBIT	$0	$0	$0	$124	$395	$719	$832	$832
% Margin	5.0%	5.0%	5.0%	9.2%	11.2%	13.3%	15.4%	15.4%
Lost MSE EBIT (Cannibalization)	$0	$0	$0	($78)	($203)	($313)	($313)	($313)
Less: Self-Funded R&D (annual)	($100)	($100)	($100)	($100)	$0	$0	$0	$0
Net Incremental EBIT	**($100)**	**($100)**	**($100)**	**($55)**	**$191**	**$407**	**$519**	**$519**

Inputs & Assumptions	
Self-funded Start-Up Capex	$500
Self-funded Start-Up R&D / Year	$100
PAC-3 ACE ASP as % of MSE	40%
PAC-3 ACE Volume Multiplier vs. MSE	1.5x
Tax Rate	17%
WACC	8.0%

Value	
IRR	**14%**
NPV (through 2037)	**$369**
NPV per LMT share	**$1.59**

- We estimate that the PAC-3 ACE, introduced on July 20, 2026 could add ~$3.2BB of incremental peak sales to LMT, even assuming some cannibalization of existing (and future) PAC-3 MSE units.
- The PAC-3 ACE stands alongside the PAC-3 MSE, which has a $4.5MM ASP, currently serves 17 partner nations worldwide, and is an advanced, hit-to-kill interceptor designed to defend against a wide spectrum of incoming threats. Its primary operational role is countering tactical ballistic missiles, cruise missiles, hypersonic weapons, and advanced air-breathing threats in highly contested environments.
- Final assembly on the PAC-3 MSE final assembly takes place at the Camden, AK facility. BA is the most critical subcontractor producing the missile's seeker in Huntsville, AL. To support capacity ramps to ~2,000 units per year, Lockheed is actively expanding its global supply chain through an MoU with Diehl Defense in Germany and additionally, Polish firm WZE SA is currently validating production lines to manufacture crucial Attitude Control System (ACS) and Attitude Control Motor (ACM) components for the global market.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

LMT: Aeronautics Advances 6% in 2026E with 156 F-35 Deliveries (40% of 2026E Total Co Revenues, 36% of EBIT)

Aeronautics Revenue Build - F-16 Leading Delivery Growth w/ F-35 Deliveries Moderating into 2026E After A Record 2025 ($MM)

Aeronautics Revenue Build	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	2025-2028 CAGR
Combat Aircraft											
F-16	$1,600	$1,900	$1,800	$1,850	$2,080	$2,290	$2,160	$1,960	$3,060	$3,780	21%
F-22	850	850	1,000	1,080	1,050	900	900	900	900	900	0%
F-35	16,350	14,346	14,615	17,366	17,400	18,348	20,280	20,888	21,262	21,637	2%
Other Aircraft	215	4,019	3,862	832	514	769	851	1,894	932	623	-10%
Total Combat Aircraft	**$19,015**	**$21,115**	**$21,277**	**$21,128**	**$21,044**	**$22,307**	**$24,191**	**$25,642**	**$26,155**	**$26,940**	**4%**
% change	*12%*	*11%*	*1%*	*-1%*	*0%*	*6%*	*8%*	*6%*	*2%*	*3%*	
Air Mobility											
C-5M	$50	$50	$50	$50	$50	$50	$50	$50	$50	$50	0%
C-130J	2,738	2,312	2,342	2,434	2,434	2,221	871	2,434	2,434	2,434	41%
Other Maintenance Upgrades	266	677	678	599	629	873	2,192	629	629	629	-34%
Total Air Mobility	**$3,054**	**$3,039**	**$3,070**	**$3,083**	**$3,113**	**$3,144**	**$3,113**	**$3,113**	**$3,113**	**$3,113**	0%
% change	*0%*	*0%*	*1%*	*0%*	*1%*	*1%*	*-1%*	*0%*	*0%*	*0%*	
R&D/Other	**$1,625**	**$2,112**	**$2,401**	**$2,776**	**$3,317**	**$3,168**	**$2,954**	**$3,279**	**$3,607**	**$3,967**	10%
% change	*16%*	*30%*	*14%*	*16%*	*20%*	*-4%*	*-7%*	*11%*	*10%*	*10%*	
Total Aeronautics Segment	**$23,693**	**$26,266**	**$26,748**	**$26,987**	**$27,474**	**$28,618**	**$30,257**	**$32,033**	**$32,874**	**$34,019**	4%
% change	*10%*	*11%*	*2%*	*1%*	*2%*	*4%*	*6%*	*6%*	*3%*	*3%*	
Deliveries											
F-35	134	120	142	141	147	110	191	156	156	156	-7%
F-16	0	0	0	0	5	16	16	36	48	48	44%
Profitability											
Operating Profit	**$2,521**	**$2,843**	**$2,799**	**$2,866**	**$2,825**	**$2,523**	**$2,086**	**$3,053**	**$3,164**	**$3,304**	17%
% change	*11%*	*13%*	*-2%*	*2%*	*-1%*	*-11%*	*-17%*	*46%*	*4%*	*4%*	
Operating Margin	*10.6%*	*10.8%*	*10.5%*	*10.6%*	*10.3%*	*8.8%*	*6.9%*	*9.5%*	*9.6%*	*9.7%*	

- Aeronautics revenues grew 9% y-o-y in Q2:26 on $475MM of higher volumes on the F-35 program and $360MM due to lapping reach forward losses recognized on a classified contract in 2025, offset by $120MM of lower sales on the F-16 and C-130 sustainment programs.
- Our estimate for 2026 has Aeronautics growing +6% y-o-y to $32.0BB, driven by sustained combat aircraft deliveries and R&D.
- Q2:26 operating profit swung to $760MM vs a $98MM loss in Q2:25 on $950MM of lapping reach forward losses recognized on a classified contract in 2025 and higher F-35 volumes, offset by $160MM of adjustments.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

LMT: Aeronautics Advances 6% in 2026E with 156 F-35 Deliveries (40% of 2026E Total Co Revenues, 36% of EBIT)

F-35 Revenue Build - Steady-State 156/Yr ($MM)

F-35 EBIT $	2018	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
Production	1,232	1,359	1,560	1,472	1,374	1,216	1,289	1,444	1,459	1,459	1,459
Maintenance	245	312	340	518	370	430	452	521	579	616	653
R&D	53	69	80	60	91	105	100	100	95	95	95
Total F-35 EBIT $	**1,530**	**1,740**	**1,980**	**2,050**	**1,835**	**1,751**	**1,841**	**2,065**	**2,132**	**2,170**	**2,207**
F-35 EBIT %											
Production	11.1%	10.8%	16.7%	15.6%	11.6%	11.1%	10.9%	11.1%	11.1%	11.1%	11.1%
Maintenance	10.0%	12.0%	10.0%	14.0%	10.0%	10.0%	10.0%	10.0%	10.0%	10.0%	10.0%
R&D	5.0%	6.0%	5.0%	4.0%	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%
Total F-35 EBIT %	**10.5%**	**10.6%**	**13.8%**	**14.0%**	**10.6%**	**10.1%**	**10.0%**	**10.2%**	**10.2%**	**10.2%**	**10.2%**

- We estimate F-35 margins using annual disclosures of F-35 as a percentage of total company sales and incremental operating profit contribution.
- Given sustainment and R&D profitability change over time based on variances in performance-based logistics contracts, we assume a flat-lined 10% EBIT margin for sustainment and 5% for R&D, with some adjustments around timing. Production is the largest contribution to EBIT and is the focus below.
- LMT provides annual incremental F-35 EBIT contribution which we used to calculate total annual program EBIT based on an assumed 5% starting margin in 2010.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

LMT: Space Systems Expand 7% in 2026E On NGI/FBM/Space Strength (17% of 2026E Revenues, 16% of EBIT)

Space Revenue Build - Growth Accelerates to +7% in 2026 on NGI & FBM ($MM)

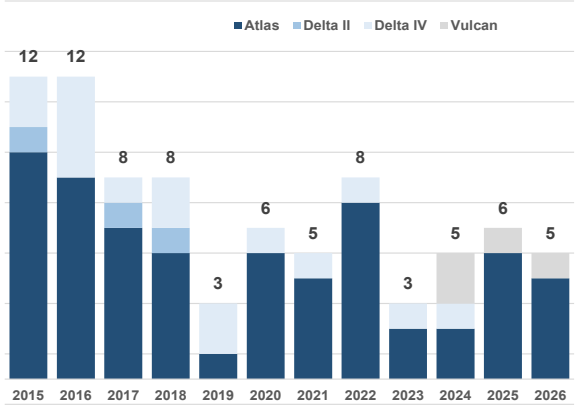
Space Revenue Build	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	2025-2028 CAGR
Satellite Programs											
SBIRS/OPIR	$1,100	$1,400	$1,450	$1,350	$1,325	$1,400	$1,300	$1,200	$1,200	$1,200	-3%
GPS III	550	550	500	500	650	600	650	650	650	650	0%
AEHF	300	300	300	300	303	304	305	306	306	306	0%
Classified/Other/Services	4,409	4,645	4,783	5,121	5,284	4,954	4,905	5,291	5,439	5,591	4%
Total Satellite Programs	**$6,359**	**$6,895**	**$7,033**	**$7,271**	**$7,562**	**$7,258**	**$7,160**	**$7,447**	**$7,595**	**$7,747**	**3%**
% change	*12%*	*8%*	*2%*	*3%*	*4%*	*-4%*	*-1%*	*4%*	*2%*	*2%*	
Strategic & Defensive Missiles											
Trident II	$1,150	$1,200	$1,200	$1,200	$1,200	$1,250	$1,300	$1,350	$1,350	$1,350	1%
AWE Management Program	1,600	1,600	885	0	0	0	0	0	0	0	N/A
Other/Hypersonics	685	1,065	1,644	2,134	2,768	3,035	3,371	3,928	4,350	4,806	13%
Total Strategic & Defensive Missiles	**$3,435**	**$3,865**	**$3,729**	**$3,334**	**$3,968**	**$4,285**	**$4,671**	**$5,278**	**$5,700**	**$6,156**	**10%**
% change	*12%*	*13%*	*-4%*	*-11%*	*19%*	*8%*	*9%*	*13%*	*8%*	*8%*	
Space Transportation											
Orion	$1,065	$1,087	$1,000	$880	$800	$800	$800	$800	$800	$800	0%
Other	1	34	52	46	276	136	398	410	422	434	3%
Total Space Transportation	**$1,066**	**$1,121**	**$1,052**	**$926**	**$1,076**	**$936**	**$1,198**	**$1,210**	**$1,222**	**$1,234**	**1%**
% change	*0%*	*5%*	*-6%*	*-12%*	*16%*	*-13%*	*28%*	*1%*	*1%*	*1%*	
Total Space Segment	**$10,860**	**$11,880**	**$11,814**	**$11,532**	**$12,605**	**$12,479**	**$13,029**	**$13,934**	**$14,517**	**$15,138**	**5%**
% change	*11%*	*9%*	*-1%*	*-2%*	*9%*	*-1%*	*4%*	*7%*	*4%*	*4%*	
Profitability											
Operating Profit	**$1,191**	**$1,149**	**$1,184**	**$1,057**	**$1,158**	**$1,226**	**$1,345**	**$1,358**	**$1,435**	**$1,517**	**4%**
% change	*13%*	*-4%*	*3%*	*-11%*	*10%*	*6%*	*10%*	*1%*	*6%*	*6%*	
Operating Margin	*11.0%*	*9.7%*	*10.0%*	*9.2%*	*9.2%*	*9.8%*	*10.3%*	*9.7%*	*9.9%*	*10.0%*	

- Space sales increased 6% in Q2:26 to $3.5BB on a $190MM increase for strategic and missile defense programs including higher volume on the Fleet Ballistic Missile (FBM) and Next Generation Interceptor (NGI) programs. For 2026, the top-line guide was raised ~2% to $13.85-14.05BB (from $13.5-13.8BB; est/cons $13.7BB/$13.8BB), implying revenues +7% at the mdpt with our 2026 revenue estimate of $13.9BB representing 7% growth (in-line).
- In Q2, Space margins were better at 10.6% (vs est 9.8%), down 33bps y-o-y with comparable operating profit. The 2026 profit outlook was lowered -3% to $1.34-1.38BB (from $1.385-1.415BB) for margins of ~9.7% at the mdpt vs ~10.3% prior.

The Vulcan Centaur Launch Vehicle is Critical for ULA's future

Company	ULA
Vehicle	Vulcan Centaur
Payload Capability	8,500- 27,200 kg to LEO
Size	202 ft long 18 ft diameter
Propulsion	Stage 1: 2x BE--4 Stage 2: 1x RL10C Optional: GEM 63XL SRBs; LNG/LO2
Launches to Date	11
Est Launch Cost	~$110MM

ULA Has Completed 3-8 Annual Launches in Recent Years



Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

LMT: Rotary and Mission Systems Revenue Build - Growth Pushed Out on Sikorsky Timing with +3% in 2026E and +4% in 2027E on CH-53K ($MM)

Rotary and Mission Systems Revenue Build - Growth Pushed Out on Sikorsky Timing with +3% in 2026E and +4% in 2027E on CH-53K ($MM)

Rotary and Mission Systems Revenue Build	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	2025-2028 CAGR
Sikorsky											
Government Helicopters	$2,210	$2,240	$2,610	$3,182	$2,860	$3,960	$4,950	$4,674	$4,674	$4,674	-2%
Commercial Helicopters	54	0	81	0	162	27	54	162	162	162	44%
International Military Helicopters	390	450	510	270	440	680	629	760	760	760	7%
Production Revenue	2,654	2,690	3,201	3,452	3,462	4,667	5,633	5,596	5,596	5,596	0%
Maintenance	1,705	2,345	2,373	2,102	2,091	1,024	155	388	660	942	83%
Sustainment	1,100	1,000	1,000	850	800	801	802	803	803	803	0%
Total Sikorsky	**$5,459**	**$6,035**	**$6,574**	**$6,404**	**$6,353**	**$6,492**	**$6,590**	**$6,787**	**$7,059**	**$7,341**	**4%**
% change	*-3%*	*11%*	*9%*	*-3%*	*-1%*	*2%*	*1%*	*3%*	*4%*	*4%*	
Integrated Warfare Systems & Sensors											
Aegis	$1,650	$1,700	$1,775	$1,850	$2,000	$2,000	$2,000	$2,000	$2,000	$2,000	0%
LCS/Ship Integration	950	1,000	900	950	950	950	950	950	950	950	0%
Advanced Hawkeye Radar Systems	400	400	400	400	400	400	400	400	400	400	0%
C2BMC	650	650	650	650	650	650	650	650	650	650	0%
Other	1,371	1,447	1,399	1,288	1,405	2,140	2,213	2,524	2,828	3,146	12%
Total Integrated Warfare System & Sensors	**$5,021**	**$5,197**	**$5,124**	**$5,138**	**$5,405**	**$6,140**	**$6,213**	**$6,524**	**$6,828**	**$7,146**	**5%**
% change	*12%*	*3%*	*-1%*	*0%*	*5%*	*14%*	*1%*	*5%*	*5%*	*5%*	
C4 & Undersea Systems	**$3,119**	**$3,213**	**$3,200**	**$2,995**	**$2,995**	**$3,160**	**$3,171**	**$3,203**	**$3,363**	**$3,531**	**4%**
% change	*10%*	*3%*	*0%*	*-6%*	*0%*	*5%*	*0%*	*1%*	*5%*	*5%*	
Training & Logistic Solutions	**$1,602**	**$1,550**	**$1,891**	**$1,611**	**$1,487**	**$1,472**	**$1,337**	**$1,337**	**$1,349**	**$1,361**	**1%**
% change	*22%*	*-3%*	*22%*	*-15%*	*-8%*	*-1%*	*-9%*	*0%*	*1%*	*1%*	
Total Rotary Mission Systems	**$15,202**	**$15,995**	**$16,789**	**$16,148**	**$16,239**	**$17,264**	**$17,312**	**$17,852**	**$18,599**	**$19,380**	**4%**
% change	*7%*	*5%*	*5%*	*-4%*	*1%*	*6%*	*0%*	*3%*	*4%*	*4%*	
Sikorsky Deliveries											
Government Helicopters	85	80	90	86	52	72	90	82	82	82	-3%
Commercial Helicopters	2	0	3	0	6	1	2	6	6	6	44%
International Military Helicopters	13	15	17	9	11	17	17	20	20	20	6%
Profitability											
Operating Profit	**$1,421**	**$1,615**	**$2,030**	**$1,906**	**$1,865**	**$1,921**	**$1,323**	**$1,874**	**$1,972**	**$2,085**	**16%**
% change	*9%*	*14%*	*26%*	*-6%*	*-2%*	*3%*	*-31%*	*42%*	*5%*	*6%*	
Operating Margin	*9.4%*	*10.1%*	*12.1%*	*11.8%*	*11.5%*	*11.1%*	*7.6%*	*10.5%*	*10.6%*	*10.8%*	

- RMS sales were +9% y-o-y in Q2:26 to $4.4BB on $255MM higher sales on the Sikorsky helicopter programs (CH-53K, Seahawk, and Black Hawk) on the absence of forward losses on the Canadian Maritime Helicopter Program (CMHP) and the Turkish Utility Helicopter Program (TUHP) in 2025 and $115MM on MIC2 programs due to higher volumes of undersea combat system programs and the River Class Destroyer program.
- As reported, Q2 margins missed at 10.0% (vs. 10.5%). 2026 operating margins are roughly flat, with profit outlook modestly raised ~1% to $1.86-1.89BB from $1.83-1.87BB for margins of ~10.4% at the mdpt vs ~10.5% prior on absence of prior year reach forward losses, offset by unfavorable adjustments and lower initial booking rates on new programs. Our estimate is in line at 10.5% for $1.9BB in 2026, w/ margins held roughly steady vs. the prior outlook.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

LMT: FCF Expected Down in 2026 On Capex +$1BB Y-o-Y

FCF Build - 2026 FCF Modestly Up Y-o-Y Despite $2.3BB of Capex

	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
Net Income	**$6,230**	**$6,833**	**$6,315**	**$5,732**	**$6,920**	**$5,336**	**$5,017**	**$7,017**	**$7,366**	**$7,947**
Depreciation and Amortization	1,189	1,290	1,364	1,404	1,430	1,559	1,687	1,786	1,852	1,927
NWC	(672)	101	9	(733)	317	(294)	441	(458)	72	(924)
Pension Contributions	(1,000)	(1,197)	(267)	(412)	(378)	(861)	(415)	320	(680)	320
Deferred Income Taxes	222	60	(183)	(757)	(498)	(588)	372	400	200	200
Section 174 R&D Amortization	0	0	0	(600)	(575)	(450)	500	300	150	150
Stock Comp/Non-Cash Gain/Pension	1,342	1,096	1,983	3,168	704	2,270	955	0	150	150
CFO	**$7,311**	**$8,183**	**$9,221**	**$7,802**	**$7,920**	**$6,972**	**$8,557**	**$9,364**	**$9,111**	**$9,770**
Capex	(1,484)	(1,766)	(1,522)	(1,670)	(1,691)	(1,685)	(1,649)	(2,300)	(2,750)	(2,650)
FCF	**$5,827**	**$6,417**	**$7,699**	**$6,132**	**$6,229**	**$5,287**	**$6,908**	**$7,064**	**$6,361**	**$7,120**
FCF per Share	**$20.53**	**$22.82**	**$27.75**	**$23.17**	**$24.80**	**$22.10**	**$29.58**	**$30.45**	**$27.37**	**$30.59**
Deployment								2%		
Dividends	($2,556)	($2,764)	($2,940)	($3,016)	($3,056)	($3,059)	($3,131)	($3,236)	($3,381)	($3,526)
Share Repurchases	(1,200)	(1,100)	(4,087)	(7,900)	(6,000)	(3,700)	(3,000)	0	0	0
Debt Paydown	(900)	(1,650)	(500)	(2,250)	(115)	(168)	(642)	(1,168)	0	0
Debt Issuance	(600)	1,131	0	6,211	1,975	2,970	1,985	0	0	0
Acquisitions	0	(282)	0	0	0	0	0	0	0	0
Total Deployment	**($5,256)**	**($4,665)**	**($7,527)**	**($6,955)**	**($7,196)**	**($3,957)**	**($4,788)**	**($4,404)**	**($3,381)**	**($3,526)**
Discretionary FCF	**$571**	**$2,034**	**$172**	**($823)**	**($967)**	**$1,330**	**$2,120**	**$2,660**	**$2,979**	**$3,594**
Ratios										
FCF to Net Income Conversion	94%	94%	122%	107%	90%	99%	138%	101%	86%	90%
FCF Yield (FCF / Mkt Cap.)	4.8%	5.2%	6.3%	5.0%	5.1%	4.3%	5.6%	5.8%	5.2%	5.8%
FCF Yield ex-Pension (FCF / Mkt Cap.)	3.1%	4.7%	5.0%	3.9%	3.9%	4.3%	5.6%	5.8%	5.2%	5.8%
FCF % Change YoY	NM	10%	20%	-20%	2%	-15%	31%	2%	-10%	12%
Discretionary FCF Yield	0.5%	1.7%	0.1%	-0.7%	-0.8%	1.1%	1.7%	2.2%	2.4%	2.9%
Discretionary FCF % Change YoY	-127%	256%	-92%	-578%	17%	-238%	59%	25%	12%	21%
Dividend Yield	2.1%	2.3%	2.4%	2.5%	2.5%	2.5%	2.6%	2.6%	2.8%	2.9%
Dividend as a % of Net Income	41%	40%	47%	53%	44%	57%	62%	46%	46%	44%
Share Repo as % of Mkt Cap	1%	1%	3%	6%	5%	3%	2%	0%	0%	0%
% of Cash Returned to Shareholders	64%	60%	91%	178%	145%	128%	89%	46%	53%	50%
Capex as a % of Sales	2.5%	2.7%	2.3%	2.5%	2.5%	2.4%	2.2%	2.9%	3.2%	3.0%

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

LMT: Annual Income Statement

	2021		2022		2023		2024		2025		2026E		2027E		2028E	
	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales
Total Revenues	**$67,044**	100.0%	**$65,984**	100.0%	**$67,571**	100.0%	**$71,043**	100.0%	**$75,048**	100.0%	**$80,566**	100.0%	**$84,939**	100.0%	**$89,787**	100.0%
Costs and expenses																
Segment COGS	57,983	86.5%	57,697	87.4%	59,092	87.5%	64,113	90.2%	67,437	89.9%	71,101	88.3%	74,958	88.2%	79,142	88.1%
Other Income, net	(62)	(0.1)	(61)	(0.1)	(28)	(0.0)	(83)	(0.1)	(120)	(0.2)	(130)	(0.2)	(140)	(0.2)	(150)	(0.2)
Total operating costs	**57,921**	86.4%	**57,636**	87.3%	**59,064**	87.4%	**64,030**	90.1%	**67,317**	89.7%	**70,971**	88.1%	**74,818**	88.1%	**78,992**	88.0%
Segment profit (EBIT)	**9,123**	13.6%	**8,348**	12.7%	**8,507**	12.6%	**7,013**	9.9%	**7,731**	10.3%	**9,596**	11.9%	**10,120**	11.9%	**10,795**	12.0%
Net interest expense	(569)		(623)		(916)		(1,036)		(1,118)		(1,090)		(1,075)		(1,050)	
Other income (expense)	(1,004)		(1,045)		507		243		(691)		(150)		(160)		(130)	
Income before taxes (GAAP)	**7,550**	11.3%	**6,680**	10.1%	**8,098**	12.0%	**6,220**	8.8%	**5,922**	7.9%	**8,356**	10.4%	**8,885**	10.5%	**9,615**	10.7%
Taxes (rate %)	(1,235)	16.4%	(948)	14.2%	(1,178)	14.5%	(884)	14.2%	(905)	15.3%	(1,339)	16.0%	(1,519)	17.1%	(1,668)	17.4%
Noncontrolling interests	0		0		0		0		0		0		0		0	
Net Income (GAAP)	**6,315**	9.4%	**5,732**	8.7%	**6,920**	10.2%	**5,336**	7.5%	**5,017**	6.7%	**7,017**	8.7%	**7,366**	8.7%	**7,947**	8.9%
Other one-off items	$0		$1,474		$38		$1,359		$0		$0		$0		$0	
Net Income (Adjusted)	**6,315**	9.4%	**7,206**	10.9%	**6,958**	10.3%	**6,695**	9.4%	**5,017**	6.7%	**7,017**	8.7%	**7,366**	8.7%	**7,947**	8.9%
GAAP EPS	**$22.76**		**$21.66**		**$27.55**		**$22.31**		**$21.49**		**$30.25**		**$31.70**		**$34.15**	
Adjusted Diluted EPS	**$22.76**		**$27.23**		**$27.70**		**$27.99**		**$21.49**		**$30.25**		**$31.70**		**$34.15**	
Dividends per share (payout %)	10.80	47.4%	11.40	41.9%	12.15	43.9%	12.75	45.5%	13.35	62.1%	13.95	46.1%	14.55	45.9%	15.15	44.4%
Basic shares (millions)	276.4		264.5		250.3		238.3		232.7		231.2		231.6		231.9	
Diluted shares (millions)	277.4		264.6		251.2		239.2		233.5		232.0		232.4		232.7	

Source: Company data and Jefferies estimates

LMT: Annual Selected Operating Metrics

	2021	% of sales	2022	% of sales	2023	% of sales	2024	% of sales	2025	% of sales	2026E	% of sales	2027E	% of sales	2028E	% of sales
Revenue																
Aeronautics	26,748	40%	26,987	41%	27,474	41%	28,618	40%	30,257	40%	32,033	40%	32,874	39%	34,019	38%
Missiles and Fire Control	11,693	17%	11,317	17%	11,253	17%	12,682	18%	14,450	19%	16,747	21%	18,948	22%	21,250	24%
Rotary and Mission Systems	16,789	25%	16,148	24%	16,239	24%	17,264	24%	17,312	23%	17,852	22%	18,599	22%	19,380	22%
Space	11,814	18%	11,532	17%	12,605	19%	12,479	18%	13,029	17%	13,934	17%	14,517	17%	15,138	17%
Total Segment Revenue	**$67,044**	100%	**65,984**	100%	**67,571**	100%	**71,043**	100%	**75,048**	100%	**80,566**	100%	**84,939**	100%	**89,787**	100%
Eliminations/others	0		0		0		0		0		0		0		0	
Total Revenue	**$67,044**	100%	**65,984**	100%	**67,571**	100%	**71,043**	100%	**75,048**	100%	**80,566**	100%	**84,939**	100%	**89,787**	100%
Operating Income (margin)																
Aeronautics	2,800	10.5%	2,867	10.6%	2,825	10.3%	2,523	8.8%	2,086	6.9%	3,053	9.5%	3,164	9.6%	3,304	9.7%
Missiles and Fire Control	1,650	14.1%	1,637	14.5%	1,541	13.7%	413	3.3%	1,989	13.8%	2,315	13.8%	2,639	13.9%	2,980	14.0%
Rotary and Mission Systems	2,030	12.1%	1,906	11.8%	1,865	11.5%	1,921	11.1%	1,323	7.6%	1,874	10.5%	1,972	10.6%	2,085	10.8%
Space	1,184	10.0%	1,057	9.2%	1,158	9.2%	1,226	9.8%	1,345	10.3%	1,358	9.7%	1,435	9.9%	1,517	10.0%
Segment Operating Income	**7,664**	11.4%	**7,467**	11.3%	**7,389**	10.9%	**6,083**	8.6%	**6,743**	9.0%	**8,601**	10.7%	**9,210**	10.8%	**9,885**	11.0%
FAS/CAS Adj. & Other	1,459		881		1,118		930		988		995		910		910	
Total Operating Income	**$9,123**	13.6%	**8,348**	12.7%	**8,507**	12.6%	**7,013**	9.9%	**7,731**	10.3%	**9,596**	11.9%	**10,120**	11.9%	**10,795**	12.0%
											28%					
Revenue Change																
Aeronautics	2%		1%		2%		4%		6%		6%		3%		3%	
Missiles and Fire Control	4%		-3%		-1%		13%		14%		16%		13%		12%	
Rotary and Mission Systems	5%		-4%		1%		6%		0%		3%		4%		4%	
Space	-1%		-2%		9%		-1%		4%		7%		4%		4%	
Total Revenue	**3%**		**-2%**		**2%**		**5%**		**6%**		**7%**		**5%**		**6%**	
Operating Margins																
Aeronautics	10.5%		10.6%		10.3%		8.8%		6.9%		9.5%		9.6%		9.7%	
Missiles and Fire Control	14.1%		14.5%		13.7%		3.3%		13.8%		13.8%		13.9%		14.0%	
Rotary and Mission Systems	12.1%		11.8%		11.5%		11.1%		7.6%		10.5%		10.6%		10.8%	
Space	10.0%		9.2%		9.2%		9.8%		10.3%		9.7%		9.9%		10.0%	
Total Operating Margin	**13.6%**		**12.7%**		**12.6%**		**9.9%**		**10.3%**		**11.9%**		**11.9%**		**12.0%**	
Incremental	**29%**		**73%**		**10%**		**-43%**		**18%**		**34%**		**12%**		**14%**	

Source: Company data and Jefferies estimates

Loar (LOAR)

Buy | Price Target: $75

Method	Target Price Assumptions	
EV/EBITDA	$75	27.7X FY27 EBITDA of $286MM
FCF Yield	$74	1.9% FY27 FCF Yield
Average	**$75**	**Blended average**

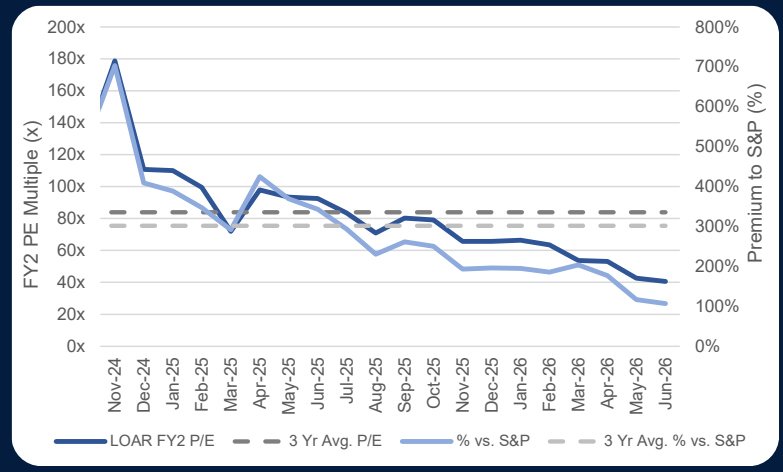
Valuation Table

	Ticker	JEF Rating	Stock Px 7/27/2026	Consensus BUY Rating	Market Cap	Enterprise Value	P/E 2026E	P/E 2027E	P/E 2028E	EV / Sales 2026E	EV / Sales 2027E	EV / Sales 2028E	EV/ EBITDA 2026E	EV/ EBITDA 2027E	EV/ EBITDA 2028E	Yield Dividend	Yield FCF
Ametek	AME	N/C	$243	65%	55,724	57,852	29.8x	27.5x	25.3x	7.2x	6.8x	6.4x	22.5x	21.0x	19.7x	0.5%	3.7%
Amphenol	APH	Buy	$149	83%	183,649	206,807	30.8x	25.8x	22.9x	6.1x	5.3x	4.8x	18.8x	16.5x	14.7x	0.6%	4.2%
Heico	HEI	Buy	$357	60%	19,727	53,379	58.6x	51.9x	45.8x	10.1x	9.1x	8.5x	36.0x	32.6x	30.1x	0.1%	2.7%
RBC Bearings	RBC	Buy	$585	67%	18,506	19,440	40.6x	36.1x	-	9.2x	8.4x	-	28.3x	25.5x	-	0.0%	0.0%
Roper	ROP	Buy	$375	35%	37,846	49,308	16.9x	15.5x	14.1x	5.8x	5.4x	5.1x	14.7x	13.8x	12.8x	0.9%	7.3%
Transdigm	TDG	Buy	$1,286	54%	71,946	102,988	32.1x	27.4x	23.8x	9.9x	9.1x	8.4x	19.0x	17.3x	15.8x	0.0%	3.5%
Woodward	WWD	Buy	$420	85%	25,011	26,368	44.6x	39.0x	32.8x	6.1x	5.6x	5.1x	29.2x	25.8x	22.2x	0.3%	2.1%
Overall Average							**37.4x**	**32.2x**	**27.7x**	**7.1x**	**6.5x**	**5.8x**	**22.9x**	**20.5x**	**17.9x**	**0.3%**	**3.3%**
Heico	HEI	Buy	$357	60%	19,727	53,379	58.6x	51.9x	45.8x	10.1x	9.1x	8.5x	36.0x	32.6x	30.1x	0.1%	2.7%
Transdigm	TDG	Buy	$1,286	54%	71,946	102,988	32.1x	27.4x	23.8x	9.9x	9.1x	8.4x	19.0x	17.3x	15.8x	0.0%	3.5%
Compounder Average							**45.3x**	**39.6x**	**34.8x**	**10.0x**	**9.1x**	**8.4x**	**27.5x**	**24.9x**	**23.0x**	**0.0%**	**3.1%**
Loar Group	**LOAR**	**Buy**	$71.73		6,716	7,726	**55.8x**	**51.1x**	**42.2x**	**11.9x**	**10.3x**	**11.0x**	**29.8x**	**27.0x**	**24.6x**	**0.0%**	**#VALUE!**
Overall Discount / Premium							**49%**	**59%**	**53%**	**66%**	**59%**	**91%**	**30%**	**32%**	**37%**		**#VALUE!**
Compounder Discount / Premium							**23%**	**29%**	**21%**	**19%**	**13%**	**30%**	**8%**	**8%**	**7%**		**#VALUE!**

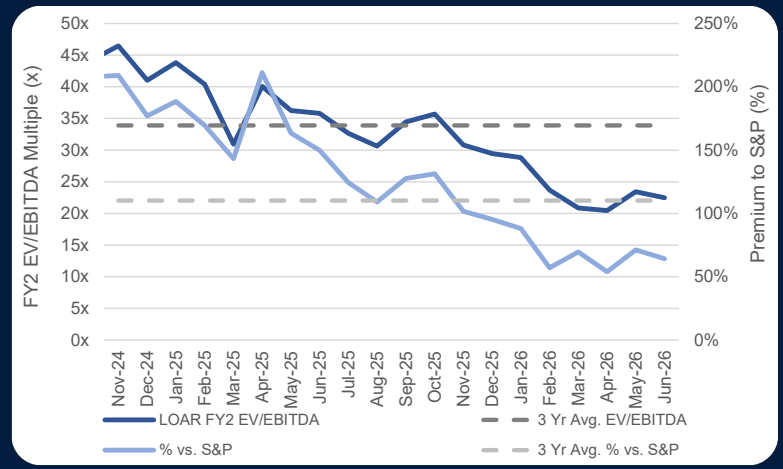
Featured Notes:

- Everyone Always Wants More From LOAR, Organic Revenue to Grow 10% | *May 10, 2026*
- Lots Of LOAR Left In The Stock | *Mar 1, 2026*
- Laying the Beads to Light Up 2026 | *Nov 16, 2025*

Trading at 40.6X FY2 P/E, 107% Prem to Mkt vs. Historical Avg Prem of 302%



Trading at 22.5X FY2 EV/EBITDA, 64% Prem to Mkt vs. Historical Avg Prem of 110%



Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

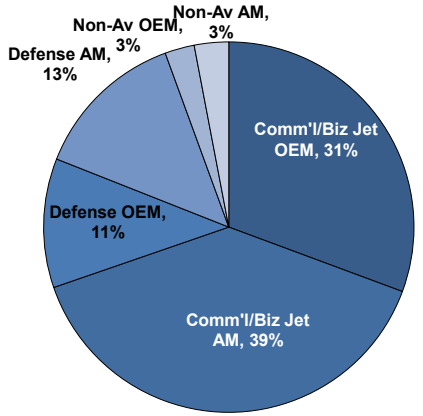
Source: Company data, Jefferies estimates, FactSet

LOAR: Revenue Expected to Grow at an 8% Organic CAGR Through 2028E

Organic Revenue CAGR of 8% Expected in 2025-28E ($MM)

LOAR Revenue	2021	2022	2023	2024	2025	2026E	2027E	2028E	25-'28E CAGR	Organic CAGR
Commercial OEM	$28	$41	$55	$65	$77	$141	$160	$169	30%	11%
Commercial AM	52	67	89	109	144	215	238	265	22%	12%
Business Jet OEM	21	31	47	70	75	81	84	84	4%	4%
Business Jet AM	14	17	29	39	49	54	58	62	8%	8%
Military OEM	29	27	30	38	56	58	57	57	1%	1%
Military AM	29	32	29	51	67	73	78	84	8%	8%
Non-Aviation OEM	1	13	21	14	13	13	13	14	3%	3%
Non-Aviation AM	17	13	17	16	15	15	15	16	2%	2%
Total Revenue	**$189**	**$239**	**$317**	**$403**	**$496**	**$650**	**$704**	**$750**	**15%**	**8%**
Revenue (% Change)										
Commercial OEM		46%	34%	19%	19%	82%	13%	5%		
Commercial AM		28%	34%	23%	32%	49%	11%	11%		
Business Jet OEM		49%	51%	49%	7%	9%	3%	1%		
Business Jet AM		22%	70%	35%	26%	9%	7%	7%		
Military OEM		-7%	14%	26%	46%	3%	-1%	0%		
Military AM		11%	-9%	76%	32%	10%	7%	7%		
Non-Aviation OEM		2425%	67%	-33%	-9%	2%	3%	3%		
Non-Aviation AM		-22%	34%	-5%	-9%	1%	3%	3%		
Total % Change	**15%**	**27%**	**33%**	**27%**	**23%**	**31%**	**8%**	**7%**		
% Organic		**27%**	**27%**	**15%**	**13%**	**10%**	**8%**	**7%**		
Revenue (% Composition)										
Commercial OEM	15%	17%	17%	16%	16%	22%	23%	23%		
Commercial AM	28%	28%	28%	27%	29%	33%	34%	35%		
Business Jet OEM	11%	13%	15%	17%	15%	12%	12%	11%		
Business Jet AM	7%	7%	9%	10%	10%	8%	8%	8%		
Military OEM	15%	11%	10%	10%	11%	9%	8%	8%		
Military AM	15%	13%	9%	13%	13%	11%	11%	11%		
Non-Aviation OEM	0%	5%	7%	3%	3%	2%	2%	2%		
Non-Aviation AM	9%	5%	5%	4%	3%	2%	2%	2%		
Total Revenue	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**		
Operating Margin %	**12.5%**	**16.5%**	**21.9%**	**21.8%**	**21.4%**	**23.9%**	**25.7%**	**27.8%**		
EBITDA Margin %	**32.2%**	**34.8%**	**35.5%**	**36.3%**	**38.1%**	**39.9%**	**40.6%**	**41.8%**		

2025A End Market Revenue Split - Commercial Aftermarket the Largest Sub-Segment



- Q1 organic growth was 11%, led by Commercial OE +18% and Commercial AM +11%, offset by a 2.1% decline in defense. The full-year revenue outlook was raised to $645-655MM (from $640-650MM) on stronger-than-expected results from the LMB acquisition and organic strength. End-market guidance is unchanged with Commercial OE +LDD, Commercial AM +LDD, and Defense +MSD. 2026 organic growth is expected up 10% in our model with 21pts from M&A for 31% reported growth.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

LOAR: Commercial OEM Outlook: 8% Organic CAGR, Supported by a Re-coupling to OEM Rates

Large Commercial OE Expected to Grow at a 11% Organic CAGR Through FY28E (30% Total)

Commercial OE Build	2021	2022	2023	2024	2025	2026E	2027E	2028E	% CAGR
A220	60	53	68	75	85	100	125	145	19%
A320	489	516	571	557	555	617	790	848	15%
A330	24	32	32	32	40	45	44	44	3%
A350	48	62	64	57	55	70	85	100	22%
A380	0	0	0	0	0	0	0	0	--
B737	177	302	346	220	377	510	564	588	16%
B747	7	5	1	0	0	0	0	0	--
B767	31	36	32	26	30	28	24	15	-21%
B777	24	27	24	26	30	38	38	48	17%
B787	45	20	33	46	70	96	108	120	20%
E-Jet	48	56	63	72	80	90	95	100	8%
Total Production	**953**	**1,109**	**1,234**	**1,111**	**1,322**	**1,594**	**1,873**	**2,008**	**15%**
Content per Shipset ($K)									
A220	$20	$20	$20	$20	$20	$20	$20	$20	
A320	$35	$35	$35	$35	$35	$35	$35	$35	
A330	$60	$60	$60	$60	$60	$60	$60	$60	
A350	$60	$60	$60	$60	$60	$60	$60	$60	
A380	$60	$60	$60	$60	$60	$60	$60	$60	
B737	$55	$55	$55	$55	$55	$55	$55	$55	
B747	$45	$45	$45	$45	$45	$45	$45	$45	
B767	$60	$60	$60	$60	$60	$60	$60	$60	
B777	$60	$60	$60	$60	$60	$60	$60	$60	
B787	$60	$60	$60	$60	$60	$60	$60	$60	
E-Jet	$20	$20	$20	$20	$20	$20	$20	$20	
Revenue Per Platform ($MMs)									
A220	$1	$1	$1	$2	$2	$2	$3	$3	19%
A320	17	18	20	19	19	22	28	30	15%
A330	1	2	2	2	2	3	3	3	3%
A350	3	4	4	3	3	4	5	6	22%
A380	-	-	-	-	-	-	-	-	--
B737	10	17	19	12	21	28	31	32	16%
B747	0	0	0	-	-	-	-	-	--
B767	2	2	2	2	2	2	1	1	-21%
B777	1	2	1	2	2	2	2	3	17%
B787	3	1	2	3	4	6	6	7	20%
E-Jet	1	1	1	1	2	2	2	2	8%
Other	(12)	(7)	2	19	20	71	79	82	59%
Total Commercial OE Sales	**$28**	**$41**	**$55**	**$65**	**$77**	**$141**	**$160**	**$169**	**30%**
Total % Change		*46%*	*34%*	*19%*	*19%*	*82%*	*13%*	*5%*	

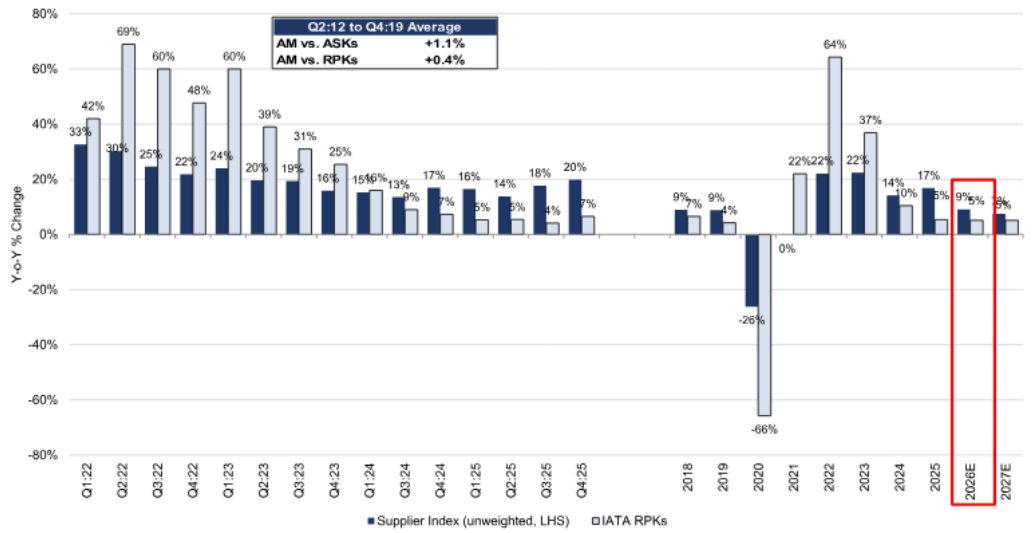
- LOAR generates 22% of sales from Large Commercial OEM content. Content is across most major platforms at Airbus and Boeing, in addition to Embraer E-Jets. The top two platforms by revenue are the A320 family and the B737 family, generating ~7% and ~6% of total company sales, respectively. We note that LOAR has higher content on the MAX than A320neo with both platforms slightly weighted to the aftermarket.
- Commercial OE, including both BGA and large commercial, grew 11% PF in 2025. The MAX is estimated at 43/mo for 2026 from 31/mo in 2025. We estimate that revenue is tilted toward narrowbody platforms with the MAX at $55K per shipset and the A320neo at $35K per shipset, whereas the current production widebodies are estimated at $60K of content per shipset.
- Commercial OE growth is also supported by pricing on LTA contracts, with <5% coming up for review next year to allow for better pricing on future orders, reflecting inflation recapture.
- All in, LOAR shipsets grow at an 15% CAGR from 2025 to 2028E with revenues up at a 30% rate (11% organic). We assume 15% organic large Commercial OE organic growth this year with overall OE up 82%, driven by the Harper ($40MM in '26E rev contribution) and LMB ($60MM) acquisitions.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

LOAR: Commercial Aftermarket Outlook: 11% Organic CAGR with Support from an Aging Fleet

Aftermarket Revenue Correlated with Air Traffic - Quarterly AM Performance Within ~1pt of RPKs/ASKs from 2012 to 2019



- LOAR notes that the platforms served have a total life of aircraft up to 50 years, which provides steady streams of aftermarket revenue. Commercial Aftermarket accounts for 41% of LOAR sales in our 2026 estimates, including 33pts from Large Commercial and 8pts from Business Jet/General Aviation. There is another 11pts of mix from Military AM and 2pts from Non-Aviation AM, with the total AM accounting for 55% of sales and ~70% of EBITDA.
- Additionally, the focus on 89% proprietary and essential parts ensures a historically higher market than OEM content. The company defines proprietary content based on design IP, as well as the ability to generate strong margins. The company has grown proprietary mix from 85% in early 2024 given a focus on adding capacity for those product areas. It also defines proprietary based on margin optionality with continued positive margin progression supporting the value of its proprietary products.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

LOAR: Military Growing at an 5% Organic CAGR Through 2028E

Defense OE Revenue (9% of LOAR) Could Expand at a 1% CAGR Through 2028

Defense OE Build	2021	2022	2023	2024	2025	2026E	2027E	2028E	% CAGR
F-15	16	12	9	14	9	20	22	22	16%
F-16	0	0	5	16	16	36	48	48	44%
F/A-18	21	14	22	11	14	15	0	0	-100%
F-35	142	141	147	110	191	156	156	156	12%
Eurofighter Typhoon	185	186	187	187	190	190	190	190	1%
T6	5	10	13	10	12	10	10	10	0%
V-22	15	13	8	14	8	2	0	0	-100%
KC-46	13	15	13	10	14	19	15	15	14%
KC-390	0	1	2	3	5	5	5	5	19%
E-2D	6	6	7	7	7	7	7	7	0%
C-130	22	24	24	21	2	24	24	24	5%
Total Production	**425**	**422**	**437**	**403**	**468**	**484**	**477**	**477**	**6%**
Content per Shipset ($K)									
F-15	$70	$70	$70	$70	$70	$70	$70	$70	
F-16	$70	$70	$70	$70	$70	$70	$70	$70	
F/A-18	$70	$70	$70	$70	$70	$70	$70	$70	
F-35	$70	$70	$70	$70	$70	$70	$70	$70	
Eurofighter Typhoon	$75	$75	$75	$75	$75	$75	$75	$75	
T6	$70	$70	$70	$70	$70	$70	$70	$70	
V-22	$75	$75	$75	$75	$75	$75	$75	$75	
KC-46	$80	$80	$80	$80	$80	$80	$80	$80	
KC-390	$80	$80	$80	$80	$80	$80	$80	$80	
E-2D	$70	$70	$70	$70	$70	$70	$70	$70	
C-130	$60	$60	$60	$60	$60	$60	$60	$60	
Revenue Per Platform ($MMs)									
F-15	$1	$1	$1	$1	$1	$1	$2	$2	16%
F-16	-	-	0	1	1	3	3	3	44%
F/A-18	1	1	2	1	1	1	-	-	-100%
F-35	10	10	10	8	13	11	11	11	12%
Eurofighter Typhoon	14	14	14	14	14	14	14	14	1%
T6	0	1	1	1	1	1	1	1	0%
V-22	1	1	1	1	1	0	-	-	-100%
KC-46	1	1	1	1	1	2	1	1	14%
KC-390	-	0	0	0	0	0	0	0	19%
E-2D	0	0	0	0	0	0	0	0	0%
C-130	1	1	1	1	0	1	1	1	5%
Other	(2)	(4)	(1)	9	22	23	23	23	
Total Defense OE Sales	**$29**	**$27**	**$30**	**$38**	**$56**	**$58**	**$57**	**$57**	**14%**
Organic % Change		*-7%*	*14%*	*26%*	*46%*	*3%*	*-1%*	*0%*	

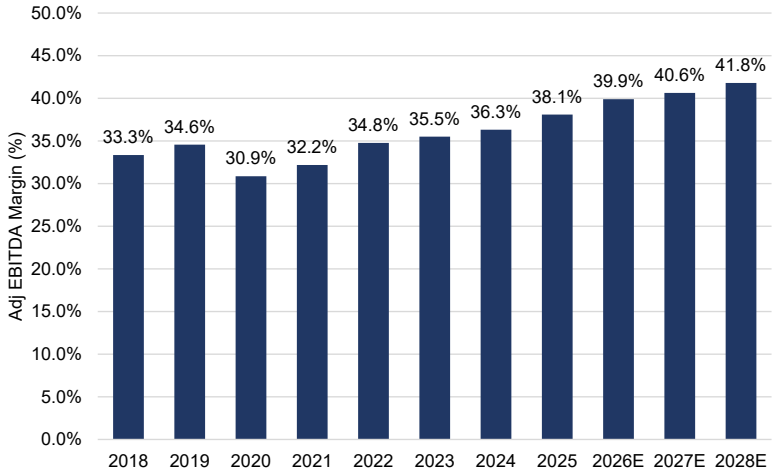
- Military represents 20% of LOAR sales. Content on ramping platforms such as the CH-53K is the primary driver of growth in this business, as well as sustainment volumes tied to utilization and long-term contracts with the services.
- The company saw organic Defense revenue fall 2.1% in Q1:26 with broad-based support. The decline reflects a deviation from typical customer ordering patterns for F-18 brakes and RC-135 auto throttle. LOAR views Q1 softness as a function of timing and affirmed its FY Defense organic revs guide of up MSD, supported by the Q1 Defense B2B being the highest across segments in addition to exiting the quarter w/ a record Defense backlog. We estimated org Defense revs +7%.
- We back into estimated content for key platforms that LOAR supplies to in the chart below. On our estimates the KC-46 and KC-390 are among the largest content platforms given the larger size of the aircraft. We estimate that military OE sales could expand at a 1% CAGR through 2028E with Aftermarket the primary driver of Military growth for overall Military growing at a 5% CAGR in our model.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

LOAR: Margins Expand 200 bps in 2026E with Organic Momentum and Accretion From LMB

Adj EBITDA Margin Expansion Driven by Volume, Price, And Accretive M&A



- LOAR generated record EBITDA margins of 40.5% in Q1:26, +290bps y-o-y, driven by continued execution of strategic value drivers and the accretive impact of increased sales. In 2026, we est margins expand by nearly 200bps to ~40% from 38.1% in FY25, in-line with guidance of FY margins at 40%. In 2026, we assume LMB is 150 bps accretive to 2026E EBITDA margins given a 55%+ margin on the business, with a ~50 bps offset from Harper for total margin expansion of 200 bps including base operating leverage in addition to M&A.
- M&A can also be a lever for margin expansion through cost and revenue synergies, as well as acquiring assets with favorable mix. One example is General Ecology, which was acquired in 2016 and has more than tripled EBITDA since transaction close. LOAR improved profitability for the asset by implementing an ERP system, recruiting talent, optimizing the manufacturing process, implementing a KPI philosophy and customer-focused strategy, and focusing on part-specific pricing. Management looks to leverage the same strategy with its recently acquired Applied Avionics asset.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

LOAR: FCF Conversion to Track Near 100% in 2027/2028E, Supportive of Further Capital Deployment

FCF Build: Turn in Generation Supported by Debt Paydown and EBITDA Growth ($MM)

	2022	2023	2024	2025	2026E	2027E	2028E
Net Income	($2)	($5)	$22	$72	$56	$75	$105
Depreciation and Amortization	36	41	44	51	80	88	88
NWC	(20)	(21)	(26)	(31)	(42)	(27)	(7)
Deferred Taxes/Other	(1)	(2)	15	20	16	15	15
CFO	$13	$13	$55	$112	$110	$150	$200
Capex	(8)	(12)	(9)	(13)	(19)	(15)	(15)
FCF	**$5**	**$1**	**$46**	**$99**	**$91**	**$135**	**$185**
Deployment							
Dividends	$0	$0	$0	$0	$0	$0	$0
Share Repurchases	0	0	0	0	0	0	0
Debt Paydown/Issuance	141	47	(258)	447	300	(150)	(105)
Acquisitions	(174)	(60)	(383)	(508)	(250)	0	0
Total Deployment	**($33)**	**($13)**	**($641)**	**($61)**	**$50**	**($150)**	**($105)**
Discretionary FCF	**($169)**	**($60)**	**($595)**	**$38**	**$141**	**($15)**	**$80**
Ratios							
FCF to Adj. Net Income Conversion			120%	99%	73%	98%	111%
FCF Y-o-Y		-87%	6689%	115%	-8%	48%	38%
FCF to Sales Conversion	2%	0%	11%	20%	14%	19%	25%
FCF Yield (FCF / Mkt Cap.)	0.1%	0.0%	0.9%	2.0%	1.8%	2.7%	3.7%
Discretionary FCF Yield	-3.4%	-1.2%	-11.9%	0.8%	2.8%	-0.3%	1.6%
Dividend Yield	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%
Share Repo as % of Mkt Cap	0%	0%	0%	0%	0%	0%	0%
% of Cash Returned to Shareholders	0%	0%	0%	0%	0%	0%	0%
Interest Expense	$42	$67	$52	$26	$80	$81	$68
ND/Adj EBITDA	5.4x	4.6x	1.5x	3.3x	3.0x	2.3x	1.5x
Capex as % of Sales	-3.3%	-3.8%	-2.2%	-2.6%	-2.9%	-2.1%	-2.0%

- LOAR ended 2025 with $85MM of cash on the balance sheet and at 3.3X TTM EBITDA. PF for the acquisition of Harper that closed on February 5, net leverage stood at ~4X. LOAR exited Q1 with net leverage of 4.1X FCF generation improved materially to $99MM in 2025 or ~100% conversion from GAAP NI. We estimate $91MM in 2026E FCF, supported by 37% EBITDA growth, offset by the absence of $10MM of OBBB tax credit and $54MM higher interest expense. The expected 18% CAGR for adj EBITDA from 2025 to 2028E helps to boost cash generation in the next few years, driving ~100% FCF conversion in 2027/2028E.
- On working capital, the company used $31MM of working capital in 2025, driven by a $17MM use of receivables. We estimate an $42MM use of working capital this year including another build in inventory to support growth.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

LOAR: Annual Income Statement

(millions, except per share data)	2022	2023		2024		2025		2026E		2027E		2028E	
	dollars	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales
Total Revenues	**$239.4**	**$317.5**	100.0	**$402.8**	100.0	**$496.3**	100.0	**$650.2**	100.0	**$704.3**	100.0	**$750.2**	100.0
Costs and expenses													
Costs of Sales	127.9	151.3	47.7%	204.0	50.6%	235.0	47.3%	313.1	48.1%	332.9	47.3%	339.0	45.2%
Selling, General & Administrative	72.0	84.8	26.7%	111.2	27.6%	155.1	31.2%	182.1	28.0%	190.2	27.0%	202.5	27.0%
D&A	34.0	38.0	12.0%	43.1	10.7%	51.0	10.3%	80.0	12.3%	88.0	12.5%	88.0	11.7%
Total Operating Costs	**$233.9**	**$274.1**	86%	**$358.3**	89%	**$441.0**	89%	**$575.1**	88%	**$611.0**	87%	**$629.5**	84%
GAAP EBIT	**$39.5**	**$69.5**	21.9%	**$87.6**	21.8%	**$106.2**	21.4%	**$155.1**	23.9%	**$181.3**	25.7%	**$208.6**	27.8%
Interest Expense	42.1	67.1		52.1		25.7		79.9		80.6		68.1	
Interest Income/Other	0.0	0.0		6.5		0.0		0.0		0.0		0.0	
Income before taxes	**($2.6)**	**$2.4**		**$29.1**		**$80.6**		**$75.2**		**$100.7**		**$140.5**	
GAAP Taxes (rate %)	(0.1)	7.1	-289%	6.8	-23.5%	8.4	-10.5%	18.8	-25.0%	26.2	-26.0%	35.8	-25.5%
Net Income, continuing ops	**($2.8)**	**$9.5**		**$35.9**		**$89.0**		**$93.9**		**$126.9**		**$176.4**	
Adjustments													
EBITDA	**$73**	**$108**		**$131**		**$157**		**$235**		**$269**		**$297**	
Total Special Items	10	5		16		32		24		17		17	
Adj EBITDA	**83**	**113**		**146**		**189**		**259**		**286**		**314**	
D&A	34	38		43		51		80		88		88	
Adj EBIT	**49**	**75**		**103**		**138**		**179**		**198**		**226**	
Interest Expense	(42)	(67)		(52)		(26)		(80)		(81)		(68)	
Interest Income/Other	0	0		(6)		0		0		0		0	
GAAP Taxes	(0)	7		7		8		19		26		36	
Adj to Taxes	(1)	(1)		(6)		(4)		(6)		(4)		(4)	
Adj NI	**7**	**14**		**46**		**117**		**112**		**140**		**189**	
Adj EPS	**$0.08**	**$0.00**		**$0.42**		**$1.04**		**$1.28**		**$1.40**		**$1.70**	

Source: Company data and Jefferies estimates

LOAR: Cash Flow Statement

(millions, except per share data)	2022	2023	2024	2025	2026E	2027E	2028E
Operating Activities							
Net Income	($3)	$9	$36	$89	$94	$127	$176
Depreciation & Amortization (excl. Amortizatio	36	39	59	71	96	205	103
Op cash flow pre-working capital	**$33**	**$48**	**$95**	**$160**	**$189**	**$332**	**$279**
Receivables	(9)	(14)	(2)	(17)	(23)	(11)	(6)
Inventories	(6)	(11)	(12)	(7)	(29)	(15)	(3)
Accounts Payable	1	1	(1)	1	5	(0)	0
Other items	(6)	(11)	(25)	(26)	(33)	(156)	(70)
Cash Flow from Operations	**$13**	**$13**	**$55**	**$112**	**$110**	**$150**	**$200**
Investment activities							
Capital expenditures	(8)	(12)	(9)	(13)	(19)	(15)	(15)
Acquisition of businesses	(174)	(60)	(383)	(508)	(250)	0	0
Other	0	0	0	0	0	0	0
Cash Flow from Investments	**($182)**	**($73)**	**($392)**	**($521)**	**($269)**	**($15)**	**($15)**
Financing Activities							
Cash dividends paid	0	0	0	0	0	0	0
Issuance/Reduction of Debt, Net	141	47	(258)	447	300	(150)	(105)
Other funds	(5)	(1)	628	(7)	(0)	(0)	(0)
Cash Flow from Financing	**$135**	**$46**	**$370**	**$439**	**$300**	**($150)**	**($105)**
Net change in cash items	**($33)**	**($14)**	**$33**	**$31**	**$141**	**($16)**	**$80**
Cash at the beginning of the period	69	35	21	54	85	225	210
Cash at the end of the period	**$35**	**$21**	**$54**	**$85**	**$225**	**$210**	**$290**

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

Mercury Systems (MRCY)

Hold | Price Target: $115

Valuation Method	Price	Assumptions
EV / EBITDA	$115	41.9x EV/EBITDA on FY27 Adj. EBITDA of $169MM
P/E	$114	85.1x P/E on FY27 EPS of $1.35
FCF Yield	$116	1.1% FCF Yield on FY27 FCF of $78MM
Blended Average	**$115**	

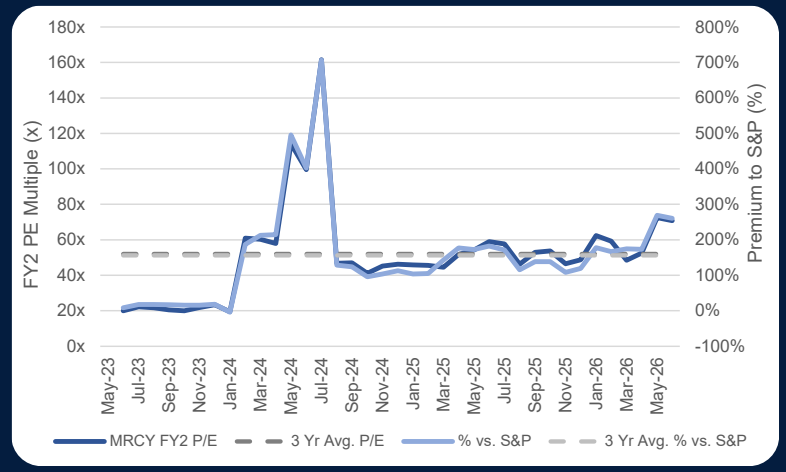
Valuation Table

Peers	Ticker	JEF Rating	Stock Px 7/28/2026	Cons Rating	Market Cap	Enterprise Value	P/E 2026E	P/E 2027E	P/E 2028E	EV / Sales 2026E	EV / Sales 2027E	EV / Sales 2028E	EV / EBITDA 2026E	EV / EBITDA 2027E	EV / EBITDA 2028E	Yield Dividend	Yield FCF
Large Cap Peers																	
Northrop Grumman	NOC	Hold	$565.00	67%	77,791	92,720	19.6x	18.6x	17.2x	2.1x	2.0x	1.9x	15.0x	14.0x	13.1x	1.9%	4.2%
Raytheon Technologies	RTX	Buy	$220.84	68%	294,378	294,378	30.7x	28.1x	25.4x	3.1x	2.9x	2.7x	18.8x	17.3x	15.8x	1.4%	3.5%
Lockheed Martin	LMT	Hold	$592.91	40%	133,859	133,859	19.5x	18.2x	16.9x	1.7x	1.6x	1.5x	11.8x	11.2x	10.7x	2.5%	4.9%
General Dynamics	GD	Buy	$393.63	50%	105,235	105,235	23.5x	21.5x	20.0x	1.9x	1.8x	1.7x	15.5x	14.3x	13.6x	1.7%	4.5%
Average							**24.0x**	**21.8x**	**19.8x**	**2.3x**	**2.1x**	**2.0x**	**15.1x**	**14.0x**	**13.1x**	**1.8%**	**4.5%**
Small Cap Peers																	
Curtiss Wright Corporation	CW	N/C	$728.71	60%	27,478	28,370	47.8x	42.6x	37.8x	7.5x	6.9x	6.4x	33.5x	30.3x	27.4x	0.1%	2.3%
Heico	HEI	Buy	$359.45	60%	49,907	53,379	58.9x	52.2x	46.1x	10.1x	9.1x	8.5x	36.0x	32.6x	30.1x	0.1%	2.7%
Average							**47.8x**	**42.6x**	**37.8x**	**7.5x**	**6.9x**	**6.4x**	**33.5x**	**30.3x**	**27.4x**	**0.1%**	**2.3%**
Overall Average							**27.9x**	**25.3x**	**22.8x**	**3.1x**	**2.9x**	**2.7x**	**18.2x**	**16.7x**	**15.5x**	**1.5%**	**4.2%**
Mercury Systems Inc	**MRCY**	**Hold**	**$100.85**	**64%**	**6,232**	**6,476**	**89.2x**	**75.0x**	**51.8x**	**6.8x**	**6.3x**	**5.7x**	**44.2x**	**38.4x**	**29.6x**	**0.0%**	**1.4%**
MRCY vs. Group Avg.							219%	197%	127%	115%	114%	108%	143%	130%	91%		

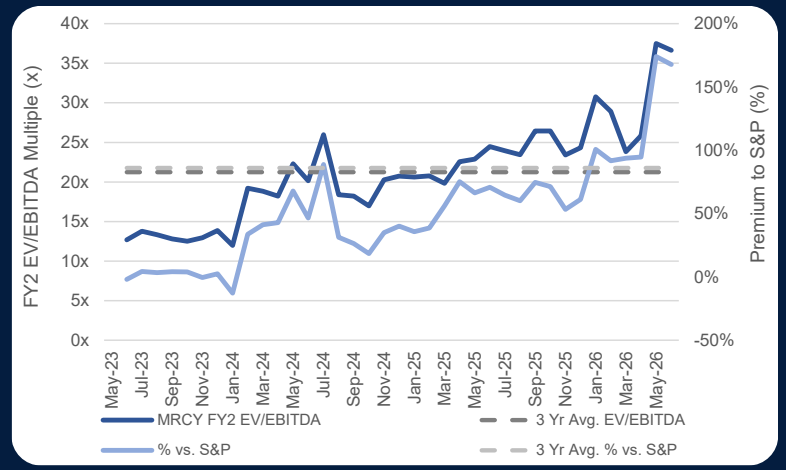
Featured Notes:

- Mgmt Meeting Takes: Riding Tailwinds at a High Rate of Production | *June 1, 2026*
- Customer Deliveries Keep Accelerating But FY26 Expectations Remain The Same | *Jan 25, 2026*
- Solid Start with FY26 Expectations Kept In Check...For Now | *Nov 4, 2025*

Trading at 70.8X FY2 P/E, 260% Prem to Mkt vs. Historical Avg Prem of 156%



Trading at 36.6X FY2 EV/EBITDA, 168% Prem to Mkt vs. Historical Avg Prem of 86%

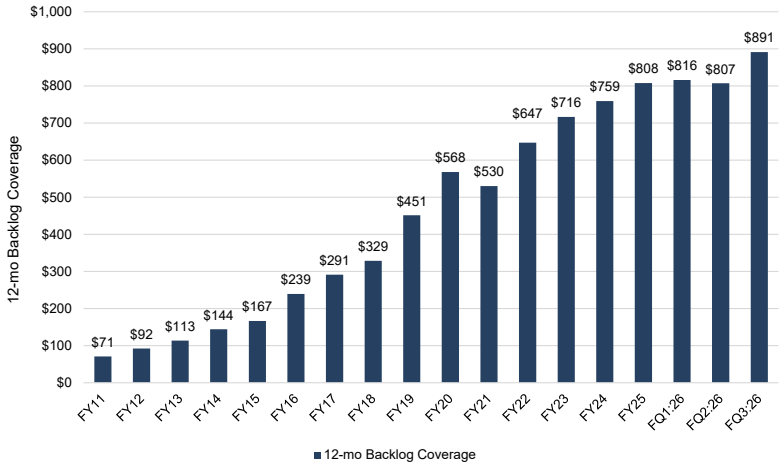


Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

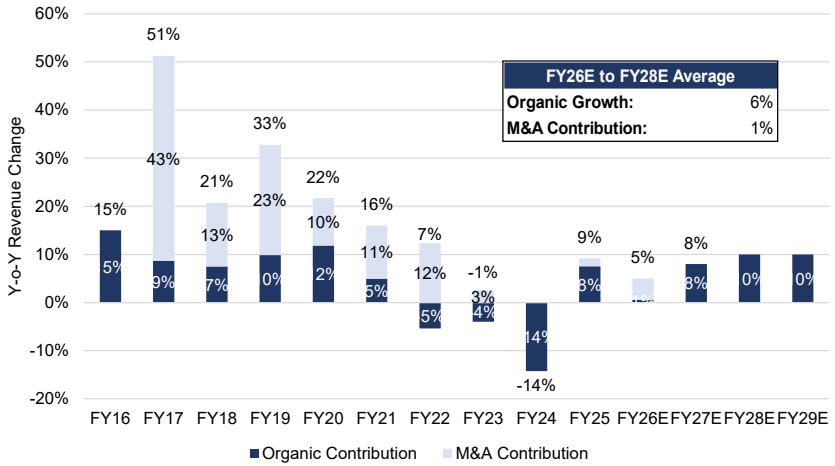
Source: Company data, Jefferies estimates, FactSet

MRCY: Raising FY26 Rev Growth Target to Approaching MSD (from LSD) w/ Record Bookings Supporting Visibility Into FY27

Backlog Expected to Be Recognized Over the Next 12 Months at $891MM, At Record Levels and Up 10% From FQ2



Historical Organic Revenue at HSD to LDD with Further Contribution from M&A - Growth Stalls as Resources Focus on Programs with Large Unbilled Receivable Balances



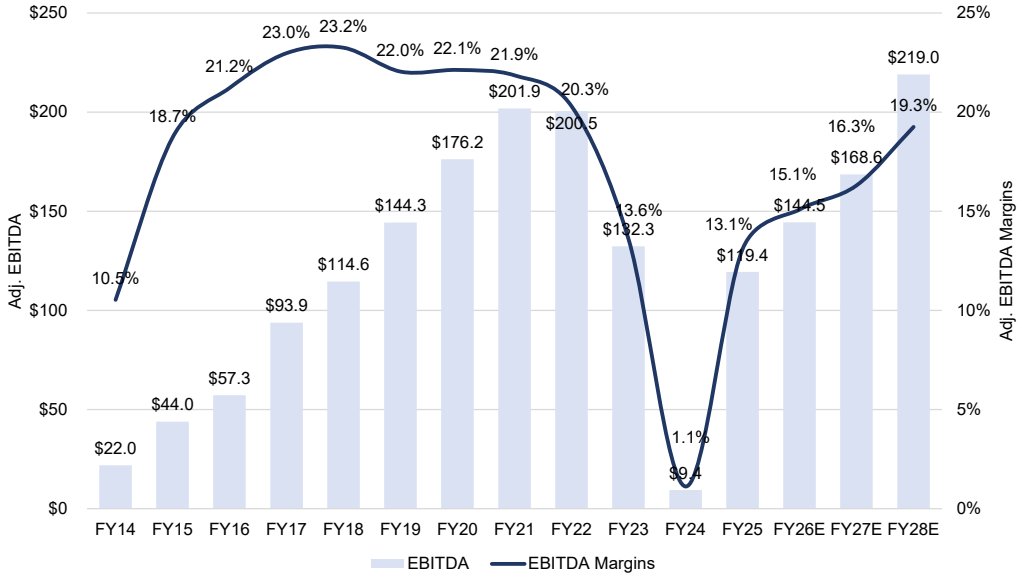
- MRCY's FQ3:26 ending backlog of $1.6BB increased 18% y-o-y and +7% sequentially, with $891MM (56% of total backlog) expected to ship over the next 12 months up 13% y-o-y and +10% sequentially.
- MRCY FQ3:26 revenues of $236MM increased 11.5% y-o-y with ~$25MM worth of customer deliveries pulled forward from FQ4 into FQ3, following ~$50MM of pull forward revenue in FH1. Excluding the ~$25MM in pulled forward revenues, FQ3 sales would have been ~flat y-o-y. FQ3 was the 6th quarter out of the last 7 to pull forward $15-30MM of sales.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

MRCY: FY26 Mid-Teens Margins with LT 20%+ EBITDA Margin Target Tied Backlog Improvement, Automation & Op Leverage

Adj. EBITDA Improves in FY27 on Production Mix, IRAD Efficiency, & Operating Leverage, Approaching LT Target of 20% by FY28



- FQ3 gross margins increased 180 bps y-o-y to 29.3%, reflecting improved mix out of legacy lower-margin backlog.
- The gross margin profile for MRCY is low-to-mid 30% for development and >40% for production programs. The aggregate portfolio has been impacted as the development/production mix fell to 40/60 at trough as compared to the normal 20/80 split. The normalization is a tailwind to profitability over the coming years as MRCY executes development programs and transitions those to follow-on production efforts. Importantly, management indicated that >80% of the fixed price program bookings in the TTM to FQ3:25 were production programs and that as of FQ2:26, new bookings are consistent w/ the more normalized margin profile expected over the long term.
- FQ3 Adjusted EBITDA of $36MM translated to a 15.3% margin, up 360 bps from 11.7% margins a year ago. Adj EBITDA included $15MM of pull-fwd (at 60% drop-through), for ex-pull fwd margins of ~10% which was in line with prior commentary.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

MRCY: FY26 FCF Conversion of 43%, Ramping Towards 50% LT Target in FY27 as NWC Unwind Remains Top Priority

Free Cash Flow Walk - Conversion to EBITDA Rises to 46% in FY27 From 43% in FY26 On Path to LT Target of 50%

	FY22	FY23	FY24	FY25	FY26E	FY27E
Net Income	$11	($28)	($138)	($38)	($17)	$10
Depreciation and Amortization	93	97	88	82	76	78
NWC	(159)	(79)	77	68	(21)	(34)
Stock Comp	38	43	42	40	48	50
Deferred Taxes/Others	(3)	(53)	(8)	(13)	0	0
CFO	**($19)**	**($20)**	**$60**	**$139**	**$86**	**$104**
Capex	(28)	(39)	(34)	(20)	(24)	(26)
FCF	**($47)**	**($59)**	**$26**	**$119**	**$62**	**$78**
Deployment						
Dividends	0	0	0	0	0	0
Net Borrowings	252	60	80	0	(50)	(50)
Acquisitions	(243)	0	0	(5)	0	0
Total Deployment	**$8**	**$60**	**$80**	**($5)**	**($50)**	**($50)**
Discretionary FCF	**($38)**	**$1**	**$106**	**$115**	**$12**	**$28**
Ratios						
FCF to Sales	-5%	-6%	3%	13%	7%	8%
FCF to Net Income Conversion	-413%	208%	-19%	-314%	-364%	814%
FCF to Adj. EBITDA Conversion	-23%	-45%	277%	100%	43%	46%
FCF Yield (FCF / Mkt Cap.)	-2.7%	-3.4%	1.5%	6.9%	3.6%	4.5%
Discretionary FCF Yield	-2.2%	0.1%	6.1%	6.6%	0.7%	1.6%
Discretionary FCF % Change YoY	-68%	-102%	11067%	8%	-89%	126%
FCF / Share	($0.83)	($1.04)	$0.45	$2.03	$1.05	$1.30

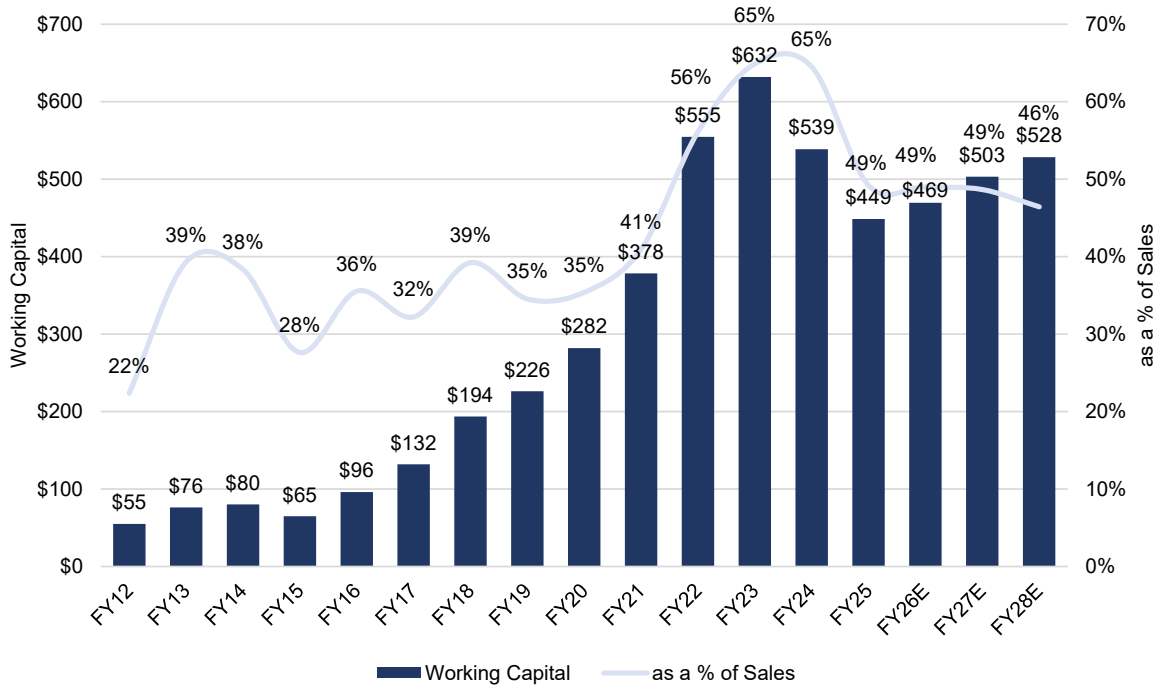
- FCF was an outflow of $1.8MM in FQ3:26 (vs $24MM inflow in FQ3:25) and was down from a $45.7MM source in FQ2:26 although mgmt notes FCF is still materially ahead of plan. YTD FCF totals $39.5MM, with FQ4 expected to be positive. FQ3 CFO of $6.4MM, with working capital as a $21MM use vs a $20MM inflow in the year-ago quarter. Total NWC declined -$19MM y-o-y to $434MM in FQ3:26 driven primarily by increases in W/C liabilities w/ a $31MM increase in AP.
- We est FCF of $62MM in FY26 (+$119MM in FY25) and FQ4 FCF of $22MM. This drives 43% FCF conversion to EBITDA in FY26, down from 100% in FY25. For FY27 we expect continued growth in FCF to $78MM with conversion increasing to 46%, approaching the 50% LT target.
- FY25, FCF conversion of 100% came in well above the 50% LT target mainly due to the increased focus on driving down large unbilled receivable balances on existing programs that have limited revenue contribution, creating a divergence between earnings and cash in the short-term.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

MRCY: FY26 FCF Conversion of 43%, Ramping Towards 50% LT Target in FY27 as NWC Unwind Remains Top Priority

Working Capital Stabilizing At 49% of TTM Sales in FY26E and FY27E vs. 37% on Average Between FY12 and FY22



- Today, the TTM W/C balance is at 45% of sales compared to 35% at normalized levels and >70% at peak levels. In aggregate, W/C has climbed by $152MM from $282MM in FY20 to $434MM FQ3:26, with management highlighting the opportunity to release the cash over the next several years as the company burns off inventory and unbilled receivables balances, which management indicates could be an incremental ~$100MM cash unlock.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

MRCY: Income Statement

(millions, except per share data)	FY2020	FY2021	FY2022	FY2023	FY2024	FY2025	FY2026E	FY2027E	FY2028E
Revenues	**$796.6**	**$924.0**	**$988.2**	**$973.9**	**$835.3**	**$912.0**	**$957.6**	**$1,034.2**	**$1,137.7**
Cost of Sales	439.8	538.8	593.2	657.2	639.4	657.5	679.9	708.4	746.3
Gross Profit	**$356.8**	**$385.2**	**$395.0**	**$316.7**	**$195.9**	**$254.5**	**$277.7**	**$325.8**	**$391.4**
Selling, General & Admin.	132.3	134.3	157.0	160.6	166.8	154.4	162.8	174.8	187.7
Research & Development	98.5	113.5	107.2	108.8	101.3	67.6	67.0	71.4	79.6
Amortization of intangible assets	30.6	41.2	60.3	53.6	47.7	42.8	40.0	40.0	40.0
Restructuring and other charges	1.8	9.2	27.4	7.0	26.2	7.2	5.6	0.0	0.0
Impairment of long-lived assets	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Acquisition costs and other related expenses	2.7	6.0	11.4	8.4	1.7	2.0	0.7	0.0	0.0
Total Operating Costs	**$265.8**	**$304.2**	**$363.3**	**$338.4**	**$343.7**	**$274.1**	**$276.1**	**$286.1**	**$307.3**
GAAP EBIT	**$91.1**	**$81.0**	**$31.6**	**($21.7)**	**($147.8)**	**($19.6)**	**$1.6**	**$39.6**	**$84.0**
Interest Income, net	1.1	(1.0)	(5.7)	(24.1)	(33.8)	(29.8)	(25.0)	(24.0)	(24.0)
Other Income / (Expense)	1.7	(2.8)	(7.6)	(2.8)	(7.7)	(1.0)	(1.0)	(2.0)	(2.0)
GAAP Pretax Income	$93.9	$77.2	$18.4	($48.5)	($189.3)	($50.4)	($24.4)	$13.6	$58.0
Taxes	8.2	15.1	7.1	(20.2)	(51.6)	(12.5)	(7.3)	4.1	14.5
GAAP Net Income	**$85.7**	**$62.0**	**$11.3**	**($28.3)**	**($137.6)**	**($37.9)**	**($17.1)**	**$9.5**	**$43.5**
Common shares (millions)									
Basic	54.5	55.1	55.5	56.6	57.7	58.7	59.4	59.9	60.4
Diluted	55.1	55.5	55.9	56.6	57.7	58.7	59.4	59.9	60.4
GAAP EPS from Cont Ops	**$1.56**	**$1.12**	**$0.20**	**($0.50)**	**($2.38)**	**($0.65)**	**($0.29)**	**$0.16**	**$0.72**
P&L Adjustments									
Amortization of intangible assets	30.6	41.2	60.3	53.6	47.7	42.8	40.0	40.0	40.0
Restructuring and other charges	1.8	9.2	27.4	7.0	26.2	7.2	5.6	0.0	0.0
Impairment of long-lived assets	0.0	0.0	0.0	(1.6)	0.0	0.0	0.0	0.0	0.0
Total Adjustments (from P&L)	**32.4**	**50.4**	**87.7**	**58.9**	**73.8**	**50.1**	**45.6**	**40.0**	**40.0**
Other non-operating adjustements, net	(5.6)	(0.7)	2.9	0.0	(0.6)	(7.7)	0.4	0.0	0.0
Acquisition costs and other related expenses	5.6	8.6	13.6	10.0	4.4	6.6	2.8	0.0	0.0
Fair value adj from purchase accounting	1.8	(0.3)	(2.0)	0.4	0.7	0.6	0.3	0.0	0.0
Litigation and settlement (income) expense	0.9	0.6	1.9	0.5	4.9	13.0	9.5	0.0	0.0
COVID related expenses	2.6	9.9	0.7	0.1	0.0	0.0	0.0	0.0	0.0
Stock-based compensation expense	27.0	29.2	38.5	43.0	41.3	38.3	48.0	50.0	54.0
Impact to income taxes	(23.6)	(25.7)	(32.3)	(27.8)	(26.6)	(25.1)	(22.3)	(18.9)	(19.7)
Adjusted Net Income	**$126.8**	**$134.1**	**$122.3**	**$56.7**	**($39.8)**	**$37.9**	**$67.2**	**$80.6**	**$117.8**
Adjusted EPS	**$2.30**	**$2.42**	**$2.19**	**$1.00**	**($0.69)**	**$0.64**	**$1.13**	**$1.35**	**$1.95**
Cash EPS (GAAP EPS addback amortization)	**$1.95**	**$1.64**	**$0.96**	**$0.16**	**($1.81)**	**($0.13)**	**$0.18**	**$0.63**	**$1.18**

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

MRCY: Cash Flow Statement

(millions, except per share data)	FY2020	FY2021	FY2022	FY2023	FY2024	FY2025	FY2026E	FY2027E	FY2028E
Operating Activities									
Net income	$85.7	$62.0	$11.3	($28.3)	($137.6)	($37.9)	($17.1)	$9.5	$43.5
Depreciation & Amortization	49.3	67.1	93.4	97.3	88.0	82.0	76.0	78.0	80.0
Deferred Taxes	(3.0)	(1.1)	(2.4)	(59.6)	(31.5)	(10.6)	0.0	0.0	0.0
Share-Based Compensation	26.5	28.3	38.3	43.4	41.5	39.9	48.0	50.0	54.0
Other	(2.3)	3.7	(0.5)	5.2	23.2	(2.7)	0.0	0.0	0.0
Working Capital	**(41.1)**	**(62.8)**	**(158.9)**	**(79.3)**	**76.7**	**68.1**	(20.7)	(34.0)	(25.0)
Receivables	(31.1)	(52.0)	(146.5)	(58.7)	76.5	30.0	38.5	(12.4)	(7.8)
Inventory	(31.6)	(27.4)	(40.9)	(64.1)	0.1	(17.1)	(20.6)	(29.0)	(27.9)
Prepaid Income Taxes	(2.8)	1.7	(5.0)	7.4	0.0	(0.6)	0.0	0.0	0.0
Prepaid Expenses and Other Current Assets	(2.1)	1.7	(4.4)	2.9	(1.7)	5.5	0.0	0.0	0.0
Accounts Payable & Accrued Expenses	13.6	(6.3)	58.4	(16.7)	0.7	8.1	6.9	(5.2)	2.9
Deferred Revenue & Customer Advances	7.1	13.7	(19.0)	40.7	17.3	49.9	(38.4)	10.8	5.3
Income Taxes Payable	(0.1)	4.1	1.0	9.9	(11.2)	(3.8)	0.0	0.0	0.0
Net Other Non-Current Assets & Liabilities	6.0	1.7	(2.6)	(0.7)	(5.0)	(3.9)	(7.1)	1.9	2.5
Other	0.0	0.0	0.0	1.0	0.1	0.0	0.0	0.0	0.0
Cash Flow from Operations	**$115.2**	**$97.2**	**($18.9)**	**($21.3)**	**$60.4**	**$138.9**	**$86.2**	**$103.5**	**$152.5**
Investing Activities									
Acquisitions	(96.5)	(372.8)	(243.5)	0.0	0.0	(4.5)	0.0	0.0	0.0
Capital spending	(43.3)	(45.6)	(27.7)	(38.8)	(34.3)	(19.8)	(23.9)	(25.9)	(25.6)
Asset Sales	4.3	1.5	0.0	0.0	0.0	6.2	0.0	0.0	0.0
Other activities, net	0.0	0.0	(3.2)	0.2	0.0	4.6	0.0	0.0	0.0
Cash Flow from Investments	**($135.5)**	**($416.9)**	**($274.3)**	**($38.6)**	**($34.3)**	**($13.5)**	**($23.9)**	**($25.9)**	**($25.6)**
Financing Activities									
Net borrowings	$0.0	$200.0	$251.5	$60.0	$80.0	$0.0	($50.0)	($50.0)	($50.0)
Common stock, net	(10.9)	6.3	(2.8)	5.5	4.6	3.7	($12.3)	0.0	0.0
Other	0.0	(0.1)	(2.9)	(0.1)	(1.9)	(2.2)	0.0	0.0	0.0
Cash Flow from Financing	**($10.9)**	**$206.2**	**$245.8**	**$65.4**	**$82.7**	**$1.4**	**($62.3)**	**($50.0)**	**($50.0)**
Effect of F/X on cash equivalents	0.1	0.4	(0.8)	0.3	0.2	1.8	0.0	0.0	0.0
Net change in cash items	**($31.1)**	**($113.0)**	**($48.2)**	**$5.9**	**$109.0**	**$128.6**	**($0.0)**	**$27.7**	**$76.9**
Starting cash balance	**$257.9**	**$226.8**	**$113.8**	**$65.7**	**$71.6**	**$180.5**	**$309.1**	**$309.1**	**$336.8**
Cash at year-end	**$226.8**	**$113.8**	**$65.7**	**$71.6**	**$180.5**	**$309.1**	**$309.1**	**$336.8**	**$413.7**

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

Next Vision Stabilized Systems (NXSN IT)

Buy | Price Target: ILS380

Valuation Method	Price	Assumptions
EV/EBITDA	125	47.3x EV/EBITDA on 2027 EBITDA of $244MM
Average	**$125**	**Blended average**
Shekel Exch Rate	0.33	
NIC PT	**380**	

Valuation Table

	Ticker	JEF Rating	Stock Px 5/13/2026	Consensus BUY Rating	Market Cap	Enterprise Value	P/E 2026E	P/E 2027E	P/E 2028E	EV / SALES 2026E	EV / SALES 2027E	EV / SALES 2028E	EV / EBITDA 2026E	EV / EBITDA 2027E	EV / EBITDA 2028E	FCF Yield
AeroVironment	AVAV	Buy	$168.86	85%	8,432	8,638	41.8x	31.4x	22.7x	4.0x	3.4x	3.4x	24.1x	18.9x	14.8x	1.4%
Karman	KRMN	N/C	$62.48	90%	8,280	8,821	93.9x	64.0x	46.7x	12.2x	9.5x	7.5x	41.7x	31.8x	24.6x	1.2%
Kratos	KTOS	Buy	$57.33	83%	10,751	9,006	75.0x	53.6x	41.2x	5.2x	4.2x	3.5x	52.0x	37.9x	29.4x	-0.1%
Redwire	RDW	Buy	$11.56	80%	2,300	2,303	NM	NM	NM	4.9x	4.1x	3.5x	NM	123.1x	58.9x	-0.6%
Elbit	ESLT	Hold	$802.21	17%	37,529	37,010	57.8x	49.1x	45.2x	4.1x	3.8x	3.5x	33.4x	29.2x	25.4x	1.8%
Rocket Lab	RKLB	N/C	$117.56	79%	68,038	69,930	NM	NM	559.1x	77.3x	55.7x	43.7x	NM	613.0x	283.0x	NM
AIRO Group Holdings	AIRO	N/C	$7.83	67%	246	117	NM	NM	20.6x	1.0x	0.7x	0.4x	16.3x	4.5x	2.9x	NM
Average				72%			**67.1x**	**49.5x**	**122.6x**	**15.5x**	**11.6x**	**9.4x**	**33.5x**	**122.6x**	**62.7x**	**0.8%**
Next Vision	**NXSN-TAE**	**Buy**	**ILS 294.50**		**8,570**	**8,008**	**48.2x**	**38.1x**	**29.9x**	**19.8x**	**19.8x**	**15.5x**	**43.3x**	**32.8x**	**24.8x**	**NM**
Discount / Premium			**$88.35**				**-28%**	**-23%**	**-76%**	**28%**	**71%**	**65%**	**29%**	**-73%**	**-60%**	**NM**

Featured Notes:

- Production Lays A Vision of What Is Next W/Big Beat and Raise | *May 11, 2026*
- The Proof Is In Production With Backlog As Supporting Evidence | *Mar 11, 2026*
- Initiate at Buy: Supporting a Vision For What is Next | *Oct 9, 2025*

NXSN IT: Broad Lineup of Camera Offerings Across the Small UAS Market

- NextVision continues to be a broad play on the drone market as a leading camera developer for ground and aerial platforms w/ particular strength serving the small UAS and loitering munition markets.

- Determinants of price can be the size and weight along with the specs of the cameras that can shift between its ability to zoom and thermal resolution. The typical innovation timeline has NextVision developing 2 to 3 new products per year with a continuous effort between size, weight and power and offering additional features.

- Products include:
  - **Raven2.5:** A 2kg camera with cooled IR with a high zoom rate. There is a built-in range finder. The product is applicable to a variety of platforms

  - **Condor:** A 1.5kg camera with 3X Axes, rangefinder, along with uncooled IR with a high zoom rate. There is also combined EO and targeting solutions

  - **NightHawk2-V360 25IR:** The 320 gram camera is a dual EO-IR stabilized camera targeted for long range observation.

  - **TRIP6SSD:** The system provides EO/IR object tracking, location, video compression, IP streaming, video recording, LTE and license plate recognition capability. The system also supports real-time object detection, smart tracking, area tracking with full access to Docker for advanced integration and customization.

Broad Lineup of Camera Offerings Across the Small UAS Market

	Weight	Dimension	Zoom	Thermal Resolution	Comment	Product
DragonEye2	125 grams	40mm x 40mm x 65 mm	X40 (X20 + X2 digital)	640x480	Dual EO-IR stabilized camera with long range observation capability	
X80	145 grams	40mm x 40mm x 75 mm	X80 (x40 + X2 digital)	Day only	Light-weight long-ranged EO stabilized camera turret	
Colibri2	180 grams	53mm x 81mm	X40 (X20 + X2 digital)	640x480	Dual EO-IR stabilized camera for day and night use	
Starling	180 grams	53mm x 81mm	X40 (X20 + X2 digital)	640x480	Dual EO-IR 3-axes stabilized camera. Low weight at 180 grams with limited energy capacity and extended mission time	
NightHawk2	250 grams	64mm x 94mm	X40 (X20 + X2 digital)	640x480	EO/IR stabilized camera at 250 grams delivering both thermal observation along with long range visible imager	
NightHawk2-V	320 grams	64mm x 94mm	X40 (X20 + X2 digital)	640x480	Small size dual EO-IR stabilized camera to allow long range observation.	
NightHawk2-UZ	350 grams	64mm x 94mm	X40 (X20 + X2 digital)	1280x720	Dual EO-IR stabilize camera turret geared toward long range observation at a low weight	
Raptor	640 grams	90mm x 120mm	X80 (X40 + X2 digital)	1280x720	Light-weight dual EO-IR stabilized camera turret w/X80 EO zoom	
Condor	1535 grams	207mm x 211mm x 183mm	X80 (X40 + X2 digital)	1280x1024	Long-range, dual sensor imaging systems with x80 continuous zoom and stabilized optics	
Raven	<2000 grams	150mm x 200mm	X80 (x40 + X2 digital)	640x480	Extreme long range dual EO-IR stabilized with build-in TRIP6 computer	
Raven 2.5	2090 grams	150mm x 200mm	X80 (x40 + X2 digital)	640x480	Long-range, dual-sensor imaging systems with high-resolution EO imaging supporting enhanced target acquisitions	

Source: Company data and Jefferies estimates

NXSN IT: Thesis Playing Out With Broad Exposure to the Drone Market

North America Likely to Lead Near-Term Growth With Regional Diversity

	2023	2024	2025	2026E	2027E:	2030 CAGR
Regional Sales						
Sales in Israel	$14	$18	$18	$25	$30	26%
Sales in Europe	27	66	95	161	202	35%
Sales in North America	8	18	49	113	152	49%
Sales in Other Countries	3	13	7	16	20	39%
Total Sales	**$52**	**$115**	**$168**	**$316**	**$404**	**39%**
Revs Y-o-Y						
Sales in Israel		31%	0%	40%	20%	
Sales in Europe		143%	43%	70%	25%	
Sales in North America		130%	173%	130%	35%	
Sales in Other Countries		309%	-48%	150%	20%	
Total Y-o-Y		**121%**	**46%**	**87%**	**28%**	
% of Sales						
Sales in Israel	26%	16%	11%	8%	7%	
Sales in Europe	53%	58%	56%	51%	50%	
Sales in North America	15%	16%	29%	36%	38%	
Sales in Other Countries	6%	11%	4%	5%	5%	
Total Y-o-Y	**100%**	**100%**	**100%**	**100%**	**100%**	

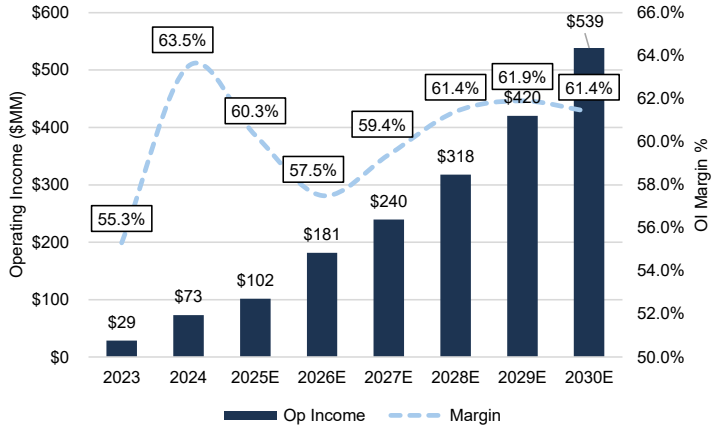
- All signs point to potential upside and longevity of the growth curve with our baseline 45% rev CAGR through 2028 from 2025.
- This is backed by strong diversity across Europe, North America, Israel and RoW customers (active 112, 300+ total) and the likes of Anduril, PDW, IAI, Quantum Systems among others.
- The Production ramp de-risks plans with a target of 5,000 units/mo exiting 2026 (from 4,000 prior) from 2,400K today. At an assumed avg ASP of $8K, this shifts monthly production from $19.2MM ($230MM annualized) to $40MM ($480MM annualized)..
- Enhanced topline momentum comes from accessories (mounts to processing power) with software driving additional optionality with a further move into AI capabilities with potential M&A expanding touch points across the broad customer base.

Source: Company data and Jefferies estimates

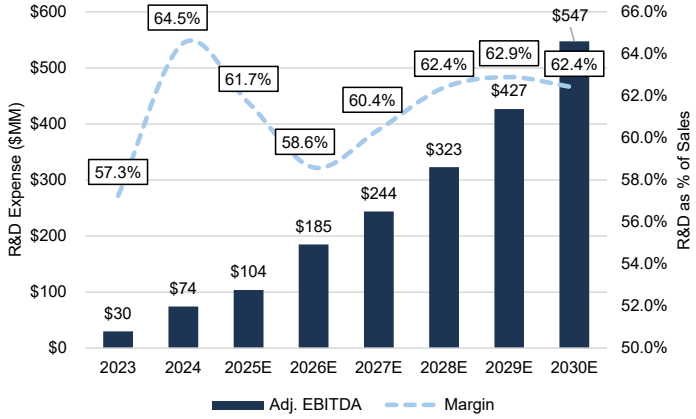
NXSN IT: Growth Does Not Have to Come at a Cost

- A unique element of NextVision is that it is highly profitable today with modest investments required to support a growing enterprise.
- This is partially supported by company structure which includes lower touch focused production with the value chain centered around design and IP.
- This means that on 2024 revenue of $114.9MM, the company was able to generate 63.5% operating margins given strong gross margins, along with a relatively low level of SG&A and R&D.
- This is likely not the peak, but we take a conservative view given growth mode, but there is opportunity for leverage whether on the cost side or through production with better buying power as the enterprise expands.
- Q1 op income of $38.3MM was +22% vs. our ests w/ op margins of ~57% down from 61% a year ago, but maintaining a high rate on Opex leverage. Gross margins of 67.2% from 73.2% a year ago, but total opex of $6.9MM was +62% from $4.3MM a year ago or 10.3% of sales vs 11.9% a year ago.
- Disciplined capacity expansion should allow OI margins to stay in the ~high 50s for now, with OI +79% on our estimate to $181.4MM (57.5% margin vs. 60.3% in 2025) in 2026 to allow for modest price concessions/growth investments.

>60% Operating Margins With Scale Potentially Providing Further Lift



Modest D&A Provides For >60% EBITDA Margins



Source: Company data and Jefferies estimates

NXSN IT: FCF Optionality with Cash In Hand

Opportunity for >90% FCF Conversion on Net Working Capital Improvements

	2023	2024	2025E	2026E	2027E	2028E	2029E	2030E
Net Income	$28	$66	$104	$177	$228	$297	$387	$491
Depreciation and Amortization	1	1	2	3	4	5	7	9
NWC Change	(8)	(0)	(35)	(50)	(22)	(28)	(38)	(45)
Stock Comp/Deferred Taxes/Other Change	1	1	(8)	5	5	5	5	5
CFO	$22	$68	$64	$135	$215	$279	$360	$460
Capex	(0)	(0)	(0)	(3)	(4)	(5)	(7)	(9)
FCF	**$22**	**$68**	**$63**	**$132**	**$211**	**$274**	**$353**	**$451**
Deployment								
Share Repurchases/Issuance	0	2	4	4	5	6	7	8
Dividends	(6)	(14)	(33)	(33)	(33)	(33)	(33)	(33)
Acquisitions / JV Investments	0	0	0	0	0	0	0	0
Total Deployment	**($6)**	**($11)**	**($29)**	**($29)**	**($28)**	**($27)**	**($26)**	**($25)**
Cash	**$69**	**$75**	**$85**	**$188**	**$370**	**$617**	**$944**	**$1,370**
Ratios								
FCF to Adj. Net Income Conversion	78%	102%	61%	74%	92%	92%	91%	92%
FCF Yield (FCF / Mkt Cap.)	0.5%	1.7%	1.6%	3.3%	5.3%	6.8%	8.8%	11.3%
FCF YoY Change	N/A	215.5%	-6.9%	107.9%	60.1%	30.0%	29.1%	27.7%
Capex as a % of Sales	0.5%	0.4%	0.2%	1.0%	1.0%	1.0%	1.0%	1.0%

- NextVision's strong FCF is based on its high margins with modest working capital and capex needs. NextVision generated $31MM of FCF in Q1 despite an $18MM build in WC to support Inventory and AP w/$132MM of FCF expected in 2026.
- ~$540MM+ of cash + ST investments as of Q1 offers ample capacity for M&A with value enhancement coming through horizontal integration / new capabilities tapping into broad customer base.

Source: Company data and Jefferies estimates

NXSN IT: Income Statement

	2023		2024		2025		2026E		2027E		2028E		2029E		2030E	
	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales
Total Revenues	**$51.9**	100.0%	**$114.9**	100.0%	**$168.4**	100.0%	**$315.5**	100.0%	**$403.6**	100.0%	**$517.3**	100.0%	**$678.6**	100.0%	**$877.1**	100.0%
COGS	16.3	31.4%	32.0	27.9%	50.8	30.2%	102.5	32.5%	125.1	31.0%	150.0	29.0%	193.4	28.5%	254.4	29.0%
Gross Profit	**$35.6**	**68.6%**	**$82.9**	**72.1%**	**$117.6**	**69.8%**	**$213.0**	**67.5%**	**$278.5**	**69.0%**	**$367.3**	**71.0%**	**$485.2**	**71.5%**	**$622.7**	**71.0%**
Selling and Marketing	$0.9	1.7%	$1.6	1.4%	$1.9	1.1%	$4.1	1.3%	$4.8	1.2%	$6.2	1.2%	$8.1	1.2%	$10.5	1.2%
Administrative and General	4.0	7.7%	5.7	5.0%	8.7	5.1%	18.0	5.7%	21.8	5.4%	27.9	5.4%	36.6	5.4%	47.4	5.4%
R&D	2.0	3.9%	2.5	2.2%	5.5	3.3%	9.5	3.0%	12.1	3.0%	15.5	3.0%	20.4	3.0%	26.3	3.0%
Total Operating Expenses	**$6.9**	**13.3%**	**$9.9**	**8.6%**	**$16.0**	**9.5%**	**$31.6**	**10.0%**	**$38.7**	**9.6%**	**$49.7**	**9.6%**	**$65.1**	**9.6%**	**$84.2**	**9.6%**
Operating Profit	**$28.7**	**55.3%**	**$73.0**	**63.5%**	**$101.5**	**60.3%**	**$181.4**	**57.5%**	**$239.7**	**59.4%**	**$317.6**	**61.4%**	**$420.0**	**61.9%**	**$538.5**	**61.4%**
Financing expenses	($0.1)		($0.4)		($0.3)		($0.4)		($0.4)		($0.4)		($0.4)		($0.4)	
Financing Income	3.2		4.3		13.5		19.8		19.8		19.8		19.8		19.8	
Pre-Tax Income	31.9		76.9		114.7		200.8		259.1		337.0		439.4		557.9	
Tax (Expense) / Income	(4.3)		(10.5)		(11.0)		(24.1)		(31.1)		(40.4)		(52.7)		(67.0)	
Adj. Net Income	**$27.6**	**53.1%**	**$66.4**	**57.8%**	**$103.7**	**61.6%**	**$176.7**	**56.0%**	**$228.0**	**56.5%**	**$296.6**	**57.3%**	**$386.7**	**57.0%**	**$491.0**	**56.0%**
Adjusted Diluted EPS	**$0.34**		**$0.80**		**$1.11**		**$1.83**		**$2.32**		**$2.95**		**$3.77**		**$4.70**	
Diluted shares (millions)	80.8		82.7		93.7		96.4		98.4		100.4		102.4		104.4	
Operating Income																
(+) D&A	$1.0		$1.1		$2.3		$3.5		$4.0		$5.2		$6.8		$8.8	
EBITDA	**$29.7**		**$74.1**		**$103.8**		**$184.9**		**$243.8**		**$322.8**		**$426.8**		**$547.3**	
% Margin	57.3%		64.5%		61.7%		58.6%		60.4%		62.4%		62.9%		62.4%	

Source: Company data and Jefferies estimates

Northrop Grumman (NOC)

Hold | Price Target: $580

	Price	Assumptions
EV/EBITDA	$603	13.5x 2027 EBITDA of 7.3BB
P/E	522	17.3x 2027 EPS of $30.20
FCF Yield	621	4.0% 2027 FCF Yield
Average	**$580**	**Blended average**

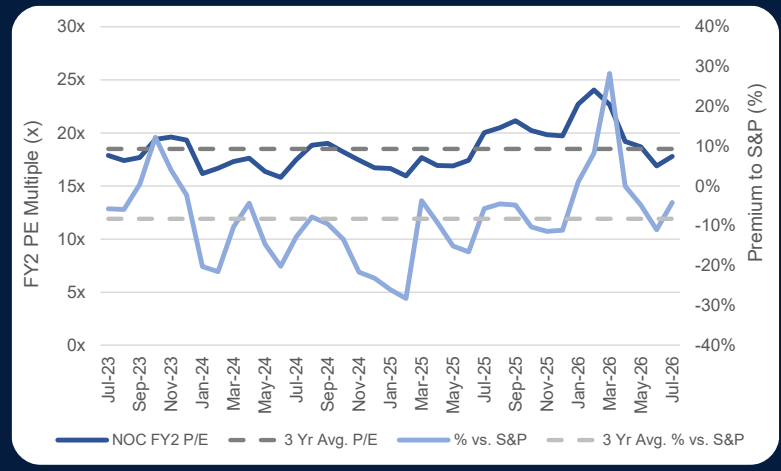
Valuation Table

Defense	Ticker	JEF Rating	Stock Px 8/3/2026	Consensus BUY Rating	Market Cap	Enterprise Value	P/E 2026E	P/E 2027E	P/E 2028E	EV / SALES 2026E	EV / SALES 2027E	EV / SALES 2028E	EV / EBITDA 2026E	EV / EBITDA 2027E	EV / EBITDA 2028E	Yield Dividend	Yield FCF	Yield FCF/EV
Boeing	BA	Buy	$227.62	80%	179,907	205,858	NM	57.4x	28.5x	2.1x	1.8x	1.7x	48.0x	23.9x	16.8x	0.0%	3.5%	3.0%
General Dynamics	GD	Buy	$381.32	50%	103,169	109,445	22.5x	20.6x	19.1x	2.0x	1.9x	1.8x	16.0x	14.8x	13.9x	1.6%	4.8%	4.5%
Lockheed Martin	LMT	Hold	$581.17	40%	134,129	151,055	19.1x	17.8x	16.6x	1.9x	1.8x	1.7x	13.3x	12.7x	12.1x	2.3%	5.0%	4.4%
Raytheon Technologies	RTX	Buy	$215.46	67%	290,381	326,414	29.7x	27.3x	24.6x	3.4x	3.2x	2.9x	20.8x	19.1x	17.4x	1.3%	3.6%	3.2%
Avg. Defense Primes				57%			**23.7x**	**21.5x**	**19.5x**	**2.5x**	**2.3x**	**2.2x**	**16.2x**	**15.0x**	**13.9x**	**1.8%**	**4.9%**	**4.3%**
Northrop Grumman	**NOC**	**Hold**	**$546.19**	**67%**	**77,593**	**92,522**	**18.9x**	**18.1x**	**17.1x**	**2.1x**	**2.0x**	**1.9x**	**13.4x**	**12.7x**	**12.1x**	**1.7%**	**4.3%**	**3.6%**
Premium / Discount							**-20%**	**-16%**	**-12%**	**-15%**	**-14%**	**-13%**	**-17%**	**-15%**	**-13%**		**13%**	

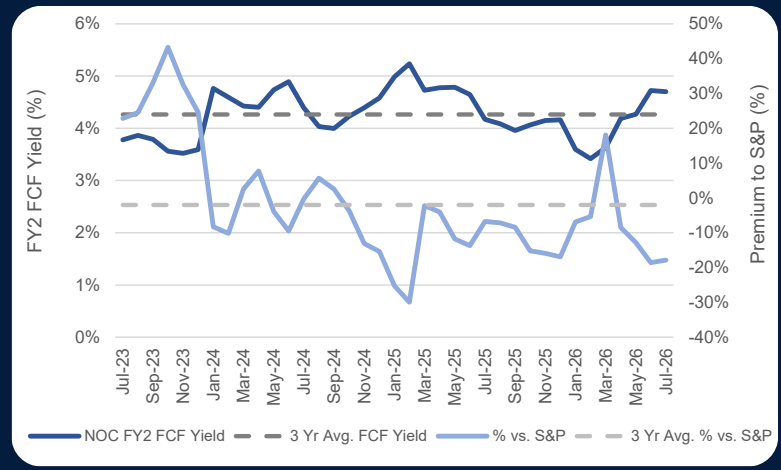
Featured Notes:

- kNOCk Out Bookings, But 2 EACs Mean No HALO Over This GEM | *July 26, 2026*
- Q2 Preview: Steady Growth With F/A-XX Decision Waiting In The Wings | *June 26, 2026*
- Mgmt Meeting Takes: Spacing Out A Broad Based Oppty Set | *May 26, 2026*

Trading at 17.8X FY2 P/E, 4% Disct to Mkt vs. Historical Avg Disct of 8%



Trading at a 4.7% FY2 FCF Yield, 18% Disct to Mkt vs. Historical Avg Disct of 2%

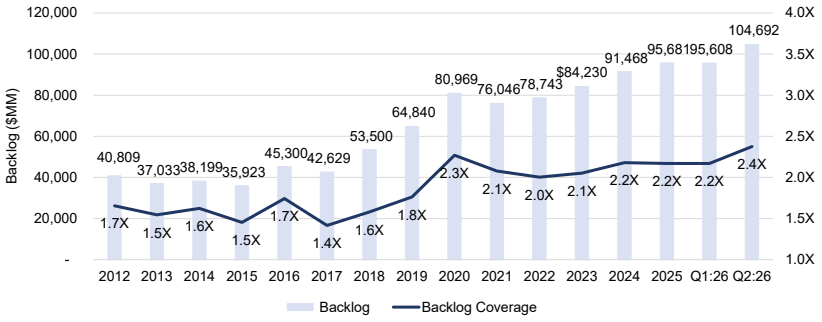


Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

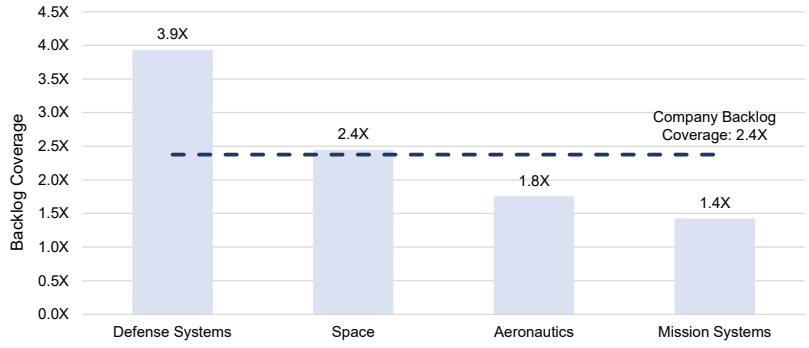
Source: Company data, Jefferies estimates, FactSet

NOC: Record Backlog of $104.7BB with 1.84X Q2 Book-to-Bill, Full-Year B2B raised to at least 1.25x

Backlog Coverage Steadily Increasing - >2.0X Coverage for Total Company



Backlog Coverage Across Segments Stands at 2.2X 2026 Revenues with Defense at 3.1X



- NOC revenues grew 5.1% Y-o-Y in Q2 to $10.9BB, driven by Aeronautics +13% (~30% of 2026E sales), Mission Systems +3% (~28% of 2026E sales), Defense Systems +5% / +7% organic (~19%), and Space Systems +4% (~24%). 2026 revenue guidance was raised $250M to $43.75–$44.25BB reflecting >5% organic growth.
- Bookings accelerated meaningfully in Q2. Q2 awards totaled $20BB for a book-to-bill of 1.84x, with management now expecting a full-year 2026 B2B of ≥1.25x (vs. prior ~1.0x expectation), implying total year awards of at least $55BB. The most notable Q2 awards were $7.6BB for Sentinel definitization, $4.3BB in restricted programs (primarily AS and SS), $1.0BB for F-35, $0.8BB for GPI, and $0.7BB for MESA.
- Backlog reached a new company record of $104.7BB at the end of Q2:26, up 17% Y-o-Y and up 10% Q-o-Q. Funded backlog stands at $45.9BB, or 44% of the total. Defense Systems backlog grew to nearly $35BB (+25% YTD) on the Sentinel definitization, with Aero (+7% YTD), Space (+3% YTD), and MS (-1% YTD) also contributing. Total backlog coverage now stands at ~2.4x of 2026E revenues.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

NOC: Space Systems Returns to MSD Growth Through 2028 As Headwinds Abate (24% of NOC 2026E Sales)

Space Systems Revenue Breakdown by Program - Realigning to Growth in 2026

Space Systems	2022	2023	2024	2025	2026E	2027E	2028E	CAGR
Launch & Strategic Missile								
Antares/Space Launch Vehicles	$425	$425	$450	$450	$450	$450	$450	0%
Interceptor Launch Vehicles	460	560	600	600	600	600	625	1%
Target Launch Vehicles	215	220	250	250	275	300	325	9%
Rocket Propulsion System	805	815	850	850	900	925	925	3%
Classified/NGI	1,205	1,800	1,400	1,021	1,050	1,250	1,500	14%
Total Launch & Strategic Missiles	**$3,110**	**$3,820**	**$3,550**	**$3,171**	**$3,275**	**$3,525**	**$3,825**	**6%**
% change	*23%*	*23%*	*-7%*	*-11%*	*3%*	*8%*	*9%*	
Space								
Communication Sats	$205	$205	$210	$211	$220	$230	$230	3%
Science and Remote Sensing Sats	145	150	160	160	160	160	160	0%
Space Technical Services	155	155	155	155	155	155	155	0%
Restricted National Security Sats	725	825	1,061	1,150	1,250	1,350	1,350	5%
CRS Contracts	339	167	240	240	240	240	240	0%
Stratolaunch/Other	35	35	35	35	35	35	35	0%
Space Components and Services	500	560	585	610	610	610	610	0%
Advanced Extremely High Frequency (AEHF)	100	100	100	100	100	100	100	0%
SBIRS/Next Gen OPIR	750	850	900	879	875	875	900	1%
Classified/Artemis	3,096	3,496	3,225	2,750	2,800	3,000	3,200	5%
Payloads	1,410	1,510	1,510	1,310	1,310	1,310	1,330	1%
Total Space	**$7,460**	**$8,053**	**$8,181**	**$7,600**	**$7,756**	**$8,066**	**$8,310**	**3%**
% change	*11%*	*8%*	*2%*	*-7%*	*2%*	*4%*	*3%*	
Total Space Systems Segment	**$10,570**	**$11,873**	**$11,731**	**$10,771**	**$11,031**	**$11,591**	**$12,135**	**4%**
% change	*14%*	*12%*	*-1%*	*-8%*	*2%*	*5%*	*5%*	

- We forecast Space Systems generates revenues of $11.03BB in 2026, up 2% organically following an 8% decline in 2025. Segment revenue in 2025 was impacted by a $1.3BB headwind from NGI and a classified program in 2023 that was a $600M headwind to 2024 (5pts) and a $700M impact primarily in H1:25 (7 pts to full year).
- NOC reaffirmed full-year 2026 segment guidance for revenues in the ~$11BB range vs. the $10.77BB reported in 2025.
- Q2 revenues of $2.75BB were up 4% Y-o-Y, driven by a $139M increase on CRS missions and higher volume on GPI and GMD WS, partially offset by lower sales on GEM 63XL related to the $91M unfavorable EAC adjustment and lower HALO volume tied to the NASA Gateway restructuring. The ~$11BB revenue guide implies Space sales grow further in H2, driven by higher volumes on national security space programs, new awards, and improved performance on GEM 63XL.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

NOC: Aeronautics Systems (29% of NOC 2026E Sales) High Optionality Into 2026

Aeronautics Systems Revenue Breakdown by Program - Solid MSD Growth Through 2028E on B-21/F-35/Unmanned

Aeronautics Systems	2022	2023	2024	2025	2026E	2027E	2028E	CAGR
Autonomous Systems								
Global Hawk/Triton	$150	$100	$150	$150	$150	$150	$150	0%
Triton (formerly BAMS)	$570	$400	$534	$525	$600	$625	$625	6%
NATO AGS	$150	$150	$150	$150	$150	$150	$150	0%
MQ-8B Fire Scout	$450	$275	$325	$325	$325	$325	$325	0%
Classified Unmanned	$1,075	$950	$1,050	$1,150	$1,200	$1,300	$1,400	7%
Total Autonomous Revenue	**$2,395**	**$1,875**	**$2,209**	**$2,300**	**$2,425**	**$2,550**	**$2,650**	**5%**
% change	*-25%*	*-22%*	*18%*	*4%*	*5%*	*5%*	*4%*	
Manned Aircraft								
B-2 Stealth Bomber	$250	$250	$250	$275	$250	$250	$250	-3%
B-21 Bomber	2,181	2,348	2,876	3,062	3,831	4,211	4,716	15%
E- 2 Hawkeye	1,641	1,700	1,834	1,900	1,850	1,750	1,750	-3%
EA- 6B Prowler	325	325	325	325	325	325	325	0%
F- 35 Lightning II (F- 35)	1,704	1,704	2,152	2,424	2,340	2,340	2,340	-1%
F/A- 18 Super Hornet Strike Fighter	450	259	150	50	50	50	50	0%
Joint Surveillance Target Attack Radar System	125	0	0	0	0	0	0	N/A
TACAMO	0	0	0	379	600	650	650	20%
Other Classified/Strike and Surveillance	1,350	2,200	2,475	2,152	2,200	2,300	2,300	2%
Aerospace Structures	0	0	0	0	0	0	0	N/A
Total Manned Revenue	**$8,026**	**$8,786**	**$10,062**	**$10,567**	**$11,446**	**$11,876**	**$12,381**	**5%**
% change	*1%*	*9%*	*15%*	*5%*	*8%*	*4%*	*4%*	
Total Aeronautics Systems	**$10,531**	**$10,786**	**$12,396**	**$12,992**	**$13,996**	**$14,551**	**$15,156**	**5%**

- We forecast Aeronautics Systems revs expand ~8% to ~$14BB in 2026 after growing 5% in 2025 and 15% in 2024. Segment revenue guidance was raised to ~$14BB (from mid-$13BB) with margins raised to mid-to-high 9% (from low-to-mid 9%). Q2 revenues of $3.52BB increased 13% Y-o-Y (+7.6% vs. our est), driven primarily by higher volumes on B-21 and other restricted programs, a $106M increase on the E-130J TACAMO program as it ramps, and higher volume on B-2, F-35, and E-2, partially offset by F/A-18 rolloff. The ~$14BB revenue guide implies continued strength in H2, with management citing HSD Y-o-Y growth in Q3 and a similar step-up profile to last year.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

NOC: Mission Systems Expands at MSD+ (28% of 2026E Sales) On Classified Expansion

Mission Systems Revenue Breakout - LSD+ Growth in 2026E With Maritime/Land Sensors Leading

Mission Systems	2022	2023	2024	2025	2026E	2027E	2028E	CAGR
Airborne Multi Function Sensors								
F-35	$603	$600	$600	$600	$600	$600	$600	0%
F-16 / SABR	$725	$725	$674	$800	$800	$800	$800	0%
F-22	$450	$450	$450	$450	$450	$450	$450	0%
Classified/Other	$1,553	$1,590	$1,800	$2,326	$2,400	$2,500	$2,700	5%
Total Airborne Multi Function Sensors	**$3,331**	**$3,365**	**$3,524**	**$4,176**	**$4,250**	**$4,350**	**$4,550**	**3%**
Y-o-Y % change	*2%*	*1%*	*5%*	*19%*	*2%*	*2%*	*5%*	
Maritime/Land Sensors								
SEWIP Block III	$275	$250	$300	$350	$350	$350	$350	0%
G/ATOR	$355	$248	$300	$325	$350	$375	$375	5%
Submarine Propulsion	$450	$485	$485	$485	$500	$515	$515	2%
AQS-24B Mine Hunting Systems	$100	$100	$100	$100	$100	$100	$100	0%
Restricted	$325	$350	$375	$400	$450	$475	$525	9%
Other	$975	$1,140	$1,150	$1,210	$1,350	$1,450	$1,600	10%
Total Maritime/Land Sensors	**$2,480**	**$2,573**	**$2,710**	**$2,870**	**$3,100**	**$3,265**	**$3,465**	**6%**
Y-o-Y % change	*5%*	*4%*	*5%*	*6%*	*8%*	*5%*	*6%*	
Navigation, Targeting & Survivability								
Litening Advanced Targeting Pod	375	400	400	400	400	400	400	0%
LAIRCM and CIRCM	715	800	800	800	850	875	875	3%
Radar Warning Receiver porgram	200	200	200	200	200	200	200	0%
GPS	125	125	125	125	125	125	125	0%
UH-60	270	270	270	270	250	250	250	-3%
Restricted Programs/Other	300	335	460	600	650	700	750	8%
Total Navigation, Targeting & Survivability	**$1,985**	**$2,130**	**$2,255**	**$2,395**	**$2,475**	**$2,550**	**$2,600**	**3%**
Y-o-Y % change	*-13%*	*7%*	*6%*	*6%*	*3%*	*3%*	*2%*	
Networked Information Solutions								
BACN	$270	$275	$285	$285	$285	$285	$285	0%
F-35 CNI	$575	$600	$600	$600	$600	$600	$600	0%
JCREW	$200	$200	$200	$200	$200	$200	$200	0%
Cyber	$480	$490	$500	$550	$550	$550	$550	0%
Advanced Processing	$425	$425	$425	$425	$425	$425	$425	0%
Restricted/Other	$650	$837	$900	$1,005	$1,050	$1,100	$1,100	3%
Total Networked Information Solutions	**$2,600**	**$2,827**	**$2,910**	**$3,065**	**$3,110**	**$3,160**	**$3,160**	**1%**
Y-o-Y % change	*13%*	*9%*	*3%*	*5%*	*1%*	*2%*	*0%*	
Total Mission Systems	**$10,396**	**$10,895**	**$11,399**	**$12,506**	**$12,935**	**$13,325**	**$13,775**	**3%**

- In Q2, Mission Systems sales increased 3% to $3.25BB (+3% vs our est) with segment profit up 14% to $501MM for 15.4% margins, up 145 bps y-o-y vs 14.0% in Q2:25 (+80 bps vs our est of 14.6%).
- Marine has emerged as a distinct growth driver within MS, with management highlighting the nuclear navy propulsion business (modernization of the nuclear navy) as a key contributor. The business is in early LRIP on first units, with the team executing on schedule improvement to drive margin expansion. NOC noted a $130MM Y-o-Y sales contribution from Marine alone in Q2.
- Key programs continue to be supported by longer-term awards, with notable Q2 awards including $1.0BB for F-35 (at Aeronautics Systems and Mission Systems) and $0.7BB for MESA (Multi-role Electronically Scanned Array). Q2 also included $4.3BB of restricted awards, primarily at AS and SS, w/ continued strength in the restricted portfolio flowing through to MS backlog. MS backlog stood at $18.5BB at the end of Q2, roughly flat vs. YE25.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

NOC: Defense Systems (19% of NOC 2026E Sales) Driving DD Growth on Missiles and Missile Defense & Int'l Demand

Revenue Breakout of Defense Systems - Revenues Grow at 8% CAGR Through 2028 With Help from GBSD

Defense Systems	2022	2023	2024	2025	2026E	2027E	2028E	CAGR
Mission Readiness	$2,300	$2,265	$1,129	$1,008	$1,175	$1,195	$1,195	6%
Battle Management & Missile Systems	5,329	6,024	6,270	6,994	7,640	8,210	8,835	8%
Total	**$7,629**	**$8,289**	**$7,399**	**$8,002**	**$8,815**	**$9,405**	**$10,030**	**8%**
YoY % Change								
Mission Readiness	-7%	-2%	-50%	-11%	17%	2%	0%	
Battle Management & Missile Systems	15%	13%	4%	12%	9%	7%	8%	
Total	**7%**	**9%**	**-11%**	**8%**	**10%**	**7%**	**7%**	
% Composition								
Mission Readiness	30%	27%	15%	13%	13%	13%	12%	
Battle Management & Missile Systems	70%	73%	85%	87%	87%	87%	88%	
Total	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	
Operating Margin	**10.2%**	**10.0%**	**9.7%**	**10.9%**	**10.0%**	**10.3%**	**10.5%**	

- In Q2, Defense Systems sales increased 5% y-o-y to $2.09BB (+7% organic, +9% vs. our est) with segment profit down 38% to $156MM for 7.5% margins, down 525 bps y-o-y vs 12.7% in Q2:25 (-245 bps vs. our est of 9.9%).
- DS expanded 11% organic in 2025 at $8.0BB, with the 2026 guidance for mid-to-high-$8BB implying DD growth. We estimate 10% growth to $8.8BB in 2026 and a HSD CAGR from there, supported by Sentinel and incremental opportunities around battle management, missile systems, & ammunition, particularly given the relatively high short-cycle exposure, with growing international interest. Management noted H2 revenues are expected to step up by more than $700M driven by higher ammunition sales and production timing in the weapons portfolio as well as continued growth in Sentinel and IBCS.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

NOC: Program Acceleration Driving Increased Investment w/ Capex Ramping Through 2028E, Deployment Focused on Capacity Build Out Over Repos/Divis

FCF Walk - FCF At $3.3BB In 2026E On Higher Capex With Investments Ramping Through 2028E

	2022	2023	2024	2025	2026E	2027E
Net Income	$4,896	$2,056	$4,174	$4,182	$4,118	$4,304
Depreciation and Amortization	1,342	1,338	1,370	1,472	1,452	1,493
NWC	(321)	514	(869)	(304)	(158)	(116)
Pension Contribution	(100)	(139)	(129)	(130)	(130)	(130)
Stock Comp/Deferred Taxes/Other	(2,916)	106	(158)	(463)	(58)	17
CFO	**$2,901**	**$3,875**	**$4,388**	**$4,757**	**$5,224**	**$5,568**
Capex	(1,435)	(1,775)	(1,767)	(1,450)	(1,850)	(2,049)
FCF	**$1,466**	**$2,100**	**$2,621**	**$3,307**	**$3,373**	**$3,518**
FCF Per Share	**$9.42**	**$13.82**	**$17.79**	**$23.00**	**$23.67**	**$24.69**
Adjustments/Section 174 Add Back	(900)	(500)	(500)	0	200	200
Adjusted FCF	**$566**	**$1,600**	**$2,121**	**$3,307**	**$3,573**	**$3,718**
Deployment						
Dividends	($1,052)	($1,116)	($1,186)	($1,293)	($1,385)	($1,495)
Share Repurchases	(1,504)	(1,500)	(2,514)	(1,624)	(500)	0
Debt Paydown	0	(1,050)	0	(1,500)	(527)	0
Debt Issuance	0	1,995	2,495	998	0	0
Acquisitions	0	197	0	333	0	0
Total Deployment	**($2,556)**	**($1,474)**	**($1,205)**	**($3,086)**	**($2,412)**	**($1,495)**
Discretionary FCF (post pension contributions, dividends, and committed debt pay-down)	**($1,990)**	**($71)**	**$916**	**($112)**	**$1,162**	**$2,223**
Ratios						
FCF to Net Income Conversion	30%	102%	63%	79%	82%	82%
FCF Yield (FCF / Mkt Cap.)	2.1%	3.0%	3.7%	4.7%	4.8%	5.0%
FCF Yield ex-Pension (FCF / Mkt Cap	1.2%	2.7%	3.4%	4.4%	4.8%	5.0%
FCF Change	-32%	43%	25%	26%	2%	4%
Discretionary FCF Yield	-2.8%	-0.1%	1.3%	-0.2%	1.7%	3.2%
Discretionary FCF % Change YoY	-58%	-96%	-1390%	-112%	-1137%	91%
Dividend as a % of Net Income	21.5%	54.3%	28.4%	30.9%	33.6%	34.7%
Dividend Yield	1.5%	1.5%	1.5%	1.5%	1.5%	1.5%
Share Repo as % of Mkt Cap	2.1%	2.1%	3.6%	2.3%	0.7%	0.0%
% of Cash Returned to Shareholders	174%	125%	141%	88%	56%	43%
Capex as % of Sales	3.9%	4.5%	4.3%	3.5%	4.2%	4.4%

- In H1:26, NOC used $845MM of FCF vs $1.1BB in the prior year period driven by working capital usage. Nevertheless, management reaffirmed 2026 adjusted FCF guide of $3.1–$3.5BB (est/cons $3.3BB/$3.4BB) and capex of ~$1.85BB (+24% Y-o-Y from $1.45BB in 2025.
- Management reaffirmed that capex is expected to run at ~4.5% of sales in 2027 and 2028 to support B-21 production ramp infrastructure. Management noted operating cash flows have grown ~30% from 2023 through 2026, with 2027/2028 FCF outlook to be further refined through Q3 and Q4.
- We estimate FCF of $3.37BB in 2026 (guide of $3.1 to $3.5BB) +2% from 2025 levels with $400MM of incremental capex to $1.85BB (4.2% of sales vs 3.5% in 2025) supporting expanded B-21 production. We estimate FCF expands to $3.52BB/$3.75BB in 2027/2028 on $2.05/$2.15BB of capex.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

NOC: Income Statement

(millions, except per share data)	2021		2022		2023		2024		2025		2026E		2027E		2028E	
	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales
Total Revenues	**$35,667**	100.0%	**$36,602**	100.0%	**$39,290**	100.0%	**$41,033**	100.0%	**$41,954**	100.0%	**$44,077**	100.0%	**$46,572**	100.0%	**$48,796**	100.0%
Cost and Expenses																
Cost of Sales	26,271	73.7%	29,158	79.7%	32,628	83.0%	32,355	78.9%	33,038	78.7%	34,838	79.0%	36,634	78.7%	38,307	78.5%
General and Administrative	3,745	10.5%	3,843	10.5%	4,125	10.5%	4,308	10.5%	4,405	10.5%	4,628	10.5%	4,890	10.5%	5,124	10.5%
Total Operating Costs	**$30,016**	84.2%	**$33,001**	90.2%	**$36,753**	93.5%	**$36,663**	89.4%	**$37,443**	89.2%	**$39,466**	89.5%	**$41,524**	89.2%	**$43,431**	89.0%
Operating Profit	**$5,651**	15.8%	**$3,601**	9.8%	**$2,537**	6.5%	**$4,370**	10.6%	**$4,511**	10.8%	**$4,611**	10.5%	**$5,048**	10.8%	**$5,365**	11.0%
Interest Expense	(556)		(506)		(545)		(621)		(665)		(620)		(600)		(600)	
Net FAS (non-service) pension	1,469		1,505		530		656		541		665		640		640	
Other, net	2374		1236		-176		611		681		160		120		120	
Income before taxes	**$8,938**	25.1%	**$5,836**	15.9%	**$2,346**	6.0%	**$5,016**	12.2%	**$5,068**	12.1%	**$4,816**	10.9%	**$5,208**	11.2%	**$5,525**	11.3%
Taxes (rate %)	1,933	21.6%	940	16.1%	290	12.4%	842	16.8%	886	17.5%	698	14.5%	904	17.4%	966	17.5%
Net Income	**$7,005**	19.6%	**$4,896**	13.4%	**$2,056**	5.2%	**$4,174**	10.2%	**$4,182**	10.0%	**$4,118**	9.3%	**$4,304**	9.2%	**$4,559**	9.3%
Diluted Shares (millions)	161		156		152		147		144		143		143		143	
GAAP EPS	**$43.53**		**$31.47**		**$13.53**		**$28.34**		**$29.08**		**$28.90**		**$30.20**		**$32.00**	
Net Income	$7,005		$4,896		$2,056		$4,174		$4,182		$4,118		$4,304		$4,559	
MTM Expense	(2,355)		(1,232)		422		(443)		(527)		0		0		0	
MTM-Related Deferred State Tax Benefit/Other It	(996)		65		22		23		28		0		0		0	
Federal Tax Benefit	469		245		(84)		88		105		0		0		0	
After Tax MTM Expense	(2,882)		(922)		316		(332)		(394)		0		0		0	
MTM-Adjusted Net Earnings	$4,123		$3,974		$2,372		$3,842		$3,788		$4,118		$4,304		$4,559	
MTM-Adjusted EPS	**$25.63**		**$25.54**		**$15.61**		**$26.08**		**$26.34**		**$28.90**		**$30.20**		**$32.00**	

Source: Company data and Jefferies estimates

NOC: Cash Flow Statement

(millions, except per share data)	2021	2022	2023	2024	2025	2026E	2027E	2028E
Operating activities								
Net Earnings	$7,005	$4,896	$2,056	$4,174	$4,182	$4,118	$4,304	$4,559
Adjustments								
Depreciation and amortization	1,239	1,342	1,338	1,370	1,472	1,452	1,493	1,535
Stock-based compensation	94	99	87	101	119	100	100	100
Excess tax benefits from stock-based comp	0	0	0	0	0	0	0	0
Deferred income taxes	603	579	(488)	(82)	548	0	0	0
Changes in assets and liabilities								
Accounts receivable, net	(10)	(44)	54	182	(108)	(124)	(178)	(80)
Inventoried costs, net	(52)	(205)	(220)	(358)	97	(57)	(171)	(25)
Prepaid expense and other assets	66	2	(86)	35	8	334	(121)	(69)
Accounts payables and other liabilities	376	572	519	(513)	453	(463)	17	(13)
Income taxes payable	215	(279)	(658)	1,143	(559)	2	2	2
Retiree benefits	(3,446)	(2,461)	(308)	(382)	(471)	(360)	(285)	(285)
Pension contributions	(141)	(100)	(139)	(129)	(130)	(130)	(130)	(130)
Advance Payments/Other, net	(1,968)	46	1,973	(438)	(100)	0	0	0
Net cash from operating activities	**$3,567**	**$2,901**	**$3,875**	**$4,388**	**$4,757**	**$5,224**	**$5,568**	**$5,897**
Investing activities								
Capital expenditures	(1,415)	(1,435)	(1,775)	(1,767)	(1,450)	(1,850)	(2,049)	(2,147)
Acquisitions	0	0	197	0	333	0	0	0
Other, net	3,473	194	(4)	18	(38)	0	0	0
Net cash from investing activities	**$2,058**	**($1,241)**	**($1,582)**	**($1,749)**	**($1,155)**	**($1,850)**	**($2,049)**	**($2,147)**
Financing activities								
Common stock repurchases	(3,705)	(1,504)	(1,500)	(2,514)	(1,624)	(500)	0	0
Net proceeds from debt	0	0	1,995	2,495	998	0	0	0
Payments of debt	(2,236)	0	(1,050)	0	(1,500)	(527)	0	0
Cash dividends paid	(983)	(1,052)	(1,116)	(1,186)	(1,293)	(1,385)	(1,495)	(1,615)
Other, net	(44)	(7)	(38)	(132)	(94)	1	1	1
Net cash from financing activities	**($7,002)**	**($2,613)**	**($1,761)**	**($1,395)**	**($3,552)**	**($2,411)**	**($1,494)**	**($1,614)**
Increase in cash	**($1,377)**	**($953)**	**$532**	**$1,244**	**$50**	**$963**	**$2,024**	**$2,135**
Beginning cash	4,907	3,530	2,577	3,109	4,353	4,403	5,366	7,390
Ending cash	**$3,530**	**$2,577**	**$3,109**	**$4,353**	**$4,403**	**$5,366**	**$7,390**	**$9,525**

Source: Company data and Jefferies estimates

Palladyne AI Corp (PDYN)

Hold | Price Target: $7

Valuation Method	Price	Assumptions
EV/Sales	$7.00	4.2x EV/Sales on 2028 Sales of $66MM
PT	**$7.00**	

Valuation Table

	Ticker	JEF Rating	Stock Px 7/28/2026	Market Cap	Enterprise Value	P/E 2025	P/E 2026E	P/E 2027E	EV/SALES 2025	EV/SALES 2026E	EV/SALES 2027E	EV/EBITDA 2025	EV/EBITDA 2026E	EV/EBITDA 2027E	FCF Yield
AeroVironment	AVAV	Buy	$151.99	7,692	7,851	45.9x	46.9x	34.0x	4.0x	3.6x	3.1x	27.4x	24.3x	19.3x	1.9%
Kratos	KTOS	Buy	$47.59	8,924	7,916	86.5x	62.3x	44.6x	5.9x	4.5x	3.7x	66.0x	44.6x	32.5x	-0.1%
Redwire	RDW	Hold	$8.24	1,968	2,227	-3.6x	-9.5x	-15.6x	6.6x	4.7x	3.9x	N/A	-107.3x	450.1x	-1.8%
Average						**42.9x**	**33.2x**	**21.0x**	**5.5x**	**4.3x**	**3.6x**	**46.7x**	**-12.8x**	**167.3x**	**0.0%**
Siemens	SIEGY	Buy	$153.16	239,536	259,252	27.6x	24.5x	20.9x	2.8x	2.7x	2.5x	16.2x	15.1x	13.4x	4.9%
Rockwell Automation	ROK	Hold	$465.82	51,834	56,009	44.2x	35.8x	31.9x	6.7x	6.2x	5.9x	35.4x	26.3x	23.4x	3.1%
Teledyne	TDY	Buy	$647.13	29,998	32,275	29.4x	26.3x	24.3x	5.3x	4.9x	4.7x	21.5x	19.7x	18.3x	4.4%
Average						**36.8x**	**31.0x**	**28.1x**	**6.0x**	**5.6x**	**5.3x**	**28.4x**	**23.0x**	**20.8x**	**3.7%**
Palantir	PLTR	UP	$119.70	274,828	330,550	159.6x	82.1x	57.5x	73.9x	42.8x	29.4x	145.3x	71.1x	47.3x	2.2%
Nvidia	NVDA	Buy	$194.00	4,694,848	4,722,742	40.7x	21.6x	15.2x	21.9x	12.0x	8.4x	34.7x	17.8x	12.4x	6.0%
Meta Platforms	META	Buy	$592.95	1,302,145	1,565,426	25.2x	18.0x	16.9x	7.8x	6.2x	5.2x	12.8x	10.8x	9.0x	-1.4%
Average						**75.2x**	**40.6x**	**29.9x**	**34.5x**	**20.3x**	**14.3x**	**64.2x**	**33.2x**	**22.9x**	**2.3%**
Average						**38.8x**	**30.9x**	**23.3x**	**7.3x**	**5.4x**	**4.5x**	**33.5x**	**3.4x**	**92.4x**	**2.0%**
Palladyne AI	**PDYN**	**HOLD**	**$4.92**	**232**	**235**	**NM**	**NM**	**NM**	**44.9x**	**9.3x**	**5.0x**	**NM**	**NM**	**NM**	**NM**
Discount / Premium						**NM**	**NM**	**NM**	**518%**	**72%**	**10%**	**NM**	**NM**	**NM**	**NM**

Featured Notes:

- Customers Warming to Swarming, But Must Crawl Before You Walk | *May 6, 2026*
- Adding More Shots On Goal, But Keeping Differentiated AI Centering | *Mar 9, 2026*
- PATENTly Staying On Track W/New Partnerships in Place | *Nov 16, 2025*

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

Source: Company data, Jefferies estimates, FactSet

Palladyne AI Corp (PDYN): Proving and Then Scaling.

Quarterly Income Statement

$ in Thousands except per share data	2025					2026E				
	Q1	Q2	Q3	Q4	Year	Q1	Q2E	Q3E	Q4E	YearE
Total Revenues	**$1,710**	**$1,015**	**$860**	**$1,661**	**$5,246**	**$3,538**	**$4,048**	**$6,880**	**$10,769**	**$25,235**
COGS	353	474	461	1,402	2,690	2,473	2,672	4,059	6,218	15,422
Gross Profit	**1,357**	**541**	**399**	**259**	**2,556**	**1,065**	**1,376**	**2,821**	**4,551**	**9,813**
Research and Development	$2,870	$3,125	$3,146	$3,758	$12,899	$3,905	$3,724	$3,715	$3,797	$15,141
General and Administrative	4,199	4,179	4,138	4,683	17,199	6,877	6,882	6,949	7,051	27,759
Sales and Marketing	1,219	1,331	1,180	1,014	4,744	1,847	1,903	1,995	2,078	7,823
Intangible/Other	0	0	0	118	118	355	355	355	355	1,420
Total Operating Expenses	**$8,288**	**$8,635**	**$8,464**	**$9,573**	**$34,960**	**$12,984**	**$12,863**	**$13,014**	**$13,281**	**$52,143**
Operating Profit	**($6,931)**	**($8,094)**	**($8,065)**	**($9,314)**	**($32,404)**	**($11,919)**	**($11,487)**	**($10,193)**	**($8,730)**	**($42,330)**
Interest income, net	$442	$505	$566	$432	$1,945	$325	$350	$350	$350	$1,375
(Loss) gain on warrant liabilities	$29,248	$102	$3,759	$4,630	$37,739	($1,046)	$0	$0	$0	($1,046)
Other income, net	$0	$0	$0	$221	$221	$32	$0	$0	$0	$32
Earnings Before Tax	**$22,759**	**($7,487)**	**($3,740)**	**($4,031)**	**$7,501**	**($12,608)**	**($11,137)**	**($9,843)**	**($8,380)**	**($41,969)**
Taxes	($0)	$0	$0	$2,538	$2,538	$0	$0	$0	$0	$0
Net Income from Continuing Ops	**$22,759**	**($7,487)**	**($3,740)**	**($1,493)**	**$10,039**	**($12,608)**	**($11,137)**	**($9,843)**	**($8,380)**	**($41,969)**
Adj. Net Income	**$22,759**	**($7,487)**	**($3,740)**	**($1,493)**	**$10,039**	**($12,608)**	**($11,137)**	**($9,843)**	**($8,380)**	**($41,969)**
Adjusted Diluted EPS	**$0.55**	**($0.20)**	**($0.09)**	**($0.04)**	**$0.19**	**($0.28)**	**($0.23)**	**($0.21)**	**($0.17)**	**($0.89)**
Diluted shares (K)	41,068	37,746	40,487	42,330	42,126	45,070	47,500	48,000	48,500	47,268

- **Proving and Then Scaling.** Recent milestones point to the broad-based opportunity set and shots on goals operating with both software and hardware. This includes 2026 as a crawl year converting backlog to revenue and executing live demos and trials. This is expected to open up to 2027 as a walk year with broader SwarmOS and IntelliSwarm integration (invited to four or five major exercises) along with more IQ and BRAIN ($500K follow on award in the quarter) wins leading to running and delivering at scale. This is underscored by Palladyne AI operating as a differentiated AI centric defense and industrial company with now the benefit of hardware that can be combined with software to further enhance the offering. Key recent milestones include a successful swarm demonstration across multiple platforms from different manufacturers, the first active deployment of Palladyne IQ for a commercial customer along with ongoing customer engagements and invitations to live demonstrations. There are broadening oppties with GremlinX (loitering munition), introducing the product portfolio to space (work w/AFRL and Portal Space Systems) along with manufacturing capacity opening up new missile oppties.

Source: Company data and Jefferies estimates

Palladyne AI Corp (PDYN): Investing in the Business, But Keeping Cash To Scale.

Cash Flow Statement

$ in MM except per share data	2024	2025	2026E	2027E	2028E	2029E	2030E
Operating Activities							
Net loss	($72,617)	$10,039	($40,955)	($27,114)	($17,463)	($8,305)	$618
Stock-based compensation	2,805	4,447	5,000	5,000	5,000	5,000	5,000
Depreciation of property and equipment	825	974	2,733	2,229	2,128	2,312	2,447
Amortization of intangible assets	0	0	1,420	1,420	1,420	1,420	1,420
Change in fair value of warrant liabilities	46,935	(37,740)	1,192	0	0	0	0
Allowance for credit losses	285	0	0	0	0	0	0
Amortization of investment discount	(75)	(1,386)	(1,400)	0	0	0	0
Asset write-down	0	(2,365)	0	0	0	0	0
Change in W/C:							
Accounts Receivable	136	1,096	(459)	(370)	(755)	177	(569)
Unbilled Receivable	855	(960)	(69)	(303)	1,507	(322)	(380)
Inventories	994	0	(923)	(1,093)	(284)	177	(569)
Prepaid Expenses & Other Current Assets	1,048	(132)	(366)	(1,749)	(1,509)	355	(129)
Other Non-Current Assets	1,242	1,005	1,000	0	0	0	0
Accounts Payable	(819)	(708)	204	1,093	943	804	949
Accrued Liabilities	(3,164)	(904)	235	3,280	2,830	(50)	2,278
Other Non-Current Liabilities	(1,077)	(1,003)	(1,000)	0	0	0	0
Cash from Operations	**($22,627)**	**($27,637)**	**($33,387)**	**($17,608)**	**($6,183)**	**$1,569**	**$11,064**
Purchases of PP&E	($265)	($713)	($1,009)	($942)	($990)	($1,026)	($1,010)
Purchases of Marketable Securities	(8,859)	(75,563)	(16,760)	0	0	0	0
Maturities of Marketable Securities	16,000	57,000	45,400	0	0	0	0
Other/Acquisitions	0	(5,302)	0	0	0	0	0
Cash from Investing	**$6,876**	**($24,578)**	**$27,631**	**($942)**	**($990)**	**($1,026)**	**($1,010)**
Proceeds from Stock Options	$130	$74	$0	$0	$0	$0	$0
Shares Repurchased for Payment of Tax Withholding	(105)	0	0	0	0	0	0
Payment of Obligations Under Capital Leases	(3)	(20)	0	0	0	0	0
Proceeds from Issuance of Warrant	4,432	6,419	0	0	0	0	0
Proceeds from Issuance of Common Stock	20,028	36,371	20,000	10,000	0	0	0
Payments of Transaction Costs For Common Stock	(682)	(3,598)	0	0	0	0	0
Cash from Financing	**$23,800**	**$39,246**	**$20,000**	**$10,000**	**$0**	**$0**	**$0**
FX	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Total Cash Flow	**$8,049**	**($12,969)**	**$14,243**	**($8,550)**	**($7,173)**	**$544**	**$10,054**
Cash at Beginning of Period	$23,139	$31,188	$18,219	$32,462	$23,913	$16,740	$17,283
Cash at End of Period	**$31,188**	**$18,219**	**$32,462**	**$23,913**	**$16,740**	**$17,283**	**$27,337**

- **Investing in the Business, But Keeping Cash To Scale.** FCF usage of $10.3MM in Q1 highlighted timing and investments into the portfolio with a quarterly burn rate of $8 to $9MM expected in 2026 and $34MM usage expected for the year. The offset is Q1 cash and marketable securities of $44MM provides some buffer for investments back into the business. On our estimates FCF burn improves to $19MM in 2027, $7MM in 2028 and flips positive in 2029. Capex needs are expected to remain fairly modest, despite the addition of manufacturing capacity, with likely strong leverage for FCF on any upside and acceleration to revenue estimates.

Source: Company data and Jefferies estimates

Jefferies

Parsons (PSN)

Buy | Price Target: $52

Valuation Method	Price	Assumptions
EV/EBITDA	52	9.5x EV/EBITDA on 2027 EBITDA of $635MM
P/E	50	16.5x P/E on 2027 EPS of $3.00
FCF	53	8.0% FCF Yield on 2027 FCF of $458MM
Average	**$52**	**Blended Average**

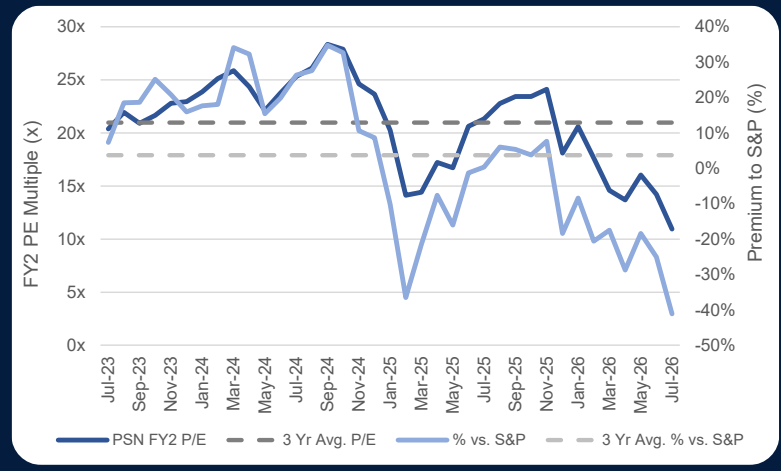
Valuation Table

	Ticker	JEF Rating	Stock Px 7/31/2026	Consensus BUY Rating	Market Cap	Enterprise Value	P/E 2026E	P/E 2027E	P/E 2028E	EV / SALES 2026E	EV / SALES 2027E	EV / SALES 2028E	EV / EBITDA 2026E	EV / EBITDA 2027E	EV / EBITDA 2028E	Yi Dividend
AECOM	ACM	N/C	$71.76	88%	9,223	11,790	12.0x	10.7x	9.4x	1.5x	1.4x	1.4x	9.2x	8.3x	7.7x	1.6%
CACI	CACI	Hold	$477.35	79%	10,545	16,038	17.0x	15.5x	13.6x	1.7x	1.5x	1.4x	14.1x	12.1x	11.2x	0.0%
Jacobs	J	N/C	$132.75	72%	15,675	18,628	18.4x	16.1x	14.1x	2.0x	1.8x	1.7x	13.3x	12.1x	11.2x	1.0%
KBR	KBR	N/C	$34.37	55%	4,358	6,857	8.7x	8.4x	8.7x	0.9x	0.8x	0.8x	6.8x	6.8x	7.2x	1.9%
Leidos	LDOS	Hold	$112.41	40%	14,140	20,845	9.1x	8.6x	7.8x	1.1x	1.1x	1.0x	8.4x	8.1x	7.7x	1.5%
SAIC	SAIC	Hold	$115.72	18%	4,892	7,655	11.4x	10.5x	9.3x	1.1x	1.1x	1.0x	10.3x	10.2x	9.9x	1.3%
Stantec	STN	N/C	$69.44	92%	7,921	9,508	15.8x	14.2x	11.7x	1.9x	1.8x	1.7x	10.5x	9.7x	9.1x	1.0%
Tetra Tech	TTEK	N/C	$32.45	70%	8,422	9,386	20.7x	18.8x	16.8x	2.2x	2.1x	2.1x	14.4x	13.5x	12.6x	0.8%
WSP Global	WSP-CA	N/C	C$167.16	100%	22,536	30,699	14.6x	12.7x	11.2x	1.9x	1.7x	1.6x	9.8x	8.9x	8.2x	0.9%
Average				68%			**14.2x**	**12.8x**	**11.4x**	**1.6x**	**1.5x**	**1.4x**	**10.8x**	**10.0x**	**9.4x**	**1.1%**
Parsons	**PSN**	**Buy**	**$43.17**	**69%**	**$4,611**	**$6,114**	**0.0x**	**0.0x**	**0.0x**	**1.0x**	**0.9x**	**0.9x**	**11.6x**	**9.6x**	**9.2x**	**0.0%**
Discount / Premium							**-100%**	**-100%**	**-100%**	**-39%**	**-37%**	**-36%**	**7%**	**-4%**	**-2%**	

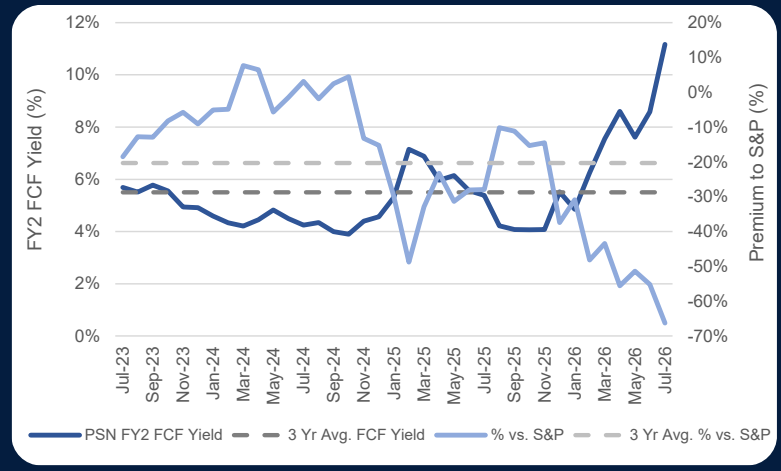
Featured Notes:

- Upgrade to Buy: When It Rains, It Pours, But There's Always Tomorrow | *August 2, 2026*
- Mgmt Mtg Takes: Mid East, Data Centers, FAA, C-UAS Oh | *July 8, 2026*
- On The Matt with Flattish Organic Growth | *May 3, 2026*

Trading at 11.0X FY2 P/E, 41% Disct to Mkt vs. Historical Avg Prem of 4%



Trading at 8.3X FY2 EV/EBITDA, 35% Disct to Mkt vs. Historical Avg Prem of 2%

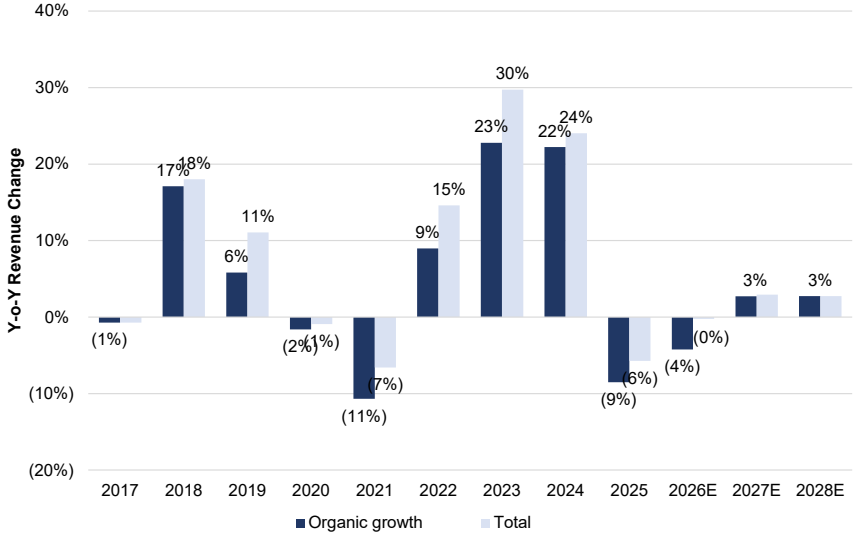


Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

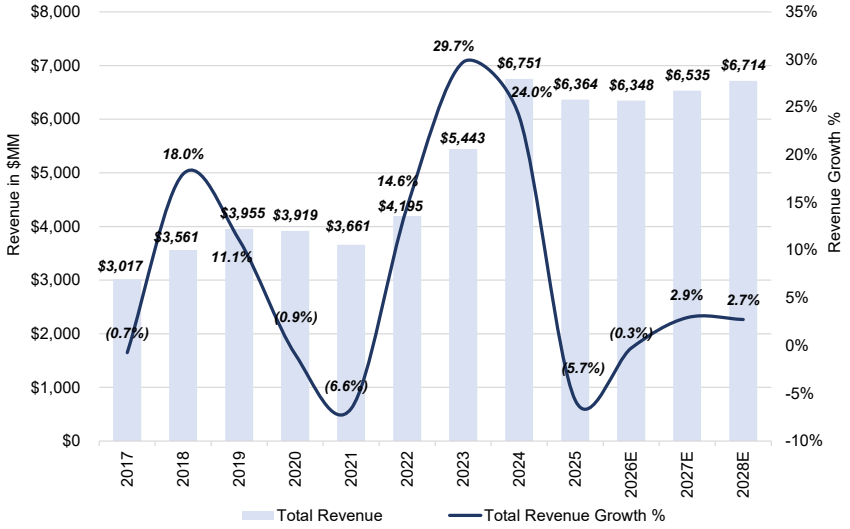
Source: Company data, Jefferies estimates, FactSet

PSN: Resetting the Revenue Bar to LSD vs Mgmt Guide of MSD

FY25/26 Organic Growth was Weighed Down by CP Headwinds. We Estimate PSN Returns to +LSD Organic Growth in FY27 as New Programs Ramp



PSN Total Revenues of $6.3BB in 2026E Grow to $6.7BB in 2028E

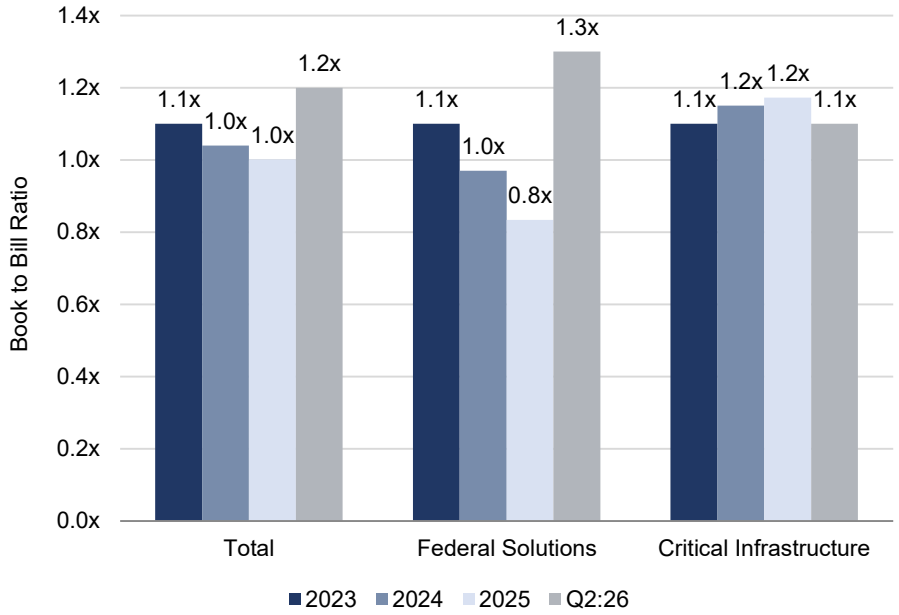


- Q2: Revenue of $1.6BB in Q2 decreased 1% y-o-y and 6% organically, although excluding the FS confidential contract and portfolio shaping actions, revenue increased 8% y-o-y and 3% organically, with year-ago contribution from the program peaking in Q3:24. By segment, Federal Solutions decreased 6% y-o-y and (down 14% organic) to $761MM, or ex-confidential, increased 11% y-o-y and 2% organically. Critical Infrastructure revenue increased 5% y-o-y and 4% organically to $815MM, with ME up 10% organically.
- Total awards of $1.9BB increased 26% y-o-y for Q2 book-to-bill of 1.2X (1.1X TTM), with backlog up 4% y-o-y to $9.3BB, including funded backlog up 5% y-o-y to $6.6BB (71% of total). This included 5 contract wins in excess of $100MM.
- We estimate $6.35BB (guide of $6.2 to $6.5BB) of revenues in 2026, ~flat y-o-y and -4% organically. Excluding the confidential contract, PSN top-line increases 5% total and +1.2% organically.

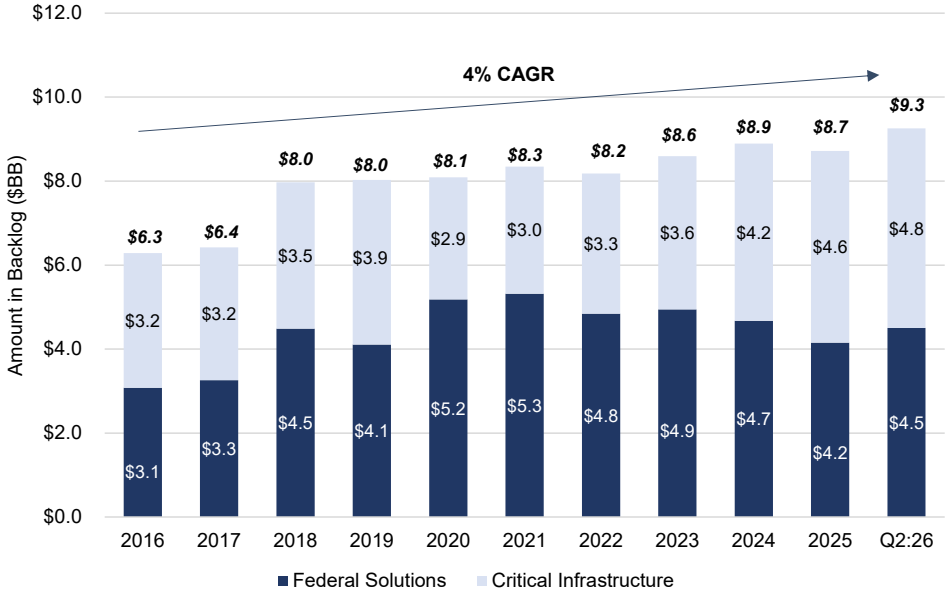
Source: Company data and Jefferies estimates

PSN: Resetting the Revenue Bar to LSD vs Mgmt Guide of MSD

Q2 Bookings +24% Y-o-Y with 1.2X B2B or 1.1X on a TTM Basis; $11BB of Unbooked Ceiling Value



PSN Backlog Growth: 4% CAGR Since 2016, Flat Sequentially from Q1:26



- PSN has a total backlog of $9.3BB (+4% y-o-y) of which $6.6BB (71%) is funded as of Q2:26, flat from Q1:26. Backlog split roughly 50-50 across Federal Solutions and Critical Infrastructure. CI contracts are typically 18 months compared to FS contracts over 5-10 years. There is $11BB of unbooked ceiling contract value with the opportunity pipeline standing at $55BB for the 11thth consecutive quarter of a >$50BB pipeline.
- PSN has demonstrated strong momentum w/ total awards of $1.9BB (+24% y-o-y) for a B2B of 1.2X in Q2 and 10 major program wins (8 in Federal Solutions, 2 in Critical Infrastructure) over $100MM since Q4:25.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

PSN: Resetting the Revenue Bar to LSD vs Mgmt Guide of MSD

Confidential Headwind (-5.4pts in '26) Keeps Total Rev Growth Essentially Flat in 2026 With Organic -4%

Contract	Award Date	Value ($MM)	Annual Sales ($MM)	2024	2025	2026E	2027E	2024 % of Growth	2025 % of Growth	2026E % of Growth	2027E % of Growth
Start Revenue				**$5,443**	**$6,751**	**$6,364**	**$6,348**				
Confidential Work	Apr-23	$750	$250	873	(973)	(345)	0	16.0%	-14.4%	-5.4%	0.0%
Middle East Projects	Sep-22	$220	$155	50	75	125	50	0.9%	1.1%	2.0%	0.8%
Faro Mine Remediation Project	Feb-22	$2,150	$60	15	20	7	0	0.3%	0.3%	0.1%	0.0%
Radford	Sep-21	$145	$50	30	50	10	0	0.6%	0.7%	0.2%	0.0%
Giant Mine	Feb-23	$4,000	$120	105	5	(40)	0	1.9%	0.1%	-0.6%	0.0%
CCMS	Apr-23	$109	$55	30	(150)	0	0	0.6%	-2.2%	0.0%	0.0%
GSA FEDSIM	Apr-23	$1,200	$240	50	160	0	10	0.9%	2.4%	0.0%	0.2%
Holston Army Plant	Apr-23	$164	$41	40	30	5	50	0.7%	0.4%	0.1%	0.8%
GSA CEOIS	May-21	$618	$124	40	30	15	0	0.7%	0.4%	0.2%	0.0%
Transportation	Apr-23	$127	$40	30	0	0	0	0.6%	0.0%	0.0%	0.0%
JFK (Port Authority)	Apr-23	$130	$43	50	(50)	(40)	0	0.9%	-0.7%	-0.6%	0.0%
Gateway	Feb-24	$175	$35	10	30	5	10	0.2%	0.4%	0.1%	0.2%
FAA	Apr-23	$1,800	$200	(60)	20	40	60	-1.1%	0.3%	0.6%	0.9%
Other NJ	Feb-24	$280	$56	20	30	5	0	0.4%	0.4%	0.1%	0.0%
Honolulu	Aug-24	$1,660	$33	17	63	35	15	0.3%	0.9%	0.5%	0.2%
Newark Air Train	Jan-25	$1,200	$40	0	50	55	15	0.0%	0.7%	0.9%	0.2%
King Abdullah Financial District	Aug-24	$45	$45	45	50	0	0	0.8%	0.7%	0.0%	0.0%
Georgia State Route 400	Aug-24	$4,600	$92	10	75	5	(20)	0.2%	1.1%	0.1%	-0.3%
ABAD Europe & Africa	Jul-21	$953	$95	0	30	55	15	0.0%	0.4%	0.9%	0.2%
MDA TEAMS	Jul-21	$2,240	$290	0	40	23	25	0.0%	0.6%	0.4%	0.4%
Tennessee I-55 Bridge	Mar-25	$793	$40	0	20	20	10	0.0%	0.3%	0.3%	0.2%
NASA	Jul-23	$130	$26	5	5	5	0	0.1%	0.1%	0.1%	0.0%
US Cyber Command	Feb-26	$750	$150	0	0	30	100	0.0%	0.0%	0.5%	1.6%
GARDAM	Mar-26	$145	$29	0	0	20	20	0.0%	0.0%	0.3%	0.3%
NAMO	Dec-25	$100	$40	0	0	40	20	0.0%	0.0%	0.6%	0.3%
Other New Business Wins				5	(25)	(340)	(175)	0.1%	-0.4%	-5.3%	-2.8%
Kwajalein Marshall Islands	Aug-19		$85	0	0	0	0	0.0%	0.0%	0.0%	0.0%
Other CI Projects				0	0	38	63	0.0%	0.0%	0.6%	1.0%
Total Ramping Contracts				**$1,365**	**-$415**	**-$228**	**$267**	**25.1%**	**-6.1%**	**-3.6%**	**4.2%**
Other Program Completions/Wins				(86)	(90)	(41)	(95)	-1.6%	-1.3%	-0.7%	-1.5%
Acquisitions				29	119	254	15	0.5%	1.8%	4.0%	0.2%
End Revenue				**$6,751**	**$6,364**	**$6,348**	**$6,535**	**24.0%**	**-5.7%**	**-0.3%**	**2.9%**
Organic Growth %				*23.5%*	*-7.5%*	*-4.2%*	*2.7%*				

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

PSN: Federal Solutions - Program Charges Weigh on 2026 Growth, but Return to +MSD Org Growth in 2027 w/ Growing Opportunity Pipeline

FS Revenue and Adj. EBTDA Sensitivity Implies EPS of $2.05 to $3.40 in FY27

Federal Solutions FY27 Adj. EBITDAMargin	Federal Solutions FY27 Organic Revenue Change							
$3.00	-15%	-12%	-9%	-6%	-3%	0%	3%	6%
7.0%	$2.05	$2.11	$2.17	$2.23	$2.29	$2.35	$2.41	$2.47
7.5%	$2.17	$2.24	$2.30	$2.37	$2.43	$2.50	$2.55	$2.62
8.0%	$2.30	$2.37	$2.44	$2.51	$2.57	$2.64	$2.70	$2.77
8.5%	$2.42	$2.49	$2.57	$2.64	$2.72	$2.79	$2.85	$2.92
9.0%	$2.54	$2.62	$2.70	$2.78	$2.86	$2.93	**$3.00**	$3.08
9.5%	$2.67	$2.75	$2.83	$2.91	$3.00	$3.08	$3.15	$3.23
10.0%	$2.79	$2.88	$2.96	$3.05	$3.14	$3.22	$3.30	$3.38

Assuming a 17X P/E, PSN Shares at $42 are Implying FS Rev's Decline -6% on 8.0% Adj. EBITDA Margins for $2.50 of FY27 EPS

Federal Solutions FY27 Adj. EBITDAMargin	Federal Solutions FY27 Organic Revenue Change							
$3.25	-15%	-12%	-9%	-6%	-3%	0%	3%	6%
7.0%	$35	$36	$37	$38	$39	$40	$41	$42
7.5%	$37	$38	$39	$40	$41	$42	$43	$45
8.0%	$39	$40	$41	$43	$44	$45	$46	$47
8.5%	$41	$42	$44	$45	$46	$47	$48	$50
9.0%	$43	$45	$46	$47	$49	$50	**$52**	$52
9.5%	$45	$47	$48	$50	$51	$52	$53	$55
10.0%	$47	$49	$50	$52	$53	$55	$56	$57

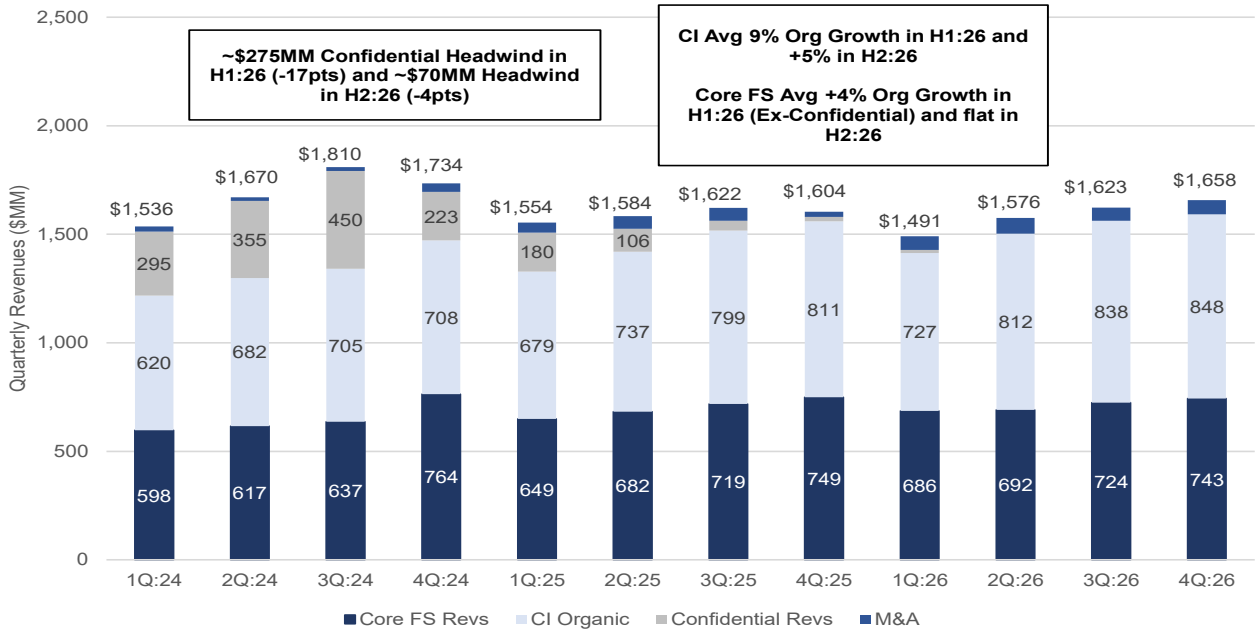
- We estimate FS revenues of $3.1BB in 2026, expected to contribute ~50% of total company sales, although this is down 3% y-o-y, but down 11% organically due to the CP, a $90MM H2:26 revenue headwind from federal contract timing, a protest on a new contract award, funding delays on recent wins, and $85MM of divestitures and charges.
- PSN's current ~$42 share price implies 17X FY27 EPS of $2.50 on FS revenue declines of -6% and Adj.EBITDA margins of 8.0% (vs our 9% est), with the stock currently trading at 13X our FY27E of $3.00 and 17X the $2.50 FY27E (below the 3Y avg. P/E of 21X).
- Assuming a 17X P/E, PSN's current share price of $42 is implying FS revenues decline -6% (vs est 3% growth) on 8.0% EBITDA margins (vs 9.0% est). Applying a 12X - 18X P/E to our EPS range of $2.05 - $3.40, implies a PSN share price of $25 - $60. PSN is currently trading at 14X our FY27E of $3.00, or 17X the implied $2.50 of FY27E EPS.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

PSN: Critical Infrastructure - Sustainable HSD Growth from Ramping North America & Middle East Projects

Critical Infrastructure Regional Split - FY25 Revenues 63% Weighted to North America, 37% to EMEA (Largely Middle East)



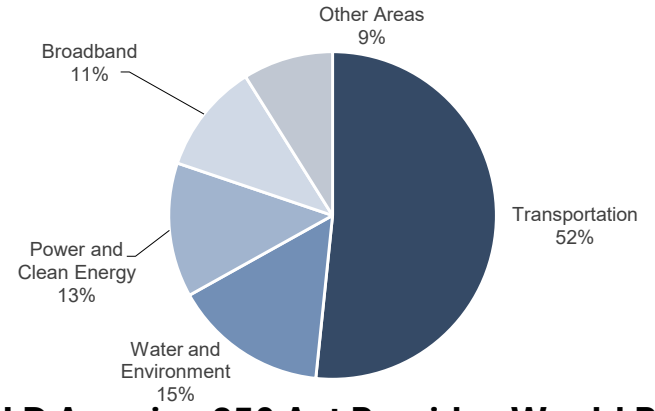
- Confidential Contract: PSN previously guided to a $345MM headwind from the confidential program for 2026 w/ ~$275MM of that in H1 and ~$70MM in H2. The confidential program generated an est ~$15MM in revenue in Q1:26 before ending in February. In Q1 core FS revenue grew 6% organically ex-CP (~$166MM y-o-y headwind, -20pts). In Q2, core FS revenue grew 2% organically ex-CP (~$106MM y-o-y headwind, -13pts), driving a total y-o-y headwind of ~$275MM to Federal Solutions in H1 (-16pts) w/ core FS organic growth at ~4%. We expect a ~$70MM y-o-y headwind in H2 (-4pts) from the confidential contract w/ core FS organic growth ~flat in H2. This drives core FS revenues to $2.85BB in 2026 or +2% organically excluding the confidential contract.

Source: Company data and Jefferies estimates

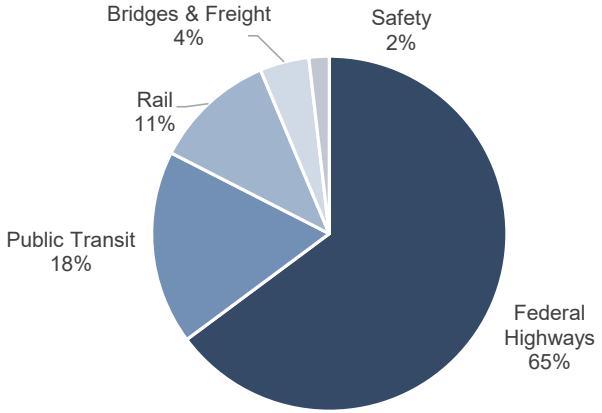
Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

PSN: Critical Infrastructure - LSD Growth from New Opportunities and Middle East Outperformance at Higher Margins

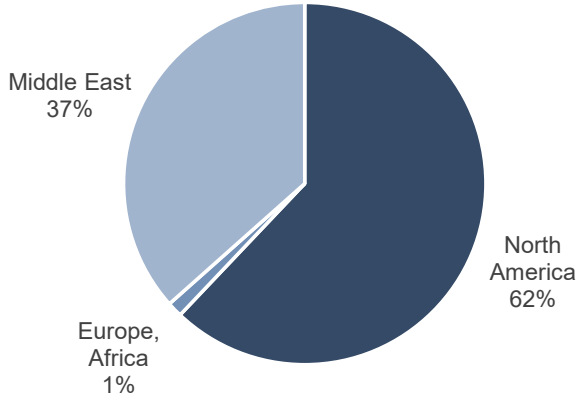
IIJA Provided $550BB of Infrastructure Funding from FY2022-2026, with Transportation the Largest at 52% of Total



Proposed BUILD America 250 Act Provides Would Provide $580BB to Critical Infrastructure Projects, Notably Roads and Bridges



Critical Infrastructure Regional Split - FY25 Revenues Weighted 62% to North America, 37% to the Middle East, and 1% to Europe and Africa



- The Critical Infrastructure portfolio is segmented into North America Infrastructure ($516MM in Q2 sales, +2% y-o-y) and Europe, Middle East & Africa Infrastructure ($299MM in Q2 sales, +10% y-o-y). Growth should be balanced in 2026 with both segments growing LSD, despite a rebound in Q2 in the Middle East growing 10% y-o-y organic for a 1.1X B2B in Q2. Mgmt specifically called out no disruption from the ongoing ME conflict, with no force majeure or insurance claims with business "pretty much as usual". Overall, we expect the region to grow 3% in 2026.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

PSN: Margins: A Q2 Shock and Awe - Assuming Normalized Performance From Here

Adj. EBITDA Bridge - Margins Decline to 8.3% in 2026E On Charges Before Recovering Towards DD Target By 2028E

	Q126	Q226	Q326E	Q426E	2021	2022	2023	2024	2025	2026E	2027E	2028E
Start Adj. EBITDA	**$149**	**$149**	**$158**	**$153**	**$605**	**$609**	**$529**	**$635**	**$663**	**$0**	**$0**	**$0**
Volume/Mix	(9)	(1)	0	8	(73)	88	187	196	(58)	(2)	28	27
IG&A	(24)	(8)	3	(1)	(28)	(20)	(93)	(85)	(61)	(30)	119	(12)
JV Income	7	(33)	(3)	7	7	(21)	(64)	24	26	(23)	(50)	-
M&A	9	11	9	9	24	31	44	15	28	38	2	-
Charges	-	(78)	-	-	-	-	-	-	-	(78)	-	-
Other	19	2	(5)	(3)	75	(158)	32	(122)	(598)	94	(100)	(15)
End Adj. EBITDA	**$151**	**$42**	**$163**	**$173**	**$609**	**$529**	**$635**	**$663**	**$0**	**$0**	**$0**	**$0**
% Adj. EBITDA Margin	*10.1%*	*2.7%*	*10.0%*	*10.4%*	*9.6%*	*8.1%*	*11.7%*	*9.8%*	*0.0%*	*0.0%*	*0.0%*	*0.0%*
Adj. EBITDA Ex-Charges	**$151**	**$161**	**$163**	**$173**	**$609**	**$529**	**$635**	**$663**	**$0**	**$119**	**$0**	**$0**
% Adj. EBITDA Margin Ex-Charges	*10.1%*	*10.1%*	*10.0%*	*10.4%*	*9.6%*	*8.1%*	*11.7%*	*9.8%*	*0.0%*	*1.9%*	*0.0%*	*0.0%*

Q2:26 Adj EBITDA includes a $40.9MM charge in a JV in CI and a $77.5MM loss on two contracts in FS combined create a -190bps headwind to 2026 margins

- 2026 Guidance: PSN lowered 2026 adj EBITDA guidance to $500-560MM (-13% y-o-y) vs prior $615-675MM entirely on the $118MM of charges in Q2. The updated guidance now implies margins decline -130 bps y-o-y to 8.3%. Q3 Adj EBITDA is expected at ~30% of the full-yr midpt of ~$530MM, implying ~$159MM at ~9.7% margins (flat y-o-y) w/ a sequential improvement in Q4. Q4 Adj EBITDA is implied at ~$178MM at ~10.7% (+110bps y-o-y).
- We estimate $529MM of adj. EBITDA in 2026 for 8.3% margins, factoring in FS adj. EBITDA of $208MM at 6.7% margins (-200bps y-o-y) and CI adj. EBITDA of $321MM for 9.9% margins (-50 bps y-o-y).
- In 2027E, adj. EBITDA increases 20% y-o-y to $635MM with 9.7% margins (vs consensus of 9.9%) on the absence of the $118MM of charges in 2026. We estimate 20bps of margin expansion to 9.9% in 2028E assuming no additional charges, approaching PSN's three-year target of DD margins. This is also supported by accretive M&A targets with >10% Adj. EBITDA target margins.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

PSN: FCF Declines 9% in 2026E On Lowered Earnings Outlook

Capital Allocation Optionality Supports Opportunistic M&A Activity

	2022	2023	2024	2025	2026E	2027E	2028E
Net Income	$127	$208	$291	$309	$349	$305	$330
Depreciation and Amortization	120	120	99	116	140	140	140
NWC Change	(103)	(103)	(86)	(147)	(173)	(55)	(55)
Stock Comp/Deferred Taxes/Other Change	94	183	220	200	148	148	148
CFO	$238	$408	$524	$478	$464	$538	$562
Capex	(31)	(40)	(49)	(68)	(90)	(80)	(80)
FCF	**$207**	**$367**	**$474**	**$410**	**$374**	**$458**	**$482**
FCF per Share	**$1.99**	**$3.50**	**$4.38**	**$3.79**	**$3.45**	**$4.23**	**$4.45**
Deployment							
(Distributions) / Equity Proceeds	($14)	($10)	($27)	($53)	($26)	($26)	($26)
Share Repurchases	(22)	(11)	(25)	(125)	(60)	(25)	(25)
Debt Paydown (Incl. Fees)	#VALUE!	#VALUE!	#VALUE!	#VALUE!	#VALUE!	#VALUE!	#VALUE!
Debt Issuance (Incl. Fees)	#VALUE!	#VALUE!	#VALUE!	#VALUE!	#VALUE!	#VALUE!	#VALUE!
Acquisitions / JV Investments	(379)	(222)	(429)	(145)	(330)	0	0
Total Deployment	**#VALUE!**	**#VALUE!**	**#VALUE!**	**#VALUE!**	**#VALUE!**	**#VALUE!**	**#VALUE!**
Discretionary FCF	**#VALUE!**	**#VALUE!**	**#VALUE!**	**#VALUE!**	**#VALUE!**	**#VALUE!**	**#VALUE!**
Ratios							
FCF to Adj. Net Income Conversion	109%	142%	135%	120%	139%	142%	139%
FCF Yield (FCF / Mkt Cap.)	#VALUE!	#VALUE!	#VALUE!	#VALUE!	#VALUE!	#VALUE!	#VALUE!
FCF YoY Change	12.2%	77.5%	29.2%	-13.5%	-9.0%	22.6%	5.3%
Discretionary FCF Yield	#VALUE!	#VALUE!	#VALUE!	#VALUE!	#VALUE!	#VALUE!	#VALUE!
Discretionary FCF % Change YoY	NM	NM	#VALUE!	#VALUE!	#VALUE!	#VALUE!	#VALUE!
Share Repo as % of Mkt Cap	#VALUE!	#VALUE!	#VALUE!	#VALUE!	#VALUE!	#VALUE!	#VALUE!
Capex as a % of Sales	0.5%	0.7%	0.7%	1.1%	1.4%	1.2%	1.2%

- Q2 CFO source of $58MM w/ capex of $16MM for FCF of $41MM. This drives YTD FCF generation of $23MM or only 6% of the mdpt of the updated implied FCF guide for 2026. Q2 operating cash flow was impacted by lower volume on the confidential contract, timing of customer payments in the Middle East and a ~$30MM investment in memory & storage chip inventory for high margin national security products such as JCHK.
- 2026 CFO guidance was lowered by $40MM (-8%) at the mdpt to $430-490MM (from $470-530MM) with capex of $90MM (~1.5% of sales vs 1.1% in 2025 on classified facilities investments) maintained. The $40MM reduction in operating cash flow guidance is due to a -$30MM impact from divestitures and charges and -$10MM from timing. Q3 cash from operations is expected at ~22.5% of the mdpt of the updated guide for ~$460MM, or ~$103MM w/ a sequential increase in Q4 implied at $302MM. Capex steps up in H2 in support of strategic growth and investments in classified facilities.
- This drives 2026 FCF of $340-400MM (down -10% from $380-440MM implied prior) and down 10% y-o-y vs $410MM in 2025. 2026 FCF conversion is still expected to be ~100% of adjusted Net Income (excluding the $118MM in pre-tax charges in Q2). We estimate 2026 FCF of $374MM (139% conversion; 119% ex-charges), increasing to $458MM in 2027 (142%).

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

PSN: Income Statement

(millions, except per share data)	2020		2021		2022		2023		2024		2025		2026E		2027E		2028E	
	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales
Total Revenues	**$3,919**	100.0	**$3,661**	100.0	**$4,195**	100.0	**$5,443**	100.0	**$6,751**	100.0	**$6,364**	100.0	**$6,348**	100.0	**$6,535**	100.0	**$6,714**	100.0
Costs and expenses																		
Costs of Revenues	3,042	77.6%	2,808	76.7%	3,249	77.4%	4,237	77.8%	5,344	79.2%	4,933	77.5%	4,933	77.7%	5,078	77.7%	5,217	77.7%
SG&A/JV Equity Earnings	738	18.8	720	19.7	761	18.1	918	16.9	978	14.5	1,013	15.9	1,066	16.8	1,009	15.4	1,009	15.0
Total Operating Costs	**$3,780**	96%	**$3,528**	96%	**$4,010**	96%	**$5,154**	95%	**$6,323**	94%	**$5,946**	93%	**$5,998**	94%	**$6,086**	93%	**$6,226**	93%
Operating Profit	**$139**	3.5%	**$132**	3.6%	**$186**	4.4%	**$288**	5.3%	**$428**	6.3%	**$418**	6.6%	**$350**	5.5%	**$449**	6.9%	**$489**	7.3%
Interest income	0.8		0.4		1.0		2.2		11.4		6.9		6.0		10.0		12.0	
Interest expense	(21.0)		(17.7)		(23.2)		(31.5)		(51.6)		(51.3)		(66.0)		(68.0)		(68.0)	
Other income, net	3.8		(2.6)		2.8		5.0		(20.3)		8.9		18.1		0.0		0.0	
(Interest and other expense) gain associated w/claim	0.0		0.0		0.0		0.0		0.0		0.0		0.0		0.0		0.0	
Income before taxes	**$122**		**$113**		**$166**		**$264**		**$368**		**$383**		**$308**		**$391**		**$433**	
Taxes (rate %)	42	34.7%	24	21.0%	40	23.9%	56	21.3%	77	20.9%	74	19.3%	77	24.9%	103	26.2%	103	23.7%
Non Controlling Interests	(20)		(25)		(30)		(47)		(56)		(68)		(60)		(60)		(60)	
Net Income	**$59**		**$64**		**$97**		**$161**		**$235**		**$241**		**$171**		**$228**		**$270**	
Diluted shares (millions)	101.2		112.5		104.0		105.0		108.4		106.8		107.9		107.1		107.1	
Diluted earnings per share (cont. ops)	**$0.59**		**$0.59**		**$0.87**		**$1.53**		**$2.17**		**$2.26**		**$1.59**		**$2.13**		**$2.52**	
Net Income attributable to Parsons	**$98.5**		**$64.1**		**$96.7**		**$161.1**		**$235.1**		**$241.1**		**$171.3**		**$245.1**		**$270.2**	
Acquisition related intangible asset amortization	87.8		103.2		78.2		76.6		55.6		69.6		90.0		68.0		68.0	
Litigation-related expenses	0.0		0.0		0.0		0.0		0.0		0.0		0.0		0.0		0.0	
Amortization of deferred gain resulting from sale-leaseback transact	0.0		0.0		0.0		0.0		0.0		0.0		0.0		0.0		0.0	
Equity based compensation	9.8		19.6		24.4		36.2		61.5		40.2		41.0		34.0		34.0	
Transaction-related costs	19.9		12.0		16.3		12.0		17.1		18.2		13.0		0.0		0.0	
Restructuring	2.2		0.7		0.2		1.2		0.0		2.7		0.0		0.0		0.0	
HCM software implementation costs	0.0		0.0		0.0		1.9		0.0		0.0		0.0		0.0		0.0	
Other	1.2		3.3		3.0		0.0		19.3		4.8		(15.0)		0.0		0.0	
Tax effect on adjustments	(27.6)		(32.6)		(29.5)		(30.6)		(35.8)		(33.2)		(31.0)		(24.8)		(24.2)	
Adjusted net income attributable to Parsons	191.8		170.3		189.2		258.5		352.7		343.4		269.4		322.3		348.0	
Adjusted EPS	**$1.90**		**$1.65**		**$1.81**		**$2.43**		**$3.26**		**$3.17**		**$2.50**		**$3.00**		**$3.25**	

Source: Company data and Jefferies estimates

PSN: Balance Sheet

(millions, except per share data)	2020	2021	2022	2023	2024	2025	2026E	2027E	2027E
Assets									
Cash and Cash Equivalents	$484	$343	$263	$273	$454	$466	$374	$731	$1,112
Restricted cash and investments	4	1	0	0	0	0	0	0	0
Accounts Receivable, Net	699	598	717	916	1,100	1,124	1,143	1,176	1,209
Contract assets	577	579	634	758	742	916	920	948	974
Prepaid Expenses and Other Current Assets	81	111	106	191	167	177	190	196	201
Total Current Assets	**$1,843**	**$1,632**	**$1,720**	**$2,138**	**$2,462**	**$2,684**	**$2,628**	**$3,051**	**$3,496**
Property and Equipment, Net	$121	$104	$96	$99	$112	$151	$166	$193	$220
Goodwill	1,262	1,413	1,662	1,793	2,083	2,187	2,187	2,187	2,187
Investments in and Advances to Unconsolidated Joint Ventures	69	111	107	128	139	149	149	149	149
Intangible and Other Assets	246	208	254	276	350	326	326	326	326
Deferred Tax Assets	130	134	138	140	133	88	88	88	88
Total Assets	**$3,938**	**$3,831**	**$4,198**	**$4,804**	**$5,488**	**$5,770**	**$5,729**	**$6,179**	**$6,651**
Liabilities & Shareholder's Equity									
Accounts Payable	$226	$196	$201	$243	$208	$251	$222	$196	$168
Accrued Expenses and Other Current Liabilities	651	599	630	801	894	884	794	817	839
Billings in Excess of Costs	0	0	0	0	0	0	0	0	0
Contract liabilities	202	172	213	301	290	340	317	327	336
Provision for Contract Losses	0	0	0	0	0	0	0	0	0
Provision for Contract Losses of Consolidated Joint Ventures	0	0	0	0	0	0	0	0	0
Income Taxes Payable	5	8	4	7	8	11	11	11	11
Term Loan	50	0	0	0	463	0	0	0	0
Total Current Liabilities	**$1,187**	**$1,031**	**$1,108**	**$1,411**	**$1,916**	**$1,532**	**$1,390**	**$1,396**	**$1,399**
Long-term Employee Incentives	$22	$16	$17	$23	$32	$31	$31	$31	$31
Deferred Gain Resulting from Sale-Leaseback Transactions	0	0	0	0	0	0	0	0	0
Revolver	0	0	0	0	0	0	0	0	0
Senior Notes	540	592	744	746	784	1,238	1,188	1,138	1,088
Deferred Tax Liabilities	12	11	12	10	11	12	12	12	12
Other Long-term Liabilities	315	244	221	238	211	189	189	189	189
Total Liabilities	**$2,076**	**$1,894**	**$2,102**	**$2,427**	**$2,953**	**$3,002**	**$2,810**	**$2,767**	**$2,720**

Source: Company data and Jefferies estimates

Redwire (RDW)

Hold | Price Target: $24

	Price	Assumptions
EV/Sales	24	7.0x 2028 EV/Sales
Average	**$24**	**Blended average**

Valuation Table

Comps	Ticker	JEF Rating	Stock Px 7/28/2026	Market Cap	Enterprise Value	P/E 2026E	P/E 2027E	P/E 2028E	EV / SALES 2026E	EV / SALES 2027E	EV / SALES 2028E	EV / EBITDA 2026E	EV / EBITDA 2027E	EV / EBITDA 2028E
Kratos	KTOS	Buy	$47.44	8,896	7,225	62.1x	44.4x	34.1x	4.1x	3.3x	2.8x	40.7x	29.7x	23.5x
Karman	KRMN	NC	$48.52	6,430	7,279	84.1x	52.7x	38.2x	9.9x	7.8x	6.2x	34.1x	25.8x	20.0x
Intuitive Machines	LUNR	NC	$12.20	1,958	3,053	NM	3253.3x	37.4x	3.3x	2.7x	2.2x	102.4x	43.4x	41.1x
Planet Labs	PL	NC	$19.63	6,535	6,539	NM	NM	171.8x	15.0x	11.5x	8.8x	NM	115.9x	52.8x
Rocket Lab	RKLB	NC	$61.42	36,737	36,171	NM	NM	196.7x	39.4x	27.5x	20.1x	NM	279.7x	118.0x
Aerovironment	AVAV	Buy	$150.13	7,598	7,598	46.3x	33.6x	25.9x	3.5x	3.0x	2.6x	23.5x	18.7x	15.1x
Average						**64.1x**	**846.0x**	**84.0x**	**12.5x**	**9.3x**	**7.1x**	**50.2x**	**85.5x**	**45.1x**
Redwire	**RDW**	**Hold**	**$8.23**	**$1,966**	**$1,674**	**NM**	**NM**	**NM**	**3.5x**	**2.9x**	**2.5x**	**NM**	**137.8x**	**42.9x**

Featured Notes:

- Downgrade to Hold: Cutting the Wire On Run Up Well Ahead of the Red | *June 1, 2026*
- Still in the Red, But Looking for Production Transition to Drive Results | *Mar 6, 2026*
- 20% Rev Guide Cut on Order Delays, But Drivers Unchanged Into 2026 | *Nov 7, 2025*

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

Source: Company data, Jefferies estimates, FactSet

RDW: Laying Out the Bull Case

Bull Case Scenario Leads to $28/Share Discounted Back

	2026	CAGR	2030
Space	$241	30%	$689
Defense Tech	$239	30%	$681
Revenue ($MM)	**$480**		**$1,371**
EBITDA ($MM)	**($13)**		**$206**
EBITDA Margin	-3%		15%
Current EV	**$3,833**		
EV/Sales Multiple	8.0x		5.0x
EV/Sales Implied EV			**$6,853**
Shares (MM)	194		194
Future Stock Price			$35.38
Discount Factor Back			6%
Current Value			**$28.03**

RDW Shares +223% on 144% Revenue Expansion

	12/31/2025	5/29/2026	YTD Performance	12/31/2025	5/29/2026
RDW	$7.60	$24.57	223%	3.8x	8.8x
LUNR	$16.23	$43.83	170%	7.7x	7.2x
PL	$19.72	$51.14	159%	15.8x	31.0x
BKSY	$18.75	$48.47	159%	5.1x	10.5x
FLY	$22.37	$46.49	108%	5.8x	9.9x
VOYG	$26.14	$49.53	89%	5.1x	8.2x
AVG			**151%**	**7.2x**	**12.6x**
SP50	**$6,846**	**$7,580**	**11%**	**3.8x**	**3.7x**

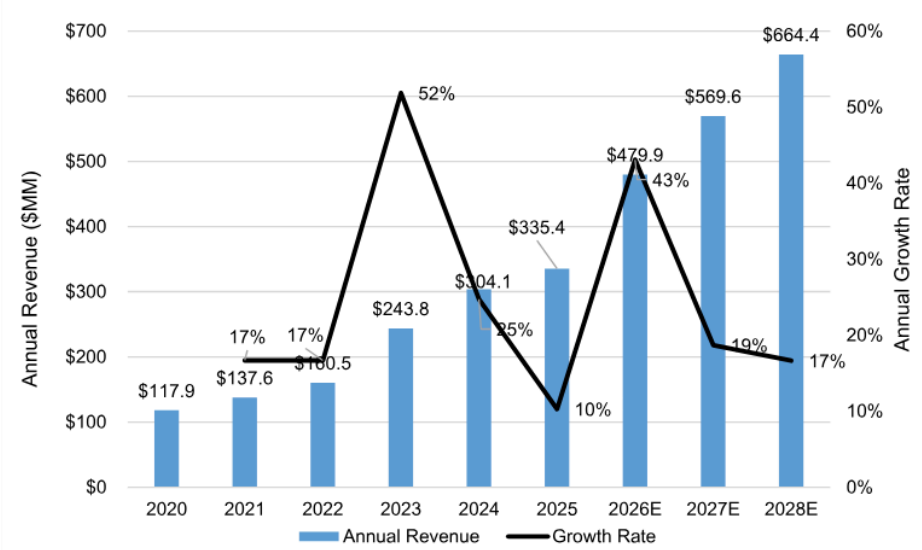
- In our view Redwire has the potential to be a steady high growth performer. Redwire is a potential beneficiary of AI (SpaceX calling out $26.5BB TAM) as a satellite content supplier and key enabler of in space technology from components such as antennas and power, but the potential impact is likely overstated.
- In our view a sustained 30% organic CAGR would be a bull case across Space and Defense Tech, which off of the 2026 base equates to ~$1.37BB of 2030 revs. Using a 5X rev multiple on 2030 revs implies $35/share, or $28/share discounted back to today implying limited NT upside vs. the current $26/share price

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

RDW: Re-energizing the Growth Algorithm

Revenue Ramp Driven by Pipeline Conversion



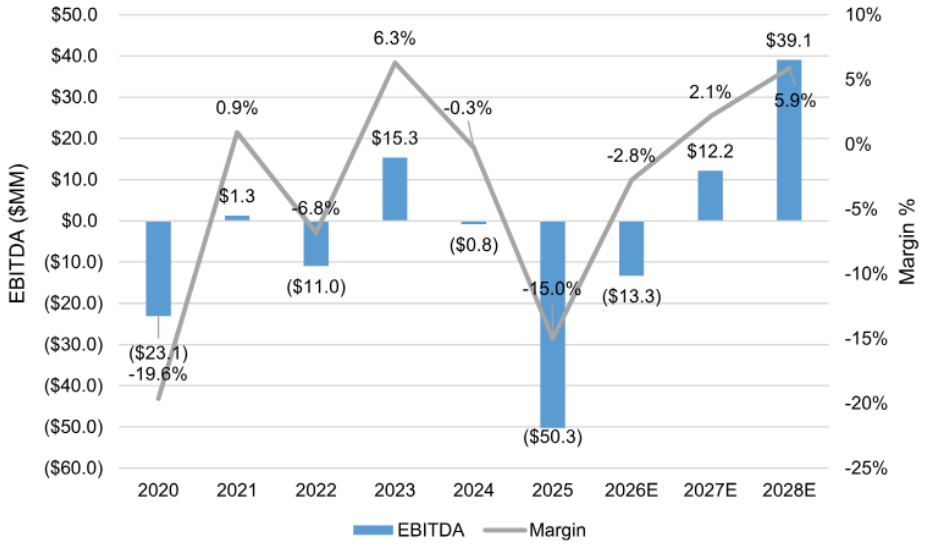
- Q1 revenues of $97MM were up 58% y-o-y including a $36.4MM contribution from Edge Autonomy with organic revenue down 1%. With orders continuing to inflect positively, revenue are expected to build through the year as backlog starts to convert.
- Orders have continued to accelerate in Q1 with Redwire at a 1.92X B2B (1.54X LTM) vs. the 1.32X for all of 2025. Q1 included a 2.18X B2B (1.42X LTM) in Space driven by ROSA/ELSA with Defense Tech at 1.62X (1.70X LTM) driven by Stalker and UAS. This supports some recovery in 2026 with revenues up 34 to 49% to $450MM to $500MM (unchanged), or 11 to 26% organically assuming a full year contribution from Edge Autonomy.
- Nonetheless, the growth strategy shifts with the addition of Edge Autonomy, with Redwire seeing five core areas for acceleration leveraging both the booked awards to date, but also the opportunities on order recapture.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

RDW: Working Toward EBITDA Stability

Exhibit 3 - Steadying EAC Losses and Working Toward Positive EBITDA in 2027



- Q1 profitability stayed negative, but did show signs of sequential improvement. EBITDA of a loss of $9.2MM was down from a loss of $2.3MM a year ago, but improved from Q4 EBITDA of a loss of $18.1MM. The biggest improvement was EACs which moderated to $1.1MM in the quarter supporting a recovery in gross margins to 26.6%. Redwire has pointed to the ultimate path is to move into production and lessen the pressure of EACs, which Q1 started to point to. The acquisition of Edge Autonomy does bring down the amount of programs exposed to the risk with increased point in time revenues.
- Going forward, Redwire has not offered Adjusted EBITDA guidance for the full year, but expects some level of stability going forward. The target is to be EBITDA positive ex IRAD. Although there likely remains some unpredictability, the opportunity set has not changed, which potentially could be recaptured and upside to 2026, with a preference to manage the business toward this capture/investments rather than a profit number, in our view.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

RDW: Income Statement

	2020		2021		2022		2023		2024		2025		2026E		2027E		2028E	
	dollars	% of sales	$ dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales
Total Revenues	**$118**	100.0	**$138**	100.0	**$161**	100.0	**$244**	100.0	**$304**	100.0	**$335**	100.0	**$480**	100.0	**$570**	100.0	**$664**	100.0
Cost Of Goods Sold	$86	72.8	$108	78.7	$132	82.1	$186	76.2	$260	85.4	$318	94.8	$355	74.0	$416	73.0	$478	72.0
Gross Profit	**$32**	27.2	**$29**	21.3	**$29**	17.9	**$58**	23.8	**$44**	14.6	**$17**	5.2	**$125**	26.0	**$154**	27.0	**$186**	28.0
Costs and expenses																		
R&D	3	2.7	5	3.3	5	3.1	5	2.0	9	3.0	20	5.9	64	13.3	51	9.0	53	8.0
SG&A	56	47.6	79	57.2	70	43.8	69	28.1	71	23.5	171	51.1	202	42.0	165	29.0	169	25.5
Transaction Expenses	42	35.6	16	11.9	100	62.2	0	0.0	6	2.0	56	16.7	0	0.0	0	0.0	1	0.2
Warrant Other	0	0.0	0	0.0	0	0.0	0	0.0	0	0.0	0	0.0	0	0.0	0	0.0	0	0.0
Total Operating Costs	**$101**	85.9	**$100**	72.4	**$175**	109.1	**$74**	30.2	**$87**	28.5	**$247**	73.6	**$265**	55.3	**$216**	38.0	**$224**	33.7
GAAP Operating Profit	**($69)**	-58.7	**($70)**	-51.0	**($146)**	-91.2	**($16)**	-6.4	**($42)**	-13.9	**($230)**	-68.5	**($141)**	-29.3	**($63)**	-11.0	**($38)**	-5.7
Interest Income	(0)		0		0		0		0		0		0		0		0	
Interest Expense	6		6		8		11		13		40		10		10		10	
Other Expenses	(1)		(4)		(16)		2		61		(18)		4		0		0	
Pre-Tax Income	(74)		(73)		(139)		(28)		(116)		(252)		(154)		(73)		(48)	
Taxes	(16)		(11)		(8)		(0)		(2)		(25)		(1)		(7)		(5)	
GAAP Net Income	**($59)**		**($62)**		**($131)**		**($27)**		**($114)**		**($227)**		**($154)**		**($65)**		**($43)**	
Diluted shares (millions)	59.7		45.1		62.2		64.7		66.1		119.5		196.4		198.4		200.4	
GAAP Diluted EPS	**($0.98)**		**($1.36)**		**($2.10)**		**($0.73)**		**($2.35)**		**($2.28)**		**($0.81)**		**($0.36)**		**($0.24)**	
Adjusted EBITDA	**($23.1)**		**$1.3**		**($11.0)**		**$15.3**		**($0.8)**		**($50.3)**		**($13.3)**		**$12.2**		**$39.1**	

Source: Company data and Jefferies estimates

RTX Corporation (RTX)

Buy | Price Target: $250

Valuation Method	Price	Assumptions
EV/EBITDA	234	21.0x EV/EBITDA on 2027 EBITDA of $16.4BB
P/E	246	30.0x P/E on 2027 EPS of $8.20
FCF	271	3.0% FCF Yield on 2027 FCF of $11.0BB
Average	**$250**	**Blended Average**

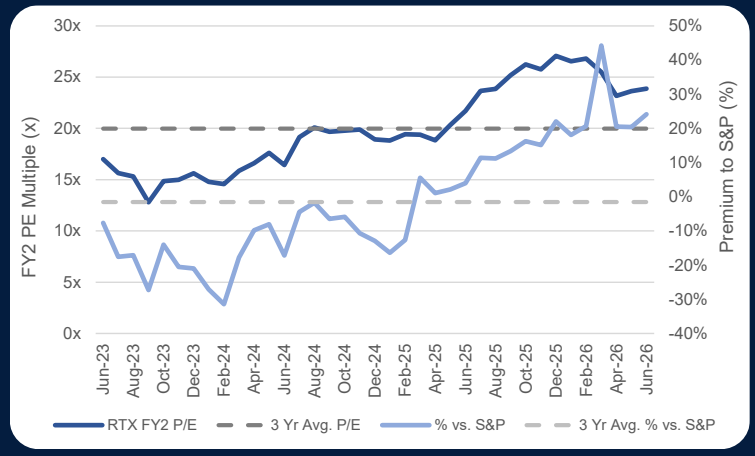
Valuation Table

	Ticker	JEF Rating	Stock Px 7/27/2026	Consensus BUY Rating	Market Cap	Enterprise Value	P/E 2026E	P/E 2027E	P/E 2028E	EV / SALES 2026E	EV / SALES 2027E	EV / SALES 2028E	EV / EBITDA 2026E	EV / EBITDA 2027E	EV / EBITDA 2028E	Yield Dividend	Yield FCF
BAE Systems	BA-GB	Hold	£19.98	53%	60,016	66,127	24.2x	21.1x	18.7x	2.0x	1.8x	1.7x	14.4x	13.0x	11.9x	1.8%	4.2%
General Electric	GE	Buy	$359.06	81%	372,547	381,467	45.5x	39.7x	35.0x	7.6x	6.9x	6.3x	31.7x	28.0x	25.0x	0.4%	2.6%
Honeywell Aerospace	HONA	Hold	$203.64	38%	64,530	79,616	22.9x	20.4x	18.1x	4.2x	3.9x	3.6x	15.9x	14.6x	13.4x	NM	4.3%
Lockheed Martin	LMT	Hold	$581.66	40%	134,242	151,169	19.2x	17.9x	16.6x	1.9x	1.8x	1.7x	13.4x	12.7x	12.1x	2.3%	5.0%
Northrop Grumman	NOC	Hold	$551.61	67%	78,363	93,294	19.1x	18.2x	16.8x	2.1x	2.0x	1.9x	15.1x	14.1x	13.2x	1.7%	4.3%
Safran	SAF-FR	Hold	€ 335.40	61%	140,313	140,436	32.9x	27.1x	24.0x	3.9x	3.6x	3.3x	18.1x	16.3x	14.9x	1.0%	3.6%
Thales	HO-FR	Buy	€ 244.00	55%	50,250	50,797	23.1x	19.9x	17.6x	2.1x	2.0x	1.8x	13.5x	12.2x	11.0x	1.6%	5.1%
TransDigm	TDG	Buy	$1,282.84	54%	71,754	100,104	32.0x	27.3x	23.8x	9.6x	8.8x	8.2x	18.5x	16.8x	15.4x	0.0%	3.6%
Woodward	WWD	Buy	$412.33	85%	24,568	26,321	43.8x	38.3x	32.2x	6.1x	5.6x	5.1x	29.1x	25.8x	22.2x	0.3%	2.1%
Average				53%			**29.2x**	**25.5x**	**22.5x**	**4.4x**	**4.0x**	**3.7x**	**18.8x**	**17.0x**	**15.4x**	**1.2%**	**3.9%**
RTX	**RTX**	**Buy**	**$217.90**	**71%**	**$293,677**	**$322,776**	**29.4x**	**26.6x**	**24.1x**	**3.4x**	**3.2x**	**3.0x**	**21.0x**	**19.7x**	**18.2x**	**1.3%**	**3.6%**
Discount / Premium							**1%**	**4%**	**7%**	**-24%**	**-22%**	**-20%**	**12%**	**16%**	**18%**		**9%**

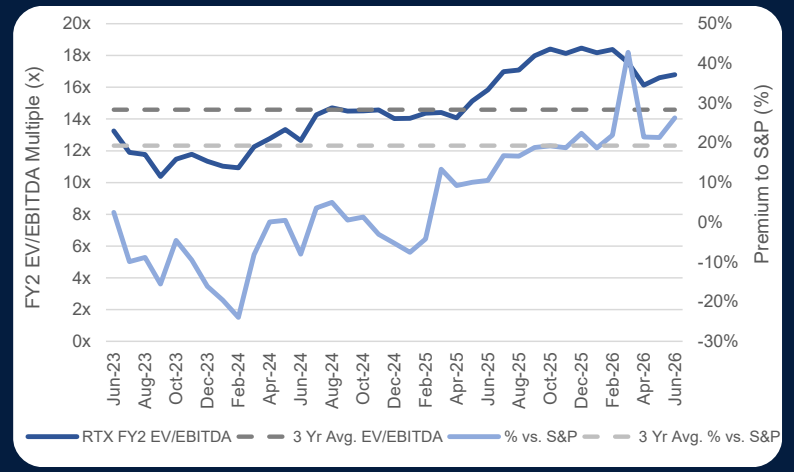
Featured Notes:

- Making Defense Great Again | *July 26, 2026*
- Raytheon Rebuttal: Upgrade Feedback | *June 8, 2026*
- Upgrade to Buy: In a Hot Section of the Market, RTX Now Taking Advantage | *Jun 4, 2026*
- Macro? What Macro? Raytheon Telling the Story with Aero Steady & On-Track | *Apr 26, 2026*

Trading at 23.9X FY2 P/E, 24% Prem to Mkt vs. Historical Avg Disct of 2%



Trading at 16.8X FY2 EV/EBITDA, 26% Prem to Mkt vs. Historical Avg Prem of 19%



Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

Source: Company data, Jefferies estimates, FactSet

RTX: Sales CAGR of 7% to 2028 with Segment Profit at 11% CAGR

RTX Sales CAGR of 7% in 2025-2028 with Segment Profits at 11% CAGR for >100 Bps of Margin Expansion to 13.2% in 2028 and 13.9% in 2030

	2023	2024	2025	2026	2027	2028	2029	2030	2025-2028 CAGR
Sales									
Collins Aerospace	$26,198	$28,284	$30,196	$32,444	$33,810	$35,791	$37,654	$39,337	5.8%
Pratt & Whitney	23,697	28,066	32,916	35,516	37,855	39,976	41,974	44,155	6.7%
Raytheon	26,350	26,783	28,043	30,823	33,445	36,371	39,179	41,756	9.1%
Eliminations & Other	(1,940)	(2,325)	(2,552)	(2,800)	(3,128)	(3,504)	(3,898)	(4,315)	11.1%
Adj. Net Sales	**$74,305**	**$80,808**	**$88,603**	**$95,983**	**$101,982**	**$108,633**	**$114,909**	**$120,933**	**7.0%**
% YoY Change	*10.8%*	*8.8%*	*9.6%*	*8.3%*	*6.3%*	*6.5%*	*5.8%*	*5.2%*	
% Organic	*11.3%*	*11.0%*	*11.3%*	*9.6%*	*6.6%*	*6.9%*	*6.1%*	*5.6%*	
Operating Profits									
Collins Aerospace	$3,896	$4,496	$4,893	$5,490	$5,941	$6,456	$6,975	$7,489	9.7%
Pratt & Whitney	1,688	2,281	2,725	3,020	3,270	3,634	3,978	4,408	10.1%
Raytheon	2,434	2,728	3,231	3,853	4,246	4,657	5,080	5,497	13.0%
Segment Profit	**$8,018**	**$9,505**	**$10,849**	**$12,363**	**$13,456**	**$14,747**	**$16,034**	**$17,394**	**10.8%**
% Margin	*10.5%*	*11.4%*	*11.9%*	*12.5%*	*12.8%*	*13.2%*	*13.5%*	*13.9%*	
Corporate & Other	877	678	540	495	307	262	218	172	
Consolidated Adj. Profit	**$8,895**	**$10,183**	**$11,389**	**$12,858**	**$13,763**	**$15,010**	**$16,251**	**$17,566**	**9.6%**
% Margin	*12.0%*	*12.6%*	*12.9%*	*13.4%*	*13.5%*	*13.8%*	*14.1%*	*14.5%*	
Adj EPS	**$5.06**	**$5.73**	**$6.29**	**$7.40**	**$8.20**	**$9.05**	**$9.85**	**$10.65**	**13%**
% YoY Change	6%	13%	10%	18%	11%	10%	9%	8%	

- RTX raised 2026 Adj Sales guide to $95.0-96.0BB (from $92.5-93.5BB), up 8-9% organically y-o-y (from up 5-6%). On a segment basis, this is driven by Collins +M-HSD total (from +MSD prior), P&W +HSD (from +MSD), and Raytheon +HSD-LDD (from +HSD). We have raised our total adj sales to $96.0BB in 2026, up 8.3% total y-o-y and +9.6% organically, driven by Collins +10.5% organically, Raytheon +9.8%, and P&W +7.8%.
- At the total RTX level, we estimate total adj sales increase at a 7.0% CAGR to $109BB in 2028 sales, driven by Collins and P&W at 6% and 7% CAGRs and Raytheon at a 9% CAGR. Segment profit increases at an 11% CAGR, driving segment margins to 13.2% in 2028 compared to 11.9% in 2025. This includes Collins margins improving to 18.0% in 2028 compared to 16.2% in 2025, P&W margins improving to 9.1% in 2028 compared to 8.3% in 2025, and Raytheon margins improving to 12.8% in 2028 compared to 11.5% in 2025.
- Our 2028 adj EPS estimate of $9.05 increases at a 13% CAGR from 2025.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

RTX: Collins Aerospace: Harnessing the Out-of-Warranty Aftermarket & Critical Defense Applications, with Operating Leverage on Higher OE Rates & Op Excellence

Collins Revenue Build - Organic CAGR of 7% in 2025-2028 Driven OE Build Rates and AM Out-of-Warranty Flight Hours Growth

	2022	2023	2024	2025	2026	2027	2028	2029	2030	2025-2028 CAGR
Sales										
Commercial OE	$7,047	$8,150	$8,193	$8,509	$9,622	$9,717	$10,597	$11,415	$12,006	7.6%
Commercial AM	7,475	9,600	10,798	12,078	13,015	13,796	14,486	15,211	15,971	6.2%
Military	8,529	8,502	9,292	9,608	9,806	10,296	10,708	11,029	11,360	3.7%
Adj. Net Sales	**$23,052**	**$26,253**	**$28,284**	**$30,196**	**$32,444**	**$33,810**	**$35,791**	**$37,654**	**$39,337**	**5.8%**
% Change										
Commercial OE	12%	16%	1%	4%	13%	1%	9%	8%	5%	
Commercial AM	29%	28%	12%	12%	8%	6%	5%	5%	5%	
Military	-6%	0%	9%	3%	2%	5%	4%	3%	3%	
Adj. Net Sales	**9.0%**	**13.9%**	**7.7%**	**6.8%**	**7.4%**	**4.2%**	**5.9%**	**5.2%**	**4.5%**	**5.8%**
% Organic	*10.1%*	*13.8%*	*8.0%*	*9.2%*	*10.5%*	*4.2%*	*5.9%*	*5.2%*	*4.5%*	*6.9%*
% Composition										
Commercial OE	31%	31%	29%	28%	30%	29%	30%	30%	31%	
Commercial AM	32%	37%	38%	40%	40%	41%	40%	40%	41%	
Military	37%	32%	33%	32%	30%	30%	30%	29%	29%	
Adj. Net Sales	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	

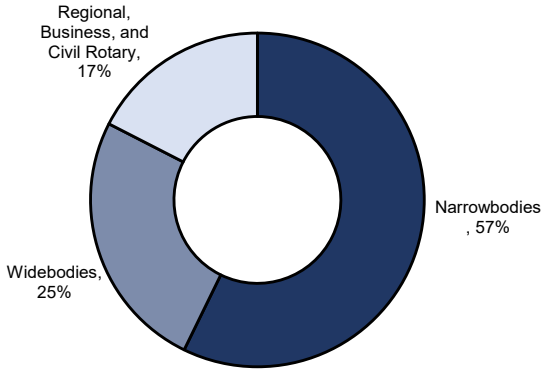
- Collins Aerospace revenues increased 8% total and 13% organically in Q2 to $8.2BB, with organic growth of +26% in Commercial OE, +10% in Commercial AM, and +7% in Defense.
- In 2025-2028, Collins sales increase at a 5.8% total CAGR and average organic CAGR of 6.9% to $35.8BB in sales. This is driven by a 7.6% total CAGR for Commercial OE, driven by build rate progression across OEMs, with a 6.2% CAGR for Commercial AM driven by out-of-warranty flight hours and the ability to expand the connected aviation & software portfolios. Defense increases at a 3.7% CAGR with growth in the areas of mission systems for in-production and future-generation military aircraft & end-to-end connected battlespace offerings in support of JADC2, resilient networks, command & control, and autonomy.

Source: Company data and Jefferies estimates

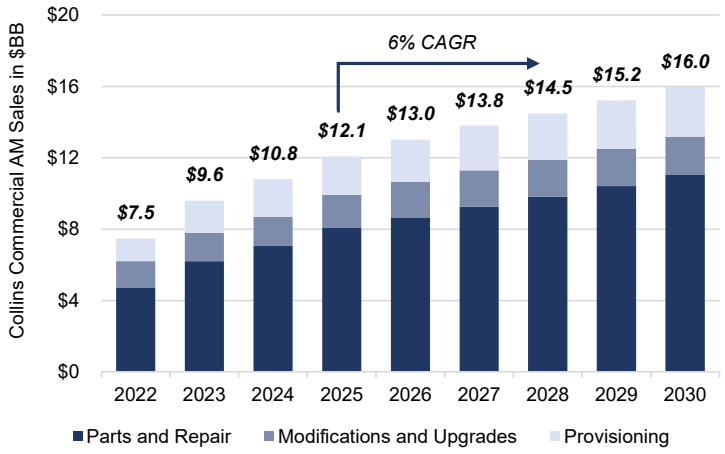
Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

RTX: Collins Aerospace: Narrowbody Exposure Supports Aftermarket Revenue Expansion

Collins Commercial OE Mix - 57% Narrowbodies vs 25% Widebodies and 18% Regional, Business Jet & Civil Helicopters



6% Aftermarket CAGR from 2025-2028 Driven by Parts & Repair Growth



- The Collins Commercial OE business increased 26% organically in Q2, with our estimates for 2026 sales of $9.6BB, up 13% y-o-y total and up 17% organically. The mix is approximately 57% single-aisle, 25% twin-aisle, and 18% regional, business aviation & civil rotary:
- We estimate narrowbody deliveries increase at an 11% CAGR from 2025-2028, driven by the ramps of the 737 from 30/mo in 2025 to 49/mo in 2028, the A220 from 7/mo in 2025 to 12/mo in 2028, and the A320neo family from 53/mo in 2025 to 69/mo in 2028. We estimate run-rate content of $2.5MM on the 737, $4.25MM on the A220, and $5.0MM on the A320, driving $5.1BB of single-aisle sales in 2025 at a 6% CAGR to $6.0BB in 2028.
- We estimate widebody deliveries increase at a 14% CAGR from 2025-2028, driven by ramps of the 787 from 6/mo in 2025 to 10/mo in 2028, the 777/777X from 2.5/mo in 2025 to 4/mo in 2028, the A350 from 5/mo in 2025 to 8/mo in 2028, and the A330 from 3.5/mo in 2025 to 4.5/mo in 2028. The largest content is tied to the 787 at an estimated run-rate of $12MM per shipset with content across the primary & secondary structures, the APU, landing gear, interiors, environmental controls and electrical systems. Content on the 777X is 3X the legacy variant and rivals the 787, while the A330 and A350 content is slightly lower given recent divestitures. Twin-aisle sales increase at a 15% CAGR from $1.8BB in 2025 to $2.7BB in 2028.
- Regional, Business & Civil Rotary: We estimate deliveries increase at a 4% CAGR from 2025-2028, primarily driven by regional jets compared to L-MSD growth for business jets and civil helicopters.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

RTX: Collins Aerospace: Narrowbody Exposure Supports Aftermarket Revenue Expansion

Collins Commercial OE Build - Delivery CAGR of 7.5% in 2025-2028 with Revenue Growing at 7.6% After Recent Divestitures

	2022	2023	2024	2025	2026	2027	2028	2029	2030	2025-2028 CAGR
Deliveries										
737	240	350	324	360	523	564	588	624	648	
A220	53	70	75	85	105	120	135	150	150	
A320 Family	516	620	636	680	700	725	793	854	863	
Narrowbodies	**809**	**1,040**	**1,035**	**1,125**	**1,328**	**1,409**	**1,516**	**1,628**	**1,661**	**10.5%**
747	5	1	0	0	0	0	0	0	0	
767	18	18	10	14	14	0	0	0	0	
777	27	24	26	30	38	38	48	48	60	
787	40	48	48	70	104	108	120	132	144	
A330	32	32	32	40	43	44	49	51	55	
A350	62	64	57	55	70	80	90	112	132	
A380	0	0	0	0	0	0	0	0	0	
Widebodies	**184**	**187**	**173**	**209**	**269**	**270**	**307**	**343**	**391**	**13.7%**
Regional Jets	90	85	107	104	113	130	145	150	155	
Business Jets	565	563	602	686	696	720	749	770	800	
Commercial Helicopters	643	702	724	743	764	821	849	875	875	
Regional, Business, and Civil Rotary	**1,298**	**1,350**	**1,433**	**1,533**	**1,573**	**1,671**	**1,743**	**1,795**	**1,830**	**4.4%**
Total Deliveries	**2,291**	**2,577**	**2,641**	**2,867**	**3,170**	**3,350**	**3,566**	**3,766**	**3,882**	**7.5%**
% Change	10.4%	12.5%	2.5%	8.6%	10.6%	5.7%	6.4%	5.6%	3.1%	
Content per Aircraft										
737	$2.5	$2.5	$2.5	$2.5	$2.5	$2.5	$2.5	$2.5	$2.5	
A220	$5.0	$5.0	$5.0	$5.0	$5.0	$4.3	$4.3	$4.3	$4.3	
A320 Family	$6.3	$6.3	$6.3	$5.5	$5.3	$5.0	$5.0	$5.0	$5.0	
Narrowbodies	**$5.1**	**$4.9**	**$5.0**	**$4.5**	**$4.1**	**$3.9**	**$4.0**	**$4.0**	**$4.0**	
747	$8.0	$8.0	$8.0	$8.0	$8.0	$8.0	$8.0	$8.0	$8.0	
767	$9.0	$9.0	$9.0	$9.0	$8.0	$8.0	$8.0	$8.0	$8.0	
777	$6.0	$6.0	$6.0	$6.0	$8.0	$10.0	$10.0	$10.0	$10.0	
787	$14.0	$14.0	$14.0	$12.5	$12.5	$12.0	$12.0	$12.0	$12.0	
A330	$5.0	$5.0	$5.0	$5.0	$4.5	$4.0	$4.0	$4.0	$4.0	
A350	$9.0	$9.0	$9.0	$7.5	$7.5	$7.0	$7.0	$7.0	$7.0	
A380	$6.0	$6.0	$6.0	$6.0	$6.0	$6.0	$6.0	$6.0	$6.0	
Widebodies	**$8.9**	**$9.2**	**$9.2**	**$8.6**	**$9.1**	**$8.9**	**$8.9**	**$8.9**	**$8.9**	
Regional Jets	$1.2	$1.2	$1.2	$1.2	$1.2	$1.2	$1.2	$1.2	$1.2	
Business Jets	$1.9	$1.9	$1.9	$2.0	$2.0	$2.0	$2.0	$2.0	$2.0	
Commercial Helicopters	$0.2	$0.2	$0.2	$0.2	$0.2	$0.2	$0.2	$0.2	$0.2	
Regional, Business, and Civil Rotary	**$1.0**	**$1.0**	**$1.0**	**$1.1**	**$1.1**	**$1.1**	**$1.1**	**$1.1**	**$1.1**	

Revenue										
737	$600	$875	$810	$900	$1,308	$1,410	$1,470	$1,560	$1,620	
A220	227	366	400	430	525	510	574	638	638	
A320 Family	3,225	3,875	3,975	3,740	3,675	3,625	3,965	4,270	4,315	
Narrowbodies	**$4,052**	**$5,116**	**$5,185**	**$5,070**	**$5,508**	**$5,545**	**$6,009**	**$6,468**	**$6,573**	**5.8%**
747	$40	$8	$0	$0	$0	$0	$0	$0	$0	
767	162	162	90	126	112	0	0	0	0	
777	162	144	156	180	304	380	480	480	600	
787	609	672	672	875	1,300	1,296	1,440	1,584	1,728	
A330	160	160	160	200	194	176	196	204	220	
A350	558	576	513	413	525	560	630	784	924	
A380	0	0	0	0	0	0	0	0	0	
Widebodies	**$1,691**	**$1,722**	**$1,591**	**$1,794**	**$2,435**	**$2,412**	**$2,746**	**$3,052**	**$3,472**	**15.3%**
Regional Jets	$108	$102	$128	$125	$136	$156	$174	$180	$186	
Business Jets	1,074	1,070	1,144	1,372	1,392	1,440	1,498	1,540	1,600	
Commercial Helicopters	122	140	145	149	153	164	170	175	175	
Regional, Business, and Civil Rotary	**$1,304**	**$1,312**	**$1,417**	**$1,645**	**$1,680**	**$1,760**	**$1,842**	**$1,895**	**$1,961**	**3.8%**
Commercial OE Revenue	**$7,047**	**$8,150**	**$8,193**	**$8,509**	**$9,622**	**$9,717**	**$10,597**	**$11,415**	**$12,006**	**7.6%**
% Change	12.2%	15.7%	0.5%	3.9%	13.1%	1.0%	9.0%	7.7%	5.2%	
% Composition										
Narrowbodies	58%	63%	63%	60%	57%	57%	57%	57%	55%	
Widebodies	24%	21%	19%	21%	25%	25%	26%	27%	29%	
Regional, Business, and Civil Rotary	19%	16%	17%	19%	17%	18%	17%	17%	16%	
Commercial OE	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

RTX: Collins Aerospace: Narrowbody Exposure Supports Aftermarket Revenue Expansion

Collins Profit Build - Profit CAGR of 10% in 2025-2028 with +180 Bps of Margin Expansion to 18.0% in 2028 from Cost-Out, Portfolio Optimization, and Connected Aviation Growth

	2022	2023	2024	2025	2026	2027	2028	2029	2030	2025-2028 CAGR
Starting Adj. Profit	**$2,420**	**$3,047**	**$3,896**	**$4,496**	**$4,893**	**$5,490**	**$5,941**	**$6,456**	**$6,975**	
Organic Volume & Price	679	936	694	606	640	420	515	526	510	
Commercial OE	150	(54)	5	0	71	9	106	123	89	
Commercial AM	935	1,063	420	490	435	312	310	326	342	
Military	(406)	(73)	269	116	135	98	99	77	79	
R&D	(40)	(85)	(91)	107	36	(19)	(39)	(31)	(21)	
Tariffs	0	0	0	(260)	(75)	0	0	0	0	
M&A & Divestitures	(12)	(2)	(3)	(56)	(64)	0	0	0	0	
Productivity & Other	0	0	0	0	60	50	40	25	25	
Incremental EBIT	**627**	**849**	**600**	**397**	**597**	**450**	**515**	**519**	**514**	
Ending Adj. Profit	**$3,047**	**$3,896**	**$4,496**	**$4,893**	**$5,490**	**$5,941**	**$6,456**	**$6,975**	**$7,489**	**9.7%**
% Margins	13.2%	14.8%	15.9%	16.2%	16.9%	17.6%	18.0%	18.5%	19.0%	183 bps
Commercial OE Incrementals	15%	-5%	5%	0%	5%	10%	12%	15%	15%	
Commercial AM Incrementals	55%	50%	35%	35%	40%	40%	45%	45%	45%	
Defense Incrementals	72%	NM	34%	17%	20%	20%	24%	24%	24%	
M&A & Divestitures Margins	24%	4%	17%	7%	7%	0%	0%	0%	0%	

- Collins Aerospace operating profit increased 10% y-o-y in Q2 to $1.37BB, up +$121MM y-o-y for margins of 16.7%, up 30 bps y-o-y with Incremental margins of 21%.
- The 2026 guide for Collins profits was raised to +$550-625MM y-o-y (from prior +$425-525MM), implying margins of 16.9% at the midpoint, up 70 bps y-o-y. This implies H2 margins of 16.9%.
- We estimate 2026 Collins profits up $597MM or 12% y-o-y to $5.49BB for margins of 16.9%, up 70 bps y-o-y, with incremental margins of 27%.

July Guidance Raise - Only 15% Incremental Margins on $750MM Sales Raise Due to Only MSD Incrementals on OE Growth Contribution to the Total

Collins	2025	April Guide	July Guide	Raise July vs. April	2026
Commercial OE	$8,509	$851	$1,376	$525	$9,622
Commercial AM	12,078	966	1,027	60	13,015
Defense	9,608	598	768	170	9,806
Adj. Net Sales	**$30,196**	**$2,416**	**$3,171**	**$755**	**$32,444**
% Organic Change		*+HSD*	*+HSD-LDD*		*7.4%*
Commercial OE (5% Incremental)				$26	
Commercial AM (50% Incremental				30	
Defense (30% Incremental)				56	
Adj. Op Profit	**$4,893**	**+$425-525**	**+$550-625**	**$113**	**$5,490**
% Margin / Incremental	16.2%	20%	19%	15%	16.9%

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

RTX: Pratt & Whitney: Putting Powder Metal in the Past with Unlock of Rightful Margins Over Time as Durability Issues are Solved For

Pratt & Whitney Revenue Build - Organic CAGR of 6.6% in 2025-2028 Driven by Aftermarket at 9%, Ahead of OE's 3.5% CAGR and Military's 6% CAGR

	2022	2023	2024	2025	2026	2027	2028	2029	2030	2025-2028 CAGR
Sales										
Commercial OE	$4,221	$5,131	$6,826	$7,736	$7,534	$8,111	$8,576	$8,852	$9,225	3.5%
Commercial AM	9,329	11,286	12,860	15,800	17,899	19,156	20,282	21,449	22,674	8.7%
Military	6,980	7,280	8,380	9,380	10,084	10,588	11,117	11,673	12,257	5.8%
Adj. Net Sales	**$20,530**	**$23,697**	**$28,066**	**$32,916**	**$35,516**	**$37,855**	**$39,976**	**$41,974**	**$44,155**	**6.7%**
% Change										
Commercial OE	26%	22%	33%	13%	-3%	8%	6%	3%	4%	
Commercial AM	22%	21%	14%	23%	13%	7%	6%	6%	6%	
Military	-3%	4%	15%	12%	8%	5%	5%	5%	5%	
Adj. Net Sales	**13.1%**	**15.4%**	**18.4%**	**17.3%**	**7.9%**	**6.6%**	**5.6%**	**5.0%**	**5.2%**	**6.7%**
% Organic	*13.7%*	*15.3%*	*18.5%*	*17.1%*	*7.8%*	*6.6%*	*5.6%*	*5.0%*	*5.2%*	*6.7%*
% Composition										
Commercial OE	21%	22%	24%	24%	21%	21%	21%	21%	21%	
Commercial AM	45%	48%	46%	48%	50%	51%	51%	51%	51%	
Military	34%	31%	30%	28%	28%	28%	28%	28%	28%	
Adj. Net Sales	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	

- Pratt & Whitney sales increased 16% in Q2 (17% org) to $8.9BB, with organic growth of +25% in Commercial AM and +23% in Military, while Commercial OE fell 8% as Large Commercial engine deliveries of 260 up 15% y-o-y were offset by mix, and PWC engine deliveries of 522, flat y-o-y.
- The 2026 guide is for P&W sales to increase +HSD (+MSD prior), with our 2026 P&W sales estimate up 7.8% organically to $35.5BB.
- Separately, we estimate P&W sales are 53% Large Commercial, 19% Pratt & Whitney Canada, and 28% Military in 2026E.
- In Q1, P&W delivered 732 Commercial engines, down 5% y-o-y from 768 in Q1:25, including 235 Large Commercial engines, down 6% y-o-y, and 497 PWC engines, down 4%.
- In 2025-2028, P&W sales increase at a 6.7% total CAGR driven by an 9% CAGR from Commercial AM through the GTF program and PWC, with a 3% CAGR for Commercial OE based on build rate assumptions and a 6% CAGR for Military primarily for the F135.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

RTX: Pratt & Whitney: Putting Powder Metal in the Past with Unlock of Rightful Margins Over Time as Durability Issues are Solved For

P&W Commercial OE Build - Large Commercial Revenue CAGR of 3% on Delivery CAGR of 6% with Pricing Increases on GTF-A/HSP Offset by Spares Mix

	2022	2023	2024	2025	2026	2027	2028	2029	2030	2025-2028 CAGR
Deliveries										
GTF New-Build	610	744	757	833	885	975	1,025	1,060	1,100	
GTF Spares	102	131	239	222	225	225	225	215	200	
GTF	712	875	996	1,055	1,110	1,200	1,250	1,275	1,300	5.8%
V2500	0	0	0	0	0	0	0	0	0	
JT8D	0	0	0	0	0	0	0	0	0	
PW4000	0	0	0	0	0	0	0	0	0	
GP7200	0	0	0	0	0	0	0	0	0	
Large Commercial	**712**	**875**	**996**	**1,055**	**1,110**	**1,200**	**1,250**	**1,275**	**1,300**	**5.8%**
% Change	14.3%	22.9%	13.8%	5.9%	5.2%	8.1%	4.2%	2.0%	2.0%	
P&W Canada	**1,965**	**2,063**	**2,078**	**2,126**	**2,175**	**2,200**	**2,225**	**2,250**	**2,275**	**1.5%**
% Change	7.7%	5.0%	0.7%	2.3%	2.3%	1.1%	1.1%	1.1%	1.1%	
Total Deliveries	**2,677**	**2,938**	**3,074**	**3,181**	**3,285**	**3,400**	**3,475**	**3,525**	**3,575**	**3.0%**
% Change	9.4%	9.7%	4.6%	3.5%	3.3%	3.5%	2.2%	1.4%	1.4%	
Average Selling Price										
GTF New-Build	$2.8	$3.0	$3.2	$3.8	$3.5	$3.8	$4.0	$4.2	$4.5	
GTF Spares	$10.0	$10.5	$11.5	$12.5	$11.5	$11.0	$10.5	$10.0	$10.0	
GTF	$3.8	$4.1	$5.2	$5.6	$5.1	$5.1	$5.2	$5.2	$5.3	-2.6%
V2500										
JT8D										
PW4000										
GP7200										
Large Commercial	**$3.8**	**$4.1**	**$5.2**	**$5.6**	**$5.1**	**$5.1**	**$5.2**	**$5.2**	**$5.3**	**-2.6%**
P&W Canada	**$0.8**	**$0.7**	**$0.8**	**$0.9**	**$0.9**	**$0.9**	**$1.0**	**$1.0**	**$1.0**	**3.2%**
Total Average Content	**$1.6**	**$1.7**	**$2.2**	**$2.4**	**$2.3**	**$2.4**	**$2.5**	**$2.5**	**$2.6**	**0.5%**
Revenue										
GTF New-Build	$1,708	$2,232	$2,422	$3,124	$3,098	$3,656	$4,100	$4,452	$4,950	
GTF Spares	1,020	1,376	2,749	2,775	2,588	2,475	2,363	2,150	2,000	
GTF	$2,728	$3,608	$5,171	$5,899	$5,685	$6,131	$6,463	$6,602	$6,950	3.1%
V2500										
JT8D										
PW4000										
GP7200										
Large Commercial	**$2,728**	**$3,608**	**$5,171**	**$5,899**	**$5,685**	**$6,131**	**$6,463**	**$6,602**	**$6,950**	**3.1%**
% Change		32.2%	43.3%	14.1%	-3.6%	7.8%	5.4%	2.2%	5.3%	
P&W Canada	**$1,493**	**$1,524**	**$1,655**	**$1,837**	**$1,849**	**$1,980**	**$2,114**	**$2,250**	**$2,275**	**4.8%**
% Change		2.0%	8.6%	11.0%	0.6%	7.1%	6.8%	6.4%	1.1%	
Commercial OE Revenue	**$4,221**	**$5,131**	**$6,826**	**$7,736**	**$7,534**	**$8,111**	**$8,576**	**$8,852**	**$9,225**	**3.5%**
% Change		21.6%	33.0%	13.3%	-2.6%	7.7%	5.7%	3.2%	4.2%	
% Composition										
Large Commercial	65%	70%	76%	76%	75%	76%	75%	75%	75%	
Pratt & Whitney Canada	35%	30%	24%	24%	25%	24%	25%	25%	25%	
Commercial OE	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	

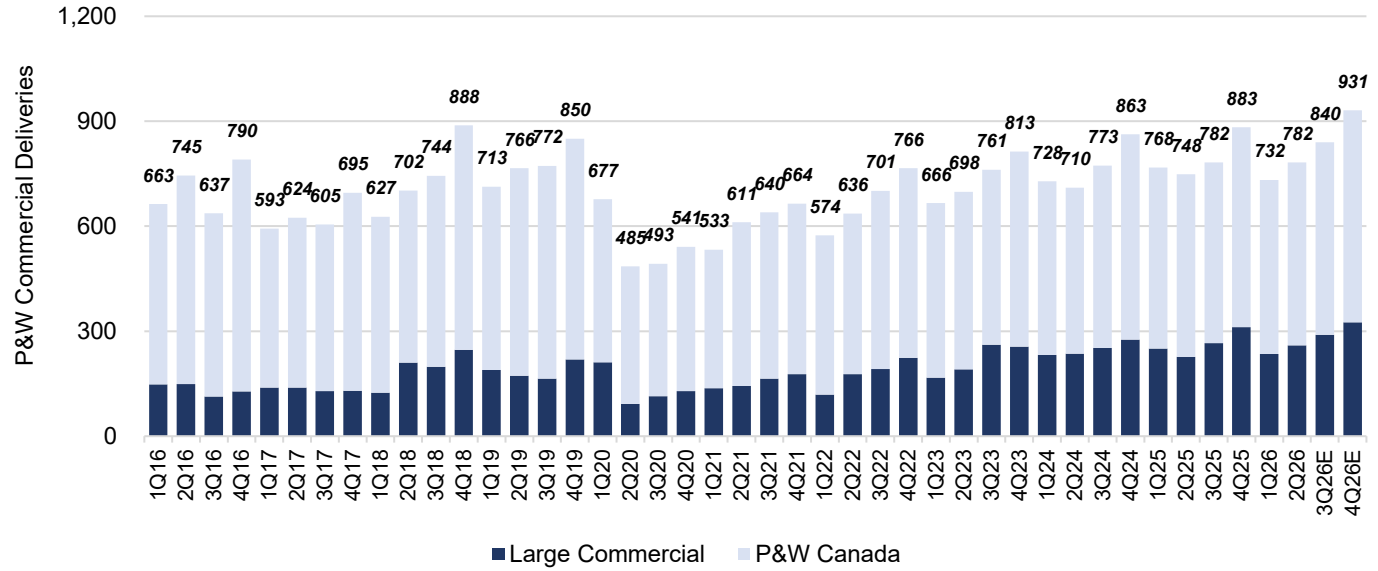
- The P&W Commercial OE business declined 8% in Q2, with our estimates for 2026 sales of $7.5BB, down 3% y-o-y vs the guide of down LSD. The mix is approximately 75% Large Commercial and 25% Pratt & Whitney Canada.
- In 2025-2028, we estimate GTF deliveries increase at a 6% CAGR to 1,250 deliveries in 2028 with further growth to 1,300 in 2030. The spares ratio falls to 18% in 2028 and 15% in 2030, assuming new-build deliveries of 1,025 in 2028 and 1,100 in 2030, supporting new-build production of 43/mo and 46/mo, respectively. PWC deliveries increase at a 2% CAGR to 2028, with total Commercial deliveries at a 3% CAGR in 2025-2028.
- We assume GTF new-build selling prices increase over the period to ~$4MM in 2028, while spare engine prices normalize toward ~$10MM, driving 1% per year ASP declines. PWC pricing increases at a 3% CAGR toward ~$1MM per engine in 2028 as mix improves.
- Commercial OE revenues increase at a 3% CAGR to $8.6BB in sales in 2028 and $9.2BB in 2030, driven by Large Commercial at a 3% CAGR and PWC at a 5% CAGR.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

RTX: P&W: Putting Powder Metal in the Past with Unlock of Rightful Margins Over Time as Durability Issues are Solved For

Commercial Engine Deliveries - Q2:26 Deliveries Included 260 Large Commercial (+15% Y-o-Y) and 522 P&W Canada (~Flat Y-o-Y)



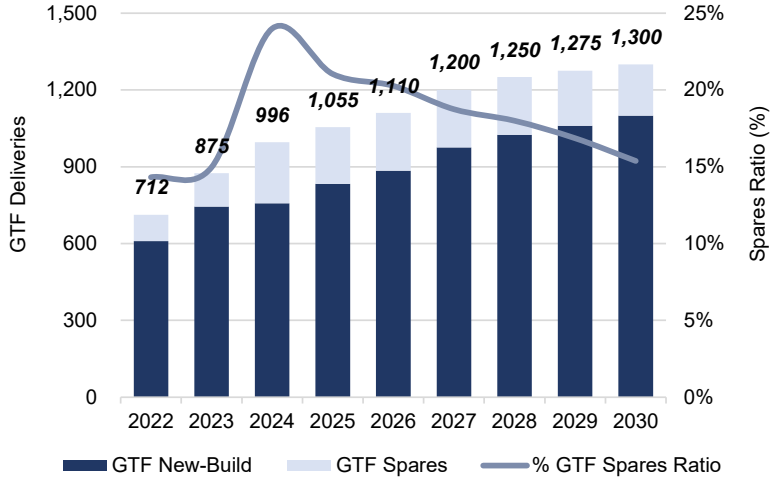
- In Q2, P&W delivered 782 Commercial engines, up 5% y-o-y from 748 in Q2:25, including 260 Large Commercial engines, up 15% y-o-y, and 522 PWC engines, flat y-o-y.
- We estimate 2026 Commercial engine deliveries of 3,285, up 3.3% from 3,181 in 2025, including 1,110 Large Commercial engines, up 5% y-o-y compared to the guide +M-HSD, and 2,175 PWC engines, up 2% y-o-y. The Q2 deliveries represent 23% of our full-year Large Commercial delivery estimate and 24% of our full-year PWC delivery estimate.
- Our 2026 deliveries are 6% above the 2019 peak of 3,101 engines, including Large Commercial engines 42% above the 2018 peak of 779 as compared to PWC engines 8% below the 2019 peak of 2,355.

Source: Company data and Jefferies estimates

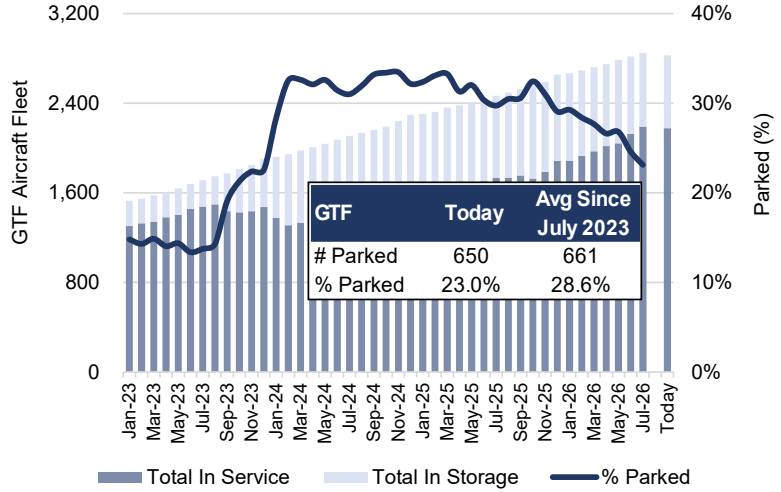
Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

RTX: P&W: Putting Powder Metal in the Past with Unlock of Rightful Margins Over Time as Durability Issues are Solved For

GTF Delivery Build - Spares Ratio Peaked at Mid-20% in 2024 with 2026 at ~20% as Deliveries Increased +M-HSD with Absolute Spare Engines Holding Flattish



GTF Aircraft-on-Ground - Late July AOG Curve at ~23% of the Fleet Compared to Average of 29% Since July 2023 Incident; At 650 AOGs vs Fleet Plan Target Average of ~350 from 2024-2026



- RTX entered the GTF fleet management plan with a parked fleet rate of 10% given high MRO turnaround times due to material constraints, with heavier workscopes for the plan further creating MRO congestion. From July 2023 to today, the average AOGs stand at 661 aircraft at 29% of the fleet, compared to the most recent July 2026 data at 650 AOGs at 23% of the fleet parked. Mgmt noted AOGs declined 25% in 2026 YTD.
- RTX expects to hold the total number of spare engines flat moving forward, with the spare ratios to decline as output growth is driven to new-build. We model the spare engine ratio falling to 18% in 2028 and 15% in 2030, with partner MTU stating the long-term spares ratio is likely to remain elevated vs the traditional ~10% model given the operating environments in which these engines are being utilized.
- The GTF Advantage program is expected to deliver 4-8% more takeoff thrust than its predecessor and increase the robustness of time-on-wing by 2X through fully redesigned life-limited parts & technology enhancements along the gas path.

Source: Company data and Jefferies estimates

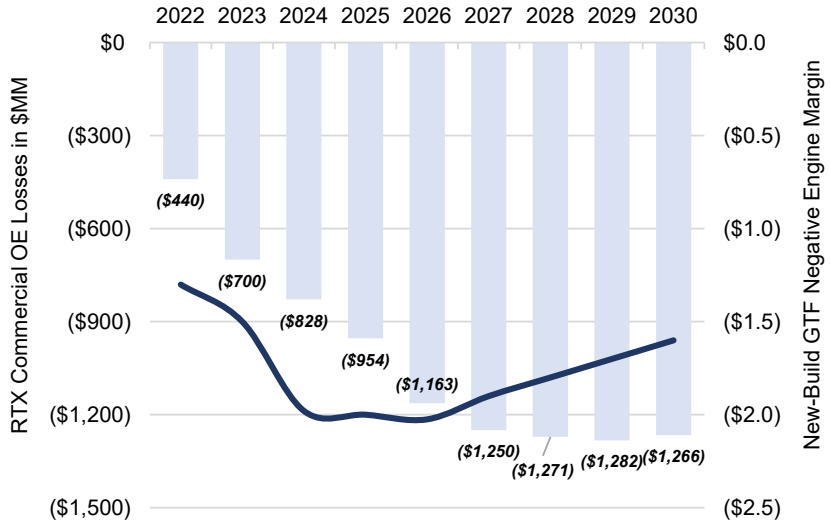
Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

RTX: P&W: Putting Powder Metal in the Past with Unlock of Rightful Margins Over Time as Durability Issues are Solved For

P&W Commercial OE Profit Build

	2022	2023	2024	2025	2026	2027	2028	2029	2030	2025-2028 CAGR
Sales										
GTF	$1,505	$2,257	$2,934	$4,108	$5,340	$6,141	$6,909	$7,738	$8,667	18.9%
V2500	2,697	3,236	3,818	4,582	5,132	5,491	5,820	6,141	6,448	8.3%
JT8D	133	149	161	158	150	135	122	109	98	-8.4%
PW2000/4000	1,725	1,863	1,956	2,054	1,951	1,756	1,493	1,194	896	-10.1%
GP7200	310	326	326	316	300	240	180	117	59	-17.1%
CFM56	177	194	204	214	221	227	232	236	239	2.7%
Large Commercial	**$6,546**	**$8,025**	**$9,400**	**$11,432**	**$13,094**	**$13,991**	**$14,756**	**$15,536**	**$16,406**	**8.9%**
P&W Canada	**$2,782**	**$3,260**	**$3,460**	**$4,368**	**$4,804**	**$5,165**	**$5,526**	**$5,913**	**$6,268**	**8.2%**
Commercial AM Revenue	**$9,329**	**$11,286**	**$12,860**	**$15,800**	**$17,899**	**$19,156**	**$20,282**	**$21,449**	**$22,674**	**8.7%**
% Profit Margin										
GTF	-5.0%	1.0%	5.0%	9.0%	11.5%	15.0%	18.0%	20.0%	24.0%	
V2500	25.0%	30.0%	33.0%	35.0%	36.0%	37.0%	38.0%	39.0%	40.0%	
JT8D	28.0%	32.0%	35.0%	38.0%	39.0%	40.0%	40.0%	40.0%	40.0%	
PW2000/4000	24.0%	28.0%	33.0%	37.0%	38.0%	39.0%	40.0%	40.0%	40.0%	
GP7200	18.0%	20.0%	22.0%	24.0%	24.5%	25.0%	25.0%	25.0%	25.0%	
CFM56	10.0%	10.0%	10.0%	10.0%	10.0%	10.0%	10.0%	10.0%	10.0%	
Large Commercial	**17.2%**	**13.0%**	**14.6%**	**15.5%**	**15.4%**	**15.9%**	**16.3%**	**16.5%**	**17.4%**	
P&W Canada	**18.0%**	**20.0%**	**22.0%**	**22.0%**	**22.0%**	**22.5%**	**24.0%**	**25.0%**	**25.0%**	
Commercial AM Revenue	**17.4%**	**14.8%**	**16.3%**	**17.0%**	**16.9%**	**17.4%**	**18.1%**	**18.5%**	**19.1%**	

P&W Commercial OE Profits and GTF Negative Engine Margin - Peak Commercial OE Losses in 2028/2029 Before Improving Pricing Materializes End of Decade



- New-build GTF engines are loss-making with RTX stating the negative engine margin (NEM) was more than $1MM per engine in 2023, having worsened post-pandemic given the volume & workforce disruptions.
- e estimate RTX-level NEM of $2.0MM in 2026, which implies a total program loss of closer to ~$4MM, compared to an ASP of $3.5MM. This suggests there is ~$8MM of cost associated with each engine.
- We estimate 2026 total RTX-level Commercial OE losses of $1.16BB, or an ~$210MM y-o-y headwind, with an additional ~$86MM y-o-y headwind in 2027 to $1.25BB in losses. RTX suggests the NEM on the GTF-A and HS+ will not materially change despite higher costs given improved pricing, with our forecasts for total NEM to peak at ~$1.27BB in 2028/2029 and begin improving in 2030 as normalized pricing restores.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

RTX: P&W: Putting Powder Metal in the Past with Unlock of Rightful Margins Over Time as Durability Issues are Solved For

P&W Commercial AM Build - GTF Aftermarket Sales Continue at 19% CAGR as MRO Shops Transition to Performance Restorations, with V2500 Sustaining M-HSD Growth from Price & Workscope on Flattish ~800/Year

	2022	2023	2024	2025	2026	2027	2028	2029	2030	2025-2028 CAGR
Sales										
GTF	$1,505	$2,257	$2,934	$4,108	$5,340	$6,141	$6,909	$7,738	$8,667	18.9%
V2500	2,697	3,236	3,818	4,582	5,132	5,491	5,820	6,141	6,448	8.3%
JT8D	133	149	161	158	150	135	122	109	98	-8.4%
PW2000/4000	1,725	1,863	1,956	2,054	1,951	1,756	1,493	1,194	896	-10.1%
GP7200	310	326	326	316	300	240	180	117	59	-17.1%
CFM56	177	194	204	214	221	227	232	236	239	2.7%
Large Commercial	**$6,546**	**$8,025**	**$9,400**	**$11,432**	**$13,094**	**$13,991**	**$14,756**	**$15,536**	**$16,406**	**8.9%**
P&W Canada	**$2,782**	**$3,260**	**$3,460**	**$4,368**	**$4,804**	**$5,165**	**$5,526**	**$5,913**	**$6,268**	**8.2%**
Commercial AM Revenue	**$9,329**	**$11,286**	**$12,860**	**$15,800**	**$17,899**	**$19,156**	**$20,282**	**$21,449**	**$22,674**	**8.7%**
% Change										
GTF	40.0%	50.0%	30.0%	40.0%	30.0%	15.0%	12.5%	12.0%	12.0%	
V2500	24.0%	20.0%	18.0%	20.0%	12.0%	7.0%	6.0%	5.5%	5.0%	
JT8D	15.0%	12.0%	8.0%	-2.0%	-5.0%	-10.0%	-10.0%	-10.0%	-10.0%	
PW2000/4000	10.0%	8.0%	5.0%	5.0%	-5.0%	-10.0%	-15.0%	-20.0%	-25.0%	
GP7200	10.0%	5.0%	0.0%	-3.0%	-5.0%	-20.0%	-25.0%	-35.0%	-50.0%	
CFM56	12.0%	10.0%	5.0%	5.0%	3.0%	3.0%	2.0%	2.0%	1.0%	
Large Commercial	**21.8%**	**22.6%**	**17.1%**	**21.6%**	**14.5%**	**6.8%**	**5.5%**	**5.3%**	**5.6%**	
P&W Canada	**23.9%**	**17.2%**	**6.1%**	**26.2%**	**10.0%**	**7.5%**	**7.0%**	**7.0%**	**6.0%**	
Commercial AM Revenue	**22.4%**	**21.0%**	**13.9%**	**22.9%**	**13.3%**	**7.0%**	**5.9%**	**5.8%**	**5.7%**	
% Composition										
GTF	16%	20%	23%	26%	30%	32%	34%	36%	38%	
V2500	29%	29%	30%	29%	29%	29%	29%	29%	28%	
JT8D	1%	1%	1%	1%	1%	1%	1%	1%	0%	
PW2000/4000	18%	17%	15%	13%	11%	9%	7%	6%	4%	
GP7200	3%	3%	3%	2%	2%	1%	1%	1%	0%	
CFM56	2%	2%	2%	1%	1%	1%	1%	1%	1%	
Large Commercial	**70%**	**71%**	**73%**	**72%**	**73%**	**73%**	**73%**	**72%**	**72%**	
P&W Canada	**30%**	**29%**	**27%**	**28%**	**27%**	**27%**	**27%**	**28%**	**28%**	
Commercial AM Revenue	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	

- The P&W Commercial AM business increased 25% organically in Q2, with our estimates for 2026 sales of $17.9BB, up 13% total vs implied guide of +Teens. The mix is approximately 85% GTF, V2500 or PWC, with the remainder across JT8D, GP7200, and CFM wrench-turning.
- In 2025-2028, we estimate Commercial AM sales increase at a 9% CAGR to $20.3BB, driven equally between Large Commercial (77% of mix) and PWC (23% of mix). Within Large Commercial, the GTF program expands at a 19% CAGR to $6.9BB in 2028 (34% of mix), with the V2500 at an 8% CAGR to $5.8BB (29%), while the remainder of the portfolio declines at a managed rate of -10% CAGR.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

RTX: P&W: Putting Powder Metal in the Past with Unlock of Rightful Margins Over Time as Durability Issues are Solved For

Pratt & Whitney Profit Build - Profit CAGR of 10% in 2025-2028 with +90 Bps of Margin Expansion to 9.1% in 2028 from Improved GTF OE Pricing and Aftermarket Margins

	2022	2023	2024	2025	2026	2027	2028	2029	2030	2025-2028 CAGR
Starting Adj. Profit	**$487**	**$1,250**	**$1,688**	**$2,281**	**$2,725**	**$3,020**	**$3,270**	**$3,634**	**$3,978**	
Organic Volume & Price	913	550	678	652	256	310	418	392	483	
Commercial OE	90	(45)	128	(125)	(210)	(86)	(22)	(11)	16	
Commercial AM	800	590	317	585	339	306	344	303	361	
Military	23	5	233	192	127	91	95	100	105	
R&D	(150)	(112)	(85)	52	(31)	(61)	(53)	(48)	(53)	
Tariffs	0	0	0	(260)	145	0	0	0	0	
M&A & Divestitures	0	0	0	0	0	0	0	0	0	
Productivity & Other	0	0	0	0	(75)	0	0	0	0	
Incremental EBIT	**763**	**438**	**593**	**444**	**295**	**250**	**365**	**344**	**430**	
Ending Adj. Profit	**$1,250**	**$1,688**	**$2,281**	**$2,725**	**$3,020**	**$3,270**	**$3,634**	**$3,978**	**$4,408**	**10.1%**
% Margins	6.1%	7.1%	8.1%	8.3%	8.5%	8.6%	9.1%	9.5%	10.0%	81 bps
Commercial OE Incrementals	10%	-5%	8%	-14%	99%	-15%	-5%	-4%	4%	
Commercial AM Incrementals	45%	31%	20%	20%	16%	24%	31%	26%	30%	
Defense Incrementals	-11%	2%	21%	19%	18%	18%	18%	18%	18%	
M&A & Divestitures Margins	0%	0%	0%	0%	0%	0%	0%	0%	0%	

P&W Profit by Sub-Segment - Segment Margin Expansion Driven by Commercial AM Profitability Alongside Modest Improvement in OE Negative Engine Margins, While Military Remains Steady with a Low-Teens Margin Profile

	2022	2023	2024	2025	2026	2027	2028	2029	2030	2025-2028 CAGR
Sales										
Commercial OE	$4,221	$5,131	$6,826	$7,736	$7,534	$8,111	$8,576	$8,852	$9,225	3.5%
Commercial AM	9,329	11,286	12,860	15,800	17,899	19,156	20,282	21,449	22,674	8.7%
Military	6,980	7,280	8,380	9,380	10,084	10,588	11,117	11,673	12,257	5.8%
Adj. Net Sales	**$20,530**	**$23,697**	**$28,066**	**$32,916**	**$35,516**	**$37,855**	**$39,976**	**$41,974**	**$44,155**	**6.7%**
Profits										
Commercial OE	($440)	($700)	($828)	($954)	($1,163)	($1,250)	($1,271)	($1,282)	($1,266)	10.1%
Commercial AM	1,209	1,665	2,097	2,682	3,021	3,328	3,672	3,975	4,336	11.0%
Military	481	722	1,013	1,257	1,277	1,307	1,349	1,401	1,453	2.4%
Tariffs	0	0	0	(260)	(115)	(115)	(115)	(115)	(115)	
Adj. Profit	**$1,250**	**$1,688**	**$2,281**	**$2,725**	**$3,020**	**$3,270**	**$3,634**	**$3,978**	**$4,408**	**10.1%**

- Pratt & Whitney operating profit increased 22% y-o-y in Q2 to $740MM, up +$132MM y-o-y for margins of 8.3%, up 30 bps y-o-y. Incremental margins were 10%, despite spare OE deliveries down materially.
- The 2026 guide is for P&W profits to increase +$275-350MM y-o-y (from +$225-325MM), implying margins of 8.5% at the midpoint, up 20 bps y-o-y. This implies H2 at 8.5% margins.
- In 2025-2028, P&W profits increase at a 10% CAGR to $3.65BB with margins expanding 80 bps to 9.1% incremental margins of 10-15% are driven by the Commercial AM and Military businesses, offset by Commercial OE negative engine margin that is expected to peak in 2028/2029 on our estimates, which helps improve incrementals to 17% in 2029 and 20% in 2030, driving 2030 margins of 10%.
- We assume internally-funded R&D averages 3.0% of sales, funding next-generation adaptive cycle military engines and the next-generation single aisle propulsion. The P&W business has potential to achieve 14%+ margins in time compared to peak margins of 14.9% in 2014 when total NEM was only ~$200MM.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

RTX: Raytheon: Positioned for Perfection to US and Global Defense Budget Share, Supporting Significant Volume Dropthrough to Profitability

Raytheon Revenue Build - Organic CAGR of 9% in 2025-2028 Driven by Naval Power and Land & Air Defense Systems

	2022	2023	2024	2025	2026	2027	2028	2029	2030	2025-2028 CAGR
Sales										
Naval Power	$5,539	$5,744	$5,769	$6,469	$7,277	$8,005	$8,725	$9,424	$10,083	10.5%
Land & Air Defense Systems	5,035	5,035	6,735	8,035	9,642	11,089	12,752	14,346	15,780	16.6%
Advanced Products & Solutions	4,028	4,028	4,053	4,053	4,094	4,135	4,217	4,302	4,388	1.3%
Space Systems	3,021	2,967	2,717	2,567	2,567	2,567	2,592	2,618	2,644	0.3%
Strategic Missile Defense	2,518	2,518	2,575	2,595	2,750	2,943	3,149	3,338	3,505	6.7%
Air Power	2,014	2,314	2,064	1,914	2,010	2,150	2,301	2,439	2,561	6.3%
Cybersecurity, Intelligence & Services	1,511	1,734	460	0	0	0	0	0	0	-
Advanced Technology	1,511	2,011	2,411	2,411	2,483	2,557	2,634	2,713	2,794	3.0%
Adj. Net Sales	**$25,176**	**$26,350**	**$26,783**	**$28,043**	**$30,823**	**$33,445**	**$36,371**	**$39,179**	**$41,756**	**9.1%**
% Change										
Naval Power		4%	0%	12%	13%	10%	9%	8%	7%	
Land & Air Defense Systems		0%	34%	19%	20%	15%	15%	13%	10%	
Advanced Products & Solutions		0%	1%	0%	1%	1%	2%	2%	2%	
Space Systems		-2%	-8%	-6%	0%	0%	1%	1%	1%	
Strategic Missile Defense		0%	2%	1%	6%	7%	7%	6%	5%	
Air Power		15%	-11%	-7%	5%	7%	7%	6%	5%	
Cybersecurity, Intelligence & Services		15%	-73%	-100%	-	-	-	-	-	
Advanced Technology		33%	20%	0%	3%	3%	3%	3%	3%	
Adj. Net Sales		**4.7%**	**1.6%**	**4.7%**	**9.9%**	**8.5%**	**8.7%**	**7.7%**	**6.6%**	**9.1%**
% Organic		*5.1%*	*6.4%*	*6.4%*	*9.8%*	*8.5%*	*8.7%*	*7.7%*	*6.6%*	*9.0%*
% Composition										
Naval Power	22%	22%	22%	23%	24%	24%	24%	24%	24%	
Land & Air Defense Systems	20%	19%	25%	29%	31%	33%	35%	37%	38%	
Advanced Products & Solutions	16%	15%	15%	14%	13%	12%	12%	11%	11%	
Space Systems	12%	11%	10%	9%	8%	8%	7%	7%	6%	
Strategic Missile Defense	10%	10%	10%	9%	9%	9%	9%	9%	8%	
Air Power	8%	9%	8%	7%	7%	6%	6%	6%	6%	
Cybersecurity, Intelligence & Services	6%	7%	2%	0%	0%	0%	0%	0%	0%	
Advanced Technology	6%	8%	9%	9%	8%	8%	7%	7%	7%	
Adj. Net Sales	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	

- Raytheon sales increased 18% organically in Q2 to $8.27BB, driven by higher volume on land & air defense systems including Patriot and GEM-T and higher naval munitions including Standard Missile. Backlog totals $86BB, up 21% from $63.5BB a year ago, with Q2 bookings of $20BB for a book-to-bill of 2.4X. The trailing 12-month book-to-bill is 1.77X.
- The 2026 guide is for Raytheon sales to increase +HSD-LDD, from +HSD set in April and +MSD set in Jan, with our 2026 Raytheon sales estimate up 9.8% organically to $30.8BB
- In 2025-2028, Raytheon sales increase at an 9.1% total CAGR driven by a Land & Air Defense at a 17% CAGR, Naval Power at a 11% CAGR, and Strategic Missile Defense and Air Power at a 7%/6 CAGR, respectively. Management has discussed both the sensors & effectors businesses (~75% of sales) growing at +DD rates for the foreseeable future.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

RTX: Raytheon: Positioned for Perfection to US and Global Defense Budget Share, Supporting Significant Volume Dropthrough to Profitability

Raytheon Profit Build - Profit CAGR of 11% in 2025-2028 with +60 Bps of Margin Expansion to 12.2% in 2028 from Volume Leverage & Mix (Production & International)

	2022	2023	2024	2025	2026	2027	2028	2029	2030	2025-2028 CAGR
Starting Adj. Profit	**$3,160**	**$2,498**	**$2,434**	**$2,728**	**$3,231**	**$3,570**	**$3,964**	**$4,370**	**$4,787**	
Volume	56	175	190	80	241	284	346	387	406	
Net Change in EACs	(300)	(120)	178	182	40	60	30	10	10	
Mix & Performance	(300)	(119)	0	275	62	50	30	20	20	
M&A & Divestitures	(118)	0	(74)	(34)	0	0	0	0	0	
Other	0	0	0	0	(5)	0	0	0	0	
Incremental EBIT	**(662)**	**(64)**	**294**	**503**	**343**	**394**	**406**	**417**	**436**	
Ending Adj. Profit	**$2,498**	**$2,434**	**$2,728**	**$3,231**	**$3,574**	**$3,964**	**$4,370**	**$4,787**	**$5,223**	**10.6%**
% Margins	9.9%	9.2%	10.2%	11.5%	11.7%	12.0%	12.2%	12.4%	12.7%	64 bps
Volume Incrementals	-8%	14%	11%	5%	10%	11%	12%	14%	16%	
M&A & Divestitures Margins	19%	0%	6%	7%	0%	0%	0%	0%	0%	

- Raytheon operating profit increased 29% y-o-y in Q2 to $1.04BB, up +$234MM y-o-y for margins of 12.6%, up 110 bps y-o-y. Incremental margins were 18%, including +$20MM improvement in productivity. Mix & performance contributed +$0.3BB in aggregate.
- The 2026 guide is for Raytheon profits to increase +$575-650MM y-o-y, (from +$275-375MM), implying margins of 12.5% at the midpoint, up 100 bps y-o-y. This implies the remainder of the year at 12.6% margins.
- In 2025-2028, Raytheon profits increase at an 13% CAGR to $4.66BB with margins expanding 130 bps to 12.8%. Incremental margins of ~15% are driven by volume drop-through and improving mix from international sales and the transition to more production work, as well as continued productivity improvements. We expect the munitions framework agreements to come with meaningful uplift to margins given long-term demand, bulk supplier procurement, & streamlined manufacturing processes through new capex with automation. The Raytheon business has potential to achieve 14%+ margins in time.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

RTX: FCF Conversion Approaches 100% with Earnings Improvement, Cash-Neutral DoW Capex, and Improved Working Capital/PMI Driving Return of Buybacks

FCF Build - FCF CAGR of 14% to 2028 with Conversion Approaching 100% on Improved Earnings, DoW Capex in a Cash Neutral Manner, & Working Capital/PMI Benefits

	2022	2023	2024	2025	2026	2027	2028	2029	2030	2025-2028 CAGR
FCF										
Net Income	$5,327	$3,380	$5,013	$7,069	$8,205	$9,469	$10,673	$11,949	$13,331	14.7%
Depreciation & Amortization	4,108	4,211	4,364	4,378	4,500	4,625	4,750	4,800	4,900	
Deferred Income Tax Provision	(1,663)	(402)	(47)	789	400	300	200	100	0	
Stock Compensation Cost	420	425	437	519	550	575	600	615	630	
Other	(1,546)	(1,246)	(1,523)	(914)	(1,100)	(1,325)	(1,250)	(1,175)	(1,100)	
Change in Working Capital	522	1,515	(1,085)	(1,274)	(852)	377	652	633	825	
Operating Cash Flow	**$7,168**	**$7,883**	**$7,159**	**$10,567**	**$11,703**	**$14,021**	**$15,625**	**$16,922**	**$18,586**	**13.9%**
Capital Expenditures	($2,288)	($2,415)	($2,625)	($2,627)	($3,116)	($3,427)	($3,762)	($3,638)	($3,588)	
Free Cash Flow	**$4,880**	**$5,468**	**$4,534**	**$7,940**	**$8,587**	**$10,594**	**$11,863**	**$13,283**	**$14,998**	**14.3%**
FCF per Share	*$3.28*	*$3.81*	*$3.37*	*$5.85*	*$6.27*	*$7.65*	*$8.48*	*$9.39*	*$10.49*	
Capital Deployment										
Acquisitions, Net of Cash	($66)	$0	$0	$0	$0	$0	$0	$0	$0	
Repayment of Long-Term Debt	(3)	(578)	(2,500)	(3,429)	(3,501)	(2,463)	(2,500)	(2,500)	(2,500)	
Dividends Paid	(3,128)	(3,239)	(3,217)	(3,574)	(4,105)	(4,565)	(5,077)	(5,645)	(6,276)	
Repurchase of Common Stock	(2,803)	(12,870)	(444)	(50)	0	0	0	0	0	
Total Deployment	**($6,000)**	**($16,687)**	**($6,161)**	**($7,053)**	**($7,606)**	**($7,028)**	**($7,577)**	**($8,145)**	**($8,776)**	
Discretionary FCF	**($1,120)**	**($11,219)**	**($1,627)**	**$887**	**$981**	**$3,566**	**$4,286**	**$5,139**	**$6,222**	
Ratios										
FCF Margin (%)	7.3%	7.4%	5.6%	9.0%	9.1%	10.5%	11.0%	11.7%	12.5%	
FCF Conversion of NI (%)	68.8%	75.3%	58.8%	93.1%	88.3%	95.7%	96.9%	98.4%	101.0%	
FCF Conversion of EBITDA (%)	40.6%	41.7%	31.2%	50.4%	51.1%	58.7%	61.2%	64.2%	67.4%	
FCF Y-o-Y Change (%)	(3%)	12%	(17%)	75%	8%	23%	12%	12%	13%	
FCF Yield on Market Cap (%)	3.3%	4.9%	2.9%	3.2%	3.6%	4.4%	4.9%	5.5%	6.2%	
FCF Deployed to Shareholders (%)	123%	305%	136%	89%	89%	66%	64%	61%	59%	
Capex as % of Sales (%)	3.4%	3.3%	3.2%	3.0%	3.3%	3.4%	3.5%	3.2%	3.0%	
Change in WC as % of Sales (%)	0.8%	2.0%	(1.3%)	(1.4%)	(0.9%)	0.4%	0.6%	0.6%	0.7%	
Dividend Yield	2.1%	2.9%	2.1%	1.5%	1.7%	1.9%	2.1%	2.3%	2.6%	

- RTX generated $3.55BB of operating cash flow in Q2 with capex of $669MM driving FCF of $2.88BB. This included a working capital inflow of $325MM from higher P&W engine deliveries and international advances on defense programs, as well as $150MM of powder metal compensation.
- H1:26 FCF of $4.19BB includes a working capital usage of $1.17BB and $320MM of powder metal compensation (46% of guide).
- The 2026 guide is for FCF of $8.50-8.75BB (from $8.25-8.75BB), up 7-10% y-o-y from $7.94BB in 2025 at 93% conversion of Adj NI.
- We estimate 2026 FCF of $8.78BB at 87% conversion of Adj NI including $1.10BB usage of W/C and capex of $3.11BB at 3.3% of sales. We also include +$0.4BB inflow from the reversal of the Section 174 legislation in 2026.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

RTX: Income Statement

$MM except per share data	2021		2022		2023		2024		2025		2026E		2027E		2028E		2029E		2030E	
	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales
Adj. Net Sales	**$64,388**	100.0%	**$67,074**	100.0%	**$74,305**	100.0%	**$80,808**	100.0%	**$88,603**	100.0%	**$95,983**	100.0%	**$101,982**	100.0%	**$108,633**	100.0%	**$114,909**	100.0%	**$120,933**	100.0%
COGS	51,897	80.6%	53,406	79.6%	56,831	76.5%	65,328	80.8%	70,814	79.9%	76,036	79.2%	80,392	78.8%	84,951	78.2%	89,262	77.7%	93,381	77.2%
R&D	2,732	4.2%	2,711	4.0%	2,805	3.8%	2,934	3.6%	2,807	3.2%	2,879	3.0%	3,161	3.1%	3,476	3.2%	3,677	3.2%	3,870	3.2%
SG&A	5,224	8.1%	5,573	8.3%	5,809	7.8%	5,806	7.2%	6,095	6.9%	6,431	6.7%	6,935	6.8%	7,496	6.9%	8,044	7.0%	8,465	7.0%
Other Income, net	423	0.7%	120	0.2%	86	0.1%	(132)	-0.2%	413	0.5%	250	0.3%	270	0.3%	300	0.3%	325	0.3%	350	0.3%
Operating Profit	**$4,958**	7.7%	**$5,504**	8.2%	**$8,946**	12.0%	**$6,608**	8.2%	**$9,300**	10.5%	**$10,887**	11.3%	**$11,763**	11.5%	**$13,010**	12.0%	**$14,251**	12.4%	**$15,566**	12.9%
Restructuring	(143)		(115)		(246)		(194)		(246)		(72)		0		0		0		0	
Acquisition Accounting Adjustments	(2,203)		(1,893)		(1,998)		(2,058)		(2,005)		(1,900)		(2,000)		(2,000)		(2,000)		(2,000)	
Net Significant/Non-Recurring Items	41		(401)		(3,090)		(1,393)		162		1		0		0		0		0	
Adj. Operating Profit	**$7,441**	11.6%	**$7,913**	11.8%	**$8,895**	12.0%	**$10,183**	12.6%	**$11,389**	12.9%	**$12,858**	13.4%	**$13,763**	13.5%	**$15,010**	13.8%	**$16,251**	14.1%	**$17,566**	14.5%
Non-Service Pension Income	(1,944)		(1,889)		(1,780)		(1,518)		(1,182)		(1,400)		(1,250)		(1,200)		(1,150)		(1,100)	
Net Interest Expense	1,971		1,276		1,505		1,862		1,749		1,605		1,162		727		294		(125)	
Income Before Income Taxes	**$4,931**	7.7%	**$6,117**	9.1%	**$9,221**	12.4%	**$6,264**	7.8%	**$8,733**	9.9%	**$10,681**	11.1%	**$11,851**	11.6%	**$13,483**	12.4%	**$15,107**	13.1%	**$16,791**	13.9%
Taxes (% Tax Rate)	786	15.9%	790	12.9%	456	4.9%	1,181	18.9%	1,664	19.1%	1,933	18.1%	2,186	18.5%	2,555	19.0%	2,946	19.5%	3,375	20.1%
Net Income	**$4,145**	6.4%	**$5,327**	7.9%	**$8,765**	11.8%	**$5,083**	6.3%	**$7,069**	8.0%	**$8,748**	9.1%	**$9,664**	9.5%	**$10,928**	10.1%	**$12,161**	10.6%	**$13,416**	11.1%
Noncontrolling Interest & Disco Ops	248		111		185		239		337		405		415		425		450		475	
Discontinued Ops	33		19		0		0		0		0		0		0		0		0	
Net Income to Common Shareholders	**$3,864**	6.0%	**$5,197**	7.7%	**$8,580**	11.5%	**$4,844**	6.0%	**$6,732**	7.6%	**$8,343**	8.7%	**$9,249**	9.1%	**$10,503**	9.7%	**$11,711**	10.2%	**$12,941**	10.7%
Restructuring	(143)		(115)		(246)		(194)		(246)		(72)		0		0		0		0	
Acquisition Accounting Adjustments	(2,203)		(1,893)		(1,998)		(2,058)		(2,005)		(1,900)		(2,000)		(2,000)		(2,000)		(2,000)	
Net Significant/Non-Recurring Items	41		(401)		(3,090)		(1,393)		162		1		0		0		0		0	
Other	(666)		(2)		7		67		(207)		(4)		0		0		0		0	
Tax Adjustment	423		529		1,259		647		497		214		0		0		0		0	
Adj. Net Income	**$6,445**	10.0%	**$7,098**	10.6%	**$12,648**	17.0%	**$7,775**	9.6%	**$8,531**	9.6%	**$10,104**	10.5%	**$11,249**	11.0%	**$12,503**	11.5%	**$13,711**	11.9%	**$14,941**	12.4%
Adj. EPS	**$4.27**		**$4.78**		**$8.81**		**$5.79**		**$6.29**		**$7.40**		**$8.20**		**$9.05**		**$9.85**		**$10.65**	

Source: Company data and Jefferies estimates

RTX: Segment Data

$MM except per share data	2021	% of total	2022	% of total	2023	% of total	2024	% of total	2025	% of total	2026E	% of total	2027E	% of total	2028E	% of total	2029E	% of total	2030E	% of total
Collins Aerospace	$21,152	32%	$23,052	34%	$26,198	34%	$28,284	34%	$30,196	33%	$32,444	33%	$33,810	32%	$35,791	32%	$37,654	32%	$39,337	31%
Pratt & Whitney	18,150	28%	20,530	30%	23,697	31%	28,066	34%	32,916	36%	35,516	36%	37,855	36%	39,976	36%	41,974	35%	44,155	35%
Raytheon	26,611	40%	25,176	37%	26,350	35%	26,783	32%	28,043	31%	30,823	31%	33,445	32%	36,371	32%	39,179	33%	41,756	33%
Total Segments	**$65,913**	100%	**$68,758**	100%	**$76,245**	100%	**$83,133**	100%	**$91,155**	100%	**$98,783**	100%	**$105,110**	100%	**$112,137**	100%	**$118,807**	100%	**$125,248**	100%
Eliminations & Other	(1,525)		(1,684)		(1,940)		(2,325)		(2,552)		(2,800)		(3,128)		(3,504)		(3,898)		(4,315)	
Consolidated Net Sales	**$64,388**		**$67,074**		**$74,305**		**$80,808**		**$88,603**		**$95,983**		**$101,982**		**$108,633**		**$114,909**		**$120,933**	
Collins Aerospace	$2,420	40%	$3,047	45%	$3,896	49%	$4,496	47%	$4,893	45%	$5,490	44%	$5,941	44%	$6,456	44%	$6,975	44%	$7,489	43%
Pratt & Whitney	487	8%	1,250	18%	1,688	21%	2,281	24%	2,725	25%	3,020	24%	3,270	24%	3,634	25%	3,978	25%	4,408	25%
Raytheon	3,160	52%	2,498	37%	2,434	30%	2,728	29%	3,231	30%	3,853	31%	4,246	32%	4,657	32%	5,080	32%	5,497	32%
Segment Profit	**$6,067**	100%	**$6,795**	100%	**$8,018**	100%	**$9,505**	100%	**$10,849**	100%	**$12,363**	100%	**$13,456**	100%	**$14,747**	100%	**$16,034**	100%	**$17,394**	100%
Corporate, Pension & Other	1,374		1,118		877		678		540		495		307		262		218		172	
Consolidated Adj. Profit	**$7,441**		**$7,913**		**$8,895**		**$10,183**		**$11,389**		**$12,858**		**$13,763**		**$15,010**		**$16,251**		**$17,566**	
Collins Aerospace	-4%		9%		14%		8%		7%		7%		4%		6%		5%		4%	
Pratt & Whitney	5%		13%		15%		18%		17%		8%		7%		6%		5%		5%	
Raytheon	2%		-5%		5%		2%		5%		10%		9%		9%		8%		7%	
Total Segments Sales Growth	**1%**		**4%**		**11%**		**9%**		**10%**		**8%**		**6%**		**7%**		**6%**		**5%**	
Collins Aerospace	11.4%		13.2%		14.9%		15.9%		16.2%		16.9%		17.6%		18.0%		18.5%		19.0%	
Pratt & Whitney	2.7%		6.1%		7.1%		8.1%		8.3%		8.5%		8.6%		9.1%		9.5%		10.0%	
Raytheon	11.9%		9.9%		9.2%		10.2%		11.5%		12.5%		12.7%		12.8%		13.0%		13.2%	
Segment Profit Margin	**9.2%**		**9.9%**		**10.5%**		**11.4%**		**11.9%**		**12.5%**		**12.8%**		**13.2%**		**13.5%**		**13.9%**	
Corporate, Pension & Other																				
Consolidated Adj. Profit Margin	**11.6%**		**11.8%**		**12.0%**		**12.6%**		**12.9%**		**13.4%**		**13.5%**		**13.8%**		**14.1%**		**14.5%**	

Source: Company data and Jefferies estimates

Science Applications International Corp (SAIC)

Hold | Price Target: $115

Valuation Method	Price	Assumptions
EV/EBITDA	127	10.0x EV/EBITDA on 2028 EBITDA of $724MM
P/E	128	11.5x P/E on 2028 EPS of $11.15
FCF	90	15.0% FCF Yield on 2028 FCF of $545MM
Average	**$115**	**Blended Average**

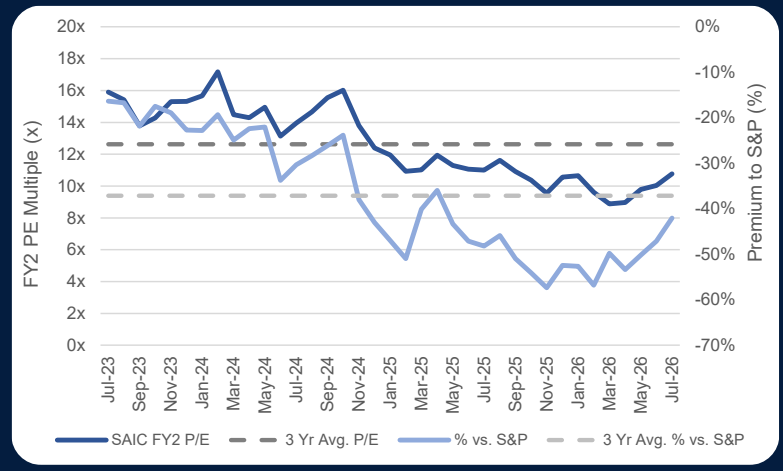
Valuation Table

	Ticker	JEF Rating	Stock Px 8/2/2026	Consensus BUY Rating	Market Cap	Enterprise Value	P/E 2026E	P/E 2027E	P/E 2028E	EV / SALES 2026E	EV / SALES 2027E	EV / SALES 2028E	EV / EBITDA 2026E	EV / EBITDA 2027E	EV / EBITDA 2028E	Yield Dividend	Yield FCF
Amentum	AMTM	NIC	$22.20	36%	5,424	9,032	9.2x	8.0x	7.1x	0.6x	0.6x	0.6x	8.0x	7.5x	7.1x	0.0%	12.1%
CACI	CACI	Hold	$497.75	79%	10,996	16,491	17.7x	16.1x	14.1x	1.7x	1.5x	1.5x	14.5x	12.5x	11.5x	0.0%	7.1%
General Dynamics	GD	Buy	$383.42	50%	103,737	110,020	22.7x	20.8x	19.2x	2.0x	1.9x	1.8x	16.1x	14.9x	14.1x	1.6%	4.7%
Leidos Holdings	LDOS	Hold	$115.60	40%	14,541	21,254	9.4x	8.8x	8.0x	1.2x	1.1x	1.1x	8.6x	8.3x	7.9x	1.5%	11.3%
Parsons	PSN	Buy	$44.21	75%	4,722	6,225	16.5x	12.7x	11.0x	1.0x	0.9x	0.9x	10.9x	9.1x	8.5x	0.0%	9.7%
Average				45%			**14.4x**	**12.8x**	**11.5x**	**1.3x**	**1.2x**	**1.1x**	**11.3x**	**10.2x**	**9.6x**	**1.1%**	**9.5%**
SAIC	**SAIC**	**Hold**	**$117.13**	**18%**	**$4,952**	**$7,717**	**11.8x**	**10.5x**	**9.3x**	**1.1x**	**1.1x**	**1.0x**	**10.7x**	**10.7x**	**10.1x**	**1.3%**	**11.4%**
Discount / Premium							**-18%**	**-18%**	**-19%**	**-14%**	**-10%**	**-9%**	**-5%**	**4%**	**5%**		**-16%**

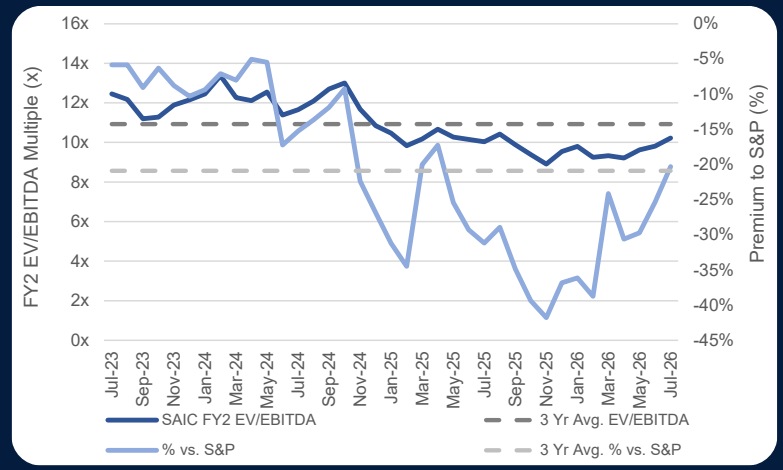
Featured Notes:

- S. A. I. C'ing the Path Forward | *June 7, 2026*
- Mixing Margins Higher in 2026E, w/ Near-Term Learning Curve | *Nov 13, 2025*
- A Lower Growth IT Services Name, Looking to Change ITs Outlook | *Sept 10, 2025*

Trading at 10.8X FY2 P/E, 42% Disct to Mkt vs. Historical Avg Disct of 37%



Trading at 10.2X FY2 EV/EBITDA, 20% Disct to Mkt vs. Historical Avg Disct of 21%



Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

Source: Company data, Jefferies estimates, FactSet

SAIC: Revenue Bridge - Ramping Contracts Support Organic Revenue Growth Offset by Losses

Organic Revenue Growth in FY26E, Supported by Ramping Contracts, Offset by 5pts of Recompete Losses and Transitions ($MM)

	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E
Revenue Bridge	**4,454**	**4,659**	**6,379**	**7,056**	**7,394**	**7,704**	**7,444**	**7,479**	**7,322**	**7,460**	**7,677**
Recompete Loss	(36)	(37)	(70)	(106)	(100)	(50)	(95)	(51)	(142)	(139)	0
Decreased activity due to in-theater work	0	0	0	0	0	0	0	0	0	0	0
New Program Wins	89	47	153	71	74	539	345	60	117	336	345
S3I AMCOM Contract	(32)	0	0	15	75	25	0	0	0	0	0
Amphibious Combat Vehicle	0	0	0	0	0	0	0	0	0	0	0
Assault Amphibious Vehicle program	(80)	(60)	0	0	0	0	0	0	0	0	0
NASA Contract	30	0	0	0	(100)	(65)	(215)	(90)	0	0	0
EPA Contract	20	0	0	0	0	(50)	0	0	0	0	0
HITS	40	0	0	0	(50)	(50)	0	0	0	0	0
AOC Falconer	0	0	0	0	15	45	0	0	0	0	0
ACE RITS	0	0	0	40	40	0	0	0	0	0	0
DCSA One IT	0	0	0	0	0	50	60	0	0	0	0
FSG-80	0	0	20	2	20	0	0	0	0	0	0
Cloud One (Cleared Protest Jan. '20, $75MM)	0	0	55	20	5	0	0	(215)	0	0	0
AF EITaaS (Jan. '20)	0	0	20	5	0	0	(75)	0	0	0	0
FAA ATEPS	0	0	0	0	0	0	0	0	0	0	0
FAA Controller (Re-Compete April '20)	0	0	(50)	30	20	0	0	0	0	0	0
Air Force Modeling and Simulation (Award Oct. '20)	0	0	0	40	75	0	0	0	(75)	(40)	0
TCloud (Jan '23)	0	0	0	0	0	25	55	70	0	0	0
T4NG2	0	0	0	0	0	0	0	0	15	60	0
GMASS (Sept '23)	0	0	0	0	0	25	85	20	0	0	0
DTAMM (Mar '24)	0	0	0	0	0	0	35	30	10	0	0
AF TENCAP (Jun '25)	0	0	0	0	0	0	0	45	75	0	0
OSINT (Nov '25)	0	0	0	0	0	0	0	15	75	0	0
Additional Week	0	0	0	0	110	(195)	0	0	0	0	0
Supply Chain revenues	66	30	(170)	60	25	(493)	(188)	0	0	0	0
Contract end of life/Other	0	(130)	(22)	(203)	(46)	77	28	(65)	0	0	0
Organic Change	107	(130)	36	169	238	(117)	35	(182)	75	217	345
Divested Contract	0	0	(25)	(25)	0	0	0	0	0	0	0
Acquisition Contribution	98	1,850	641	169	72	(143)	0	25	63	0	0
End Revenue	4,659	6,379	7,056	7,394	7,704	7,444	7,479	**7,322**	**7,460**	**7,677**	**8,022**
% change	4.6%	36.9%	10.6%	4.8%	4.2%	-3.4%	0.5%	-2.1%	1.9%	2.9%	4.5%
% organic change	2.4%	-2.8%	0.6%	2.4%	3.2%	7.4%	3.0%	-2.4%	1.0%	2.9%	4.5%

Growth in FY26 is led by ramping programs including GMASS, AF TENCAP, and TCloud.

The offset is about 5pts of recompete losses/transitions along with normal end of life contracts including NASA NCAPS and CloudOne.

The acquisition of SilverEdge closed Oct 17, adding $88MM in ann revs.

Balance of New Work and Recompete Win Rates Remains a Challenge for SAIC

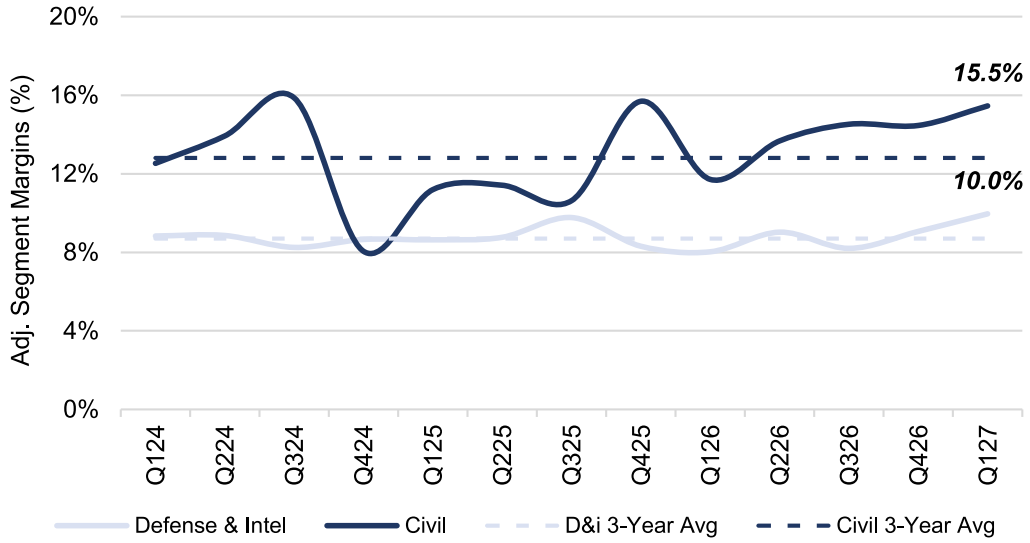
	FY23	FY24	FY25	FY26E	FY27E
Prior Year Submitted Bids ($BB)	$24	$22	$17	$28	$29
Recompete Bids ($BB)	5.3	7.4	7.7	5.6	5.6
New Win Bids	$19	$15	$9	$22	$23
Win Rate	11%	27%	39%	5%	4%
Average Contract Length (Yrs)	5	5	5	5	5
New Win Contribution ($BB)	$0.4	$0.8	$0.7	$0.2	$0.2
Recompete Win Rate (%)	76%	84%	67%	87%	90%
Recompete Losses ($BB)	-$0.3	-$0.2	-$0.5	-$0.1	-$0.1
Cancellations/Walk Away	(0.0)	(0.5)	(0.2)	(0.3)	0.0
Net Growth ($BB)	$0.1	$0.1	$0.0	-$0.2	$0.1
% Organic Growth	**2%**	**1%**	**0%**	**-2%**	**1%**

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

SAIC: Civilian Margins Above 3-Year Average

Civilian Margins of 15.5% More than 250 Bps Above 3-Year Average, with Defense & Intel Margins of 10.0% More than 125 Bps Above 3-Year Average



- FQ1 revs of $1.91BB represent 27% of the reaffirmed FY27 guide for $7.0-7.2BB (down 2-4% organic). FQ1 benefited from materials timing & RITS extension (now rolling off in FQ3 vs FQ2 prior; est -$135MM headwind or -2pts) that drove organic growth of +0.5% in the Q, led by Defense & Intel up 1.0% org (+2.3% total) while Civilian revs fell only 0.9% y-o-y.
- Mgmt notes upwards bias to the guide w/ T12M book-to-bill of 1.1X and on-contract growth still +2-3pts (+5% in FQ1), of which half is from a handful of recent program wins (COBRA +$75MM, AF TENCAP +$75MM, OSINT +$75MM, DTAMM +$10MM). These programs annualize to $400MM as of FQ1 vs $350MM in FY26 and plan for $500MM in FY27 (& potential to $800MM over time). Our FY27 revs est of $7.17BB reflects -2.2% org and $63MM from SilverEdge (+0.9pts), w/ upside as comps get easier & bid-award slowness resolves

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

SAIC: Profitability Expected Flattish at 9.4% in FY26E with Slow Start Adding Risk to the Year

Adj EBITDA Margin - Normalized in Mid-9% Range

	FY19	FY20	FY21	FY22	FY23	FY24	FY25	FY26E	FY27E	FY28E
Net Income	$137	$229	$211	$279	$303	$477	$362	$348	$329	$364
Depreciation and Amortization	49	138	185	165	157	142	140	145	145	128
NWC	(106)	5	293	(21)	42	(21)	(51)	50	42	66
Section 174	0	0	0	0	(90)	(70)	(45)	60	110	30
Stock Comp/Deferred Taxes/Other	104	86	66	95	120	(132)	88	15	15	15
CFO	$184	$458	$755	$518	$532	$396	$494	$617	$641	$603
Capex	(28)	(21)	(46)	(36)	(25)	(27)	(36)	(35)	(35)	(36)
FCF	**$156**	**$437**	**$709**	**$482**	**$507**	**$369**	**$458**	**$582**	**$606**	**$567**
FCF ex-MARPA/L&SCM Expenses	**$156**	**$437**	**$524**	**$467**	**$457**	**$486**	**$507**	**$582**	**$606**	**$567**
FCF per Share (ex-MARPA/L&SCM)	**$3.54**	**$7.41**	**$8.93**	**$8.04**	**$8.19**	**$9.05**	**$10.04**	**$12.36**	**$13.34**	**$12.96**
Deployment										
Dividends	($53)	($87)	($87)	($86)	($83)	($79)	($75)	($70)	($67)	($65)
Share Repurchases	(69)	(197)	(34)	(226)	(267)	(382)	(558)	(375)	(375)	(375)
Debt Paydown	(779)	(274)	(399)	(119)	(990)	(441)	(1,381)	0	(200)	(200)
Debt Issuance	1,833	100	1,000	116	840	160	1,499	0	0	0
Acquisitions	(1,001)	0	(1,202)	(255)	0	356	0	0	0	0
Proceeds from Divestitures	0	3	9	6	0	0	22	0	0	0
Total Deployment	**($69)**	**($455)**	**($713)**	**($564)**	**($500)**	**($386)**	**($493)**	**($445)**	**($642)**	**($640)**
Discretionary FCF (post pension contributions, dividends, share repo, and committed debt pay-down)	**$34**	**$93**	**$513**	**$100**	**($833)**	**($533)**	**($1,556)**	**$138**	**($36)**	**($73)**
Ratios										
Adj FCF to Adj Net Income Conversion	68%	131%	142%	111%	108%	115%	110%	130%	146%	126%
FCF Yield (FCF / Mkt Cap.)	3.3%	9.3%	15.1%	10.2%	10.8%	7.8%	9.7%	12.4%	12.9%	12.1%
FCF YoY Change	-20%	180%	62%	-32%	5%	-27%	24%	27%	4%	-6%
Discretionary FCF Yield	0.7%	2.0%	10.9%	2.1%	-17.7%	-11.3%	-33.1%	2.9%	-0.8%	-1.5%
Discretionary FCF % Change YoY	-176%	171%	452%	-81%	-933%	-36%	192%	-109%	NM	NM
FCF/Share % Change YoY	-10%	109%	21%	-10%	2%	11%	11%	23%	8%	-3%
Dividend as a % of Net Income	38%	38%	41%	31%	27%	17%	21%	20%	20%	18%
Dividend Yield	1.7%	1.8%	1.8%	1.8%	1.8%	1.8%	1.8%	1.8%	1.8%	1.8%
Share Repo as % of Mkt Cap	1%	4%	1%	5%	6%	8%	12%	8%	8%	8%
% of Cash Returned to Shareholders	78%	65%	17%	65%	69%	125%	138%	76%	73%	78%
Capex as a % of Sales	0.6%	0.3%	0.7%	0.5%	0.3%	0.4%	0.5%	0.5%	0.5%	0.5%
Net Leverage (EV/EBITDA)	6.9X	3.2X	3.7X	3.5X	3.3X	3.0X	3.0X	2.9X	2.6X	2.4X

- On a FCF/sh basis, we see a 11% CAGR through FY28E including 21% growth in FY26E and 15% in FY27E, with share repurchase and a cash tax tailwind offset by lower top line. The company raised share repurchase guidance to $500MM in FY26-27E from $375MM annually in prior guidance.
- FY25 FCF was $507MM adjusted for MARPA ($41MM headwind in FY25) and $8MM of L&SCM divestiture transition expenses. FQ3 FCF was $135MM excluding the $15MM use from MARPA. FCF use in the quarter included a $80MM usage of A/R and $33MM use of accrued payroll, partially offset by a $52MM benefit from A/P.
- FY26 adj FCF guidance was reaffirmed at >$550MM including a $60MM cash inflow from Sec 174 this year and another $110MM benefit to FY27E. The offset is $30MM of EGL tax credits rolling off. Capex is expected roughly flat at $35MM in FY26, which compares to $36MM in FY25.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

SAIC: Income Statement

(millions, except per share data)	2021		2022		2023		2024		2025		2026		2027E		2028E		2029E	
	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales
Total Revenues	**$7,056**	100.0	**$7,394**	100.0	**$7,704**	100.0	**$7,444**	100.0	**$7,479**	100.0	**$7,262**	100.0	**$7,167**	100.0	**$7,272**	100.0	**$7,490**	100.0
Costs and expenses																		
Costs of Revenues	6,264	88.8%	6,535	88.4%	6,816	88.5%	6,572	88.3%	6,587	88.1%	6,390	88.0%	6,278	87.6%	6,349	87.3%	6,517	87.0%
Selling, General & Administrative/Integration	402	5.7	397	5.4	387	5.0	131	1.8	329	4.4	351	4.8	323	4.5	327	4.5	337	4.5
Total Operating Costs	**$6,666**	94%	**$6,932**	94%	**$7,203**	93%	**$6,703**	90%	**$6,916**	92%	**$6,741**	93%	**$6,601**	92%	**$6,676**	92%	**$6,854**	92%
GAAP Operating Profit	**$390**	5.5%	**$462**	6.2%	**$501**	6.5%	**$741**	10.0%	**$563**	7.5%	**$521**	7.2%	**$566**	7.9%	**$596**	8.2%	**$637**	8.5%
Interest Expense, net	122		105		120		120		126		128		135		123		115	
Other (Income) Expense, net	3		1		(6)		(1)		(9)		(6)		(15)		(15)		(15)	
Income before taxes	**$271**		**$358**		**$375**		**$620**		**$428**		**$387**		**$416**		**$458**		**$507**	
Taxes (rate %)	60	22.1%	79	22.1%	72	19.2%	143	23.1%	66	15.4%	29	7.5%	91	22.0%	107	23.4%	122	24.0%
Net Income	**$211**		**$279**		**$303**		**$477**		**$362**		**$358**		**$325**		**$351**		**$385**	
Non Controlling Interest	(2)		(2)		(3)		0		0		0		0		0		0	
Net Income	**$209**		**$277**		**$300**		**$477**		**$362**		**$358**		**$325**		**$351**		**$385**	
Diluted shares (millions)	58.7		58.1		55.8		53.7		50.5		46.5		42.5		40.4		38.3	
Diluted earnings per share (cont. ops)	**$3.56**		**$4.77**		**$5.38**		**$8.88**		**$7.17**		**$7.71**		**$7.64**		**$8.69**		**$10.07**	
Adjusted EPS																		
Acquisition, Integration & Other Costs	$58		$58		$25		($222)		$9		$62		$2		$0		$0	
Amortization and Depreciation	$147		$128		$126		$114		$115		$119		$140		$130		$130	
Adjusted Operating Profit	**$595**		**$648**		**$651**		**$633**		**$687**		**$702**		**$708**		**$726**		**$767**	
Interest	($122)		($104)		($126)		($120)		($141)		($134)		($150)		($138)		($130)	
EBT	**$473**		**$544**		**$525**		**$513**		**$546**		**$540**		**$558**		**$588**		**$637**	
Tax	$103		$120		$101		$90		$85		$40		$123		$138		$153	
Adjusted Net Income	**$368**		**$422**		**$421**		**$423**		**$461**		**$500**		**$421**		**$450**		**$484**	
Adjusted EPS	**$6.27**		**$7.27**		**$7.55**		**$7.88**		**$9.13**		**$10.75**		**$9.90**		**$11.15**		**$12.65**	

Source: Company data and Jefferies estimates

SAIC: Cash Flow Statement

(millions, except per share data)	2021	2022	2023	2024	2025	2026	2027E	2028E	2029E
Operating Activities									
Net Income	$211	$279	$303	$477	$362	$358	$325	$351	$385
Depreciation & Amortization	$185	$165	$157	$142	$140	$149	$155	$128	$128
Non cash compensation	$42	$46	$48	$68	$53	$64	$45	$55	$65
Other	$24	$49	($18)	($270)	($10)	$82	$40	($30)	$0
Op cash flow pre-working capital	**$462**	**$539**	**$490**	**$417**	**$545**	**$653**	**$565**	**$504**	**$578**
Receivables	$221	($31)	$79	($46)	($86)	$161	$29	$24	$13
Inventory, prepaids, other	$8	$14	($10)	($43)	$24	($44)	$15	$5	$4
Accounts Payable	($76)	$30	($9)	$13	$48	($101)	$52	$28	$37
Accrued payroll and employee benefits	$95	$10	($36)	$49	($31)	($28)	($1)	$19	$25
Other Assets/Liabilities	$45	($44)	$18	$6	($6)	($32)	$0	$0	$0
Changes in working capital	$293	($21)	$42	($21)	($51)	($44)	$95	$77	$79
Cash Flow from Operations	**$755**	**$518**	**$532**	**$396**	**$494**	**$609**	**$660**	**$581**	**$657**
Investment activities									
Capital expenditures	(46)	(36)	(25)	(27)	(36)	(32)	(36)	(36)	(37)
Cash paid for business acqusiitons, net	(1,202)	(255)	0	356	0	(203)	0	0	0
Purchases of marketable AFS securities	(6)	(9)	(3)	(2)	(14)	(9)	1	0	0
Proceeds from sale of investments	9	6	0	0	22	7	15	0	0
Other	14	2	(8)	(13)	(7)	(11)	(6)	0	0
Cash Flow from Investments	**(1,231)**	**(292)**	**(36)**	**314**	**(35)**	**(248)**	**(26)**	**(36)**	**(37)**
Financing Activities									
Proceeds from notes payable and LT debt	1,000	116	840	160	1,499	2,745	0	0	0
Payments on notes payable and LT debt	(399)	(119)	(990)	(441)	(1,381)	(2,474)	(1)	(200)	(150)
Dividends paid to minority interest stockholders	(87)	(86)	(83)	(79)	(75)	(70)	(63)	(60)	(57)
Sales of common stock/Other	13	16	16	17	20	22	1	1	1
Repurchases of common stock	(34)	(226)	(267)	(382)	(558)	(445)	(500)	(375)	(375)
Cash Flow from Financing	**493**	**(299)**	**(484)**	**(725)**	**(495)**	**(222)**	**(563)**	**(634)**	**(581)**
Net change in cash items	**(12)**	**(75)**	**3**	**(15)**	**(39)**	**126**	**71**	**(89)**	**39**
Cash at the beginning of the period	202	190	115	118	103	64	190	261	172
Cash at the end of the period	**190**	**115**	**118**	**103**	**64**	**190**	**261**	**172**	**211**

Source: Company data and Jefferies estimates

Southwest Airlines (LUV)

Hold | Price Target: $46

Valuation Method	Price	Assumptions
EV/EBITDAR	48	6.0x EV/EBITDAR on 2027E EBITDAR of $4.6BB
P/E	44	11.0x P/E on 2027E EPS of $4.05
Average	**$46**	**Blended Average**

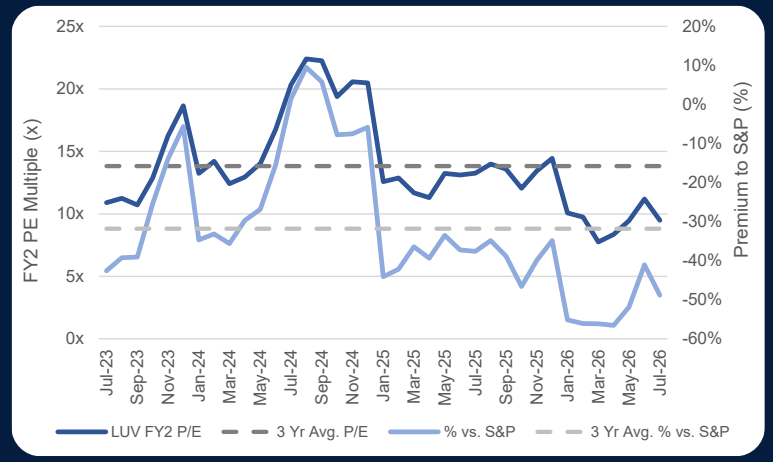
Valuation Table

		JEF	Stock Px	Consensus	Market	Enterprise	P/E			EV / SALES			EV / EBITDA			Yield	
US Airlines	Ticker	Rating	7/24/2026	BUY Rating	Cap	Value	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E	Dividend	FCF
American Airlines	AAL	Hold	$14.48	43%	9,582	36,841	N/M	5.6x	4.4x	0.6x	0.6x	0.5x	10.5x	6.5x	5.8x	0.0%	13.7%
Alaska Airlines	ALK	N/C	$46.13	89%	5,140	10,145	N/M	7.5x	5.3x	0.6x	0.6x	0.6x	10.7x	4.7x	4.2x	0.0%	12.3%
Allegiant Airlines	ALGT	N/C	$98.08	71%	2,636	2,717	13.3x	8.1x	6.7x	0.7x	0.6x	0.6x	4.2x	3.0x	2.7x	0.0%	-3.4%
Delta Airlines	DAL	Buy	$85.06	89%	55,937	71,420	12.7x	9.6x	8.3x	1.1x	1.0x	1.0x	7.7x	6.3x	5.8x	0.9%	7.7%
Frontier Airlines	ULCC	N/C	$5.81	8%	1,335	5,809	N/M	N/M	6.6x	1.2x	1.1x	1.0x	N/M	N/M	16.8x	0.0%	-3.5%
JetBlue	JBLU	N/C	$5.27	6%	1,961	9,009	N/M	N/M	N/M	0.9x	0.8x	0.8x	N/M	N/M	7.5x	0.0%	-3.4%
United Airlines	UAL	Buy	$118.27	86%	38,389	56,300	11.3x	7.6x	6.5x	0.8x	0.8x	0.7x	6.9x	7.0x	7.0x	0.0%	7.6%
Avg. US Airlines				**56%**			**12.5x**	**7.7x**	**6.3x**	**0.9x**	**0.8x**	**0.7x**	**8.0x**	**5.5x**	**7.1x**	**0.1%**	**4.4%**
Southwest Airlines	**LUV**	**Hold**	**$45.08**	**43%**	**22,054**	**25,322**	**13.4x**	**11.1x**	**10.2x**	**0.8x**	**0.8x**	**0.7x**	**7.2x**	**5.8x**	**5.5x**	**1.6%**	**6.5%**
Premium / Discount							**8%**	**45%**	**63%**	**-10%**	**-5%**	**-2%**	**-10%**	**6%**	**-22%**		

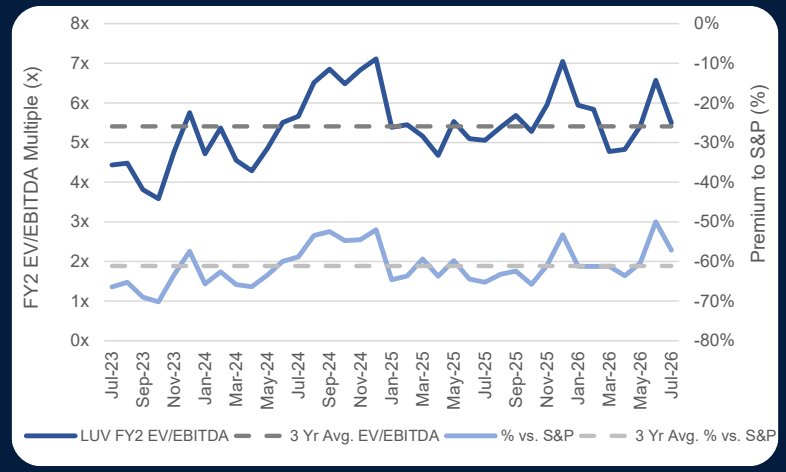
Featured Notes:

- Q2 Boosted by Idio Initiatives, but Tougher Sledding From Here | *July 26, 2026*
- Mgmt Mtg Takes: Transformation Underway in TX with $4+ EPS the Magic Number | *June 16, 2026*
- Unit Revenues Not Quite Up to Snuff, but Earnings Are Met Near-Term | *Apr 27, 2026*

Trading at 9.5X FY2 P/E, 49% Disct to Mkt vs. Historical Avg Disct of 32%



Trading at 5.5X FY2 EV/EBITDA, 57% Disct to Mkt vs. Historical Avg Disct of 61%



Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

Source: Company data, Jefferies estimates, FactSet

LUV: Revenue Bolstered by Introduction of Assigned Seating/Extra Leg Room + Improving Macro, but Initiative Runway Closing

Summary Estimates - Reducing FY26 EPS Estimates to $3.35 From $3.40 (vs. LUV Guide $3.25-4.25)

	Estimates Summary								% YoY	% YoY	% YoY	% YoY	% YoY
	2019	2022	2023	2024	2025	2026E	2027E	2028E	2024	2025	2026E	2027E	2028E
Revenue													
ASMs (MM)	157,254	148,467	170,323	177,250	180,046	182,385	188,743	193,512	4.1%	1.6%	1.3%	3.5%	2.5%
Load Factor	*83.5%*	*83.4%*	*80.0%*	*80.4%*	*77.4%*	*78.7%*	*79.5%*	*80.5%*	*0.4%*	*-3.0%*	*1.3%*	*0.8%*	*1.0%*
RPMs (MM))	131,345	123,843	136,256	142,515	139,433	143,537	150,051	155,778	4.6%	-2.2%	2.9%	4.5%	3.8%
Passenger Yield	*15.82¢*	*17.29¢*	*17.35¢*	*17.53¢*	*18.31¢*	*20.92¢*	*20.40¢*	*20.21¢*	*1.0%*	*4.5%*	*14.2%*	*-2.5%*	*-0.9%*
Passenger Revenue ($MM)	$20,776	$21,408	$23,637	$24,980	$25,535	$30,026	$30,604	$31,486	5.7%	2.2%	17.6%	1.9%	2.9%
Other Revenue	1,652	2,406	2,454	2,503	2,528	2,783	2,966	3,108	2.0%	1.0%	10.1%	6.6%	4.8%
Total Revenue ($MM)	$22,428	$23,814	$26,091	$27,483	$28,063	$32,808	$33,570	$34,594	5.3%	2.1%	16.9%	2.3%	3.1%
RASM	$14.26	$16.04	$15.32	$15.51	$15.59	$17.99	$17.79	$17.88	1.2%	0.5%	15.4%	-1.1%	0.5%
Expenses													
CASM ex-Fuel/Special/Profitsharing	9.19¢	11.22¢	11.08¢	11.95¢	12.32¢	12.66¢	12.89¢	13.10¢	7.9%	3.1%	2.7%	1.8%	1.7%
Operating Expenses ex-Fuel/Special	$14,457	$16,660	$18,872	$21,184	$22,187	$23,081	$24,328	$25,355	12.3%	4.7%	4.0%	5.4%	4.2%
Fuel:													
ASMs per Gallon	*75.7*	*77.2*	*79.5*	*80.8*	*83.0*	*84.7*	*86.5*	*88.6*	*1.6%*	*2.7%*	*2.0%*	*2.2%*	*2.4%*
Gallons Consumed	2,077	1,922	2,143	2,194	2,169	2,154	2,181	2,184	2.4%	-1.1%	-0.7%	1.3%	0.1%
Adjusted Price per Gallon	*$2.09*	*$3.11*	*$2.89*	*$2.64*	*$2.41*	*$3.49*	*$2.81*	*$2.70*	*-8.7%*	*-8.8%*	*45.0%*	*-19.4%*	*-3.8%*
Adj. Fuel Expense	$4,347	$5,975	$6,196	$5,790	$5,218	$7,513	$6,129	$5,900	-6.5%	-9.9%	44.0%	-18.4%	-3.7%
Total Adj. Operating Expense ($MM)	$18,804	$22,635	$25,068	$26,974	$27,405	$30,594	$30,456	$31,835	7.6%	1.6%	11.6%	-0.5%	4.5%
Profitability													
Adj. Operating Income	$2,957	$1,120	$900	$341	$539	$1,895	$2,662	$2,855	-62.1%	58.1%	251.6%	40.4%	7.3%
% Margin	*13.2%*	*4.7%*	*3.4%*	*1.2%*	*1.9%*	*5.8%*	*7.9%*	*8.3%*	*-2.2%*	*0.7%*	*3.9%*	*2.2%*	*0.3%*
Adj. EBITDAR	$4,358	$2,666	$2,620	$2,218	$2,421	$3,824	$4,614	$4,818	-15.3%	9.2%	57.9%	20.7%	4.4%
% Margin	*19.4%*	*11.2%*	*10.0%*	*8.1%*	*8.6%*	*11.7%*	*13.7%*	*13.9%*	*-2.0%*	*0.6%*	*3.0%*	*2.1%*	*0.2%*
Adj. EPS	$4.27	$1.16	$1.57	$0.96	$0.93	$3.35	$4.05	$4.40	-39.0%	-3.2%	261.6%	20.8%	8.6%

- Q2 Operating Revenues +16%, Adj Revenue +20%: Q2 GAAP revenues of $8.4BB increased 16.4% y-o-y. However, Q2 revenue results included a $285 million adjustment for the reversal of a portion of breakage revenue recognized between 2022-2025 related to non-expiring flight credits issued during that same period. Adjusting for breakage revenue, Q2 totals revs reached $8.7BB or +20.3% y-o-y.
- 2026 Guidance: LUV initiated FY 2026 EPS guidance of at least $4 in January, but did not update (nor pull) this guidance in April, given the volatile macro backdrop. LUV now expects 2026 EPS of $3.25 to $4.25. The FY outlook contemplates full-year capacity growth of ~1.5%, down from +2% prior, and assumes the current fare environment & demand trends remain intact. We est 2026 EPS towards the lower end of the range with our est of $3.35. Our outlook includes Q4 EPS estimated of $1.33 on ASMs +4.0%, RASM +15.0%, CASM ex +1.4% and fuel $3.50/gal

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

LUV: Revenue Bolstered by Introduction of Assigned Seating/Extra Leg Room + Improving Macro, but Initiative Runway Closing

Detailed LUV Revenue Build - 2026 Revenue Expands 17% Y-o-Y (Adj Revs +18%) on 1.3% ASM Growth and Adj RASMs Up 16%

LUV Revenue Build	2019	2022	2023	2024	2025	2026E	2027E	2028E	% YoY 2024	% YoY 2025	% YoY 2026E	% YoY 2027E	% YoY 2028E
Fleet Build													
Average Aircraft in Fleet:													
737-700	509	439	407	370	329	281	240	190	-9%	-11%	-15%	-14%	-21%
737-800	207	207	207	206	202	187	164	135	0%	-2%	-7%	-12%	-18%
737 MAX 7						-	55	85					
737 MAX 8	33	103	180	234	273	338	381	411	30%	16%	24%	13%	8%
Period Average Aircraft	**749**	**749**	**794**	**810**	**803**	**805**	**840**	**821**	**2%**	**-1%**	**0%**	**4%**	**-2%**
Flight Build													
Flights per Day:													
737-700	5.5	4.9	5.1	5.2	5.1	5.1	5.1	5.2					
737-800	4.4	4.5	5.0	4.6	4.7	4.7	4.6	4.7					
737 MAX 7	-	-				5.1	5.1	5.2					
737 MAX 8	0.6	4.5	5.0	4.6	4.7	4.7	4.6	4.7					
Total Flights per Day per Aircraft	**5.0**	**4.7**	**5.0**	**4.9**	**4.8**	**4.8**	**4.8**	**4.9**	**-3%**	**-1%**	**-1%**	**0%**	**2%**
Flights During Period:													
737-700	1,030,069	789,845	749,689	703,885	610,573	520,565	443,176	359,619					
737-800	330,345	339,463	379,627	346,446	342,316	317,683	277,216	233,901					
737 MAX 7	-	-	-	-	-	-	101,561	160,882					
737 MAX 8	7,313	168,912	330,111	393,536	462,933	573,782	644,021	712,099					
Total Flights	**1,367,727**	**1,298,219**	**1,459,427**	**1,443,866**	**1,415,822**	**1,412,029**	**1,465,974**	**1,466,501**	**-1%**	**-2%**	**0%**	**4%**	**0%**
ASM Build													
Seat Count:													
737-700	143	143	143	143	143	137	137	137					
737-800	175	175	175	175	175	175	175	175					
737 MAX 7							144	144					
737 MAX 8	175	175	175	175	175	175	175	175					
Average Seat Count per Trip	**150.9**	**155.5**	**158.6**	**159.4**	**161.2**	**161.0**	**161.4**	**162.3**	**0.5%**	**1.1%**	**-0.1%**	**0.2%**	**0.6%**
Stage Length:													
737-700	660.8	669.6	672.4	690.0	676.3	676.3	672.9	683.0					
737-800	1,014.0	818.7	791.0	832.4	858.6	857.8	853.5	866.3					
737 MAX 7						676.3	672.9	683.0					
737 MAX 8	1,014.0	818.7	791.0	832.4	858.6	857.8	853.5	866.3					
Weighted Average Stage Length	**748.0**	**728.0**	**730.0**	**763.0**	**780.0**	**790.9**	**786.4**	**801.2**	**4.5%**	**2.2%**	**1.4%**	**-0.6%**	**1.9%**
ASMs (MMs):													
737-700	97,336	75,633	72,083	69,454	59,049	48,229	40,854	33,649	-4%	-15%	-18%	-15%	-18%
737-800	58,620	48,634	52,547	50,468	51,437	47,687	41,405	35,459	-4%	2%	-7%	-13%	-14%
737 MAX 7		-	-	-	-		9,841	15,822					
737 MAX 8	1,298	24,200	45,693	57,328	69,561	86,131	96,191	107,954	25%	21%	24%	12%	12%
Total ASMs	**157,254**	**148,467**	**170,323**	**177,250**	**180,046**	**182,047**	**188,291**	**192,885**	**4.1%**	**1.6%**	**1.1%**	**3.4%**	**2.4%**
Revenue Build													
Load Factor	*83.5%*	*83.4%*	*80.0%*	*80.4%*	*77.4%*	*79.5%*	*80.5%*	*81.5%*	*0.4%*	*-3.0%*	*2.1%*	*1.0%*	*1.0%*
Total RPMs	**131,345**	**123,843**	**136,256**	**142,515**	**139,433**	**144,728**	**151,574**	**157,201**	**4.6%**	**-2.2%**	**3.8%**	**4.7%**	**3.7%**
Passenger Yield per RPM (cents)	15.82¢	17.29¢	17.35¢	17.53¢	18.31¢	20.78¢	20.28¢	20.01¢	1.0%	4.5%	13.5%	-2.4%	-1.3%
Total Passenger Revenue ($MM)	**$20,776**	**$21,408**	**$23,637**	**$24,980**	**$25,535**	**$30,070**	**$30,736**	**$31,463**	**5.7%**	**2.2%**	**17.8%**	**2.2%**	**2.4%**
Freight Revenue	172	177	175	175	171	178	181	185	0%	-2%	4%	2%	2%
Other Revenue	1,480	2,229	2,279	2,328	2,357	2,522	2,648	2,780	2%	1%	7%	5%	5%
Total Revenue ($MM)	**$22,428**	**$23,814**	**$26,091**	**$27,483**	**$28,063**	**$32,769**	**$33,566**	**$34,428**	**5.3%**	**2.1%**	**16.8%**	**2.4%**	**2.6%**

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

LUV: Marking-to-Market New Initiatives

ELR/Assigned Contribution of $1BB Drives ~3.5pts of RASM Growth on Y-o-Y Basis

Metric	Q1:26E	Q2:26E	Q3:26E	Q4:26E	FY26E	FY27E
Assigned/ ELR Revs ($ MMs)	150	250	275	325	1,000	500
RASM (Cents)	17.24	18.51	18.14	18.58	18.14	17.79
ASMs (MMs)	42,049	47,093	45,355	47,888	182,385	188,743
Assigned/ELR RASM (Cents)	0.36	0.53	0.61	0.68	0.55	0.26
Y-o-Y RASM Contribution	2.3%	3.4%	4.0%	4.2%	3.5%	1.5%

Bag Fees Revenue to Annualize in 2026 - Boosting RASM by 2pts

Metric	Q1:25	Q2:25	Q3:25	Q4:25	Q1:26	Q2:26	Q3:26	Q4:26	FY25	FY26
Bag fee Revs ($ MMs)	-	50	200	250	250	275	225	250	500	1,000
Change YoY ($ MMs)	-	50	200	250	250	225	25	-	500	500
RASM (Cents)	15.51	15.41	15.25	16.16	17.24	18.51	18.14	18.58	15.59	18.14
ASMs (MMs)	41,432	46,996	45,567	46,051	42,049	47,093	45,355	47,888	180,046	182,385
Incr RASM (Cents)	-	0.11	0.44	0.54	0.59	0.48	0.06	-	0.28	0.27
YoY RASM Contr	0.0%	0.7%	2.9%	3.4%	3.8%	3.1%	0.4%	0.0%		1.8%

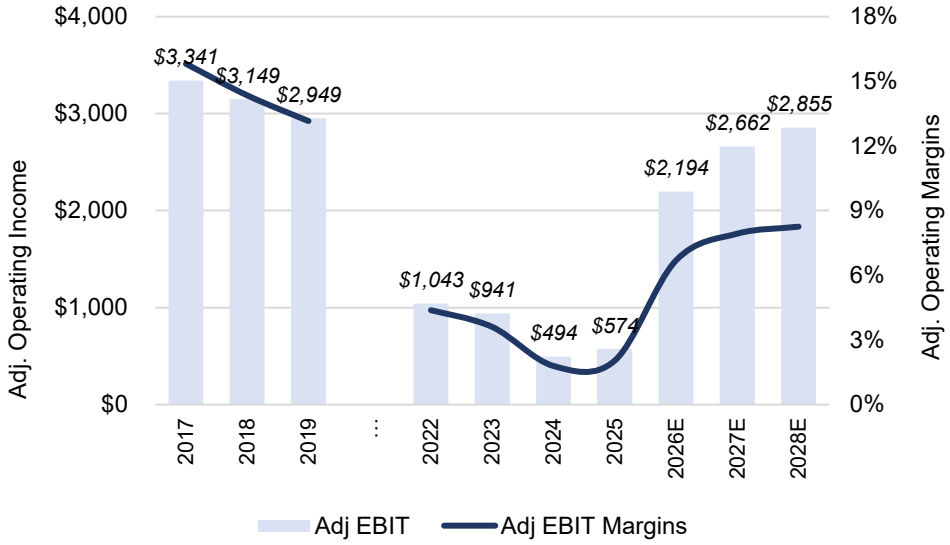
- Over the last 18 months, LUV has transformed the company through multiple initiatives w/ revenue efforts including: 1) implementation of bag fees (May 2025); 2) Assigned Seating and Extra Legroom (January 2026); 3) transformation of fare classes w/ 3 seat tiers (Standard, Preferred, and Extra Legroom) embedded within the 4 fare bundles (Basic, Choice, Choice Preferred, and Choice Extra), and 4) loyalty changes.
- Bag Fees Could Contribute 2pts to 2026 RASM Growth. In May 2025, LUV implemented bag fees across its network, marking a sharp reversal of its historical "Bags Fly Free" philosophy. While the company no longer provides granular updates on bag fee revenue, the initiative was forecast to contribute > $350MM in 2025 before reaching run-rate of $1BB in 2026. If we assume bag fee revenue totaled $500MM in 2025, the incremental $500MM in 2026 implied by the $1BB run-rate guide would contribute ~2pts to 2026 RASM growth on y-o-y basis.
- Assigned Seating & Extra Legroom Could Contribute 3.5pts to 2026 RASM Growth. LUV implemented assigned seating and Extra Legroom (ELR) on January 27, replacing its open seating model. Management previously guided these initiatives would contribute $1B of EBIT in 2026 and $1.5B+ annually by 2027, with potential upside from a stronger yield environment. The retrofit preserved seating on 737-800/MAX-8 aircraft and reduced 737-700 capacity to 137 seats (from 143), creating 26%-29% ELR seating across the fleet. Total retrofit cost was approximately $150M.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

LUV: CASM-ex Remains a Cornerstone of Focus for 2026 Company-Wide, but Fuel Weighs on 2026 EPS Outlook

Cost Performance Drove $574MM of Adj EBIT in 2025 with 2026 EPS Guide of $3.25-4.25 per Share Implying Low-$2BB+ at MSD+ Margins



- Q2 CASM-ex Beats Again. CASM-ex of 12.45¢ increased 3.4% y-o-y in Q2 compared to the guidance of up 3.5-4.0%. However, gains on sale drove a 1pt CASM-ex tailwind, understating core cost trends. This follows strong cost performance Q1 w/ CASM-ex of 13.11¢ +2.4% y-o-y vs on ASMs +1.5% and in full-year 2025 w/ CASM-ex up 3.1% y-o-y to 12.32¢ on +1.6% ASM growth.
- This included outperforming the $370MM cost reduction plan, which included LUV's first ever corporate layoffs, voluntary leave, and other efficiencies such as ground operations optimization, airports space & rents rationalization, procurement efficiency, technology cost optimization, and the discontinuation of the fuel hedging program.
- In 2026, we estimate CASM-ex up 2.7% y-o-y. This is based on capacity growth of 1.3% on our estimate for 2026 compared to the guide of up ~1.5%, now at the midpt of the Investor Day target of 1-2% as LUV efficiently creates ASMs through redyes, turn times, and built-in connectivity.
- In January, mgmt planned to scale the cost-out program to $785MM in 2026, up $415MM y-o-y, and stated it expects to hold management headcount flat in 2026. Headcount ended 2025 at 72.8K with an average headcount of 72.2K, down 2% from 73.7K in 2024.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

LUV: Earnings Growth Supports Capital Deployment Optionality as FCF Makes Its Return

Core FCF Remains Minimal in 2026 with Sale-Leasebacks Driving Our Adj FCF Estimate of $0.6BB

	2022	2023	2024	2025	2026E	2027E
Net Income	**$539**	**$498**	**$465**	**$441**	**$1,341**	**$1,778**
Depreciation and Amortization	1,351	1,522	1,657	1,560	1,621	1,671
NWC	1,483	1,206	(1,586)	(413)	603	269
Stock Comp/Deferred Taxes/Other	417	(62)	(74)	254	292	519
Operating Cash Flow	**$3,790**	**$3,164**	**$462**	**$1,842**	**$3,858**	**$4,238**
Gross Capex	(3,924)	(3,520)	(2,054)	(2,673)	(3,180)	(3,525)
Aircraft Sale & SLB Proceeds	0	0	871	24	192	0
Adjusted Free Cash Flow	**($134)**	**($356)**	**($721)**	**($807)**	**$870**	**$713**
FCF per Share	*($0.21)*	*($0.56)*	*($1.12)*	*($1.45)*	*$1.75*	*$1.50*
Capital Deployment						
Debt Issued	$0	$0	$0	$1,500	$0	$0
Debt Paydown and Finance Leases	(2,437)	(85)	(1,337)	(3,275)	(12)	(11)
Cash Dividends Paid	0	(428)	(430)	(399)	(358)	(338)
Share Repurchases	(648)	0	(250)	(2,550)	(1,750)	(1,500)
Shares Issued and Stock Options	45	48	54	59	62	65
Total Deployment	**($3,040)**	**($465)**	**($1,963)**	**($4,665)**	**($2,058)**	**($1,784)**
Capital Deployment						
FCF / Revenue	-1%	-1%	-3%	-3%	3%	2%
FCF / EBIT	-12%	-40%	-211%	-150%	47%	29%
FCF / Net Income	-18%	-36%	-121%	-158%	65%	40%
FCF Yield on Market Cap	-0.6%	-1.7%	-3.4%	-3.8%	4.1%	3.4%

- Q2 FCF usage of -$288MM after $818MM of gross capex for 13 MAX-8 deliveries, or adj FCF use of -$30MM including $258MM of proceeds from 5 aircraft sales.
- At the September 2024 Investor Day, LUV set targets for $2BB per year of capex through 2027, including $1.5BB of non-aircraft capex and $0.5BB of aircraft capex. The total order book at the start of the year includes 617 MAXs across firm -7/-8s and options.
- 2026 net capex is now expected toward the low end or below the $3.0-3.5BB guide on the reduced fleet plan for 64 MAX-8 deliveries, with our estimate at $2.97BB net ($3.42BB gross) for 64 deliveries.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

LUV: Earnings Growth Supports Capital Deployment Optionality as FCF Makes Its Return

Debt Build - Operating at 1.0-2.5X Gross Leverage and $4.5BB Liquidity Target to Preserve Investment Grade Ratings

Debt Build	2019	2020	2021	2022	2023	2024	2025	2026E	2027E
Cash Equivalents									
Cash and Cash Equivalents	$2,548	$11,063	$12,480	$9,492	$9,288	$7,509	$3,231	$1,993	$922
Short-Term Investments	1,524	2,271	3,024	2,800	2,186	1,216	0	0	0
Total Cash and Cash Equivalents	**$4,072**	**$13,334**	**$15,504**	**$12,292**	**$11,474**	**$8,725**	**$3,231**	**$1,993**	**$922**
Interest Expense	$118	$349	$467	$340	$259	$249	$167	$223	$227
Interest Income	$90	$32	$13	$217	$583	$497	$205	$73	$40
Debt Build									
Term Loans:									
Term Loan Payable Through May 2019									
Term Loan Payable Through July 2019									
Term Loan Payable Through 2020	134								
Term Loan Payable Through 2025		119							
Term Loan Payable Through 2026	178	159							
Term Loan Payable Through 2028		184							
Payroll Support Program Loan		976	976	976	976	976			
Payroll Support Program Loan			566	566	566	566			
Payroll Support Program Loan			526	526	526	526	426		
Notes/Bonds:									
Notes Due November 2019									
Notes Due 2020	500								
737 Aircraft Notes Payable Through 2020	20								
Notes Due 2022	300	300	300						
Pass Through Certificates Due 2022	197	137	71						
Notes Due 2023		1,250	1,250						
Convertible Notes Due 2025		1,945	1,842	1,611	1,611	1,611			
Notes Due 2025		1,550	1,550	1,302	1,302				
Notes Due 2026	300	300	300	300	300	300	300		
Notes Due 2027	300	300	300	300	300	300	300	300	
Notes Due 2027		2,000	2,000	1,727	1,727	1,727	1,727	1,727	
Debentures Due 2027	122	119	116	114	111	107	104	101	
Notes Due 2028							750	750	750
Notes Due 2030		500	500	500	500	500	500	500	500
Notes Due 2035							734	734	734
Assumed Debt Issuance								725	2,850
Other:									
Finance Leases	627	542	459	189	104	91	78	70	62
Revolving Credit Facility									
Other Debt									
Total Debt	**$2,678**	**$10,381**	**$10,756**	**$8,111**	**$8,023**	**$6,704**	**$4,919**	**$4,907**	**$4,896**
Less: Debt Discount and Issuance Costs	(13)	(50)	(29)	(23)	(16)	(5)	(18)	0	0
Plus: Pension Liability	0	0	0	0	0	0	0	0	0
Plus: Lease Liability	1,331	1,868	1,554	1,343	1,193	1,359	1,080	1,080	1,080
Total JEF-Defined Debt	**$3,996**	**$12,199**	**$12,281**	**$9,431**	**$9,200**	**$8,058**	**$5,981**	**$5,987**	**$5,976**
Less: Cash and Cash Equivalents	(4,072)	(13,334)	(15,504)	(12,292)	(11,474)	(8,725)	(3,231)	(1,993)	(922)
Total JEF-Defined Net Debt	**($76)**	**($1,135)**	**($3,223)**	**($2,861)**	**($2,274)**	**($667)**	**$2,750**	**$3,994**	**$5,054**
Leverage Ratios:									
Net Debt:									
JEF-Defined Net Debt/Adj. EBITDA	(0.0X)	0.3X	N/M	(1.2X)	(0.9X)	(0.3X)	1.3X	1.2X	1.2X
JEF-Defined Net Debt/Adj. EBITDAR	(0.0X)	0.3X	N/M	(1.1X)	(0.9X)	(0.3X)	1.1X	1.1X	1.2X
Total Debt:									
JEF-Defined Debt/Adj. EBITDA	1.0X	(3.2X)	N/M	3.8X	3.8X	4.0X	2.8X	1.7X	1.5X
JEF-Defined Debt/Adj. EBITDAR	0.9X	(3.4X)	N/M	3.5X	3.5X	3.6X	2.5X	1.6X	1.4X

- Targeting 1.0-2.5X Gross Leverage. At the end of Q2, LUV reported an adjusted debt position of $6.9BB, with cash & ST of $3.8BB driving net debt of $3.1BB.
- Management targets a liquidity position of $4.5BB, comprised of $3BB of cash and $1.5BB of revolver capacity. LUV intends to operate within a gross leverage range of 1.0-2.5X, with Q1 at 2.1X. There is also $15.7BB of net book value tied to unencumbered aircraft and related assets.
- On JEF ests, gross leverage improves from 2.1X at the end of Q2:26 to 1.8X exiting 2026 on the earnings growth. Our average interest rate in 2026 is 4.6%. We assume LUV repays $1.1BB in debt in 2027 and ~$750MM in 2028, driving gross leverage to 1.2X and 1.0X.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

LUV: Income Statement

In $MM except per share data	2021		2022		2023		2024		2025		2026E		2027E		2028E	
	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales
Total Revenues	**$15,790**	100.0%	**$23,814**	100.0%	**$26,091**	100.0%	**$27,483**	100.0%	**$28,063**	100.0%	**$32,808**	100.0%	**$33,570**	100.0%	**$34,594**	100.0%
Cost and Expenses																
Fuel costs	$3,310	21.0%	$5,975	25.1%	$6,217	23.8%	$5,812	21.1%	$5,240	18.7%	$7,513	22.9%	$6,129	18.3%	$5,900	17.1%
Salaries, wages, and benefits	4,783	30.3%	9,376	39.4%	11,109	42.6%	12,240	44.5%	12,963	46.2%	13,810	42.1%	14,503	43.2%	15,051	43.5%
Maintenance materials and repairs	854	5.4%	852	3.6%	1,188	4.6%	1,353	4.9%	1,227	4.4%	1,131	3.4%	1,208	3.6%	1,277	3.7%
Landing fees and airport rentals	1,456	9.2%	1,508	6.3%	1,789	6.9%	1,962	7.1%	2,178	7.8%	2,462	7.5%	2,680	8.0%	2,903	8.4%
Depreciation and amortization	1,272	8.1%	1,351	5.7%	1,522	5.8%	1,657	6.0%	1,560	5.6%	1,627	5.0%	1,688	5.0%	1,733	5.0%
Other	2,394	15.2%	3,735	15.7%	3,999	15.3%	4,138	15.1%	4,467	15.9%	4,385	13.4%	4,700	14.0%	4,875	14.1%
Total Operating Costs	**$14,069**	89.1%	**$22,797**	95.7%	**$25,824**	99.0%	**$27,162**	98.8%	**$27,635**	98.5%	**$30,928**	94.3%	**$30,908**	92.1%	**$31,739**	91.7%
Operating Profit	**$1,721**	10.9%	**$1,017**	4.3%	**$267**	1.0%	**$321**	1.2%	**$428**	1.5%	**$1,880**	5.7%	**$2,662**	7.9%	**$2,855**	8.3%
Interest & Other Expenses	396		289		(409)		(277)		(135)		72		102		114	
Income Before Taxes	**$1,325**	8.4%	**$728**	3.1%	**$676**	2.6%	**$598**	2.2%	**$563**	2.0%	**$1,808**	5.5%	**$2,559**	7.6%	**$2,741**	7.9%
Taxes (rate %)	348	26.2%	189	25.9%	178	26.3%	133	22.2%	122	21.7%	377	20.9%	576	22.5%	625	22.8%
Net Income	**$977**	6.2%	**$539**	2.3%	**$498**	1.9%	**$465**	1.7%	**$441**	1.6%	**$1,431**	4.4%	**$1,984**	5.9%	**$2,116**	6.1%
Diluted Shares	609		642		640		643		558		496		489		481	
GAAP EPS	**$1.61**		**$0.84**		**$0.78**		**$0.72**		**$0.79**		**$2.89**		**$4.05**		**$4.40**	
GAAP Pre-Tax Income	$1,325		$728		$676		$598		$563		$1,808		$2,559		$2,741	
Adjustments	(2,938)		231		612		179		103		300		0		0	
Adjusted Pre-Tax Income	**($1,613)**		**$959**		**$1,288**		**$777**		**$666**		**$2,108**		**$2,559**		**$2,741**	
Adjusted Taxes	(342)		236		302		180		154		445		576		625	
Adjusted Net Income	**($1,271)**		**$724**		**$986**		**$597**		**$512**		**$1,663**		**$1,984**		**$2,116**	
Adjusted EPS	**($2.15)**		**$1.16**		**$1.57**		**$0.96**		**$0.93**		**$3.35**		**$4.05**		**$4.40**	

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

LUV: Balance Sheet

In $MM except per share data	2021	2022	2023	2024	2025	2026E	2027E	2028E
Assets:								
Cash and cash equivalents	$12,480	$9,492	$9,288	$7,509	$3,231	$3,009	$1,657	$753
Short-term investments	3,024	2,800	2,186	1,216	0	0	0	0
Accounts receivable	1,357	1,040	1,154	1,110	1,149	1,258	1,288	1,327
Inventories of parts and supplies, at cost	537	790	807	800	775	766	793	813
Prepaid expenses and other current assets	638	686	520	639	490	523	554	579
Total Current Assets	**$18,036**	**$14,808**	**$13,955**	**$11,274**	**$5,645**	**$5,556**	**$4,292**	**$3,471**
Property and equipment	14,842	17,342	19,375	19,056	20,245	21,406	22,576	23,699
Goodwill	970	970	970	970	970	970	970	970
Operating lease right-of-use assets	1,590	1,394	1,223	1,369	1,089	1,089	1,089	1,089
Other non-current assets	882	855	964	1,081	1,112	1,229	1,229	1,229
Total Assets	**$36,320**	**$35,369**	**$36,487**	**$33,750**	**$29,061**	**$30,250**	**$30,155**	**$30,459**
Liabilities:								
Accounts payable	1,282	2,004	1,862	1,818	1,991	1,995	1,875	1,905
Accrued liabilities	1,624	2,043	3,563	2,206	2,349	2,486	2,611	2,709
Current operating lease libailities	239	225	208	328	312	312	312	312
Air traffic liability	5,566	6,064	6,551	6,294	5,945	6,305	6,733	7,242
Current maturities of LT debt	453	42	29	1,630	324	2,156	0	0
Total Current Liabilities	**$9,164**	**$10,378**	**$12,213**	**$12,276**	**$10,921**	**$13,254**	**$11,530**	**$12,168**
LT debt	10,274	8,046	7,978	5,069	4,577	3,496	4,516	3,758
Air traffic liability - noncurrent	2,159	2,186	1,728	1,948	1,219	1,219	1,219	1,219
Deferred income taxes	1,770	1,985	2,053	2,167	2,289	2,625	2,686	2,768
Other	11,703	12,465	14,179	14,216	12,995	15,328	13,604	14,242
Total Liabilities	**$25,906**	**$24,682**	**$25,938**	**$23,400**	**$21,080**	**$22,668**	**$22,025**	**$21,987**
Total Stockholder's Equity	**$10,414**	**$10,687**	**$10,549**	**$10,350**	**$7,981**	**$7,582**	**$8,130**	**$8,472**
Total Liabilities and Equity	**$36,320**	**$35,369**	**$36,487**	**$33,750**	**$29,061**	**$30,250**	**$30,155**	**$30,459**

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

StandardAero (SARO)

Hold | Price Target: $30

Valuation Method	Price	Assumptions
EV/EBITDA	30	11.0x EV/EBITDA on 2027 EBITDA of $1.02BB
FCF	30	4.2% FCF Yield on 2027 FCF of $419MM
Average	**$30**	**Blended average**

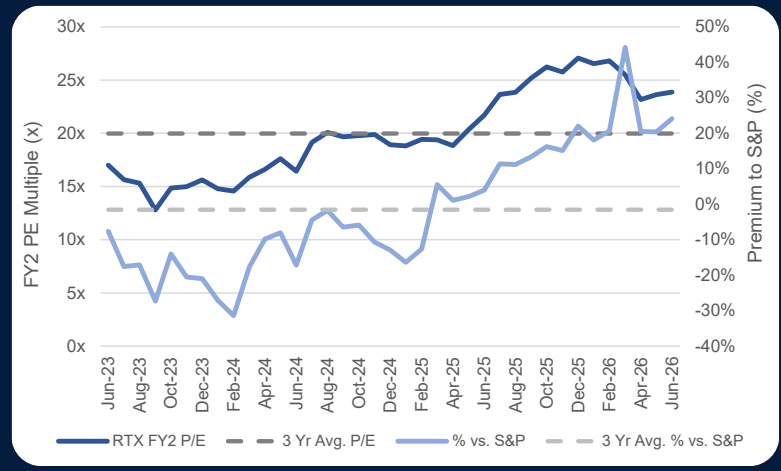
Valuation Table

	Ticker	JEF Rating	Stock Px 7/28/2026	Consensus BUY Rating	Market Cap	Enterprise Value	P/E 2026E	P/E 2027E	P/E 2028E	EV / SALES 2026E	EV / SALES 2027E	EV / SALES 2028E	EV / EBITDA 2026E	EV / EBITDA 2027E	EV / EBITDA 2028E	Yield Dividend	Yield FCF
AAR Corp	AIR	Buy	$138.21	86%	5,514	6,090	24.1x	21.1x		1.7x	1.6x		13.2x	11.9x		0.0%	2.2%
FTAI	FTAI	Buy	$205.70	100%	21,101	24,484	31.2x	15.4x	10.9x	6.5x	4.2x	3.4x	17.1x	10.4x	8.3x	0.7%	6.8%
General Electric	GE	Buy	$360.77	81%	374,321	392,963	45.7x	39.9x	35.1x	7.8x	7.1x	6.5x	32.7x	28.9x	25.7x	0.4%	2.6%
MTU Aero	MTX-DE	Buy	€ 358.60	68%	19,332	20,994	19.4x	17.8x	16.1x	2.2x	2.0x	1.8x	11.7x	10.9x	10.1x	1.0%	3.6%
RTX Corp	RTX	Hold	$217.23	68%	292,780	332,905	30.2x	27.6x	25.0x	3.5x	3.2x	3.0x	21.3x	19.6x	17.9x	1.3%	3.6%
Rolls-Royce	RR-GB	Buy	£14.19	84%	118,320	117,684	37.6x	31.7x	26.6x	5.2x	4.7x	4.2x	23.7x	20.9x	18.4x	0.7%	3.9%
Safran	SAF-FR	Hold	€ 343.00	61%	143,492	141,314	33.6x	27.7x	24.6x	3.9x	3.6x	3.3x	18.2x	16.4x	15.0x	1.0%	3.5%
ST Engineering	S63-SG	N/C	$10.53	67%	32,880	37,721	32.1x	28.3x	25.1x	2.8x	2.5x	2.4x	20.4x	18.6x	17.1x	1.7%	2.8%
VSEC	VSEC	Buy	$197.58	91%	5,544	4,715	45.3x	34.2x	28.4x	2.7x	2.2x	2.0x	14.5x	11.3x	10.0x	0.2%	2.4%
Average				81%			**33.2x**	**27.1x**	**24.0x**	**4.0x**	**3.4x**	**3.3x**	**19.2x**	**16.5x**	**15.3x**	**0.8%**	**3.5%**
StandardAero	**SARO**	**Hold**	**$30.06**		**9,992**	**12,121**	**20.8x**	**17.1x**	**13.3x**	**1.7x**	**1.7x**	**1.5x**	**13.7x**	**11.9x**	**10.0x**	**0.0%**	**4.2%**
Discount / Premium							**-37%**	**-37%**	**-44%**	**-57%**	**-50%**	**-54%**	**-28%**	**-28%**	**-35%**		**-17%**

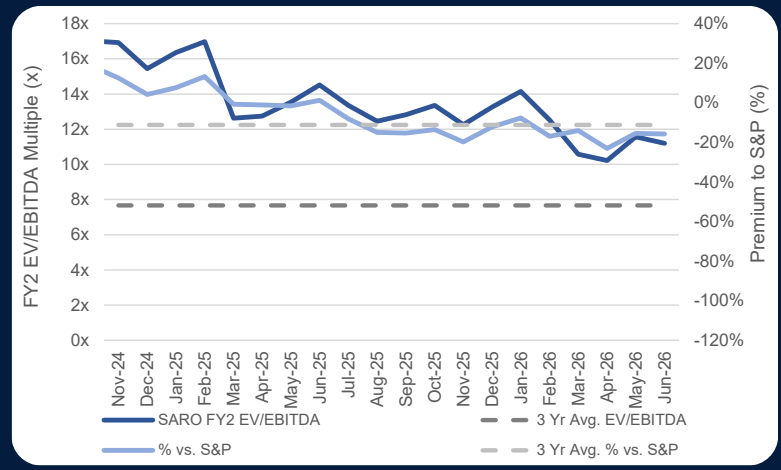
Featured Notes:

- Mgmt Mtg Takes: WIP-ping CFM56 Into Shape Down in Dallas | *June 25, 2026*
- Downgrade to Hold: Sorry SARO, Softer Backdrop Brings Softer Multiples | *June 2, 2026*
- LEAPing Ahead, One Margin Step at a Time | *May 10, 2026*

Trading at 17.4X FY2 P/E, 10% Disct to Mkt vs. Historical Avg Prem of 12%



Trading at 11.2X FY2 EV/EBITDA, 16% Disct to Mkt vs. Historical Avg Disct of 11%



Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

Source: Company data, Jefferies estimates, FactSet

Jefferies

SARO: Reducing Revenue Outlook to Align w/ Updated Air Traffic View: Est 2026 Org Revenue to +12% (from +13%) & 2027 +9% (from +11%)

Summary Financials - EBITDA Grows at a 15% CAGR to 2028, Ahead of Revenues +14% Organic ($MM)

	2021	2022	2023	2024	2025	2026E	2027E	2028E	'25-'28 CAGR
Revenue									
Engine Services	3,122.9	3,723.3	4,049.9	4,644.7	5,354.0	5,613.5	6,124.9	6,907.9	9%
Component Repair Services	357.0	427.2	513.4	592.4	708.6	784.8	869.6	968.1	11%
Total Revenues	**$3,479.9**	**$4,150.5**	**$4,563.3**	**$5,237.2**	**$6,062.5**	**$6,398.4**	**$6,994.5**	**$7,876.0**	**9%**
% Y-o-Y Change		*19%*	*10%*	*15%*	*16%*	*6%*	*9%*	*13%*	
Adjusted EBITDA									
Engine Services	361.5	447.7	520.0	610.9	706.9	763.4	868.1	1,035.5	14%
Component Repair Services	77.4	96.7	124.6	154.7	202.7	224.9	253.4	287.0	12%
Corporate / Public Company Costs	(58.7)	(68.9)	(83.5)	(75.2)	(101.4)	(105.6)	(104.9)	(110.3)	3%
Total Adjusted EBITDA	**$380.2**	**$475.4**	**$561.1**	**$690.5**	**$808.2**	**$882.7**	**$1,016.6**	**$1,212.3**	**14%**
% Y-o-Y Change		*25%*	*18%*	*23%*	*17%*	*9%*	*15%*	*19%*	
Adjusted EBITDA Margin									
Engine Services	11.6%	12.0%	12.8%	13.2%	13.2%	13.6%	14.2%	15.0%	4%
Component Repair Services	21.7%	22.6%	24.3%	26.1%	28.6%	28.7%	29.1%	29.6%	1%
Total Adjusted EBIDTA Margin	**10.9%**	**11.5%**	**12.3%**	**13.2%**	**13.3%**	**13.8%**	**14.5%**	**15.4%**	**5%**
% Incremental Margin		*14%*	*21%*	*19%*	*14%*	*22%*	*22%*	*22%*	
FCF	**$68.6**	**($13.6)**	**($13.9)**	**($24.8)**	**$239.4**	**$298.1**	**$419.2**	**$498.7**	
% of Net Income					*86%*	*75%*	*82%*	*74%*	
GAAP EPS	**($0.11)**	**($0.08)**	**($0.13)**	**$0.04**	**$0.83**	**$1.19**	**$1.53**	**$2.03**	

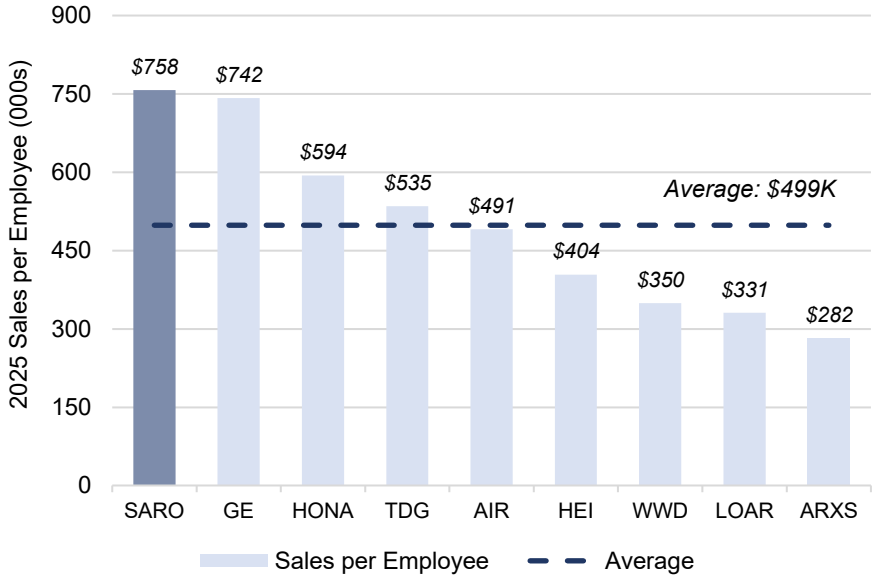
- In Q1:26, revenue grew 14% y-o-y. Commercial Aero growth was up 11% y-o-y (63% of segment revs) and Business Aviation (19% of sales) up 20% y-o-y supported by the HTF7000 program. Military and helicopter increased 10% in Q1 with support from the AE2100, AE1107, F110. The Engine Services business is expected to grow 12% organic (5% reported) in 2026E, led by Business Aviation outlook +HSD-LDD (from +HSD) and Military & Helicopter goes to +LDD (from +HSD) while Commerical Aero remains +LDD-Mid-Teens.

Source: Company data and Jefferies estimates

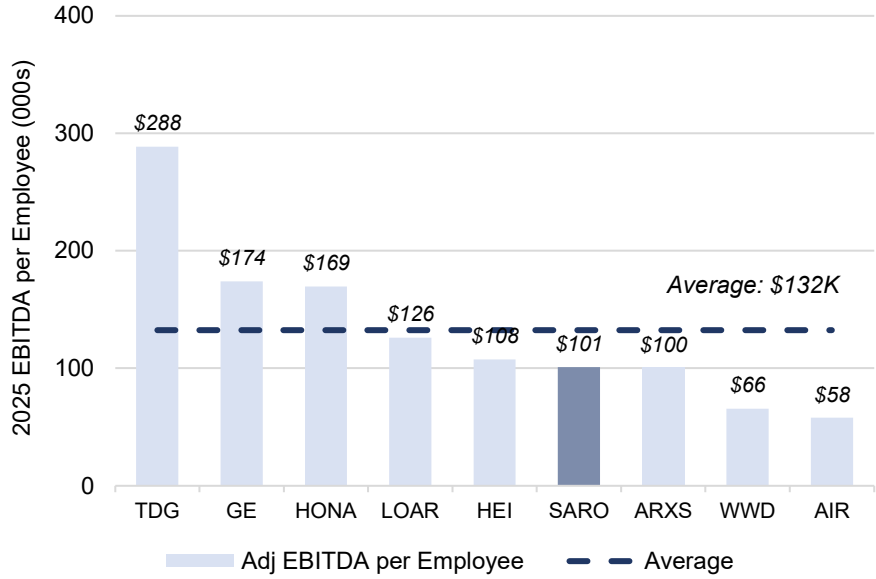
Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

SARO: Strong Sales Efficiency Supports Further Profitability Potential

Sales per Employee - SARO Leads Group at $758K of Sales per Employee, Compared to Group Average of $499K



Adj EBITDA per Employee - SARO at $101K of EBITDA per Employee, Below the Group Average of $132K



- Since 2023, SARO has increased both Sales and EBITDA efficiency with sales per employee increasing at a 10% CAGR to $758K in 2025 and adj EBITDA per employee growing at a 15% CAGR to $101K.
- In 2025, SARO reported $758K in sales per employee, at the top of the peer group that averages $499K. At the profitability level however, SARO reported $101K in Adj EBITDA per employee, below the peer group average of $132K.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

SARO: Engine Services Profitability to Reach Mid-teens Over Time

Engine Services Profitability to Reach Mid-teens Over Time

Engine Services	2021	2022	2023	2024	2025	2026E	2027E	2028E
Commercial Aerospace	$1,582	$1,986	$2,145	$2,696	$3,192	$3,235	$3,494	$3,996
Military, Helicopters, & Energy	627	856	933	899	982	1,080	1,177	1,283
Business Aviation	913	881	972	1,050	1,180	1,298	1,454	1,628
Total	**$3,123**	**$3,723**	**$4,050**	**$4,645**	**$5,354**	**$5,614**	**$6,125**	**$6,908**
% Revenue Change								
Commercial Aerospace		26%	8%	26%	18%	1%	8%	14%
Military, Helicopters, & Energy		37%	9%	-4%	9%	10%	9%	9%
Business Aviation		-4%	10%	8%	12%	10%	12%	12%
Total		**19%**	**9%**	**15%**	**15%**	**5%**	**9%**	**13%**
% Organic		*10%*	*8%*	*15%*	*15%*	*12%*	*9%*	*13%*
% Composition								
Commercial Aerospace	51%	53%	53%	58%	60%	58%	57%	58%
Military, Helicopters, & Energy	20%	23%	23%	19%	18%	19%	19%	19%
Business Aviation	29%	24%	24%	23%	22%	23%	24%	24%
Total	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**

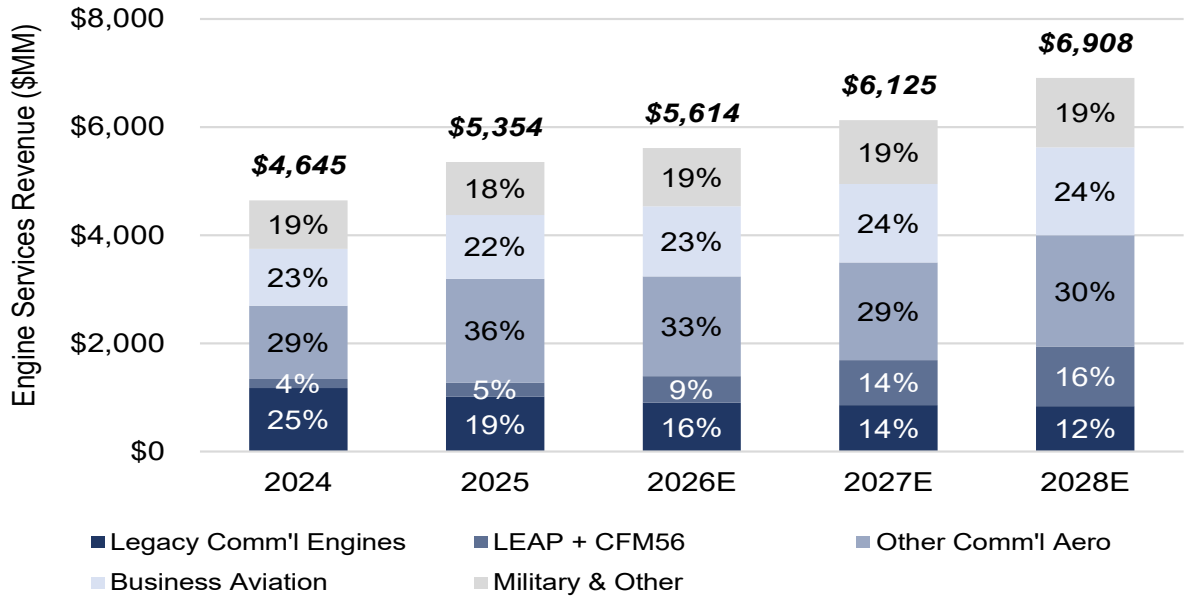
- Within Engine Services, margins are pressured by material pass-through in certain contracts. Material pass-throughs are revenues recorded at near-zero margin for materials purchased to service shop visits, which the company is aiming to reduce over time with a $300-400MM reduction negotiated for 2026 (+90 bps to segment margins). Other levers for margin expansion include value-based pricing, the use of USM, and strategic sourcing. The company is enhancing its pricing strategy with data to be more dynamic. The company also shares best practices between mature platforms and emerging platforms. 89% of the cost base is variable, which supports modest operating leverage. Labor accounts for ~20% of the cost base for SARO with the remainder tied to materials and repairs.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

SARO: ~15% of Engine Services Revenue Remains Exposed to Legacy Platforms

Legacy Commercial Engines Represent ~15% of 2026 Engine Services Sales, Falling to ~LDD In Out Years with Potential Tail-Risk



- We estimate roughly 15% of 2026 Engine Services revenue is tied to legacy commercial and regional engines, which face retirement risk in a slower air traffic environment.
- LEAP ($332MM, or 6% of 2026E sales) and CFM56 ($498MM, or 9% of 2026E sales) are expected to be the largest revenue growth drivers in 2026. Management targets ~$1BB of annual LEAP revenue by 2030, supported by a long-term ramp in shop visit demand and continued market share gains.
- We estimate Engine Services EBITDA margins expand from 13.2% in 2025 to 15.0% by 2028E, driving segment EBITDA from $707MM to $1.0BB as LEAP and CFM56 scale, material pass-through is reduced, and commercial aerospace growth shifts toward newer engine platforms.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

SARO: Market Share Gains in LEAP Supporting Sustained Revenue Growth

Airlines and Fleets Engine Services Revenue Growth Driven by LEAP and CFM56 Market Share Gains

Airlines and Fleets Build	2023	2024	2025	2026E	2027E	2028E	% of Comm'l Aero Revs	% of ES Revs	CAGR
LEAP	$0	$34	$148	$332	$586	$998	10%	6%	89%
CFM56	170	223	343	498	517	594	15%	9%	20%
RB211	418	480	404	330	310	307	10%	6%	-9%
CF34	485	601	700	781	797	789	24%	14%	4%
PW100/150	452	473	413	407	414	400	13%	7%	-1%
PT6A	334	356	360	349	344	365	11%	6%	0%
AE3007	179	220	194	164	133	131	5%	3%	-12%
Other	107	308	629	374	393	412	12%	7%	-13%
Total Airline & Fleet Revenue	**$2,145**	**$2,696**	**$3,192**	**$3,235**	**$3,494**	**$3,996**	**100%**	**58%**	8%
YoY % Change (Organic)		*26%*	*18%*	*1%*	*8%*	*14%*			
Content per Visit									
SV ASP	$0.0	$0.0	$0.0	$0.0	$0.0	$0.0			
LEAP	1.3	3.5	2.3	3.3	4.5	5.0			
CFM56	10.0	10.0	10.0	10.0	10.0	10.0			
RB211	8.0	8.0	8.5	9.0	9.2	9.5			
CF34	3.9	4.0	4.1	4.2	4.3	4.3			
PW100/150	0.7	0.7	0.7	0.8	0.8	0.8			
PT6A	0.6	0.6	0.6	0.6	0.7	0.7			
Annual Shop Visits									
Shop Visits	0	0	0	0	0	0			
LEAP	0	10	64	101	130	200			
CFM56	17	22	34	50	52	59			
RB211	52	60	48	37	34	32			
CF34	124	151	171	187	187	181			
PW100/150	695	694	577	541	524	482			
PT6A	608	617	594	548	514	520			
Shop Visit Growth Y-o-Y									
Shop Visits		NM	NM	NM	NM	NM			
LEAP		NM	570%	57%	29%	53%			
CFM56		32%	53%	45%	4%	15%			
RB211		15%	-21%	-23%	-8%	-4%			
CF34		21%	13%	9%	0%	-3%			
PW100		0%	-17%	-6%	-3%	-8%			
PT6A		2%	-4%	-8%	-6%	1%			

Source: Company data and Jefferies estimates

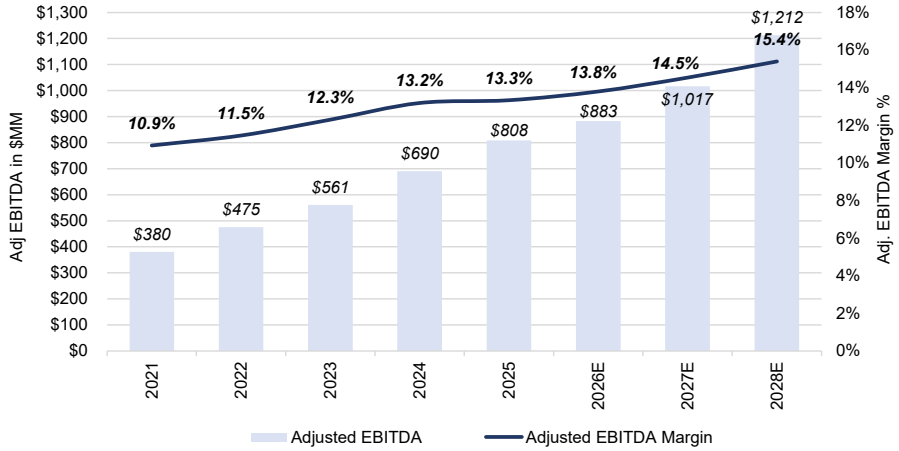
Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

SARO: LEAP and CFM56 Soon Turn Profitable, LEAP Margins Est ~15% 2028E vs ~BE Today

LEAP ~90 Bps Dilutive to 2026E & 2027E with Growing Contribution

Engine Services	2022	2023	2024	2025	2026E	2027E	2028E
Start EBITDA	**$362**	**$448**	**$520**	**$611**	**$707**	**$763**	**$868**
Total organic	43	67	125	97	56	105	167
M&A earnings	43	5	0	0	0	0	0
Productivity / Other, net	0	0	-35	-1	0	0	0
End EBITDA	**$448**	**$520**	**$611**	**$707**	**$763**	**$868**	**$1,036**
Adj EBITDA Margin	***12.0%***	***12.8%***	***13.2%***	***13.2%***	***13.6%***	***14.2%***	***15.0%***
Incrementals							
Volume	*14%*	*23%*	*21%*	*14%*	*15%*	*20%*	*20%*
M&A	*15%*	*15%*	*15%*	*15%*	*15%*	*15%*	*15%*
Incremental margin	***14%***	***22%***	***15%***	***14%***	***22%***	***20%***	***21%***
LEAP Revenue	$0	$0	$34	$148	$332	$586	$998
LEAP Margin Assumption	0%	0%	0%	0%	0%	10%	15%
ES Margin Ex-LEAP	12.0%	12.8%	13.2%	13.6%	14.5%	14.6%	15.0%
% Dilution	**0.0%**	**0.0%**	**-0.1%**	**-0.4%**	**-0.9%**	**-0.4%**	**0.0%**

ES Adj EBITDA Margin to Expand to 15.0% in 2028E from 13.2% in 2025



- Within Engine Services, margins are pressured by material pass-through in certain contracts. Material pass-throughs are revenues recorded at near-zero margin for materials purchased to service shop visits, which the company is aiming to reduce over time with a $300-400MM reduction negotiated for 2026 (+90 bps to segment margins).
- Other levers for margin expansion include value-based pricing, the use of USM, and strategic sourcing. The company is enhancing its pricing strategy with data to be more dynamic. The company also shares best practices between mature platforms and emerging platforms. 89% of the cost base is variable, which supports modest operating leverage. Labor accounts for ~20% of the cost base for SARO with the remainder tied to materials and repairs.
- SARO is making progress to inflect both the LEAP and CFM56 in Dallas to positive margins in the coming Qs. The programs acct for 6% and 9% of 2026E ES sales and 4pts and 3pts of our ES growth of +12% organic y-o-y, respectively. The two are already ~90 bps dilutive to 2026E, with any loss of high-margin end-of-life work posing margin risk to H2 and 2027.
- We est margins expand 40bps to 13.6% given the dilutive impact of LEAP/CFM56 (~90bps) underpinned by LEAP growing 4X in Q1 and mgmt expecting profitability in H1:26 (from H2 prior) w/ JEFe LEAP +125% to $332MM (6% of ES) in '26 (Ex 9). We assume a three-year learning curve for the talent base with LEAP margins est to improve from 0% in 2026E to 10% in 2027E and 15% by 2028E.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

SARO: CRS Profitability to Expand 140 bps from 2025 to 2028E with Operating Leverage

Component Repair Services Includes 12% In-Sourced Revenue Growing to 14% by 2028E

Component Repair Services	2021	2022	2023	2024	2025	2026E	2027E	2028E
Third Party Revenue			$466	$525	$630	$677	$735	$809
Insourcing Revenue (CFM/LEAP)			48	68	78	94	113	135
Total	**$357**	**$427**	**$513**	**$592**	**$709**	**$785**	**$870**	**$968**
% Revenue Change								
Third Party Revenue				13%	20%	8%	9%	10%
Insourcing Revenue (CFM/LEAP)				42%	16%	20%	20%	20%
Total		**20%**	**20%**	**15%**	**20%**	**11%**	**11%**	**11%**
% Organic		*11%*	*19%*	*13%*	*9%*	*9%*	*10%*	*11%*
% Composition								
Third Party Revenue			91%	89%	89%	88%	87%	86%
Insourcing Revenue (CFM/LEAP)			9%	11%	11%	12%	13%	14%
Total			**100%**	**100%**	**100%**	**100%**	**100%**	**100%**

- SARO has invested more than $400MM in component repair since 2017, having grown that business from $116MM of sales in 2016 to $709MM in 2025, or a more than 15% CAGR, including 6 acquisitions. CRS has 20,000 repair license with 2,000 awaiting approval over the next few years.
- The Component Repair Services segment accounted for 12% of sales in 2025 but 25% of EBITDA given the 28.6% margins in 2024. 11% of the work in CRS is for internal consumption, which is targeted to reach 30% overtime (beyond our investment horizon). Q1 was up 7% organically, supported by ramping CFM56 and LEAP work. We assume 12% in-sourced revenue growth in 2026E.
- On Q1:26, SARO acquired Unified Turbines, a hot-section repair co worth an est ~$3MM to '26 CRS EBITDA ($MSD EBITDA annualized).

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

SARO: FCF and Capital Deployment

FCF Expected to Grow >40% in 2026E After Turning Positive in 2025
Supported by Lower Interest Expense and Ramping Engine Platforms

FCF Build	2021	2022	2023	2024	2025	2026E	2027E
Net Income	($31)	($21)	($35)	$11	$277	$396	$511
Depreciation and Amortization	196	195	197	187	194	194	181
NWC	4	(144)	(99)	(144)	(163)	(178)	(168)
Stock Comp/Deferred Taxes/Other	(39)	(3)	5	22	8	(5)	3
CFO	**$131**	**$27**	**$68**	**$76**	**$317**	**$407**	**$528**
Capex	(62)	(41)	(82)	(121)	(108)	(109)	(108)
FCF	**$69**	**($14)**	**($14)**	**($45)**	**$209**	**$298**	**$419**
FCF Per Share	**$0.25**	**($0.05)**	**($0.05)**	**($0.16)**	**$0.63**	**$0.90**	**$1.26**
Deployment							
Dividend	$0	$0	$0	$0	$0	$0	$0
Share Repurchases/Proceeds	0	0	0	1,203	(2)	(22)	0
Debt Paydown	(31)	(171)	(1,491)	(4,237)	(738)	0	(400)
Debt Issuance	267	145	1,480	3,247	715	0	0
Acquisition	(233)	(20)	(31)	(114)	1	0	0
Total Deployment	**$3**	**($46)**	**($43)**	**$99**	**($24)**	**($22)**	**($400)**
Discretionary FCF (post pension, dividends, and committed debt pay-down)	**$71**	**($59)**	**($57)**	**$54**	**($530)**	**$276**	**$19**
Ratios							
FCF to Net Income Conversion	--	--	--	-410%	75%	75%	82%
FCF Yield (FCF / Mkt Cap.)	0.8%	--	--	--	2.4%	3.4%	4.7%
FCF Change YoY %	--	--	--	--	--	43%	41%
Discretionary FCF Yield	--	--	--	--	NM	3.1%	0.2%
Discretionary FCF % Change YoY	--	--	--	--	--	-152%	-93%
Dividend Yield	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%
Share Repo as % of Mkt Cap	0%	0%	0%	0%	0%	0%	0%
Working Capital as a % of Sales	0%	-3%	-2%	-3%	-3%	-3%	-2%
Net Debt to EBITDA	7.9x	6.5x	5.6x	3.1x	2.4x	1.9x	1.2x
Capex % of Sales	1.9%	1.1%	1.9%	2.4%	1.9%	1.7%	1.6%

- SARO had been a user of cash in recent years, with a $14MM usage in 2023 and $45MM usage in 2024. FCF turned positive in 2025 at $209MM on OCF of $317MM and capex of $108MM.
- 2026 FCF was guided to be $270-300MM of generation, on $100-110MM of capex including $30MM of major platform investment. The major platform investment includes $20MM for LEAP industrialization and $10MM for the Winnipeg CF34 facility.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

SARO: SOTP Values SARO at $30/Sh

FV of $30/Sh Based on a STOP w/ Key Engine Platforms Estimated to Add $9/Sh

	2027 JEF Estimates						Enterprise			$ per Share						
	Revenues	EBITDA	% Margin	Low	High	EV/EBITDA	Low	High	Value	Low	High	% Total	Low	High	Base	Comps
Engine Services	**$6,125**	**$868**	**14.2%**													
Other Engine Services	4,194	636	15.2%	6.5x	12.5x	10.0x	$4,121	$7,925	$6,340	49%	59%	56%	$11	$22	$17	GE, FTAI, MTX-DE, RTX
Key Engine NPVs	1,931	232	12.0%	14.4x	14.4x	14.4x	3,337	3,337	3,337	40%	25%	29%	$9	$9	$9	
Component Repair Services	**870**	**253**	**29.1%**	**7.5x**	**14.4x**	**11.5x**	**1,894**	**3,642**	**2,913**	**23%**	**27%**	**26%**	**$5**	**$10**	**$8**	FTAI, LOAR, TDG
Corporate & Other	0	(105)		9.4x	13.7x	11.9x	(991)	(1,441)	(1,253)	-12%	-11%	-11%	($3)	($4)	($3)	
Total SARO	**$6,994**	**$1,017**	**14.5%**	**8.2x**	**13.2x**	**11.2x**	**$8,361**	**$13,463**	**$11,337**	**100%**	**100%**	**100%**	**$21**	**$37**	**$30**	
Net Debt							$1,230	$1,230	$1,230							
Market Capitalization							**$7,131**	**$12,233**	**$10,107**							
Shares Outstanding							333	333	333							
Implied Share Price							**$21**	**$37**	**$30**							

2028E Growth Profile Enhanced by Organic Expansion and M&A

2028E	
JEFe Cumulative FCF '26-'28E	**$1,216**
JEFe Net Leverage	**0.6x**
JEFe Net Debt	$731
Adj EBITDA	$1,212
Target Leverage	**3.0x**
Net Debt	$3,637
Net New Debt for M&A	**$2,906**
Net New M&A Deployment	**$4,122**

M&A	
M&A Deployment	**$4,122**
Acquired EV/EBITDA Multiple	**12.0x**
Acquired Adj EBITDA	$344
Organic Adj EBITDA	$1,212
Total Adj EBITDA	**$1,556**
% Accretion vs JEFe	*28%*
Diluted Shares	333.0
EV/EBITDA Multiple	10x
Fair Value	**$36**
Value Added via M&A	*$1.6*

- Our PT of $30 is based on an SOTP with key engine platforms valued on an NPV analysis, including the LEAP at $6/sh, CF34 a $2/sh, CFM56 at $1/sh, and RB211 at $0.50, or a total of $9/sh. We also place a 35% discount to average engine services multiple of 16.2X on the remainder of the Engine Services segment, implying a value of $26/sh. The Component Repair Services business is more akin to a parts supplier such as TDG, as well as high-margin engine component repair (FTAI), implying a fair multiple of 11.5X based on a 35% discount to peer average. This implies that CRS could be worth $8/sh with a partial offset from $1.3BB of net debt in our 2027E and $4/sh of corporate expense.
- 2028E Net Leverage of 0.6X vs 3.0X Target & $1.2BB of '26-'28E FCF Offers >$4BB of Firepower That Could Be Deployed to M&A; Potential Adj EBITDA Accretion of 28% Worth an Add'l $2/sh

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

SARO: Annual Income Statement

(millions, except per share data)	2021		2022		2023		2024		2025		2026E		2027E		2028E	
	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales
Total Revenues	**$3,479.9**	100.0%	**$4,150.5**	100.0%	**$4,563.3**	100.0%	**$5,237.2**	100.0%	**$6,062.5**	100.0%	**$6,398.4**	100.0%	**$6,994.5**	100.0%	**$7,876.0**	100.0%
Cost of Sales	3,063.4	88.0%	3,604.8	86.9%	3,928.0	86.1%	4,483.0	85.6%	5,165.1	85.2%	5,392.9	84.3%	5,830.3	83.4%	6,494.7	82.5%
Gross Profit	**$416.5**	12.0%	**$545.7**	13.1%	**$635.3**	13.9%	**$754.1**	14.4%	**$897.5**	14.8%	**$1,005.4**	15.7%	**$1,164.1**	16.6%	**$1,381.3**	17.5%
SG&A	156.4	4.5%	188.1	4.5%	202.8	4.4%	254.1	4.9%	247.7	4.1%	232.9	3.6%	239.9	3.4%	270.1	3.4%
Amortization of Intangibles	94.0	2.7%	93.7	2.3%	93.7	2.1%	95.5	1.8%	98.7	1.6%	98.7	1.5%	98.7	1.4%	98.7	1.3%
Acquisition Costs	8.4	0.2%	1.3	0.0%	1.5	0.0%	1.4	0.0%	0.0	0.0%	0.0	0.0%	0.0	0.0%	0.0	0.0%
Total Operating Expenses	**$258.8**	7.4%	**$283.1**	6.8%	**$298.0**	6.5%	**$350.9**	6.7%	**$346.4**	5.7%	**$331.6**	5.2%	**$338.6**	4.8%	**$368.8**	4.7%
Operating Profit	**$157.7**	4.5%	**$262.6**	6.3%	**$337.4**	7.4%	**$403.2**	7.7%	**$551.1**	9.1%	**$673.9**	10.5%	**$825.5**	11.8%	**$1,012.4**	12.9%
Interest Expense	205.3	5.9%	243.0	5.9%	309.6	6.8%	282.5	5.4%	174.2	2.9%	145.7	2.3%	134.9	1.9%	111.4	1.4%
Other Expense (Income)	2.8	0.1%	2.4	0.1%	(22.6)	-0.5%	(39.0)	-0.7%	0.0	0.0%	0.0	0.0%	0.0	0.0%	0.0	0.0%
Earnings Before Tax	**($44.8)**	-1.3%	**$22.0**	0.5%	**$5.1**	0.1%	**$81.8**	1.6%	**$376.9**	6.2%	**$528.2**	8.3%	**$690.6**	9.9%	**$901.1**	11.4%
Income Taxe Expense	(13.8)		43.0		40.2		70.8		99.4		132.1		179.6		225.3	
Adj Net Income (Loss)	**$80.3**	2.3%	**$83.9**	2.0%	**$95.1**	2.1%	**$208.6**	4.0%	**$398.4**	6.6%	**$481.3**	7.5%	**$584.1**	8.4%	**$749.8**	9.5%
Adj Diluted EPS	**$0.29**		**$0.31**		**$0.35**		**$0.72**		**$1.19**		**$1.45**		**$1.75**		**$2.25**	
Diluted Shares Outstanding	275.2		275.2		275.2		289.8		334.3		333.0		333.0		333.0	

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

TransDigm Group (TDG)

Buy | Price Target: $1,575

Valuation Method	Price	Assumptions
EV/EBITDA	1,584	20.0x EV/EBITDA on 2027 EBITDA of $5.91BB
P/E	1,545	33.0x P/E on 2027 EPS of $46.80
FCF	1,597	3.0% FCF Yield on 2027 FCF of $2.76BB
Average	**$1,575**	**Blended Average**

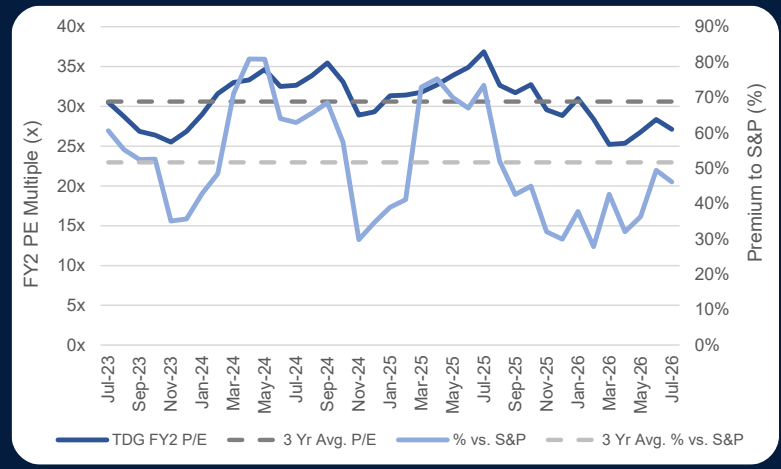
Valuation Table

	Ticker	JEF Rating	Stock Px 7/28/2026	Consensus BUY Rating	Market Cap	Enterprise Value	P/E 2026E	P/E 2027E	P/E 2028E	EV / SALES 2026E	EV / SALES 2027E	EV / SALES 2028E	EV / EBITDA 2026E	EV / EBITDA 2027E	EV / EBITDA 2028E	Yield Dividend	Yield FCF
Ametek	AME	N/C	$243.07	65%	55,712	57,243	29.8x	27.5x	25.3x	7.1x	6.7x	6.3x	22.3x	20.8x	19.5x	0.5%	3.7%
Danaher	DHR	Buy	$200.35	86%	140,843	165,289	23.6x	21.7x	19.8x	6.3x	5.9x	5.5x	19.9x	18.3x	16.9x	0.7%	4.5%
GE Aerospace	GE	Buy	$360.71	81%	374,259	392,963	45.7x	39.9x	35.1x	7.8x	7.1x	6.5x	32.7x	28.9x	25.7x	0.4%	2.6%
HEICO	HEI	Buy	$361.13	60%	19,947	53,543	59.2x	52.4x	46.3x	10.1x	9.2x	8.5x	36.1x	32.7x	30.2x	0.1%	2.7%
Honeywell	HON	Hold	€ 249.01	62%	78,921	105,582	30.0x	24.9x	21.6x	5.2x	5.1x	4.9x	23.9x	20.6x	18.9x	0.0%	4.8%
LOAR Group	LOAR	Buy	$72.66	67%	6,803	7,647	55.7x	47.2x	40.4x	11.7x	10.6x	9.7x	29.2x	25.9x	23.2x	0.0%	2.1%
Roper Technologies	ROP	Buy	$394.90	35%	39,852	51,388	17.8x	16.3x	14.8x	6.0x	5.7x	5.3x	15.4x	14.3x	13.4x	0.9%	7.3%
RTX	RTX	Buy	$217.34	68%	292,922	332,905	30.2x	27.7x	25.0x	3.5x	3.2x	3.0x	21.3x	19.6x	17.9x	1.3%	3.5%
Woodward	WWD	Buy	$410.57	85%	24,463	25,476	43.6x	38.2x	32.1x	5.9x	5.4x	4.9x	28.2x	24.9x	21.5x	0.3%	2.1%
Average				70%			**37.3x**	**32.9x**	**28.9x**	**7.1x**	**6.5x**	**6.1x**	**25.4x**	**22.9x**	**20.8x**	**0.5%**	**3.7%**
TransDigm	**TDG**	**Buy**	**$1,307.02**	**54%**	**73,106**	**104,292**	**32.9x**	**27.9x**	**23.9x**	**9.3x**	**9.3x**	**8.7x**	**19.2x**	**17.6x**	**16.5x**	**0.0%**	**3.6%**
Discount / Premium							**-12%**	**-15%**	**-17%**	**31%**	**41%**	**43%**	**-24%**	**-23%**	**-21%**		**4%**

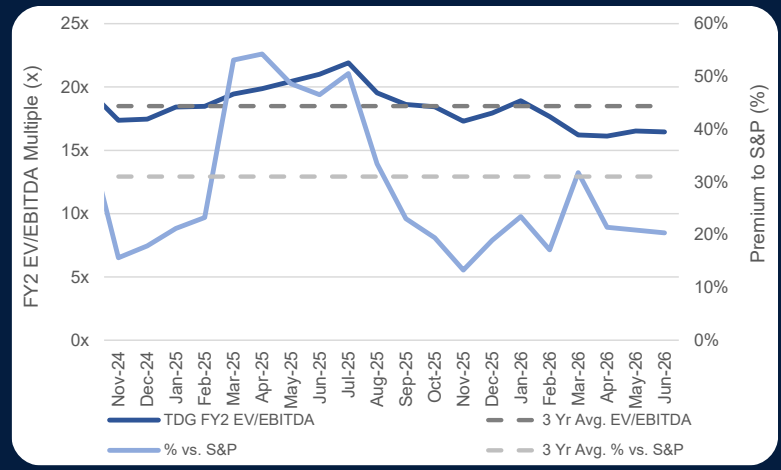
Featured Notes:

- Aftermarket Back On the Nice List? | *May 10, 2026*
- Same LISt of Priorities, But May Need the MAN To Execute Deals to Re-Rate / *Nov 16, 2025*
- Mgmt Mting Takes: Looking for a New (Lis)Man, But A Rinse and Repeat of TDG 3Ps | *Sept 28, 2025*

Trading at 27.1X FY2 P/E, 46% Prem to Mkt vs. Historical Avg Prem of 52%



Trading at 16.8X FY2 EV/EBITDA, 31% Prem to Mkt vs. Historical Avg Prem of 33%



Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

Source: Company data, Jefferies estimates, FactSet

TDG: ~10% Organic Growth in FY26E Driven by Comm'l OE Up 13% and Commercial AM +8%

TDG Revenue Build - +13% OE Leads Growth in FY26 on Our Estimates, Followed by Commercial AM Up 8%

Revenue YoY % Change	FY21	FY22	FY23	FY24	FY25	FY26E	FY27E	FY28E
Commercial OEM	-25%	24%	24%	20%	-1%	14%	8%	7%
Commercial AM	-18%	43%	31%	12%	10%	9%	8%	8%
Defense	5%	-3%	11%	19%	13%	8%	6%	5%
Total Pro-Forma Growth	**-7%**	**15%**	**18%**	**16%**	**8%**	**10%**	**7%**	**6%**
Total Divestitures	0%	0%	0%	0%	0%	0%	0%	0%
Total M&A	1%	-1%	3%	4%	4%	7%	2%	0%
Revenue % Split								
Commercial OEM	25%	27%	27%	28%	25%	25%	25%	26%
Commercial AM	25%	31%	35%	32%	32%	32%	32%	33%
Defense	50%	42%	38%	40%	43%	43%	42%	42%
Total	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**
MAX Production Rate (per Month)			**25**	**23**	**23**	**41**	**46**	**49**
B787 Production Rate (per Month)			**3**	**4**	**6**	**8**	**9**	**10**

FY26 Guidance
Up LDD to Mid-Teens
Up HSD to LDD
Up HSD

- On a PF organic basis, revenues are expected to grow ~10% in FY26 following 8% organic growth in FY25. Management's revenue outlook was raised ~4pts to +17.3% at the midpt (JEFe M&A contribution +7.5% implies ~10% organic growth) driven by commercial AM +HSD-LDD (from +HSD), OE +LDD-Mid-Teens (from +HSD-Mid-Teens) and Defense +HSD (from +M-HSD). FQ2 tracked up 11.0% organically with $158MM of contribution from Simmonds and Servotronics.
- We expect FY26 organic growth of 10%, led by Commercial OE +14% (guidance LDD to Mid-teens), followed by Commercial AM up 9% (guidance +HSD to LSD) and Defense +8% (vs guidance of +HSD). On OE, FY25 was down 1% y-o-y due to restocking across the four major platforms (MAX, A320neo, 787, and A350) particularly in FQ3 with our estimate incorporating a MAX rate of 41/mo in FY26E up from 23/mo in FY25.

Source: Company data and Jefferies estimates

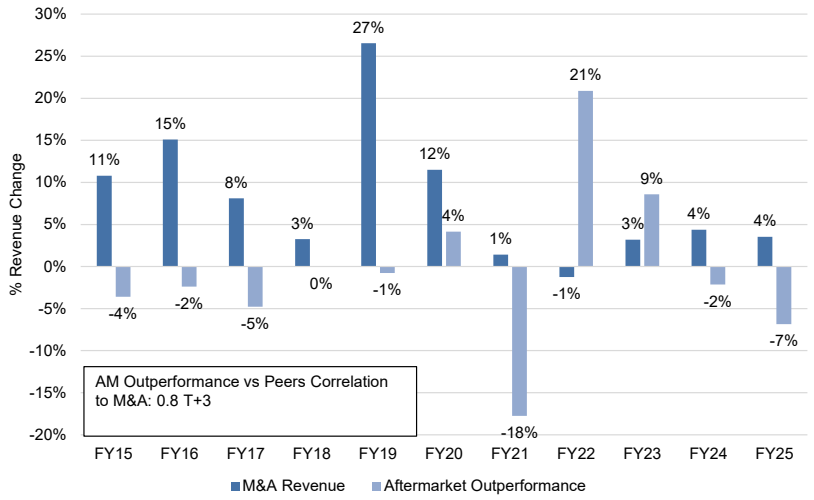
Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

TDG: FY26 Acquisition Contribution of 7.5pts

TDG M&A - M&A to Contribute ~7.5% to 2026 Revenue Growth

	Segment	Closing Date	EV (Cash Impact)	Annual Revenue	Annual EBITDA	EPS Impact	FY25 % M&A	FY26 % M&A
Avista	Airframe	11/17/2020	$10	-$10	-$1	-$0.01	0.0%	0.0%
Cobham Aero Connectivity	Airframe	1/5/2021	-$965	$189	$47	$0.65	0.0%	0.0%
Racal Acoustics	Non-aviation	1/29/2021	$20	-$20	-$2	-$0.03	0.0%	0.0%
TAC	Airframe	4/12/2021	$40	-$45	-$9	-$0.12	0.0%	0.0%
ScioTeq/TREALITY	Airframe	7/1/2021	$200	-$124	-$25	-$0.34	0.0%	0.0%
DART Aerospace	Airframe	5/25/2022	-$360	$100	$25	$0.34	0.0%	0.0%
Calspan	Airframe	5/8/2023	-$725	$251	$63	$0.88	0.0%	0.0%
SEI	Airframe	5/22/2024	-$170	$40	$14	$0.19	0.3%	0.0%
CPI Electron Device Business	Power & Control	6/6/2024	-$1,385	$310	$93	$1.29	2.5%	0.0%
Raptor Scientific	Airframe	7/31/2024	-$655	$105	$42	$0.58	1.1%	0.0%
Servotronics	Power & Control	7/1/2024	-$133	$100	$0	$0.00	0.1%	1.0%
Simmonds Precision Products	Power & Control	10/6/2025	-$765	$403	$32	$0.44	0.0%	4.6%
JPE & VSA	Power & Control	4/7/2026	-$2,200	$329	$99	$1.36	0.0%	1.8%
Total Acquisition/Divestiture			**-$5,308**	**$1,286**	**$280**	**$3.86**	**4.0%**	**7.4%**
% Annualized Impact				*14.6%*	*5.9%*	*10.4%*		

Aftermarket Performance Tends to Outperform 3 Years After Acquisition



- If we look at the correlation between TDG's organic aftermarket growth and M&A, there is a 0.8 correlation in the period 3 years after an acquisition is acquired to TDG's growth ahead of peers. This implies that aftermarket outperformance is supported by the revenue and EBITDA synergy model at TDG, which includes pricing as well as other cross-selling and optimization efforts. In the absence of significant M&A, the outperformance is more difficult.
- With regard to pricing in particular, periods of high inflation tend to correspond to a better ability to pass through price for TDG, which corresponds to better organic growth. Since 2013, we have seen a 0.6 correlation between TDG organic growth and CPI 4 quarters previously (given annual catalog pricing).

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

TDG: Commercial AM Continues Its HSD+ Momentum +9% in FY26

FQ4 Aftermarket Growth Improvement Supported by Better Passenger Airframe vs FQ3

PF % Change	FQ1:25	FQ2:25	FQ3:25	FQ4:25	FQ1:26	FQ2:26	FQ3:26E	FQ4:26E	2024	2025	2026E
Passenger AM	9%	11%	4%	12%	8%	20%	8%	-2%	18%	9%	9%
Engine (Est 25% of Passenger)	16%	19%	20%	21%	21%	12%	10%	9%	14%	20%	9%
Airframe (Est 75% of Passenger)	5%	6%	-1%	6%	3%	17%	6%	-4%	14%	4%	6%
Interiors AM	6%	15%	15%	15%	8%	-5%	46%	-120%	2%	13%	21%
Freight AM	2%	14%	11%	15%	8%	7%	9%	16%	-5%	11%	10%
BGA AM	18%	23%	5%	6%	1%	6%	5%	4%	5%	13%	4%
Total Commercial AM	**9%**	**13%**	**6%**	**11%**	**7%**	**14%**	**12%**	**-4%**	**11%**	**10%**	**9%**

- AM improved 7pts sequentially to +14% organic growth in FQ2 (despite 4pt tougher y-o-y compare) with Air Transport +16% (+DD growth in all four sub-areas, led by Pax > Engine > Interiors > Freight) and Biz Jet/Helo +6%. After 10% growth in the Aftermarket in FY25, the raised HSD-LDD guidance is relatively steady with our estimate for +9%.
- In FY25, TDG's Commercial Aftermarket accounted for $2.8BB of sales (32% of total TDG), up 12% y-o-y total and up 10% organically. The AM business is 80% commercial transport and 20% business jet & helicopter as disclosed.
- Within the 80% of commercial transport, 75% is tied to passenger, 15% is tied to freight, and 10% is tied to interiors. Within passenger, we estimate 75% is airframe and 25% is engine. Therefore, the total TDG Commercial AM splits into 45% Commercial passenger airframe, 20% business jet / helicopter, 15% Commercial passenger engine, 12% Commercial freight, and 8% Commercial interiors on our estimates.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

TDG: Commercial OE Expected +14% in FY26E Following Destocking Headwind in FY25

Commercial OE Revenue Build - 2026 Expected +14% Following -1% in FY25

Commercial OE Build	FY18	FY19	FY20	FY21	FY22	FY23	FY24	FY25	FY26E	FY27E
737	578	594	141	191	281	301	275	275	490	554
747	6	7	6	7	5	1	0	0	0	0
757/767	17	43	35	31	36	32	26	30	28	24
777	46	45	30	24	24	24	26	30	38	38
787	145	158	100	39	20	36	52	77	99	111
A320	625	642	515	489	509	557	594	608	679	768
A330/340	44	53	35	24	32	32	32	40	45	44
A350	93	112	84	54	59	64	59	56	66	81
A380	12	8	5	0	0	0	0	0	0	0
CRJ & CSeries	33	48	50	43	60	64	73	83	96	119
Gulfstream	121	147	135	121	120	113	130	151	159	171
Total Production	**1,720**	**1,857**	**1,136**	**1,023**	**1,145**	**1,225**	**1,267**	**1,349**	**1,700**	**1,910**
ASP ($Ks)										
737	$275	$350	$350	$350	$350	$350	$350	$350	$350	$350
747	$489	$6,000	$6,000	$6,000	$6,000	$6,000	$6,000	$6,000	$6,000	$6,000
757/767	$489	$1,750	$1,750	$1,750	$1,750	$1,750	$1,750	$1,750	$1,750	$1,750
777	$760	$1,750	$1,750	$1,750	$1,750	$1,750	$1,750	$1,750	$1,750	$1,750
787	$760	$1,300	$1,300	$1,300	$1,300	$1,300	$1,300	$1,300	$1,300	$1,300
A320	$538	$350	$350	$350	$350	$350	$350	$350	$350	$350
A330/340	$760	$800	$800	$800	$800	$800	$800	$800	$800	$800
A350	$760	$500	$500	$500	$500	$500	$500	$500	$500	$500
A380	$2,661	$6,000	$6,000	$6,000	$6,000	$6,000	$6,000	$6,000	$6,000	$6,000
CRJ & CSeries	$760	$1,000	$1,000	$1,000	$1,000	$1,000	$1,000	$1,000	$1,000	$1,000
Gulfstream	$760	$300	$300	$300	$300	$300	$300	$300	$300	$300
Revenue Per Platform ($MMs)										
737	$159	$208	$49	$67	$98	$105	$96	$96	$171	$194
747	$3	225	180	171	178	195	208	213	238	269
757/767	$8	79	53	42	42	42	46	53	67	67
777	$35	42	28	19	26	26	26	32	36	35
787	$110	205	130	51	26	47	68	99	129	144
A320	$336	56	42	27	29	32	29	28	33	41
A330/340	$33	48	30	0	0	0	0	0	0	0
A350	$71	42	36	42	30	6	0	0	0	0
A380	$32	75	61	54	63	56	46	53	49	42
CRJ & CSeries	$25	48	50	43	60	64	73	83	96	119
Gulfstream	$92	44	41	36	36	34	39	45	48	51
Other	103	450	706	554	730	1,078	1,491	1,405	1,475	1,500
Total Commercial OE Sales	**$1,008**	**$1,522**	**$1,406**	**$1,106**	**$1,318**	**$1,685**	**$2,121**	**$2,106**	**$2,341**	**$2,461**
Organic % Change	*1%*	*11%*	*-23%*	*-25%*	*24%*	*24%*	*20%*	*-1%*	*14%*	*8%*

- Commercial OE business expanded 12% in FQ2 following a +17% increase in Q1. In the quarter Commercial Transport revs were up 19% w/ production rates improving at the Airbus and Boeing. The company raised FY Commercial OE revenue guidance to up LDD-Mid-Teens from +HSD-Mid-Teens given H1 performance and outlook for production build rates. While there was variability in ordering rates across Tier 2/3 suppliers in the past few quarters, management believes that de-stocking is largely behind us going forward allowing for a recouping of TDG shipments to OEM production rates.
- We expect Commercial OE volumes are up 14% in 2026E following a 1% organic decline in FY25. On the 737, we estimate ~490 shipsets in FY26 (~41/mo), +78% y-o-y, while we estimate 99 787 shipsets (~8/mo), up 29% from 77 in FY25 (~6/mo). At Airbus, we est the A320neo to rise from 51/mo in FY25 to 57/mo in FY26 and continued movement upward on the A350. FY25 was impacted by destocking after the BA strike and supply chain pressure at Airbus, which is expected to normalize this year.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

TDG: EBITDA as Defined Margins Contracting in FY26E Due to OE Ramp and Very Low Margin M&A

EBITDA as Defined Bridge - Volume Incrementals of 49% in FY26 Moderating with Lower Aftermarket Mix

	FQ1:26	FQ2:26E	FQ3:26E	FQ4:26E	FY22	FY23	FY24	FY25	FY26E	FY27E	FY28E
Starting EBITDA as Defined	**$1,061**	**$1,162**	**$1,217**	**$1,320**	**$2,189**	**$2,646**	**$3,395**	**$4,173**	**$4,760**	**$5,427**	**$5,909**
Commercial OE Organic	8	3	24	40	27	127	178	(27)	75	38	36
Commercial AM Organic	8	84	47	1	347	355	232	183	141	111	96
Defense Organic	16	33	13	27	(70)	21	235	171	89	52	32
Non-Aviation	4	3	(0)	(4)	3	(8)	9	1	3	(2)	1
Price	43	49	53	69	212	299	164	198	214	245	266
M&A	24	35	35	38	18	48	97	88	131	42	0
FX	0	0	0	0	0	0	0	0	0	0	0
Productivity/Other	5	(22)	0	39	(53)	(74)	(118)	(12)	22	0	0
Other	28	1	(2)	(27)	0	(19)	(16)	(7)	0	0	0
Non-segment expenses	0	(11)	(3)	7	(28)	1	(1)	(8)	(7)	(5)	(8)
End EBITDA as Defined	**$1,197**	**$1,337**	**$1,384**	**$1,509**	**$2,646**	**$3,395**	**$4,173**	**$4,760**	**$5,427**	**$5,909**	**$6,332**
Reported Margin	*52.4%*	*52.6%*	*52.3%*	*52.4%*	*48.7%*	*51.6%*	*52.6%*	*53.9%*	*52.4%*	*52.5%*	*52.9%*
Acquisition Margin	*18.0%*	*22.0%*	*20.0%*	*19.7%*	*23.7%*	*28.1%*	*33.7%*	*27.6%*	*20.0%*	*30.0%*	*30.0%*
Divestiture Margin	*0.0%*	*0.0%*	*0.0%*	*0.0%*	*20.8%*	*0.0%*	*0.0%*	*21.0%*	*0.0%*	*0.0%*	*0.0%*
'Core' TDG Margin	*55.0%*	*54.5%*	*54.0%*	*55.1%*	*48.4%*	*52.2%*	*53.3%*	*54.7%*	*54.7%*	*53.0%*	*53.0%*

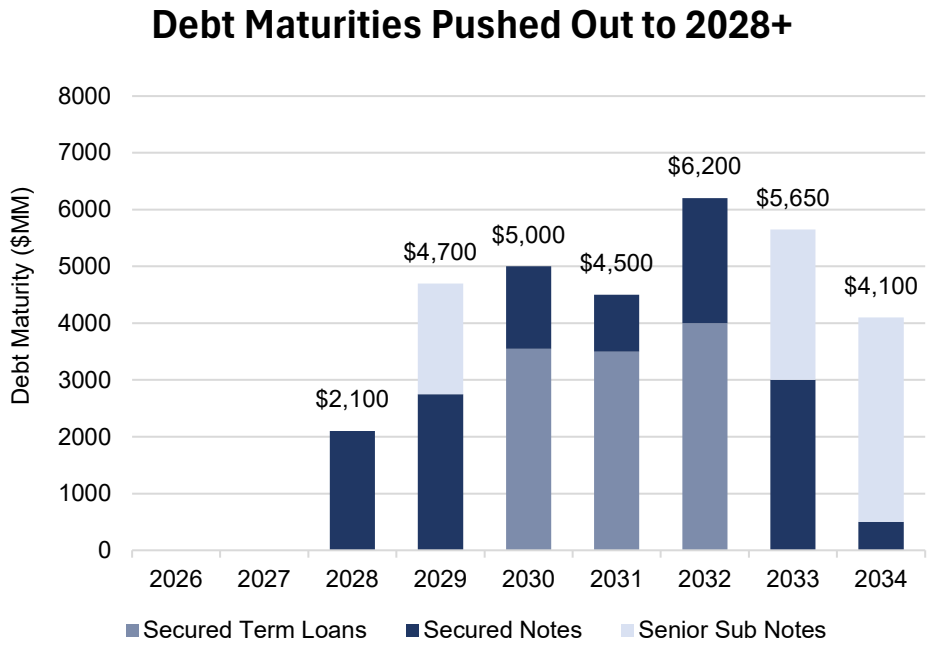
Acquisitions 210 bps dilutive to FY26E

- FQ2 EBITDA as Defined increased 15% y-o-y to $1.337BB, or a margin of 52.6%, contracting 140 bps y-o-y, which included a ~200bp dilution headwind w/ a $158MM revenue contribution from Servotronics and Simmonds Precision Products in the quarter contributing at a 22% margin. M&A is expected to be ~200 bps dilutive to FY26E EBITDA as Defined margins. We est $655MM of revenue contribution from Servotronics (~$92MM to FY26), Simmonds Precision Products ($403MM to FY26) and JPE & VSA ($161MM to FY26) contributing at a 20% margin, resulting in a 210 bps headwind (Ex 11).
- For FY26, guidance was raised to $5.370-5.470BB (from $5.140-5.280BB) of EBITDA as Defined, with margins of 52.1-52.5% at the midpt (from 52.2-52.6% prior). The guide contemplates a ~200 bps headwind from dilution and 50-100 bps headwind from OE/Defense mix.
- Incrementals are expected in the ~40% range for FY26 given Commercial OE drives growth with a return to the ~60% range in FY28E. The company targets ~100 bps of margin expansion annually ex-M&A, although OE mix adds another headwind in FY26.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

TDG: Net Leverage Expected to Exit 2026 Near Historical Average



- Total debt ended FQ2 at $32.2BB with net debt of $28.3BB. Cash ended the quarter at $3.9BB for net debt to EBITDA as Defined of 5.6X. TDG raised $1.5BB of incremental debt in April (PF total debt $33.7BB), including $500MM of 6.125% Senior Sub Notes and $1.0BB of add'l Tranche N term loans, used to fund the $960MM Stellant Systems deal and the $800MM of repurchases executed in March. This drove the raise to net interest expense (-80¢) in the FY26 guide and lowered the sharect (+20¢).
- TDG is comfortable with a high level of net leverage, prioritizing capital deployment to accretive M&A, repurchases, and dividends. Net interest is expected to be $2.02BB in FY26 including $60MM of interest income (from $80MM in FY25 on a lower SOFR rate and cash balance post divi), compared to $1.57BB in FY25. The weighted average interest rate is 6.2% with ~75% of TDG's $30BB of gross debt hedged/fixed rate through FY29.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

TDG: FY25 FCF as Defined of $2.4BB with FY26E Guided Flat Y-o-Y

FCF as Defined Benefiting from Stronger Volumes with Deployment Optionality

	FY18	FY19	FY20	FY21	FY22	FY23	FY24	FY25	FY26E	FY27E	FY28E
EBITDA as Defined	**$1,876**	**$2,419**	**$2,278**	**$2,189**	**$2,646**	**$3,395**	**$4,173**	**$4,760**	**$5,427**	**$5,909**	**$6,332**
Cash tax	(141)	(317)	(275)	(180)	(220)	(260)	(400)	(600)	(625)	(784)	(943)
Interest	(663)	(859)	(1,029)	(1,059)	(1,076)	(1,164)	(1,286)	(1,572)	(2,015)	(1,888)	(1,644)
Capex	(73)	(102)	(105)	(105)	(119)	(139)	(165)	(222)	(300)	(321)	(335)
FCF as Defined	**$1,000**	**$1,140**	**$1,108**	**$845**	**$1,231**	**$1,832**	**$2,322**	**$2,366**	**$2,487**	**$2,916**	**$3,410**
Working Capital	(1)	(215)	113	(124)	(291)	(431)	(302)	(558)	(71)	(155)	(97)
Debt Issued	13,269	4,529	4,314	2,132	0	9,742	14,325	11,345	3,479	(3,317)	(3,515)
Debt Paydown	(12,174)	(627)	(1,242)	(2,257)	(275)	(9,915)	(9,353)	(6,272)	0	0	0
Cash Dividends Paid	(56)	(1,712)	(1,928)	(73)	(1,091)	(38)	(2,038)	(9,629)	0	0	0
Proceeds from Sale of Assets	57	189	904	283	3	1	71	46	(6)	0	0
Acquisitions	(668)	(3,976)	0	(963)	(437)	(762)	(2,347)	(419)	(3,107)	0	0
Share Repurchases / ▲ in Capital Stock	0	0	(19)	0	(912)	0	0	(500)	(906)	0	0
Total Deployment	**$428**	**($1,597)**	**$2,029**	**($878)**	**($2,712)**	**($972)**	**$658**	**($5,429)**	**($540)**	**($3,317)**	**($3,515)**

- FQ2 FCF as Defined (EBITDA less cash interest payments, Capex and cash taxes) was ~350MM, reflecting lower than average quarterly FCF conversion due to the timing of our interest and tax payments in the quarter. Full year FCF as Defined guidance was raised to $2.5BB from $2.4BB which includes the post-quarter completion of JPE & VSA and interest expense associated with the April debt raise. FCF under a traditional definition was $64MM in FQ1 with a $27MM use from the three core elements of NWC (A/P inflow offset by inventories and A/R).
- For FY26, TDG forecasts FCF of $2.5BB, up from $2.4BB in FY25 with EBITDA as Defined expected up ~$650MM offset by $450MM higher interest expense and capex guided to $280-310MM from $222MM in FY25 reflecting investments in automation.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

TDG: Annual Income Statement

$MM except per share data	2018		2019		2020		2021		2022		2023		2024		2025		2026E		2027E		2028E	
	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales
Net Sales	**$3,811**		**$5,223**		**$5,103**		**$4,798**		**$5,429**		**$6,585**		**$7,940**		**$8,831**		**$10,357**		**$11,260**		**$11,977**	
Costs of Sales	(1,634)	42.9%	(2,414)	46.2%	(2,456)	48.1%	(2,285)	47.6%	(2,330)	42.9%	(2,743)	41.7%	(3,268)	41.2%	(3,520)	39.9%	(4,256)	41.1%	(4,549)	40.4%	(4,772)	39.8%
Selling and Administrative Expenses	(450)	11.8%	(748)	14.3%	(727)	14.2%	(685)	14.3%	(748)	13.8%	(780)	11.8%	(980)	12.3%	(945)	10.7%	(1,139)	11.0%	(1,267)	11.3%	(1,377)	11.5%
Amortization of Intangible Assets	(72)	1.9%	(135)	2.6%	(169)	3.3%	(137)	2.9%	(136)	2.5%	(139)	2.1%	(161)	2.0%	(201)	2.3%	(245)	2.4%	(187)	1.7%	(179)	1.5%
Income from Operations	**$1,655**	43.4%	**$1,926**	36.9%	**$1,751**	34.3%	**$1,691**	35.2%	**$2,215**	40.8%	**$2,923**	44.4%	**$3,531**	44.5%	**$4,165**	47.2%	**$4,716**	45.5%	**$5,257**	46.7%	**$5,648**	47.2%
Total Interest, net	(663)		(859)		(1,029)		(1,059)		(1,076)		(1,164)		(1,286)		(1,572)		(2,015)		(1,888)		(1,644)	
Other Income / (Expense), net	(0)		(1)		46		120		(11)		13		28		47		11		0		0	
Refinancing Costs	(6)		(3)		(28)		(37)		(1)		(56)		(58)		(11)		0		0		0	
Income Before Taxes	**$985**	25.9%	**$1,063**	20.4%	**$740**	14.5%	**$715**	14.9%	**$1,127**	20.8%	**$1,716**	26.1%	**$2,215**	27.9%	**$2,629**	29.8%	**$2,712**	26.2%	**$3,369**	29.9%	**$4,004**	33.4%
Taxes (% Tax Rate)	(24)	2.4%	(222)	20.9%	(87)	11.7%	(34)	4.8%	(261)	23.2%	(417)	24.3%	(500)	22.6%	(555)	21.1%	(625)	23.0%	(784)	23.3%	(943)	23.6%
Income from Continuing Ops	**$961**	25.2%	**$841**	16.1%	**$653**	12.8%	**$681**	14.2%	**$866**	16.0%	**$1,299**	19.7%	**$1,715**	21.6%	**$2,074**	23.5%	**$2,087**	20.2%	**$2,585**	23.0%	**$3,061**	25.6%
Noncontrolling Interests & Disco Ops	(4)		49		46		(1)		0		(1)		(1)		0		(1)		0		0	
Dividends on Participating Securities	(56)		(111)		(185)		(73)		(86)		(38)		(233)		(208)		(59)		(60)		(60)	
Net Income	**$901**	23.6%	**$779**	14.9%	**$514**	10.1%	**$607**	12.7%	**$780**	14.4%	**$1,260**	19.1%	**$1,481**	18.7%	**$1,866**	21.1%	**$2,027**	19.6%	**$2,525**	22.4%	**$3,001**	25.1%
Inclusion of Dividend Equivalent Payments & NCI	61		62		139		74		86		39		234		208		60		60		60	
Gross Adjustments to EBITDA	98		271		226		162		190		247		360		192		265		190		205	
Purchase Accounting Backlog Amortization	4		38		53		11		7		4		13		21		35		25		20	
Tax Adjustment	(73)		(122)		(103)		(146)		(65)		(73)		(122)		(116)		(83)		(64)		(67)	
Adj. Net Income	**$991**	26.0%	**$1,028**	19.7%	**$829**	16.2%	**$708**	14.8%	**$998**	18.4%	**$1,477**	22.4%	**$1,966**	24.8%	**$2,171**	24.6%	**$2,304**	22.3%	**$2,736**	24.3%	**$3,219**	26.9%
Adj. EPS	**$17.83**		**$18.28**		**$14.47**		**$12.13**		**$17.14**		**$25.84**		**$33.99**		**$37.33**		**$39.75**		**$46.80**		**$54.50**	
Diluted Weighted-Avg Shares	55.6		56.3		57.3		58.4		58.2		57.2		57.8		58.2		58.0		58.5		59.1	
EBITDA as Defined	**$1,876**	49.2%	**$2,419**	46.3%	**$2,278**	44.6%	**$2,189**	45.6%	**$2,646**	48.7%	**$3,395**	51.6%	**$4,173**	52.6%	**$4,760**	53.9%	**$5,427**	52.4%	**$5,909**	52.5%	**$6,332**	52.9%

Source: Company data and Jefferies estimates

Teledyne (TDY)

Buy | Price Target: $830

Valuation Method	Price	Assumptions
EV/EBITDA	830	22.7x EV/EBITDA on 2027E EBITDA of $1759MM
Price Target	**$830**	**Blended Average**

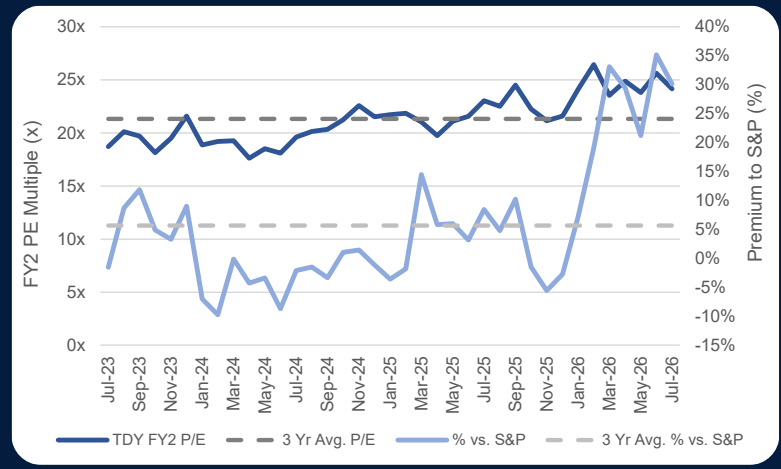
Valuation Table

	Ticker	JEF Rating	Stock Px 7/28/2026	Market Cap	Enterprise Value	P/E 2026E	P/E 2027E	P/E 2028E	EV / SALES 2026E	EV / SALES 2027E	EV / SALES 2028E	EV / EBITDA 2026E	EV / EBITDA 2027E	EV / EBITDA 2028E	Yield Dividend	Yield FCF
Ametek	AME	N/C	$243.20	55,741	57,243	29.8x	27.5x	25.3x	7.1x	6.7x	6.3x	22.3x	20.8x	19.5x	0.5%	3.7%
Cognex	CGNX	N/C	$60.03	9,990	9,885	40.1x	33.3x	27.1x	8.9x	8.2x	7.4x	32.0x	27.0x	22.7x	0.5%	3.0%
Danaher	DHR	Buy	$200.37	140,854	165,289	23.6x	21.7x	19.8x	6.3x	5.9x	5.5x	19.9x	18.3x	16.9x	0.7%	4.5%
Emerson Electric	EMR	Buy	$151.44	84,822	97,543	23.3x	21.0x	18.9x	5.2x	4.9x	4.7x	17.9x	16.7x	15.1x	1.5%	4.6%
Fortive	FTV	N/C	$64.07	19,532	23,182	21.4x	19.9x	18.4x	5.3x	5.1x	4.9x	17.7x	16.7x	15.9x	0.4%	5.1%
Heico	HEI	Buy	$361.25	19,954	53,543	59.2x	52.5x	46.3x	10.1x	9.2x	8.5x	36.1x	32.7x	30.2x	0.1%	2.7%
Honeywell	HON	N/C	$248.72	78,829	105,582	30.0x	24.9x	21.6x	5.2x	5.1x	4.9x	23.9x	20.6x	18.9x	0.0%	4.8%
Idex	IEX	N/C	$225.02	16,654	18,044	26.5x	24.3x	22.5x	5.0x	4.7x	4.5x	18.5x	17.4x	16.5x	1.3%	4.2%
Mercury	MRCY	Hold	$99.98	6,003	6,242	92.4x	64.7x	46.5x	6.5x	6.0x	5.4x	42.9x	33.5x	25.6x	0.0%	1.4%
Average						**38.5x**	**32.2x**	**27.4x**	**6.6x**	**6.2x**	**5.8x**	**25.7x**	**22.6x**	**20.1x**	**0.6%**	**3.8%**
Median						**29.8x**	**24.9x**	**22.5x**	**6.3x**	**5.9x**	**5.4x**	**22.3x**	**20.6x**	**18.9x**	**0.5%**	**4.2%**
Teledyne	**TDY**	**Buy**	**$645.46**	**29,921**	**31,955**	**26.2x**	**24.1x**	**23.0x**	**4.7x**	**4.7x**	**4.5x**	**19.6x**	**18.2x**	**17.4x**	**0.0%**	**3.7%**
Discount / Premium						**-32%**	**-25%**	**-16%**	**-30%**	**-25%**	**-22%**	**-24%**	**-20%**	**-14%**		**-2%**

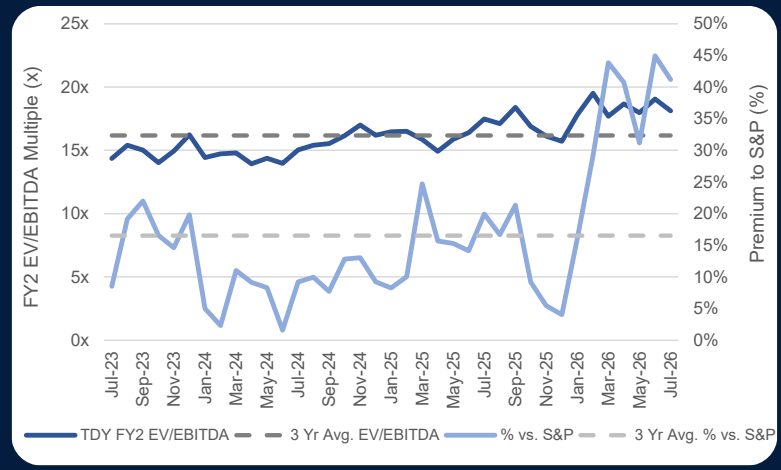
Featured Notes:

- Picture Sharpens with Robust Q2 Orders and Organic Growth | *July 26, 2026*
- Coming to Defense of Its Legacy and Returning to the Beat-and-Raise Cycle | *May 3, 2026*
- A More Balanced Plan for 2026 W/Upside Drivers In Place as DI Kicks In | *Jan 25, 2026*

Trading at 24.2X FY2 P/E, 30% Prem to Mkt vs. Historical Avg Prem of 6%



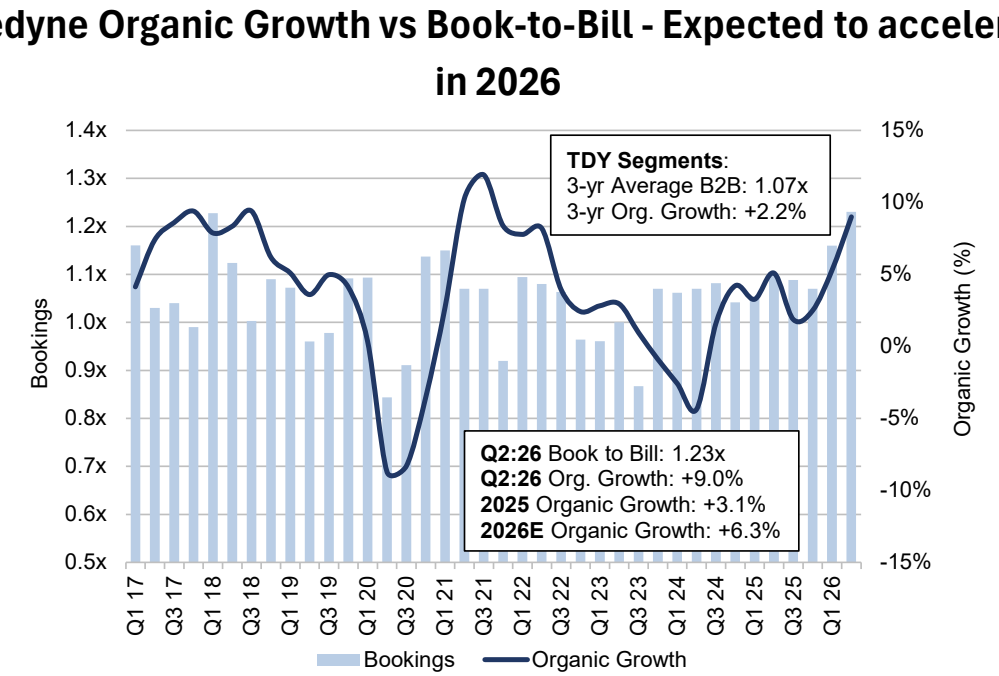
Trading at 18.1X FY2 EV/EBITDA, 41% Prem to Mkt vs. Historical Avg Prem of 17%



Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

Source: Company data, Jefferies estimates, FactSet

TDY: Q2 Beat and Raise As Organic Accelerates to 9%



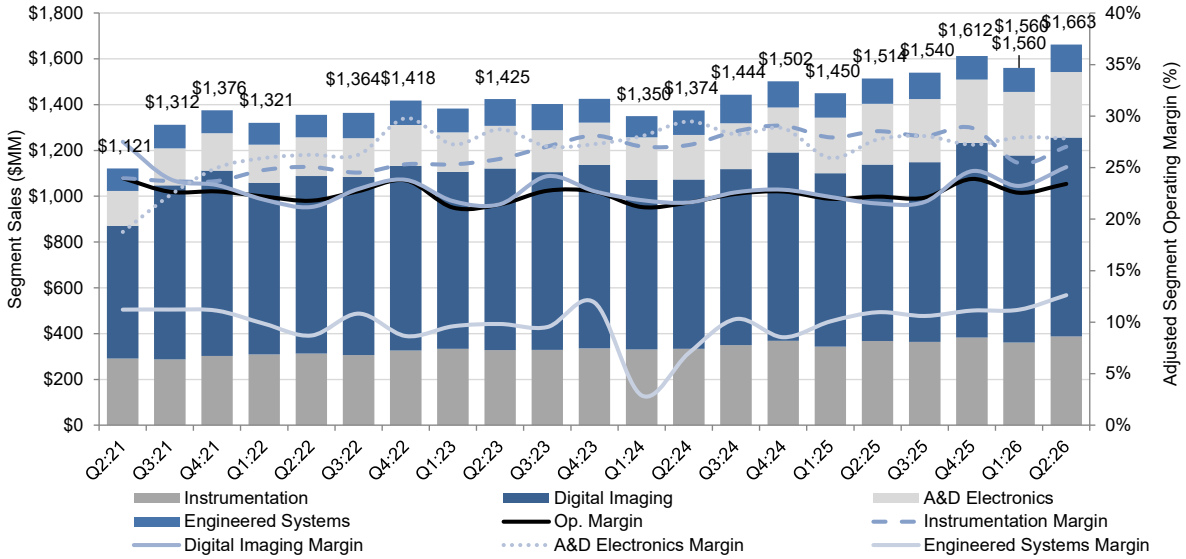
- Q2 exhibited positive organic growth for the eighth quarter in a row, with the 9.0% organic growth reaching the highest level in years and a meaningful acceleration from the 5.3% in Q1. All signs are that the business has inflected, supported by all-time record quarterly orders, sales and operating profit, with growth across all four segments and each product line within Instrumentation.
- From a demand perspective, B2B accelerated further with total company B2B at 1.23x in Q2, led by Digital Imaging at >1.4x. Short-cycle markets continued to recover with commercial end markets now expected to grow MSD collectively for the full year vs. flat-to-LSD prior, and defense sales expected to grow HSDs with pockets of DDs.
- Our 2026 revenue estimate moves higher toward ~7% growth vs 4.9% prior, with the acceleration off 3.1% organic in 2025 now more pronounced. The opportunity for better performance likely represents both the short-cycle recovery further gaining traction and long-cycle defense continuing to accelerate, with positive trends across Digital Imaging (FLIR/space), A&D Electronics (Qioptiq +20% organic) and Marine supporting visibility and strength into 2027

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

TDY: Q2 Beat and Raise As Organic Accelerates to 9%

Adjusted Operating Margins +50 bps at 23.8% in Q1:26



- Adjusted operating margins (post-corporate and excluding amortization) were up 120 bps year over year at 23.4% with segment margins pre-corporate up ~150 bps to 25.1%.
- The increase in segment margins was driven by Digital Imaging (+353 bps to 25.0%) on volume, mix and ~120 bps of tariff refunds, along with Engineered Systems (+170 bps to 12.6%) on nuclear power and missile defense execution, partially offset by Instrumentation (-150 bps to 27.0%) on unfavorable mix from lower-margin AUV growth. A&D Electronics margins of 27.8% were flat y-o-y (+10 bps) despite heavier defense mix. Management now expects full-year 2026 margin expansion of ~56 bps y-o-y, with further upside possible if revenue continues to accelerate. Even ex-tariffs, Digital Imaging margins expanded >200 bps y-o-y.
- Our 2026 estimates continue to assume segment op income growth outpaces sales growth, with improved mix and productivity along with operating leverage.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

TDY: Q2 Beat and Raise As Organic Accelerates to 9%

Growth Accelerates and Margins Expand in 2026 Driven by Digital Imaging

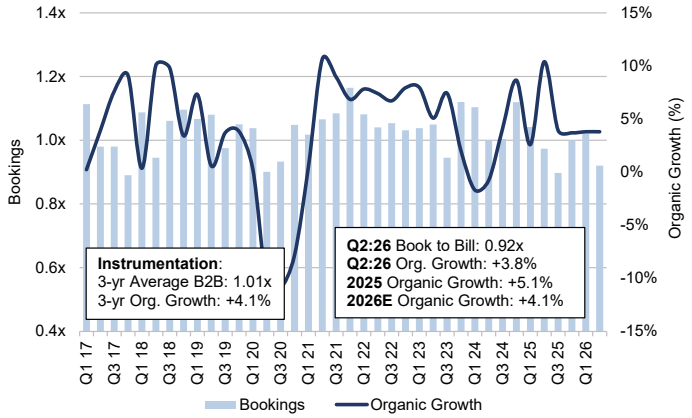
	2022	2023	2024	2025	2026	2027	2028
Digital Imaging	$3,110.9	$3,144.1	$3,070.8	$3,163.9	$3,403.5	$3,576.5	$3,701.6
Instrumentation	1,254.0	1,326.2	1,382.6	1,457.1	1,540.2	1,601.8	1,665.8
Aerospace and Defense Electronics	682.4	726.5	776.8	1,058.7	1,149.2	1,204.4	1,259.8
Engineered Systems	411.3	438.7	439.8	435.7	448.9	461.4	475.3
Total Revenues	**$5,458.6**	**$5,635.5**	**$5,670.0**	**$6,115.4**	**$6,541.7**	**$6,844.0**	**$7,102.5**
YoY % Change							
Digital Imaging	29%	1%	-2%	3%	8%	5%	3%
Instrumentation	7%	6%	4%	5%	6%	4%	4%
Aerospace and Defense Electronics	9%	6%	7%	36%	9%	5%	5%
Engineered Systems	1%	7%	0%	-1%	3%	3%	3%
Total Revenue	**18%**	**3%**	**1%**	**8%**	**7%**	**5%**	**4%**
Adjusted Operating Profit							
Digital Imaging	$699.0	$707.9	$683.3	$713.5	$812.2	$885.3	$928.2
Instrumentation	312.5	352.5	387.1	413.3	419.6	437.7	467.0
Aerospace and Defense Electronics	184.9	200.4	222.5	288.7	321.4	336.3	309.7
Engineered Systems	20.4	44.7	32.9	46.6	52.7	57.0	61.1
Total Segment EBIT	**$1,216.8**	**$1,305.5**	**$1,325.8**	**$1,462.1**	**$1,605.9**	**$1,716.3**	**$1,765.9**

Source: Company data and Jefferies estimates

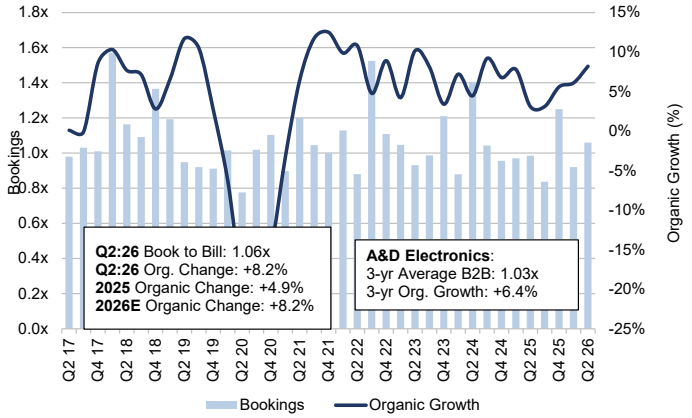
Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

TDY: Digital Imaging and Defense Continue to Lead in 2026 on Record Bookings w/ Visibility

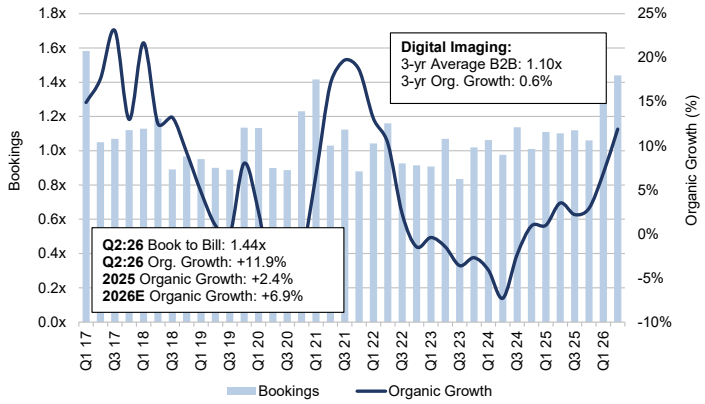
Marine Leads Instrumentation Organic Growth - 2.7%
Organic Growth in 2026E vs. 5.1% in 2025, 2.6% in 2024



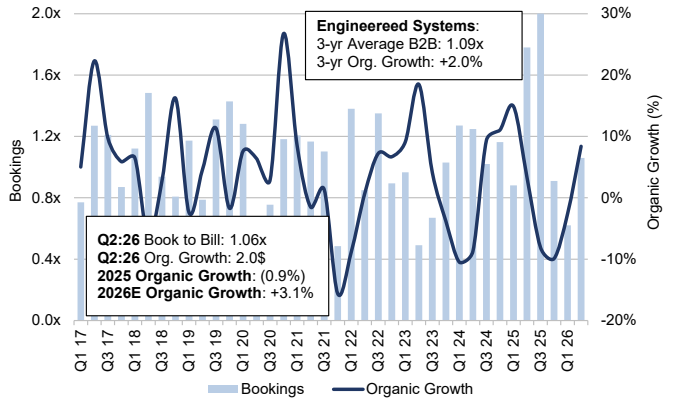
A&D Electronics Organic Growth vs Book-to-Bill - 5.6%
Organic Growth in 2026E vs. 4.9% in 2025, 6.9% in 2024



Digital Imaging Organic Growth vs Book-to-Bill - 4.0%
Organic Growth in 2026E vs. 2.4% in 2025, (3.2%) in 2024



Engineered Systems Organic Growth vs Book-to-Bill - Expected to inflect positively in 2026



Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

TDY: Sustaining ~$1BB/Annual FCF + Low Leverage Sets Up for Accretive Deployment

FCF Conversion Remains Robust and Discretionary FCF Total ~$4BB through 2028

	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
Net Income	$402	$445	$789	$887	$821	$896	$976	$1,076	$1,137
Depreciation and Amortization	116	372	332	316	310	339	348	350	353
NWC	71	(57)	(655)	(398)	(29)	(65)	(86)	(92)	(42)
Stock Comp/Deferred Taxes/Other	30	64	21	31	90	25	47	49	50
CFO	**$619**	**$825**	**$487**	**$836**	**$1,192**	**$1,194**	**$1,286**	**$1,383**	**$1,498**
Capex	(71)	(102)	(93)	(115)	(84)	(117)	(134)	(134)	(142)
FCF	**$548**	**$723**	**$394**	**$721**	**$1,108**	**$1,077**	**$1,151**	**$1,249**	**$1,356**
FCF per Share	**$14.46**	**$16.34**	**$8.26**	**$15.06**	**$23.28**	**$22.74**	**$24.55**	**$26.57**	**$28.79**
Deployment									
Dividends	$0	$0	$0	$0	$0	$0	$0	$0	$0
Share Repurchases	0	0	(25)	0	(354)	(403)	0	0	0
Debt Paydown	(101)	(1,142)	(175)	(679)	(601)	(164)	(584)	0	0
Debt Issuance	3	1,945	0	0	0	0	0	0	0
Acquisitions	(29)	(3,723)	(100)	(78)	(124)	(821)	(53)	0	0
Total Deployment	**($127)**	**($2,920)**	**($299)**	**($757)**	**($1,079)**	**($1,388)**	**($637)**	**$0**	**$0**
Discretionary FCF	**$447**	**($419)**	**$219**	**$42**	**$507**	**$913**	**$567**	**$1,249**	**$1,356**

- TDY generated $284.7MM of FCF in Q2:26, up from $196.3MM in Q2:25, driven by favorable operating results and lower income tax payments, partially offset by capex flat y-o-y at $30.5MM (vs. $30.3MM in Q2:25). First-half FCF of $489MM (vs. $421MM 1H:25) sets up favorably against our $1,078MM full-year 2026 estimate, following $1,074MM of FCF in 2025 and record $1,108MM in 2024.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

TDY: Annual Income Statement

$MM except per share data	2023		2024		2025		2026E		2027E		2028E	
	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales
Sales	**$5,635.5**		**$5,670.0**		**$6,115.4**		**$6,541.7**		**$6,844.0**		**$7,102.5**	
COGS	3,196.1	56.7%	3,235.2	57.1%	3,500.6	57.2%	3,697.8	56.5%	3,856.0	56.3%	4,029.1	56.7%
Gross Profit	**$2,439.4**	**43.3%**	**$2,434.9**	**42.9%**	**$2,614.8**	**42.8%**	**$2,843.9**	**43.5%**	**$2,988.0**	**43.7%**	**$3,073.4**	**43.3%**
Selling, General & Administrative + R&D	$1,208.3	21.4%	$1,220.3	21.5%	$1,248.4	20.4%	$1,333.0	20.4%	$1,349.4	19.7%	$1,357.5	19.1%
Selling, General & Administrative			$928.6	16.4%	$931.1	15.2%	$988.4	15.1%	$1,000.2	14.6%	$997.7	14.0%
Research & Development			291.7	5.1%	317.3	5.2%	344.6	5.3%	349.3	5.1%	359.8	5.1%
Amortization of Acquired Intangibles	196.7	3.5%	198.0	3.5%	216.6	3.5%	228.8	3.5%	230.4	3.4%	230.4	3.2%
Total Operating Expenses	**$1,405.0**	**24.9%**	**$1,418.3**	**25.0%**	**$1,465.0**	**24.0%**	**$1,561.8**	**23.9%**	**$1,579.8**	**23.1%**	**$1,587.9**	**22.4%**
GAAP Operating Income	$1,034.4	18.4%	$1,016.6	17.9%	$1,149.8	18.8%	$1,282.1	19.6%	$1,408.2	20.6%	$1,485.6	20.9%
Adjusted Operating Income	**$1,239.9**	**22.0%**	**$1,275.5**	**22.5%**	**$1,380.0**	**22.6%**	**$1,511.7**	**23.1%**	**$1,639.4**	**24.0%**	**$1,716.8**	**24.2%**
Interest and Debt Expense	($77.3)		($57.9)		($59.6)		($52.5)		($53.2)		($53.2)	
Other income/(expense), net	($10.6)		($4.1)		($6.6)		($6.8)		($4.0)		($4.0)	
Non-service retirement benefit income	$12.4		$10.8		$10.9		$10.7		$10.8		$10.8	
Adj. Pre-Tax Income (Loss)	**1,164.4**		**1,224.3**		**1,324.7**		**1,463.1**		**1,593.0**		**1,670.4**	
Taxes - Adjusted	$220.2		$256.1		$281.5		$309.3		$334.5		$350.8	
Noncontrolling interest/other	0.9		1.5		0.9		0.0		0.0		0.0	
Adj. Net Income	**$943.3**	**16.7%**	**$966.7**	**17.0%**	**$1,042.3**	**17.0%**	**$1,153.7**	**17.6%**	**$1,258.4**	**18.4%**	**$1,319.6**	**18.6%**
Shares Outstanding	47.9		47.6		47.4		46.9		47.0		47.1	
Adjusted Diluted EPS	**$19.69**		**$20.31**		**$22.01**		**$24.60**		**$26.77**		**$28.02**	
Adjusted EBITDA	**$1,359.6**		**$1,387.4**		**$1,502.6**		**$1,631.0**		**$1,759.4**		**$1,839.8**	
% Margin	24.1%		24.5%		24.6%		24.9%		25.7%		25.9%	

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

TDY: Cash Flow Statement

$MM except per share data	2023	2024	2025	2026E	2027E	2028E
Net Income (loss) including noncontrolling interest	886.6	820.7	895.7	975.8	1,075.8	1,136.9
Depreciation and amortization	316.4	309.9	339.2	348.1	350.4	353.4
Stock-based Compensation	(1.6)	52.5	(15.0)	0.0	0.0	0.0
Other	32.3	37.7	39.6	47.3	48.7	49.9
Net Change in Working Capital	(397.6)	(28.9)	(65.3)	(85.5)	(91.7)	(42.2)
Cash from Operations	**836.1**	**1,191.9**	**1,194.2**	**1,285.7**	**1,383.2**	**1,498.1**
Capital Expenditures	(114.9)	(83.7)	(117.3)	(134.2)	(134.2)	(142.1)
Acquisitions	(77.7)	(123.7)	(821.4)	(53.4)	0.0	0.0
Other	2.3	0.2	0.8	(5.2)	0.0	0.0
Cash from Investing	**(190.3)**	**(207.2)**	**(937.9)**	**(192.8)**	**(134.2)**	**(142.1)**
Proceeds/(Repayments) of ST Borrowings	(125.0)	0.0	0.1	0.0	0.0	0.0
Proceeds/(Repayments) of LT Borrowings	553.9	598.9	(655.5)	(451.2)	0.0	0.0
Proceeds/(Repurchases) of Treasury Stock	0.0	(354.0)	(402.9)	0.0	0.0	0.0
Other	(1,080.4)	(1,190.7)	503.1	28.8	48.0	49.0
Cash from Financing	**(651.5)**	**(945.8)**	**(555.2)**	**(422.4)**	**48.0**	**49.0**
Total Cash Flow	**(5.7)**	**38.9**	**(298.9)**	**670.4**	**1,297.0**	**1,405.0**
Starting Cash	0.0	0.0	0.0	649.8	1,314.2	2,611.3
Ending Cash	**10.2**	**648.3**	**649.8**	**1,314.2**	**2,611.3**	**4,016.3**

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

Textron (TXT)

Buy | Price Target: $115

Valuation Method	Price	Assumptions
EV/EBITDA	117	10.0x EV/EBITDA on 2027 EBITDA of $2.1BB
P/E	108	15.3x P/E on 2027 EPS of $7.05
FCF	119	5.2% FCF Yield on 2027 FCF of $1.1BB
Average	**$115**	**Blended average**

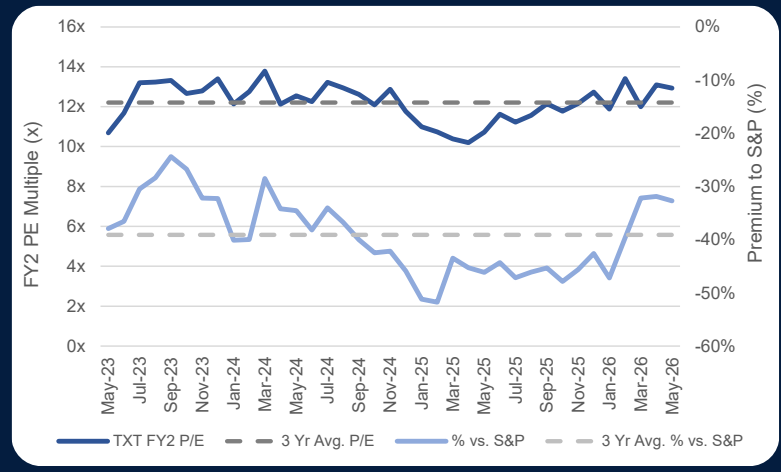
Valuation Table

Defense	Ticker	JEF Rating	Stock Px 7/29/2026	Consensus BUY Rating	Market Cap	Enterprise Value	P/E 2026E	P/E 2027E	P/E 2028E	EV / SALES 2026E	EV / SALES 2027E	EV / SALES 2028E	EV / EBITDA 2026E	EV / EBITDA 2027E	EV / EBITDA 2028E	Yield Dividend	Yield FCF
General Dynamics	GD	Buy	$392.60	46%	106,171	113,963	23.4x	21.5x	19.9x	2.1x	2.0x	1.9x	16.7x	15.5x	14.7x	1.5%	4.5%
Boeing	BA	Buy	$213.16	58%	168,475	194,423			26.6x	2.0x	1.7x	1.6x	45.3x	22.7x	16.0x	0.0%	3.6%
Northrop Grumman	NOC	Hold	$545.39	52%	77,480	92,954	18.9x	17.9x	16.6x	2.1x	2.0x	1.9x	15.0x	14.0x	13.2x	1.7%	4.3%
Lockheed	LMT	Hold	$575.96	24%	132,926	151,088	19.0x	17.7x	16.5x	1.9x	1.8x	1.7x	13.3x	12.7x	12.1x	2.3%	5.0%
Avg. Systems Integrators				45%			**20.4x**	**19.0x**	**19.9x**	**2.0x**	**1.9x**	**1.8x**	**22.6x**	**16.2x**	**14.0x**	**1.4%**	**4.4%**
Significant Component Suppliers																	
Honeywell Aerospace	HONA	Hold	$210.59	25%	66,732	NM	23.7x	21.1x	18.7x	NM	NM	NM	NM	NM	NM	NM	NM
Hexcel	HXL	Hold	$106.33	32%	8,020	9,383	46.3x	34.6x	28.7x	4.5x	4.1x	3.8x	23.4x	19.8x	17.6x	0.6%	3.4%
Woodward	WWD	Buy	$398.53	85%	23,745	25,804	42.4x	37.1x	31.2x	6.0x	5.5x	5.0x	28.6x	25.2x	21.7x	0.3%	2.2%
Avg. Major Subsystems Suppliers & Diversified				47%			**37.4x**	**30.9x**	**26.2x**	**5.2x**	**4.8x**	**4.4x**	**26.0x**	**22.5x**	**19.7x**	**0.5%**	**2.8%**
Textron	**TXT**	**Buy**	**$87.72**	**33%**	**15,087**	**17,957**	**14.6x**	**12.4x**	**11.2x**	**1.2x**	**1.1x**	**1.1x**	**9.6x**	**8.5x**	**7.9x**	**0.1%**	**7.0%**
Overall Average				46%			**28.9x**	**25.0x**	**23.0x**	**3.6x**	**3.3x**	**3.1x**	**24.3x**	**19.4x**	**16.8x**	**0.9%**	**3.6%**
Discount / Premium							**-50%**	**-50%**	**-51%**	**-68%**	**-68%**	**-65%**	**-60%**	**-56%**	**-53%**		**-49%**

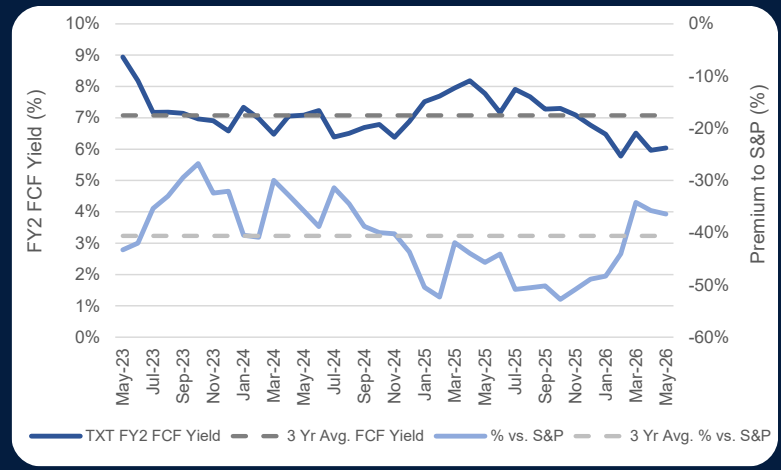
Featured Notes:

- Well, Well, Bell! | August *2, 2026*
- An Industrial Revolution Years in the Making | *May 3, 2026*
- No Lift for Bell Until LRIP Catch Up Resolves | *Feb 1, 2026*

Trading at 12.9X FY2 P/E, 33% Disct to Mkt vs. Historical Avg Disct of 39%



Trading at 9.5X FY2 EV/EBITDA, 28% Disct to Mkt vs. Historical Avg Disct of 37%



Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

Source: Company data, Jefferies estimates, FactSet

Jefferies

TXT: Textron Aviation Business Jet Deliveries Expected Up 1% in 2026 to 172

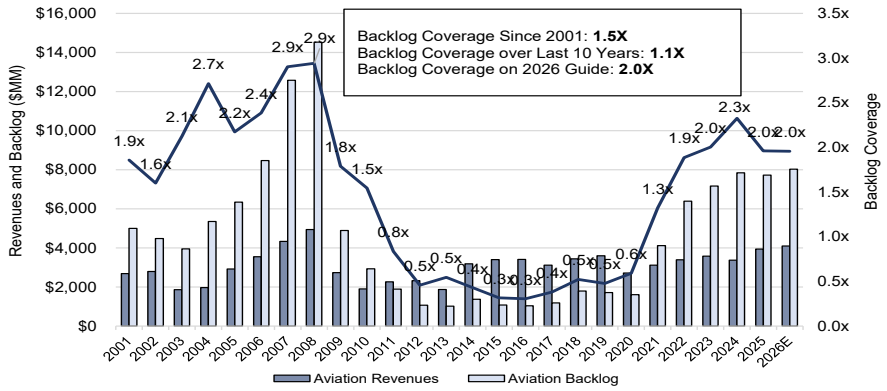
Textron Aviation Deliveries and Revenue ($MM) - Forecasting

1% Business Jet Delivery Increase in 2026 to 172 Jets

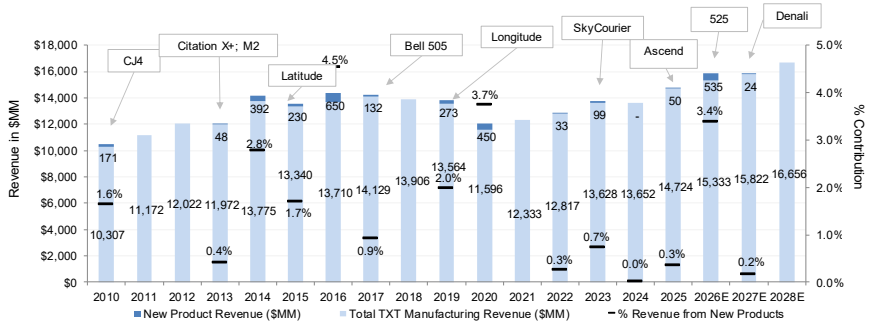
Annual Deliveries	2018	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
Backlog	$1,791	$1,714	$1,603	$4,120	$6,387	$7,169	$7,845	$7,724	$8,423	$9,100	$9,508
Mustang	0	0	0	0	0	0	0	0	0	0	0
M2	34	34	24	34	33	25	22	22	25	30	35
CJ1	0	0	0	0	0	0	0	0	0	0	0
CJ2	0	0	0	0	0	0	0	0	0	0	0
CJ3	37	37	21	26	29	30	24	31	32	35	35
CJ4	29	33	23	27	29	31	26	30	22	30	35
XLS+	21	22	13	19	19	17	15	13	0	0	0
Ascend	0	0	0	0	0	0	0	3	20	22	25
Latitude	57	58	26	34	42	41	40	47	45	45	45
Sovereign	6	8	6	3	0	0	1	0	0	0	0
Citation X	4	1	1	0	0	0	0	0	0	0	0
Longitude	0	13	18	24	26	24	23	25	28	30	35
Total Business Jets	**188**	**206**	**132**	**167**	**178**	**168**	**151**	**171**	**172**	**192**	**210**
Caravans	70	83	51	54	71	79	70	86	80	80	80
Pistons	40	218	314	40	40	40	40	40	40	40	40
Turboprop	94	93	62	71	69	56	44	46	50	50	50
Delivery Change YoY%											
Business Jets	4%	10%	-36%	27%	7%	-6%	-10%	13%	1%	12%	9%
Caravans	1%	19%	-39%	6%	31%	11%	-11%	23%	-7%	0%	0%
Pistons	0%	445%	44%	-87%	0%	0%	0%	0%	0%	0%	0%
Turboprop	-11%	-1%	-33%	15%	-3%	-19%	-21%	5%	9%	0%	0%
Annual Revenue	**2018**	**2019**	**2020**	**2021**	**2022**	**2023**	**2024**	**2025E**	**2026E**	**2027E**	**2028E**
Mustang	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0
M2	$156	$156	$110	$156	$155	$118	$103	$103	$118	$141	$165
CJ1	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0
CJ2	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0	$0
CJ3	311	311	176	218	287	297	238	307	317	347	347
CJ4	267	297	207	243	273	291	244	282	207	282	329
XLS+	269	275	163	238	295	264	233	202	0	0	0
Ascend	0	0	0	0	0	0	0	50	335	368	418
Latitude	923	928	415	543	672	759	740	870	833	833	833
Sovereign	105	140	105	53	0	0	18	0	0	0	0
Citation X	84	21	21	0	0	0	0	0	0	0	0
Longitude	0	273	450	612	694	696	667	725	812	870	1,015
Total	**$2,115**	**$2,401**	**$1,647**	**$2,062**	**$2,376**	**$2,424**	**$2,242**	**$2,538**	**$2,620**	**$2,840**	**$3,105**
YoY % Change	9%	14%	-31%	25%	15%	2%	-7%	13%	3%	8%	9%
Metrics											
Aviation Revenue	$4,971	$5,187	$3,974	$4,566	$5,073	$5,373	$5,284	$5,971	$6,255	$6,543	$6,879
Orders	$2,741	$3,515	$2,603	$5,633	$5,654	$4,359	$4,050	$3,817	$4,800	$5,000	$5,000
Backlog	$1,791	$1,714	$1,603	$4,120	$6,387	$7,169	$7,845	$7,724	$8,423	$9,100	$9,508
Book to Bill	0.8x	1.0x	1.0x	1.8x	1.7x	1.2x	1.2x	1.0x	1.2x	1.2x	1.1x

2025 growth driven by a recovery in biz jet deliveries +13% vs strike-impacted 2024 off a strike-impacted 2024. The strike led to 151 jet deliveries in 2024 including a ~20 jet strike impact with a rebound to 171 in 2025. 2026 is expected to return to a more typical pace +2% y-o-y to 175 in our model.

2.0X Backlog Coverage to Manufacturing Revenue on a $8BB Backlog



New Product Introductions Since 2010 Have Contributed 2-Pts to Growth



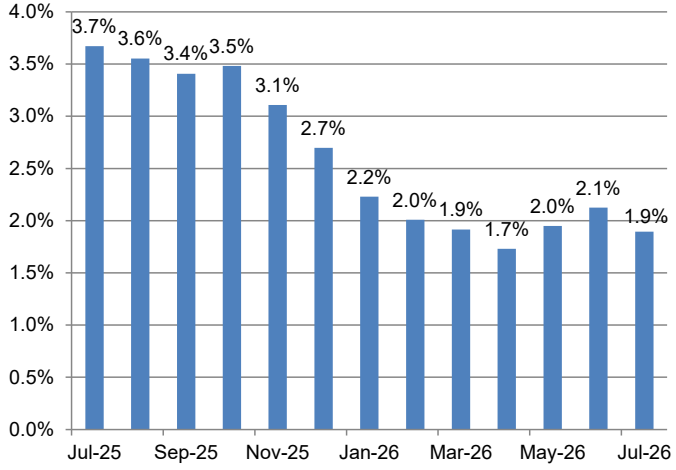
Source: Company data and Jefferies estimates

- TXT Aviation revenues could grow 5% to $6.3BB in 2026 (guidance ~$6.5BB) with core delivery growth, following a 13% y-o-y increase in 2025 on deliveries +13% off a strike-impacted 2024.
- In Q2:26, TXT delivered 40 business jets, down 18% y-o-y from 49 Q2:25. For the quarter, Textron Aviation delivered 9 Latitudes (vs 12 in Q2:25) and 6 Longitudes (vs 6 in Q2:25), as well as 4 CJ4s, 9 CJ3s, 6 M2s, and 6 Ascend.

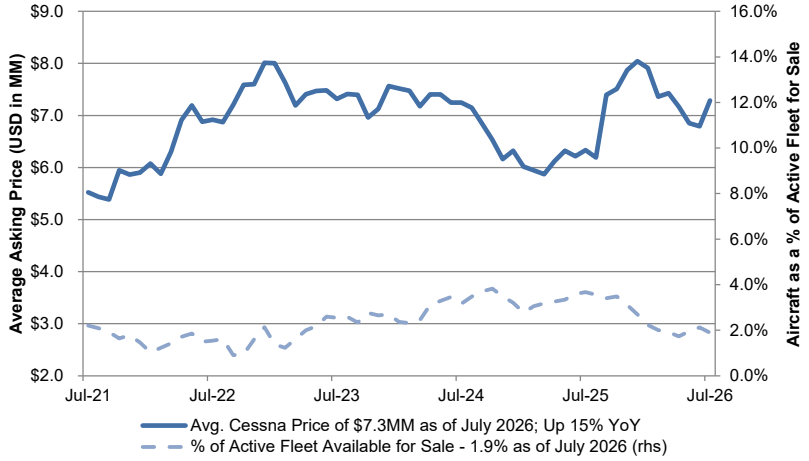
Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

TXT: Underlying Used Jet Market Relatively Healthy

Used Cessna 12 Months of Inventory as a % of Active Fleet as of July 2026

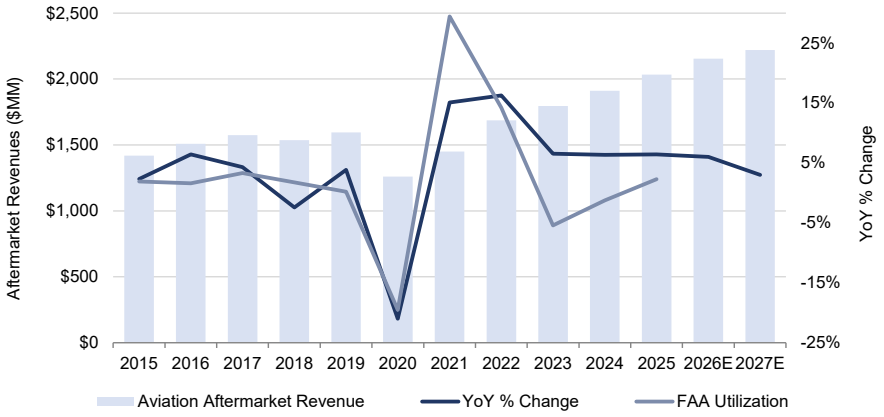


Avg. Cessna Price of $7.3MM as of July 2026, Up 15% Y-o-Y vs. Active Fleet Available for Sale



- In terms of market fundamentals, the used jet inventory levels are tightening. Cessna used inventories were 1.9% of the active fleet in July 2026 from all-time low of 1.4% in February 2022. Cessna used jet pricing was up 15% y-o-y in July at $7.3MM.
- The used market is much healthier and more supportive of new jet sales currently than it was in 2008-2009 and rebalancing after a period of under supply in the past couple years. While inventories are down significantly y-o-y and there is an increase in used jet pricing, each remain supportive of new jet sales.

Textron Aviation Aftermarket Revenues Up 6% in 2026E

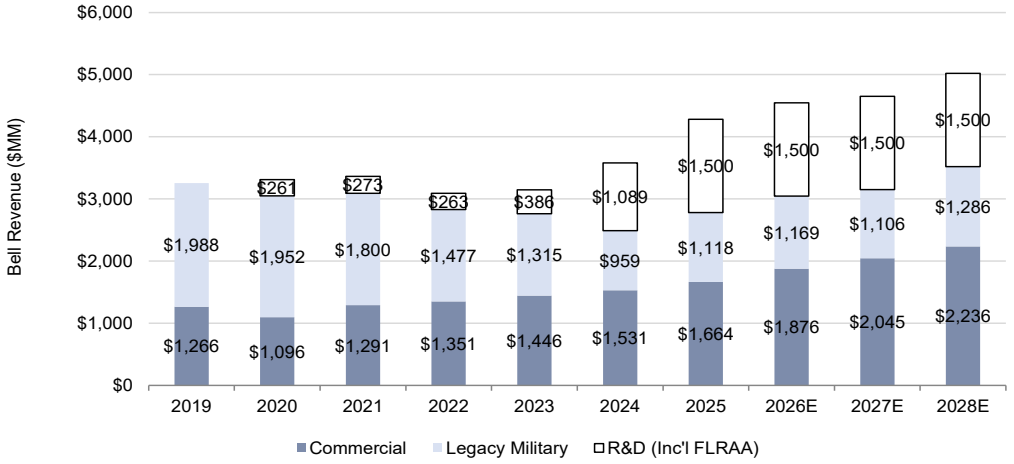


Source: Company data and Jefferies estimates

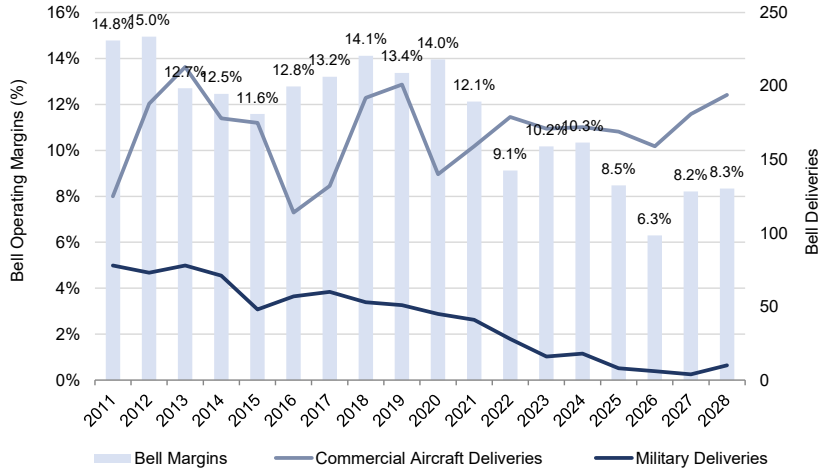
Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

TXT: Bell Experiences Some Margin Hit from Negative Cum Catch on MV-75

Bell Commercial & Military Revenue Split - Comm'l Revenue Mix Increases From 39% in 2025 to 45% in 2028E



Bell Margins vs. Deliveries - Margins Contract on FLRAA Charge



- Bell accounts for 30% of total company revenues in 2026E and 21% of segment manufacturing profits. In Q2, revenues grew 6% y-o-y to $1.1BB following 9% growth in Q1 w/ the full year 2026 guide of ~$4.4BB in revenue implying +LSD growth. This compares to +20% growth in 2025 due to higher military revs (+$161MM y-o-y) driven primarily by MV-75 (FLRAA) w/ higher MV-75 volume (+$0.5BB y-o-y or 14pts to 2025 rev growth), partially offset by lower V-22 production volume and military sustainment. Bell Commercial revs declined (-$74MM y-o-y) on fewer deliveries and mix.
- Bell's backlog totals $7.5BB as of Q2:26, -1% sequentially, but up 10% y-o-y.
- The award for the up to $100BB FLRAA program to replace US Army Black Hawks in December 2022 helps support Military growth despite legacy programs winding down. We saw an est $250MM of contribution from FLRAA in 2023, with the program ramping to ~$1BB in 2024 and $1.5BB in 2025 on our estimates, flowing through at a 2% margin given EMD. MV-75 revenue is expected to be flat in 2026 at ~$1.5BB.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

TXT: FLRAA Generates $1.5BB of Revenues in 2026E Remaining Stable Through 2028E

FLRAA Worth $15/Sh to TXT on Our Estimates with a 1% Margin Through 2027E

Year	Development Spending ($MM)	Procurement Quantity	Avg. Price ($MM)	Total Procurement ($MM)	Give Back	Total Revenue	Profit Margin	EBIT	Present Value	% of Total Army Aircraft Procurement
2022	$521	0	$55	$0	$0	$521	5%	$26	$26	16%
2023	$694	0	$56	$0	$0	$694	5%	$35	$35	18%
2024	$1,000	0	$57	$0	$0	$1,000	5%	$50	$50	30%
2025	$1,500	0	$58	$0	$0	$1,500	2%	$30	$30	43%
2026E	$1,500	1	$60	$12	$0	$1,512	2%	-$55	-$52	51%
2027E	$1,500	2	$61	$121	($10)	$1,611	1%	$16	$14	48%
2028E	$1,500	8	$62	$496	($25)	$1,970	1%	$20	$17	58%
2029E	$900	10	$63	$632	($32)	$1,499	2%	$30	$24	43%
2030E	$740	11	$64	$709	($36)	$1,412	5%	$71	$53	40%
2031E	$500	12	$66	$789	($41)	$1,248	8%	$100	$70	34%
2032E	$200	15	$67	$1,006	($52)	$1,154	8%	$92	$61	31%
2033E	$200	20	$68	$1,368	($70)	$1,497	10%	$150	$94	39%
2034E	$100	25	$70	$1,744	($90)	$1,754	10%	$175	$104	45%
2035E		35	$71	$2,490	($128)	$2,362	12%	$283	$158	59%
2036E		40	$73	$2,903	($149)	$2,754	12%	$330	$174	66%
2037E		40	$74	$2,961	($152)	$2,809	12%	$337	$168	66%
2038E		40	$76	$3,020	($155)	$2,865	12%	$344	$161	65%
2039E		40	$77	$3,081	($158)	$2,922	12%	$351	$155	65%
2040E		40	$79	$3,142	($162)	$2,981	12%	$358	$149	64%
2041E		40	$80	$3,205	($165)	$3,040	12%	$365	$144	63%
2042E		40	$82	$3,269	($168)	$3,101	12%	$372	$138	63%
2043E		40	$83	$3,334	($171)	$3,163	12%	$380	$133	62%
2044E		40	$85	$3,401	($175)	$3,226	12%	$387	$128	61%
2045E		40	$87	$3,469	($178)	$3,291	12%	$395	$123	61%
2046E		40	$88	$3,539	($182)	$3,357	12%	$403	$118	60%
2047E		40	$90	$3,609	($186)	$3,424	12%	$411	$114	60%
2048E		40	$92	$3,682	($189)	$3,492	12%	$419	$110	59%
2049E		40	$94	$3,755	($193)	$3,562	12%	$427	$106	59%
2050E		40	$96	$3,830	($197)	$3,633	12%	$436	$102	58%
Totals	**$10,855**	**739**	**$74**	**$59,566**	**($3,065)**	**$63,641**	**10%**	**$6,597**	**$2,566**	**53%**
TXT Shares									174	
Value Per Share to TXT									**$15**	
LMT Shares									266	
Value Per Share to LMT									**$9.65**	

- Future Vertical Lift is a key Army modernization priority and one of six key focus areas. The Army's focus is on: 1) Long-Range Precision Fires; 2) Next Generation Combat Vehicle; 3) Future Vertical Lift; 4) Army Network; 5) Air and Missile Defense; and 6) Soldier Lethality. Within FVL, there were 4 key efforts, including Future Long Range Assault Aircraft (FLRAA), Future Attack Reconnaissance Aircraft (FARA), Future Tactical Unmanned Aircraft System (FTUAS), and Air Launched Effects. TXT was awarded FLRAA in 2023. The Army accelerated FLRAA and canceled both FARA (in 2024) and FTUAS (in 2025).
- Program NPV: We consider a 2% margin on near term EMD revenue, which is ramping at an accelerated rate with long lead production beginning to roll into estimates in 2026E ahead of first LRIP deliveries in 2028. However, the expected $60-110MM charge in late 2026/early 2027 likely resets the LRIP booking rate lower to ~1% through 2027E. The transition into the next lot of production could support a step-up to 10% by 2033 with near full rate production. On this basis, we come to a $15/sh fair value for the program.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

TXT: Bell: 2026 Revs+ 5% while Margins Contract 220 bps on FLRAA Charge, Commercial Bell Deliveries Down 6% in 2026

Bell Annual Helicopter Deliveries - Commercial Deliveries Decline -6% in 2026

		2017	2018	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
Military	**End Market**												
V-22	Air Force / Marines	22	19	16	17	15	13	8	14	8	3	0	0
H-1	Army	38	34	35	28	26	15	8	4	0	2	2	2
MV-75	Army	0	0	0	0	0	0	0	0	0	1	2	8
Other		0	0	0	0	0	0	0	0	0	0	0	0
Total US Government		**60**	**53**	**51**	**45**	**41**	**28**	**16**	**18**	**8**	**6**	**4**	**10**
Commercial													
Light	**End Market**												
505	Media, Law	27	116	101	49	63	83	77	90	84	70	75	75
206B	Utility	0	0	0	0	0	0	0	0	0	0	0	0
206L/LT	Utility	4	2	2	0	0	0	0	0	0	0	0	0
407	EMS, Armed variant	44	43	59	54	56	49	53	49	48	45	50	55
427	Utility	0	0	0	0	0	0	0	0	0	0	0	0
429	EMS	36	20	28	30	30	32	30	23	29	25	35	38
Total Lights		**111**	**181**	**190**	**133**	**149**	**164**	**160**	**162**	**161**	**140**	**160**	**168**
Intermediates/Medium													
412	O&G	13	11	11	7	7	15	11	10	8	11	11	11
525 Relentless	O&G, EMS	0	0	0	0	0	0	0	0	0	8	10	15
Total Intermediates/Mediums		**21**	**11**	**11**	**7**	**7**	**15**	**11**	**10**	**8**	**19**	**21**	**26**
Total Commercial		**132**	**192**	**201**	**140**	**156**	**179**	**171**	**172**	**169**	**159**	**181**	**194**
% Change YoY		*16%*	*45%*	*5%*	*-30%*	*11%*	*15%*	*-4%*	*1%*	*-2%*	*-6%*	*14%*	*7%*

Bell EBIT Bridge - Margins Contract to 6.3% in 2026E on $85MM FLRAA Charge (190 Bps Y-o-Y)

	2017	2018	2019	2020	2021	2022	2023	2024E	2025E	2026E
Start Profit	**$521**	**$639**	**$573**	**$529**	**$400**	**$386**	**$415**	**$425**	**$435**	**$462**
Volume	143	(10)	(72)	(223)	(26)	(37)	(10)	4	16	(31)
Pricing, net of inflation	0	12	5	0	0	0	0	0	0	13
Performance (i.e. restructuring)	(25)	(68)	23	169	32	66	77	6	(8)	34
R&D	0	0	0	(10)	(10)	0	(17)	0	19	(70)
Mix	0	0	0	(65)	(10)	0	(40)	0	0	0
Other	0	0	0	0	0	0	0	0	0	0
Total Change In Profit	118	(66)	(44)	(129)	(14)	29	10	10	27	(54)
End Profit	**$639**	**$573**	**$529**	**$400**	**$386**	**$415**	**$425**	**$435**	**$462**	**$408**
% Margin	15.0%	12.7%	12.5%	11.6%	11.9%	12.5%	13.4%	13.4%	14.0%	12.1%
% Volume Incremental	20%	-5%	24%	28%	12%	-65%	7%	5%	39%	-115%

- Commercial deliveries increased 13% y-o-y to 36 in Q2 (vs 32 in Q2:25) following a -31% y-o-y decline in Q1:26. This represents 35% of our estimate for 159 deliveries (-6% y-o-y) in 2026E. This follows a 2% delivery decline in 2025 to 169 units (vs 172 in 2024) driven primarily by lower 505 deliveries, while 429 showed continued demand strength w/ deliveries +26% y-o-y to 29 units. We assume 525 certification in 2026 w/ 8 deliveries growing to 15 by 2028.
- In January 2026, Bell was downselected for the second phase of the Army's Flight School Next program (est $1BB program value) w/ the 505 helicopter as the training aircraft.
- For Bell, operating margins contracted 90 bps y-o-y to 7.0% in Q2 driven by a conservative booking rate adjustment on MV-75 (est $25-30MM). Q2 Margins would have been inline w/ the 8-9% guidance range for FY26 excluding the adjustment. Core margins are expected to improve in H2:26 on improved commercial volume (peak deliveries expected in Q4) to reach the FY26 guide for 8.0-9.0% margins.

Source: Company data and Jefferies estimates

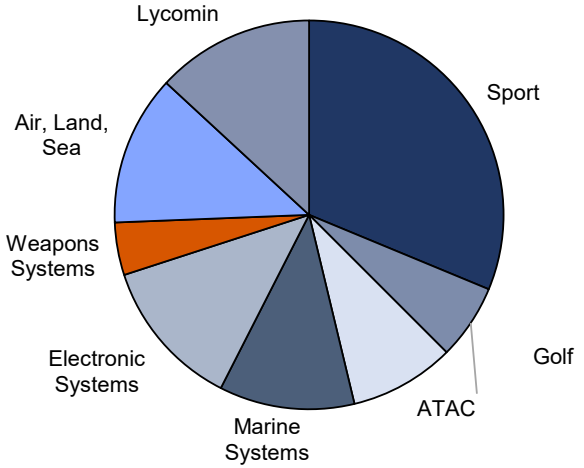
Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

TXT: Systems: 2026E To Accelerate with Broad Program Support

Systems Revenue Up 7% in 2026E, With Stable Margins

	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026E	2027E
Revenues											
Air Systems	$714	$612	$572	$581	$505	$430	$450	$450	$461	$489	$509
Land and Sea Systems	470	311	208	219	228	228	239	240	240	255	265
Other	448	541	545	513	540	515	545	551	556	590	613
Total Revenue	**$1,840**	**$1,464**	**$1,325**	**$1,313**	**$1,273**	**$1,172**	**$1,235**	**$1,241**	**$1,258**	**$1,333**	**$1,387**
YoY % Change											
Air Systems	-6%	-14%	-7%	2%	-13%	-15%	5%	0%	0%	6%	4%
Land and Sea Systems	60%	-34%	-33%	5%	4%	0%	5%	0%	0%	6%	4%
Other	8%	21%	1%	-6%	5%	-5%	6%	1%	1%	6%	4%
Total Change YoY	**5%**	**-20%**	**-9%**	**-1%**	**-3%**	**-8%**	**5%**	**0%**	**1%**	**6%**	**4%**
EBIT Margin	**7.6%**	**10.7%**	**10.6%**	**11.6%**	**14.8%**	**11.3%**	**11.9%**	**12.4%**	**13.1%**	**12.8%**	**13.0%**

We Estimate that Weapon Systems are 10% of Total System Sales, With Sentinel Driving the Bulk of Revenue



- Systems sales of $347MM were up $23MM y-o-y, or +7.1% y-o-y in Q2 on Ship-to-Shore and ATAC programs. Q2:26 segment earnings of $44MM increased $4MM y-o-y, or +10%, w/ margins of 12.7% +30bps y-o-y. Backlog at the end of the Q2:26 was $3.3BB down -6% sequentially from $3.6BB at Q1:26, and up 53% from $2.1BB in Q2:25.
- For 2026, we expect ~7% revenue growth to $1.35BB (in line w/ guide for $1.35BB) supported by a variety of contracts including ATAC, Ship-to-Shore, Sentinel and ARV. Revenue benefited from the production ramp of Mobile Strike Vehicles for 65 delivery units to Ukraine and ARV's completion of functional systems review and design work in preparation of the delivery of 16 prototype units.

Source: Company data and Jefferies estimates

TXT: Industrial: Initiated Industrial Sale Process as Business Stabilizes Post Powersports Divestiture

Industrial Top-Line Declines -2% in 2026E

	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
Revenues												
Textron Specialized Vehicles	1,956	1,939	1,561	1,249	1,395	1,694	1,887	1,624	1,330	1,330	1,363	1,397
Kautex	2,330	2,352	2,237	1,751	1,735	1,771	1,954	1,891	1,883	1,827	1,863	1,900
Total	**$4,286**	**$4,291**	**$3,798**	**$3,000**	**$3,130**	**$3,465**	**$3,841**	**$3,515**	**$3,213**	**$3,157**	**$3,226**	**$3,298**
YoY % Change												
Textron Specialized Vehicles	29%	-1%	-19%	-20%	12%	21%	11%	-14%	-18%	0%	2%	2%
Kautex	3%	1%	-5%	-22%	-1%	2%	10%	-3%	0%	-3%	2%	2%
Total % Change	**13%**	**5%**	**-6%**	**-21%**	**4%**	**7%**	**11%**	**-8%**	**-9%**	**-2%**	**2%**	**2%**
% Composition												
Textron Specialized Vehicles	46%	45%	41%	42%	45%	49%	49%	46%	41%	42%	42%	42%
Kautex	54%	55%	59%	58%	55%	51%	51%	54%	59%	58%	58%	58%
Total % Composition	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**

Power Sports ~15% of '24 TSV sales divested April 23, 2025.

Industrials Margins Up 80 bps in 2026E as Tariff Recoveries and Cost Actions Offset Volume Headwinds

	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
Start EBIT	**$329**	**$290**	**$218**	**$217**	**$111**	**$140**	**$155**	**$228**	**$151**	**$145**	**$168**	**$176**
Volume	(6)	(13)	(82)	(195)	(14)	44	54	(105)	(12)	(7)	9	9
Price	(23)	(21)	18	26	37	1	58	(15)	(12)	0	0	0
Organic	(29)	(34)	(64)	(169)	23	45	112	(120)	(24)	(7)	9	9
M&A	0	(22)	(22)	0	0	0	0	0	(27)	0	0	0
FX	0	0	(9)	2	(4)	(10)	1	0	0	20	0	0
Restructuring benefits / productivity	(10)	(16)	94	61	10	(10)	(40)	43	45	10	0	0
Other	0	0	0	0	0	(10)	0	0	0	0	0	0
Incremental EBIT	(39)	(72)	(1)	(106)	29	15	73	(77)	(6)	23	9	9
End EBIT	**$290**	**$218**	**$217**	**$111**	**$140**	**$155**	**$228**	**$151**	**$145**	**$168**	**$176**	**$185**
Margin %	*6.8%*	*5.1%*	*5.7%*	*3.7%*	*4.5%*	*4.5%*	*5.9%*	*4.3%*	*4.5%*	*5.3%*	*5.5%*	*5.6%*

- Industrial is comprised of Kautex (58% of 2026E sales), with the remainder of sales from Specialized Vehicles (42% of 2026E sales). In Q2:26, Industrial revenues were up +1% (+2% organic), largely due to the $17MM increase at Kautex (+4% y-o-y) from pricing and favorable FX (+$8MM) offset by TSV revs falling -$8MM (-2% y-o-y) largely due to lower volume & mix and the negative impact related to the disposition of Powersports (-$6MM) in April 2025, partially offset by higher pricing.
- We estimate margins expand 80 bps to 5.3% in 2026 driven by improved mix following the divestiture of Power Sports and cost reduction actions. On the call management noted Industrial margins are trending towards the mid-high end of their guidance range given the tariff recoveries.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

TXT: FCF Pressured by $650MM of Capex in 2026-27E Tied to MV-75 Acceleration

FCF Declines to $729MM, 70% Conversion Given $267MM in Incremental Capex Due to The MV-75 Program

	2020	2021	2022	2023	2024	2025	2026E	2027E
Net Income	$618	$747	$1,012	$1,126	$1,041	$1,098	$1,047	$1,201
Depreciation and Amortization	386	380	396	395	382	401	429	468
NWC	1,123	295	419	157	(52)	45	(196)	(62)
Pension Contribution	(47)	(52)	(49)	(50)	(50)	(50)	(50)	(50)
Section 174 R&D Tax	0	0	(284)	(220)	(180)	100	100	100
Stock Comp/Deferred Taxes/Other	(1,247)	99	(33)	(138)	(133)	(267)	50	50
CFO	**$833**	**$1,469**	**$1,461**	**$1,270**	**$1,008**	**$1,327**	**$1,379**	**$1,707**
Capex	(317)	(375)	(354)	(402)	(364)	(383)	(650)	(650)
FCF	**$516**	**$1,094**	**$1,107**	**$868**	**$644**	**$944**	**$729**	**$1,057**
FCF per Share	**$2.25**	**$4.83**	**$5.15**	**$4.30**	**$3.38**	**$5.24**	**$4.18**	**$6.21**
Manufacturing FCF	**$596**	**$1,149**	**$1,178**	**$868**	**$644**	**$944**	**$729**	**$1,057**
Deployment								
Dividends	($18)	($18)	($17)	($16)	($12)	($18)	($14)	($14)
Share Repurchases	(183)	(921)	(867)	(1,168)	(1,122)	(822)	(393)	(530)
Debt Paydown	(548)	(524)	(18)	341	0	(707)	0	0
Debt Issuance	1,137	0	0	0	0	991	0	0
Acquisitions	(15)	0	(202)	(1)	(13)	(1)	0	0
Total Deployment	**$373**	**($1,463)**	**($1,104)**	**($844)**	**($1,147)**	**($557)**	**($407)**	**($544)**
Discretionary FCF (post pension contributions, dividends, share repo, and committed debt pay-down)	**($233)**	**($369)**	**$205**	**$25**	**($490)**	**($603)**	**$323**	**$514**
Ratios								
FCF to Net Income Conversion	84%	146%	109%	77%	62%	86%	70%	88%
FCF Yield (FCF / Mkt Cap.)	3.2%	6.7%	6.8%	5.3%	4.0%	5.8%	4.5%	6.5%
FCF Change YoY	-17%	NM	1%	-22%	-26%	47%	-23%	45%
Capex as a % of Revenue	2.7%	3.0%	2.8%	2.9%	2.7%	2.6%	4.2%	4.1%
Discretionary FCF Yield	-1.4%	-2.3%	1.3%	0.2%	-3.0%	-3.7%	2.0%	3.2%
Discretionary FCF % Change YoY	NM	NM	-156%	-88%	-2060%	23%	-154%	59%
Dividend as a % of Net Income	3%	2%	2%	1%	1%	2%	1%	1%
Dividend Yield	0.2%	0.2%	0.2%	0.2%	0.2%	0.2%	0.2%	0.2%
Share Repo as % of Mkt Cap	1%	6%	5%	7%	7%	5%	2%	3%
% of Cash Returned to Shareholders	39%	86%	80%	136%	176%	89%	56%	51%

- TXT manufacturing FCF ex-pension was a source of $154MM in Q2, vs $336MM source of FCF in Q2:25. Capex increased to $95MM from $78MM in prior year. Inventories were a $157MM use in Q2 vs a $101MM use a year ago.
- Management reaffirmed 2026 manufacturing FCF guidance at $700-800MM down 21% y-o-y (~70% conversion) on $1.3-1.4BB of OCF and $650MM of capex ($383MM in 2025), with a $50MM pension add-back. Absent the receipt of any additional funding on the MV-75, FCF would be negatively impacted by $150MM to $250MM. The $267MM incremental capex goes to support the pulled forward timeline on the MV-75 for the FLRAA program at Bell. We estimate $729MM of FCF in 2026, including the incremental capex, a NWC headwind of $200MM y-o-y, a ~3% decline in net earnings and neutral R&D tax impact relative to the $100MM in 2025 and $120MM payment in 2024.
- Cash stood at $1.4BB at the end of Q2 (down from $1.9BB at YE25) and $3.5BB of total debt for net debt of $2.0BB driving net leverage of 1.2X. Our estimates for 2026 factor in ~$395MM of share repurchases in 2026 vs ~$820MM in 2025.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

TXT: Income Statement

	2019		2020		2021		2022		2023		2024		2025		2026E		2027E		2028E	
	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales
Total Revenues	**$13,630**	100.0%	**$11,651**	100.0%	**$12,382**	100.0%	**$12,869**	100.0%	**$13,683**	100.0%	**$13,702**	100.0%	**$14,799**	100.0%	**$15,355**	100.0%	**$15,872**	100.0%	**$16,706**	100.0%
Costs and expenses																				
Costs of Sales	11,251	82.5%	9,834	84.4%	10,156	82.0%	10,573	82.2%	11,309	82.7%	11,409	83.3%	12,074	81.6%	12,614	82.1%	12,877	81.1%	13,497	80.8%
Selling, General & Administrative	1,152	8.5	1,045	9.0	1,221	9.9	1,186	9.2	1,225	9.0	1,156	8.4	1,480	10.0	1,535	10.0	1,587	10.0	1,671	10.0
Provisions for Losses (Finance)	0		0		0		0		0		0		0		0		0		0	
Total Operating Costs	**$12,403**	91.0%	**$10,879**	93.4%	**$11,377**	91.9%	**$11,759**	91.4%	**$12,534**	91.6%	**$12,565**	91.7%	**$13,554**	91.6%	**$14,149**	92.1%	**$14,465**	91.1%	**$15,168**	90.8%
Operating Profit (EBIT excluding rest.)	**$1,227**	9.0%	**$772**	6.6%	**$1,005**	8.1%	**$1,233**	9.6%	**$1,335**	9.8%	**$1,347**	9.8%	**$1,476**	10.0%	**$1,436**	9.3%	**$1,637**	10.3%	**$1,768**	10.6%
Net interest expense	146		145		124		94		62		78		108		135		137		131	
Income before taxes	**$1,001**	7.3%	**$259**	2.2%	**$890**	7.2%	**$1,139**	8.9%	**$1,273**	9.3%	**$1,269**	9.3%	**$1,368**	9.2%	**$1,301**	8.5%	**$1,501**	9.5%	**$1,636**	9.8%
Adjusted Taxes (rate %)	127	12.7%	(27)	-10.4%	126	14.2%	126	11.0%	146	11.5%	226	17.8%	266	19.4%	254	19.5%	300	20.0%	340	20.8%
Adjusted Net Income, continuing ops	**$937**		**$618**		**$748**		**$1,012**		**$1,127**		**$1,042**		**$1,100**		**$1,047**		**$1,201**		**$1,296**	
Income (loss) from discontinued ops	0.0		0.0		(1.0)		0.0		(0.5)		(1.0)		(2.0)		0.0		0.0		0.0	
Adjusted Net Income	**$937**	6.9%	**$618**	5.3%	**$747**	6.0%	**$1,012**	7.9%	**$1,126**	8.2%	**$1,041**	7.6%	**$1,098**	7.4%	**$1,047**	6.8%	**$1,201**	7.6%	**$1,296**	7.8%
Diluted shares (millions)	233		229		227		215		202		190		180		174		170		166	
Adjusted EPS	**$4.03**		**$2.70**		**$3.30**		**$4.71**		**$5.58**		**$5.47**		**$6.10**		**$6.00**		**$7.05**		**$7.80**	

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

TXT: Annual Selected Operating Metrics

(millions, except per share data)	2019	% of sales	2020	% of sales	2021	% of sales	2022	% of sales	2023	% of sales	2024	% of sales	2025	% of sales	2026E	% of sales	2027E	% of sales	2028E	% of sales
Revenue																				
Textron Aviation	$5,187	38%	$3,974	34%	$4,566	37%	$5,073	39%	$5,373	39%	$5,284	39%	$5,971	40%	$6,255	41%	$6,543	41%	$6,879	41%
Bell	3,254	24%	3,309	28%	3,364	27%	3,091	24%	3,147	23%	3,579	26%	4,282	29%	4,545	30%	4,651	29%	5,022	30%
Textron Systems	1,325	10%	1,313	11%	1,273	10%	1,172	9%	1,235	9%	1,241	9%	1,258	9%	1,348	9%	1,402	9%	1,458	9%
Industrial	3,798	28%	3,000	26%	3,130	25%	3,465	27%	3,841	28%	3,515	26%	3,213	22%	3,157	21%	3,226	20%	3,298	20%
eAviation	0	0%	0	0%	0	0%	16	0%	32	0%	33	0%		0%		0%		0%		0%
Total Manufacturing	**$13,564**	100%	**$11,596**	100%	**$12,333**	100%	**$12,817**	100%	**$13,628**	100%	**$13,652**	100%	**$14,724**	99%	**$15,305**	100%	**$15,822**	100%	**$16,656**	100%
Finance	66	0%	55	0%	49	0%	52	0%	55	0%	50	0%	75	1%	50	0%	50	0%	50	0%
Total Revenue	**$13,630**	100%	**$11,651**	100%	**$12,382**	100%	**$12,869**	100%	**$13,683**	100%	**$13,702**	100%	**$14,799**	100%	**$15,355**	100%	**$15,872**	100%	**$16,706**	100%
Revenue YoY % Change																				
Textron Aviation	4%		-23%		15%		11%		6%		-2%		13%		5%		5%		5%	
Bell	2%		2%		2%		-8%		2%		14%		20%		6%		2%		8%	
Textron Systems	-9%		-1%		-3%		-8%		5%		0%		1%		7%		4%		4%	
Industrial	-11%		-21%		4%		11%		11%		-8%		-9%		-2%		2%		2%	
eAviation	0%		0%		0%		0%		100%		3%		-18%							
Total Manufacturing	-2%		-15%		6%		4%		6%		0%		8%		4%		3%		5%	
Finance	0%		-17%		-11%		6%		6%		-9%		50%		-33%		0%		0%	
Total Revenue	-2%		-15%		6%		4%		6%		0%		8%		4%		3%		5%	
Operating Income																				
Textron Aviation	$478	9.2%	$81	2.0%	$378	8.3%	$560	11.0%	$649	12.1%	$566	10.7%	$664	11.1%	$683	10.9%	$770	11.8%	$843	12.3%
Bell	435	13.4%	462	14.0%	408	12.1%	282	9.1%	320	10.2%	370	10.3%	363	8.5%	286	6.3%	382	8.2%	419	8.3%
Textron Systems	141	10.6%	189	14.4%	189	14.8%	132	11.3%	147	11.9%	154	12.4%	165	13.1%	173	12.8%	184	13.1%	195	13.4%
Industrial	255	6.7%	152	5.1%	140	4.5%	155	4.5%	228	5.9%	151	4.3%	145	4.5%	168	5.3%	176	5.5%	185	5.6%
eAviation	0		0		0		(24)	-150.0%	(63)	-196.9%	(76)	-230.3%		#DIV/0!						
Total Manufacturing	**$1,309**	9.7%	**$884**	7.6%	**$1,115**	9.0%	**$1,105**	8.6%	**$1,281**	9.4%	**$1,165**	8.5%	**$1,337**	9.1%	**$1,311**	8.6%	**$1,512**	9.6%	**$1,643**	9.9%
Finance	28		10		19		31		46		35		49		25		25		25	
Segment Operating Income	**$1,337**	9.8%	**$894**	7.7%	**$1,134**	9.2%	**$1,136**	8.8%	**$1,327**	9.7%	**$1,200**	8.8%	**$1,386**	9.4%	**$1,336**	8.7%	**$1,537**	9.7%	**$1,668**	10.0%
Operating profit Change YoY																				
Textron Aviation	1%		-83%		367%		48%		16%		-13%		17%		3%		13%		10%	
Bell	-3%		6%		-12%		-31%		13%		16%		-2%		-21%		33%		10%	
Textron Systems	-21%		34%		0%		-30%		11%		5%		7%		5%		6%		6%	
Industrial	17%		-40%		-8%		11%		47%		-34%		-4%		16%		5%		5%	
eAviation	0%		0%		0%		0%		163%		21%									
Total Manufacturing	-1%		-32%		26%		-1%		16%		-9%		15%		-2%		15%		9%	
Finance	22%		-64%		90%		63%		48%		-24%		40%		-49%		0%		0%	
Segment Operating Income	**0%**		**-37%**		**30%**		**10%**		**4%**		**-1%**		**9%**		**-3%**		**17%**		**9%**	
Manufacturing Incremental	**3%**		**22%**		**31%**		**-2%**		**22%**		**-483%**		**16%**		**-5%**		**39%**		**16%**	

Source: Company data and Jefferies estimates

TXT: Cash Flow Statement

(millions, except per share data)	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
Operating Activities										
Net income	$937	$618	$747	$1,012	$1,126	$1,041	$1,098	$1,047	$1,201	$1,296
Depreciation & Amortization	416	386	380	396	395	382	401	429	468	503
Op cash flow pre-working capital	**$1,353**	**$1,004**	**$1,127**	**$1,408**	**$1,521**	**$1,423**	**$1,499**	**$1,476**	**$1,669**	**$1,799**
Change in inventory	(251)	556	45	(82)	(364)	(157)	(207)	(7)	(66)	(229)
Change in receivables	103	134	(51)	(17)	(13)	(81)	126	(248)	(36)	(58)
Change in payables	279	(602)	10	232	5	(80)	242	(114)	36	58
Changes in working capital and other items	131	88	4	133	(372)	(318)	161	(369)	(66)	(229)
Cash Flow from Operations	**$1,073**	**$833**	**$1,468**	**$1,461**	**$1,270**	**$1,008**	**$1,327**	**$1,379**	**$1,707**	**$1,800**
Investment activities										
Capital expenditures	(339)	(317)	(375)	(354)	(402)	(364)	(383)	(650)	(650)	(425)
Net cash used for acquisitions	30	(4)	(10)	(235)	(35)	(32)	(15)	0	0	0
Other investing activities, net	(428)	(98)	(671)	78	92	108	134	134	0	0
Cash Flow from Investments	**($737)**	**($419)**	**($1,056)**	**($511)**	**($345)**	**($288)**	**($264)**	**($650)**	**($650)**	**($425)**
Financing Activities										
Change in debt	58	583	(522)	(3)	344	(279)	292	0	0	0
Other	353	33	771	(31)	(16)	(374)	(18)	(18)	(14)	(14)
Shareholders' equity	(503)	(183)	(921)	(867)	(1,168)	(1,122)	(822)	(393)	(530)	(530)
Cash Flow from Financing	**($92)**	**$433**	**($672)**	**($901)**	**($840)**	**($1,775)**	**($548)**	**($407)**	**($544)**	**($543)**
Net Change in cash items	**$244**	**$847**	**($260)**	**$49**	**$85**	**($1,055)**	**$515**	**$515**	**$323**	**$514**
Cash at the beginning of the period	987	1,231	2,078	1,818	1,867	1,952	897	1,412	1,927	2,250
Cash at the end of the period	**$1,231**	**$2,078**	**$1,818**	**$1,867**	**$1,952**	**$897**	**$1,412**	**$1,927**	**$2,250**	**$2,764**

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

United Airlines (UAL)

Buy | Price Target: $155

Valuation Method	Price	Assumptions
EV/EBITDAR	150	6.0x EV/EBITDAR on 2027E EBITDAR of $11.0BB
P/E	160	11.0x P/E on 2027E EPS of $14.50
Average	**$155**	**Blended Average**

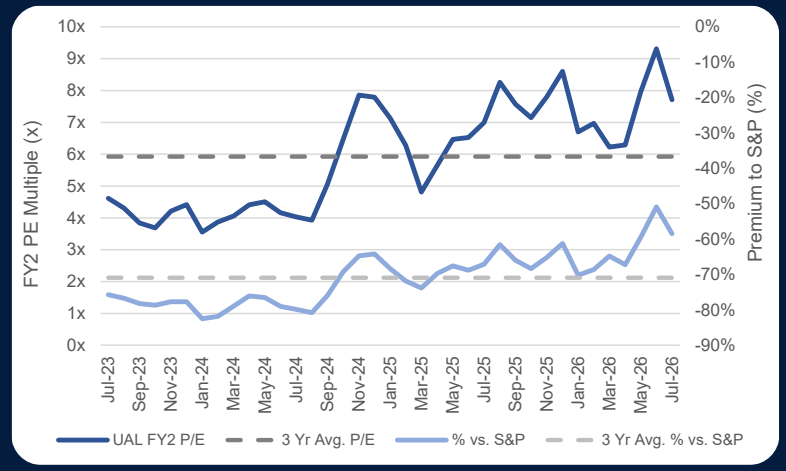
Valuation Table

		JEF	Stock Px	Consensus	Market	Enterprise	P/E			EV / SALES			EV / EBITDA			Yield	
Airlines	Ticker	Rating	5/5/2026	BUY Rating	Cap	Value	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E	Dividend	FCF
Air Canada	AC-CA	Hold	$18.62	44%	5,345	11,086	22.8x	9.2x	5.6x	0.4x	0.4x	0.4x	3.7x	2.9x	2.6x	0.0%	1.2%
American Airlines	AAL	Hold	$12.08	54%	7,986	34,505	-106.0x	5.4x	3.9x	0.6x	0.5x	0.5x	10.5x	6.4x	5.4x	0.0%	10.9%
Alaska Airlines	ALK	N/C	$38.26	94%	4,335	9,330	-59.7x	5.9x	4.3x	0.6x	0.6x	0.5x	10.4x	4.2x	4.0x	0.0%	17.1%
Delta Airlines	DAL	Buy	$70.42	89%	46,266	61,016	13.0x	8.9x	7.6x	0.9x	0.9x	0.9x	7.7x	5.9x	5.3x	1.0%	8.2%
JetBlue	JBLU	N/C	$4.83	5%	1,797	8,855	N/M	N/M	N/M	0.9x	0.8x	0.8x	######	10.8x	8.0x	0.0%	N/M
Southwest Airlines	LUV	Hold	$39.20	43%	19,157	22,783	14.7x	8.6x	7.6x	0.7x	0.7x	0.6x	7.0x	5.1x	4.7x	1.9%	7.2%
Avg. Airlines				**55%**			**-23.0x**	**7.6x**	**5.8x**	**0.7x**	**0.7x**	**0.6x**	**237.8x**	**5.9x**	**5.0x**	**0.5%**	**8.9%**
United Airlines	**UAL**	**Buy**	**$92.92**	**86%**	**30,159**	**47,170**	**9.7x**	**7.7x**	**6.2x**	**0.7x**	**0.7x**	**0.7x**	**6.0x**	**5.2x**	**4.6x**	**0.0%**	**8.8%**
Premium / Discount							**-142%**	**2%**	**7%**	**0%**	**5%**	**6%**	**-97%**	**-11%**	**-8%**		

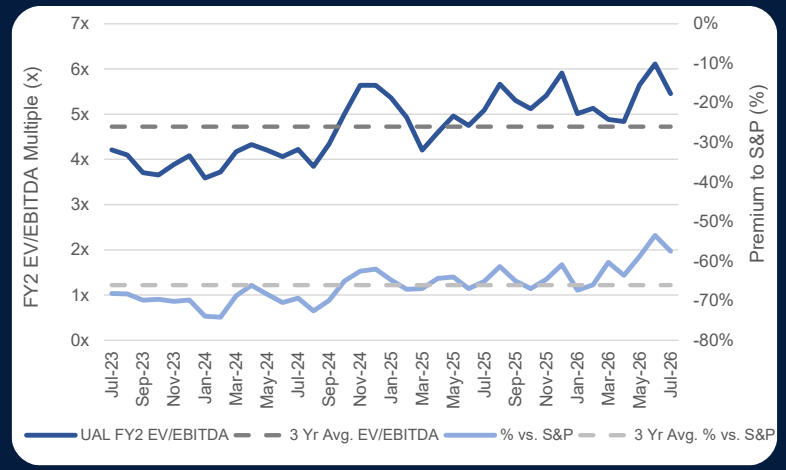
Featured Notes:

- Cautious H2 Fuel Guide on Flare-Up; Core Outlook Improves, w/RASM +3.5pts Q-o-Q | *July 19, 2026*
- United We Stand on Margins in DD Land | *Apr 27, 2026*
- Defying Airline Volatility, Economy Gravity to Re-rate The Loyalty Machines | *Jan 25, 2026*

Trading at 7.7X FY2 P/E, 58% Disct to Mkt vs. Historical Avg Disct of 71%



Trading at 5.5X FY2 EV/EBITDA, 58% Disct to Mkt vs. Historical Avg Disct of 66%



Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

Source: Company data, Jefferies estimates, FactSet

UAL: Investing In the Customer Experience to Win Brand Loyalty

UAL Revenue Build - Fuel Cost Recapture + Reduced Capacity Supports TRASM Growth

Regional Revenue Build	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
ASMs:										
Domestic	161,492	76,302	112,901	145,314	161,324	168,206	178,787	183,325	193,408	203,079
Atlantic	52,608	21,071	29,966	57,014	66,641	65,104	69,373	69,513	71,598	73,746
Pacific	43,632	12,295	10,041	17,415	33,790	44,301	46,211	48,107	49,551	50,789
Latin America	27,267	13,136	25,776	28,115	29,578	33,574	35,912	35,083	36,311	37,400
Total ASMs	**284,999**	**122,804**	**178,684**	**247,858**	**291,333**	**311,185**	**330,283**	**336,029**	**350,868**	**365,015**
Total International ASMs	**123,507**	**46,502**	**65,784**	**102,544**	**130,009**	**142,979**	**151,496**	**152,703**	**157,460**	**161,936**
Load Factor										
Domestic	85.2%	63.2%	79.9%	85.5%	85.1%	85.1%	83.2%	84.0%	84.5%	85.0%
Atlantic	79.6%	50.0%	60.2%	82.7%	82.6%	81.9%	81.2%	82.8%	82.5%	82.5%
Pacific	80.8%	52.9%	28.9%	68.3%	78.5%	75.4%	79.1%	80.7%	80.0%	80.0%
Latin America	84.6%	65.4%	69.2%	83.6%	86.4%	85.2%	83.5%	84.1%	84.5%	85.0%
Total Load Factor	**83.4%**	**60.2%**	**72.2%**	**83.4%**	**83.9%**	**83.1%**	**82.2%**	**83.3%**	**83.5%**	**83.8%**
Total International LF	**81.1%**	**55.1%**	**59.0%**	**80.5%**	**82.4%**	**80.6%**	**81.1%**	**82.4%**	**82.2%**	**82.3%**
RPMs										
Domestic	137,640	48,251	90,189	124,240	137,329	143,192	148,751	154,081	163,430	172,617
Atlantic	41,861	10,534	18,042	47,151	55,039	53,288	56,323	57,551	59,069	60,841
Pacific	35,248	6,504	2,907	11,889	26,523	33,422	36,572	38,817	39,641	40,632
Latin America	23,062	8,594	17,841	23,511	25,544	28,601	29,974	29,511	30,682	31,790
Total RPMs	**237,810**	**73,883**	**128,979**	**206,791**	**244,435**	**258,503**	**271,620**	**279,960**	**292,822**	**305,879**
Total International RPMs	**100,171**	**25,632**	**38,790**	**82,551**	**107,106**	**115,311**	**122,869**	**125,879**	**129,392**	**133,262**
Yield										
Domestic	18.11¢	16.76¢	16.43¢	20.86¢	21.53¢	21.56¢	21.17¢	23.83¢	22.86¢	22.97¢
Atlantic	16.17¢	14.34¢	12.78¢	16.84¢	18.47¢	19.45¢	19.30¢	21.22¢	20.67¢	20.56¢
Pacific	12.49¢	14.13¢	21.05¢	17.87¢	17.53¢	16.71¢	16.41¢	17.71¢	17.61¢	17.52¢
Latin America	15.31¢	14.96¢	13.81¢	17.21¢	18.28¢	17.50¢	16.94¢	18.39¢	17.72¢	17.64¢
Total Network Yield	**16.66¢**	**15.98¢**	**15.66¢**	**19.36¢**	**20.07¢**	**20.05¢**	**19.67¢**	**21.87¢**	**21.17¢**	**21.21¢**
Total International Yield	**14.67¢**	**14.50¢**	**13.87¢**	**17.09¢**	**18.19¢**	**18.17¢**	**17.87¢**	**19.47¢**	**19.03¢**	**18.94¢**
Passenger Revenue ($MM)										
Domestic	$24,925	$8,089	$14,816	$25,920	$29,561	$30,876	$31,487	$36,722	$37,353	$39,650
Atlantic	6,769	1,511	2,306	7,940	10,165	10,362	10,873	12,211	12,207	12,510
Pacific	4,401	919	612	2,125	4,650	5,586	6,003	6,876	6,979	7,118
Latin America	3,530	1,286	2,463	4,047	4,670	5,005	5,077	5,426	5,438	5,606
Total Passenger Revenue	**$39,625**	**$11,805**	**$20,197**	**$40,032**	**$49,046**	**$51,829**	**$53,440**	**$61,234**	**$61,978**	**$64,885**
Total International Passenger Revenue	**$14,700**	**$3,716**	**$5,381**	**$14,112**	**$19,485**	**$20,953**	**$21,953**	**$24,512**	**$24,624**	**$25,234**
Non-Passenger Revenue										
Cargo Revenue	1,179	1,648	2,349	2,171	1,495	1,743	1,779	1,798	1,912	1,986
Other Revenue	2,455	1,902	2,088	2,752	3,176	3,491	3,853	4,200	4,536	4,853
Total Revenue	**$43,259**	**$15,355**	**$24,634**	**$44,955**	**$53,717**	**$57,063**	**$59,072**	**$67,232**	**$68,425**	**$71,724**

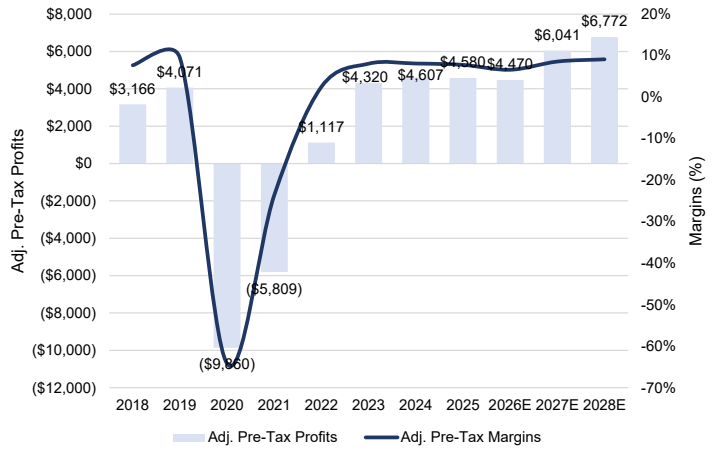
- UAL generated Q2 operating revenues of $17.7BB, up 16.0% y-o-y, with TRASMs up 12.1% y-o-y (vs +6.9% in Q1) on a 3.5% increase in capacity.
- UAL has laid the groundwork to win brand-loyal customers through investing more than $1BB into the customer experience in each of 2025 and 2026. This includes wide-ranging investments from:
- 1) Starlink installations now on 450 mainline/regional aircraft w/ UAL on track to outfit the entire fleet with Starlink by year-end 2027.
- 2) retrofitting the Signature interiors after nearly $2BB of investment including larger overhead bins, in-seat power, bluetooth connections, & seatback screens, which is expected at full scale by 2027.
- 3) doubling the investment in new & updated clubs & lounges in 2025 and again doubling in 2026, with the network up to over 45 United Clubs and 6 Polaris lounges
- 4) the investment in ancillaries such as the modernized app, Kinective media, & new food options (spending +25% y-o-y in 2025). This is all amplified by a leading Premium offering (premium seats to increase 2-3pts more than the system in 2026) and global connectivity.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

UAL: Target of 100+ Bps per Year of Pre-Tax Margin Expansion On Hold In Today's Fuel Environment, But Catch-Up Expected in 2027

Adj. Pre-Tax Profits - JEFe -120 Bps of Margin Compression in 2026;
UAL Targets 100+ Bps/Year and Runway to the Low-to-Mid Teens



- Q2 CASM-ex increased 6.1% y-o-y on 3.5% capacity growth, with fuel of $4.19/gal. From a profitability perspective, UAL reported adjusted pre-tax earnings of $0.8BB for a margin of 4.8% in Q2, down 620 bps y-o-y from 11.0% in Q2:25.
- JEF est adj. pre-tax profits fall 2% y-o-y in 2026 to $4.47BB with margins falling 120 bps y-o-y to 6.6% on the back of a higher revenue outlook and a higher cost outlook. Margins improve 200 bps to 8.6% in 2027 and 50 bps to 9.1% in 2028.
- This compares to UAL's medium-term target of expanding margins by at least 100 bps per year into the low-teens in today's capacity environment, driven by: 1) investing in winning brand loyal customers with >$1BB of investment in each of 2025 and 2026; 2) doubling MileagePlus loyalty EBITDA (JEFe ~$3BB in 2025 or 1/3 of total EBITDA); 3) driving technology-enabled cost efficiencies; and 4) the gauge benefit of larger narrowbodies.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

UAL: UAL's Own Durable FCF During Its Capex Cycle

UAL Mainline Fleet to Grow at 4% CAGR Through 2030

	2024	2025	2026	2027	2028	2029	2030	2031
Starting Fleet	945	994	1,066	1,173	1,211	1,243	1,274	1,307
(+) Deliveries	61	88	128	114	115	115	115	115
(-) Removals	(12)	(16)	(21)	(76)	(83)	(84)	(82)	(87)
Ending Fleet	***994***	***1,066***	***1,173***	***1,211***	***1,243***	***1,274***	***1,307***	***1,335***

FCF Outlook - Repeatable ~$3BB of FCF in '27-28 Throughout the Capex Cycle of $7-9BB per Year

	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
Net Income	**$3,009**	**($7,069)**	**($1,964)**	**$737**	**$2,618**	**$3,149**	**$3,353**	**$3,905**	**$4,685**	**$5,241**
Depreciation and Amortization	2,288	2,488	2,485	2,456	2,671	2,928	2,939	3,084	3,229	3,338
NWC	523	227	1,670	2,255	664	1,901	1,190	1,809	1,480	908
Stock Comp/Deferred Taxes/Other	1,395	221	(124)	618	958	1,467	949	787	1,581	1,780
Operating Cash Flow	**$7,215**	**($4,133)**	**$2,067**	**$6,066**	**$6,911**	**$9,445**	**$8,431**	**$9,584**	**$10,975**	**$11,268**
Adj. Capex	(5,043)	(3,449)	(2,907)	(4,842)	(7,948)	(5,175)	(5,721)	(7,461)	(7,874)	(8,268)
Adj. FCF	**$2,172**	**($7,582)**	**($840)**	**$1,224**	**($1,037)**	**$4,270**	**$2,710**	**$2,123**	**$3,102**	**$3,000**
FCF / Share	*$5.57*	*($20.11)*	*($2.54)*	*$4.03*	*($3.75)*	*$16.43*	*$9.70*	*$6.60*	*$9.40*	*$9.04*
Deployment										
Debt Paydown	(1,240)	(4,449)	(5,205)	(4,011)	(4,248)	(10,138)	(4,771)	505	(750)	(750)
Share Repurchase	(1,645)	(353)	0	0	0	(162)	(637)	(27)	(1,250)	(1,500)
Total Deployment	**($2,885)**	**($4,802)**	**($5,205)**	**($4,011)**	**($4,248)**	**($10,300)**	**($5,408)**	**$478**	**($2,000)**	**($2,250)**
Inflows										
Debt Issuance	1,847	15,676	11,096	736	2,388	6,139	578	0	0	0
Equity issuance	0	2,103	532	0	0	0	0	0	0	0
Total Inflow	**$1,847**	**$17,779**	**$11,628**	**$736**	**$2,388**	**$6,139**	**$578**	**$0**	**$0**	**$0**

- Free Cash Flow: UAL reported FCF source of $322MM in Q2 on $1.6BB of OCF less $1.3BB of adj. capex. Capital deployment included debt paydown of $1.5BB. Net leverage target <2X in the next few years vs 2.2X today on adj ND of $18.1BB. 2025 FCF totaled $2.71BB compared to 2024's $4.27BB, on OCF of $8.4BB less $6.3BB of adj. capex for 88 deliveries.
- For 2026, we expect UAL to generate $2.1BB of FCF on $9.6BB of OCF with adj. capex increasing to $7.5BB for over 120 deliveries.
- UAL expects to retire 21 and 80 aircraft in 2026 and 2027, respectively. This is essentially in line with our expectations and equates to 2% and 6% of the fleet. We forecast the mainline fleet to grow at a 4% CAGR through 2030 .

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

UAL: UAL's Own Durable FCF During Its Capex Cycle

FCF Outlook - Repeatable High-$2BB of FCF Throughout the Capex Cycle of $7-9BB per Year

	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
Net Income	**$3,009**	**($7,069)**	**($1,964)**	**$737**	**$2,618**	**$3,149**	**$3,353**	**$3,386**	**$3,853**	**$4,763**
Depreciation and Amortization	2,288	2,488	2,485	2,456	2,671	2,928	2,939	3,088	3,239	3,350
NWC	523	227	1,670	2,255	664	1,901	1,190	1,796	1,143	673
Stock Comp/Deferred Taxes/Other	1,395	221	(124)	618	958	1,467	949	777	1,337	1,669
Operating Cash Flow	**$7,215**	**($4,133)**	**$2,067**	**$6,066**	**$6,911**	**$9,445**	**$8,431**	**$9,047**	**$9,573**	**$10,455**
Adj. Capex	(5,043)	(3,449)	(2,907)	(4,842)	(7,948)	(5,175)	(5,721)	(7,808)	(7,932)	(8,268)
Adj. FCF	**$2,172**	**($7,582)**	**($840)**	**$1,224**	**($1,037)**	**$4,270**	**$2,710**	**$1,238**	**$1,641**	**$2,187**
FCF / Share	*$5.57*	*($20.11)*	*($2.54)*	*$4.03*	*($3.75)*	*$16.43*	*$9.70*	*$3.85*	*$4.97*	*$6.59*
Deployment										
Debt Paydown	(1,240)	(4,449)	(5,205)	(4,011)	(4,248)	(10,138)	(4,771)	(1,772)	(750)	(750)
Share Repurchase	(1,645)	(353)	0	0	0	(162)	(637)	(1,000)	(1,250)	(1,500)
Total Deployment	**($2,885)**	**($4,802)**	**($5,205)**	**($4,011)**	**($4,248)**	**($10,300)**	**($5,408)**	**($2,772)**	**($2,000)**	**($2,250)**
Inflows										
Debt Issuance	1,847	15,676	11,096	736	2,388	6,139	578	0	0	0
Equity issuance	0	2,103	532	0	0	0	0	0	0	0
Total Inflow	**$1,847**	**$17,779**	**$11,628**	**$736**	**$2,388**	**$6,139**	**$578**	**$0**	**$0**	**$0**
CFO Y-o-Y Change	17%	-157%	-150%	193%	14%	37%	-11%	7%	6%	9%
FCF Y-o-Y Change	4%	-449%	-89%	-246%	-185%	-512%	-37%	-54%	32%	33%
FCF / Revenue	5%	-49%	-3%	3%	-2%	7%	5%	2%	2%	3%
FCF / EBITDA	32%	118%	47%	25%	-13%	52%	34%	16%	19%	22%
FCF / Net Income	72%	107%	43%	166%	-40%	136%	81%	37%	43%	46%
Capex / Revenue	12%	22%	12%	11%	15%	9%	10%	12%	12%	12%
FCF Yield	6%	-21%	-2%	3%	-3%	12%	8%	3%	5%	6%

- UAL reported FCF source of $2.9MM in Q1 on $4.8BB of OCF less $1.7BB of adj. capex. Capital deployment included share repos of $27MM and debt paydown of $859MM. Net leverage target <2X in the next few years vs 2.0X today on adj ND of $17.9BB. 2025 FCF totaled $2.71BB compared to 2024's $4.27BB, on OCF of $8.4BB less $6.3BB of adj. capex for 88 deliveries.
- For 2026, we expect UAL generates $1.2BB of FCF on $9.0BB of OCF with adj. capex increasing to <$8BB for over 120 deliveries.
- Long-term, UAL has guided for $7-9BB per year of capex in 2025 to 2027 for 100 narrowbodies per year (60% 737s & 40% A321s), along with 25-30 widebodies per year for 250 new aircraft deliveries by April 2028. Management expects for operating cash flow growth to exceed capex growth on the path to Low-Teens pre-tax margins, supporting FCF conversion of 50% in the near-term and trending to 75% by the end of the decade.
- We estimate capex of $7.9BB and $8.3BB in 2027 and 2028 for 110 and 115 deliveries, respectively, compared to OCF of $11.5BB and $11.7BB, respectively. This drives FCF of $1.6BB and $2.2BB in 2027 and 2028, respectively, or 43% and 46% of net income, respectively.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

UAL: Annual Income Statement

$MM except per share data	2021		2022		2023		2024		2025		2026E		2027E		2028E	
	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales
Total Revenues	**$24,634**	100.0%	**$44,955**	100.0%	**$53,717**	100.0%	**$57,063**	100.0%	**$59,070**	100.0%	**$67,232**	100.0%	**$68,425**	100.0%	**$71,724**	100.0%
Cost and Expenses																
Salaries and Related Costs	9,566	38.8%	11,466	25.5%	14,787	27.5%	16,678	29.2%	17,647	29.9%	19,806	29.5%	21,035	30.7%	21,873	30.5%
Aircraft Fuel	5,755	23.4%	13,113	29.2%	12,651	23.6%	11,756	20.6%	11,396	19.3%	16,624	24.7%	13,967	20.4%	13,302	18.5%
Regional Capacity Purchase	2,147	8.7%	2,299	5.1%	2,400	4.5%	2,516	4.4%	2,693	4.6%	2,789	4.1%	2,947	4.3%	3,139	4.4%
Landing Fees and other rent	2,416	9.8%	2,576	5.7%	3,076	5.7%	3,437	6.0%	3,849	6.5%	4,133	6.1%	4,491	6.6%	4,964	6.9%
Depreciation and Amortization	2,485	10.1%	2,456	5.5%	2,671	5.0%	2,928	5.1%	2,939	5.0%	3,088	4.6%	3,239	4.7%	3,350	4.7%
Aircraft Maintenance Materials and Outside Repairs	1,316	5.3%	2,153	4.8%	2,736	5.1%	3,063	5.4%	3,294	5.6%	3,360	5.0%	3,509	5.1%	3,650	5.1%
Distribution Expenses	677	2.7%	1,535	3.4%	1,977	3.7%	2,231	3.9%	2,109	3.6%	2,151	3.2%	2,210	3.2%	2,336	3.3%
Aircraft Rent	228	0.9%	252	0.6%	197	0.4%	193	0.3%	252	0.4%	328	0.5%	315	0.5%	295	0.4%
Special Charges	(3,367)	-13.7%	140	0.3%	949	1.8%	112	0.2%	259	0.4%	(389)	-0.6%	0	0.0%	0	0.0%
Other operating expenses	4,433	18.0%	6,628	14.7%	8,062	15.0%	9,053	15.9%	9,919	16.8%	10,484	15.6%	11,263	16.5%	12,155	16.9%
Total Operating Costs	**$25,656**	104.1%	**$42,618**	94.8%	**$49,506**	92.2%	**$51,967**	91.1%	**$54,357**	92.0%	**$62,374**	92.8%	**$62,977**	92.0%	**$65,064**	90.7%
Operating Profit	**($1,022)**	-4.1%	**$2,337**	5.2%	**$4,211**	7.8%	**$5,096**	8.9%	**$4,713**	8.0%	**$4,858**	7.2%	**$5,448**	8.0%	**$6,660**	9.3%
Interest expense	(1,657)		(1,778)		(1,956)		(1,629)		(1,373)		(1,245)		(1,147)		(1,056)	
Interest capitalized	80		105		182		227		206		201		161		137	
Interest income	36		298		827		726		611		527		504		441	
Unrealized gains (losses) on investments, net	(34)		20		27		(199)		4		(13)		0		0	
Miscellaneous, net	40		8		96		(53)		144		24		0		0	
Income before taxes	**($2,557)**	-10.4%	**$990**	2.2%	**$3,387**	6.3%	**$4,168**	7.3%	**$4,305**	7.3%	**$4,352**	6.5%	**$4,966**	7.3%	**$6,182**	8.6%
Taxes (rate %)	(593)	23.2%	253	25.6%	769	22.7%	1,019	24.4%	953	22.1%	966	22.2%	1,112	22.4%	1,419	23.0%
Net Income	**($1,964)**	-8.0%	**$737**	1.6%	**$2,618**	4.9%	**$3,149**	5.5%	**$3,352**	5.7%	**$3,386**	5.0%	**$3,853**	5.6%	**$4,763**	6.6%
Diluted Shares (millions)	322		330		332		333		329		324		321		318	
GAAP EPS	**($6.10)**		**$2.23**		**$7.89**		**$9.45**		**$10.20**		**$10.44**		**$12.00**		**$15.00**	
GAAP Pre-Tax Loss	**(2,557)**		**990**		**3,387**		**4,168**		**4,305**		**4,352**		**4,966**		**6,182**	
Special charges (credit)	(3,367)		140		949		112		259		(389)		0		0	
Special Termination Benefits	31		0		0		0		0		0		0		0	
Unrealized (gain) losses on investments, net	34		(20)		(27)		199		(4)		13		0		0	
Debt extinguishment and modification fees	50		7		11		128		20		4		0		0	
Credit loss on BRW term loan and guarantee	0		0		0		0		0		0		0		0	
Other adjustments	0		0		0		0		0		0		0		0	
GAAP Income Tax	(593)		253		769		1,019		953		966		1,112		1,419	
Tax adjustments	(728)		33		200		54		136		(83)		0		0	
Special income tax adjustments	0		0		14		0		0		0		0		0	
Adjusted Income Tax	**(1,321)**		**286**		**983**		**1,073**		**1,089**		**884**		**1,112**		**1,419**	
Adjusted Net Earnings	**($4,488)**		**$831**		**$3,337**		**$3,534**		**$3,491**		**$3,097**		**$3,853**		**$4,763**	
Adjusted EPS	**($13.94)**		**$2.52**		**$10.05**		**$10.61**		**$10.62**		**$9.55**		**$12.00**		**$15.00**	

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

UAL: Cash Flow Statement

$MM except per share data	2021	2022	2023	2024	2025	2026E	2027E	2028E
Operating activities:								
Net Income	($1,964)	$737	$2,618	$3,149	$3,353	$3,386	$3,853	$4,763
Adjustments								
Deferred income taxes	(583)	248	756	935	925	966	1,112	1,419
Depreciation and amortization	2,485	2,456	2,671	2,928	2,939	3,088	3,239	3,350
Special charges, non-cash portion	32	16	84	158	13	(389)	0	0
Unrealized (gains) losses on investments	34	(20)	(27)	199	(4)	0	0	0
Other operating activities	393	374	145	175	15	200	225	250
Changes in operating assets and liabilities								
(Increase) decrease in receivables	(448)	(158)	(100)	280	(297)	(188)	(8)	(115)
(Increase) decrease in other assets	(292)	(86)	(463)	(166)	(264)	(14)	0	(25)
Increase in advance ticket sales	1,521	1,200	(851)	857	570	840	946	465
Increase (decrease) in frequent flyer deferred revenu	307	393	468	298	336	150	100	100
Increase (decrease) in accounts payable	985	796	572	178	674	600	(68)	141
Increase (decrease) in other liabilities	(403)	110	1,038	454	171	408	173	106
Net cash from operating activities	**$2,067**	**$6,066**	**$6,911**	**$9,445**	**$8,431**	**$9,047**	**$9,573**	**$10,455**
Investing activities								
Capital expenditures	(2,107)	(4,819)	(7,171)	(5,615)	(5,874)	(7,808)	(7,932)	(8,268)
Purchases of short-term and other investments	(68)	(11,232)	(9,470)	(5,809)	(7,763)	0	0	0
Proceeds from sale of ST investments	504	2,084	10,519	8,661	7,284	0	0	0
Loans made to others	0	0	0	0	0	0	0	0
Investment in affiliates	0	0	0	0	0	0	0	0
Other, net	(1)	138	16	112	2	0	0	0
Net cash from investing activities	**($1,672)**	**($13,829)**	**($6,106)**	**($2,651)**	**($6,351)**	**($7,808)**	**($7,932)**	**($8,268)**
Financing activities								
Proceeds from issuance of short-term debt	0	0	0	0	0	0	0	0
Proceeds from issuance of long-term debt	11,096	736	2,388	6,139	578	0	0	0
Proceeds from equity issuance	532	0	0	0	0	0	0	0
Payments of long-term debt	(5,205)	(4,011)	(4,248)	(10,138)	(4,771)	(1,772)	(750)	(750)
Repurchases of common stock	0	0	0	(162)	(637)	(1,000)	(1,250)	(1,500)
Principal payments under finance leases	0	0	0	0	0	0	0	0
Capitalized financing costs	0	0	0	0	0	0	0	0
Other, net	(27)	(74)	(32)	(21)	(115)	0	0	0
Net cash from financing activities	**$6,396**	**($3,349)**	**($1,892)**	**($4,182)**	**($4,945)**	**($2,772)**	**($2,000)**	**($2,250)**
Net Increase in Cash	**$6,791**	**($11,112)**	**($1,087)**	**$2,612**	**($2,865)**	**($1,534)**	**($359)**	**($63)**
Beginning cash	12,038	18,533	7,421	6,334	8,946	6,081	4,547	4,188
Ending cash	**$18,829**	**$7,421**	**$6,334**	**$8,946**	**$6,081**	**$4,547**	**$4,188**	**$4,126**

Source: Company data and Jefferies estimates

Virgin Galactic Holdings (SPCE)

Buy | Price Target: $5

Valuation Table

Space	Ticker	JEF Rating	Stock Px 8/2/2026	Market Cap	Enterprise Value	P/E 2022E	P/E 2023E	P/E 2024E	EV / SALES 2022E	EV / SALES 2023E	EV / SALES 2024E	EV / EBITDA 2022E	EV / EBITDA 2023E	EV / EBITDA 2024E	Yield Dividend	FCF
Trimble Inc	TRMB	N/C	$56.58	13,189	14,583	21.4x	21.3x	19.9x	4.0x	3.8x	4.0x	16.3x	14.9x	14.6x	0.0%	7.1%
Palantir Technologies	PLTR	Hold	$123.06	282,555	308,660	2051.0x	492.2x	N/M	162.0x	138.7x	N/M	740.7x	465.2x	N/M	0.0%	2.1%
Iridium	IRDM	N/C	$47.34	5,016	6,713	N/M	394.5x	50.4x	9.3x	8.5x	8.1x	15.8x	14.5x	14.3x	1.2%	7.0%
Mercury Systems	MRCY	Hold	$97.10	5,830	6,078	44.3x	97.1x	-140.7x	6.2x	6.2x	7.3x	30.3x	46.0x	645.7x	0.0%	1.3%
Thales Group	HO-FR	Buy	$245.90	50,641	51,188	33.5x	29.0x	35.7x	2.9x	2.8x	2.5x	19.4x	17.9x	16.1x	1.6%	4.9%
Average						**460.1x**	**191.0x**	**15.3x**	**32.0x**	**27.7x**	**5.5x**	**154.3x**	**105.9x**	**153.1x**	**0.5%**	**3.9%**
Virgin Galactic	**SPCE**	**Buy**	**$2.55**	**342**	**321**	**-1.4x**	**-0.1x**	**-0.2x**	**47.1x**	**47.1x**	**45.6x**	**-0.7x**	**-0.6x**	**-0.9x**	**N/A**	**N/A**
Discount / Premium						**-100%**	**-100%**	**-101%**	**47%**	**70%**	**726%**	**-100%**	**-101%**	**-101%**		

Featured Notes:

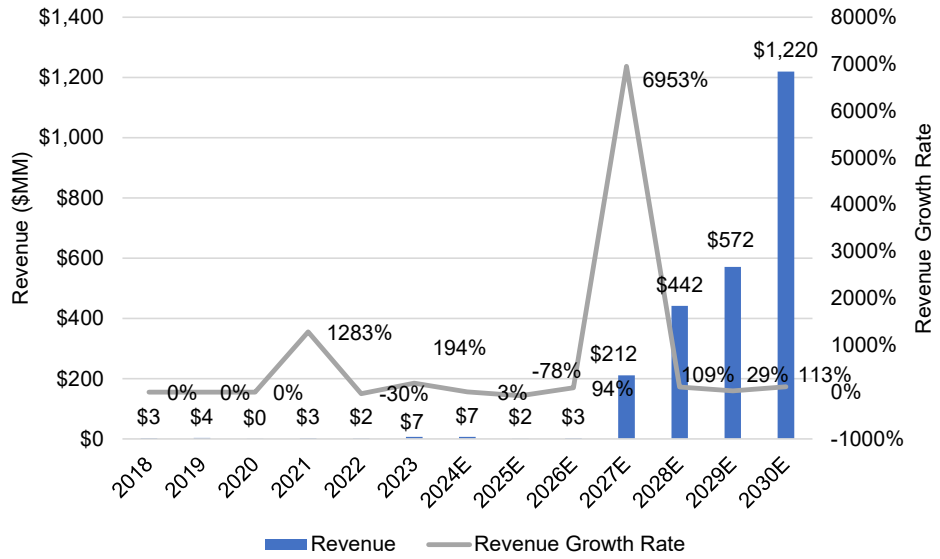
- Delta Moving Toward Finish Line with No Delta to Timeline | May 17, 2026
- Backlog Reopening as Restart of Commercial Flights In Sight | April 2, 2026
- Schedule Continues to Firm As Flights Enter 1 Year Window | November 14, 2025

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

Source: Company data, Jefferies estimates, FactSet

Virgin Galactic (SPCE): Revenues to Reach $212MM in 2027E on 576 Passengers

Revenue Growth Expected to Accelerate Exiting 2026E as Private Astronaut Flights Launch in Q4, Ramping into 2027



- Growth in revenue should be driven by growing demand for commercial space travel, coupled with the ability to support the demand through increased utilization of assets. Acceleration comes with the introduction of the Delta Class ship, which could be introduced into commercial flights in Q4. There could be further opportunities to expand to additional spaceports as New Mexico reaches full capacity, with timing of the next spaceport (or New Mexico expansion) in the 2030 time frame. This includes a current feasibility study with Italy as a potential option for a second spaceport. Near-term capacity (two Deltas and one mothership) is expected to support ~125 flights per year on the Delta introduction with growth capital accelerating to four Deltas and two motherships in the 2030 timeframe.

- Today, the suborbital spaceflight systems are focused on three markets: 1) private astronauts; 2) microgravity research; and 3) suborbital training for professional astronauts. All three markets should contribute to increased usage, but the focus will remain on the private astronaut market with economics for each market largely in line.

Source: Company data and Jefferies estimates

Jefferies

Virgin Galactic (SPCE): Cash Flow Growth Supported by SpaceShip Ramp and Deposits

OCF Turns Positive in 2027E ($MM)

	2018	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
Net Income	(138)	(211)	(273)	(353)	(500)	(502)	(347)	(279)	(276)	(89)	41	85	380
Depreciation and Amortization	6	7	10	12	11	13	15	16	23	32	38	44	50
NWC	(13)	(7)	(0)	14	50	8	(38)	7	12	42	51	74	63
Stock Comp/Deferred Taxes/Other	(1)	2	30	96	59	33	17	15	30	30	30	30	30
CFO	**(146)**	**(209)**	**(233)**	**(231)**	**(380)**	**(448)**	**(353)**	**(240)**	**(211)**	**15**	**160**	**233**	**522**
Capex	(11)	(14)	(17)	(5)	(16)	(44)	(122)	(198)	(130)	(90)	(90)	(90)	(90)
FCF	**(156)**	**(223)**	**(250)**	**(235)**	**(397)**	**(493)**	**(475)**	**(438)**	**(341)**	**(75)**	**70**	**143**	**432**
FCF Per Share	**($0.81)**	**($1.15)**	**($1.14)**	**($0.95)**	**($1.50)**	**($29.21)**	**($19.01)**	**($8.55)**	**($3.10)**	**($0.49)**	**$0.46**	**$0.94**	**$2.84**
Ratios													
FCF / Revenue	N/A	N/A	N/A	-7151%	-17160%	-7243%	-6745%	-28380%	-11359%	-35%	16%	25%	35%
FCF / EBITDA	118%	119%	108%	96%	92%	115%	164%	194%	157%	252%	57%	81%	88%
FCF / Net Income	113%	106%	92%	67%	79%	98%	137%	157%	124%	84%	169%	168%	114%
FCF yield	-13%	-19%	-21%	-20%	-34%	-42%	-40%	-37%	-29%	-6%	6%	12%	37%
Cash / share	$0.00	$2.47	$3.04	$3.66	$3.56	$56.08	$25.02	$5.99	$0.88	$0.47	$0.93	$1.87	$4.70

- From a cash perspective, Virgin Galactic's balance sheet should be adequate to fund near-term expansion, with SPCE expecting the $251MM to be enough to get the company through development of Delta and to be cash flow positive in 2027 as flights ramp coupled with other capital flexibility.

- As of the end of Q1, Virgin Galactic had $124.8MM of cash and equivalents, $30.6MM of restricted cash, and $95.1MM of short-term marketable securities for total cash and marketable securities of ~$251MM. This compares to LT debt of the $202.7MM with $117.0MM of current portion of LT debt. This excludes $52MM of gross proceeds raised in April 2026 post quarter close.

Source: Company data and Jefferies estimates

Virgin Galactic (SPCE): Income Statement

(millions, except per share data)	2023		2024		2025		2026E		2027E		2028E	
	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales
Total Revenues	**$7**	100.0	**$7**	100.0	**$2**	100.0	**$3**	100.0	**$212**	100.0	**$442**	100.0
Costs and expenses												
Customer Experience	51	743.2%	90	1279.5%	73	4713.0%	126	4200.0%	148	70.0%	190	43.0%
SG&A	179	2636.2%	125	1783.6%	117	7588.5%	105	3500.0%	100	47.2%	128	29.0%
R&D	295	4340.3%	153	2170.0%	80	5211.5%	28	930.0%	28	13.0%	44	10.0%
D&A	13	196.6%	15	219.8%	16	1067.7%	23	762.3%	32	15.1%	38	8.6%
Total Operating Costs	**$538**	7916%	**$384**	5453%	**$287**	18581%	**$282**	9392%	**$307**	145%	**$401**	91%
GAAP Operating Profit	**($532)**	NM	**($377)**	NM	**($285)**	NM	**($279)**	NM	**($96)**	NM	**$41**	NM
Change in fair value of warrants	0		0		0		0		0		0	
Interest income (expense), net	29		29		9		3		2		2	
Other income (expense), net	0		1		(3)		0		0		0	
Pre-Tax Income	(502)		(347)		(279)		(276)		(94)		43	
Taxes	(0)		(0)		(0)		0		5		(2)	
Net Income From Continuing Ops	**($502)**		**($347)**		**($279)**		**($276)**		**($89)**		**$41**	
Foreign currency transation adjustment	(0)		(0)		(0)		(0)		(0)		(0)	
GAAP Net Income	**($502)**		**($347)**		**($279)**		**($276)**		**($89)**		**$41**	
Diluted shares (millions)	16.9		25.0		51.2		109.9		152.5		152.5	
GAAP Diluted EPS	**($29.79)**		**($13.89)**		**($5.44)**		**($2.51)**		**($0.58)**		**$0.27**	
EBITDA	**($427.0)**		**($288.5)**		**($225.8)**		**($216.9)**		**($29.9)**		**$123.3**	

Source: Company data and Jefferies estimates

Voyager Technologies, Inc. (VOYG)

Buy | Price Target: $60

Valuation Method	Price	Assumptions
Core EV/Sales	42	8.3x EV/Sales on 2027 Core Sales of $324MM
DCF	18	Starlab Option Value
Sum	**$60**	**Summation**

Valuation Table

	Ticker	JEF Rating	Stock Px 7/28/2026	Consensus BUY Rating	Market Cap	Enterprise Value	P/E 2026E	P/E 2027E	P/E 2028E	EV / SALES 2026E	EV / SALES 2027E	EV / SALES 2028E	EV / EBITDA 2026E	EV / EBITDA 2027E	EV / EBITDA 2028E	FCF Yield
AeroVironment	AVAV	Buy	$156.26	87%	7,908	7,569	48.2x	35.0x	27.0x	3.5x	3.0x	2.6x	23.5x	18.6x	15.0x	1.9%
Karman	KRMN	N/C	$49.96	92%	6,621	7,279	86.6x	54.3x	39.3x	9.9x	7.8x	6.2x	34.1x	25.8x	20.0x	1.7%
Kratos	KTOS	Buy	$48.38	86%	9,072	7,225	63.3x	45.3x	34.8x	4.1x	3.3x	2.8x	40.7x	29.7x	23.5x	-0.1%
Redwire	RDW	Hold	$8.64	71%	2,063	1,674	NM	NM	NM	3.6x	2.9x	NM	NM	338.4x	NM	-1.8%
Rocket Lab	RKLB	N/C	$64.43	86%	38,541	36,171	NM	NM	206.4x	39.4x	27.5x	20.1x	NM	279.7x	118.0x	NM
Teledyne	TDY	Buy	$644.52	60%	29,877	31,955	26.2x	24.2x	22.5x	4.9x	4.6x	4.4x	19.5x	18.1x	17.0x	4.4%
Average				85%			**56.1x**	**39.7x**	**66.0x**	**10.9x**	**8.2x**	**7.2x**	**29.5x**	**118.4x**	**38.7x**	**1.2%**
Voyager Technologies	**VOYG**	**Buy**	**$26.28**		**1,406**	**1,663**	**NM**	**NM**	**NM**	**4.1x**	**4.1x**	**1.9x**	**NM**	**NM**	**NM**	**NM**
Discount / Premium							**NM**	**NM**	**NM**	**-62%**	**-50%**	**-74%**	**NM**	**NM**	**NM**	**NM**

Featured Notes:

- Mgmt Meeting Takes: Pipeline of Oppties Beyond The Stars | June 1, 2026
- Waiting For A Star to Be Born; Investments Curtail NT Profit on Robust Topline | March 15, 2026
- Waiting For A Star to Be Born, But There Are Pieces of Gold to Be Had | *November 6, 2025*

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

Source: Company data, Jefferies estimates, FactSet

Voyager Technologies, Inc. (VOYG): Income Statement

Year Ending Dec 31.

$ in MM except per share data	2023		2024		2025		2026E		2027E		2028E		2029E		2030E	
	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales
Total Revenues	**$136.1**	100.0%	**$144.2**	100.0%	**$166.4**	100.0%	**$238.4**	100.0%	**$402.3**	100.0%	**$890.6**	100.0%	**$1,969.6**	100.0%	**$3,153.5**	100.0%
COGS	108.3	79.6%	109.3	75.8%	136.5	82.0%	205.9	86.4%	307.3	76.4%	782.7	87.9%	1,768.7	89.8%	2,252.4	71.4%
Gross Profit	**$27.8**	**25.7%**	**$34.9**	**32.0%**	**$29.9**	**21.9%**	**$32.5**	**15.8%**	**$95.0**	**30.9%**	**$107.9**	**13.8%**	**$200.9**	**11.4%**	**$901.1**	**40.0%**
Selling, General & Admin Expenses	$54.0	39.7%	$62.6	43.4%	$117.1	70.4%	$164.0	68.8%	$153.2	38.1%	$165.2	18.6%	$207.3	10.5%	$238.4	7.6%
Internally Funded R&D (IRAD)	(18.5)	-13.6%	7.6	5.3%	12.8	7.7%	60.0	25.2%	27.0	6.7%	20.4	2.3%	30.5	1.5%	28.5	0.9%
Amortization of Acquired Intangibles	6.5	4.7%	9.6	6.6%	8.5	5.1%	12.0	5.0%	10.0	2.5%	10.0	1.1%	10.0	0.5%	10.0	0.3%
Impairment Losses/Other	0.0	0.0%	3.6	2.5%	0.0	0.0%	0.0	0.0%	0.0	0.0%	0.0	0.0%	0.0	0.0%	0.0	0.0%
Total Operating Expenses	**$42.0**	**30.8%**	**$83.4**	**57.8%**	**$138.4**	**83.1%**	**$236.0**	**99.0%**	**$190.1**	**47.3%**	**$195.7**	**22.0%**	**$247.8**	**12.6%**	**$276.8**	**8.8%**
Operating Profit	**($14.2)**	**-10.4%**	**($48.4)**	**-33.6%**	**($108.5)**	**-65.2%**	**($203.5)**	**-85.4%**	**($95.2)**	**-23.7%**	**($87.8)**	**-9.9%**	**($46.9)**	**-2.4%**	**$624.2**	**19.8%**
Finance, Interest, Other Income & (Expense)	(10.7)		(18.9)		(4.3)		0.0		(3.3)		(3.3)		(3.3)		(3.3)	
Earnings Before Tax	**($24.9)**	**-18.3%**	**($67.3)**	**-46.7%**	**($112.8)**	**-67.8%**	**($203.5)**	**-85.4%**	**($98.4)**	**-24.5%**	**($91.0)**	**-10.2%**	**($50.1)**	**-2.5%**	**$621.0**	**19.7%**
Taxes	(0.3)		1.7		0.4		(3.2)		0.0		0.0		0.0		(57.0)	
Net Income from Continuing Operations	**($25.2)**	**-18.5%**	**($65.6)**	**-45.5%**	**($112.3)**	**-67.5%**	**($206.8)**	**-86.7%**	**($98.4)**	**-24.5%**	**($91.0)**	**-10.2%**	**($50.1)**	**-2.5%**	**$564.0**	**17.9%**
NCI	0.2		(3.6)		(7.5)		(12.9)		(19.3)		(20.2)		(49.9)		179.1	
Preferred Stock & Adjustments	0.0		21.3		(22.5)		(8.2)		0.0		0.0		0.0		0.0	
Adj. Net Income	**($25.4)**	**-18.7%**	**($83.4)**	**-57.8%**	**($82.3)**	**-49.4%**	**($185.7)**	**-77.9%**	**($79.1)**	**-19.7%**	**($70.8)**	**-8.0%**	**($0.2)**	**0.0%**	**$384.9**	**12.2%**
Adjusted Diluted EPS			**($2.29)**		**($2.05)**		**($3.18)**		**($1.33)**		**($1.17)**		**($0.00)**		**$6.18**	
Diluted shares (millions)			36.3		40.2		58.3		59.3		60.3		61.3		62.3	
Net Income																
(+) D&A	$10.3		$13.6		$13.4		$16.0		$37.8		$45.5		$37.2		$22.9	
(+) Finance & Interest Expense	10.6		12.0		6.8		2.1		0.0		0.0		0.0		0.0	
(+) Tax (Income) / Expense	0.3		(1.7)		(0.4)		3.2		0.0		0.0		0.0		0.0	
EBITDA	**($4.2)**		**($38.2)**		**($85.0)**		**($172.6)**		**($41.3)**		**($25.4)**		**$36.9**		**$407.9**	
% Margin	-3.1%		-26.5%		-51.1%		-72.4%		-10.3%		-2.8%		1.9%		12.9%	
(+) Share Based Compensation	$2.7		$3.8		$18.9		$10.0		$5.0		$6.0		$8.0		$10.0	
(+) Adjustments	2.9		4.4		(3.8)		1.0		(15.0)		(20.2)		(49.9)		179.1	
Adj. EBITDA	**$1.4**		**($30.0)**		**($69.9)**		**($161.6)**		**($51.3)**		**($39.6)**		**($5.0)**		**$596.9**	
% Margin	1.0%		-20.8%		-42.0%		-67.8%		-12.7%		-4.4%		-0.3%		18.9%	

Source: Company data and Jefferies estimates

VSE Corporation (VSEC)

Buy | Price Target: $260

Valuation Method	Price	Assumptions
EV/EBITDA	259	21.5x EV/EBITDA on 2027 EBITDA of $426MM
P/E	260	46.5x P/E on 2027 EPS of $5.60
Average	**$260**	**Blended Average**

Valuation Table

	Ticker	JEF Rating	Stock Px 7/30/2026	Consensus BUY Rating	Market Cap	Enterprise Value	P/E 2026E	P/E 2027E	P/E 2028E	EV / SALES 2026E	EV / SALES 2027E	EV / SALES 2028E	EV / EBITDA 2026E	EV / EBITDA 2027E	EV / EBITDA 2028E	Yield Dividend
AAR Corp	AIR-US	Buy	$139.48	86%	5,564	6,260	24.3x	21.3x	18.8x	1.7x	1.6x	1.5x	13.5x	12.3x	11.1x	0.0%
Arxs	ARXS	Buy	$48.98	91%	3,412	22,582	138.9x	68.9x	54.9x	12.0x	10.9x	10.0x	30.9x	27.3x	24.5x	0.0%
Heico	HEI	Buy	$354.17	60%	19,563	53,108	58.1x	51.4x	45.4x	10.0x	9.1x	8.4x	35.8x	32.5x	30.0x	0.1%
Honeywell Aerospace	HONA	Hold	$204.32	38%	64,745	NM	23.0x	20.4x	18.2x	NM	NM	NM	NM	NM	NM	NM
Loar Holdings	LOAR	Buy	$68.24	67%	6,389	7,288	52.3x	44.4x	37.9x	11.1x	10.1x	9.2x	27.8x	24.7x	22.1x	0.0%
Parker-Hannifin	PH	Buy	$962.79	69%	121,395	132,249	30.8x	28.3x	25.6x	6.2x	5.8x	5.4x	22.9x	20.9x	19.2x	0.8%
TransDigm	TDG	Buy	$1,249.91	54%	69,912	101,727	31.2x	26.6x	23.1x	9.8x	9.0x	8.3x	18.8x	17.1x	15.6x	0.0%
Woodward	WWD	Buy	$356.28	85%	21,228	22,155	37.9x	33.1x	27.9x	5.1x	4.7x	4.3x	24.5x	21.7x	18.7x	0.3%
Average				66%			**49.5x**	**36.8x**	**31.5x**	**8.0x**	**7.3x**	**6.7x**	**24.9x**	**22.3x**	**20.2x**	**0.2%**
VSEC Corp	**VSEC**	**Buy**	**$191.55**	**91%**	**5,374**	**4,495**	**46.1x**	**34.2x**	**29.5x**	**2.5x**	**2.1x**	**1.9x**	**13.7x**	**10.6x**	**9.4x**	**0.2%**
Discount / Premium							**-7%**	**-7%**	**-6%**	**-69%**	**-72%**	**-71%**	**-45%**	**-53%**	**-53%**	

Featured Notes:

- Q2 Preview: PAGe Turned, Now Onto the Organic Guidance Raise Chapter | June 7, 2026
- A Quarter of Precision In Both M&A & Organic Execution | May 10, 2026
- Growing w/ Precision: PAG Lifts PF Margins to >18% in '26E on Path to >20% | *May 5, 2025*

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

Source: Company data, Jefferies estimates, FactSet

Jefferies

VSEC: 9% Organic Revenue CAGR Through 2028 Supported by New Wins and Continued Market Growth

Revenue Build - Durable Above Market Growth with 9% Organic CAGR Through 2028E ($MM)

	2018	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
Revenues											
Repair	56.0	119.0	82.4	75.7	107.4	167.5	303.5	408.4	834.0	1,036.2	1,124.3
Distribution	89.5	105.5	82.6	172.1	300.7	376.6	482.8	703.9	958.3	1,122.4	1,212.2
Revenues	**$145**	**$225**	**$165**	**$248**	**$408**	**$544**	**$786**	**$1,112**	**$1,792**	**$2,159**	**$2,337**
% YoY		*54%*	*-26%*	*50%*	*65%*	*33%*	*45%*	*41%*	*61%*	*20%*	*8%*
% Organic		*11%*	*-14%*	*36%*	*42%*	*20%*	*16%*	*12%*	*11%*	*9%*	*8%*
% M&A		*43%*	*-13%*	*14%*	*23%*	*13%*	*28%*	*29%*	*50%*	*11%*	*0%*
% YoY Change											
Repair		113%	-31%	-8%	42%	56%	81%	35%	104%	24%	9%
Distribution		18%	-22%	108%	75%	25%	28%	46%	36%	17%	8%
Revenues		**54%**	**-26%**	**50%**	**65%**	**33%**	**45%**	**41%**	**61%**	**20%**	**8%**
% Organic YoY Change											
Repair									11%	9%	9%
Distribution									11%	9%	8%
Revenues	**7.9%**	**11.1%**	**-13.5%**	**36.4%**	**42.0%**	**20.3%**	**16.2%**	**12.1%**	**11.4%**	**9.0%**	**8.2%**
% Composition											
Repair	38%	53%	50%	31%	26%	31%	39%	37%	47%	48%	48%
Distribution	62%	47%	50%	69%	74%	69%	61%	63%	53%	52%	52%
Revenues	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**	**100%**

- Q1: VSEC generated $324.6MM in revenues in Q1:26, up 27% y-o-y including 12pts from M&A, with revenues having grown at a near 50% total CAGR over the past three years. Revenue is now ~50% tied to engine aftermarket, consistent across Repair and Distribution, with support from recent acquisitions in the engine market. Engine aftermarket is expected to continue to grow above the overall commercial aftermarket in the forecast period.
- Q1:26 organic growth of +15% w/ Apr tracking at the same rate brings into question the math around FY org growth guided to +HSD-LDD as JEFe +12% org in Q2 implies H2 decelerates to +HSD to meet '26E +11.3% org at the top-end of guidance. The midpt of the range (+10%) implies H2 growth would need to step down to ~7% in H2 vs ~mid-teens growth in H1 ests. Therefore, we expect FY org growth to be raised to LDD+ (from HSD-LDD) for total growth of 59%-63%, placing JEFe +61% at the midpt of the range.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

VSEC: Profitability: EBITDA Margins to Expand from 18.3% in 2026E to 20.0% in 2028E

Profit Bridge - Expansion Towards 20% Margins from M&A, Volume Leverage, Improved Mix, and Productivity Efforts ($MM)

	2024	2025	2026E	2027E	2028E
Start Profit	**$50.1**	**$58.8**	**$89.6**	**$199.8**	**$290.0**
Organic Volume & Price	17.6	19.0	20.7	30.1	34.7
M&A	21.4	25.4	99.5	45.1	0.0
Productivity & Other	(30.4)	(13.6)	(10.0)	15.0	10.0
Ending Profit	**$58.8**	**$89.6**	**$199.8**	**$290.0**	**$334.7**
% Margin	7.5%	8.1%	11.1%	13.4%	14.3%
Depreciation & Amortization	25.8	39.2	100.0	114.0	117.0
Adjustments	32.5	54.1	29.1	22.0	25.0
Adj. EBITDA	**$117.0**	**$182.9**	**$328.8**	**$426.0**	**$476.7**
% Margin	14.9%	16.4%	18.3%	19.7%	20.4%
% YoY	0.0%	56.3%	79.8%	29.5%	11.9%

- Q2 Adj EBITDA Margins +40bps vs Prior. We now est Q2 margins of 18.2% (17.8% prior) which is +220bps y-o-y and 10bps above cons w/ limited assumed PAG synergies. Total consolidated 2026 Adj EBITDA margins are guided to 18.1-18.5%, up from the prior guide of 16.8-17.3%, reflecting ~125 bps of accretion from PAG of which ~15bps is insourcing margin benefit. We assume 18.3% adj EBITDA margins in 2026E, now assuming 15% incrementals in both Repair & Distribution through the remainder of the year (vs Repair at 20% prior) and 16.5% incrementals from M&A (vs 20% prior), increasing towards 20% by the end of the year.
- 2026 Adj EBITDA Margins Unchanged: For 2026 our estimates factor in adj. EBITDA of $329MM in 2026 for 18.3% margins, up 80% y-o-y on 61% sales growth. Margins are up 190 bps y-o-y on our est. We use 15% organic incrementals in Repair, 18% organic incrementals in Distribution, and 18% of contribution margin from M&A inclusive of PAG at ~21-22% margins, offset slightly by Turbine Weld and Aero3. We estimate margins ramp to >20% in 2027+ with the integration of PAG.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

VSEC: Annual Income Statement

($MM, except per share data)	2023		2024		2025		2026E		2027E		2028E		2029E		2030E	
	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales
Revenue	**$544.0**	100.0%	**$786.3**	100.0%	**$1,112.3**	100.0%	**$1,792.3**	100.0%	**$2,158.7**	100.0%	**$2,336.5**	100.0%	**$2,517.4**	100.0%	**$2,693.6**	100.0%
Costs of Sales	475.0	87.3%	684.0	87.0%	954.1	85.8%	1,485.7	82.9%	1,748.4	81.0%	1,879.1	80.4%	2,015.3	80.1%	2,152.0	79.9%
Selling, General & Administrative	7.1	1.3%	13.6	1.7%	13.3	1.2%	26.9	1.5%	30.2	1.4%	32.7	1.4%	35.2	1.4%	35.0	1.3%
Amortization of Intangible Assets	11.7	2.2%	17.6	2.2%	26.0	2.3%	80.0	4.5%	90.0	4.2%	90.0	3.9%	90.0	3.6%	90.0	3.3%
Other Operating Expenses	0.0	0.0%	0.0	0.0%	0.0	0.0%	0.0	0.0%	0.0	0.0%	0.0	0.0%	0.0	0.0%	0.0	0.0%
Operating Income	**$50.1**	9.2%	**$71.0**	9.0%	**$118.8**	10.7%	**$199.8**	11.1%	**$290.0**	13.4%	**$334.7**	14.3%	**$376.8**	15.0%	**$416.6**	15.5%
Interest Expense / (Income), net	31.1		34.9		20.6		39.0		44.9		41.2		39.8		38.4	
Income from Cont Ops Before Taxes	**$19.1**	3.5%	**$36.0**	4.6%	**$98.2**	8.8%	**$160.8**	9.0%	**$245.1**	11.4%	**$293.5**	12.6%	**$337.0**	13.4%	**$378.3**	14.0%
Taxes (% Tax Rate)	4.5	23.6%	4.4	12.2%	15.5	15.8%	39.9	24.8%	60.8	24.8%	73.1	24.9%	83.9	24.9%	94.6	25.0%
Net Income from Cont Ops	**$14.6**	2.7%	**$31.6**	4.0%	**$82.7**	7.4%	**$120.9**	6.7%	**$184.3**	8.5%	**$220.4**	9.4%	**$253.1**	10.1%	**$283.7**	10.5%
Discontinued Operations	24.6		(4.1)		(41.8)		0.0		0.0		0.0		0.0		0.0	
Net Income / (Loss)	**$39.1**	7.2%	**$27.5**	3.5%	**$40.9**	3.7%	**$120.9**	6.7%	**$184.3**	8.5%	**$220.4**	9.4%	**$253.1**	10.1%	**$283.7**	10.5%
Acquisition, Integration and Restructuring	0.0		7.7		11.6		10.0		0.0		0.0		0.0		0.0	
Divestiture-Related Restructuring	0.0		4.2		0.3		0.1		0.0		0.0		0.0		0.0	
Other Adjustments	0.0		12.4		27.7		(0.7)		0.0		0.0		0.0		0.0	
Tax Impact of Adjustments	0.0		(6.1)		(9.9)		(2.3)		0.0		0.0		0.0		0.0	
Adj. Net Income from Cont Ops	**$18.4**	3.4%	**$37.7**	4.8%	**$83.2**	7.5%	**$128.0**	7.1%	**$184.3**	8.5%	**$220.4**	9.4%	**$253.1**	10.1%	**$283.7**	10.5%
Adj. Diluted EPS	**$1.30**		**$2.10**		**$3.92**		**$4.15**		**$5.60**		**$6.50**		**$7.25**		**$7.90**	
Diluted Shares Outstanding	14.2		18.0		21.2		30.8		32.9		33.9		34.9		35.9	
Adj. EBITDA	**$116.1**	21.3%	**$117.0**	14.9%	**$182.9**	16.4%	**$328.8**	18.3%	**$426.0**	19.7%	**$476.7**	20.4%	**$521.8**	20.7%	**$563.6**	20.9%

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

Woodward (WWD)

Buy | Price Target: $450

Valuation Method	Price	Assumptions
EV/EBITDA	$458	28.5x EV/EBITDA on FY27 EBITDA of $1,005MM
P/E	$450	42.5x P/E on FY27 EPS of $10.60
FCF Yield	$442	2.0% FCF Yield on FY27 FCF of $526MM
PT	**$450**	**Blended Average**

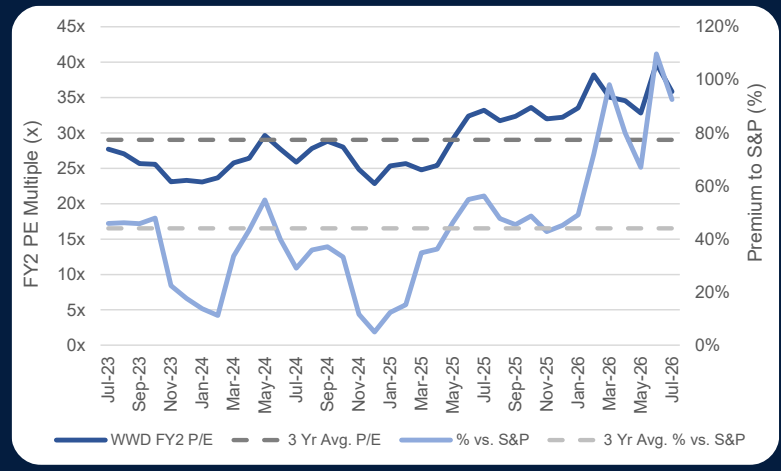
Valuation Table

	Ticker	JEF Rating	Stock Px 7/31/2026	Consensus BUY Rating	Market Cap	Enterprise Value	P/E 2026E	P/E 2027E	P/E 2028E	EV / SALES 2026E	EV / SALES 2027E	EV / SALES 2028E	EV / EBITDA 2026E	EV / EBITDA 2027E	EV / EBITDA 2028E	Yield Dividend	Yield FCF
Caterpillar	CAT	Buy	$819.51	50%	377,497	420,721	33.1x	26.8x	22.2x	5.5x	4.9x	4.5x	25.3x	21.0x	18.1x	0.7%	3.1%
Crane	CR	N/C	$214.82	91%	12,405	13,380	30.9x	27.5x	24.3x	4.7x	4.4x	4.2x	21.0x	19.1x	17.1x	0.5%	3.6%
Eaton	ETN	Buy	$416.40	79%	161,687	171,704	31.2x	26.5x	22.9x	5.3x	4.8x	4.4x	22.5x	19.3x	17.4x	1.1%	3.2%
Flowserve	FLS	Buy	$76.09	62%	9,672	11,422	18.5x	16.3x	14.7x	2.3x	2.2x	2.1x	13.0x	11.8x	10.9x	1.1%	6.1%
GE Aerospace	GE	Buy	$361.31	81%	374,877	382,839	45.8x	40.0x	35.2x	7.6x	6.9x	6.3x	31.9x	28.1x	25.1x	0.4%	2.6%
GE Vernova	GEV	Buy	$992.39	77%	264,305	258,831	32.3x	39.9x	28.4x	5.6x	4.9x	4.3x	40.9x	27.3x	19.7x	0.2%	2.5%
Heico	HEI	Buy	$357.57	60%	19,751	52,959	58.6x	51.9x	45.8x	10.0x	9.1x	8.4x	35.7x	32.4x	29.9x	0.1%	2.7%
Honeywell Aerospace	HONA	Hold	$206.21	38%	65,344	80,294	23.2x	20.6x	18.4x	4.2x	3.9x	3.6x	16.0x	14.7x	13.5x	0.0%	4.3%
Howmet Aerospace	HWM	Buy	$283.36	79%	113,374	115,740	55.9x	46.7x	39.4x	11.9x	10.5x	9.4x	37.1x	32.0x	28.0x	0.2%	1.9%
Moog	MOG.A	N/C	$389.22	67%	11,069	13,416	36.5x	33.4x	30.0x	3.1x	2.9x	2.7x	21.1x	19.3x	17.7x	0.3%	1.6%
Parker Hannifin	PH	Buy	$977.59	69%	123,260	132,351	31.2x	28.7x	26.0x	6.2x	5.8x	5.4x	22.9x	20.9x	19.2x	0.8%	3.3%
RTX	RTX	Buy	$215.34	67%	290,226	324,947	29.8x	27.3x	24.6x	3.4x	3.1x	2.9x	20.7x	19.0x	17.3x	1.3%	3.6%
Safran	SAF-FR	Hold	£338.40	61%	141,568	139,686	32.6x	26.1x	23.1x	3.8x	3.5x	3.2x	17.5x	15.7x	14.2x	1.0%	4.1%
TransDigm	TDG	Buy	$1,263.72	54%	70,684	100,872	31.6x	26.9x	23.4x	9.7x	8.9x	8.2x	18.7x	16.9x	15.5x	0.0%	3.7%
Average				**67%**			**35.1x**	**31.3x**	**27.0x**	**6.0x**	**5.4x**	**5.0x**	**24.6x**	**21.3x**	**18.8x**	**0.5%**	**3.3%**
Woodward	**WWD**	**Buy**	**$361.29**	**85%**	**$21,333**	**$22,630**	**38.7x**	**34.1x**	**30.0x**	**5.3x**	**4.9x**	**4.4x**	**24.9x**	**22.5x**	**20.0x**	**0.3%**	**2.4%**
Discount / Premium							**10%**	**9%**	**11%**	**-12%**	**-10%**	**-11%**	**1%**	**6%**	**6%**		**35%**

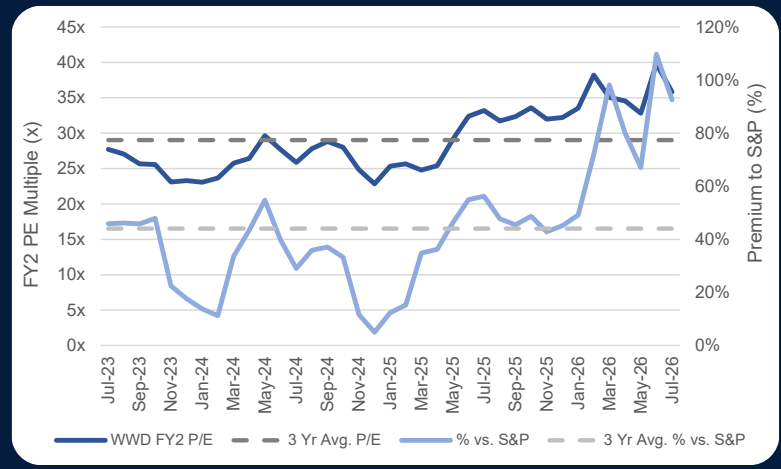
Featured Notes:

- Sticking to the Fundamentals with Chip Blocks & Tackling | *August 2, 2026*
- No Blanks On This Aftermarket Ship | *May 3, 2026*
- Aftermarket Did WHAT? Putting All Its Chips on the Table | *Feb 6, 2026*

Trading at 35.8X FY2 P/E, 93% Prem to Mkt vs. Historical Avg Prem of 44%



Trading at 23.1X FY2 EV/EBITDA, 80% Prem to Mkt vs. Historical Avg Prem of 31%



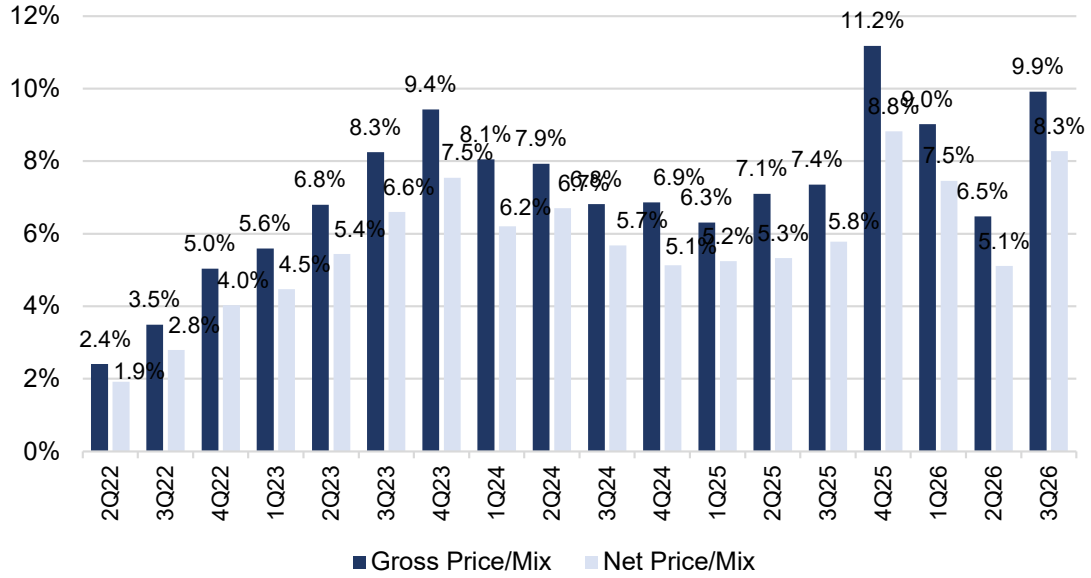
Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

Source: Company data, Jefferies estimates, FactSet

Jefferies

WWD: EPS CAGR of >25% in FY23-FY26 vs. Investor Day Target of 14-18%

Gross and Net Price / Mix - WWD Captured 8.2-Pts of Gross Price in FQ3:26



- We estimate total FY26 sales of $4.29B, increasing 20% y-o-y compared to the guidance of +20-23% (reaffirmed) and FY25 growth of 7%. This is driven by Aerospace +21% (guide 21-23% from 21-24%) and Industrial +18% (guide +19-21% from 18-20%).
- Management raised its base assumption of gross price capture to 8pts (previously 7pts), flat to 8.0pts in FY25, driven by JDAM re-pricing and Commercial AM catalogs, and contribution from the Industrial side including expanding MRO content. Many of the LTA contracts for OEM work have been reset at this point, although rolloffs occur on a continuing basis. Filings include price, sales mix & productivity in a single line, which we parse out into price/mix & productivity and use an 80% net drop-through to earnings. WWD realized 10pts of price capture in FQ3 w/ Aerospace contributing >10pts, offset by lesser contribution from Industrial.
- Our FY26 adjusted EPS of $9.35 increases 36% y-o-y from $6.89 in FY25. This compares to the guidance of $9.30-9.50, raised 1% from the prior range of $9.15-9.45.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

WWD: Aerospace - Extra Lift from Comm'l Drives Margin Guide to High End, with Expansion Expected Through 2028

Commercial OE Sales Build - Destocking Ends in FY26 Alongside Higher Rates Driving 28% Growth, with A350 Content Scaling to $550K Upon First Deliveries of Spoiler Actuation in Late CY28

Aircraft Revenue ($MM)	Content ($K)	FY21	FY22	FY23	FY24	FY25	FY26E	FY27E
Boeing								
737	$125	$1	$2	$1	$1	$1	$1	$0
737 MAX	$353	44	89	108	131	106	186	199
747	$800	6	6	1	0	0	0	0
767	$25	1	1	1	1	1	1	1
777	$285	7	7	7	7	9	11	11
787	$180	9	4	15	13	11	17	19
Boeing		**$67**	**$108**	**$134**	**$153**	**$127**	**$216**	**$230**
Airbus								
A220	$240	$14	$14	$16	$18	$20	$24	$30
A320neo	$252	112	124	131	152	151	185	199
A330	$40	1	1	1	1	2	2	2
A330neo	$200	10	11	13	11	11	14	17
A350	$46	2	2	3	3	3	4	5
Airbus		**$140**	**$153**	**$165**	**$185**	**$187**	**$229**	**$253**
Regional								
CRJ	$110	$0	$0	$0	$0	$0	$0	$0
E-Series	$185	9	13	12	13	15	17	18
Total Embraer and CRJ		**$9**	**$13**	**$12**	**$13**	**$15**	**$17**	**$18**
Other Content		109	146	249	285	252	280	314
Total Commercial Aircraft		**$325**	**$419**	**$559**	**$636**	**$580**	**$742**	**$814**
% YoY Change		*-11%*	*29%*	*33%*	*14%*	*-9%*	*28%*	*10%*

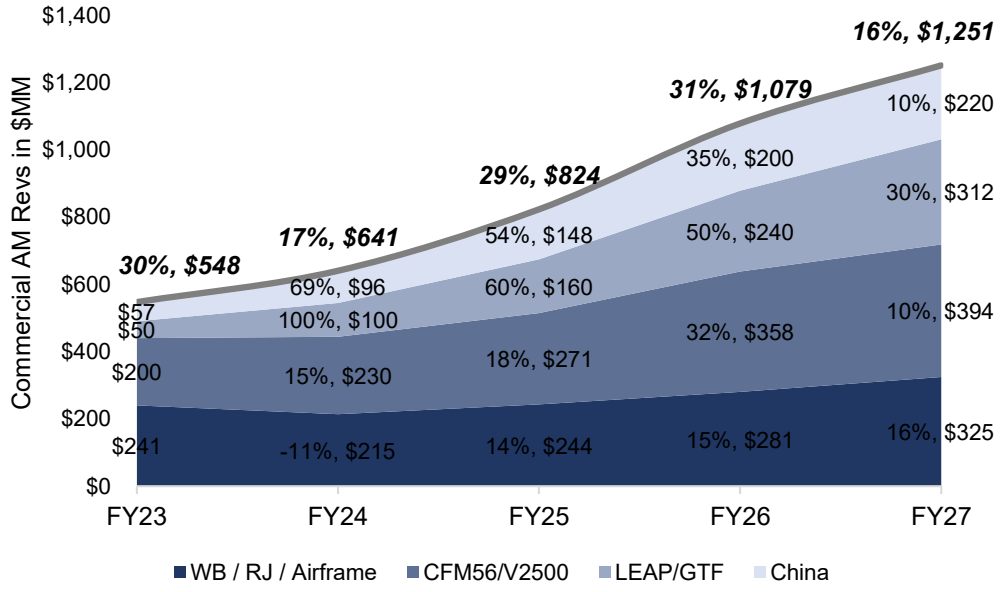
- The Aerospace segment increased 19% y-o-y in FQ3 to $709MM of sales, including Commercial OE +34% to $234 and AM up 24% to $268MM, Defense AM up +20% to $66MM, offset by Defense OE down 6% to $141MM. Commercial OE benefited from increasing build rates and pricing power.
- In FY26, JEF estimates Aerospace sales of $2.81BB, increasing 21% y-o-y, driven by Commercial AM +31%, Commercial OE +32%, Defense OE +5%, and Defense AM +7%.
- In ***FY26***, JEF estimates Commercial OEM sales increase 32% y-o-y alongside Business Jet & Helicopter growth of 6%, for total OEM sales of $886MM, up 28%. This is driven by:
  - MAX ($353K content): 540 shipsets (45/mo) in FY26 vs 300 (25/mo) in FY25
  - A320neo ($252K content): 748 shipsets (65/mo) in FY26 vs 598 (52/mo) in FY25
  - 787 ($180K content): 96 shipsets (8/mo) in FY26 vs 60 (5/mo) in FY25

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

WWD: Aerospace - Extra Lift from Comm'l Drives Margin Guide to High End, with Expansion Expected Through 2028

Commercial AM Sales Build - China Restocking & LEAP/GTF Contribute 6pts and 10pts to AM Growth in FY26, Along with 11pts from CFM56-5B/V2500 on SV Raises and 4pts from WB/RJs on FH1 Outperformance Supporting 31% FY26 Growth After 29% in FY25



- In FQ3:26, Commercial AM increased 24% y-o-y to $268MM for +36% growth YTD w/ 20% implied in FQ4.
- In FY26, we est Commercial AM sales +31% y-o-y driven by:
  - LEAP/GTF: Assumed at ~$240MM of FY26 sales (~22% of mix), up 50% y-o-y, increasing another 30% y-o-y in FY27 to ~$312MM (~25% of mix) based on OEM shop visit forecasts.
  - CFM56/V2500: Assumed at ~$358MM of FY26 sales (~33% of mix), up 32% y-o-y, increasing 10% y-o-y in FY27 to ~$394MM (~31% of mix) on L-MSD volumes & HSD price. WWD stated on the FQ2 call legacy utilization and work continues to grow but of course a caution on duration of oil shock.
  - Widebody, Regional & Airframe: Assumed at ~$281MM of FY26 sales (~26% of mix), up 15% y-o-y, increasing 16% y-o-y in FY27 to ~$325MM (26% of mix) given near-term outperformance related to volume unlock.
  - China: $200MM of FY26 sales (~19% of mix), up 35% y-o-y given the continued spare LRU purchases for past underprovisioning; of note, this includes content that would otherwise fit into the other buckets based on the fleet demographics, suggesting an even higher base level of legacy narrowbody that likely exceeds ~$300MM.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

WWD: Aerospace - Extra Lift from Comm'l Drives Margin Guide to High End, with Expansion Expected Through 2028

Aerospace Bridges - Incremental Margins Slow to 30% in FY26 vs. 43% in FY25 and the Long-Term Target of 30-35%+

($MM)	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26	4Q26E	2023	2024	2025	2026E	2027E	2028E
Start Revenue	**$460.8**	**$497.5**	**$517.6**	**$552.8**	**$493.9**	**$561.7**	**$596.0**	**$661.2**	**$1,519.3**	**$1,768.1**	**$2,028.6**	**$2,312.8**	**$2,807.0**	**$3,076.4**
Organic Contribution	33.1	64.2	78.4	108.4	141.0	141.6	112.6	98.9	248.8	260.5	284.2	494.2	269.4	292.3
Volume	(7.2)	22.1	33.0	35.0	87.3	97.8	36.1	48.1	144.3	126.5	82.9	269.2	144.4	192.3
Price and Mix	40.3	42.1	45.5	73.4	53.7	43.8	76.6	50.9	108.7	134.2	201.3	225.0	125.0	100.0
M&A	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
FX	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	(1.5)	(0.4)	0.0	0.0	0.0	0.0
Other	0.0	0.0	0.0	(0.0)	0.0	0.0	0.0	(0.1)	(2.7)	0.2	(0.0)	0.0	0.0	0.0
Incremental Revenue	33.1	64.2	78.4	108.4	141.0	141.6	112.7	98.9	248.8	260.5	284.2	494.2	269.4	292.3
End Revenue	**$493.9**	**$561.7**	**$596.0**	**$661.2**	**$634.9**	**$703.3**	**$708.7**	**$760.1**	**$1,768.1**	**$2,028.6**	**$2,312.8**	**$2,807.0**	**$3,076.4**	**$3,368.7**
Start Operating Profit	**$79.0**	**$98.5**	**$101.8**	**$106.1**	**$94.7**	**$124.6**	**$125.7**	**$161.5**	**$230.9**	**$290.1**	**$385.4**	**$506.6**	**$663.0**	**$752.8**
Organic Contribution	25.3	32.7	44.6	75.9	71.7	75.7	73.2	51.3	149.4	156.8	178.5	272.0	129.8	123.1
Volume & Mix	(9.0)	1.1	8.3	17.1	26.1	40.7	8.2	5.8	62.4	49.5	17.5	80.7	36.1	48.1
Est. Selling Price and Mix	34.3	31.6	36.4	58.8	45.7	35.1	65.1	45.4	86.9	107.3	161.1	191.3	93.8	75.0
Est. Productivity/Inefficiencies	(5.1)	(9.3)	(8.2)	0.4	(2.4)	(11.5)	(10.0)	(9.1)	(31.9)	(44.4)	(22.2)	(33.0)	(10.0)	(5.0)
FX	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Manufacturing and R&D Expenses	(4.4)	2.7	(12.6)	(26.7)	(17.2)	(11.9)	(13.9)	(12.9)	(20.3)	(17.2)	(41.0)	(56.0)	(30.0)	(30.0)
Variable Compensation	0.0	0.0	0.0	0.0	(6.7)	(6.8)	(3.3)	(3.2)	(44.7)	0.0	0.0	(20.0)	0.0	0.0
Restructuring	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Other	0.0	0.0	0.0	5.9	8.2	(12.1)	(1.7)	(1.0)	6.7	0.0	5.9	(6.6)	0.0	0.0
Incremental Profit	15.7	26.2	23.9	55.5	53.7	33.5	44.3	25.0	59.2	95.3	121.3	156.4	89.8	88.1
End Operating Profit	**$94.7**	**$124.6**	**$125.7**	**$161.5**	**$148.4**	**$158.1**	**$170.0**	**$186.5**	**$290.1**	**$385.4**	**$506.6**	**$663.0**	**$752.8**	**$840.9**

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

WWD: Industrial - Core Business Accelerating Growth & Sharing in the Leverage Benefits as China OH Unwinds

Industrial Revenue Build - JEFe +18% Segment Growth in FY26 with Core Industrial +40% Y-o-Y YTD

($MM)	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26	4Q26E	2023	2024	2025	2026E	2027E	2028E
Start Revenue	**$460.8**	**$497.5**	**$517.6**	**$552.8**	**$493.9**	**$561.7**	**$596.0**	**$661.2**	**$1,519.3**	**$1,768.1**	**$2,028.6**	**$2,312.8**	**$2,807.0**	**$3,076.4**
Organic Contribution	33.1	64.2	78.4	108.4	141.0	141.6	112.6	98.9	248.8	260.5	284.2	494.2	269.4	292.3
Volume	(7.2)	22.1	33.0	35.0	87.3	97.8	36.1	48.1	144.3	126.5	82.9	269.2	144.4	192.3
Price and Mix	40.3	42.1	45.5	73.4	53.7	43.8	76.6	50.9	108.7	134.2	201.3	225.0	125.0	100.0
M&A	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
FX	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	(1.5)	(0.4)	0.0	0.0	0.0	0.0
Other	0.0	0.0	0.0	(0.0)	0.0	0.0	0.0	(0.1)	(2.7)	0.2	(0.0)	0.0	0.0	0.0
Incremental Revenue	33.1	64.2	78.4	108.4	141.0	141.6	112.7	98.9	248.8	260.5	284.2	494.2	269.4	292.3
End Revenue	**$493.9**	**$561.7**	**$596.0**	**$661.2**	**$634.9**	**$703.3**	**$708.7**	**$760.1**	**$1,768.1**	**$2,028.6**	**$2,312.8**	**$2,807.0**	**$3,076.4**	**$3,368.7**
Start Operating Profit	**$79.0**	**$98.5**	**$101.8**	**$106.1**	**$94.7**	**$124.6**	**$125.7**	**$161.5**	**$230.9**	**$290.1**	**$385.4**	**$506.6**	**$663.0**	**$752.8**
Organic Contribution	25.3	32.7	44.6	75.9	71.7	75.7	73.2	51.3	149.4	156.8	178.5	272.0	129.8	123.1
Volume & Mix	(9.0)	1.1	8.3	17.1	26.1	40.7	8.2	5.8	62.4	49.5	17.5	80.7	36.1	48.1
Est. Selling Price and Mix	34.3	31.6	36.4	58.8	45.7	35.1	65.1	45.4	86.9	107.3	161.1	191.3	93.8	75.0
Est. Productivity/Inefficiencies	(5.1)	(9.3)	(8.2)	0.4	(2.4)	(11.5)	(10.0)	(9.1)	(31.9)	(44.4)	(22.2)	(33.0)	(10.0)	(5.0)
FX	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Manufacturing and R&D Expenses	(4.4)	2.7	(12.6)	(26.7)	(17.2)	(11.9)	(13.9)	(12.9)	(20.3)	(17.2)	(41.0)	(56.0)	(30.0)	(30.0)
Variable Compensation	0.0	0.0	0.0	0.0	(6.7)	(6.8)	(3.3)	(3.2)	(44.7)	0.0	0.0	(20.0)	0.0	0.0
Restructuring	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Other	0.0	0.0	0.0	5.9	8.2	(12.1)	(1.7)	(1.0)	6.7	0.0	5.9	(6.6)	0.0	0.0
Incremental Profit	15.7	26.2	23.9	55.5	53.7	33.5	44.3	25.0	59.2	95.3	121.3	156.4	89.8	88.1
End Operating Profit	**$94.7**	**$124.6**	**$125.7**	**$161.5**	**$148.4**	**$158.1**	**$170.0**	**$186.5**	**$290.1**	**$385.4**	**$506.6**	**$663.0**	**$752.8**	**$840.9**

- The Industrial segment increased 26% y-o-y in FQ3 to $401MM, including the core Industrial portfolio up 26% to $401MM in addition to $40MM of China OH sales (vs $17MM a year ago). Growth was broad-based with Marine Transportation up 40% to $180MM, Power Generation increased 19% total to $145MM, and Oil & Gas up 11% to $76MM.
- Management raised FY26 guided Industrial sales to up 19-21% y-o-y (from up 18-20%) with China OH sales guided to a minimal impact in FQ4 implying ~$100MM for the full year, or +65% y-o-y with management set to unwind the business through the end of the fiscal year given the inability to divest it.
- In FY26, JEF estimates Industrial sales of $1.48BB, increasing 18% y-o-y, driven by Transport +29%, Marine +24%, and Oil & Gas +12%.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

WWD: Industrial - Core Business Accelerating Growth & Sharing in the Leverage Benefits as China OH Unwinds

Industrial Bridges - Core Industrial Margins at 21.2% in FQ3:26, Compared to ~15% in FY25

($MM)	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26	4Q26E	2023	2024	2025	2026E	2027E
Start Revenue	**$326.0**	**$337.8**	**$330.1**	**$301.7**	**$278.8**	**$321.9**	**$319.5**	**$334.1**	**$863.5**	**$1,146.5**	**$1,295.6**	**$1,254.3**	**$1,483.3**
Organic Contribution	(45.8)	(9.3)	(20.0)	21.2	68.5	46.7	77.4	(0.7)	322.2	152.0	(53.9)	191.9	64.6
Volume	(55.1)	(26.5)	(36.8)	(0.9)	52.6	33.3	63.2	(15.2)	249.7	71.5	(119.3)	133.9	34.6
Price and Mix	9.3	17.2	16.8	22.1	15.9	13.4	14.2	14.5	72.5	80.5	65.4	58.0	30.0
M&A	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
FX	(1.3)	(6.6)	9.3	11.1	14.2	18.6	4.2	0.1	(28.4)	(2.6)	12.5	37.2	0.0
Other	(0.0)	(0.0)	0.0	0.0	(0.0)	(0.0)	(0.0)	0.1	(10.8)	(0.2)	0.0	0.0	0.0
Incremental Revenue	(47.1)	(15.9)	(10.7)	32.4	82.7	65.3	81.6	(0.6)	283.0	149.2	(41.4)	229.1	64.6
End Revenue	**$278.8**	**$321.9**	**$319.5**	**$334.1**	**$361.6**	**$387.2**	**$401.0**	**$333.5**	**$1,146.5**	**$1,295.6**	**$1,254.3**	**$1,483.3**	**$1,547.9**
Start operating profit	**$66.9**	**$65.2**	**$59.7**	**$38.0**	**$40.2**	**$46.0**	**$47.6**	**$48.7**	**$82.8**	**$161.6**	**$229.9**	**$182.5**	**$281.5**
Organic Contribution	(30.8)	(15.5)	(4.1)	17.4	39.0	31.7	42.5	10.6	168.9	81.7	(33.0)	123.8	27.7
Volume & Mix	(37.8)	(28.4)	(16.8)	0.9	27.0	21.7	31.8	(0.2)	111.0	17.3	(82.1)	80.3	5.2
Price and Mix	7.0	12.9	12.6	16.5	11.9	10.1	10.7	10.8	58.0	64.4	49.0	43.5	22.5
Productivity	6.8	0.7	0.2	(1.3)	2.1	(0.8)	1.4	2.3	(28.0)	7.8	6.4	5.0	0.0
FX	3.1	(1.5)	1.8	4.9	0.0	0.0	0.0	0.0	(6.8)	0.0	8.3	0.0	0.0
M&A Earnings	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
R&D / Investments / Costs Related to Hiring	(5.8)	(3.0)	(10.0)	(10.3)	(10.5)	(7.7)	(3.5)	(1.4)	(19.0)	(21.2)	(29.0)	(23.0)	(18.0)
Variable Compensation	0.0	0.0	0.0	0.0	(3.8)	(3.5)	0.4	0.0	(26.5)	0.0	0.0	(6.9)	(5.0)
Restructuring	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Other	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	(9.7)	0.0	0.0	0.0	0.0
Incremental profit	(26.7)	(19.3)	(12.1)	10.7	26.8	19.8	40.9	11.6	78.8	68.2	(47.3)	99.0	4.7
End Operating Profit	**$40.2**	**$46.0**	**$47.6**	**$48.7**	**$67.0**	**$65.7**	**$88.5**	**$60.3**	**$161.6**	**$229.9**	**$182.5**	**$281.5**	**$286.2**
% Margin	*14.4%*	*14.3%*	*14.9%*	*14.6%*	*18.5%*	*17.0%*	*22.1%*	*18.1%*	*14.1%*	*17.7%*	*14.6%*	*19.0%*	*18.5%*

- In FQ3, Industrial earnings increased 86% y-o-y to $88MM for margins of 22.1%, up 720 bps y-o-y. Earnings growth was driven by strong price and higher sales volume, partially offset by inflation. This included core Industrial profits of $76MM for a 21.2% margin up 560 bps y-o-y and +650 bps from 14.7% in FQ2. China OH generated $12MM of profits at a 30% margin and contributed an additional 90 bps of margin growth in FQ2.
- In January 2026, WWD announced plans to unwind its China OH business by the end of FY26 to refocus resources on the core end markets. The decision comes after an attempt to divest the business unit. This is expected to result in $20-25MM of pre-tax charges related to the facility closure, employee severance, contract terminations & inventory write-downs, the majority of which is realized in FQ2 (-$6.8MM) and FQ3 ($9.3MM).
- In FY26, JEF estimates Industrial earnings of $282MM for 19.0% margins on 43% incrementals. The prior margin target by FY26 was Mid-Teens+. JEF estimates margins remain at near 18.5% in FY27 and 19.0% in FY28.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

WWD: FCF Remains Flattish for 3rd Year in a Row, but Capital Deployment Accelerating

FCF Build - FCF Guide Unchanged on Incremental Inventory Assumption & Capex of $290MM, but Capital Deployment Accelerating Under $1.8BB Repo Program

($MM)	FY20	FY21	FY22	FY23	FY24	FY25	FY26E	FY27E
Net Income	$240	$209	$172	$232	$373	$442	$561	$647
Depreciation and Amortization	131	130	121	120	116	113	124	132
SBC & Other Non-Cash	8	5	(5)	(15)	(12)	(39)	7	(5)
NWC	(30)	121	(94)	(28)	(38)	(45)	(60)	(23)
Operating Cash Flow	**$349**	**$465**	**$194**	**$309**	**$439**	**$471**	**$632**	**$751**
Capex	(47)	(38)	(53)	(77)	(96)	(131)	(290)	(225)
FCF	**$302**	**$427**	**$141**	**$232**	**$343**	**$340**	**$342**	**$526**
FCF per Share	*$4.71*	*$6.51*	*$2.23*	*$3.77*	*$5.52*	*$5.54*	*$5.58*	*$8.61*
Deployment								
Dividends	($38)	($36)	($45)	($51)	($58)	($65)	($76)	($79)
Share Repurchases	(13)	(33)	(485)	(126)	(391)	(173)	(600)	(600)
Debt Paydown	(1,512)	0	(1)	(2,393)	(2,822)	(2,467)	172	0
Debt Issuance	1,248	0	(885)	2,324	2,963	2,286	0	0
Acquisitions	41	0	0	1	4	8	0	0
Total Deployment	**($275)**	**($69)**	**($1,416)**	**($246)**	**($304)**	**($410)**	**($504)**	**($679)**
Discretionary FCF	**($1,261)**	**$358**	**($390)**	**($2,339)**	**($2,928)**	**($2,364)**	**($162)**	**($153)**
Ratios								
FCF to Net Income Conversion	126%	205%	82%	100%	92%	77%	61%	81%
FCF Yield (FCF / Mkt Cap.)	1.5%	2.2%	0.7%	1.2%	1.7%	1.7%	1.7%	2.7%
FCF YoY Change	4%	41%	-67%	65%	48%	-1%	0%	54%
Discretionary FCF Yield	-6.4%	1.8%	-2.0%	-11.9%	-14.9%	-12.1%	-0.8%	-0.8%
Dividend as a % of Net Income	16%	17%	26%	22%	16%	15%	14%	12%
Share Repo as % of Mkt Cap	0%	0%	2%	1%	2%	1%	3%	3%
% of Cash Returned to Shareholders	17%	16%	377%	76%	131%	70%	198%	129%

- FCF totaled $87MM in FQ4 (59% conversion), down from $99MM in FQ3:25.
- Management reiterated guidance for FY26 FCF of $300-350MM on capex of $290MM (7% of sales) to reflect the Spartanburg facility (~$130MM in FY26 and ~$70MM in FY27; operational by 2027 and first shipments by late CY28) and select automation projects. WWD is also in the planning phase of expanding its Prestwick, Scotland, facility by 1.5-2X in support of GE, along with adding additional test stands at the Rockford campus to bolster the in-house service footprint. The guide absorbs incrementally higher inventory related to the supply chain that offsets the raise to earnings.
- In FY26, JEF estimates FCF of $342MM (60% conversion) including working capital, before improving to $526MM in FY27 (81% conversion) and $649MM in FY28 (89% conversion) as capex is assumed to normalize down to $225MM and $175MM, respectively, although this is prior to investments required for the next-gen single-aisle program.
- In the FY24-FY26 targets, management previously targeted ~$1.2BB of cumulative FCF and conversion of >100%, although the organic growth investments will drive both below the plan. JEF estimates total $1.0BB of FCF over this period with conversion of 72%.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

WWD: Annual Income Statement

$MM except per share data	2021		2022		2023		2024		2025		2026E		2027E		2028E	
	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales
Total Revenues	**$2,245.8**	100.0%	**$2,382.8**	100.0%	**$2,914.6**	100.0%	**$3,324.2**	100.0%	**$3,567.1**	100.0%	**$4,290.3**	100.0%	**$4,624.3**	100.0%	**$5,086.3**	100.0%
Costs and expenses																
Costs of Sales	(1,694.8)	-75%	(1,857.5)	-78%	(2,237.0)	-77%	(2,447.8)	-74%	(2,610.8)	-73%	(3,022.2)	-70%	(3,227.1)	-70%	(3,535.5)	-70%
Selling, General & Administrative	(186.9)	-8%	(203.0)	-9%	(269.7)	-9%	(307.5)	-9%	(329.8)	-9%	(403.3)	-9%	(425.4)	-9%	(457.8)	-9%
Research and development costs	(117.1)	-5%	(119.8)	-5%	(132.1)	-5%	(140.7)	-4%	(147.6)	-4%	(180.2)	-4%	(194.2)	-4%	(213.6)	-4%
Amortization of intangible assets	0.0	0%	0.0	0%	0.0	0%	0.0	0%	0.0	0%	0.0	0%	0.0	0%	0.0	0%
Restructuring and other charges	(5.0)	0%	3.4	0%	(5.2)	0%	0.0	0%	0.0	0%	16.1	0%	0.0	0%	0.0	0%
Other (income) expense, net	36.5	2%	26.7	1%	50.3	2%	67.2	2%	84.0	2%	85.0	2%	95.0	2%	105.0	2%
Total Operating Costs	**($1,967.2)**	-88%	**($2,150.2)**	-90%	**($2,593.7)**	-89%	**($2,828.8)**	-85%	**($3,004.2)**	-84%	**($3,504.6)**	-82%	**($3,751.7)**	-81%	**($4,101.9)**	-81%
GAAP Operating EBIT	**$278.6**	12.4%	**$232.6**	9.8%	**$320.9**	11.0%	**$495.5**	14.9%	**$562.9**	15.8%	**$769.6**	17.9%	**$872.6**	18.9%	**$984.5**	19.4%
Adj. Operating EBIT	**$283.6**	12.6%	**$235.5**	9.9%	**$355.8**	12.2%	**$503.6**	15.1%	**$556.2**	15.6%	**$785.7**	18.3%	**$872.6**	18.9%	**$984.5**	19.4%
Net Interest Expense	(32.8)		(32.7)		(45.1)		(41.5)		(41.5)		(47.9)		(42.2)		(39.7)	
GAAP Earnings Before Tax	**$245.8**	10.9%	**$199.9**	8.4%	**$275.8**	9.5%	**$454.0**	13.7%	**$521.4**	14.6%	**$721.7**	16.8%	**$830.3**	18.0%	**$944.7**	18.6%
Taxes (rate %)	(37.2)	15.1%	(28.2)	14.1%	(43.4)	15.7%	(81.0)	17.8%	(79.3)	15.2%	(160.9)	22.3%	(183.1)	22.1%	(213.0)	22.6%
GAAP Net Earnings	**$208.6**	9.3%	**$171.7**	7.2%	**$232.4**	8.0%	**$373.0**	11.2%	**$442.1**	12.4%	**$560.8**	13.1%	**$647.2**	14.0%	**$731.7**	14.4%
Adj. Net Earnings	**$212.4**	9.5%	**$173.8**	7.3%	**$258.6**	8.9%	**$379.1**	11.4%	**$423.6**	11.9%	**$572.8**	13.4%	**$647.2**	14.0%	**$731.7**	14.4%
Adj. EPS	**$3.24**		**$2.75**		**$4.21**		**$6.11**		**$6.89**		**$9.35**		**$10.60**		**$12.05**	
Basic shares (millions)	63.3		61.5		59.9		60.1		59.6		59.4		59.4		59.2	
Diluted shares (millions)	65.6		63.3		61.5		62.1		61.5		61.3		61.1		60.7	

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

York Space Systems (YSS)

Buy | Price Target: $32

Valuation Method	Price	Assumptions
EV/Sales	33	5.0x EV/Sales on 2027 Sales of $840MM
EV/EBITDA	32	27.0x EV/EBITDA on 2027 EBITDA of $151MM
Price Target	**$32**	

Valuation Table

	Ticker	JEF Rating	Stock Px 7/27/2026	Consensus BUY Rating	Market Cap	Enterprise Value	P/E 2026E	P/E 2027E	P/E 2028E	EV / SALES 2026E	EV / SALES 2027E	EV / SALES 2028E	EV / EBITDA 2026E	EV / EBITDA 2027E	EV / EBITDA 2028E
AeroVironment	AVAV	Buy	$156.16	87%	7,806	7,851	48.1x	35.0x	27.0x	3.6x	3.1x	2.7x	24.3x	19.3x	15.6x
Karman Holdings	KRMN	N/C	$49.84	92%	6,702	7,484	86.3x	54.1x	39.2x	10.2x	8.0x	6.3x	35.1x	26.5x	20.6x
Kratos	KTOS	Buy	$48.35	86%	9,388	7,916	63.3x	45.3x	34.8x	4.5x	3.7x	3.0x	44.6x	32.5x	25.7x
MDA Space	MDA	Buy	$29.63	93%	7,008	6,709	30.5x	23.5x	20.7x	5.2x	3.7x	3.4x	26.8x	18.8x	17.3x
Redwire	RDW	Hold	$8.62	71%	2,281	2,227	NM	NM	NM	4.7x	3.9x	3.4x	NM	NM	57.0x
Rocket Lab	RKLB	N/C	$64.13	86%	38,361	36,171	NM	NM	NM	NM	NM	20.1x	NM	NM	NM
Voyager Technologies	VOYG	Buy	$26.28	82%	2,109	1,727	NM	NM	NM	7.2x	4.6x	2.3x	NM	NM	NM
Planet Labs	PL	N/C	$20.47	60%	8,421	8,137	NM	NM	NM	18.7x	14.3x	10.9x	NM	NM	65.8x
Intuitive Machines	LUNR	N/C	$12.67	82%	3,037	3,129	NM	NM	38.8x	3.3x	2.7x	2.2x	NM	44.5x	42.1x
Blacksky Technology	BKSY	Hold	$22.24	71%	1,001	1,086	NM	NM	89.0x	7.9x	6.0x	4.4x	64.4x	22.2x	12.4x
Firefly Aerospace	FLY	Buy	$19.43	60%	3,615	3,090	NM	NM	NM	7.0x	4.4x	2.9x	NM	NM	NM
Average				86%			**57.1x**	**39.5x**	**41.6x**	**7.2x**	**5.4x**	**5.6x**	**39.0x**	**27.3x**	**32.1x**
York Space Systems	**YSS**		**$17.84**		**2,449**	**2,092**	**NM**	**39.5x**	**20.1x**	**3.7x**	**2.5x**	**1.9x**	**43.0x**	**13.9x**	**9.4x**
Premium / Discount to Peers							**NM**	**0%**	**-52%**	**-49%**	**-54%**	**-66%**	**10%**	**-49%**	**-71%**

Featured Notes:

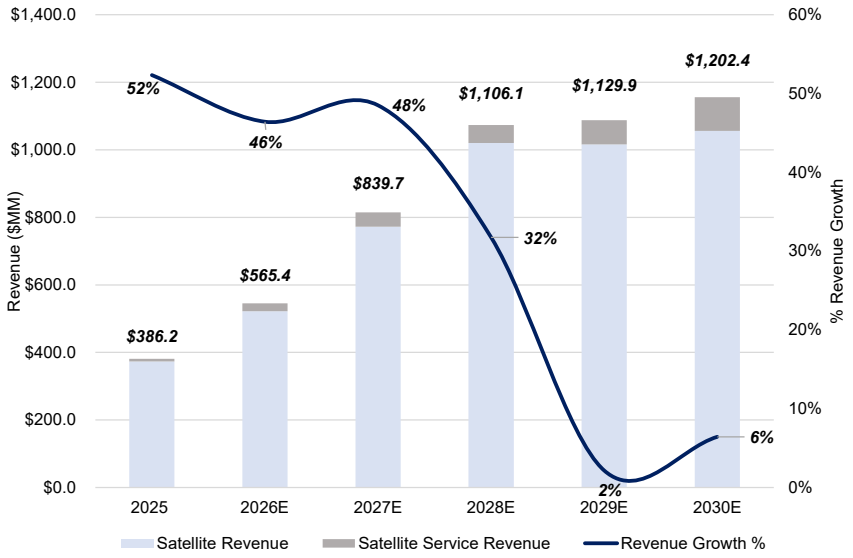
- Incorporating ALL.SPACE Acquisition | *July 12, 2026*
- A Solid Start Out of The Gate - FY26 Guide Derisks Path to >40% Rev CAGR to '28 | *Mar 22, 2026*
- Initiate at Buy: Going Low, Fast, and Ready to Scale | *Feb 23, 2026*

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

Source: Company data, Jefferies estimates, FactSet

YSS: Not the Main Event, But the Bridge Matters

Spacecraft Revenue Grows at ~25% CAGR to 2030 - Annual Growth Near ~40% Y-o-Y Through 2028 Before Growth Rate Levels Off to ~10% Y-o-Y by 2030



Award Momentum Supports 25% Top-Line CAGR Through 2030

	2023	2024	2025	2026E	2027E	2028E	2029E	2030E
Revenue	**$238**	**$254**	**$386**	**$565**	**$840**	**$1,106**	**$1,130**	**$1,202**
Gross Profit	**$55**	**$32**	**$75**	**$139**	**$250**	**$338**	**$355**	**$380**
Margin	*23.1%*	*12.8%*	*19.5%*	*24.5%*	*29.8%*	*30.6%*	*31.4%*	*31.6%*
SG&A	$94	$104	$128	$147	$143	$155	$158	$162
% of Sales	*39.5%*	*41.0%*	*33.1%*	*26.0%*	*17.0%*	*14.0%*	*14.0%*	*13.5%*
R&D	$7	$20	$18	$20	$22	$23	$26	$28
% of Sales	*2.9%*	*8.1%*	*4.8%*	*3.5%*	*2.6%*	*2.1%*	*2.3%*	*2.3%*
Op Income	($46)	($92)	($71)	($113)	$86	$160	$171	$190
Margin	*-19.4%*	*-36.3%*	*-18.3%*	*-20.0%*	*10.2%*	*14.5%*	*15.1%*	*15.8%*
Adj. EBITDA	**$2**	**($43)**	**($8)**	**$49**	**$151**	**$223**	**$235**	**$256**
Margin	*0.7%*	*-16.9%*	*-2.1%*	*8.6%*	*17.9%*	*20.2%*	*20.8%*	*21.3%*
CFO	$16	$32	($121)	($60)	$195	$254	$215	$236
CAPEX	($18)	($18)	($9)	($17)	($25)	($33)	($34)	($36)
FCF	($3)	$14	($130)	($77)	$170	$221	$181	$200

- We estimate Q2E revenue of $90.4MM, -22% q-o-q, and Adj. EBITDA of -$3.0MM, a -3.3% margin, vs. Cons at $92MM/-$3MM. The sequential decline in revenue is a function of component delays that are result in certain program-based revenue into 2H. The cadence steepens in 2H, with Q3/Q4 revs of $157.5MM/$201.2MM and Adj. EBITDA of $19.5MM/$35.8MM, driving FY26E revs of $565.4MM and Adj. EBITDA of $48.7MM, or 8.6% margin.
- The order thesis is intact but needs proof points. York's FY26 revenue guide of $545MM–$595MM implies roughly +48% y-o-y growth at the midpoint, supported by >70% revenue coverage from backlog. Management expects to compete for new business wins worth about 30% of FY26 revenue in H2, equivalent to roughly $171MM, and the long-term outlook ties to approximately 100 satellites/year, or about $1BB of revenue, with upside from an $11BB+ pipeline across more than 30 opportunities.

Source: Company data and Jefferies estimates

Sheila Kahyaoglu, Equity Analyst, (212) 336-7216, sheila.kahyaoglu@jefferies.com

YSS: Annual Income Statement

$MM except per share data	2024		2025		2026E		2027E		2028E		2029E		2030E	
	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales	dollars	% of sales
Total Revenues	**$253.5**		**$386.2**		**$565.4**		**$839.7**		**$1,106.1**		**$1,129.9**		**$1,202.4**	
COGS	221.1	87.2%	310.7	80.5%	426.9	75.5%	589.4	70.2%	767.7	69.4%	775.1	68.6%	822.4	68.4%
Gross Profit	**$32.4**	**12.8%**	**$75.5**	**19.5%**	**$138.5**	**24.5%**	**$250.2**	**29.8%**	**$338.5**	**30.6%**	**$354.8**	**31.4%**	**$380.0**	**31.6%**
Selling, General & Admin Expenses	$103.9	41.0%	$127.8	33.1%	$147.0	26.0%	$142.7	17.0%	$154.9	14.0%	$158.2	14.0%	$162.3	13.5%
R&D	20.4	8.1%	18.4	4.8%	19.8	3.5%	21.8	2.6%	23.2	2.1%	26.0	2.3%	27.7	2.3%
Other	0.0	0.0%	0.0	0.0%	84.7	15.0%	0.0	0.0%	0.0	0.0%	0.0	0.0%	0.0	0.0%
Total Operating Expenses	**$124.4**	**49.1%**	**$146.1**	**37.8%**	**$251.5**	**44.5%**	**$164.6**	**19.6%**	**$178.1**	**16.1%**	**$184.2**	**16.3%**	**$190.0**	**15.8%**
Operating Profit	**($92.0)**	**-36.3%**	**($70.7)**	**-18.3%**	**($113.0)**	**-20.0%**	**$85.6**	**10.2%**	**$160.4**	**14.5%**	**$170.6**	**15.1%**	**$190.0**	**15.8%**
Interest Expense, Net	(29.9)		(26.6)		(10.5)		(9.9)		(9.4)		(9.4)		(9.4)	
Interest Income	1.2		3.0		14.1		5.0		6.7		8.9		10.8	
Other (Expense) / Income, Net	(3.6)		(0.9)		0.0		0.0		0.0		0.0		0.0	
Pre-Tax Income (Loss)	**(124.3)**		**(95.2)**		**(109.4)**		**80.8**		**157.8**		**170.2**		**191.4**	
Taxes	25.4		10.7		1.3		(17.8)		(33.1)		(35.7)		(40.2)	
Adj. Net Income	**($98.9)**		**($84.5)**		**($108.0)**		**$63.0**		**$124.6**		**$134.5**		**$151.2**	
Shares Outstanding			95.1		130.3		139.3		140.3		141.3		142.3	
Diluted EPS			**($0.89)**		**($1.30)**		**$0.45**		**$0.89**		**$0.95**		**$1.06**	
Net Income (Loss)	**($92.0)**		**($70.7)**		**($113.0)**		**$85.6**		**$160.4**		**$170.6**		**$190.0**	
(+) Interest Expense, Net	(28.7)		(23.6)		3.6		(4.9)		(2.6)		(0.4)		1.4	
(+) D&A	48.1		50.3		64.7		65.0		62.6		64.4		65.8	
(+) Change in Fair Value of Derivatives	3.9		(0.6)		4.8		0.0		0.0		0.0		0.0	
(+) Other Adjustments	0.6		13.6		92.1		0.0		0.0		0.0		0.0	
Adjusted EBITDA	**($43.0)**		**($8.3)**		**$48.7**		**$150.6**		**$223.0**		**$235.0**		**$255.8**	
% Margin	-16.9%		-2.1%		8.6%		17.9%		20.2%		20.8%		21.3%	

Source: Company data and Jefferies estimates

Jefferies

Analyst Certification:

I, Sheila Kahyaoglu, certify that all of the views expressed in this research report accurately reflect my personal views about the subject security(ies) and subject company(ies). I also certify that no part of my compensation was, is, or will be, directly or indirectly, related to the specific recommendations or views expressed in this research report.

As is the case with all Jefferies employees, the analyst(s) responsible for the coverage of the financial instruments discussed in this report receives compensation based in part on the overall performance of the firm, including investment banking income. We seek to update our research as appropriate, but various regulations may prevent us from doing so. Aside from certain industry reports published on a periodic basis, the large majority of reports are published at irregular intervals as appropriate in the analyst's judgement.

Investment Recommendation Record

(Article 3(1)e and Article 7 of MAR)

Recommendation Published	August 3, 2026 6:43 A.M.
Recommendation Distributed	August 3, 2026 6:43 A.M.
Recommendation Recalled	August 3, 2026 15:35 P.M.
Recalled Recommendation Distributed	August 3, 2026 15:35 P.M.

Company Specific Disclosures

Steven DeSanctis owns shares of Chemours Company common stock.

Recipients located in Brazil should be aware that this communication is intended exclusively for institutional or professional investors The views expressed herein reflect the personal opinions of the analyst who is based outside of Brazil and is not registered with the Brazilian Securities Exchange Commission CVM This communication does not constitute an offer or solicitation to buy or sell any security nor does it represent a public distribution of research in Brazil

James Heaney has a long position in Facebook.

Laurence Alexander or a member of his household holds an equity long position in 3M Co.

Jefferies LLC is serving as sole financial advisor to York Space Systems in their acquisition of ALL SPACE Holdings

Jefferies Financial Group Inc., its affiliates or subsidiaries make a market in the securities or ADRs of Avon Technologies.

Jefferies Financial Group Inc., its affiliates or subsidiaries make a market in the securities or ADRs of BAE Systems PLC.

Jefferies Financial Group Inc., its affiliates or subsidiaries make a market in the securities or ADRs of BlackSky Technology.

Jefferies Financial Group Inc., its affiliates or subsidiaries make a market in the securities or ADRs of Cadre Holdings, Inc.

Jefferies Financial Group Inc., its affiliates or subsidiaries make a market in the securities or ADRs of easyJet.

Jefferies Financial Group Inc., its affiliates or subsidiaries make a market in the securities or ADRs of Forward Air Corp.

Jefferies Financial Group Inc., its affiliates or subsidiaries make a market in the securities or ADRs of IAG.

Jefferies Financial Group Inc., its affiliates or subsidiaries make a market in the securities or ADRs of Loar Holdings.

Jefferies Financial Group Inc., its affiliates or subsidiaries make a market in the securities or ADRs of Oshkosh Corporation.

Jefferies Financial Group Inc., its affiliates or subsidiaries make a market in the securities or ADRs of Parsons Corporation.

Jefferies Financial Group Inc., its affiliates or subsidiaries make a market in the securities or ADRs of Rolls-Royce Holdings Plc.

Jefferies Financial Group Inc., its affiliates or subsidiaries make a market in the securities or ADRs of Ryanair.

Jefferies Financial Group Inc., its affiliates or subsidiaries make a market in the securities or ADRs of StandardAero.

Within the past twelve months, Applied Aerospace & Defense has been a client of Jefferies Financial Group Inc., its affiliates or subsidiaries and investment banking services are being or have been provided.

Within the past 12 months, Jefferies Financial Group Inc., its affiliates or subsidiaries has received compensation from investment banking services from Applied Aerospace & Defense.

Jefferies Financial Group Inc., its affiliates or subsidiaries expect to receive or intend to seek compensation for investment banking services from Applied Aerospace & Defense within the next three months.

Jefferies Financial Group Inc., its affiliates or subsidiaries has acted as a manager or co-manager in the underwriting or placement of securities for Applied Aerospace & Defense or one of its affiliates within the past twelve months.

Jefferies Financial Group Inc., its affiliates or subsidiaries has acted as a manager or co-manager in the underwriting or placement of securities for AAR Corp. or one of its affiliates within the past twelve months.

Jefferies Financial Group Inc., its affiliates or subsidiaries is acting as a manager or co-manager in the underwriting or placement of securities for AAR Corp. or one of its affiliates.

Within the past twelve months, AAR Corp. has been a client of Jefferies Financial Group Inc., its affiliates or subsidiaries and investment banking services are being or have been provided.

Within the past 12 months, Jefferies Financial Group Inc., its affiliates or subsidiaries has received compensation from investment banking services from AAR Corp..

Within the past twelve months, Airbus Group NV has been a client of Jefferies Financial Group Inc., its affiliates or subsidiaries and investment banking services are being or have been provided.

Jefferies International Ltd, its affiliates or subsidiaries has, or had, within the past 12 months an agreement to provide investment services to Airbus Group NV.

Within the past 12 months, Jefferies Financial Group Inc., its affiliates or subsidiaries has received compensation from investment banking services from Air Astana.

Within the past twelve months, Air Astana has been a client of Jefferies Financial Group Inc., its affiliates or subsidiaries and investment banking services are being or have been provided.

Sheila Kahyaoglu * , Equity Analyst, +1 (212) 336-7216, sheila.kahyaoglu@jefferies.com

Jefferies International Ltd, its affiliates or subsidiaries has, or had, within the past 12 months an agreement to provide investment services to Air Astana.
Jefferies Financial Group Inc., its affiliates or subsidiaries expect to receive or intend to seek compensation for investment banking services from Air Astana within the next three months.
Jefferies International Limited acts as a corporate broker for Air Astana.
Jefferies Financial Group Inc., its affiliates or subsidiaries has acted as a manager or co-manager in the underwriting or placement of securities for Arxis or one of its affiliates within the past twelve months.
Within the past twelve months, Arxis has been a client of Jefferies Financial Group Inc., its affiliates or subsidiaries and investment banking services are being or have been provided.
Within the past 12 months, Jefferies Financial Group Inc., its affiliates or subsidiaries has received compensation from investment banking services from Arxis.
Jefferies Financial Group Inc., its affiliates or subsidiaries is acting as a manager or co-manager in the underwriting or placement of securities for AeroVironment, Inc. or one of its affiliates.
Within the past 12 months, Jefferies Financial Group Inc., its affiliates or subsidiaries has received compensation from investment banking services from AeroVironment, Inc..
Jefferies Financial Group Inc., its affiliates or subsidiaries has acted as a manager or co-manager in the underwriting or placement of securities for AeroVironment, Inc. or one of its affiliates within the past twelve months.
Within the past 12 months, Jefferies Financial Group Inc., its affiliates or subsidiaries has received compensation from investment banking services from Aevex Corp.
Jefferies Financial Group Inc., its affiliates or subsidiaries expect to receive or intend to seek compensation for investment banking services from Aevex Corp within the next three months.
Jefferies Financial Group Inc., its affiliates or subsidiaries has acted as a manager or co-manager in the underwriting or placement of securities for Aevex Corp or one of its affiliates within the past twelve months.
Within the past twelve months, Aevex Corp has been a client of Jefferies Financial Group Inc., its affiliates or subsidiaries and investment banking services are being or have been provided.
Within the past twelve months, Beta Technologies has been a client of Jefferies Financial Group Inc., its affiliates or subsidiaries and investment banking services are being or have been provided.
Jefferies Financial Group Inc., its affiliates or subsidiaries has acted as a manager or co-manager in the underwriting or placement of securities for Beta Technologies or one of its affiliates within the past twelve months.
Within the past 12 months, Jefferies Financial Group Inc., its affiliates or subsidiaries has received compensation from investment banking services from Beta Technologies.
Within the past 12 months, Jefferies Financial Group Inc., its affiliates or subsidiaries has received compensation from investment banking services from BlackSky Technology.
Jefferies Financial Group Inc., its affiliates or subsidiaries has acted as a manager or co-manager in the underwriting or placement of securities for BlackSky Technology or one of its affiliates within the past twelve months.
Jefferies Financial Group Inc., its affiliates or subsidiaries is acting as a manager or co-manager in the underwriting or placement of securities for BlackSky Technology or one of its affiliates.
Within the past twelve months, BlackSky Technology has been a client of Jefferies Financial Group Inc., its affiliates or subsidiaries and investment banking services are being or have been provided.
Within the past 12 months, Jefferies Financial Group Inc., its affiliates or subsidiaries has received compensation from investment banking services from Eaton Corp..
Within the past twelve months, Eaton Corp. has been a client of Jefferies Financial Group Inc., its affiliates or subsidiaries and investment banking services are being or have been provided.
Jefferies Financial Group Inc., its affiliates or subsidiaries is acting as a manager or co-manager in the underwriting or placement of securities for Vertical Aerospace or one of its affiliates.
Jefferies Financial Group Inc., its affiliates or subsidiaries expect to receive or intend to seek compensation for investment banking services from Vertical Aerospace within the next three months.
Jefferies Financial Group Inc., its affiliates or subsidiaries has acted as a manager or co-manager in the underwriting or placement of securities for Vertical Aerospace or one of its affiliates within the past twelve months.
Within the past 12 months, Jefferies Financial Group Inc., its affiliates or subsidiaries has received compensation from investment banking services from Vertical Aerospace.
Within the past twelve months, Vertical Aerospace has been a client of Jefferies Financial Group Inc., its affiliates or subsidiaries and investment banking services are being or have been provided.
Jefferies Financial Group Inc., its affiliates or subsidiaries has acted as a manager or co-manager in the underwriting or placement of securities for Fincantieri SpA or one of its affiliates within the past twelve months.
Within the past twelve months, Fincantieri SpA has been a client of Jefferies Financial Group Inc., its affiliates or subsidiaries and investment banking services are being or have been provided.
Jefferies International Ltd, its affiliates or subsidiaries has, or had, within the past 12 months an agreement to provide investment services to Fincantieri SpA.
Within the past 12 months, Jefferies Financial Group Inc., its affiliates or subsidiaries has received compensation from investment banking services from Fincantieri SpA.
Jefferies Financial Group Inc., its affiliates or subsidiaries expect to receive or intend to seek compensation for investment banking services from Firefly Aerospace within the next three months.
Within the past twelve months, Firefly Aerospace has been a client of Jefferies Financial Group Inc., its affiliates or subsidiaries and investment banking services are being or have been provided.
Jefferies Financial Group Inc., its affiliates or subsidiaries has acted as a manager or co-manager in the underwriting or placement of securities for Firefly Aerospace or one of its affiliates within the past twelve months.
Within the past 12 months, Jefferies Financial Group Inc., its affiliates or subsidiaries has received compensation from investment banking services from Firefly Aerospace.
Within the past 12 months, Jefferies Financial Group Inc., its affiliates or subsidiaries has received compensation from investment banking services from FTAI Aviation Ltd.
Jefferies Financial Group Inc., its affiliates or subsidiaries is acting as a manager or co-manager in the underwriting or placement of securities for FTAI Aviation Ltd or one of its affiliates.
Within the past twelve months, Jefferies Financial Group Inc. and/or its affiliates received compensation for products and services other than investment banking services from non-investment banking, securities related compensation for client services it provided to General Dynamics Corp..
Within the past twelve months, Jefferies Financial Group Inc. and/or its affiliates received compensation for products and services other than investment banking services from non-investment banking, securities related compensation for client services it provided to General Electric Company.
Jefferies Financial Group Inc., its affiliates or subsidiaries expect to receive or intend to seek compensation for investment banking services from Hawkeye 360 within the next three months.
Jefferies Financial Group Inc., its affiliates or subsidiaries has acted as a manager or co-manager in the underwriting or placement of securities for Hawkeye 360 or one of its affiliates within the past twelve months.
Within the past twelve months, Hawkeye 360 has been a client of Jefferies Financial Group Inc., its affiliates or subsidiaries and investment banking services are being or have been provided.
Within the past 12 months, Jefferies Financial Group Inc., its affiliates or subsidiaries has received compensation from investment banking services from Hawkeye 360.
Within the past twelve months, Jefferies Financial Group Inc. and/or its affiliates received compensation for products and services other than investment banking services from non-investment banking, securities related compensation for client services it provided to Hexcel Corporation.
Within the past twelve months, Jefferies Financial Group Inc. and/or its affiliates received compensation for products and services other than investment banking services from non-investment banking, securities related compensation for client services it provided to Lockheed Martin Corp..
Within the past 12 months, Jefferies Financial Group Inc., its affiliates or subsidiaries has received compensation from investment banking services from Southwest Airlines Co..

Sheila Kahyaoglu * , Equity Analyst, +1 (212) 336-7216, sheila.kahyaoglu@jefferies.com

Within the past twelve months, Southwest Airlines Co. has been a client of Jefferies Financial Group Inc., its affiliates or subsidiaries and investment banking services are being or have been provided.
Jefferies Financial Group Inc., its affiliates or subsidiaries has acted as a manager or co-manager in the underwriting or placement of securities for MDA Space Ltd or one of its affiliates within the past twelve months.
Within the past twelve months, MDA Space Ltd has been a client of Jefferies Financial Group Inc., its affiliates or subsidiaries and investment banking services are being or have been provided.
Within the past 12 months, Jefferies Financial Group Inc., its affiliates or subsidiaries has received compensation from investment banking services from MDA Space Ltd.
Jefferies International Ltd, its affiliates or subsidiaries has, or had, within the past 12 months an agreement to provide investment services to Next Vision Stabilized Systems.
Within the past twelve months, Next Vision Stabilized Systems has been a client of Jefferies Financial Group Inc., its affiliates or subsidiaries and investment banking services are being or have been provided.
Within the past 12 months, Jefferies Financial Group Inc., its affiliates or subsidiaries has received compensation from investment banking services from Next Vision Stabilized Systems.
Jefferies Financial Group Inc., its affiliates or subsidiaries has acted as a manager or co-manager in the underwriting or placement of securities for Next Vision Stabilized Systems or one of its affiliates within the past twelve months.
Within the past twelve months, Palladyne AI Corp has been a client of Jefferies Financial Group Inc., its affiliates or subsidiaries and investment banking services are being or have been provided.
Jefferies Financial Group Inc., its affiliates or subsidiaries expect to receive or intend to seek compensation for investment banking services from Palladyne AI Corp within the next three months.
Within the past 12 months, Jefferies Financial Group Inc., its affiliates or subsidiaries has received compensation from investment banking services from Palladyne AI Corp.
Jefferies Financial Group Inc., its affiliates or subsidiaries has acted as a manager or co-manager in the underwriting or placement of securities for Palladyne AI Corp or one of its affiliates within the past twelve months.
Jefferies Financial Group Inc., its affiliates or subsidiaries is acting as a manager or co-manager in the underwriting or placement of securities for Palladyne AI Corp or one of its affiliates.
Jefferies Financial Group Inc., its affiliates or subsidiaries expect to receive or intend to seek compensation for investment banking services from Parsons Corporation within the next three months.
Within the past 12 months, Jefferies Financial Group Inc., its affiliates or subsidiaries has received compensation from investment banking services from Parsons Corporation.
Jefferies Financial Group Inc., its affiliates or subsidiaries is acting as a manager or co-manager in the underwriting or placement of securities for Parsons Corporation or one of its affiliates.
Within the past twelve months, Parsons Corporation has been a client of Jefferies Financial Group Inc., its affiliates or subsidiaries and investment banking services are being or have been provided.
Within the past 12 months, Jefferies Financial Group Inc., its affiliates or subsidiaries has received compensation from investment banking services from StandardAero.
Jefferies Financial Group Inc., its affiliates or subsidiaries has acted as a manager or co-manager in the underwriting or placement of securities for StandardAero or one of its affiliates within the past twelve months.
Within the past twelve months, StandardAero has been a client of Jefferies Financial Group Inc., its affiliates or subsidiaries and investment banking services are being or have been provided.
Within the past twelve months, Jefferies Financial Group Inc. and/or its affiliates received compensation for products and services other than investment banking services from non-investment banking, securities related compensation for client services it provided to Virgin Galactic Holdings.
Jefferies Financial Group Inc., its affiliates or subsidiaries is acting as a manager or co-manager in the underwriting or placement of securities for Virgin Galactic Holdings or one of its affiliates.
Within the past twelve months, Virgin Galactic Holdings has been a client of Jefferies Financial Group Inc., its affiliates or subsidiaries and investment banking services are being or have been provided.
Within the past twelve months, VSE Corporation has been a client of Jefferies Financial Group Inc., its affiliates or subsidiaries and investment banking services are being or have been provided.
Within the past 12 months, Jefferies Financial Group Inc., its affiliates or subsidiaries has received compensation from investment banking services from VSE Corporation.
Jefferies Financial Group Inc., its affiliates or subsidiaries has acted as a manager or co-manager in the underwriting or placement of securities for VSE Corporation or one of its affiliates within the past twelve months.
Within the past twelve months, York Space Systems LLC has been a client of Jefferies Financial Group Inc., its affiliates or subsidiaries and investment banking services are being or have been provided.
Jefferies Financial Group Inc., its affiliates or subsidiaries expect to receive or intend to seek compensation for investment banking services from York Space Systems LLC within the next three months.
Jefferies Financial Group Inc., its affiliates or subsidiaries has acted as a manager or co-manager in the underwriting or placement of securities for York Space Systems LLC or one of its affiliates within the past twelve months.
Within the past 12 months, Jefferies Financial Group Inc., its affiliates or subsidiaries has received compensation from investment banking services from York Space Systems LLC.

For Important Disclosure information on companies recommended in this report, please visit our website at https://javatar.bluematrix.com/sellside/Disclosures.action or call 212.284.2300.

Explanation of Jefferies Ratings

Buy - Describes securities that we expect to provide a total return (price appreciation plus yield) of 15% or more within a 12-month period.
Hold - Describes securities that we expect to provide a total return (price appreciation plus yield) of plus 15% or minus 10% within a 12-month period.
Underperform - Describes securities that we expect to provide a total return (price appreciation plus yield) of minus 10% or less within a 12-month period.
The expected total return (price appreciation plus yield) for Buy rated securities with an average security price consistently below $10 is 20% or more within a 12-month period as these companies are typically more volatile than the overall stock market. For Hold rated securities with an average security price consistently below $10, the expected total return (price appreciation plus yield) is plus or minus 20% within a 12-month period. For Underperform rated securities with an average security price consistently below $10, the expected total return (price appreciation plus yield) is minus 20% or less within a 12-month period.
NR - The investment rating and price target have been temporarily suspended. Such suspensions are in compliance with applicable regulations and/or Jefferies policies.
CS - Coverage Suspended. Jefferies has suspended coverage of this company.
NC - Not covered. Jefferies does not cover this company.
Restricted - Describes issuers where, in conjunction with Jefferies engagement in certain transactions, company policy or applicable securities regulations prohibit certain types of communications, including investment recommendations.
Monitor - Describes securities whose company fundamentals and financials are being monitored, and for which no financial projections or opinions on the investment merits of the company are provided.

Valuation Methodology

Jefferies' methodology for assigning ratings may include the following: market capitalization, maturity, growth/value, volatility and expected total return over the next 12 months. The price targets are based on several methodologies, which may include, but are not restricted to, analyses of market risk, growth rate, revenue stream, discounted cash flow (DCF), EBITDA, EPS, cash flow (CF), free cash flow (FCF), EV/EBITDA, P/E, PE/growth, P/CF, P/FCF, premium (discount)/average group EV/EBITDA, premium (discount)/average group P/E, sum of the parts, net asset value, dividend returns, and return on equity (ROE) over the next 12 months.

Jefferies Franchise Picks

Jefferies Franchise Picks include stock selections from among the best stock ideas from our equity analysts over a 12 month period. Stock selection is based on fundamental analysis and may take into account other factors such as analyst conviction, differentiated analysis, a favorable risk/reward ratio and investment themes that Jefferies analysts are recommending. Jefferies Franchise Picks will include only Buy rated stocks and the number can vary depending on analyst recommendations for inclusion. Stocks will be added as new opportunities arise and removed when the reason for inclusion changes, the stock has met its desired return, if it is no longer rated Buy and/or if it triggers a stop loss. Stocks having 120 day volatility in the bottom quartile of S&P stocks will continue to have a 15% stop loss, and the remainder will have a 20% stop. Franchise Picks are not intended to represent a recommended portfolio of stocks and is not sector based, but we may note where we believe a Pick falls within an investment style such as growth or value.

Risks which may impede the achievement of our Price Target

This report was prepared for general circulation and does not provide investment recommendations specific to individual investors. As such, the financial instruments discussed in this report may not be suitable for all investors and investors must make their own investment decisions based upon their specific investment objectives and financial situation utilizing their own financial advisors as they deem necessary. Past performance of the financial instruments recommended in this report should not be taken as an indication or guarantee of future results. The price, value of, and income from, any of the financial instruments mentioned in this report can rise as well as fall and may be affected by changes in economic, financial and political factors. If a financial instrument is denominated in a currency other than the investor's home currency, a change in exchange rates may adversely affect the price of, value of, or income derived from the financial instrument described in this report. To the extent prices are shown in non-US currency, please note that our local currency price targets are based on a currency conversion using an exchange rate as of the prior trading day (unless otherwise noted). Should there be fluctuations in the exchange rate after this date, that will affect the non-US target prices and should no longer be relied upon. In addition, investors in securities such as ADRs, whose values are affected by the currency of the underlying security, effectively assume currency risk.

Other Companies Mentioned in This Report

- 3M (MMM: $181.45, HOLD)
- AAR Corp. (AIR: $149.43, BUY)
- ANA Holdings Inc (9202 JP: ¥3,100, HOLD)
- AeroVironment, Inc. (AVAV: $169.02, BUY)
- Aevex Corp (AVEX: $19.38, BUY)
- Air Astana (AIRA KZ: KZT696.01, BUY)
- Air Astana (AIRA LI: $5.90, BUY)
- Air Canada (AC CN: C$26.53, HOLD)
- Air China-H (753 HK: HK$4.30, HOLD)
- Airbus Group NV (AIR FP: €214.10, HOLD)
- Albemarle Corporation (ALB: $120.82, BUY)
- American Airlines Group, Inc. (AAL: $16.56, HOLD)
- Amphenol Corp. (APH: $171.33, BUY)
- Applied Aerospace & Defense (AADX: $20.55, BUY)
- Arxis (ARXS: $58.05, BUY)
- Avon Technologies (AVON LN: p1,780.00, BUY)
- BAE Systems PLC (BA/ LN: p2,184.00, HOLD)
- Beta Technologies (BETA: $21.95, BUY)
- BlackSky Technology (BKSY: $25.41, HOLD)
- CACI International Inc. (CACI: $524.19, HOLD)
- CAE Inc (CAE: $26.81, HOLD)
- Cadre Holdings, Inc. (CDRE: $30.92, BUY)
- Caterpillar (CAT: $876.54, BUY)
- Cathay Pac Air (293 HK: HK$14.40, BUY)
- China Eastern Air-H (670 HK: HK$3.26, HOLD)
- China Southern Air-H (1055 HK: HK$3.50, HOLD)
- Controladora Vuela Compañía de Aviación, S.A.B. de C.V. (VLRS: $8.30, HOLD)
- Danaher Corp. (DHR: $194.78, BUY)
- Dassault Aviation SA (AM FP: €310.20, BUY)
- Delta Air Lines, Inc. (DAL: $92.77, BUY)

Sheila Kahyaoglu * , Equity Analyst, +1 (212) 336-7216, sheila.kahyaoglu@jefferies.com

- Eaton Corp. (ETN: $444.77, BUY)
- Elbit Systems Ltd. (ESLT: $849.27, HOLD)
- Emerson Electric (EMR: $158.84, BUY)
- Eve Holding, Inc. (EVEX: $2.40, BUY)
- FTAI Aviation Ltd (FTAI: $221.96, BUY)
- FedEx Corp (FDX: $313.34, BUY)
- Fincantieri SpA (FCT IM: €13.63, BUY)
- Firefly Aerospace (FLY: $23.33, BUY)
- Flowserve Corporation (FLS: $79.55, BUY)
- GE Vernova Inc (GEV: $1,018.53, BUY)
- General Dynamics Corp. (GD: $385.76, BUY)
- General Electric Company (GE: $377.28, BUY)
- Hawkeye 360 (HAWK: $24.30, BUY)
- Heico Corporation (HEI: $367.66, BUY)
- Hensoldt AG (HAG GR: €87.44, HOLD)
- Hexcel Corporation (HXL: $104.14, HOLD)
- Honeywell International Inc. (HON: $248.79, HOLD)
- Howmet Aerospace Inc (HWM: $288.20, BUY)
- IAG (IAG LN: £4.39, BUY)
- InterGlobe Aviation Limited (INDIGO IN: INR5,330.00, BUY)
- Japan Airlines Co Ltd (9201 JP: ¥2,959, BUY)
- Kratos Defense & Security Solutions, Inc. (KTOS: $51.87, BUY)
- Leidos Holdings (LDOS: $130.60, HOLD)
- Loar Holdings (LOAR: $75.52, BUY)
- Lockheed Martin Corp. (LMT: $589.33, HOLD)
- Lufthansa (LHA GR: €8.48, HOLD)
- MDA Space Ltd (MDA CN: C$48.10, BUY)
- MMG Limited (1208 HK: HK$8.52, HOLD)
- MTU Aero Engines AG (MTX GR: €369.70, BUY)
- Mercury Systems (MRCY: $112.80, HOLD)
- Meta Platforms, Inc. (META: $587.94, BUY)
- Mitsubishi Heavy Industries (7011 JP: ¥4,091, BUY)
- NVIDIA Corporation (NVDA: $211.94, BUY)
- Next Vision Stabilized Systems (NXSN IT: ILS230.00, BUY)
- Northrop Grumman Corp. (NOC: $551.55, HOLD)
- Oshkosh Corporation (OSK: $156.72, HOLD)
- Palantir Technologies Inc (PLTR: $162.66, UNDERPERFORM)
- Palladyne AI Corp (PDYN: $6.00, HOLD)
- Parker Hannifin (PH: $992.65, BUY)
- Parsons Corporation (PSN: $48.59, BUY)
- Qantas Airways Limited (QAN AU: AUD10.29, BUY)
- RENK Group AG (R3NK GR: €49.52, BUY)
- RTX (RTX: $217.93, BUY)
- Redwire (RDW: $10.63, HOLD)
- Rheinmetall AG (RHM GR: €1,200.80, BUY)
- Rivian Automotive, Inc (RIVN: $15.76, HOLD)
- Rockwell Automation (ROK: $445.23, HOLD)
- Rolls-Royce Holdings Plc (RR/ LN: p1,529.40, BUY)
- Roper Technologies (ROP: $392.76, BUY)
- Ryanair (RYA ID: €25.22, HOLD)

Sheila Kahyaoglu * , Equity Analyst, +1 (212) 336-7216, sheila.kahyaoglu@jefferies.com

- SAIC (SAIC: $120.37, HOLD)
- Safran Group (SAF FP: €356.40, HOLD)
- Schneider Electric (SU FP: €299.25, BUY)
- Siemens AG (SIE GR: €287.45, BUY)
- Southwest Airlines Co. (LUV: $48.70, HOLD)
- StandardAero (SARO: $30.68, HOLD)
- TE Connectivity Ltd. (TEL: $216.82, BUY)
- Teledyne Technologies Incorporated (TDY: $684.76, BUY)
- Textron Inc. (TXT: $89.12, BUY)
- Thales SA (HO FP: €262.40, BUY)
- The Boeing Company (BA: $237.16, BUY)
- The Chemours Company (CC: $17.93, HOLD)
- TransDigm Group Incorporated (TDG: $1,275.05, BUY)
- United Airlines Holdings, Inc. (UAL: $132.62, BUY)
- United Parcel Service, Inc. (UPS: $109.11, BUY)
- VSE Corporation (VSEC: $214.23, BUY)
- Virgin Galactic Holdings (SPCE: $2.95, BUY)
- Voyager Technologies, Inc. (VOYG: $33.49, BUY)
- Wizz Air (WIZZ LN: £11.57, UNDERPERFORM)
- Woodward (WWD: $373.67, BUY)
- York Space Systems LLC (YSS: $15.31, BUY)
- easyJet (EZJ LN: £6.38, BUY)

Distribution of Ratings

			IB Serv./Past12 Mos.		JIL Mkt Serv./Past12 Mos.	
	Count	Percent	Count	Percent	Count	Percent
BUY	2230	62.43%	391	17.53%	116	5.20%
HOLD	1182	33.09%	92	7.78%	14	1.18%
UNDERPERFORM	160	4.48%	0	0.00%	0	0.00%

Sheila Kahyaoglu * , Equity Analyst, +1 (212) 336-7216, sheila.kahyaoglu@jefferies.com

Other Important Disclosure

Other Important Disclosures

Jefferies does business and seeks to do business with companies covered in its research reports, and expects to receive or intends to seek compensation for investment banking services among other activities from such companies. As a result, investors should be aware that Jefferies may have a conflict of interest that could affect the objectivity of this report. Investors should consider this report as only a single factor in making their investment decision.

Jefferies Equity Research refers to research reports produced by analysts employed by one of the following Jefferies Financial Group Inc. ("Jefferies") companies:

United States: Jefferies LLC which is an SEC registered broker-dealer and a member of FINRA (and distributed by Jefferies Research Services, LLC, an SEC registered Investment Adviser, to clients paying separately for such research).

Canada: Jefferies Securities Inc., which is an investment dealer registered in each of the thirteen Canadian jurisdictions and a dealer member of the Canadian Investment Regulatory Organization, including research reports produced jointly by Jefferies Securities Inc. and another Jefferies entity (and distributed by Jefferies Securities Inc.).

Where Jefferies Securities Inc. distributes research reports produced by Jefferies LLC, Jefferies International Limited, Jefferies Japan Company Limited, or Jefferies India Private Limited, you are advised that each of Jefferies LLC, Jefferies International Limited, Jefferies Japan Company Limited, and Jefferies India Private Limited operates as a dealer in your jurisdiction under an exemption from the dealer registration requirements contained in National Instrument 31-103 Registration Requirements, Exemptions and Ongoing Registrant Obligations and, as such, each of Jefferies LLC, Jefferies International Limited, Jefferies Japan Company Limited, and Jefferies India Private Limited is not required to be and is not a registered dealer or adviser in your jurisdiction. You are advised that where Jefferies LLC or Jefferies International Limited prepared this research report, it was not prepared in accordance with Canadian disclosure requirements relating to research reports in Canada.

United Kingdom: Jefferies International Limited, which is authorized and regulated by the Financial Conduct Authority; registered in England and Wales No. 1978621; registered office: 100 Bishopsgate, London EC2N 4JL; telephone +44 (0)20 7029 8000; facsimile +44 (0)20 7029 8010.

Germany: Jefferies GmbH, which is authorized and regulated by the Bundesanstalt fuer Finanzdienstleistungsaufsicht, BaFin-ID: 10150151; registered office: Bockenheimer Landstr. 24, 60323 Frankfurt a.M., Germany; telephone: +49 (0) 69 719 1870

Hong Kong: Jefferies Hong Kong Limited, which is licensed by the Securities and Futures Commission of Hong Kong with CE number ATS546; located at Level 26, Two International Finance Center, 8 Finance Street, Central, Hong Kong; telephone: +852 3743 8000.

Singapore: Jefferies Singapore Limited, which is licensed by the Monetary Authority of Singapore; located at 10 Collyer Quay #41-01, Ocean Financial Centre, Singapore 049315, telephone: +65 6551 3950.

Japan: Jefferies Japan Company Limited, which is a securities company registered by the Financial Services Agency of Japan and is a member of the Japan Securities Dealers Association; located at Tokyo Midtown Hibiya 30F Hibiya Mitsui Tower, 1-1-2 Yuraku-cho, Chiyoda-ku, Tokyo 100-0006; telephone +813 5251 6100; facsimile +813 5251 6101.

India: Jefferies India Private Limited (CIN - U74140MH2007PTC200509), licensed by the Securities and Exchange Board of India for: Stock Broker (NSE & BSE) INZ000243033, Research Analyst INH000000701 and Merchant Banker INM000011443, located at Level 16, Express Towers, Nariman Point, Mumbai 400 021, India; Tel +91 22 4356 6000. Compliance Officer name: Sanjay Pai, Tel No: +91 22 42246150, Email: spai@jefferies.com , Grievance officer name: Sanjay Pai, Tel no. +91 22 42246150, Email: compliance_india@jefferies.com . Registration granted by SEBI and certification from NISM in no way guarantee performance of the intermediary or provide any assurance of returns to investors.

Australia: Jefferies (Australia) Pty Limited (ACN 623 059 898), which holds an Australian financial services license (AFSL 504712) and is located at Level 20, 60 Martin Place, Sydney NSW 2000; telephone +61 2 9364 2800.

Dubai: Jefferies International Limited, Dubai branch, which is licensed by the Dubai Financial Services Authority (DFSA Reference Number F007325); registered office Unit L31-06, L31-07, Level 31, ICD Brookfield Pace, DIFC, PO Box 121208, Dubai, UAE.

This report was prepared by personnel who are associated with Jefferies (Jefferies Securities Inc., Jefferies International Limited, Jefferies GmbH, Jefferies Hong Kong Limited, Jefferies Singapore Limited, Jefferies Japan Company Limited, Jefferies India Private Limited), and Jefferies (Australia) Pty Ltd; or by personnel who are associated with both Jefferies LLC and Jefferies Research Services LLC ("JRS"). Jefferies LLC is a US registered broker-dealer and is affiliated with JRS, which is a US registered investment adviser. JRS does not create tailored or personalized research and all research provided by JRS is impersonal. If you are paying separately for this research, it is being provided to you by JRS. Otherwise, it is being provided by Jefferies LLC. Jefferies LLC, JRS, and their affiliates are collectively referred to below as "Jefferies". Jefferies may seek to do business with companies covered in this research report. As a result, investors should be aware that Jefferies may have a conflict of interest that could affect the objectivity of this report. Investors should consider this report as only one of many factors in making their investment decisions. Specific conflict of interest and other disclosures that are required by FINRA, the Canadian Investment Regulatory Organization and other rules are set forth in this disclosure section.

* * *

If you are receiving this report from a non-US Jefferies entity, please note the following: Unless prohibited by the provisions of Regulation S of the U.S. Securities Act of 1933, as amended, this material is distributed in the United States by Jefferies LLC, which accepts responsibility for its contents in accordance with the provisions of Rule 15a-6 under the US Securities Exchange Act of 1934, as amended. Transactions by or on behalf of any US person may only be effected through Jefferies LLC. In the United Kingdom and European Economic Area this report is issued and/or approved for distribution by Jefferies International Limited ("JIL") and/or Jefferies GmbH and is intended for use only by persons who have, or have been assessed as having, suitable professional experience and expertise, or by persons to whom it can be otherwise lawfully distributed. Jefferies LLC, JIL, Jefferies GmbH and their affiliates, may make a market or provide liquidity in the financial instruments referred to in this report; and where they do make a market, such activity is disclosed specifically in this report under “company specific disclosures”.

For Canadian investors, this material is intended for use only by professional or institutional investors. None of the investments or investment services mentioned or described herein is available to other persons or to anyone in Canada who is not a "permitted client" as defined by National Instrument 31-103 Registration Requirements, Exemptions and Ongoing Registrant Obligations, as applicable. This research report is a general discussion of the merits and risks of a security or securities only, and is not in any way meant to be tailored to the needs and circumstances of any recipient. The information contained herein is not, and under no circumstances is to be construed as, an offer to sell securities described herein, or solicitation of an offer to buy securities described herein, in Canada or any province or territory thereof. Any offer or sale of the securities described herein in Canada will be made only under an exemption from the requirements to file a prospectus with the relevant Canadian securities regulators, if applicable, and only by a dealer properly registered under applicable securities laws or, alternatively, pursuant to an exemption from the dealer registration requirement in the relevant province or territory of Canada in which such offer or sale is made. The information contained herein is under no circumstances to be construed as investment advice in any province or territory of Canada and is not tailored to the needs of the recipient. To the extent that the information contained herein references securities of an issuer incorporated, formed or created under the laws of Canada or a province or territory

of Canada, any trades in such securities must be conducted through a dealer registered in Canada. No securities commission or similar regulatory authority in Canada has reviewed or in any way passed judgment upon this research report, the information contained herein or the merits of the securities described herein, and any representation to the contrary is an offence.

In Singapore, Jefferies Singapore Limited ("JSL") is regulated by the Monetary Authority of Singapore. For investors in the Republic of Singapore, where this material is prepared and issued by a Jefferies affiliate outside of Singapore, it is distributed by JSL pursuant to Regulation 32C of the Financial Advisers Regulations. The material contained in this document is intended solely for accredited, expert or institutional investors, as defined under the Securities and Futures Act 2001 (Singapore). If there are any matters arising from, or in connection with this material, please contact JSL, located at 80 Raffles Place #15-20, UOB Plaza 2, Singapore 048624, telephone: +65 6551 3950. In Dubai, this material is issued and distributed by Jefferies International Limited, Dubai branch, and is intended solely for Professional Clients and should not be distributed to, or relied upon by, Retail Clients (as defined by DFSA). A distribution of ratings in percentage terms in each sector covered is available upon request from your sales representative. In Japan, this material is issued and distributed by Jefferies Japan Company Limited to institutional investors only. In Hong Kong, this report is issued and approved by Jefferies Hong Kong Limited and is intended for use only by professional investors as defined in the Hong Kong Securities and Futures Ordinance and its subsidiary legislation. In the Republic of China (Taiwan), this report should not be distributed. The research in relation to this report is conducted outside the People's Republic of China ("PRC"). This report does not constitute an offer to sell or the solicitation of an offer to buy any securities in the PRC. PRC investors shall have the relevant qualifications to invest in such securities and shall be responsible for obtaining all relevant approvals, licenses, verifications and/or registrations from the relevant governmental authorities themselves. In India, this report is made available by Jefferies India Private Limited. In Australia, this report is issued and/or approved for distribution by, or on behalf of, Jefferies (Australia) Securities Pty Ltd (ACN 610 977 074), which holds an Australian financial services license (AFSL 487263). It is directed solely at wholesale clients within the meaning of the Corporations Act 2001 (Cth) of Australia (the "Corporations Act"), in connection with their consideration of any investment or investment service that is the subject of this report. This report may contain general financial product advice. Where this report refers to a particular financial product, you should obtain a copy of the relevant product disclosure statement or offer document before making any decision in relation to the product. Recipients of this document in any other jurisdictions should inform themselves about and observe any applicable legal requirements in relation to the receipt of this document.

This report is not an offer or solicitation of an offer to buy or sell any security or derivative instrument, or to make any investment. Any opinion or estimate constitutes the preparer's best judgment as of the date of preparation, and is subject to change without notice. Jefferies assumes no obligation to maintain or update this report based on subsequent information and events. Jefferies, and their respective officers, directors, and employees, may have long or short positions in, or may buy or sell any of the securities, derivative instruments or other investments mentioned or described herein, either as agent or as principal for their own account. This material is provided solely for informational purposes and is not tailored to any recipient, and is not based on, and does not take into account, the particular investment objectives, portfolio holdings, strategy, financial situation, or needs of any recipient. As such, any advice or recommendation in this report may not be suitable for a particular recipient. Jefferies assumes recipients of this report are capable of evaluating the information contained herein and of exercising independent judgment. A recipient of this report should not make any investment decision without first considering whether any advice or recommendation in this report is suitable for the recipient based on the recipient's particular circumstances and, if appropriate or otherwise needed, seeking professional advice, including tax advice. Jefferies does not perform any suitability or other analysis to check whether an investment decision made by the recipient based on this report is consistent with a recipient's investment objectives, portfolio holdings, strategy, financial situation, or needs.

By providing this report, neither JRS nor any other Jefferies entity accepts any authority, discretion, or control over the management of the recipient's assets. Any action taken by the recipient of this report, based on the information in the report, is at the recipient's sole judgment and risk. The recipient must perform his or her own independent review of any prospective investment. If the recipient uses the services of Jefferies LLC (or other affiliated broker-dealers), in connection with a purchase or sale of a security that is a subject of these materials, such broker-dealer may act as principal for its own accounts or as agent for another person. Only JRS is registered with the SEC as an investment adviser; and therefore neither Jefferies LLC nor any other Jefferies affiliate has any fiduciary duty in connection with distribution of these reports.

The price and value of the investments referred to herein and the income from them may fluctuate. Past performance is not a guide to future performance, future returns are not guaranteed, and a loss of original capital may occur. Fluctuations in exchange rates could have adverse effects on the value or price of, or income derived from, certain investments.

This report may contain forward looking statements that may be affected by inaccurate assumptions or by known or unknown risks, uncertainties, and other important factors. As a result, the actual results, events, performance or achievements of the financial product may be materially different from those expressed or implied in such statements.

This report has been prepared independently of any issuer of securities mentioned herein and not as agent of any issuer of securities. No Equity Research personnel have authority whatsoever to make any representations or warranty on behalf of the issuer(s). Any comments or statements made herein are those of the Jefferies entity producing this report and may differ from the views of other Jefferies entities.

This report may contain information obtained from third parties, including ratings from credit ratings agencies such as Standard & Poor's, and information derived from third-party or proprietary generative artificial intelligence (Gen AI) models. Jefferies does not guarantee the accuracy, completeness, timeliness or availability of this information, and is not responsible for any errors or omissions (negligent or otherwise), regardless of the cause, or for the results obtained from the use of such content. Neither Jefferies nor any third-party content providers, including providers of Gen AI models, give any express or implied warranties, including, but not limited to, any warranties of merchantability or fitness for a particular purpose or use. Neither Jefferies nor any third-party content provider shall be liable for any direct, indirect, incidental, exemplary, compensatory, punitive, special or consequential damages, costs, expenses, legal fees, or losses (including lost income or profits and opportunity costs) in connection with any use of their content, including ratings. Credit ratings are statements of opinions and are not statements of fact or recommendations to purchase, hold or sell securities. They do not address the suitability of securities or the suitability of securities for investment purposes, and should not be relied on as investment advice. Reproduction and distribution of third party content in any form is prohibited except with the prior written permission of the related third party.

Jefferies research reports are disseminated and available electronically, and, in some cases, also in printed form. Electronic research is simultaneously made available to all clients. This report or any portion hereof may not be copied, reprinted, sold, or redistributed or disclosed by the recipient or any third party, by content scraping or extraction, automated processing, or any other form or means, without the prior written consent of Jefferies. Any unauthorized use is prohibited. Neither Jefferies nor any of its respective directors, officers or employees, is responsible for guaranteeing the financial success of any investment, or accepts any liability whatsoever for any direct, indirect or consequential damages or losses arising from any use of this report or its contents. Nothing herein shall be construed to waive any liability Jefferies has under applicable U.S. federal or state securities laws.

For Important Disclosure information relating to JRS, please see https://adviserinfo.sec.gov/IAPD/Content/Common/crd_iapd_Brochure.aspx?BRCHR_VRSN_ID=483878 and https://adviserinfo.sec.gov/Firm/292142 or visit our website at https://javatar.bluematrix.com/sellside/Disclosures.action , or www.jefferies.com , or call 1.888.JEFFERIES.

© 2026 Jefferies

Sheila Kahyaoglu * , Equity Analyst, +1 (212) 336-7216, sheila.kahyaoglu@jefferies.com